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Business and Professional Ethics for Directors, Executives & Accountants

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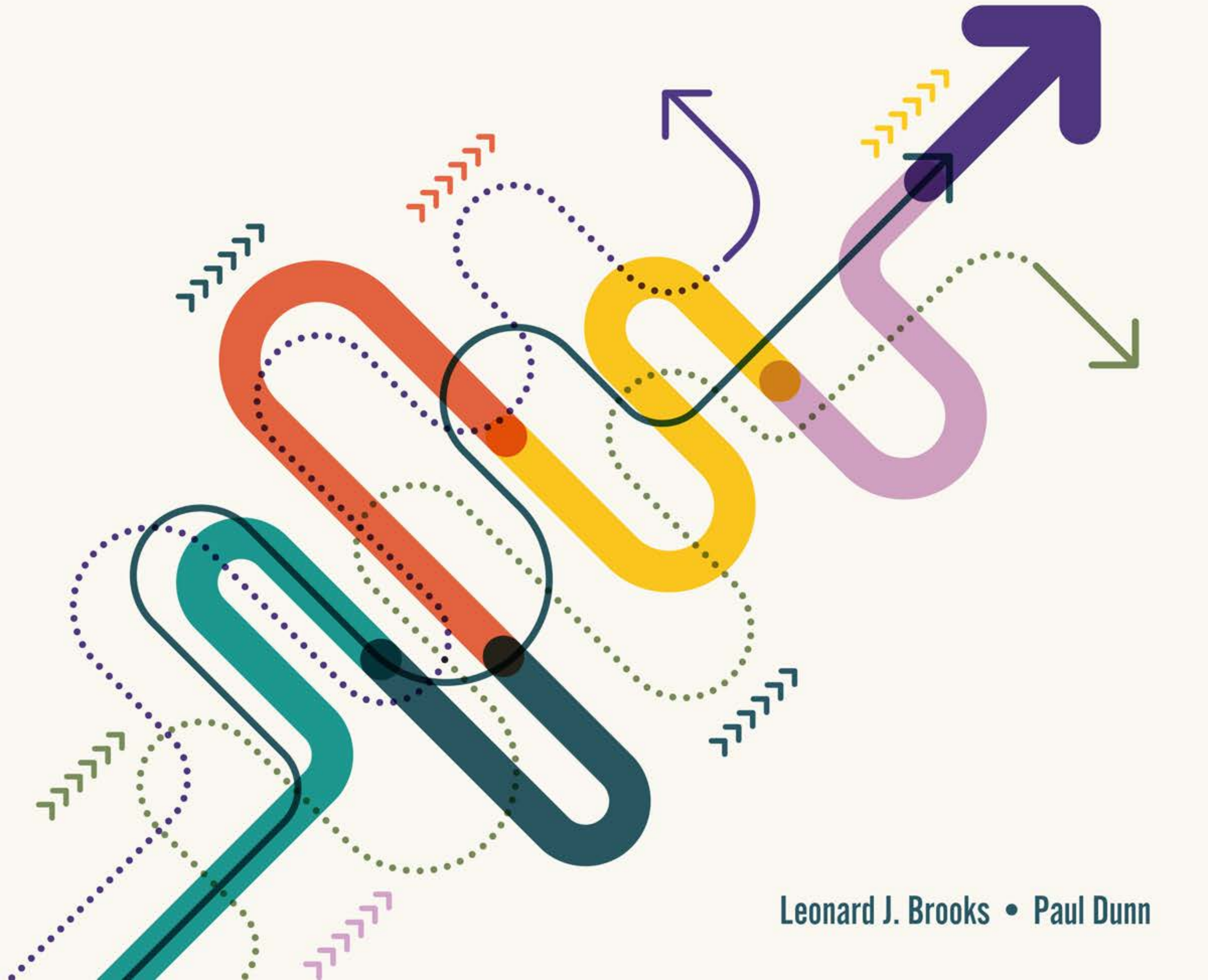

Leonard J. Brooks • Paul Dunn

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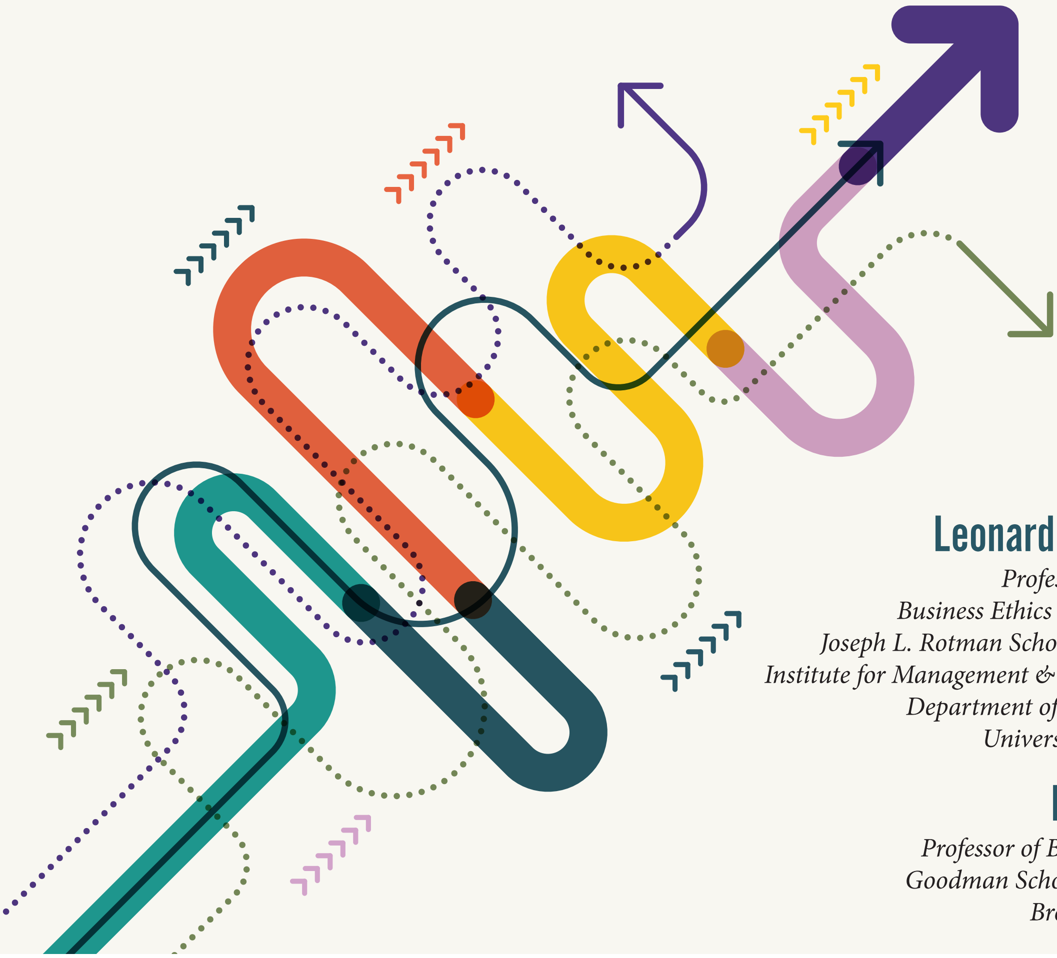

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Business and Professional Ethics for Directors, Executives & Accountants,
10th edition
Leonard J. Brooks and Paul Dunn

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Dedication

Business and Professional Ethics for Directors, Executives & Accountants is focused on deepening the understanding of how best to incorporate ethical values into governance, strategies, and actions to the benefit of us all.

Our preparation of the Tenth Edition has been enriched by the contributions of many, but none more than our wives and families who have supported and encouraged us and to whom we dedicate this work. It is with great pride, thankfulness, and love that we acknowledge Jean and Kathy and our growing families.

Leonard J. Brooks, FCPA, FCA

Paul Dunn, CPA, CA

Toronto, Canada
July 2025

About the Authors

Leonard J. Brooks is Professor Emeritus of Business Ethics & Accounting at the Rotman School of Management of the University of Toronto, and the Institute for Management & Innovation and the Department of Management of the University of Toronto Mississauga. He is the former Executive Director of the Rotman School's Clarkson Centre for Business Ethics, Director Emeritus of the University's Professional Accounting Centre, its Master of Forensic Accounting and of its Master of Management & Professional Accounting programs at the University's Institute for Management & Innovation.

Professor Brooks served for fourteen years on the Editorial Board of the *Journal of Business Ethics* and continues to serve as a reviewer for that as well as other journals. He has published articles on ethics issues in the *Journal of Business Ethics*, *Accounting Organizations and Society*, and *Business & Society* and has authored or coauthored/edited the research monograph *Canadian Corporate Social Performance* and books or publications entitled *Business & Professional Ethics for Accountants*, *2e*; *Principles of Stakeholder Management: The Clarkson Principles*; and *Ethics & Governance: Developing and Maintaining an Ethical Corporate Culture, 4e.*

Before joining the University of Toronto, Professor Brooks obtained his Chartered Accountant (C.A.) designation in Canada and subsequently became an audit manager and Director of Manpower for Touche Ross & Co. (now Deloitte LLP) in Toronto. He has served as a member, then Chairman, of the CAs' national Board of Examiners, and Chairman of their national Syllabus Committee. Professor Brooks became a Fellow of the Institute of Chartered Accountants of Ontario in 1982. He became a Chartered Professional Accountant (CPA) and a Fellow of the Chartered Professional Accountants (FCPA) of Ontario in 2012.

Paul Dunn is a Professor of Business Ethics at the Goodman School of Business, Brock University. Dr. Dunn has a doctorate in accounting from Boston University as well as two degrees in philosophy from the University of Toronto. He is a CPA who worked in downtown Toronto with Ernst & Young (as a chartered accountant), the Canadian Imperial Bank of Commerce (in the finance division), as well as in the private sector (in controllership).

Professor Dunn's research focuses on ethics, corporate governance, and corporate social responsibility. His research has appeared in a variety of scholarly journals, including the *Journal of Business Ethics*, the *Journal of Management*, *Business & Society*, and *Business Ethics Quarterly*. He is Consulting Editor for the *Journal of Business Ethics*, an Associate Editor for *Business and Society Review,* and sits on the editorial boards of the *Journal of Business Ethics*, *Business & Society*, as well as the *Journal of Management and Governance*. The media in both Canada and internationally interview Paul Dunn regularly. Once a week for two years, he spoke on the radio about good news business stories.

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Chapter 3 Ethical Behavior—Philosophers' Contributions 170

BPE DIGITAL RESOURCES: Digital Resources are available for *Business & Professional Ethics*, including readings and references noted in the margin of this book, as well as cases and a chapter from earlier editions. Visit **www.cengage.com** for access.

Digital Resources—Table of Contents

DIGITAL RESOURCES FROM EARLIER EDITIONS

Chapter/	**Resource**
4	Leonard J. Brooks, "Sniff Tests," *Corporate Ethics Monitor* 7, no. 5 (1995): 65.
	L. J. Brooks, "Cost–Benefit Analysis," *CAmagazine*, October 1979, 53–57.
5, 6	International Federation of Accountants (IFAC) Code of Ethics for Professional Accountants, November 2001
6	A Lawyer's Perspective on an Accountant's Professional Obligations
	The Liability Crisis in the United States: Impact on the Accounting Profession—A Statement of Position
	Trends in the Legal Liability of Accountants and Auditors and Legal Defenses Available

Preface

Challenges & Opportunities

Expectations for appropriate business and professional accounting behavior continue to change dramatically. Corporations face *an era of heightened accountability* beyond shareholders to stakeholders who are intently *interested in how corporations achieve their objectives, not just what they achieve*. Corporate accountability has shifted from *accountability only to shareholders* to *accountability to stakeholders, including shareholders*. The challenge is to make a profit ethically while respecting the interests of others, including the environment, human rights, and contributing positively to society. Opportunities abound for those who face these challenges successfully. More is also expected of professional accountants, who need to serve society's best interests in increasingly complex and challenging business environments. Effective risk management must now include investigation and analysis of ethics risks.

The era of heightened accountability has been forced by stakeholders who have recognized that errant corporate directors and managers and professional accountants have failed the public interest with catastrophic and lasting impacts. There is a broad understanding that other than the COVID pandemic, *the last three major negative impacts on the world economy were ethical failures*, including the following:

- The *crisis of confidence in corporate governance and credibility in reporting* caused by the 2002 failures of Enron, Arthur Andersen, and WorldCom, leading to the crash of the stock market and the introduction of the *Sarbanes-Oxley Act of 2002 (SOX)* which began necessary corporate governance reforms.
- *The Subprime Lending Crisis of 2007–2009*, where greed and unethical behavior led to a crash of the U.S. housing market and the collapse of investment values around the world, and the enactment of the U.S. *Dodd-Frank Wall Street Reform and Consumer Protection Act* in 2010.
- The *LIBOR rate manipulation scandal* of 2012, in which the underpinning basis for interest rates was knowingly manipulated for the benefit of a few banks and their traders.

In addition, there have been *many other ethical failures,* such as the Madoff Ponzi scheme; damage to the environment and to vulnerable members of society that have caused serious harm to the reputations of individuals, organizations, or professionals; and an understanding that higher expectations were warranted and that lower levels of performance were to be penalized. Farsighted businesspeople and professional accountants took note and began to systematically search for ethics risks and manage to prevent those risks from damaging their reputations and their ability to reach their objectives.

This book presents an examination of how businesspeople and professional accountants can prepare themselves, their colleagues, and their organizations to identify important ethics challenges and opportunities and meet the heightened performance expectations they face. To succeed, businesspeople and professional accountants need to understand the key historical developments that gave rise to these heightened expectations and the techniques that are available and developing to shape future performance. There is now absolutely no excuse for a company to make ethical errors similar to those made by Wells

Fargo's unethical incentives program, Volkswagen's cheating on emissions test, Fox News' ignoring sexual abuses, the continuation of global bribery schemes, Boeing's lack of attention to quality, or the taking advantage of opioid users.

The demise of Enron, Arthur Andersen, and WorldCom triggered SOX. The subprime lending scandal in 2007 led to the worldwide recession that so significantly negatively affected economies, jobs, and the lives of us all. *These events were ethical failures that could have been prevented*. Unchecked until too late, they subsequently galvanized reforms in the accountability and governance of both corporations and professional accounting that have influenced business and professional ethics around the world. Undoubtedly, they will continue to bring new challenges and opportunities for directors, executives, managers, and professional accountants.

The reforms in accountability and governance frameworks recognize that corporations and professional accountants have become increasingly more broadly accountable than previously understood. The *crisis of corporate governance and reporting credibility* that Enron began, Arthur Andersen fostered, WorldCom capped, and SOX sought to remedy heightened the awareness that corporations and the accounting profession must have the support of many stakeholder groups to achieve their strategic objectives. Following very quickly, the subprime lending fiasco from 2007 to 2009 further exacerbated the *crisis of confidence* by sensitizing the public and adding to ethical awareness, and generating higher expectations for ethical behavior in order to sustain stakeholder support.

That support requires trust. Trust is based on the expectation that the corporation—really its board, executives, employees, and agents—and professional accountant will do the right thing and that their actions will respect the interests of the stakeholder groups. Earning and maintaining that trust requires changing the strategy, risk management, planning, operations, and decision making of the corporation to take account of the interests and expectations of stakeholders in addition to shareholders. *A new accountability framework is required that focuses on indicators of performance related to stakeholder expectations for both internal and external reporting.*

Governance must focus on this new, broader accountability framework in order to ensure that stakeholder trust objectives are met. Such a change will not happen by itself, and directors are in danger of not fulfilling their expectations to shareholders for risk management and due diligence if they ignore this duty. Some directors have understood the value of an excellent reputation and have been including risks to reputation in their risk management programs. Now that the linkage of ethics, reputation, and trust is evident and better understood, it is vital for corporations to upgrade their accountability and governance frameworks to ensure continued support. Shareholders and other stakeholders have come to expect more than they did pre-SOX—and the bar continues to rise.

Professional accountants can and should provide a critical facilitating element in the trust-oriented accountability and governance system. First, professional accountants can be important agents for ensuring trust. They are expected to serve in the public interest and must do so to preserve the trust placed in them by a society that expects them to behave as professionals. This expectation, which applies to professional accountants in public practice as well as those employed by corporations, requires a rededication to their role as a trusted fiduciary. Second, professional accountants are well placed to understand the role of trust in internal control and accountability frameworks and in the governance frameworks that provide direction and oversight to corporate activities. Third, good professional accountants are expected to display a level of professional skepticism and duty that should enable them to recognize the red flags of potential problems and report or remediate them.

Perhaps most important, these new governance and ethics expectations have reached the academic launching pads for new directors, executives, and professional accountants. The interest in directors' governance education programs is startling. In 2004, the accreditation body for business schools worldwide published an Ethics Education Task Force Report that called for business students to be educated about (1) the responsibility of business in society, (2) ethical leadership, (3) ethical decision making, and (4) corporate governance and ethics.[1] Moreover, many jurisdictions require compulsory ethics courses for accounting students before they are considered ready to write their qualifying exams for professional accounting designations. Accordingly, ethics and governance coverage are penetrating the curricula of far more business schools than in the past—which bodes well for the future.

Professional accounting bodies, stung by recent scandals, have also embraced this new era of ethical accountability by introducing a new international code of ethics that includes NOCLAR standards[2] that, when adopted worldwide, will fundamentally change the role of professional accountants. These new standards will require professional accountants who discover or suspect that their employers or clients are not complying with laws or regulations to report this internally and then externally if no or insufficient action is taken. Because silence is not an option, there will be less chance of ethics problems staying secret. Consequently, it behooves companies to look for ethics risks systematically during their risk management programs. The new code of ethics also stresses that the primary purpose of professional accountants is to serve the public interest, and as a result, many professional accounting bodies have initiated compulsory annual ethics-related professional development requirements for their graduates.

Understanding these trust expectations and the interrelationship to ethics and governance will resolve challenges and present opportunities for directors, executives, and professional accountants. It will facilitate the assessment of ethics risks, the protection of reputation, and the development of management safeguards such as a strong culture of integrity. More importantly, it will provide the essential foundation for ensuring the support of stakeholders for corporations and professional accountants in the future.

Purpose of the Book

Business & Professional Ethics for Directors, Executives & Accountants provides a comprehensive background for understanding the crisis of credibility that business and the accounting profession now face and what can be done to restore the trust necessary for them to reach their strategic goals successfully.

Business and the accounting profession are in an era of risk management because numerous scandals have undermined the credibility and reputation of corporations, firms, directors, executives, and accountants. Businesses and professionals cannot reach their strategic goals optimally in the medium and longer terms unless the ethics risks causing these scandals are recognized, avoided, mitigated, and monitored continuously. Governance

[1] The Association to Advance Collegiate Schools of Business, *AACSB Ethics Education Task Force Report*, June 2004, available at https://www.aacsb.edu/~/media/AACSB/Publications/research-reports/ethics-education.ashx

[2] The NOCLAR standards that are included in the 2018 *IESBA International Code of Ethics for Professional Accountants* are discussed in Chapter 6. Over 170 professional accounting bodies worldwide, including the AICPA, CPA Canada, and ICAEW, are members of the International Federation of Accountants (IFAC) and have pledged to harmonize their local codes to the IESBA Code in the near future.

systems must include ethical guidance, decision making must consider the value systems that stakeholder groups respect, and risk management must include the search for, prevention, and mitigation of ethics risks; otherwise, the corporate culture involved is unlikely to be a culture of integrity and stakeholders will not provide their essential support. Without a corporate culture of integrity, corporate directors and auditors cannot do their jobs effectively. Understanding how past scandals have led to the current era of governance and ethics risk management is essential so that past disasters can be avoided.

Students, executives, and board members must learn how to use ethical strategies, make ethical decisions, and integrate the latest information on ethics, governance scandals, legal liability, and professional accounting and auditing issues. They must understand why developing an ethical corporate culture is essential to maintaining stakeholder support and for auditors to audit financial statements.

To keep learning interesting and to underscore the importance of ethical issues, this edition provides 160 cases, including classic frauds, bankruptcies, loss of reputation, recent enforcement actions, and unprofessional practices, that provide excellent opportunities for developing an understanding of soft skills, including communications, persuasion, presentation, leadership, and a global mindset that support a culture of integrity.

The crisis of corporate reporting credibility became so severe in mid-2002 that drastic measures were required to restore that credibility and relieve the gridlock that froze capital markets and dampened economies around the world. In fact, the financial disasters in 2002 accelerated and crystallized the impact of pressures for enhanced corporate accountability and a supportive governance framework that had been growing for years. As governance reform based on sound ethics takes hold around the world, there is an increasing need to understand the historical precursors involved, the responsibilities expected, and the techniques available for the satisfaction of those expectations.

Telling the story of ongoing pressures for more trusted governance and of the contributions of key financial scandals is important to the development of an appropriate understanding of the post-SOX world for directors, executives, and accountants, and of the heightened ethical expectations arising from the subprime lending crisis. Ethical failures have cost us all dearly. In response, governance has recently incorporated the need for a risk management process that must now be broadened to involve awareness of factors that can erode the support of stakeholder groups.

The reputation of corporations is recognized as being connected with the degree to which stakeholders trust that corporations will do the right thing. In other words, there is now *a concern for both what a corporation does and how it is done*. At certain times in the past, the emphasis was so strongly on achieving profit that little attention was given to how the profit was earned. Now that the support of stakeholders is recognized as critical to success, an important second objective of the book is to provide an understanding of how to create a corporate *culture of integrity*—one that builds stakeholders' ethical expectations into corporate behavior, accountability, and governance. Extending this discussion to the new era for professional accountants and reviewing their potential roles is a third objective.

Directors, executives, and accountants need to understand how to make ethical decisions that they can defend to stakeholders. Codes of conduct cannot cover all situations, so organizational cultures need to be developed, and decision processes utilized that are based on sound ethical decision-making frameworks. *Business and Professional Ethics for Directors, Executives & Accountants* covers these topics as well as the development of an *ethics risk management process*, strategies for dealing with and reporting to stakeholders, and strategies for ensuring ethical behavior in the workplace and during the management of crises.

In a nutshell, *Business and Professional Ethics for Directors, Executives & Accountants* examines the background and nature of the heightened stakeholder-accountability era of corporate and professional accountability and governance, and provides insights into the development of sound patterns of behavior on the part of directors, executives, and accountants. Successful management of ethical risks and the development of ethical competitive advantages depend upon the mastery of the subjects discussed. Professional accountants must understand the issues covered as a foundation for the fulfillment of their role as fiduciaries and experts in accountability and governance.

Applicability

Business and Professional Ethics for Directors, Executives & Accountants is intended as a sourcebook for directors, executives, and professional accountants on accountability and governance, on appropriate decision making and behavior, and on ethics risk management in the new era of heightened corporate accountability. Blending text, readings, and cases, it can be used as or for the following:

- A stand-alone book in courses in business and/or professional ethics and/or in governance.
- An adjunct to traditional strategy, governance, or accounting texts to provide access to interesting, real-world dilemmas. The material in the book has been used very successfully with MBA and Executive MBA students as well as graduate and undergraduate accounting and management students.
- Independent study.

The book has been organized into relatively freestanding chapters to facilitate easy use of those chapters and/or cases that best meet the needs of your course. For example, material in Chapter 2 could be used to introduce governance and provide a historical path to current thinking on reputational issues and stakeholder support. The history of ethics and governance scandals since 2001, which appears in Chapter 2, has been well used to start off MBA and Master's in Accounting programs, and Chapters 1 and 4 provide a fundamental platform for understanding current business ethics expectations and defensible approaches to ethical decision making for business students beginning their studies. Directors and executives or students wishing to focus on ethical issues relevant to organizations, such as developing: a culture of integrity, an ethical workplace, ethical risk and crisis management techniques, and avoiding ethical pitfalls such as conflicts of interests, could benefit from Chapters 2, 5, and 7, plus cases from other chapters. Chapter 6 is devoted to issues relevant to professional accountants and accounting students. A digital archive is also provided that covers the subprime lending crisis in depth and as well as the Enron fiasco, recommended readings, and cases from past editions of the book. Professional accounting students should be familiar with all chapters.

The coverage provided is largely North American in orientation. Examples, readings, and cases are drawn with that perspective in mind. Basic ethical problems and principles are the same throughout North America since they are shaped by the same concerns, markets, and similar institutional structures and legal strictures. Where points of difference are noteworthy, they are dealt with specifically.

Increasing globalization is also recognized by the inclusion of significant worldwide changes introduced by the International Federation of Accountants in their revisions of global standards for ethical behavior of professional accountants, such as their new NOCLAR and Independence standards. In addition, the reimagination of professional accounting that is underway in the United Kingdom and Canada is covered because both developments respond to common drivers of change, such as the globalization of capital markets and major frauds that are being experienced around the world. Several cases covering problems of large European companies and doing business abroad are included to provide a global perspective and an understanding of how different cultures call for somewhat different ethical behavior.

Because of the prominence of American capital markets for companies from around the world raising funds in the U.S. and the significant impact of the American practices of the Big Four professional accounting firms, North American governance frameworks for both business and professional accountants around the world serve as a benchmark for developments in other jurisdictions. In addition, domestic and foreign expectations for behavior are increasingly intertwined because the practices of multinational corporations or firms are increasingly scrutinized globally by stakeholders active in major consumer and capital markets and in regulatory arenas around the world.

Authors' Approach

To the greatest extent possible, *Business and Professional Ethics for Directors, Executives & Accountants* focuses on the development of a practical understanding of the ethical issues driving recent unethical events, the resulting development of emerging accountability and governance frameworks, and the practical skills required to deal with them effectively. Of necessity, this means providing a learning experience embedded with real-life cases and examples. At the same time, these real-life problems are interpreted through exposure to classic positions and articles that have had a lasting impact on business ethics in general and accounting ethics in particular. The authors' experiences as directors, executives, and professional accountants, plus substantial experience in the teaching of and consulting on business and accounting ethics, management control, and similar governance-related subjects, contribute significantly to the development of the issues and discussions offered.

Organization of the Book & Digital Resources Website

The book is arranged into seven chapters that include 160 cases, of which 36 are new to this edition, as well as six readings and appendices. Additional cases, appendices, readings, and material on the Enron fiasco are available with your Cengage Unlimited subscription at **www.cengage.com**.

		Cases (New)	Readings & Appendices
Chapter 1	Ethics Expectations	23 (4)	1
Chapter 2	Ethics & Governance Scandals	12 (2)	
Chapter 3	Ethical Behavior—Philosophers' Contributions	7 (1)	
Chapter 4	Practical Ethical Decision Making	8 (2)	
Chapter 5	Corporate Ethical Governance & Accountability	39 (7)	1
Chapter 6	Professional Accounting in the Public Interest	48 (12)	
Chapter 7	Managing Ethics Risks & Opportunities	23 (8)	4
		160 (36)	6

- Chapter 1 provides an overview of the book as it deals with the origins of concerns traditionally felt by a range of stakeholder groups and how these concerns have produced a broadened and heightened stakeholder-oriented accountability expectation.
- Chapter 2 provides a historical perspective on the ethics and governance scandals that stimulated changes in ethics expectations for accountability and governance reform, and how these changes have been crystallized in law or generally accepted standards of performance. Both chapters provide a useful foundation for the rest of the book.
- Chapter 3 covers important contributions by several philosophers to provide a background from which to reason ethically.
- Chapter 4 presents several practical approaches to ethical decision making—the core of ethical behavior—that facilitate the development of strategy as well as day-to-day decisions business people must face.
- Chapter 5 covers those issues, expectations, and ethical culture-promoting systems that directors and executives should understand in order to discharge their duties successfully in the modern era.
- Chapter 6 deals with the roles and functions of professional accountants in the new accountability system for corporations, as agents of ethical accountability, as experts in the development of ethical accountability and governance mechanisms, and as professionals who should be demonstrating professional skepticism and compliance with the *IEBSA International Code of Ethics for Professional Accountants* that includes NOCLAR and independence rules that will fundamentally change the role of professional accountants worldwide. A set of five new cases has been included that are designed to stimulate the development of professional skepticism. Chapters 5 and 6 both cover the identification, assessment, and management of *conflicts of interest* and other key elements of a modern ethics-oriented governance system.
- The final chapter deals with a set of extremely important issues that directors, executives, and professional accountants need to understand and develop a facility with in order to avoid serious pitfalls and to take unique opportunities that others will miss. Chapter 7 deals with the supercritical areas of ethics risk and opportunity management, effective stakeholder management, sustainability and corporate social responsibility performance and reporting, workplace ethics, whistleblower programs and ethics inquiry services, motivation and avoidance of fraud and white-collar crime, bribery and the challenges of international operations including cultural networking practices such as *guanxi*, and ethical crisis management. A set of four cases has been included that are designed to enhance the understanding of significant DEI problems for professional accountants.

Each chapter presents an interesting selection of cases and a useful list of references. The combination of text, 160 cases, six readings, and appendices provides a much richer learning experience than books that present just cases, or text plus a limited number of cases and seminal readings. 22.5% of the cases are new, featuring current issues or developments.

In addition, numerous references are made in the margin where a website link/reference or a downloadable file is available on the *Business and Professional Ethics for Directors, Executives & Accountants* (*BPE*) Digital Resources website at **www.cengage.com**. This website is updated continuously with new information, notes, and website links of interest. The BPE

Digital Resources website also houses cases and relevant chapter material from earlier editions to provide a resource for students and instructors, including the following:

- Cases deleted from past editions (see list in the Table of Contents on page xiv)
- *Chapter 8: Subprime Lending Fiasco – Ethics Issues* from the ninth edition
- *Chapter 9: The Credibility Crisis: Enron, WorldCom, & SOX* from the sixth edition.
- Readings:
  - The Liability Crisis in the United States: Impact on the Accounting Profession—A Statement of Position
  - A Lawyer's Perspective on an Accountant's Professional Obligations
- Additional References and Seminal Reports

Improvements to the Tenth Edition

Building on the strong foundation developed in the earlier nine editions, this new edition has been thoroughly updated. Major improvements include the following:

- Revised learning objectives are featured at the beginning of each chapter.
- Chapter 1, "Ethics Expectations," has been updated to reflect the revisions made to the other chapters of the textbook including discussions about risk identification, the social license to do business, social investing, AI ethics, questionable marketing of talcum-based baby powder and the related bankruptcy practice of Johnson & Johnson (i.e. the Texas Two-Step), NOCLAR rule adoption developments and recent key business scandals.
- Chapter 2, "Ethics & Governance Scandals," has been updated to provide a timeline, analysis, and summary of the significant ethics and governance scandals, events, and responses. Several new cases and descriptions have been included related to the problems of Boeing, the Opioid Fiasco, the Crypto King, the Talc Disaster, the Theranos Fraud, and the FTX Bankruptcy. Cases and an expanded description have also been added related to the subprime lending fiasco discussion while the full chapter on the subject has been moved to the digital archive for the book.
- Chapter 3, "Ethical Behavior—Philosophers' Contributions," has been updated with the addition of a case on opportunistic pricing of hand sanitizers during the COVID pandemic. Three vignettes have also been added on economic self-interest, selling drugs at cost, and virtues expectations.
- Chapter 4, "Practical Ethical Decision Making," has been updated to introduce the concept of double materiality for sustainability issues. A new case has been added that focuses attention on important objectives, and new vignettes have been added on ethics vs. profits, trade-offs between stakeholders, and the nature and power of reputation. A new illustrative application has been inserted on actions taken to protect the future rights of a corporation at the expense of the environment.
- In Chapter 5, "Corporate Ethical Governance & Accountability," updates include new information on expectations for directors, compelling evidence supporting the value of an ethical corporate culture, corporate codes, and ethical leadership. Seven new cases have been introduced that cover: The Opioid Crisis, Elon Musk's Tesla Pay Package, Boeing's quality culture problem, and Rogers Governance Power Play. Three new vignettes have also been added.

- Chapter 6, "Professional Accounting in the Public Interest," has been revised to update the discussion of the NOCLAR rules and their adoption in the U.S., but not in Canada, and a new discussion of professional skepticism has been introduced with five new cases on the topic. Seven other new cases have been introduced (for a total of 12) that cover tax practice scandals, loopholes and shelters, cheating on professional exams, fraudulently manipulated reports (i.e., Wirecard), and the use of competitive intelligence by professional accountants.
- Chapter 7, "Managing Ethics Risk & Opportunities," has been revised to include enhanced discussions of enterprise risk management, ethics risks and opportunities, stakeholder accountability (i.e. GRI Reporting, Sustainability Accounting Standards, Social Responsibility (ISO 26000)), antibribery regimes and more rigorous enforcement regimes, whistleblowing, and integrating resilience programs into crisis management programs. New cases include the Hockey Canada Sex Scandal, firing employees online, bribery by a major mining company, and difficulties with pharmaceutical patents in South Africa. A new vignette describes the bribery of university admission personnel. And five new cases have been added from the EDI Case Collection of the Professional Accounting Centre of the University of Toronto.
- In total, 36 new cases and 13 new vignettes have been added to this edition, including the following:

Chapter	Case/*Vignette* Title
1	AI Due Diligence & Responsibility
	Shein Fast Fashion
	The Travails of Valeant Pharmaceutical
	J & J Dances the Texas Two-Step (i.e., The Talc Disaster)
	Social License to Do Business—First Quantum in Panama
	Ellen DeGeneres: The Ethical & Financial Implications of a Brand in Crisis
2	Theranos—A Classic "Fake It Until You Make It" Fraud
	The FTX Bankruptcy Scandal: Governance & Ethical Failures Lead to Financial Catastrophe
	A Subprime Mortgage-Backed Security Debacle
3	Matt Colvin Buys Hand Sanitizers
	Failure of Economic Self-Interest—DWS
	Profit Isn't Everything—Pfizer Sells Drugs at Cost
4	Illustrative Applications: Ghost Flights—Are They Profitable, Legal & Ethical?
	Valparaiso University Sells Artistic Assets
	Kanye West and Adidas—When Ethics Were More Important Than Profits
	How Does a Manager Decide Which Stakeholder Deserves Attention?
	The Power of a Michelin Star
5	Boeing's Culture Change Brings Disaster
	TD Bank Fined for Anti-Money Laundering Governance Failure
	Rogers Communication Inc.—Was a Governance Powerplay Fair?
	The Opioid Crisis: The Triumph of Greed

The Archegos Scandal—A Cautionary Tale of Fraud & Fog

Shopify and Breitbart—Should an Online Retail Platform Sell Someone's Hate Literature?

Elon Musk's 10-year Tesla Pay Package—Is $47–55 Billion Enough or Outrageous?

Patagonia—The Environment Moves from Stakeholder to Shareholder

Ethics Does Not Have a Dollar Value

Poor Corporate Governance—Steve Easterbrook at McDonald's

6 The Wirecard Fraud

U.S. Regulators Catch Big Four Cheating & Stealing

PwC Australia Tax Scandal

The Competitive Intelligence Unit at Deloitte

Prof Skepticism cases:

- Dig a Little Deeper—Exercising Professional Skepticism Rebudget Prices
- Joly Dogs—Operational Profit Manipulation
- Monsanto's Roundup Incentive Program—Lack of Professional Skepticism Is Costly
- The Risk of a High-Risk Client—Governance & Audit Failures on a High-Risk Client
- Too Good to be True—Professional Skepticism Leads to Understanding Performance & Risk

Swiss Tax Shelters—Part I—UBS

Swiss Tax Shelters—Part II—Bradley Birkenfeld

Wal-Mart's Real Estate Tax Loophole

7 The Hockey Canada Sex Scandal

Vishal Garg Fires 900 Employees Over Zoom

Glencore Mining Bribery Saga

Pharmaceutical Companies in South Africa

DEI Cases in Accounting

- Business Imperative Linked to Diversity, Equity & Inclusion
- Unconscious Bias
- Diversity, Equity & Inclusion Metrics
- Religious Diversity

University Admissions Bribery—Operation Varsity Blues

Jail & a German Subcontractor (names are fictitious)

Importantly, the *BPE* website, **www.cengage.com**, is constantly expanding to include helpful references such as video clips of major events and brief summaries of key books on ethical matters.

As noted above, a *BPE Digital Resources website* has been created at **www.cengage.com** to provide access to readings and references identified in the margin of the book, as well as cases and chapter material from past editions.

In addition, the *BPE Instructor's Manual*, which is available online, has been augmented to provide sample examinations and the discussion of successful, innovative usage of the book by satisfied instructors. PowerPoints are available for instructors through *the BPE Instructor's Manual* website.

Acknowledgments

By Len Brooks

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To my mother and my father, who was a CA, CGA, CMA, and CPA, I owe my understanding of values and my interest in pursuing them.

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By Paul Dunn

To my colleagues who constantly help me explore the numerous aspects of business ethics.

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To my three children and their partners and my six grandchildren, who have encouraged me to explore alternative approaches and analyses to life.

Finally, to my wife, Kathy, for her constant love and support.

The End of the Beginning

Amid the tragedy created by many scandals, both large and small, a silver lining has emerged: the acceleration and crystallization of stakeholder-oriented accountability and ethical governance frameworks for corporations, new tipping points for sexual abuse in the workplace and for international cooperation on enforcement with regard to financial crimes, and a reimagining of professional accounting with an increased focus on serving the public interest. Awareness of these developments and what they require to generate and maintain stakeholder support provides the foundation for the roles, responsibilities, and future success of directors, executives, and professional accountants. We have entered an era wherein appropriate values upheld and applied hold the key to ethical behavior, reputation, and sustained success. *Business and Professional Ethics for Directors, Executives & Accountants* provides an orderly development of the issues and skills involved and the understanding necessary to use them effectively—hopefully for the benefit of the business community, the accounting profession, and society as a whole.

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Overview of the Book

The disasters at Enron, Arthur Andersen, and WorldCom and the subprime lending crisis fundamentally changed expectations for the behavior of directors, executives, and professional accountants. Good risk management practices must now incorporate ethics risk management, accountability, and governance practices that ensure that the reputations of individuals, corporations, and firms are protected and that the support of stakeholders is strong enough to facilitate success. Leaving the development of ethical boundaries to trial and error—risking bad practice—is no longer acceptable.

Corporations and business professionals are part of the post-SOX era of broadened stakeholder-oriented accountability and governance. Directors, executives, and professional accountants now realize that this necessitates considering the impacts and risks of their decisions on their reputations and on the public interest—certainly on more than the traditional short-term set of shareholder interests. Some businesspeople and professionals will want to go beyond developing a good defensive accountability and governance system to develop a competitive advantage where customers, employees, and others will be attracted by distinctly higher levels of trust based on commonly respected values such as honesty, fairness, compassion, integrity, predictability, and responsibility.

Unless directors, executives, and professional accountants develop effective accountability, governance, and risk management processes that incorporate ethics,

- directors will be unable to fulfil their due diligence requirements,
- executives will be unable to develop sound competitive business models and protect their emerging legal liability,
- professional accountants will be unable to fulfill their role as fiduciaries and as leaders in the development of the accountability and governance system, and
- corporations and the accounting profession as we know it will be further discredited and regulated.

Business and Professional Ethics for Directors, Executives & Accountants provides an understanding of why ethics has become a critical success factor, the nature and importance of key financial failures and legislative changes, how ethical behavior can be guided, how ethical decision making can be improved and made defensible, and how directors, executives and accountants can deal with the special problems that occur in an ever-changing business environment.

1

Ethics Expectations

Purpose of the Chapter

Business and the professions function within a framework created by the expectations of the public. Scandals have traditionally triggered a "sea change" of new expectations for business governance and the accounting profession around the world. Enron, WorldCom, Arthur Andersen, the subprime lending fiasco, the Madoff Ponzi scheme, huge bribery prosecutions of Daimler and Siemens, manipulation of interest rates by major banks, the flouting of laws by Deutsche Bank and money-laundering regulations by Danske Bank, shocking disregard for fairness and safety, the violation of environmental protection laws, the rise of diversity equity and inclusivity issues, and spate of cryptocurrency fiascos have reinforced the need for new standards and have pushed expectations to even higher levels. Not surprisingly, the newest behavioral expectations are based on an acceleration of business and professional ethics trends that have been long in the making. As a result, business and professional ethics have become key determinants of corporate and personal success and the focal points of research and corporate change.

This chapter explores the changes that the ethics trends have brought to the expectations framework as well as the developments that have arisen in response to those changes. It considers what the changes in expectations mean for the directors, executives, and professional accountants. As such, this chapter provides an introduction and overview of the book. Wherever possible, this book takes a historical perspective because unless businesspeople understand the genesis of current expectations, they are likely to repeat the unfortunate errors of earlier executives and directors.

Reading this chapter will help you be able to:

- Describe current ethics expectations
- Explain why current ethics expectations have developed
- Explain the importance of accountability to stakeholders
- Describe how current ethics expectations may affect business governance, planning, decision making, behavior, performance, and reporting
- Describe how current ethics expectations may affect professional accounting standards, practices, and service in the public interest
- Describe how current ethics expectations may affect personal behavior
- Apply the concepts in this chapter to think critically about real-world and illustrative cases

The Ethics Environment for Business: The Battle for Credibility, Reputation & Competitive Advantage

During the last thirty-five years, there has been an increasing expectation that business exists to serve the needs of both shareholders and society. Many people have a "stake" or interest in a business, its activities, and its impacts. If the interests of these stakeholders are not respected, then action that is often painful to shareholders, officers, and directors usually occurs. In fact, it is unlikely that businesses or professions can achieve their long-run strategic objectives without the support of key stakeholders, such as shareholders, employees, customers, creditors, suppliers, governments, host communities, and activists.

The support for a business—and business in general—depends on the credibility that stakeholders place in corporate commitments, the company's reputation, and the strength of its competitive advantage. All of these depend on the trust that stakeholders place in a company's activities. Trust, in turn, depends on the values underlying corporate activities.

Stakeholders increasingly expect that a company's activities will respect their values and interests. To a large extent, this respect for stakeholder values and interests determines a corporation's ethical standing and success. Consequently, corporate directors are expected to govern their company ethically, meaning they are to ensure that their executives, employees, and agents act ethically. Moreover, the corporation is increasingly expected to be accountable to stakeholders in a transparent or ethical manner. Performance assessment now extends beyond what is achieved to encompass how ethically those results were achieved.

As a result, the governance and accountability regime for business and the professions has become far more concerned with stakeholder interests and ethical matters than in the past. Directors, executives, and professional accountants, who serve the often-conflicting interests of shareholders directly and the public indirectly, must be aware of the public's new expectations for business and other similar organizations and must manage their risks accordingly. More than just to serve intellectual curiosity, this awareness must be combined with traditional values and incorporated into a framework for ethical decision making and action. Otherwise, as was the case with the Enron, Carillion, Deutsche Bank, Wells Fargo, and subprime lending debacles, the credibility, reputation, and competitive advantage of capital markets and the organization, the management, the professional, and the profession will suffer. What has produced this change in public expectations for business governance, behavior, and accountability? Several factors appear to share causal responsibility, as indicated in Table 1.1.

Environmental Concerns

Nothing galvanized early public opinion about the nature of good corporate behavior more than the realization that the public's physical well-being and the well-being of some workers were being threatened by corporate activity. Initially, concern about air pollution centered on smokestack and exhaust pipe smog, which caused respiratory irritation and disorders. These problems were, however, relatively localized so that when the neighboring population became sufficiently irate, local politicians were able and generally willing to draft controlling regulations, although effective enforcement was by no means ensured.

Two other problems associated with air pollution that were slower to be recognized were acid rain, which neutered lakes and defoliated trees, and the dissipation of the earth's ozone layer. In the first case, the sulfur in exhaust gases combined with rain and fell to the ground far away from the source, often in other legal jurisdictions. Consequently, the reaction by politicians in the source jurisdiction was predictably slow, and many arguments were raised about who was responsible and whether the damage was real or not. Ultimately, however, the level of awareness of the problem became sufficiently widespread to support international treaties and more stringent local regulations.

Table 1.1 Factors Affecting Public Expectations for Business Behavior

Unbridled greed	Subprime lending fiasco, CEO over-compensation, price gouging
Physical	Quality of air and water, safety
Moral	Desire for fairness and equity at home and abroad, sexual abuse
Bad judgments	Operating mistakes, executive compensation, cover-up of failed environmental engineering, unethical incentive schemes
Activist stakeholders	Ethical investors, consumers, environmentalists, #MeToo movement
Environmental reality	Environmental degeneration, need for sustainability
Economic	Weakness, pressure to survive, to falsify
Competition	Global pressures, substandard environmental engineering
Financial misconduct	Numerous scandals, victims, greed
Governance failures	Recognition that good governance & ethics risk assessment matter
Accountability	Desire for transparency, corporate social responsibility, sustainability (GRI)
Synergy	Publicity, successful changes, rise of ethical investing
New technology	AI, cryptocurrency, block chain, autonomous vehicles
Institutional reinforcement and recognition	New laws–environment, whistleblowing, recalls, *U.S. Sentencing Guidelines* OECD anti-bribery regime, anti-bribery laws, *Sarbanes-Oxley Act* (SOX) reforms, *Dodd-Frank Wall Street Reform and Consumer Protection Act, mandatory risk management, Business Roundtable Statement*
	Prof. accounting reform, globalization of standards (IFAC, IFRS), NOCLAR rules
	New worldwide enforcement regime–anti–bribery, money laundering

The dissipation of the earth's ozone layer and its role in global warming is recognized as a serious threat to our physical well-being. The release into the atmosphere of chlorofluorocarbon (CFC), once the most common residential and industrial refrigerant, allows CFC molecules to use up molecules of ozone. At the same time, cutting down rainforests in Brazil, a main source for replenishing ozone, has contributed further to the depletion of the ozone layer around our planet. This layer is our major barrier from the sun's ultraviolet rays, which cause skin cancer and damage our eyes.

The timing of the recognition of water pollution as a problem worthy of action has paralleled the concern about our depleted ozone layer, partly because of our limited ability to measure minute concentrations of toxins and our inability to understand the precise nature of the risk of waterborne metals and dioxins. Corporations asserted that they did not have the technical solutions to the elimination of air and water pollution at reasonable cost and therefore could not do so and remain competitive. However, once the short- and long-term threats to personal safety were understood, the public, led by special interest groups, began to pressure companies as well as governments directly to improve safety standards for corporate emissions.

Government reaction, often prompted by disasters, has been significant at all levels. Locally, no-smoking regulations were enacted and local ordinances tightened. Environmental regulation has been the subject of international treaties. Environmental protection acts in the United States and Canada have been put in place that feature significant fines of up to $1 million to $2 million per day for a corporation convicted of environmental malfeasance. In addition, personal fines and/or jail terms for officers and directors have focused the attention of executives on programs to ensure compliance with environmental standards. Nothing energized executives in the United States and Canada more than the statement of a judge in regard to the promulgation of the *U.S. Sentencing Guidelines* on November 1, 1991. He said that the "demonstrated presence of an effective program of environmental protection would constitute an adequate 'due diligence' defense which could reduce the level of fine from $2 million/day to $50,000/day." Although this reaction may be viewed as defensive, the "due diligence" movement should be viewed as the *codification phase* of the movement toward corporate environmental responsibility.

More recently, the growing concern for local and global environmental sustainability has led to competitive and activist pressures for companies to report publicly on their environmental impacts using sustainability frameworks such as the Global Reporting Initiative's GRI Standards. In addition,[1] the huge fines, lawsuit settlements, and loss of reputation and the support of the public by offending companies such as BP for its oil spill and Volkswagen for cheating on emission standards have reinforced the need for other companies to take preventive action rather than pay an astronomical price for environmental negligence.

Corporations and governments must respond to the necessity for environmental action. The United Nations released a series of reports that *document an acceleration in environmental degradation and advocate the need for a 45% cut in emissions by 2030*.[2] Past inaction has come at a high cost, and continued inaction on environmental protection is unconscionable. As a teenager, Greta Thunberg scolded world leaders for their perceived inaction on the climate crisis at the 2019 UN Climate Action Summit by exclaiming, "How dare you! You have stolen my dreams and my childhood with your empty words." Children, parents, executives, governments, and central banks are taking note, and the movement on environmental matters will become significantly more rapid. Large corporations and investors are reducing their investment in the carbon economy and shifting their interests into more environmentally neutral investments.

Moral Sensitivity

Beginning in the 1980s and 1990s, there was a significant increase in the sensitivity to the lack of fairness and to discrepancies in equitable treatment normally afforded to individuals and groups in society. Increased recognition of the plight of several groups was responsible for this heightened social conscience, including specific concerns related to the feminist movement as well as issues facing individuals with physical or mental disabilities, Native Americans, and other marginalized groups. To some degree, the public was prepared to entertain the concerns of these groups because unfortunate events had brought the realization that some special interest groups were worth listening to, as environmentalists, consumer advocates, and antiapartheid supporters had shown. Also, for most of the period from 1960 onward, disposable incomes and leisure time were sufficiently high to allow members of the public to focus on issues beyond earning their livelihood. In addition, as a result of advances in satellite communications that allow virtually "live" coverage of worldwide problems, the thinking of the North American public has become less internally-directed and parochial and more sensitive to problems featured by wide-ranging investigative reporters.

Evidence of public pressure for more fairness and equity is readily available. The desire for equity in employment has resulted in laws, regulations, compliance conditions in contracts, and affirmative action programs in corporations. Pay equity programs have begun to

[1] See the Global Reporting Initiative's website at https://www.globalreporting.org.
[2] See United Nations, *The Report of the Secretary-General on the 2019 Climate Action Summit and the Way Forward in 2020*, December 11, 2019, accessed December 13, 2019, at https://www.un.org/en/climatechange/reports.shtml.

appear to readjust the discrepancy between the pay scales for men and women. Consumer protection legislation has tightened to the point that the old philosophy of "buyer beware," which tended to protect the large corporation, has become "vendor beware," which favors the individual consumer. Employee drug tests are more carefully handled to minimize the prospect of false findings. All of these are examples in which public pressure has brought about institutional changes through legislatures or courts for more fairness and equity and less discrimination, constitute an unmistakable and irreversible trend.

Moral sensitivity is evident in international issues as well as domestic ones. The campaign to boycott buying from corporations that engage in child or sweatshop labor in foreign countries provides ample testimony to this and has resulted in the creation of codes of ethical practice for suppliers and compliance mechanisms to ensure they are followed. Organizations such as Social Accountability International and AccountAbility have developed workplace policies, standards, workplace auditor training programs, and reporting frameworks.

The most significant recent change in moral sensitivity has been the recognition by the general public and corporate community of the seriousness of sexual violence and abuse against women in the workplace. The #MeToo movement has finally been able to bring to justice several serial predators, such as Harvey Weinstein, Bill Cosby, and Roger Ailes. As well, major corporations, such as McDonald's, have fired senior officials even for so-called consensual relationships with persons reporting to them. The ensuing shock waves have activated the public and in turn governance measures to prevent what has been pretty much an unchecked exploitation of women. The legal sentences of up to ten years in jail for the eighty-year-old Bill Cosby and the settlements paid to the high-profile victims of up to $20 million each are staggering. The movie *Bombshell* further reinforces the stigma associated with this exploitation and will surely keep penalties high in the future.

Bad Judgments & Activist Stakeholders

Directors, executives, and managers are human, and they make mistakes. Sometimes the public or specific groups take offense at these instances of bad judgment and take action to make the directors and management aware that they do not approve. For example, Wells Fargo instituted an unethical incentive scheme for retail bank employees to create new accounts without customer approval and then scandalously fired 5,000 workers who couldn't meet quotas. It resulted in the loss of many, many customers, including the State of California. There is also the 2015 Volkswagen decision to cheat on emissions tests and then cover it up, stirring the anger of many consumers and environmentalists and resulting in the loss of many new and returning customers with a resulting dramatic fall in share price. In earlier times, the decision by Shell UK to scuttle the Brent Spar oil storage vessel in a deep part of the ocean rather than take it apart onshore led to demonstrations in support of Greenpeace, which tried to stop the scuttling, and to the boycott of Shell gas stations in Europe. Nestlé products were boycotted in North America and Europe to stop the free distribution of baby formula powder to African mothers who were mixing it with contaminated water, thereby killing their babies. Nike and other companies' products were boycotted through the efforts of concerned individuals and groups to stop the use of sweatshop and child labor, particularly in foreign countries. The recall of Firestone tires was ignited by the media, beginning with a television show in Houston, Texas. North American corporations were extravagantly overpaying their executives—including several above $100 million per annum—or not reducing executive pay when profits declined, so CalPERS, the California Public Employees' Pension Fund, called for the establishment of compensation committees consisting of a majority of independent directors. Activist stakeholders were clearly able to make a difference—which most people thought was for the best.

Two other kinds of activists also made their appearance in the late 1980s and early 1990s: ethical consumers and ethical investors. Ethical consumers were interested in buying products and services that were made in ethically acceptable manners. Consequently, books such as *Shopping for a Better World*, *The Ethical Shopper's Guide to Canadian Supermarket Products*, and *Conscious Consumption* were published in the United States, Canada, and the United Kingdom. They provided ratings of companies, their affiliates, and their suppliers on different performance dimensions, such as hiring and treatment of women, environmental management and performance, charity, progressive staff policies, labor relations, consumer relations, and candor in answering questions. Ethical consumers were then able to "vote with their checkbooks."

Ethical investors took the view that their investments should not only make a reasonable return but should do so in an ethical manner as well. Originally pioneered by large pension funds such as CalPERS and the New York City Employees' Pension Fund, as well as several church investment funds, the movement has been augmented since the early 1990s by several ethical mutual funds. These ethical mutual funds employ screens that are intended to knock out companies from consideration that are involved in so-called harmful activities—such as producing tobacco products, armaments, or atomic energy or misusing animals for testing. Alternatively, individuals or mutual funds can invest in companies or in indices of companies that have been screened by an ethical consulting service such as Morgan Stanley Capital International (MSCI) (http://www.msci.com/esg-integration). MSCI, for example, provides several indices of companies ranked high in sustainability, social responsibility, or environmental performance. A similar index, the Sustainalytics (http://www.sustainalytics.com) Jantzi Social Index (JSI), is available for the top sixty Canadian stocks as well as screening ESG (environmental, social, and governance) factors for Canadian, U.S., and European stocks. In addition, the FTSE4Good Index (http://www.ftse.com/products/indices/FTSE4Good) has been created for companies listed on the London Stock Exchange. The performance of these indices compares very well to those of nonscreened stocks in each country.[3] A current list of ethical mutual funds and an update on socially responsible investing (SRI) can be found at the websites of the Forum for Sustainable and Responsible Investment (http://charts.ussif.org/mfpc) in the United States and the Responsible Investment Association in Canada (http://riacanada.ca). Many consultants offer screening services to investors on a fee-for-service basis.

The entire field of ethically screened investing has grown dramatically. As of 2024, global assets in ESG-focused ETFs have grown to over $500 billion, a more than fivefold increase from 2018, with North America representing the largest regional share.[4] While flows moderated in 2023 and 2024 amid political pushback and performance scrutiny, ESG ETFs continue to attract long-term investors, especially those concerned with climate risk, human rights, and corporate accountability. In the U.S., BlackRock, Vanguard, and State Street offer dozens of ESG ETF variants tracking everything from low-carbon companies to gender diversity leaders.

Notably, the iShares ESG Aware MSCI USA ETF (ESGU) and SPDR S&P 500 ESG ETF (EFIV) remain two of the largest ESG funds by assets, managing over $20 billion collectively. Thematic ETFs—focusing on clean energy, ethical AI, or social justice—are also gaining traction, although they tend to be more volatile and sector-concentrated.

The interest in ethical performance is so high that many corporations buy reports on their own operations from organizations such as Sustainalytics to monitor their own performance and mitigate any concerns that may arise as part of their risk management process.

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[3] See, for example, the commentary on Performance & SRI at https://www.ussif.org/performance.

[4] Morningstar Manager Research. (2024, October 29). *Global Sustainable Fund Flows*: Q3 2024 in Review. Morningstar. Retrieved from https://www.morningstar.com/lp/global-esg-flowsMorningstar.

These developments signal that business decisions are being judged against different standards than before, by groups that have billions of dollars at their disposal. For additional information, contact the Weinberg Centre, which succeeded the Investor Responsibility Research Centre at https://weinberg.udel.edu/irrci-and-the-center/ and similar websites.

Economic & Competitive Pressures

Although the public's expectations have been affected directly by the factors already discussed, a number of underlying or secondary factors are also at work. For example, in general, the pace of economic activity slowed during the late 1980s and early 1990s and just before and after the millennium. Corporations and the individuals in them had to wrestle with "no growth," or shrinking volume scenarios, instead of the expansion that had been the norm. In the 1990s, growing pressure from global competitors and the drive for improved, costly technology shrank profit margins. Absence of growth and shrinking margins led to downsizing to maintain overall profitability and desirability to capital markets. Whether to maintain their jobs, volume-incentive-based earnings, or their company, some people resorted to questionable ethical practices, including falsification of transactions and other records, and the exploitation of the environment or workers. The result has been part of the reason for triggering cases of environmental and/or financial malfeasance with significant costs to reputation and finances.

The development of global markets has led to the manufacture and sourcing of products throughout the world. The accompanying restructuring has been viewed as enabling greater productivity and lower costs with lower rates of domestic employment. Therefore, the pressure on employed individuals to maintain their jobs may not abate as production increases. Nor, given greater competition, will greater volume necessarily increase profit, so the pressure on corporations will not abate to levels experienced in the past. In addition, corporations will be unable to rely on a cyclical return to profitability to restore the risk of unethical behavior to former levels. Consequently, to counteract growing workplace pressures, companies have increasingly instituted better governance mechanisms, including improved ethical behavior guidance and better management of ethics risks, particularly when developing incentive schemes.

Financial Scandals: The Expectations Gap & the Credibility Gap

There is no doubt that the public has been surprised, stunned, dismayed, and devastated by financial fiascos. The list of classic examples would include Enron, WorldCom, Adelphia, Tyco, HealthSouth, Parmalat, Royal Ahold, Barings Bank, Livent, Bre-X, Madoff, Carillion, Sino-Forest, Deutsche Bank, the Opioid crisis, Boeing fiasco, TD Bank AML, Wirecard, the U.S. subprime lending disaster, and the collusion and manipulation of financial markets by major banks as well as the slightly older U.S. savings and loan (S&L) bankruptcies and bailouts, and the bankruptcies of several real estate companies.

As a result of these repeated shocks, the public has become cynical about the financial integrity of corporations, so much so that the term *expectations gap* has been coined to describe the difference between what the public thinks it is getting in audited financial statements and what it is actually getting. The public outrage over repeated financial fiascos has led, in the United States, Canada, and worldwide, to tighter regulation, higher fines, and investigations into the integrity, independence, and role of the accounting and auditing profession and, more recently, of executives and directors.

On a broader basis, continuing financial malfeasance has led to a *crisis of confidence* over corporate reporting and governance. This lack of credibility has spread from financial stewardship to encompass other spheres of corporate activity and has become known as the *credibility gap*. Audit committees and ethics committees, both peopled by a majority of outside directors; the widespread creation of corporate codes of conduct; the increase of corporate reporting designed to promote the integrity of the corporation; and increasing fines and regulation all testify to the importance being assigned to this crisis.

No longer is it presumed that "whatever company 'X'[5] does is in the best interests of the country." Fiascos related to the environment or to dealings with employees, customers, shareholders, or creditors have put the onus on corporations to manage their affairs more ethically and to demonstrate that they have done so.

Devastated by the sequence of U.S. disasters in 2001 and 2002 involving Enron, Arthur Andersen, and WorldCom, public confidence evaporated in the business community, its financial reporting, and the accounting profession. In the ensuing crisis of confidence, capital markets were reeling. President George W. Bush and other business leaders strove to restore lost confidence, but their efforts were largely in vain. Finally, in record time, the U.S. Congress and Senate passed the *Sarbanes-Oxley Act of 2002* (SOX) on July 30, 2002. That act ignited reform of both corporate governance and the accounting profession, first in the United States, then indirectly in Canada and around the world. Further details are provided in the next chapter and in the Web archive for this book at **www.cengage.com**.

It is noteworthy that a second wave of reform for corporate governance and the accounting profession came to a head in 2017–2019. The pressure, caused by numerous ill-advised actions, for corporations to embrace broader objectives inclusive of stakeholder interests reached a significant tipping point. In addition, several scandals, such as Sino-Forest and Carillion, as well as the potential adoption of big data and data analysis techniques, called for a reimagining of professional accounting.

Governance Failures & Risk Assessment

The Enron, Arthur Andersen, and WorldCom series of disasters in 2001–2002 made it clear that current existing modes governing companies and reporting on their activities were not sufficient to protect investors' interests and, more broadly, the public interest in orderly markets and corporate activities.

Corporate directors are expected to ensure that their corporations act in the interests of investors and within the range of activity deemed suitable by the societies in which they operate. But in the Enron, WorldCom, and other cases, the oversight by company directors failed to contain the greed of executives, managers, and other employees. These and other companies were out of control, and unacceptable practices resulted. To quote the U.S. Senate's report on the *Role of the Board of Directors in the Collapse of Enron*:

> (1) **Fiduciary Failure.** The Enron Board of Directors failed to safeguard Enron shareholders and contributed to the collapse of the seventh largest public company in the United States, by allowing Enron to engage in high-risk accounting, inappropriate conflict of interest transactions, extensive undisclosed off-the-books activities, and excessive executive compensation. The Board witnessed numerous indications of questionable practices by Enron management over several years, but chose to ignore them to the detriment of Enron shareholders, employees, and business associates.
>
> Source: U.S. Senate's Permanent Subcommittee on Investigations, *Role of the Board of Directors in the Collapse of Enron*, 2002, 3

[5] "Whatever is good for General Motors is good for the country" was a commonly used statement before 2000.

Clearly, the public was fed up with directors, executives, and others enriching themselves at the public's expense. It was evident that directors and executives were not identifying, assessing, and managing ethics risks in the same manner or depth that they were for other business risks. However, the Enron, Arthur Andersen, and WorldCom cases resulted in the bankruptcy of two of the world's largest companies and the disappearance of one of the world's most respected professional accounting firms within a year. This sudden reversal of fortunes, caused by the failure to govern ethics risks, changed the calculus of risk management profoundly. The probability of catastrophic failure caused by unidentified and/or unmanaged ethics risks was undeniably real and much higher than anyone expected.

Governance reform was perceived as necessary to protect the public interest. Where directors had been expected to assess and make sure that the risks faced by their corporation were properly managed, specific ethics risks were now considered to be a key aspect of the process. Governance reform to ensure that this would happen was overdue.

Increased Accountability & Transparency Desired

The lack of trust in corporate processes and activities also spawned the desire for increased accountability and transparency on corporate matters by investors and particularly by other stakeholders. Companies around the world have responded by publishing more information on their websites and freestanding reports on their corporate social responsibility (CSR) performance, including such subjects as environmental, health and safety, philanthropic, and other social as well as governance impacts (ESG). Although some information in these reports is skewed toward management objectives, the advent of external verification and the reaction to misinformation are gradually improving the information content involved. The trend is definitely toward increased nonfinancial reporting to match the public's growing expectations, and several nonfinancial reporting frameworks, like the GRI, emerged.

In addition, the realization that *unbridled greed* by executives and/or dominant shareholders lay behind many of the financial scandals that damaged both investors and other stakeholders reinforced the desire for more accountability for and transparency of corporate actions. For example, the subprime lending fiasco (refer to Chapter 8, now in the Cengage digital archive) spawned the *Dodd-Frank Wall Street Reform and Consumer Protection Act*, which mandated clear disclosures of risks inherent in complex financial instruments, Similarly, examples of outrageous executive compensation and bonuses, even when companies were doing poorly, resulted in a vigorous backlash leading companies to offer shareholders more information on remuneration plans and an opportunity to have a nonbinding but helpful "say-on-pay" input to the pay-setting process. Likewise, companies like General Motors and investment banks that received bailouts during the subprime lending crisis found that incredibly large bonuses paid to senior personnel were subject to monitoring, approval, and rollbacks. Similarly, the sharp backlash received by executives of drug companies that hiked lifesaving drug prices by over 1,000% indicated that such actions to benefit shareholders were no longer defensible when that action disadvantaged other stakeholders. Contrary to the way executives are often portrayed in the movies, unbridled greed is no longer considered good.

Synergy among Factors & Institutional Reinforcement

Linkages among the factors affecting public expectations for ethical performance have already been identified but not the extent to which these linkages reinforce each other and add to the public's desire for action. Few days go by in which the daily newspapers, radio, television, and social media do not feature a financial fiasco, a product safety issue, an environmental problem, or an article on gender equity or discrimination. On occasion, public furor and expectations are jolted by the glaring revelation of a lack of personal and corporate integrity, such as in April 2016 when the Panama Papers leak of secret offshore arrangements occurred that documented tax avoidance, hidden wealth, the potential extent of money laundering, and significant potential corruption. In the aggregate, the result is a cumulative heightening of the public's awareness of the need for controls on unethical corporate behavior. In addition, there are many examples emerging where business executives did not make the right decision and where ethical consumers or investors acted and were successful in making companies change their practices or improve their governance structures to ensure that future decision processes were more wholesome. The entire ethical consumer and SRI movement has been strengthened by the knowledge that acting on their concerns can make companies and society better, not poorer.

In turn, the public's awareness impacts politicians who react by preparing new laws or the tightening of regulations. In effect, the many issues reaching the public's consciousness result in institutional reinforcement and codification in the laws of the land. The multiplicity of ethical problems receiving exposure is focusing thought on the need for more ethical action, much like a snowball gathering speed as it goes downhill.

One of the most important examples of reactive legislation is the *U.S. Sentencing Guidelines of 1991*. As previously noted, it stimulated significant interest by directors and executives everywhere in North America in whether their companies were providing enough guidance to their personnel about proper behavior. The consequences for not doing so prior to the introduction of the guidelines had been minor since directors and senior officers had rarely been held personally accountable for the actions of their employees and their companies had been able to escape significant fines.

A second example is the antibribery regime spawned by Transparency International's influence on the Organization for Economic Cooperation and Development (OECD). By 2024, forty-six countries including thirty-eight OECD members and eight non-OECD countries had signed the Convention on Combating Bribery of Foreign Public Officials in International Business Transactions[6] agreeing to enact antibribery legislation similar to that of the U.S. *Foreign Corrupt Practices Act* (FCPA), which bans bribery of foreign officials. The new antibribery regime is more advanced in that it seeks to facilitate extraterritorial legal action. One of the recent antibribery laws, the U.K. *Bribery Act* mandates British enforcement over a corporation's activities anywhere in the world as long as the company has a presence in the United Kingdom. Also, in 2010, the United States used the FCPA to charge and settle a bribery case for $185 million against Daimler AG, a German company, for bribes to foreign government officials in over twenty countries. A third and perhaps the most significant example of reactive legislation is SOX, which is driving the reform of corporate governance and professional accounting throughout the world. The rationale that generated SOX, its nature, and its impact are the subject of Chapter 2.

The desire for global standards of corporate disclosure, auditing practice, and uniform ethical behavior by professional accountants has generated international accounting and auditing standards under the auspices of the International Auditing and Assurance Standards Board (IAASB) and International Ethics Standards Board for Accountants (IESBA), two of the four standards-setting boards of the International Federation of Accountants (IFAC). Their creations, the International Financial Reporting Standards (IFRS) and the *International Code of Ethics for Professional Accountants*, are the focal points

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[6] OECD website at http://www.oecd.org/corruption/oecdantibriberyconvention.htm.

for harmonization worldwide. New NOCLAR rules approved in July 2017 that are discussed below will fundamentally change the role of professional accountants in the future.

Since 2005, there has also been an increasing degree of interest by business leaders worldwide in the *Principles for Business* put forward by the Caux Round Table as well as in Caux conferences and recommendations for ethical management practice. The Aspen Institute is a further example of an institution providing ethical leadership insights for corporate leaders. The willingness of corporate and academic leaders to become involved with such institutions is evidence of the interest and relevance of their work.

The 2019 public commitment of 181 of the 192 member CEOs of the U.S. Business Roundtable to their *Statement on the Purpose of a Corporation*[7] (discussed below) reflects the growing awareness that business must be done to benefit all stakeholders, not just shareholders.

More recently, several organizations including the Organization of Economic Cooperation & Development and the United Nations have issued broad behavioral guidelines for organizations on several topics. The *OECD Guidelines for Multinational Enterprises on Responsible Business Conduct*,[8] and the *United Nations Guiding Principles on Business and Human Rights*[9] are excellent examples.

The movement toward higher levels of corporate accountability and ethical performance is no longer characterized only by a few leaders who are willing to go out on a limb: it has become mainstream and international.

New Technology

Perhaps the most recent significant business and professional ethics area of concern involves the application of Artificial Intelligence (AI) to decisions that impact people, activities, resources, and future developments. The creators of the software install the algorithms that guide the AI decision-making processes. The concern is that the algorithms chosen are free of bias and reflect responsible values so that the interests of stakeholders are protected. If not, the decisions made regarding hiring, remunerating, sourcing, informing, safety, maintenance, sustainability, and so on will not be ethical and some stakeholders and their interests will be disadvantaged systematically. Computerizing decisions does not make them perfect, it simply builds in the faults of the programmers. Consequently, organizations must put in place governance mechanisms to ensure that bias and other faults are identified and eliminated, and that the appropriate values and techniques underpin the software decision algorithms at work.

Breakthroughs in Recognition 2020–2025

In the five-year period before 2025, events have occurred that have brought new appreciation for the importance of several factors identified earlier. Specifically, the importance of sustainability and DEI factors have become pervasive in business. Climate disturbance

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[7] See Business Roundtable, "Business Roundtable Redefines the Purpose of a Corporation to Promote 'an Economy That Serves All Americans,' " August 19, 2019, accessed December 13, 2019, at https://www.businessroundtable.org/business-roundtable-redefines-the-purpose-of-a-corporation-to-promote-an-economy-that-serves-all-americans.

[8] https://www.oecd.org/en/publications/oecd-guidelines-for-multinational-enterprises-on-responsible-business-conduct_81f92357-en.html#:~:text=The%20OECD%20Guidelines%20for%20Multinational,Points%20for%20Responsible%20Business%20Conduct.

[9] https://www.ohchr.org/sites/default/files/Documents/Publications/GuidingPrinciplesBusinessHR_EN.pdf.

events—super heavy rains, hurricanes, excessive snow, drought-induced wildfires, and extreme heat—have made it clear that sustainability is critical to the survival of our world as we know it. Similarly, the recognition has come that DEI factors cannot be swept aside any longer because courts and stakeholders are taking action against the perpetrators. Other factors have gained in importance as well, but sustainability and DEI factors have become critical for organizations to address.

The Future with Greater Numbers of Gen Z in Society

Generation Z people, born between 1997 and 2012, are already making a difference in society, and their power will only continue to grow. They have been heavily impacted by the most current development mentioned above and have evolved a sensitivity to several issues that will bring pressure on business and professional ethics. According to Deloitte's *Global 2024 Gen Z and Millennial Survey*,[10] their strong ethics concerns include:

- **Environmental Concerns**: 62% of Gen Z respondents reported feeling anxious about climate change in the past month.
- **Ethical Use of Technology**: 65% believe businesses have a significant role in ensuring technologies like AI are used ethically.
- **Purpose-Driven Work**: 86% of Gen Zs say having a sense of purpose is important to their overall job satisfaction and well-being.
- **Workplace Ethics**: 61% of Gen Zs experienced harassment or microaggressions at work in the past year, highlighting the need for ethical workplace cultures.

The corporate world should take note and plan accordingly because their performance on these dimensions will be under a magnifying glass.

Countervailing Influences

While the pressures on organizations to manage their activities more ethically have continued to grow, it is noteworthy that political policy in some countries has shifted to concerns that are considered of higher priority. In the United States, Presidential decrees in 2025 have cut off funding for sustainable energy deployment and applications, and regulatory restraints have been lifted on climate-harmful sources. Likewise, organizations including universities have been pressured to get rid of DEI programs. There has been some pushback, but only time will tell if these countervailing influences will have permanent effects.[11]

Outcomes

Broadly speaking, public expectations have changed to exhibit less tolerance, heightened moral consciousness, and higher expectations of business behavior. In response to this heightening of expectations, a number of watchdogs and advisors have emerged to monitor and/or help the public and businesses. Activist organizations such as Greenpeace, #MeToo,

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[10] Deloitte's Global *2024 Gen Z and Millennial Survey,* Retrieved on May 5, 2025, from https://www.deloitte.com/content/dam/assets-shared/docs/campaigns/2024/deloitte-2024-genz-millennial-survey.pdf?dlva=1.

[11] "Harvard University renames its DEI office as its battle with the Trump administration expands to more fronts," Andy Rose and Karina Tsui, CNN, April 29, 2025, retrieved on April 29, 2025, at https://www.cnn.com/2025/04/29/us/harvard-renames-dei-office-hnk/index.html. The new name is Community and Campus Life.

the Coalition for Environmentally Responsible Economies (CERES), and many others now maintain a watching brief on the business–environment interface. Consultants are available to advise corporations and so-called ethical investors on how to screen activities and investments for both profitability and ethical integrity. Mutual funds that specialize in ethical investments have sprung up to service the needs of small investors. Large investor activity has also become evident as many public-sector and not-for-profit pension funds have taken an active interest in the governance of their investee corporations and have presented shareholder resolutions designed to cover their concerns. In the face of all of this interest, politicians have responded by increasing regulations and the fines and penalties (both personal and corporate) involved for malfeasance. The *credibility gap* has not favored business organizations. Lack of credibility has brought increasing regulation, international standards, mainstream interest, increased recognition of stakeholder interests and reporting on them, and profound changes in governance and management practices as well as in the accounting profession.

Social License to Do Business—First Quantum in Panama

Businesses need a legal license to do business. They also need the approval and support of society, called a social license to do business.

First Quantum Minerals is a Canadian mining company with international operations. One of its principal properties is the Cobre Panama, a massive open pit copper mine about 120 kilometers west of Panama City. Copper is critical in the manufacture of renewables, power transmissions, and EV batteries. The company spent $10 billion over a 10-year period to develop the mine, that then generated 40,000 direct and indirect jobs. An important source of revenue for the country the mine represents almost 5% of Panama's entire economy and accounts for about 1% of the world's copper production.

In October of 2023, First Quantum's lease was renewed for a 20-year period with an option to extend the lease for another 20 years. The new lease required First Quantum to pay $375 million annually to the government, nine times more than it had been paying. After the new lease terms were announced, there were mammoth protests by environmentalists, indigenous leaders, labor activities, and political opponents of the governing party. The environmental argument was that the mine threatens the area's delicate ecosystem. Some complained that the terms of the contract were too generous to First Quantum. Others were protesting President Laurentino Cortizo, who had signed the agreement, on corruption charges.

The protestors managed to close the roads leading into and out of the mining area. They also used small boats to block the harbor to prevent copper from being exported and supplies to be offloaded for the mine. Following weeks of protest, First Quantum discontinued its mining operation.

Business leaders must remember that business has an interpenetrating relationship with society. Each influence and are influenced by the other. Without the support of society, business cannot operate, as was the case with First Quantum in Panama.

Sources: Elida Moreno, "Panama port blockade keeps supplies from First Quantum mine, company says," *Reuters*, November 17, 2023.

New Expectations for Business

New Mandate for Business

The changes in public expectations have triggered, in turn, an evolution in the mandate for business: the laissez-faire, profit-only world of Milton Friedman has given way to the view that business exists to serve society, not the other way around. For some, this may be stating the degree of change too strongly, but even they would concede that the relationship of business to society is one of interdependence where the long-run health of one determines that of the other.

In many forums, Milton Friedman made the following case:

> In a free-enterprise, private property system a corporate executive … has [the] responsibility to make as much money as possible while conforming to the basic rules of society, both … in law and in ethical custom. [This is] the appropriate way to determine the allocation of scarce resources to alternative uses.
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> Source: Friedman (1970)

Although there are many arguments for and against this position,[12] three critical issues deserve mention. They are (1) that the deviation from a profit-only focus does not mean that profit will fall—in fact, profit may rise; (2) profit is now recognized as an incomplete measure of corporate performance and therefore an inaccurate measure for resource allocation; and (3) Friedman explicitly expected that performance would be within the law and ethical custom.

First, there is the myth that business could not afford to be ethical because too many opportunities would be given up for profit to be maximized or that executives could not afford to divert their attention from profit or else profit would fall. In fact, research studies show short-term profits increasing as well as decreasing when social objectives are taken into account by executives.[13] However, two long-term studies demonstrate that social and profit goals can mix profitably. The first is a study by Clarkson,[14] which ranked the social performance of sixty-plus companies on a modified Wartick and Cochran[15] scale and found that above-average social performance is positively correlated with profits.

The second is that the performance of some ethical mutual funds, such as the Parnassus Fund (U.S.), has surpassed that of the New York Stock Exchange as measured by the Standard & Poor's (S&P) Index since the Fund's inception in 1992.[16] Other funds based on SRI often outperform the S&P 500. This assertion is supported by a comprehensive review undertaken by RBC Global Asset Management[17] of whether SRI hurts investment returns. These perspectives do not demonstrate causality, but they should give some comfort to executives who hear the theoretical argument that the health of society and the

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[12] See Mulligan 1986, "A Critique of Milton Friedman's Essay 'The Social Responsibility of Business Is to Increase Its Profits.' " *Journal of Business Ethics* 5, no. 4: 265–269.

[13] See, for example, the study by Curtis Verschoor, "A Study of the Link between a Corporation's Financial Performance and Its Commitment to Ethics," *Journal of Business Ethics* 17 (1998): 1509–16.

[14] Clarkson, M. 1988. "Corporate Social Performance in Canada, 1976-86." *Research in Social Performance and Policy*, 10: 241–265.

[15] Wartick, S.L., and P.L. Cochran. 1985. "The Evolution of the Corporate Social Performance Model." *Academy of Management Review*, 10(4): 758–769.

[16] "The Parnassus Core Equity Fund Investor Shares have grown at an annualized rate of 11.16% since August 31, 1992, compared to 10.44% for the S&P 500 Index." Retrieved on April 29, 2025, from https://www.parnassus.com/parnassus-mutual-funds/core-equity/investor-shares.

[17] Bank of America Merrill Lynch, *ESG Matters—US: 10 Reasons You Should Care about ESG*, September 23, 2019, accessed December 14, 2019, at https://www.bofaml.com/content/dam/boamlimages/documents/articles/ID19_1119/esg_matters.pdf.

businesses in it are interdependent but who waver on the profitability of implementing a multiple-objective structure that respects stakeholder interests.

It should also be noted that a September 2019 Report by Bank of America indicates several factors that reinforce the positive relationship between Economic Social and Governance (ESG) factors and profit, including:

- Happy employees = better returns
- [ESG is] the best signal of earnings risk we have found. Traditional financial metrics, such as earnings quality, leverage and profitability don't come close to ESG as a signal of future earnings volatility or bottom-line risk.
- ESG could have helped avoid 90% of bankruptcies.
- "Good" companies [signified by ESG scores] enjoy a lower cost of capital . . . nearly 2 full percentage points lower.
- ESG "controversies" have cost investors a lot.[18]

In their commentary released on September 23, 2019, Bank of America Merrill Lynch states that "ESG could boost your returns by a significant amount: a strategy of buying stocks that rank well on ESG metrics would have outperformed the market by up to 3 percentage points per year over the last 5 years."[19]

The second aspect of the Friedman argument that has eroded since it was first proposed is the accuracy with which profit guides the allocation of resources to their best use for society. In 1970, when Friedman began to articulate the profit–resource linkage, there was virtually no cost ascribed to the air and water used in the manufacturing process, nor was a significant cost ascribed to the disposal or treatment of wastes. Since the 1980s, the costs of these so-called externalities have skyrocketed, and yet they are still not fully included in calculating the profit for the year for the polluting company under generally accepted accounting principles (GAAP). Often, pollution costs are borne by and charged against the profits of other companies, towns, or governments, so the assumption that profit maximization would also maximize resource use is not as accurate as Friedman originally envisaged. As the cost associated with these and other externalities rises, the profit–resource use linkage promises to become less and less useful unless the framework of traditional profit computations is modified or supplemented. Environmental or sustainable accounting, or schemes by which companies buy pollution credits, are expected to yield some relief from this dilemma in the future.

Finally, Milton Friedman himself expressed the view that profit should *be* sought within the laws and ethical customs of society. This is not appreciated by many who argue for profit-only in its strongest, laissez-faire, bare-knuckled form. Obviously, chaos would result if business were carried out in an absolutely no-holds-barred environment. A minimum framework of rules is essential for the effective, low-cost working of our markets and the protection of all participants. Increased regulation is one response to outrageous behavior or to the increasing ethical needs of society. What most profit-only advocates fail to realize is that the alternative to increasing regulation by governments is an increasing self-emphasis on better ethical governance and behavior. Interestingly, many U.S. states have already altered their corporate governance statutes to permit the consideration by directors of both shareholder and stakeholder interests, and some noted legal scholars,

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[18] RBC Global Management, *Does Socially Responsible Investing Hurt Investment Returns?*, July 22, 2016, http://funds.rbcgam.com/_assets-custom/pdf/RBC-GAM-does-SRI-hurt-investment-returns.pdf.
[19] Ibid.

Lynn Stout and Margaret Blair, have argued that incorporation statutes do not restrict corporate objectives to a profit-only focus.[20]

Those who focus on profit-only often make short-term opportunistic decisions that jeopardize sustainable long-run profits. They often lose sight of the fact that sustained profit is the consequence of providing high-quality goods and services, within the law and ethical norms in an efficient and effective manner. It is far more effective to focus on providing goods and services required by society efficiently, effectively, legally, and ethically than to adopt the high-risk goal of making profit in any way possible.

For these reasons, the profit-only mandate of corporations is evolving to one recognizing the interdependence of business and society, and business leaders have recognized this. It is most significant that 181 of the 192 member CEOs of the U.S. Business Roundtable committed to the Business Roundtable *Statement on the Purpose of a Corporation*[21] redefining the role of corporations to "benefit of all stakeholders—customers, employees, suppliers, communities and shareholders"—rather than just shareholders. This effectively opens the door to more responsible decision making and governance. At the same time, *the accounting profession approved NOCLAR rules that will require professional accountants in assurance or in business as employees to report when they discover that their client or employer is not complying with laws or regulations.* This will significantly change the role of professional accountants depending on how and when these rules are adopted by the professional body in each jurisdiction. These changes should help reduce the serious expectations gaps that have become apparent between the expectations of the public for corporations and the accounting profession.

Future success will depend on the degree to which business can balance both profit and other stakeholders' interests. This, in turn, will be impossible to manage unless new governance and reporting structures emerge. If ethical and economic objectives cannot be integrated or balanced successfully and shareholders' interests continue to unreasonably dominate those of other stakeholders, the tension between business and society's stakeholders will continue to grow. Fortunately, the mandate for business is changing; the focus is shifting from a narrow shareholder-oriented view of what business is achieving to include what and how a broader stakeholder-oriented set of achievements is achieved. *Judgments of the future success of corporations will be made within the broader stakeholder-oriented framework, taking into account corporate objectives, achievements, and how those are achieved.*

New Governance & Accountability Frameworks

Based on this analysis, successful corporations are best served by governance and accountability mechanisms that focus on a different and broader set of fiduciary relationships than in the past. The allegiances of directors and executives must reflect stakeholder interests in terms of goals, processes, and outcomes. Governance objectives and processes must direct attention to these new perspectives, and modern accountability frameworks should include reports that focus on them. If not, the public's expectations will not be met, and regulations may be created to ensure such attention and focus.

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[20] For example, Lynn A. Stout, *The Shareholder Value Myth*, Berrett-Koehler Publishers, Inc. San Francisco, 2012. However, for an analysis for recent court cases, see also Margaret M. Blair, "Of Corporations, Courts, Personhood, and Morality," *Business Ethics Quarterly* 25 (2015): 415–31, doi:10.1017/beq.2015.32.

[21] See Business Roundtable, "Business Roundtable Redefines the Purpose of a Corporation to Promote 'An Economy That Serves All Americans,'" https://www.businessroundtable.org/business-roundtable-redefines-the-purpose-of-a-corporation-to-promote-an-economy-that-serves-all-americans.

To provide greater clarity about their objectives, some for-profit companies have chosen, during the last ten years, to seek incorporation with the legally defined purpose of having a positive impact on society, workers, and the environment. More than thirty-five states in the United States now recognize such corporations as Benefit Corporations. Alternatively, a normally incorporated, for-profit company can apply to modify its legal corporate purposes by corporate bylaw to become a Benefit Corporation. There is also a program for for-profit companies to become privately certified as a Certified B Corp by B LAB, a nonprofit company based on "standards of verified performance, public transparency, and legal accountability."[22] This requires the company to agree to a declaration that the company will, among other things, purposely create benefits for all stakeholders, not just stakeholders, and aspire to do no harm. In addition, the certified company agrees to report on its progress annually.[23] In a related development, not-for-profit companies can be incorporated under laws that specifically authorize pursuing benefits for a broad range of stakeholders.

Reinforced Fiduciary Role for Professional Accountants

The public's expectations for trustworthy reports on corporate financial performance cannot be met unless the professional accountants who prepare or audit those reports focus their primary loyalty on the public interest and adopt principles such as independence of judgment, objectivity, and integrity that protect the public interest. Loyalty by auditors to management and/or directors can be misguided because management and directors have frequently proven to be so self-interested that they cannot be trusted to protect other stakeholders' interests. Moreover, directors who are supposed to govern management often rely extensively on professional accountants, such as by reporting to the audit subcommittee of the board, to fulfill the directors' own fiduciary responsibilities. Consequently, the primary fiduciary responsibility of professional accountants should be to the public or to the public interest. Otherwise, the expectations of stakeholders in society will not be met, and the credibility of corporations will erode, as will the credibility and reputation of the accounting profession.

This is not a new assignment. However, as shown in the Enron, Arthur Andersen, WorldCom, and Carillion cases, professional accountants have, on occasion, lost track of to whom they should ultimately be responsible. Failure to understand this expectation and the underpinning values of independence, integrity, and objective judgment and reporting caused the collapse of the entire Arthur Andersen firm, which once employed over 80,000 people worldwide.

In addition, these corporate failures have brought the realization that loyalty to the public means more than just loyalty to current investors. Future investors rely on financial reports, and their interests need to be protected, as do those of other stakeholders in the corporation's broadened fiduciary model.

Reform of the accounting profession is underway in order to reinforce the public's expectations. The impetus for recent reform, which began with SOX, the U.S. Securities and Exchange Commission (SEC), and the Public Company Accounting Oversight Board in the United States, has shifted to harmonization with the global standards worked out under the auspices of IFAC and its boards, including the IAASB and the IESBA. As discussed in later chapters, these global standards have returned professional accountants to a focus on serving the public interest.

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[22] See B Lab website section on Certified B Corporations, accessed December 14, 2019, at https://bcorporation.net/b-economy.

[23] See the B Corps website at https://www.bcorporation.net/what-are-b-corps.

In July 2017, the IESBA adopted a new set of standards, known as the NOCLAR rules,[24] that are described above. When fully implemented by IFAC professional accounting member organizations around the world, including those in the United States, Canada, the United Kingdom, Australia, and New Zealand, these standards will fundamentally change the role of professional accountants to make them responsible for reporting when they discover that their employer or client is not in compliance with laws and regulations. In early 2025, the NOCLAR rules were adopted wholly or partly in England and Wales, Germany, Japan, the United States, and many other jurisdictions, but not in Canada.[25]

The requirement will extend the way in which professional accountants have traditionally been serving the public interest. In addition, in the newly revised 2018 *International Code of Ethics for Professional Accountants*,[26] the IESBA has included two new sections (Parts 4A and 4B) dealing with the maintenance of independence of mind and appearance in order to ensure that the decisions of professional accountants can be made objectively without any undue influence to distract from doing so in the public interest. Both the new NOCLAR rules and the enhanced focus on independence are evidence that professional accountants are to be more committed than ever to serving in the public interest. This service is fundamental to the reimagining of the accounting profession that is underway in the United Kingdom and Canada. These developments are discussed further in Chapter 6.

Responses & Developments

Emerging Governance & Stakeholder Accountability Models

The reaction by business to the evolution from a profit-only mandate to one recognizing the interdependence of business and society has progressed steadily. In addition, several other important trends developed as a result of economic and competitive pressures that had and that continue to have an effect on the ethics of business and therefore on the professional accountant. These trends included the following:

- Expanding legal liability for corporate directors and, ultimately, the CEO and the CFO
- Management assertions to shareholders on the adequacy of internal controls
- A stated intention to manage risk and protect reputation, even though significant changes were also occurring in how organizations operate, including delayering, employee empowerment, and the use of electronic data interfaces and increasing the reliance by management on nonfinancial performance indicators used on a real-time basis
- Increasing use of nonfinancial disclosures of performance and new metrics for success, including for financial performance, sustainability,[27] and stakeholder support.

As a result of these trends and changes, corporations began to take a much greater interest in how ethical their activities were and how to ensure that ethical problems did not arise. It became evident that the traditional command-and-control (top-down) approach

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[24] IESBA, International Ethics Standards Boards for Accountants, International Code of Ethics for Professional Accountants, 2018, https://www.ethicsboard.org/international-code-ethics-professional-accountants, Glossary, and Sections 269 and 360.

[25] The adoption has been delayed in Canada because there is no country-wide whistleblower protection legislation in Canada and, since there is no Canada-wide code of conduct, each province must revise its Code of Conduct to comply.

[26] Ibid.

[27] Using such as the GRI Framework; see Chapter 7.

was not sufficient and that organizations needed to create an environment favorable to ethical behavior to foster it, not to impose it. Boards and management were becoming more interested in ethical issues in spite of the larger size, quicker pace, and complexity of business entities and dealings that were decreasing the ability to check and inspect the decisions of others. Consequently, it has become increasingly important that each employee has a personal code of behavior that is compatible with that of the employer. The pathway to these realizations took the following steps.

The initial corporate reaction to a more demanding ethical environment was the desire to know how ethical their activities have been, then to attempt to manage their employees' actions by developing a code of ethics/conduct. After implementing the code, the desire was to monitor activities in relation to it and to report on that behavior, first internally and then externally.

The desire to know about the appropriateness of their activities led many corporations to undertake an inventory of significant impacts on various aspects of society. Often organized by program and by stakeholder group, these listings could be used to identify specific issues, policies, products, or programs that were the most problematic and therefore needed the earliest remedial attention.

It quickly became clear that the "inventory and fix" approach led to a "patched-up" system for governing employee behavior: one that was incomplete and did not offer ethical guidance on all or even most issues to be faced. Employees who had committed a malfeasance, whether voluntarily or not, could still frequently claim that "nobody told me not to do it." In order to reduce this vulnerability and provide adequate guidance, corporations began to develop and implement comprehensive codes of conduct/ethics.

Neither easy to develop nor universally accepted, codes usually had to be refined through a number of revisions. Implementation processes also had to be improved. Even today, some executives are uncertain of their role and how to play it most successfully to facilitate strong commitment by employees to the ethical principles involved. More detailed information on the role, nature, content, and monitoring of performance relative to codes is provided in Chapter 5. It is evident that codes of conduct will continue to be the touchstone for the ethical guidance of employees for the foreseeable future.

Although codes of conduct offer an essential framework for employee decision making and control, those corporations, in highly vulnerable positions due to their products or productive processes, found it in their interest to develop early warning information systems to facilitate fast remedial action in the event of a problem. For example, Occidental Petroleum recognized its capacity to damage the environment and created a three-tier, notification-to-head-office requirement to provide timely information to senior management and experts in cleanup procedures. Depending on the seriousness of the environmental problem, a "significant matter" had to be reported by computer immediately, an "excursion" within twelve hours (the next business day in New York), or a "reportable incident" within the next reporting cycle.[28] This type of notification system is essential to facilitate crisis management activities and to mobilize response resources on a worldwide basis in an effort to reduce the impact of the problem on the environment and the corporation.

Not satisfied to encourage the use of ethics just through a code of conduct, leading-edge corporations sought ways to inculcate ethics into their corporate culture—the system of shared values that drive action—to foster specific consideration of ethical conduct in operating decisions, in strategic decision making, and in crisis management practices. Mechanisms were developed to ensure that ethical principles were understood, reinforced,

[28] Friedman, F. B. 1988. *Practical Guide to Environmental Management*. Washington, DC: Environmental Law Institute.

and not lost sight of. These include general training and training to instill decision frameworks designed to produce sound ethical decisions; compliance checkoff lists; the encouragement of internal whistleblowing to ombudspersons; mind-focusing scorecards and categorizations for operations and strategies; inclusion of ethical performance as a factor in the determination of remuneration and in continuing internal and external reports; the creation of specific ethical operating goals, such as for equity employment levels; and the creation of whistleblowing programs and executive positions, such as chief ethics or compliance officer, ombudsperson, vice president for environmental affairs, and of specific subcommittees of the Board of Directors to oversee the ethical performance of the corporation.

Although the commitment to these mechanisms grew during the 1980s and early 1990s, nothing galvanized the corporate community more than (1) the promulgation of the *U.S. Sentencing Guidelines* for environmental offenses on November 1, 1991, which led to widespread concern about "due diligence" procedures, and (2) the realization in the summer of 1992 that General Electric had been sued under the *False Claims Act* in the United States for $70 million by a whistleblower too fearful of retribution to report internally to the company.[29] The fact that the whistleblower could receive up to 25% of the outcome was considered shocking, just as the size of the fines in the *U.S. Sentencing Guidelines* had been a year earlier. In combination, these events matured the realization that corporations ought to create an ethical operating environment in order to protect their interests and those of others with a stake in the activities of the corporation.

As a result of the *U.S. Sentencing Guidelines*, many U.S. directors and executives suddenly became very interested in the governance mechanism that was to convey appropriate guidance to their personnel; U.S.-owned foreign subsidiaries were also involved, as were foreign-owned multinational companies operating in the United States. Consequently, and with the additional stiffening of penalties for environmental malfeasance in Canada, the governance structures of major companies that had been focused primarily on making a profit now began to include a serious focus on how that profit was made.

Early in 1994, Lynn Sharp Paine[30] published an excellent seminal article in the *Harvard Business Review* titled "Managing for Integrity," in which she made the case for integrating ethics and management. At about the same time, pronouncements from the Toronto Stock Exchange[31] and the CPA Canada (formerly Canadian Institute of Chartered Accountants)[32] specified that directors were to provide the "social conscience" of their companies and that directors were responsible for developing and maintaining an ethical culture at their companies, sufficient to support an adequate system of internal control. Without adequate ethical grounds for systems of internal control, the financial statements of the enterprise would be of varying accuracy, and the actions of employees might or might not correspond with what the directors and senior executives hoped. Many examples are available that attest to the fact that without adequate ethical underpinning, companies can get into difficulty.

Later, in 1996, the *Caremark National Case*, which was decided in the Chancery Court of Delaware, added to directors' responsibilities the requirement of proactively seeking out ethical problems. Until this case was decided, directors could claim "hear no evil, see no evil" to avoid prosecution for some corporate wrongdoing, so there were times that

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[29] Singer, A.W. 1992. "The Whistle-Blower: Patriot or Bounty Hunter." *Across the Board*, 16–22.

[30] Lynn Sharp Paine, "Managing for Organizational Integrity," *Harvard Business Review* 72, no. 2 (1994): 106–17.

[31] *Report of the Toronto Stock Exchange Committee on Corporate Governance in Canada* (Toronto: Toronto Stock Exchange, 1994), p. 17, paras. 4.3 and 4.4.

[32] Canadian Institute of Chartered Accountants, *Guidance for Directors-Governance Processes for Control* (Toronto: Canadian Institute of Chartered Accountants), p. 2, para. 8; see also pp. 8 and 9 for a discussion of approving and monitoring the organization's ethical values.

directors "didn't want to hear about" for their own protection. Unfortunately, that left the corporation rudderless. The bottom line is that the expectations for proper corporate governance have changed, and directors are responding—some more quickly than others.

Law Case Summary: Caremark National Inc. **L. J. Brooks**

Late in 1996, the Chancery Court of the State of Delaware—a very influential court in corporate matters—handed down a decision that changed the expectations of directors for monitoring the affairs of the organizations they direct. *The change held in the Caremark National Inc. case was to require directors to monitor organizational activities even when there is no cause for suspicion of wrongdoing.*

Until the Caremark decision, the guiding case was the Delaware Supreme Court's 1963 decision in *Graham v. Allis-Chalmers Manufacturing Co.* In *Allis-Chalmers*, a case involving a director's liability for violations of U.S. antitrust laws, the court had found that, "absent cause for suspicion," a Board of Directors had no legal duty to create a system for monitoring of or compliance with organizational activities. This allowed directors to argue an "ostrich" defense in the event of wrongdoing to the effect that they had "seen no evil nor heard no evil" and had made their decisions in good faith and to the best of their ability. As a result, the fiduciary duties of directors and the duty of care were somewhat circumscribed from the level of responsibility that some stakeholders felt reasonable.

The *Chancery Court* took the view, in the Caremark case, a derivative lawsuit to one involving kickbacks to health care providers in violation of the *Federal Anti-Referral Payments Law*, that the directors could be liable for recovery of some of the company's $250 million in fines from its directors for breach of their duty of care by failing to take good-faith measures to prevent or remedy the violations. The court noted, since employee actions could prevent a corporation from achieving its strategic goals, "that a director's obligation includes a duty to assure in good faith that [an] information reporting system, which the Board concludes is adequate, exists, and that failure to do so under some circumstances may, in theory at least, render a director liable for losses caused by non-compliance with applicable legal standards." Moreover, due to the issuance of the *U.S. Sentencing Guidelines* on November 1, 1991, and their subsequent integration into expectations, directors must now consider the "due diligence defense" criteria that those guidelines have spawned when advancing their "good-faith" defense. *This means that the Chancery Court no longer considers a corporate compliance and monitoring program to be optional.*

For further information, the reader is referred to an article by Frank M. Placenti in *The National Law Journal* on Monday, June 23, 1997 (pages B5, B6). Further insights are possible if higher courts modify the Chancery Court's Caremark decision, but, until then, directors are well advised to be ethically proactive in the development of strategic plans and operating policies and in the monitoring of performance.

Additionally, during the 1990s, it became understood that management approaches must reflect accountability to stakeholders, not just shareholders. Companies have a wide range of stakeholders—employees, customers, shareholders, suppliers, lenders, environmentalists, governments, and so on—who have a stake in the activities or impacts of the corporation. Even though these stakeholders may not have a legal claim on the corporation, they can influence its fortunes in the short and long runs. Consequently, if a corporation wants to achieve its strategic objectives optimally, the interests of its stakeholders should be taken into account when management makes decisions. The best way to do this is to build the recognition of stakeholder interests into strategic planning and other functional areas of management. Further insight can be found in the Clarkson Centre for Business Ethics publication *Principles of Stakeholder Management*,[33] or in Chapter 5. Schematically, the emerging stakeholder accountability and governance frameworks are represented in Figures 1.1 and 1.2. It is now recognized that *although corporations are legally responsible to shareholders, they are strategically responsible to stakeholders.*

Figure 1.1 Map of Corporate Stakeholder Accountability

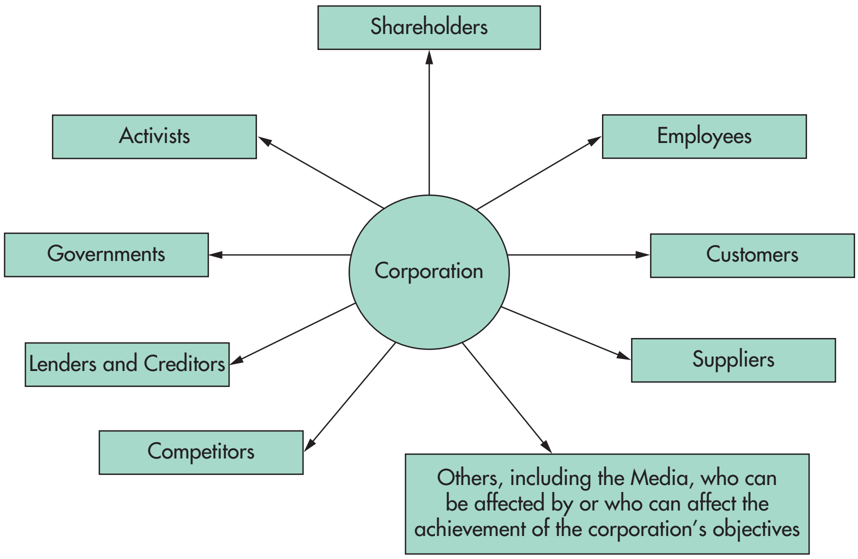
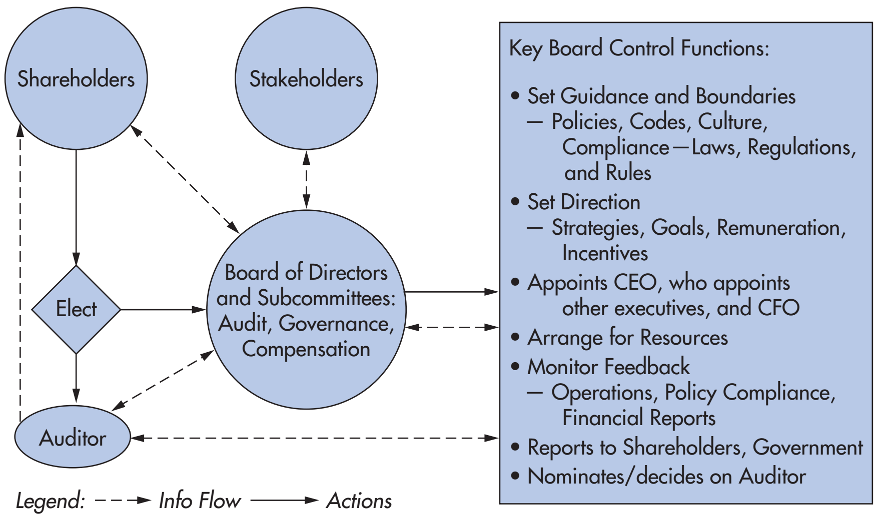


Figure 1.2 Corporate Governance Framework



[33] Lee E. Preston, Thomas Donaldson and Leonard J. Brooks, *Principles of Stakeholder Management: The Clarkson Principles* (Toronto: Clarkson Centre for Business Ethics, 1999), p. 59.

Management Based on Values, Reputation & Risks

In order to incorporate the interests of stakeholders into the policies, strategies, and operations of their corporation, directors, executives, managers, and other employees must understand the nature of their stakeholders' interests and the values that underpin them. The reputation of the company and the degree of support garnered from stakeholders will depend on this understanding and on the ability of the company to manage the risks facing the company directly as well as those impacting its stakeholders.

Ellen DeGeneres:
The Ethical & Financial Implications of a Brand in Crisis

Brand image is essential for business success. However, like reputation, it can be easily shattered. Ellen DeGeneres, once celebrated for her affable demeanor and the mantra "Be Kind," faced significant scrutiny following allegations of a toxic workplace environment on "The Ellen DeGeneres Show." In 2020, reports surfaced detailing experiences of racism, fear, intimidation, and sexual harassment among staff members. WarnerMedia initiated an internal investigation, leading to the dismissal of three senior producers. DeGeneres publicly apologized, stating, "I learned that things happen here that never should have happened. I take that very seriously, and I want to say I am so sorry to the people who were affected."

Financial repercussions were swift and severe. Nielsen ratings indicated that the show's viewership plummeted from an average of 2.6 million to 1.5 million, marking a 43% decline. This downturn was more pronounced among women under 54, the show's core demographic, which experienced a 38% drop. Consequently, advertising revenue decreased by approximately 20%, falling from $131 million to $105 million between comparable periods in the 2019–2020 and 2020–2021 seasons.

The ethical concerns extended beyond the immediate allegations. Critics questioned the authenticity of DeGeneres's brand, which was built on kindness and inclusivity. The stark contrast between her public persona and the reported workplace culture led to debates about leadership accountability and the responsibilities of public figures in fostering ethical environments. The situation underscores the intricate relationship between ethical leadership and financial performance. It illustrates how lapses in corporate governance and ethical oversight can lead to substantial reputational and economic damage.

Ellen DeGeneres' success was grounded on a brand of kindness and inclusivity that takes years to cultivate and develop. A powerful brand is a valuable asset. But it is also a fragile asset that can evaporate when business leaders forget the importance of maintaining a culture of integrity.

Numerous approaches have been developed for examining the interests of stakeholders, such as surveys, focus groups, and mapping according to stereotypes. These are developed more extensively in Chapter 5.

In addition, investigation is underway on the values that lie behind stakeholder interests so that a corporation's policies, strategies, and procedures can take them into account. These values differ somewhat depending on the stakeholder group as well as regional differences. However, progress has been made toward a set of *hypernorms*—values that are respected by most groups or cultures around the world. According to researchers, the six values known to come closest to universal application around the world are those noted in Table 1.2, namely: honesty, integrity, fairness, compassion, predictability, and responsibility.

Table 1.2 Hypernorms (Basic Values) Underlying Stakeholder Interests

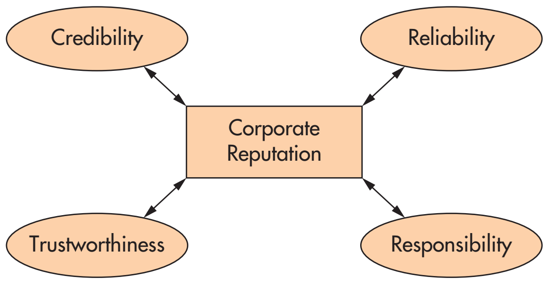
A hypernorm is a value that is almost universally respected by stakeholder groups. Therefore, if a company's activities respect a hypernorm, the company is likely to be respected by stakeholder groups and will encourage stakeholder support for the company activities.

Hypernorms involve the demonstration of the following basic values:

Honesty	Fairness
Compassion	Integrity
Predictability	Responsibility

Source: R. Berenbeim, Director, Working Group on Global Ethics Principles, The Conference Board, Inc., 1999.

Figure 1.3 Determinants of Reputation



Source: Fombrun, p. 72.

The relevance of these six hypernorms is very significant to the future success of corporations. Consequently, they should be built into a corporation's code of conduct, policies, strategies, and activities in an attempt to make sure that the interests of many stakeholder groups are respected, and that the corporation's reputation will generate maximum support.

Reputation has also been a subject of considerable study. Not surprisingly, the factors regarded as important determinants of reputation are closely aligned with the hypernorms previously identified. Charles Fombrun, of the Reputation Institute, has specified four determinants as identified in Figure 1.3.

Both management and auditors have become increasingly risk management-oriented since the mid-1990s. Risk management techniques and a risk management standard (*ISO 31000*)[34] have been developed, as directors, executives, and professional accountants recognize the value in identifying risks early and in planning to avoid or mitigate the unfortunate consequences inherent in the risks. Professional accountants have also shifted their audit approach to the examination of the risks facing a corporation, how the corporation has provided for these risks operationally, and how they have been accounted for in the records and financial reports.

The nature of risks of concern to corporations has changed over time with those factors of greater concern to society becoming more important. An early study by Mercer Management Consulting identifies some of the risk events that were important in companies that experienced very large stock price drops between 1993 and 1998. These findings are shown in Table 1.3.

[34] 24 *ISO 31000* Principles and Guidelines on Implementation was issued in 2009 by the International Organization for Standardization, http://www.iso.org/iso/home/standards/iso31000.htm.

Table 1.3 Risk Events Causing Drops of over 25% Share Value, Percentage of *Fortune 1000* Companies, 1993–1998

Strategic (58%)	Customer demand shortfall (24%)
	Competitive pressure (12%)
	M & A Integration problems (7%)
	Misaligned products (6%)
	Others (9%)
Operational (31%)	Cost overruns (11%)
	Accounting irregularities (7%)
	Management ineffectiveness (7%)
	Supply chain pressures (6%)
Financial (6%)	Foreign, macro-economic, interest rates
Hazard and other (5%)	Lawsuits, natural disasters

Source: Mercer Management Consulting/Institute of Internal Auditors, 2001.

In 1998, risk perspectives of Board members and executives were identified with changes in the economy, technology, the velocity of change, environmental degradation, and a host of other factors driving uncertainty. Protiviti and North Carolina State University have collaborated on an ERM Initiative that analyzed input from 728 Board members and executives worldwide to generate the list of top macroeconomic, strategic, and operational risks for 2018 that are identified in Table 1.4.

But since 2018, the risks of concern to directors, executives, and accountants have changed in response to changes in the economy, technology, the environment, geopolitical developments, and economic uncertainty, as have the functional categories of risk to be macroeconomic, strategic, and operational. Table 1.5 presents the new array of risk concerns, and it is easy to understand why major corporations are now heavily invested in personnel and systems that develop information on their risk exposure, preplanning, performance in mitigating the impact of risks encountered as well as reporting systems such as those discussed in Chapter 7.

Table 1.4 Top Risks for 2018

1. Rapid speed of disruptive innovation (S)
2. Resistance to change (O)
3. Managing cyber threats (O)
4. Regulatory change and heightened regulatory scrutiny (S)
5. Organizational culture may not encourage timely escalation of risk issues (O)
6. Succession challenges, and ability to recruit top talent (O)
7. Ensuring privacy, security, and funding protection (O)
8. Potentially restricted economic conditions in markets served (M)
9. Inability to utilize data analytics and “big data” for market intelligence, productivity and efficiency (O)
10. Existing operations may not be able to compete with new “born digital” competitors with regard to quality, time to market, cost and innovation. (O)

Legend: (M) Macroeconomic Issue; (S) Strategic Issue; (O) Operational Issue

Source: Protiviti and North Carolina State University, Poole College of Management, Enterprise Risk Initiative, *Executive Perspectives on Top Risks for 2018*, 2017, Figure 1 on p. 8, accessed December 17, 2019, at https://www.protiviti.com/sites/default/files/united_states/insights/nc-state-protiviti-survey-top-risks-2019-executive-summary.pdf.

Table 1.5 Comparison of Top Risks in 2018 & 2025

Risk Category	Top Risks in 2018	Top Risks in 2025	Observations
Cybersecurity	Data breaches, ransomware attacks	Advanced cyber threats, AI-driven attacks	Cyber risks have intensified with technological advancements, necessitating robust cybersecurity measures.
Geopolitical Tensions	Trade wars, political instability	Escalating conflicts, protectionism	Geopolitical risks have evolved, with increased fragmentation and conflict impacting global trade.
Environmental Risks	Climate change awareness	Extreme weather events, resource scarcity	Environmental concerns have become more immediate, with tangible impacts on business operations.
Technological Disruption	Rapid tech innovation	Ethical AI use, automation challenges	The focus has shifted to managing the ethical implications of emerging technologies.
Economic Uncertainty	Market volatility	Inflation, stagflation fears	Economic risks have become more complex, influenced by factors like inflation and geopolitical events.

Risk Function	Top Risks in 2018	Top Risks in 2025
Macroeconomic	Economic volatility, geopolitical instability, regulatory uncertainty	Geoeconomic confrontation, inflationary pressures, trade wars, policy uncertainty, U.S. debt sustainability
Strategic	Cybersecurity threats, reputational damage, technological disruption	State-based armed conflict, misinformation and disinformation, adverse outcomes of AI technologies
Operational	Supply chain disruptions, natural disasters, talent shortages	Cyber incidents, business interruption, extreme weather events, digital disruption, human capital challenges

Source: World Economic Forum. (2025). *The Global Risks Report 2025: 20th Edition*. https://www.weforum.org/publications/global-risks-report-2025/.

The Institute of Internal Auditors. (2024). Risk in Focus 2025: North America – Hot Topics for Internal Auditors. https://www.theiia.org/globalassets/site/foundation/latest-research-and-products/risk-in-focus/2025/north-america-risk-in-focus-2025-hot-topics.pdf.

Reuters. (2025, April 25). Fed survey finds global trade fight, policy uncertainty top financial stability risks. https://www.reuters.com/business/finance/fed-survey-finds-global-trade-fight-policy-uncertainty-top-financial-stability-2025-04-25/.

Companies had not been looking systematically for risks, but as the 1990s concluded, risk identification and assessment were becoming important parts of strategic and operational management processes, and the oversight of the risk management process was becoming an important part of directors' due diligence activities. Several studies published in 2001 provide insights on the subject, including those by the Institute of Internal Auditors, the American Institute of Certified Public Accountants, and the CPA Canada (formerly Canadian Institute of Chartered Accountants). Important risk management terms were developed that are reproduced in Table 1.6.

Table 1.6 Important Risk Management Terms

Risk is the chance of something happening that will have an impact on objectives.

Risk Management includes the culture, processes, and structures that are directed towards the effective management of potential opportunities and adverse effects.

Risk Management Process includes the systematic application of management policies, procedures, and practices to the tasks of establishing the context, identifying, analyzing, assessing, managing, monitoring, and communicating risk.

Source: *Managing Risk in the New Economy*, AICPA & CICA, 2001, p. 4.

During late 2001 and into 2002, the financial world was rocked by the Enron, Arthur Andersen, and WorldCom scandals, and the resulting outrage triggered the creation of corporate governance reform through the enactment of SOX. This act and the resulting SEC regulations have transformed corporate governance expectations significantly, including the requirement that directors are now expected to ensure that their corporation has, among many other governance mechanisms, an effective risk management process. Many jurisdictions around the world have responded by following suit.

In 2004, the Committee of Sponsoring Organizations (COSO) released the Enterprise Risk Management Framework, which was endorsed by the professional accounting bodies in the United States and Canada. This framework became the worldwide, practical analytical standard for many large and medium-sized companies until it was replaced in 2017 by an updated version known as *Enterprise Risk Management—Integrating Strategy with Performance.*[35] The COSO Framework is discussed further in Chapters 5 and 7.

Although most large corporations have put in place some form of risk management process, most do not specifically consider their ethics risks—*the risks of failing to meet the expectations of stakeholders*—in a broad and comprehensive way. However, since these ethics risks have proven to be so important to reputation and organizational sustainability—such as the Volkswagen emissions debacle in 2015, the Hockey Canada sex scandal in 2022, and the Wells Fargo customer and employee abuse scandal in 2022—it would be a serious mistake not to include them explicitly in the risk management process. A representative list of ethics risks is provided in Table 1.7.

Further discussion and analysis of ethics risks is provided in Chapter 7, including those risks summarized in Table 1.8. Review of ethics risks, including organizational risks, mindset risks, and systemic risks, is essential to avoiding surprises that can be very damaging to personal and organizational reputation and financial viability.

Table 1.7 Ethics Risks—A Representative List

Stakeholder Expectations Not Met	Ethics Risk
Shareholders	
Stealing, misuse of funds or assets	Honesty, integrity
Conflict of interests with officers	Predictability, responsibility
Performance level	Responsibility, honesty
Reporting transparency, accuracy	Honesty, integrity
Employees	
Safety	Fairness
Diversity	Fairness
Child and/or sweatshop labor	Compassion, fairness
Customers	
Safety	Fairness
Performance	Fairness, integrity
Environmentalists	
Sustainability, pollution	Integrity, responsibility

[35] Committee of Sponsoring Organizations (COSO), *Enterprise Risk Management—Integrating Strategy with Performance*, 2017, https://www.coso.org/Pages/default.aspx.

Table 1.8	Ethics Risks
	Ethics Risks exist when the ethical expectations of stakeholders are not met: – Resulting in loss of reputation and stakeholder support. – Preventing full and/or efficient achievement of strategic objectives. ***Important Ethics Risks:*** • ***Organizational culture risks*** exist when an organization's culture fails to provide sufficient support and guidance to ensure a culture of integrity. • ***Mindset risks*** exist when decision makers, employees, and agents are: – improperly motivated, or – use ethically unsound rationales for their decisions. • ***Systemic risks*** often originate outside an organization and affect an entire system of activity.

In summary, particularly in view of the cases of Volkswagen, Valeant and Turing Pharmaceuticals, Wells Fargo, Deutsche Bank, Danske Bank, and many others, directors, executives, and professional accountants have found that meeting the expectations of stakeholders is increasingly important. It is essential to delve into the values that determine a corporation's reputation and manage those values so that potential risks are avoided and/or effectively mitigated. To ignore these ethics risks is to risk the fates evident in earlier corporate debacles.

Accountability

The rise of stakeholder interest and accountability and many stunning financial debacles have raised the desire for reports that are more relevant to the various interests of stakeholders, more transparent, and more accurate than in the past. In general, it is recognized that corporate reports frequently lack *integrity* because they do not cover some important issues, nor is there always a clear, balanced presentation of how the interests of stakeholders will be affected. Sometimes issues will be mentioned but in such an obtuse, complex, or unclear manner that the lack of *transparency* will cloud the understanding of the reader. *Accuracy*, or faithful representation, is, of course, fundamental to an understanding of the underlying facts.

The needed improvement in integrity, transparency, and accuracy has motivated the discussion among accountants about the nature of the guidelines they should use for preparation of financial reports—rules or principles. Enron's financial reports clearly lacked integrity, transparency, and accuracy, but they may have been in accord with a very narrow, rules-based interpretation of generally accepted accounting standards and legal definitions. Chapter 2 identifies how accounting rules and legal interpretations with regard to special purpose entities allowed Enron's board and executives to mislead the public and allowed professional accountants to rationalize their participation in the process and even provide a clean audit certification of the misleading reports. The fact that the reports were probably technically compliant with the rules was considered satisfactory, even though they lacked integrity and did not show the whole story transparently or accurately, and many people were misled. The misuse of rules allowed fraud-intent Enron executives to take advantage of the reporting system. However, principles based on integrity, transparency, and accuracy are considered by many to provide more robust guidance than rules against such misuse.

Table 1.9 Stakeholder Report Topics

Health and safety	Environmental performance/impact (GRI)
Sustainability	Corporate social responsibility (CSR)
Philanthropy	Workplace responsibility

The desire for relevancy has spawned a surge in reports that are principally nonfinancial in nature and are tailored to the needs of specific stakeholders. These stakeholder-oriented CSR or sustainability reports, which are discussed more fully in Chapter 7, cover topics such as those identified in Table 1.9. They appear in hard copy and on corporate websites. Broadly applicable reporting frameworks are being developed to guide corporations by the Global Reporting Initiative (GRI)[36] for comprehensive sustainability reports and by the International Integrated Reporting Council[37] for integrated reports. In addition, the International Organization for Standardization has introduced a standard, *ISO 26000*,[38] designed to assist corporations in dealing with their social responsibility.

All of these refinements and new reporting frameworks reflect the growing understanding identified above that corporations are accountable to all stakeholders, including their shareholders. Directors and executives have been challenged to account for and disclose how ethically companies are managing their activities, performance, and risk on an ever more comprehensive basis, and accountants are expected to provide leadership, new ideas, and a trust framework that will focus on integrity in future reports.

Ethical Behavior & Developments in Business Ethics

In response to the changes previously described, there is considerable interest in how philosophers defined ethical behavior and the lessons that have been learned over the centuries. In addition, on a more applied level, several concepts and terms have been developed that facilitate an understanding of the evolution taking place in the accountability of business and in the making of ethical decisions.

Philosophical Approaches to Ethical Behavior Commerce and economics are as old as prehistoric times when business was based on trade and barter. The ethical theories concerning acceptable and unacceptable business behaviors are just as old, although their articulation, in a Western philosophical tradition, dates primarily from the Socratic era. Although these theories were developed at an earlier time, the logic underpinning them and the lessons involved are readily applicable to current business dilemmas, as the following examples indicate.

The Greek philosopher Aristotle argued that the goal of life is happiness, and happiness is achieved by leading a virtuous life in accordance with reason. Some of these virtues include integrity, honor, loyalty, courage, and forthrightness. In a business sense, this means that directors, executives, and accountants should demonstrate *integrity* in all their business dealings; they should *honor* the terms of contracts rather than look for loopholes; they should be *loyal* to their employees, customers, and suppliers; they should have the *courage* to be candid and transparent in their dealings with relevant stakeholders; and they should be *forthright* when providing explanations of good and bad business behavior.

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[36] GRI Guidelines, https://www.globalreporting.org/Pages/default.aspx.

[37] The International Integrated Reporting Council website is http://integratedreporting.org/the-iirc-2.

[38] International Organization for Standardization, *ISO 26000 Guidance on Social Responsibility*, 2010, accessed December 31, 2010, at http://www.iso.org/iso/home/standards/iso26000.htm.

The German philosopher Immanuel Kant held the position that people are ethical when they do not use other people opportunistically and when they do not act in a hypocritical manner demanding a high level of conduct for everyone else while making exceptions for themselves. Unfortunately, there are many instances of organizations that do not live up to this standard. Some treat employees, customers, and suppliers merely as a means, exploiting them for some short-term goal. Often businesses are rightly accused of hypocrisy when they fail to live up to their own internally generated codes of conduct.

The English philosopher John Stuart Mill argued that the goal of life is to maximize happiness and/or to minimize unhappiness or pain, and the goal of society is to maximize the net social benefits to all people. Degrees of happiness can be both physical and psychological. So, this theory implies that the goal of business is to contribute to increasing the physical and/or psychological benefits of society. This does not mean that the goal of business is to maximize its profits; rather, the goal of business is to contribute to the overall good of society. Business does so by providing goods and services required by society.

The American philosopher John Rawls contends that society should be structured so that there is a fair distribution of rights and benefits and that any inequalities should be to everyone's advantage. This implies that businesses act in an ethical manner when they do not have discriminatory prices and hiring systems. Nor should businesses provide goods and services to one segment of society at the expense of other segments of society. Polluting and exploiting developing countries so that developed nations can have an opulent lifestyle is not to everyone's advantage.

These are but four examples of Western philosophic approaches to business ethics. They are more fully explained in Chapter 3. Suffice to say that these theories set a high standard for acceptable business behavior. Studying these theories should help directors, executives, and accountants to better understand the ethical foundations of business and provide a basis for conducting business in a socially responsible manner.

Business Ethics Concepts & Terms Two developments are particularly useful in understanding business ethics and how business and the professions can benefit from its application. They are the *stakeholder concept* and the concept of a *corporate social contract*.

As the ethical environment for business changed, observers and executives realized that many more people than just shareholders had an interest in the corporation or its activities. As previously noted, although some of these had no statutory claim on the corporation, they had a very real capacity to influence the corporation favorably or unfavorably. Moreover, as time went by, the claims of some of these interested parties became codified through statute or regulation. It became evident that the interests of this set of people with a stake in the business or its impacts—who are affected by or can affect the achievement of the organization's objectives[39]—ought to be considered in corporate plans and decisions. For ease of reference, these people have come to be known as *stakeholders* and their interests as *stakeholders' rights*. Examples of stakeholder groups would include employees, customers, suppliers, lenders, creditors, borrowers, host communities, governments, environmentalists, media, and, of course, shareholders. A corporation's normal set of stakeholders is mapped in Figure 1.1.

The relationship between a corporation and its stakeholders has slowly but steadily broadened over the years. Initially, the corporation was established as a means of gathering large amounts of capital from shareholders. It was accountable only to those shareholders, and its goal was to generate profits. Later, when larger factories appeared, times were such that child labor was prevalent, and no cost was ascribed to environmental practices that

[39] R. E. Freeman, *Strategic Management: A Stakeholder Approach* (Boston: Pitman, 1984).

today would not be condoned. However, as previously described, corporate accountability has broadened to go beyond just shareholders to embrace the reality of stakeholders, and the corporate mandate has evolved to respect stakeholders' interests and thereby engender their support. Profits are to be generated but not at any cost to society and preferably in a way that supports society. This evolving relationship between corporations and society has come to be known, in concept, as the *corporate social contract*, and accountability to stakeholders is essential to maintaining that contract. The importance of stakeholder relationships and the social contract concept as a prime determinant of corporate success is evident in the CEO commitment expressed in the Business Roundtable Statement identified earlier.

Approaches to Ethical Decision Making The evolving accountability to stakeholders within the newer versions of the corporate social contract has made it incumbent on executives to ensure that their decisions reflect the ethical values established for the corporation and do not leave out of consideration any significant stakeholder's rights. This has led to the development of ethical decision-making approaches that combine both philosophical and practical techniques, such as *stakeholder impact analysis*.

The ethical principles developed by philosophers provide insights into the key dimensions of ethical reasoning. Decision makers should understand three basic philosophical approaches: *consequentialism*, *deontology*, and *virtue ethics*. Consequentialism requires that an ethical decision have good consequences; deontology holds that an ethical act depends on the duty, rights, and justice involved; and virtue ethics considers an act ethical if it demonstrates the virtues expected by stakeholders of the participants. These approaches are expanded on in Chapter 3 and are incorporated into three practical ethical decision-making approaches and a comprehensive approach in Chapter 4.

All approaches begin with the identification of significant stakeholders, an investigation of their interests, and a ranking of those interests to ensure that the most important are given adequate attention during the remaining analysis and more consideration at the decision stage. Chapter 4 provides insights into the saliency of the various stakeholder interests, which are very important to the making of ethical decisions.

The first practical analytical approach, known as the *Modified Five Question Approach*, involves challenging any proposed policy or action with five questions designed to rate the proposal on the following scales: profitability, legality, fairness, impact on the rights of each individual stakeholder and on the environment specifically, and the demonstration of virtues expected by stakeholders. The questions are asked and options for action are discarded depending on the degree to which corporate ethical values and stakeholder interests are offended. Often, action options can be modified to be made more ethical as a result of these challenges.[40]

The *Modified Moral Standards Approach*, originally developed by Velasquez,[41] focuses on four dimensions of the impact of the proposed action: (1) whether it provides a net benefit to society, (2) whether it is fair to all stakeholders, (3) whether it is right, and (4) whether it demonstrates the virtues expected by stakeholders. Although there is some overlap with the first approach, Velasquez's focus is less company-centered and is therefore better suited to the evaluation of decisions in which the impact on stakeholders outside the corporation is likely to be very severe. Longer-term impacts are also more readily incorporated.

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[40] Tucker, G. 1990. "Ethical Analysis for Environmental Problem Solving." In *Agenda for Action Conference Proceedings*, 53–57. Toronto: Canadian Centre for Ethics and Corporate Policy.

[41] Velasquez, M.G. 2021. *Business Ethics: Concepts and Cases*, 8th edition. Pearson.

The last approach to stakeholder impact analysis presented in Chapter 4 is the *Modified Pastin Approach*, which extends the Moral Standards Approach by specifically taking account of the culture within the corporation and of so-called commons problems. Pastin[42] suggests that any proposed decision be evaluated in comparison to the company's ground rules (he calls this "ground rule ethics"), the net benefit it produces ("end-point ethics"), whether it impinges on any stakeholder's rights and requires rules to resolve the conflict ("rule ethics"), and, finally, whether it abuses rights apparently belonging to everyone ("problems of the commons"). The addition of the "virtues demonstrated" question (whether it demonstrates the virtues expected by stakeholders) produces the Modified Pastin Approach, which is quite practical and is best suited to decisions with impacts primarily on stakeholders directly attached to the corporation, such as employees or customers.

Chapters 4 and 7 provide frameworks for the management of issues using the stakeholder impact analysis.

The use of stakeholder impact analysis in management decision making and in the management of contentious issues will contribute significantly to the development of an ethical corporate culture (also known as a culture of integrity), which is now regarded as a precursor to the development of the ethically defensible positions that are necessary to the development and maintenance of stakeholder support for corporate activities.

The Ethics Environment for Professional Accountants

Role & Conduct

The aftermath of the Enron, Arthur Andersen, and WorldCom debacles brought fundamental changes in the role and conduct of those professional accountants who forgot where their primary duty was owed. Professional accountants owe their primary loyalty to the public interest, not just to their own financial interests, company directors or management, or current shareholders at the expense of future shareholders. The reasons for these changes are made clear in Chapters 2 to 6, but just as in the case of corporate governance, cracks that had been apparent for some time in the governance framework for professional accountants became so serious that the public credibility of the profession was virtually destroyed. Reforms, through new regulations and supervisory structures, and internationally harmonized standards of disclosure and revised codes of conduct that rededicate the accounting profession to its original fiduciary roots became a necessary restorative that has influenced professional accounting behavior around the world.

The need for additional changes in the role and conduct of professional accountants predates the recent debacles. Whether they are involved in the audit or assurance service functions, in management, in consulting, or as directors, professional accountants have been looked on historically as the arbiters of organizational accountability and experts in the science of decision making. Because we are witnessing a sea change in corporate accountability, with a broadening beyond just shareholders to stakeholders, it is incumbent on accountants to understand this evolution and how it can impact their function. If they do not do so, substandard advice may be given, and the legal and nonlegal consequences for ethical shortfalls can be severe.

There is also a very real possibility that the *expectations gap* between what users of audits and financial statements thought they had been getting and what they are receiving will be exacerbated if accountants are discovered to be out of step with emerging

[42] Pastin, M. 1986. *The Hard Problems of Management: Gaining the Ethics Edge*. San Francisco: Jossey-Bass.

standards of ethical behavior. Studies have been undertaken, such as those by the Treadway Commission in the United States, the Macdonald Commission in Canada, and the Cadbury Report in the United Kingdom, that have repeatedly called for recognition of new levels of ethical behavior in revisions to professional codes of conduct. Some professional codes were revised in response, but Enron, Parmalat, Sino-Forest, Carillion, and other debacles and developments have put the spotlight on the need for further revisions.

The introduction of the NOCLAR Standards and enhanced Independence Standards in 2017 and 2018 into the *International Code of Ethics for Professional Accountants* was a strong response to this need. As noted earlier, the NOCLAR Standards, depending on how they are implemented around the world, will require professional accountants to report internally and, if necessary, externally when their employer or client is discovered to be not in compliance with laws or regulations. These standards will mandate a fundamental change in the principle of confidentiality and therefore in how professional accountants behave to focus their attention on serving the public interest. Similarly, the introduction of two parts into the *International Code* focusing on how to maintain independence of mind and appearance by avoiding undue influences is a powerful step in support of behavior serving the public interest. The Independence Standards leave no doubt that as either an employee or an auditor, a professional accountant must not be deterred from letting the wishes of an employer or client unduly affect judgments that should be in the public interest. Discussed at length in Chapter 6, these new standards represent a very significant possibility of closing the *expectations gap* and improving the ethics standards for professional accountants. However, the success of the NOCLAR and the Independence Standards will depend on how fully and uniformly they are implemented throughout the world as local professional accounting codes are harmonized with the *International Code*.

Governance

Globalization and internationalization have come to the corporate world, the capital markets, and corporate accountability. Stakeholders are global in their reach, and events that were kept secret in far-off jungles are now featured worldwide each evening on CNN or BBC World News or in social media, in revealing environmental protection or human rights documentaries, or in Internet blogs created by special interest authors or groups. Corporations with dealings around the world are conscious that they are increasingly accountable for each of their operations and are looking for effective ways to manage, account for, and disclose their activities. These approaches are discussed in Chapter 5 and include the development and maintenance of ethics programs, ethical corporate cultures (cultures of integrity), codes of conduct, and particularly ethical leadership all melded into a risk management program and other governance mechanisms.

In the accounting profession, the plan began in 1977 with the founding of the International Federation of Accountants (IFAC)[43] to harmonize globally a generally accepted set of accounting and auditing standards (GAAP and GASS) and ethical standards has been substantially achieved. The IFAC membership of over 180 professional accounting bodies in 135 countries and jurisdictions has undertaken to harmonize their local standards to the IFAC standards in order to ensure uniform ethical practices and to facilitate analytical efficiencies for investors and providers of capital to the world's markets as well as computational and audit efficiencies around the world. Harmonization does not mean adopting exactly the same wording and identical practices, so some uniformity challenges remain, but the degree of similarity is significant and growing.

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[43] International Federation of Accountants (IFAC); see https://www.ifac.org.

The principles inherent in the new *International Code of Ethics for Professional Accountants*[44] are becoming the basis for the future behavior and education of professional accountants. Its provisions have been continually upgraded, and the recently introduced NOCLAR and Independence Standards discussed represent a dramatic improvement in directing professional accountants to serve the public interest. These and other aspects of the *International Code* are discussed further in Chapter 6.

Globalization has also come to audit firms. They are developing global audit standards to serve their major clients and supportive behavior standards to ensure that their judgments are independent, objective, and accurate. The rulings of the SEC, motivated by SOX and accounting and audit fiascos, will inform these global standards. Consequently, the IFAC-SOX-SEC intention to reinforce the professional accountant's focus on the public interest will be extended worldwide even if disclosure and audit standards ultimately differ between publicly traded and privately held corporations.

Services Offered

In this redefined global environment, the offering of nonaudit services to audit clients, which was a contentious issue for Arthur Andersen in the Enron debacle, has been curtailed so that tighter conflict-of-interest expectations can be met. The advent and growth of multidisciplinary firms in the late 1990s, which included professionals such as lawyers and engineers to provide a broader range of assurance and other services to their audit clients, has also been constrained to avoid conflicts of interest by limiting the offering of consulting services only to nonaudit clients. Several major audit firms initially sold off part of their consulting units but these subsequently have redeveloped. Professional accountants must be particularly alert to conflicts in which the values and codes of other professionals in their employ differ from those of the accounting profession so that the primary focus of serving the public interest is preserved in their professional accounting practice and so that other services do not bring disrepute to the profession. Chapters 5 and 6 provide insights into these conflicts of interest.

Managing Ethics Risks & Opportunities

Developing a Culture of Integrity

According to recent evidence,[45] the most effective way to manage ethics risks and opportunities is to ensure that integrity is part of the decision-making culture of the firm. This occurs when ethical behavior becomes taken for granted as the normal expectation for employees, the firm, and its agents. It is worth noting that Lynn Sharp Paine[46] has suggested five essential elements required to develop an organizational culture of integrity and ethical behavior, including the following:

- *Clear communication.* Ethical values and standards must be clearly and unambiguously disseminated to all employees so that everyone knows that the firm is committed to integrity.
- *Personal commitment by senior management.* The firm cannot merely espouse that ethics is important; that causes cynicism. Instead, senior management must be willing to make difficult ethical decisions and then assume personal responsibility for their decisions.

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[44] Ibid.

[45] See Chapters 4 to 6.

[46] Lynn Sharp Paine, "Managing for Organizational Integrity," *Harvard Business Review* 72, no. 2 (1994): 106–17.

- *Integration.* Ethical values, norms, and standards must become part of the normal everyday activities and routines of the firm.
- *Ethics must be reinforced.* Information systems and compensation structures should be designed to ensure that ethical behavior becomes the norm rather than the exception to the rule.
- *Education.* Continuous learning programs, such as ethics training, help employees to develop the competencies required to make ethical decisions on a daily basis.

A firm can more easily manage ethics risks and opportunities when integrity becomes so firmly ingrained into the decision-making structures and routines of the firm that it becomes institutionalized as part of the normal decision-making process. Practical suggestions for how a culture of integrity and ethics can become part of the firm's DNA are discussed in more detail in Chapters 4 to 6.

Two of the fundamental ingredients for a successful culture of integrity that were identified in recent studies are *ethical leadership* and effective *whistleblower encouragement programs*. Without ethical leaders—those who actively and vocally support the desired culture—*very few* employees will assume that profits are to be earned ethically. Instead, they will assume that profits are to be earned at any cost. Similarly, the treatment of whistleblowers—who are essential in bringing ethical lapses to light—and the management of whistleblower programs, by the way in which reports are followed up and made public, provide employees with the sense that management is serious or not about the company's stated ethical objectives and the degree of integrity of top management. These topics are covered in Chapters 5 to 7.

Whistleblowers are often stigmatized, so they need encouragement and the *moral courage* to come forward. They will rarely do so if the corporate culture in which they work is not a culture of integrity. Because whistleblowing has a negative connotation, we should refer to this as reporting corporate wrongdoing.

Corporate Governance

The impact of increasing ethical expectations for business in general and for directors, executives, and accountants in particular has brought demands for governance reform, ethical decision making, and management that would benefit from leading-edge thinking on how to manage ethics risks and opportunities. Several important topics in this regard are discussed in Chapters 5 and 7.

Guidance is provided in Chapter 7 for the process of ethics risk identification, caution is advised against overreliance on external auditors for this purpose, and insights are offered for the management and reporting of ethics risks, including those related to corporate ethical culture, unethical mindsets, and systemic problems.

Effective strategies and mechanisms for influencing stakeholders are discussed with the view of developing and maintaining their support. Linkages are made between ethics risk management and traditional environmental scanning or issues management and also to the field of business–government relations. Both of these can benefit significantly from a broadened, modern stakeholder accountability perspective.

Business and professional accounting inevitably depend on people—both as external and, perhaps more important, internal stakeholders, such as employees. Understanding expectations for workplace ethics is extremely important to the success of all organizations and their executives. Employee rights are changing, as are expectations for privacy, dignity, fair treatment, health and safety, abusive behavior, civility, and exercising one's conscience. Development of trust, which depends on ethical values and is so important to communications, cooperation, the sharing of ideas, the excellence of innovation, and the exercise of modern leadership, is also a critical success factor. So important are these dimensions of workplace ethics that expert observers believe *the way employees view their own treatment by the company determines what the employees think about their company's ethics program*. A company cannot have an effective ethical corporate culture without laudable workplace ethics.

Similarly, a company cannot develop an effective culture of integrity if its personnel engage in improper behavior, such as sexual abuse, fraud, or white-collar crime, or belong to a group known as *corporate psychopaths* who have no sense of right and wrong. High-profile sexual abuse tragedies within the Catholic Church and at Pennsylvania State University (refer to these two ethics cases at the end of this chapter) are stark reminders of the personal and financial problems that unresolved continuing abuse can cause. To some degree, the actions of employees at investment banks during the subprime lending crisis, which were evidently facilitated by unethical corporate cultures, could have been the result of corporate psychopaths who enjoyed taking advantage of their unsuspecting clients without regard for the impact on society. Subsequent scandals involving the manipulation of interest rates by some bank traders suggest that systemic changes may be required before an enterprise's culture can become ethical. Preventive measures should be put in place to avoid serious losses. These must be based on an understanding of the motivations and rationalizations used by these individuals. Discussion of how to identify and deal with these risks is very important and is covered in Chapter 7.

Most companies deal with different cultures in their hiring and management of personnel, even if their operations are within one country. Modern corporations, particularly those that deal internationally, should understand how their impacts are regarded as well as the sensitivities they arouse. Handling these ethically is a growing expectation and will contribute significantly to the achievement of strategic objectives. Many corporations are taking steps to develop a *global mindset*[47] in their personnel. At the heart of this is an understanding of, respect for, and ethical treatment of different cultures.

Part of the ethical puzzle for modern corporations to sort out is the giving and receiving of gifts, bribes, and facilitating payments. All of these create conflicts of interest, but they are expected in many cultures. Insights are provided, including comments on using moral imagination, how to handle these challenges ethically,[48] how to respect the interests of different cultures, and how to protect the corporation. In light of the new push by several countries to enforce antibribery statutes worldwide and to collect huge fines, not only in the United States also but much more broadly than contemplated by the U.S. *FCPA*, it is imperative for directors, management, employees, and agents to understand and apply the discussions on bribery, whistleblowing, and white-collar crime that are included in Chapter 7.

Explaining how a company achieves its purpose exposes its values and how those values are integrated into strategic planning and CSR, also known as corporate citizenship. Sustainability, or corporate citizenship reporting, explains the achievement of its strategic objectives. Developing the kind of corporate citizenship that the leaders and stakeholders of the company want is necessarily an extension of the ethical values that are fundamental to the organization's ethical culture. Exciting new frameworks discussed in Chapter 7 are emerging that directors, executives, and professional accountants would be well advised to watch in order to take advantage of new opportunities as they arise. Reports on CSR programs and assurance thereon are growing rapidly.

Finally, businesspeople with experience know that crises are inevitable and that crisis management approaches have been developed to ensure that corporations and executives do

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[47] See, for example, the Najafi Global Mindset Institute at http://globalmindset.thunderbird.edu.

[48] Including practices such as *guanxi*.

not suffer more damage to their prospects and reputations than necessary. In fact, as discussed in Chapter 7, if the ethical aspects of crises are properly managed, reputation can be enhanced. Incorporating ethics into crisis management can clearly turn a risk into an opportunity.

Looking forward, directors, executives, and accountants would do well to understand the relevance of ethical behavior and do their best to incorporate ethics into all their plans and actions. Indeed, they should direct their efforts toward developing and maintaining an ethical culture—a culture of integrity—in their corporation or firm in order to best reach their strategic objectives.

The next chapter examines the debacles that triggered the new era of governance and accountability for corporations and the accounting profession.

Questions

1. Why have concerns over pollution become so important for management and directors?
2. Why are we more concerned now than our parents were about fair treatment of employees?
3. What could professional accountants have done to prevent the development of the *credibility gap* and the *expectations gap*?
4. Why might ethical corporate behavior lead to higher profitability?
5. Why is it important for the clients of professional accountants to be ethical?
6. How can corporations ensure that their employees behave ethically?
7. Why didn't some corporations protect female employees from sexual abuse before 2017–2019?
8. Should executives and directors be sent to jail for the acts of their corporation's employees?
9. Why are the expectations of a corporation's stakeholders important to the reputation of the corporation and to its profitability?
10. How can a corporation show respect for its stakeholders?
11. How can conflicts between the interests of stakeholders be resolved by a corporation's management?
12. Why are philosophical approaches to ethical decision making relevant to modern corporations and professional accountants?
13. What are the common elements of the three practical approaches to ethical decision making that are briefly outlined in this chapter?
14. Is a professional accountant a businessperson pursuing profit or a fiduciary that is to act in the public interest?
15. Will the NOCLAR standards assist or hurt the accounting profession?
16. Why is it important for a professional accountant to understand the ethical trends discussed in this chapter?
17. Why should a professional accountant be aware of the ethics code of the International Federation of Accountants?
18. Why is an ethical corporate culture important?
19. What three ethics risks must a company guard against, and why?
20. Why should a Board of Directors care more about their ethics risks now than they did 15 years ago?

Reading Insights

The article by Andrew Singer reveals the significance of whistleblowing and the impact it may have on corporations. This impact is one of the catalysts that will lead companies to want to develop ethical corporate cultures in the future.

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Case Insights

The cases that follow are designed to stimulate an awareness of ethical issues currently facing directors, executives, managers, and accountants. Specifically, the scenarios covered are as follows:

Case on the Challenges of AI

- *AI Due Diligence & Responsibility* provides insights into the potential faults of believing that AI recruiting tools are perfect, free from bias against women and people in the Black community, and free from silly mistakes as well as unconscious bias. The case also provokes discussion on why and how organizations can guard against such challenges.

Cases Involving Questionable Business Models

- *Shein Fast Fashion* raises the question of whether a business model involving excessive waste, inferior quality products, harmfully produced ingredients, abusive labor practices, and private data breaches is worth investing in.
- *The Travails of Valeant Pharmaceutical* tells how Valeant and certain employees became extremely successful financially by following questionable practices such as price gouging and secretly controlling their distribution channel. The question many ignored, however, was whether the questionable practices were sustainable.
- *Valeant Pharmaceuticals vs. Coca-Cola—Which Business Model Is Worse: Price Gouging or Fostering Obesity & Diabetes?* Two opposing business titans were concerned about investing in organizations with flawed business models. This case causes readers to consider the problem and which of the two "successful" business models is worse.

Cases Involving Improper Behavior

- *Buying & Selling Blood* examines whether is it ethical to buy and sell blood that is essential to life.
- *Pedophile Priests in the Catholic Church* provides an understanding of recent instances of continued unchecked sexual abuse that resulted in an outraged church and public.

- *Sexual Abuse by a Penn State Football Coach* continued over many years even though it was reported to officials who turned a blind eye to preserve the reputation of the university and its extremely popular football program. Failing to deal with the problem resulted in disaster for the victims, the university, Coach Paterno, university officials, and current students and alumni.
- *LIBOR Manipulations Cause Widespread Impacts* reviews the huge impacts on those banks and their executives whose employees were found to have manipulated the information on which the LIBOR benchmark rate was based—refer to discussion in Chapter 2 and the case beginning on page 138.

Advertising & Sales Promotion Cases

- *Tiger Woods: "Winning Takes Care of Everything"* raises the question of whether winning is all that matters and relieves people of their ethical responsibilities.
- *Should Porn Be Sold by Cell Phone Companies?* addresses whether companies that supply goods and services to the public need to take ethical responsibility into account.

Cases Involving Financial Transactions

- *Goldman Sachs & the Greek Veil* deals with the ethicality of Goldman Sachs's role in arranging transactions that hid some of the borrowing by Greece at the time when Greece wanted admission to the European Monetary Union (EMU). Greece subsequently borrowed even more with EMU backing and then needed a bailout from EMU members.
- *Martha Stewart's Lost Reputation* offers an opportunity to understand how Martha lost her reputation and, with investors, a lot of money, based on allegations of selling a personal investment after receiving a tip from the CEO, who was a personal friend. What constitutes reputation? How do stakeholders fit into reputation and brand image development? What constitutes insider trading, and why is it a conflict-of-interest situation? Should insider trading be encouraged or banned? These are issues raised by the case.

Cases Involving the Control of Information

- *Google versus China* recounts Google's reaction to a cyberattack, which probably originated in China, to obtain confidential software codes. Should Google permit the Chinese government to monitor the information that is available on the Internet?
- *China's Tainted Baby Milk Powder: Rumored Control of Online News* reveals the excessive pursuit of profit, lax attention to content, and flawed health regulation that caused deaths and illness of babies in China and pets in North America. In addition, the case identifies unexpected problems associated with rumored control of online news to manage reputation risks.

Cases Concerning the Environment

- *Nestlé Bottles Water in a California Drought* presents the dilemma of whether it is ethical to reduce the water table level during a drought in order to bottle spring water.
- *Bhopal–Union Carbide* is intended to raise the reader's awareness of ethical issues facing modern corporations. It presents the reader with an event that, although improbable, happens repeatedly in different scenarios and offers the reader an opportunity to explore what they and others believe to be appropriate levels of corporate responsibility and ethical behavior.
- *Texaco in Ecuador* outlines the environmental difficulties Texaco faced in their oil operations in Ecuador. Even after leaving the country, Texaco was sued in U.S. courts by South Americans. Did Texaco act responsibly? Could this have been prevented?

Product Safety Cases

- *The Right to be Informed? The Link between Talcum Powder & Cervical Cancer* indicates that Johnson & Johnson knew for many years that their talcum powder was associated with higher levels of cervical cancer but never disclosed this to its customers. Was this ethical? Was it legal?
- *J & J Dances the Texas Two-Step* updates The Right to be Informed Case by focusing on the bankruptcy maneuver that J & J sought to use to cap the payouts to customers who claimed to have developed cancer because of the asbestos in J & J's talc that became known to cause mesothelioma, and because J & J denied the presence of asbestos and its link to cancer for so long. Was it fair? Could it have been improved? Who should be punished?
- *Betaseron (A)* discusses the real dilemmas that were faced by a pharmaceutical management team when they faced difficult choices affecting customers' quality of life. The ethical implications of such decisions can be ignored but not without cost.
- *Magnetic Toys Can Hurt* explains how a Mega Brands product was potentially harmful to children if they swallowed powerful magnets contained in the toys. The product was recalled only after the company was pressured by the government and the public.

Accounting & Auditing Cases

- *Where Were the Accountants?* presents a brief series of scandals and ethical problems on which management accountants, academic accountants, and auditors could have commented in time to significantly mitigate the outcome. Why didn't they? Should they have?
- *Resign or Serve?* introduces the problem of balancing ethical trade-offs in a modern, creative economic world. How far should an auditor go to protect a fellow professional, the profession, or the public?

Case Involving the Challenges of AI

AI Due Diligence & Responsibility

Ethics Case

Artificial intelligence (AI) in recruitment has expanded dramatically in recent years, offering the potential for significant improvements in candidate selection processes through increased efficiency, scalability, and purportedly reduced bias compared to traditional human recruiters. However, practical deployments of AI technologies in hiring contexts have uncovered a series of complex ethical challenges, vividly illustrated by Amazon's controversial use of AI-driven recruitment algorithms.

In 2018, Amazon ceased using an AI recruitment tool intended to automate the candidate shortlisting process after it was discovered to systematically discriminate against female applicants. The algorithm had been developed by training it on a decade's worth of historical hiring data, which predominantly reflected male candidates due to industry demographics and existing biases. As a result, the AI algorithm learned to associate success indicators disproportionately with male-centric language, credentials, and experiences. This bias became evident when resumes mentioning women's colleges, certain gender-specific activities, or terminology traditionally associated with female experiences were unfairly downgraded, thereby severely limiting the hiring prospects for otherwise qualified female applicants.[1]

[1] Dastin, J. (2018). "Amazon scrapped 'sexist' AI recruiting tool that showed bias against women." Reuters. Retrieved from https://www.reuters.com/article/us-amazon-com-jobs-automation-insight-idUSKCN1MK08G.

AI-driven biases are not exclusive to recruitment and have emerged across multiple industries. In the banking sector, AI systems designed for mortgage underwriting have demonstrated racial biases. Research conducted by Lehigh University revealed that mortgage lending AI algorithms disproportionately disadvantaged Black applicants, raising significant ethical and regulatory concerns regarding fairness and equality in financial services.[2]

Similarly, the healthcare sector experienced unintended biases in AI applications. A notable case involved an AI model developed for diagnosing skin cancer. The algorithm incorrectly learned to associate images containing rulers—commonly used to provide scale in medical imaging—with malignant tumors. Consequently, the AI system incorrectly flagged benign images as indicative of cancer solely based on the presence of rulers, highlighting critical flaws in algorithmic training methods and data biases.[3]

Questions

1. The problems noted in the case relate to biases built into decision making through the use of historical data to train an AI algorithm. How can problems like these be avoided?
2. Even decision criteria entered into AI algorithms by ethically sensitive people can build in unconscious biases. How should an organization guard against the inclusion of unconscious bias in its decision-making processes?
3. As time passes, the perception of what are correct ethical parameters changes. How can organizations ensure that their decision parameters are up to date?

[2] Lehigh University. (2024). "AI exhibits racial bias in mortgage underwriting decisions." Retrieved from https://news.lehigh.edu/ai-exhibits-racial-bias-in-mortgage-underwriting-decisions.

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Cases Involving Questionable Business Models

Shein Fast Fashion

Ethics Case

Shein, the Chinese-founded fashion giant, epitomizes the rise and controversy surrounding ultra-fast fashion. Leveraging sophisticated algorithms and an extensive global supply chain, Shein introduces thousands of new products daily, significantly outpacing traditional fast fashion brands such as Zara and H&M. This model has propelled Shein to remarkable financial success, achieving an estimated valuation exceeding $66 billion as of 2024.[1] Its revenue surged past $30 billion annually, demonstrating the sheer magnitude and consumer appeal of rapid, affordable fashion trends.[2]

However, the meteoric rise of Shein is marred by severe ethical and sustainability concerns. Primarily, its business model inherently promotes unsustainable consumption patterns, contributing significantly to environmental degradation. The ultra-fast fashion cycle results in significant textile waste, with approximately 92 million tons of garments discarded annually, of which 85% end up in landfills due to their short lifecycle and inferior quality.[3] Additionally, the environmental footprint is exacerbated by reliance on cheap synthetic fabrics derived from petrochemicals, intensifying issues surrounding microplastic pollution and greenhouse gas emissions.

Moreover, the ethics of Shein's labor practices remain contentious. Reports have emerged repeatedly, citing excessively long working hours, inadequate wages, and unsafe working conditions across its supplier factories. Recent financial analyses indicate

[1] Li, C., & Mattinson, E. (2024). "Valuation and Venture Capital Trends in Fast Fashion," *Financial Analysis Journal*, 80(1), 22–38.

[2] Nguyen, J., & Brown, A. (2024). "Ultra-Fast Fashion's Global Revenue Surge," *Business Week*, 89(4), 102–107.

[3] Bick, R., & Halsey, E. (2024). "Environmental Costs of Ultra-Fast Fashion," *Journal of Sustainable Business Practices*, 15(2), 45–67.

significant investor unease, following reports of Shein's profits declining sharply by nearly 36% in 2024 amid intensified scrutiny of labor conditions and regulatory challenges.[4] Such labor conditions, while driving Shein's competitive pricing and profitability, reflect profound ethical failures and generate significant reputational and financial risks.

Financially, Shein faces increasing pressure from regulatory bodies and informed consumers demanding transparency and accountability. Regulatory fines, such as the €1 billion penalty imposed on H&M by the European Union for data privacy breaches in 2020, potential trade restrictions, and costly remedial measures, loom as material financial risks that could substantially impact profitability and operational stability. Investors and stakeholders are now critically evaluating whether short-term financial gains are sustainable amid rising ethical scrutiny and potential legal implications.[5]

Questions

1. Is Shein really responsible for the ultra-fast fashion cycle?
2. If Shein doesn't supply the ultra-fast fashion product that customers want, won't some other company supply it anyway? What is expected of Shein anyway? Are they just to leave the market to others?
3. What is likely to happen if Shein doesn't change its abusive labor practices? What should Shien do to mitigate this outcome?
4. Traditionally, companies were not very transparent about their operations and felt they were only accountable to shareholders and regulators. Why and how has this changed, and what should Shein do, if anything, to respond to growing pressures for transparency?

[4] CTOL Digital. (2024). "Shein Profit Crash and Investor Warning: A Fast-Fashion Shakeup." Retrieved from https://www.ctol.digital/news/shein-profit-crash-investor-warning-fast-fashion-shakeup/.

[5] Smith, A. (2024). "Ethical Investing and the New Scrutiny on Fast Fashion Giants," *International Finance Review*, 18(3), 105–129.

The Travails of Valeant Pharmaceutical

Ethics Case

In June 2010, the Canadian pharmaceutical company Biovail Corp. merged with the American pharmaceutical company Valeant Pharmaceuticals International in a $3.3 billion deal. The merged company, incorporated in Canada, retained the name Valeant Pharmaceuticals. Its headquarters were initially in Mississauga, Ontario. In 2012, it moved to Laval, Quebec.

Michael Pearson retained his position as CEO of the new Valeant. Pearson's compensation, based upon meeting certain shareholder return targets, was a combination of salary, bonuses, stock, and stock options. The shareholder return targets encouraged Pearson to focus on increasing Valeant's share price. "All I care about is our shareholders," he said.[1] Pharmaceutical companies can increase their revenues by either increasing sales volume and/or increasing the price of the drugs sold. Pearson focused on price rather than volume.

Business Strategy

Developing a successful pharmaceutical product is costly. Drug makers invest from 15% to 20% of their sales revenue in R&D in the hope that at least one drug will become successful. Multi-year patents that preclude other companies from selling similar generic drugs are the reward for developing a marketable drug. Some of these wonder drugs are essential for human life. People with medical plans have insurance companies pay for all or a portion of the cost of their prescription drugs.

Pearson's strategy was to make a minimal investment in R&D, only 3% of sales revenue. Instead, Valeant bought numerous smaller pharmaceutical companies for their existing lines of prescription drugs and then increased the price of these drugs. It also bought large drug firms.

- In 2012, it acquired Medicis Pharmaceutical for $2.6 billion.
- In 2013, it bought the eye care products company Bausch + Lomb for $8.7 billion.
- In 2014, it was unsuccessful in buying Allergan, the maker of Botox.
- In 2015, it bought Salix Pharmaceuticals for $11 billion.

[1] McLean, Bethany. 2016. "The Valeant meltdown and Wall Street's major drug problem." *Vanity Fair*, June 5. https://www.vanityfair.com/news/2016/06/the-valeant-meltdown-and-wall-streets-major-drug-problem.

Overall, Valeant bought over 100 companies. Debt financing funded this expansion. By 2015, Valeant had $30 billion in debt.

Valeant increased the price of the prescription drugs acquired from these other companies significantly.

- Cuprimine, for Wilson's Disease, rose from $888 to $26,189 for 100 tablets.
- Syprine, for Wilson's Disease, rose from $1,395 to $21,267 for 100 tablets.
- Glumetza, for diabetes, rose from $893 to $10,020 for 90 tablets.
- Isuprel, a heart medication, rose from $4,489 to $36,811 for 25 tablets.

In defense of these price increases, Pearson said that if "products are sort of mispriced and there's an opportunity, we will act appropriately in terms of doing what I assume our shareholders would like us to do."[2]

His strategy resulted in corporate revenues growing tenfold in six years. His goal was to make Valeant one of the five largest drug companies. In July 2015, Valeant's shares traded at $326.96 per share. Its market capitalization was $111.6 billion, making it the most valuable company traded on the Toronto stock exchange. Through his compensation package, Pearson's investment in Valeant in 2015 was $3 billion.

Philidor Rx Services

Incorporated in 2013, Philidor Rx Services was an online pharmacy. Andrew Davenport was the CEO of Philidor. Gary Tanner was the Valeant executive in charge of Alternative Fill. AF was a program to increase the sale of Valeant's prescription drugs, paid for by insurance companies, even when cheaper generic versions were available. Tanner was to expand the AF program to include other pharmacies. He didn't do so. Instead, he secretly conspired with Davenport to have Philidor as the major online pharmacy that sold Valeant's products. He communicated with Davenport using an email account in the name of "Brian Wilson." Tanner never disclosed any conflict of interest to his employer.

The two men arranged to have Philidor customers buy expensive Valeant drugs rather than cheaper generics. Philidor would fill the prescriptions for the patients using Valeant pharmaceuticals and then submit the insurance claims for those patients. The profits of both Philidor and Valeant increased substantially.

In December 2014, Tanner helped to arrange Valeant's $100 million purchase of an option to buy Philidor in 10 years. The deal gave Davenport $40 million, of which he paid $10 million to Tanner through offshore bank accounts. Valeant didn't know about the secret payment to Tanner.

Allergan and Pershing Square

Through his hedge fund, Pershing Square Capital Management, billionaire activist investor Bill Ackman owned 9.1% of Allergan, the manufacturer of Botox. In 2014, Ackman used his influence to pressure David Pyott, the CEO of Allergen, to accept Valeant's take-over offer. Pyott balked at Valeant's bid and instead found a white-knight in the pharmaceutical company Actavis that bought Allergan. Pershing Square made a substantial profit on the Actavis take-over of Allergan. Ackerman then invested in Valeant. Eventually Pershing Square owned 27.2 million shares of Valeant at an average cost of $196.

Price Gouging

In March 2016, presidential candidate Hillary Clinton accused Valeant of price gouging. The following month, a Congressional hearing looked into the pricing of pharmaceuticals. In Valeant's case, the increased prices for Cuprimine, Syprine, Glumetza, and Isuprel were 2,849%, 1,425%, 1,022%, and 720% respectively. Overall, from October 2014 to October 2015, Valeant raised the net prices of its drugs by 41.3%. For some of its products, there were no generic equivalents. For others, there were less expensive alternatives. A generic equivalent to Cuprimine sold for $1 a tablet. Valiant charged $261.89 a tablet.

The company defended itself saying that the prices reflected "a range of factors, including clinical benefits and the value they bring to patients, physicians, payers and society."[3] Furthermore, because insurance companies and financial assistance programs paid for these drugs, Valeant argued that patients were sheltered from these price increases. Critics argued that hospitals and taxpayers paid for these increased costs, and that this led to higher insurance premiums for everyone.

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[2] Pollack, Andrew & Tavernise, Sabrina. 2015. "Valeant's drug price strategy enriches it, but infuriates patients and lawmakers." *The New York Times*, October 4. https://www.nytimes.com/2015/10/05/business/valeants-drug-price-strategy-enriches-it-but-infuriates-patients-and-lawmakers.html.

[3] Pollack & Tavernise. Op. cit.

October 2015 to March 2017

Valeant never disclosed its interest in Philidor. An October 2015 report by Citron Research accused the company of fraud because investors did not know about the company's relationship with the online pharmacy. In November 2015, Citron said the company's stock was toxic because of its huge debt. The stock price of Valeant began to fall. Michael Pearson stepped down as CEO.

In April 2016, Congressional hearings revealed the enormous price increases for some of Valeant's life-saving drugs. Senator Collins of Maine said, "Valeant's monopoly model operates at the expense of real people." Senator McCaskill of Missouri said, "The notion that we can sit idly by while smart people on Wall Street can do ledger entries to create another layer of profit in the healthcare sector to benefit multimillionaires on the backs of patients and ultimately taxpayers can't continue." Testifying at the hearings, Ackman defended Valeant's business model as being smarter than its competitors' strategies. "A number of observers have suggested that the more a pharmaceutical company spends on R&D, the better for society," he said. "We do not believe this to be true." Ackman argued that Valeant did more for innovation in pharma care by acquiring other drug companies than by developing its own drugs. He did admit that some of the more drastic price increases had caused "great reputational damage."[4]

The stock price continued to fall. In October 2016, U.S. prosecutors announced an investigation into a possible financial statement fraud at Valeant. The following month, the U.S. government charged Gary Tanner and Andrew Davenport of running a fraud-and-kickback scheme. In March 2017, Pershing Square sold its investment in Valeant at $11 per share. Ackman admitted his investment in the drug company was "one very big mistake."[5]

Questions

1. Is there anything wrong with increasing the price of prescription drugs given that many people do not pay for their prescription drugs? Insurance companies pay for them, either in part or in whole.
2. Gary Tanner never disclosed his conflict of interest. Is there anything Valeant could have done to prevent this conflict of interest from occurring?
3. Did Philidor do anything wrong by substituting Valeant Pharmaceuticals for generic products when filing patients' prescriptions?
4. Why do you think that Ackman supported Pearson's strategy of buying pharmaceutical companies for their existing lines of prescription medicines and then increasing the price of those drugs?
5. Do pharmaceutical companies, which sell life-saving prescription drugs, have any additional responsibilities beyond operating efficiently and effectively?

[4] All three quotes are from: CBC. 2016. "Valeant Pharmaceuticals blasted by U.S. lawmakers over drug price hikes." *CBC News*, April 27. https://www.cbc.ca/news/business/valeant-senate-ceo-1.3555259.

[5] Wang, Christine. 2017. "Ackman sells Valeant stake, stock plunges." *CNBC*, March 13. https://www.cnbc.com/2017/03/13/ackman-has-sold-out-of-valeant-will-step-down-from-board-sources.html.

Valeant Pharmaceuticals vs. Coca-Cola—Which Business Model Is Worse: Price Gouging or Fostering Obesity & Diabetes?

Ethics Case

It was a battle of titans. Warren Buffett, long considered the world's most successful value investor through his Berkshire Hathaway Inc. and a major shareholder in Coca-Cola Co., claimed that Valeant Pharmaceuticals' business model was "enormously flawed." In response, billionaire investor, Bill Ackman, who was a major shareholder in Valeant, through his investment company Pershing Square Capital Management, criticized Buffet saying that Coca-Cola has "probably done more to create obesity, [and] diabetes on a global basis than any other company in the world."[1] Which one of these titans was correct? Does it matter?

Valeant Pharmaceuticals had become extremely profitable by buying drugs developed by other companies

[1] All quotations are drawn from Margaret Collins, Noah Buhayar, and Cynthia Koons, "Valeant Pharmaceuticals International Inc.'s Business Model 'Enormously Flawed,' Warren Buffett Tells Investors," *Bloomberg News*, May 2, 2016, accessed August 5, 2016, at http://business.financialpost.com/investing/market-moves/valeant-pharmaceuticals-international-inc-s-business-model-enormously-flawed-warren-buffett-tells-investors?__lsa=5d91-bb28.

and then raising their prices astronomically.[2] For example, in February 2015, Valeant "bought the rights to a pair of life-saving heart drugs [Isuprel and Nitropress]. The same day, their list prices rose by 525% and 212%."[3] The negative impact of these price increases on heart patients and similar increases on drugs by other pharmaceutical companies, especially Turing Pharmaceuticals in 2015, raised a public outcry. U.S. politicians summoned company officials to a public hearing on why they were price-gouging vulnerable members of society. This brought significant pressure on Valeant's CEO and Board of Directors, and they subsequently lowered the prices of these drugs.[4]

At the same time, questions were raised about the relationship between Valeant and a specialty online pharmacy retailer, Philidor, which supplied Valeant's products to the U.S. market and accounted for approximately 10% of Valeant's revenue. Valeant had an arrangement that compensated Philidor handsomely if Valeant's revenue reached a specific level, and Philidor worked very hard, possibly fraudulently, to "persuade" insurers and doctors to choose Valeant's products and achieve the desired sales level.[5] Under public pressure, Valeant terminated its relationship with Philidor and subsequently switched its sales to Walgreens.[6] Philidor closed its doors as a result.[7]

Valeant's CEO, Michael Pearson, resigned on March 21, 2016, but remained one of its largest shareholders.[8] He had benefited significantly from earlier incentive remuneration allocations of stock options. Although the price of Valeant's shares had declined almost 80% since the beginning of 2016, he proceeded to sell some of his shares to settle his debts: June 30: 288,441 shares for $5.8 million; July 5: 411,601 shares for $8.2 million; and July 1: 4,144,687 shares for $82.9 million. Afterward, he stated that he had no intention to sell further shares (estimated at 3.5 million) until the company recovered.[9]

Questions

1. Compare the ethicality of the two business models—(a) price gouging and questionable practices by Valeant to (b) contributing to obesity and diabetes by Coca-Cola. Which is worse?
2. From a business standpoint, what is the most significant loss that could occur to each of Valeant and Coca-Cola as a result of their business models?
3. Based on your assessment of the two business models, what would you do if you owned shares in each company: Continue to hold? Sell? Something else? What was your reasoning for the action chosen?
4. Review the incentive remuneration disclosures in Valeant's Securities Exchange Commission (SEC) 10-K filings for 2012, 2013, and 2014. Were the incentive arrangements with Valeant's CEO, Michael Pearson, appropriate?
5. How much of a price increase for Isuprel and Nitropress would have been considered reasonable and would not have attracted negative attention?

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[2] Jonathan D. Rockoff and Ed Silverman, "Pharmaceutical Companies Buy Rivals' Drugs, Then Jack Up the Prices," April 26, 2015, accessed August 5, 2016, at http://www.wsj.com/articles/pharmaceutical-companies-buy-rivals-drugs-then-jack-up-the-prices-1430096431.

[3] Ibid.

[4] Damon van der Linde, "U.S. Senate Unmoved by Valeant Pharmaceuticals Presenting Itself as a Changed Company," April 27, 2016, accessed August 5, 2016, at http://business. financialpost.com/investing/market-moves/u-s-senate-unmoved-by-valeant-pharmaceutical-presenting-itself-as-a-changed-company?__lsa=c64b-14d2.

[5] Caroline Chen and Ben Elgin, "Philidor Said to Modify Prescriptions to Boost Valeant Sales," Bloomberg.com, October 29, 2015, accessed August 5, 2016, at http://www.bloomberg.com/news/articles/2015-10-29/philidor-said-to-modifyprescriptions-to-boost-valeant-sales; Robert Langreth and Neil Weinberg, "Valeant Pharmaceuticals Offered Philidor Millions of Dollars to Hit Sales Targets on Its Drugs, Contracts Show," *Bloomberg News*, May 9, 2016, accessed August 5, 2016, at http://business.financialpost.com/investing/market-moves/valeant-pharmaceuticals-offered-philidor-millions-of-dollars-to-hit-sales-targets-on-its-drugs-contracts-show?__lsa=e61c-8abe.

[6] Meg Tirrell, "Valeant Strikes Distribution Deal with Walgreens," CNBC, December 1, 2015, accessed August 11, 2016, at http://www.cnbc.com/2015/12/15/valeant-strikes-distribution-deal-with-walgreens.html.

[7] "Philidor to Close Up Shop as Valeant Cuts Ties with Specialty Pharmacy," Associated Press, October 30, 2015, accessed August 11, 2016, at http://www.cbc.ca/news/business/valeant-philidor-drug-1.3295947.

[8] Rupert Neate and agencies, "Valeant CEO Resigns over Drug Company's 'Improper' Financial Conduct," *The Guardian*, March 21, 2016, accessed August 11, 2016, at https://www.theguardian.com/business/2016/mar/21/valeant-ceo-michael-pearson-resigns-financial-conduct; Ross Marowits, "Valeant Pharmaceuticals CEO Stepping Down, Board Director Refuses to Resign," The Canadian Press, March 21, 2016, http://www.haidagwaiiobserver.com/national/372960661.html.

[9] Jacquie McNish and Charley Grant, "Valeant's Ex-CEO Michael Pearson Sells Nearly $100 Million in Company Stock," *Wall Street Journal*, July 14, 2016, accessed July 25, 2016, at http://www.wsj.com/articles/valeants-ex-ceo-michael-pearson-sells-nearly-100-million-in-company-stock-1468446524.

Cases Involving Improper Behavior

Buying & Selling Blood

Ethics Case

In Canada, selling body parts, such as organs, sperm, and eggs, is illegal. Selling blood is not. Canadian Blood Services, which manages the blood supply for Canadians, neither pays for nor sells blood. It is freely available to whoever needs it. A similar system operates in the United Kingdom, where the National Health Service Blood and Transplant Authority also relies on voluntary blood donations from the public. In most countries in the world, donors freely give their blood to help others. That is not the case in the United States, where blood is bought and sold like any other commodity.

In the 1980s, about 30,000 Canadians were infected with HIV and hepatitis C from tainted blood and plasma that had been imported from the United States. The Krever Commission, which investigated the tainted blood scandal, found that the American donors, who had been paid, had not been adequately screened and often came from high-risk populations. One of the recommendations of the commission was that blood donations in Canada should be from unpaid donors. The findings of the Krever Commission resulted in the formation of Canadian Blood Services, a not-for-profit organization that oversees the blood supply in Canada.

The plasma industry is highly competitive and international. Plasma is used not only for blood transfusion but also for the production of various pharmaceutical products. In various parts of the world, blood can be bought for as little as a dollar a pint and can be sold to hospitals for up to $150 per pint.

On March 18, 2014, a start-up company called Canadian Plasma Resources opened its first blood donation clinic. The company hired forty people and spent $7 million on two clinics in Toronto and a third in Hamilton. The clinics were located near homeless shelters and in poor neighborhoods. The purpose of these clinics was to buy blood. It would pay donors $25 for each donation, and regular donors could donate up to once a week. The company said that it would follow all Health Canada guidelines. Barzin Bahardoust, the CEO of Canadian Plasma Resources, said that his company will meet market demand and create local jobs. Bahardoust's long-term goal was to establish a plasma manufacturing facility in Canada. "This is our hope. But it is a huge investment. Not comparable to setting up a few plasma centres."[1]

Questions

1. Is it unethical to pay donors for making blood donations?
2. Is blood a commodity that can be bought and sold like any other commodity?
3. Is there a difference between selling blood that can be used in transfusions and selling blood that will be used to make pharmaceutical products?
4. Do companies, such as Canadian Plasma Resources, contribute to drug addiction and alcoholism by locating their clinics in poorer neighborhoods?

Sources: Ian Merringer, "Proposal for Paid Blood Plasma Donations Prompts Concerns," *The Globe and Mail*, January 31, 2014.

Kelly Grant, "Ontario Tries to Ban Blood-Buying before Clinics Open," *The Globe and Mail*, March 14, 2014.

[1] Kelly Crowe, "Paying for Blood Plasma Raises New Questions," *CBC News*, April 25, 2013.

Pedophile Priests in the Catholic Church

Ethics Case

In January 2002, the *Boston Globe* began a series of articles reporting that Fr. John Geoghan had been transferred from one parish to another in the Archdiocese of Boston, even though senior church officials knew that he was a pedophile. There was outrage among parishioners that archdiocesan administrators, including Cardinal Bernard Law, could be complacent about Fr. Geoghan's behavior while he was being relocated to various parishes. The message being sent was that "abusive priests mattered more than innocent children." Anger among Boston Catholics led to the formation of Voice of the Faithful, a grassroots movement among concerned Catholics in the Boston area that quickly spread to become an international movement. Their call was simple: Keep the Faith, Change the Church. Their plea was eventually heard. Cardinal Law resigned, and Fr. Geoghan was sent to prison, where he died.

However, the problem of sexual abuse by the clergy became a worldwide scandal. Abuses were reported in various countries around the world. In Canada, it concerned children who were at the Mount Cashel Orphanage in Newfoundland. In Ireland, the allegations were so severe that Pope Benedict XVI had a special team of cardinals investigate the matter. In March 2010, the pope issued an apology to the Catholics of Ireland. He acknowledged that serious mistakes had been made by the clergy and recommended that "no effort should be spared in improving and updating existing procedures" so that this would not reoccur. For some the apology was enough, while other Catholics called for the pope's resignation.

Questions

1. What are the responsibilities of employees who become aware of unethical behavior by their superiors?
2. What actions should be taken by corporate leaders when they receive reports of sexual abuse? Why?
3. If unethical or illegal behavior occurs within a business enterprise, how can employees bring about change when initial reports are ignored?
4. Why do you think that senior managers want to cover up scandals that occur within their organizations?
5. What actions can senior managers take to repair the damaged reputations of their organizations after scandals become publicly known? Do you think that apologies are worthwhile?

Sources: Benedict XVI, "Pastoral Letter of the Holy Father Pope Benedict XVI to the Catholics of Ireland," 2010, http://w2.vatican.va/content/benedict-xvi/en/letters/2010/documents/hf_ben-xvi_let_20100319_church-ireland.html.

B. Gutierrez, J. Howard-Grenville, and M. A. Scully, "The Faithful Rise Up: Split Identification and an Unlikely Change Effort," *Academy of Management Journal* 53, no. 4 (2010): 673–99.

James E. Post, *Voice of the Faithful—A Decade of Catholic Activism*, http://www.votf.org/2012Conference/VOTFADecadeof Catholic Activism.pdf.

Sexual Abuse by a Penn State Football Coach

Ethics Case

In June 2012, Jerry Sandusky was convicted of sexually abusing ten boys while he was an assistant football coach at Pennsylvania State University. His abuse of children went back almost fourteen years and was known by his superior, Joe Paterno, the head football coach. In 1998, there was an investigation by Penn State campus police after an allegation that Sandusky had molested a boy in the football shower room. It was later revealed that Paterno lied when he said that he was not aware of the 1998 investigation. In 2001, there was a report that Sandusky had abused a ten-year-old boy in the showers at Penn State. Paterno convinced the university's senior administrators, including President Graham Spanier, that they should simply issue a warning letter to Sandusky. Finally, in November 2011, Sandusky was arrested on charges of sexually abusing ten boys. That same month, both Paterno, who held the record for the largest number of victories in American college football history, and Spanier, who was one of the longest-serving U.S. university presidents, were fired.

In July 2012, Louis Freeh, a former director of the Federal Bureau of Investigation (FBI) who had been hired by Penn State University, issued a 250-page report to the university and turned his evidence over to the Pennsylvania state attorney general. As a result, Tim Curley, the athletic director, and Garry Schultz, of campus police, are now facing criminal charges for their role in the 2001 cover-up.

Why would so many senior administrators protect a known pedophile and engage in such a cover-up? According to Freeh, there was a pervasive fear of bad publicity. "That publicity, Mr. Freeh said Thursday, would have hurt the nationally ranked football program, Mr. Paterno's reputation as a coach of high principles, the Penn State 'brand' and the university's ability to raise money as one of the most respected public institutions in the country."

Questions

1. Football is big business, raising millions and millions of dollars for American universities. Numerous administrators and officials at Penn State University put a higher value on college football than on the welfare of children. How would an organization develop such a misguided culture?
2. Louis Freeh discovered that a janitor saw Jerry Sandusky abusing a boy in the showers in 2000 but

said nothing because he was afraid to "take on the football program." Why do you think that certain organizational departments and programs develop a mystique such that their activities and behaviors cannot be challenged or questioned? What can organizations do to prevent this from happening?

Sources: K. Belson, "Abuse Scandal Inquiry Damns Paterno and Penn State," *New York Times*, July 12, 2012.

L. J. Freeh, *The Freeh Report on Pennsylvania State University*, 2012, https://www.documentcloud.org/documents/396512-report-final-071212.html.

Advertising & Sales Promotion Cases

Tiger Woods: "Winning Takes Care of Everything"

Ethics Case

Tiger Woods, once probably the world's greatest golfer, lost his number one ranking in October 2010, the same year that his marriage to Elin Nordegren blew up when she chased him out of the house and broke the windows of his vehicle with a 9 iron. His popularity sagged as the stories of his infidelity with strippers became common in national news and his back injuries prevented him from competing at his best.

Nike severed its relationship with Lance Armstrong after he revealed using performance-enhancing drugs and with Oscar Pistorius after he shot his girlfriend. But Nike kept its sponsorship arrangement with Tiger, generating huge revenues for both. However, there was immediate and critical reaction from many when Nike posted an online ad in May 2013 that carried a picture of Tiger superimposed by the quote "Winning Takes Care of Everything." Others did not seem to mind the double-edged inference projected by the ad: that it does not matter how you play the game of golf or the game of life—it matters only if you win.

If you win, can you get away with anything?

Questions

1. Does winning take care of everything? In golf? In life? In business?
2. Does how you play the game or run your business ever matter?
3. Is the reputational impact of unethical behavior different for a sports star than for a business or for yourself?

Sources: "Nike's Tiger Woods Ad Draws Critics," ESPN.com News Services, May 29, 2013, accessed July 19, 2016, at http://espn.go.com/golf/story/_/id/9100497/nike-winning-takes-care-everything-tiger-woods-ad-draws-critics.

The Nike ad is shown in the story "Does Winning Take Care of Everything?" Global News on YouTube, March 28, 2013, accessed July 19, 2016, at https://www.youtube.com/watch?v=RgGixKWOv1w.

Should Porn Be Sold by Cell Phone Companies?

Ethics Case

Telus Corp., the second-largest wireless company in Canada, introduced an "adult content" service to their cell phone customers in 2007. Customers were charged $3 to $4 for downloads, and the company expected to make very large amounts of money based on observable Internet trends.

Fairly quickly, however, Telus was under pressure from customers rather than the government to discontinue the service, even though the service was apparently legal. In response, Telus's company spokespeople argued about the following:

- The service consisted of photographs and videos featuring "full and partial nudity, but no sex."
- Customers would be age-verified very rigorously to prove they were adults.
- The service was already universally available, although Telus was the first wireless carrier in North America to offer such a service.[1]

[1] Virginia Galt, "Telus Hangs Up on Mobile Porn Service," *The Globe and Mail*, February 21, 2007.

There were many complaints in the form of calls from cell phone users and the Roman Catholic Church threatening to discontinue their contracts with Telus. According to Archbishop Roussin, the service "takes the accessibility of pornographic material further into the public realm."[2]

At the same time, Telus was developing a community support program involving community investment boards and ambassadors in an effort to improve its reputation and acceptance. On its website at the time, Telus stated:

> At Telus, we aspire to be Canada's premier corporate citizen. We are committed to building a corporate culture of giving, and engaging the hearts and minds of our team members and retirees to improve the quality of life in our communities. We recognize that leading the way in corporate social responsibility is as important as our financial performance. We have made a commitment to our customers, shareholders and all stakeholders to stay ahead of our competitors in all aspects of business—economically, environmentally and socially. Corporate social responsibility remains an integral part of what we do—it defines our business practices and culture as we strive to achieve long-term sustainable growth.[3]

Questions

1. If selling pornography is legal, profitable, and readily available elsewhere, should Telus shut down its adult service? Why or why not?
2. Telus said that it wanted to be Canada's premier corporate citizen. Should companies such as Telus feel obligated to give back to society?

[2] Gudrun Schultz, "BC Archbishop Considers Cancelling Telus Contract over Porn Sales," LifeSiteNews.com, February 12, 2007.
[3] Telus's website at http://wwwr.telns.com at the community investment page. The message has changed somewhat on the current website.

Cases Involving Financial Transactions

Goldman Sachs & the Greek Veil

Ethics Case

On February 11, 2010, the leaders of the European Union (EU) agreed on a plan to bail out Greece, a country that had joined the EU in 1981 and was admitted to the European Monetary Union (EMU), allowing Greece to adopt the euro as its currency in 2001. Greece had been unable to pay its bills or to borrow more money to do so because it had overspent its income on its social programs and other projects. In the aftermath of providing Greece with bailout credit ultimately totaling €100 billion ($147 billion),[1] questions were asked about how this could have happened. A spotlight was brought to bear on how Goldman Sachs (GS) had enabled Greece to qualify for adopting the euro in the first place[2] and for providing the means to hide some transactions in which Greece pledged its future revenues in return for instant cash to spend. In a sense, GS helped Greece draw a veil over its finances with arrangements that were not transparent.

In 2001, Greece wanted to join the EMU but faced a requirement that its ratio of debt to gross domestic product (GDP) ratio be less than 60%.[3] Unfortunately, Greece had some debt that was payable in U.S. dollars (USD) and other debt in Japanese yen. Both currencies had grown in value relative to the euro in 1999 and 2000. Under EU rules, such unhedged debt had to be valued and reported at the year-end exchange rates, so Greece faced the prospect of reporting increased debt liabilities.

In late 2000 and 2001, GS proposed and arranged two types of hedges that reduced reported Greek debt by

[1] Lefteris Papadimas and Jan Strupczewski, "EU, IMF Agree $147 Billion Bailout for Greece," Reuters, May 2, 2010, http://www.reuters.com/article/2010/05/02/us-eurozone-idUSTRE6400PJ20100502.
[2] See, for example, the interview "Is Goldman Responsible for Greek Crisis?," Russia Today Commentary, February 11, 2010, https://www.youtube.com/watch?v=tCe80hsx-ig.
[3] Goldman Sachs, "Goldman Sachs Transactions in Greece," accessed November 27, 2010, at http://www2.goldmansachs.com/our-firm/on-the-issues/viewpoint/viewpoint-articles/greece.html.

€2.367 billion and allowed Greece to access unreported, off-balance-sheet financing:

- Currency hedges that turned the USD and yen debt payments into euro payments and subsequently the Greek swap portfolio into new cross-currency swaps valued using a historical implied foreign exchange rate rather than market value exchange rate. Since the historical exchange rate was lower than the market rate at the time, the resulting valuation of the debt was reduced by almost €2.4 billion ($3.2 billion).
- Interest rate swaps that, when coupled with a bond, provided Greece with instant cash in 2001 in return for pledging future landing fees at its airports. GS was reportedly paid $300 million for this transaction. A similar deal was reached in 2000 when Greece pledged the future revenue from its national lottery in return for cash. Greece was obligated to pay GS substantial amounts until 2019 under these agreements but chose to sell these interest rate swaps to the National Bank of Greece in 2005 after criticism in the Greek Parliament.[4]

In essence, through these so-called interest rate swaps, Greece was converting a stream of variable future cash flows into instant cash. However, although there was a fierce debate among EU finance ministers, these obligations to pay out future cash flows were not required to be disclosed in 2001 and were therefore a type of "off-balance-sheet financing." In 2002, the requirements changed, and these obligations did require disclosure. Humorously, the 2000 deal related to a legal entity called Aeolos that was created for the purpose—Aeolos is the Greek goddess of wind.[5]

In response to public criticism, GS argues on its website that "these transactions [both currency and interest rate hedges] were consistent with the Eurostat principles governing their use and disclosure at the time."[6] In addition, GS argues that the reduction of €2.367 billion had "minimal effect on the country's overall fiscal situation in 2001" since its GDP was approximately $131 billion and its debt was 103.7% of GDP.[7] However, it is not clear how much cash was provided by the so-called interest rate swaps that allowed Greece to report lower debt obligations in total.

Questions

1. Did GS do anything wrong legally or ethically? Explain your answer.
2. Would it make a difference if other investment bankers were also providing such services?
3. What subsequent impacts could the transactions described above have on GS?

[4] Louise Story, Landon Thomas Jr., and Nelson D. Schwartz, "Wall St. Helped to Mask Debt Fueling Europe's Crisis," February 13, 2010, http://www.nytimes.com/2010/02/14/business/global/14debt.html?pagewanted=all&_r=0.
[5] Ibid.
[6] Ibid.
[7] Ibid.

Martha Stewart's Lost Reputation

Ethics Case

In June 2002, Martha Stewart began to wrestle with allegations that she had improperly used inside information to sell a stock investment to an unsuspecting investing public. That was when her personal friend Sam Waksal was defending himself against SEC allegations that he had tipped off his family members so that they could sell their shares of ImClone Systems Inc. (ImClone) just before other investors learned that ImClone's fortunes were about to take a dive. Observers presumed that Stewart was also tipped off, and even though she proclaimed her innocence, the rumors would not go away.

On TV daily as the reigning guru of homemaking, Stewart is the multimillionaire proprietor, president, and driving force of Martha Stewart Living Omnimedia Inc. (MSO), of which, on March 18, 2002, she owned 30,713,475 (62.6%[1]) of the class A and 30,619,375 (100%) of the class B shares. On December 27, 2001, Stewart's class A and class B shares were worth approximately $17 each, so on paper the MSO class A shares alone were worth over $500 million. Class B shares are convertible into class A shares on a one-to-one basis.

Stewart's personal life became public. The world did not know that she had sold 3,928 shares of ImClone

[1] *Proxy Statement for 2002 Annual Meeting of Stockholders of Martha Stewart Living Omnimedia, Inc.*, held May 9, 2002, SEC Edgar Filing, http://www.sec.gov/Archives/edgar/data/1091801/000095012302003236/y58395def14a.txt.

for $58 each on December 27, 2001,[2] until it surfaced in June 2002.[3] The sale generated only $227,824 for Stewart, and she avoided losing $45,673 when the stock price dropped the next day,[4] but it has caused her endless personal grief and humiliation and the loss of reputation as well as a significant drop to $5.26 in the MSO share price.

What Happened?

Stewart had made an investment in ImClone, a company that was trying to get the approval of the U.S. Food and Drug Administration (FDA) to bring to market an anti-colon cancer drug called Erbitux. Waksal, then the CEO of ImClone and a personal friend of Stewart's, was apparently warned on or close to December 25, 2001, that the FDA was going to refuse[5] to review Erbitux.[6] According to SEC allegations, Waksal relayed the information to his family so that they could dump their ImClone shares on an unsuspecting public before the official announcement. Stewart claims that she did not get any inside information early from Waksal, but regulators believe that she may have, or from her broker or her broker's aide. The activities of several of Waksal's friends, including Waksal, are under investigation by the SEC.

Waksal was arrested on June 12, 2002, and charged with "nine criminal counts of conspiracy, securities fraud and perjury, and then freed on $10 million bail."[7] In a related civil complaint, the SEC alleged that Waksal "tried to sell ImClone stock and tipped family members before ImClone's official FDA announcement on Dec. 28."[8]

According to the SEC, two unidentified members of Waksal's family sold about $10 million worth of ImClone stock in a two-day interval just before the announcement. Moreover, Waksal also tried for two days to sell nearly 80,000 ImClone shares for about $5 million, but two different brokers refused to process the trades.[9]

Stewart has denied any wrongdoing. She was quoted as saying, "In placing my trade I had no improper information.… My transaction was entirely lawful."[10] She admitted calling Waksal after selling her shares but claimed, "I did not reach Mr. Waksal, and he did not return my call."[11] She maintained that she had an agreement with her broker to sell her remaining ImClone shares "if the stock dropped below $60 per share."[12]

Stewart's public, however, was skeptical. She was asked embarrassing questions when she appeared on TV for a cooking segment, and she declined to answer, saying, "I am here to make my salad." Stewart's interactions with her broker, Peter Bacanovic, and his assistant, Douglas Faneuil, are also being scrutinized. Merrill Lynch & Co. suspended Bacanovic (who was also Waksal's broker[13]) and Faneuil, with pay, in late June. Later, since all phone calls to brokerages are taped and emails kept, it appeared to be damning when Bacanovic initially refused to provide his cell phone records to the House Energy and Commerce Commission for their investigation.[14] Moreover, on October 4, 2001, Faneuil "pleaded guilty to a charge that he accepted gifts from his superior in return for keeping quiet about circumstances surrounding Stewart's controversial stock sale."[15] Faneuil admitted that he received extra vacation time,

[2] "Martha Scrutiny Heats Up: Shares of Decorator's Company End Tough Week as Martha Stewart's ImClone Links Prove Troubling," *CNN Money*, June 14, 2002.

[3] "Martha Stewart Resigns as NYSE Board Member," Reuters per *The Financial Express*, January 5, 2003, http://www.financialexpress.com/archive/martha-stewart-resigns-as-nyse-board-member/59960.

[4] "Broker's Aide Pleads Guilty in Martha Stewart Matter," *Washington Post*, October 2, 2002.

[5] "ImClone Ex-CEO Takes the 5th: Sam Waksal Declines to Testify; His Brother Harlan Says His Sales Were Not Improper," *CNN Money*, June 13, 2001.

[6] Later it became known that the application for review had "multiple deficiencies" and provided insufficient information that the drug would work on its own. Ibid.

[7] Ibid.

[8] Ibid.

[9] Ibid.

[10] "Martha Scrutiny Heats Up."

[11] Ibid.

[12] Ibid.

[13] "Aide to Martha Stewart's Broker Admits He Withheld Information from Investigators," *CBC News*, October 2, 2002, http://cbc.ca/news.

[14] "Martha's Broker under Microscope," CBSNews.com, July 9, 2001, http://www.cbsnews. com/news/marthas-broker-under-microscope.

[15] "Martha Stewart Resigns as NYSE Board Member."

including a free airline ticket from a Merrill Lynch employee in exchange for withholding information from SEC and FBI investigators.[16]

According to the *Washington Post* report of Faneuil's appearance in court:

> On the morning of Dec. 27, Faneuil received a telephone call from a Waksal family member who asked to sell 39,472 shares for almost $2.5 million, according to court records. Waksal's accountant also called Faneuil in an unsuccessful attempt to sell a large bloc of shares, the records show.
>
> Prosecutors allege that those orders "constituted material non-public information." But they alleged that Faneuil violated his duty to Merrill Lynch by calling a "tippee" to relate that Waksal family members were attempting to liquidate their holdings in ImClone.
>
> That person then sold "all the Tip-pee's shares of ImClone stock, approximately 3,928 shares, yielding proceeds of approximately $228,000" the court papers said.[17]

One day later, on October 5, it was announced that Stewart resigned from her post as a director of the New York Stock Exchange (NYSE)—a post she held only four months—and the price of MSO shares declined more than 7% to $6.32 in afternoon trading.[18] From June 12 to October 12, the share price of MSO had declined by approximately 61%.[19]

Stewart's future took a further interesting turn on October 15, when Waksal pleaded guilty to six counts of his indictment, including bank fraud, securities fraud, conspiracy to obstruct justice, and perjury. But he did not agree to cooperate with prosecutors and did not incriminate Stewart.[20] Waksal's sentencing was postponed until 2003 so that his lawyers could exchange information with U.S. District Judge William Pauley concerning Waksal's financial records.[21]

After October 15, the price of MSO shares rose—perhaps as the prospect of Stewart's going to jail appeared to become more remote and/or people began to consider MSO to be more than just Stewart and her reputation. The gain from the low point of the MSO share price in October to December 9, 2002, was about 40%.[22]

Stewart still had a lot to think about, however. The SEC gave her notice in September of its intent to file civil securities fraud charges against her. Stewart's lawyers responded, and the SEC deliberated. Even if Stewart were to get off with a fine, prosecutors could still bring a criminal case against her in the future. It is an interesting legal question, how, if Stewart were to plead guilty to the civil charges, she could avoid criminal liability.[23]

On June 4, 2003, Stewart was indicted on charges of obstructing justice and securities fraud. She then quit as chairman and CEO of her company but stayed on the board and served as chief creative officer. She appeared in court on January 20, 2004, and watched the proceedings throughout her trial. In addition to the testimony of Faneuil, Stewart's personal friend Mariana Pasternak testified that Stewart told her that Waksal was trying to dump his shares shortly after selling her ImClone stock.[24] Ultimately, the jury did not believe the counterclaim by Bacanovic, Stewart's broker, that he and Stewart had a prior agreement to sell ImClone if it went below $60. Although Judge Cedarbaum dismissed the charge of securities fraud for insider trading, on March 5, 2004, the jury found Stewart guilty on one charge of conspiracy, one of obstruction of justice, and two of making false statements to investigators.[25] The announcement caused the share price of her company to sink by $2.77 to $11.26 on the NYSE.[26]

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[16] "Broker's Aide Pleads Guilty in Martha Stewart Matter."

[17] Ibid.

[18] Ibid.

[19] Assuming a value per share of $13.50 on June 12, the decline to a low of $5.26 in early October amounted to a decline of 61%.

[20] "ImClone Founder Pleads Guilty," CBSNews.com, October 15, 2002, http://www.cbsnews.com/news/imclone-founder-pleads-guilty.

[21] Ultimately, on June 10, 2003, Waksal was "sentenced to 87 months in prison for insider trading, bank fraud, perjury and obstruction of justice. He also was ordered to pay more than US$4 million in fines and restitution for illegally tipping off his daughter in December 2001, that shares in the company he founded were about to fall sharply." Peter Morton, "Waksal Jailed for 7 Years," *Financial Post*, June 11, 2003, FP3.

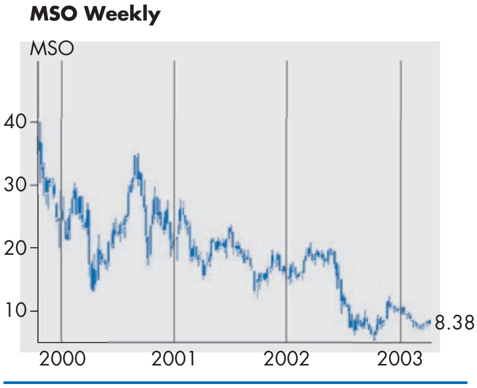
[22] "Market Betting Martha Won't Go to Jail: Shares Up 40 Percent in 6 Weeks," *Financial Post*, December 10, 2001, IN1, 3.

[23] "SEC Knocking on Martha's Door," CBSNews.com, October 22, 2002.

[24] "TIMELINE: Martha Stewart," *CNN Money*, downloaded March 5, 2004, http://money.cnn.com/pf/features/popups/martha_timeline.

[25] "Martha Stewart Found Guilty on All Charges; Vows to Appeal," *CBC.CA News*, March 5, 2005.

[26] Ibid.



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Stewart immediately posted the following on her website:

> I am obviously distressed by the jury's verdict, but I continue to take comfort in knowing that I have done nothing wrong and that I have the enduring support of my family and friends. I will appeal the verdict and continue to fight to clear my name. I believe in the fairness of the judicial system and remain confident that I will ultimately prevail.[27]

Stewart was subsequently sentenced to five months in prison and five months of home detention—a lower-than-maximum sentence under the *U.S. Sentencing Guidelines*—and she did appeal. Although she could have remained free during the appeal, on September 15, 2004, she asked for her sentence to start[28] so that she could be at home in time for the spring planting season. Stewart's appeal cited "prosecutorial misconduct, extraneous influences on the jury and erroneous evidentiary rulings and jury instructions," but on January 6, 2006, her conviction was upheld.[29]

Impact on Reputation

Stewart may still disagree with the verdict. But there is little doubt that the allegations and her convictions had a major impact on her personally and on the fortunes of MSO and the other shareholders that had faith in her and her company. Assuming a value per share of $13.50 on June 12, the decline to a low of $5.26 in early October 2003 represents a loss of market capitalization (i.e., reputation capital as defined by Charles Fombrun[30]) of approximately $250 million, or 61%. The value of MSO's shares did return to close at $35.51 on February 7, 2005,[31] but fell off to under $20 in early 2006. According to a New York brand-rating company, Brand Keys, the Martha Stewart brand reached a peak of 120 (the baseline is 100) in May 2002 and sank to a low of 63 in March 2004.[32]

What will the future hold? Stewart has returned to TV with a version of *The Apprentice* as well as her usual homemaking and design shows, and her products and magazines continue to be sold. Will she regain her earlier distinction? Would she do it again to avoid losing $45,673?

Questions

1. What was the basis of Stewart's reputation?
2. Why did MSO's stock price decline due to Stewart's loss of reputation?
3. Who is Stewart's target market?
4. What qualities were associated with the Martha Stewart brand before the controversy? Which of these were affected by the accusations of insider trading, and how? How would you find out for sure?
5. What level of sales and profits would MSO have reached if Stewart's reputation had not been harmed? Refer to the SEC or MSO websites for information on financial trends.
6. What range would the stock price have been in at the end of 2002, based on your estimates?
7. Stewart's overall net worth was huge relative to her investment in ImClone. Assuming she did not have inside information, was there any way she could have avoided the appearance of having it?
8. How could Stewart have handled this crisis better?
9. Why is insider trading considered harmful? Should insider trading be banned if it assists in moving a stock price to a new equilibrium quickly so that non-insiders are trading at appropriate prices sooner?
10. If you wished to sell an investment in a company where one of your friends is an insider or even a significant employee, should you call your friend to advise him that you are about to sell? Why or why not?

[27] "Martha Stewart: I Will Appeal," CNN.com, March 5, 2004, http://www.cnn.com/2004/LAW/03/05/martha.responds.
[28] Drew Hasselback, "Martha to Judge: Jail Me Now," *Financial Post*, September 16, 2004, FP1.
[29] Larry Neumeister, "Conviction Stands, Court Tells Celebrity Homemaker Stewart," *Toronto Star*, January 7, 2006, D3.
[30] Charles J. Fombrun, *Reputation: Realizing Value from the Corporate Image* (Boston: Harvard Business School Press, 1996).
[31] Michael Santoli, "Martha's Comeback May Be Brief," *Financial Post*, February 8, 2005, IN3.
[32] Peter Morton, "Omnimedia Eyes Life without Martha," *Financial Post*, March 9, 2004, FP1, FP4.

Cases Involving the Control of Information

Google versus China

Ethics Case

Google is the world's largest search engine. In 2009, it had approximately 400 million Web users, of which 200 million are located in the United States. Its global revenue from advertising amounted to $23.6 billion. China is the world's third-largest economy. China has a potential 384 million Internet users, and advertising revenue from China is estimated to be $15 billion to $20 billion annually. In 2006, Google began operations in China as Google.cn. Part of the agreement with the Chinese government was that the Google.cn search engine would censor information from topics that had been banned by the Chinese government.

In January 2010, Google threatened to pull out of China after it claimed that Google and some twenty other large companies had been subjected, in December 2009, to "a highly sophisticated and targeted attack"[1] designed to steal software codes. The alleged purpose of the attack was so that the Chinese government could break into the Gmail accounts of Chinese human rights activists. Although the attack was unsuccessful, Google decided it should review its operations in China. "We have decided that we are no longer willing to continue censoring our results on Google.cn, and so over the next few weeks we will be discussing with the Chinese government the basis on which we could operate an unfiltered search engine within the law, if at all. We recognize that this may well mean having to shut down Google.cn, and potentially our offices in China."[2]

Three months later, in March 2010, Google closed Google.cn and began directing its Chinese customers to a search engine in Hong Kong, Google.com.hk. Hong Kong is a special administrative region, so the Google.com.hk search engine is not subject to Chinese government censorship. The Chinese government complained that this was a violation of the written promise Google had made when it began operations in China in 2006.

The license for Google to operate in China was up for renewal on June 30, 2010. Without the license, "Google would effectively go dark in China."[3] Then, in July, a compromise was reached. The Chinese government renewed Google's license to operate in China, and Google said that it would not automatically redirect its Chinese users to the uncensored Hong Kong site. Instead, users would go to a landing page on Google.cn that is linked to Google.com.hk. In other words, users would have to double-click in order to get to the Hong Kong site. This solution saved face. Google agreed to obey Chinese laws while at the same time, by providing access to the Hong Kong site, the company could say that it was maintaining its anticensorship policies. "As a company we aspire to make information available to users everywhere, including China. It's why we have worked so hard to keep Google.cn alive, as well as to continue our research and development work in China. This new approach is consistent with our commitment not to self censor [*sic*] and, we believe, with local law."[4] After the announcement that Google's Chinese license had been renewed, the company's stock rose 2.8%.

Questions

1. When it began operations in China in 2006, Google had agreed to have the search engine Google.cn censor information. Did Google have an ethical right to renege on its agreement in 2010 by directing its Chinese users to the uncensored search engine Google.com.hk?
2. Google derives its revenue by selling advertising. Should Google be concerned about the type of information that users access through the various Google search engines?
3. Do for-profit businesses, such as Google, have an ethical responsibility to lobby for human rights and against censorship in the various countries in which they have commercial operations?

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[1] David Drummond, "A New Approach to China," *The Official Google Blog* (blog), January 12, 2010, http://googleblog.blogspot.com/2010/01/new-approach-to-china.html.

[2] Ibid.

[3] Ibid.

[4] David Drummond, "An Update on China," *The Official Google Blog* (blog), July 9, 2010, http://googleblog.blogspot.com/2010/06/update-on-china.html.

4. After the December 2009 attack, Google enhanced the security for all of its users. Does Google have any additional ethical responsibility to human rights activists to provide them with even more sophisticated architectural and infrastructure improvements so that their specific Gmail accounts cannot be compromised?

Sources: The factual information in this case has been drawn from various newspapers, including the following:

"Google And China Work It Out, For Now," Carl Gutierrez, Forbes, July 9, 2010, accessed November 11, 2016, at http://www.forbes.com/2010/07/09/google-china-baidu-markets-equities-technology-censorship.html.

Google Says China Licence Renewed by Government," *BBC News Business*, July 9, 2010, accessed December 28, 2010, at http://www.bbc.co.uk/news/10566318.

Miguel Helft and David Barboza, "Google vs. China," *Washington Post*, January 14, 2010, http://www.washingtonpost.com/wp-dyn/content/article/2010/01/13/AR2010011302908.html"

"Google Shuts China Site in Dispute over Censorship," *New York Times*, March 22, 2010, http://www.nytimes.com/2010/03/23/technology/23google.html.

China's Tainted Baby Milk Powder: Rumored Control of Online News

Ethics Case

On July 16, 2008, it was announced that several Chinese producers of baby milk powder had been adding melamine, a chemical usually used in countertops, to increase the "richness" of their milk powder and to increase the protein count. Shockingly, the melamine-tainted milk powder was responsible for the deaths of four infants and the sickening of an additional 6,200.[1] Milk manufacturers had been using melamine as a low-cost way of "enriching" their product in both taste and protein count.

Melamine, a toxic chemical that makes countertops very durable, damages kidneys.[2] This fact came to world attention on March 16, 2007, when Menu Foods of Streetsville, Ontario, Canada, recalled dog and cat foods that it had mixed in Canada from Chinese ingredients that were found to include melamine.[3] Very quickly thereafter, pet owners' claims and class action lawsuits threatened to put the company into bankruptcy until settlements were worked out.[4] A subsequent investigation by the U.S. Food and Drug Administration (FDA) led to the recall of pet food by major manufacturers, including Del Monte, Nestlé Purina, Menu Foods, and many others.[5] On February 6, 2008, "the FDA announced that two Chinese nationals and the businesses they operate, along with a U.S. company and its president and chief executive officer, were indicted by a federal grand jury for their roles in a scheme to import products purported to be wheat gluten into the United States that were contaminated with melamine."[6] It will be interesting to follow what penalties are ultimately paid by the Chinese manufacturers.

Although the story of melamine-tainted ingredients broke in mid-March 2007, the similarly tainted milk powder link did not come to light in China until sixteen months later. Governmental follow-up has not been speedy even though unmarked bags of "protein powder" had probably been added to several other products, including baking powder and feed for chickens, thus contaminating eggs and meat.[7] On October 8, 2008, the Chinese government stopped reporting updated figures of infant milk powder sufferers "because it is not an infectious disease, so it's not

[1] Sky Canaves, "Baidu Caught in Backlash over Tainted Milk Powder," WSJ.com, September 19, 2008, accessed November 18, 2008, at http://www.wsj.com/articles/SB122176870268453547.

[2] See technical report prepared by the University of Guelph Laboratory Services at http://www.labservices.uoguelph.ca/urgent.cfm.

[3] Menu Foods, "Menu Foods Income Fund Announces Precautionary Dog and Cat Food Recall," press release, accessed November 24, 2008, at http://www.menufoods.com/recall/Press_Recall_03162007.htm.

[4] Dana Flavelle, "Menu Foods Settling Pet Food Suits," Thestar.com, April 2, 2008, accessed November 24, 2008, at http://www.thestar.com/Business/article/408926.

[5] U.S. Food & Drug Administration, "Melamine Pet Food Recall of 2007," continually updated, accessed on January 11, 2020, at https://www.fda.gov/animal-veterinary/recallswithdrawals/melamine-pet-food-recall-2007.

[6] Ibid.

[7] *Wikipedia*, accessed November 24, 2008, at http://en.wikipedia.org/wiki/2008_Chinese_milk_scandal #Source_of_contamination.

necessary to announce it to the public."[8] Knowledgeable members of the Chinese public, however, have been using the suitcases of their visiting relatives to import U.S.- and Canadian-made milk formula for their children.

It is also fascinating to consider another aspect of life in China—the rumored control of online news. Although there is no proof of the rumors, which might have been started by competitors, the *Wall Street Journal*'s online service has reported that Baidu.com Inc., the company referred to as the "Google of China," is under attack for accepting payments to keep stories containing a specific milk manufacturing company's name from online searches about the tainted milk scandal even when the manufacturer was recalling the product. Local government officials also declined to confirm the milk manufacturer's problem during the same period.

Baidu.com "said it had been approached this week by several dairy producers but said that it 'flat out refused' to screen out unfavorable news and accused rivals of fanning the flames."[9] In a statement, it said, "Baidu respects the truth, and our search results reflect that commitment."

Currently, there is no evidence that Baidu.com accepted the screen-out payments as rumored, but it does face some challenges of its own making in trying to restore its reputation. For example, unlike Google, which separates or distinguishes paid advertisements from nonpaid search results, Baidu.com integrated paid advertisements into its search listing until critics recently complained. In addition, companies could pay more and get a higher ranking for their ads. According to the *Wall Street Journal* article, a search for "mobile phone" generates a list where almost the entire first page consists of paid advertisements. Also, competitors fearing increased competition and new products from Baidu.com, which recently increased its market share to 64.4%, have begun to restrict Baidu's search software (spiders) from penetrating websites that the competitors control.

Baidu.com's profit growth had been strong, but for how long? Baidu.com Inc. is traded on the U.S. NASDAQ under the symbol BIDU. Since the rumors surfaced in late August to early September 2008, BIDU's share price has declined from $308 to almost $110 on November 20, 2008.

Questions

1. Given strong profit growth, has there been any damage to Baidu.com's reputation?
2. What would future reputational damage affect, and how could it be measured?
3. What steps could Baidu.com take to restore its reputation, and what challenges will it have to overcome?
4. Governments throughout the world have been slow to react publicly to serious problems such as SARS, mad cow disease, and now melamine contamination. Who benefits and who loses because of these delays?
5. In some cultures, a "culture of secrecy" or manipulation of the news is tolerated more than in others. How can this be remedied by other governments, corporations, investors, and members of the public?
6. Many other companies with long supply chains, including subcontractors in far-off lands, have found themselves in difficulty. For example, in 1995, Nike was accused of employing child labor in Pakistan and Cambodia through its subcontractors and subsequently changed its policy and practices with respect to the minimum age of employees working in contract factories. However, it is very difficult to verify age when people do not have birth certificates or when they can be bought cheaply on the black market.
7. Under such conditions, what are a firm's responsibilities with respect to checking that each stage in the supply chain is complying with company policy?
8. Are there organizations that can help companies set standards and confirm adherence to them? If so, what are the organizations' mandates and website addresses?
9. Should Menu Foods be held responsible for the melamine found in its products?
10. Would your response be different if it were the lives of people that were at stake rather than the lives of animals?
11. How and why does Nike disclose its policies and practices with regard to supply chain responsibility, and what are the major factors covered?

[8] Ibid.

[9] Sky Canaves, "Baidu Caught in Backlash over Tainted Milk Powder," WSJ.com, September 19, 2008, accessed November 18, 2008, at http://www.wsj.com/articles/SB122176870268453547.

Cases Concerning the Environment

Nestlé Bottles Water in a California Drought

Ethics Case

The bottled water industry is lucrative and expanding, especially in the United States, where it has been growing steadily since 2010, reaching 11 billion gallons in 2014.[1] This upward trend is likely to continue as health-conscious consumers opt for water over sweetened beverages.

The Swiss multinational beverage company Nestlé operates five facilities in California that bottle approximately 700 million gallons of water. One of these bottling facilities is located in the Millard Canyon, about eighty-five miles east of Los Angeles. For over ten years, the Millard Canyon operation has been bottling spring water for export outside of California. In 2013, it pumped out 200 million gallons of groundwater, enough water for about 400 California homes for one year.

The state of California has been in a drought since 2011. In April 2015, Governor Jerry Brown enacted an emergency regulation that requires a mandatory 25% reduction in water use throughout the state. The Millard Canyon spring, however, is located on land that is owned by the Morongo Band of Mission Indians. Because this is an Indian reservation, the land is considered a sovereign nation and therefore is not required to comply with California laws and regulations.

The Millard Canyon spring is located in a Mojave Desert oasis, where only three inches of rainfall annually. Any reduction in the groundwater that is extracted from the Millard Canyon spring prevents water from seeping downhill to fill the aquifers of the nearby towns. These towns have been struggling for water during the drought.

Protesters object to the Millard Canyon bottling facility. “If you had the same bottling plant in a water-rich area, then the amount of water bottled and diverted would be a small fraction of the total water available. But this is a desert ecosystem. Surface water in the desert is exceedingly rare and has a much higher environmental value than the same amount of water somewhere else.”[2]

Local residents say that the bottling plant provides badly needed jobs in the area and is helping the local economy. The Morongo Band of Mission Indians contends that they are “responsible stewards of the environment” and that they are monitoring the bottling plant’s operation “to ensure that these water resources remain healthy and reliable for future generations.”[3]

Critics, however, note that neither the Morongo Band nor Nestlé has provided reports on exactly how much water has been extracted from the Millard Canyon spring since 2009. Because this land is considered a sovereign nation, the Morongo Indians are not required to report water consumption information. As such, critics contend that it is difficult to assess the impact of this operation on the area’s water supply.

For its part, Nestlé maintains that it complies with regulations and operates its business in a transparent manner. In a 2015 interview, the CEO, Tim Brown, noted that “people need to drink water … If I stop bottling water tomorrow, people would buy a different brand of bottled water … In fact, if I could increase [bottling], I would.”[4] In contrast, Starbucks, which sells bottled water branded as Ethos, moved its plant out of California due to the historic drought.

Questions

1. Do you think that it is ethical or unethical for Nestlé to drain the groundwater in the Millard Canyon spring during a drought?
2. Does Nestlé have an ethical obligation to disclose proprietary information, such as the amount of groundwater extracted and the water levels in the Millard Canyon spring? Or does Nestlé have the right to privacy and therefore need not disclose water consumption information?
3. From a marketing perspective, what, if anything, is required of companies in order to sell bottled water in an ethical manner?

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[1] John Rodwan, “Bottled Water 2014: Reinvigoration,” International Bottled Water Association, https://www.bottledwater.org/public/BWR%20 JulyAug %202015%20Issue_BMC_2014%20Bottled%20Water%20Statistics%20Article.pdf.

[2] Ian James, “Little Oversight as Nestlé Taps Morongo Reservation Water,” *The Desert Sun*, March 31, 2014.

[3] Ibid.

[4] Alex Lockie, “Nestlé Waters’ CEO Will ‘Absolutely Not’ Stop Bottling Water in California—‘In Fact, If I Could I’d Increase It,’ ” *Business Insider UK*, May 14, 2015.

Bhopal–Union Carbide

Ethics Case

On April 24, 1985, Warren M. Anderson, the sixty-three-year-old chairman of Union Carbide Corporation, had to make a disappointing announcement to angry stockholders at their annual meeting in Danbury, Connecticut. Anderson, who had been jailed briefly by the government of India on charges of "negligence and criminal corporate liability," had been devoting all his attention to the company's mushrooming problems. His announcement concerned the complete breakdown of negotiations with officials in the Indian government: they had rejected as inadequate an estimated $200 million in compensation for the deaths of 2,000 people and the injuries of 200,000 others, which had been caused in December 1984 by a poisonous leak of methyl isocyanate gas from a Union Carbide pesticide plant located in Bhopal, India.[1] In the wake of more than $35 billion in suits filed against the company's liability coverage, reported to total only about $200 million, the company's stock tumbled. Angry stockholders filed suit, charging that they had suffered losses of more than $1 billion because the company's managers had failed to warn them of the risks at the Indian plant. Analysts predicted the company would be forced into bankruptcy. Ironically, the Union Carbide plant in Bhopal had been losing money for several years, and Anderson had considered closing it.

The deadly methyl isocyanate gas that leaked from the Union Carbide plant is a volatile and highly toxic chemical used to make pesticides. It is 500 times more poisonous than cyanide, and it reacts explosively with almost any substance, including water. Late on the night of December 2, 1984, the methyl isocyanate stored in a tank at the Bhopal factory started boiling violently when water or some other agent accidentally entered the tank. A cooling unit that should have switched on automatically had been disabled for at least a year. Both Shakil Qureshi, a manager on duty at the time, and Suman Dey, the senior operator on duty, distrusted the initial readings on their gauges in the control room. "Instruments often didn't work," Qureshi said later. "They got corroded, and crystals would form on them."

By 11:30 p.m., the plant workers' eyes were burning. However, the workers remained unconcerned because, as they later reported, minor leaks were common at the plant and were often first detected in this way. Many of the illiterate workers were unaware of the deadly properties of the chemical. Not until 12:40 a.m., as workers began choking on the fumes, did they realize something was drastically wrong. Five minutes later, emergency valves on the storage tank exploded, and white toxic gas began shooting out of a pipestack and drifting toward the shantytowns downwind from the plant. An alarm sounded as manager Dey shouted into the factory loudspeaker that a massive leak had erupted and the workers should flee the area. Meanwhile, Qureshi ordered company fire trucks to spray the escaping gas with water to neutralize the chemical. However, water pressure was too low to reach the top of the 120-foot-high pipestack. Dey then rushed to turn on a vent scrubber that should have neutralized the escaping gas with caustic soda. Unfortunately, the scrubber had been shut down for maintenance fifteen days earlier. As white clouds continued to pour out of the pipestack, Qureshi shouted to workers to turn on a nearby flare tower to burn off the gas. The flare, however, would not go on because its pipes had corroded and were still being repaired.

Panicked workers poured out of the plant, and the lethal cloud settled over the neighboring shantytowns of Jaiprakash and Chola. Hundreds died in their beds, choking helplessly in violent spasms as their burning lungs filled with fluid. Thousands were blinded by the caustic gas, and thousands of others suffered burns and lesions in their nasal and bronchial passages. When it was over, at least 2,000 lay dead, and 200,000 were injured. The majority of the dead were squatters who had illegally built huts next to the factory. Surviving residents of the slums, most of them illiterate, declared afterward that they had built their shacks there because they did not understand the danger and thought the factory made healthy "medicine for plants."

Union Carbide managers from the United States built the Bhopal plant in 1969 with the blessing of the Indian government, which was anxious to increase production

[1] All material concerning Union Carbide and the Bhopal plant, including all quotations and all allegations, is drawn directly from the following sources: *New York Times:* December 9, 1984, IE; December 16, 1984, 1, 8; January 28, 1985, 6, 7; January 30, 1985, 6; April 25, 1985, 34; *San Jose Mercury News*: December 6, 1984, 16A; December 12, 1984, 1, 1H; December 13, 1984, 1; *Time*: December 17, 1985, 22–31.

of the pesticides it desperately needed to raise food for India's huge population. Over the next fifteen years, pesticides enabled India to cut its annual grain losses from 25% to 15%, a saving of 15 million tons of grain, or enough to feed 70 million people for a full year. Indian officials willingly accepted the technology, skills, and equipment that Union Carbide provided, and Indian workers were thankful for the company jobs, without which they would have had to beg or starve, as India has no welfare system. In return, India offered the company cheap labor, low taxes, and few laws requiring expensive environmental equipment or costly workplace protections. In comparison with other factories in India, the Union Carbide plant was considered a model, law-abiding citizen with a good safety record. Said a government official, "They never refused to install what we asked."

At the time of the disaster, the pesticide plant in Bhopal was operated by Union Carbide India Ltd, a subsidiary of the Union Carbide Corporation of Danbury, Connecticut, which had a controlling interest of 50.9% in the Indian company. The Board of Directors of Union Carbide India Ltd included one top manager from the parent Union Carbide Corporation in the United States and four managers from another Union Carbide subsidiary based in Hong Kong. Reports from the Indian company were regularly reviewed by the managers in Danbury, who had the authority to exercise financial and technical control over Union Carbide India Ltd. Although day-to-day details were left to the Indian managers, the American managers controlled budgets, set major policies, and issued technical directives for operating and maintaining the plant.

Before the tragedy, the Indian subsidiary had been doing poorly. In an effort to contain annual losses of $4 million from the unprofitable plant, local company managers had initiated several cost-cutting programs. Only a year before, the number of equipment operators on each shift had been reduced from twelve to five; morale dropped, and many of the best operators quit and were replaced with workers whose education was below that required by company manuals. Although Warren Anderson and other Union Carbide Corporation (U.S.) managers insisted that responsibility for the plant's operations rested with the local Indian managers, they hastened to say that all cost-cutting measures had been justified.

Two years before the disaster, the American managers had sent three engineers from the United States to survey the plant and, as a result, had told the Indian managers to remedy ten major flaws in safety equipment and procedures. The Indian managers had written back that the problems were corrected. "We have no reason to believe that what was represented to us by Union Carbide India Ltd. did not in fact occur," said the U.S. managers. The U.S. managers had considered closing the failing plant a year earlier, but Indian city and state officials had asked that the company remain open to preserve the jobs of thousands of workers in the plant and in dependent local industries.

Questions

1. What are the ethical issues raised by this case?
2. Did the legal doctrine of "limited liability" apply to protect the shareholders of Union Carbide Corporation (U.S.)?
3. Were the Indian operations, which were being overseen by the managers of Union Carbide Corporation (U.S.), in compliance with legal, moral, or ethical standards?

Texaco: The Ecuador Issue

Ethics Case[1]

In 1964, at the invitation of the Ecuadorian government, Texaco Inc. began operations through a subsidiary, TexPet, in the Amazon region of Ecuador. The purpose of the project was to "develop Ecuador's natural resources and encourage the *colonization* of the area." TexPet was a minority owner of the project, and its partner was Petroecuador, the government-owned oil company. Over the years from 1968 to 1992, the consortium extracted 1.4 billion barrels of oil from the Ecuadorian operations.

Ecuador benefited greatly during this period. Ecuador received approximately 98% of all moneys generated by the consortium in the form of royalties, taxes, and revenues. Altogether, this amount represented more than 50% of Ecuador's gross national product during that period. TexPet's operations over the years provided jobs for

[1] By Professor Timothy Rowley of the Rotman School of Management.

840 employees and approximately 2,000 contract workers, thereby benefiting almost 3,000 Ecuadorian families directly, in addition to the thousands of Ecuadorian nationals who supplied the company's needs for goods and services. Also, TexPet made substantial contributions to the Quito, Guayaquil, and Loja Polytechnics and other institutions of higher education. Oil is Ecuador's lifeblood—a $1 billion-per-year industry that accounts for 50% of the export earnings and 62% of its fiscal budget.

Unfortunately, problems also arose. Although Petroecuador acquired 100% of the ownership of the Transecuadorian pipeline in 1986, TexPet still accounted for 88% of all oil production and operated the pipeline in 1987 when it ruptured and was buried by a landslide. A spill of 16.8 million gallons (4.4 million barrels) occurred, which Texaco attributed to a major earthquake that devastated Ecuador.

Other spills apparently occurred as well. Although Texaco pulled out of the consortium in 1992 entirely (having retreated to be a silent minority partner in 1990), three lawsuits were filed against it in the United States—the Aquinda (November 1993), the Sequihua (August 1993), and the Jota (1994). The indigenous people who launched the lawsuits charged that, during two decades of oil drilling in the Amazon, Texaco dumped more than 3,000 gallons of crude oil a day—millions of gallons in total—into the environment. The indigenous people say that their rivers, streams, and lakes are now contaminated and that the fish and wild game that once made up their food supply are now decimated. They asked in the lawsuit that Texaco compensate them and clean up their land and waters.

Maria Aquinda, for whom the suit is named, says that contaminated water from nearby oil wells drilled by the Texaco subsidiary caused her to suffer chronic stomach ailments and rashes and that she lost scores of pigs and chickens. Aquinda and seventy-six other Amazonian residents filed a $1.5 billion lawsuit in New York against Texaco. The class action suit, representing 30,000 people, further alleges that Texaco acted "with callous disregard for the health, wellbeing, and safety of the plaintiffs" and that "large-scale disposal of inadequately treated hazardous wastes and destruction of tropical rain forest habitats, caused harm to indigenous peoples and their property." According to the Ecuadorian environmental group Ecological Action, Texaco destroyed more than 1 million hectares of tropical forest, spilled 74 million liters of oil, and used obsolete technology that led to the dumping of 18 million liters of toxic waste. Rainforest Action Network, a San Francisco–based organization, says effects include poor crop production in the affected areas, invasion of tribal lands, sexual assaults committed by oil workers, and loss of game animals (which would be food supply for the indigenous peoples).

Audits were conducted to address the impact of operations on the soil, water, and air and to assess compliance with environmental laws, regulations, and generally accepted operating practices. Two internationally recognized and independent consulting firms, AGRA Earth & Environmental Ltd and Fugro-McClelland, conducted audits in Ecuador. Each independently concluded that TexPet acted responsibly and that no lasting or significant environmental impact exists from its former operations. Nonetheless, TexPet agreed to remedy the limited and localized impacts attributable to its operations. On May 4, 1995, Ecuador's minister of energy and mines, the president of Petroecuador, and TexPet signed the *Contract for Implementing of Environmental Remedial Work and Release from Obligations, Liability, and Claims* following negotiations with Ecuadorian government officials representing the interests of indigenous groups in the Amazon. In this remediation effort, producing wells and pits formerly utilized by TexPet were closed, producing water systems were modified, cleared lands were replanted, and contaminated soil was remediated. All actions taken were inspected and certified by the Ecuadorian government. Additionally, TexPet funded social and health programs throughout the region of operations, such as medical dispensaries and sewage and potable water systems. That contract settled all claims by Petroecuador and the Republic of Ecuador against TexPet, Texaco, and their affiliates for all matters arising out of the consortium's operations.

In the summer of 1998, the $40 million remediation project was completed. On September 30, 1998, Ecuador's minister of energy and mines, the president of Petroecuador, and the general manager of Petroproduccion signed the *Final Release of Claims and Delivery of Equipment*. This document finalized the government of Ecuador's approval of TexPet's environmental remediation work and further stated that TexPet fully complied with all obligations established in the remediation agreement signed in 1995.

Meanwhile, in the United States, Texaco made the following arguments against the three lawsuits:

- Activities were in compliance with Ecuadorian laws and international oil industry standards.
- Activities were undertaken by a largely Ecuadorian workforce—which Texaco believed would always act in the interest of its community/country.

- All investments/operations were approved and monitored by the Ecuadorian government and Petroecuador.
- All activities were conducted with the oversight and approval of the Ecuadorian government.
- Environmentally friendly measures were used, such as helicopters instead of roads.
- The health of Ecuadorians increased during the years Texaco was in Ecuador.
- Ninety-eight percent of the money generated stayed in Ecuador—50% of gross domestic product during that period.
- Jobs were provided for 2,800.
- Money was provided for schools.
- Independent engineering firms found no lasting damage.
- A $40 million remediation program was started per an agreement with the Ecuadorian government.
- U.S. courts should not govern activities in a foreign country.

The three lawsuits were dismissed for similar reasons—the Sequihua in 1994, the Aquinda in 1996, and the Jota in 1997. The Aquinda lawsuit, for example, was launched in New York (where Texaco has its corporate headquarters) because Texaco no longer had business in Ecuador and could not be sued there. The case was dismissed by a New York court in November 1996 on the basis that it should be heard in Ecuador. Failing that, the Ecuadorian government should have been involved in the case as well, or the case should have been filed against the government and the state-owned Petroecuador as well as Texaco. At that point, the Ecuadorian government did get involved and filed an appeal of the decision. This was the first time a foreign government had sued a U.S. oil company in the United States for environmental damage. In addition, in 1997, the plaintiffs in the Aquinda and Jota cases also appealed the district court's decisions.

On October 5, 1998, a U.S. court of appeals remanded both cases to the district court for further consideration as to whether they should proceed in Ecuador or the United States. Written submissions were filed on February 1, 1999. Texaco has long argued that the appropriate venue for these cases is Ecuador because the oil-producing operations took place in Ecuador under the control and supervision of Ecuador's government, and the Ecuadorian courts have heard similar cases against other companies. It is Texaco's position that U.S. courts should not govern the activities of a sovereign foreign nation, just as foreign courts should not govern the activities of the United States. In fact, Texaco claimed that the ambassador of Ecuador, the official representative of the government of Ecuador, noted in a letter to the district court that Ecuador would not waive its sovereign immunity.

Notwithstanding Texaco's arguments, the case was sent back to the court that threw it out on the basis that the government of Ecuador does have the right to intervene. The question of whether the case can and will finally be tried in the United States or Ecuador under these circumstances will now take many years to be decided. Texaco claims that it has done enough to repair any damage and disputes the scientific validity of the claims—the Amazonians (or their supporters) seem to have the resources to continue fighting this suit in the U.S. courts. Ultimately, the company may prefer the fairness of U.S. and/or Canadian courts.[2]

Questions

1. Should Ecuadorians be able to sue Texaco in U.S. courts?
2. If an oil spill was caused by an act of God, an earthquake, should Texaco be held responsible?
3. Do you find Texaco's arguments against the lawsuits convincing? Why and why not?

Source: Texaco and Chevron websites: http://www.texaco.com/sitelets/ecuador/en/default.aspx and http://www.chevron.com/ecuador.

[2] For an interesting update of the progress of the Ecuadorian lawsuit in the Canadian and U.S. courts, see Nicole Hong and Kim Mackrael, "Canada's Top Court Rules in Favor of Ecuador Villagers in Chevron Case," *Wall Street Journal*, September 4, 2015, http://www.wsj.com/articles/canadas-top-court-rules-in-favor-of-ecuador-villagers-in-chevron-case-1441384265, and "Judge Rules in RICO Trial: U.S. Federal Court Finds the Judgment in Ecuador a Product of Fraud and Racketeering," Chevron website, https://www.chevron.com/ecuador.

Product Safety Cases

The Right to Be Informed? The Link Between Talcum Powder & Cervical Cancer

Ethics Case

Decades after the event, Johnson & Johnson (J&J), the 130-year-old American multinational, is still praised for swiftly recalling nearly 31 million bottles of Tylenol in 1982 when in-store tampering resulted in several cyanide poisoning–related deaths. The company indicated that its response was based on the expectations set forth in the Credo, its moral compass.[1] The Credo, which begins with the sentence "We believe our first responsibility is to the doctors, nurses and patients, to mothers and fathers and all others who use our products and services," spells out the company's responsibilities to its various stakeholders, including consumers, employees, and shareholders.[2]

Currently, J&J is facing more than 1,200 lawsuits in the United States based on the claim that the company ignored the link between ovarian cancer and its baby powder and Shower-to-Shower talcum products. In early 2016, two U.S. juries decided against J&J as follows:

- The family of Jacqueline Fox received $72 million in February 2016. Fox died of ovarian cancer after using J&J's talcum powder products for feminine hygiene for several decades.
- Gloria Ristesund received $55 million in damages in May 2016 because she developed ovarian cancer and had to have a hysterectomy after using J&J talcum powder for over forty years. A jury member involved in Ristesund's case told *Bloomberg News*, "We felt like they knew for decades that they should have put a warning on this product."[3]

The science on the matter is not definitive. The World Health Organization's International Agency for Research on Cancer (IARC) reported that there is "limited evidence in humans" for a connection between ovarian cancer and the genital use of talcum-based body powders.[4] However, as early as 1982, Dr. Daniel Cramer, an obstetrician-gynecologist with the Epidemiology Center at Brigham and Women's Hospital in Boston, reported talcum being found in the lymph nodes of ovarian cancer patients. Paul Demers of Cancer Care Ontario, a member of the IARC committee, evaluated the evidence of talcum being a possible carcinogen. He noted, "We have some evidence to be concerned about … it is not definitive enough to say probably carcinogenic."[5]

An internal J&J memo from 1987 indicates the company was aware of the potential risks of talcum powder. In it, a medical consultant wrote, "Anybody who denies [the] risks" between ovarian cancer and hygienic talcum powder use will be publicly perceived in the same light as those who denied a link between cancer and smoking cigarettes. "Denying the obvious in the face of all evidence to the contrary."[6]

While some of this research indicates that the extended use of talcum powder increases the risk of ovarian cancer by approximately one-third, Ovacome, a U.K.-based ovarian cancer support charity, notes that some perspective is needed in interpreting this figure. The organization wrote, "Although this may sound frightening, to put it into context, smoking and drinking increases the risk of esophageal cancer by 30 times."[7]

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[1] "Tylenol and the Legacy of J&J's James Burke," TIME.com, 2016, accessed July 25, 2016, at http://business.time.com/2012/10/05/tylenol-and-the-legacy-of-jjs-james-burke.

[2] Johnson & Johnson, "Our Credo Values," 2016, accessed July 25, 2016, at http://www.jnj.com/about-jnj/jnj-credo.

[3] M. Fisk, T. Bross, and J. Feeley, "J&J Faces 1,000 More Talc-Cancer Suits after Verdict Loss," Bloomberg.com, 2016, accessed May 22, 2016, at http://www.bloomberg.com/news/articles/2016-05-02/j-j-ordered-to-pay-55-million-over-cancer-linked-to-talc.

[4] "Jury Awards $72M US to Family of Woman Who Died of Ovarian Cancer after Talcum Powder Use," *CBC News*, 2016, accessed May 22, 2016, at http://www.cbc.ca/news/business/talcum-powder-ovarian-cancer-1.3461632.

[5] Ibid.

[6] Ibid.

[7] Ibid.

Questions

1. Was J&J's decision to not inform its customers of the potential risks of extended use of talcum powder products acceptable?
2. If J&J knew about the potential risks of talcum powder products in 1987, should the company have withdrawn all its talcum products in the same way that it recalled all of its Tylenol products in 1982?
3. Do you think that Credos are effective at encouraging ethical business behavior?

Source: Written by B. Y. Perera, Goodman School of Business, Brock University. Permission has been granted by the author for publication in this and future editions of *Business and Professional Ethics* and in derivative formats and publications.

J & J Dances the Texas Two-Step

Ethics Case

Johnson & Johnson (J & J) sold baby powder for over 50 years while knowing but denying that it contained asbestos in small quantities in the main ingredient, talc, and denying that asbestos was suspected and later known to cause mesothelioma, which is associated with ovarian and other cancers.[1] In 2018, Reuters estimated that 11,700 plaintiffs were claiming that J & J's product had caused their cancers, and the court settlements of damages were getting very high, with the largest settlement being $4.69 billion awarded to 22 plaintiffs. So, although the revenue from baby powder was lower than 1% of J & J's annual revenues, the potential total of court settlements to plaintiffs and/or their families, especially if a plaintiff died, was projected to be astronomical.

Although the $4.69 billion award was reduced on appeal to $2.24 billion,[2] it was not surprising that J & J began looking for a way to cap payments to plaintiffs to save the company. By 2023, the number of plaintiffs had grown to more than 40,000,[3] so the potential total of court settlements could be expected to exceed J & J's net worth of close to $500 billion or at least be a very significant proportion of the company's net worth.

Executives investigated ways to limit the payments to plaintiffs without jeopardizing J&J's credit rating. They decided on a procedure called a Texas Two-Step whereby they set up a subsidiary to hold the baby powder assets and liabilities (step one) and then bankrupt the subsidiary (step two). In 2021, J&J created a new subsidiary, LTL Management LLC, and transferred into it all the assets and liabilities associated with the baby powder product. In addition, LTL Management received $2 billion (that was later raised by a promise to cover up to $61.5 billion[4]) plus an income stream of more than $350 million.[5] The remaining J&J operating assets and liabilities were transferred into a new J&J corporate entity. The funds in LTL Management were to pay the plaintiffs, but because the amount of unsettled lawsuits exceeded LTL Management's net assets, the company declared bankruptcy and its assets were put into a trust to be allocated to the plaintiffs equitably.

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[1] "Johnson & Johnson knew for decades that asbestos lurked in its Baby Powder: A Reuters Investigation," Lisa Girion, Reuters, Dec. 14, 2018. Retrieved on May 6, 2025, from https://www.reuters.com/investigates/special-report/johnsonandjohnson-cancer/.

[2] "EXCLUSIVE: J&J exploring putting talc liabilities into bankruptcy," Mike Spector, Jessica DiNapoli and Dan Levine, Reuters, July 19, 2021. Retrieved on May 6, 2025, from https://www.reuters.com/business/healthcare-pharmaceuticals/exclusive-jj-exploring-putting-talc-liabilities-into-bankruptcy-sources-2021-07-18/.

[3] "The Texas Two-Step and Big Pharma," Daniel Kweon. *Fordham Journal of Corporate & Commercial Law*, September 24, 2023, accessed on April 4, 2025, at https://news.law.fordham.edu/jcfl/2023/09/24/the-texas-two-step-and-big-pharma/.

[4] "Court Rejects Johnson & Johnson's Use of the 'Texas Two-Step' to Tackle Baby Powder Liability," Charlie Hu, *The University of Chicago Business Law Review*, Online Edition, 2023, retrieved from https://businesslawreview.uchicago.edu/online-archive/court-rejects-johnson-johnsons-use-texas-two-step-tackle-baby-powder-liability on May 5, 2025. Re LTL Mgmt., LLC, No. 22-2003, 2023 WL 1098189 (3d Cir. Jan. 30, 2023).

[5] "Inside J&J's secret plan to cap litigation payouts to cancer victims," Mike Spector and Dan Levine, Reuters, February 4, 2022. Retrieved on May 5, 2025, from https://www.reuters.com/business/healthcare-pharmaceuticals/inside-jjs-secret-plan-cap-litigation-payouts-cancer-victims-2022-02-04/?utm_source=seeking_alpha&utm_campaign=rta-stock-news&messageid=2900&mailingid=26604605&serial=26604605.30351&utm_term=26604605.30351&source=email_2900&utm_medium=email.

This form of bankruptcy maneuver was permitted in Texas, North Carolina, and some other states as a way of allowing the company to continue, shortening the bankruptcy proceedings, saving lawyer's fees, sharing a reasonable total settlement equitably among the plaintiffs, and allowing the business a fresh start without significant debt. If, for example, the plaintiffs each took their cases to trial by jury, the process could take a lot longer, and the jury settlements might vary greatly, with the early settlements perhaps exhausting the assets of J&J. Each court case would have involved lawyers at a significant expense to the company thus lowering the amount of funding available to the plaintiffs.

Because LTL Management was holding the baby powder operations, the total amount available to the plaintiffs was capped at $61.85 billion[6] instead of being close to $500 billion, the net assets of J&J. This procedure enabled the executives and directors of J & J to continue running the remaining portion of the company instead of having to sell off or liquidate the company. The shareholders of J & J would obviously benefit.

Interestingly, the bankruptcy court initially approved the Texas Two-Step approach proposed by J & J, but an appeals court reversed the decision. The appeals judge decided that the proposed arrangements did not represent a condition of "financial distress" for J & J, which was the necessary condition for approval.[7] At the time, J & J had $31 billion in cash and was valued at over $450 billion.[8]

Questions

1. Does the Texas Two-Step result in a good and just result?
2. How could the J & J Texas Two-Step proposal be improved?
3. J & J's current shareholders probably did not make the decision to continue to deny the inclusion of asbestos in its Baby Powder, and the link between asbestos and cancer. Is it fair that they will likely lose their investment in J & J's shares due to the Baby Powder disaster?
4. Who should be penalized for the mistakes made with regard to the Baby Powder disaster? How might such penalties be created?

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6 A total of $61.5 billion plus $350 million.

7 Op. cit., "Court Rejects Johnson & Johnson's Use of the 'Texas Two-Step' to Tackle Baby Powder Liability."

8 Op. cit., "Inside J&J's secret plan to cap litigation payouts to cancer victims."

The Betaseron Decision (A)

Ethics Case

On July 23, 1993, the U.S. Food and Drug Administration (FDA) approved interferon beta-1b (brand name Betaseron), making it the first treatment for multiple sclerosis to get FDA approval in twenty-five years. Betaseron was developed by Berlex Laboratories, a U.S. unit of Schering AG, the German pharmaceutical company. Berlex handled the clinical development, trials, and marketing of the drug, while Chiron, a biotechnology firm based in California, manufactured it. The groundbreaking approval of Betaseron represented not only a great opportunity for Berlex but also a difficult dilemma. Available supplies were insufficient to meet initial demand, and shortages were forecasted until 1996. With insufficient supplies and staggering development costs, how would Berlex allocate and price the drug?

The Challenge of Multiple Sclerosis

Multiple sclerosis (MS) is a disease of the central nervous system that interferes with the brain's ability to control such functions as seeing, walking, and talking. The nerve fibers within the brain and spinal cord are surrounded by myelin, a fatty substance that protects the nerve fibers in the same way that insulation protects electrical wires. When the myelin insulation becomes damaged, the ability of the central nervous system to transmit nerve impulses to and from the brain becomes impaired. With multiple sclerosis, there are *sclerosed* (i.e., scarred or hardened) areas in *multiple* parts of the brain and spinal cord when the immune system mistakenly attacks the myelin sheath.

The symptoms of MS depend to some extent on the location and size of the sclerosis. Symptoms include numbness, slurred speech, blurred vision, poor coordination, muscle weakness, bladder dysfunction, extreme fatigue, and paralysis. There is no way to know how the disease will progress for any individual because the nature of the course it takes can change over time. Some people will have a relatively benign course of MS, with only one or two mild attacks, nearly complete remission, and no permanent disability. Others will have a chronic, progressive course resulting in severe disability. A third group displays the most typical pattern, with periods of *exacerbations*, when the disease is active, and periods of *remission*, when the symptoms recede while generally leaving some damage. People with MS live with an exceptionally high degree of uncertainty because the course of their disease can change from one day to the next. Dramatic downturns as well as dramatic recoveries are not uncommon.

The Promise of Betaseron

Interferon beta is a protein that occurs naturally and regulates the body's immune system. Betaseron is composed of interferon beta-1b, which has been genetically engineered and laboratory-manufactured as a recombinant product. Although other interferons (i.e., alpha and gamma) had been tested, only beta interferon had been shown, through large-scale trials, to affect MS. Because it is an immunoregulatory agent, it was believed to combat the immune problems that make MS worse. However, the exact way in which it works was yet to be determined.

In clinical studies, Betaseron was shown to reduce the frequency and severity of exacerbations in ambulatory MS patients with a relapsing-remitting form of the disease. It did not reverse damage already done, nor did it completely prevent exacerbations from occurring. However, Betaseron could dramatically improve the quality of life for the person with MS; for example, people taking Betaseron were shown to have fewer and shorter hospitalizations. Betaseron represented the first and only drug to have an effect on the frequency of exacerbations.

Betaseron is administered subcutaneously (under the skin) every other day by self-injection. In order to derive the most benefits from the therapy, it was important that the MS patient maintain a regular schedule of the injections. Some flu-like side effects, as well as swelling and irritation around the injection, had been noted; however, they tended to decrease with time on treatment. In addition, one person who received Betaseron committed suicide, while three others attempted to kill themselves. Because MS often leads to depression, there was no way to know whether the administration of Betaseron was a factor. Finally, Betaseron was not recommended for use during pregnancy.

The Betaseron Dilemma

In July 1993, the FDA approval for Betaseron allowed physicians to prescribe the drug to MS patients who were ambulatory and had a relapsing-remitting course of MS. An estimated one-third of the 300,000 people with MS in the United States fell into that category, resulting in a potential client base of 100,000. However, the expedited FDA approval process took only one year instead of the customary three years taken to review new drug applications. As a result, Berlex was unprepared for its manufacture and distribution in the anticipated amount needed. Chiron Corporation had been making the drug in small quantities for experimental use and did not have the manufacturing facilities to handle the expected explosion in demand. Chiron estimated that it would have enough of the drug for about 12,000 to 20,000 people by the end of 1993. By the end of 1994, Chiron expected to be able to provide the drug to 40,000 patients. Depending on demand, it might take until about 1996 to provide the drug to all patients who requested it. Chiron's expanded manufacturing represented the only option for Berlex because the process required for another company to get FDA approval to manufacture the drug would take even longer.

In addition to availability, price was a concern because successes must fund the failures that precede them. Betaseron represented the results of years of expensive, risky research by highly trained scientists in modern research facilities. Furthermore, genetically engineered drugs were extremely expensive to manufacture. In the case of Betaseron, a human interferon gene was inserted into bacteria, resulting in a genetically engineered molecule. The stringent quality controls on the procedure take time and are expensive. As a result, the price of Betaseron was expected to be about $10,000 per year for each patient.

Betaseron brought great hope to people with MS and a great quandary to Berlex. How should Berlex handle the supply limitations, the distribution, and the price of this drug?

Source: By Ann K. Buchholtz, University of Georgia. This case was written from public sources, solely for the purpose of stimulating class discussion. All events are real. The author thanks Dr. Stephen Reingold, vice president of Research and Medical Programs of the National Multiple Sclerosis Society; Avery Rockwell, chapter services associate of the Greater Connecticut Chapter of the Multiple Sclerosis Society; and two anonymous reviewers for their helpful comments.

Magnetic Toys Can Hurt

Ethics Case

Mega Brands has been selling Magnetix toys for many years. It also sells Mega Bloks, construction toys based on Spider-Man and Pirates of the Caribbean, as well as other products in over 100 countries. In 2006, Mega Brands had over $547 million in revenue, including over $100 from magnetic toys, but its share price fell approximately $27 to $20.30 in mid-July 2007. One reason for the fall was that a child who had swallowed a magnet that had fallen out of a toy died in the late fall of 2005. The U.S. Consumer Products Safety Commission (CPSC) issued a product recall in March 2006.

Subsequently, a number of lawsuits appeared involving other children who had suffered bowel complications. The symptoms resulting from a child swallowing a magnet are similar to those of a stomachache, cold, or flu, so the problem is sometimes misdiagnosed. The consequences can be much worse if a child swallows more than one magnet, particularly if they are super-powerful magnets like those in Magnetix toys. They are so strong that they do not pass through the child's digestive system; instead, the magnets rip through tissue as they are attracted to each other. Complex surgery is required for extraction, and complications can continue afterward.

After refusing twice, Mega Brands engaged in two voluntary recalls at the request of the CPSC in March 2006 and April 2007. Defective merchandise was still found on store shelves by CPSC investigators in April. Even then, at a hearing on June 18, 2007, Senator Robert Durban stated, "The company did everything in its power to derail the commission's effort to take the product off the shelf." In frustration, Senator Durban commented, "When a company is selling dangerous products in America and refuses to co-operate with the CPSC, we have few laws and few tools to use to protect consumers."

In addition, the company did not quickly comply with CPSC requests for information and violated the terms of one recall. Finally, on December 1, 2007, after failing to respond on time to a subpoena, data were submitted covering 1,500 complaint reports made to Mega Brands or to Rose Art Industries, the toy's manufacturer. Mega Brands asserted that they had to search through warehouses to gather the data because they lacked an organized comprehensive reporting system.

A new product, supposedly improved, has been introduced with new labeling that indicates the suitable minimum age to be six instead of three.

Questions

1. If you were an executive of Mega Brands, what concerns would you express to the CEO about the Magnetix toy issues noted above?
2. If the CEO did not pay any attention, what would you do?
3. Should the CPSC have more powers to deal with such hazards and companies? If so, what would they be? If not, why not?

Source: Gretchen Morgenson, "Magnetic Toys Attract Suits," *Financial Post*, July 17, 2007, FP3.

Bausch & Lomb's Hazardous Contact Lens Cleaner

Ethics Case

On April 13, 2006, Bausch & Lomb (B&L) CEO Ron Zarrella indicated that B&L would not be recalling their soft contact lens cleaner Renu with MoistureLoc. Drugstores in the United States were, however, removing the product from their shelves due to a concern over reported infections related to *Fusarium keratitis*, a fungus frequently found in drains and sinks. Zarrella went on to say that Renu kills the fungus that causes the infection, and he was considering how to rebuild the brand and mitigate the "ripple effect" caused to other B&L products. Up to April 12, B&L's shares had fallen by 7% due to these health concerns.

On May 31, 2006, B&L indicated that it was halting worldwide sales of Renu because tests showed that misuse could cause blindness due to Fusarium fungal infection. "B&L said it appeared common, if frowned-upon, lens care practices—like topping off solution in storage instead of replacing it—could leave a film on lenses that shielded Fusarium from the sterilizing agent in MoistureLoc." The company also found unacceptable manufacturing practices in the company's Greenville, South Carolina, factory but said they did not relate to the infection problem.

When Zarrella was first questioned, he knew that there had been a number of incidents of infection in Hong Kong, which B&L had reported to the U.S. Centers for Disease Control and Prevention in December 2005, as well as other reports in the United States. However, another product from the Greenville plant was also implicated. Although the incidence of infection was five times higher for Renu than for any other cleaner, the evidence was not enough to halt production and sales.

At the time, lens care contributed 20% of the company's revenue, which amounted to $1.75 billion in the first nine months of 2006. When the recall was announced, the company's stock rose 12.7% but was $10 below its early April level. Lawsuits subsequently occurred.

Questions

1. What lessons should be taken from B&L's Renu experience?
2. What should Zarrella have done, and when?

Sources: Juliann Walsh and Duncan Moore, "Bausch & Lomb Refuses to Recall Suspect Lens Cleaner," *Toronto Star*, April 13, 2006, C4.

Barnaby J. Feder, "Bausch & Lomb Halting Lens Cleaner Sales Worldwide," *International Herald Tribune*, May 31, 2006.

Accounting & Auditing Cases

Where Were the Accountants?

Ethics Case

"Sam, I'm really in trouble. I've always wanted to be an accountant. But here I am just about to apply to the accounting firms for a job after graduation from the university, and I'm not sure I want to be an accountant after all."

"Why, Norm? In all those accounting courses we took together, you worked super hard because you were really interested. What's your problem now?"

"Well, I've been reading the business newspapers, reports, and accounting journals lately, and things just don't add up. For instance, you know how we have always been told that accountants have expertise in measurement and disclosure, that they are supposed to prepare reports with integrity, and that they ought to root out fraud if they suspect it? Well, it doesn't look like they have been doing a good job. At least, they haven't been doing what I would have expected."

"Remember, Norm, we're still students with a lot to learn. Maybe you are missing something. What have you been reading about?"

"OK, Sam, here are a few stories for you to think about:

1. In this article, 'Accountants and the S&L Crisis,' which was in *Management Accounting* in February 1993, I found the argument that the $200 million fiasco was due to the regulators and to a downturn in the real estate market, not to accounting fraud … but I don't buy it entirely. According to this article, rising interest rates and fixed lending rates resulted in negative cash flow at the same time as a decline in value of the real estate market reduced the value underlying S&L loan assets. As a result, the net worth of many S&Ls fell, and regulators decided to change some accounting practices to make it appear that the S&Ls were still above the minimum capital requirements mandated to protect depositors' funds. Just look at this list of the seven accounting practices or problems that were cited:

   - write-off of losses on loans sold over the life of the loan rather than when the loss occurred,
   - use of government-issued *Net Worth Certificates* to be counted as S&L capital,
   - use of deals involving up-front money and near-term cash flow, which would bolster current earnings at the expense of later,
   - inadequate loan loss provisions due to poor loan monitoring,
   - write-off of goodwill created on the merger of sound S&Ls with bankrupt S&Ls over a forty-year period,
   - write-ups of owned property based on appraisal values, and
   - lack of market-based reporting to reflect economic reality.

2. The problem, for me, is that many of these practices are not in accord with generally accepted accounting principles [GAAP] and yet the accountants went along—at least they didn't object or improve their practices enough to change the outcome. Why not? Where were the accountants?"

3. "I am also concerned about the expertise the accounting profession claims to have in terms of measurement and disclosure. For example, recently there have been many articles on the health costs created by smoking, yet there are no accountants involved. For instance, a May 1994 report by the Center on Addiction and Substance Abuse at Columbia University estimates that 'in 1994 dollars, substance abuse will cost Medicare $20 billion in inpatient hospital costs alone' and that tobacco accounts for 80 percent of those hospitalizations. Over the next twenty years, substance abuse will cost the Medicare program $1 trillion. No wonder the trustees of the Medicare Trust Fund released a report on April 21 'predicting that the Fund would run out of money in seven years.' These are important issues. Why do we have to wait for economists and special interest groups to make these calculations? Shouldn't accountants be able to make them and lend credibility and balance in the process? Wouldn't society benefit? Where were the accountants?"
4. "What about the finding of fraud? Are auditors doing enough to prevent and catch fraudulent behavior? I know what our professors say: auditors can't be expected to catch everything; their job is not to search for fraud unless suspicions are aroused during other activities; and their primary task is to audit the financial statements. But aren't the auditors just reacting to discovered problems, when they could be proactive? Couldn't they stress the importance of using codes of conduct and the encouragement of employees to bring forward their concerns over unethical acts? Why is proactive management appropriate in some other areas, such as ironing out personnel problems, but reactive behavior is appropriate when dealing with fraud? Reactive behavior will just close the barn door after the horse has been stolen. In the case of the Bank of Credit and Commerce International (BCCI), for example, at least $1.7 billion was missing."

"I guess I'm having second thoughts about becoming a professional accountant. Can you help me out, Sam?"

Question

1. What would you tell Norm?

To Resign or Serve?

Ethics Case

The Prairieland Bank was a medium-sized midwestern financial institution. The management had a good reputation for backing successful deals, but the CEO (and significant shareholder) had recently moved to San Francisco to be "close to the big-bank center of activity." He commuted into the Prairieland head office for two or three days each week to oversee major deals.

Lately, the bank's profitability had decreased, and the management had begun to renegotiate many loans on which payments had fallen behind. By doing so, the bank was able to disclose them as current rather than nonperforming, as the unpaid interest was simply added to the principal to arrive at the new principal amount. Discussions were also underway on changing some accounting policies to make them less conservative.

Ben Hunt, the audit partner on the Prairieland Bank account, was becoming concerned about the risk associated with giving an opinion on the fairness of the financial statements. During the early days of the audit, it became evident that the provision for doubtful loans was far too low, and he made an appointment to discuss the problem with the CEO and his vice president of finance. At the interview, Ben was told that the executives knew the provision was too low, but they did not want to increase it because that would decrease their reported profits. Instead, they had approached a company that provided insurance to protect leased equipment, such as earthmovers, against damage during the lease and arranged for insurance against nonpayment on the maturity of their loans. As a result, they indicated that any defaults on their loans would be made up from the insurance company, so they did not believe there was any point to increasing the provision for loan losses or disclosing the insurance arrangement.

When he heard of this, Ben expressed concern to the Prairieland management, but they were adamant. Because Prairieland was such a large account, he sought the counsel of James London, the senior partner in his firm who was in charge of assessing such accounting treatments and the related risk to the auditing firm. James flew out to confer with Ben, and they decided that the best course of action was to visit the client and indicate their intent to resign, which they did.

After dinner, James was waiting at the airport for his plane home. By coincidence, he met Jack Lane, who held responsibilities similar to his own at one of the competing firms. Jack was returning home as well and was in good spirits. On the flight, Jack let it slip that he had just picked up an old client of James's firm, Prairieland Bank.

Questions

1. Which decision was right: to resign or to serve?
2. What should James do?

The WhistleBlower: Patriot or Bounty Hunter?

Reading

Andrew W. Singer

The False Claims Act provides financial incentives for employees to report their companies' transgressions to the government. Does that debase their motives?

While serving in Vietnam, Emil Stache had the misfortune to stumble onto a booby-trapped Viet Cong bomb. The explosion killed several of his fellow soldiers, and Stache himself suffered severe shrapnel wounds to his left arm and shoulder. He later learned that the trap had been made from a defective U.S. bomb—one that never exploded.

Years later, Stache was manager of quality engineering and reliability at Teledyne Relays, a subsidiary of Teledyne, Inc. He suspected that Teledyne Relays falsified tests on the electromagnetic relays (electronic components used in missiles, planes, rockets, and other military hardware) the company manufactured for the U.S. government.

Stache felt it his ethical duty to report the matter: he knew only too well the price of defective hardware. "It was the only thing he could do," explains his lawyer, John R. Phillips. "He complained about it. He got fired."

Stache brought a lawsuit against Teledyne Relays under the federal False Claims Act: he was later joined in the action by the Department of Justice. The suit claims that Teledyne Relays' failure to properly test the relay components defrauded the government of as much as $250 million. If found guilty, the Los Angeles–based company could be liable for as much as $750 million in damages, treble the amount that the government claims it was defrauded.

Who is Emil Stache? A patriot who just did his duty? That certainly is how Phillips and others regard him. But if Stache's lawsuit succeeds, he stands to become a very rich patriot, indeed. According to provisions of the amended *False Claims Act*, Stache and his co-plaintiffs in the suit—another Teledyne Relays employee named Almon Muehlhausen and Taxpayers Against Fraud, a nonprofit organization founded by Phillips—could get 15 percent to 25 percent of any money recovered by the government. Stache himself theoretically could receive as much as $62 million.

(Contacted for comment on the case, Teledyne spokesperson Berkley Baker said, "We have no comment to make. It's in the legal system now.")

Creating Market Incentives

The amended False Claims Act grew out of public outrage in the mid-1980s over reports of fraud and abuse on the part of military contractors—of $600 toilet seats and country club memberships billed to the government. Congress decided to put some teeth into its efforts to reduce contracting fraud. In 1986, it passed the False Claims Act amendments, whose *qui tam* provisions allow employees who bring forward information about contractor fraud to share with the government in any financial recovery realized by their efforts. (*Qui tam* is Latin shorthand for, "He who sues for the king as well as himself.")

Those market incentives are now bearing fruit. In July, the government recovered $50 million in a case brought by a whistleblower against a former division of Singer Co. And a week later, the government recovered the largest amount ever in such an action: a $59.5 million settlement with General Electric Co. (GE). That case, a scandal involving the sale of military jet engines in Israel, was brought initially by the manager of a GE unit.

U.S. Rep. Howard L. Berman of California, a cosponsor of the 1986 amendment, expects recoveries from *qui tam* actions, most of which are against defense contractors, to reach $1 billion in the next two to three years. The Teledyne Relays suit looms as one of the largest cases, but Phillips speaks of two others in the pipeline, one against Litton Industries Inc. and another that is under court seal that could bring the government "staggering" amounts.

Undermining Voluntary Efforts?

Not surprisingly, many of the defense industry are aghast at the new False Claims Act—and, specifically, its *qui tam* provisions. The law has created "enormous concern in the defense industry," says Alan R. Yuspeh, a government contracts attorney and partner in Howrey & Simon in Washington, D.C. Some fear that cases may proliferate and people with essentially technical disagreements may bring suits in the hope of reaping payoffs from an out-of-court settlement.

The *qui tam* provisions encourage "bounty hunting" and undermine voluntary ethics efforts, add critics. Why should an employee report wrongdoing to his company when he can hold out and earn millions from the government? And from the larger ethical perspective: Shouldn't people report fraud because it's the right thing to do, and not because they hope to reap a windfall profit?

"I think personally that the provision of bounties is misguided," said Gary Edwards, president of the Ethics Resource Center, a nonprofit education and consulting organization based in Washington, D.C. "It creates an incentive for individuals in companies that are trying to do a better job—not to report wrongdoing, but to gather data so as to participate in the reward."

"Encouraging tittle-tattles is destructive," declares Charles Barber, former chairman and CEO of Asarco, Inc., a *Fortune 500* company that produces nonferrous metals. "The integrity of the organization has to be built another way," such as with corporate ombudsman offices. "You can't run a defense company if everyone is being watched."

"I deplore the way we have developed into such a litigious society in which everyone is jumping on the bandwagon to sue about anything that comes up," says Sanford N. McDonnell, chairman emeritus of McDonnell Douglas Corp., the nation's largest defense contractor.

"If We All Lived in an Ideal World..."

Phillips, who is generally credited with drafting the amended *False Claims Act*, responds: "If we all lived in an ideal world, where all did the right thing on principle, we would have no need for such a law. But we don't live in such a world." People who bring charges against their companies take great risks—to their jobs, their families, and their careers, he says.

Most agree that the plight of the corporate whistleblower has historically been a bleak one. A survey of 85 whistleblowers by the Association of Mental Health Specialties (now Integrity International) in College Park, Md., in the late-1980s found that 82 percent experienced harassment after blowing the whistle, 60 percent got fired, 17 percent lost their homes, and 10 percent reported having attempted suicide. "You can't expect them to [report fraud] when there is nothing but risk and heartache down the road," says Phillips. Sharing in the recovery of damages is one way to right the balance.

Yuspeh, for one, isn't convinced. It is an "unsound piece of legislation. It almost invites disgruntled former employees who may have had some technical disagreement to go out and file a lawsuit." (It should be added that in recent years, large contractors have increasingly reported instances of wrongdoing or fraud to the government voluntarily, before evidence came to public light.)

Congressman Berman says the law works precisely as intended: By providing marketplace incentives, it encourages people to protect the government and the public from waste, fraud, and abuse. "I'm not only happy with the law, I'm proud of it," he tells *Across the Board.*

Morally problematic? "You mean like: If you have any information about a wanted criminal, we'll pay a reward?" asks Berman, rhetorically.

Those companies that commit fraud don't like the Act, suggests Berman, while those in compliance with the law aren't troubled by it. And he is skeptical of detractors who claim that these are merely technical disputes. "The test here is commission of fraud," he says.

Harks Back to the Civil War

The original False Claims Act dates back to the Civil War, when it was used to prosecute manufacturers who substituted sawdust for gunpowder in Union army supplies. Employees who exposed contractors who overcharged the government could, theoretically, earn 10 percent of the amount recovered. But under the old law, federal prosecutors who took over cases had the option of removing private plaintiffs, leaving whistleblowers high and dry.

"Very few people were willing to do it under the old system," either through fear of losing their jobs, being black-balled within their industry, or shunned by their friends, says Phillips, a partner in the Los Angeles law firm of Hall & Phillips. It took a kind of heroic figure to blow the whistle, he says.

The amended False Claims Act aimed to fix some of those problems, "We tried to rebuild the law, to give it some teeth," explains Berman. "Where the government is not privy to information about fraud, the taxpayers are represented by private parties."

Even more important than the sheer amounts of money recovered, says Phillips, is the preventive effect of the statute on corporations. "The law has shaken up their internal practices. People who were previously inclined to go along with questionable practices are now doing the right thing," he says.

But companies say the statute undermines their voluntary ethics efforts. "I know their argument," replies Phillips. "But there's no basis to it. They're saying, 'We have a whole system set up. You should come to us first.' With fraud, he says, the government has an interest in being the first to know. The government is saying, 'We want information to come directly to us in cases of fraud.'"

"It will enhance corporate efforts, because companies can get socked with treble damages for fraud," says Berman. "Companies will become more vigilant."

Does he know of any contractors who support the amendments? "The goal of the act is not to please government contractors," snaps Berman. "The goal is to protect the government and the public."

Portrait of a Whistleblower

Corporate whistleblowers have traditionally been treated as malcontents, troublemakers, and misfits. And many have paid a steep price for their actions.

A 1987 survey of 87 whistleblowers by Dr. Donald Soeken, president of Integrity International in College Park, Md., noted: "All but one respondent reported experiencing retaliation which they attributed to their whistle-blowing. And that one individual merely indicated that 'nothing could be proved.'"

Soeken, who was a government whistleblower himself, compares the whistleblower to a cross between a bloodhound and a bulldog. "He will track it down [i.e., the wrongdoing] and stand his ground... His conscience is very strong, unwavering. He's the first one to feel guilty when something happens.

That certainly applies to Richard Walker, a whistleblower in the era before the amended False Claims Act. A scientist with a Ph.D. in physics, Walker worked for 27 years at American Telephone & Telegraph Co.'s (AT&T) prestigious Bell Laboratories.

In 1971, as head of a team of scientists working on a high-level military project for the U.S. Navy, he discovered serious errors in Bell Labs' computer projections. He informed his superior of the errors and said they had better report them to the Navy. When his boss refused, Walker took matters into his own hands.

He decided to give a corporate seminar within Bell Labs, which was his prerogative as a manager. Walker spent an hour exposing the errors he had found and explaining how the company had overestimated the effectiveness of the project. "The way to avoid corruption is to get it out in the open," he told Ethikos in a 1987 interview, recalling his thinking at the time.

The immediate response within the company to his seminar seemed positive. "I thought, in view of his feedback, that I had gotten through to these people," said Walker.

He was mistaken. Several months later, Walker's boss wrote a letter to a high Bell Labs officer questioning Walker's technical competence. "On the basis of that criticism, I was moved out of that area and put into a totally inappropriate assignment. It was just a way of getting rid of me."

There was a succession of increasingly demeaning and meaningless assignments. He spent three-and-a-half years in a marine-cable engineering department, followed by a supervisory appointment at a "planning" center in which "for three-and-a-half years, they wouldn't tell me what my responsibilities were." In 1979, Bell Labs fired Walker for allegedly not taking an active interest in his assigned work. In 1982, Walker brought suit against AT&T, charging that he had been fired without good cause. Walker devoted himself full-time to his case. He had an entire room in his apartment set aside to store depositions and other evidence relevant to his case. He spent $50,000 of his own money pressing the litigation. During this time, his wife divorced him and he was forced to sell the house he designed in affluent Mendham, N.J., where he raised his four children.

On March 23, 1987, Walker vs. Bell came to trial. Eight days later, the New Jersey judge dismissed the case that Walker had brought.

According to AT&T, justice was served. "Dr. Walker had ample opportunity to prove his allegations before the court, and the court rejected those allegations as being totally unfounded," the AT&T attorney who tried the case commented.

Walker took the defeat hard. Despite the advice of people like Soeken and others, he refused to let the matter rest. For years he tried to interest journalists, government officials, and employee-rights organizations in this case. He barraged AT&T officers and directors with letters seeking redress for the wrong he felt he had suffered. All to no avail.

Eventually, Walker moved back to his home state of Michigan, where he remarried and is now working to establish a retreat for whistleblowers.

Walker may have been ahead of his time. New Jersey has since passed legislation to protect whistleblowers. AT&T now has an excessive network of corporate ombudsmen to handle cases like his and the amended False Claims Act has since been enacted.

John Phillips, an attorney who has represented other whistle-blowers and a principal author of the amended False Claims Act says that one key effect of the amended Act is that it no longer requires a "heroic" figure to blow the whistle. The Act could also bring forth a higher order of whistle-blower, he suggests. In the past, whistle-blowers "were not always the most stable people," noted Phillips in a 1989 interview with Ethikos. Many, he said, had a "need to confess" or to "point the finger at someone."

The people coming forward now to report wrongdoing by government contractors are, according to Phillips, still idealistic in some ways, but in many ways they are "far more credible, substantial, senior people than whistle-blowers, from the pre-[*False Claims Act*] amendment era."

The GE Case

The case involving General Electric's aircraft-engine division is one of the more interesting *False Claims Act* actions to arise. Employees in the division conspired with an Israeli general, Rami Dotan, to submit fraudulent claims for work done for the Israeli Air Force. General Electric eventually pleaded guilty to four federal criminal-fraud charges. It agreed to pay the Justice Department $9.5 million in fines for the criminal charges and $59.5 million for the civil case brought under the False Claims Act.

The Justice Department said the company's employees helped divert as much as $40 million to Dotan and others, money that ultimately came from the U.S. government. The scheme became known through a lawsuit filed by Chester Walsh, who served as general manager of the aircraft engine division's Israeli unit from 1984 to 1988.

False Claims Suits Growing

How does the government view the False Claims Act? "It is hardly a secret that the Act is critical to the government's antifraud effort," Stuart Gerson, assistant attorney general, acknowledged last year, Gerson added, however, that the statute's *qui tam* provisions, which allow private citizens to bring actions on behalf of the government, have been controversial, affecting as they do "the climate of government contracting and the dynamics of a corporation's relationship with its employees."

As of April 1, six years since the amendments passed, 407 *qui tam* suits had been filed. The government took over 66 of these cases; it is currently litigating 29 cases and has settled or obtained judgments in 37 others. The total recoveries of $147 million from *qui tam* suits under the Act comprise about 13.5 percent of the government's total fraud recoveries for the six-year period. Individuals who brought suits had won $14.5 million as of April, but 75 cases were still under investigation. (The dollar amount doesn't include the large recoveries in July from the General Electric Co. case reported in the main story.)

The number of *qui tam* suits has grown steadily since 1986, notes Gerson, and it is expected to rise further. Thirty-three were filed in all of fiscal year 1987, for example, while 78 were filed in the first eight months of fiscal year 1991 alone. Cases involving the Department of Defense are by far the most numerous, but now action is being taken in other areas, including health care, agriculture, and the Department of Housing and Urban Development.

"In short, as attention is focused on the whistleblower suits, and significant recoveries have been reported, this form of action is proliferating," said Gerson.

However, some government officials recently have expressed second thoughts about the potentially large awards to individual whistleblowers. In the GE fraud case, Gerson said he had reservations about just how much credit and money the whistleblower and his lawyers should receive. It remains to be seen whether attempts will be made to curb such awards.

What irks General Electric is that Walsh reported the matter first to the government instead of the company, despite the fact that Walsh, like others at GE, signed an ethics statement each year affirming that he would report wrongdoing to the company if and when it was discovered.

"The man involved decided not to report wrongdoing," says Bruce Bunch, a GE spokesman. "He took no steps to stop it. "He participated in it, and all the time he signed our written statement each year that he would report any improprieties to management." It is General Electric's position that Walsh gathered information from 1986 to 1990 and then filed his lawsuit, from which he hoped to gain personally. Walsh could receive 25 percent of the nearly $60 million recovered by the government as a result of the civil suit. (A hearing that will determine the exact amount is set to begin in November in Cincinnati.)

If he had reported the corruption immediately, the case would have come to light, continues Bunch. "We had an ombudsman telephone number at the corporate office, outside of the business loop. Additionally, he could have called the Department of Defense ombudsman."

A case of bounty hunting? "That clearly appears to be what happened here," says Bunch.

Phillips, who represents Walsh, claims that General Electric has smeared his client. "They claim Walsh is a money grubber. That's their party line." (GE Chairman John F. Welch, Jr. had been quoted in the *Corporate Crime Reporter,* a weekly legal publication, labeling Walsh as "a money-grubbing guy who sat back and waited in the weeds so the damages would mount." Bunch declines to comment on the accuracy of that quote.) Phillips tells a different story: "It was his dream job. It was very painful for him to do this."

Walsh feared for his job and even his life, Phillips says. He worried that anything he told GE would get back to Dotan, whom Phillips characterizes as a ruthless, violence-prone individual. His superiors at the aircraft-engine division were all aware of the arrangement with Dotan, Walsh believed, "He says that Dotan had people removed from their jobs at GE. The idea that he would go back and write a letter to Cincinnati [where the aircraft-engine division is based] about what he had seen was simply not credible," says Phillips.

As proof that Walsh's suspicions were well-founded, Phillips points to the fact that Dotan is now serving 13 years in prison in Israel. The general was charged by the Israeli government with kickbacks, theft, fraud, obstruction of justice, and conspiring to kidnap and harm a fellow Israeli Ministry of Defense official.

Couldn't Walsh have gone to General Electric's corporate ombudsman, who is based in Fairfield, Conn., and is presumably outside the aircraft-engine division loop? "He doesn't know who's on the other end," answers Phillips. For all Walsh knew, Phillips says, the ombudsman might just get on the phone with Cincinnati to find out what was going on.

But couldn't he have called anonymously? "It's an 800 number. They can find out where it came from. There was no way he could protect his anonymity." Or so Walsh believed, Phillips says.

"The idea that people will call up blindly some number is ludicrous," Phillips says. "I don't think people have confidence in the GE program." (Subsequent to this interview, *The Wall Street Journal* ran a front-page story on the company headlined: "GE's Drive to Purge Fraud Is Hampered by Workers' Mistrust," which appeared to support many of Phillips' assertions.)

"A Detrimental Effect"

Whatever the whys and wherefores of the GE case, it seems clear that the *qui tam* provisions are causing havoc among those in charge of compliance at some defense companies. "Pandemonium" was how the ombudsman at one large defense company characterized the provisions and the large suits now being filed.

"I've heard from some company representatives who believe the availability of the *qui tam* rewards have had a detrimental effect, that they have caused people not to use their internal systems," says the Ethics Resource Center's Edwards.

"No company can be happy with *qui tam* procedures," says John Impert, director of corporate ethics policy and assistant general counsel at The Boeing Co., even though his company has been virtually untouched by the False Claims Act. "It provides incentives to employees to take an adverse position. This is illustrated graphically in the GE case."

It's important that people report matters of ethical concern, says McDonnell of McDonnell Douglas, "But I don't think they should receive remuneration for that," he says.

"Won't this help eliminate the steep price whistleblowers have paid for coming forward?" "I'm sure it will stimulate more action, more people coming forward, but I'd rather see it come from individuals who take it to the company ombudsman, and report it without attribution," remarked McDonnell.

Deputizing Citizens

Attorney Yuspeh and others are fundamentally at odds with the notion that individuals should bring lawsuits on the part of the U.S. government. "The role of initiating [lawsuits] on the part of the government is a role for the officer of the U.S. government. I have a big problem with individuals who have a personal profit motive, who have inside information, and who may be disgruntled because of downsizing, having the power of the government to advance a personal agenda."

Yuspeh notes that plaintiffs' lawyers tend to profit from the amended False Claims Act and its controversial *qui tam* provisions: "There's a lot of money for them to make." He would prefer an arrangement where informants would get some money from the government, but would not bring suit themselves. "At least the government is then deciding whether to bring a suit." This would also cut out the plaintiffs' legal fees.

"The problem with *qui tam* suits is that someone who would otherwise do this as part of their normal duties might now wait until they are no longer employed, or until they have an opportunity to enrich themselves," says LeRoy J. Haugh, who is vice president for procurement and finance of the Aerospace Industries Association, an organization based in Washington, D.C.

"Our biggest concern with *qui tam* proceedings is that someone who wants to bring a suit is at no risk at all," Haugh says. "If they can get a lawyer to handle it on a contingency basis and they win, they stand to win a great deal of money. And if they lose, they haven't lost anything, except the lawyer's time." Answers Congressman Berman: "The situation here is that no one gets anything unless fraud is committed. Lawyers won't take cases if they're not legitimate."

Still, Haugh says, the negative publicity generated from such suits—even if the company accused of wrongdoing is eventually found to be not guilty—"often overshadows efforts over the last seven or eight years on the part of many companies to comply with Defense Industry Initiative guidelines [a set of voluntary guidelines developed by the nation's largest defense contractors to promote ethical business conduct] and to put into place adequate checks and balances."

Importance of Building Trust

"I'm not saying that every suit that is brought is a frivolous suit," says Yuspeh, who served as coordinator of the Defense Industry Initiative (DII) steering committee. (He makes clear that he is speaking only for himself in making these comments, not the DII companies.) "Clearly some cases are meritorious. But it makes more sense to have officials of the U.S. government handle them."

Ethics Resource Center's Edwards doesn't quarrel with the notion that whistleblowers have historically been treated very badly. But he points out that today they have protection under the law against retaliation, and that many excellent voluntary corporate programs have been initiated since the amendments were passed. Many companies today have ethics hotlines, ombudsman offices, extensive ethics training programs, and ethics committees. "Maybe several years ago it was necessary to entice them to blow the whistle," he says. But that isn't the case in many major American corporations today. "A well-developed ethics program should obviate the need for that," he adds.

Even Phillips concedes that voluntary corporate ethics efforts could be effective. "But you've got to convince people that the corporation wants you to do this, and that the corporation will reward you," he says.

Phillips may have hit on something there. Or to put the problem in quasi-dialectical terms: If the *thesis* back in the 1980s was egregious defense-industry waste and abuse, and the *antithesis* was the punitive (at least, from the industry perspective) bounty-hunting provisions of the False Claims Act, the *synthesis* could well be voluntary corporate ethics efforts that enjoy the full confidence of employees—and that really work.

"It takes time, no doubt about it," says McDonnell, referring to building trust within a company. "You can't just mandate it. It has to be built up by actual cases, and it's difficult to advertise it, because that [confidentiality] is the sort of thing you're trying to protect. But when it's done right, it gets the desired result."

Source: *Across the Board*, November 1992, pp. 16–22. Reprinted with permission of the author, Andrew Singer.

2

Ethics & Governance Scandals

Purpose of The Chapter

Those who fail to learn from history are condemned to repeat it.

Winston Churchill, 1948, paraphrasing George Santayana

Corporate personnel are expected to behave within applicable laws, regulations, and ethical customs. They are also to adhere to the ethics and governance guidelines laid down by boards of directors whose role is to supervise the corporate governance process. Over the years, governance expectations have become more stringent, usually in response to ethics and governance scandals that catch the attention of the public sufficiently to cause lawmakers, courts, directors, professional bodies, securities market regulators, and stock exchange officials to make changes that further protect investors, consumers, employees, lenders, and other stakeholders.

This chapter provides a timeline and summary of some of the most notorious corporate ethics and governance scandals and failures, as well as an analysis of the governance changes and trends these scandals produced. Throughout the period covered, the pattern of change has remained the same:

- Each scandal has outraged the public and made people aware that the specific behavior of corporate personnel or professionals needs to be improved.
- With each additional scandal, the awareness and sensitivity of the public to substandard behavior has grown, and the public's tolerance level has diminished.
- The credibility of corporate promises and financial statements has been eroded.
- Lawmakers, regulators, courts, directors, and professional bodies have responded to restore confidence in the corporate governance system.

The failure of boards of directors, management, and accountants to ensure that business and the accounting profession are acting in the best interests of shareholders, stakeholders, and society is traced through many developments, scandals, and reactions, including the Enron Corporation, Arthur Andersen, WorldCom, the Sarbanes-Oxley Act, the subprime mortgage meltdown, the Dodd-Frank Act, Bernard Madoff, the LIBOR benchmark interest rate manipulation, Panama Papers and Paradise Papers, the #MeToo movement, NOCLAR Rules, rising harmful product lawsuits, and the Business Roundtable Statement on corporate accountability. Most recently, the huge fines, settlements, and shareholder losses have shocked directors into a deeper understanding of their duty, resulting in greater attention to risk management programs, the proactive identification and management of those risks, and the dismissal of errant executives and the clawback of their mis-earned remuneration.

In this book the focus is on the governance developments in several countries, but largely on those in the United States because many of the world's largest corporations are subject to the U.S. governance framework if they raise capital in the United States, even if they are not incorporated in the U.S.A. For example, the largest 300 Canadian companies are therefore subject to U.S. Securities and Exchange Commission (SEC) regulations. This pattern is repeated to a lesser extent in many other countries, such as Britain or Australia. Moreover, since U.S. governance developments have been emulated in other parts of the world, the study of the important drivers of governance change in the United States is well warranted. Even with the realization that capital and consumer markets are now interrelated on a global scale and international standards are likely to be developed, the steering effect of U.S. governance developments will continue. Unfortunately, instances of greed and corruption will also continue, so the lessons to date—that directors, executives, and accountants must remain aware of their professional and business responsibilities and conduct their dealings in an ethical manner with honesty and integrity—are well worth learning.

Reading this chapter will help you be able to:

- Discuss how corporate malfeasance and scandal, and changes in societal norms, influenced governance,
- Describe the key elements of good governance,
- Explain the role of ethics in good governance,
- Describe why and how an ethical corporate culture enables good governance, and
- Explain why whistleblowers and whistleblower protection programs are important.

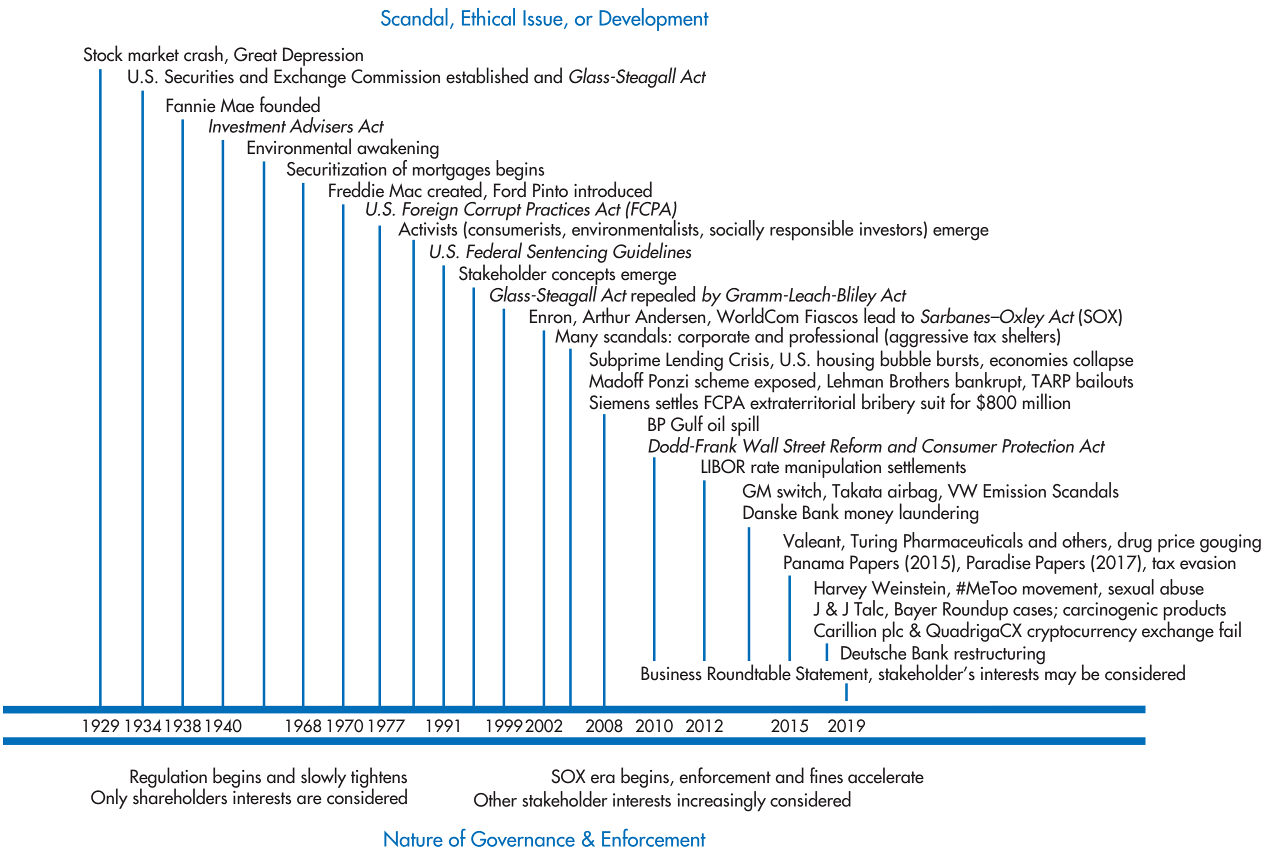
Ethics & Governance: A Timeline of Important Events

Figure 2.1 provides a graphic timeline of important events, beginning in 1929, that have contributed to the rise in awareness of the need for enhanced ethics and governance.

Ethics & Governance: The Early Developments Prior to 1970

Until Black Tuesday on October 29, 1929, economies around the world had been enjoying the "Roaring Twenties," a period of high profitability, full employment, a booming housing market, and boundless optimism. Corporations appeared to be doing the job expected of them, so corporate governance also appeared to be doing its job. Then the stock market crashed, signaling that the corporate world was incredibly speculative, secretive, and rife with conflicts of interest. It seemed to be dedicated to the service of those executives or owners who controlled it and not to other stakeholders, including consumers, employees, and minority or distant shareholders. Manipulation and inflation of financial reports were widespread, so investors did not know the financial condition of their investments. Banks that should have been protecting their depositors' money failed because they, too, had invested in speculative investments to make a quick buck.

Figure 2.1 Ethics & Governance: A Timeline of Important Events, 1929–2019



Governments were stunned by the widespread elimination of wealth as the stock market crashed and unemployment soared. People could not pay their mortgages and lost their homes. They did not have enough money to buy goods or even groceries. The world's economies did not recover until the gearing up of production and employment brought on in 1939 to supply armies in World War II.

During the Great Depression from 1929 to 1939, the U.S. government did recognize some of the ethics and governance flaws that had contributed to the debacle and enacted laws designed to remedy them, including, among others, the following:

- *Securities Act of 1933* (otherwise known as the *Truth in Securities Act*)—created the SEC and required companies raising money from the public in the United States to register with the SEC and follow its regulations governing the original issue of some corporate securities, investor information, audit certification by an independent accountant, and civil liability for the issuer and underwriters
- *Securities Act of 1934*—created the regulatory framework for the secondary trading (on stock exchanges) of securities (stock, bonds, and debentures) of registered companies

- *Glass-Steagall Act of 1933* (otherwise known as *The Banking Act of 1933*)—mandated banking reforms designed to separate investment and commercial banking functions to safeguard against commercial bank failures from speculative investment mistakes
- *Investment Advisers Act of 1940*—created a framework for the registration and regulation of investment advisers

But as history shows, these laws have been insufficient to curb the greed and conflicts of interest of management, investors, and the investment community who have been responsible for the many scandals that subsequently have occurred. In response, the U.S. Congress and Senate enacted the *Sarbanes-Oxley Act of 2002* (SOX) to bring about more stringent governance reform. Even then, further governance reform for banks has proven necessary because the repeal of the *Glass-Steagall Act in 1999* by the passage of the *Gramm-Leach-Bliley Act* contributed directly—but not solely—to the subprime lending crisis of 2008 that once again devastated the economies of the world. This scandal led to the new international banking regulations of 2010, which in turn were weakened under the Trump administration.

Ethics & Governance: 1970–1990

As the 1950s and 1960s wore on, the awareness that our environment was a finite resource became clearer, as did the realization that corporations could make changes to protect the environment. An activist group known as environmentalists began to do what they could to raise the general awareness of the public to environmental issues and to sensitize the public to bad practices. Their objective was to put pressure on boards of directors, executives, and managers to realize that bad environmental practices would not only harm our environment but in turn also harm the reputation of the individuals and the companies involved and ultimately their profitability.

Environmentalism was not the only "-ism" or development to emerge in the 1970s under pressure from interested activists. Other problems outraged the public and gave rise to the following:

- Consumerism—unsafe cars galvanized the public and led to the opportunity for Ralph Nader to sensitize the public over car safety and the need to protect consumers.
- Socially responsible investing.
- Regulation concerning fair trade, child labor, fair wage, and sweatshop production.
- *Foreign Corrupt Practices Act* (FCPA)—contained antibribery provisions in reaction to Lockheed executives bribing Japanese officials to buy the company's airplanes.

In so doing, the *expectations* for corporate actions were beginning to be changed by interested activists without the passage of new laws, although new laws did crystallize these expectations when new statutes and regulations, such as the 1991 *U.S. Federal Sentencing Guidelines*, were enacted.

In addition, the rise of activism raised awareness of the power of activists who became known as *corporate stakeholders*. In 1984, Edward Freeman published his seminal work on stakeholder theory, putting these developments into a framework useful for those interested in governance and in understanding the relevance of stakeholder support to enhancing firm reputation and achieving corporate strategic objectives. This understanding has proven to be instrumental in framing how directors, shareholders, and managers now think about the role of corporations and how they earn their profits. Of course, the contribution of stakeholder theory took years to mature.

Ethics & Governance: Governance Reform 1990–2020

The governance of corporations refers to the guidance put in place to ensure that employees' behavior is within the applicable laws and related regulations, and also the practices expected by a corporation's stakeholders including the public. Both the legal framework and the behavior expected by stakeholders changed significantly in the 30 years from 1990–2020.

In November 1991, just before the introduction of the *U.S. Federal Sentencing Guidelines*, a judge commented that if a company could prove that all reasonable efforts had been made to avoid environmental harm (i.e., a due diligence program had been in place), then the proposed penalties of up to $2 million per day and jail time for responsible executives could be reduced to $50,000 per day. Immediately, many major companies began to develop environmental due diligence and compliance programs that generated greater awareness of environmental problems and the desire of those corporations to avoid environmental damage as well as some assurance of compliance.

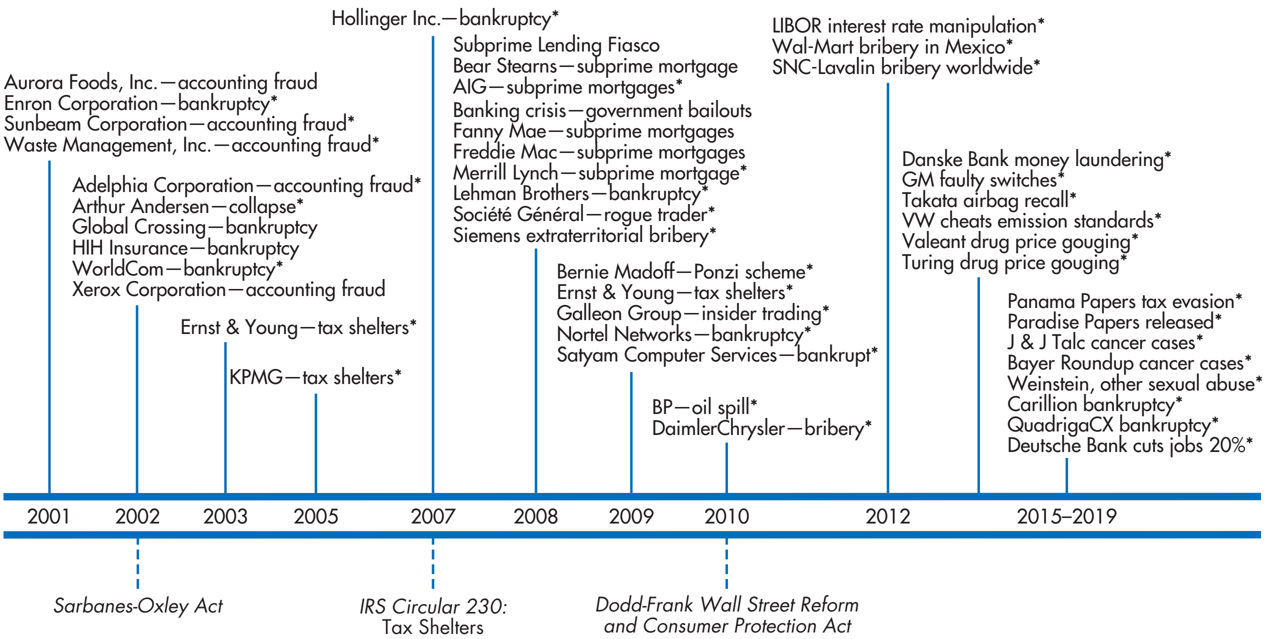
Essentially, corporations, under the direction of their boards of directors, developed governance programs that shaped their behavior and benefited society. In response to pressure from other activist stakeholders, corporations have instituted governance programs devoted to the following:

- Encourage and protect whistleblowers
- Improve health and safety
- Ensure fair dealing
- Reduce conflicts of interest
- Ensure reasonable employment practices
- Protect the environment
- Prevent sexual abuse
- Respect individual rights

Despite these favorable developments, greed and conflicts of interest did not vanish. They accounted for many of the scandals that have triggered further governance reform in the form of SOX and internationally generated bank reform regulations in 2010. The significant scandals triggering these two reforms are identified in Figure 2.2 and are discussed below, including the following:

- Enron Corporation—the board of directors failed to provide the oversight needed to prevent the largest bankruptcy in American history, at the time.
- Arthur Anderson—as a result of shifting its focus from providing audit services to selling high-profit-margin consulting services, Arthur Anderson lost its perceived independence when conducting the Enron audit.
- WorldCom—at $11 billion, it eclipsed the $2.6 billion Enron fraud. There was no one in the organization to challenge and question the authority of Bernard Ebbers, CEO of WorldCom.
- *Sarbanes–Oxley Act* (SOX)—as a result of the business, audit, and corporate governance failures, the U.S. government passed SOX in 2002 to enhance corporate accountability and responsibility.
- Tax Shelters—Ernst & Young (now EY) and KPMG were no longer protecting the public interest when they began to sell highly lucrative tax shelters to the super-rich. The government was so incensed with their egregious behavior that the firms were fined and *Circular 230* was issued.

Figure 2.2 **Notable Business Failures & Fiascos, 2000–2019**



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- *Circular 230*—in 2007, the Internal Revenue Service (IRS) imposed new professional standards on tax preparers and tax advisors.
- Subprime Mortgage Meltdown—there was a lot of money to be made in speculating on mortgage-backed securities. But the risks had not been carefully assessed, so when the U.S. housing market collapsed in 2008, the value of the associated securities fell, and governments around the world had to provide bailouts to avert a global financial crisis.
- Bernard Madoff—in 2009, Madoff was sent to prison for cheating investors out of billions of dollars. Investors should remember that if they are offered returns that are too good to be true, they probably are. The Madoff scandal caused the Securities & Exchange Commission (SEC) to revise its hiring policy, its attention to whistleblower complaints, its need to understand complex financial matters, and its obligation to investigate rigorously including insisting on a proper audit from a non-conflicted auditor.
- *Dodd-Frank Wall Street Reform and Consumer Protection Act*—in July 2010, as a result of the subprime mortgage crisis, the U.S. Congress enacted new regulations over the financial services marketplace in order to provide enhanced consumer protection.
- LIBOR Benchmark Interest Rate Manipulation—in 2012, it was discovered that many of the world's largest banks colluded to manipulate a determinant of the

interest rates of house mortgages and other borrowings in order to maximize the profits of banks and their traders at the expense of the borrowers throughout the world.

- Danske Bank money laundering—in 2014, one of the bank's branches in Tallinn, Estonia, was found to have laundered $230 billion for Russian oligarchs from Russian rubles into Western currencies.
- Panama Papers (2016) and Paradise Papers (2017) destroy tax evasion secrecy—hackers released digital records exposing many citizens who had moved their wealth offshore to avoid taxes at home.
- #MeToo Movement—in 2017 Harvey Weinstein, a famous TV and movie talent impresario, was investigated and indicted for serial sexual abuse and with others (e.g., Bill Cosby) created a tipping point that propelled the #MeToo Movement into prominence.
- NOCLAR Rules—in July 2017, the International Federation of Accountants (IFAC) International Ethics Standards Board (IESBA) standard became effective requiring professional accountants in IFAC member country professional accounting bodies to report when they become aware that their client or employer does not comply with laws or regulations. When fully adopted, this standard could change the function of professional accountants significantly within the governance framework.
- J & J's Talc and Bayer's Roundup lawsuits—in 2018, legal settlements on harmful products reached into the billions, setting a new awareness of harmful product risk for past actions and threatening the viability of the companies involved.
- Carillion plc bankruptcy—in 2018, Carillion, a large U.K. builder, sought bankruptcy two months after it received a clean audit opinion, causing an outcry that triggered a review and reimagination of the U.K. accounting profession.
- QuadrigaCX cryptocurrency exchange failed—in late 2018, when the founder of QuadrigaCX "died" while on his honeymoon in India, the ensuing scandal exposed the risk of "investing" in the unregulated market for cryptocurrencies actively used by criminals to launder the proceeds of crime because transfers of cryptocurrency were largely untraceable.
- Deutsche Bank cut 20% of its workforce—after many scandals enabled by a corporate culture of deception, in July 2019 Deutsche Bank chose to close its investment banking division amounting to approximately 20% of its workforce and operations worldwide.
- Business Roundtable Statement (BRS)—on August 19, 2019, a group of top U.S. CEOs signed a statement declaring that "maximizing shareholder profits no longer can be the primary goal of corporations" and recognizing that stakeholder interests may be taken into account in corporate decision making. Although many companies had been doing so already, this declaration represented a tipping point, a signal to other corporate boards and executives, that non-shareholder interests are worthy of consideration. In effect, the *BRS*[1] signals the end of absolute shareholder primacy as a governance objective.

[1] Jena McGregor, "Group of Top CEOs Says Maximizing Shareholder Profits No Longer Can Be the Primary Goal of Corporations," *Washington Post*, August 19, 2019, accessed August 20, 2019, at https://www.washingtonpost.com/business/2019/08/19/lobbying-group-powerful-ceos-is-rethinking-how-it-defines-corporations-purpose/?noredirect=on.

Ethics & Governance: Enforcement Brings Realization 2020–2024

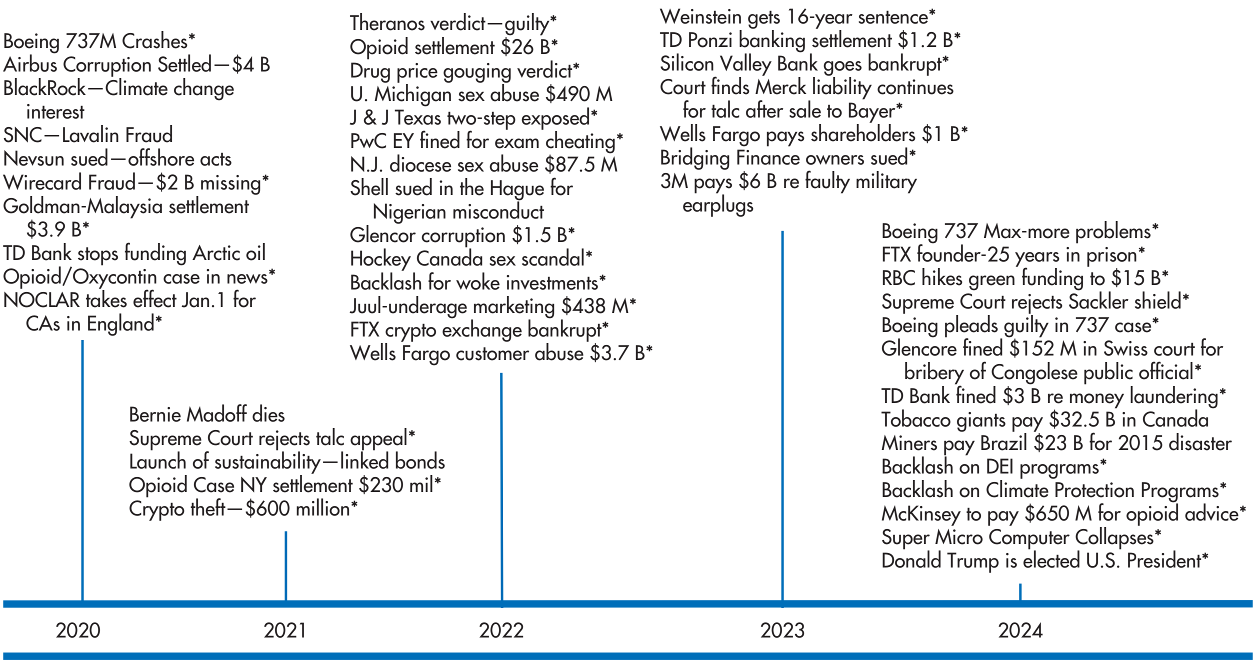
During the period before 2020, the legal framework for corporate governance and stakeholder expectations for corporate behavior were put in place, but enforcement of these new standards took some time to develop because many executives and directors did not understand the full impact of the changes. However, as the period ended, and enforcement culminated in serious, sizable penalties for corporations and their employees, executives, and directors, the full realization of the need to embrace modern governance expectations became evident. Figure 2.3 captures important business ethics and governance developments from 2020 to 2024.

The following events, cases, and developments were significant in bringing the reality of the new governance expectations into the consciousness of directors, executives, and accountants.

Shocking Fines, Settlements & Outcomes

- The Opioid Fiasco—makers of oxycontin and other opioids were sued by many U.S. states and have paid and are considering further settlements in billions. Consultants were sued for $350 million for marketing to unsuspecting people, and McKinsey paid a fine of $650 million for its strategic marketing advice. *(Case in Chapter 5)*

Figure 2.3 **Notable Business Ethics Developments, 2020–2024**



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- The Talc Disaster—Johnson & Johnson faced settlements totaling possibly as much as its net worth of $500 billion. In response, J & J tried to offload talc-generated assets into a Texas-incorporated subsidiary which they would then take into bankruptcy to limit their liability. This move, called the Texas two-step, was blocked by the courts as not being in the public interest, much to the chagrin of executives. *(Case in Chapter 1)*
- Brazil settled for $23 billion with mining firms for a 2015 environmental disaster.
- Tobacco firms faced fines totaling $32.5 billion for the harm caused by their products.
- 3M paid $6 billion for faulty military sound-deadening earplugs.
- A predatory financing scheme in Malaysia cost Goldman Sachs $5 billion.
- Wells Fargo settled for $3.7 billion for their abuse of customers.
- Corruption fines and settlements were also significant, including those to Airbus for $4 billion, Glencore for $1.5 billion, and SNC Lavalin was blacklisted from bidding on contracts in Quebec and required to settle a fraud for $292.2 million.
- Credit Suisse, a major international bank, was undermined by unethical conduct and significant fines, and was bought for very little by another bank, UBS, to prevent bankruptcy.
- The Collapse of the Silicon Valley Bank (SVB) in March 2023 caused the reinstitution of prudent banking standards and the return of stress testing and diligent oversight for mid-size U.S. banks with assets under $250 billion. SVB, which specialized in catering to start-ups, and high-growth technology and venture capital firms, invested in low-risk, low-interest-bearing, long-term Treasury securities that sank in value as interest rates rose in 2022 to combat surging inflation. The losses, although unrealized until the securities were sold, had to be recorded because of fair value accounting rules. When depositors and other customers began withdrawing their funds during COVID, these assets had to be sold at depressed prices and the losses became realized creating a severe liquidity crisis at SVB. This became known through social media channels, causing substantial further withdrawals and a run on the bank. Because of the SVB's position in the innovation economy, the market-wide contagion effects disrupted the technology sector. The SVB's failure to understand and manage its vulnerability to interest rate risks with its low-interest, long-term assets, perhaps due to the lack of a chief risk officer through much of 2022, was fatal for SVB's shareholders, customers, employees, and bank regulators. Managing the specific risk involved is quite common. *(Case on SVB is in Chapter 7)*

Major Failures of Governance that Provided Governance Lessons

- Boeing suffered repeatedly from 2018 to 2024 due to quality defects in several of its product lines including the 787 Dreamliner in which batteries blew up, 737-model planes that crashed due to control system malfunctions, or had a door plug blow off because bolts were missing or had body panels that did not fit properly. In an effort to economize, the company cut costs, outsourced production facilities, and cut quality and safety personnel. As a result, Boeing lost billions in contracts to competitors Airbus and others, while the company's stock fell in value by 50% or $200 per share. The CEO was replaced three times, until the company changed its strategy back to quality first. *(Case in Chapter 5)*
- TD Bank operations in the United States put profit before legality and paid massive fines of $1.2 billion for serving as banker to a Ponzi scheme operator in Texas, and $4 billion for ignoring repeated SEC warnings of money laundering, Ultimately, the

CEO lost over $11 million of his 2023 remuneration and "retired" early, and 40 executives who knew of or should have known of the laundering lost their jobs. *(Case in Chapter 5)*

- Wirecard, a major European payments company and significant factor in the German economy and stock market, collapsed because its management falsified assets and profits, and the auditors did not catch on to the deception. *(Case in Chapter 6)*
- Hockey Canada, the organization that runs most of the volunteer-led hockey leagues in Canada, kept secret several sexual abuse cases and failed to take any remedial action against the young men who committed the crimes. As a result, the organization lost the support of and funding from its key stakeholders including the Government of Canada. The executive and Board of Directors were replaced. *(Case in Chapter 7)*
- The bankruptcy of Samuel Bankman-Fried's cryptocurrency exchange, FTX, happened because the company's governance system failed to control its founder. Because there was little regulation of cryptocurrency infrastructure, traditional checks and balances offered by good governance did not exist. Several other crypto-related problems also occurred due to similar issues, but as 2025 began, the public interest in cryptocurrency began to focus on making it more respectable. BlackRock and other companies began offering ETF funds that invested in cryptocurrency to facilitate lower-risk investments, and Donald Trump released the Trump investment token. *(Case on FTX is in this Chapter)*
- Archegos, a private family investment company, used a complex swap derivative, the total return swap, to earn the total return (i.e., capital gain plus dividends) on its investments to avoid disclosure limits on its ownership interest. Consequently, the major financial institutions that lent money did not investigate thoroughly enough to discover the level of concentration of their investments. Unfortunately, when those investments (i.e., ViaComCBS and Discovery) declined sharply in value, Credit Suisse ($5.5 billion loss), Nomura ($2.9 B), and Morgan Stanley (0.9 B) lost a lot of money, and investment shares had to be released into the market, driving down prices further, leading to the collapse of Archegos. *(Case in Chapter 5)*
- The Super Micro Computer Scandal began on October 4, 2018, when a report by Bloomberg News indicated that Super Micro's servers contained a hidden chip implanted by the company's Chinese supplier that allowed back-door access to the server. Due to the prominence of the U.S. customers owning those servers, and the risks inherent in the loss of control over related secret information, customers started to defect, server sales fell, investor confidence eroded, the share price declined by 41% in a few weeks, and the Super Micro's stock was temporarily delisted from trading. The company dismissed the Bloomberg story as unfounded rumor, but trust in the company's servers was significantly eroded, and took some time to be rebuilt. Furthermore, the company faced scrutiny from the U.S. Securities and Exchange Commission (SEC) and other regulatory bodies. Although formal penalties from the SEC were avoided, the costs associated with legal defense, compliance measures, and reputational management were substantial, collectively estimated in the tens of millions of dollars (U.S. Securities and Exchange Commission, 2018).[2] Concern for software and foreign supply chain integrity became a major risk issue for many corporations.
- Juul, the U.S. e-cigarette maker, agreed in September 2022 to pay $438.5 million to 34 states and territories because their e-cigarettes were deliberately marketed to

[2] U.S. Securities and Exchange Commission. (2022). "Disclosure of Software Supply Chain Risks." Retrieved from https://www.sec.gov/comments/s7-09-22/s70922-20129618-295898.pdf.

underage children, which was illegal. In addition, the settlement included "restrictions on marketing to people under 35, limits on in-store displays, online and retail sales limits, and a retail compliance check protocol."[3]

Fraudster that Caught the Public's Imagination

- Elizabeth Holmes, the CEO of Theranos Inc., was able to con several very sophisticated businesspeople out of a significant amount of funding by claiming that her prototype blood analysis device would provide complex analyses that otherwise required multiple devices and greater time for the analysis. It was a classic 'Fake it until you make it' fraud. *(Case in this chapter)*

Failure to Identify & Manage Risks

- The French cement manufacturer, Lafarge, was fined $778M by the U.S. Department of Justice for paying money to terrorist groups, ISIS and the Al-Nusrah Front, so that a cement plant could remain open in Syria.
- Cybersecurity continued to be a serious problem with state-sponsored disruptors (Russians, Chinese, and Iranians) as well as others affecting the daily services of many unsuspecting enterprises and organizations including Saint John, New Brunswick, some Ontario Hospitals, and UnitedHealth.

Ethical Lapses by CEOs Who Failed to Understand the Risks They Faced

A 2018 study by Strategy&, the consulting arm of PwC, found that more CEOs are fired for ethical misconduct than because of poor financial performance. Many were the result of unacceptable sexual relations with employees.

- Alan Shaw, CEO of Norfolk Southern, the Atlanta-based railway, was terminated in 2024 for having an inappropriate consensual relationship with the company's legal officer, Nabanita Nag who was also fired.
- In 2022 CNN, Jeff Zucker resigned for failing to disclose a romantic relationship with Allison Gollust, CNN's chief marketing officer. Allison also resigned because she had violated official journalistic standards and practices.
- Steve Easterbrook was fired as CEO of McDonald's in 2021 for demonstrating poor judgement by violating the company's policy concerning consensual relations with employees. He then returned a $105 million settlement package when it came to light that he had more than one affair with company employees and had destroyed sexually explicit photos and videos of some McDonald's employees.
- In 2017, Travis Kalanick, the founder of Uber, resigned because he had created an unethical corporate culture that included workplace harassment against women.

In today's environment, especially with the MeToo movement, the false impression may be created that if the boss can have affairs with subordinates with impunity, then others should be able to ask for sexual favors from subordinates. This sets an inappropriate standard of behavior for the organization.

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[3] "Juul to pay $438.5 million in settlement with dozens of states over marketing to underage people," Jen Christensen, CNN, September 6, 2022, accessed on September 7, 2022, at https://edition.cnn.com/2022/09/06/health/juul-settlement-marketing/index.html?utm_term=OZY&utm_campaign=pdb&utm_content=Wednesday_09.07.22&utm_source=Sailthru&utm_medium=email.

Others were fired because of inappropriate behavior not involving sexual relations with employees.

- At Credit Suisse, Antonio Horta-Osorio, the chair of the board, resigned in January 2022 after he breached COVID-19 protocols by flying from Switzerland to England to watch the tennis finals at Wimbledon. A month later, Tidjane Thiam, the CEO resigned after he hired detectives to spy on two former senior executives.
- In 2020, Jean-Sébastien Jacques resigned as CEO of Rio Tinto after the mining company destroyed the 46,000-year-old Juukan Gorge rock shelters in Western Australia, a sacred indigenous site, to expand an iron ore mine.
- In 2018, Carlos Ghosn, the CEO of Nissan Motor Corporation was fired and then arrested for concealing $90 million of compensation from investors and the public. He escaped capture and fled to Lebanon.

The values of the CEO set the tone for the organization. If those values deviate from socially accepted standards of behavior, then it is the duty and responsibility of the board of directors to intervene. In egregious instances, the CEO needs to be fired to send a strong message throughout the organization that ethics are of critical importance to the smooth operations of the business.

Workplace Ethics Issues

- Sexual abuse was not just a CEO problem. In 2022, the University of Michigan agreed to pay $490 million to over 1,000 mostly male students who were sexually abused by the University's sports doctor, Robert Anderson, and the doctor of the U.S. Olympic Team also continued to be in the news for similar reasons. In addition, the New Jersey Catholic diocese agreed to pay $87.5 million to settle abuse suits. Harvey Weinstein, an early target of the MeToo Movement, continued to be in the news.
- Privacy was also a continuing concern with several organizations, including Credit Suisse, disclosing that their computer systems had been hacked.
- "Exxon's 'toxic culture' drives workers from a once coveted career"—This was the headline in a Bloomberg Report dated October 15, 2022, that stated that although the company was making more money than before, the "company's 'long-simmering toxic culture has employees heading for the exits' to the tune of 12K departures in the past two years." That culture was "increasingly out of step with the world around it… [an] insular and fear-based culture… [that] has become a drag on innovation, risk taking, and career satisfaction."[4] Over a long time period, a toxic culture represents a significant liability.
- DEI Progress & Backlash—Throughout the early and middle of the 2020–2025 period, the Diversity, Equity, and Inclusion agenda gained momentum with many organizations committing to DEI principles (covered in Chapter 7) in their activities. However, in the Summer of 2024, in the face of growing criticism, a number of large companies including Ford, Lowes, and Walmart, changed their policies and rejected their earlier

[4] "Exxon's 'toxic culture' drives workers from a once coveted career – Bloomberg," Carl Surran, Seeking Alpha, October 15, 2022, accessed on October 17, 2022, at https://seekingalpha.com/news/3891566-exxons-toxic-culture-drives-workers-from-a-once-coveted-career-bloomberg?lctg=60acecacdf318430ae384b65&mailingid=29396093&messageid=wall_street_breakfast&serial=29396093.145115&userid=47642183&utm_campaign=10_17_22&utm_medium=email&utm_source=seeking_alpha&utm_term=wall_street_breakfast.

DEI commitments, and their participation in some "best place to work rankings."[5] It is important to note that on January 22, 2025, newly installed President Trump followed through on his campaign promise to oppose DEI programs by ordering government DEI employees to be placed on leave as "the agency takes steps to close/end all DEIA initiatives, offices and programs."[6]

ESG, Climate Change & the Backlash

- Climate change has emerged as a most important topic as the public becomes more convinced that it is real as forest or brush fires devastate our forests and even our largest cities such as Los Angeles. Many corporations have increased their activities in support of climate change and climate change reporting. TD Bank has sworn off financing Arctic oil deals, and banks now measure the corporate climate impacts of some companies. Enbridge,[7] an energy gas and oil pipeline and distribution company, and Telus,[8] a communications company, have both sold climate sustainability-linked bonds. BlackRock, a premier investment company, has decided to back climate reporting by joining a hub for reports, but the attorneys general of 19 Republican states have decided to oppose this move because they regard this as a "woke investment."[9] The Royal Bank of Canada decided to increase its green funding loans to $11 billion by 2030.[10] In spite of this support, and the evident need, re-elected President Trump pledged to curtail the climate support policies of President Biden. Time will tell how effective the ESG backlash will be at reducing or reversing the momentum toward stabilizing our climate. Polls suggest that the public is strongly in favor of continuing to protect our planet.

New Legal Parameters

- Companies that commit offenses on foreign soil used to be safe from lawsuits in their home countries where their significant assets were located—but this is no longer the case. The Supreme Court of Canada found that the principles of international human rights were part of Canadian law, so that Nevsun Resources Ltd., a Canadian company,

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[5] "Ford joins growing list of companies revising DEI policies amid backlash," Preeti Singh, Seeking Alpha, August 28, 2024, accessed on August 29, 2024, at https://seekingalpha.com/news/4144730-ford-joins-growing-list-of-companies-revising-dei-policies-amid-backlash?message_id=wall_street_breakfast&serial=47642183_113665368291&source=email_wsb&utm_medium=email&_hsenc=p2ANqtz-_sSbJKPp9FQCcsMXMzZoTspV9Z7frKqfLOVgBIoJTHzC6XuufXh01kk67nbEubv5qNR6ZFiG3v3QZT75F3XBCZCDAO1Q&_hsmi=93880704&utm_content=93880704&utm_source=hs_email.

[6] "White House orders government DEI employees to be placed on leave," Donald Judd and Katelyn Polantz, CNN, January 22, 2025, accessed on January 22, 2025, at https://www.cnn.com/2025/01/21/politics/white-house-government-dei-employees-on-leave/index.html.

[7] "Enbridge to launch sustainability-linked bonds in first for NAM pipeline firm," Carl Surran, June 18, 2021, accessed on June 18, 2021, at https://seekingalpha.com/news/3707713-enbridge-to-launch-sustainability-linked-bonds-in-first-for-nam-pipeline-firm?mail_subject=enb-enbridge-to-launch-sustainability-linked-bonds-in-first-for-nam-pipeline-firm&utm_campaign=rta-stock-news&utm_content=link-1&utm_medium=email&utm_source=seeking_alpha.

[8] TELUS closes its inaugural Sustainability-Linked Bond offering, TELUS Media Release, June 28, 2021, https://www.telus.com/en/about/news-and-events/media-releases/telus-closes-its-inaugural-sustainability-linked-bond-offering.

[9] "BlackRock to take sweeping action on Climate Change," The Associated Press, *Toronto Star*, January 15, 2020, p. B1, B5.

[10] "RBC to hike green funding to $15 B," The Canadian Press, *Toronto Star*, May 7, 2024, B2.

could be sued in Canada for their violations abroad.[11] Similarly, Shell plc, headquartered in the Netherlands, had escaped liability in company-friendly Nigeria for years. In 2022, the company was sued successfully in the Appeals Court in the Hague by four Nigerian farmers whose farmlands had been devastated by the oil spills from a Shell subsidiary.[12]

- The State of Delaware, the leading U.S. governance jurisdiction, developed a new form of corporation—the Benefit Corporation—that requires Boards of Directors to consider the interests of stakeholders beyond just shareholders. This type of corporation removed the legal barriers in many U.S. states that prevented the consideration of workers and/or environmental rights, for example, in deference to the rights of shareholders.[13]

Professional Accounting Standards Issues

- NOCLAR Rules: In 2017, the International Ethics Standards Board for Accountants modified the Code of Ethics for Professional Accountants to incorporate the requirement for professional accountants to report noncompliance with laws and regulations (i.e., NOCLAR) by a client or employer that might affect the public interest. This change was supposed to be incorporated into the ethics codes or rules of conduct of the major professional accounting bodies around the world, and they were in most of the world outside of North America which introduced them piecemeal in late 2024 and early 2025. *(NOCLAR Rules are discussed in Chapter 6)*
- Cheating on Professional Accounting Exams: The NOCLAR Rules were originated to ensure that professional accountants considered their primary goal to be the protection of the public interest because that was essential to protect the public's trust in professional accountants. However, the reputation of professional accountants was severely damaged when the firms PricewaterhouseCoopers and EY were fined significant amounts for actively assisting their employees to cheat on their professional examinations.[14,15] *(Cases in Chapter 6)*

COVID

- On March 11, 2020, the World Health Organization (WHO) declared the coronavirus (COVID-19) a global pandemic and declared the emergency over on May 5, 2023. During the emergency, personal rights were compromised by corporations that were

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[11] "Nevsun can be sued in Canada for alleged abuses committed abroad, Supreme Court rules," Niall McGee and Geoffrey York, *The Globe and Mail*, February 29, 2020, B3.

[12] "Shell escaped liability for oil spills in Nigeria for years. Then four farmers took them to court ... and won," Nimi Princewill and Krystina Shveda, CNN, Wed May 25, 2022, accessed on May 25, 2022, at https://www.cnn.com/2022/05/25/africa/shell-oil-spills-nigeria-intl-cmd/.

[13] "3 Ways to Put Your Corporate Purpose into Action," Robert G. Eccles, Leo E. Strine and Timothy Youmans, *Harvard Business Review*, May 13, 2020, accessed at May 14, 2020 at https://hbr.org/2020/05/3-ways-to-put-your-corporate-purpose-into-action.

[14] "Ernst & Young fined $100M by the SEC over ethics Exam Cheating," Yoel Minkoff Seeking Alpha, accessed on June 28, 2022, at https://seekingalpha.com/news/3852336-ernst-young-fined-100m-by-the-sec-over-ethics-exam-cheating?mailingid=28199752&serial=28199752.155337&userid=47642183&source=email_wsb&messageid=wall_street_breakfast&utm_source=seeking_alpha&utm_medium=email&lctg=60acecacdf318430ae384b65&utm_campaign=WSB_6_28_22&utm_term=wall_street_breakfast.

[15] "PwC Canada fined over one Million CDN by US, Canadian Regulators," Colin Ellis, Canadian Accountant, March 1, 2022, accessed on Oct. 10, 2022, at http://www.canadian-accountant.com/content/profession/pwc-canada-fined-by-us-canadian-regulators.

acting in the public interest such as requiring vaccinations to protect others from infection, or where the corporations were acting in what they thought was shareholders' interest by requiring employees to work at the office.

The Election of President Donald Trump

- On January 20, 2025, Donald Trump became the 47th President of the United States. He campaigned on values that are contrary to many of those underlying the steps taken in corporate America toward Diversity, Equity, and Inclusion (DEI) goals, the protection of the environment, the focus on climate deterioration, and the application of science to vaccinations. Policy initiatives considered earlier gains in these areas were immediately reversed by Presidential Executive Orders and supporting the removal of restrictions on corporate activity leaving the question of whether earlier trends toward corporate social performance would be abandoned or paused. Time will tell.

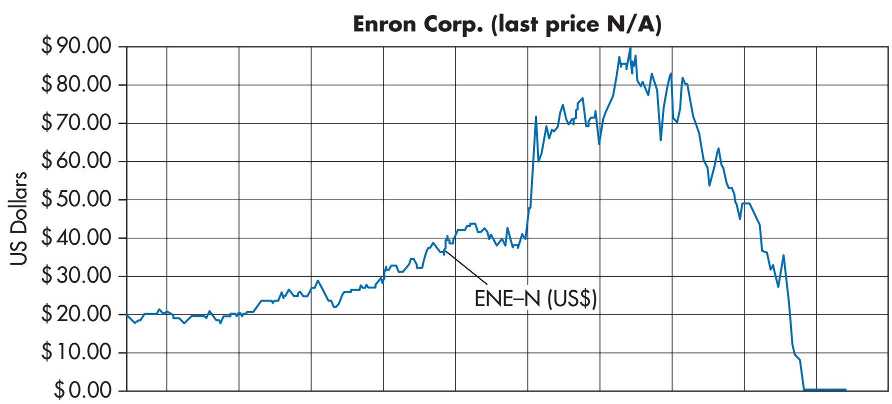
Significant Ethics & Governance Scandals & Events

Enron—A Failure of the Board of Directors

Enron Corporation was formed by Ken Lay in 1985 as a result of the merger of two natural gas pipeline companies. As the demand for natural gas grew, the stock price of Enron rose steadily through the 1990s, trading in the $20 to $40 range. At the beginning of 2000, the stock price began to soar, trading in the $60 to $90 range. At that time, Enron was the seventh-largest public company in the United States. However, in 2001, the stock began to fall, and on December 2, 2001, the company filed for bankruptcy protection. Four months later, as shown in Figure 2.4, on April 2, 2002, Enron stock was trading for 24 cents.

Headquartered in Houston, Texas, Enron's core business was selling natural gas. But it moved into the business of selling energy futures. A futures contract is an agreement whereby one party agrees to sell energy to another party at a specified date in the future at

Figure 2.4 **Enron Stock Chart, Weekly Prices, 1997–2002**



Source: Reprinted courtesy of StatPro Canada, Inc.

a price agreed to today. From the seller's point of view, revenue is normally recorded when the energy is delivered to the customer. In Enron's case, it began to record income using an estimate of future sales. Called "prepays," Enron recorded revenue in the current period, when the cash was received, in advance of delivering the natural gas over a period of years in the future.

Another ploy was to artificially sell, or syndicate, Enron's long-life assets, such as its capital-intensive energy projects. Unfortunately, Enron was unable to find real independent buyers to invest in these syndicates. So, when Enron created unconsolidated affiliates or special purpose enterprises/entities (SPEs) to serve as investment vehicles, an Enron employee masqueraded as an independent outside investor to falsely permit transfers from Enron to be recorded as sales and generate profit. However, *since these SPEs were not independent from Enron, in reality Enron was selling assets to itself*. Since there was no independent investor voice, Enron could manipulate profit as much as they wanted by selling at any price—which they did. Most investors and lenders were misled into thinking that Enron's sales and profits were growing superbly and were stunned when the company was declared bankrupt.

Through these sorts of transactions, Enron managed to artificially overstate its revenue while understating its liabilities. However, because Enron was selling assets to itself, the transactions did not generate any real profit or any significant external cash flow. However, the SPEs were used to attract loans (i.e., new cash) from banks interested in dealing with Enron, and this new cash was transferred to Enron in settlement of the false sales transactions. Consequently, Enron's financial results showed false increases in sales, cash, and profit and did not reflect the borrowing from banks (i.e., liabilities incurred) that produced the increase in cash. The borrowings from banks were shown on the statements of the SPEs, but these were not consolidated into the Enron statements because the SPEs were falsely represented to have external investors who contributed at least 3% of the capital and who were making all of the SPE decisions, including those related to the asset purchases from Enron.

On November 19, 2001, the company announced that it could not meet its next debt payment. On December 2, it declared bankruptcy. When the financial statements were eventually restated, Enron's revenue was reduced by over $2.6 billion for the four-year period from 1997 to 2000. Overall debt was increased by a similar amount. Almost one-half of its reported profits, which had driven up its stock price so dramatically through the late 1990s, were shown to be false. At the time, this was the largest fraud ever reported in the United States.

According to both an internal investigation (Powers Report) and an external investigation (Senate Subcommittee Report), the failure of Enron was attributed, in large part, to the failure of the board of directors to provide oversight and governance. The board members knew of and permitted the Enron executives to do the following:

- Engage in high-risk accounting transactions, such as recording revenue early through the use of "prepays"
- Engage in inappropriate conflicts of interest, such as permitting Jeffrey Skilling, Enron's CEO, to also operate private equity funds that were dealing with Enron
- Not record material off-the-book liabilities through the use of SPEs
- Pay excessive compensation to its senior executives, often without proper approval, including almost $1 billion in stock options to 12 senior executives

Furthermore, the members of the board of directors engaged in a number of financial transactions with Enron, thus compromising their own independence.

The board failed to ensure the independence of Enron's auditor, Arthur Andersen. It also appears that it chose to ignore the complaints of various whistleblowers and instead placed its faith in the company's senior executives, Ken Lay (chairman and sometimes CEO), Jeffrey Skilling (CEO), and Andrew Fastow (CFO). These were the men who were orchestrating the fraud.

The ethics case "Enron's Questionable Transactions" is provided at the end of this chapter to provide insights into how flaws in corporate governance and accounting made possible the massive Enron fraud. Additional background information on Enron is available in the digital archive at **www.cengage.com**.

As a consequence of Enron's failure, tens of thousands of employees lost their jobs; millions of investors, either directly or indirectly through their pension funds, lost millions of dollars. Ten key employees were indicted and sent to prison, although Ken Lay died before sentencing. Within one year, Arthur Andersen, Enron's auditor, would be convicted of obstruction of justice; WorldCom would announce that its financial statements were inaccurate by $11 billion; and the U.S. Congress would enact SOX. The world of corporate governance changed dramatically.

Arthur Andersen—An Organizational Culture Gone Awry

At the turn of the 21st century, there were five large accounting firms: Arthur Andersen, Deloitte Touche Tohmatsu (now Deloitte), Ernst & Young, KPMG, and PricewaterhouseCoopers. Each of these represented a network of firms that were spread throughout the world, with offices in almost every major city. Called the Big 5, they were an oligopoly when it came to providing audit services to large publicly traded companies.

Arthur Andersen (hereafter simply Andersen) was founded in 1913 in Chicago.[16] It had a reputation for integrity and technical competence. In 1954, it expanded from providing accounting and audit services to providing consulting services to the managers of the firms to whom it was also providing audit services. By 1984, consulting services revenue was greater than audit services revenue. In 1989, the consulting arm was spun off into a separate organization that eventually changed its name to Accenture.

During the 1980s, the culture at Andersen was altered:

- Revenue generation became the key to promotion.
- The focus was on providing nonaudit services to management, including providing advice on how to structure transactions so that they would be disclosed in a manner favorable to management.
- Pressure to reduce audit costs increased, and audit partners were allowed to override the rulings of the quality control partners.

The potential conflict of interest between fair reporting to shareholders and serving the interest of management was not addressed. The partnership was interested only in revenue generation.

Andersen was providing both audit and consulting services to Enron. In 2000, it was deriving more of its revenue from providing management services; audit fees charged to Enron were $25 million, while consulting fees were $27 million.[17] David Duncan, the

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[16] A more detailed description of the collapse of Arthur Andersen is provided in the digital archive for this book at **www.cengage.com**, as Chapter 9, "The Credibility Crisis—Enron, WorldCom, & SOX."

[17] Paul Healy and Krishna Palepu, "The Fall of Enron," *Journal of Economic Perspectives* 17, no. 2 (March 2003): 3–26.

partner in charge of the Enron audit, did not challenge the accounting policies of Enron. He even ignored three internal emails from Carl Bass, a quality control partner, who was questioning some of Enron's accounting policies and possible conflicts of interest between Enron, Fastow (Enron's CFO), and the SPEs that Fastow was managing. Eventually, Bass was removed from providing Enron audit oversight.

In March 2002, the SEC announced that it was investigating Andersen for audit deficiencies with respect to the Enron audit. This came after Andersen had been found guilty of similar audit deficiencies with respect to the audits of Waste Management, Inc., and Sunbeam Corporation. Meanwhile, many companies were switching auditors; they did not want their reputations damaged by being associated with Andersen.[18]

On October 10, Andersen's lawyer, Nancy Temple, sent an email to the Houston office reminding the Enron audit team of the Andersen policy, "which calls for destruction of extraneous and redundant material." Tons of documents were shredded. When this became known, the perception was that the Anderson staff was destroying any evidence that might indicate that they had been complicit in the Enron fraud.

Andersen was charged with obstruction of justice and was found guilty on June 15, 2002. Andersen agreed to cease auditing all publicly traded companies while it appealed the conviction. Almost three years later, on May 31, 2005, the U.S. Supreme Court overturned the Andersen conviction. But it was too late. The partnership had no clients; it had voluntarily surrendered its license to practice, and its personnel had already joined other accounting firms in the United States and around the world. A firm that once had 85,000 employees worldwide was no more. The Big 5 had become the Big 4 accounting firms.

The ethics case "Arthur Andersen's Troubles" is available at the end of this chapter.

WorldCom—Power in the Hands of One Man

Prior to cellular telephones, phone calls were sent through fixed fiber-optic telephone cables. Because it was expensive for each company to build and operate its own telephone line network, the telephone companies would share the existing landlines. The company that owned the landline would charge the telephone company that was using that line a service fee. The telephone company would then pass the landline charge to the telephone user. From a reporting perspective, the telephone company would record an expense for the cost of using the third-party landline and record revenue for the amount that it charged the long-distance telephone caller.[19]

WorldCom, headquartered in Clinton, Mississippi, was started in 1983 by Bernard Ebbers as a long-distance discount service.[20] The company experienced spectacular growth in the 1990s through a series of takeovers. Eventually, WorldCom became the second-largest telecommunications company after AT&T and Ebbers became known as the Telecom Cowboy. In 1999, WorldCom planned a $115 billion takeover of Sprint Corporation. However, the takeover was vetoed by U.S. and European regulators. This put downward pressure on WorldCom's stock, which had been propped up by using takeovers rather than normal operating growth to increase earnings.

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[18] Paul Chaney and Kirk Philipich, "Shredded Reputation: The Cost of Audit Failure," *Journal of Accounting Research* 40, no. 4 (May 2002): 1221–45.

[19] See also the ethics case "Manipulation of MCI's Allowance for Doubtful Accounts" in Chapter 5.

[20] A more detailed discussion of the WorldCom fraud and bankruptcy is provided in Chapter 9, "The Credibility Crisis—Enron, WorldCom, & SOX," which is available in the digital archive at **www.cengage.com**.

In order to artificially increase its net income, WorldCom adopted a simple accounting policy: it would capitalize expenses. Rather than record an expense for third-party line costs, the company recorded these costs as assets. These capitalized costs reduced operating expenses and artificially inflated net income by over $7.6 billion for the years 1999 to 2002. WorldCom also had Andersen as its auditor.

The fraud was perpetrated by Ebbers; Scott Sullivan, the company's CFO; and four of Sullivan's staff. In 2000, Ebbers and Sullivan each received retention bonuses of $10 million. By 2001, they had each been allocated millions of stock options. In addition, Ebbers had been lent $408 million by the company to buy or pay margin calls on his WorldCom stock. The security on his margin account was his WorldCom stock. Ebbers had a strong financial motivation to keep WorldCom's stock strong, especially after the failed Sprint takeover. To keep the stock price up and to meet analysts' forecasts, Ebbers directed Sullivan to engage in a straightforward financial statement fraud. The company would record expenses as assets, thereby increasing net income. The company also created fictitious reserves of $2 billion. The fraud eventually totaled $11 billion, dwarfing the $2.6 billion Enron fraud.

Despite the aggressive overstatement of income from 1999 to 2002, the stock price began to fall. After Ebbers was fired as CEO in April, an internal investigation revealed the extent of the fraud. But it was too late. In July 2002, WorldCom declared bankruptcy. It was later merged with MCI and its name changed to Verizon Business in 2006. The perpetrators of the fraud—Ebbers, Sullivan, and their assistants—were fined and sent to prison.

During the court case, the jury chose to believe the prosecution's claim that the fraud had been orchestrated by Ebbers. They accepted Sullivan's testimony when he said that Ebbers had ordered him to "hit his numbers." They needed to falsify the accounting records in order to meet Wall Street's expectations, thereby keeping the stock price high and the stock options in the money. There appeared to be no control over Ebbers, the man who had created the company and oversaw its growth through takeovers and false financial reporting. Sullivan was not in a position to challenge him. No one was. And so, with almost unlimited power, Ebbers could engineer the largest fraud in American history. He was out of control.

The ethics case "WorldCom: The Final Catalyst" is located at the end of this chapter.

WorldCom had developed an unhealthy corporate environment and culture. Senior executives were overcompensated, and they had too many stock options. There was insufficient oversight, and power was concentrated in the hands of one person. A similar situation occurred in Australia. HIH Insurance was autocratically ruled by one individual whose poor management decisions bankrupted the company in 2001. It had developed a culture, similar to WorldCom, where executive decisions were neither challenged nor questioned.[21] Without an adequate balance of power between the board and management, the chances of a business failure increase.

Crisis of Confidence

Prior to the collapse of WorldCom in July 2002, the demise of Andersen a month earlier, and the bankruptcy of Enron in December 2001, *investors and regulators had become extremely concerned about the lack of integrity of business leaders, and stock markets plunged,*

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[21] "Report of the Royal Commission into HIH Insurance," *Department of the Parliamentary Library* 32 (May 13, 2003), http://www.aph.gov.au/library/pubs/rn/2002–03/03rn32.pdf.

as did the confidence in financial reports. Furthermore, there were obvious flaws in the governance structures originally designed to ensure that management was not operating the businesses to further their own personal self-interests. There had been a number of spectacular corporate governance failures:

- Adelphia Corporation—founded by John Rigas, the company filed for bankruptcy in 2002 as a result of internal corruption by Rigas and his family, who were convicted of a $2.3 billion fraud and looting the company of more than $100 million.[22]
- Aurora Foods, Inc.—in 2001, the company was found guilty of underreporting expenses by $43.7 million in order to meet analysts' earnings expectations.[23]
- Global Crossing—when it declared bankruptcy in 2002, it was the fourth-largest business failure in American history. The fiber-optics company's market capitalization had fallen from $47.6 billion in February 2000 to $273 million on January 28, 2002.[24]
- HIH Insurance—with losses estimated at A$5.3 billion, this was the largest corporate failure in Australia's history. The subsequent Royal Commission found that the failure was due to gross mismanagement and an organizational culture that did not question leadership decisions.[25]
- Sunbeam Corporation—turnaround artist Albert "Chainsaw" Dunlap increased net income by fraudulently recording $62 million in sales. The company went into bankruptcy protection in 2001.[26]
- Waste Management, Inc.—in March 2001, the SEC laid charges against the senior officers of the company for fraudulently overstating pretax income by $3.5 billion from 1992 to 1996. Andersen, the company's auditor, paid a $7 million fine as a result of this audit failure.[27]
- Xerox Corporation—in April 2002, the company was fined $10 million (the largest fine the SEC had ever levied) for fraudulently recognizing over $3 billion of equipment revenue over the four-year period 1997–2000.[28]

This is only a partial list of the accounting and business debacles that occurred in the year prior to the WorldCom fiasco. But WorldCom, an $11 billion fraud, was the last straw. *Business and business people faced a crisis of confidence because their integrity, financial reports, and activities lacked credibility*. As the news of each debacle came to the attention of the public, stock markets plummeted, as noted in Figure 2.5. President George W. Bush, recognizing the developing crisis of confidence, delivered a television appeal for the public to trust that the government[29] would be able to fix the flawed governance and reporting systems, but further fiascos caused stock prices to sink further. In response, Congress quickly passed SOX, which became law on July 30, 2002.

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[22] See also the ethics case "Adelphia—Really the Rigas' Family Piggy Bank" in Chapter 5.

[23] "Former Aurora Foods Executives Plead Guilty to Securities Fraud," *St. Louis Business Journal*, September 4, 2001, http://www.bizjournals.com/stlouis/stories/2001/09/03/daily8.html.

[24] "Global Files for Bankruptcy," *CNN Money*, January 28, 2002, http://money.cnn.com/2002/01/28/companies/globalcrossing/.

[25] "Report of the Royal Commission into HIH Insurance," *Department of the Parliamentary Library* 32 (May 13, 2003), http://www.aph.gov.au/library/pubs/rn/2002–03/03rn32.pdf.

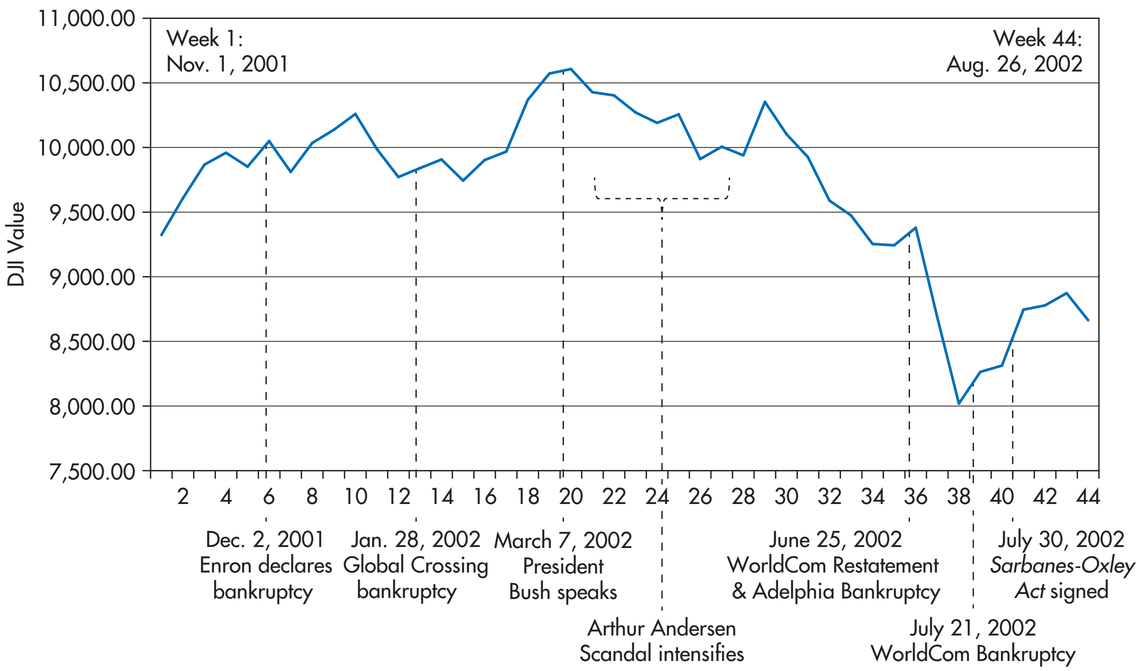
[26] See also the ethics case "Sunbeam Corporation and Chainsaw Al" in the digital archive at **www.cengage.com**.

[27] See also the ethics case "Waste Management, Inc." in the digital archive at **www.cengage.com**.

[28] "Xerox Charged with Fraud," *CNN Money*, April 11, 2002, http://money.cnn.com/2002/04/11/technology/xerox_fraud/.

[29] On March 7, 2002, he called for governance reforms and advanced a 10-point plan for legislative action.

Figure 2.5 **Impact of Financial Debacles on NYSE Share Prices Per Dow Jones Industrial Index Average (DJI), November 1, 2001–August 31, 2002**



Source: DJI weekly close values were downloaded on December 11, 2013, from http://ca.finance.yahoo.com/q/hp?s=%5EDJI&a=10&b=1&c=2001&d=07&e=31&f=2002&g=w.

Sarbanes-Oxley Act—Closing the Barn Door

SOX provided direction in three main areas: the responsibilities of management, conflicts of interest, and the responsibilities of the auditors and the audit committee. A primary responsibility of management is to implement a proper internal control system to ensure that the company's financial reports are accurate, complete, understandable, and transparent. Furthermore, the quarterly and annual financial reports must include a management certification, signed by the CEO and CFO, attesting to the scope, adequacy, and effectiveness of the company's internal controls concerning financial reporting.

Several sections of SOX are designed to reduce conflicts of interest. These include requiring the following:

- The disclosure of management stock trades and any dealings that management has with major investors
- That all publicly traded companies have a corporate code of ethics.

Numerous sections of SOX address the responsibilities of auditors and the audit committee. Some of these require that:

- the directors who sit on the audit committee be independent of management,
- the audit committee have at least one member who is a financial expert and the others be financially literate,

- the audit committee have a sufficient budget of time and money to complete its work,
- the auditor report to the audit committee without management being present, and
- the auditor not provide any management services, other than tax and information technology, to its audit clients.

Furthermore, SOX required the establishment of the Public Company Accounting Oversight Board (PCAOB). Composed of five members appointed by the SEC, the PCAOB is charged with establishing auditing and attestation standards. It is also responsible for inspecting and disciplining accounting firms. As a result of the numerous audit failures and the collapse of Arthur Andersen, the U.S. government decided that the accounting firms could no longer be left to discipline themselves. Hence, the PCAOB is designed to audit the auditors.

SOX was designed to strengthen corporate governance. When the board is not independent of management, it becomes harder for the board to control management. Non-arm's-length transactions between management and major investors may not be priced at fair values, so there is an opportunity for managerial opportunism. Stock options had been generously granted to senior executives of public companies, often because many people thought, wrongly, that stock options were of no cost to the company. SOX helps ensure that there is greater transparency, which should minimize the possible adverse effects of conflicts of interest.

The audit committee is a key element of governance control. The committee is to oversee the financial reporting system and the financial reports of the company. The committee must have the expertise to objectively and independently assess the audit and the veracity of the financial statements. The auditor must also be independent in order to objectively assess the financial statements that are prepared by management. SOX provided guidelines in that regard.

Overall, SOX forced directors, especially those who are also audit committee members, to realize that they could no longer take the assertions of management at face value. Directors were now required to be knowledgeable and vigilant. They were to ask tough questions of management. Directors have the ultimate responsibility to oversee management and to set strategic policy. Therefore, they must act with integrity and honesty.

Another consequence of SOX is that auditors are acquiring a greater knowledge of their clients' internal control systems and are adjusting their audit procedures to take advantage of this enhanced knowledge.[30] This has resulted in an improvement in the quality of financial reporting by listed companies.[31] However, the increased restrictions of SOX have meant that many local and regional accounting firms in the United States have ceased to conduct audits of publicly traded companies.[32]

Tax Shelters—Not in the Public Interest

Tax practitioners are hired to provide advice to clients on how to pay the minimum amount of tax. Sometimes, accountants become too aggressive in designing tax strategies. This happened to both Ernst & Young (now EY) and KPMG. They recommended that

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[30] Greg Trompeter and Arnold Wright, "The World Has Changed—Have Analytical Procedures Practices?," *Contemporary Accounting Research* 27, no. 2 (Summer 2010): 669–700.

[31] Daniel Cohen, Dey Aiyesha, and Thomas Lys, "Real and Accruals-Based Earnings Management in the Pre- and Post-*Sarbanes-Oxley* Periods," *The Accounting Review* 83, no. 3 (May 2008): 757–87.

[32] Williams Read, Dasaratha Raghunandan, and K. Rama, "Local and Regional Audit Firms and the Market for SEC Audits," *Accounting Horizons* 18, no. 4 (December 2004): 241–54.

their clients invest in tax shelters later judged to be illegal. Both accounting partnerships were fined, and the IRS implemented *Circular 230*.

In the 1990s, E&Y designed and marketed a variety of tax shelters that would delay paying taxes on stock options for up to thirty years. They were aggressively marketing these shelters to their wealthy clients, including two senior executives at Sprint Corporation, an E&Y audit client. The IRS deemed the tax shelters to be a sham and disallowed the tax deductions. The executives were reassessed and had to pay millions of dollars in taxes and fines. E&Y reached a settlement with the government and paid a fine of $15 million.

From 1996 to 2003, KPMG designed, implemented, and aggressively marketed a variety of tax shelters targeted at wealthy taxpayers, those who paid taxes of $10 million to $20 million. These abusive tax shelters generated at least $11 billion of artificial tax losses that cost the U.S. government $2.5 billion of evaded taxes. The government rejected the tax shelters on the basis that they had no economic purpose other than to reduce taxes. The taxpayers were reassessed, the tax deductions were disallowed, and they had to pay the taxes otherwise payable along with fines and penalties. The KPMG tax shelters were considered so egregious that some wanted to see KPMG put out of business. However, this would have meant that, with the recent collapse of Andersen, the Big 4 would have become the Big 3, which would have been an unacceptably small oligarchy. Instead, the U.S. government fined KMPG $456 million.

Then, in May 2009, four E&Y tax partners were found guilty for their role in marketing illegal tax shelters to wealthy clients. From 1998 to 2006, the four had sold tax shelters that resulted in fictitious tax losses of approximately $2 billion. E&Y was not charged, but the firm's reputation was damaged. Refer to the ethics case "Marketing Aggressive Tax Shelters" is contained in Chapter 6.

In the wake of the E&Y and KPMG tax debacles, the IRS issued *Circular 230* on September 26, 2007.[33] It provides rules and suggested best practices for tax professionals. The basic rules are to know your client, serve the client's needs, explain and disclose fully, and propose strategies likely to succeed. *Circular 230* requires tax professionals to do the following:

- Practitioners need to understand the facts of the situation as well as the goals, needs, and expectations of the client.
- Any advice or tax planning strategies have to be consistent with the objectives of the client and the current applicable tax rules and regulations.
- Any written opinions, including emails, called "covered opinions," need to clearly explain all the facts and assumptions, the proposed strategy, and the probable consequences of the strategy.
- Any proposed tax strategy must have a better than 50% chance of success if there is the possibility that it will be challenged by the IRS.
- If no opinion can be reached, then the tax practitioner must explain why a conclusion cannot be drawn.
- Opinions must also disclose the compensation method.

Overall, the tax professional needs to know the client and make tax planning suggestions that are reasonable and consistent with the law and the requirements of the client.

Critics argued that the regulations requiring new opinions would preclude most tax practitioners from providing any meaningful tax advice to their clients. Opinions would include a disclaimer that the client should not rely on the advice to be protected against

[33] A more detailed analysis of *Circular 230* is provided in Chapter 6.

prosecution, fines, and/or penalties. If they wanted a higher level of assurance, clients would have to pay more for a "covered opinion." Contrary to the critics' wishes, the counterargument prevailed. Tax practitioners had shown such a disregard for the law and professional standards that the government had to impose new standards of professional conduct on tax preparers and tax advisors.

Subprime Mortgage Meltdown[34]—Greed without Due Diligence

The subprime lending crisis was so damaging to worldwide economies and investments that many consider it to be second in impact to the Great Depression of the 1930s. It was caused by the bursting of the overheated housing price bubble beginning in 2006 and reached crisis proportions in 2008 with the bankruptcy of Lehman Brothers, an old and respected investment firm headquartered in New York with operations around the world. Investments based on U.S. mortgages became valueless, and the institutions, pension funds, and individuals who owned those investments became insolvent. Economies remained depressed until 2015. Stock markets crashed, and some investors never recovered.

Before the crisis could be remedied, governments in the United States and Europe had to bail out or provide funds to many banks and major companies to prevent their bankruptcy and also had to increase the liquidity in their own economies to provide economic stimulation. The crisis spread around the world because investors buy and sell securities on a global basis, and many held securities that were undermined by the failure of mortgages from the U.S. housing market.

Traditionally, commercial banks borrowed money from depositors and then lent that money to homeowners, secured by a mortgage on the property. Investment banks, on the other hand, assisted clients, normally corporations, in the raising of capital funds through underwriting, mergers and acquisitions, and trading in financial instruments. In 1999, the *Gramm-Leach-Bliley Act* repealed the *Glass-Steagall Act of 1933*. Commercial banks were permitted to engage in investing activities. One such activity was to borrow money at a low rate by issuing short- to medium-term commercial paper and then lending that money through mortgage investments at a higher interest rate. Called *structured investment vehicles* (SIVs), these deals permitted banks to earn money through the spread between the two interest rates.

Banks then began to issue collateralized debt obligations (CDOs), which were a specific type of SIV. The bank would issue a CDO, basically a bond that was secured by a portfolio of mortgages. The portfolio of mortgages involved was then said to have been securitized, and the whole process was referred to as securitization. The cash receipts from the mortgagors were used to pay the interest on the CDO. The riskiness of the CDO was a function of the riskiness of the mortgages in the portfolio. Large CDO bond offerings often contained different risk classes, called *tranches*, that were sold to investors. Interest and principal payments to the CDO holders were made in order of "seniority" where senior tranches were the safest and junior tranches were the riskiest. Because they were the riskiest, junior tranches paid a higher interest or coupon rate. Because of their different risk levels, CDOs became popular investment vehicles.[35]

If the owner of an investment or a nonowner/speculator becomes concerned about the risk that the value of an investment will decline, he or she can buy a promise from another investor or speculator to pay for whatever value loss occurs. For example, a credit default

[34] Extensive coverage is included in Chapter 8 located in the book's digital archive at **www.cengage.com**, "The Subprime Lending Fiasco—Ethics Issues."

[35] An example of a CDO, "Goldman Sachs' GSAMP Trust 2006-S3," is included on the next page.

swap (CDS) permits an investor who buys a security, such as a CDO, to contract with a third party to buy protection in the event the issuer of the security defaults on the contract. A CDS is similar to an insurance policy; it acts as a hedge against the risk of default. The investor makes periodic payments, normally quarterly, to the seller of the CDS. In the event of default on the security, the investor sells the security to the CDS issuer for the par value of the security. The CDS issuer then sells the security for whatever it will fetch in the secondary bond market.

A CDS is dissimilar to an insurance policy in that anyone can buy a CDS, even if the purchaser of the CDS does not own the underlying security. Referred to as a naked credit default swap, it can be bought by an investor who is speculating on the creditworthiness and default risk of a particular security, such as a specific CDO. It is analogous to betting on a horse that you do not own as to whether the horse will win a race at the racetrack. A naked CDS is a derivative instrument that obtains its value from the value of the corresponding CDO. In 2007, most of the CDS market consisted of naked credit default swaps. One of the most informative movies about the subprime lending scandal, *The Big Short*,[36] describes how a small number of people realized that the scandal was likely to occur and used CDSs to profit significantly as the value of CDOs fell dramatically.

Prior to 2007, housing prices in the United States were constantly climbing. Banks were encouraging people to buy houses and take out short- to medium-term mortgages by offering very low interest rates. The sales pitch was that when the mortgage came due, the borrower's salary would have increased sufficiently to cover a higher renewal interest rate, or, if the homeowner did not want to renew the mortgage, the value of the house would have risen such that the homeowner could sell the house, pay off the mortgage, and make money on the transaction. What a great deal!

Securitization permitted financial institutions to issue mortgages to homeowners and then to sell those mortgages to another financial institution or investor. In addition to transferring the risk of mortgage default, this generated sufficient cash flow for the initial financial institution to make more mortgage loans. The financial institution would also collect more transaction fees. This system encouraged financial institutions to make high-risk mortgage loans as long as the mortgages could then be sold quickly to a third party.

Lenders were encouraging property owners to take out second and third mortgages. Houses were now being viewed as investments rather than as homes. Money was lent to high-risk clients—clients with lower-than-prime creditworthiness, hence the term *subprime*. The competition to make loans became so intense that loans were even made to borrowers who had no assets and in some cases no income or job.[37] Often documents covering creditworthiness were not even requested. An added bonus for the homeowner was that the interest paid on these mortgages was deductible for tax purposes.

The CDOs associated with these subprime mortgages also yielded a high rate of return, so they were attractive investments. The banks were selling them to all their clients. They promised high yields and were considered low risk because the housing market was booming. At the same time, credit rating agencies were classifying high-risk SIVs and CDOs as low risk. Often these rating agencies were not performing the required due diligence to assess the inherent risk thoroughly. Furthermore, prospectuses were often quite

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[36] *The Big Short* was a movie released in late 2015 that presents an excellent explanation and portrayal of the causes, players, and roles involved in the subprime lending scandal.

[37] See further discussion in Chapter 8 located in the book's digital archive at **www.cengage.com**, "The Subprime Lending Fiasco—Ethics Issues," particularly the discussion on "Liar" loans, "Ninja" loans, and "Teaser" loans.

lengthy, with technical jargon that many could not understand. As such, investors were often relying on the good reputations of the underwriters, the credit rating agencies, and the banks. The CDOs were being bought on faith and by many financial institutions that should have known better.

When the housing market collapsed in 2008, the cash flow from the pooled mortgages was not enough to pay the interest or service the CDOs, so the value of the bonds fell. As the value of CDOs fell, investors began to quickly sell their CDOs, which provided an excess of supply, thereby causing the price of all CDOs to fall even further. Eventually, the entire CDO market collapsed. In retrospect, investors should have realized that CDOs that were dependent on a stable housing and mortgage market were risky investments, especially if the CDO was backed by second or third mortgages. Finally, the bond-rating agencies have a lot to answer for. They should have been able to determine the risk of the CDOs and then disclose that level of risk to potential investors. The rating agencies failed to do so. The following example reveals the poor quality of the pooled mortgages that were securitized and the losses that resulted.

A Subprime Mortgage-Backed Security Debacle

In 2006, Goldman Sachs created the securitization vehicle Goldman Sachs' Alternative Mortgage Products (GSAMP) Trust 2006-S3. It issued a $494 million collateral debt bond backed by 8,274 second-mortgage loans. One-third of these mortgages were on homes in California and were high-risk, no-documentation loans or low-documentation loans. The average ownership interest in these homes was less than 1%.

Goldman Sachs packaged this securitized investment into thirteen tranches: three senior tranches worth $336 million, seven mezzanine tranches worth $123 million, and three other tranches worth $35 million. The bond was then rated by Moody's and S&P. Because the owners of the senior tranches would be paid first, these three tranches, called A-1, A-2, and A-3, were rated AAA grade. Owners of the mezzanine tranches would be paid after the AAA payments, so these tranches were rated from AA to BBB. The remaining three tranches were not rated as investment grade because they were very risky. This meant that 93% of the bond was rated as investment grade, and 63% (the AAA rating) was evaluated as the equivalent to a government bond, even though it was backed by ultra-risky second-mortgage loans.

When the housing market collapsed, especially in California, the value of these mortgage-backed securities plummeted. By July 2008, the ten tranches that were rated below AAA had defaulted, and investors were no longer receiving interest payments. At this point, 28% of the A-1 tranche was still outstanding in addition to 98% of the A-2 and A-3 tranches. Together, these bonds had a face value of $159.9 million but were supported by only $79.6 million of mortgages. In other words, 50% of the bonds had no financial backing. By October 2009, the A-1 tranche had lost 25% of its value, while the other two tranches had lost 90% of their value.

At the same time that Goldman Sachs was promoting the mortgage-backed securities issued by GSAMP, the investment bank was also short selling an index of mortgage-backed securities. In other words, Goldman Sachs sold the GSAMP securities to investors and then, in order to make a profit for the firm, sold short these same investments,[38] thus causing their value to decrease. Apparently, Goldman Sachs did not consider that being loyal to their investor clients was to be their highest priority.

Sources: Alan Sloan, "Junk Mortgages under the Microscope," *Fortune*, October 16, 2007; Alan Sloan, "Once upon a Time in Mortgage Land," *Washington Post*, November 28, 2009.

Like all investments, there is the risk that the investment may drop in value. That began to occur in 2006. House prices began to fall, and homeowners who had been encouraged to take out huge mortgages relative to the value of their property found that the value of the mortgage exceeded the value of the property. Homeowners began to default on their mortgages. Banks were foreclosing and selling off the houses quickly, depressing the market even further. The American economy was slowing down. An economic crisis was looming. By the end of 2006, 12.5% of all subprime mortgages were in default. Over 1.5 million Americans had lost their homes. As the housing market soared, the value of the CDOs that were backed by subprime mortgages began to fall rapidly. Because a CDS is a derivative instrument whose value is a function of the corresponding CDO, as the value of the CDOs decreased, so too did the value of the CDSs.

The CDOs and CDSs had been bought and sold, often on faith, by investors who had not properly assessed the associated risks. When the market collapsed, financial institutions that had never previously recorded a loss began to go bankrupt:

- In the third quarter of 2007, Merrill Lynch reported an operating loss of $2.3 billion and announced that it had set up a $7.9 billion loss provision for mortgage-related investments. It avoided bankruptcy by being sold to the Bank of America for $1 per share.[39]
- On July 16, 2007, Bear Stearns announced that two of its subprime mortgage hedge funds had lost nearly all of their value. On September 21, it reported a 61% drop in its third-quarter profits, resulting, in part, from an $800 million loss as it liquidated its CDO portfolio.[40]
- Lehman Brothers held substantial amounts of CDOs and was extremely active in the selling of securitized mortgages. On June 9, 2008, it reported a quarterly loss of $2.8 billion. The investment bank sought financial assistance. But none arrived. It declared bankruptcy on September 15, 2008, making it the largest bankruptcy in American history.[41]
- American International Group, Inc. (AIG), had been a principal seller of credit default swaps, but when the financial crisis hit, the company began to report extensive losses: in February 2008, they were $4.8 billion; they rose to $11 billion a month later; for the half-year ending June 30, losses had reached $13.2 billion. Although the government let Lehman Brothers fail, it stepped in with emergency funding for AIG. The argument was that AIG was too big to let fail.[42]

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[38] When a security is sold short, the seller does not own the security but hopes the security price declines so that the security can be bought at a lower price in time to be delivered to complete the earlier sale. The seller makes a profit by selling at a high price and then buying at a lower price to complete the sale.

[39] See also the ethics case "Subprime Lending—Greed, Faith, & Disaster" in Chapter 8 located in the book's digital archive at **www.cengage.com**.

[40] Shanny Basar and Vivek Ahuja, "Bear Downgraded in Face of First Loss in 83 Years," *Financial Times*, November 15, 2007, http://www.efinancialnews.com/story/2007–11-15/bear-downgraded-in-face-of-first-loss-in-83-years.

[41] Abigail Field, "Lehman Report: The Business Decisions That Brought Lehman Down," *Daily Finance*, March 14, 2010, http://www.dailyfinance.com/story/investing/lehman-report-the-business-decisions-that-brought-lehman-down/19398397.

[42] See also the ethics cases "Market-to-Market Accounting and the Demise of AIG" and "The Ethics of AIG's Commission Sales," both of which are provided in Chapter 8 located in the book's digital archive at **www.cengage.com**.

- Both the Federal National Mortgage Association (Fanny Mae) and the Federal Home Loan Mortgage Corporation (Freddie Mac) were extensively involved in buying securitized mortgages. Their subprime mortgage losses were so huge that the U.S. government took over both companies in September 2008.

The financial crisis was harming the entire U.S. economy. The banks and other financial institutions were considered too important to the economy to let them go bankrupt. So, after the sale of Merrill Lynch and the bankruptcy of Lehman Brothers, the government stepped in. It reduced interest rates, created new lending facilities, and made money available through the enactment in October 2008 of the *Troubled Asset Relief Program* (TARP), a $700 billion stimulus package.

But this was becoming a worldwide crisis. Banks and investors in other countries had also bought the American mortgage-backed securities and credit default swaps. These companies were failing, too:

- In October 2008, UBS, Switzerland's largest bank, received a $59.2 billion bailout from the Swiss government. The bank had over $60 billion of "toxic" assets.[43]
- In Iceland, the economic crisis was so severe that within a week in October 2008, the country's three main banks—Glitnir, Kaupthing, and Landsbanki—collapsed, and the krona, the country's currency, plummeted.[44]
- On October 13, 2008, the British government announced that it was injecting £37 billion into the Royal Bank of Scotland, Lloyds TSB, and HBOS. The nationalization scheme resulted in the government owning about 60% of the Royal Bank of Scotland and 40% of the merged Lloyds TSB and HBOS banks.[45]

This was a global crisis that was plunging the world into an economic downturn. All governments were acknowledging the need for global cooperation and commitment to addressing the financial crisis. At their meeting in Toronto in June 2010, the G-20 (leaders from the twenty largest economies) reiterated their pledge for continued support to work together to reform international financial markets and to strengthen their economic cooperation.

Most of the subprime mortgage disaster can be summarized in one word: *greed*. Homeowners began greedily viewing their residences as investments rather than as homes. The tax rules that allow the deductibility of mortgage interest but not of rent further encouraged people to take out large mortgages. Mortgage companies were selling as many mortgages as they could regardless of the risks so that they could collect mortgage commissions and then sell the mortgages to another investor, thereby avoiding any default risks. Issuers of CDOs recorded high profits in selling mortgage-backed securities as long as the housing market kept rising. Prudent risk management through the purchase of CDSs actually became a highly speculative strategy, betting on which way the market would go. Credit advisors collected fees without properly analyzing the risks associated with the CDOs. Happy days existed as long as no one asked what would happen if the housing bubble burst.[46] When it did burst, even those who were on the sidelines watching the parade were adversely affected in the resulting economic downturn.

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[43] Warren Giles, "UBS Gets $59.2 Billion Bailout: Credit Suisse Raises Capital," *Bloomberg*, October 16, 2008, http://www.bloomberg.com/apps/news?pid=newsarchive&sid=ah0AFa2SEHhw.

[44] "Iceland Expected to Turn Down Bank Failure Repay," *Washington Times*, March 6, 2010, http://www.washingtontimes.com/news/2010/mar/06/iceland-expected-turn-down-bank-failure-repay.

[45] "UK Banks Receive £37bn Bail-Out," *BBC News*, October 13, 2008, http://news.bbc.co.uk/2/hi/business/7666570.stm.

[46] See also the ethics case "Moral Courage: Toronto-Dominion Bank CEO Refuses to Invest in High-Risk Asset-Backed Commercial Paper" in Chapter 8 located in the book's digital archive at **www.cengage.com**.

Further discussion of the subprime lending crisis is provided in the Cengage Digital Resources Archive (refer to Chapter 8 therein) that is accessible for *Business & Professional Ethics* at **www.cengage.com**.

Useful Subprime Lending Readings: William Cohan, *House of Cards: A Tale of Hubris and Wretched Excess on Wall Street* (New York: Doubleday, 2009); Michael Lewis, *Liar's Poker: Rising through the Wreckage of Wall Street* (New York: Penguin, 1989); Michael Lewis, The *Big Short: Inside the Doomsday Machine* (New York: Norton, 2010); Roger Lowenstein, *When Genius Failed: The Rise and Fall of Long-Term Capital Management* (New York: Random House, 2000); Andrew Sorkin, *Too Big to Fail: The Inside Story of How Wall Street and Washington Fought to Save the Financial System—and Themselves* (New York: Viking, 2009); Tom Wolfe, *Bonfire of the Vanities* (New York: Farrar, Straus and Giroux, 1987).

Dodd-Frank Wall Street Reform and Consumer Protection Act

In July 2010 as a result of the subprime mortgage crisis, the U.S. Congress passed the *Dodd-Frank Wall Street Reform and Consumer Protection Act*.[47] Its overall objective was to provide financial stability and increased consumer protection by imposing more regulation on the investment marketplace, including the following:

- New federal agencies were created that would identify the risks associated with complex financial instruments and packages. These agencies are to provide consumer protection from deceptive financial service practices associated with mortgages, credit cards, and other financial products.
- New regulations concerning risky financial products, such as financial derivatives.
- Tighter rules over the activities of financial intermediaries, such as mortgage brokers, hedge funds, and credit rating agencies.
- The U.S. government is no longer allowed to bail out financially troubled organizations.
- Shareholders now have a greater say on the levels of executive compensation.

Overall, these new rules and regulations were intended to provide consumer protection by imposing more restrictions on the activities of organizations that operate in the financial services marketplace.

Only time will tell if this will help to forestall a similar economic crisis in the future. While there is a continuing debate over whether the *Dodd-Frank Act* should be repealed, there is evidence that it is working effectively. For example, on July 13, 2016, Michael Coscia, a commodities trader,[48] was sentenced[49] to three years in prison plus two years of supervised release for six convictions for commodities fraud and six for "spoofing where orders—bids to buy and offers to sell—are placed with the intent of cancelling the trade before execution. So the markets get spoofed. Fooled. Manipulated." However, on May 24, 2018, President Trump signed a bipartisan bill rolling back the *Dodd-Frank Act* rules on all but the largest U.S. banks.[50]

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[47] A summary of the *Dodd-Frank Wall Street Reform and Consumer Protection Act* (H.R. 4173) can be found at http://www.govtrack.us/congress/bill.xpd?bill=h111–4173&tab=summary.

[48] Jennifer Wells, "A Part of the Dodd-Frank Worth Saving," *Toronto Star*, December 30, 2015, S8.

[49] Michael Hirtzer and Tom Polansek, "First U.S. Trader Convicted of Spoofing Sentenced to Three Years in Jail," Reuters, July 13, 2016, http://www.reuters.com/article/us-court-spoofing-sentence-idUSKCN0ZT232.

[50] Jacob Pramuk, "Trump Signs the Biggest Rollback of Bank Rules since the Financial Crisis." *CNBC*, May 24, 2018, accessed September 24, 2019, at https://www.cnbc.com/2018/05/24/trump-signs-bank-bill-rolling-back-some-dodd-frank-regulations.html.

Bernard Madoff—If It's Too Good to Be True

Carlo Ponzi (1882–1949) invented a clever scheme of defrauding investors that now bears his name. In 1920, Ponzi established a company in Boston to buy foreign postage coupons and convert them into cash. Such a business was legal. The way he operated the business was not. He promised phenomenal returns to investors: 50% in six weeks. He did this by using the money of subsequent investors to pay off the early investors. Referred to as a "pyramid scheme," its success depends on having a large number of subsequent people invest in the plan. In Ponzi's case, many reinvested rather than take their profits. The fraud cheated thousands of investors out of millions of dollars. Ponzi was convicted of eighty-six counts of mail fraud and sent to prison.

In the subsequent years, there have been hundreds of other Ponzi schemes around the world. Although there are many variations, the basic design is always the same. Investors are duped into believing that they can make above-normal returns by investing their money with the fraudster.[51] However, the man who perfected the Ponzi scam was Bernard Madoff, who defrauded investors of billions of dollars.[52]

Madoff was an important and influential Wall Street stockbroker and financial advisor. He ran a successful investment firm, was a governor of the National Association of Securities Dealers (NASD), and made substantial donations to worthwhile charities and political campaigns. His investment business promised and delivered (to some) above-normal returns, as high as 1% a month. But it was an exclusive club. People would petition to have him handle their money, and he would often decline. Those whom he did accept as clients were honored and pleased and did not question Madoff. His list of clients included A-level Hollywood stars, universities, charitable organizations, hedge funds, and even some international banks.

The first warning of fraud occurred in 1999 with a report to the SEC by Harry Markopolos, a finance expert. His analysis revealed that it was mathematically impossible for Madoff to have paid the returns he claimed to have paid. However, the SEC ignored Markopolos's report. In 2004, the SEC began to investigate some anomalies in some of the reports Madoff had filed with the commission. But this investigation was subsequently dropped. The end came as a consequence of the 2007 financial collapse. Investors were seeking their money, but there was none available. Madoff owed clients over $7 billion. On December 11, 2008, Madoff was arrested and charged with fraud. The extent of the fraud was still not known; estimates varied from $10 billion to $65 billion. But in 2009, the seventy-one-year-old Madoff was convicted and sent to jail for 150 years. Five years later, in 2013, the Madoff Ponzi fraud was estimated to have cost $17 billion, in total, of which $9 billion had been recovered.[53]

For further information, refer to the ethics case "Bernie Madoff Scandal—The King of the Ponzi Schemes" at the end of this chapter.

Ponzi schemes work because many people are looking for something for nothing, and the fraudster gives them nothing for something. Even investors who should have known better were deceived. They should have known that the "clothes" that were being offered for sale did not exist. The old adage—if it's too good to be true, it probably is—is advice that all investors should follow. Otherwise, they will discover that they too are walking naked beside the Emperor in his new clothes.

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[51] For a variation on this form of swindle, see Hans Christian Anderson, "The Emperor's New Clothes," in *Fairy Tales*, trans. Tiina Nunnally (New York: Viking, 2004).

[52] See also the ethics case "Bernie Madoff Scandal—The King of the Ponzi Schemes" at the end of this chapter.

[53] Jordan Maglich, "Madoff Ponzi Scheme, Five Years Later," *Forbes*, December 9, 2013, accessed August 8, 2016, at http://www.forbes.com/sites/jordanmaglich/2013/12/09/madoff-ponzi-scheme-five-years-later/#3c7766ac789f.

Public Disillusionment: The Occupy Movement

The Occupy Movement began on September 17, 2011, in New York City when protestors massed in Zuccotti Park and declared an occupation of Wall Street in a demonstration against economic disparities and lack of corporate accountability. Within three weeks, the Occupy Movement protests had spread worldwide to over 1,500 cities, towns, and communities in over eighty countries and involved thousands of people.

Surveys revealed that tens of millions of people supported the movement and their general contention that most people were not to blame for the subprime mortgage meltdown, the ensuing poor economy, and the financial bankruptcy of governments around the world.[54] It was the small percentage, the 1%, who were to blame. These were the business leaders who had shirked their ethical responsibilities by focusing on their own personal prosperity at the expense of their companies and society as a whole. Business was seen not to be creating wealth for society, but instead creating wealth for the few.

Prime examples of economic injustice were the excessive compensation packages that senior executives were taking while their companies' financial performance deteriorated. These pay packages indicated short-term self-interest by executives who were being paid disproportionately large sums relative to the average worker. In 1980, CEOs on average were paid forty-two times more than the average worker, but by 2012, CEOs were receiving 354 times more than the average worker.[55] *(A case on Elon Musk's $55 billion, 10-year Pay Package is in Chapter 5)*

Disillusionment with Business

The disenchantment with business was not restricted to students, the unemployed, the disenfranchised, and the disillusioned. Shareholders were also angry at the levels of compensation that were being drawn by senior executives, especially as the profits of those companies were flagging. This gave rise to the so-called say-on-pay shareholder resolution movement.

Shareholders who disapprove of management, the board, and/or the firm's performance have two options. They can vote with their feet by selling their shares, or they can fight for change by putting forward shareholder resolutions that will be voted on at annual general meetings. Shareholder resolutions are attempts by dissident shareholders to provide guidance or correct the perceived incorrect behavior of management with respect to running the firm.

Shareholders have raised many issues through shareholder resolutions, but they can be classified into six basic areas:

- *Environmental/sustainability issues* address such topics as climate change, renewable energy, pollution, and hazardous waste.
- *Social issues* include human rights, worker safety, codes of ethical conduct, philanthropy, and social justice in such matters as addiction for profit and exploitation during the opioid crisis, and drug pricing gouging.
- *Governance issues* include the role and function of the board directors, including how they are elected and remunerated, board diversity, and corporate culture.
- *Workplace issues* such as workplace diversity, and gender pay equity.

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[54] Ibid.

[55] Melanie Trottman, "Corporate Pay = 354 Workers," *Wall Street Journal*, April 13, 2013.

- *Transparency resolutions* call for greater stakeholder engagement and communication, especially with respect to risk disclosures.
- *Compensation issues* involve the composition and amount of pay given to senior executives.

In 2010, the U.S. Congress passed the *Dodd-Frank Wall Street Reform and Consumer Protection Act*. Part of the act permitted greater shareholder involvement by allowing shareholders to vote on whether they approve of the pay packages of senior executives. Called "say-on-pay," they are nonbinding shareholder resolutions concerning executive compensation. Similar say-on-pay legislation was passed in the United Kingdom and Australia. No such legislation exists in Canada, although many Canadian firms accept say-on-pay shareholder resolutions.

The LIBOR Scandal: How Banks Manipulated a Benchmark Interest Rate

The LIBOR rate scandal of 2012 is a story of systematic manipulation of a benchmark interest rate, supported by a culture of fraud in the world's biggest banks, in an environment where little or no regulation prevailed. After decades of abuse that enriched the big banks, their shareholders, executives, and traders at the expense of others, investigations and lawsuits were initiated, and huge penalties have been assessed.

The London Interbank Offered Rate (LIBOR) is a rate of interest, first computed in 1985 by the British Banking Association (BBA), the Bank of England, and others, to serve as a readily available reference or benchmark rate for many financial contracts and arrangements. Prior to its creation, contracts utilized many privately negotiated rates that were difficult to verify and not necessarily related to the market rate for the security in question. The LIBOR rate, which is the average interest rate estimated by leading banks that they would be charged if they were to borrow from other banks, provided a simple alternative that came to be widely used. For example, in the United States in 2008, when the subprime lending crisis began, around 60% of prime adjustable-rate mortgages and nearly all subprime mortgages were indexed to the U.S. dollar LIBOR.[56,57] In 2012, around 45% of prime adjustable rate mortgages, and over 80% of subprime mortgages were indexed to the LIBOR.[58,59] American municipalities also borrowed around 75% of their money through financial products that were linked to the LIBOR.[60]

At the time of the LIBOR scandal, eighteen of the largest banks in the world provided their estimates of the costs they would have had to pay for a variety of interbank loans (loans from other banks) just prior to 11:00 a.m. on the submission day. These estimates were submitted to the Reuters news agency (which acted for the BBA) for calculation of the average and its publication, and dissemination. Reuters set aside the four highest and four lowest estimates and averaged the remaining ten.

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[56] Mark Schweitzer and Guhan Venkatu, "Adjustable-Rate Mortgages and the Libor Surprise," Federal Reserve Bank of Cleveland, January 21, 2009, archived from the original on January 24, 2009.

[57] Dylan Matthews, "Ezra Klein's WonkBlog: Explainer: Why the LIBOR Scandal Is a Bigger Deal Than JPMorgan," *Washington Post*, July 5, 2012.

[58] Schweitzer and Venkatu, "Adjustable-Rate Mortgages and the Libor Surprise."

[59] Guhan Venkatu, "How Many U.S. Mortgages Are Linked to Libor?," Federal Reserve Bank of Cleveland, accessed June 30, 2013, at http://www.clevelandfed.org/research/trends/2012/0712/01banfin.cfm.

[60] Nathaniel Popper, "Rate Scandal Stirs Scramble for Damages," *New York Times*, July 10, 2012, accessed June 30, 2013, at http://dealbook.nytimes.com/2012/07/10/Libor-rate-rigging-scandal-sets-off-legal-fights-for-restitution/?_r=0.

So huge were the investments affected[61] that a small manipulation in the LIBOR rate had a very significant impact on the profit of the banks and of the traders involved in the manipulation. For example, in 2012, the total of derivatives priced relative to the LIBOR rate was estimated at $300 trillion to $600 trillion, so a manipulation of 0.1% in the LIBOR rate would generate an error of $300 million to 600 million per annum. Consequently, it is not surprising that once the manipulations came to light, the settlements and fines assessed were huge. In addition, the European Commission gave immunity for revealing wrongdoing to the following banks, thereby allowing them to avoid fines: Barclays, €690 million; UBS, €2.5 billion; and Citigroup, €55 million.

Examples of the significant losses incurred due to the LIBOR manipulations include:

Manipulation of home mortgage rates: Many homeowners borrow their mortgage loans on a variable- or adjustable-rate basis rather than a fixed-rate basis. Consequently, many of these borrowers receive a new rate at the first of every month based on the LIBOR rate. A study prepared for a class action lawsuit has shown that on the first of each month for 2007–2009, the LIBOR rate rose more than 7.5 basis points on average.[62] One observer estimated that each LIBOR-submitting bank may be liable for as much as $2.3 billion.[63]

Municipalities lose on interest rate swaps: Municipalities raise funds through the issue of bonds, and many were encouraged to issue variable-rate rather than fixed-rate bonds to take advantage of lower interest payments. For example, the savings could be as much as $1 million on a $100 million bond.[64] After the issue, the municipalities were encouraged to buy interest rate swaps from their investment banks to hedge their risk of volatility in the variable rates by converting or swapping into a fixed-rate arrangement. The seller of the swap agrees to pay the municipality for any requirement to pay interest at more than the fixed rate agreed on if interest rates rise, but if interest rates fall, the swap seller buys the bonds at the lower variable interest rate. However, the variable rate was linked to the LIBOR rate, which was artificially depressed, thus costing U.S. municipalities as much as $10 billion.[65]

Freddie Mac losses: On March 27, 2013, Freddie Mac (the Federal Home Loan Mortgage Corporation) sued fifteen banks for their losses of up to $3 billion due to LIBOR rate manipulations. To the extent that defendants used false and dishonest USD LIBOR submissions to bolster their respective reputations, they artificially increased their ability to charge higher underwriting fees and obtain higher offering prices for financial products to the detriment of Freddie Mac and other consumers.[66]

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[61] Liam Vaughan and Gavin Finch, "Libor Lies Revealed in Rigging of $300 Trillion Benchmark," *Bloomberg Markets Magazine*, January 28, 2013, accessed June 30, 2013, at http://www.bloomberg.com/news/2013–01-28/Libor-lies-revealed-in-rigging-of-300-trillion-benchmark.html.

[62] "Banks Rigged Libor to Inflate Adjustable-Rate Mortgages: Lawsuit, Halah Touryalai," *Forbes*, October 15, 2012, accessed June 30, 2013, at http://www.forbes.com/sites/halahtouryalai/2012/10/15/banks-rigged-Libor-to-inflate-adjustable-rate-mortgages-lawsuit.

[63] Ibid.

[64] Stephen Gandel, "Wall Street's Latest Sucker: Your Hometown," *Fortune*, July 11, 2012, accessed June 30, 2013, at http://finance.fortune.cnn.com/2012/07/11/Libor-sucker-hometowns.

[65] Darrell Preston, "Rigged LIBOR Hits Sates-Localities with $6 Billion: Muni Credit," *Bloomberg*, October 9, 2012, accessed June 30, 2013, at http://www.bloomberg.com/news/2012–10-09/rigged-Libor-hits-states-localities-with-6-billion-muni-credit.html.

[66] Tom Schoenberg and Andrew Zajac, "Freddie Mac Sues Multiple Banks over LIBOR Manipluations," *Bloomberg,* March 20, 2013, accessed June 30, 2012 at https://www.bloomberg.com/news/articles/2013-03-19/freddie-mac-sues-multiple-banks-over-libor-manipulation.

Liability claims/antitrust cases (commodities-manipulations claims): Other organizations have also sued the LIBOR rate-submitting banks for anticompetitive behavior, partly because of the possibility of treble damages, but they must demonstrate related damages to be successful. Nonetheless, credible plaintiffs include the Regents of the University of California, who have filed a suit claiming fraud, deceit, and unjust enrichment.[67] Time will tell the extent and value of these losses.

Note: A longer note on the LIBOR Rate Scandal is included in the digital archive for the Business & Professional Ethics that is accessible by contacting Cengage at **www.cengage.com**.

Bribery Attracts Prosecutions & Huge Fines

Bribery has been a common practice for centuries. What has changed dramatically since 2008 is the increase in the level of prosecution by the U.S., British, and German governments and the increase in the size of the fines and settlements corporations are facing. These two developments have made combating bribery a very important priority for corporations, executives, and their boards of directors and a key element in risk management programs. *Corporations are extremely reluctant to face the large fines that follow conviction and are wary of the loss of reputation that a conviction can bring as well as the possibility of being barred from seeking government contracts for a period of time*. For many executives, being involved in bribery is more likely than it was in the past to result in dismissal or jail. Whistleblowers are being encouraged to come forward, and in some cases, amnesty has been offered to employees if they come forward and admit instances of bribery.

Increased scrutiny for bribery is not only within the borders of the prosecuting country; the major countries—the United States, the United Kingdom, and Germany—are now prosecuting for acts of bribery beyond their borders. Due to the urging of Transparency International, the member countries of the Organization for Economic Cooperation and Development created legislation similar to the *U.S. Foreign Corrupt Practices Act* and have now begun to pursue violators. Influenced by aggressive prosecutions by the United States, the United Kingdom designed its *Bribery Act* to assert its jurisdiction over any act anywhere by any company that had presence in the United Kingdom. In Germany, where bribery by German companies had long been legal and tax deductible outside of its borders but illegal and not tax deductible in Germany, German companies were suddenly prosecuted for worldwide bribery. Refer to further discussion of bribery in Chapter 7.

High-profile cases have frequently been in the news, including those noted in Table 2.1.

Automaker's Sins Come Home to Roost

In 2013–2014, three significant examples of incredibly scandalous behavior by automakers came to light, providing evidence that automakers or parts manufacturers knew that they were endangering lives or breaking laws long before they informed the public or regulators and took meaningful action on the problems to protect the public. As a result, the impact on victims and the ultimate impact on the companies themselves increased dramatically in the following instances:

- *General Motors (GM) installed faulty ignition switches:* On February 7, 2014, GM recalled over 800,000 Chevrolet Cobalts and Pontiac G5s and in June 2014 recalled a further 8.45 million cars for correction of faulty ignition switches. The fault in

[67] Keri Geiger, "Economists Tackle Puzzle of Libor Losses for Investors," *Bloomberg*, June 26, 2013, accessed July 1, 2013, at http://www.bloomberg.com/news/2013–06-27/economists-build-Libor-time-machines-as-losses-puzzle-investors.html.

Table 2.1 High-Profile Bribery Prosecutions

Date	Company—Bribery In	Fine/Settlement	Jurisdiction	Case at Page
2007–2008	Siemens—worldwide	€418 million	European Commission	313
2016		€201 million	European Commission	
		$800 million	U.S.	
		$43 million	Israel (7)	
2010	DaimlerChrysler—worldwide	$185 million	U.S.	322
2012	Wal-Mart—Mexico, Brazil, China, India	$4.5 billion, est. (1)	U.S.	146
		$144 million	U.S. SEC	
		$137 million	U.S. Department of Justice	
2012	SNC-Lavalin—worldwide	Unknown (2)	Canada	316
2014	Alstom—global	$772 million (3)	U.S. Department of Justice (4)	
2014	Petrobas—Brazil	$170.6 million (5, 14)	U.S. (4, 14)	
			Brazil	
2014	GlaxoSmithKline (GSK)—China	$490 million (8)	China (U.K. company in China)	
		$105 million (9)	U.S. (multi-state attorneys general)	
		$20 million (10)	U.S. SEC	
2015–2016	Eletrobras—Brazil	$2.5 million (6)	U.S. SEC, Brazil (6)	

Source notes are located at **www.cengage.com**.

the ignition switches was serious in that jiggling the keys with a knee or something similar could cause the engine to shut off, thereby disabling the power steering and causing drivers to lose control of the vehicle. *The problem was known by GM before the switch went into production in 2005 and would have cost 57 cents per switch to fix*—instead, over 150 people died. GM paid a fine of $900 million in 2015 and settled some civil lawsuits with aggrieved family members and angry investors for approximately $575 million. The recall cost GM over $3 billion in shareholder value over four weeks. Sales lost due to disenchanted GM customers are not known. The Ethics Case *General Motors Ignores Obvious Faults* at the end of this chapter expands on GM's ignition switch difficulties.[68]

- *Takata airbags explode, injuring passengers with metal shrapnel:* By mid-February 2016, faulty Takata airbags had been installed in 34 million vehicles in the United States and in an additional 7 million worldwide. When deployed, the resulting airbag explosion could project metal pieces like shrapnel from a bomb that could kill or severely harm those in the car. *According to a potential whistleblowing engineer, he warned the company in 1999 that it was using too volatile and risky a propellant for cost reasons. Tests in 2004 confirmed the problems, but the company reportedly delayed reporting them to regulators for four years and put off serious recalls until 2013*. Initially, the company delayed by arguing that only airbags in hot, high-humidity climates were likely to be affected, and the propellant was changed to a less volatile alternative in 2008. As of September 2015, faulty Takata airbags had caused

[68] David Ingram, Nate Raymond, and Joseph White, "GM to Pay $900 Million, Settle U.S. Criminal Case over Ignition Switches—Sources," September 17, 2015, https://ca.finance.yahoo.com/news/gm-pay-900-million-settle-004103824.html; Jessica Dye, "GM Also Resolves Civil Lawsuits over Ignition-Switch Defect," September 17, 2015, https://ca.finance.yahoo.com/news/gm-resolves-civil-lawsuits-over-192504285.html.

at least 139 injuries, including two deaths, and Honda dropped Takata as a supplier. Ultimately, U.S. fines could top more than $200 million. Civil lawsuits are certain to be significant.[69]

- *Volkswagen (VW) software defeats environmental exhaust emissions testing:* Faced with competitors such as Mercedes-Benz that had developed environmentally friendly diesel engines, VW needed to come up with a competitive response or else face repudiation in the marketplace. VW developed a new "clean diesel" system in 2009, but it could not operate in compliance with U.S. environmental limits except with very poor gas mileage and poor performance characteristics. VW's solution was to install a computer software switch that, when government emission tests were started, would alter the engine performance characteristics during the tests from high performance/high emission to low emission/low performance. VW "clean diesels" actually won several environmental awards, even though they were polluting at up to forty times the allowable limits. However, this software deception was discovered in 2014 by scientists at West Virginia University who disclosed their results at a public forum that came to the attention of the U.S. Environmental Protection Agency, which repeated the tests, questioned VW, and triggered VW's halt of sales of some diesels and the production of others, an internal investigation, and the resignation of the CEO as well as a recall of many autos. In September 2015, VW stock sank by 20% and then another 17%, and $7.3 billion was allocated to cover the recalls, refits, and other costs of the scandal. The amount of fines and the cost of settling civil lawsuits will not be known for some time. *It is evident that many VW employees and managers knew of this illegal deception of cheating on emissions standards from before 2009 to 2014, thus putting the company at great financial and reputation risk.* VW's difficulties with their software defeat of emission testing are expanded on in the Ethics Case *VW Cheats on Emissions Tests* at the end of this chapter.[70]

  On September 24, 2019, German prosecutors charged three senior VW officials with misleading shareholders by withholding information on the 2015 emissions scandal. VW shares declined 2.8% probably because if the executives are found guilty, it would strengthen the damaged shareholders' claims for approximately $10 billion. VW has already set aside about $30 billion for expected fines, penalties, and compensation. The executives charged were CEO Hebert Diess, Chairman Hans Dieter Potsch, and former CEO Martin Winterkorn.[71]

Such cavalier behavior by auto manufacturers that endangers lives and the interests of families, the environment, investors, workers, and others is hard to understand. That management kept such behavior secret for long periods of time, harming many more than need be, is also hard to fathom. However, these decisions were clearly due to the failure of

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[69] Clifford Atiyeh, "Takata Engineer Who Warned of 'Catastrophic Failures' Willing to Testify against Company," February 5, 2015, http://blog.caranddriver.com/takata-engineer-who-warned-of-catastrophic-failures-willing-to-testify-against-company; Clifford Atiyeh and Rusty Blackwell, "Massive Takata Airbag Recall: Everything You Need to Know, Including Full List of Affected Vehicles," February 16, 2016, http://blog.caranddriver.com/massive-takata-airbag-recall-everything-you-need-to-know-including-full-list-of-affected-vehicles.

[70] Guilbert Gates, Josh Keller, Karl Russell, and Derek Watkins, "How Volkswagen Got Away with Diesel Deception," *New York Times*, October 2, 2015, http://www.nytimes.com/interactive/2015/09/22/business/international/vw-volkswagen-emissions-explainer.html; Jack Ewing, "VW's New Chief Says Scandal Will Cost It More Than Expected," *New York Times*, October 6, 2015, http://www.nytimes.com/2015/10/07/business/international/vw-diesel-emissions-job-cuts.html?_r=0.

[71] William Boston, "VW Executives Charged over Diesel-Emissions Scandal," *Wall Street Journal*, in the *Star Business Journal*, September 25, 2019, B4.

VW's governance processes to create an ethical culture that set out ethics standards and encouraged them to be met, proper monitoring and remuneration procedures, and adequate penalties for failure to comply.

Drugmakers Raise Prices & Gouge Patients

The year 2015 brought two startling cases to light where extremely important drugs were acquired by companies that subsequently raised prices to stunning levels, making the medications involved extremely difficult for patients or insurance companies to afford them:

- *Valeant Pharmaceuticals and Turing Pharmaceuticals bought drugs and jumped prices:* "On February 10, Valeant Pharmaceuticals International Inc. bought the rights to a pair of life-saving heart drugs [Isuprel and Nitropress]. The same day, their list prices rose by 525% and 212%."[72] Turing Pharmaceuticals did almost the same in September 2015 after it bought the U.S. rights to market Daraprim and Vecamyl in August 2015. The price of Daraprim was raised 5555% from $13.50 to $750 per tablet. After a public outcry, both companies moderated their prices somewhat and/or made it more possible for hospitals and those without insurance to buy the products. The CEOs of both companies were called on to testify before congressional fact-finding committees, and the fortunes of both companies sank.[73] Martin Shkreli, the thirty-two-year-old entrepreneur and CEO of Turing, pleaded the Fifth Amendment four times during his hearing and on leaving his hearing tweeted, "Hard to accept that these imbeciles represent the people in our government."[74] His lawyer later argued that he had been provoked by incorrect and unfair comments that he had had to listen to without responding.

In hindsight, it would appear that these individuals and their companies failed to anticipate the reaction to their gouging tactics. Why was this? Did they take the view that just because they could do something, it was okay to do it? What a shortsighted view that turned out to be. It is also worth wondering why the board of directors of either company did not stop the move to gouge prices before it happened. Was it due to CEOs who were too dominant, insensitivity to ethical issues, greed, or all of these? Once again, the companies lacked a culture of integrity that provided guidance that would have challenged such actions before they were taken.

It is worth noting that instances of price gouging continued to come to the attention of the public and regulators, with some provoking serious consequences, including the following:

- In 2016, Pfizer was fined a record $141 million for hiking epilepsy drug prices 2,600% in the United Kingdom.[75]

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[72] Jonathan D. Rockoff and Ed Silverman, "Pharmaceutical Companies Buy Rivals' Drugs, Then Jack Up the Prices," *Wall Street Journal*, April 26, 2015, http://www.wsj.com/articles/pharmaceutical-companies-buy-rivals-drugs-then-jack-up-the-prices-1430096431.

[73] Valeant's share price fell from $347 in August 2015 to $135 by September 29, 2015; Richard Blackwell, "Drugs Targeted in Valeant Pricing Controversy Acquired in February," *The Globe and Mail*, September 29, 2016, http://www.theglobeandmail.com/report-on-business/drugs-targeted-in-valeant-pricing-controversy-acquired-in-february/article26590603.

[74] Marcy Gordon, "Pharma Bad Boy Thumbs Nose at U.S. Congress," *Toronto Star*, February 5, 2016, S1.

[75] Danica Kirka, "Pfizer Fined Record $141M for Hiking Epilepsy Drug Price 2600% in U.K.," Associated Press, as published by the *Toronto Star*, December 7, 2016, https://www.thestar.com/business/2016/12/07/pfizer-fined-record-141m-for-hiking-epilepsy-drug-price-2600-in-uk.html.

- In 2017, Mallinckrodt was fined $100 million for hiking the price of a drug to treat infantile spasms and multiple sclerosis by 85,000%, and a competitor was allowed to produce a similar medication.[76]
- In 2019, Senator Bernie Sanders began to question why Catalyst Pharmaceuticals decided to charge $375,000 for Firdapse, which is used to treat a rare neuromuscular disease. Originally, patients were asked to pay $10 per month out of pocket.[77]

In May 2018, Valeant changed its name to Bausch Health Companies Inc. in order to mitigate the loss of reputation that had become attached to the Valeant name.[78]

New Emphasis on Individual Accountability for Corporate Wrongdoing

On September 9, 2015, the Deputy Attorney General of the United States, Sally Quillian Yates, issued a memorandum[79] to the Department of Justice (DOJ), the Director of the FBI, and all U.S. Attorney's, providing policy guidance that efforts should be made to identify the individuals responsible for corporate wrongdoing and to hold them accountable. This initiative was stimulated by the public's concern that very few individuals were being charged in regard to significant fiascos such as the subprime lending and LIBOR manipulation debacles.

The memorandum acknowledges that individual "accountability is important for several reasons: it deters future illegal activity, it incentivizes changes in corporate behavior, it ensures that the proper parties are held responsible for their actions, and it promotes the public's confidence in our justice system." The memorandum applies to criminal and civil matters, and it puts forward six policies to strengthen the pursuit of individual accountability. This signals the DOJ's intention to aggressively pursue individuals responsible for corporate wrongdoing. Going forward, this intention to pursue a broader accountability model including individuals *could make future patterns of fines and prosecutions significantly different from those of the past*. Time will tell.

Panama Papers & Paradise Papers Eliminate Secrecy on Offshore Tax Evasion

In April 2016, there was a huge leak of 11.5 million private records detailing the hidden wealth and income of thousands of the world's leaders, drug lords, criminals, and richest people. Over 214,000 entities were identified that were created to allow the clients of the law firm, Mossack Fonseca, headquartered in Panama, to use tax havens to hide their wealth and income from tax authorities, criminal prosecutors, and others such as

[76] Jackie Wattles, "Drugmaker Fined $100M for Hiking Price 85,000%," January 18, 2017, accessed Jan. 20, 2017, at http://money.cnn.com/2017/01/18/news/drug-pricing-mallinckrodt-ftc-fine/index.html.
[77] Wayne Drash, "Sanders Wants Answers on Why Low-Cost Drug Is Suddenly Priced at $375,000," *CNN*, February 4, 2019, accessed at https://www.cnn.com/2019/02/04/health/bernie-sanders-firdapse-catalyst-bn/index.html.
[78] Canadian Press, "Valeant to Change Name as Part of Image Rebuild," May 8, 2018, accessed September 29, 2019, at https://www.cbc.ca/news/business/valeant-name-baush-health-1.4653318.
[79] The Yates Memorandum: "Individual Accountability for Corporate Wrongdoing," Sally Quillian Yates, Deputy Attorney General, U.S. Department of Justice, Washington D.C., September 9, 2015, https://www.justice.gov/dag/file/769036/download.

unsuspecting partners and spouses.[80] Now that the building blocks of their deception have become public, the tax authorities in many countries are prosecuting the offenders and recovering significant amounts. For example, although some countries are slower to act than others, as of August 1, 2016, the U.K. had recovered $3.5 billion from offshore tax havens.[81] More prosecutions and loss of reputation are sure to follow—the disillusioned public will demand it, and the practice of secretly hiding wealth, although sometimes legal, will change forever.

On November 5, 2017, 13.4 million documents relating to offshore investments in tax havens (i.e., tax paradises; hence, the name Paradise Papers was attached) were released to two reporters at the same German newspaper involved in the Panama Papers release.[82] This newspaper shared the records with the International Consortium of Investigative Journalists, thus allowing members of the consortium to identify the 120,000 individuals and companies involved. For some, nothing illegal had occurred, but others were embarrassed, scandalized, fined, charged, and convicted of evading taxes and forced to leave their positions of trust. The records were obtained illegally by the hacker(s) who caused a data breach at two offshore service providers: Appleby (an offshore law firm) and Asiaciti Trust.

The lesson from these two hacks or leaks is that confidentiality or secrecy of malfeasance can no longer be guaranteed, which might dissuade some individuals from evading taxes through questionable offshore processes.

Unethical Bank Cultures Produce Scandals

Both Danske Bank in 2014 and Deutsche Bank in 2019 suffered from debilitating scandals because their corporate culture was not ethically strong enough to withstand unethical behavior from their employees. Danske Bank laundered as much as $230 billion of Russian rubles through a "tiny" branch in Tallinn, Estonia; $230 billion is stunningly high relative to the GDP of Estonia and neighboring countries let alone relative to other branches in the Danske Bank system. Moreover, Danske Bank facilitated the transfer of funds through to the Bank of America and Deutsche Bank. Those banks should have known that the source of the funds was questionable. Key employees and management of Danske Bank, the Bank of America, and Deutsche Bank obviously "looked the other way" and preferred to make profits on these transactions rather than comply with anti-money laundering laws and regulations. Further details are available in the ethics case "Danske Bank" located in Chapter 7.

In 2019, Deutsche Bank decided to close down its investment banking activities, thereby putting roughly 20% of its 90,000 employees out of work. This was the result of over a decade of illegal and ethically questionable activities that are detailed in the ethics case "Deutsche Bank—A Cultural Disaster," located at the end of this chapter. After paying billions in fines and facing damaging reports from regulators, Deutsche Bank decided that the culture of their investment bank was so degraded that closure was called for.

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[80] "Giant Leak of Offshore Financial Records Exposes Global Array of Crime and Corruption," *International Consortium of Investigative Journalists*, April 3, 2016, accessed August 1, 2016, at http://www.webcitation.org/6gVXG3LvI.

[81] Marco Chown Oved, "CRA Convicts a Fraction of Offshore Tax Evaders," *Toronto Star*, August 1, 2016, accessed August 1, 2016, at https://www.thestar.com/news/world/2016/08/01/cra-convicts-a-fraction-of-offshore-tax-evaders-exclusive.html.

[82] "Paradise Papers: Everything You Need to Know about the Leak," *BBC News*, November 10, 2017, accessed September 25, 2019, at http://www.bbc.com/news/world-41880153.

The German regulator stated that "BAFIN finds that Deutsche Bank executives failed to notice irregularities, failed to investigate suspiciously large profits, failed to implement appropriate controls, failed to apply controls where they existed. . . . BAFIN accuses almost the entire executive management team not of deliberate manipulation but of negligence." In other words, like Danske Bank, Deutsche Bank employees and managers did not make bad (i.e., unprofitable in the short run) business decisions; they made unethical decisions that finally caught up to them. This lesson is becoming clear to many business leaders.

#MeToo Movement Reaches a Tipping Point

Originally formed in 2006 to assist women who had been the subject of sexual violence, the #MeToo movement grew gradually until the infamous cases of 2016–2019 when a tipping point was reached. Beginning in 2016 and continuing into 2017, a series of sexual harassment scandals broke at Fox News involving stars Gretchen Carlson and Megyn Kelly and executives Roger Ailes (CEO) and Bill Shine (copresident). Ailes and Shine were forced to leave Fox News, and major settlements were paid to Carlson and Kelly amid significant negative publicity and active discussion. Then in October 2017, Harvey Weinstein, a movie talent impresario and renowned producer, was finally revealed to be a serial sexual predator and rapist, investigated, and subsequently indicted. This was after he had avoided charges by as many as ninety-five women over many years, and the ensuing publicity, which was sensational because it involved many high-profile actresses, created an international awareness of sexual harassment and predation. This was the tipping point that benefited the #MeToo Movement by making subsequent sexual harassment allegations much more difficult to dismiss and therefore encouraged many sexual harassment victims to come forward to make their accusations and be taken seriously. The prevailing public opinion changed to favor the victims of sexual harassment, and corporate decision makers took note and began to take quicker action and protect the accused less. It was no longer presumed that in sexual harassment incidents the woman was at fault. It was in this charged state of public opinion that the classic battles of comedian Bill Cosby, who was jailed, and of the later confirmed U.S. Supreme Court justice, Brett Kavanaugh, took place. It is increasingly unlikely that women will automatically be considered at fault in the future, and companies where sexual harassment occurs will return to sweeping it under the rug.

Harmful Products Draw Huge Settlements & Change Perspectives

Both Johnson & Johnson (J&J) and Bayer AG have suffered huge harmful product settlements due to the now-considered carcinogenic products they developed and sold or purchased in a corporate takeover. Purdue Pharmaceuticals, the manufacturer of OxyContin, sought bankruptcy due to the potential settlements for lawsuits charging promotion of addiction.

J&J has been charged by several victims with selling talcum "baby" powder that included asbestos, which contributed to the victim's ovarian cancer. Experts alleged that the company knew its talc was contaminated with asbestos since at least the 1970s but failed to warn consumers about the risks. In July 2018, J&J was ordered to pay twenty-two women \$550 million in compensatory damages and \$414 billion in punitive damages.[83] Earlier

[83] Tina Berton, Phil Berlowitz, and Leslie Adler, "Jury Orders J&J to Pay \$4.7 Billion in Missouri Asbestos Cancer Case," *Reuters*, July 12, 2018, accessed July 12, 2018, at https://ca.finance.yahoo.com/news/jury-orders-j-j-pay-225324639.html.

settlements have been overturned on appeal, but J&J is battling some 9,000 talc cases, so even modest settlements threaten to cripple the company[84] *(The ethics case "The Right to Be Informed? The Link between Talcum Powder and Cervical Cancer" is in Chapter 1).*

In June 2018, Bayer AG purchased Monsanto, the manufacturer of the chemical Roundup, for $63 billion. Roundup, a very effective weed killer, has now been banned in some jurisdictions because of its carcinogenic properties.[85] On May 14, 2019, Bayer lost a $2 billion damages suit to a couple who claimed they got cancer by using Roundup when its harmful properties were not clearly disclosed. While the damages assessment is absurdly high, the lawsuit is the third settled, and Bayer's stock price, which has fallen by 40%, suffered a one-day decline of 2.3%. Bloomberg has estimated the aggregate settlements value at $10 billion, and Bayer is said to be considering ways to make an offer to cap the total costs. Not surprisingly, Bayer's CEO, Werner Baumann, was scorned at a shareholders meeting for his purchase of Monsanto.

OxyContin has been effective at painkilling for many years, but it comes with a high risk of addiction—so high that it contributed significantly to America's opioid crisis, which is claiming 130 lives per day in the United States. Purdue Pharmaceutical, the maker of OxyContin, filed for bankruptcy on Sunday, September 22, 2019, in order to save the legal costs associated with over 2,000 lawsuits charging that the company failed to make clear the risk of addiction with its product. In fact, the "company has been accused by nearly every U.S. state of downplaying how dangerously addictive its blockbuster pain killer is while exaggerating its benefits."[86] The Board of Purdue had agreed, just prior to filing for bankruptcy, to a settlement framework for some of the lawsuits that will cost approximately $10 billion, including $3 billion from the Sackler family that owns Purdue, and the closing of their U.K. company, Mundipharma. Other opioid manufacturers that have been similarly affected include Insys Therapeutics, which filed for bankruptcy, and Mallinckrodt Plc, which agreed to a settlement. These bankruptcies and settlements should make corporate boards and executives carefully consider the risks of taking advantage of the public in the future.

Regardless of the final determination of loss in these instances, corporations are facing a new era in accountability to victims, particularly for product usage in prior years and even decades. Clear disclosure of a product's potentially harmful properties, as soon as those are identified, has become critically important. Awareness of potential product harms has never been higher and is testimony to corporate accountability to its stakeholder customers.

Accounting Crises Lead to Reimagination of Professional Accountant's Role

Carillion plc was a giant construction company with 43,000 employees, headquartered in the United Kingdom with construction projects throughout the world. Stunningly, Carillion announced compulsory liquidation (a form of bankruptcy) in early 2018, five

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[84] "Johnson & Johnson: Remember 'Our Credo'?," StrategyDoc, *Seeking Alpha*, January 12, 2019, accessed January 13, 2019, at https://seekingalpha.com/article/4232927-johnson-and-johnson-remember-our-credo?lift_email_rec=false.

[85] Joel Rosenblatt and Tim Loh, "Bayer's US$2B Roundup Damages Boost Pressure to Settle," *Bloomberg News*, May 14, 2019, accessed September 27, 2019, at https://www.bnnbloomberg.ca/bayer-s-us-2b-roundup-damages-boost-pressure-to-settle-1.1258169.

[86] Berkeley Lovelace Jr., "OxyContin Maker Purdue Pharma Files for Bankruptcy Protection," *CNBC*, September 15, 2019, accessed September 16, 2019, at https://www.cnbc.com/2019/09/16/oxycontin-maker-purdue-pharma-files-for-bankruptcy-protection.html.

months after receiving a "clean" audit report from their auditors, KPMG.[87,88] A furor ensued over how this could have happened and why the auditor had not foreseen the failure and/or had not disclosed concerns that could have warned investors, clients, and others with an interest in the company's affairs. Several studies were launched, including a parliamentary inquiry, an investigation by the Financial Reporting Council (the U.K. audit watchdog), and a CMA market study.[89] Further details of the Carillion audit failure are presented in the ethics case "Carillion Audit Failure" located in Chapter 6.

The Carillion scandal, which was only the most recent instance where the public was aggrieved, lent fuel to public concerns in the United Kingdom that professional accountants, particularly auditors, should be directed more specifically at uncovering and reporting red flags to assist the public. A study was already underway[90] that called for a broader mandate, and four other studies were triggered that added to this call. As a result, the Institute of Chartered Accountants of England & Wales (ICAEW) began a study of how to reimagine the accounting profession.

At the same time, the Chartered Professional Accountants of Canada, recognizing that drivers of change required a reexamination of the profession, launched a similar study.[91] Pressures for reimagining the professional accounting mandate included the advent of big data, big data analytics, artificial intelligence, multigenerational workforces, and changing business models. These pressures threaten to reduce the relevance of the current roles of professional accountants unless the mandate, responsibilities, and practices used are changed to accommodate and address the need for relevant information.

While these developments and studies were underway, the International Federation of Accountants' (IFAC) International Ethics Standards Board (IESBA) passed the so-called NOCLAR Rules, which took effect on July 15, 2017. These will likely change the roles of professional accountants in the future.[92] This is because the IFAC member professional accounting bodies from countries including the United States, Canada, the United Kingdom, Australia, New Zealand, and most of Europe have agreed to harmonize their countries' codes and regulations to new IFAC standards, and that harmonization process is underway. *This means that, depending on how each country's accounting body chooses to harmonize, professional accountants in audit/assurance, taxation, and other roles and those in management will be required to report when their client or employer is not in compliance with laws or regulations in regard to a matter of significance to the public interest.* The NOCLAR Rules, which are discussed further in Chapter 6, have the capability to fundamentally change the relationship of professional accountants to their clients and employers

[87] Hallie Detrick, "What You Need to Know about the Collapse of Carillion, a U.K. Construction Giant," January 15, 2018, accessed September 27, 2019, at https://fortune.com/2018/01/15/what-you-need-to-know-about-the-collapse-of-carillion-a-u-k-construction-giant.

[88] Tabby Kinder, "KPMG Faces Lawsuit Threat over Carillion Audit," *Financial Times*, August 4, 2019, accessed September 28, 2019, at https://www.ft.com/content/277dfdce-b6ec-11e9-96bd-8e884d3ea203.

[89] Martin Martinoff, "The Future of the Profession: UK Perspective," Professional Accounting Centre (PAC) 2019 Conference, September 13, 2019, slides 3 and 4: see PAC website at https://www.utm.utoronto.ca/pac/pac-events/pac-2019-annual-conference-professional-accounting-futures-september-13-2019.

[90] Ibid., slides 5–9.

[91] CPA Canada Foresight, "Reimagining the Accounting Profession," 2019; see presentations and PowerPoints by Patricia Meredith and Gordon Beal on the PAC website at https://www.utm.utoronto.ca/pac/pac-events/pac-2019-annual-conference-professional-accounting-futures-september-13-2019.

[92] IFAC IESBA, *Responding to Non-Compliance with Laws and Regulations*, July 14, 2016, accessed September 29, 2019, at https://www.ifac.org/publications-resources/responding-non-compliance-laws-and-regulations-15?show-related-log=true.

to make their service to the public interest paramount. Considering that professional accountants will stay silent in the future, it is a mistake the executives and board members should not make.

U.S. Business Roundtable Statement Signals Acceptance of Stakeholder Interests

On August 19, 2019, the Business Roundtable (BR), a group of senior U.S. CEOs, announced that they had signed a groundbreaking declaration[93] redefining the purpose of corporations; 181 of the 192 CEO members of the BR declared that "maximizing shareholder profits no longer can be the primary goal of corporations" and that "business leaders should commit to balancing the needs of shareholders with customers, employees, suppliers, and local communities."[94]

While many executives, members of boards of directors, and shareholders had already come to believe that stakeholder interests should be recognized and taken into account by corporations, many (including many lawyers) also still believe that only profits should be the focus of corporate planning and decision making. In this split-governance regime, the BR Statement provides strong public legitimacy to the broader stakeholder purpose view and should encourage other executives, board members, and shareholders to adopt the broader stakeholder view in the future. This promises to change corporate governance significantly. The question is no longer whether to incorporate stakeholder interests into governance objectives; rather, it is how to do so effectively. The elements of respect and integrity that are inherent in ethical behavior are essential to this process.

The Theranos Case—A Classic "Fake It Until You Make It" Fraud

Elizabeth Holmes, CEO of Theranos Inc., captured the public's attention when it was revealed that she and her second-in-command, Ramesh "Sunny" Balwani, had conned over $700 million from high-profile investors, including Rupert Murdoch (owner of Fox News and several other news outlets), Betsy DeVos (former U.S. Secretary of Education), and the Walton family (owners of Walmart), by fraudulently claiming that their new mobile blood testing device could quickly conduct complex, comprehensive blood tests from finger drops of blood. They falsely claimed that their new device would revolutionize blood testing by avoiding the use of several other devices and save considerable time waiting for the analyses to be completed. The truth was that their device could not do what they claimed, but as many budding inventors and entrepreneurs do, they decided to fake the results until their invention or idea was perfected. Although their fraud began to unravel in 2015, it took until November 2022 for Holmes to receive a prison sentence of 11 years and 3 months along with a fine and a three-year supervised release period. In addition, she and Balwani were ordered to pay the victims a total of $452 million.

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[93] Business Roundtable, "Business Roundtable Redefines the Purpose of a Corporation to Promote 'An Economy That Serves All Americans,' " April 19, 2019, accessed September 29, 2019, at https://www.businessroundtable.org/business-roundtable-redefines-the-purpose-of-a-corporation-to-promote-an-economy-that-serves-all-americans.

[94] Jena McGregor, "Group of Top CEOs Says Maximizing Shareholder Profits No Longer Can Be the Primary Goal of Corporations," *Washington Post*, August 19, 2019, accessed August 20, 2019, at https://www.washingtonpost.com/business/2019/08/19/lobbying-group-powerful-ceos-is-rethinking-how-it-defines-corporations-purpose/?noredirect=on.

Further information about the fraud, and the regulatory framework involved, is included in the case later in this chapter on pages 164–165. A documentary on the fraud was released in 2019 by HBO titled *The Inventor: Out for Blood in Silicon Valley*.

The FTX Bankruptcy Scandal

Sam Bankman-Fried (known as SBF), an MIT graduate and former quantitative trader at Jane Street Capital, founded Alameda Research in 2017 to exploit arbitrage opportunities in the cryptocurrency market. Alameda quickly gained notoriety for its high-frequency trading strategies and substantial returns. This success catalyzed his establishment of FTX in 2019, which was envisioned as a cutting-edge platform for cryptocurrency derivatives trading including such as tokenized stocks, leveraged tokens, and novel risk-management mechanisms.[95]

However, SBF began to use FTX funds including customer deposits to finance his other company, Alameda Research. Both FTX and Alameda, as well as many investors, ended up with significant investments in FTT, the FTX-originated crypto-token. The price of FTT became dependent on the high volume of transactions between FTX and Alameda, both of which SBF controlled. Unfortunately, without much outside price support, the price of FTT sank dramatically when Binance, a dominant rival, announced its intention to liquidate its FTT holdings due to concerns about FTX's financial stability, triggering a mass withdrawal of approximately $6 billion in funds from FTX within just 72 hours. Within days, FTX was unable to honor withdrawal requests, culminating in its November 11, 2022, bankruptcy filing.[96] Losses amounted to approximately $32 billion.[97]

SBF operated FTX without a Board of Directors and not even a modest set of internal controls (for instance, Alameda was said to have enjoyed special trading privileges at FTX), so it was not surprising that he was subsequently charged with wire fraud, securities fraud, and money laundering because he violated securities laws, money laundering statutes, and customer protection laws. On March 28, 2024, "Samuel Bankman-Fried, also known as SBF, 32, of Stanford, California, was sentenced … to 25 years in prison, three years of supervised release, and ordered to pay $11 billion in forfeiture for his orchestration of multiple fraudulent schemes."[98] Many investors had to write off their entire investment other ripple effects were also significant, increasing the pressure for better regulation of cryptocurrency, and raising issues of good governance and the need for due diligence of investors and regulators.

A detailed case on the FTX scandal is located on pages 166–169 of this chapter.

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[95] Tokenized stocks refer to digital representations of traditional stocks that exist on a blockchain. These tokens allow individuals to trade fractional shares of a company, enabling broader access to stock ownership by lowering the barriers of minimum investment and facilitating easier, borderless transactions. Leveraged tokens work similarly to traditional ETF's that amplify exposure to certain securities. They allow traders to gain leveraged exposure to an asset without the need for traditional margin trading or complex derivatives. See Binance Academy, https://academy.binance.com/en/ for further information.

[96] Bankruptcy Filings. (2022). In re FTX Trading Ltd., Chapter 11 Bankruptcy Filings. U.S. Bankruptcy Court for the District of Delaware. Retrieved from https://www.pwc.com/bs/en/services/business-restructuring-ftx-digital-markets/assets/order-approving-cooperation-agreement.pdf.

[97] Department of Justice. (2023). United States v. Sam Bankman-Fried: Indictment. Retrieved from https://www.justice.gov/opa/pr/samuel-bankman-fried-sentenced-25-years-his-orchestration-multiple-fraudulent-schemes.

[98] Press Release, Samuel Bankman-Fried Sentenced to 25 Years for His Orchestration of Multiple Fraudulent Schemes, Department of Justice, Thursday, March 28, 2024, accessed on January 31, 2025, at https://www.justice.gov/opa/pr/samuel-bankman-fried-sentenced-25-years-his-orchestration-multiple-fraudulent-schemes#:~:text=Samuel%20Bankman%2DFried%2C%20also%20known,orchestration%20of%20multiple%20fraudulent%20schemes.

Signs of Ethical Collapse

In her book *The Seven Signs of Ethical Collapse: How to Spot Moral Meltdowns in Companies*,[99] Marianne Jennings outlines seven causes of ethical problems within organizations:

1. Pressure to meet goals, especially financial ones, at any cost
2. A culture that does not foster open and candid conversation and discussion
3. A CEO who is surrounded with people who will agree and flatter the CEO as well as a CEO whose reputation is beyond criticism
4. Weak boards that do not exercise their fiduciary responsibilities with diligence
5. An organization that promotes people on the basis of nepotism and favoritism
6. Hubris—the arrogant belief that rules are for other people but not for us
7. A flawed cost/benefit attitude that suggests that poor ethical behavior in one area can be offset by good ethical behavior in another area

Almost all of the business scandals detailed in this book exhibit at least one of these ethical problems. Many of them have several of these signs of an ethical collapsed culture. Certainly, that is the case with Enron and WorldCom. So pervasive are these seven failings that they make an excellent framework for the analysis and diagnosis of companies before they fail so that remedial actions can be taken. They provide a set of red flags that directors, executives, and professional accountants should enshrine in their anticipatory routines.

Ethics & Governance: Trends

A constant theme and trend has been evident since the 1920s. The judgment and moral character of executives, owners, boards of directors, and auditors have been insufficient, on their own, to prevent corporate, ethical, and governance scandals. Governments and regulators have been required to increasingly tighten guidelines and governance regulations to ensure the protection of the public. The self-interested lure of greed has proven to be too strong for many to resist, and they have succumbed to conflicts of interest when left too much on their own. Corporations that were once able to shift jurisdictions to avoid new regulations now are facing global measures designed to expose and control bad ethics and governance practices. Accountants and auditors are also facing changing, tightening international standards of behavior.

These changes have come about because of the pressures brought to bear by activist stakeholders and the outraged public. However, changes in laws, regulations, and standards are only part of what stakeholders have contributed. In modern times, the expectations for good ethical behavior and good governance practices have changed. Failure to comply with these expectations now impacts reputations, profits, and careers even if the behavior is within legal boundaries.

It is now evident to most executives, owners, and auditors that their success is directly related to their ability to develop and maintain a corporate culture of integrity. They cannot afford the loss of reputation, revenue, reliability, and credibility as a result of a loss of integrity. It is no longer an effective, sustainable, risk-minimizing medium- or long-term strategy to practice questionable ethics.

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[99] Marianne Jennings, *Seven Signs of Ethical Collapse: How to Spot Moral Meltdowns in Companies* (New York: St. Martin's Press, 2006).

Ethics & Governance: Timetables of Important Events, 1929–2019

Tables 2.2, 2.3, and 2.4 are offered for reference purposes.

Table 2.2 Ethics & Governance: A Timetable of Important Events, 1929–1990

Prior to 1929	Unfettered and individualistic governance
1929	Stock market crash—the bubble and crash on Black Tuesday, October 29, leads to the Great Depression which lasted 12 years, until World War II
1933, 1934	U.S. Securities & Exchange Commission is established to set and enforce corporate governance and accountability regulations
1933	*Glass-Steagall Act*—to control bank speculation and protect investor deposits
1938	Federal National Mortgage Association, known as Fannie Mae, founded to provide support for the U.S. housing and mortgage markets
1940	*Investment Advisers Act*—regulation of investment advisers
1957	Discovery of carbon dioxide buildup in the atmosphere
1962	*Silent Spring* by Rachel Carson catalyzes environmentalism
1965	*Unsafe at any Speed* by Ralph Nader catalyzes car safety and consumerism
1968	Fannie Mae expands the U.S. mortgage securities market by securitizing mortgage-backed securities so they could be sold, thus allowing lenders to reinvest their capital
1970	Federal Home Loan Mortgage Corporation, known as Freddie Mac, created to buy mortgages, pool them into mortgage-backed securities, and resell them to investors
1970	Ford Pinto introduced
1974	Ozone depletion hole discovered
1977	*Foreign Corrupt Practices Act* (FCPA)—enacts penalties for U.S. companies and subsidiaries caught bribing foreign officials
1977	Activist investors launch socially responsible investing
1984	*Strategic Management: A Stakeholder Approach* by R. E. Freedman articulates a stakeholder theory of corporate governance responsive to the interests of those stakeholders who have an interest in the outcomes or can influence the achievement of the company's strategic objectives.
1988	Nestlé boycott—powered baby food used with tainted water
1989	Exxon Valdez runs aground on Bligh Reef off Alaska

Table 2.3 Ethics & Governance: A Timetable of Important Events, 1991–2019

1991	*U.S. Federal Sentencing Guidelines*—created common sentences for the same crime, thus avoiding incredibly low penalties in some states
1997	Nike boycott—sweatshop labor and low wages
1999	*Glass-Steagall Act* repealed by the *Gramm-Leach-Bliley Act*
2001	Enron bankruptcy
2002	Arthur Andersen suspended by SEC and implodes, WorldCom bankruptcy, crisis of confidence
2002	*Sarbanes-Oxley Act* reforms U.S. governance framework and the accounting profession
2002	New York Stock Exchange Governance Guidelines updated, other scandals—refer to Figure 2.2
2005	KPMG fined $456 million for role in aggressive tax schemes
2007	Four E&Y tax partners are fined for marketing aggressive tax schemes
2007	U.S. Tax *Circular 230* issues to control aggressive tax practices
2008	Bear Stearns investment bank and brokerage firm collapses and is sold to J.P. Morgan Chase
2008	Subprime lending crisis begins, Lehman Brothers bankruptcy
2008	*Troubled Asset Relief Program (TARP)*—U.S. government bailout begins
2008	Bernie Madoff—arrested for $50 billion Ponzi scheme

(*Continued*)

Table 2.3 Ethics & Governance: A Timetable of Important Events, 1991–2019

2008	Siemens prosecuted for international bribery under U.S. FCPA—$800 million settlement
2010	BP oil well disaster in the Gulf of Mexico
2010	International banking regulations created
2010	*Dodd-Frank Wall Street Reform and Consumer Protection Act*—responds to subprime lending problems
2010	Mercedes-Benz prosecuted for international bribery under U.S. FCPA—$185 million settlement
2012	Bribery scandals surface: SNC-Lavalin worldwide, Wal-Mart in Mexico
2012	LIBOR interest rate scandal emerges, prosecutions and massive fines follow for major banks
2013–2014	Automaker scandals—GM Faulty Ignition Switches, Takata's Faulty Airbags, VW cheats on emissions tests; Danske Bank scandal
2015	Drug price gouging—Valeant Pharmaceuticals, Turing Pharmaceutical
2016	Panama Papers (2016) and Paradise Papers (2017) released
2017	#MeToo Movement reaches a tipping point
2017	NOCLAR rules become effective
2016	J&J's talc and Bayer's Roundup lawsuits cause billions in losses
2017	Carillion Plc bankruptcy; QuadrigaCX bankruptcy; Deutsche Bank cuts 20% of workforce
2019	Profession of accounting is reimagined
2019	Business Roundtable Statement (BRS) redefines corporate purpose to include stakeholders' interests, not just profit for shareholders

Table 2.4 Ethics & Governance: A Timetable of Important Events, 2020–2024

2020	Boeing 737 crashes start chain of events showing the organization's shift from a culture focused on safety and quality to cost control Major corruption cases are settled with very large costs: Airbus $4 B, SNC-Lavalin, Gold Sachs vs. Malaysia $3.9 B Canadian company (Nevsun Resources) is sued successfully in Canada for acts in Nigeria Opioid/Oxycontin addiction case with projected settlement of $20–50+ billion becomes a reality BlackRock, a dominant investment management company, begins focus on climate change in investment selection TD Bank stops funding Arctic oil projects NOCLAR Rules take effect for Chartered Accountants in England and Wales
2021	U.S. Supreme Court rejects appeal by J & J against a lower court decision of $2.1 billion who claimed talc caused their ovarian cancer Opioid case settled in favor of the state of New York for $230 million Bonds linked to sustainability performance are issued Major crypto theft of $600 million highlights a major governance risk
2022	J & J proposes settlement of talc lawsuit for $26 billion, then considers Texas two-step maneuver to cap settlement payouts Huge sex abuse settlements-U. of Michigan $490 M, N.J. Catholic diocese $87.5 M, Hockey Canada losses Canada's financial support Drug price gouging-man who raised the price from $13.50 to $750 on Diaprim in 2015 ordered to return $64 M, barred from industry Shell sued in The Hague, Netherlands for misconduct in Nigeria Big corporate fines—Glencore corruption 1.5 B, Wells Fargo $3.7 B for customer abuse, Juul fines $438 M underage marketing FTX cryptocurrency exchange huge bankruptcy due to lack of governance and ethics Backlash—19 Republican U.S. States Attorneys General sue BlackRock for woke investments PwC and EY fined for organized cheating on CPA exams
2023	Weinstein gets 16-year sentence in Los Angeles for sexual predation Big corporate fines—TD Bank Ponzi scheme banking $1.2 B, Wells Fargo shareholder losses $1B, 3M faulty Military ear plugs $6 B Silicon Valley Bank bankruptcy due to mismanagement Bridging Finance bankrupt—owners sued, PwC (bankruptcy trustee) sues KPMG (auditor) for $1.4 billion
2024	Boeing-more 737 Max problems, pleads guilty, missing paperwork blamed, bonuses shift to safety and quality from finance FTX founder sentenced to 25 years in prison Opioid case—McKinsey to pay $650 M for strategic marketing advice, Supreme Court rejects shield of Sackler family Huge corporate fines, settlements—TD Bank $3 B (money laundering), tobacco $32.5 B CAD to Canadian provinces, mining $23 B to Brazil RBC increases funding for green climate initiatives to $15 B Backlash by major companies and climate protection programs and DEI programs, but some stand firm Donald Trump is elected President on platform based partly on anti-DEI and climate-protection programs

Useful Videos & Films

- *How 2018 Became the Year of #MeToo* (2018) is a CNN video that shows the rise in power of the #MeToo movement that humbled many public figures and senior executives, and changed the treatment of women forever.
- *The Wizard of Lies* (2017) is a made-for-TV movie that depicts the largest fraud in U.S. history, a Ponzi scheme that ultimately failed and resulted in a 150-year prison sentence for Bernie Madoff.
- *The Big Short* (2015) portrays the story of how a few individuals foresaw the 2008 burst of the subprime lending housing investment bubble and profited sensationally from their insight while the rest of the world lost mightily.
- *Too Big to Fail* (2011) shows how the subprime lending scandal developed into such a crisis that U.S. officials decided that many investment firms, banks, and other financial institutions needed to be bailed out by TARP because their bankruptcies would cause too great harm to the U.S. and worldwide economies. They were simply too big to fail.
- *Margin Call* (2011) is a film that depicts the first thirty-six hours of the subprime lending crisis as experienced by individuals of a large Wall Street investment house. It focuses on greed and investment fraud.
- *Inside Job* (2010) is a documentary, directed by Charles Ferguson, that provides a comprehensive analysis of the financial crisis of 2008.
- *The Love of Money* is a three-part PBS series that first showed on July 12, 2010; website: http://www.tvo.org/TVOsites/WebObjects/TvoMicrosite.woa?political_literacy_the_love_of_money.
- *Wall Street: Money Never Sleeps* (2010) is a fictional but realistic portrayal of the crisis meetings that led to TARP and the bankruptcy of a firm such as Lehman Brothers.
- *Enron: The Smartest Guys in the Room* (2005) provides valuable insights into Enron's activities and the personalities that presided over Enron's rise and demise. Refer to http://www.amazon.com/exec/obidos/ASIN/B000C3L2IO/ethics.
- *The Emerging LIBOR Scandal*, The Big Picture RT video, July 6, 2012, first six minutes of http://www.youtube.com/watch?v=FN5BKra4ebM.
- *The Inventor: Out for Blood in Silicon Valley* is a documentary about Elizabeth Holmes, CEO of Theranos Inc., who captured the public's attention when she and her second-in-command, Ramesh "Sunny" Balwani, conned over $700 million from high-profile investors. Why were they so successful in conning such intelligent investors? HBO, 2019.
- *Ruin: Money, Ego and Deception at FTX* is a bloomberg originals production that is available on YouTube at https://www.youtube.com/watch?V=3qpdu9ls540.

Questions

1. Do you think that the events recorded in this chapter are isolated instances of business malfeasance, or are they systemic throughout the business world?
2. The events recorded in this chapter have given rise to legislative reforms concerning how business executives, directors, and accountants are to behave. There is a recurring pattern of questionable actions followed by more stringent legislation, regulation, and enforcement. Is this a case of too little legislation being enacted too late to prevent additional business fiascos?
3. Is there anything else that can be done to curtail this sort of egregious business behavior other than legislation?
4. Many cases of financial malfeasance involve misrepresentation to mislead boards of directors and/or investors. Identify the instances of misrepresentation in the Enron, Arthur Andersen, and WorldCom cases discussed in this chapter. Who was to benefit, and who was being misled?
5. Use the Jennings "Seven Signs" framework to analyze the Enron and WorldCom cases in this chapter.
6. Rank the worst three villains in the film *Wall Street: Money Never Sleeps* (2010). Explain your ranking.
7. In each case discussed at some length in this chapter—Enron, Arthur Andersen, WorldCom, and Bernie Madoff—the problems were known to whistleblowers. Should those whistleblowers each have made more effort to be heard? How?
8. The lack of corporate accountability and an increased awareness of inequities and other questionable practices by corporations led to the Occupy Movement. Identify and comment on additional recent instances that have led to concerns over the legitimacy of corporate activities.
9. It seems likely that the top executives of the major banks involved in the manipulation of the LIBOR rate were aware of the manipulations and of the massive profits and losses caused by those manipulations. Why did they think that such manipulations could continue to be undetected and/or unpunished?
10. The new antibribery prosecution regime involves serious charges and penalties for bribery in foreign countries during past times when many people were bribing in the normal course of international business, and penalties were not levied. Is it unreasonable to levy extremely high fines at the beginning of the new regime and/or not to limit the period over which bribery can trigger those fines? Why and why not?
11. At GM and Takata, whose improper actions finally came to light, a whistleblower raised objections to the actions before or very early in the production process. Why were their concerns ignored and risks taken? In VW's case, why didn't a whistle-blower come forward? What aspects of governance were lacking in each company?
12. The CEOs of Valeant Pharmaceuticals and Turing Pharmaceuticals took the view that they could jack up the price of their drugs by huge percentages because they could, and they failed to consider seriously enough whether they should. Whose fault was this? In a well-functioning corporate governance system, what measures should be in place to control such actions?

13. What are the reactions and outcomes that can be attributed to the leaked Panama Papers and Paradise Papers?
14. The legal consequences for fraud, bribery, or other malfeasance have become very severe, particularly since 2009. Why has this happened? Are higher legal consequences having much of an impact?
15. The J&J (talcum powder) and Wells Fargo (unethical incentives) scandals suggest that even companies whose reputations are based on ethical conduct can suffer ethical scandals. Why is this?
16. Is the 2019 Business Roundtable Statement (BRS) redefining the purpose of corporations likely to make any difference to boards of directors and activists?

Case Insights

- *Enron's Questionable Transactions* is an account of the questionable transactions underlying the massive fraud made possible by flaws in corporate governance and professional accounting. A more detailed analysis is available in the digital archive for this book at **www.cengage.com**.
- *Arthur Andersen's Troubles* is the story of the once-revered but systematically flawed auditor of all the companies that forgot to whom fiduciary duty was owed.
- *WorldCom: The Final Catalyst* explains the massive fraud that triggered meaningful reform of corporate governance and professional accounting standards.
- *Bernie Madoff Scandal—The King of the Ponzi Schemes* describes how the subprime lending crisis destroyed Bernie Madoff's ability to attract new investors and use their money to pay off those who had invested earlier. As a result, in late 2009, his $65 billion fraud was exposed, and he was arrested, although the SEC had been alerted ten years earlier.
- *Subprime Lending: Questionable Values Produce Resignation at Goldman Sachs* allows the reader to reflect on Goldman's culture, the impact of not having a culture of integrity during and after the subprime lending crisis. *(from Ch. 8 in 9e)*
- *Subprime Lending: Goldman Sachs Conflicts: Guilty or Not?* exposes Goldman Sachs's roles in regard to the ABACUS deal, where very uncreditworthy subprime mortgages were securitized and sold to poorly informed investors, insured unwisely by AIG, bet against by Goldman traders, and ultimately partly responsible for a TARP bailout of AIG. Did Goldman act appropriately? *(from Ch. 8 in 9e)*
- *LIBOR Manipulations Cause Widespread Impacts* reviews the huge impacts on those banks and their executives whose employees were found to have manipulated the information on which the LIBOR benchmark rate was based.
- *General Motors Ignores Obvious Ignition Faults* explores how GM made millions of cars with faulty ignition switches that malfunctioned, killing some people and injuring others, even though the fault was known before production began.
- *VW Cheats on Emissions Tests* describes the almost incredible gamble VW engineers took to cheat on emission tests by using built-in software to defeat the test equipment and win awards when, in fact, their "clean diesels" were emitting forty times the allowable limits.

- *Deutsche Bank—A Cultural Disaster* details how Deutsche Bank's longtime culture of focusing on only short-term profit and the deception of regulators, together with an ineffective German two-tier governance structure, resulted in huge fines and ultimately the closure of their investment banking business and loss of 20% of roughly 90,000 employees' jobs.
- *Theranos—A Classic "Fake It Until You Make It" Fraud* is the story of how Elizabeth Holmes, CEO of Theranos Inc., a media darling, and her second-in-command, Ramesh "Sunny" Balwani, conned over $700 million from high-profile investors by fraudulently claiming that their new mobile blood testing device could quickly conduct complex, comprehensive blood tests from finger drops of blood. They falsely claimed that their new device would revolutionize blood testing by avoiding the use of several other devices and save considerable time waiting for the analyses to be completed. Unfortunately for Elizabeth and Bawani, their fakery did not become a reality, they are now serving sentences of over 11 and 12 years, respectively, and have been ordered to pay restitution of $452 million to the victims of the fraud.
- *The FTX Bankruptcy Scandal: Governance & Ethical Failures Lead to Financial Catastrophe* is a sensational cryptocurrency case involving financial mismanagement, disregard for appropriate governance, and regulatory inadequacy resulting in a $32 billion bankruptcy, a sentence of 25 years in prison, and a forfeiture of $11 billion for the perpetrator.

Enron's Questionable Transactions

Ethics Case

An understanding of the nature of Enron's questionable transactions is fundamental to understanding why Enron failed. What follows is an abbreviated overview of the essence of the major important transactions with the SPEs, including Chewco, LJM1, LJM2, and the Raptors. A much more detailed but still abbreviated summary of these transactions is included in the *Enron's Questionable Transactions Detailed Case* in the digital archive for this book at **www.cengage.com**.

Enron had been using specially created companies called SPEs for joint ventures, partnerships, and the syndication of assets for some time. But a series of happenstance events led to the realization by Enron personnel that SPEs could be used unethically and illegally to do the following:

- Overstate revenue and profits
- Raise cash and hide the related debt or obligations to repay
- Offset losses in Enron's stock investments in other companies
- Circumvent accounting rules for valuation of Enron's Treasury shares
- Improperly enrich several participating executives
- Manipulate Enron's stock price, thus misleading investors and enriching Enron executives who held stock options

In November 1997, Enron created an SPE called Chewco to raise funds or attract an investor to take over the interest of Enron's joint venture investment partner, CalPERS,[1] in an SPE called Joint Energy Development Investment Partnership (JEDI). Using Chewco, Enron had bought out CalPERS' interest in JEDI with Enron-guaranteed bridge financing and tried to find another investor.

[1] The California Public Employees' Retirement System.

Enron's objective was to find another investor, called a *counterparty*, which would do the following:

- Be independent of Enron
- Invest at least 3% of the assets at risk
- Serve as the controlling shareholder in making decisions for Chewco

Enron wanted a 3%, independent, controlling investor because U.S. accounting rules would allow Chewco to be considered an independent company, and any transactions between Enron and Chewco would be considered at arm's length. This would allow "profit" made on asset sales from Enron to Chewco to be included in Enron's profit even though Enron would own up to 97% of Chewco.

Unfortunately, Enron was unable to find an independent investor willing to invest the required 3% before its December 31, 1997, year end. Because there was no outside investor in the JEDI-Chewco chain, Enron was considered to be dealing with itself, and U.S. accounting rules required that Enron's financial statements be restated to remove any profits made on transactions between Enron and JEDI. Otherwise, Enron would be able to report profit on deals with itself, which, of course, would undermine the integrity of Enron's audited financial statements because there would be no external, independent validation of transfer prices. *Enron could set the prices to make whatever profit it desired and manipulate its financial statements at will.*

That, in fact, was exactly what happened. When no outside investor was found, Enron's CFO, Andrew Fastow, proposed that he be appointed to serve as Chewco's outside investor. Enron's lawyers pointed out that such involvement by a high-ranking Enron officer would need to be disclosed publicly, and one of Fastow's financial staff—a fact not shared with the board—Michael Kopper, who continued to be an Enron employee, was appointed as Chewco's 3%, independent, controlling investor, and the chicanery began.

Enron was able to "sell" (transfer really) assets to Chewco at a manipulatively high profit. *This allowed Enron to show profits on these asset sales and draw cash into Enron accounts without showing in Enron's financial statements that the cash stemmed from Chewco borrowings and would have to be repaid. Enron's obligations were understated—they were "hidden" and not disclosed to investors.*

Duplicity is also evident in the way that Chewco's funding was arranged. CalPERS's interest in JEDI was valued at $383 million; of that amount, Kopper and/or outside investors needed to be seen to provide 3%, or $11.5 million. The $383 million was arranged as follows[2]:

$240.0	Barclays Bank PLC—Enron would later guarantee this
132.0	JEDI to Chewco under a revolving credit agreement
0.1	Kopper and his friend Dodson ($125,000)
11.4	Barclays Bank PLC "loaned" to Dodson/Kopper companies
$383.5	

These financing arrangements are diagrammed in Figure C2.1.

Essentially, Enron as majority owner put no cash into the SPE. A bank provided virtually all of the cash, and in reality the so-called 3%, independent, controlling investor had very little invested—not even close to the required 3% threshold. Nonetheless, Chewco was considered to qualify for treatment as an arm's-length entity for accounting purposes by Enron and its auditors, Arthur Andersen. Enron's board—and presumably Arthur Andersen—was kept in the dark.

A number of other issues in regard to Chewco transactions were noted in the Powers Report, including the following:

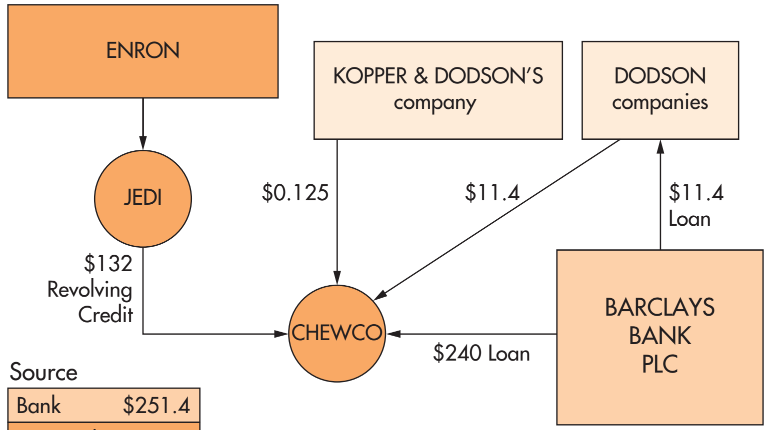
- Excessive management fees were paid to Kopper for little work.[3]
- Excessive valuations were used on winding up, thus transferring $10.5 million to Kopper.
- Kopper sought and received $2.6 million as indemnification from tax liability on the $10.5 million.
- Unsecured, nonrecourse loans totaling $15 million were made to Kopper and not recovered.
- Enron advance-booked revenues from Chewco.

This pattern of financing—no or low Enron cash invested, banks providing most of the funding, and Enron employees masquerading as 3%, independent, controlling investors—continued in other SPEs. Some of these SPEs, such as the LJM partnerships, were used to create buyers for Enron assets over which Enron could keep control but convert fixed assets into cash

[2] "Loaned" through shell companies and for "certificates" that would generate a yield.

[3] Fastow's wife did most of the work.

Figure C2.1 **Chewco Financing, in Millions**



Source

Bank	$251.4
Non-cash	132.0
Investors	0.1
Total	$383.5

for growth at inflated prices, thus overstating cash and profits. Other SPEs, such as LJM1 and LJM2, provided illusionary hedge arrangements to protect Enron against losses in its merchant[4] investment portfolio, thereby falsely protecting Enron's reported profits.

In March 1998, Enron invested in Rhythms NetConnections, Inc. (Rhythms), a business Internet service provider. Between March 1998 and May 1999, Enron's investment of $10 million in Rhythms stock soared to approximately $300 million. Enron recorded the increase in value as profit by increasing the value of its investment on its books. However, Jeffrey K. Skilling, Enron's CEO, realized that the mark-to-market accounting procedure used would require continuous updating, and the change could have a significant negative effect on Enron's profits due to the volatility of Rhythms stock price. He also correctly foresaw that Rhythms stock price could plummet when the Internet bubble burst due to overcapacity.

LJM1 (LJM Cayman LP) was created to hedge against future volatility and losses on Enron's investment in Rhythms. If Rhythms stock price fell, Enron would have to record a loss in its investment. However, LJM1 was expected to pay Enron to offset the loss, so no net reduction would appear in overall Enron profit. As with Chewco, the company was funded with cash from other investors and banks based partly on promises of large guaranteed returns and yields. Enron invested its own shares but no cash.

In fact, LJM1 did have to pay cash to Enron as the price of Rhythms stock fell. This created a loss for LJM1 and reduced its equity. Moreover, at the same time as LJM1's cash was being paid to Enron, the market value of Enron's shares was also declining, thus reducing LJM1's equity even further. Ultimately, LJM1's effective equity eroded, as did the equity of the SPE (Swap Sub) Enron created as a 3% investment conduit. Swap Sub's equity actually became negative. *These erosions of cash and equity exposed the fact that the economic underpinning of the hedge of Rhythms stock was based on Enron's shares—in effect, Enron's profit was being hedged by Enron's own shares. Ultimately, hedging yourself against loss provides no economic security against loss at all.* Enron's shareholders had been misled by $95 million profit in 1999 and $8 million in 2000. These were the restatements announced in November 2001, just before Enron's bankruptcy on December 2, 2001.

Unfortunately for Enron, there were other flaws in the creation of LJM1 that ultimately rendered the

[4] A merchant investment is an investment in a company's shares that are held for speculative purposes, not for control purposes.

arrangement useless, but by that time investors had been misled for many years. For example, there was no 3%, independent, controlling investor—Andrew Fastow sought special approval from Enron's chairman to suspend the conflict of interest provisions of Enron's *Code of Conduct* to become the sole managing/general partner of LJM1 and Swap Sub; and Swap Sub's equity became negative and could not qualify for the 3% test unless Enron advanced more shares, which it did. Ultimately, as Enron's stock price fell, Fastow decided the whole arrangement was not sustainable, and it was wound up on March 22, 2000. Once again, the windup arrangements were not properly valued; $70 million more than required was transferred from Enron, and LJM1 was also allowed to retain Enron shares worth $251 million.

Enron's shareholders were also misled by Enron's recording of profit on the Treasury shares used to capitalize the LJM1 arrangement. Enron provided the initial capital for LJM1 arrangements in the form of Enron's own Treasury stock, for which it received a promissory note. Enron recorded this transfer of shares at the existing market value, which was higher than the original value in its Treasury, and therefore recorded a profit on the transaction. Since no cash had changed hands, the price of transfer was not validated, and accounting rules should not have allowed the recording of any profit.

Initially, the LJM1 arrangements were thought to be so successful at generating profits on Treasury shares, hedging against investment losses, and generating cash, that LJM2 Co-Investment LP (LJM2) was created in October 1999 to provide hedges for further Enron merchant investments in Enron's investment portfolio. LJM2 in turn created four SPEs, called "Raptors," to carry out this strategy using similar methods of capitalization based on its own Treasury stock or options thereon.

For a while, the Raptors looked like they would work. In October 2000, Fastow reported to LJM2 investors that the Raptors had brought returns of 193%, 278%, 2,500%, and 125%, which was far in excess of the 30% annualized return described to the finance committee in May 2000. Of course, as we know now, Enron retained the economic risks.

Although nontransparent arrangements were used again, the flaws found in the LJM1 arrangements ultimately became apparent in the LJM2 arrangements, including the following:

- Enron was hedging itself, so no external economic hedges were created.
- Enron's falling stock price ultimately eroded the underlying equity and creditworthiness involved, and Enron had to advance more Treasury shares or options to buy them at preferential rates[5] or use them in "costless collar"[6] arrangements, all of which were further dilutive to Enron earnings per share.
- Profits were improperly recorded on Treasury shares used or sheltered by nonexistent hedges.
- Enron officers and their helpers benefited.

In August 2001, matters became critical. Declining Enron share values and the resulting reduction in Raptor creditworthiness called for the delivery of so many Enron shares that the resulting dilution of Enron's earnings per share was realized to be too great to be sustainable. In September 2001, accountants at Arthur Andersen and Enron realized that the profits generated by recording Enron shares used for financing at market values were incorrect because no cash was received, and shareholders' equity was overstated by at least $1 billion.

The overall effect of the Raptors was to misleadingly inflate Enron's earnings during the middle period of 2000 to the end of the third quarter of 2001 (September 30) by $1,077 million, not including a September Raptor winding-up charge of $710 million.

On December 2, 2001, Enron became the largest bankruptcy in the world, leaving investors ruined, stunned, and outraged—and quite skeptical of the credibility of the corporate governance and accountability process. By that time, the Enron SPEs and related financial dealings had misled investors greatly. Almost 50% of the reported profits driving Enron stock up so dramatically were false. Table C2.1 summarizes the impacts of Enron's questionable transactions through key Enron SPEs.

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[5] Raptors III and IV were not fully utilized and/or used to shore up the equity of Raptors I and II.

[6] A "costless collar" is a two-step arrangement wherein Enron offered to contain LJM2's risk of Enron's stock price falling below a lower limit using its own Treasury shares while at the same time making an offsetting arrangement for LJM2 to pay Enron if Enron's share price were to rise above a threshold. Since the arrangements offset one another in risk premium and Treasury stock was to be used, the transaction was considered to be an equity transaction, which did not affect the income statement of Enron. See page 110 of the Powers Report.

Table C2.1 Enron's Key Special Purpose Entities (SPEs)

SPE Scheme	Purpose	Impact
Chewco/JEDI	Syndicated investment	Off balance sheet liabilities hidden ($628 million), Revenues recognized early, Profits on own shares
LJM	Provided market for assets	Artificial profits, Off balance sheet liabilities hidden Equity overstated ($1.2 billion)
LJM1/Rhythms	Investment "hedge"	Unrecognized losses ($508 million)
LJM2/Raptors	Investment "hedge"	Unrecognized losses ($544 million)

Questions

1. Enron's directors realized that Enron's conflict of interests policy would be violated by Fastow's proposed SPE management and operating arrangements, and they instructed the CFO, Andrew Fastow, as an alternative oversight measure, to ensure that he kept the company out of trouble. What was wrong with their alternatives?
2. Ken Lay was the chair of the board and the CEO for much of the time. How did this probably contribute to the lack of proper governance?
3. What aspects of the Enron governance system failed to work properly, and why?
4. Why didn't more whistleblowers come forward, and why did some not make a significant difference? How could whistleblowers have been encouraged?
5. What should the internal auditors have done that might have assisted the directors?
6. What conflict-of-interest situations can you identify in the following?
   - SPE activities
   - Executive activities
7. Why do you think that Arthur Andersen, Enron's auditors, did not identify the misuse of SPEs earlier and make the board of directors aware of the dilemma?
8. How would you characterize Enron's corporate culture? How did it contribute to the disaster?

Arthur Andersen's Troubles

Ethics Case

Once the largest professional services firm in the world and arguably the most respected, Arthur Andersen LLP (AA) has disappeared. The Big 5 accounting firms are now the Big 4. Why did this happen? How did it happen? What are the lessons to be learned?

Arthur Andersen, a twenty-eight-year-old Northwestern University accounting professor, cofounded the firm in 1913. Tales of his integrity are legendary, and the culture of the firm was very much in his image. For example, "Just months after [Andersen] set up shop in Chicago, the president of a local railroad insisted that he approve a transaction that would have inflated earnings. Andersen told the executive there was 'not enough money in the City of Chicago' to make him do it."[1] In 1954, consulting services began with the installation of the first mainframe computer at General Electric to automate its payroll systems. By 1978, AA became the largest professional services firm in the world with revenues of $546 million, and by 1984, consulting brought in more profit than auditing. In 1989, the consulting operation, wanting more control and a larger share of profit, became a separate part of a Swiss partnership from the audit operation. In 2000, following an arbitrator's ruling that a break fee of $1 billion be paid, Andersen Consulting split completely and changed its name to Accenture. AA, the audit practice, continued to offer a limited set of related services, such as tax advice.

[1] "Fall from Grace," *Business Week*, August 12, 2002, 54.

Changing Personalities and Culture

Throughout most of its history, AA stood for integrity and technical competence. The firm invested heavily in training programs and a training facility in St. Charles, a small town south of Chicago, and developed it until it had over 3,000 residence beds and outstanding computer and classroom facilities. AA personnel from all over the world were brought to St. Charles for training sessions on an ongoing basis. Even after the consulting and audit operations split, both continued to use the facility.

Ironically, AA was the first firm to recognize the need for professional accountants to study business and professional accounting formally. In the late 1980s, AA undertook a number of programs to stimulate that formal education, including the development of ethics cases, the creation of an approach to the resolution of professional ethical problems, and the hosting of groups of 100 accounting academics to get them started in the area. Most had no formal ethics training and were uncertain how to begin ethics teaching or even if they should. It is likely that AA's farsighted policies are responsible for the genesis of much of the professional ethics education and research in accounting that is going on today.

What happened to the AA culture that focused on integrity and technical competence? What changed that would account for AA's involvement in the major scandals noted in Table C2.2 as the audit firm that failed to discover the underlying problems?

Some observers have argued that a change in AA's culture was responsible. Over the period when the consulting practice was surpassing the audit practice as the most profitable aspect of the firm, a natural competitiveness grew between the two rivals. The generation of revenue became more and more desirable and the key to merit and promotion decisions. The retention of audit clients took on an increasingly greater significance as part of this program, and since clients were so large, auditors tended to become identified with them. Many audit personnel even looked forward to joining their clients. In any event, the loss of a major client would sideline the career of the auditors involved at least temporarily if not permanently. For many reasons, taking a stand against the management of a major client requires a keen understanding of the auditor's role, the backing of senior partners in your firm, and courage.

The pressure for profit was felt throughout the rest of the audit profession, not only at Arthur Andersen. Audit techniques were modified to require higher levels of analysis and lower investment of time. Judgment sampling gave way to statistical sampling and then to strategic risk auditing. While each was considered better than its predecessor, the trend was toward tighter time budgets, and the focus of the audit broadened to include development of value-added nonaudit outcomes, suggestions, or services for clients. Such nonaudit services could include advice on the structuring of transactions for desired disclosure outcomes and other work on which the auditor would later have to give an audit opinion.

Table C2.2 Arthur Andersen's Problem Audits

Client	Problem Missed, Date	Losses to Shareholders	Job Losses	AA Fine
WorldCom	$4.3 billion overstatement of earnings announced, June 25, 2002	$179.3 billion	17,000	N.A.
Enron	Inflation of income, assets, etc., bankrupt December 2, 2001	$66.4 billion	6,100	$.5 million (for shredding)
Global Crossing	Candidate for bankruptcy	$26.6 billion	8,700	
Waste Management[1]	Overstatement of income by $1.1 billion, 1992–1996	$20.5 billion	11,000	$7 million
Sunbeam*	Overstatement of 1997 income by $71.1 million, then bankruptcy	$4.4 billion	1,700	
Baptist Foundation of Arizona	Books cooked, largest nonprofit bankruptcy ever	$570 million	165	

[1]Cases are in the digital archive for this book at **www.cengage.com**.

Source: "Fall from Grace," *Business Week*, August 12, 2002, 54.

According to discussions in the business and professional press, many audit professionals did not see the conflicts of interest involved as a problem. The conflict between maximizing audit profit for the firm and providing adequate audit quality so that the investing public would be protected was considered to be manageable so that no one would be harmed. The conflict between auditing in the public interest with integrity and objectivity that could lead to the need to roundly criticize mistakes that your firm or you had made in earlier advice was considered not to present a worry. In addition, the conflict between the growing complexity of transactions, particularly those involving derivative financial instruments, hedges, swaps, and so on, and the desire to restrain audit time in the interest of profit was thought to be within the capacity of auditors and firms to resolve. The growing conflict for auditors between serving the interests of the management team that was often instrumental in making the appointment of auditors and the interests of shareholders was recognized but did not draw reinforcing statements from firms or professional accounting bodies. Some professional accountants did not understand whether they should be serving the interests of current shareholders or future shareholders or what serving the public interest had to do with serving their clients. They did not understand the difference between a profession and a business.

Ethical behavior in an organization is guided by the ethical culture of that organization, by any relevant professional norms and codes, and particularly by the "tone at the top"[2] and the example set by the top executives. Also, presumably, the selection of the CEO is based partly on the choice of the values that an organization should be led toward. Joe Berardino was elected AA's CEO on January 10, 2001, but he had been a partner in charge of the AA's U.S. audit practice for almost three years before. He was the leader whose values drove the firm from 1998 onward and probably continued those of his predecessor. What were his values? Barbara Ley Toffler, a former Andersen partner during this period and before, has provided the following insight:

> When Berardino would get up at a partners meeting, all that was ever reported in terms of success was dollars. Quality wasn't discussed. Content wasn't discussed. Everything was measured in terms of the buck…. Joe was blind to the conflict. He was the most aggressive pursuer of revenue that I ever met.[3]

Arthur Andersen's Internal Control Flaw

Given this "tone at the top," it is reasonable to assume that AA partners were going to be motivated by revenue generation. However, if too many risks are taken in the pursuit of revenue, the probability of a series of audit problems leading to increasingly unfavorable consequences becomes greater. That is exactly what happened. Unfortunately, the leaders of AA failed to recognize the cumulative degree to which the public, the politicians, and the SEC were angered by the progression of AA audit failures.

If they had recognized the precarious position they were in, the AA leadership might have corrected the flaw in the AA internal control that allowed the Enron audit failures to happen. *AA was the only one of the Big 5 to allow the partner in charge of the audit to override a ruling of the quality control partner*. This meant that at AA, the most sensitive decisions were taken by the person who was most concerned with the potential loss of revenue from the client in question and who was most likely to be subject to the influence of the client. In all of the other Big 5 firms, the most sensitive decisions are taken by the person whose primary interest is compliance with generally accepted accounting principles (GAAP), the protection of the public interest, and the reputation of the firm.

On April 2, 2002, the U.S. House Energy and Commerce Committee[4] released a memo dated December 18, 1999, from Carl Bass, a partner in AA's Professional Services Group in Chicago, to David Duncan, the AA partner in charge of the Enron account. That memo asked for an accounting change (believed to be in regard to SPE transactions) that would have resulted in a $30 million to $50 million charge to Enron's earnings. In February 2000, Bass emailed Duncan to object to the setting up of an LJM partnership because he indicated that "this whole deal looks like there is no substance."[5] On March 4, 2001, Bass wrote that "then-chief financial officer Andrew Fastow's role as manager of special partnerships compromised deals Enron made with the

[2] This is a concept emerging in new governance standards that boards of directors are to monitor.
[3] "Fall from Grace," 55, 56.
[4] "Andersen under Fire over Memos: Carl Bass Documents," *Financial Post*, April 4, 2002, FP1, FP10.
[5] "Andersen Partner Warned on Enron in '99: Questioned Partnerships," *Financial Post*, April 3, 2002, FP9.

entities."[6] Duncan overruled Bass on the first issue, and Bass was removed from Enron audit oversight on March 17, 2001, less than two weeks after he questioned Fastow's role in Enron's SPEs. In any other Big 5 firm, Duncan would not have been able to overrule a quality control partner on his own. History might have been different if a quality-focused internal control procedure had been in place at AA rather than one that was revenue-focused.

Arthur Andersen's Apparent Enron Mistakes

The previously presented "Enron Debacle" discussion covers in detail many of the questionable accounting transactions, legal structures, and related disclosures that AA reviewed as auditors of and consultants to Enron. Without repeating these in detail, it is possible to provide the following summary of significant issues that AA could be questioned about in court proceedings:

- AA apparently approved as auditors and consultants (and collected fees for the consulting advice) the structure of many SPEs that were used to generate false profits, hide losses, and keep financing off Enron's consolidated financial statements and that failed to meet the required outsider 3% equity at risk and decision control criteria for nonconsolidation.
- AA failed to recognize the GAAP that prohibits the recording of shares issued as an increase in shareholders' equity unless they are issued for cash (not for notes receivable).
- AA did not advise Enron's audit committee that Andrew Fastow, Enron's CFO, and his helpers were involved in significant conflict-of-interest situations without adequate alternative means of managing these conflicts.
- AA did not advise the Enron Audit Committee that Enron's policies and internal control were not adequate to protect the shareholders' interests even though AA had assumed Enron's internal audit function.
- Many transactions between Enron and the SPEs were not in the interest of Enron shareholders because:
    - Enron's profits and cash flow were manipulated and grossly inflated, misleading investors and falsely boosting management bonus arrangements.
    - Extraordinarily overgenerous deals, fees, and liquidation arrangements were made by Fastow (or under his influence) with SPEs owned by Fastow, his family, and Kopper, who was also an employee of Enron.
- AA apparently did not adequately consider the advice of its quality control partner, Carl Bass.
- AA apparently did not find significant audit evidence or did not act on evidence found, related to the following:
    - Erroneous valuation of shares or share rights transferred to SPEs
    - Side deals between Enron and banks removing the banks' risk from transactions such as the following:
        - Chewco SPE Rhythms hedge
        - Numerous prepay deals for energy futures even though AA made a presentation to Enron on the GAAP and AA requirements that precluded such arrangements[7]

Why Did Arthur Andersen Make These Apparent Mistakes?

The term "apparent" is used because AA's side of the story has not been heard. The so-called mistakes may have logical, reasonable explanations and may be supportable by other accounting and auditing experts. That stated, these apparent mistakes may have been made for several reasons, including the following:

- Incompetence, as displayed and admitted in the Rhythms case
- Judgment errors as to the significance of each of the audit findings or of the aggregate impact in any fiscal year
- Lack of information caused by Enron staff not providing critical information or failure on the part of AA personnel to ferret it out
- Time pressures related to revenue generation and budget pressures that prevented adequate audit work and the full consideration of complex SPE and prepay financial arrangements

[6] "Andersen under Fire over Memos," FP1.

[7] Testimony of Robert Roach to the Senate Permanent Subcommittee on Investigations, July 23, 2002, Appendix A, A-6.

- A desire not to confront Enron management or advise the Enron board in order not to upset management, particularly Fastow, Skilling, and Lay
- A failure of AA's internal policies whereby the concerns of a quality control or practice standards partner were overruled by the audit partner in charge of the Enron account; AA was the only one of the Big 5 accounting firms to have this flaw, and it left the entire firm vulnerable to the decision of the person with the most to lose by saying no to a client
- A misunderstanding of the fiduciary role required by auditors

Because AA has now disintegrated, it is unlikely that the cause of specific audit deficiencies will ever be known. However, it is reasonable to assume that all of the causes listed played some part in the apparent mistakes that were made.

A review of additional cases of failure where AA was the auditor, such as the Waste Management and Sunbeam failures that may be found in the digital archive at **www.cengage.com**, reveals that AA's behavior was strikingly similar to that in the Enron debacle. In each case, AA appears to have been so interested in revenue generation that they were willing not to take a hard line with their clients. AA personnel apparently believed that there was no serious risk of default and that, over time, accounting problems could be worked out. At the very least, AA's risk assessment process was seriously flawed. Also, when AA's client had a combined chairman of the board and CEO who intimidated or was willingly helped by his CFO, neither additional professional accountants working for the corporations nor other nonaccounting personnel who knew of the accounting manipulations raised their concerns sufficiently with AA or the Audit Committee of their board of directors to stimulate corrective action. This lack of courage and understanding of the need and means to stimulate action left AA, the board, and the public vulnerable.

Shredding Enron Audit Documents: Obstruction of Justice

The final disintegration of AA was not caused directly by the Enron audit deficiencies but rather by a related decision to shred Enron audit documents and the conviction on the charge of obstruction of justice that resulted. This charge, filed on March 7, 2002, raised the prospect that if AA were convicted, the SEC would withdraw AA's certification to audit SEC registrant companies.[8] That would preclude those large public companies that needed to be registered with the SEC to have their shares traded on U.S. stock exchanges (the New York Stock Exchange [NYSE] and NASDAQ) or raise significant amounts of capital in the United States.

Since these clients represented the bulk of AA's U.S. and foreign accounting practices, if convicted, AA would be effectively reduced to insignificance unless a waiver could be arranged from the SEC. The SEC, however, was very angry about the Enron audit deficiencies, particularly in view of the earlier similar cases involving the AA audits of Waste Management and Sunbeam. In regard to the Waste Management debacle, "The commission argued that not only did Andersen knowingly and recklessly issue materially false and misleading statements, it failed to enforce its own guidelines to bring the company in line with minimally accepted accounting standards."[9] As a condition of the $7 million fine paid in June 2001 settling AA's Waste Management audit deficiencies, AA had agreed to rectify its audit inadequacies, and the SEC believed that AA had not honored this undertaking. Consequently, since AA's behavior in the Enron debacle was so similar, the SEC provided only a temporary and conditional waiver,[10] pending the outcome of the trial.

The conviction was announced on Saturday, June 15, 2002, but many large clients had already transferred their work to other large audit firms. Some boards of directors and CEOs thought that AA's reputation was so damaged by the Enron fiasco that they no longer wanted to be associated with AA or that such an association might weaken their company's ability to attract financing at the lowest rates. The outrage of the public was so intense that other boards could not face the lack of credibility that continuing with AA would have produced with their shareholders. Still, other boards realized that if AA were convicted, there would be a stampede to other firms, and their company might not be able to make a smooth transition to another SEC-certified audit firm if they waited to switch. By the time the conviction was announced, only a small percentage of AA's largest clients remained.

[8] AA could also face probation for up to five years and a $500,000 fine as well as fines for up to twice any gains or damages the court determines were caused by the firm's action.

[9] "'Back Time' May Catch Andersen," *Toronto Star*, March 21, 2002, D11.

[10] "SEC Announces Actions for Issuers in Light of Indictment of Arthur Andersen LLP," SEC Release 2002–37.

Even though AA's chances of acquittal on appeal were considered by some observers to be good, AA was a shell of its former self and was essentially finished as a firm in the United States and ultimately around the world.

The chain of events that led to the shredding of some of AA's Enron audit documents began before Enron decided to announce a $618 million restatement of earnings and a $1.2 billion reduction of equity on October 16, 2001. An SEC investigation was launched into Enron's accounting on October 17, and AA was advised on October 19. However, AA had advised Enron that such an announcement was necessary to correct its accounting for SPEs and, on October 9 as the eight-page indictment states, "retained an experienced New York law firm to handle further Enron-related litigation."[11] Eleven days later, the subject of shredding was discussed as part of an emergency conference call to AA partners, and shredding began three days after that.[12]

Shredding was undertaken in AA's Houston office, as well as in London, Chicago, and Portland. "According to the U.S. government, … the destruction was 'wholesale,' with workers putting in overtime in order to get the job done." "Tonnes of paper relating to the Enron audit were promptly shredded as part of the orchestrated document destruction. The shredder at the Andersen office at the Enron building was used virtually constantly and to handle the overload, dozens of large trunks filled with Enron documents were sent to Andersen's Houston office to be shredded."[13]

At the trial, AA argued differently. AA's lawyer attempted to clarify the purpose of Chicago-based AA lawyer Nancy Temple's email of October 10 to Michael Odom of AA's Houston office. In that email, she wrote that "it might be useful to consider reminding the [Enron audit] team that it would be helpful to make sure that we have complied with the policy[14] which calls for destruction of extraneous and redundant material."[15] This lack of relevance, of course, was difficult to prove after the documents in question had been destroyed. Essentially, AA contended that "the order to follow the document retention policy was an innocent effort to organize papers, emails and computer files and eliminate extraneous material."[16]

David Duncan, however, testified against AA. He had been fired from AA (where he had been the partner in charge of the Enron audit) on January 15, one day after he met with the U.S. Justice Department. He said, "I obstructed justice . . . I instructed people on the [Enron audit] team to follow the document retention policy, which I knew would result in the destruction of documents."[17]

The jury deliberated for many days, emerged, and was sent back for additional deliberations. Ultimately, AA was declared guilty. Although AA planned to appeal, it agreed to cease all audits of public companies by the end of August. Ironically, AA's conviction turned on the jury's view that the shredding was part of a broad conspiracy, and that rested on testimony that was reread to the jury, indicating that an AA memo (or memos) was altered. The acts of shredding alone were not enough for conviction. The jury was reported as concluding that Duncan eventually pleaded guilty to one count of obstruction and testified on the government's behalf, but jurors said afterwards that they didn't believe his testimony. Instead, the jury agreed that Andersen's in-house attorney Nancy Temple had acted corruptly in order to impede the SEC's pending investigation. One of Temple's memos was a response to an email from Duncan about Enron's third-quarter earnings statement. Enron wanted to describe a massive earnings loss as "non-recurring," but Duncan advised Enron against using that phrase. Temple's memo advised Duncan to delete any language that might suggest that Andersen disagreed with Enron, and further advised Duncan to remove her own name from his correspondence since she did not want to be called as a witness in any future litigation stemming from Enron's earnings announcements.[18]

On October 16, 2002, AA was fined the maximum of $500,000 and placed on five years' probation. AA appealed out of principle, even though only 1,000

[11] *Grand Jury Indictment on the Charge of Obstruction of Justice, United States of America against Arthur Andersen, LLP*, filed in the United States District Court Southern District of Texas on March 7, 2002, 5.
[12] "Back Time May Catch Andersen," D11.
[13] Ibid.
[14] "Auditor Evidence Attacked," *Toronto Star*, May 22, 2002, E12.
[15] Ibid.
[16] Ibid.
[17] "Andersen Partner Admits Wrongdoing," *Toronto Star*, May 14, 2002, D3.
[18] Greg Farrell, "Arthur Andersen Convicted of Obstruction of Justice," *USA Today*, June 15, 2002.

employees remained. Interestingly, on May 31, 2005, the U.S. Supreme Court overturned the conviction on the grounds that the "jury instructions failed to convey the requisite consciousness of wrong-doing"[19]—that AA personnel needed to think they were doing wrong rather than right to be convicted. The U.S. government must decide whether to retry the case. Unfortunately, the Supreme Court's ruling came too late for AA.

Lingering Questions

Within a few months, arrangements had been made for the AA units around the world to join other firms, but not before many staff had left, and not all those remaining were hired by the new employers. A firm of 85,000 people worldwide, including 24,000 in the United States, was virtually gone.

Was this an appropriate outcome? Perhaps only 100 AA people were responsible for the Enron tragedy, but 85,000 paid a price. Will the reduced selection of large accounting firms, the Big 4, be able to serve the public interest better than the Big 5? What if another Big 4 firm has difficulty? Will we have the Big 3, or are we now facing the Final Four? Will fate await other individual AA partners and personnel beyond David Duncan by the American Institute of Certified Public Accountants through the exercise of its code of conduct? Will a similar tragedy occur again?

Emerging Research

These questions and others have stimulated the accounting research community to investigate them. Conferences are being held, and research articles are appearing.

One of the early studies, by Paul R. Chaney and Kirk L. Philipich, titled "Shredded Reputation: The Cost of Audit Failure,"[20] provided insights into the impact of AA's problems on its other corporate clients and their investors. On January 10, 2002, AA admitted shredding Enron's documents, and in the ensuing three days, the stock prices of most of AA's 284 other large clients that were part of the Standard & Poor's 1,500 Index fell. Over that time, these stocks dropped an average of 2.05% and lost more than $37 million in market value. This was the largest movement observed for the four critical information events tested. The other events were November 8, 2001, when Enron announced its restatements; December 12, 2001, when AA's CEO admitted AA made an error; and February 3, 2002, the day following the release of the Powers Report, when AA hired former Federal Reserve Chairman Paul Volcker to chair an independent oversight board to shore up AA's credibility. Volcker later resigned when it became evident that AA was unwilling to embrace significant changes.

Additional research studies have examined many aspects of the conduct of the directors, executives, lawyers, and accountants involved in the Enron, AA, and WorldCom tragedies. In addition, the roles of regulators, directors, and professional independence have come under scrutiny. These studies are to be found in many academic and professional journals as well as the popular business press. In particular, useful articles can be found in the *Journal of Business Ethics*, *Business Ethics Quarterly*, *Journal of Accounting Research*, *Contemporary Accounting Research*, *Journal of Research in Accounting Ethics*, and *Business Week*.

Questions

1. What did Arthur Andersen contribute to the Enron disaster?
2. Which Arthur Andersen decisions were faulty?
3. What was the prime motivation behind the decisions of Arthur Andersen's audit partners on the Enron, WorldCom, Waste Management, and Sunbeam audits: the public interest or something else? Cite examples that reveal this motivation.
4. Why should an auditor make decisions in the public interest rather than in the interest of management or current shareholders?
5. Why didn't the Arthur Andersen partners responsible for quality control stop the flawed decisions of the audit partners?
6. Should all of Arthur Andersen have suffered for the actions or inactions of fewer than 100 people? Which of Arthur Andersen's personnel should have been prosecuted?
7. Under what circumstances should audit firms shred or destroy audit working papers?
8. Answer the "Lingering Questions" on page 136.

[19] Barry McKenna, "Supreme Court Overrules Jury—But Too Late to Save Andersen," *The Globe and Mail*, June 1, 2005, B1, B11.
[20] Paul R. Chaney and Kirk L. Philipich, "Shredded Reputation: The Cost of Audit Failure," *Journal of Accounting Research*, 40, no. 4 (September 2002): 1235–40.

WorldCom: The Final Catalyst

Ethics Case

This case presents, with additional information, the WorldCom saga included in this chapter. Questions specific to WorldCom activities are located at the end of the case.

WorldCom Lights the Fire

WorldCom, Inc., the second-largest U.S. telecommunications giant and almost 70% larger than Enron in assets, announced on June 25, 2002, that it had overstated its cash flow by $3.8 billion.[1] This came as a staggering blow to the credibility of capital markets. It occurred in the middle of the furor caused by the following:

- The Enron bankruptcy on December 2, 2001, and the related Congress and Senate hearings and Fifth Amendment testimony by Enron executives
- The depression of the stock markets
- The pleas by business leaders and President Bush for restoration of credibility and trust in corporate governance, reporting, and the financial markets
- Responsive introduction of governance guidelines by stock exchanges and the SEC
- Debate by the U.S. Congress and Senate of separate bills to improve governance and accountability
- The conviction of Arthur Andersen, auditor of both Enron and WorldCom, for obstruction of justice on June 15, 2002

WorldCom's Accounting Manipulations

WorldCom's accounting manipulations involved very basic, easy-to-spot types of fraud.[2] Overstatements of cash flow and income were created because one of WorldCom's major expenses, line costs, or "fees paid to third-party telecommunication network providers for the right to access the third parties networks"[3] were accounted for improperly. Essentially, line costs that should have been expensed, thus lowering reporting income, were offset by capital transfers or charged against capital accounts, thus placing their impact on the balance sheet rather than the income statement. In addition, WorldCom created excess reserves or provisions for future expenses that they later released or reduced, thereby adding to profits. The manipulation of profit through reserves or provisions is known as "cookie jar" accounting.

The aggregate overstatement of income quickly rose to more than $9 billion[4] by September 19, 2002, for the following reasons:

- $3.85 billion for improperly capitalized expenses, announced June 25, 2002[5]
- $3.83 billion for more improperly capitalized expenses in 1999, 2000, 2001, and the first quarter of 2002, announced on August 8, 2002[6]
- $2.0 billion for manipulations of profit through previously established reserves, dating back to 1999

Ultimately, the WorldCom fraud totaled $11 billion.

Key senior personnel involved in the manipulations at WorldCom included the following:

- Bernard J. Ebbers, CEO
- Scott D. Sullivan, CFO
- Buford Yates Jr., Director of General Accounting
- David F. Myers, Controller
- Betty L. Vinson, Director of Management Reporting, from January 2002
- Troy M. Normand, Director of Legal Entity Accounting, from January 2002

[1] Simon Romero and Alex Berenson, "WorldCom Says It Hid Expenses, Inflating Cash Flow $3.8 Billion," *New York Times*, June 26, 2002.

[2] Bruce Myerson, "A WorldCom Primer," *Associated Press*, June 26, 2001.

[3] *Complaint: SEC v. WorldCom, Inc.*, U.S. Securities and Exchange Commission, June 26, 2002, para. 5, http://www.sec.gov/litigation/complaints/complr17588.htm.

[4] "WorldCom to Reveal More Bogus Accounting," *Associated Press*, September 19, 2002; David E. Royella, "WorldCom Faces Two New Charges, Misstatement Grows," *Financial Post*, November 6, 2002, FP4.

[5] WorldCom Inc., *Form 8-K, Current Report Pursuant to Section 13 or 15(D) of the Securities Exchange Act of 1934*, August 14, 2002, para. 2, http://www.sec.gov/archives/edgar/.

[6] Ibid., para. 3.

According to the SEC's complaint against Vinson and Normand,[7]

> 4. WorldCom fraudulently manipulated its financial results in a number of respects, including by improperly reducing its operating expenses in at least two ways. First, WorldCom improperly released certain reserves held against operating expenses. Second, WorldCom improperly recharacterized certain operating costs as capital assets. Neither practice was in conformity with generally accepted accounting principles ("GAAP"). Neither practice was disclosed to WorldCom's investors, despite the fact that both practices constituted changes from WorldCom's previous accounting practices. Both practices artificially and materially inflated the income WorldCom reported to the public in its financial statements from 1999 through the first quarter of 2002.
>
> 5. Many of the improper accounting entries related to WorldCom's expenses for accessing the networks of other telecommunications companies ("line costs"), which were among WorldCom's major operating expenses. From at least the third quarter of 2000 through the first quarter of 2002, in a scheme directed and approved by senior management, and participated in by VINSON, NORMAND, and others, including Yates and Myers, WorldCom concealed the true magnitude of its line costs. By improperly reducing reserves held against line costs, and then—after effectively exhausting its reserves—recharacterizing certain line costs as capital assets, WorldCom falsely portrayed itself as a profitable business when it was not, and concealed the large losses it suffered. WorldCom's fraudulent accounting practices with respect to line costs were designed to and did falsely and fraudulently inflate its income to correspond with estimates by Wall Street analysts and to support the price of WorldCom's common stock and other securities.
>
> 6. More specifically, in the third and fourth quarters of 2000, at the direction and with the knowledge of WorldCom's senior management, VINSON, NORMAND, and others, by making and causing to be made entries in WorldCom's books which improperly decreased certain reserves to reduce WorldCom's line costs, caused WorldCom to overstate pretax earnings by $828 million and at least $407 million respectively. Then, after WorldCom had drawn down WorldCom's reserves so far that the reserves could not be drawn down further without taking what senior management believed was an unacceptable risk of discovery, VINSON, NORMAND, and others, again at the direction and with the knowledge of senior management, made and caused to be made entries in WorldCom's books which improperly capitalized certain line costs for the next five quarters, from the first quarter 2001 through the first quarter 2002. This accounting gimmick resulted in an overstatement of WorldCom's pretax earnings by approximately $3.8 billion for those five quarters.

The motivation and mechanism for these manipulations is evident from the SEC's description of what happened at the end of each quarter after the draft quarterly statements were reviewed. Steps were taken by top management to hide WorldCom's problems and boost or protect the company's stock price in order to profit from stock options, maintain collateral requirements for personal loans, and keep their jobs. These steps were required, in part, to offset the downward pressure on WorldCom's share price caused by U.S. and European regulators' rejection of WorldCom's U.S.$115 billion bid for Sprint Communications.[8] Ebbers's company had been using takeovers rather than organic growth to prop up earnings, and the financial markets began to realize this would be increasingly difficult.

According to the SEC,

> 27. In or around October 2000, at the direction and with the knowledge of WorldCom senior management, VINSON, NORMAND, and others, including Yates and Myers, caused the making of certain improper entries in the company's general ledger for the third quarter of 2000. Specifically, after reviewing the consolidated financial statements for the third quarter of 2000, WorldCom senior management determined that WorldCom had failed to meet analysts' expectations. WorldCom's senior management then instructed Myers, and his subordinates, including Yates, VINSON, and NORMAND, to make improper and false entries in WorldCom's general ledger reducing its line

[7] *Complaint: SEC v. Betty L. Vinson, and Troy M. Normand*, U.S. Securities and Exchange Commission, modified October 31, 2002, paras. 4, 5, 6, http://www.sec.gov/litigation/complaints/comp17783.htm.

[8] "Ebbers Became Symbol of Scandals," *Financial Post*, July 14, 2005, FP1, FP3.

cost expense accounts, and reducing—in amounts corresponding to the improper and false line cost expense amounts—various reserve accounts. After receiving instructions through Yates, VINSON, and NORMAND ensured that these entries were made. There was no documentation supporting these entries, and no proper business rationale for them, and they were not in conformity with GAAP. These entries had the effect of reducing third quarter 2000 line costs by approximately $828 million, thereby increasing WorldCom's publicly reported pretax income by that amount for the third quarter of 2000.[9]

Manipulations followed the same pattern for the fourth quarter of 2000, but a change was required for the first quarter of 2001 for fear of discovery:

29. In or around April 2001, after reviewing the preliminary consolidated financial statements for the first quarter of 2001, WorldCom's senior management determined that WorldCom had again failed to meet analysts' expectations. Because WorldCom's senior management determined that the company could not continue to draw down its reserve accounts to offset line costs without taking what they believed to be unacceptable risks of discovery by the company's auditors, WorldCom changed its method of fraudulently inflating its income. WorldCom's senior management then instructed Myers, and his subordinates, including Yates, VINSON, and NORMAND, to make entries in WorldCom's general ledger for the first quarter of 2001, which fraudulently reclassified line cost expenses to a variety of capital asset accounts without any supporting documentation or proper business rationale and in a manner that did not conform with GAAP.

30. Specifically, in or around April 2001, at the direction and with the knowledge of WorldCom's senior management, defendants VINSON, NORMAND, and others, including Yates and Myers, fraudulently reduced first quarter 2001 line cost expenses by approximately $771 million and correspondingly increased capital asset accounts, thereby fraudulently increasing publicly reported pretax income for the first quarter of 2001 by the same amount. In particular, in or about April 2001, NORMAND telephoned WorldCom's Director of Property Accounting (the "DPA") and instructed him to adjust the schedules he maintained for certain Property, Plant & Equipment capital expenditure accounts (the "PP&E Roll-Forward") by increasing certain capital accounts for "prepaid capacity." NORMAND advised the DPA that these entries had been ordered by WorldCom's senior management. Correspondingly, a subordinate of NORMAND made journal entries in WorldCom's general ledger, transferring approximately $771 million from certain line cost expense accounts to certain PP&E capital expenditure accounts.[10]

In future periods, the increase of certain accounts for "prepaid capacity" remained the manipulation of choice.

WorldCom's Other Revelations

It should be noted that Ebbers was not an accountant—he began as a milkman and bouncer and became a basketball coach and then a Best Western Hotel owner before he entered the telecommunications business,[11] where his 60 acquisitions and style earned him the nickname "the Telecom Cowboy." However, he was ably assisted in these manipulations by Scott Sullivan, his CFO, and David Myers, his Controller. Both Sullivan and Myers had worked for Arthur Andersen before joining WorldCom.

Other spectacular revelations offer a glimpse behind the scenes at WorldCom. The company, which applied for bankruptcy protection on July 21, 2002, also announced that it might write off $50.6 billion in goodwill or other intangible assets when restating for the accounting errors previously noted. Apparently, other WorldCom decisions had been faulty.

The revelations were not yet complete. Investigation revealed that Bernard Ebbers, the CEO, had been loaned $408.2 million. He was supposed to use the loans to buy WorldCom stock or for margin calls as the stock price

[9] *Complaint: SEC v. Betty L. Vinson, and Troy M. Normand*, U.S. Securities and Exchange Commission, modified October 31, 2002, http://www.sec.gov/litigation/complaints/comp17783.htm.
[10] Ibid.
[11] Krysten Crawford, "Ex-WorldCom CEO Ebbers Guilty," *CNN Money*, March 15, 2005, http://money.cnn.com/2005/03/15/news/newsmakers/ebbers/?cnn=yes.

fell. Instead, he used it partly for the purchase of the largest cattle ranch in Canada, construction of a new home, personal expenses of a family member, and loans to family and friends.[12]

Finally, it is noteworthy that at the time of its scandal, WorldCom did not possess a code of ethics. According to WorldCom's Board of Directors' Investigative Report, the only mention of "ethics" was contained in a section in WorldCom's Employee Handbook that simply stated that "… fraud and dishonesty would not be tolerated" (WorldCom 2003, p. 289). When a draft version of a formal code was presented to Bernie Ebbers … for his approval before the fraud was discovered in 2001, his response was reportedly that the code of ethics was a ". . . colossal waste of time" (WorldCom 2003, 289).[13]

Why Did They Do It?

According to U.S. Attorney General John Ashcroft,

> The alleged Sullivan-Myers scheme was designed to conceal five straight quarterly net losses and create the illusion that the company was profitable.[14]

In view of Ebbers's $408.2 million in loans, which were largely to buy or pay margin calls on WorldCom stock and which were secured by WorldCom stock, he would be loath to see further deterioration of the WorldCom stock price. In short, he could not afford the price decline that would follow from lower WorldCom earnings.

In addition, according to WorldCom's *2002 Annual Meeting Proxy Statement*,[15] on December 31, 2001, Ebbers had been allocated exercisable stock options on 8,616,365 shares and Sullivan on 2,811,927. In order to capitalize on the options, Ebbers and Sullivan (and other senior employees) needed the stock price to rise. A rising or at least stable stock price was also essential if WorldCom stock was to be used to acquire more companies.

Finally, if the reported results became losses rather than profits, the tenure of senior management would have been shortened significantly. In that event, the personal loans outstanding would be called, and the stock option gravy train would stop. In 2000, Ebbers and Sullivan had each received retention bonuses of $10 million, so they would stay for two years after September 2000. In 1999, Ebbers received a performance bonus allocation of $11,539,387, but he accepted only $7,500,000 of the award.[16]

An Expert's Insights

Former Attorney General Richard Thornburgh was appointed by the U.S. Justice Department to investigate the collapse and bankruptcy of WorldCom. In his *Report to the U.S. Bankruptcy Court* in Manhattan on November 5, 2002, he said,

> One person, Bernard Ebbers, appears to have dominated the company's growth, as well as the agenda, discussions and decisions of the board of directors, …
>
> A picture is clearly emerging of a company that had a number of troubling and serious issues … [relating to] culture, internal controls, management, integrity, disclosure and financial statements.
>
> While Mr. Ebbers received more than US $77 million in cash and benefits from the company, shareholders lost in excess of US $140 billion in value.[17]

The Continuing Saga

The WorldCom saga continued as the company's new management tried to restore trust in its activities. As part of this effort, the company changed its name to MCI. "On August 26, 2003, Richard Breeden, the Corporate Monitor appointed by the U.S. District Court for the Southern District of New York, issued a report outlining the steps the Company will take to rebuild itself into a model of strong corporate governance, ethics and integrity … (to) foster MCI's new company culture of 'integrity in everything we do.'"[18] The company is moving deliberately to reestablish

[12] Royella "WorldCom Faces Two New Charges, Misstatement Grows," FP4.

[13] Mark S. Schwartz, "Effective Corporate Codes of Ethics: Perceptions of Code Users," *Journal of Business Ethics* 55 (2004): 324; WorldCom 2003, "Report of the Investigation by the Special Investigative Committee of the Board of Directors," June 9, 2003.

[14] "WorldCom Accounting Fraud Rises to $7 Billion," *Baltimore Sun*, August 9, 2002.

[15] WorldCom, *2002 Annual Meeting Proxy Statement*, SEC Edgar File, April 22, 2002, http://www.sec.gov/Archives/edgar/data/723527/000091205702015985/0000912057–02-015985.txt.

[16] Ibid.

[17] Don Stancavish, "WorldCom Dominated by Ebbers," *Financial Post*, November 5, 2002, FP13.

[18] MCI, *Governance: Restoring the Trust*, accessed January 3, 2006, at http://global.mci.com/about/governance/restoring-trust.

the trust and integrity it requires to compete effectively for resources, capital, and personnel in the future.

The SEC has filed complaints, which are on its website, against the company and its executives. The court has granted the injunctive relief the SEC sought. The executives have been enjoined from further such fraudulent actions and subsequently banned by the SEC from practicing before it, and some have been banned by the court from acting as officers or directors in the future.

WorldCom, as a company, consented to a judgment:

> Imposing the full injunctive relief sought by the Commission; ordering an extensive review of the company's corporate governance systems, policies, plans, and practices; ordering a review of WorldCom's internal accounting control structure and policies; ordering that WorldCom provide reasonable training and education to certain officers and employees to minimize the possibility of future violations of the federal securities laws; and providing that civil money penalties, if any, will be decided by the Court at a later date.[19]

Bernie Ebbers and Scott Sullivan were each indicted on nine charges: one count of conspiracy, one count of securities fraud, and seven counts of false regulatory findings.[20] Sullivan pleaded guilty on the same day he was indicted and later cooperated with prosecutors and testified against Bernie Ebbers "in the hopes of receiving a lighter sentence."[21]

Early in 2002, Ebbers stood up in church to address the congregation, saying, "I just want you to know that you're not going to church with a crook."[22] Ebbers took the stand and argued "that he didn't know anything about WorldCom's shady accounting, that he left much of the minutiae of running the company to underlings."[23] But after eight days of deliberations, on March 15, 2005, a federal jury in Manhattan did not buy his "aw shucks," "hands-off," or "ostrich-in-the-sand" defense.

The jury believed Sullivan, who told the jury that Ebbers repeatedly told him to "'hit his numbers'—a command … to falsify the books to meet Wall Street expectations."[24] They did not buy Ebbers' "I know what I don't know" argument, "especially after the prosecutor portrayed a man who obsessed over detail and went ballistic over a US $18,000 cost overrun in a US $3-billion budget item while failing to pick up on the bookkeeping claim that telephone line costs often fluctuated—fraudulently—by up to $900 million per month. At other times, he replaced bottled water with tap water at WorldCom's offices, saying employees would not know the difference."[25]

On July 13, 2005, Ebbers was sentenced to 25 years in a federal prison.[26] Once a billionaire, he also lost his house, property, yacht, and fortune. At 63 years of age, he is appealing his sentence. Sullivan's reduced sentence was for five years in a federal prison, forfeiture of his house, ill-gotten gains, and a fine.

Investors lost over $180 million in WorldCom's collapse[27] and more in other companies as the confidence in the credibility of the financial markets, governance mechanisms, and financial statements continued to deteriorate.

Questions

1. Describe the mechanisms that WorldCom's management used to transfer profit from other time periods to inflate the current period.
2. Why did Arthur Andersen go along with each of these mechanisms?
3. How should WorldCom's board of directors have prevented the manipulations that management used?
4. Bernie Ebbers was not an accountant, so he needed the cooperation of accountants to make his manipulations work. Why did WorldCom's accountants go along?
5. Why would a board of directors approve giving its Chair and CEO loans of over $408 million?
6. How can a board ensure that whistle-blowers will come forward to tell them about questionable activities?

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[19] *SEC Litigation Release No. 17883*, December 6, 2002, http://www.sec.gov/litigation/litreleases/lr17883.htm.
[20] "Jury Convicts Ebbers on All Counts in Fraud Case," *MSNBC*, March 15, 2005, http://www.msnbc.msn.com/id/7139448.
[21] Crawford, "Ex-WorldCom CEO Ebbers Guilty."
[22] "Ebbers Became Symbol of Scandals," FP1, FP3.
[23] Crawford, "Ex-WorldCom CEO Ebbers Guilty."
[24] "Jury Convicts Ebbers on All Counts in Fraud Case."
[25] "Ebbers Became Symbol of Scandals."
[26] Ibid.
[27] Ibid.

Bernie Madoff Scandal—The King of the Ponzi Schemes

Ethics Case

Bernie Madoff perpetrated the world's largest Ponzi scheme,[1] in which investors were initially estimated to have lost up to $65 billion. Essentially, investors were promised—and some received—returns of at least 1% per month. However, beginning in the early 1990s, these payments came from funds invested by new investors, not from returns on invested funds. Consequently, when new investor contributions slowed due to the subprime lending crisis in 2008, Madoff ran out of funds to pay redemptions and returns, and the entire scheme unraveled.

As Warren Buffett has said, "You only learn who has been swimming naked when the tide goes out."[2]

Bernie Madoff certainly was, much to the chagrin of some supposedly very savvy investors who were attracted by seemingly constant returns of about 1% per month in up as well as down markets. Among those who invested sizable sums[3] were the actors Kevin Bacon and Kyra Sedgwick as well as Jeffrey Katzenberg, the CEO of DreamWorks Animation. Others are listed here.

Loss By	Billions
Hedge Funds	
Fairfield Greenwich Advisers	$7.5
Tremont Group Holdings	3.3
Ascot Partners	1.8
International Banks	
Banco Santander	2.9
Bank Medici, Austria	2.1
Fortis, the Netherlands	1.4
	Millions
Charities	
Jewish Community Foundation of Los Angeles	$18
The Elie Wiesel Foundation for Humanity	15.2
Yeshiva University	14.5
Celebrity	
Zsa Zsa Gabor	10

Ultimately, Madoff pleaded guilty to 11 charges by the SEC, confessed, and was sentenced to 150 years in the penitentiary. The story of how Madoff began his scheme, what he actually did, who suspected he was a fraudster and warned the SEC, why the SEC failed to find wrongdoing, who knew, and who did nothing is a fascinating story of ethical misbehavior, greed, innocence, incompetence, and misunderstanding of duty.

How Did Madoff Do It?

In his plea elocution[4] on March 12, 2009, Madoff told the court,

> The essence of my scheme was that I represented to clients and prospective clients who wished to open investment advisory and investment trading accounts with me that I would invest their money in shares of common stock, options, and other securities of large well-known corporations, and upon request, would return to them their profits and principal.… [F]or many years up until I was arrested … I never invested those funds in the securities, as I had promised. Instead, those funds were deposited in a bank account at Chase Manhattan Bank. When clients wished to receive the profits they believed they had earned with me or to redeem their principal, I used the money in the Chase Manhattan bank account that belonged to them or other clients to pay the requested funds.[5]

Of course, in reality, Madoff's scheme was more complex and went undiscovered for a very long time.

Over the years, Madoff became involved in two major activities as (1) a market maker or broker and (2) an investment adviser or manager. The first, which he began in 1960 as Bernard L. Madoff Securities, matched, by phone, buyers and sellers of stocks of smaller companies that were not traded on large, recognized stock exchanges, such as the NYSE. Initially, he made a commission on each over-the-counter trade, but soon he was buying or selling on his own account, thereby taking

[1] Named after Charles Ponzi (March 3, 1882–January 18, 1949), who was born in Italy, lived in the United States and became famous for his swindle of unsuspecting investors wherein early investors are paid returns from funds invested by later investors.

[2] W. Buffet, 2008 Annual Letter to the shareholders of Berkshire Hathaway Inc.

[3] Doug Steiner, "Bernie, I Hardly Knew Ya," *The Globe and Mail*, March 2009, 50–53.

[4] A plea allocution is a confession in court required at a sentencing hearing before the judge sentences the accused.

[5] http://www.pbs.org/wgbh/pages/frontline/madoff/cron.

the risk of not being able to find a matched buyer or seller and not making a profit on the spread. In time, this form of trading became more regulated, and the spread between the buying and selling prices for shares became restricted to one-eighth of a dollar, or 12.5 cents, per share. In order to maximize his volume of orders, Madoff would "pay for order flow" a sum of 1 to 2 cents per share of the 12.5-cent spread to the referring broker. Later, computerized trading[6] allowed share prices to be denominated in cents rather than one-eighth of a dollar, and the spreads shrank to 1 cent or so by 2001.[7] Consequently, Madoff's profit on this type of trading activity dwindled, and he had to be creative to make any significant profit. It is speculated[8] that he did so by "front running," a variation on insider trading. Using advance knowledge of a large buy transaction garnered through his "pay for order flow" process, Madoff could buy the stock for his own account at the current price and then sell the stock moments later to fulfill the large buy order at an increased price.

The trading part of Madoff's activity was properly registered with authorities and was not the source of Madoff's Ponzi scheme. The second activity—that of investment advisor—which Madoff began as early as 1962, was the source. Interestingly, he did not register as an investment advisor until he was forced to do so by the SEC in 2006 in reaction to a very public and now famous whistleblower report by Harry Markopolos.[9] In fact, Madoff is said to have asked his clients not to divulge his investment services to them, perhaps in an effort to keep the service below the level of recognition by authorities. In any event, as Madoff states in his plea elocution, his fraud began in the early 1990s:

> Your Honor, for many years up until my arrest on December 11, 2008, I operated a Ponzi scheme through the investment advisory side of my business, Bernard L. Madoff Securities LLC, which was located here in Manhattan, New York at 885 Third Avenue.
>
> To the best of my recollection, my fraud began in the early 1990s. At that time, the country was in a recession and this posed a problem for investments in the securities markets. Nevertheless, I had received investment commitments from certain institutional clients and understood that those clients, like all professional investors, expected to see their investments out-perform the market. While I never promised a specific rate of return to any client, I felt compelled to satisfy my clients' expectations, at any cost. I therefore claimed that I employed an investment strategy I had developed, called a "split strike conversion strategy," to falsely give the appearance to clients that I had achieved the results I believed they expected.
>
> Through the split-strike conversion strategy, I promised to clients and prospective clients that client funds would be invested in a basket of common stocks within the Standard & Poor's 100 Index, a collection of the 100 largest publicly traded companies in terms of their market capitalization. I promised that I would select a basket of stocks that would closely mimic the price movements of the Standard & Poor's 100 Index. I promised that I would opportunistically time these purchases and would be out of the market intermittently, investing client funds during these periods in United States Government-issued securities such as United States Treasury bills. In addition, I promised that as part of the split strike conversion strategy, I would hedge the investments I made in the basket of common stocks by using client funds to buy and sell option contracts related to those stocks, thereby limiting potential client losses caused by unpredictable changes in stock prices. In fact, I never made the investments I promised clients, who believed they were invested with me in the split strike conversion strategy.
>
> To conceal my fraud, I misrepresented to clients, employees and others, that I purchased securities for clients in overseas markets. Indeed, when the United States Securities and Exchange Commission asked me to testify as part of an investigation they were conducting about my investment advisory business, I knowingly gave false testimony under oath to the staff of the SEC on May 19, 2006 that I executed trades of common stock on behalf of my investment advisory clients and that I purchased and sold the

[6] Computerized trading began in 1971, initially mirroring the pricing of stocks in intervals of 12.5 cents, or one-eighth of a dollar.

[7] Steiner, "Bernie, I Hardly Knew Ya," 53.

[8] See Harry Markopolos, 2005 Letter to the SEC.

[9] Ibid.

equities that were part of my investment strategy in European markets. In that session with the SEC, which took place here in Manhattan, New York, I also knowingly gave false testimony under oath that I had executed options contracts on behalf of my investment advisory clients and that my firm had custody of the assets managed on behalf of my investment advisory clients.

To further cover-up the fact that I had not executed trades on behalf of my investment advisory clients, I knowingly caused false trading confirmations and client account statements that reflected the bogus transactions and positions to be created and sent to clients purportedly involved in the split strike conversion strategy, as well as other individual clients I defrauded who believed they had invested in securities through me. The clients receiving trade confirmations and account statements had no way of knowing by reviewing these documents that I had never engaged in the transactions represented on the statements and confirmations. I knew those false confirmations and account statements would be and were sent to clients through the U.S. mails from my office here in Manhattan.

Another way that I concealed my fraud was through the filing of false and misleading certified audit reports and financial statements with the SEC. I knew that these audit reports and financial statements were false and that they would also be sent to clients. These reports, which were prepared here in the Southern District of New York, among things, falsely reflected my firm's liabilities as a result of my intentional failure to purchase securities on behalf of my advisory clients.

Similarly, when I recently caused my firm in 2006 to register as an investment advisor with the SEC, I subsequently filed with the SEC a document called a Form ADV Uniform Application for Investment Adviser Registration. On this form, I intentionally and falsely certified under penalty of perjury that Bernard L. Madoff Investment and Securities had custody of my advisory clients' securities. That was not true and I knew it when I completed and filed the form with the SEC, which I did from my office on the 17th floor of 855 Third Avenue, here in Manhattan.

In more recent years, I used yet another method to conceal my fraud. I wired money between the United States and the United Kingdom to make it appear as though there were actual securities transactions executed on behalf of my investment advisory clients. Specifically, I had money transferred from the U.S. bank account of my investment advisory business to the London bank account of Madoff Securities International Ltd., a United Kingdom corporation that was an affiliate of my business in New York. Madoff Securities International Ltd. was principally engaged in proprietary trading and was a legitimate, honestly run and operated business.

Nevertheless, to support my false claim that I purchased and sold securities for my investment advisory clients in European markets, I caused money from the bank account of my fraudulent advisory business, located here in Manhattan, to be wire transferred to the London bank account of Madoff Securities International Limited.

There were also times in recent years when I had money, which had originated in the New York Chase Manhattan bank account of my investment advisory business, transferred from the London bank account of Madoff Securities International Ltd. to the Bank of New York operating bank account of my firm's legitimate proprietary and market making business. That Bank of New York account was located in New York. I did this as a way of ensuring that the expenses associated with the operation of the fraudulent investment advisory business would not be paid from the operations of the legitimate proprietary trading and market making businesses.

In connection with the purported trades, I caused the fraudulent investment advisory side of my business to charge the investment clients $0.04 per share as a commission. At times in the last few years, these commissions were transferred from Chase Manhattan bank account of the fraudulent advisory side of my firm to the account at the Bank of New York, which was the operating account for the legitimate side of Bernard L. Madoff Investment Securities—the proprietary trading and market making side of my firm. I did this to ensure that the expenses associated with the operation of my fraudulent investment advisory business would not be paid from the operations of the legitimate proprietary trading and market making businesses. It is my belief that the salaries and bonuses of the personnel involved in the operation of the legitimate side of Bernard L. Madoff Investment Securities were funded by

> the operations of the firm's successful proprietary trading and market making businesses.[10]

Who Knew or Suspected the Fraud, and What Did They Do?

According to Madoff, his family—his sons, his wife, and his brother—knew nothing of his fraudulent behavior until he revealed it to them—first to his brother on December 9, 2009, and a day later to his sons and wife. On December 10, his sons wanted to know why he would pay out millions of dollars in bonuses several months early and how he would do so when he was complaining that he was having difficulty paying off investment withdrawals and returns. After shifting the meeting to his apartment, he confessed to his sons

> that he is "finished," that he has "absolutely nothing," and that the operation was basically a giant Ponzi scheme.… Madoff also tells his sons that he plans to surrender to authorities in a week but he wants to use the $200–300 million he has left to make payments to selected employees, family and friends.
>
> After speaking to his sons, the FBI knocks on Madoff's door on the morning of Dec. 11 and asks if there is an innocent explanation. Madoff says no, it was "one big lie."[11]

According to many reports, several senior members of the financial community questioned how Madoff's investment business could earn such consistent, positive returns. Some thought he had to be running some type of fraudulent scheme and refused to deal with him. Others thought he was a genius, but they failed to look very deeply into his investment strategy and how he made his money.

In 1999, Harry Markopolos, a finance expert, was asked by his employer, who was a competitor of Madoff, to investigate Madoff's strategy. After four hours of analysis, Markopolos appeared in his boss's office to declare that it was *extremely* unlikely that Madoff could generate the consistent positive returns he paid by legal means. In his opinion, it was much more likely that Madoff was operating a Ponzi scheme or that he was front running orders through his broker/dealer operation with "the split-strike conversion strategy" as mere "front" or "cover."[12] Markopolos even went so far as to contact the SEC with an eight-page submission in 2000 with his concerns, but no investigation was launched, and no significant action was taken. Later, the alleged front-running operation was proven to be "unworkable."

Markopolos, however, did not give up. He resubmitted his information several times between 2000 and 2008, usually with little effect. He attributed this to the fact that some of the key SEC representatives had insufficient financial background in derivatives to understand his submissions until he met Mike Garrity, the branch chief of the SEC's Boston Regional Office in late October 2005. Garrity understood the significance of Markopolos's analysis and referred it to the SEC's New York Region Branch Office. Markopolos quickly submitted a 21-page report to Meaghan Cheung, the branch chief, on November 7, 2005, but she failed to understand it or its significance and concentrated on the Adelphia case that she was handling.

In his November 7, 2005, letter,[13] Markopolos identifies a series of 29 red flags and provides analyses supporting the following (greatly distilled) summary of the salient points he made at the time about Bernard Madoff's (BM's) activities:

- BM chose an unusual broker-dealer structure that costs 4% of annual fee revenue more than necessary. Why would he do this unless it was a Ponzi scheme?
- BM pays an average of 16% to fund its operations, although cheaper money is readily available.
- Third-party hedge funds and funds of funds are not allowed to name BM as the actual fund manager. Shouldn't he want publicity for his wonderful returns?
- The split-strike conversion investment strategy is incapable of generating returns that beat the U.S. Treasury Bill rates and are nowhere near the rates required to sustain the rates of return paid to BM's clients.

[10] Madoff's plea allocution was extracted from "Madoff Speaks: The Plea Allocution," WSJ Law Blog (blog), March 12, 2009, by Ashby Jones at http://blogs.wsj.com/law/2009/03/12/madoff-speaks-the-plea-allocution.

[11] http://www.pbs.org/wgbh/pages/frontline/madoff/cron.

[12] Testimony of Harry Markopolos before the U.S. House of Representatives Committee on Financial Services, Wednesday, February 4, 2009, 10, digital copy at BPE website.

[13] Markopolos's letter to the SEC, November 2005, http://finances.unanimocracy.com/money/2009/01/07/harry-markopolous-markopolos-letter-to-the-sec-2005-against-madoff.

- The total OEX options[14] outstanding are not enough to generate BM's stated split-strike strategy returns of 1% per month or 12% per year. Actually, BM would have to earn 16% to net 12%.
- Over the last 14 years, BM has had only 7 monthly losses, and a 4% loss percentage is too unbelievably good to be true.
- There are not enough OEX index put option contracts *in existence* to hedge the way BM says he is hedging.
- The counterparty credit exposures for UBS and Merrill Lynch are too large for these firms' credit departments to approve.
- The customization and secrecy required for BM's options is beyond market volume limits and would be too costly to permit a profit.
- The paperwork would be voluminous to keep track of all required Over-The-Counter (OTC) trades.
- It is mathematically impossible to use a strategy involving index options (i.e., baskets of stocks representative of the market), and not produce returns that track the overall market. Hence, the consistency of positive returns (96% of the time) is much too good to be true.
- Over a comparable period, a fund using a strategy more sound than the split-strike approach had losses 30% of the time. Return percentages were similarly worse.
- Articles have appeared that question BM's legitimacy and raise numerous red flags.
- BM's returns could only be real if he uses the knowledge of trades from his trading arm to front-run customer orders, which is a form of insider trading and illegal. In addition, it is not the strategy he is telling hedge fund investors he is using.
- However, this access to inside knowledge only became available in 1998, so front running could not have generated the high profits BM reported before that date.
- If BM is front running, he could earn very high profits and therefore would not need to pay 16% to fund his operations. Since he is paying 16%, he is probably not front running, but is very probably involved in a Ponzi scheme.
- To achieve the 4% loss rate, BM must be subsidizing returns during down-market months, which is a misstatement of results or the volatility of those results and therefore constitutes securities fraud.
- BM reportedly has perfect market-timing ability. Why not check this to trading slips?
- BM does not allow outside performance audits.
- BM is suspected of being a fraud by several senior finance people including:
  - a managing director at Goldman Sachs; so they don't deal with him
  - an official from a Top 5 money center bank; so they don't deal with him
  - several equity derivatives professionals believe that the split-strike conversion strategy that BM runs is an outright fraud and cannot achieve the consistent levels of returns declared, including:
    - Leon Gross, Managing Director of Citigroup's equity derivatives unit
    - Walter Haslett, Write Capital Management, LLC
    - Joanne Hill, V.P., Goldman, Sachs
- Why does BM allow third-party hedge funds and funds of funds to pocket excess returns of up to 10% beyond what is needed?
- Why are only Madoff family members privy to the investment strategy?
- BM's Sharpe Ratio[15] is at 2.55. This is too outstanding to be true.
- BM has announced that he has too much money under management and is closing his strategy to new investments. Why wouldn't he want to continue to grow?

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[14] According to the Chicago Board Options Exchange's website (http://www.cboe.com), the Standard & Poor's (S&P) 100 Index is a capitalization-weighted index of 100 blue-chip, large-cap stocks from the U.S. equities marketplace from diverse industry sector groups. It is a broad market index; together, these 100 stocks represent over 50% of the market capitalization of the S&P 500 Index. The impact of a price change in any component stock on the level of the overall index is proportional to the issue's total market value. Options on the S&P 100 are used primarily by hedgers and speculators in conjunction with bullish or bearish opinions on large-cap U.S. stocks.

[15] The Sharpe Ratio is a measure that relates investment return over the risk-free rate of return to volatility, so a higher ratio gives more return for the risk than investments with lower ratios.

- BM is really running the world's largest hedge fund. However, it is an unregistered hedge fund for other funds that are registered with the SEC. Even though the SEC is slated to begin oversight of hedge funds in 2006, BM operates behind third-party shields, so the chances of BM escaping scrutiny are very high.

Although Markopolos continued to call, Ms. Cheung was not responsive. As a result, he pursued other avenues, and when he uncovered leads to people who suspected that Madoff was a fraudster, he passed the names on to the SEC. Unfortunately, no action was taken. If it had been, Markopolos believes that Madoff "could have been stopped in 2006."[16]

Markopolos continued to try to influence the SEC orally and in writing as late as March or early April 2008 with no apparent response. On February 4, 2009, he testified before the U.S. House of Representatives Committee on Financial Services about his concerns. During that testimony, he was asked why he and three other concerned associates had not turned Madoff in to the Federal Bureau of Investigation (FBI) or the Federal Industry Regulatory Authority (FINRA)[17] and responded as follows:

> For those who ask why we did not go to FINRA and turn in Madoff, the answer is simple: Bernie Madoff was Chairman of their predecessor organization and his brother Peter was former Vice-Chairman. We were concerned we would have tipped off the target too directly and exposed ourselves to great harm. To those who ask why we did not turn in Madoff to the FBI, we believed the FBI would have rejected us because they would have expected the SEC to bring the case as subject matter expert on securities fraud. Given our treatment at the hands of the SEC, we doubted we would have been credible to the FBI.[18]
>
> Markopolos goes on to lament that dozens of highly knowledgeable men and women also knew that BM was a fraud and walked away silently, saying nothing and doing nothing.... How can we go forward without assurance that others will not shirk their civic duty? We can ask ourselves would the result have been different if those others had raised their voices and what does that say about self-regulated markets?[19]

Harry Markopolos is tough on the SEC in his February 2009 oral testimony. The YouTube video of his testimony is available at http://www.youtube.com/watch?v=uw_Tgu0txS0 and is well worth viewing. For example, he states the following:

- "I gift wrapped and delivered to the SEC the largest Ponzi scheme in history, and they were too busy to investigate."
- "I handed them … on a silver platter."
- "The SEC roars like a mouse and bites like a flea."

During, and at the end of his verbal testimony, Markopolos points out why the SEC has a lot to answer for, repeatedly letting down investors, U.S. taxpayers, and citizens around the world.

Why Didn't the SEC Catch Madoff Earlier?

According to Markopolos, SEC investigators and their bosses were both incompetent and unwilling to believe that people as well respected in the investment community as Madoff and his brother Peter Madoff could be involved in illicit activities. According to the Madoff's own website,[20]

> Bernard L. Madoff was one of the five broker-dealers most closely involved in developing the NASDAQ Stock Market. He has been chairman of the board of directors of the NASDAQ Stock Market as well as a member of the board of governors of the NASD and a member of numerous NASD committees. Bernard Madoff was also a founding member of the International Securities Clearing Corporation in London.

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[16] Testimony of Harry Markopolos before the U.S. House of Representatives Committee on Financial Services, 17.

[17] FINRA, according to its website (http://www.finra.org), "is the largest non-governmental regulator for securities firms doing business in the United States." Created in July 2007 through the consolidation of NASD and the member regulation, enforcement, and arbitration functions of the NYSE, FINRA is dedicated to investor protection and market integrity through effective and efficient regulation and complementary compliance and technology-based services.

[18] Ibid., 24.

[19] Ibid., 24, 25.

[20] http://www.madoff.com, Quote taken from Markopolos, November 7, 2005, to the SEC; also referenced in Kotz Report, http://www.sec.gov/news/studies/2009/oig-509.pdf, 175.

> His brother, Peter B. Madoff has served as vice chairman of the NASD, a member of its board of governors, and chairman of its New York region. He also has been actively involved in the NASDAQ Stock Market as a member of its board of governors and its executive committee and as chairman of its trading committee. He also has been a member of the board of directors of the Security Traders Association of New York. He is a member of the board of directors of the Depository Trust Corporation.

In order to find out why the SEC did not catch Madoff earlier, an internal review was undertaken by the SEC's Office of Inspector General. The resulting report by H. David Kotz, the inspector general, on the *Investigation of the Failure of the SEC to Uncover Bernard Madoff's Ponzi Scheme—Public Version* (OIG-509),[21] dated August 31, 2009, is a ringing condemnation of SEC investigative and decision-making activities. Although the SEC was approached by several individuals with concerns, tips, and/or analyses, including Markopolos several times, the red flags raised were ignored or not understood, or, when investigated the so-called investigations failed to identify the Ponzi scheme. According to the report, the investigations failed for the following reasons:

- Investigators were inexperienced, usually fresh from law school.
- Investigators were untrained in forensic work:
  - Their practice during the few investigations undertaken was usually to interview Madoff himself and then write their report without further action even though Madoff had been caught in contradictions during the interview.
  - Their work was poorly planned at best and poorly led, although work ratings were exemplary and promotion followed for some.
- Investigators did not have sufficient knowledge of capital markets, derivatives, and investment strategies to understand the following:
  - The fundamentals underlying the marketplace and the fraud.
  - What was a red flag or a red flag worthy of following up?
  - How to check the red flags raised by others.
  - That external third-party verification of Madoff's verbal or fabricated written claims was necessary and would have revealed the Ponzi scheme.
  - What the correct scope of the investigation should have been.
- Investigators were biased in favor of Madoff and against Markopolos.
- Investigators were frequently delayed by other SEC priorities or by inter-SEC rivalry and bureaucratic practices.

H. David Kotz is to be commended for his report and his related recommendations for the improvement of SEC personnel and practices. Anyone who reads the Kotz Report will conclude that the SEC's performance in the Madoff scandal was serially and ridiculously incompetent.

It is interesting to note that although there were repeated indications to the SEC that Madoff's company auditor was allegedly a related party to Madoff, SEC agents never checked. It was finally checked by the New York Division of Enforcement after Madoff confessed. "Within a few hours of obtaining the working papers, the New York Staff Attorney determined that no audit work had been done."[22] Apparently, there had been no external or independent verification of trades or of securities held. The so-called auditor was David Friehling, Madoff's brother-in-law,[23] who headed up a sole practitioner, three-person accounting firm known as Friehling & Horowitz. Friehling has since been charged with fraud.[24] He had been Madoff's auditor from 1991 through 2008.

A Happy Ending?

Fortunately, Madoff confessed on December 11, 2008, and the SEC subsequently charged him with 11 counts of fraud. In fact, Madoff thought that the jig was up in 2006[25] when he had fabricated a story to support his claim of placing orders to hedge his portfolio, but the

[21] Kotz Report, http://www.sec.gov/news/studies/2009/oig-509.pdf.
[22] Ibid., 95.
[23] Ibid., 146.
[24] Larry Neumeister, "Prosecutors Charge Madoff's Accountant with Fraud," *The Associated Press*, Yahoo! Canada Finance website, March 18, 2009.
[25] Kotz Report, 23.

SEC investigators failed to check the trades *externally*. If they had, they would have found that there were essentially *no trades* even though his claim placed him as running the world's largest hedge fund.

On March 12, 2009, Madoff appeared in court and pleaded guilty to 11 charges.[26] On June 29, 2009, he returned to court, where he was sentenced for "extraordinary evil" to the maximum sentence of 150 years in penitentiary[27] for the following:

Type of Fraud	Sentence (Years)—All at the Maximum
Securities	20
Investment advisor	5
Mail	20
Wire	20
International money laundering related to transfer of funds	20
International money laundering	20
Money laundering	10
False statements	5
Perjury	5
Making a false filing to the SEC	20
Theft from an employee benefit plan	5

Madoff was 71 years old when he was sentenced, so he will spend the rest of his life in prison. His friends did not make out well either. Over the years, however, some friends who were also investors made considerable profits on their investments with Madoff. One of these, Jeffry Picower—a sophisticated investor and friend of Madoff's and a noted philanthropist—was found drowned at the bottom of his Palm Beach pool when a trustee attempted to claw back the $7 million Jeffry and his wife made in Madoff-related profit.[28] It remains to be seen how much will be recovered by court-appointed trustees to be ultimately distributed to investors who lost money investing with Madoff.

Questions

1. Was Madoff's sentence too long?
2. Some SEC personnel were derelict in their duty. What should happen to them?
3. Are the reforms undertaken by the SEC (refer to http://www.sec.gov/spotlight/sec-postmadoffreforms.htm) tough enough and sufficiently encompassing?
4. Does it matter that Madoff's auditor, Friehling, was his brother-in-law?
5. Does it matter that Friehling did no audit work?
6. Comment on the efficacy of self-regulation in the form of FINRA and with respect to the audit profession. What are the possible solutions to this?
7. Answer Markopolos' questions: "How can we go forward without assurance that others will not shirk their civic duty? We can ask ourselves would the result have been different if those others had raised their voices and what does that say about self-regulated markets?"
8. How could Markopolos and the other whistleblowers have gotten action on their concerns earlier than they did?
9. Did Markopolos act ethically at all times?
10. What were the most surprising aspects of Markopolos' verbal testimony on YouTube at http://www.youtube.com/watch?v=uw_Tgu0txS0?
11. Did those who invested with Madoff have a responsibility to ensure that he was a legitimate and registered investment advisor? If not, what did they base their investment decision on?
12. Should investors who make a lot of money (1% per month while markets are falling) say, "Thank you very much," or should they query the unusually large rate of return they are receiving?
13. Should investors who made money from "investing" with Madoff be forced to give up their gains to compensate those who lost money?
14. Is this simply a case of "buyer beware"?

[26] Sinclair Stewart, "Madoff Goes to Jail on 11 Guilty Pleas," *The Globe and Mail*, March 13, 2009, B1.
[27] Aaron Smith, "Madoff Sentenced to 150 Years," CNNMoney.com, June 29, 2009.
[28] Diana B. Henriques, "Investor with Madoff Is Found Dead in His Pool," *New York Times*, October 25, 2009.

Subprime Lending: Questionable Values Produce Resignation at Goldman Sachs

Ethics Case

Allegations of serious impropriety and perhaps illegality surrounding Goldman Sachs's contribution to the 2008 financial crisis have been well publicized. Allegations included trading for their own benefit directly against the interests of its clients (e.g., the ABACUS deal involved deliberately stuffing collateralized debt obligations with inferior mortgage assets, selling them to clients, and then short selling them for their own account) and abusive practices generally.[1] These allegations and a description of the ABACUS deal are the subject of the ethics case "Goldman Sachs's Conflicts: Guilty or Not?" which begins on page 685.

The underlying values associated with this kind of activity were obviously troubling. This was further illustrated in 2012 when Greg Smith, head of Goldman's U.S. equity derivatives business in Europe, Africa, and the Middle East, wrote an op-ed piece in the *New York Times* about his resignation[2] in response to the appalling deterioration of the firm's culture. Goldman's old culture had previously been recognized for its ethicality which he describes as revolving around "teamwork, integrity, a spirit of humility, and always doing right by your clients." The modern culture he describes as "toxic" and "destructive."

The following are some quotes from his article:

> To put the problem in the simplest terms, the interests of the client continue to be sidelined in the way the firm operates and thinks about making money.
>
> Leadership (in Goldman) used to be about ideas, setting an example and doing the right thing. Today, if you make enough money for the firm … you will be promoted into a position of influence.
>
> It makes me ill how callously people talk about ripping their clients off. Over the last 12 months I have seen five different managing directors refer to their own clients as "muppets."

He comments on what he believes to be the three quick ways to become a leader at Goldman:

a) Persuade your clients to invest in stocks or other products that Goldman was trying to get rid of because they were not seen as being sufficiently profitable (described as the firm's "axes").
b) "Hunt elephants," that is, persuade your clients to buy the products that are the most profitable for Goldman rather than what is best for the client.
c) Trade "any illiquid, opaque product with a three letter acronym."

Of course, Goldman disputes this view of its practice, but Smith's interpretation intuitively explains how it—and other firms with similar cultures—got so far off the rails during the subprime lending crisis.

Questions

According to Greg Smith, the culture he describes existed in 2012, long after the 2008 financial crisis and subsequent fallout, suggesting that the lessons have not been learned and that the problems are at least as bad as they were before the crisis.

1. How could the culture described be changed?
2. Who will need to cause this culture to change?
3. What will have to happen to cause this change?
4. Is it likely that Goldman Sachs will be able to hire the best and brightest recruits unless they change the culture described? Why and why not?
5. Corporate psychopaths would likely be attracted to a firm with Goldman's modern culture. How would Goldman ensure that they are not hired?

[1] See, for example, the BBC News report "Goldman Sachs Accused of Misleading Investors," April 14, 2011, a report based on testimony at the U.S. Senate Permanent Committee on Investigations, http://www.bbc.co.uk/news/business-13077509.

[2] Greg Smith, "Why I Am Leaving Goldman Sachs," *New York Times*, March 14, 2012, accessed March 30, 2012, at http://www.nytimes.com/2012/03/14/opinion/why-i-am-leaving-goldman-sachs.html?pagewanted=all.

Subprime Lending: Goldman Sachs Conflicts: Guilty or Not?

Ethics Case

During the depths of the subprime lending crisis in 2008, a major U.S. investment banking firm, Goldman Sachs, required a $10 billion bailout from the U.S. government's Troubled Asset Relief Program (TARP) to stay afloat. But in 2009, Goldman's fortunes reversed as the firm earned $13.4 billion profit, repaid the $10 billion to TARP, and paid its employees over $16 billion.[1]

The firm's nickname, "Golden Socks," appears to be well-earned. But is this spectacular reversal just too good to be true—or at least the result of unethical, if not illegal, practices? Did Goldman profit unfairly by somehow taking advantage of unsuspecting clients or by undermining a floundering United States or even world economy? In fact, serious allegations have been raised about Goldman's role in the financial crisis, including the following:

1. Duping American International Group, Inc. (AIG) into insuring poor-quality mortgage securities and then
   a. triggering insurance payments to Goldman by setting artificially low securities valuations, thereby
   b. precipitating a $130 billion-plus bailout of AIG and a transfer of 79.9% equity ownership to the U.S. Federal Reserve Bank and
   c. causing the U.S. government to pay $52.5 million to Goldman in settlement of credit default swaps in which AIG had insured mortgage securities.[2]
2. Betting against clients by taking "short positions on collateralized debt obligations [CDOs] that it had created and sold to clients."[3]
3. Stuffing "these CDOs with inferior mortgage assets that ensured their collapse."[4]

The ABACUS Deal: Goldman Engineered, Paulson & Co. Influenced

The spotlight fell on one of Goldman's transactions, known as ABACUS 2007-AC1, when the SEC filed securities fraud charges on April 16, 2010, against Goldman and one of its employees, Fabrice Tourre, who vainly dubbed himself the "fabulous Fab" for creating the deal.[5] According to the SEC's allegations, Goldman created and marketed a synthetic CDO to customers without disclosing to investors that the underlying subprime residential mortgage-backed securities (RMBS) had been selected, in part, by a hedge fund, Paulson & Co. Inc.,[6] which immediately bet that ABACUS 207-AC1 would fail by buying CDSs from Goldman (GS&Co) that effectively insured against losses related to that failure.[7] According to the SEC,

> The deal closed on April 26, 2007. Paulson paid GS&Co approximately $15 million for structuring and marketing ABACUS 2007-AC1. By October 24, 2007, 83% of the RMBS in the ABACUS 2007-AC1 portfolio had been downgraded and 17% was on negative watch. By January 29, 2008, 99% of the portfolio had allegedly been downgraded. Investors in the liabilities of ABACUS 2007-AC1 are alleged to have lost over $1 billion. Paulson's opposite CDS positions yielded a profit of approximately $1 billion.[8]

On July 15, 2010, the SEC announced that Goldman had paid $550 million, the highest penalty ever paid to settle the case, and agreed to remedial actions but did not admit or deny the allegations. Two hundred and fifty million was to be returned to investors, and $300 million was paid to the U.S. Treasury. In court papers filed, Goldman acknowledged that

> the marketing materials for the ABACUS 2007-AC1 transaction contained incomplete information. In particular, it was a mistake for the Goldman marketing materials to state that the reference portfolio was "selected by" ACA Management LLC without disclosing the role of Paulson & Co. Inc. in the portfolio selection process and that Paulson's

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[1] Roben Farzad and Paula Dwyer, "Goldman Sachs: Don't Blame Us," *Bloomberg Businessweek*, April 12, 2010, 30–38, http://www.businessweek.com/magazine/content/10_15/b4173030234603.htm.

[2] Ibid., 33; and http://en.wikipedia.org/wiki/American_International_Group.

[3] Ibid.

[4] Ibid.

[5] Jonathan Weil, "Goldman Slapped," *Bloomberg Businessweek*, April 26–May 2, 2010, 13–14.

[6] Owned by billionaire John Paulson.

[7] "The SEC Charges Goldman Sachs with Fraud in Connection with the Structuring and Marketing of a Synthetic CDO," Litigation Release No. 21489, April 16, 2010, *Securities and Exchange Commission v. Goldman, Sachs & Co. and Fabrice Tourre*, 10 Civ. 3229 (BJ) (S.D.N.Y. filed April 16, 2010) (accessed September 19, 2010).

[8] Ibid.

economic interests were adverse to CDO investors. Goldman regrets that the marketing materials did not contain that disclosure.[9]

Deals with AIG

AIG, once the world's largest insurer, began to insure portions of subprime mortgage deals in 2003.[10] Many observers came to believe that the company "was reckless during the mortgage mania," and as it turned out, AIG "had written far more insurance than it could possibly have paid off if a national mortgage debacle occurred—as, in fact, it did."[11] This was the underlying reason why the federal government had to step in September 2008 and ultimately bail out AIG by providing $180 billion and taking over the company.[12]

Reports have indicated that Goldman received $7 billion from AIG before the rescue and $12.9 billion after the rescue, plus "a portion of $11 billion in taxpayer money that went to Société Générale, a French bank that traded with AIG, was subsequently transferred to Goldman under a deal the two banks had struck."[13] Since Goldman knew that AIG was insuring other companies' deals as well, should Goldman not have known that AIG was being stretched, in a risk of default sense, to or beyond that company's reasonable limit?

It is possible that the black swan[14] phenomenon was at work. AIG and many other insurers and investors put such a low probability on a national mortgage default that they discounted the overall impact far too much and did not have a clear view of the risk limits of AIG and other market participants. However, it has been reported that Goldman was betting significant capital that the mortgage market would decline or crash as early as 2006.[15] Moreover, Goldman was pressing AIG to recognize Goldman's abnormally low market valuations on the mortgages insured so that AIG would have to pay off on their insurance. These valuations were so low that AIG objected strenuously, but Goldman would not submit them to outside adjudication.[16]

Betting against the Market and Clients: A Shift in Focus and Culture

Goldman's significant bets in 2006 and later against the stability of the national mortgage raise other concerns. Throughout this period, Goldman was actively structuring deals like ABACUS and marketing these to their investor clients. But Goldman was being disingenuous. They were marketing mortgage-backed securities to their clients while at the same time investing Goldman's own resources in ways that would pay off if mortgage securities sank in value (e.g., short positions). In addition, Goldman's proprietary trading would be undermining the market price of the mortgage-backed securities being sold to others. It is worth noting that the financial market reforms introduced in September 2010 crystallized the so-called Volker Rule,[17] which placed restrictions on proprietary trading by investment banks based on conflict-of-interest concerns.[18]

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[9] Goldman Sachs to Pay Record $550 Million to Settle SEC Charges Related to Subprime Mortgage CDO, U.S. Securities and Exchange Commission, Litigation Release No. 21592, July 15, 2010, *Securities and Exchange Commission v. Goldman, Sachs & Co. and Fabrice Tourre*, Civil Action No. 10 Civ. 3229 (S.D.N.Y. filed April 16, 2010) (accessed September 19, 2010).

[10] Gretchen Morgenson and Louise Story, "Testy Conflict with Goldman Helped Push A.I.G. to Edge," *New York Times*, February 6, 2010, accessed September 21, 2010, at http://www.nytimes.com/2010/02/07/business/07goldman.html?_r=1&pagewanted=1&ref=business.

[11] Ibid.

[12] See, for example, Matthew Karnitschnig, Deborah Solomon, Liam Pleven, and Jon Hilsenrath, "U.S. to Take Over AIG in $85 Billion Bailout; Central Banks Inject Cash as Credit Dries Up," *Wall Street Journal*, September 16, 2008.

[13] Morgenson and Story, "Testy Conflict with Goldman Helped Push A.I.G. to Edge."

[14] The black swan phenomenon refers to a very rare event—like finding a black swan. However, a black swan event, even though it is rare, can have an incredibly large impact or cost, such as the economic disruption of the subprime lending crisis. Many investors were thinking only of the low probability of a subprime lending crisis and overlooked the huge cost of the failure. They focused on the low probability of the event rather than the expected value of it (expected value = probability of event × cost or payoff amount).

[15] Morgenson and Story, "Testy Conflict with Goldman Helped Push A.I.G. to Edge."

[16] Ibid.

[17] Paul Volker, former secretary of the U.S. Treasury, first suggested it.

[18] See, for example, Donald Kilpatrick, Michael Oimette, and Anthony D. Foti, Pillsbury, Winthrop, Shaw, Pitman LLP, "Dodd-Frank Act: The Volcker Rule," July 21, 2010, accessed May 29, 2011, at https://www.pillsburylaw.com/images/content/3/1/3198.pdf.

Goldman's culture and revenue had changed significantly since the 1990s toward a heavy reliance on proprietary trading and special situation investing and away from the traditional investment bank services of "getting to know companies and their executives inside out, while advising them on mergers, acquisitions, and stock offerings."[19] Once the dominant activity, traditional investment banking services were increasingly dwarfed by proprietary trading until in 2009 proprietary trading "accounted for three-quarters of the firm's $45 billion (U.S.) in revenues,"[20] whereas investment banking accounted for only a tenth.

Although both activities are intended to generate profit, the "time frame and approach—executives wooed over years of lunches and dinners, not rapid-fire trades during the course of a day—are poles apart."[21] "On the investment banking side, you protected your clients and your market share,"[22] both of which involved long-term thinking and stewardship. "On the trading side, it was all about making money."[23]

This shift in thinking was articulated in what has become known as the "fork in the road speech" given in 2005 by Lloyd Blankfein, who was then the chief operating officer. "He argued Goldman had to combine its roles as an adviser, financier, and investor, or risk irrelevance. By focusing more on putting its own money to work, new conflicts would arise, but Goldman was skilled at managing them, he said."[24]

Goldman Sachs's Response: "… Not Guilty. Not One Little Bit."

According to Goldman's senior executives, as might be expected, the firm is "not guilty. Not one little bit."[25] In the firm's Letter to Shareholders[26] accompanying its 2009 Annual Report, these executives provide Goldman's official response, as follows:

Our Relationship with AIG

Over the last year, there has been a lot of focus on Goldman Sachs' relationship with AIG, particularly our credit exposure to the company and the direct effect the U.S. government's decision to support AIG had or didn't have on our firm. Here are the facts:

Since the mid-1990s, Goldman Sachs has had a trading relationship with AIG. Our business with them spanned a number of their entities, including many of their insurance subsidiaries. And it included multiple activities, such as stock lending, foreign exchange, fixed income, futures and mortgage trading.

AIG was an AAA-rated company, one of the largest and considered one of the most sophisticated trading counterparts in the world. We established credit terms with them commensurate with those extended to other major counterparts, including a willingness to do substantial trading volumes but subject to collateral arrangements that were tightly managed.

As we do with most other counterparty relationships, we limited our overall credit exposure to AIG through a combination of collateral and market hedges in order to protect ourselves against the potential inability of AIG to make good on its commitments.

We established a pre-determined hedging program, which provided that if aggregate exposure moved above a certain threshold, credit default swaps (CDS) and other credit hedges would be obtained. This hedging was designed to keep our overall risk to manageable levels.

As part of our trading with AIG, we purchased from them protection on super-senior collateralized debt obligation (CDO) risk. This protection was designed to hedge equivalent transactions executed with clients taking the other side of the same trades. In so doing, we served as an intermediary in assisting our clients to express a defined view on the market. The net risk we were exposed to was consistent with our role as a market intermediary rather than a proprietary market participant.

In July 2007, as the market deteriorated, we began to significantly mark down the value of our super-senior CDO positions. Our rigorous commitment to fair value accounting, coupled with our daily transactions as a market maker in these securities, prompted us to reduce our valuations on a real-time basis which we believe we

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[19] Joanna Slater, "How Goldman Changed," *The Globe and Mail*, April 24, 2010, B5.
[20] Ibid.
[21] Ibid.
[22] Ibid.
[23] Ibid.
[24] Ibid.
[25] Farzad and Dwyer, "Goldman Sachs," 31.
[26] Letter to shareholders, in *Goldman Sachs 2009 Annual Report*, 2–9, accessed September 1, 2010, at https://www.goldmansachs.com/investor-relations/financials/archived/annual-reports/2009-complete-annual.pdf.

did earlier than other institutions. This resulted in collateral disputes with AIG. We believe that subsequent events in the housing market proved our marks to be correct—they reflected the realistic values that markets were placing on these securities.

Over the ensuing weeks and months, we continued to make collateral calls, which were based on market values, consistent with our agreements with AIG. While we collected collateral, there still remained gaps between what we received and what we believed we were owed. These gaps were hedged in full by the purchase of CDS and other risk mitigants from third parties, such that we had no material residual risk if AIG defaulted on its obligations to us.

In mid-September 2008, prior to the government's action to save AIG, a majority of Goldman Sachs' exposure to AIG was collateralized, and the rest was covered through various risk mitigants. Our total exposure on the securities on which we bought protection was roughly $10 billion. Against this, we held roughly $7.5 billion in collateral. The remainder was fully covered through hedges we purchased, primarily through CDS for which we received collateral from our market counterparties. Thus, if AIG had failed, we would have had the collateral from AIG and the proceeds from the CDS protection we purchased and, therefore, would not have incurred any material economic loss.

In this regard, a list of AIG's cash flows to counterparties indicates little about each bank's credit exposure to the company. The figure of $12.9 billion that AIG paid to Goldman Sachs post the government's decision to support AIG is made up as follows:

> $4.8 billion for highly marketable U.S. Government Agency securities that AIG had pledged to us in return for a loan of $4.8 billion. They gave us the cash, we gave them back the securities. If AIG hadn't repaid the loan, we would simply have sold the securities and received the $4.8 billion of value in that way.
>
> An additional $2.5 billion that AIG owed us in collateral from September 16, 2008 (just after the government's action) through December 31, 2008. This represented the additional collateral that was called as markets continued to deteriorate and was consistent with the existing agreements that we had with AIG.
>
> $5.6 billion associated with a financing entity called Maiden Lane III, which was established in mid-November 2008 by the Federal Reserve to purchase the securities underlying certain CDS contracts and to cancel those contracts between AIG and its counterparties. The Federal Reserve required that the counterparties deliver the cash bonds to Maiden Lane III in order to settle the CDS contracts and avoid any further collateral calls. Consequently, the cash flow of $5.6 billion between Maiden Lane III and Goldman Sachs reflected the Federal Reserve paying Goldman Sachs the face value of the securities (approximately $14 billion) less the collateral (approximately $8.4 billion) we already held on those securities. Goldman Sachs then spent the vast majority of the money we received to buy the cash bonds from our counterparties in order to complete the settlement as required by the Federal Reserve.

While our direct economic exposure to AIG was minimal, the financial markets, and, as a result, Goldman Sachs and every other financial institution and company, benefited from the continued viability of AIG. Although it is difficult to determine what the exact systemic implications would have been had AIG failed, it would have been extremely disruptive to the world's already turbulent financial markets.

Our Activities in the Mortgage Securitization Market

Another issue that has attracted attention and speculation has been how we managed the risk we assumed as a market maker and underwriter in the mortgage securitization market. Again, we want to provide you with the facts.

As a market maker, we execute a variety of transactions each day with clients and other market participants, buying and selling financial instruments, which may result in long or short risk exposures to thousands of different instruments at any given time. This does not mean that we know or even think that prices will fall every time we sell or are short, or rise when we buy or are long.

In these cases, we are executing transactions in connection with our role of providing liquidity to markets. Clients come to us as a market maker because of our willingness and ability to commit our capital and to assume market risk. We are responding to our clients' desire either to establish, or to increase or decrease, their exposure to a position on their own investment views. We are not "betting against" them.

As a market maker, we assume risk created through client purchases and sales. This is fundamental to our role as a financial intermediary. As part of facilitating client transactions, we generally carry an "inventory" of securities. This inventory comprises long and short positions. Its composition reflects the accumulation of customer trades and our judgments about supply and demand or market direction. If a client asks us to transact in an instrument we hold in inventory, we may be able to give the client a better price than it could find elsewhere in the market and to execute the order without potential delay and price movement. This inventory represents a risk position that we manage continuously.

In so doing, we must also manage the size of our inventory and keep exposures in line with risk limits. We believe that risk limits are an important tool in managing our firm. They are established by senior management, and scaled to be in line with our financial resources (capital, liquidity, etc.). They help ensure that regardless of the opinions of an individual or business unit about market direction, our risk must remain within prescribed levels. In addition to selling positions, we use other techniques to manage risk. These include establishing offsetting positions ("hedges") through the same or other instruments, which serve to reduce the firm's overall exposure.

In this way, we are able to serve our clients and to maintain a robust client franchise while prudently limiting overall risk consistent with our financial resources.

Through the end of 2006, Goldman Sachs generally was long in exposure to residential mortgages and mortgage-related products, such as residential mortgage-backed securities (RMBS), CDOs backed by residential mortgages and credit default swaps referencing residential mortgage products. In late 2006, we began to experience losses in our daily residential mortgage-related products P&L as we marked down the value of our inventory of various residential mortgage-related products to reflect lower market prices.

In response to those losses, we decided to reduce our overall exposure to the residential housing market, consistent with our risk protocols—given the uncertainty of the future direction of prices in the housing market and the increased market volatility. The firm did not generate enormous net revenues or profits by betting against residential mortgage-related products, as some have speculated; rather, our relatively early risk reduction resulted in our losing less money than we otherwise would have when the residential housing market began to deteriorate rapidly.

The markets for residential mortgage-related products, and subprime mortgage securities in particular, were volatile and unpredictable in the first half of 2007. Investors in these markets held very different views of the future direction of the U.S. housing market based on their outlook on factors that were equally available to all market participants, including housing prices, interest rates, and personal income and indebtedness data. Some investors developed aggressively negative views on the residential mortgage market. Others believed that any weakness in the residential housing markets would be relatively mild and temporary. Investors with both sets of views came to Goldman Sachs and other financial intermediaries to establish long and short exposures to the residential housing market through RMBS, CDOs, CDS, and other types of instruments or transactions.

The investors who transacted with Goldman Sachs in CDOs in 2007, as in prior years, were primarily large, global financial institutions, insurance companies and hedge funds (no pension funds invested in these products, with one exception: a corporate-related pension fund that had long been active in this area made a purchase of less than $5 million). These investors had significant resources, relationships with multiple financial intermediaries and access to extensive information and research flow, performed their own analysis of the data, formed their own views about trends, and many actively negotiated at arm's length the structure and terms of transactions.

We certainly did not know the future of the residential housing market in the first half of 2007 any more than we can predict the future of markets today. We also did not know whether the value of the instruments we sold would increase or decrease. It was well known that housing prices were weakening in early 2007, but no one—including Goldman Sachs—knew whether they would continue to fall or to stabilize at levels where purchasers of residential mortgage-related securities would have received their full interest and principal payments.

Although Goldman Sachs held various positions in residential mortgage-related products in 2007, our short positions were not a "bet against our clients." Rather, they served to offset our long positions. Our goal was, and is, to be in a position to make markets for our clients while managing our risk within prescribed limits.[27]

[27] Ibid., 7–9.

In their *Bloomberg Businessweek* article on April 12, 2010, Robert Farzad and Paula Dwyer[28] investigated the positions taken by Goldman's senior executives. In conclusion, the authors state,

> Business is booming, but Goldman, which once prided itself on avoiding the ostentations and on making money for the long haul, is a different firm, with a perception problem that mere explanation can't solve. In committing to market-making at all costs, the firm has opened itself up to forces beyond its control. The Question is: Has Goldman Sachs shorted itself?

Questions

1. Based on the conflicts of interest raised in the case, has Goldman Sachs, in effect, shorted itself? Explain why and why not.
2. How should Goldman Sachs have handled each conflict of interest?
3. If Goldman Sachs really is innocent of all conflicts, why has the firm's reputation suffered?
4. Referring to the outrage over the apparent abuse of AIG, Farzad and Dwyer ask the question, "If the firm could just write a multibillion-dollar check to erase the outrage—deserved or not—over the AIG payout and be done with the public agony, wouldn't it just do it?"[29] What would your answer be? Provide your reasoning for and against.
5. Is it appropriate for Goldman Sachs to "bet against their clients" through their investment activities?
6. One of Goldman's main arguments in their defense is that their intentions were good—they did what they did in response to client requests, thus facilitating markets and making the world a better place.
   a. Is the "good intention" argument sufficient to claim actions following from it are ethical? Why and why not? Remember the saying, "The road to hell is paved with good intentions."
   b. Is there something in addition to good intentions that Goldman Sachs would have been wise to consider in its decision making?
7. How would you have advised Goldman Sachs's executives to have handled this crisis better?
8. What would an appropriate level of bonus payments be for Goldman Sachs as a whole?
9. Would bonuses paid in Goldman Sachs stock be more appropriate than those paid in cash?

[28] Ibid., dated April 1, 2010, on the Web but published in the April 12, 2010, edition of *Bloomberg Businessweek*.
[29] Ibid.

LIBOR Manipulations Cause Widespread Impacts

Ethics Case

On any given day, a bank may have either a surplus or a deficiency of cash. When this occurs, banks tend to lend to and borrow from other banks at a negotiated rate of interest. These interbank loans could be as short as one day and as long as several months.

The interest rate charged on these interbank loans is estimated by various banks and averaged every day by the British Banking Association (BBA) to create a benchmark interest rate called LIBOR. Eighteen of the world's largest banks submit information about their borrowing costs. The BBA then determines the LIBOR rates based on those submissions. LIBOR in turn is used as a benchmark rate to price more than $800 trillion of securities and loans around the world, including swaps, derivatives, mortgages, and corporate and consumer loans. In September 2012, the United Kingdom's Financial Services Authority (FSA) announced that the BBA would no longer be administering LIBOR because of a scandal. This LIBOR scandal has had a significant impact on several banks.

Barclays Bank

In June 2012, Barclays Bank PLC admitted to wrongdoing and was fined £290 million ($453 million) for artificially manipulating the LIBOR rate from 2005 to 2009. The bank paid £59.5 million to the FSA, £102 million to the U.S. Department of Justice, and £128 million to the Commodity Futures Trading Commission. The next month, Marcus Agius, chairman of the bank; Robert Diamond, CEO; and Jerry del Missier, COO, all resigned. Diamond agreed to forgo his £20 million bonus for 2012, but he was still entitled to his £2 million pension.

Barclays admitted that it reported artificially high (or low) borrowing costs when it wanted the LIBOR rate to be high (or low). For example, in 2007, it made submissions indicating high borrowing costs, while in 2008, during the credit crisis, the bank began to underreport its costs of borrowing. Part of the reason for these incorrect submissions was to create the false impression that the bank was financially healthier than it really was. In October 2008, the Royal Bank of Scotland and Lloyds Banking Group were partially nationalized through bailout money provided by the U.K. government. There was widespread concern at Barclays that it would be next. The bank wanted to indicate that it was financially viable to forestall a government takeover.

During this period, there was media speculation concerning the true position of the bank, although a Barclays compliance officer assured the BBA that its submissions were "within a reasonable range." There was also widespread concern that LIBOR was being manipulated.

Later, when the FSA report on the scandal was released, it stated that Barclays' derivative traders (who could make profitable trades based on a manipulated LIBOR) made 257 requests of other banks to misstate LIBOR submissions between January 2005 and June 2009. In addition, in November 2008, the BBA issued a draft report on the guidelines for LIBOR submissions that included a recommendation that submissions be audited as part of compliance. Barclays ignored the guidelines until June 2010, when the bank implemented new policies, one of which required the reporting of any attempt to influence LIBOR by either internal or external parties.

UBS

In December, the Swiss bank UBS paid £940 million ($1.5 billion) in penalties for its role in the LIBOR scandal. This was more than twice the fine paid by Barclays Bank. UBS also admitted to manipulating LIBOR, EURIBOR (the Eurozone rate), and TIBOR (the Tokyo rate) from 2005 to 2010. The bank said that all the employees involved in the manipulations were no longer with UBS, including 35 who left in 2012. In February 2013, the bank announced that it was reducing investment bankers' bonuses by a third in order to recoup some of the fine.

At UBS, brokers were allowed to make the LIBOR submissions, creating direct conflicts of interest. Derivate traders could make a lot of money if they knew what LIBOR would be in advance of it being published. Traders boasted in chat forums and through email about how successful they were at manipulating the rate. "Think of me when yur on yur yacht in Monaco," one broker wrote. Another said that he was "getting bloody good" at rate rigging. Another allegedly said that LIBOR "is too high (be)cause I have kept it artificially high."

There were at least 2,000 manipulations designed to simply enrich the brokers themselves. This was collusion on a grand scale. According to the FSA, the manipulations involved at least 45 people, including UBS employees as well as external brokers. In one case, the bank paid £15,000 every three months to outside brokers to assist in the manipulations.

UBS also admitted that management had asked staff to submit artificially low LIBOR borrowing costs during the final days of the subprime mortgage crisis in order to give the false impression that the bank was financially more secure than it actually was. Barclays had similarly used LIBOR submissions to artificially maintain market confidence.

Other Banks

In January 2013, the Deutsche Bank of Germany announced that it was recording a €1 billion provision to cover the cost of potential lawsuits concerning LIBOR manipulations. In February 2013, the Royal Bank of Scotland agreed to pay £390 million for its role in the LIBOR scandal.

Subsequent Event and Additional Information

As a result of this scandal, perpetrated by various banks designed to manipulate the LIBOR rate and the valuation of many security prices, the NYSE Euronext will take over the setting of LIBOR beginning in early 2014. A detailed analysis and description of LIBOR and the scandal is contained on pages 107–109.

Questions

1. Which groups were most at fault for the LIBOR manipulations: brokers, traders, bank executives, bank boards of directors, or regulators? Why?
2. What should the regulatory bodies do with the fines paid by these banks? Reduce tax rates for the general public? Use the funds to reeducate investment bankers?
3. Robert Diamond continues to receive his £2 million pension annually. Should he suffer financially by having to forfeit this pension because the LIBOR scandal occurred while he was CEO of Barclays?
4. Both Barclays and UBS reduced the bonuses of current employees to help pay part of the fines that occurred because of the actions of former employees. Is this fair?

5. The rate manipulations seemed to be systemic to the industry because so many banks were involved. What can be done to curtail such widespread unethical practices within an industry?
6. Why weren't the directors of the banks that had caused the scandal fined or jailed? Should they have been?
7. Why should members of the public trust the banks that were involved in manipulating the LIBOR rate?

Sources: D. Cimilluca, M. Colchester, and S. S. Munoz, "No Bonus for Barclay's Ex-CEO," *The Globe and Mail*, July 11, 2012; D. Enrich, and Eaglesham, "UBS Admits Rigging Rates in 'Epic' Plot," *Wall Street Journal*, December 20, 2012; "Timeline: Libor-Fixing Scandal," *BBC News Business*, February 6, 2013; "UBS Fined $1.5bn for Libor Rigging," *BBC News Business*, December 19, 2012.

General Motors Ignores Obvious Ignition Faults

Ethics Case

On a fateful day in 2001, a GM engineer realized during preproduction testing of the Saturn Ion that there was a defect that caused the small car's engine to stall without warning.[1] This switch was approved in 2002 by an engineer, Raymond DiGeorgio, who said he knew the switch was substandard, but "he did not think it could endanger lives."[2] The defect—that would allow the switch to disengage when a heavy keychain was jiggled by a knee or a pothole—was discovered again when the Chevrolet Cobalt replaced the Chevrolet Cavalier in 2004,[3] but GM apparently did not realize the full significance of the problem until late 2013[4]—*that the defect would disable the car's power-assisted steering, brakes, and airbags, and over 150 people would die as a result.* How could this happen at one of the world's largest carmakers?

When the engine stops in a car equipped with power steering and brakes, the driver suddenly has to exert almost superhuman strength to turn the car or to stop it, and the airbags may not work. When a moving car stalls without warning, the driver instantly finds that she or he is driving the equivalent of a block of concrete on wheels. Even if the driver is not stunned by the transition, the direction of the car and its speed often cannot be controlled by a person of normal strength. Even abnormal strength cannot activate airbags if they are electronically enabled, which GM's were. The driver and passengers usually just have to go wherever the car is headed without the protection of brakes and airbags. No wonder many people died or were injured.

In March 2005, GM rejected fixing the ignition switch because "it would be too costly and take too long."[5] Instead, GM sent a bulletin to its dealers warning that the ignition switch could fail when "the driver is short and has a large and/or heavy key chain … the customer should be advised of this potential and should … [remove] unessential items from their key chain."[6] Later estimates would place the cost of the fix at 57 cents per switch.[7]

However, a GM engineer, Raymond DiGeorgio, redesigned the switch in 2006 but did not change the part number, which was "very unusual"[8] and against GM policy.[9] Nor did he tell anyone.[10] The redesigned switch apparently solved the problem in some cars built

[1] Interestingly, the ignition switch for the Cadillac Catera, a high-quality GM small car, was redesigned at the time to avoid these ignition faults. The Catera design was not implemented on other cars until 2008 and was later found to be below GM standards. See footnote 9.

[2] Jessica Dye, "Ex-GM Engineer Acknowledges 'Mistakes' Made over Ignition Switch," Reuters, January 15, 2016, accessed February 27, 2016, at http://www.reuters.com/article/us-gm-recall-trial-idUSKCN0UT2DF.

[3] Tanya Basu, "Timeline: A History of GM's Ignition Switch Defect," June 18, 2014, published March 31, 2014, accessed February 27, 2016, at http://www.npr.org/2014/03/31/297158876/timeline-a-history-of-gms-ignition-switch-defect.

[4] Ibid.

[5] Ibid

[6] Ibid.

[7] "GM Recall Linked to 57-Cent Ignition Switch Component," *Associated Press*, April 1, 2014, updated April 2, 2014, accessed February 28, 2016, at http://www.cbc.ca/news/business/gm-recall-linked-to-57-cent-ignition-switch-component-1.2593930.

[8] Dye, "Ex-GM Engineer Acknowledges 'Mistakes' Made over Ignition Switch."

[9] Todd Wasserman, "How One GM Engineer's Decisions Helped Lead to 5.8 Million Recalls," June 17, 2014, accessed February 27, 2016, at http://mashable.com/2014/06/17/gm-engineer-ray-degiorgio/#eOywuU1kDqq8.

[10] Ibid.

after 2006, but since the part number was not changed, National Highway Traffic Safety Association (NHTSA) investigators in 2007 and 2010 did not discover the link between the faulty switch and the crashes and deaths.[11] Later, in 2016, GM admitted that these redesigned switches still didn't meet their minimum standards so cars produced between 2008–2011 were also defective.[12]

By the time the subprime lending crisis became a reality in 2007–2008, GM was in financial difficulty and was in need of a bailout, as were some other automakers, to preserve the jobs of their employees as well as those of their suppliers. Part of GM's recovery plan involved it going into bankruptcy and emerging as a "new" GM to allow it to shed its liabilities as of June 1, 2009, including some of the liabilities to people injured due to the faulty ignition switches.[13]

When the full fury of the public and outraged lawmakers surfaced in 2014, the GM Board of Directors commissioned a report by Anton R. Valukas, who had earlier been called upon to investigate the Enron scandal. His 325-page report, dated May 29, 2014, provides many details about the individuals and processes involved in this tragedy.[14] One of the observations made concerned GM's method for dealing with difficult issues like the faulty ignition switch. He reported:

> While GM heard over and over from various quarters including customers, dealers, the press, and their own employees—that the car's ignition switch led to moving stalls, group after group, committee after committee with GM that reviewed the issue failed to take action, or acted too slowly. Although everyone had responsibility to fix the problem, nobody took responsibility. It was an example of what one top executive described as the "GM nod," when everyone nods in agreement to a proposed plan of action, but then leaves the room and does nothing.

In January 2014, Mary Barra became the CEO of GM. She learned of the faulty ignition switch on January 31, 2014. Since that time, she has had to steer GM through the crisis, the lawsuits, the public hearings, and the recall of millions of cars. Even with the 2008 bankruptcy, GM faced lawsuits of approximately $1 billion[15] and refit costs of hundreds of millions of dollars, not to mention dealing with the loss of reputation and future sales. For her role in leading the company in 2014, Mary was paid a "base salary of $1.6m, and granted stock awards worth more than $13.7m that she cannot cash in for several years."[16]

Questions

1. Why didn't GM act effectively on suspicions that their ignition switches were faulty?
2. Who was at fault for the deaths and injuries involved, and why?
3. Should a company be able to escape liability for harming individuals by declaring bankruptcy?
4. Should any GM personnel go to jail over the ignition switch failures? If so, whom?
5. Would you trust GM enough to buy one of their cars in the future?
6. Was Mary Barra paid enough for the job she was required to do?

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[11] Basu, "Timeline."

[12] Nick Bunkley, "Lawmakers ID Engineer behind '06 GM Switch Redesign," *Automotive News*, March 31, 2014, accessed February 27, 2016, at http://www.autonews.com/article/20140331/OEM11/140339971/lawmakers-id-engineer-behind-06-gm-switch-redesign.

[13] Basu, "Timeline."

[14] Anton R. Valukas, "General Motors Report regarding Ignition Switch Recall," *Washington Post*, May 29, 2014, accessed February 28, 2016, at https://www.washingtonpost.com/apps/g/page/business/general-motors-report-regarding-ignition-switch-recall/1085. See also, for a copy of the report, http://www.npr.org/news/documents/2014/valukas-report-on-gm-redacted.pdf at p. 2.

[15] David Ingram, Nate Raymond, and Joseph White, "GM to Pay $900 Million, Settle U.S. Criminal Case over Ignition Switches—Sources," Reuters, September 17, 2015, https://ca.finance.yahoo.com/news/gm-pay-900-million-settle-004103824.html; Jessica Dye, "GM Also Resolves Civil Lawsuits over Ignition-Switch Defect," Reuters, September 17, 2015, https://ca.finance.yahoo.com/news/gm-resolves-civil-lawsuits-over-192504285.html.

[16] Rupert Neate, "General Motors CEO Mary Barra Paid 80% More Than Predecessor in First Year," *The Guardian*, April 24, 2015, accessed February 28, 2016, at http://www.theguardian.com/business/2015/apr/24/general-motors-mary-barra-first-year-pay.

VW Cheats on Emissions Tests

Ethics Case

In 2006, Mercedes-Benz introduced BlueTEC, an advanced system to trap and neutralize harmful emissions and particulates that allowed Mercedes to market "clean diesel" cars. VW and Audi made agreements to share the technology to enable all three companies to market clean diesels in an attempt to expand the market for diesel cars. If VW and Audi had not joined Mercedes, they would probably have been at a significant competitive disadvantage.

VW, however, being a company of proud employees, started work on their own "clean diesel" system and introduced one in 2009. Unfortunately, VW's new system could operate in compliance with U.S. emission standards only if their engines were adjusted to run at very poor performance and gas usage levels, which were not competitive with the BlueTEC systems already on the market. Motivated by pride and enabled by arrogance and complacency,[1] VW engineers decided to install a computer software switch that, when government emission tests were started, would alter the engine performance characteristics during the tests from a normal high-performance/high-emission setting to a low-emission/low-performance setting. This computer software defeat device allowed VW vehicles to pass the California emission tests, which were the toughest in the United States. In fact, the VW engines produced up to thirty-eight times the allowed pollution levels.[2] Hypocritically, VW's Super Bowl ad showed their engineers sprouting white wings like angels.

Essentially, VW engineers decided to cheat—to defeat the emission tests—with a technical "fix." They *gambled* that no one would find out and/or that there would be little negative reaction. Apparently, top management was unaware of the plan to cheat. Interestingly, this was not the first time that a defeat device had been used. In 1973, VW was fined $120,000 in the United States for using an earlier defeat device, and in 1998, truck engine makers agreed to a $1 billion settlement for a similar instance. But VW tried it again, and when high test results came to light in 2014.

VW's software deception was discovered in 2014 by scientists at West Virginia University who disclosed their results at a public forum. VW's reaction was that the testers did not conduct the tests properly.[3] The U.S. Environmental Protection Agency repeated the tests and questioned VW personnel. This triggered VW's halt of sales of some diesels and the production of others, an internal investigation, and the resignation of the CEO, Martin Winterkorn, as well as a recall of 11 million cars.[4]

In September 2015, VW stock sank by 20% and then another 17%, and $7.3 billion was allocated to cover the recalls, refits, and other costs of the scandal.[5] The amount of fines and the cost of settling civil lawsuits will not be known for some time, although the U.S. Justice Department has sued VW for up to $48 billion.[6] *It is evident that many VW employees and managers knew of this illegal deception of cheating on emissions standards from before 2009 to 2014, thus putting the company at great financial and reputation risk.*

Concern has been expressed that the VW emissions cheating scandal has undermined the vaunted reputation of German engineering, calling into question the traditionally respected Mercedes, BMW, and other brands that employ so many in Germany and abroad. Also, VW's cheating has deeply offended the environmental/sustainability movement, which is very strong

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[1] Armin Mahler, "VW Scandal: Time for German Industry to Abandon Its Arrogance," *Spiegel Online International*, September 30, 2015, http://www.spiegel.de/international/business/vw-scandal-shows-german-companies-are-no-longer-big-league-a-1055098.html.

[2] Guilbert Gates, Josh Keller, Karl Russell, and Derek Watkins, "How Volkswagen Got Away with Diesel Deception," updated October 2, 2015, *New York Times*, http://www.nytimes.com/interactive/2015/09/22/business/international/vw-volkswagen-emissions-explainer.html.

[3] Danny Hakim, Aaron M. Kessler, and Jack Ewing, "As Volkswagen Pushed to Be No. 1, Ambitions Fueled a Scandal," *New York Times*, September 26, 2015, http://www.nytimes.com/2015/09/27/business/as-vw-pushed-to-be-no-1-ambitions-fueled-a-scandal.html.

[4] Ibid.

[5] Jack Ewing, "VW's New Chief Says Scandal Will Cost It More Than Expected," *New York Times*, October 6, 2015, http://www.nytimes.com/2015/10/07/business/international/vw-diesel-emissions-job-cuts.html?_r=0.

[6] Julia Edwards and Georgina Prodhan, "VW Faces Billions in Fines as U.S. Sues for Environmental Violations," *Reuters*, January 5, 2016, accessed January 5, 2016, at https://ca.finance.yahoo.com/news/volkswagen-faces-billions-fines-u-113033762.html.

in Europe, and the governments that backed the "clean diesel" program there. As David Bach has pointed out, "'Clean diesel,' it turns out, is as much a lie as 'clean coal.' Volkswagen's abhorrent behaviour therefore threatens to delegitimise the countless and essential efforts by companies around the world to develop scalable environmental solutions."[7]

Questions

1. Why would VW engineers think they could get away with a defeat device when the technique had been caught twice before?
2. If they thought they would be caught, why did they try the defeat device?
3. Why didn't one of the several design engineers, test engineers, and technicians involved blow the whistle to top management and/or the regulators?
4. VW has a governance system, where the Supervisory Board[8] is different from North American boards of directors. How is it different from North American governance models? The VW governance system does not appear to have a whistleblower encouragement and reporting system. Could the differences in governance have contributed to the decision to cheat, and to keeping it a secret? If so, how?
5. Describe how VW would have to change to institute a culture of integrity.
6. How would VW ensure that their policy on environmental protection is upheld?
7. Should VW engineers, managers, and the CEO be sent to jail? Why or why not?
8. Would you buy a VW? Why or why not?

[7] David Bach, "Seven Reasons Volkswagen Is Worse Than Enron," *FT Confidential Research*, September 27, 2015; see paper copy at http://www.ft.com/cms/s/0/cf9f73e8-62d6-11e5-9846-de406ccb37f2.html#axzz41V16gC Ch. Also available from the *Irish Times* at http://www.irishtimes.com/business/transport-and-tourism/seven-reasons-volkswagen-is-worse-than-enron-1.2369683.

[8] The VW Supervisory Board membership is described at http://annualreport2014.volkswagenag.com/group-management-report/executive-bodies/supervisory-board.html. VW complies with the German Corporate Governance Code in that it is governed by a Management Board and a Supervisory Board instead of a single Board of Directors as is normal in North American corporations. For more information, see http://www.dcgk.de/en/code//foreword.html.

Deutsche Bank—A Cultural Disaster

Ethics Case

Deutsche Bank (DB) is the largest bank in Germany and the world's sixth-largest investment bank.[1] Unfortunately, the bank suffered from lackluster leadership, a poor organizational culture, and a complicated governance structure that resulted in bad business decisions that cost the bank dearly with huge fines, penalties, and financial losses. Because of the investment banking division's poor financial performance and organizational problems, in July 2019, DB announced a restructuring plan costing €7.4 billion and requiring laying off 18,000 employees, or 20% of its workforce, as it exited the investment banking business.[2]

Illegal and Questionable Activities

Since 2008, DB has paid over $9 billion in settlements and fines primarily related to its investment banking activities. This included tax and investor protection violations, securities trading frauds, supporting money laundering activities, as well as helping to rig the London Interbank Borrowing Rate (LIBOR) and its contribution to the 2008 financial crisis. Other improprieties included

[1] Jack Ewing, "Deutsche Bank Co-Chief Executives Resign," *New York Times*, June 7, 2015, https://www.nytimes .com/2015/06/08/business/dealbook/co-chief-executives-of-deutsche-bank-resign.html.

[2] Tim Sims and Hans Seidenstuecker, "Deutsche Bank to Cut 18,000 Jobs in 7.4 Billion Euro Overhaul," *Reuters*, July 7, 2019, https://www.reuters.com/article/us-deutsche-bank-strategy/deutsche-bank-to-cut-18000-jobs-in-7-4-billion-euro-overhaul-idUSKCN1U20J2.

"conspiring to manipulate the price of gold and silver, defrauding mortgage companies, and violating U.S. sanctions by trading in Iran, Syria, Libya, Myanmar, and Sudan."[3] Lesser fines or settlements included data submission deficiencies, accounting fraud or deficiencies, energy market manipulations, and transaction reporting breaches. This staggering record of malfeasance over many years indicates that DB employees regularly and systematically violated the laws of the countries in which it did business.

For example, DB helped Russian oligarchs launder their money through mirrored transactions. A Russian would set up two companies, one in Russia and the other in an offshore tax haven such as the British Virgin Islands. Through a DB broker, the Russian company would buy shares in a Russian company that traded on the Moscow Stock Exchange. The DB broker would then instantly sell those shares on the London Stock Exchange in dollars, pounds, or euros with the proceeds going to the Russian's offshore company. Since the buyer and seller had the same owner, DB was facilitating the Russian buying and selling to himself and thereby converting his Russian rubles into a Western currency.[4] For helping to launder $10 billion out of Russia, the bank paid fines of £163 million in the United Kingdom and $425 million in the United States.[5]

DB assisted in the systematic manipulation of the LIBOR through trader misrepresentations that raised or lowered the benchmark rate in order to profit the bank at the expense of its customers. It paid over $2 billion in fines for this debacle. For its role in the 2008 financial crisis, DB paid $55 million in fines.[6] Most of the misconduct issues at DB occurred in the investment banking unit. Until promoted to co-CEO in 2012, Anshu Jain was in charge of that unit.[7]

Organizational Culture

DB had a culture that encouraged employees to earn high commissions and profits for the bank through misrepresentations and illegal activities. Kevin Rogers, a former employee, said that DB had a historic culture of ruthless internal competition. It was a culture of internal friction and bickering where departments did not trust each other and developed their own way of doing business.[8] As revealed in the Panama Papers and Paradise Papers, for years DB helped its rich clients evade taxes through offshore investments and tax havens.

Nor was there strong oversight by management. The German regulator BAFIN said that DB executives "failed to notice irregularities, failed to investigate suspiciously large profits, failed to implement appropriate controls, [and] failed to apply controls where they existed."[9] Instead, management turned a blind eye to the misconduct of its employees in what Heffernan calls "willful blindness."[10]

Governance Structure

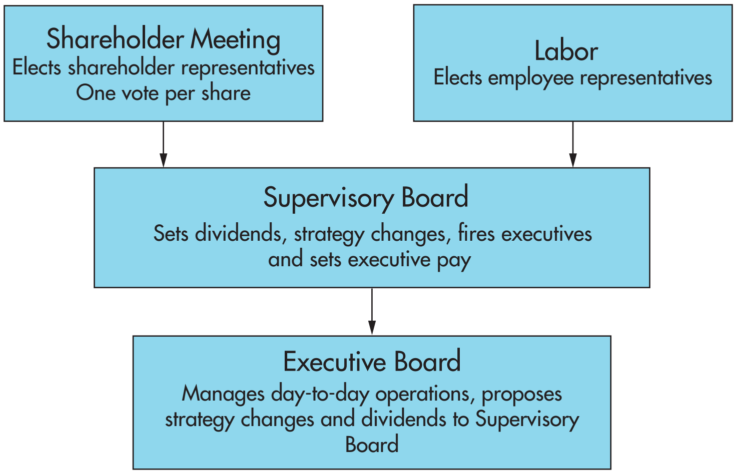
DB had an ineffective and complicated two-tiered governance structure that is represented in Figure C2.2.[11]

Although this structure worked well in other German companies, it did not provide effective oversight at DB. The problems included the following:

- A lack of industry and other relevant expertise and tunnel vision by members of the Supervisory Board
- Low Board remuneration relative to a high hour commitment expected

[3] Ed Caesar, "Deutsche Bank's $10-Billion Scandal: How a Scheme to Help Russians Secretly Funnel Money Offshore Unravelled," *The New Yorker*, August 22, 2016, https://www.newyorker.com/magazine/2016/08/29/deutsche-banks-10-billion-scandal.
[4] Ibid.
[5] Luke Harding, "Deutsche Bank Faces Action over $29bn Russian Money-Laundering Scheme," *The Guardian*, April 17, 2019, https://www.theguardian.com/business/2019/apr/17/deutsche-bank-faces-action-over-20bn-russian-money-laundering-scheme.
[6] Caesar, "Deutsche Bank's $10-Billion Scandal."
[7] Ewing, "Deutsche Bank Co-Chief Executives Resign."
[8] Kevin Rodgers, "Deutsche Bank's Problem: A Historic Culture of Ruthless Internal Competition," *Efinancialcareers*, 2018, https://news.efinancialcareers.com/ca-en/320132/deutsche-bank-culture-competitive.
[9] Francis Coppola, "The Willful Blindness of Deutsche Bank's Management," *Forbes*, July 18, 2015, https://www.forbes.com/sites/francescoppola/2015/07/18/the-willful-blindness-of-deutsche-banks-management/#42383cec615e.
[10] Margaret Heffernan, *Willful Blindness: Why We Ignore the Obvious at Our Peril* (New York: Bloomsbury, 2012), 294.
[11] Dieter Fockenbrock, "Of Laymen and Lemmings: The Flaws of Germany's Corporate Board System," May 28, 2018, https://www.handelsblatt.com/today/companies/of-laymen-and-lemmings-the-flaws-of-germanys-corporate-board-system/23582266.html?ticket=ST-13698834-rxZJfSFCpJ2DbLcDsux5-ap3.

Figure C2.2 Germany's Corporate Board System



Source: Fockenbrock, Dieter. 2018. "Of Laymen and Lemmings: The Flaws of Germany's Corporate Board System," May 28, 2018.

- A German language requirement that made membership unattractive to prospective foreign Supervisory Board members
- A lack of gender diversity
- An acceptance of a top-down culture of secrecy that eschewed questioning top management
- Having co-CEOs (Juergen Fitschen and Anshu Jain) in charge of the bank

Unfortunately, the co-CEOs did not perceive the seriousness of the governance problems. They saw no need to change the culture of DB, and the Supervisory Board did not force them to do so.

Meanwhile, Jain faced criticism about whether he should be leading the bank. Most of the bank's fines and penalties related to its investment banking activities that occurred when Jain was in charge of investment banking. Shortly after the bank paid its $2 billion LIBOR fine in 2015 and reported poor quarterly earnings, Jain resigned as co-CEO. Fitschen retired in 2016.[12]

Reinventing Deutsche Bank

In 2016, the bank gave the assignment of changing the bank's culture to Emma Slatter, the head of strategy in the legal department of DB. She laid out a five-year plan to restore trust in the bank by making DB "less complex, more efficient, less risky and better capitalized."[13] This included the following:

- Eliminating the Executive Board
- Restructuring the bank's business segments to align them with the legal department
- Setting new financial targets, such as capital ratios
- Introducing more women into positions of power
- Improving career development by setting clear measures of job expectations
- Utilizing external advisors to develop a framework for new training programs

Overall, these measures were to support a culture of responsibility. Time will tell if this agenda will be sufficient to change DB's culture.

Questions

1. What were the deficiencies in the bank's corporate culture?
2. Do you think that Slatter's five-year plan will be enough to change the bank's culture?
3. Are there any other measures that can improve the bank's culture?
4. Why do you think that the bank developed a culture of willful blindness that deliberately turned a blind eye to the misconduct of its employees?

[12] Ewing, "Deutsche Bank Co-Chief Executives Resign."
[13] Natasha Bernal, "Reinventing Deutsche Bank," *The Lawyer*, May 2016, 16–21.

Theranos—A Classic "Fake It Until You Make It" Fraud

Ethics Case

Theranos Inc. was a biotech company established by Elizabeth Holmes in 2003. Fresh out of university and eager to make her mark on the world, she began marketing a novel blood-testing technology. After soaring high for years, it began to unravel in 2015 when investigative reporting by John Carreyrou of *The Wall Street Journal* exposed critical flaws in the company's product. Despite raising over $700 million from high-profile investors, including Rupert Murdoch (owner of Fox News and several other news outlets), Betsy DeVos (former U.S. Secretary of Education), and the Walton family (owners of Walmart), the company's valuation plummeted from a peak of $9 billion to near bankruptcy as it became evident that its proprietary device, the Edison, could not perform the wide array of tests Holmes had promised.

Central to the scandal were Elizabeth Holmes, Theranos' charismatic CEO, and Ramesh "Sunny" Balwani, her second-in-command and business partner. Together, they perpetuated false claims about the new blood tester's capabilities to investors, regulators, and the public. The revelations not only led to criminal charges against Holmes and Balwani but also rocked Silicon Valley's culture of "fake it till you make it." Financial markets became wary of start-ups over-promising revolutionary breakthroughs, and regulatory bodies, such as the Food and Drug Administration (FDA) and the Centers for Medicare & Medicaid Services (CMS), increased scrutiny over laboratory-developed tests (LDTs). The healthcare industry faced a reckoning, highlighting the need for transparency and ethical oversight in health innovation.

Elizabeth Holmes' behavior is now regarded as a classic example of a charisma-fueled fraud scheme veiled by illusions of credibility. Holmes leveraged her charisma and the endorsement of reputable figures to establish credibility. She assembled a board of directors comprising esteemed individuals such as former Secretaries of State Henry Kissinger, and George Shultz, former Secretary of Defense William Perry, and retired U.S. Navy Admiral Gary Roughead. The presence of these distinguished figures lent an aura of legitimacy to Theranos, persuading investors of the company's potential.

Holmes also capitalized on personal connections to secure financing initially from venture capitalist Tim Draper, the father of a childhood friend. She parlayed her strategic networking, the allure of revolutionary technology, and the endorsement of prominent figures to attract investments from sophisticated institutional investors who lost substantial sums: Rupert Murdoch lost $125 million, the DeVos family lost $100 million, and the Walton family lost tens of millions.

Holmes and former Theranos president Ramesh "Sunny" Balwani were charged by the U.S. Securities and Exchange Commission with engaging in an elaborate, years-long fraud, deceiving investors into believing that their key product—a portable blood analyzer—could conduct comprehensive blood tests from finger drops of blood. Elizabeth Holmes was convicted on January 3, 2022, of four counts of fraud against investors. Subsequently, on November 18, 2022, she received a prison sentence of 11 years and 3 months, along with a fine and a three-year supervised release period. Holmes commenced her sentence on May 30, 2023, at the Federal Prison Camp in Bryan, Texas. In May 2023, she was also ordered to pay $452 million in restitution to the victims of the fraud, a responsibility she shares with Balwani.

Ramesh "Sunny" Balwani, former president and COO of Theranos, faced similar legal repercussions. On July 7, 2022, he was found guilty on all 12 counts of fraud, including defrauding both investors and patients. He was sentenced on December 7, 2022, to 12 years and 11 months in prison, followed by three years of probation. Balwani began serving his sentence on April 20, 2023, at the Federal Correctional Institution, Terminal Island, in San Pedro, California.

These legal outcomes underscore the severe consequences of ethical breaches in business practices, particularly in the healthcare sector, where the stakes involve both financial integrity and patient well-being. The Theranos case serves as a cautionary tale, highlighting the imperative for transparency, honesty, and adherence to ethical standards in corporate governance.

The Theranos scandal has prompted significant discussions regarding regulatory oversight of laboratory-developed tests (LDTs). Historically, the U.S. Food and Drug Administration (FDA) exercised "enforcement discretion" over LDTs, meaning these tests, when designed and used within a single laboratory, were not subject to the same pre-market evaluations as other diagnostic tools. This regulatory gap allowed Theranos to market its blood-testing services without a comprehensive FDA review, contributing to the dissemination of inaccurate test results that misled both patients and healthcare providers.

In response to the shortcomings exposed by the Theranos case, there have been calls to enhance regulatory frameworks governing LDTs. The FDA has acknowledged that the complexity and prevalence of LDTs have increased since the 1970s, necessitating a reassessment of oversight mechanisms to ensure patient safety and test accuracy. Proposed measures include implementing a risk-based framework for pre-market review of LDTs, thereby closing existing loopholes that permit unvalidated tests to reach the market (Ladders, 2024).

Despite these discussions, as of December 2024, no substantial legislative or regulatory reforms have been enacted to address these concerns comprehensively. The absence of decisive action underscores the challenges in balancing innovation in diagnostic technologies with the imperative of safeguarding public health. The Theranos debacle continues to serve as a catalyst for ongoing debates about the adequacy of current regulatory practices and the need for reforms to prevent similar ethical and business failures in the future.

In a broader context, the downfall of Theranos has not deterred innovation in blood-testing technologies. Companies such as Becton Dickinson and Babson Diagnostics introduced new methods that allow for routine tests using small blood samples from fingertips, aiming to provide less invasive alternatives to traditional venous blood draws. These advancements indicate a continued demand for more efficient and patient-friendly diagnostic options, albeit pursued with greater emphasis on accuracy and regulatory compliance.

Required:

1. Why would an innovator wanting to raise funds fake the capabilities of the invention? Is such fakery justified? Why and why not?
2. What are the downsides fraudsters could face if they are caught?
3. Why were Holmes and Balwani believed?
4. Do the duped investors have any right to recover their losses? If so, from whom? If not, why not?
5. Should the Theranos' Board of Directors be held responsible for the fraud of their employees, Holmes and Balwani?
6. Would tighter regulations have helped, and why? What types of regulation would you recommend?

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The FTX Bankruptcy Scandal: Governance & Ethical Failures Lead to Financial Catastrophe

Ethics Case

The collapse of FTX stands as a seminal case study in financial mismanagement, ethical disregard, and regulatory inadequacy within the burgeoning cryptocurrency industry. FTX was a platform where people could trade digital currencies and financial products tied to cryptocurrency. Established in 2019 by Sam Bankman-Fried (known as SBF), FTX rapidly grew to a valuation of $32 billion before declaring bankruptcy in November 2022. An intricate web of decisions and structural flaws culminated in the downfall of FTX. The ensuing scandal was due to three critical issues: (1) the deliberate misuse of customer funds by transferring billions from FTX to Alameda Research for speculative trading, (2) the systemic lack of governance structures such as financial oversight and formal approval processes, and (3) the over-reliance on the FTX Token (FTT) as a financial instrument, which created a fragile and unsustainable financial model. On March 28, 2024, "Samuel Bankman-Fried, also known as SBF, 32, of Stanford, California, was sentenced … to 25 years in prison, three years of supervised release, and ordered to pay $11 billion in forfeiture for his orchestration of multiple fraudulent schemes."[1]

The Genesis of FTX and Alameda Research

Sam Bankman-Fried (SBF), an MIT graduate and former quantitative trader at Jane Street Capital, founded Alameda Research in 2017 to exploit arbitrage opportunities in the cryptocurrency market. Alameda quickly gained notoriety for its high-frequency trading strategies and substantial returns. This success catalyzed the establishment of FTX by SBF in 2019, which was envisioned as a cutting-edge platform for cryptocurrency derivatives trading. Bankman-Fried positioned FTX as an industry innovator, leveraging user-centric features such as tokenized stocks, leveraged tokens, and novel risk-management mechanisms (Lewis, 2023).[2]

Alameda's foundational role in FTX's development cannot be overstated. Early profits from Alameda directly financed FTX's rapid expansion, creating a deep financial and operational dependency between the two entities. This interdependence was not just a strategic partnership. It permitted collusion, where the lines between Alameda's trading activities and FTX's exchange operations were deliberately blurred. Critics frequently raised concerns about market manipulation, alleging that Alameda leveraged privileged access to FTX's trading data to gain an unfair advantage. The aggressive and often opaque strategies employed by Alameda, coupled with these allegations, exposed significant ethical and operational problems (*Wall Street Journal*, 2022). Despite these controversies, Bankman-Fried's carefully cultivated public image and strategic foresight secured substantial investor confidence, allowing FTX to grow at an unprecedented rate while concealing its underlying fragility.

Trajectory of Growth and Financial Milestones

FTX's meteoric rise was underpinned by successive funding rounds that attracted prominent institutional investors. The July 2021 Series B funding round secured $900 million from entities including Sequoia Capital, SoftBank, and the Ontario Teachers' Pension Plan, valuing the company at $18 billion (Reuters, 2022). A subsequent funding round in early 2022 elevated FTX's valuation to $32 billion. At its zenith, FTX handled daily trading volumes of cryptocurrencies exceeding $10 billion, ranking among the largest cryptocurrency exchanges globally (Betz, 2023).

Strategic marketing initiatives amplified FTX's visibility. High-profile sponsorships—notably the renaming of the Miami Heat's arena to FTX Arena—and endorsements by celebrities such as sports figures

[1] Press Release, Samuel Bankman-Fried Sentenced to 25 Years for His Orchestration of Multiple Fraudulent Schemes, Department of Justice, Thursday, March 28, 2024, accessed on Jan. 31, 2025, at https://www.justice.gov/opa/pr/samuel-bankman-fried-sentenced-25-years-his-orchestration-multiple-fraudulent-schemes#:~:text=Samuel%20Bankman%2DFried%2C%20also%20known,orchestration%20of%20multiple%20fraudulent%20schemes.

[2] Tokenized stocks refer to digital representations of traditional stocks that exist on a blockchain. These tokens allow individuals to trade fractional shares of a company, enabling broader access to stock ownership by lowering the barriers of minimum investment and facilitating easier, borderless transactions. Leveraged tokens work similarly to traditional ETF's that amplify exposure to certain securities. They allow traders to gain leveraged exposure to an asset without the need for traditional margin trading or complex derivatives. Refer to Binance Academy https://academy.binance.com/en/ for further information.

Tom Brady and Steph Curry reinforced its brand identity. These efforts facilitated geographic expansion into over 20 jurisdictions, consolidating FTX's reputation as a global leader in digital asset trading. However, this rapid expansion masked significant structural and ethical vulnerabilities.

Governance Failures and Ethical Breaches

The unraveling of FTX was precipitated by significant lapses in governance and ethics. A critical dimension of the scandal was the opaque relationship between FTX and Alameda Research. Despite public assurances of operational independence, investigative findings revealed extensive commingling of funds. Alameda's speculative trading activities were allegedly financed by billions of dollars in FTX customer deposits, in clear violation of fiduciary norms (Wall Street Journal, 2022).

Internal controls were conspicuously absent. Bankruptcy proceedings exposed FTX's disorganized financial record-keeping and the informal approval processes for significant expenditures that were often facilitated via Slack emojis. The absence of a formal board of directors and a lack of independent oversight further compounded these deficiencies. These governance failures created an environment where unethical practices were unchecked (Bankruptcy Filings, 2022).

Bankman-Fried's leadership style exacerbated these issues. Operating as an all-powerful authority, he eschewed conventional risk management frameworks, favoring ad hoc decision-making. This autocratic approach marginalized dissenting voices and stifled institutional accountability, contributing to the organization's systemic vulnerabilities.

FTT Token Dynamics and Financial Fragilities

The FTX crypto-token, FTT, reflected the exchange's financial architecture and ultimate fragility. Initially marketed as a utility token that granted fee discounts and other platform benefits, FTT became central to FTX's liquidity strategies. Both FTX and Alameda relied extensively on FTT as collateral for leveraged positions and loans. In November 2022, a CoinDesk exposé revealed that a substantial portion of Alameda's balance sheet consisted of illiquid FTT tokens, triggering widespread concern over its solvency (Betz, 2023).

This overreliance on FTT was a systemic flaw in FTX's financial model. Analysts criticized the circularity inherent in FTT's valuation, which depended on the market confidence in FTX itself. Much like fiat currency, there was no physical backing such as gold, supporting the value of FTX. The value is purely derived from what people are willing to pay. However, in FTX's case, the value of an FTT was largely dependent on the high volume of trading between FTX and Alameda, which SBF controlled. Since he set the price of most trades of FTT by himself, this self-referential framework rendered the price of FTT highly vulnerable to increased trading volumes by others, and when a subsequent erosion of confidence caused others to sell their FTT holdings, the value of an FTT sank, and a liquidity crisis arose that exposed the fragility of the arrangement.

Binance's Intervention and the Collapse of FTX

The crisis reached its zenith when Binance, a dominant cryptocurrency exchange, announced its intention to liquidate its FTT holdings due to concerns about FTX's financial stability. Binance CEO Changpeng Zhao's public statements intensified market panic, precipitating a mass withdrawal of approximately $6 billion in funds from FTX within just 72 hours. Within days, FTX was unable to honor withdrawal requests, culminating in its November 11, 2022, bankruptcy filing (Reuters, 2022).

The competitive dynamics between Binance and FTX added a strategic dimension to this sequence of events. Binance had initially been an investor in FTX but divested its stake, receiving FTT tokens as part of the settlement. The public rivalry between the two exchanges likely influenced the timing and impact of Binance's actions, compounding FTX's challenges and accelerating its demise.

Regulatory and Legal Repercussions

The fallout from FTX's collapse reverberated across global regulatory frameworks, catalyzing significant legal and policy responses. In the United States, prosecutors leveled an array of charges against Bankman-Fried, including wire fraud, securities fraud, and money laundering. These charges stemmed from revelations of systemic violations of anti-money laundering statutes and consumer protection laws. The U.S. Department of Justice emphasized the unprecedented scale of the malfeasance ($32 billion), framing the case as a watershed moment for cryptocurrency regulation. Congressional hearings followed, with policymakers scrutinizing gaps in existing legislation and proposing new measures to enhance oversight of digital asset platforms (Department of Justice, 2023).

Internationally, the ramifications were equally profound. In the European Union, the scandal injected urgency into the deliberations surrounding the Markets in Crypto-Assets Regulation (MiCA). This regulatory framework, designed to harmonize cryptocurrency oversight across member states, gained bipartisan support as legislators sought to mitigate risks highlighted by the FTX collapse. European regulators underscored the need for stringent capital requirements, enhanced transparency, and robust consumer protections.

In Asia, jurisdictions such as Singapore and Japan launched independent investigations into FTX's local operations. Singaporean authorities, in particular, faced criticism for their initial endorsement of FTX, prompting a reevaluation of the Monetary Authority of Singapore's vetting procedures for cryptocurrency entities. Meanwhile, Japanese regulators emphasized the importance of segregating customer funds from operational accounts, a principle conspicuously absent in FTX's practices.

The global response underscores the transnational implications of cryptocurrency malfeasance and highlights the necessity of coordinated regulatory efforts to safeguard financial stability.

Stakeholder Consequences

The collapse of FTX inflicted severe financial damage on hedge funds and pension funds, many of which had direct or indirect exposure to the exchange. Notably, the Ontario Teachers' Pension Plan, which invested \$95 million in FTX, was forced to write off its entire stake, leaving pensioners questioning the due diligence of their fund managers (*Financial Times*, 2023). Hedge funds with significant exposure to FTX's ecosystem, including Alameda Research, faced substantial liquidity challenges, with some forced into unwinding positions at a loss. The incident highlighted the vulnerability of institutional investors in speculative markets and underscored the need for enhanced risk assessment in emerging asset classes (Betz, 2023).

Private equity firms that invested in FTX during its meteoric rise also faced significant reputational and financial setbacks. Prominent investors such as Sequoia Capital and SoftBank wrote down their FTX investments to zero, collectively losing hundreds of millions of dollars (Reuters, 2022). Beyond the immediate financial losses, the scandal raised questions about the thoroughness of their investment vetting processes. Critics argued that the allure of rapid growth and outsized returns blinded these firms to glaring red flags, including the absence of robust governance structures within FTX (*Wall Street Journal*, 2022).

The collapse of FTX disrupted philanthropic initiatives associated with Sam Bankman-Fried's advocacy for effective altruism. The FTX Foundation and Future Fund, which had pledged hundreds of millions of dollars to various charitable causes, ceased operations following the bankruptcy filing. This left numerous nonprofits and research institutions in financial limbo, with some projects abruptly terminated due to funding shortfalls (Lewis, 2023). The scandal cast a shadow over the broader effective altruism movement, raising ethical concerns about the source of philanthropic funds and their sustainability (*Financial Times*, 2023).

The ripple effects of FTX's collapse extended to ancillary businesses, including service providers, technology vendors, and smaller cryptocurrency firms dependent on FTX's platform. Payment processors and legal firms that had contracts with FTX faced revenue losses, while technology providers supplying trading infrastructure encountered disruptions (Reuters, 2022). Moreover, smaller exchanges and startups reliant on FTX's liquidity network struggled to maintain operations, exacerbating instability in the cryptocurrency ecosystem (Betz, 2023).

FTX employees bore a significant brunt of the collapse, with many losing their jobs and professional credibility overnight. Beyond the financial impact, the scandal tarnished the reputations of professionals associated with the company, complicating future career prospects (Wall Street Journal, 2022). Some employees, particularly those in senior roles, faced scrutiny in ongoing investigations, while others struggled to distance themselves from the scandal. The abrupt loss of employment and uncertainty surrounding unpaid wages further compounded the personal and professional hardships endured by the workforce (Bankruptcy Filings, 2022).

Ethical Dimensions and Institutional Lessons

The FTX debacle underscores critical ethical imperatives for business leaders and regulators. The diversion of customer funds for speculative purposes represents a flagrant breach of fiduciary duty, undermining trust in financial institutions. Furthermore, the absence of governance structures and risk management protocols highlights the ethical perils of prioritizing rapid growth over sustainability.

The role of venture capital firms also warrants scrutiny. By prioritizing short-term returns, these investors missed clear red flag risks in FTX's operational model. In the future, institutional investors would be wise to adopt more rigorous due diligence practices, emphasizing ethical considerations alongside financial metrics.

Required

1. When Samuel Bankman-Fried (SBF) established and operated FTX, cryptocurrency was famous for secrecy of ownership and transactions, and very low levels of governance and regulation. Many people made fortunes trading in cryptocurrency at that time.
   a. What aspects of normal governance and regulation were missing in the FTX case?
   b. Should investing in and trading in cryptocurrency have been prohibited until those normal aspects of governance and securities regulation could have been put in place?
2. If an FTX Board of Directors had existed, would the FTX catastrophe have been avoided? Why and why not?
3. Were the actions of SBF justified ethically and legally? Why and why not?
4. Should the organizations that invested in FTT, or the clients who deposited the funds in FTX, have investigated more diligently whether proper governance measures were in place and being followed? Since they did not investigate these matters diligently, should they expect to be bailed out of the losses they suffered?

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3

Ethical Behavior—Philosophers' Contributions

Purpose of the Chapter

Philosophers have been dedicated to the study of ethical behavior for millennia. The ideas, concepts, and principles they have developed have long been recognized as important standards for the assessment of corporate and personal activities. The ethicality of the strategies and actions of corporations and individuals cannot be left to chance. Consequently, directors, executives, and professional accountants need to be aware of ethical parameters and need to build these into the cultures of their organizations. Given the diverse nature of individuals making up our corporations and the global challenges they face, it is no longer defensible to leave the principles of ethical behavior up to the individual employee. Organizations must hire individuals who are ethically aware and provide them with an understanding of which ethical principles drive action. The philosopher's contributions discussed in this chapter and made practical in Chapter 4 provide a helpful basic background to enable directors, executives, and professional accountants to make ethical plans and decisions. To ignore the wisdom in this chapter and Chapter 4 would be irresponsible and would leave important gaps of ethical understanding and vulnerability.

Ethics is a branch of philosophy that investigates normative judgments about what behavior is right or what ought to be done. The need for ethics arises from the desire to avoid real-life problems. It does not address issues of what you should or should not believe; those are contained in religious and humanist codes. Instead, ethics deals with the principles that guide human behavior. It is the study of norms and values concerning ideas of right and wrong, good and bad, as well as what we ought to do and what we should eschew doing. The ethical theories described in this chapter will not provide boilerplate solutions to practical problems. Instead, the theories and frameworks provide guidance to assist decision makers in determining acceptable and unacceptable business behavior and actions.

Decisions spring from beliefs about what norms, values, and achievements are expected and what the rewards and sanctions are for certain actions. Ethical dilemmas arise when norms and values are in conflict and there are alternative courses of action available. This means that the decision maker must make a choice. Unlike many other business decisions that have clear decision-making criteria, with ethical dilemmas there are no objective standards. Therefore, we need to use subjective moral codes. The ethical theories described in this chapter explain how to understand, implement, and act in accordance with moral codes concerning appropriate business behavior.

Although the fundamental principles and ideals of all of the ethical theories described in this chapter have application to business, each theory is not without its critics. So we need to demonstrate tolerance as we work through the strengths and weaknesses of the theories. Remember, they provide guidance about factors to consider, not decision tools that will always yield the same answer. It is still up to the decision maker to consider the issues, make the final decision, act accordingly, and live with the consequences.

Reading this chapter will help you be able to:

- Discuss the basic ethical theories that are used for analyzing business dilemmas.
- Discuss the strengths and weaknesses of each of these ethical theories.
- Explain why no one theory can solve all business ethical issues.
- Apply the concepts in this chapter to critically think about business ethics.

Ethics & Moral Codes

The *Encyclopedia of Philosophy* defines ethics in three ways as follows:

1. A general pattern or "way of life"
2. A set of rules of conduct or "moral code"
3. Inquiry *about* ways of life and rules of conduct

In the first sense, we speak of Buddhist or Christian ethics; in the second, we speak of professional ethics and unethical behavior. In the third sense, ethics is a branch of philosophy that is frequently given the special name of metaethics.[1]

This book is interested in the second sense of ethics, as it relates to moral codes concerning human conduct and behavior in a business setting. We do not address religious beliefs about how humans should live their lives and the proper way of achieving the various goals of a religious life. Nor are we interested in metaethics, the theory about ethics. Instead, we are interested in studying the moral codes that relate to business and professional behavior.

Morality and moral codes are defined in the *Encyclopedia of Philosophy* as containing four characteristics:

1. Beliefs about the nature of humanity
2. Beliefs about ideals, about what is good, desirable, or worthy of pursuit for its own sake
3. Rules laying down what ought to be done and what ought not to be done
4. Motives that incline us to choose the right or the wrong course[2]

Each of these four aspects is explored using the four major ethical theories that apply to people making ethical decisions in a business environment: utilitarianism, deontology, justice and fairness, and virtue ethics.[3]

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[1] Paul Edwards, ed., The *Encyclopedia of Philosophy*, vol. 3 (New York: Macmillan 1967), 81–82.
[2] Ibid., vol. 7, 150.
[3] These four were identified in the Association to Advance Collegiate Schools of Business (AACSB) Ethics Education Committee Report (2004) as essential for business students and accountants to understand. The AACSB accredits business schools and programs worldwide. See http://www.aacsb.edu. The 2004 Ethics Education Report is available at http://www.aacsb.edu/publications/researchreports/archives/ethics-education.pdf.

Each of these theories places a different emphasis on these four characteristics. For example, utilitarianism focuses on the positive and negative consequences of a decision, whereas deontology examines the motives of the ethical decision maker. Virtue ethics tends to examine humans in a more holistic fashion, looking at the nature of humanity. Although each theory emphasizes different aspects of moral codes, they all have many common features, especially a concern of what should and should not be done. But, as Rawls notes, no theory is complete, so we must be tolerant of their various weaknesses and deficiencies. "The real question at any given time is which of the views [theories] already proposed is the best approximation overall [of what we should do]."[4] The goal is to be able to use these theories to help in our ethical decision making.

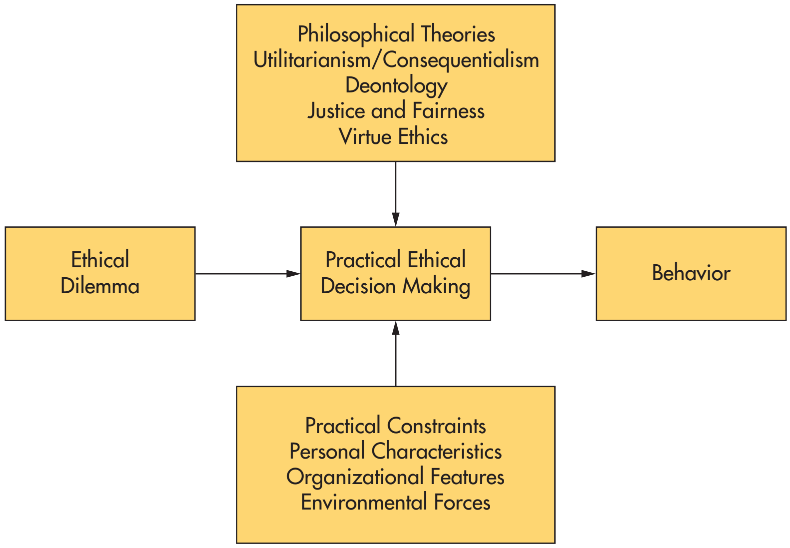
Most people, most of the time, know the difference between right and wrong. Ethical dilemmas rarely involve choosing between these two stark alternatives. Instead, ethical dilemmas normally arise because there is no entirely right option. Instead, there are compelling reasons for each of the alternatives, so it is up to the individual to decide which alternative to choose. An ethical decision maker should not choose what others have chosen simply to be consistent with other people, to follow the crowd. Instead, to act as an ethical person means that you are capable of taking a stand on an important and difficult problem of human life and be able to explain and justify your stance. You must be able to clearly articulate and defend why you selected that course of action, using ethical theories and reasons.

As indicated in Figure 3.1, the ethical theories that are explained in this chapter provide guidance in making ethical decisions. Although there are many other ethical theories, these are the ones that are particularly useful in making ethical decisions in a business context. But we are not naïve. We are aware that sometimes we do not do what we decide we should do. Even though you should not have that chocolate éclair because you are on a diet, sometimes you eat it anyways. In business, there are many constraints that influence whether a decision maker actually does the right thing. These mitigating factors can be broadly grouped into organizational constraints and personal characteristics. Organizational constraints include reward systems, organizational culture, and the tone at the top of the firm. For example, people do what they are paid to do, and if the reward system encourages questionable behaviors or discourages ethical discussion of a proposed course of action, then employees will not factor ethics into their decision-making process. The values of the organization also influence employee behavior, as well as the behavior of senior managers. If employees realize that the firm tacitly encourages misleading customers and that the board of directors flaunts the corporate code of conduct, then junior employees will think that ethics and doing the right thing are unimportant in business. These organizational constraints are discussed in more detail in the discussion of corporate culture in Chapter 5.

Personal characteristics that may influence behavior can include a misguided understanding of business, an overcommitment to the firm, and ethical immaturity. Some employees mistakenly think that the goal of business is only to make a profit. They believe that as long as the business succeeds, the techniques (i.e., means) used are erroneously thought to be irrelevant. This is an example of the mistaken belief that the end justifies the means. An overcommitment to the firm can cloud ethical judgment. John DeLorean, the founder of the DeLorean Motor Company, was so committed to his firm that he attempted to illegally sell cocaine in order to forestall the bankruptcy of his company.[5]

[4] John Rawls, *A Theory of Justice* (Cambridge, MA: Harvard University Press, 1971), 52.
[5] Hillel Levin, *Grand Delusions: The Cosmic Career of John De Lorean* (New York: Viking Press, 1983).

Figure 3.1 The Ethical Reasoning Process



There are numerous other acts of misguided loyalty to the firm. However, the most important personal constraint may very well be ethical immaturity. Like physical maturity, ethical maturity comes with age and experience. It is easy to speculate what you would do in a hypothetical situation. Many of the cases in this book present hypothetical problems for you to solve. The choices that you make will help to develop and reinforce your judgment, values, and moral code.[6] But you will not really know what you will do until you are confronted with an actual ethical problem and have to make a decision.

John DeLorean's Overcommitment to His Company

In 1972, the flamboyant business executive John DeLorean was poised to become the next president of General Motors, at the time, one of the largest corporations in the world. DeLorean had a stellar career with the company, first in the Pontiac division designing the GTO, the first muscle car, and then as the head of Chevrolet, the flagship division of GM. On April 3, 1973, he suddenly resigned to form his own car company. Under his leadership, the DeLorean Motor Company designed and built a fiberglass and stainless-steel two-seater sports car with gull wings. About 9,000 cars were manufactured prior to 1983, one of which was used as the time machine in the trilogy of Back to the Future movies. Unfortunately, the company was not profitable, and so, in 1982 he attempted to illegally sell cocaine in order to obtain the cash necessary to keep his company afloat. When captured in a sting operation by the government, he said that he would do anything to forestall the bankruptcy of his company.

[6] For further discussion of the development of judgment (e.g., Kohlberg's Six Stages of Moral Reasoning), values, and moral codes, *see* Chapters 5 and 6.

Usually, there is no single right answer when resolving ethical problems, nor is the decision simply a matter of a leap of faith. Instead, it requires careful and thoughtful analysis. Then, once the decision is made and the course of action is decided on, the decision maker must take an action or decide not to act. Frameworks are provided in this chapter and the next to help you to make an ethical decision. What you actually do is up to you, and you will have to live with the consequences.

Ethics & Business

Archie Carroll, a noted business ethicist, astutely observes that you can talk meaningfully about business ethics only if the business is economically viable.[7] If it is not profitable, then the business will fail, and the question of appropriate and inappropriate business behavior is moot. Consequently, a primary goal of a for-profit firm is to remain in business. It does this by providing goods and services that are required by society in an efficient and effective manner. This is a fundamental goal of business, but it is not the only goal and should not be pursued at any cost. Profit is the consequence of doing business well. But businesses must also adhere to the applicable laws and regulations as a bare minimum. Applicable laws provide the base level of acceptable business behavior. Importing cocaine may be profitable, but it is illegal. The third and fourth responsibilities of business, according to Carroll, are to be ethical and socially responsible. Business operates within society and must adhere to the norms of society and should contribute to the betterment of society.

On the other hand, some people will argue that being economically viable and obeying the law are the only two responsibilities of business and that ethics has nothing to do with business. Why, then, should businesspeople be ethical?

Three of the most common explanations for why individuals should be ethical are grounded on views about religion, our relationships with other people, and our perceptions about ourselves. As was mentioned, some define ethics as having to do with the pattern of how we should live our lives based on religious principles. In the Judeo-Christian tradition, this would include the principles of "do unto others as you would have them do unto you," "do not bear false witness," and "love your neighbor as yourself." Similar principles and laws are proscribed by other religions. For many people, it is respect for such laws and religious codes that govern behavior. We should be ethical because that is God's law.

Some believe that ethics has nothing to do with religion per se. Instead, it has to do with our regard for other people, demonstrated through love, sympathy, beneficence, and the like. We are social animals who live in society. We naturally develop strong emotional attachments that we often show through acts of love and self-sacrifice. Through our interactions, we become sympathetic to their emotions and feelings. We reproduce in ourselves the pleasures, pains, and satisfactions that we recognize are being felt by others based on our own experiences of pleasure, pain, and satisfaction. Ethics represent our sympathetic identification with others and is often manifested in acts of beneficence, friendship, and love.

Another perspective is enlightened self-interest. This last view is compelling for many businesspeople. The first characteristic of morality, as defined above, has to do with beliefs about the nature of people. A fundamental aspect of human nature is that we are self-interested. Although we live with others in society, each of us is living our unique

[7] Archie Carroll, "The Pyramid of Corporate Social Responsibility: Toward the Moral Management of Organizational Stakeholders," *Business Horizons* 34 (1991): 39–48.

individual life. This perspective takes the following pattern: It is my life; I am interested in myself. Factors that influence me are important to me, so I am interested in the things that will have an impact on my life. However, there is a difference between self-interest and selfishness. Selfishness concerns only the individual and places the individual's needs and concerns above those of other people. Self-interest, on the other hand, is an interest *concerning* the self, not an interest *in* the self. Self-interest is not narrowly defined as being about only me. Instead, it is an interest in all matters that relate to me, my family, my friends, and the society in which I live. Self-interest has an intimate connection with economic behavior.

Self-Interest & Economics

In the TV shows *Succession* (a four-season HBO series that ran from 2018 to 2023) and *Billions* (a seven-season Showtime production that aired from 2016 to 2023), the protagonists are self-interested businesspeople who care only about making money. Avarice and greed are their mantras. These shows followed a pattern established by Oliver Stone's 1987 movie *Wall Street* in which the principal character, Gordon Gekko, played by Michael Douglas, argues in his presentation to the board of directors of Teldar Paper that business is grounded on greed. "The point is, ladies and gentlemen, that greed, for lack of a better word, is good. Greed is right, greed works. Greed clarifies, cuts through, and captures the essence of the evolutionary spirit. Greed, in all its forms; greed for life, for money, for love, knowledge has marked the upward surge of mankind." Despite the dated vocabulary in his speech, the better word that Gordon Gekko is looking for is *self-interest* rather than *greed*. It is self-interest, not greed, that moves the economy. In social and economic theory, self-interest works and is good; selfishness, avarice, and greed do not. In case after case, unbalanced greed has created vulnerabilities and has proved to be a highly risky strategy for the individuals and corporations that pursue it—usually ending in disaster.

Failure of Economic Self-Interest—DWS

For-profit businesses are in the business of making money. One technique is to find a niche market and exploit it. DWS, a Frankfurt-based asset manager owned by Deutsche Bank, did that. From mid-2018 to late-2021 the company aggressively marketed its mutual funds that used environmental, social, and governance (ESG) factors. The strategy was successful. In 2020, the company reported that over half its assets under management were in ESG-integrated funds.

However, Desiree Fixler, a sustainability manager who had been with the company for eight months, alleged that the 2020 report overstated its green assets. She contended that only a small portion of the fund's €459 billion of assets used ESG criteria. A more realistic number would be €100 to €150 billion. Although she was fired in 2021, her complaint led to both internal and external investigations that ultimately ended with the resignation of Asoka Woehrmann, the CEO of DWS, and Deutsche Bank paying a $25 million fine to the Securities and Exchange Commission.

The mutual fund used a very low threshold of ESG criteria to generate substantial sales in its mutual fund portfolio. Self-interest and economic factors it would seem took precedence over ethical and responsible business behavior.[8]

[8] Antje Schiffler, "DWS and the global crackdown on greenwashing," *Morningstar*, September 19, 2022, https://www.morningstar.ca/ca/news/226638/dws-and-the-global-crackdown-on-greenwashing.aspx.

The concept of self-interest has a long tradition in English empirical philosophy to explain both social harmony and economic cooperation. Thomas Hobbes (1588–1679) argued that self-interest motivates people to form peaceful civil societies. Writing after the English civil war (1642–1651), he was comparing factors that contributed to a stable society and those that led to a state of war. He observed that people have multiple natural desires, a fundamental one being self-preservation. People are also driven by their short-term interests. Some may want a particular good or to achieve a particular goal and are willing to acquire it by any means. But this can lead to war and conflict as people compete for the same things. When people are driven by their base desires, by unbridled self-interest, anarchy occurs. There is no economic prosperity, no social infrastructure, and no civilized social order. Peace, on the other hand, is probably in everyone's best long-term interests. It avoids the uncertainties and dangers of what Hobbes calls a state of nature, where life is "solitary, poore [*sic*], nasty, brutish, and short."[9] But peace means accepting rules that limit individual freedom. People will no longer be able to pursue their personal goals when those goals would have a negative effect on other people.

From this perspective, civil society can be seen as a voluntary contract among individuals in which some individual freedoms and rights are given up in exchange for peace and self-preservation. This is enlightened self-interest. The desire for personal security means that individuals voluntarily limit their personal freedoms to secure social harmony. As such, society can be viewed as a Leviathan, a commonwealth that guarantees peace and security to its citizens. Although this may have some negative short-term consequences, most will realize that voluntarily refraining from exploiting others will ensure their personal security. For Hobbes, self-interest leads to cooperation and the formation of a civil society.

Following in this tradition, Adam Smith (1723–1790) argued that self-interest leads to economic cooperation. In his opus *An Inquiry into the Nature and Causes of the Wealth of Nations*, he observes that both buyers and sellers are interested in satisfying their individual needs and desires. Buyers want to derive the most relative satisfaction or utility from their consumer purchases. Sellers want to earn the maximum profit they can from the transaction. In a perfect market, buyers and sellers negotiate to Pareto-optimum equilibrium, what Smith calls the natural price. If the seller sets the price too high, no one will buy the product. If the price is very low, consumers will be more than willing to buy the product. As the demand for the product increases, either the seller will increase the price or new sellers will enter the market in an attempt to satisfy consumer demands for the product. If the price then rises too high, the buyers will leave the market. This is what Smith meant by a free market; both buyers and sellers can freely and without compulsion enter and exit the marketplace. As a result, competition among vendors and consumers pushes prices to the point where markets clear, where all the goods available for sale sell at prices that consumers are willing to pay for those products and vendors are willing to accept for their products.

Profits occur when goods and services are provided in an efficient and effective manner. Smith uses the example of a pin factory. Ten individuals working independently can produce fewer than twenty pins per day. However, these same ten people, working cooperatively with each doing one part of the pin-making process, can produce almost 48,000 pins per day. Utilizing the available labor in an efficient and effective manner results in the maximum number of pins of a uniform quality

[9] Thomas Hobbes, *Leviathan,* ed. C. B. Macpherson (Middlesex: Penguin, 1968), 186.

being produced in a given amount of time. Higher production through a cooperative division of labor is in everyone's best interests.

The invisible hand of the marketplace results in a Pareto-optimum position where it is impossible to improve anyone's condition without worsening the condition of someone else. This means that society as a whole is better off. Self-interested individuals unintentionally increase the wealth of their nation. "He generally, indeed, neither intends to promote the publick [*sic*] interest, nor knows how much he is promoting it. By preferring the support of domestick [*sic*] to that of foreign industry, he intends only his own security; and by directing that industry in such a manner as its produce may be of the greatest value, he intends only his own gain, and he is in this, as in many other cases, lead by an invisible hand to promote an end which was no part of his intention."[10]

Smith is often, mistakenly, considered an advocate of unfettered capitalism. This is not the case. He did advocate minimal governmental interference in the marketplace. The government should be responsible only for establishing and paying for the infrastructures of society, including such things as the transportation system, public education, and the justice system. Business should be able to handle all other matters. However, it is important to note that selfishness, avarice, and greed are not part of Smith's model. Smith was both an economist and an ethicist. He held the chair in moral philosophy at the University of Glasgow. In 1790, he published his *Theory of Moral Sentiments*, a treatise in which he developed an ethics based on sympathy. Sympathy is our feeling the passions of others. It is being affected by the sentiments of other people with a corresponding feeling within us. Because we identify with the emotions of others, we strive to establish good relations with other people. We desire their approbation and shun their disapproval. This provides the basis for benevolent acts and social justice. *For Smith, individuals do not act out of narrow selfishness but rather out of sympathy both for oneself and for others. In other words, ethical behavior is grounded on the sentiment of sympathy, which in turn constrains unbridled self-interest*.

How does this relate to his economic theory? The key features of Smith's economic model are, first, that business is a cooperative social activity. Firms provide goods and services that are required by society. Sellers and buyers work toward a common objective by satisfying their needs at mutually agreeable prices. These are not atomistic transactions but rather are socially constructed events. Business is a social activity, and society operates on ethical principles. Second, markets are competitive, not adversarial. Trade is dependent on fair play, honoring contracts, and mutual cooperation. Healthy competition ensures that the highest-quality goods and services are provided at the lowest prices. Competition also means that firms strive to operate as efficiently and effectively as possible in order to maximize their long-term profits. Finally, ethics constrains economic opportunism. Ethics keeps narrow selfishness and unbridled greed in check. According to Smith, individuals follow ethical guidelines for the good of society. By analogy, they should also follow ethical guidelines for the good of the economy. So, in answer to Gordon Gekko, it is self-interest, not greed, that moves the marketplace, and self-interest has the unintended consequence of improving the social welfare of everyone.

Smith's insight is that self-interest leads to economic cooperation. Self-interest is the motivation for a division of labor, and a cooperative division of labor means that more and better products can be provided to society in an efficient and effective manner. The marketplace will price these products based on consumer needs, their availability, their quality,

[10] Adam Smith, *An Inquiry into the Nature and Causes of the Wealth of Nations*, ed. Kathryn Sutherland (Oxford: Oxford University Press, 1993), 291–92.

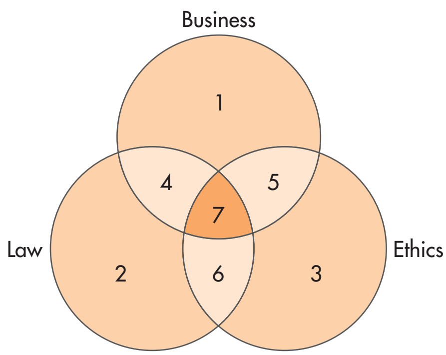
and other qualitative aspects of the products. The profits that ensue to the vendor are a result of providing goods and services. So, the goal of the marketplace is not for a firm to make a profit. Rather, the purpose is for firms to provide goods and services in an efficient and effective manner, that is, by being profitable. Profit is the consequence, not the end. In a competitive environment, the wants and desires of both buyers and sellers are satisfied through self-interested contracting. Cooperative contracting results in the buying and selling of goods and services at Pareto-optimum prices. Such a system promotes the economic well-being of all and the nation as a whole.

Ethics, Business & the Law

Schwartz and Carroll[11] argue that business, ethics, and the law can be depicted as three intersecting circles in a Venn diagram as per Figure 3.2. Area 1 represents the aspects of business activity that are not covered by the law or ethics. For example, in the United States, a set of financial statements consists of a balance sheet, an income statement, a statement of change in equity, and a statement of cash flows. Under International Financial Reporting, they are referred to as a statement of financial position, a statement of comprehensive income, a statement of changes in equity, and a statement of cash flows. These conventions have nothing to do with ethics or the law. In Area 2 are laws that have nothing to do with ethics or business. Driving on the right-hand side of the road is a convenience law so that people do not bump into one another. In Australia and the United Kingdom, the law is reversed. Area 3 represents ethical prohibitions that do not concern business and are not illegal. Lying or cheating on a spouse would be an example.

There are many overlaps among the law, ethics, and business. Area 4 represents the myriad rules and regulations that firms must follow—laws that are passed by governments, regulatory agencies, professional associations, and the like. There are also many overlaps between the law and ethics (Area 6), a primary one being the prohibition against killing. Area 5 is the focus of this book, the overlap between business activity and ethical norms. This is also the area where some deny that there is an overlap. Their argument is that

Figure 3.2 **Intersection of Business, Law & Ethics**



[11] Mark Schwartz and Archie Carroll, "Corporate Social Responsibility: A Three Domain Approach," *Business Ethics Quarterly* 13, no. 4 (2003): 503–30.

Area 4 exists and that as long as firms do not violate the law, they are behaving ethically. That is, the law and ethics are one and the same when it comes to business. The main message of this book is that ethics should guide behavior beyond the law. The law is usually the minimum standard of acceptable behavior, but sometimes laws conflict (as in different countries), are out of date, or do not exist in one locale but should. In such cases, ethics requires performance beyond the bare legal minimum.

Area 7, the intersection of law, ethics, and business, normally becomes a problem only if the law says one thing while ethics says the opposite. In Nazi Germany during World War II, the law was prejudicial against Jews. What should an ethical businessperson do when (1) the law encourages the exploitation of Jews, (2) the law is beneficial to the businessperson since the Jewish employees do not have to be paid, and yet (3) the businessperson knows that the exploitation of these people is wrong? The story of *Schindler's List* vividly portrays the ethical dilemma when law, business, and ethics intersect but are incompatible.

The remainder of this chapter outlines some of the major ethical theories that are used by businesspeople to help resolve ethical dilemmas. This is not an exhaustive list, but it does cover the major philosophies that are used in business ethics.

Major Ethical Theories Useful in Resolving Ethical Dilemmas

Teleology: Utilitarianism & Consequentialism—Impact Analysis

Teleology has a long history among English empirical philosophies. John Locke (1632–1704), Jeremy Bentham (1748–1832), James Mill (1773–1836), and his son John Stuart Mill (1806–1873) all examined ethics from a teleological perspective. Teleology is derived from the Greek word *telos*, which means "ends," "consequences," or "results." *Teleological theories study ethical behavior in terms of the results or consequences of ethical decisions*. Teleology resonates with many results-oriented businesspeople because it focuses on the impact of decision making. It evaluates decisions as good or bad, acceptable or unacceptable, in terms of the consequences of the decision.

Investors judge an investment as good or bad, worthwhile or not, based on its expected return. If the actual return is below the investor's expectation, it is deemed to be a bad investment decision; if the return is greater than expected, it is considered a good or worthwhile investment decision. Ethical decision making follows a similar pattern. In the same way that the goodness and badness of an investment are assessed on the basis of the results of the financial decision, ethical goodness or badness is based on the consequences of the ethical decision. Ethical decisions are right or wrong if they lead to either positive or negative results. Ethically good decisions result in positive outcomes, while ethically bad decisions lead to either less positive outcomes or negative consequences. However, the consequences of an ethical decision are not themselves ethical. The consequence is simply what happens.

The ethicality of the decision maker and the decision are determined on the basis of the value of the action or consequence. If the decision brings about a positive result, such as helping an individual to achieve self-realization, then the decision is said to be an ethically correct one. Other positive results would include such things as happiness, enjoyment, health, beauty, and knowledge, while negative results would include unhappiness, misery, illness, unpleasantness, and ignorance. In other words, judgments about right and wrong, or ethical correctness, are based solely on whether good or bad results occur.

Teleology has its clearest articulation in utilitarianism, most noticeably in the writings of Bentham and J. S. Mill. In *Utilitarianism*, Mill wrote, "The creed which accepts as the foundation of morals, Utility, or the Greatest Happiness Principle, holds that actions are right in proportion as they tend to promote happiness, wrong as they tend to produce the reverse of happiness. By happiness is intended pleasure, and the absence of pain; by unhappiness, pain, and the privation of pleasure."[12]

Utilitarianism defines good and evil in terms of pleasure and pain. The ethically correct action is the one that produces the greatest amount of pleasure or the least amount of pain. This is a very simple theory. The goal of life is to be happy, and all those things that promote happiness are ethically good, as they tend to produce pleasure or alleviate pain and suffering. For utilitarians, pleasure and pain may be both physical and mental. The alleviation of stress, anguish, and mental suffering is as important as reducing physical pain and discomfort. For example, the stress level of an employee may increase when her supervisor asks her to complete an assignment but then provides her with little information and insufficient time to produce the report and makes unrealistic demands in terms of the quality of the report. The increased stress does not contribute to her general happiness or to the pleasure of completing the assignment. For a utilitarian, the only things worth having are pleasurable experiences, and these experiences are good simply because they are pleasurable. However, in this case, completing the assignment is neither pleasurable nor, from the employee's perspective, good. It does not contribute to her utility or to her general happiness.

Mill was quick to point out that pleasure and pain have both quantitative and qualitative aspects. Bentham developed a calculus of pleasure and pain based on intensity, duration, certainty, propinquity, fecundity, purity, and extent.[13] Mill added that the nature of the pleasure or pain is also important. Some pleasures are more desirable than others and worth the effort of achieving. An athlete, for example, trains daily to compete in the Olympics. The training may be very painful, but the athlete keeps an eye on the prize, winning the gold medal. The qualitative pleasure of standing on the podium exceeds the quantitatively grueling road to becoming an Olympic champion.

Hedonism focuses on the individual and seeks the greatest amount of personal pleasure or happiness. Epicurus (341–270 B.C.) argued that the goal of life is secure and lasting pleasure, a life in which pains are accepted only if they lead to greater pleasures and pleasures are rejected if they lead to greater pains. Utilitarianism, on the other hand, measures pleasure and pain not at the individual level but rather at the level of society. The pleasure of the decision maker, as well as everyone who could possibly be affected by the decision, needs to be considered. However, additional weight should not be given to the decision maker. The "happiness that forms the utilitarian standard of what is right in conduct, is not the agent's own happiness, but that of all concerned. As between his own happiness and that of the others, utilitarianism requires him to be as strictly impartial as a disinterested and benevolent spectator."[14] A CEO who talks the board of directors into giving the CEO a $100 million bonus may derive great happiness from the bonus, but if he does not consider the effects that the bonus might have on all the other employees in his firm, his peer group of other executives, and society as a whole, then he is ignoring the ethical aspects of his decision.

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[12] John Stuart Mill, *Utilitarianism,* ed. Roger Crisp (Oxford: Oxford University Press, 1998), 55.
[13] Jeremy Bentham, *An Introduction to the Principles of Morals and Legislation* (Garden City, NY: Dolphin Books, 1961), 37–40.
[14] John Stuart Mill, *Utilitarianism*, ed. Roger Crisp (Oxford: Oxford University Press, 1998), 64.

Google's Tax Minimization Strategy: Utilitarian Consequences

When using utilitarianism, the decision maker must take a broad perspective concerning who in society might be affected by the decision. Consider the case of tax minimization by multinational organizations that set up subsidiaries in tax-haven countries in order to reduce their tax liabilities. From management's point of view, good tax planning reduces the monies that are paid to governments, thereby having more money to reinvest in the company or pay out as dividends. In 2014, Google generated approximately 10% of its profits in the United Kingdom but paid taxes at less than 3%. How? Google recorded the revenue in Ireland, where the tax rate was only 12%, and then had its Netherlands subsidiary, in another low-tax-rate country, charge a huge royalty to the Irish subsidiary, which was then paid to a Google subsidiary located in Bermuda, which has no corporate taxation. Referred to as the "double Irish," it was a scheme whose only purpose was to reduce income taxes. In 2016, at the end of a six-year tax audit, Google agreed to pay the British government £130 million. Other multinationals, such as Starbucks, Apple Computers, and Facebook, that have come under similar scrutiny have had their reputations tarnished and labeled as "tax cheaters." These tax-minimization decisions have had serious consequences for the multinationals, the British government, and the British public who provided profits to these companies by purchasing their goods and services but have not received the social benefits through an increase in the taxes collected by the British government from these multinationals.

There are several key aspects to utilitarianism. First, ethicality is assessed on the basis of consequences. Next, ethical decisions should be oriented toward increasing happiness and/or reducing pain, where happiness and pain can be either physical or psychological. Furthermore, happiness and pain relate to all of society and not only to the personal happiness or pain of the decision maker. Finally, the ethical decision maker must be impartial and not give extra weight to personal feelings when calculating the overall net probable consequences of a decision.

Act & Rule Utilitarianism Over time, utilitarianism has evolved along two main lines, called act utilitarianism and rule utilitarianism.

The former, sometimes referred to as *consequentialism*,[15] *deems an action to be ethically good or correct if it will probably produce a greater balance of good over evil*. An action is ethically bad or incorrect if it will probably produce the opposite. *Rule utilitarianism, on the other hand, says that we should follow the rule that will probably produce a greater balance of good over evil and avoid the rule that will probably produce the reverse*.

The presumption is that it is possible, in principle, to calculate the net pleasure or pain associated with a decision. For Mill, "the truths of arithmetic are applicable to the valuation of happiness, as of all other measurable quantities."[16] Returns on investments can be measured; so too happiness, according to Mill. This means that the decision maker must calculate, for each alternative course of action, the corresponding amounts of pleasure for each person who will probably be affected by the decision. Similarly, the amount of displeasure or pain for each person under each of the alternatives needs to be measured. The two sums

[15] Consequentialism is the version of utilitarianism that the AACSB advocates as being useful for business decisions. See the next chapter for the reasons.

[16] Mill, *Utilitarianism*, 105.

are then netted, and the ethically correct action is the one that produces the greatest net positive balance or the least negative balance of pleasure over pain. Furthermore, in the same way that an investor is indifferent between two investments that each has the same level of risk and return, two alternatives would each be ethically correct if they both have the same net arithmetic score and each of these scores is higher than the scores of any of the other alternatives that are available to the decision maker.

Rule utilitarianism is somewhat simpler. It recognizes that human decision making is often guided by rules. For example, most people believe that it is better to tell the truth than to lie. Although exceptions are acknowledged, truth telling is the standard of normal ethical human behavior. So, the guiding principle for a rule utilitarian is to follow the rule that tends to produce the greatest net amount of pleasure over pain for people who will probably be affected by the action. Truth telling normally produces the greatest pleasure for most people most of the time. Similarly, accurate, reliable financial statements are extremely useful to investors and creditors in making investment and credit decisions. False financial statements are not useful since they lead to incorrect financial decisions. The rule "financial statements should fairly reflect the financial position of the firm" should produce greater happiness for investors than the alternative rule "financial statements should be falsified." Truth telling and candor normally produce the best consequences, so these are the principles that should be followed.

Means & Ends Before identifying some of the problems with utilitarianism, we must understand what the theory is not. The principle "promote the greatest amount of happiness for the largest number of people" does not imply that the end justifies the means. The latter is a political theory, not an ethical principle. The foremost proponent of this political philosophy was Niccolò Machiavelli (1469–1527), who wrote the *Prince* for Lorenzo Medici as a primer on how to maintain political power. In it, he advised that "in the actions of men, and especially of princes, from which there is no appeal, the end justifies the means."[17] The state, as sovereign power, can do whatever it wishes, and the prince, as ruler of the state, can use any political strategy in order to maintain power. Machiavelli was quite clear that duplicity, subterfuge, and deception are acceptable means for a prince to maintain control over the populous and his rivals. A "prince, and especially a new prince, cannot observe all those things which are considered good in men, being often obligated, in order to maintain the state, to act against faith, against charity, against humanity, and against religion."[18] Clearly, this is a political theory—and a questionable one at that—but it is not an ethical theory.

Unfortunately, "the end justifies the means" is often taken out of context and incorrectly used as an ethical theory. In the 2001 movie *Swordfish*, Gabriel, played by John Travolta, poses the following to Stanley, played by Hugh Jackman: "Here's a scenario. You have the power to cure all the world's diseases, but the price for this is that you must kill a single innocent child. Could you kill that child, Stanley?" The decision that is being forced on Stanley is unethical because it offends significant rights of one or more individuals. By phrasing the question this way, Gabriel is trying to give ethical justification to a political statement. He is attempting to lead Stanley into saying that the action is justified because more are saved with the sacrifice of one. This may be an extreme example, but the decisions of CEOs often have profound impacts on the lives of other people. Toxic waste, hazardous products and working conditions, and pollution and other environmental problems are often defended on the basis that the end justifies the means. This principle is also used to

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[17] Niccolò Machiavelli, *The Prince and the Discourses,* intro. Max Lerner (New York: Modern Library, 1950), 66.

[18] Ibid., 65.

defend cheating by university students, abuses of power by some CEOs, and the betrayal of their corporate responsibilities by some boards of directors.

However, a rule utilitarian would say that there are some classes of actions that are manifestly right and wrong regardless of their consequences as either good or bad. Pollution and hazardous products do not increase the overall long-term well-being of society. The killings of innocent children, the extraction of excessive perquisites by opportunistic CEOs, and boards that ignore their firm's corporate codes of conduct are never ethically correct behaviors, regardless of the consequences. Each of these actions is wrong because these sorts of actions have an obvious negative effect on the general happiness of society as a whole.

The political principle "the end justifies the means" is not an ethical theory. First, it incorrectly assumes that means and ends are ethically equivalent, and, second, it incorrectly assumes that there is only one means to achieving the end. Take the case of two executives who collude to falsify a set of financial statements. One does so because she will receive a bonus based on the firm's reported net income. The other executive conducts the fraud to forestall bankruptcy, believing that if the firm continues in business, then the staff will have employment, customers will have the firm's products, and suppliers will still be able to make sales to the firm. Their means are both the same; they perpetrate financial statement fraud. But their ends are different: the former is from pure economic selfishness; the other is from a misguided sense of loyalty to the firm's various stakeholders. Most would view these two individuals as dissimilar despite the similar means of obtaining their different ends. The two motivations or ends—economic selfishness and misguided altruism—and the one means—fraud—are not ethically equivalent. Most would view the means as wrong and have antipathy for the one executive and perhaps some sympathy for the latter executive.

More important, "the end justifies the means" often implies either that there is only one means to achieving the end or that, if there are a variety of means to achieving the end, all the means are ethically equivalent. However, this is not the case. There are many ways of traveling across the country, but the costs vary with the mode of transportation. They are not equivalent. Similarly, there are various ways of temporally forestalling bankruptcy, one of which is to perpetrate a financial statement fraud. But there are other alternatives, including refinancing. Although refinancing and fraud may lead to the same end, the two means are ethically quite different. One is ethically correct, and the other is not. It is the job of the manager to be able to detect this difference and then to use moral imagination to identify an alternative means to achieving the same end.

Some people misuse utilitarianism by saying that the end justifies the means. However, this is an inappropriate application of an ethical theory. For a utilitarian, the end never justifies the means. Instead, the moral agent must consider the consequences of the decision in terms of producing happiness or in terms of the rule that, if followed, will probably produce the most happiness for all. The overall appeal of utilitarianism is that it appears to be quite simple, whereas the full consideration of all consequences is challenging if a comprehensive result is desired. It uses a simple standard: the goal of ethical behavior is to promote happiness. It is also forward-looking; it concentrates on the future happiness of those who will be affected by the decision. It also acknowledges the uncertainty of the future, so it focuses on probable consequences. Finally, the theory is expansive and unselfish; the best ethical alternative is the one that promotes the greatest pleasure for all concerned. This may be why the theory resonates with businesspeople. Managers are accustomed to making decisions under conditions of uncertainty, assessing the probable consequences to identifiable stakeholders, and then choosing the alternative that probably will have the best net results for all concerned parties. However, the theory is not without its problems.

Weakness in Utilitarianism Utilitarianism presupposes that such things as happiness, utility, pleasure, pain, and anguish can be quantified. Accountants are very good at measuring economic transactions because money is a uniform standard of measurement. Almost all economic transactions can be measured in a currency, such as euros, and everyone knows what one euro will purchase. However, there is no common unit of measurement for happiness, nor is one person's happiness the equivalent of another person's happiness, whereas one euro means the same to both. And money is an inadequate proxy for happiness. Not only does money not buy happiness, but it cannot capture the degree of happiness felt when sitting on the shores of a favorite lake watching the sunset on a warm summer evening or the pleasure of seeing the smile on the face of a parent holding a newborn baby.

Another problem concerns the distribution and intensity of happiness. The utilitarian principle is to produce as much happiness as possible and to distribute that happiness to as many as possible. Raphael uses the example of alms giving.[19] One option is for you to give $50 each to two poor pensioners, who would then buy two warm sweaters. Or you could give fifty pensioners enough money for a cup of coffee each. The intensity of the happiness is surely greater for the two pensioners who receive warm sweaters. But more people are positively affected by distributing $2 so that they can all buy a cup of coffee. Which alternative should you choose? The utilitarian principle is too vague to be useful in this instance. Should a CEO increase wages by 0.05% across the board, which would make all the employees slightly better off and presumably a bit happier, or should the CEO double the salaries of the top management team, thereby greatly increasing the general happiness of seven vice presidents? Assuming that the net arithmetic happiness of both options is the same (regardless of how the happiness and unhappiness of the employees are measured), are both options equivalent? Is there not a perception of injustice in the latter? Utilitarianism can often appear to be as cold and unfeeling as Machiavelli's advice on the use of naked political power.

Another measurement problem concerns scope. How many people are to be included? Only those who are alive? If not, then for how many future generations? Consider the problems of global warming and pollution. The short-term happiness of current generations may come at the expense of future generations. If future generations are to be included, then the overall amount of happiness must increase greatly to accommodate enough happiness being available to be allocated to both this and subsequent generations. Furthermore, is the timing of the happiness important? Assuming that the net scores are the same regardless of the ordering, is happiness today and pain tomorrow the same as pain today and happiness tomorrow? Are we willing to have exorbitant fuel costs today and the associated economic pain so that there will be adequate fuel supplies for future generations?

This point is clearly illustrated by Al Gore in his book and video *An Inconvenient Truth*, in which he identifies how pollution is leading to global warming and that we are reaching a point where rejuvenation of our environment may not be possible. This conclusion is the same as that developed by a UN study[20] in the late 1980s and reiterated at the 2015 UN Climate Change Conference in Paris.

Minority rights may be violated under utilitarianism. In a democracy, the will of the majority rules on Election Day. People are comfortable with this because those who lose in one election always have the chance of having their party come into power in the next election. It is not as simple with ethical decision making. Consider the following example. There are two options available that will affect only four people. The one action will create

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[19] D. D. Raphael, *Moral Philosophy* (Oxford: Oxford University Press, 1981), 47.

[20] The Brundtland Report, *Our Common Future,* New York, UN World Commission on Environment and Development, 1987, http://www.un-documents.net/wced-ocf.htm.

two units of happiness for each of the four people. The other option will create three units of happiness for three people and no happiness or unhappiness for the fourth person. The second option generates more happiness (nine units) versus eight units under the first option. However, under the second option, one individual receives no happiness. In this case, unlike the election example, there is no possibility of waiting for a subsequent opportunity for another distribution of happiness in which that person might share. Is it fair that one individual does not get to share in any happiness? Ethical decision making under utilitarianism may be perceived as unfairly benefiting some stakeholder groups at the expense of other stakeholder groups.

Utilitarianism ignores motivation and focuses only on consequences. This leaves many people unsatisfied. Consider the previous example of the two executives who fraudulently issue a set of financial statements. The motivations of the two executives are quite different. Many would consider that they have different degrees of ethical culpability, with the bonus-based executive acting worse than the misguided altruist. However, utilitarianism would judge both as equally ethically remiss since the consequence of their decision is the same, financial statement fraud. This is an example of the saying, "The road to hell is paved with good intentions." Utilitarianism, by itself, is insufficient to produce a comprehensive ethical decision. To overcome this problem, an alternative ethical theory, deontology, assesses ethicality on the motivation of the decision maker rather than on the consequences of the decision.

Deontological Ethics—Motivation for Behavior

Deontology, a term that is derived from the Greek word *deon*, meaning "duty" or "obligation," is the theory that concerns one's ethical duties and responsibilities. It evaluates the ethicality of behavior based on the motivation of the decision maker. According to a deontologist, an action can be ethically correct even if it does not produce a net balance of good over evil for the decision maker or for society as a whole. This makes it a useful complement to utilitarianism because an action that satisfies both theories can be said to have a good chance of being ethical.

Immanuel Kant (1724–1804) provided the clearest articulation of this theory in his treatise *Groundwork of the Metaphysics of Morals*. For Kant, the only unqualified good is a good will, the will to follow what reason dictates regardless of the consequences to oneself. He argued that all our moral concepts are derived from reason rather than from experience. A good will manifests itself when it acts for the sake of duty, where duty implies a recognition and adherence to a law or precept. The precept might be "in this situation, I ought to do such and such," or it might be "in this situation, I should refrain from doing such and such." These assertions—that this is what I ought to do or that this is what I ought not to do—are absolutely binding and permit no exceptions. This sense of acting out of duty is unique to humankind. Everything in nature acts according to the laws of nature, but only humans can act according to the idea of a law, that is, in accordance with rational principles.

For Kant, duty is the standard by which ethical behavior is judged. Moral worth exists only when a person acts from a sense of duty. You are acting correctly when you follow your ethical duties and obligations, not because they might lead to good consequences and not because they might increase your pleasure or happiness; rather, you do them for duty's sake. It is the motive of duty that gives moral worth to your action. Other actions may be based on self-interest or on a consideration for others. When you deal honestly with your customers because you want their repeat business, you are acting out of self-interest rather than from duty. Acting in this way may be praiseworthy, but it lacks moral worth. According to deontologists, it is only when you act out a sense of duty that you are acting ethically.

Kant developed two laws for assessing ethicality. The first is the *categorical imperative*: "I ought never to act except in such a way that I can also will that my maxim should become a universal law."[21] This is the supreme principle of morality. It demands that you should act only in such a manner that you would be prepared to have anyone else who is in a similar situation act in a similar way. It is an imperative because it must be obeyed and is categorical because it is unconditional and absolute. It must be followed even if obedience is contrary to what you would prefer to do. A rational principle or moral law is being laid down for everyone to follow, including you.

There are two aspects to this categorical imperative. First, Kant assumes that a law entails an obligation, and this implies that an ethical law entails an ethical obligation. So, any ethical action that an individual is obligated to perform must be in accordance with an ethical law or maxim. This means that all ethical decisions and behavior can be explained in terms of ethical maxims, that is, in terms of laws that must be obeyed. The second part of the imperative is that an action is ethically correct if and only if the maxim that corresponds to the action can be consistently universalized. You must be willing to have your maxim be followed by anyone else who is in a similar kind of situation, even if you would be adversely affected personally because that other individual followed and obeyed your maxim. You are not allowed to make yourself an exception to the rule.

Kant uses the example of breaking promises. Assume that you want to break a promise. If you do so, then you are making that a maxim that can be followed by other people. But if others follow that maxim, then you may be taken advantage of when they break their promises to you. So, it would be illogical to say that everyone else should keep their promises except for you. You cannot say that it is acceptable for you to lie to your investors about the quality of your firm's financial statements while also saying that it is unacceptable for others to falsify their financial statements because you might lose your investment if you unwittingly rely on their false financial reports.

Kant's second rule is a *practical imperative* for dealing with other people: "Act in a way that you always treat humanity, whether in your own person or in the person of any other, never simply as a means, but always at the same time as an end."[22] For Kant, laws have universal application, so the moral law applies without distinction to everybody. This means that everyone must be treated equally under the moral law. In the same way that you are an end, an individual with moral worth, so also is everyone else. They too must be treated as ends in themselves, as individuals of moral worth. Hence, you cannot use them in a way that ignores their moral worth in the same way that you cannot ignore your personal moral worthiness.

The practical imperative suggests not that you cannot use people but simply that if you treat them as means, then you must simultaneously treat them as ends. If you treat people solely as a means, it could lead to their exploitation. This is the issue associated with modern slavery, a term that includes state-imposed forced labor, bonded labor, and forced marriage.[23] Modern slavery "thrives on the callous exploitation of the labor activity of a vast and highly vulnerable subclass of people whose brutalization is tacitly accepted by every participant in the global economy, from corporations to consumers."[24] In these situations, the laborer is considered to have no moral worth, no autonomy, and

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[21] Immanuel Kant, *Groundwork of the Metaphysic of Morals,* trans. H. J. Paton (New York: Harper Torchbooks, 1964), 17.
[22] Ibid., 66–67.
[23] Andrew Crane, "Modern slavery as a management practice: Exploring the conditions and capabilities for human exploitation," *Academy of Management Review*, 38, no. 1 (2013): 49–69.
[24] Siddharth Kara, "Perspectives on human trafficking and modern forms of slavery," *Social Inclusion*, 5, no. 2 (2017): 1–2.

no opportunities for making employment choices. On the other hand, a healthy employer–employee relationship treats the employee with respect and dignity as both a means and an end. A professional accountant, for example, employs accounting students. The hourly billing rate that is charged to clients for the students' work is considerably more than the rate paid to the students. The professional accountant reaps the benefits of the students' labor, and those accounting students are a means to the professional accountant's financial prosperity. Is this an unethical relationship? No, because the relationship recognizes that the employee has the power to make choices and decisions, including ethical ones, and that these decisions have the potential to influence the well-being of the employee, as well as others, such as the client, the client's personnel, and the employer.

Everyone is entitled to pursue their own personal goals as long as they do not violate the practical imperative. This is the *Kantian principle*. Treating others as ends requires that we acknowledge that we are all part of society, part of a moral community. In the same way that I am to act positively toward my own ends, I also have a duty to act positively toward their ends. So, I treat my employees as ends when I help them fulfill their desires (to learn accounting and have employment) while accepting that they are as able as me to make ethical decisions that may have an impact on society, our moral community.

Weaknesses in Deontology Just like other ethical theories, deontology has its problems and weaknesses. A fundamental problem is that the categorical imperative does not provide clear guidelines for deciding which principle to follow when two or moral laws conflict and only one can be chosen. Which moral law takes precedence? In this regard, utilitarianism may be a better theory since it can evaluate alternatives based on their consequences. Unfortunately, with deontology, consequences are irrelevant. The only thing that matters is the intention of the decision maker and the decision maker's adherence to obey the categorical imperative while treating people as ends rather than as a means to an end.

The categorical imperative sets a very high standard. For many, it is a hard ethic to follow. There is no shortage of examples where people are not treated with respect and dignity, where they are thought of as mere tools in the production cycle to be used and then discarded after their usefulness is gone. Firms have suffered customer boycotts for using sweatshop labor or underage workers, for failing to provide a living wage, or for sourcing inputs in support of repressive regimes. In 2013, the Rana Plaza outside of Dhaka, Bangladesh, collapsed, killing over 1,000 garment workers and injuring another 2,500. There was worldwide criticism of clothing manufacturers, accused of using sweatshop labor in unsafe working conditions. In response to this tragedy, global brands such as Benetton, Joe Fresh, H&M, and others set up a fund to compensate the victims and their families. Then these companies developed an accord to improve fire and building safety in garment factories in Bangladesh.[25] Living up to the Kantian ideal means acknowledging that we are all part of a moral community that places duty above happiness and economic well-being. Businesses might very well be better off if more managers follow their ethical duties and follow them simply because they are their ethical duties. However, following one's duty may result in adverse consequences, such as an unjust allocation of resources. As such, many argue that instead of focusing on consequences and intentions or motivations, ethics should instead be grounded in the principles of justice and fairness.

[25] The Canadian Press, "Bangladesh Factory Collapse: Joe Fresh Owner Loblaws Signs Up to Safety Pact," May 14, 2013, http://www.huffingtonpost.ca/2013/05/15/bangladesh-factory-joe-fresh-loblaws-safety-pact_n_3275213.html.

Justice & Fairness—Examining the Balance

The English philosopher David Hume (1711–1776) argued that the need for justice occurs for two reasons: people are not always beneficent, and there are scarce resources. In keeping with the English empiricist tradition, Hume believed that society was formed through self-interest. Since we are not self-sufficient, we need to cooperate with others for our mutual survival and prosperity (i.e., to engender the support of other stakeholders). However, given a limited number of resources and the fact that some people can benefit at the expense of others, there needs to be a mechanism for fairly allocating the benefits and burdens of society. Justice is that mechanism. It presupposes that people have legitimate claims on scarce resources and that they can explain or justify their claims. This, then, is the meaning of justice, to render or allocate benefits and burdens based on rational reasons. There are also two aspects to justice: procedural justice (the process for determining the allocation) and distributive justice (the actual allocations).

Procedural Justice Procedural justice concerns how justice is administered. Key aspects of a just legal system are that the procedures are fair and transparent. This means that everyone is treated equally before the law and that rules are impartially applied. Preference is not given to one person based on physical characteristics (ethnicity, gender, height, or hair color) or on social or economic status (the law is applied in the same way to both wealthy persons and those living near or under the poverty line). There should be a consistent application of the law both within the legal jurisdiction and over time. Also, justice is to be assessed based on the facts of the case. This means that the information used to assess the various claims needs to be relevant, reliable, and validly obtained. Finally, there must be the right of appeal; the one who loses the claim should be able to ask a higher authority to review the case so that any potential miscarriage is corrected. Both the assessment of the information used for the allocation and the ability to appeal depend on the transparency of the process. These are the characteristics of blind justice, where all are treated fairly before the law. Both sides present their claims and reasons, and the judge decides.

How does this apply to business ethics? In a business setting, procedural justice is not normally an important issue. Most organizations have standard operating procedures that are clearly understood by all employees. The procedures may be right or wrong, but because they are the standards, they are normally consistently applied. As such, most employees are willing to present their case to an ombudsperson or senior official or even a subcommittee of the board of directors and let that person or persons rule on the matter. Once a decision is taken or a new policy is established, most employees are willing to adhere to it because they feel that their alternative position was given a fair hearing. (Refer to the ethics case "Team Player Problems" at the end of Chapter 6 for a dilemma concerning procedural justice.)

Distributive Justice Aristotle (384–322 B.C.) may very well have been the first to argue that equals should be treated equally and that unequals should be treated unequally in proportion to their relevant differences. "This, then, is what the just is—the proportional; the unjust is what violates the proportion."[26] The presumption is that everyone is equal. If someone wants to argue that two people are not equal, then the burden of proof is on demonstrating that, in this particular situation, they are unequal based on relevant

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[26] Aristotle, *The Nicomachean Ethics,* trans. David Ross, rev. J. L. Ackrill and J. O. Urmson (Oxford: Oxford University Press, 1925), 114.

criteria. For example, if a prospective employee uses a wheelchair but otherwise able to perform requisite duties, would it be ethical (fair) not to hire the worker, or would it be more ethical to provide wheelchair access to the workstation? Another example involves equal pay for equal work. After years of blatant discrimination, pay equity legislation has now guaranteed that employees, regardless of gender, are paid the same wage for the same job. Recently, there has been pressure on banks and public accounting firms to pay their employees for overtime. The argument is that unpaid overtime is unjust since employees in other service organizations are paid for their overtime, but these employees are not. All service employees are not being treated equally.

On the other hand, if people are not equal, then they should not be treated equally. Pay differentials are just if they are based on real differences, such as training and experience, education, and differing levels of responsibility. A new lawyer is not paid as much as a more experienced partner of the firm. Although they both have the same formal law school training, the partner with a deeper well of experience to draw on should be able to make quicker, better, and more accurate decisions than the less experienced junior.

Under distributive justice, there are three main criteria for determining the just distribution: need, arithmetic equality, and merit. In most developed countries, the taxation systems are based on need. The rich, who can afford to pay, are taxed so that funds can be distributed to the less fortunate in society—from those who have to those who have not. Distributive justice can occur in a business setting. For example, a company's budget process might be based on the fair allocation of scarce resources. Such a system could be used to motivate executives and employees in each unit to utilize their limited resources in the most efficient and effective manner. Another instance would involve the consideration of what might be a fair profit to leave in the country where it is earned rather than use transfer pricing techniques to redistribute it to a tax haven to minimize overall enterprise tax paid. (Refer to the ethics case "Multinationals and Tax Planning" at the end of Chapter 6.)

Another distribution method is based on arithmetic equality. For example, in order to ensure an equal distribution of a cake, have the person who cuts the cake get the last piece. Assuming that everyone is just as eager to share in the cake and that everyone would prefer to get a larger than a smaller piece, then the person cutting will make sure that all pieces are of an equal size so that the first piece is no different than the last, the one that goes to the cake cutter. Unequal distributions are deemed to be unjust.

In a business setting, the principle of arithmetic equality can be considered violated when a firm has two classes of shares that have equal rights to dividends (cash flow rights) but unequal voting rights (control rights) and therefore unequal rights to control the destiny of their cash flow rights[27]. Many companies in Germany, Canada, Italy, Korea, and Brazil have dual-class shares for which cash flow rights do not equal control rights. In Canada, for example, the Class A shares often may have ten votes each and the Class B shares only one vote each. In this way, a shareholder can have, say, 54% of the control rights through ownership of the Class A shares while having only 14% of the cash flow rights based on the total number of Class A and Class B shares outstanding. Such a Class A shareholder is called a minority controlling shareholder and may unjustly take advantage of the other shareholders. The minority (controlling) shareholder can usually outvote any objection of the majority shareholders.

[27] Different classes of shares are often priced differently by the stock market as a result of their dissimilar ability to vote and control cashflows.

New York Times Dual Class Share Structure: Distributive Injustice?

In 1896, Aloph O. Ochs bought a controlling interest in the New York Times. His descendants continue to own a controlling interest in the newspaper chain through a dual-class share structure. The Ochs and Sulzberger families own 19% of the Class A shares and 88% of the Class B shares of the New York Times Company. The Class A shares, which trade on the New York Stock Exchange, can vote on a limited number of matters and are restricted to electing four of the thirteen members to the board of directors. The Class B shares, which are thinly traded, can vote on all company matters and are entitled to elect the remaining nine members to the board of directors. This ownership structure means that the Ochs and Sulzberger families are minority controlling shareholders. The families have a minority equity interest in the company (through the Class A shares) but a controlling voting interest (through the Class B shares). By June 2005, the investment firm Morgan Stanley had acquired 7.2% of the Class A shares of the New York Times Company. Unfortunately, the New York Times Company had not been performing well, and Morgan Stanley blamed the governance structure of the company. In 2006, Morgan Stanley proposed two shareholder resolutions that would require the company to change its dual-class ownership structure and to separate the duties of the publisher from those of the chair of the board of directors. Neither resolution was successful. At the 2007 annual general meeting, 47% of the Class A shareholders withheld their votes for the election of the four directors. Although a rebuff to the Ochs and Sulzberger families, it was only a symbolic gesture since the two families continued to elect the other nine directors to the board. In October 2007, Morgan Stanley sold its 7.2% interest in the company.

Another distribution method is based on merit. This means that if one individual contributes more to a project, then that individual should receive a greater proportion of the benefits from the project. Shareholders who own more shares are entitled to receive more dividends in proportion to their larger shareholdings. Merit pay is another example. Employees who contribute more to the financial prosperity of the firm should share in that prosperity, often in the form of a bonus. Bonuses based on financial performance are quite common. Unfortunately, such merit-based plans can also encourage directors, executives, and employees to artificially increase net income in order to receive a bonus.

In terms of distributive justice, perceptions are critical. For example, if an employee feels that he is being underpaid, then he might begin to shirk his duties and not put in his full effort. The perception that an employee is not receiving his just desserts may have adverse consequences for the firm. People who steal company assets will often justify their illegal behavior on the basis that they deserve the money that they defraud from their employers. (Refer to Chapter 4 for a discussion of the rationalizations used by people to justify unethical behavior.) Employees might feel that they have been unjustly treated when favoritism is shown. When the brother-in-law of the owner of the company is made a vice president even though he lacks the requisite qualifications, employees often feel that the appointment was unfair or unjust. Transfer pricing may also be perceived to be unfair. One divisional manager, for example, may not consider it fair that she has to pay a high internal price for an overhead item when the same item can be bought outside the corporate entity at a lower cost. She may be loath to have her highly profitable division subsidize an overhead division that generates no revenue for the firm. Although this internal redistribution of profits may be just, the manager may not consider it fair, especially if she has a merit-pay bonus based on the reported net income of her division.

Justice as Fairness One of the problems with distributive justice is that the allocations may not be fair. The American philosopher John Rawls (1921–2002) addressed this issue by developing a theory of justice as fairness. In *A Theory of Justice*, he presents an argument grounded in the classical position of self-interest and self-reliance. No one can ever get all the things one wants because there are other people who will prevent this from happening, for they too may want the same things. Therefore, there is a need for everyone to cooperate because that is everyone's best interest. As such, society can be seen as a cooperative arrangement for mutual benefit; it is a venture that balances conflicts of interests with identity of interests. There is an identity of interests since cooperation makes for a better life for everyone. However, human nature, being that each person would prefer to receive a larger share of the benefits and a small share of the burdens, creates a conflict of interest on how the benefits and burdens of society should be allocated. The principles that determine a fair allocation among the members of society are the principles of justice. "The concept of justice I take to be defined, then, by the role of its principles in assigning rights and duties and in defining the appropriate division of social advantages."[28]

Using the philosophical device of a hypothetical social contract, Rawls asks, What principles of justice would free and rational people choose under a veil of ignorance? The veil of ignorance means that the people setting these principles do not know in advance their place in society (class, social status, economic and political situation, gender, ethnicity, or which generation they belong to), their primary goods (rights, liberties, powers, and opportunities), or their natural goods (health, vigor, intelligence, imagination, and the like). "It is a state of affairs in which the parties are equally represented as moral persons and the outcome is not conditioned by arbitrary contingencies or the relative balance of social forces."[29] Justice as fairness means that whatever principles they agree to in this initial state would be considered fair by all. Otherwise, there would be no agreement on the terms of the social contract.

Rawls believes that in this hypothetical initial state, people would agree on two principles: that there should be equality in the assignment of basic rights and duties and that social and economic inequalities should be of benefit to the least advantaged members of society (the *difference principle*) and that access to these inequalities should be open to all (*fair equality of opportunity*). "First: each person is to have an equal right to the most extensive basic liberty compatible with a similar liberty for others. Second: social and economic inequalities are to be arranged so that they are both (a) reasonably expected to be to everyone's advantage, and (b) attached to positions and offices open to all."[30]

The difference principle recognizes that natural endowments are undeserved. Some people live in areas that have many natural resources, others are born into rich and privileged families, and some are endowed with natural gifts or talents that are in high demand. No one person deserves or merits more than another simply because of these accidents of birth. That would be unjust. On the other hand, it is just for these people to use their natural gifts, talents, and advantages not only for their own benefit but also for the benefit of the less endowed. Under the principle of justice as fairness, what is right and fair is that everyone should benefit from social and economic inequalities.

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[28] Rawls, *A Theory of Justice*, 10.

[29] Ibid., 120.

[30] Ibid., 60.

Ben and Jerry's Application of the Rawlsian Difference Principle

When applied to the business world, John Rawls's difference principle means that the diffusion of benefits should be to everyone's benefit and that offices and positions within a firm should be open to everyone if they have the requisite talents and skill set. Started as a boutique manufacturer of ice cream in Vermont in 1978, Ben & Jerry's Homemade, Inc., found a niche in the super-premium ice cream market in the 1980s. The company's founders, Ben Cohen and Jerry Greenfield, developed a managerial philosophy that embodied much of Rawls' difference principle. The company used only socially responsible suppliers, and 7.5% of pretax profits were distributed annually to projects of social change. They also imposed a five-to-one salary ratio, which was raised to seven to one in 1990. This meant that the highest-paid employee could only receive a salary that was five times (later, seven times) greater than the lowest-paid employee. There was also a salary floor; no employee's salary could fall below a fixed amount. It was initially set at $20,000 when the average per capita income in Vermont was $17,000. These corporate policies were an embodiment of the difference principle. Inequalities are acknowledged and recognized, but they are also used for the betterment of all, in this case for suppliers and employees living in Vermont. Positions of increasing responsibility within the firm are open to all. (The salary ratio was finally raised to seventeen to one before the company was sold to the multinational conglomerate Unilever in 2000.[31])

Compare Ben & Jerry's salary ratio with the huge salaries paid to most CEOs. In 1982, the pay of the average CEO in the United States was forty-two times that of the average worker. In 2023, the median pay gap for a CEO in the S&P 500 was 290 times, down from its 2000 peak of 398-to-1 but still many times higher than the 1982 ratio, even accounting for inflation[32]. Rawls would say that such discrepancy is just only if paying an executive 290 times more helps the lowest-paid employee within the firm. If not, then the high executive salary is unjust. "Thus it seems probable that if the privileges and powers of legislators and judges, say, improve the situation of the less favored, they improve that of citizens generally."[33] This means that remuneration structures as well as the privileges and powers of current CEOs should be designed to improve the welfare of all employees within the organization and should be of benefit to society as a whole. (Refer to the ethics case "Salary Equality at Gravity Payments" at the end of Chapter 5 for an example of a CEO who arbitrarily lowered the pay gap differential.)

A criticism of utilitarianism is that it may deem unfair situations to be acceptable. Rawls gives the example of slavery. A slave owner might argue that, given the structure of his society, slavery is a necessary institution since the net pain to the slave might not outweigh the utility derived by the slave owner owning the slave. But slavery is wrong not because it is unjust but rather because it is unfair. It is not a situation where, under a veil of ignorance, both parties would agree that the practice is acceptable since the system is not of benefit to the slave, the least advantaged person in the social contract. This is the issue

[31] Michael Weiss, "A Sweet Solution to the Sticky Wage Disparity Problem," *ABC News*, August 10, 2013, http://abcnews.go.com/Business/companies-follow-ben-jerrys-lead-wages/story?id=19920634.
[32] Josh Bivens, Elise Gould, and Jori Kandra, "CEO pay declined in 2023," Economic Policy Institute, September 19, 2024, https://www.epi.org/publication/ceo-pay-in-2023/.
[33] Rawls, *A Theory of Justice*, 82.

confronted by multinational corporations as they seek cheaper products for their supply chains. They can become entangled in modern slavery when outsourcing pressures intersect with regimes in which human rights are not respected. Modern slavery exploits workers while making the supply chain more efficient and effective. From a utilitarian point of view, there is no net social benefit to this arrangement. "Modern slavery is an unambiguous evil, and any business involved with it faces significant opprobrium from the general public as well as its stakeholders."[34] As such, multinationals need to structure their supply chains to avoid such engagements so as to maximize social benefits while minimizing social harms.

Multinationals operating in Third World countries need to bear this in mind. Is the wage that they are paying fair? Are salaries to the benefit of everyone in society, including those who are not employed by the multinational? Is the wage structure a system that both parties would agree to if they were in the initial state? If not, the wage is not fair or just.

Profit Isn't Everything—Pfizer Sells Drugs at Cost

Seventy percent of the world's diseases are in developing countries, yet they only receive 15% of global health spending. On May 25, 2022, at the World Economic Forum in Davos, Switzerland, Pfizer Chair and CEO Albert Bourla announced an 'Accord for a Healthier World'. Under the plan, Pfizer would provide 23 of its patented and non-patented drugs at cost to 43 lower-income countries that were home to 1.2 billion people. The countries included most of Africa as well as Haiti, Syria, Cambodia, and North Korea.

The products included "medicines and vaccines that treat or prevent many of the greatest infectious and non-communicable disease threats faced today in lower-income countries. This includes chemotherapies and oral cancer treatments that have the potential to treat nearly one million new case cases in Accord countries each year." The company would also help with supply management, training, and public education. Bourla added that the Accord was consistent with "our vision of a world where all people have access to the medicines and vaccines they need to live longer and healthier lives."

Unfortunately, by September 2024, Pfizer had signed up less than a quarter of the countries targeted under the Accord. This was due to several factors. Logistically, many lacked the bureaucracy to procure and distribute the drugs. Others had internal conflicts including civil wars and natural disasters. Even if there was slow progress, the company was helping some of the world's least advantaged and most vulnerable populations. This is justice as fairness.[35]

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[34] Harry Van Burren, Judith Schrempf-Stirling, and Michelle Westermann-Behaylo, "Toward ethical commitment: Avoiding MNC entanglement in modern slavery," *AIB Insights*, 20, no. 2: 1–4.

[35] "Pfizer Expands 'An Accord for a Healthier World' Product Offering to Include Full Portfolio for Greater Benefit to 1.2 Billion People in 45 Lower-Income Countries" *Pfizer Press Release*, January 17, 2023, https://www.pfizer.com/news/press-release/press-release-detail/pfizer-expands-accord-healthier-world-product-offering#:~:text=We%20believe%20this%20expansion%20of,longer%20and%20healthier%20lives%2C%E2%80%9D%20said.

Jennifer Rigby and Michael Erman, "Slow Progress on Pfizer's Plan to Sell to Low-Income Nations at Not-for-Profit Prices, Says CEO," *Reuters*, September 26, 2024, https://www.reuters.com/business/healthcare-pharmaceuticals/slow-progress-pfizers-plan-sell-drugs-low-income-nations-not-for-profit-price-2024-09-26/.

Virtue Ethics—Analysis of the Virtue Expected

Virtue ethics draws its inspiration from the Greek philosopher Aristotle (384–322 B.C.). In *The Nicomachean Ethics*, he explored the nature of a good life. He thought that the goal of life is happiness. This is not happiness in a hedonistic sense. Instead, happiness, for Aristotle, is an activity of the soul. We fulfill our goal of being happy by living a virtuous life, a life in accordance with reason. Virtue is a character of the soul that is demonstrated only in voluntary actions, that is, in acts that are freely chosen after deliberation. So, we become virtuous by regularly performing virtuous acts. But Aristotle also felt that there is a need for ethical education so that people will know what acts are virtuous.

Aristotle thought that we can understand and identify virtues by arranging human characteristics in triads, with the two extremes being vices and the middle one being a virtue. For Aristotle, courage is the mean between cowardice and rashness; temperance is between self-indulgence and insensibility. The other virtues of pride, ambition, good temper, friendliness, truthfulness, ready wit, shame, and justice can similarly be seen as the middle way between two vices. Virtue is the golden mean. This is not an arithmetic mean but rather a path between extreme positions that would vary depending on the circumstances. You need to use your reason to identify the mean in each ethical situation, and you become better at doing this with experience, by acting virtuously. Practice makes perfect.

Virtue ethics focuses on the moral character of the decision maker rather than the consequences of the action (utilitarianism) or the motivation of the decision maker (deontology). It adopts a more holistic approach to understanding human ethical behavior. It recognizes that there are many aspects to our personalities. Each of us has a variety of character traits that are developed as we mature emotionally and ethically. Once these character traits are formed, they tend to remain fairly stable. Our personalities are many-faceted, and our behavior is reasonably consistent. Although we all have numerous and often similar virtues, we demonstrate them in varying degrees despite similar situations.

By focusing on the whole person, who has a unique combination of virtues, this theory avoids false dichotomies. It denies that the consequences of actions are either right or wrong or that the motivation of the decision maker was either good or bad. In a business setting, virtue ethics eschews the notion that executives wear two hats—one hat representing personal values and the other corporate values, believing that an executive can wear only one hat at a time. This was the attitude of the two executives at Beech-Nut Nutrition Corporation who were model citizens (socially responsible when not at work) while at the same time they sold diluted apple juice to infants (tough businessmen while at work).[36] How many executives erroneously think of themselves as wearing two hats—one for corporate values and the other for personal values? They forget that it is the same head under each of the hats. Virtue ethics denies false dichotomies such as that it is either business-related or ethics-related, that you can do good or be profitable, and that you need to check your personal values at the door when you show up for work. The advantage of virtue ethics is that it takes a broader view, recognizing that the decision maker has a variety of character traits.

[36] James Traub, "Into the Mouths of Babes," *New York Times Magazine,* July 24, 1988, http://www.nytimes.com/1988/07/24/magazine/into-the-mouths-of-babes.html?pagewanted=all.

Virtues Take Precedence—Adidas and Kanye West

The Adidas website states that the company's values include "courage, ownership, innovation, teamplay, integrity, and respect." In 2013, the rapper Kanye West ended his relationship with Nike and partnered with Adidas, the German sportswear giant, to produce the Yeezy brand of sportswear. It was one of the most successful celebrity-sportswear partnerships generating profits for Adidas and making West a billionaire. However, Adidas ended the partnership after the rapper made a series of antisemitic posts on social media. The company said it does "not tolerate antisemitism and any other sort of hate speech." It added that "recent comments and actions have been unacceptable, hateful and dangerous, and they violate the company's values of diversity and inclusion, mutual respect and fairness."

Sometimes adhering to a company's values can be difficult. Severing the West relationship was a costly decision. Adidas had €1.2 billion worth of Yeezy inventory. However, the company demonstrated courage by adhering to its core values and integrity by not being aligned with racism.[37]

Weaknesses with Virtue Ethics There are two interrelated problems with virtue ethics. What are the virtues that businesspeople should have, and how is virtue demonstrated in the workplace? A key virtue in business is integrity. A 2014 global survey by the Conference Board asked CEOs, presidents, and chairs of boards of directors to identify the leadership attributes and behaviors they believed were critical to future success. The top attribute was integrity.[38] Integrity is an essential leadership quality and is fundamental in business behavior.

Integrity involves being honest and upstanding. For a business, it means that the firm's actions are consistent with its principles. It is demonstrated by not compromising on core values even when there is strong pressure to do so. Consider the case of fund-raising by nonprofit organizations. Most organizations in the not-for-profit sector have very clear objectives: universities teach and conduct research, a hospice provides solace to the dying, and a choir society trains children to sing. The driving force for many nonprofits is their core values as described in the organization's mission statement. A nonprofit demonstrates integrity by not accepting donations from individuals and organizations that have values that are opposed to the core values of the nonprofit. For example, the American Cancer Society does not usually accept money from tobacco companies, and Mothers Against Drunk Driving declined a donation from the Anheuser-Busch brewery. Although they often need the funds, many nonprofits are not willing to compromise their core values and principles for money.

Companies demonstrate consistency when they adhere to their core ethical values, often articulated in their mission statements. The pharmaceutical company Johnson & Johnson engaged in the first major product recall in 1982 when bottles of its best-selling product Tylenol were found to contain cyanide. Harming customers was a violation of the core values and principles of Johnson & Johnson, so the product was recalled. Similarly,

[37] Faarea Masud, "Adidas ends 'fight' with Kanye West over antisemitism," *BBC*, October 19, 2024, https://www.bbc.com/news/articles/cgej945wp9xo.

[38] The Conference Board, *CEO Challenge* 2014, https://www.conference-board.org/retrievefile.cfm?filename=TCB_R-1537-14-RR1.pdf&type=subsite.

in 2008, Maple Leaf Foods withdrew its meat products when twenty-two people died after eating cold cuts that contained listeria. The company's mission statement said, "Maple Leaf Foods is a strong, values-based company where we take pride in doing what's right for our consumers, customers, our people and the communities where we live and work." Withdrawing the product was consistent with the company's values. How many other companies would demonstrate this level of integrity by voluntarily removing a profitable product promptly, thereby causing the stock price to fall, simply because the product violated the company's core values?

Johnson & Johnson's Worldwide Recall of Tylenol: Virtue Ethics

In 1982, the pharmaceutical company Johnson & Johnson withdrew Tylenol from the market after a number of people in the Chicago area who had taken Extra Strength Tylenol died. At the time of the crisis, Tylenol had 37% of the analgesic market, contributing 7.4% to the company's gross revenues and 17% to 18% of its net income. Five bottles had been tampered with and the capsules injected with cyanide by a still unknown person. An internal investigation revealed that the problem had not occurred in the manufacturing process; and the Federal Bureau of Investigation (FBI) looked into the deaths and recommended that the product not be withdrawn because Johnson & Johnson was not at fault in the poisoning; and legal counsel advised against withdrawing the product lest it indicate culpability on the part of the firm. At the time, a product recall was an extremely rare event. Nevertheless, the CEO, James Burke, withdrew the product because it violated the company's Credo or mission statement, called Credo. Written by Robert Woods Johnson in the 1940s, it outlines, in four short paragraphs, the company's responsibilities to the medical community, customers, suppliers, employees, local and worldwide communities, and stockholders. The first two sentences of the Credo are these: "We believe our first responsibility is to the doctors, nurses, and patients, to mothers and all others who use our products and services. In meeting their needs everything we do must be of the highest quality." For Burke, this was an easy decision that was consistent with the company's core values. Johnson & Johnson had an obligation to maintain the safety of its customers. Tylenol was an unsafe product. Therefore, it had to be recalled—and not only in the Chicago area but also worldwide.

At the individual level, what are the important virtues that businesspeople should have? Bertrand Russell thought that Aristotle's list was applicable only to respectable middle-aged people since it lacked ardor and enthusiasm and seemed to be grounded on the principles of prudence and moderation. He may be right. The list may also represent the values of middle-class accountants. Libby and Thorne identified the virtues that public accountants hold dear. They came up with an Aristotelian-type list that included honesty, sincerity, truthfulness, reliability, dependability, and trustworthiness.[39] However, the problem with virtue ethics is that we are unable to compile an exhaustive list of virtues. Furthermore, virtues may be situation-specific. A public accountant may need courage when

[39] Theresa Libby and Linda Thorne, "Auditors' Virtue: A Qualitative Analysis and Categorization," *Business Ethics Quarterly* 14, no. 3 (2004).

telling a CFO that her accounting policy does not result in the fair presentation of her company's financial statements. A CEO requires candor and truthfulness when explaining a potential downsizing to company employees and those who live in the community who will be adversely affected by a plant closing.

Many items on the list may be self-contradictory in certain circumstances. Should you tell the truth or be compassionate when dealing with a dying relative? Assume that you know that, due to adverse economic factors, your employer is going to lay off three employees at the end of next week. One of those employees tells you that she has just bought a new condominium and that, although it is expensive, she can afford the mortgage payments because she has this good job. Do you tell her that she should not sign the agreement because she will be laid off next week (compassion), or do you remain silent because your boss told you the names of the employees in confidence (not betraying a trust)?

Moral Imagination

Business students are trained to become business managers, and business managers are expected to be able to make hard decisions. Managers are to be creative and innovative in the solutions that they come up with to solve practical business problems. They should be no less creative when it comes to ethical problems. Managers should use their moral imagination to determine win-win ethical alternatives. That is, the decisions need to be good for the individual, good for the firm, and good for society.

This chapter has provided a background on the theoretical foundations to make ethical decisions. Chapter 4 provides an ethical decision-making framework. Together, these two chapters should help in allowing you to be creative and imaginative in solving and resolving ethical problems and dilemmas.

Questions

1. How would you respond when someone makes a decision that adversely affects you while saying, "It's nothing personal, it's just business"? Is business impersonal?
2. Is someone who makes an ethical decision based on enlightened self-interest worthy of more or less praise than someone who makes a similar decision based solely on economic considerations?
3. Since happiness is extremely subjective, how would you objectively measure and assess happiness? Do you agree with J. S. Mill that arithmetic can be used to calculate happiness? Is money a good proxy for happiness?
4. Is there any categorical imperative that you can think of that would have universal application? Isn't there an exception to every rule?
5. Assume that Firm A is a publicly traded company that puts its financial statements on the Web. This information can be accessed and read by anyone, even those who do not own shares of Firm A. This a free-rider situation, where an investor can use Firm A as a means to making an investment decision about another company. Is this ethical? Does free-riding treat another individual as a means and not also as an end?

6. How does a business executive demonstrate virtue when dealing with a disgruntled shareholder at the annual meeting?
7. Commuters who have more than one passenger in the car are permitted to drive in a special lane on the highway while all the other motorists have to contend with stop-and-go traffic. What does this have to do with ethics? Assess this situation using each of the following ethical theories: utilitarianism, deontology, justice, fairness, and virtue ethics.

Case Insights

- *Dealing with Disappointed Apple iPhone Customers* is an illustrative application of the problem Apple Corporation encountered when it suddenly and dramatically decreased the price of its iPhone within months of introducing the product. The customers who bought the iPhone at the earlier and higher price were not pleased. (An analysis of this case is provided in this chapter under the heading "An Illustration of Ethical Decision Making.")
- *Spy Versus Spy: Corporate Espionage in the Canadian Airline Industry* requires students to analyze the ethicality of one firm spying on another firm in order to gain competitive intelligence about the firm's industry.
- *Art Forgeries: Is Deceiving Art Experts Unethical?* asks whether it is unethical to freely donate forgeries to an art gallery even if doing so, technically, is not illegal.
- *Matt Colvin Buys Hand Sanitizers* requires students to examine the ethics of earning excessive profits from people who can be exploited.
- *Deciding Who Receives the Swine Flu Vaccine* requires students to decide who should be the first to receive a limited supply of medicine using two different theories: utilitarianism and justice as fairness.
- *Insurance and Genetically Inherited Diseases* asks whether it is unethical for insurance companies to deny insurance coverage to people who have a genetically inherited disease.
- *The Case of Cesar Correia* tells the story of two entrepreneurs who start a business and then lose customers when the customers learn that one of the entrepreneurs has a criminal past. If it is not a business-related crime, should it be disclosed? Does the other entrepreneur have the right to know about his partner's criminal past?

Useful Video & Film

- *Basic Frameworks in Business Ethics* by Thomas Donaldson and Mark O. Winkelman, professor, Wharton School at the University of Pennsylvania. Video is from the 2010 Conference on Teaching Ethics at the Wheatley Institution at Brigham Young University; see http://teachingethics.byu.edu.
- *Ethics Unwrapped* are a series of short videos from the McCombs School of Business at the University of Texas, Austin. They explain basic ethics principles and concepts and provide a series of illustrative cases.
- *Margin Call*, the 2011 award-winning movie, presents a moral dilemma during the 2007–2008 subprime mortgage crisis. Should an investment dealer knowingly sell toxic assets to an unsuspecting buyer in order to avoid having to record a write-down on those assets that might result in the selling firm going bankrupt?

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Cases Involving Improper Behavior

An Illustration of Ethical Decision Making

Ethics Case

Dealing with Disappointed Apple iPhone Customers

On September 5, 2007, Steve Jobs, the CEO of Apple Inc., announced that the spectacularly successful iPhone would be reduced in price by $200 from $599, its introductory price of roughly two months earlier.[1] Needless to say, he received hundreds of emails from irate customers. Two days later, he offered early customers who paid full price a $100 credit good at Apple's retail and online stores. Was this decision to mitigate the $200 price decrease and the manner of doing so appropriate from an ethical perspective?

iPhone Analysis

The ethicality of this iPhone marketing decision can be analyzed using different ethical theories, and, interestingly, the conclusions are not the same. Ethical theories help to frame a question, and they help in highlighting aspects of the case that might be overlooked if the case

[1] David Ho, "Apple CEO Apologizes to Customers," *Toronto Star*, September 7, 2007, B4.

were analyzed in purely economic terms. The theories can also help in explaining and defending the option you ultimately choose. But, in the end, you must have the courage of your convictions and make a choice.

Utilitarianism

Utilitarianism argues that the best ethical alternative is the one that will produce the greatest amount of net pleasure to the widest audience of relevant stakeholders. In this case, pleasure can be measured in terms of customer satisfaction. Presumably, the customers who bought the iPhone at both the higher and the lower prices are satisfied with the product function, so there is no product dissatisfaction. The only dissatisfaction is the effect among the customers who paid $599. They were upset that they paid $200 more than the current customers, who were purchasing the identical product at $399. Steve Jobs received over a hundred emails in the two days after the price was dropped.

Does the dissatisfaction of the $599 group outweigh the satisfaction of the $399 group? Presumably, there are a larger number of customers purchasing the iPhone at the lower price, so, all other things being equal, there will be a greater number of satisfied customers at the $399 price than the number of dissatisfied customers at the $599 price. So, the conclusion would be to do nothing.

However, utilitarianism requires that you examine the consequences to all stakeholders. The dissatisfied customers voiced their displeasure to Steve Jobs through their emails to him. This presumably lowered his feeling of satisfaction. These dissatisfied customers might also take their anger out at the sales representatives at the Apple stores. More importantly, they may show their dissatisfaction by not purchasing any additional Apple products. To mitigate this, Steve Jobs should offer rebates to the $599 customers that are equal to their level of dissatisfaction. That is, the rebates should be sufficient enough to ensure that these customers return to buy other Apple products rather than take their business to the competition.

Deontology

Deontology looks at the motivation of the decision maker rather than the consequences of the decision. Are you willing to make it a universal rule that whenever prices fall, all previous customers should be subsidized? The iPhone was launched in June 2007 at a price of $599 per unit. Customers willingly paid $599 for the product. Nevertheless, two months later, on September 5, the price was dropped to $399. Presumably, the costs of production had not decreased during the summer, so the $200 price reduction was because the iPhone was initially overpriced, even though customers were purchasing the product at $599 per unit.

Thus, the deontological question becomes, Should rebates be given whenever products are incorrectly priced too high and the price is shortly thereafter lowered and the price reduction is not due to product efficiencies? That is, is it ethically correct to compensate those who have been overcharged? It would appear that Apple thinks so, and as a result, the company was willing to give an in-store rebate to anyone who bought the iPhone at the higher price. If the company did not offer a rebate, then it would be treating its initial customers merely as a means of generating abnormal rents (i.e., profits). From a deontological perspective, a rebate should be offered because otherwise you are treating the first group of customers opportunistically, as a means to the company's end.

However, by offering a rebate, has the company set a bad precedent for itself? Every time the price of a product falls, should all the customers who paid the higher price receive a rebate? Technological advances are so rapid that the manufacturing costs of electronics are constantly decreasing. As a consequence, the price of electronics tends to decrease over time. The iPhone version 2.0, launched in June 2008, one year after the original iPhone, has more features than the original phone and is priced at $199 per unit. Should all those who paid $399 for the original iPhone be given a rebate too?

It is clear that the 2008 model is different from the original 2007 model. But what if the differences were not readily apparent to the consumer? Assume that the selling price decreases because of production efficiencies. Are you prepared to make a rebate every time the current price falls because the current costs of production have decreased? This may be the perception of Apple customers if the company begins to pay rebates.

Remember, from a deontological perspective, the consequences are unimportant. What is important is that the decision was made for the right reasons. The fact that customers cannot differentiate between overcharging and production efficiencies is irrelevant. The only relevant aspect is that the decision maker knows the difference between overcharging and production efficiencies and that the decision maker makes a rebate in the former case but not in the latter. The fact that the presence or absence of a rebate may influence future sales is irrelevant.

Justice & Fairness

Distributive justice argues that equals should be treated equally and that unequals should be treated unequally in relationship to their relevant inequalities and differences. Are all customers equal? This would depend on your time frame. If you assume that there will be no repeat business from any customer, then they are not equal. A fair price is defined as one that a willing buyer and a willing seller would accept in a noncoercive arm's-length transaction. Assuming there was no undue sales pressure, then the customers who bought the iPhone at $599 thought that that was a fair price. The ones who bought the iPhone at $399 also, presumably, considered that to be a fair price. So, both groups were willing to pay fair value for the product at the time of purchase. There is no ethical reason to reverse those transactions. Both were fair, albeit different, prices.

On the other hand, if a business is attempting to establish an ongoing relationship with its customers who will be buying numerous products over a long period of time, then all customers are equal. As such, they need to be treated equally. This means that a business does not want to alienate any of its customer base, so it will offer a rebate to make everyone equal.

Rawls argues that social and economic inequalities are just if these inequalities are to everyone's benefit. This means that a price differentiation is just if it relates to production cost differences. Assume that the cash flow from the $599 sales was used to fund production efficiencies that permitted the company to maintain the same profit margin while reducing the price of the product to $399. If this had been the case, then the price inequality would be to everyone's advantage. The higher price permitted the lower price to occur. However, the actual price decrease occurred two months after the launch of the product. Presumably, there were no production changes during the summer. So, this price differentiation is not to everyone's advantage and as such would not be considered just.

Virtue Ethics

Virtue ethics focuses on the moral character of the decision maker. What values does Steve Jobs want his company to project? The website of Apple Inc. has separate pages concerning responsible supplier management and Apple's commitment to the environment. The company projects an image of high quality with high ethical standards. The last thing this company wants is criticism that it is not behaving responsibly.

Two days after the price of the iPhone was dropped to $399, Steve Jobs publicly apologized for the pricing error and offered a $100 in-store rebate to those customers who had paid $599 for the product. What values is Steve Jobs demonstrating by making a public apology? By admitting his pricing error and atoning for the error by offering a rebate, he is demonstrating rectitude. By being honest and straightforward in his apology, he is taking personal responsibility for the mistake.

On the other hand, you might say that he is not demonstrating integrity because he is recanting under pressure. This was not a free decision. He was reacting to public pressure. He had received hundreds of emails from irate customers. Furthermore, he waited two days before succumbing to the pressure. Instead, he should have demonstrated courage by not offering a rebate. He could have said that the $599 was a fair price at that time and that $399 is a fair price at this time. No one was coerced into buying the product at either price.

Moral Imagination or Marketing Ploy?

Moral imagination means coming up with a creative and innovative solution to an ethical dilemma. The price of the iPhone was dropped to $399 in order to better market the product during the holiday season. Was offering a $100 rebate an example of moral imagination, or was it simply another marketing ploy?

Both sets of customers paid fair value for their iPhones, which implies that no rebate should be offered. But if a rebate should be offered, then presumably it should be for $200, thereby making the sales price to both sets of customers equal. So, the two options are to provide either no rebate or a $200 rebate. However, Apple chose a third alternative: not to give a rebate but instead to give a partial credit. The $599 customers were given a $100 in-store credit toward future purchases. Such a credit costs Apple far less than a cash rebate of $100. Furthermore, the $100 is half of the price decrease. So, if the $599 price was incorrectly set too high and Jobs was truly contrite about his pricing error, then why did he not offer a full cash rebate of $200?

An argument can be made that Steve Jobs was willing to admit his pricing mistake, but he was not willing to suffer the full financial consequences of his error. By adopting this compromise position, he managed to deflect customer criticism without having to make an actual cash settlement. Cynics may say that this third option was mostly motivated by marketing concerns and very little by ethical concerns—that it was a marketing ploy to appease irate customers, and that Apple is appearing to be ethically responsible without having to bear the full economic consequences of its decision.

In conclusion, a decision maker would be wise to consider how consumers, employees, and others will react to a proposed decision. Will it fulfill their ethical expectations of what is right or wrong? Ethical theories can provide useful perspectives that should be weighed when arriving at an overall conclusion about the ethicality of the decision.

Spy versus Spy: Corporate Espionage in the Canadian Airline Industry

Ethics Case

In the airline industry, passenger load capacity is the proportion of seats filled on each flight. The objective is to have all airplanes at full-load capacity on all flights.

In October 2000, Jeffrey Lafond, a former Air Canada employee, joined WestJet Airlines as a financial analyst. As part of his separation package from Air Canada, Lafond received two airline tickets per year for five years. These tickets were booked through a private password-protected Air Canada website reserved for former employees and retirees.

Mark Hill was the vice president of strategic planning and a cofounder of WestJet. Hill used Lafond's identification code to access the Air Canada website to obtain information concerning passenger load capacity, actual loads, and load percentages. This was very useful information. Hill could use it to adjust WestJet's ticket prices in order to attract passengers away from Air Canada and thereby maximize the airline's load capacity. Between May 15, 2003, and March 19, 2004, Lafond's code was used 243,630 times to access the private Air Canada website.

On December 19, 2003, Melvin Crothers, a WestJet employee, noticed Air Canada's logo and load factors on the computer screen of Duncan Bureau, director of sales at WestJet. Crothers thought that a 'rogue employee' at Air Canada was leaking information to WestJet. So, he decided to report this to Clive Beddoe, the CEO of WestJet, but Beddoe was on holiday. Later that afternoon, Crothers phoned a former WestJet executive who was now an Air Canada executive and told him that a WestJet employee had access to a private Air Canada website. Crothers justified his informing Air Canada on the basis that "I didn't like what I found out about the website. It was wrong, morally and ethically, and I'm a Christian man."[1]

Five days later, on December 24, Yves Duguay, senior director of corporate security and risk management for Air Canada, hired IPSA International Inc., a private investigating firm, to look into Crothers' allegation. A month later, IPSA discovered that someone in the Victoria area was repeatedly accessing the private Air Canada employee website. A trace of the IP address led them to suspect that the hacker was Mark Hill, who lived in Oak Bay, a suburb of Victoria. However, Air Canada could not prove that Hill was acquiring confidential Air Canada information. (The technology mentioned in this case was sophisticated at the time. Recent technology would be more precise.)

On March 5, 2004, Hill booked an Air Canada flight from Toronto to Fort Lauderdale, Florida. (He was investigating whether WestJet should expand its operations to include Fort Lauderdale). Air Canada hired Robert Stenhouse, a former RCMP staff sergeant, with the Royal Canadian Mounted Police, and arranged for Stenhouse to have the seat next to Hill. Sitting next to one another, the two men introduced themselves. Hill said that he was a WestJet executive, and Stenhouse said that he used to work as a Mountie. Stenhouse did not say that he was currently working for Air Canada. During the flight, Hill had sheets of paper with data that he was entering into his laptop. When Hill went to the washroom, Stenhouse copied the material. It was detailed information about Air Canada flight numbers, flight times, and passenger loads.

Two weeks later, Air Canada hired other private detectives to go through Hill's trash at his home in Oak Bay. Afterward, Air Canada arranged to have the shredded papers digitally reconstructed by a U.S. firm.

Questions

1. Did WestJet do anything wrong?
2. Did Air Canada do anything wrong?
3. Melvin Crothers received no financial benefit or any thanks from WestJet or Air Canada for what he did. Did Crothers do the right thing?

Sources: "Air Canada Suing WestJet," *The Globe and Mail*, April 6, 2004.

Brent Jang, "WestJet Chief Aware of Spying: Air Canada," *The Globe and Mail*, November 6, 2004.

Brent Jang, "The Gumshoe Who Stung WestJet," *The Globe and Mail*, December 6, 2006.

[1] Brent Jang and Patrick Brethour, "The WestJet Whistle-Blower," *The Globe and Mail*, October 18, 2006.

Art Forgeries: Is Deceiving Art Experts Unethical?

Ethics Case

Eric Hebborn (1934–1996) was an English painter and art forger. Hebborn attended the Royal Academy of Arts and then the British School at Rome, two of the most prestigious fine arts schools at the time. Underappreciated as an artist, he turned his hand to copying old masters. His forgeries were detected when an art curator noticed that two of the Gallery's drawings, by two different artists, were sketched on identical paper.

In his autobiography, *Drawn to Trouble: Confessions of a Master Forger*, Hebborn admitted to selling thousands of forged paintings, drawings, and sculptures. He boasted how easy it was to fool art experts who, he contended, should have been able to detect that they were fakes. "Only the experts are worth fooling. The greater the expert, the greater the satisfaction in deceiving them." However, his personal moral code would not allow him to sell his forgeries to amateur collectors. Hebborn was never sued because embarrassed art experts refused to admit in court that they had been deceived.

Mark Landis (born 1955) is an American art forger. He attended the Art Institute of Chicago, where he learned to restore damaged paintings. Then he began to forge lesser-known artists and donated his fake paintings to more than fifty art galleries and museums in twenty states. His forgeries were detected when a gallery curator noticed that a Paul Signac watercolor of two boats was similar to a Signac watercolor that had been donated to another art gallery.

Landis donated the paintings under various aliases, saying that the paintings were in memory of a deceased parent. Landis has not been prosecuted because he never profited from his forgeries. He never accepted any money from the art galleries and museums, nor did he claim any tax deductions for his donations. "We couldn't identify a federal crime violation," said Robert Withman, senior FBI investigator. "Basically, you have a guy going around the country on his own nickel giving stuff to museums."

Questions

1. Is it ethically acceptable to sell forgeries to art experts who should be able to differentiate a fake from an authentic work of art?
2. Comment on Hebborn's personal moral code.
3. Was anyone harmed when Landis donated his forged paintings to various art galleries and museums?
4. Does the fact that Landis did not profit from his donations mean that it was ethically acceptable to give forgeries to art galleries and museums?

Sources: Eric Hebborn, *Drawn to Trouble: Confessions of a Master Forger* (Mainstream Publishing, New York, NY, 1991).

Alec Wilkinson, "The Giveaway," *New Yorker Magazine*, August 26, 2013.

Matt Colvin Buys Hand Sanitizers

Ethics Case

For ten years, Matt Colvin, who lived near Chattanooga, Tennessee, made his living buying and selling items through online marketplaces, such as Amazon. In February 2020, when the novel coronavirus was raging in Huanan, China, Matt bought 2,000 pandemic packs from a liquidator at $3.50 per pack that he resold for a substantial profit.

On March 1, 2020, the day after the first reported COVID-19 death in the United States, Matt and his brother Noah began buying hand sanitizers, antibacterial wipes, and medical masks. For three days, Noah drove 1,300 miles across Tennessee and Kentucky filling his rental truck with sanitizers and wipes. Meanwhile, his brother made "crazy money" selling 300 bottles of hand sanitizer on Amazon for between $8 to $70 per bottle.

On Saturday, March 14, the New York Times published an article about the Colvin's with a photo of Matt standing in front of his stockpile of 17,700 bottles of hand sanitizers. The article sparked immediate outrage, resulting in nasty emails, angry internet postings, and even death threats. Amazon and eBay suspended him as a seller. The Tennessee attorney general's office issued a cease-and-desist order and then charged him with price gouging.

On Sunday, March 15, Matt donated two-thirds of his cache to a local Tennessee church, while the government took the other third for distribution in Kentucky. That same day, he expressed regret in an interview about his intention to hoard the sanitizers and wipes. "When we did this trip, I had no idea these stores wouldn't be able to get replenished. … It was never my intention to keep necessary medical supplies out of the hands of people who needed them."

Economists argue that price gouging laws put an artificial cap on prices that instead should be set through market forces. Supply and demand should influence prices. The benefit of extreme prices is that they incentivize the production of more hand sanitizers, while encouraging consumers to limit what they buy and consume.

Questions

1. Is there anything wrong with making 'crazy money' because people are willing to pay $70 for hand sanitizers in March of 2020?
2. Do you think that Matt would have donated the supplies had there not been a huge public outcry?

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CBS News. 2020. "They hoarded sanitizer hoping for a big profit. Now they're donating it." *Associated Press*, March 16. Available at https://www.cbsnews.com/news/matt-colvin-hand-sanitizer-resale-donation-tennesee-attorney-general-investigation/.

Nicas, Jack. 2020. The man with 17,000 bottles of hand sanitizer just donated them." *The New York Times*, March 15. Available at https://www.nytimes.com/2020/03/15/technology/matt-colvin-hand-sanitizer-donation.html.

Snider, Jeremy. 2020. "Are jacked-up prices of hand sanitizers immoral? It depends." *The Globe and Mail*, March 17, A11.

Deciding Who Receives the Swine Flu Vaccine

Ethics Case

Throughout 2009, the world was plagued with the H1N1 swine flu epidemic. The H1N1 influenza virus, which began in Mexico, spread rapidly. In June, the World Health Organization (WHO) declared it to be a global pandemic.

Those who caught the virus suffered from chills, fever, headaches, coughing, pain, weakness, and general discomfort. At the extreme, it could kill, and thousands around the world died from the disease. In order to minimize the chances of catching swine flu, WHO recommended that everyone be inoculated against the disease. However, there was not enough vaccine available, so a priority system had to be established. The Centers for Disease Control and Prevention (CDC) in Atlanta recommended that those who were at greater risk be inoculated first. Priority would be given to pregnant women, caregivers of young children, health care and emergency medical service personnel, and people from six months to twenty-four years of age. Older people were excluded because the risks of contracting the disease for people over age sixty-five were less than for the younger age groups.

Although many people chose not to receive the vaccine, the lineups of those who wanted to be inoculated were often hours long. Sometimes people waited all day, only to be told at the end of the day that the supply of the vaccine had run out. On November 2, 2009, *BusinessWeek* reported that Goldman Sachs, Citigroup, and a number of other large employers in New York City were given the vaccine to distribute. Although these companies were to follow the CDC priority group guidelines, there was the appearance that these employees were line jumping, especially after it was revealed that Goldman Sachs received as many doses as the Lennox Hill Hospital in New York City.

At the same time, in Canada, it was reported that many of the Calgary Flames hockey players, along with their families, the coaching staff, and management, had received the swine flu vaccine. None of these people were in the priority group.

Questions

1. From a utilitarian point of view, who do you think should be in the priority group?
2. From a justice as fairness perspective, who should be in the priority group?
3. Should people who make society flourish through their economic productivity, such as the employees of Goldman Sachs, be put into the priority group?
4. Should people who contribute to making life enjoyable, such as entertainers and athletes, be put into the priority group?
5. If you were the CEO of the company that manufactured the swine flu vaccine, would you ensure that all your employees were inoculated first, or would you recommend that they too wait in line?

Sources: Esmé E. Deprez, "New York Businesses Get H1N1 Vaccine," *Business Week*, November 2, 2009, http://www.businessweek.com/bwdaily/dnflash/content/nov2009/db2009112_606442.htm.

Tony Seskus, "Flames Skipped Queue for H1N1 Flu Vaccine," *National Post*, November 2, 2009, http://www.nationalpost.com/sports/story.html?id=2179790.

Joe Weisenthal, "Goldman Sachs Received H1N1 Vaccine before Several Hospitals," *Business Insider*, November 5, 2009, http://www.businessinsider.com/goldman-sachs-received-h1n1-vaccine-before-several-hospitals-2009–11.

Insurance and Genetically Inherited Diseases

Ethics Case

Adverse selection occurs when one party has an information advantage over the other party. In the case of insurance, people taking out insurance know more about their health and lifestyle than the insurance company. Therefore, to reduce information asymmetry, the insurance company asks prospective customers to complete a medical questionnaire and/or submit to a medical examination. Knowing the health risks associated with the people taking out insurance allows the insurance company to better adjust the premiums that it charges. For example, the premium for smokers is higher than for nonsmokers.

Some people are subject to genetically inherited health problems, such as Alzheimer's disease, ALS, and Huntington's disease. Huntington's, for example, is an incurable degenerative brain disorder that affects about 1 in 10,000 people. Children of a parent who has Huntington's have a 50% chance of inheriting the disease.

Legislation in Belgium, Denmark, Finland, France, Norway, and Sweden makes it illegal to discriminate against people who may have inherited diseases. Similar legislation was enacted in the United States in 2008, where the *Genetic Information Nondiscrimination Act* prohibits employment and insurance discrimination simply on the basis that a person has a genetic predisposition to developing a disease in the future.

In February 2010, Canadian Member of Parliament Judy Wasylycia-Leis tabled a private member's bill against genetic discrimination. She was opposed to genetic discrimination for three reasons. "One is that people who carry genes that code for particular diseases may or may not eventually develop them. The second is that some people may not want to be forced to take a test because they don't want to know what their eventual fate in life may be. Finally, the third is that people who do want to take a test for health reasons may not do so because they fear having the results used against them." Her bill did not get beyond first reading.

In April 2013, Liberal Senator James Cowan tabled a similar bill that would stop insurance companies from discriminating based on genetic testing. His bill passed but was challenged on the basis that such legislation was a provincial matter. In July 2020, the Supreme Court ruled the legislation as a legitimate exercise of Federal powers.

Questions

1. Excluding the issue of genetically inherited diseases, should insurance companies charge high-risk people a higher premium than low-risk people?
2. Excluding the issue of genetically inherited diseases, should insurance companies require customers to disclose medical information and/or submit to a medical examination?
3. If you had been called to Parliament in February 2013, how would you argue either in favor of or opposed to Senator Cowan's proposed legislation concerning genetically inherited diseases?

Sources: Paul Turenne, "MP Fights 'Genetic Discrimination,'" *Winnipeg Sun*, February 25, 2010, http://www.winnipegsun.com/news/winnipeg/2010/02/25/13023676.html.

Olivia Stefanovich, "Supreme Court of Canada uploads genetic non-discrimination law," *CBC News*, July 10, 2020, https://www.cbc.ca/news/politics/stefanovich-supreme-court-of-canada-genetic-information-1.5643245.

The Case of Cesar Correia

Ethics Case

In 1984, when he was eighteen years old, Cesar Correia murdered his father, killing him with a baseball bat. Cesar then dumped the body in the Assiniboine River. The body was eventually found, and Cesar confessed to the crime. He pleaded guilty to manslaughter and was sentenced to prison for five years.

Background

His father, Joachim, was abusive to Cesar, to Cesar's brother, and to Cesar's mother. The judge said that Joachim was a cruel and abusive man whose home "was a living hell." The judge said, "I have no difficulty in concluding it instilled in the heart and mind of the accused a sense of devastation, desperation and frustration, which was consumed in a burning hatred for his father."

Cesar argued that he was protecting his mother and younger brother.

The Murder

Cesar and his father got into an argument while working on the family car. Cesar went and got a baseball and clubbed his father from behind, hitting him three or four times. He then got a smaller bat and hit him once or twice more. Cesar then wrapped the body in a blanket and put it and his bicycle in the family car. He drove to the Assiniboine River, where he dumped the body in the river, left the car, and returned home on the bicycle. Both Cesar and his mother claimed that they did not know what happened to Joachim. Cesar helped in the search for his missing father. A few weeks later, the body was found by some children, and Cesar quickly confessed to the police when questioned by them. He was initially charged with murder but later pleaded guilty to manslaughter.

Afterward

While in prison, he completed his university education, graduating from the University of Manitoba in 1989 with a bachelor of science degree in computer sciences and statistics. After he was released from jail, he moved to Toronto and began working in the information technology industry.

In Canada, people can apply for a pardon five years after the expiration of their sentence. They must have completed their sentence and demonstrated that they are law-abiding citizens. In 1996, twelve years after the murder and conviction, Cesar applied for and received a pardon that expunged his criminal record.

Infolink Technologies Ltd

In 1999, Cesar formed an information dissemination company, Infolink Technologies Ltd, with George Theodore. Infolink, of which Cesar was president, traded on the Toronto Stock Exchange until 2007, when it went private. The Ontario Securities Commission, which oversees the Toronto Stock Exchange, requires that all directors and officers of public companies disclose any criminal convictions and "any other penalties or sanctions imposed by a court or regulatory body that would likely be considered important to a reasonable investor in making an investment decision."

The Lawsuit

In 2003, George resigned from the company and then sued Cesar for lost profits on two transactions. George contended that two customers backed out of deals when they found out about Cesar's conviction.

Questions

1. Ignoring any legal issues, was Cesar ethically obligated to inform his partner, George, of his criminal past?
2. Did George have a right to know about Cesar's criminal past?

4

Practical Ethical Decision Making

Purpose of the Chapter

A businessperson or professional accountant facing a decision has traditionally referred to the normal expectations in the industry or profession for guidance as well as their own personal ethical values. However, corporate ethics failures have resulted in severely damaging corporations, career-shortened executives, and huge worldwide economic impacts, such as the 2002 crisis of credibility over corporate governance and accountability, the subprime lending crisis of 2008, and the LIBOR rate fiasco of 2012, all of which make it clear that decision making based only on profit and legality, motivated only by self-interest, is no longer adequate.

In the future, business and professional decisions will be expected to be ethically defensible from a stakeholder perspective. As a first step, they will be expected to conform to corporate and professional codes of conduct. But these *often* do not apply specifically to the problems faced and require interpretation to fit the circumstances. When this is required, to make practical, defensible, ethical decisions, the decision maker should be able to use the principles, approaches, and frameworks discussed in this chapter. Even when established codes and practices appear to cover the ethical aspects of a decision, decision makers should consider whether they fulfill the current ethical expectations of relevant stakeholders. In either case, understanding the principles, approaches, and frameworks covered in this chapter will always be relevant to making defensible ethical decisions.

Reading this chapter will help you be able to:

- Describe how to make practical, ethically defensible decisions
- Explain the importance of stakeholders and stakeholder accountability
- Explain how to use stakeholder impact analysis to make responsible ethical decisions
- Explain how to integrate philosophical and stakeholder analysis into ethical decision making
- Identify common ethical decision-making pitfalls, and
- Apply the concepts in this chapter to think critically about real-world and illustrative cases.

Introduction

Traditional business decision making based only on profit, legality, and self-interest has repeatedly led to significant ethical failures that have had far-reaching, worldwide financial and human consequences. While profit, legality, and self-interest provide useful and necessary core criteria, history has shown that they need to be supplemented by ethical considerations to be ethically defensible and to afford protection for directors, executives, professional accountants, investors, and other stakeholders. In the future, decision makers will be well advised to make sure that their decisions are in accordance with reasonable ethical principles and standards.

What are these general ethical principles, and how should they be applied? Building on the philosophers' contributions discussed in Chapter 3, this chapter explores these ethical principles and develops a practical, comprehensive decision framework based on how a proposed action would impact the stakeholders of the decision. The chapter concludes by proposing a comprehensive framework for making ethical decisions.

Motivating Developments for Ethical Learning

The Enron, Arthur Andersen, and WorldCom scandals gave rise to public outrage, the collapse of capital markets, and ultimately the *Sarbanes-Oxley Act of 2002*, which brought about widespread governance reform. Subsequent corporate scandals and the subprime lending fiasco served to further heighten public awareness that corporate executives can make better decisions and should do so to preserve the profitability and viability of their corporations. Ensuing court cases as well as related fines, imprisonments, and settlements have underscored the need for those decisions to reduce vulnerability to legal actions as well. The court of public opinion has also been harsh to companies and individuals who have behaved unethically. Loss of reputation due to unethical and/or illegal acts has proven to be revenue and profit-reducing, damaging to share prices, and career-ending for many executives even before the acts are fully investigated and responsibility for them is fully proven. These developments have been so important that corporate executives and directors now must give increased attention to corporate governance and the guidance it provides, in addition to their own role. Additionally, business schools that want worldwide accreditation by the Association to Advance Collegiate Schools of Business (AACSB)[1] were advised in 2004 by the AACSB's Ethics Education Task Force[2] to incorporate ethics education into their policies, practices, and curricula to cover specifically ethical matters including corporate social responsibility, governance, ethical corporate culture, and ethical decision making. Since that time, ethics matters and the impact of organizations on society have become key elements of most business school curricula.

[1] The Association to Advance Collegiate Schools of Business (AACSB) International accredits business schools and programs worldwide. Refer to http://www.aacsb.edu.

[2] The AACSB's Ethics Education Task Force is at http://www.aacsb.edu/~/media/AACSB/Publications/research-reports/ethics-education.ashx.

Beginning in 2003, the International Federation of Accountants (IFAC) issued International Education Standards (IES) for accountants. Standard IES 4 (2015),[3] for example, details the professional values, ethics, and attitudes required for professional accountants to understand and discharge their duties under the IFAC Code of Ethics for Professional Accountants.[4] More importantly, effective July 15, 2017, the International Ethics Standards Board approved *guidelines for professional accountants in responding to non-compliance with laws and regulations (NOCLAR),* representing an important contribution to the public interest.[5] This means that all subscribing member-country professional accounting bodies (CPA, CA), including those in the United Kingdom, the United States, Canada, Australia, and New Zealand, plus many others, have been considering *how their professional accountants will have to comply and report noncompliance on behalf of their clients or employers.* This change, which is discussed further in Chapter 6, has the capacity to change the role of professional accountants from bystanders claiming confidentiality to active participants in deciding to report on matters of public interest, whether they are auditors, consultants, or employees. Key to understanding the impact of corporate actions on the public interest is understanding what is ethical and what is not.

The lesson is clear. It is no longer enough to make decisions and take actions that are only profitable and legal—actions must also be ethically defensible.

Ethical Decision Making Framework—An Overview

In response to the need for ethically defensible decisions, this chapter presents a practical, comprehensive, multifaceted framework for ethical decision making (EDM). This EDM framework incorporates traditional requirements for profitability and legality as well as requirements shown to be philosophically important and those recently demanded by stakeholders. It is designed to enhance ethical reasoning by providing the following:

- Insights into the identification and analysis of key issues to be considered and questions or challenges to be raised
- Approaches to combining and applying decision-relevant factors into practical action

In general, *a decision or action is considered ethical or "right" if it conforms to certain standards*. Philosophers have been studying which standards are important for millennia, and business ethicists have recently been building on their work. Both groups have found that *one standard alone is not sufficient to ensure an ethical decision. Consequently, the EDM framework proposes that decisions or actions be compared against three standards for a comprehensive assessment of ethical behavior*.

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[3] Refer to "IES 4, Initial Professional Development—Professional Values, Ethics, and Attitudes (2015)," in International Accounting Education Standards Board, *Handbook of International Education Pronouncements* (2015 ed.) *[International Education Standards]* (New York: International Federation of Accountants, 2015). (Download available at https://www.ifac.org/publications-resources/2015-handbook-international-education-pronouncements.) Standards IES 1 (2015) to IES 6 (2015), inclusive, are reproduced at **www.cengage.com**.

[4] International Accounting Education Standards Board, *Handbook of the Code of Ethics for Professional Accountants* (2015 ed.) (New York: International Federation of Accountants, 2015). Refer to https://www.ifac.org/publications-resources/2015-handbook-code-ethics-professional-accountants-26#targetText=The%202015%20IESBA%20Handbook%20contains,be%20effective%20April%2015%2C%202016. A Revised Code, effective June 15, 2019, may be downloaded from https://www.ethicsboard.org/iesba-code.

[5] Refer to the IFAC website for Final Pronouncement, July 2016, on responding to noncompliance with laws and regulations at http://www.iaasb.org/projects/noclar.

The EDM framework assesses the ethicality of a proposed decision or action by examining the following:

- Consequences or well-offness created in terms of profit, net benefit, or net cost
- Rights and duties affected, including fairness and those protected by law
- Motivation or virtues expected

The first two of these considerations involve practical application of the philosophical principles of *consequentialism*, *deontology*, and *justice* and are examined by focusing on the impacts of a decision on shareholders and other affected stakeholders—an approach known as *stakeholder impact analysis*. The third consideration—the *motivation* of the decision maker—involves applying what philosophers know as *virtue ethics*. It provides insights likely to be helpful when assessing current and future governance problems as part of a normal risk management exercise. It is vital to note that all three EDM considerations must be examined thoroughly and that appropriate ethical values must be applied in the decision and its implementation if a decision or action is to be defensible ethically.

Figure 4.1 provides an overview of the EDM framework developed in the remainder of the chapter.

Practical EDM—the overriding focus of this chapter—involves the use of practical questions and approaches based on concepts developed by philosophers that are the subject of in-depth discussions in Chapter 3. Developing an understanding of the decision-making approaches that philosophers pioneered is essential. Table 4.1 provides a cross-reference of EDM considerations and relevant philosophical theories.

The following section summarizes the extensive treatment of philosophical approaches provided in Chapter 3 and relates them to the EDM framework.

Figure 4.1 **EDM Framework—An Overview**

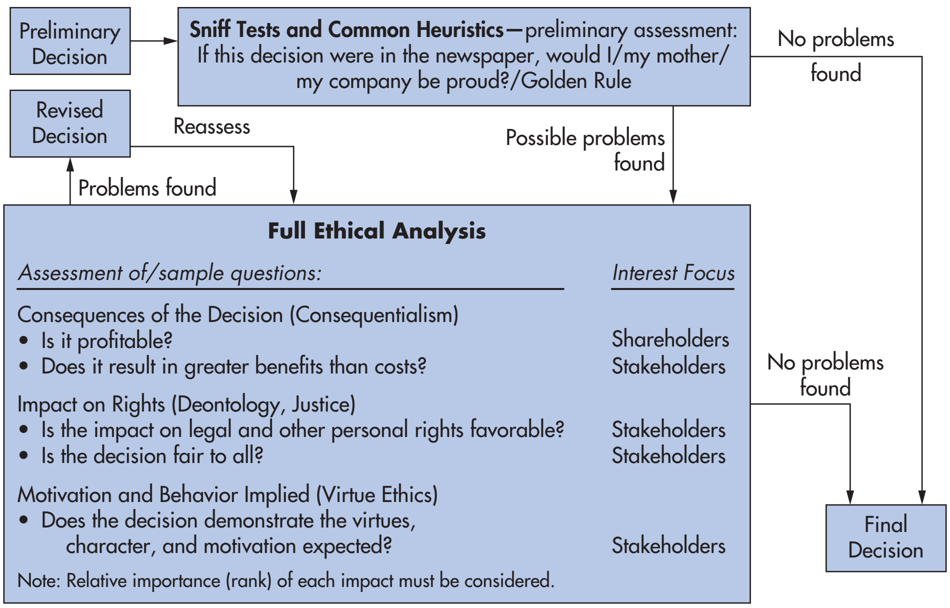

Table 4.1 EDM Considerations: Philosophical Underpinnings

EDM Considerations	Philosophical Theories
Well-offness or well-being	Consequentialism, utilitarianism, teleology[1]
Respect for the rights of stakeholders	Deontology (rights and duties)[2]
Fairness among stakeholders	Kant's categorical imperative,[3] justice as impartiality[4]
Expectations for character traits, virtues	Virtue[5]
Specific EDM Issues	
Different behavior in different cultures (bribery)	Relativism,[6] subjectivism[7]
Conflicts of interest and limits to self-interested behavior	Deontology, subjectivism, egoism[8]

Refer to:

[1] John Stuart Mill (1861/1988).
[2] For example, http://en.wikipedia.org/wiki/Deontology or http://www.molloy.edu/academic/philosophy/sophia/kant/deontology.htm.
[3] Immanuel Kant (Stumpf, 1988).
[4] Rawls (1971).
[5] Cafaro (1998) at http://www.bu.edu/wcp/Papers/TEth/TEthCafa.htm.
[6] For example, http://plato.stanford.edu/entries/relativism/.
[7] For example, http://academics.vmi.edu/psy_dr/subjectivism.htm.
[8] For example, http://www.iep.utm.edu/e/egoism.htm or http://plato.stanford.edu/entries/egoism/.

Philosophical Approaches—An Overview: Consequentialism (Utilitarianism), Deontology & Virtue Ethics

Philosophers have long been focused on making the best decisions from a societal as well as individual perspective, but the salience of their philosophies has not been well appreciated or understood in business and the professions.

Stimulated to improve ethics education and EDM by the Enron, Arthur Andersen, and WorldCom scandals and the ensuing governance reform, the AACSB Ethics Education Task Force (2004) has called for business students to be familiar with three philosophical approaches to ethical decision making: *consequentialism (utilitarianism)*, *deontology*, and *virtue ethics*. Each of the three approaches contributes differently to a useful and defensible approach for ethical decision making in business or personal life. However, because some philosophical principles and theories conflict with others and appear to clash with acceptable business practice, particularly in some cultures around the world, it is best to use a multifaceted set of considerations drawn from all three approaches to determine the ethicality of actions and to guide choices to be made.

The basic question that interests philosophers is, What makes a decision or action or person more or less good or ethical? Each of the three philosophical approaches to ethical decision making—consequentialism, deontology, and virtue ethics—focuses on a different conception of a right action. These will be reviewed in turn. Bear in mind, however, that since philosophers have been studying what makes an act good or morally right for thousands of years, it is not possible to provide a complete understanding of philosophical concepts in a few pages.

Consequentialism, Utilitarianism or Teleology

Consequentialists are intent on maximizing the utility produced by a decision. For them, the rightness of an act depends on its consequences. This approach is essential to a good ethical decision, and an understanding of it will be part of AACSB-accredited business school education in the future. According to the AACSB,

> The consequentialist approach requires students to analyze a decision in terms of the harms and benefits to multiple stakeholders and to arrive at a decision that produces the greatest good for the greatest number.[6]

Consequentialism holds that an act is morally right if and only if that act maximizes the net good.[7] In other words, an act (and therefore a decision) is ethical if its favorable consequences outweigh its negative consequences. Moreover, some believe that only the act that maximizes the net benefit of favorable minus negative consequences is morally right or ethical. Philosophers also debate the following:

- Which consequences should be counted?
- How should they be counted?
- Who deserves to be included in the set of affected stakeholders that should be considered?

For example, should the consequences to be considered be actual rather than foreseen, foreseeable, intended, or likely? Should the consequences to be considered depend on the values involved, such as the impact on life, health, pleasure, pain, privacy rights, or property rights, and with what weighting? How should the overall assessment be developed?

- Based only on the best consequences, or on all of the outcomes, or only a subset thereof?
- Based on total net good rather than average per person?
- Based on the impacts on all persons or only a select set?
- Based on the assumption that all consequences are considered of equal impact or that some are more important?
- Should the impact of the act on the decision maker or agent involved be considered?

An excellent overview of these variations and useful references can be found in the work of Walter Sinnott-Armstrong (2015).

Classic *utilitarianism*—concerned with overall utility—embraces all of these variants, and therefore it is only of partial usefulness in making ethical decisions in a business, professional, or organizational context. *Consequentialism*, however, refers to a subset of these variants that may be defined to avoid problematic measurements or other issues or to make the process more relevant to the act, decision, or context involved. Because utilitarianism and consequentialism focus on the results or "ends" of an action, they are sometimes referred to as *teleological*.[8] In the development of the practical EDM approaches that follow, this chapter adopts a consequentialist approach involving the impact analysis of decisions and actions on a comprehensive set of stakeholders and their interests based on foreseeable likely impacts, which are value-weighted in importance. The total net benefit of alternative decisions and actions is considered to identify the best and/or most defensible choices.

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[6] AACSB (2004), 12.

[7] Alternatively, an ethical choice could be the one that minimizes the net negative impact of choices where one *must* be made.

[8] *Teleos* in Greek means "end," and the study of "ends" is known as teleology.

Deontology

Deontology[9] is different from consequentialism in that deontologists focus on the obligations or duties motivating a decision or action rather than on the consequences of it. Deontological ethics takes the position that rightness depends on the respect shown for duty and the rights and fairness that those duties reflect. Consequently,

> a deontological approach raises issues related to duties, rights, and justice considerations and teaches students to use moral standards, principles, and rules as a guide to making the best ethical decision.[10]

Deontological reasoning is based largely on the thinking of Immanuel Kant (1964). He argued that a rational person making a decision about what would be good to do would consider what action would be good for all members of society to do. Such an act would improve the well-being of the decision maker and the well-being of society as well.

Kant began to search for an overriding principle that would guide all action—an imperative that everyone should follow without exception and that could therefore be considered universal or categorical. His search led to what is known as Kant's Categorical Imperative, which is a dominant principle or rule for deontologists. Kant's principle indicates that there is a duty or imperative to

> Always act in such a way that you can also will that the maxim of your action should become a universal law.[11]

This means that "if you cannot will[12] that everyone follow the same decision rule, your rule is not a moral one" (Kay 1997).

As a universal principle, everyone should follow it. Suppose a person is considering whether to lie or tell the truth. Kant would argue that lying would not be a good rule because others following the same rule would lie to you—an eventuality you would not want. Honesty would, however, qualify as a good rule. Similarly, impartiality would also qualify rather than favoritism. Moreover, the Golden Rule—do unto others as you would have them do unto you—would readily[13] qualify as a universal principle.

Using the same approach could yield a universal respect for human rights and fair treatment for all. This can be best achieved by adopting the position that one must fulfill obligations or duties that respect moral or human rights and legal or contract[14] rights. Furthermore, it can be achieved only if individuals act with "enlightened self-interest" rather than pure self-interest. Under enlightened self-interest, the interests of individuals are taken into account in decisions—they are not simply ignored or overridden. Individuals are considered "ends" rather than used as "means" to achieve an end or objective.

The concepts of fair treatment and impartiality are fundamental to the development of the concepts of distributive, retributive, or compensatory justice. John Rawls developed a set of principles of justice involving expectations for equal civil liberty, maximization of benefits to the least advantaged, and the provision of fair opportunities (Rawls, 1971). His approach utilized the concept of a "veil of ignorance" to simulate conditions of uncertainty

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[9] *Deon* in Greek means "obligation."

[10] AACSB (2004), 12.

[11] Charles D. Kay, "Notes on Deontology," 1997, http://sites.wofford.edu/kaycd/deontology.

[12] "Will" can be taken to mean "wish, want, desire, or intend."

[13] Kant foresaw, however, that an individual might "will" bad consequences on others such as by willing euthanasia on everyone. He sought to avoid such ill-will effects by further specifying that individuals be always considered "ends" rather than "means" and that an individual's freedom and one's ability to choose freely should be respected.

[14] Legal and contract rights are those protected by law, regulation, and/or contract.

to enable decision makers to evaluate the impact of their actions on themselves. Decision makers were to decide on the best action without knowing if they would be the ones benefiting or losing from it.

Actions based on duty, rights, and justice considerations are particularly important to professionals, directors, and executives who are expected to fulfill the obligations of a fiduciary. These would include actions that maintain the trust of a client of someone reliant on the more knowledgeable, expert professional to act in the client's best interest with regard to matters of considerable value. The professional accountant, for example, has a duty to act in the client's best interest provided that such action does not contravene the law and/or the codes and guidelines of related professional and regulatory bodies, such as generally accepted accounting principles (GAAP), generally accepted auditing standards, Securities and Exchange Commission (SEC), and securities commission regulations. Directors and executives must observe governance laws in order to protect shareholders and other stakeholders as noted in Chapter 5. These duties must supersede self-interest, bias, and favoritism.

Unfortunately, utilitarianism and consequentialism focus on utility and may lead to decisions or acts that ignore, downplay, or circumscribe the justice or fairness of a decision and its respect for the duties owed to and rights expected by those involved. However, *augmenting the consequentialist approach with a deontological analysis specifically including fair treatment will guard against the situation where the desire for what some consider to be beneficial consequences (or ends) will be allowed to justify the use of illegal or unethical actions (means) to achieve those ends*. For example, a deontological analysis could avoid endangering the health of workers and/or the public in order to minimize the costs of hazardous waste disposal. From a philosophical perspective as well as from the perspective of damaged investors, workers, and other stakeholders who have suffered from recent financial scandals, unfettered pursuit of self-interest and short-term profit has led to illegal and unethical acts that are regrettable.

For society, protecting some individual rights—to life and health—is usually more important than maximizing the net benefit to all. However, occasionally, such as in times of war or dire emergency, a choice justified by consequential analysis is considered ethically preferential to a choice justified by deontological considerations.

Virtue Ethics

Consequentialism emphasizes the consequences of actions, and deontology uses duties, rights, and principles as guides to correct moral behavior, whereas virtue ethics is concerned with the motivating aspects of moral character demonstrated by decision makers. Responsibility—especially culpability or blameworthiness—in both morality and law has two dimensions: the *actus reus* (guilty act) and the *mens rea* (guilty mind).[15] Consequentialism, which examines the former, is said to be "act-centered" rather than "agent-centered," as deontology and virtue ethics are.

According to the AACSB,

> Virtue ethics focuses on the character or integrity of the moral actor and looks to moral communities, such as professional communities, to help identify ethical issues and guide ethical action.[16]

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[15] Prof. Jack T. Stevenson, personal correspondence, December 2005.
[16] AACSB (2004), 12.

Aristotle's central question was, what is the good life, and how can I live it (Cafaro 1998). The answer evolved to mean that flourishing, excellence, and happiness were criteria for the good life, but there was a continuing debate over whether the focus should be on our communities' interests, our own, or both. Moreover, excellence was said to involve "intellectual, moral and physical excellence, the excellence of human beings and their creations and achievements," which again could be taken individually or in regard to broader communities. The focus of modern[17] virtue ethics is, however, on character virtues that lead to "enlightened self-interest"; it is not focused only on self-serving fulfillment.

Virtues are those character traits that dispose a person to act ethically and thereby make that person a morally good human being. For Aristotle, a virtue allowed a person to make reasonable decisions. Prudence was his key virtue in determining the proper choice between extremes. His other three important, or Cardinal, virtues were courage, temperance, and justice. For Christian philosophers, these virtues were not sufficient,[18] and they added the theological or Christian virtues of faith, hope, and charity. Other dispositions that are often cited as virtues include honesty, integrity, enlightened self-interest, compassion, fairness, impartiality, generosity, humility, and modesty.

Virtues need to be cultivated over time so that they become embedded and are therefore a consistent reference point. "If you possess a virtue, it is part of your character, a trait or disposition that you typically show in action. It is not just something that you are *able* to exhibit, but something that you usually or *dependably* exhibit."[19]

For virtue ethicists, possessing a virtue is a matter of degree. For example, being honest can mean that one tells the truth. But a person's honesty can be considered stronger or of a higher order if the individual chooses to deal only with honest people or causes, works for honest companies, has honest friends, raises his or her children to be honest, and so on. Similarly, the reason a person acts virtuously is important. For example, an honest act undertaken to gain a greedy end result is considered to be less virtuous than one taken because it is believed to be the right thing to do to improve society and/or to discharge a duty to another person or organization. A further problem in reaching the fullest levels of virtue is a lack of moral or practical wisdom, such as is evident in some acts of overgenerosity or too much compassion or courage, which can sometimes be harmful.

Although the lack of a "right" reason for virtuous action may seem academic, without such a reason, some businesspeople or professionals are prone to act for greedy self-interest rather than modern enlightened self-interest and are likely to commit unethical and/or illegal acts. They represent higher risks of ultimate deception and malpractice because they lack a basic commitment to virtue or professionalism unless it suits their own purpose. Conversely, overvirtuosity may result in emotional acts by executives or employees before seeking and receiving full information, taking too much risk, or harming others unnecessarily. Both the lack of virtue and the lack of what Aristotle would call "prudence" constitute ethical risks to good governance.

There are a number of reservations about the strength of virtue ethics as an approach to EDM. For example, virtue ethics has to do with the process of decision making incorporating moral sensitivity, perception, imagination, and judgment, and some claim that

[17] Note that Aristotle's early formulations referred more to personal happiness and pleasure than to enlightened self-interest.
[18] To ensure a union with God on death.
[19] Prof. Jack T. Stevenson, personal correspondence, December 2005.

this does not lead to easily useful EDM principles. Other criticisms are relevant, however, including the following:

- The interpretation of a virtue is culture-sensitive.
- The interpretation of what is justifiable or right is culture-sensitive.
- One's perception of what is right is to some degree influenced by ego or self-interest.

A fuller discussion of virtue ethics and the points raised may be found in Chapter 3 and in the works of Hursthouse and Pettigrove[20] and Athanassoulis[21] as well as through the readings noted on this title's website.

Sniff Tests & Common Heuristics—Preliminary Tests of Ethicality

Philosophical theories provide the basis for useful practical decision approaches and aids, although most executives and professional accountants are unaware of how and why this is so. Directors, executives, and professional accountants, however, have developed tests and commonly used rules that can be used to assess the ethicality of decisions on a preliminary basis. *If these preliminary tests give rise to concerns, a more thorough analysis should be performed using the stakeholder impact analysis techniques discussed later in this chapter*.

It is often appropriate for managers and other employees to be asked to check a proposed decision in a quick, preliminary manner to determine if an additional full-blown ethical analysis is required. These quick tests are often referred to as *sniff tests*. Commonly applied sniff tests are noted in Table 4.2.

If any of these quick tests are negative, employees are asked to seek out an ethics officer for consultation or perform a full-blown analysis of the proposed action. This analysis should be retained and perhaps reviewed by the ethics officer. A reading on sniff tests is available on the website for this book.[22]

Many executives have developed their own rules[23] for deciding whether an action is ethical. Common examples would include the following:

- The Golden Rule: Do unto others as you would have them do unto you.
- The Intuition Ethic: Do what your "gut feeling" tells you to do.

Unfortunately, although sniff tests and commonly used rules are based on ethical principles and are often very useful, they rarely, by themselves, represent a comprehensive examination of the decision and therefore leave the individuals and corporation involved vulnerable to making an unethical decision. For this reason, more comprehensive techniques of stakeholder impact analysis should be employed whenever a proposed decision is questionable or likely to have significant consequences.

Figure 4.2 is provided to link philosophers' principles and the criteria assessed by practical sniff tests, commonly used rules, and stakeholder impact analysis. Comparison of specific sniff tests and heuristics reveals that they usually focus on a fraction of the comprehensive set of criteria that stakeholder impact analysis examines.

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[20] Rosalind Hursthouse and Glen Pettigrove. 2023. "Virtue Ethics." In Edward N. Zalta and Uri Nodelman (eds.), *Standford Encyclopedia of Philosohy*, Fall 2023 edition.

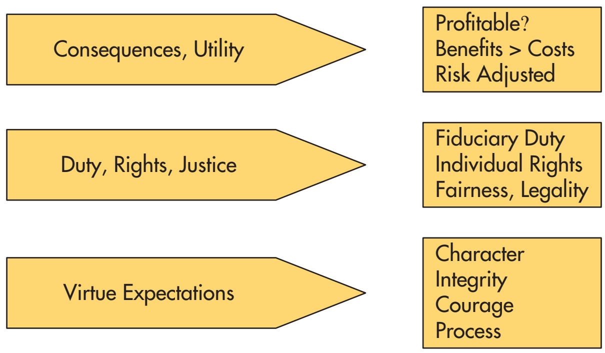
[21] Nafsika Athanassoulis. 2013. *Virtue Ethics*. London: Continuum.

[22] Leonard J. Brooks, "Sniff Tests," *Corporate Ethics Monitor* 7, no. 5 (1995): 65. Reproduced at http://www.cengage.com/accounting/.

[23] A. B. Carroll, "Principles of Business Ethics: Their Role in Decision Making and Initial Consensus," *Management Decision* 28, no. 8 (1990): 20–24.

Table 4.2	Sniff Tests for Ethical Decision Making
	Would I be comfortable if this action or decision were to appear on the front page of a national newspaper tomorrow morning?
	Will I be proud of this decision?
	Will my mother be proud of this decision?
	Is this action or decision in accord with the corporation's mission and code?
	Does this feel right to me?

Figure 4.2 **Ethical Decision-Making Approaches & Criteria**



Stakeholder Impact Analysis—Comprehensive Tool for Assessing Decisions & Actions

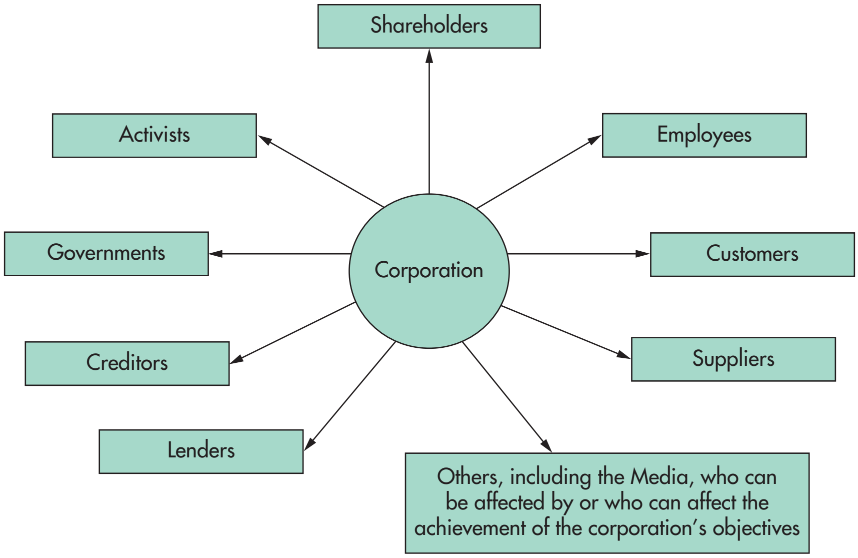
Overview

Since John Stuart Mill developed the concept of *utilitarianism* in 1861, an accepted approach to the assessment of a decision and the resulting action has been to evaluate the end results or consequences of the action. To most businesspeople, this evaluation has traditionally been based on the decision's impact on the interests of the company's owners or shareholders. Usually, these impacts have been measured in terms of the profit or loss involved because profit has been the measure of well-offness that shareholders have wanted to maximize.

This traditional view of corporate accountability has recently been modified in two ways. First, the assumption that *all* shareholders want to maximize *only* short-term profit appears to represent too narrow a focus. Second, the rights and claims of many nonshareholder groups, such as employees, consumers/clients, suppliers, lenders, environmentalists, host communities, and governments that have a stake or interest in the outcome of the decision or in the company itself, are being accorded status in corporate decision making. *Modern corporations are now accountable to shareholders and to nonshareholder groups*, both of which form the set of *stakeholders*[24] to which a company responds (refer to Figure 4.3). It has become evident that a company cannot reach its full potential (and may even perish) if it loses the support of one of a select set of its stakeholders known as *primary stakeholders*. These ideas on stakeholders and their emerging role are fully developed in Chapter 1.

[24] A stakeholder is anyone who is affected by or can affect the objectives of the organization (Freeman 1984, 25).

Figure 4.3 Map of Corporate Stakeholder Accountability



Source: AACSB EETF Report, June 2004.

The assumption of a monolithic shareholder group interested only in short-term profit is undergoing modification because modern corporations are finding that their shareholders are also made up of persons and institutional investors who are interested in longer-term time horizons and in how ethically business is conducted. The latter, who are referred to as *ethical investors*, apply two screens to investments: Do the investee companies make a profit in excess of appropriate hurdle rates, and do they earn that profit in an ethical manner? Because of the size of shareholdings of mutual and pension funds and other institutional investors involved, corporate directors and executives have found that the wishes of ethical investors can be ignored only at their peril. Ethical investors have developed informal and formal networks through which they inform themselves about corporate activity, decide how to vote proxies, and determine how to approach boards of directors to get them to pay attention to their concerns in such areas as environmental protection, excessive executive compensation, and human rights activities in specific countries, such as South Africa.

Ethical investors and many other investors, as well as other stakeholder groups, tend to be unwilling to squeeze the last ounce of profit out of the current year if it means damaging the environment or the rights of other stakeholders. They believe in managing the corporation on a broader basis than short-term profit only. *Usually, the maximization of profit in a longer than one-year time frame requires harmonious relationships with most stakeholder groups based on the recognition of their interests.* A negative public relations experience can be a significant and embarrassing price to pay for a decision-making process that fails to take the wishes of stakeholder groups into account. Whether or not special interest groups are also shareholders, their capacity to make corporations accountable through the media is evident and growing. Farsighted executives and directors will want these concerns taken into account before offended stakeholders have to remind them. *Corporations are finding that in the past, they have been legally and pragmatically accountable to shareholders, but they have also become accountable to stakeholders.*

Kanye West and Adidas—When Ethics Were More Important Than Profits

Sometimes economics does not always take priority in decision-making. In 2014, the rapper and music producer Kanye West ended his affiliation with Nike and launched a new business relationship with Adidas, a German athletic apparel and footwear company. Together they sold shoes and clothing under the Yeezy brand. It became one of the most successful celebrity-sportswear partnerships in history making West a billionaire and adding substantial profits to Adidas. But Adidas abruptly ended their partnership due to West's anti-Semitic comments.

In October of 2022, the rapper, now known as Ye, began to engage in racist and bigoted behavior. At his Yeezy Paris Fashion show he wore a provocative shirt with the words "White Lives Matter" in direct opposition to the Black Lives Matter movement. On October 8, he tweeted he'd go "death con 3 on Jewish people." Celebrities, including Jaden Smith, Diddy, and Jamie Lee Curtis, immediately condemned his shirt and hate speech. Instagram and Twitter (now called X) restricted his accounts. There was a dramatic reduction in radio play airtime of his music. In an October 19 opinion editorial in the *Financial Times*, Ari Emanuel, the CEO of Endeavor, an entertainment and media agency, called on his business partners to cut ties with Ye. Creative Artists Agency dropped Ye as a client, and MRC Entertainment scrapped a documentary on West. On October 25, Adidas ended their brand partnership. Others followed suit. Gap, Foot Locker, and TJ Max dropped the Yeezy product line. Spotify, Universal Music Group, and Sony denounced his hate speech. Kanye West's Essential Playlist vanished from Apple Music.

Severing the relationship was costly for both partners. Ye lost his billionaire status as his net worth fell to $400 million. In 2023 Adidas reported a net loss of €58 million in its core business primarily due to a 16% decline in sales in North America, the company's second biggest market. The company pledged to donate part of the proceeds of the sale of Yeezy products to organizations combatting antisemitism. By 2025 it had set aside €260 million for charitable donations which was approximately half of the profits the company earned from Yeezy products in 2023 and 2024. On March 5, 2025, Adidas sold its last pair of Yeezy sneakers.

Adidas was faced with competing stakeholder interests. Yeezy was a highly profitable brand that generated substantial profits for the company and its shareholders. It was also associated with an anti-semitic celebrity. Stakeholders in the music industry, other celebrities, athletes, and sports retailers, as well as the general public, were all outraged by Ye's comments. It is often difficult to measure non-monetary ethical considerations. But sometimes the non-monetary outweighs the monetary. As costly as the decision was, severing the relationship with Ye was the ethically correct choice.

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Fundamental Interests of Stakeholders

Taking the concerns or interests of stakeholders into account when making decisions by considering the potential impact of decisions on each stakeholder is therefore a wise practice if executives want to maintain stakeholder support. However, the multiplicity of stakeholders and stakeholder groups makes this a complex task. To simplify the process, it is desirable to identify and consider a set of commonly held or fundamental stakeholder interests to be used to focus analyses and decision making on ethical dimensions, such as the following:

1. Their interest(s) should be better off as a result of the decision.
2. The decision should result in a fair distribution of benefits and burdens.
3. The decision *should* not offend any of the rights of any stakeholder, including the decision maker.
4. The resulting behavior should demonstrate duties owed as virtuously as expected.

The first springs from consequentialism, and the second, third, and fourth spring from deontology and virtue ethics. To some extent, these fundamental interests have to be tempered by the realities facing decision makers. For example, although a proposed decision should maximize the betterment of all stakeholders, trade-offs often have to be made between stakeholders' interests. Consequently, the incurrence of pollution control costs may be counter to the interests of short-term profits that are of interest to some current shareholders and managers. Similarly, there are times when all stakeholders will find a decision acceptable even though one or more of them or the groups they represent may be worse off as a result. In recognition of the requirement for trade-offs and for the understanding that a decision can advance the well-offness of all stakeholders as a group, even if some individuals are personally worse off, this fundamental interest should be modified to focus on the *well-offness* of stakeholders rather than only on their betterment. *This modification represents a shift from utilitarianism to consequentialism*.

Once the focus on betterment is relaxed to shift to well-offness, the need to analyze the impact of a decision in terms of all four fundamental interests becomes apparent. It is possible, for example, to find that a proposed decision may produce an overall benefit, but the distribution of the burden of producing that decision may be so debilitating to the interests of one or more stakeholder groups that it may be considered grossly unfair. Alternatively, a decision may result in an overall net benefit and be fair, but may offend the rights of a stakeholder and therefore be considered not right. For example, deciding not to recall a marginally flawed product may be cost-effective but would not be considered to be "right" if users could be seriously injured. Similarly, a decision that does not demonstrate the character, integrity, or courage expected will be considered ethically suspect by stakeholders. Consequently, *a proposed decision can be declared unethical if it fails to provide a net benefit,*[25] *is unfair, or offends the rights of a stakeholder, including reasonable expectations for virtuous behavior* (refer to Table 4.3). Testing a proposed decision against only one principle is definitely short sighted and usually results in a faulty diagnosis.

Measurement of Quantifiable Impacts

Profit Profit is fundamental to the interests of shareholders and is essential to the survival and health of our corporations. In inflationary times, profit is essential simply to replace inventory at the higher prices required. Fortunately, the measurement of profit is

[25] Unless it is a choice of the least worst of a net negative set of options.

Table 4.3 Fundamental Interests of Stakeholders

Well-offness	The proposed decision should result in more benefits than costs.
Fairness	The distribution of benefits and burdens should be fair.
Right	The proposed decision should not offend the rights of the stakeholders and the decision maker.
Virtuosity	The proposed decision should demonstrate virtues reasonably expected.

All four interests must be satisfied for a decision to be considered ethical.

well developed and needs few comments about its use in ethical decision making. It is true, however, that profit is a short-term measure and that several important impacts are not captured in the determination of profit. Both of these conditions can be rectified as discussed in the following sections.

Items Not Included in Profit: Measurable Directly There are impacts of corporate decisions and activities that are not included in the determination of the profit of the company that caused the impact. For example, when a company pollutes, the cost of cleanup is usually absorbed by individuals, companies, or municipalities that are downstream or downwind. These costs are referred to as *externalities*, and their impact can often be measured directly by the costs of cleanup incurred by others.

In order to see a complete picture of the impacts of a decision, the profit or loss from a transaction should be modified by the externalities it creates. Frequently, corporations that ignore their externalities over time will find that they have underestimated the true cost of the decision when fines and cleanup costs are incurred or bad publicity emerges.

Items Not Included in Profit: Not Measurable Directly Other externalities exist where the cost is included in the determination of the company's profit but where the benefit is enjoyed by persons outside of the company. Donations and scholarships are examples of this kind of externality, and obviously, it would be attractive to include an estimate of the benefits involved in the overall evaluation of the proposed decision. The problem is that neither the benefit nor the cost of some negative impacts, such as the loss of health suffered by people absorbing pollution, can be measured directly, but they should be included in an overall assessment.

Although it is impossible to measure these externalities directly, it is possible to measure these impacts indirectly through the use of *surrogates* or mirror-image alternatives. In the case of the scholarship, a surrogate for the benefit could be the increase in earnings gained by the recipient. The value of the loss of health could be estimated as the income lost plus the cost of medical treatment plus the loss of productivity in the workplace involved as measured by the cost of fill-in workers.

The accuracy of these estimates will depend on the closeness of the mirror image measure. It is likely, however, that the estimates arrived at will understate the impact involved; in the previous example, no estimate was made for the intellectual gain of the education permitted by the scholarship or the pain and suffering involved as a result of the loss of health. Nevertheless, it is far better to make use of estimates that are generally accurate than to make decisions on the basis of direct measures that measure precisely only a fraction of the impact of a proposed decision.

The measurement and use of surrogates to estimate external impacts of corporate decisions is discussed further in the article by Brooks,[26] which appears as a reading on the companion resource site for this title at www.cengage.com.

Bringing the Future to the Present The technique for bringing the future impacts of a decision into an analysis is not difficult. It is handled in a parallel manner to capital budgeting analysis, where future values are discounted at an interest rate that reflects the expected interest rates in future years. This approach is demonstrated as part of *cost-benefit analysis* in Brooks. Using the net present value approach of capital budgeting analysis, the benefits and costs of a proposed action can be assessed as follows:

Net Present Value = Present Value of Benefits − Present Value of Costs
of Proposed Action

where *benefits* include revenues and good externalities and *costs* include costs plus bad externalities.

Frequently, executives who have experienced pressure from narrowly focused superiors and colleagues to keep their focus on short-term profit will reject the idea of including externalities in their analyses. However, *what is being advocated here is not that they abandon short-term profit as a yardstick but that they also consider impacts that are now externalities that have an excellent chance of affecting the company's bottom line in the future*. It is likely, for example, that pollution costs will be turned into fines and/or cleanup will be required. Moreover, the advantages bestowed through donations will strengthen society and allow the corporation to reach its full potential in the future. What cost-benefit analysis allows a decision maker to do is to bring these future benefits and costs into the present for a fuller analysis of a proposed decision. For example, Table 2 of the Cost–Benefit Analysis reading on the book website (Brooks 1979) could be reformatted as Table 4.4 to give the decision maker a clearer view of present and possible future impacts on profit.

Dealing With Uncertain Outcomes Just as in capital budgeting analysis, in EDM there are estimates that are uncertain. However, a full range of techniques has been developed to factor this uncertainty into the analysis of proposed decisions. For example, the analysis can be based on best estimates, or three possibilities (most optimistic, pessimistic, and best estimate), or expected values developed from a computer simulation. All of these are *expected values*, which are combinations of a value and a probability of its occurrence. This is normally expressed as follows:

Expected Value = Value of Outcome × Probability of Outcome Occurring
of an Outcome

The advantage of this expected value formulation is that the cost-benefit analysis framework can be modified to include the risk associated with outcomes to be included. This new approach is referred to as *risk-benefit analysis*, and it can be applied where risky outcomes are prevalent in the following framework:

Risk-Adjusted or Expected = Expected Present Value of Future Benefits
Value of Net Benefits − Expected Present Value of Future Costs

[26] L. J. Brooks, "Cost–Benefit Analysis," *CAmagazine*, October 1979, 53–57. Reproduced at http://www.cengage.com/accounting/brooks.

Table 4.4 Cost–Benefit Analysis: Short-Term & Long-Term Profit Impact

	Pollution Control Equipment *Impact on Profit*			University Admission Scholarships *Impact on Profit*		
	Short Term	Long Term	Total	Short Term	Long Term	Total
Benefits (present valued at 10%)						
Reduction in worker health costs		$500,000	$500,000			
Increase in worker productivity	$200,000		200,000			
Improvement in level of earnings of scholarship recipients					$600,000	$600,000
Total benefits	$200,000	$500,000	$700,000		$600,000	$600,000
Costs (present valued at 10%)						
Pollution equipment	$350,000		$350,000			
Scholarships paid				$400,000		$400,000
Total costs	$350,000		$350,000	$400,000		$400,000
Net benefit-costs	($150,000)	$500,000	$350,000	($400,000)	$600,000	$200,000

Identifying Stakeholders & Ranking Their Interests The measurement of profit, augmented by externalities discounted to the present and factored by riskiness of outcome, is more useful in assessing proposed decisions than profit alone. However, the usefulness of a stakeholder impact analysis depends on the full identification of all stakeholders and their interests and on a full appreciation of the significance of the impacts on the position of each.

There are occasions, for example, when the simple adding up of benefits and costs does not fully reflect the importance of a stakeholder or of the impact involved, such as when the capacity of a stakeholder to withstand the impact is low. For example, if a stakeholder is poor, he will not be able to buy remedial treatment, or, alternatively, his reserves may be so low that other family members—perhaps children—will suffer. On the other hand, a scholarship to a poor recipient could create a benefit for that person and others of significantly greater impact than to a person who is well off. In these situations, the values included in the cost-benefit analysis or risk-benefit analysis can be weighted, or the net present values created can be ranked according to the impact created on the stakeholders involved. The ranking of stakeholders and the impacts on them based on their situational capacity to withstand is also used when nonmeasurable impacts are being considered.

Relative financial strength does not provide the only rationale for ranking the interests of stakeholders. In fact, several more compelling reasons exist, including the impact of the proposed action on the life or health of a stakeholder or on some aspect of our flora, fauna, or environment that is near a threshold of endangerment or extinction. Usually, the public takes a very jaded view of companies that put profits ahead of life, health, or the preservation of our habitat. In addition, making these issues a high priority will often trigger a rethinking of an offending action so as to improve it by removing its offensiveness.

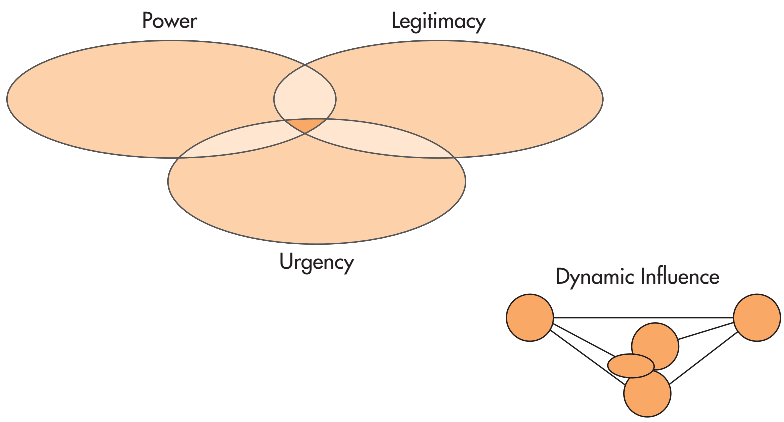
The illustrative case *Castle Manufacturing Inc.*, analyzed at the end of this chapter, extends the concept of ranking stakeholders to correlate legal rights, financial and psychological capacity to withstand the impact, and the resulting probable public impact of the action. It is interesting that an item may not be "material" to a lay investor in an accounting sense but may be quite significant to other stakeholders. In the long run, such sensitivity to corporate decisions may rebound on the shareholders through the bottom line. In the stakeholder context, the *accounting concept of materiality* as we know it is inadequate and needs to be expanded.

It is worth noting that in assessing materiality in decisions related to sustainability, for example, the concept of *Double Materiality* has been developed to represent the materiality of both how sustainability issues can affect the company financially and how the company's activities can affect society and the environment. For example, if a pulp and paper manufacturing company was to do a Double Materiality Assessment, it would be expected to report if and how its manufacturing process might materially harm a river, fish, animals, and humans due to mercury poisoning of the river water used, as well as the potential material impact of environmental and health regulations on the company.

Two research thrusts can prove quite useful in identifying and understanding stakeholder groups and their interactions. Mitchell, Agle, and Wood[27] suggest that stakeholders and their interests be evaluated on three dimensions: *legitimacy*, or legal and/or moral right to influence the organization; *power* to influence the organization through the media, government, or other means; and perceived and real *urgency* of the issues arising. Such an analysis forces the consideration of impacts thought to be very damaging (particularly to external stakeholders) to the fore so that if an executive decides to go ahead with a suboptimal plan, at least the potential downside will be known. The three sets of claims are identified in Figure 4.4.

Logic suggests that claims where the three circles overlap in Figure 4.4 (i.e., legitimate and/or viewed as legitimate, urgent, and held by the powerful) will always be the most important. However, this is not necessarily the case. Other urgent stakeholder claims can become the most important if they garner more support of the powerful and those with legitimate claims and are ultimately deemed to have legitimacy.

Figure 4.4 **Stakeholder Identification & Interests**



Sources: Mitchell, Agle, and Wood (1997); Rowley (1997).

[27] Ronald K. Mitchell, Bradley R. Agle, and Donna J. Wood. 1997. "Toward a theory of stakeholder identification and salience: Defining the principle of who and what really counts." *Academy of Management Review*, 22(4), 853–886.

How Does a Manager Decide Which Stakeholder Deserves Attention?

The Stakeholder Salience Model—based on power, urgency, and legitimacy—provides guidance. On May 11, 2022, the Oscar-nominated actor James Cromwell, who at the time was starring in the HBO TV series *Succession*, superglued his hand to a Starbucks counter in midtown New York City to protest the chain's surcharge on vegan milk. Should Starbucks give credence to the protest?

Using the Stakeholder Salience Model factors would produce the following:

- Urgency—as a longtime Hollywood star, the 82-year-old garnered international media coverage with his protest. This called for an immediate response from the company.
- Legitimacy—there was a moderate amount of perceived validity to his protest. Starbucks did provide vegan options to customers but was charging up to one dollar more for drinks with plant-based milk.
- Power—Cromwell, an honorary director of People for the Ethical Treatment of Animals (PETA), was with a small group of protestors. Their actions would have a minimal impact on Starbucks' overall operations in the short run.

Based on the above, Cromwell's protest lacked a strong degree of salience in the short run. There was legitimacy and urgency, but little power to produce an immediate impact so the company did not need to address his concern. However, the power of PETA, because of the nature of its cause to raise consumer awareness in the medium and longer terms and catalyze public opinion and other stakeholders through the media, was not to be underestimated for its ability to affect Starbucks' reputation and operations. In October 2024, Starbucks removed the extra charge for non-dairy milk.

The Power of a Michelin Star

In October 2022, Michelin awarded stars to Toronto restaurants. These were the first awards given to Canadian restaurants. Did these awards have salience? Should the restaurants give priority to the Michelin ratings? According to the Stakeholder Salience Model, the factors to consider were:

- Legitimacy—the tire-based company began rating restaurants in 1926 and now rates over 40,000 establishments in over 25 countries. Although there are many rating agencies, Michelin is the gold standard. The renowned French Chef Paul Bocuse said, "Michelin is the only guide that counts."
- Power—being awarded a star (or up to three stars) is an accolade that increases the restaurant's notoriety and level of business. Similarly, losing a star can harm a restaurant's reputation significantly.
- Urgency—as soon as a restaurant receives a Michelin rating it can immediately raise its prices knowing that a Michelin rating will normally increase the restaurant's patronage.

From a restaurateur's point of view, a Michelin rating has a high degree of salience because of the strong interest of industry experts and diners, and therefore the media, to amplify the relevance of the award.

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The Associated Press, "'Succession' star James Cromwell glues his hand to a Starbucks counter in a protest," *NPR*, May 11, 2022.

Kate Dingwall, "Michelin guide touches down in Toronto," *Forbes*, June 1, 2022. Michelin, "*The History of the Michelin Guide*," June 14, 2019.

Table 4.5 Approaches to the Measurement of Quantifiable Impacts of Proposed Decisions*

A. Profit or loss only
B. A. plus externalities (i.e., cost-benefit analysis)
C. B. plus probabilities of outcomes (i.e., risk-benefit analysis)
D. Cost-benefit analysis or risk-benefit analysis plus ranking of stakeholders

*Optimal decisions usually result from the most thorough approach.

Many executives forget that an organization's stakeholders change over time, as does the power they wield depending on the urgency they feel about issues brought to their attention. In real life, stakeholders without legitimacy or power will try to influence those with clout, and they succeed. Another researcher, Rowley,[28] has suggested that a set of stakeholders be considered to be a *dynamic network* and that projections be made about who in the network will influence whom to forecast which issues and interests will become more important. These concepts are developed in the analysis of the illustrative case *Bribery or Opportunity in China*, located at the end of the chapter.

Summary of Approaches to the Measurement of Quantifiable Impacts The previously discussed approaches to the measurement of impacts of proposed decisions are summarized in Table 4.5.

Assessment of Nonquantifiable Impacts

Fairness Among Stakeholders Although the expectation of fair treatment is a right that individuals and groups can properly expect to receive, it is treated here on its own because of its importance to ethical decision making. The concern for fair treatment has been evident in society's recent preoccupation with such issues as discrimination against women and other matters of hiring, promotion, and pay. Consequently, a decision will be considered unethical unless it is thought to be fair to all stakeholders.

Fairness is not an absolute concept. It is evidenced by a relatively even distribution of the benefits and burdens springing from a decision. For example, it is possible that a decision to increase taxes may weigh more heavily on high-income earners but be seen as relatively fair in terms of their capacity to pay those taxes. Reasonability and perspective are required to judge fairness accurately.

Rights of Stakeholders A decision will be considered ethical only if its impacts do not offend the rights of the stakeholders impacted and the rights of the person(s) making the decision. This latter point is evident in the case of a decision being made by executives who subscribe to values that make them offended by child labor or by low standards of worker safety in developing countries. The executives making the decision are stakeholders in it in their own right.

[28] Timothy J. Rowley. 1997. "Moving beyond dyadic ties: A network theory of stakeholder influences." *Academy of Management Review*, 22(4), 887–910.

Table 4.6 Stakeholder Rights

- Life
- Health and safety
- Fair treatment
- Exercise of conscience
- Dignity and privacy
- Freedom of speech

An individual stakeholder or a stakeholder group in North America[29] may generally expect to enjoy the rights listed in Table 4.6.

Some of these rights have been accorded with protection under laws and legal regulations, while others are enforced through common law or through public sanction of offenders. For example, employees and consumers are protected under statutes for health and safety, whereas dignity and privacy tend to be subject to common law, and the exercise of conscience is subject to public sanction.

In many cases, even where protection is afforded through statute, considerable judgment is required to know when an individual's rights are being violated. Drug testing in the form of urinalysis, for example, appears to be warranted when the health of the worker and fellow workers is at stake, but the degree of jeopardy has to be severe. Airline pilots are considered worthy of urinalysis, but, at the moment, drivers of transport trucks are not. There are many reasons for this, including the lack of accuracy and timeliness of the tests and the stigma that attaches to a false accusation. However, it appears to be reasonable to test a truck driver's reflexes and hand-eye coordination using computer games just prior to his or her shift, so evidently the stigma of failing a computer game related closely to the task to be performed is acceptable in today's society. This complex interplay of statute, regulation, common law, and judgment based on values makes it advisable to give any apparent infringement of a stakeholder's rights very careful scrutiny.

Assessment of Motivation & Behavior Unfortunately, as many ethics scandals indicate, decision makers have not recognized the importance of stakeholder's expectations of virtue. If they had, the disastrous decisions made by corporate executives, accountants, and lawyers involved might have been avoided, along with the personal and organizational tragedies that ensued. Some executives were motivated by greed rather than by enlightened self-interest focused on the good of all. Others went along with unethical decisions because they did not recognize that they were expected to behave differently and had a duty to do so. Some reasoned that because everyone else was doing something similar, how could it be wrong? *The point is that they forgot to consider sufficiently the virtues (and duties) they were expected to demonstrate*. Where a fiduciary duty was owed to future shareholders and other stakeholders, the virtues expected—character traits such as integrity, professionalism, courage, and so on—were not taken into account sufficiently. *In retrospect, it would have been wise to include the assessment of virtue ethics expectations as a separate step in any EDM process to strengthen governance and risk management systems and guard against unethical, short-sighted decisions*.

It is also evident that employees who continually make decisions for the wrong reasons—even if the right consequences result—can represent a high governance risk.

[29] The importance attached to these rights varies somewhat in different cultures around the world.

Many examples exist where executives motivated solely by greed have slipped into unethical practices, and others have been misled by faulty incentive systems. Sears Auto Center managers were selling repair services that customers did not need to raise their personal commission remuneration, ultimately causing the company to lose reputation and future revenue.[30] Wells Fargo employees were induced to sign up unknowing customers for costly products. Many of the recent financial scandals were caused by executives who sought to manipulate company profits to support or inflate the company's share price in order to boost their own stock option gains. *Motivation based too narrowly on self-interest can result in unethical decisions when proper self-guidance and/or external monitoring is lacking.* Because external monitoring is unlikely to review all decisions before implementation, it is important for all employees to clearly understand the broad motivation that will lead to their own and their organization's best interests from a stakeholder perspective. Consequently, decision makers should take motivations and behavior expected by stakeholders into account specifically in any comprehensive EDM approach, and organizations should require accountability by employees for those expectations through governance mechanisms.

During the earlier discussion of virtue ethics, several aspects of ethical behavior were identified as being indicative of *mens rea* (a guilty mind), which is one of the two dimensions of responsibility, culpability, or blameworthiness. Although some of the virtues named by philosophers may not resonate with modern stakeholders, those listed in Table 4.7 do play a role in framing current expectations for ethical business behavior. If personal or corporate behavior does not meet these expectations, there will probably be a negative impact on reputation and the ability to reach strategic objectives on a sustained basis in the medium and long terms.

The stakeholder impact assessment process will offer an opportunity to assess the motivations that underlie the proposed decision or action. Although it is unlikely that

Table 4.7 Motivation, Virtue, Character Trait & Process Expectations

Motivations expected:
- Self-control rather than greed
- Fairness or justice considerations
- Kindness, caring, compassion, and benevolence

Virtues expected:
- Dutiful loyalty
- Integrity and transparency
- Sincerity rather than duplicity

Character traits expected:
- Courage to do the right thing per personal and/or professional standards
- Trustworthiness
- Objectivity, impartiality
- Honesty, truthfulness
- Selflessness rather than selfishness
- Balanced choices between extremes

Processes that reflect the motivations, virtues, and character traits expected

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[30] Refer to Mike Harden, "Learn from Sears: Don't Make This Monumental Mistake," *Huffington Post*, The Blog, July 8, 2014, updated August 19, 2014.

Table 4.8 Modified 5-Question Approach* to Ethical Decision Making

The following 5 questions are asked about a proposed decision:

Is the Decision	Stakeholder Interests Examined
1. profitable?	Shareholders'—usually short term
2. legal?	Society at large—legally enforceable rights
3. fair?	Fairness for all
4. right?	Other rights of all
5. demonstrating expected motivation, virtues, and character?	Motivation, virtues, character traits, and process expectations

Optional questions can be added, designed to focus the decision-making process on a particular issue of relevance to the organization(s) or decision maker involved.

*This approach is based on that proposed by Tucker, modified with the addition of specific examination of motivation, virtues, and character. Refer to Graham Tucker. 1990. "Ethical analysis for environmental problem solving." In *Agenda for Action Conference Proceedings*. Toronto: Canadian Centre for Ethics & Corporate Policy, 53–57.

an observer will be able to know with precision the real motivations that go through a decision maker's mind, it is quite possible to project the perceptions that stakeholders will have of the action. In the minds of stakeholders, perceptions will determine reputational impacts whether those perceptions are correct or not. Moreover, it is possible to infer from remuneration and other motivational systems in place whether the decision maker's motivation is likely to be ethical or not.

In order to ensure a comprehensive EDM approach, in addition to projecting perceptions and evaluating motivational systems, the decisions or actions should be challenged by asking questions about each of the items listed in Table 4.8. For example,

> *Does the decision or action involve and exhibit the integrity, fairness, and courage expected?*

Alternatively,

> *Does the decision or action involve and exhibit the motivation, virtues, and character expected?*

The objective of these techniques should be to construct a profile about the motivations, virtues, character traits, and processes involved with and exhibited by the decision or action that can be compared to those expected.

Stakeholder Impact Analysis—Modified Traditional Decision-Making Approaches

Several approaches have been developed that utilize stakeholder impact analysis to provide guidance about the ethicality of proposed actions to decision makers. Discussions of three traditional approaches follow. *Each approach has been modified to include tests of virtues expected*. Choosing the most useful approach depends on whether decision impacts are short rather than long-term, involve externalities and/or probabilities, or take place within a corporate setting. The approaches may be blended into a tailored hybrid approach to best cope with a specific situation.

Modified 5-Question Approach—Decisions with Short-Term Impacts & No Externalities The 5-question approach, or 5-box approach, as Tucker has called it, involves the examination or challenge of a proposed decision through the five questions in Table 4.8. The proposed decision is to be challenged by asking all of the questions. If a negative response is forthcoming (or more than one) when all five questions are asked, the decision maker can iteratively attempt to revise the proposed action to remove the negative and/or offset it. If the revision process is successful, the proposal will be ethical. If not, the proposal should be abandoned as unethical. Even if no negative response is forthcoming when the questions are first asked, an effort should be made to improve the proposed action using the five questions as a guide.

The order of asking the questions is not important, but all of the questions must be asked to ensure that the decision maker is not overlooking an important area of impact. Some ethical problems are not as susceptible to examination by the 5-question approach as to the other approaches described in the following sections. For example, the first question focuses on profit, which is a substantially shorter-term, less comprehensive measurement tool than cost-benefit analysis and/or risk-benefit analysis, with or without the ranking of stakeholders depending on their ability to withstand the impact of the decision. As it stands, however, the 5-question framework is a useful approach to the orderly consideration of problems when externalities do not have a significant impact and where the decision-process designer desires a specific focus.

Modified Moral Standards Approach—Medium- & Long-Term Decisions Involving Externalities The moral standards approach to stakeholder impact analysis builds directly on the fundamental interests of stakeholders that are identified in Table 4.3. It is somewhat more general in focus than the 5-question approach and leads the decision maker to a more broadly based analysis of net benefit rather than only profitability as a first challenge of proposed decisions. As a result, it offers a framework that is more suited to the consideration of decisions that have significant impacts outside the corporation, including externalities, than the 5-question framework.

The standards making up the moral standards approach are listed in Table 4.9. Questions that sprang from each standard and that ought to be applied to each decision are also offered. If the result of a challenge is unfavorable, the proposed action can be changed on an iterative basis, and the revised proposal can be challenged anew until it is as ethical as possible.

As shown in Table 4.9, the satisfaction of the utilitarian principle is examined through a question that focuses on cost-benefit analysis or risk-benefit analysis rather than only profit. Consequently, the full range of options discussed in Table 4.6 can be employed as befits the need.

In addition, as explained in Velasquez[31], the examination of how the proposed decision respects individual rights considers the impact of the decision on each stakeholder's rights, as noted in Table 4.6, as well as at the process involved. For example, has deception or manipulation been used (or some type of force, such as coercion), or has there been some other limit placed on information made available to the individuals impacted or on their freedom to choose a response or limit their redress? If so, their rights have not been respected. One of the interesting questions raised in this connection is whether notification of the intent to undertake an action implies the consent of those individuals impacted. Usually, notification does not imply consent unless the notification provides full information and allows time for consideration, and reasonable options are at hand to avoid the impact.

[31] Manuel G. Velasquez. 2021. *Business Ethics: Concepts and Cases*, 8th edition. Pearson.

Table 4.9 Modified Moral Standards Approach* to Ethical Decision Making

Moral Standard	Question of Proposed Decision
Utilitarian:	
Maximize net benefit to society as a whole	Does the action maximize social benefits and minimize social injuries?
Individual rights:	
Respect and protect	Is the action consistent with each person's rights?
Justice:	
Fair distribution of benefits and burdens	Will the action lead to a just distribution of benefits and burdens?
Virtues:	
Motivation, virtues, and character expected	Does the action demonstrate the motivation, virtues, and character expected? Refer to Table 4.7 for specifics.
All four moral standards must be applied; none is a sufficient test by itself.	

*The Moral Standards Approach, which was created by Velasquez, is modified here with the addition of specific examination of motivation, virtue, and character.

The question focusing on distributive justice, or fairness, is handled in the same way as in the 5-question approach. For a full treatment of the moral standards approach, refer to Velasquez.

The recent recognition of the importance of assessing the virtues inherent in a decision as an effective risk management technique has led to a comparison of the motivation, virtues, and character traits demonstrated by a proposed action with those expected by the corporation's stakeholders. Each corporation should identify what its stakeholders expect for each of the items identified in Table 4.7 and should communicate to employees why and how those expectations should be taken into account when decisions are being made, monitored, and rewarded. At a minimum, when assessing a proposed action, the following questions should be asked with reference to the items noted in Table 4.7:

> *Does the decision or action involve and exhibit the motivation, virtues, and character expected?*

When a proposed action has been assessed against all four moral standards and the relative importance of the impacts on stakeholders has been taken into account, an overall decision on the ethicality of the proposal can be taken. *All four moral standards must be considered to ensure a comprehensive decision.*

Modified Pastin's Approach—Decisions Within Companies; Innovative Techniques In his book *The Hard Problems of Management: Gaining the Ethical Edge*, Pastin[32] presents his ideas on the appropriate approach to ethical analysis, which involves examining the first four key aspects of ethics noted in Table 4.10. The last aspect—the examination of motivation, virtue, and character—has been added to ensure the review of these items.

Pastin uses the concept of *ground rule ethics* to capture the idea that individuals and organizations have ground rules or fundamental values that govern their behavior or their desired behavior. If a decision is seen to offend these values, it is likely that disenchantment

[32] Mark Pastin. 1986. *The Hard Problems of Management: Gaining the Ethics Edge*. San Francisco: Jossey-Bass.

Table 4.10 Modified Pastin's Approach* to Stakeholder Impact Analysis

Key Aspect	Purpose for Examination
Ground rule ethics*	To illuminate an organization's and/or an individual's rules and values
End-point ethics*	To determine the greatest net good for all concerned
Rule ethics*	To determine what boundaries a person or organization should take into account according to ethical principles
Social contract ethics*	To determine how to move the boundaries to remove concerns or conflicts
Virtue ethics	To determine if the motivations, virtues, and character traits demonstrated in the decision are ethical

*Technique proposed by Mark Pastin, *The Hard Problems of Management: Gaining the Ethical Edge* (San Francisco: Jossey-Bass, 1986), has been modified with the addition of specific examination of virtue ethics expected.

or retaliation will occur. Unfortunately, this could lead to the dismissal of an employee who acts without a good understanding of the ethical ground rules of the employer organization involved. In order to understand the prevailing ground rules, to correctly gauge the organization's commitment to proposals, and to protect the decision maker, Pastin suggests that an examination of past decisions or actions be made. He calls this approach *reverse engineering* a decision because an attempt is made to take past decisions apart to determine how and why they were made. Pastin suggests that individuals are often guarded (voluntarily or involuntarily) about expressing their values and that reverse engineering offers a way to recognize, through past actions, what their values are.

In his concept of *end-point ethics*, Pastin suggests employing the full extent of the measurement techniques—profit, cost-benefit analysis, risk-benefit analysis, and ranking of stakeholder impacts—summarized in Table 4.5. The application of these techniques to the Ford Pinto Case (which appears at the end of this chapter) should illuminate the concept of utilitarianism and illustrate the pitfalls of focusing an analysis on only short-term profit.

The concept of *rule ethics* is used to indicate the value of rules that spring from the application of valid ethical principles to an ethical dilemma. In this case, these principles involve respect for and protection of the rights of individuals noted in Table 4.6 and derivative principles, such as the Golden Rule of "Do unto others as you would have them do unto you." The establishment of rules based on respect for individual rights can prove helpful when an interpretation is particularly difficult or when senior executives want to remove ambiguity about what they believe should be done in certain situations. For example, Pastin suggests that rules, formulated by senior executives to assist their employees, can divide possible actions into those that are obligatory, prohibited, or permissible. Similarly, rules can be crafted so as to make them categorical (i.e., no exceptions allowed) or prima facie (exceptions are allowed in certain circumstances) or to trigger consultation with senior executives. As such, rule ethics represent Pastin's examination of the impact of proposed decisions on the rights of the individuals involved.

The concept of fairness is incorporated by Pastin into his idea of *social contract ethics*. Here he suggests that formulating the proposed decision into an imaginary contract would be helpful because it would allow the decision maker to change places with the stakeholder to be impacted. As a result, the decision maker determines if the impact was fair enough to enter freely into the contract. If the decision maker was not prepared to enter into the contract with the roles reversed, then the terms (or boundaries) of the contract should be changed in the interests of fairness. This technique of role reversal can prove to be quite helpful, particularly in the case of strong-willed executives who are often surrounded by "yes-men" or "yes-women." In the case of a real contract, this approach can be useful in projecting how proposed actions will affect the contract or whether a contract change (such as in a union contract) will be resisted.

For the reasons noted above, as with the other two approaches, the assessment of the motivations, virtues, and character inherent in a decision has been added to the set of considerations originally proposed by Pastin. Each corporation should identify what its stakeholders expect for each of the items identified in Table 4.7 and should communicate to employees why and how those expectations should be taken into account when decisions are being made, monitored, and rewarded. At a minimum, when assessing a proposed action, the following questions should be asked with reference to the items noted in Table 4.7:

> *Does the decision or action involve and exhibit the motivation, virtues, and character expected?*

When a proposed action has been assessed against all five aspects listed in Table 4.10 and the relative importance of the impacts on stakeholders has been taken into account, an overall decision on the ethicality of the proposal can be taken. *All five aspects must be considered to ensure a comprehensive decision*. If the proposed action is considered to be unethical, it can be changed and iteratively reassessed until it is considered to be ethical before being acted on.

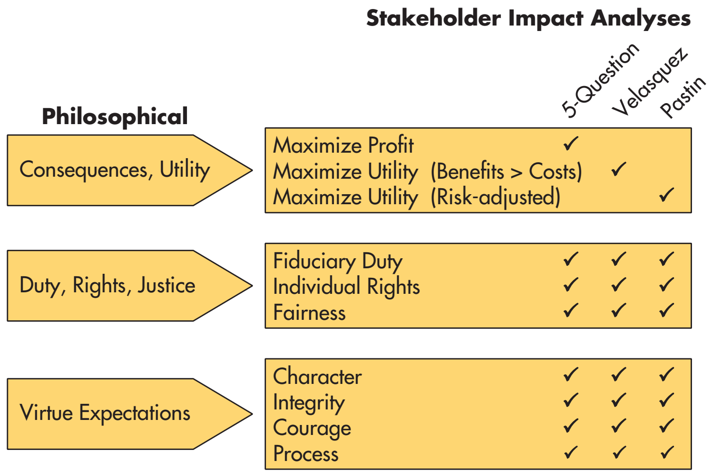
Hybrid Analyses–Extending & Blending the Traditional Decision-Making Approaches

From time to time, an ethical problem will arise that does not fit perfectly into one of the approaches described. For example, the issues raised by an ethical problem may be examined by the 5-question approach, except that there are significant long-term impacts or externalities that call for cost-benefit analysis rather than profitability as a first-level question. Fortunately, cost-benefit analysis can be substituted or added to the approach to enrich it. Similarly, the concept of ground rule ethics can be grafted onto a non-Pastin approach if needed in a decision that deals with an in-company setting. Care should be taken when extending and blending the approaches, however, to ensure that each of well-offness, fairness, impact on individual rights, and virtues expected are examined to provide a comprehensive analysis—otherwise, the final decision may be faulty.

Integrating Philosophical & Stakeholder Impact Analysis Approaches

The philosophical approaches—consequentialism, deontology, and virtue ethics—that were developed early in this chapter and in Chapter 3 underlay the three stakeholder impact analysis approaches and should be kept in mind to inform and enrich the analysis. In turn, the stakeholder impact analysis approach used should provide an understanding of the facts, rights, duties, and fairness involved in the decision or act that are essential to a proper ethical analysis of the motivations, virtues, and character traits expected. Consequently, in an effective, comprehensive analysis of the ethicality of a decision or proposed action, the traditional philosophical approaches should augment the stakeholder models (and vice versa), as shown in Figure 4.5.

Figure 4.5 Ethical Decision-Making Approaches



Source: See AACSB EETF Report, June 2004.

Other Ethics Decision-Making Issues

Commons Problems

The term *commons problem* refers to the inadvertent or knowing overuse of jointly owned assets or resources. The concept first arose when villagers in old England overgrazed their livestock on land that was owned in common or jointly with everyone else in the village, and the term *commons* was used to identify this type of pasture.

The problem of overgrazing could not be stopped because everyone had a right to use the pasture and thus could not be prevented from doing so. Only when the majority of villagers agreed to regulate the commons did the overgrazing stop. Sometimes, when they could not agree, outside authority was called on to settle the matter. Outdated though these issues seem, the *problem of the commons* is still with us in modern times. For example, pollution represents the misuse of the environment, a commons we all share. Similarly, if everyone in a business attempts to draw on limited capital funds, a tight expense budget, or a busy service department, the result will be akin to overgrazing.

The lesson to be learned from this is that frequently the decision maker, who is not sensitized to the problem of the commons, will not attribute a high enough value to the use of an asset or resource and therefore make the wrong decision. Awareness of the problem should correct this and improve decision making. An executive would do well to employ the solutions of olden times when confronted by the overuse of an asset or resource today.

Developing a More Ethical Action Using Moral Imagination

Iterative improvement is one of the advantages of using the proposed EDM framework. If the ethical analysis reveals unethical aspects of a decision, the decision can be iteratively improved to enhance the overall impact of the decision. For example, if a decision is expected to be unfair to a particular stakeholder group, perhaps the decision can be altered by increasing the compensation to that group or by eliminating or replacing the offending words, image, or specific action. At the end of every EDM approach, there should be a specific search for a better or a win-win outcome. This process involves the exercise of *moral imagination*—the innovative consideration of alternatives to improve the ethicality of the proposed action.

Occasionally, directors, executives, or professional accountants will suffer from *decision paralysis* as a result of the complexities of analysis or the inability to determine the maximal choice for reasons of uncertainty, time constraints, or other causes. Herbert Simon[33] proposed the concept of *satisficing* to solve this problem. He argued that one "should not let perfection be the enemy of the good"—iterative improvement until no further progress can be made should yield a solution that should be considered good enough and even optimal at that point in time.

Common Ethics Decision-Making Pitfalls

Avoiding common ethical decision-making pitfalls is imperative. Experience has shown that unaware decision makers repeatedly make the following mistakes:

- *Conforming to an unethical corporate culture*. There are many examples where corporate cultures that are not based on ethical values have influenced or motivated executives and employees to make unethical decisions. As noted in Chapters 2 and 5, the *unethical cultures* at Enron, WorldCom, Arthur Andersen, the banks in 2008, Wells Fargo, and Boeing led executives and employees to make tragically wrong decisions. In many instances, an *absence of ethical leadership*—the wrong "tone at the top"—was responsible. In others, companies were silent or *insufficiently clear on core values*, or these were misinterpreted to allow unethical and illegal actions. On other occasions, *unethical reward systems* motivated employees to manipulate financial results or focus on activities not in the organization's best interest. Frequently, decision makers have been subject to *unreasonable pressures* to meet unrealistic expectations or deadlines and have made decisions that bring short-term relief at a significant cost to longer-term performance or objectives. Sometimes, employees simply *lack sufficient awareness of ethical issues and expectations* to be able to appreciate the need for ethical actions, and the organization's screening, monitoring, training, and reinforcement programs are inadequate to prevent unethical decisions.
- *Misinterpreting public expectations*. Many executives erroneously think unethical actions are acceptable for the following reasons:
  - "It's a dog eat dog world out there."
  - "Everyone's doing it."
  - "If I don't do it, someone else will."
  - "I'm off the hook because my boss ordered me to do it."
  - It's a story or practice mentioned in the popular press, media, or movies.

In today's world, these justifications for unethical decisions are very questionable. Each action contemplated must be rigorously considered against the ethical standards discussed in Chapters 3 and 4.

- *Focusing on short-term profit and shareholder-only impacts.* Often, the most significant impacts (for nonshareholder stakeholders) of a proposed action are those that surface in the future and those that befall nonshareholder stakeholders first. Only after these groups react do shareholders bear the cost for misdeeds. The remedy for this myopia

[33] Herbert Simon coined the term *satisficing* in 1957. Refer to http://en.wikipedia.org/wiki/Satisficing.

is to ensure an adequate medium- or long-term time horizon for the analysis and to take into account externalities on a cost-benefit basis even though the impact measured is felt initially by a nonshareholder group.

- *Focusing only on legalities*. Many managers are concerned only with whether an action is legal. They argue, "If it's legal, it's ethical." Unfortunately, many find their corporation unnecessarily subject to consumer boycotts, employee slowdowns, increasing government regulation to cover loopholes, and fines. Some do not care because they are only intending to stay at this corporation for a short while. The fact is that laws and regulations lag behind what society wants but reaction does come, and sometimes well before new laws and regulations are promulgated. One reason is that corporations lobby against such rule changes. Just because a proposed action is legal does not make it ethical.
- *Limits to fairness*. Sometimes decision makers are biased or want to be fair only to groups they like. Unfortunately for them, they do not have the ability to control public opinion and usually end up paying for their ethical oversight. Many executives have been put off by activist organizations such as Greenpeace but have learned that environmental issues are ignored at their peril. A full review of fairness to all stakeholders is the only way to ensure an ethical decision.
- *Limits to rights canvassed*. Bias is not restricted to fairness. Decision makers should canvass the impact on all rights for all stakeholder groups. Also, decision makers should be encouraged to take their own values into account when making a decision. Courts in North America no longer react favorably to the defense that "I was ordered to do it by my boss." Employees are expected to use their own judgment, and many jurisdictions have set up protective whistleblowing and "right to refuse" statutes to encourage employees to do so. Often, managers who force unfortunate actions on subordinates are really not acting in the best interests of shareholders anyway.
- *Conflicts of interest*. Bias based on prejudice is not the only reason for faulty assessments of proposed actions. Judgment can be clouded by conflicting interests—the decision maker's personal interest versus the corporation's best interest or the interests of a group that the decision maker is partial to versus the corporation's best interest can both account for erroneous assessments and decisions. Sometimes employees get caught on what is called a *slippery slope* where they begin with a minor decision that conflicts with the interest of their employer, which is followed by another and another of growing significance, and it becomes extremely difficult to correct or admit to their earlier decisions. Often, employees will be caught doing minor favors that lead to greater favors and so on, but when they want to stop granting further favors, they are told that they cannot stop, or their boss will hear of their earlier actions, and they are caught on a slippery slope.
- *Interconnectedness of stakeholders*. Often decision makers fail to anticipate that what they do to one group will trigger action by another. For example, spoiling the environment in a far-off country can cause negative reactions from domestic customers and capital markets.
- *Failure to identify all stakeholder groups*. The need to identify all stakeholder groups and interests before assessing the impacts on each is self-evident. However, this is a step that is repeatedly taken for granted, with the result that important issues go unnoticed. A useful approach to assist with this problem is to speculate on the downside that might happen from the proposed action and try to assess how the media will react. This often leads to the identification of the most vulnerable stakeholder groups.

- *Failure to rank the specific interests of stakeholders*. The common tendency is to treat all stakeholder interests as equal in importance. However, those that are urgent usually become the most important. Ignoring this is truly shortsighted and may result in a suboptimal and unethical decision.
- *Failing to assess well-offness, fairness, or other rights*. As previously pointed out, a comprehensive ethical decision cannot be made if one of these aspects is overlooked. Repeatedly, however, decision makers short-circuit their assessments and suffer the consequences.
- *Failure to consider the motivation for the decision*. For many years, businesspeople and professionals were not concerned about the motivation for an action as long as the consequences were acceptable. Unfortunately, many decision makers lost sight of the need to increase overall net benefits for all (or as many as possible) and made decisions that benefited themselves or only a select few in the short run and disadvantaged others in the longer run. These shortsighted, purely self-interested decision makers represent high governance risks for organizations.
- *Failure to consider the virtues that are expected to be demonstrated*. Board members, executives, and professional accountants are expected to act in good faith and discharge the duties of a fiduciary for people relying on them. Ignoring the virtues expected of them can lead to dishonesty, lack of integrity in the preparation of reports, failure to act on behalf of stakeholders, and failure to discharge courage in confronting others who are involved in unethical acts or in whistleblowing when needed. Professional accountants who ignore virtues expected of them are prone to forget that they are expected to protect the public interest.

A Comprehensive Ethical Decision-Making Framework

A comprehensive EDM analysis should include all of the considerations outlined in Table 4.11. However, this can be achieved within a philosophical analysis, a stakeholder impact analysis, or a hybrid analysis. Which one should a decision maker choose?

The best EDM approach will depend on the nature of the proposed action or ethical dilemma and the stakeholders involved. For example, as noted above, a problem involving short-term impacts and no externalities of consequence may be best suited to a modified 5-question analysis. A problem with longer-term impacts and/or externalities is probably better suited to a modified moral standards approach or modified Pastin approach. A problem with significance for society rather than a corporation would likely be best analyzed using a philosophical approach or the modified moral standards approach. Whatever the EDM approach used, the decision maker must consider all of the fundamental interests raised in Table 4.3 and articulated in Table 4.11.

Summary of Steps for an Ethical Decision

The approaches and issues previously discussed can be used independently or in a hybrid combination to assist in producing an ethical decision. Experience has shown that completing the following three steps provides a sound basis for challenging a proposed decision:

1. *Identify* the facts and all stakeholder groups and interests likely to be affected.
2. *Rank* the stakeholders and their interests, identifying the most important and weighting them more than other issues in the analysis.

3. *Assess the impact* of the proposed action on each stakeholder group's interests with regard to their well-offness, fairness of treatment, and other rights, including motivation, virtues, and character traits expected, using a comprehensive framework of questions and making sure that the common pitfalls discussed later do not enter into the analysis.

It may be helpful to organize an ethical decision analysis using the seven steps outlined by the American Accounting Association[34] as follows:

1. Determine the facts—what, who, where, when, and how.
2. Define the ethical issue(s).
3. Identify major principles, rules, and values.
4. Specify the alternatives.
5. Compare values and alternatives and determine if a clear decision emerges.
6. Assess the consequences.
7. Make your decision.

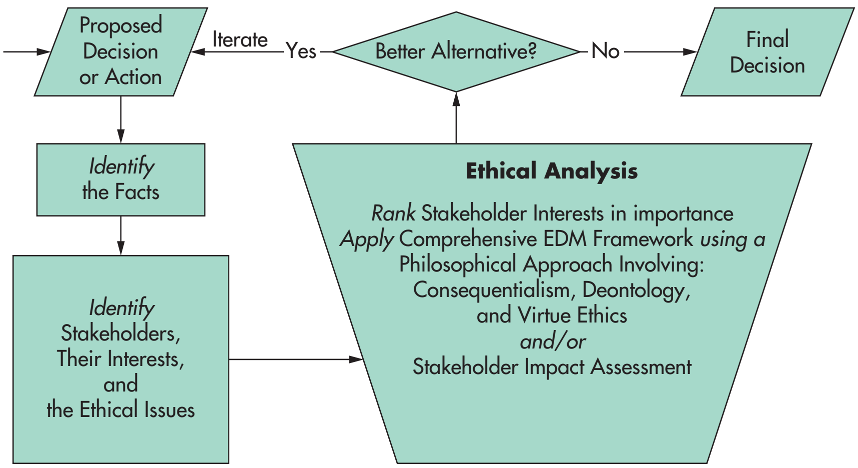
Steps toward an ethical decision are summarized in Figure 4.6.

Table 4.11 A Comprehensive Approach to EDM

Consideration	Description
Well-offness or *Consequentialism*	The proposed decision should result in more benefits than costs.
Rights, duty, or *Deontology*	The proposed decision should not offend the rights of the stakeholders, including the decision maker.
Fairness or *Justice*	The distribution of benefits and burdens should be fair.
Virtue expectations or *Virtue Ethics*	The motivation for the decision should reflect stakeholders' expectations of virtue.

All four considerations must be satisfied for a decision to be considered ethical.

Figure 4.6 Steps toward an Ethical Decision



[34] *Ethics in the Accounting Curriculum: Cases & Readings*. 1993. Sarasota: American Accounting Association.

Conclusion

Stakeholder impact analysis offers a formal way of bringing into a decision the needs of an organization and its individual constituents (society). Trade-offs are difficult to make and can benefit from such advances in technique. It is important not to lose sight of the fact that the concepts of stakeholder impact analysis that are reviewed in this chapter need to be applied together as a set, not as stand-alone techniques. Only then will a comprehensive analysis be achieved and an ethical decision made. Depending on the nature of the decision to be faced and the range of stakeholders to be affected, a proper analysis could be based on (1) consequentialism, deontology, and virtue ethics as a set or (2) one (or a hybrid) of the modified 5-question, moral standards, or Pastin approaches, taking into account the possible existence of commons problems that might arise.

A professional accountant can use stakeholder analysis in making decisions about accounting, auditing, and practice matters and should be ready to prepare or assist in such analyses for employers or clients just as is currently the case in other areas. Although many hard-numbers-oriented executives and accountants will be wary of becoming involved with the "soft" subjective analysis that typifies stakeholder and virtue expectations analysis, they should bear in mind that the world is changing to put a much higher value on nonnumerical information. They should be wary of placing too much weight on numerical analysis lest they fall into the trap of the economist who, as Oscar Wilde put it, "knew the price of everything and the value of nothing."

Directors, executives, and accountants should also understand that the techniques discussed in this chapter offer a means of better understanding the interplay between their organization and/or profession and its potential supporters. The assessment of impacts on stakeholders when combined with the ranking of each stakeholder's ability to withstand the action will lead to the better achievement of strategic objectives based on satisfied stakeholders. Operating successfully in an increasingly demanding global network of stakeholders will require that future actions are not only legal but also ethically defensible.

Questions

1. Why should directors, executives, and accountants understand consequentialism, deontology, and virtue ethics?
2. Before the recent financial scandals and governance reforms, few corporate leaders were selected for their "virtues" other than their ability to make profits. Has this changed, and if so, why?
3. Is it wise for a decision maker to take into account more than profit when making decisions that have a significant social impact? Why?
4. If a framework for ethical decision making is to be employed, why is it essential to incorporate all four considerations of well-offness, fairness, individual rights and duties, and virtues expected?
5. Is the modified 5-question approach to ethical decision making superior to the modified versions of the moral standards or Pastin approach?
6. Under what circumstances would it be best to use each of the following frameworks: (1) the philosophical set of consequentialism, deontology, and virtue ethics; (2) the modified 5-question approach; (3) the modified moral standards approach; and (4) the modified Pastin approach?

7. How would you convince a CEO not to treat the environment as a cost-free commons?
8. How can a decision to downsize be made as ethically as possible by treating everyone equally?
9. From a virtue ethics perspective, why would it be logical to put in place a manufacturing process beyond legal requirements?
10. List the companies that have faced ethical tragedies due to the following failings in their ethical culture:
    a. Lack of ethical leadership
    b. Lack of clarity about important values
    c. Lack of ethical awareness and expectations by employees
    d. Lack of monitoring of ethicality of actions
    e. Unethical reward systems
    f. Unreasonable pressures for unrealistic performance
11. Give an example of behavior that might be unethical even though "everyone is doing it."

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Illustrative Applications & Case Insights

Illustrative Applications

- *Ghost Flights—Are they Profitable, Legal, and Ethical?*—should airlines fly empty or near-empty planes to keep their airport slots to fly future passengers given the environmental impacts involved?
- *Bribery or Opportunity in China*—a real-life example of how a young executive faced the realities of business abroad and how he came to an innovative solution.
- *Proposed Audit Adjustment—Castle Manufacturing, Inc.*—describes the thinking involved in proposing an adjustment to year-end audited financial statements.
- *When Does an "Aggressive Accounting" Choice Become Fraudulent?*—indicates how the fundamental interests of stakeholders described in Table 4.3 ought to generate issues to be considered in a stakeholder impact analysis on the topic of accounting choices.

Cases

- *Concussions in the NFL* are imperiling NFL players and the game of football as we know it. The ethicality of the NFL's actions has become the subject of a sensational movie and possibly a guide to future resolution. This case explores how techniques of ethical analysis may help.
- *BP's Gulf Oil Spill Costs* could reach $80 billion according to a Reuters estimate, or it could be closer to $40 billion. Which estimate covers all the costs including loss of life, health, environment, economic livelihood, and reputation? How should uncertainties be estimated and built into the analysis?
- *Tylenol Recalls (2010): It's Still About Reputation* reviews how Johnson & Johnson—once revered for its iconic Tylenol recalls in 1982 (refer to page 196)—found itself facing mandatory shutdowns of Tylenol manufacturing plants and recalls of children's and other medications in 2010. How could such a reversal happen, and what are the costs involved?
- *Vioxx Decisions—Were They Ethical?*—provides an opportunity for students to research a serious dilemma that is currently in the news and develop a comprehensive, practical ethical analysis of the decisions faced by Merck, the manufacturer, which, by 2007, faced nearly 60,000 plaintiffs and 26,600 lawsuits. Students will also consider how the current dilemma could have been avoided.
- *Just Do It—Make the Numbers!* CFOs are often influenced, ordered, or coerced to bend the rules to make financial results better and often equal to prior projections released to the public. It is not an easy decision when your demanding boss is standing over you. What should a professional accountant consider before doing so?
- *Valparaiso University Sells Artistic Assets* is a case in which a university struggles with its core mission. Should it sell valuable donated art to fund the renovation of student residences?
- The *Ford Pinto* case is a classic that shows in stark relief the danger of ignoring the social impacts of a decision in favor of maximizing short-run profit. The original cost-benefit analysis was quite faulty, and our appreciation of safety has changed a lot since the Pinto was created, but the same problems continue to occur.
- *Kardell Paper* involves the possible pollution of a river with potentially life-threatening consequences. In addition to dealing with uncertainty, the reader learns to appreciate issues such as whistleblowing, corporate governance representative of stakeholders (or responsive to their interests) at the board level, and due diligence requirements on the part of executives and board members.

Ghost Flights—Are They Profitable, Legal & Ethical?

Illustration of Comprehensive Ethical Decision Making

There are a limited number of take-off and landing slots at major European airports. In pre-pandemic days, airlines were obligated to use 80% of their slots in order to retain them for the following year. This was called the 'use it or lose it' rule. In March 2020 when the pandemic arose, the minimum slot-use rule was waived. In February 2021, the European Commission required airlines to use 50% of their landing slots or risk losing them to other carriers. Landing slots are valuable assets. In March 2017, SAS (Scandinavian Airlines) sold two slot pairs at Heathrow Airport in England to American Airlines for $75 million.

In 2022, Lufthansa said that it was flying 18,000 ghost flights to maintain its landing slots. Ghost flights are flights with empty or near-empty airplanes. Greenpeace estimated that there would be over 100,000 European ghost flights during the winter of 2022. That is the "equivalent to the yearly emissions of more than 1.4 million cars."[1] The activist Greta Thunberg pointed out the hypocrisy of the EU enforcing a slot-use rule while at the same time saying it wants to reduce carbon emissions in the transportation sector by 90% by 2050.

If airline management had used a *sniff test* before the decision, they might have concluded that their mothers wouldn't have been proud of or comfortable with it. Similarly, they might have discovered that flying empty planes may have offended their code of conduct for harming the environment which may have influenced some customers to choose other airlines that did not fly empty planes. Very likely, if the airlines had considered the *stakeholder impacts* that the decision involved, they would have realized that their reputation would have been tarnished, and their future revenue would likely have been affected. In addition, airline employees interested in protecting the environment would also have questioned the airline's motives, which could weaken their loyalty and commitment to it.

If airline or European Commission personnel had applied traditional philosophers' ethical tests, they would have found the following:

Consequentialism

From a profit perspective, while flying empty planes would have reduced current profits, participating airlines were expecting that passengers carried on future flights using those slots would have more than made up for the costs, so they expected to be better off overall. However, if the existence of these ghost flights were to become known to the public, then future environmentally sensitive customers might choose to fly on other competing airlines that were not willing to fly ghost flights. This assessment would have to consider the increasing sensitivity of the public to the increasing damage to the environment, and the apparent linkage to unfavorable climate changes and global warming.

Duty, Rights, and Justice Issues

Corporations have a duty to make a profit which is essential to economic viability, but not at any cost. They also have a duty not to harm the environment unduly or unreasonably where reasonability is usually prescribed by laws and regulations, which may change and become more stringent at any time. Moreover, flying empty flights to appear to use 50% of their slots as the European Commission requirement mandated certainly did not comply with the spirit of the regulation, and public pressure probably would cause a more narrowing defined enforcement of the spirit of the requirement in the future Also, while flying ghost flights may have been legal at the time, many stakeholders may not have regarded them as ethical since they impacted unfavorably on the right to a healthy environment, and unfairly on those subject to breathing difficulties and environmental sensitivities.

Virtue Ethics

Does flying ghost flights demonstrate the virtues expected by the airlines' stakeholders? Airplanes are large CO_2 emitters. The EU wants to make the airline industry more energy efficient and reduce carbon emissions. But, as Thunberg pointed out, the EU cannot pursue energy efficiency while maintaining a slot-use rule. Nor can airlines claim to be environmentally concerned and sensitive, and fly empty planes. Hypocrisy is not a virtue that is expected of responsible business and political leaders.

In summary, this comprehensive analysis shows that flying ghost fights may be economically beneficial, but there are significant risks due to the unethical nature

[1] Paul Sillers, "Why the sky is still full of empty 'ghost' flights." *CNN Travel*, April 2, 2022.

of doing so. The airlines and the European politicians should consider how to remove the unethical aspects of their regulation and provide an incentive to operate responsibly, both financially and ethically.

Tucker's Five-Question Approach Illustrative

The EU and the airlines might use Tucker's Framework to analyze ghost flights.

1. Is it profitable?—the results of the economic cost-benefit analysis (above) indicate it may be economically logical for airlines to fly empty planes to prevent losing landing slots unless environmental sensitivity triggers customer or regulatory changes.
2. Is it legal?—the EU sets the policies. Currently, the 'use it or lose it rule' is in force. Accordingly, the airlines that follow this rule are doing nothing illegal. However, the legality is precarious as noted above.
3. Is it fair?—ghost flights contribute to global warming which is unfair to everyone regardless of whether they are airline passengers or not.
4. Is it right?—ghost flights are not acceptable per the rights and obligation analysis as well as the justice argument.
5. Does it demonstrate the expected virtues?—hypocrisy is not virtuous behavior.
6. Optional question: Is it environmentally sustainable over time?—clearly increasing carbon emissions is not a viable strategy for the planet.

On balance, it appears that the slot-use rule encourages airlines to engage in environmentally unfriendly practices that increase carbon emissions and squander scarce resources. On balance the EU policy may be economically viable, but it is ethically objectionable, and airlines should recognize that, although flying empty planes may be legal, it is not ethical, and will likely lead to comprising their reputations, changes in their viability, and changes in offending laws and regulations. The "use it or lose it" requirement should be reconsidered.

Moral Imagination

Interestingly, Cambridge University professors Kelly and Steinberg have proposed a progressive adaptive user selection environment (PAUSE) auction system that would allow airlines to bid on landing slots thereby eliminating the need for airlines to fly ghost planes[2]. This is just one example of how *moral imagination* can produce solutions to complex problems that incorporate both economics and ethics.

References

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Lottie Limb, "Almost 2 years into the pandemic, empty flights are still 'frying' the planet," *EuroNews*, January 6, 2022.

[2] Frank Kelly and Richard Steinberg, (2000) "A combinatorial auction with multiple winners for universal service," *Management Science*, 46(4), 586–596.

Bribery or Opportunity in China Case

Illustrative Application of Stakeholder Impact Analysis

Note: Names have been changed

John Low, a North American born of Chinese descent, was given the opportunity of his lifetime. He was asked to go to China and set up a manufacturing subsidiary in a medium-sized city in the middle of the country. He had arrived in the city and had attempted to set up a new building and manufacturing facility that would employ thirty people but had encountered many delays in dealings with the local authorities. Ultimately, John met with the three senior officials and asked what the problem was. They indicated that things would go a lot faster if John's company would make them a payment of $100,000 each. This, they said, was quite reasonable in view of what other companies had been paying.

John was in a quandary. When he had been sent to China, his boss had told him that under no circumstances were any bribes to be paid. It was against company policy, and it would not be tolerated. On the other hand, John was expected to get his job done, and his boss had told him that unless he did so, another manager would be sent to take over John's position. John knew that his budget contained a provision for payments to agents, but the total allowed was only $150,000. He knew that if the facility were delayed, every month of delay would cost his company a contribution of approximately $25,000. John told the senior officials repeatedly that there was no way his company would pay them, but they were insistent.

Questions

1. Should John pay the bribes?
2. Is there something else he could do instead?

Illustrative Solution

The first step in a stakeholder impact analysis is to identify all stakeholder groups affected by the proposed action and their interests. At the end of the identification process, the stakeholders and their interests are to be ranked in importance. These two steps can be facilitated by means of a tabular analysis as follows:

Analysis of Stakeholders and Their Interests

Stakeholder	Interest	Legitimacy/ Legal Influence	Power to Affect Company	Urgency of Claim	Primary or Secondary	Rank In Importance: 1 Is Highest, 3 Is Lowest
John	Potential success or dismissal, unless a new idea can be found. Probability of discovery estimated at 60%.	Yes	Yes	High	Primary	1
Local employees	Delay in job, or no job.	No	Not yet	Low	Secondary for now	3
John's boss	John's success is his own, but he runs the risk of sanction if John is found to have bribed.	Yes	Yes	High, but less than John's	Primary	2
Other managers Elsewhere	Company policy will be eroded, so observance will be difficult since employees will know of breach.	Yes	Yes	Medium	Primary	2
Shareholders	Financial success earlier, but costs of bribes will raise costs and will be called for in many situations. Possible fines and bad publicity if caught, and *Foreign Corrupt Practices Act* or similar applies, so profits down, Probability of 40%.	Yes	Yes	High	Primary	1
Chinese officials	$300,000 richer if not caught, then? Probability of 10%.	Yes	Yes	Medium/ high	Primary	1
Directors and senior executives	Directors same as shareholders. Executives—no bonuses and could be dismissed.	Yes	Yes	High, but less than John's	Primary	1
Elderly Chinese in town (leaders in society)	No benefit until local employment starts or other benefit created.	No	Yes, very Influential	Low	Appears secondary, but could be primary	1
Chinese government	Bribes raise cost of doing business in China.	Yes	Yes, but Distant	Low	Secondary for now	3
John's family	Unknown if he has any.					Not applicable

Challenges to Proposed Action: Payment of Bribes

Question or Challenge	Response
1. Is it profitable?	Maybe for company. $25,000 per month × 40% (i.e., the probability of being caught)—cost of fines and additional bribes elsewhere. John, probably not, as probability of being caught is 60%.
2. Is it legal?	Not really, but maybe if creative arrangement with an agent is successful and/or this is considered a facilitating payment, not a bribe.
3. Is it fair?	Not to John, his boss, top management, China, or elderly Chinese.
4. Is it right? Generally? Per company ground rules? Per John?	Everyone is doing it, so maybe. Not per company ground rules and code. Not known.
5. Does it provide the highest net benefit for all?	Maybe, unless a better idea is found.

In this situation, with the proposed action being to pay the bribes or not, there are not many externalities, but there are legalities and company ground rules. Consequently, John could use a hybrid ethical decision framework based on the 5-question framework but with the use of net benefit in addition to profit and ground rule ethics. The questions or challenges for the proposed action are therefore as shown in the table below, with responses noted.

Based on this analysis, John found several responses that were negative or not clearly positive, indicating an unethical—and in this case illegal—decision. Yet he had to bribe or admit failure unless he could find an ethical alternative.

John also asked himself whether the decision to bribe would involve and exhibit the motivations, virtues, and character traits expected. His answers appear in the table above.

Bribery was not in accord with expected motivations, virtues, or character traits, so John began to look for other alternatives. He began to consider the primary stakeholders to the company's long-run success in the area. He realized that the company's relationship with the Chinese elderly was going to be of high long-run significance because the elderly are very influential in Chinese culture. What could he do to satisfy the elderly and perhaps bring the local officials onside as well? At the same time, he did not want to offend his company's ground rules, which were to observe the code and not to bribe.

He had noticed that there was not really a good place for the elderly to gather, like his own parents had back home. In the end, he asked his boss if his company ever supported community centers, and the answer was yes. The company's donations budget would provide the funds, and company officials were quite interested in paying for a senior citizens' center and park in the Chinese town as part of the company's good corporate citizen program of supporting the communities that they operated in. John proposed this to the senior Chinese officials who wanted the bribes, indicating that his company would not make such payments directly to anyone. The officials, however, would get credit by association with the park and center and would, of course, serve on the Board of Directors of the center when it was finished.

John's plant was ready in record time, and he was awarded a citation by his company's CEO, who was also the person in charge of the company's ethics program. It seemed apparent that he had found a solution that provided the highest net benefit to all—a true win-win-win arrangement—that matched well with expected motivations, virtues, and character traits.

Expected Motivations, Virtues, & Character Traits

Question: Does the Decision or Action (To Bribe) Involve or Exhibit the Expected Response

Considerations	Assessment
Motivations	Possibly, but higher levels of self-control, fairness, and/or caring may be possible with other alternatives.
Virtues	No. John would be breaching his CEO/company's expectations. Dutiful loyalty, integrity, and sincerity would be below expectations. Duplicity would be required, rather than transparency, to appear to comply with company codes and Chinese law.
Character traits	No. It is doubtful that John would be considered trustworthy, honest, or truthful if he bribes and is found out.

Proposed Audit Adjustment Case—Castle Manufacturing Inc.

Illustrative Application of Stakeholder Impact Analysis

Larry Plant, the CFO of Castle Manufacturing Inc., was involved in a lengthy discussion with Joyce Tang of the company's auditing firm, Bennett & Sange, at the conclusion of the audit fieldwork.

"Joyce, we just can't afford to show that much profit this year. If we do record the $1.5 million after-tax adjustment you propose, our profit will be 20% higher than we had two years ago and 5% higher than we reported last year. On the other hand, without the adjustment, we would be close to last year's level. We are just about to enter negotiations with our labor unions, and we have been complaining about our ability to compete. If we show that much profit improvement, they will ask for a huge raise in rates. Our company will become noncompetitive due to higher labor rates than our offshore competition. Do you really want that to happen?"

"But Larry, you really earned the profit. You can't just ignore it!"

"No, I'm not suggesting that, Joyce. But virtually all of the goods making up the profit adjustment were in transit at our year-end—so let's just record them as next year's sales and profits."

"But, Larry, they were all sold FOB your plant, so title passed to the buyer when they were shipped."

"I know that, Joyce, but that was an unusual move by our overzealous sales staff, who were trying to look good and get a high commission on year-end numbers. Anyway, the customer hadn't inspected them yet. Just this once, Joyce, let's put it into next year. It's not really a significant amount for our shareholders, but it will trigger a much bigger problem for them if the unions get a hold of the higher profit numbers. As you know, about 40% of our shares were willed to the United Charities Appeal here in town, and they could sure benefit from higher profits and dividends in the future. I bet the difference in their dividends could be up to $400,000 per year over the life of the next five-year contract."

Question

1. What should Joyce do?

Illustrative Solution

Several approaches to ethical decision making are presented in the chapter: the philosophical, or those to be used with an assessment of the motivations, virtues, and character traits; the 5-question approach; the moral standards approach; and the Pastin approach. In this illustrative solution, the 5-question framework will be used, with expansions, where necessary, drawn from other approaches.

The 5-question approach calls for the identification of the stakeholders impacted by the decision and then poses five questions or challenges to assess whether these impacts are ethical. If some aspect of the decision is considered not to be ethical, the proposed decision/action may be altered to mitigate or remove the unethical element.

In this case, the auditor has proposed that a $1.5 million adjustment be made to increase the profitability of the client Castle Manufacturing Inc. The CFO is resisting, proposing instead that the impact on profit be put into the next year so as to gain a bargaining advantage over the company's unions, who will use the profit figures to negotiate a new five-year agreement. Joyce Tang, the auditor, must decide whether the proposal to shift the adjustment to the next year is ethical: if not, she must convince the CFO to record the adjustment or qualify her audit report. It is not immediately apparent whether the adjustment is material: if it was, the correct action would be to qualify the audit report if the CFO were to hold fast to his proposal.

Identification of Stakeholders and Their Interests

The CFO's proposal would impact on the following stakeholders:

Stakeholders	Interests
Directly Impacted:	
Current shareholders wishing to sell their shares in the short run	They would want the adjustment recorded in the current year to boost profit and share values.
Current shareholders wishing to hold on to their shares	They would want the adjustment deferred to minimize the labor settlement and maximize future profits and dividends.

(*Continued*)

Stakeholders	Interests
Future shareholders	They would want an accurate assessment of profitability to properly assess whether to buy into the company. If profits are depressed, they might not buy in, so the increased future profits may not be relevant.
Employees	They would want profits accurately stated to provide a higher basis for negotiation assuming this would not jeopardize the long-run viability of the enterprise.
Company management	Depending on their bonus arrangements and their altruism, they would want short- or longer-term recognition of the adjustment.
Directors	They would want the long-run profit improvement, provided they would not be sued for sanctioning something illegal.
Creditors, suppliers, and lenders	If the labor negotiations result in higher profitability and liquidity, these stakeholders would want the adjustment deferred.
Governments and regulators	They would want profits accurately stated because this would result in higher taxes and fewer potential complaints from other stakeholders (e.g., unions).
Joyce and her audit firm	They would want to minimize the chance of legal and professional challenges arising from the audit that would result in fines and/or loss of reputation, but they also would wish to continue auditing a healthy client.
Indirectly Impacted:	
Recipients of the funds generated by the United Charities Appeal	They would want the adjustment deferred.
Altruistic management of the United Charities Appeal	They would want the adjustment properly dealt with, which would probably mean that they would side with the employees.
Host communities	They would want the highest labor rate settlement possible without jeopardizing the long-run health of the enterprise.
The auditing profession	It would want to avoid loss of reputation for the profession.

Ranking of Stakeholder's Interests

The stakeholder's interests in the decision identified above can be ranked as to their importance on "possessing legal rights," "ability to withstand both financially and psychologically" (a rank of "1" is worst), and "probable public reaction on behalf of" scales, as follows:

Stakeholders Impacted	Possess Legal Rights	Rank of Ability to Withstand	Probable Public Reaction
Current shareholders—wishing to sell	Yes—first	3	Low
Current shareholders—wishing to hold	Yes—tie	3	Low
Future shareholders	Yes	3	Low
Employees:	No—none	2	Strong
— if contract is GAAP based	Yes	2	Strong
— if financial statement is used in negotiation	Yes—possibly	2	Strong
Company management—dependent on contract	Yes or no	3	Low
Directors	Yes	2	Low
Creditors, suppliers	No	4	Low
Lenders—dependent on contract	No or yes	4	Low
Governments and regulators	Yes	4	Moderate
Joyce and her audit firm	Yes	2	Strong
Recipients of charity funds	No	1	Strong
Altruistic management of charity	No	3 or 2	Strong
Host communities	No	4	Moderate
Auditing profession	No	3	Strong

It is evident from these rankings that the strength of legal rights does not correspond to the rankings of a stakeholder's ability to withstand the decision or to the probable public reaction on behalf of each stakeholder if the decision to defer the adjustment becomes public. Moreover, the legal rights of stakeholders with differing interests are equal. The "probable public reaction" scale, which corresponds strongly to the "ability to withstand" scale, offers a good idea of how politicians, governments, and regulators will react. Consequently, decision makers would be unwise to focus only on the legality of stakeholder positions.

Of course, the likelihood of the deferment becoming public has to be estimated. Unfortunately, most decision makers overlook the possibility of an altruistic or disgruntled whistleblower making the disclosure public or, alternatively, revealing it to the union bargaining team. As a result, the valid probability of revelation is usually far higher than the decision maker's assessment.

Application of the Modified 5-Question Approach

Question 1: Profitability

There is no doubt that the deferment of an upward adjustment of $1.5 million to profit will decrease profit this year and increase it the next. In addition, there is some possibility, if the decision does not become public or known to the union, that the company's profits over the life of the contract will rise substantially if total dividends rise by $1.0 million per year ($400,000/40%). However, if the decision becomes known, the union may retaliate and bargain harder, lawsuits may be launched against the company, and the executives, auditors, and governments may levy tax penalties and fines. Consequently, the outcome of the profitability question is uncertain for the company and therefore for its shareholders and their dependents (and for the auditor, for that matter).

Question 2: Legality

Given that the decision to defer the adjustment is in the gray area of GAAP (it is not clearly material—although it is suspiciously significant—nor is it contravening usual company practice; the customers have not inspected the goods at year-end, and it is a conservative treatment), it might be declared reasonable in a court of law. However, the legal process, which usually covers the company, its management and directors, and the auditor as being joint and severally liable, will involve legal fees, expert witness's testimony, the commitment of time (which soaks up billable time), and the potential of having to pursue other codefendants for restitution if they are found to be culpable rather than the auditor. Of course, the auditor could mitigate these legal consequences by qualifying her report, but that would obviate the exercise and could create ill will with the CFO and possibly the rest of the management and directors. Because the legal interests do not coincide and a lawsuit is likely if the deferment is known, the decision maker may not be able to take comfort from the fact that the deferment is probably within the boundaries of GAAP and therefore legal.

Question 3: Fairness

While the decision to defer the $1.5 million adjustment may not be considered material to an investor making the decision to invest or divest, it may be very significant to the employees and their union and to the charity and its dependents. Consequently, not disclosing the $1.5 million this year may be unfair to these interest groups. If the decision becomes public, this unfair treatment may result in lawsuits and may bring the company, its auditors, and the auditing profession into disrepute with the public. The claim would be that these parties were not acting in the public interest—that the auditors failed to lend credibility to the financial statements and thereby failed to protect the public.

Question 4: Impact on Rights

To the extent that the proposed decision impacted negatively on the rights of stakeholders, in terms of life, health, privacy, dignity, and so on (i.e., rights other than fairness and legal rights, which are canvassed in questions 2 and 3), the decision would be considered unethical. In this case, there are no lives at stake, but conceivably the health and well-being of the employees and particularly the ultimate recipients of the charity are at stake. The extent of this infringement would be revealed by further investigation. Given the information in the case, the degree of infringement of stakeholder rights is unclear.

Question 5: Demonstration of Expected Motivations, Virtues, & Character Traits?

All of the stakeholder impact assessment approaches or any hybrid approach should be augmented by an assessment of motivations, virtues, and character traits involved in and exhibited by the decision or action compared to what is expected. In this case, for Joyce Tang, the decision maker, this assessment would be as shown below.

In this decision, there does not appear to be much room for reengineering to make its impact more ethical, so it must be faced as it is.

Summary of Findings of 5-Question Approach

This analysis has shown that the proposed deferment is probably legal but may not be profitable, fair, or respectful of stakeholder's rights. Certainly, the examination of only a one-year time frame would have proven to be misleading. Further analysis appears needed to reach a conclusive decision on many issues, and even then reflection will be needed to weigh the trade-offs between interests.

Expected Motivations, Virtues, & Character Traits

Question: Does the Decision or Action Involve or Exhibit the Expected Response?

Motivations	Possibly not. As a professional accountant, Joyce is supposed to use her unbiased, fair judgment to protect the public interest by following GAAP and her professional accounting code. This protects future shareholders from harmful actions that would benefit existing shareholders.
Virtues	If Joyce's action of lowering profit by \$1.5 million becomes known, future shareholders, some current shareholders, and the employees will consider it unethical because Joyce will appear — to be disloyal to her profession and those shareholders, — to be lacking in integrity and the desire to support transparency, and — duplicitous.
Character traits	The disenchanted stakeholders will take the view that Joyce is untrustworthy, partial to some stakeholders, and lacking the courage to stand up for the rights of all stakeholders.

Suggested Format: Decision Impact on Multiple Bases

Projected	Short-Term Profit	Five-Year Profit	Cost–Benefit Analysis	Risk–Benefit Analysis
Revenues/cost savings/benefits				
Costs/opportunity costs				
Net profit/net benefits				

Extensions of the 5-Question Approach

The stakeholder impact challenges inherent in the 5-question approach, the moral standards approach, and Pastin's approach can be grouped into three areas: well-offness, fairness, and rights.

On the dimension of well-offness, it is evident that only considering profitability focuses discussion on the interests of shareholders rather than stakeholders. The way to broaden the focus is to prepare an analysis over a longer rather than shorter time frame so that some of the externalities are included: to use cost-benefit analysis to bring in intangibles, such as the loss of quality of life, and to use risk-benefit analysis to include probabilities of occurrences. These enhancements have been included intuitively in the previous analysis but could be sharpened with further investigation and presented formally to the decision maker to assist in his or her decision, perhaps in the following format.

This presentation would allow the decision maker to see what the short-term and longer-term impact on profits was and what the overall net benefits were likely to be for all stakeholders. Frequently, the benefits and costs accruing to stakeholders ultimately accrue to shareholders, so this presentation will allow a decision maker to project what may result from the decision. In this case, we do not have enough information to develop estimates for the costs and benefits associated with the positions of many stakeholders.

With regard to fairness, the concept of ranking stakeholders on several dimensions has already been employed. If the fairness of an impact is ever in doubt, one way to assess it is to put yourself in the position of the stakeholder being assessed. If you would be willing to change places with the other party, then the decision is probably fair. If not, the decision may be made fair by altering or reengineering its impact in some way.

The consideration of impacts on stakeholder rights can be enhanced beyond the level employed in this analysis by a heightened awareness of commons problems. Sometimes rights shared with others are taken for granted, but they should not be. The environment is one example of this, but there may be others on which specific decisions impact.

Conclusion

Although the proposed decision appears to hold some promise of profitability and could be within GAAP and legal, it does not appear to be fair or right to several stakeholders. *Although the proposed action's impact may not be material for investors, it is significant to several stakeholders*. The proposed action does not match expectations for ethical motivations, virtues, or character traits. Consequently, it is somewhat unethical and may result in a significant negative reaction for the directors, auditor, and auditing profession. These matters and their consequences should be fully explained to the Audit Committee of the Board of Directors. In the post–Sarbanes-Oxley regime, the Audit Committee should be informed by the auditor of such disputes with management and what the auditor's opinion was. If the Audit Committee agrees with management (whose mandate includes the preparation of the financial statements) to exclude the $1.5 million profit, the full board should be advised, and the auditor should consult within her firm to arrive at a consensus position on whether to qualify the audit report. In this way, the decision can be shared among those who would be held responsible.

When Does an "Aggressive Accounting" Choice Become Fraudulent?

Illustrative Application of Stakeholder Impact Analysis

Fraudulent choices of accounting treatment are those that contain such an element of deception that a reasonably informed and careful investor or other financial report user would be misled to his or her detriment as a result. For example, revenue or expenses may be misstated to improperly increase current profit (thus diminishing future profits) to raise share prices or increase management bonuses. This would put future shareholders at a disadvantage, as they would be buying shares at inflated prices while the company's assets would be reduced by the bonus money paid out.

There are, however, times when GAAP allows a choice among alternative treatments, where some are more aggressive than others that are considered conservative usually because of their tendency not to inflate current profits. For example, a company's management may choose different approaches to depreciate its fixed assets, and this would give rise to different depreciation charges against profit. Similarly, a range of choices is available for accounting for goodwill, the recognition of warranty expense, or the recognition of revenue from construction contracts. If these accounting choices are made without consideration of all possible accounting practices, current and future shareholders may not be properly served. However, unless there is an effective ethical framework for deciding which of these choices to make, accounting choices may become too aggressive and fraudulent.

Fundamental Stakeholder Interest	Issues to Be Considered
Well-offness	Are current and future shareholders' interests reported clearly and accurately and as the related economic reality warrants?
Fairness	Are the interests of current shareholders, future shareholders, management, or other stakeholders unfairly disadvantaged with the benefit being transferred to another stakeholder?
Right(s)	Are the rights of stakeholders observed, including adherence to the following?
	• Professional fiduciary focus on duty to the public
	• Professional standards—objectivity, accuracy, integrity, competency, fair presentation
	• GAAP
	• Securities Commissions guidelines for
	• full, true, and plain disclosure and
	• specific disclosures
	• Company policies such as for clarity and completeness?
Virtue expectation	Motivations, virtues, and character traits (refer to Table 4.8)

Concussions in the NFL

Ethics Case

The NFL has known for some time that serious brain damage could be caused by the head trauma that is part of a normal football game. The sudden serious jarring of a football player's head in normal tackling and blocking has been suspected for decades of causing lasting health problems. But it took the sensational film, *Concussion* (2015), about Dr. Bennet Omalu's discovery that this head trauma was linked to chronic traumatic encephalopathy (CTE) and that the NFL was covering it up for many years to raise the public's awareness to the full extent of the problem.

Dr. Omalu, a medical examiner in Pittsburgh, began his studies in 2002. Although the NFL began studying the problem in 1994, the NFL initially denied or downplayed the risks and began to introduce preventive measures only in 2009. By 2013, the NFL required players suspected of suffering concussions during a game to submit to specific sideline tests conducted by an independent neurologist before returning to play. The NFL has committed $130 million to research and has agreed to a payment of $765 million to settle a lawsuit from retired players.

Many NFL players have reportedly committed suicide because of the depression and dementia associated with the head trauma they suffered while playing the game they loved. Others have reportedly suffered CTE and other brain disorders, such as Parkinson's disease. According to Boston University,

> Chronic traumatic encephalopathy (CTE) is a progressive degenerative disease of the brain found in athletes (and others) with a history of repetitive brain trauma, including symptomatic concussions as well as asymptomatic sub-concussive hits to the head.… This trauma triggers progressive degeneration of the brain tissue, including the build-up of an abnormal protein called tau. These changes in the brain can begin months, years, or even decades after the last brain trauma or end of active athletic involvement. The brain degeneration is associated with memory loss, confusion, impaired judgment, impulse control problems, aggression, depression, and, eventually, progressive dementia.

Although questions are continually raised about the efficacy of the NFL's measures to protect players from head injuries, the NFL continues to play. Many owners, management, players, and fans consider CTE to be just an occupational hazard.

Questions

1. Is the NFL's stance on controlling the harm of concussions ethical?
2. Should the NFL have moved earlier on the concussion problem? If so, when and how?
3. If the concussion problem had been analyzed using virtue ethics, what would the analysis have included and concluded?
4. Should the NFL continue to play football? Consider consequences, impacts on rights, and virtue ethics in your answer.

Sources: *Concussion*, 2015, a movie starring Will Smith, http://www.sonypictures.com/movies/concussion/; NFL Concussion Litigation, refer to http://nflconcussionlitigation.com.

PBS Frontline, "League of Denial: The NFL's Concussion Crisis," October 8, 2013, accessed April 17, 2016, from http://www.pbs.org/wgbh/frontline/film/league-of-denial.

PBS Frontline, "Timeline: The NFL's Concussion Crisis," accessed April 17, 2016, from http://www.pbs.org/wgbh/frontline/article/timeline-the-nfls-concussion-crisis.

PBS Frontline, "The NFL's Concussion Problem Still Has Not Gone Away," by Jason M. Breslow, September 19, 2014, accessed April 17, 2016, from http://www.pbs.org/wgbh/frontline/article/the-nfls-concussion-problem-still-has-not-gone-away.

"What Is CTE?," Boston University, accessed April 17, 2016, from http://www.bu.edu/cte/about/what-is-cte.

BP's Gulf Oil Spill Costs

Ethics Case

One of the world's largest oil spills began on April 20, 2010, in BP's Deepwater Horizon/Macondo well in the Gulf of Mexico. Although the world did not take significant notice until the next day, an estimated 62,000 barrels of oil and gas escaped into the Gulf for most of the next 95 days until the well was capped on July 27. Damage to the Gulf Coast fishery, tourism, and quality of life was catastrophic.

At first, BP estimated that the cost of cleanup alone would be $3 billion to $6 billion[1] and set aside a claims fund of $20 billion.[2] On July 27, BP set aside $32.2 billion[3] to settle claims for loss of income and cleanup and other costs. Later BP decided to raise their estimate to $40 billion, but even that may prove not to be enough.

On December 1, 2010, Reuters published a "Special Report" that suggested BP's costs could rise to twice BP's final estimate—all the way to $80 billion.[4] Their estimates are noted in Table 1.

Estimates by Reuters included several uncertainties. For some, Reuters included a range of outcomes; for others, they simply stated their existence.

Some uncertainties will take time to clarify, such as (1) how many of the claimants of lost revenue or income can prove the basis of their claim since they may not have paid taxes on all the revenue they earned or (2) the future price of a barrel of oil. However, reasonable estimates or assumptions can be made that can contribute to a useful overall estimate.

Some matters require ultimate clarification by court judgment or political decision because current opinions conflict. For example, if BP, the project operator, is judged as "grossly negligent," then BP would be liable for a fine of $4,300 per barrel spilled rather than $1,100 per barrel, and BP's partners—Anadarko Petroleum (25%) and Japan's Mitsui (10%)—would not have to pay any fines and cleanup costs. In addition, companies such as those hired to drill (Transocean) and provide consulting advice (Halliburton) could also be off the hook. It would appear, however, that the White House Oil Spill Commission[5] did not find direct evidence that BP's senior management had been reckless and therefore grossly negligent. They

Table 1 Reuters' Estimates of BP's Gulf Oil Spill Costs (U.S. Billions)

Economic damages—claims of lost income from fishermen, tourist operators, and other businesses	$20.0
Fine for oil spilled under the U.S. Clean Water Act: $4,300 per barrel if found "grossly negligent," $1,100 per barrel if not, plus recoveries from partners, suppliers, and consultants	21.1–5.4 (range explained below)
Punitive damages based on $1 for each $1 of economic damages, the same as Exxon had to pay for the Exxon Valdez oil spill	20.0
Added regulatory scrutiny—10% of operating costs ($280 million per year) discounted at 10%	2.5
Capping the Macondo well—labor, materials, etc.	Specific Estimate Not Disclosed (✓)
Cleanup of oil—BP Gulf of Mexico Response website	✓
Cleanup of ships fouled	✓
Lost production of 30,000 barrels per day discounted at 10%	✓
Ban from future drilling site auctions—lost new oil	✓
	$80 billion

Source: BP, "Claims," in *Gulf Commitment*, 2016, http://www.bp.com/en_us/bp-us/commitment-to-the-gulf-of-mexico/claims.html.

[1] Tom Bergin, "Special Report: How BP's Oil Spill Costs Could Double," December 1, 2010, accessed December 10, 2010, from http://www.reuters.com/article/idUSTRE6B02PA20101201?pageNumber=1.
[2] BP, "BP Establishes $20 Billion Claims Fund for Deepwater Horizon Oil Spill and Outlines Dividend Decisions," June 16, 2010, http://www.bp.com/en/global/corporate/press/press-releases/bp-establishes-20-billion-claims-fund-for-deepwater-horizon-spill-and-outlines-dividend-decisions.html.
[3] BP, "BP Sets Out Gulf of Mexico Costs, Further Asset Sales and Strong Operating Performance," July 27, 2010, accessed December 12, 2010, from http://www.bp.com/extendedgenericarticle.do?categoryId=2012968&contentId=7063921.
[4] Bergin, "Special Report."
[5] "Factbox: Oil Spill Commission Findings," November 8, 2010, accessed December 12, 2010, from http://www.reuters.com/article/idUSTRE6A74FH20101108.

found no direct evidence of a "conscious decision to favor dollars over safety," which suggested instead that the tragedy could be characterized as "a mistake by a low-level worker." On the other hand, the commission's cochairmen indicated that BP had "a culture that did not promote safety" and that their report "did not mean anyone was off the hook." Rumors were also reported of a potential political deal to lower the fine from $4,300 per barrel.

Biological uncertainties also need clarification. Various reports indicate the disappearance of the oil spilled, perhaps due to the actions of microbes in the warm water. Not surprisingly, there are opposing reports of finding oil spilled that has sunk deep into the ocean.

Time will make all uncertainties clearer, but estimates of potential costs are needed long before perfectly certain figures are available. In this regard, the estimate by Reuters of the out-of-pocket impact on BP of the Deepwater Horizon/Macondo well disaster is quite useful for investors, employees, and auditors. But Reuters would be quite ready to admit that there are costs borne by other stakeholders that they have not included. Not until the end of 2015 were penalties determined, but liabilities continued (refer to Table 2).

Table 2 Spill and Post-Spill Trial Timeline

April–July 2010—Deepwater Horizon oil rig explodes; eleven killed. Millions of barrels of oil pollute the Gulf of Mexico. BP reserves $42 billion for cleanup costs, damages, and penalties (David Gregorio, Howard Goller, and Jeffrey Benkoe, "Timeline: BP Oil Spill, Litigation at a Glance," *Reuters (Edition U.S.)*, July 2, 2015, http://www.reuters.com/article/us-bp-gulfmexico-settlement-timeline.-idUSKCN0PC1OD20150702?mod=related&channelName=domesticNews).

November 2012—Criminal case settlement: BP agrees to $4.5 billion in fines and penalties and pleads guilty to fourteen criminal charges (Gregorio et al., July 2, 2015). BP banned from bidding on U.S. contracts. Criminal charges laid against three employees.

December 2012—Class action settlement: judge approves BP's settlement with businesses and individuals affected by the oil spill. BP estimates $7.8 billion to settle more than 100,000 claims, but the amount is not capped (Gregorio et al., July 2, 2015).

February 2013—First phase of three-phase civil trial begins to apportion blame to BP, Halliburton, and Transocean (Gregorio et al., July 2, 2015).

September 2014—Halliburton Co. reaches $1.1 billion settlement, including legal fees, for claims against it (Dominic Rushe, "Halliburton Reaches $1.1bn Settlement over Deepwater Horizon Oil Spill," *The Guardian*, September 2, 2016, http://www.theguardian.com/environment/2014/sep/02/halliburton-11bn-settlement-deepwater-horizon-spill).

September 2014—Second phase of civil trial begins to determine amount of oil spilled for calculation of fines and damages (Gregorio et al., July 2, 2015).

September 2014—Phase 1 ruling: judge determines BP was grossly negligent. BP found 67% responsible, Transocean 30% responsible, and Halliburton 3% responsible for the spill (Gregorio et al., July 2, 2015).

January 2015—Phase 2 ruling: judge determines that 3.19 million barrels of oil were spilled (Gregorio et al., July 2, 2015)—less than the 4.2 million claimed by the federal government but more than BP's claimed 2.4 million barrels. Thus, Clean Water Act fines are capped at $13.8 billion ($4,300 per barrel) (Terry Macalister, January 16, 2015).

January 2015—Phase 3 begins to determine fines for pollution.

February 2015—BP appeals size of spill ruling (Terry Macalister, "BP Deepwater Horizon Fine Capped at $13.8bn," *The Guardian*, January 16, 2015). Retrieved from http://www.theguardian.com/business/2015/jan/16/bp-deepwater-horizon-spill-fine-cap-14bn.

June 2015—Former BP executive acquitted (Associated Press, "BP Engineer Is Not Guilty in Case from 2010 Gulf Oil Spill," *New York Times*, February 25, 2016, http://www.nytimes.com/2016/02/26/business/energy-environment/bp-engineer-is-not-guilty-in-case-from-2010-gulf-oil-spill.html?_r=0).

July 2015—Phase 3 settlement reached: BP agrees to pay $5.5 billion in Clean Water Act fines as part of $20.8 billion settlement with federal government and five Gulf states, raising its budget for the spill to $55 billion from $42 billion (Margaret Cronin Fisk and Laurel Brubaker Calkins, "Anadarko Ordered to Pay $159.5 Million for 2010 Gulf Spill," *Bloomberg Business*, November 30, 2015, http://www.bloomberg.com/news/articles/2015-11-30/anadarko-ordered-to-pay-159-5-million-for-2010-gulf-spill).

November 2015—Anadarko Petroleum fined $160 million as part owner not directly responsible for the spill (Fisk et al., November 30, 2015).

December 2015—BP faces Mexican class action lawsuit over Deepwater Horizon oil spill (Nina Lakhani, "BP Faces Mexican Class Action Lawsuit over Deepwater Horizon Oil Spill," *The Guardian*, December 11, 2015, http://www.theguardian.com/environment/2015/dec/11/bp-gulf-oil-spill-mexico-lawsuit-deepwater-horizon).

January 2016—BP engineer sentenced to six months of probation. Another BP engineer to be sentenced in April 2016, probably with several months' probation (Associated Press, February 25, 2016).

(*Continued*)

Table 2 Spill and Post-Spill Trial Timeline (*Continued*)
February 2016—BP announces plans to sell $8 billion in assets and shed 7,000 jobs over two years because of low oil prices and liabilities ($4.4 million over three months for Gulf oil spill, bringing amount spent to date at $55 billion). Crude oil sits at $44 per barrel, compared to $77 per barrel in early 2015 (Macalister, February 2, 2016).
February 2016—Last of three BP employees tried on criminal charges is acquitted (Associated Press, February 25, 2016).
March 2016—BP CEO Bob Dudley (CEO since October 2010) receives 20% pay hike despite record-high loss of $6.5 billion in 2015, planned loss of 7,000 jobs, and ongoing liabilities from Gulf oil spill (Terry Macalister, "BP Chief Receives 20% Pay Hike despite Record Loss and 7,000 Axed Jobs," *The Guardian*, March 4, 2016, http://www.theguardian.com/business/2016/mar/04/bp-chief-executive-20-percent-pay-package-hike-record-loss-axed-jobs).
April 2016—Engineer, Donald Vidrine, was sentenced to 10 months probation ("BP Engineer Gets 10 Months Probation on Pollution Charge," Associated Press, April 6, 2016, accessed August 23, 2016, from http://www.nola.com/politics/index.ssf/2016/04/bp_donald_vidrine_oil_spill.html).

Oil Spill Videos

- "2010: First 100 Days of BP Oil Disaster" (video file). July 27, 2010. *CNN U.S.* http://www.cnn.com/videos/us/2010/0727/natpkg.100.days.stopping.the.leak.cnn/video/playlists/bp-deepwater-horizon-oil-spill.
- "Gulf Oil Spill by the Numbers" (video file). 2010. *Time.* http://content.time.com/time/video/player/0,32068,91101495001_1995883,00.html.
- "Revisit the BP Oil Spill, 5 Years Later" (video file). April 10, 2015. *CNN U.S.* http://www.cnn.com/videos/bestoftv/2014/01/11/ac-wv-water-chemicals.cnn/video/playlists/toxic-pollution.
- Paul Hunter, "BP Deepwater Horizon Oil Spill, 5 Years Later: Louisiana Residents Say Effects of Massive 2010 Gulf of Mexico Spill Still Being Felt" (video file). April 19, 2015. *CBC News*. http://www.cbc.ca/news/world/bp-deepwater-horizon-oil-spill-5-years-later-1.3037641.

Subsequent Events

In September 2014, after four years of legal wrangling to apportion blame for the spill, BP was found "grossly negligent" and 67% responsible, while Transocean was found 30% responsible and Halliburton 3%.

Source: Margaret Cronin Fisk, Laurel Brubaker Calkins, and Jef Feeley, "BP Found Grossly Negligent in 2010 Gulf of Mexico Spill," *Bloomberg Business*, September 4, 2014, http://www.bloomberg.com/news/articles/2014-09-04/bp-found-grossly-negligent-in-2010-gulf-of-mexico-spill.

Questions

1. What are the costs to other stakeholders in society beyond those that Reuters included? How would these costs be estimated?
2. Has the cost of lost reputation been included by Reuters? If not, how could it be estimated?
3. Since there are so many uncertainties involved in analyses such as Reuters presented, are analyses like this useful? Why or why not?
4. Calculate the discounted value of BP's estimated lost production for an appropriate time horizon using reasonable assumptions for the discount rate and price of a barrel of oil. Justify your assumptions.
5. Why were BP's early estimates so low? After all, as Reuters reports, BP had experience with two other recent cases.

Tylenol Recalls (2010): It's Still About Reputation

Ethics Case

Johnson & Johnson (J & J) enjoyed a halo effect for many decades after their iconic precautionary recall of Tylenol capsules in 1982, which was greatly facilitated by the famous Johnson & Johnson Credo[1] that stipulated patient well-being to be paramount in importance. But that halo has now been lost due to the events that led to the company's recall of children's Tylenol and other children's medicines in 2009 and 2010.

On April 30, 2010, J & J's McNeil Consumer Healthcare, LLC (McNeil Division), "recalled some 50 children's versions of non-prescription drugs,

[1] Refer to Johnson & Johnson's Credo in Chapter 5, page 303, and the 1982 recall vignette on p. 196.

including Tylenol, Motrin, and Benadryl."[2] In total, 136 million bottles of liquid were involved.[3] This was the fourth recall in seven months. Earlier recalls included the following:

- November 2009—five lots of Tylenol Arthritis Pain 100 count with the EZ-open cap due to reports of an unusual moldy, musty, or mildew-like odor that led to some cases of nausea, stomach pain, vomiting, and diarrhea.
- December 2009—November recall expanded to all lots of the product.
- January 2010—an undisclosed number of containers of Tylenol, Motrin, and over-the-counter drugs after consumers complained of feeling sick from an unusual odor.[4]

The McNeil Division had four plants, including those at Fort Washington, Pennsylvania (operated as a joint venture with Merck & Co.), and Las Piedras, Puerto Rico. J & J shut down the Fort Washington plant in April 2010 just before an unannounced inspection from the U.S. Food and Drug Administration (FDA). However, according to the FDA Statement to the Committee of Oversight and Government Reform of the U.S. House of Representatives on May 21, 2010,[5] FDA concerns over the company's manufacturing processes began several years earlier.

The FDA is responsible for ensuring that companies manufacture and distribute drugs that are safe for consumers in accordance with current Good Manufacturing Processes (cGMP) that cover minimum requirements for methods, facilities, and controls used in the manufacturing and packaging of the products. According to the FDA Report,

> Under the cGMP regulations, each manufacturer sets specifications for its own products for such factors as potency, stability, and purity, and puts in place a quality system that ensures those specifications are met. Critical to the cGMP process is that a company must meet its own standards.
>
> A violation of cGMP does not necessarily mean that a product is hazardous to the public. It does indicate, however, a breakdown in a manufacturer's quality system and is an indication that a company needs to take effective steps to fix the problem promptly.
>
> FDA inspects facilities to ensure compliance with cGMP standards. These inspections occur on average for domestic facilities every two to three years. We increase the frequency of inspections for facilities when warranted by past problems or products that are difficult to manufacture or are especially high risk.[6]

Prior to 2009, the statement says, the FDA inspections had noted several problems with "laboratory controls, equipment cleaning processes, and a failure to investigate identified problems," but these were "generally fixed." During 2009, the FDA identified several more problems, including the following:

- At the Fort Washington plant—failure of McNeil to meet its own standards for an ingredient, microcrystalline cellulose, that required it to use input with no Gram-negative bacteria. The supplier found that some partial lots of a master batch did contain a Gram-negative bacteria known as *B. cepacia*, and although the lots McNeil used did not test positive, none of the partial lots from this batch should have been used. Although the FDA concluded the risk to the public was remote, 8 million bottles of finished product were recalled in August.
- At the Las Piedras, Puerto Rico plant—FDA urging resulted in McNeil investigating year-old complaints about products from the plant having a musty odor and finding that it was attributable to a pesticide (2, 4, 6-tribromoanisole [TBA]) used on wooden storage pallets for empty medication bottles. Again the risk to the public was thought not to be serious for long-term health problems because of the small quantities transferred, although exposure could

[2] Parija Kavilanz, "'Shocking' Conditions at Tylenol Plant," CNNMoney.com, May 14, 2010, accessed May 14, 2010, from http://money.cnn.com/2010/05/14/news/companies/tylenol_recall_plant_conditions.

[3] "Johnson and Johnson's Recall of Children's Tylenol and Other Children's Medicines," Statement of Joshua M. Sharfstein, principal deputy commissioner, U.S. FDA, before the Committee of Oversight and Government Reform, U.S. House of Representatives, May, 27, 2010, http://www.fda.gov/NewsEvents/Testimony/ucm213640.htm.

[4] Kavilanz, "'Shocking' Conditions at Tylenol Plant."

[5] "Johnson and Johnson's Recall of Children's Tylenol and Other Children's Medicines."

[6] Ibid.

include nausea, stomach pain, vomiting, and diarrhea. In this case, McNeil should have reported the problem to the FDA within three days of the first reports. The FDA also reported that little is really known about the chemical TBA.

These incidents led the FDA to send a warning letter on January 15, 2010, to McNeil, but upper management at neither McNeil nor J & J responded to ensure timely investigation and resolution of the issues raised. At about the same time, the FDA investigated a report of the death of a six-year-old girl but could not relate her death to any of the company's medications. On February 19, 2010, the FDA called senior officials from McNeill and its parent company J & J to a meeting to give them notice about the patterns of violation of cGMP standards, recent recalls and warning letters, and failure to report information to the FDA in a timely manner. At the meeting, the FDA was told that structural changes, new management, and a new consultant were to be put in place to deal with these problems.

The FDA investigators returned to the Fort Washington plant in April 2010 to find that just days before, it had been shut down because particulates, including acetaminophen, cellulose, nickel, and chromium, had been found in several liquid medications. Moreover, bacteria and particulate counts exceeded the company's cGMP standards, and Tylenol in too high a strength had been manufactured but not sold. Although the particulates were small enough to pass out through the intestinal tract without harm, there was justifiable concern over the lack of appropriate safety-conscious culture and safeguards in place.

The FDA report concluded by indicating that they did not think the public had been subject to any serious health risk, but they were concerned and would be working with management to rectify this issue. They were also considering such enforcement actions as seizure, injunction, or criminal penalties. In addition, the FDA stated that they had learned several lessons that would factor into a revision of FDA inspection procedures, linkage of findings at one company site to another such site, and recall procedures.

On July 21, 2010, the FDA released a report on its investigations at another of J & J's plants—this one located in Lancaster, Pennsylvania—that indicated a pattern of ignoring rules for manufacturing and quality, failure to investigate problems that could affect the composition of products, carelessness in cleaning and maintaining equipment, and shoddy record-keeping.[7]

The report listed 12 types of violations, including the following:

- "Laboratory controls do not include the establishment of scientifically sound and appropriate test procedures to assure that drug products conform to appropriate standards of identity, strength, quality, and purity."
- Procedures to prevent "objectionable microorganisms" from getting into medicines appear not to have been followed.
- "Deviations from written test procedures are not justified."
- Staff were not following up "to determine the causes for repeated mix-up of tablets."
- Written procedures for cleaning and maintenance did not have enough detail about the methods, equipment, and materials to be used.
- The plant did not have recent drug production and quality control records readily available to the inspectors, as is required.
- Samples of drug products taken to determine if they met written specifications were not properly identified.
- There was no preventive maintenance program for at least five types of complex manufacturing or testing equipment.[8]

On the day the report was released, J & J's stock dropped 2.5% to $57.12. Estimates of the cost of recalls and the shutdown of the Fort Washington plant were $600 million in 2010. The Fort Washington plant manager had been fired, and 300 to 400 workers had lost their jobs.[9]

Questions

1. Who was really to blame for the lax procedures found?
2. How should this situation be remedied?
3. How could the job done by the FDA be improved?
4. J & J had lived under a positive halo due to their earlier recall of tainted capsules of Tylenol. Why did J & J people behave differently almost thirty years later?
5. How would the total cost of this debacle be estimated?

---

[7] "New FDA Report Shows Multiple Lapses at J & J Plant," Associated Press, CLEVELAND.COM, July 21, 2010, accessed November 16, 2010, from http://www.cleveland.com/business/index.ssf/2010/07/new_fda_report_shows_multiple.html.

[8] Ibid.

[9] Ibid.

Viox Decisions—Were They Ethical?[1]

Ethics Case

On September 30, 2004, Merck voluntarily withdrew its rheumatoid arthritis drug (Vioxx) from the market due to severe adverse effects observed in many of its users (Exhibit 1). As a result, Merck's share price fell $11.48 (27%) in one day, translating to a market-cap loss of $25.6 billion. On August 19, 2005, the day a Texas jury found Merck liable for the death of a Vioxx user, the company's market cap fell another $5 billion. During this trial, it became apparent that Merck had been profiting from Vioxx during the time it knew Vioxx had serious adverse effects.

Merck obtained approval from the U.S. Food and Drug Administration (FDA) for its drug Vioxx on May 20, 1999. By 2003, Vioxx was available in more than eighty countries, and sales had soared to over $2.5 billion per year. Concurrently, increasing evidence (including data from Merck's own studies) suggested that those taking Vioxx were at an increased risk of cardiac arrest and stroke. Yet the drug remained on the market until September 2004.

The impact of the withdrawal on Merck's shareholders, management, patients, the FDA, and other stakeholders was dramatic. Public confidence and trust in Merck and other pharmaceutical companies were eroded. In 2005, Merck set aside $970 million to deal with 9,600 lawsuits from more than 18,200 plaintiffs, though some estimated then that Vioxx could cost Merck more than $20 billion to $25 billion. By 2007, there were more than 26,600 lawsuits against Merck from nearly 60,000 plaintiffs. In November of that year, Merck agreed to pay $4.85 billion to families of just under 3,500 people who had died of heart attack or stroke and nearly 33,000 for lesser injuries. Nearly 25,000 of the 59,365 claims resulted in no payment.[2] While the initial settlement was less than the amount some had predicted in 2007, litigation continued, and in 2012 a settlement of nearly $37 million was announced for Canadian individuals or their estates[3] and in 2016 to investors who claimed that Merck's practices had caused them lost income. By 2016, Merck had paid out more than $8.5 billion in lawsuits, including nearly $1 billion in government penalties.[4,5]

In 2004, the FDA followed the Vioxx case with interest and created a website page to provide information and updates at http://www.fda.gov/cder/drug/infopage/COX2/default.htm. On September 30, 2004, when Merck voluntarily withdrew the product, the FDA issued the public health advisory that is reproduced below as Exhibit 1 (http://www.fda.gov/NewsEvents/Newsroom/PressAnnouncements/2004/ucm108361.htm) and Vioxx Questions and Answers that can still be found at http://www.fda.gov/drugs/drugsafety/postmarketdrugsafety informationforpatientsandproviders/ucm106290.htm.

Two journal references from the period are provided that outline medical issues associated with Vioxx as well as a sample of articles to 2016 that illustrate that Vioxx issues did not end with its withdrawal.

Questions

1. Utilizing the information provided and available from Web sources, use the ethical decision-making techniques discussed in the chapter to form an opinion about whether Merck's decisions regarding Vioxx were ethical. Show your analysis.
2. In order to protect the public more fully, what should the FDA do given the Vioxx lessons?

Sources: "Cardiovascular Events Associated with Rofecoxib in a Colorectal Adenoma Chemoprevention Trial," *New England Journal of Medicine* 17 (2005): 1092–102, Epub February 15, 2005.

"Comparison of Upper Gastrointestinal Toxicity of Rofecoxib and Naproxen in Patients with Rheumatoid Arthritis," *New England Journal of Medicine* 23 (2000): 1520–28, 2 pp. following 1528.

Jef Feeley, "Merck Pays $23 Million to End Vioxx Drug-Purchase Suits," *Bloomberg Business*, July 19, 2013, http://www.bloomberg.com/news/articles/2013-07-18/merck-pays-23-million-to-end-vioxx-drug-purchase-suits.

[1] This case is based on an assignment submitted by Rahbar Rahimpour, one of the author's executive MBA students at the Rotman School of Management. Rahbar gave permission for this use.

[2] David Voreacos and Allen Johnson, "Merck Paid 3,468 Death Claims to Resolve Vioxx Suits," *Bloomberg Business*, July 27, 2010, http://www.bloomberg.com/news/articles/2010-07-27/merck-paid-3-468-death-claims-to-resolve-vioxx-suits.

[3] "Vioxx National Class Action Canada," April 20, 2013, http://vioxxnationalclassaction.ca.

[4] Sophia Pearson and David Voreacos, "Merck to Pay $830 Million to Settle Vioxx Securities Claims," *Bloomberg Business*, January 15, 2016, http://www.bloomberg.com/news/articles/2016-01-15/merck-to-pay-830-million-to-settle-vioxx-securities-claims; Ed Silverman, "Merck Seeks Sanctions against Expert Witness for Talking to a Journalist," *Wall Street Journal*, June 16, 2014, http://blogs.wsj.com/pharmalot/2014/06/16/merck-seeks-sanctions-against-expert-witness-for-talking-to-a-journalist.

[5] Duff Wilson, "Merck to Pay $950 Million Over Vioxx," *New York Times*, November 22, 2011, http://www.nytimes.com/2011/11/23/business/merck-agrees-to-pay-950-million-in-vioxx-case.html.

Exhibit 1 Letter from the FDA Acknowledging Merck's Voluntary Withdrawal of Vioxx

U.S. Food and Drug Administration

Department of Health and Human Services

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FDA News

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Media Inquiries: 301-827-6242
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FDA Issues Public Health Advisory on Vioxx as its Manufacturer Voluntarily Withdraws the Product

The Food and Drug Administration (FDA) today acknowledged the voluntary withdrawal from the market of Vioxx (chemical name rofecoxib), a non-steroidal anti-inflammatory drug (NSAID) manufactured by Merck & Co. FDA today also issued a Public Health Advisory to inform patients of this action and to advise them to consult with a physician about alternative medications.

Merck is withdrawing Vioxx from the market after the data safety monitoring board overseeing a long-term study of the drug recommended that the study be halted because of an increased risk of serious cardiovascular events, including heart attacks and strokes, among study patients taking Vioxx compared to patients receiving placebo. The study was being done in patients at risk of developing recurrent colon polyps.

"Merck did the right thing by promptly reporting these findings to the FDA and voluntarily withdrawing the product from the market," said Acting FDA Commissioner Dr. Lester M. Crawford. "Although the risk that an individual patient would have a heart attack or stroke related to Vioxx is very small, the study that was halted suggests that, overall, patients taking the drug chronically face twice the risk of a heart attack compared to patients receiving a placebo."

Dr. Crawford added that the FDA will closely monitor other drugs in this class for similar side effects. "All of the NSAID drugs have risks when taken chronically, especially of gastrointestinal bleeding, but also liver and kidney toxicity. They should only be used continuously under the supervision of a physician."

FDA approved Vioxx in 1999 for the reduction of pain and inflammation caused by osteoarthritis, as well as for acute pain in adults and for the treatment of menstrual pain. It was the second of a new kind of NSAID (Cox-2 selective) approved by the FDA. Subsequently, the FDA approved Vioxx to treat the signs and symptoms of rheumatoid arthritis in adults and children.

At the time that Vioxx and other Cox-2 selective NSAIDs were approved, it was hoped that they would have a lower risk of gastrointestinal ulcers and bleeding than other NSAIDs (such as ibuprofen and naproxen). Vioxx is the only NSAID demonstrated to have a lower rate of these side effects.

Merck contacted the FDA on September 27, 2004, to request a meeting and to advise the agency that the long-term study of Vioxx in patients at increased risk of colon polyps had been halted. Merck and FDA officials met the next day, September 28, and during that meeting, the company informed the FDA of its decision to remove Vioxx from the market voluntarily.

In June 2000, Merck submitted to the FDA a safety study called VIGOR (Vioxx Gastrointestinal Outcomes Research) that found an increased risk of serious cardiovascular events, including heart attacks and strokes, in patients taking Vioxx compared to patients taking naproxen. After reviewing the results of the VIGOR study and other available data from controlled clinical trials, the FDA consulted with its Arthritis Advisory Committee in February 2001 regarding the clinical interpretation of this new safety information. In April 2002, the FDA implemented labeling changes to reflect the findings from the VIGOR study. The labeling changes included information about the increase in risk of cardiovascular events, including heart attack and stroke.

Recently other studies in patients taking Vioxx have also suggested an increased risk of cardiovascular events. The FDA was in the process of carefully reviewing these results to determine whether further labeling changes were warranted when Merck informed the agency of the results of the new trial and its decision to withdraw Vioxx from the market.

Additional information about this withdrawal of Vioxx, as well as questions and answers for patients, is available online at http://www.fda.gov/drugs/drugsafety/postmarketdrugsafetyinformationforpatientsandproviders/ucm106290.htm.

Just Make the Numbers!

Ethics Case

The discussion between Don Chambers, the CEO, and Ron Smith, the CFO, was getting heated. Sales and margins were below expectations, and the stock market analysts had been behaving like sharks when other companies' published quarterly or annual financial results failed to reach analysts' expectations. Executives of companies whose performance numbers failed to meet the levels projected by the executives or the analysts were being savaged. Finally, in frustration, Don exclaimed,

> We must make our quarterly numbers! Find a way, change some assumptions, capitalize some line expenses—just do it! You know things will turn around next year.

And he stormed out of Ron's office.

Question

1. What should Ron consider when making his decision?

Valparaiso University Sells Artistic Assets

Ethics Case

Valparaiso University is a small private faith-based Lutheran university in northwestern Indiana, approximately 90 kilometers southeast of Chicago. For many years, the school had been experiencing a decline in enrollments. In 2020 the law school closed. In 2022 there were only 2,964 students, down from 4,544 in 2015.

In June 2022, the university announced a five-year plan that included improving the first-year students' experience by renovating two aging dormitories built in the 1960s. The hope was that the renovations, including installing air-conditioning and upgraded furniture, would keep Valparaiso competitive with other universities. To pay for the improvements, the university planned to sell three works of art worth approximately $10 million.

In 1953, Percy Sloan created an endowment fund, the Sloan Trust Agreement. The fund donated cash and over 200 works by Percy's father, Junius R. Sloan, as well as over 100 other American paintings to the university. This became the foundation of the Sloan Collection of American Paintings, later renamed the Brauer Museum of Art after its long-time curator Richard Brauer. The university museum currently owns more than 5,000 works of art and has 300 weekly visitors.

The three paintings to be sold were a mountain landscape by Frederic E. Church acquired in the initial gift of paintings in 1953, "Rust Red Hills" by Georgia O'Keeffe bought for $5,700 in 1962 with funds from the Sloan Foundation, and a coastal landscape by Childe Hassam bought in 1967. The paintings were estimated to be worth $1 million, $7 million, and $2 million, respectively.

The 1930 "Rust Red Hills" was the pride of the university's collection. The O'Keeffe painting, which depicts New Mexico's rolling hills in blood-red colors, had been exhibited in Spain, Ireland, and Canada. Richard Brauer described the masterpiece as "representing our aspirations in art. Having excellence is a real pleasure. To think we can associate ourselves with excellence pulls us all together and makes us try a little harder, I think."[1]

[1] William Skipworth, "Valparaiso University community clashes over sale of precious artwork," *The Times of Northwest Indiana*, February 1, 2023. Valparaiso University community clashes over sale of precious artwork (nwitimes.com).

Not everyone was in favor of the sale. Some students and faculty wrote letters in protest. The faculty senate passed a nonbinding resolution (13 to 6 with 2 abstentions) asking that the sale be halted, and that the university seek other ways to raise the required funds. Four art associations, including the Association of Art Museum Directors (AAMD), condemned the sale on the basis that the paintings were not "disposable financial assets."[2]

Traditionally, if paintings are sold, the proceeds are put back into the collection. The AAMD censured and sanctioned both Randolph College when it sold "Men at the Docks" by George Bellows for $25.5 million in 2014, and La Salle University after it sold 22 works for $2.4 million in 2018. In both cases, the funds were used to support academic programs at the universities.

"Selling art to support any need other than to build a museum's collection fundamentally undermines the critically important relationships between museums, donors and the public," said the AAMD in response to the La Salle University sales. "When museums violate the trust of their donors and the public, they diminish the opportunity and responsibility to make great works of art available to the public. This hurts the individual institution and affects the museum field as a whole."[3]

José Padilla, Valparaiso University president, said that although artwork was important, the paintings were "resources that are not core or critical to our educational mission and strategic plan." It was more important to attract and retain students with modern housing. "Faculty have used it [the museum] to provide supportive programming to our students, but no one piece of art is critical or core to our mission. What's critical and core to our mission is providing the best residential experience to our students."[4] Sami Khorbotly, professor of electrical and computer engineering, agreed. He voted no at the faculty senate meeting arguing, "While we all appreciate the art and respect it, I think that we need to prioritize, and our students are our top priority."[5]

Questions

1. Who are the relevant stakeholders in this matter?
2. What are their interests and why are they relevant?
3. How should a university prioritize the interests of each of the relevant stakeholders?
4. Should art assets be considered piggy banks that can be used to fund other university activities?

Additional Source

Scott Jaschik, "Randolph College – Disregarding Policies of Museum Groups – Sells Masterpiece Painting for $25.5 Million," February 10, 2014, Inside Higher Ed. College sells painting for $25 million to build endowment (insidehighered.com).

[2] Kalia Richardson, "Its Georgia O'Keeffe is Worth Millions, and its Dorms Need Updating," *The New York Times*, March 10, 2023. Valparaiso Plans to Sell Georgia O'Keeffe Painting to Fix Dorms - The New York Times (nytimes.com).
[3] Emily Rolen, "La Salle Sanctioned After Selling Historic Art for University Expansion Projects," May 25, 2018, *Philly Voice*. La Salle sanctioned after selling historic art for university expansion projects | PhillyVoice.
[4] Skipworth, Ibid.
[5] Richardson, Ibid.

Ford Pinto[1]

Ethics Case

In order to meet strong competition from Volkswagen as well as other foreign and domestic subcompacts, Lee Iacocca, then president of Ford Motor Co., decided to introduce a new vehicle by 1970, to be known as the Pinto. The overall objective was to produce a car at or below 2,000 pounds with a price tag of $2,000 or less. Although preproduction design and testing normally requires about three and a half years and the arrangement of actual production somewhat longer, design was started in 1968 and production commenced in 1970.

The Pinto project was overseen by Robert Alexander, vice president of car engineering, and was approved by Ford's Product Planning Committee, consisting of Iacocca, Alexander, and Ford's group vice president of car engineering, Harold MacDonald. The engineers throughout Ford who worked on the project "signed off" to their immediate supervisors, who did likewise

[1] More comprehensive cases on the Pinto problem can be found in T. Donaldson and A. R. Gini, *Case Studies in Business Ethics* (Englewood Cliffs, NJ: Prentice Hall, 1992), 174–83 (original case by W. M. Hoffman), and M. G. Valasquez, *Business Ethics: Concepts and Cases* (Englewood Cliffs, NJ: Prentice Hall, 1988), 119–123.

Ford's Cost-Benefit Analysis

Savings	Unit Cost	Total
Benefits:		
180 burn deaths	$200,000	$36,000,000
180 serious burn injuries	67,000	12,060,000
2,100 burned vehicles	700	1,470,000
Total benefits		$49,530,000
Costs:		
Number of units		
11 million cars	11	$121,000,000
1.5 million light trucks	11	16,500,000
Total costs		$137,500,000

Fatality Payment Component

Fatality Payment Component	1971 Costs
Future productivity losses	
Direct	$132,000
Indirect	41,300
Medical costs	
Hospital	700
Other	425
Property damage	1,500
Insurance administration	4,700
Legal and court	3,000
Employer losses	1,000
Victim's pain and suffering	10,000
Funeral	900
Assets (lost consumption)	5,000
Miscellaneous	200
Total per fatality	$200,725

in turn to their superiors and so on to Alexander and MacDonald and, finally, Iacocca.

Many reports were passed up the chain of command during the design and approval process, including several outlining the results of crash tests and a proposal to remedy the tendency for the car to burst into flames when rear-ended at twenty-one miles per hour. This tendency was caused by the placement of the car's gas tank between the rear axle and the rear bumper such that a rear-end collision was likely to drive the gas tank forward to rupture on a flange and bolts on a rear axle housing for the differential. The ruptured tank would then spew gas into the passenger compartment to be ignited immediately by sparks or a hot exhaust system.

The remedies available to Ford included mounting the gas tank above the rear axle, which would cut down on trunk space, or installing a rubber bladder in the gas tank. Ford experimented with the installation of rubber bladders but apparently decided they were not cost-effective. Later, as part of a successful lobbying effort against government regulations for mandatory crash tests (crash tests were delayed eight years, until 1977), Ford's cost-benefit analysis came to light in a company study titled "Fatalities Associated with Crash-Induced Fuel Leakage and Fires." As the details previously outlined show, the costs of installing the rubber bladder vastly exceeded the benefits.

Ford took the $200,000 figure for the cost of a death from a study of the National Highway Traffic Safety Administration, which used the estimates in the table on the previous page.

Questions

1. Was the decision not to install the rubber bladder appropriate? Use the 5-question framework to support your analysis.
2. What faults can you identify in Ford's cost-benefit analysis?
3. Should Ford have given its Pinto customers the option to have the rubber bladder installed during production for, say, $20?

The Kardell Paper Co.

Ethics Case

Background

The Kardell paper mill was established at the turn of the century on the Cherokee River in southeastern Ontario by the Kardell family. By 1985, the Kardell Paper Co. had outgrown its original mill and had encompassed several facilities in different locations, generating total revenues of $1.7 billion per year. The original mill continued to function and was the firm's largest profit center. The Kardell family no longer owned shares in the firm, which had become a publicly traded company whose shares were widely held.

Kardell Paper Co. was a firm with a record of reporting good profits and had a policy of paying generous bonuses to the chief executive officer and other senior executives.

Kardell's original mill was located near Riverside, a community of 22,000. Riverside was largely dependent on the mill, which employed 500 people. The plant, while somewhat outdated, was still reasonably efficient and profitable. It was not designed with environmental protection in mind, and the wastewater that was discharged into the Cherokee River was screened only to remove the level of contaminants required by provincial regulation. There were other industrial plants upstream from the Kardell plant.

The residential community of Riverside, five miles downstream from the plant, was home to many of the Kardell plant's management, including Jack Green, a young engineer with two children, ages one and four.

Jack, who was assistant production manager at the Kardell plant, was sensitive to environmental issues and made a point of keeping up on the latest paper mill technology. Jack monitored activity at the plant's laboratory, which in 1985 employed a summer student to conduct tests on water quality in the Cherokee River immediately downstream from the plant.

These tests were taken across the entire width of the river. The tests conducted nearest the plant's discharge pipe showed high readings of an industrial chemical called sonox. Farther away from the plant and on the opposite shore of the river, the water showed only small trace amounts of sonox. Sonox was used in the manufacture of a line of bleached kraft paper that Kardell had begun to make at its plant in recent years.

The Issue

The student researcher discovered that the plant lab was not including the high readings of sonox in its monthly reports to management, so the student showed the complete records to Jack. In the summer of 1985, Jack made a report to the CEO with a recommendation that in-depth studies be conducted into the situation and its implications for public health and long-term effects on the ecology.

In recommending that Kardell carry out an "environmental audit" of its operations, Jack pointed out that local doctors in Riverside had been expressing concern over what appeared to be an unusually high rate of miscarriages and respiratory disorders in the community. Jack told the CEO that there was data suggesting a possible link between health problems and sonox but no definite proof. Medical research into sonox's possible effects on humans was continuing.

In bringing his concerns to the CEO's attention, Jack offered as a possible solution the option of Kardell adopting a new processing technology that used recycling techniques for wastewater. This technology, already employed by a handful of plants in Europe, enabled a plant to operate in a "closed cycle" that not only protected the environment but reclaimed waste material, which was then sold to chemical producers. Thus, in the long term, the new process was cost-effective. In the short run, however, refitting the existing Kardell plant to incorporate the new technology would cost about $70 million, and, during the retrofit, the plant would have to operate at reduced capacity levels for about a year and possibly be closed down altogether for an additional year to make the change over.

The Response

Kardell's traditional response to environmental concerns was reactive. The company took its cues from the regulatory climate. That is, the provincial environment ministry would apply control orders on the plant as new limits on emissions of various compounds came into effect, and Kardell would then comply with these orders.

In raising his concerns in 1985, Jack pointed out that the Ministry of Environment, responding to the serious nature of concerns raised by the sonox issue, was considering internal proposals from its staff that additional research be done into the sources and implications of sonox. Given the early stage of work in this area, Jack could offer no indication of when, if ever, the Ministry would enact new regulations to do with sonox. He argued, however, that the ground rules might change, as they had with previous compounds, and that Kardell should give some thought to the worst-case scenario of how the sonox issue could turn out down the road.

Kardell's CEO was sympathetic to the concerns raised by Jack, a valued employee of the company who had proved himself in the past by identifying many cost-efficiency measures. The CEO felt obliged, however, to match Jack's concerns about sonox against the substantial cost of refitting the plant. The CEO felt there simply was not enough data upon which to base such an important decision, and he was wary of any external force that attempted to influence the company's affairs. The CEO told Jack, "We simply can't let these 'greens' tell us how to run our business."

While the CEO did not feel it would be appropriate for Kardell to adopt the recommendations in Jack's report, the CEO did take the step of presenting the report to the board of directors for discussion in the fall of 1985.

Kardell's board of directors represented a cross-section of interest groups. Everyone on the board felt a responsibility toward the shareholders, but, in addition, some members of the board also paid special attention to community and labor concerns. The board was composed of the CEO and president of the firm, along with several "outside" directors: two local businesspeople from Riverside, a representative of the paperworkers' union at the plant, a mutual fund manager whose firm held a large block of Kardell shares on behalf of the fund's investors, an economist, a Riverside city councillor, and the corporation's legal counsel.

Each member of the board spoke to Jack's report from his or her perspective. The Riverside representatives—the city councillor and the two businesspeople—wanted assurances that the community was not in any danger. But they also said, in the absence of any firm proof of danger, that they were satisfied Kardell probably was not a source of harmful emissions.

The lawyer pointed out that legally Kardell was in the clear: it was properly observing all existing regulations on emission levels; in any case, there was no clear indication that the Kardell mill was the only source of sonox emissions into the Cherokee River. While acknowledging the health concerns that had recently arisen over sonox, the lawyer thought it prudent to wait for the government to establish an acceptable limit for sonox emissions. Besides, the lawyer added that while liability actions had been initiated against two or three other mills producing sonox, these claims had been denied through successful defense actions in court on the grounds of lack of clear evidence of a significant health hazard.

The labor representative expressed concern about any compound that might affect the health of Kardell employees living in the area. However, the labor official also had to think about the short-term consideration of job loss at the plant and the fact that, with the plant shut down, there were few other employment opportunities in the area to fill the gap. The board representatives from Riverside pointed out that, obviously, the local economy would be severely affected by the shutdown to refit the plant, and the mutual fund manager agreed with the CEO that, at least in the short term, Kardell's profitability and share price would suffer from a decision to undertake a costly overhaul of the facility.

The Decision

After much debate, the board decided to defer consideration of Jack's proposals pending the results of government research into this issue. It also asked Jack to continue monitoring the regulatory climate so that the plant would always be in basic compliance with provincial emission standards.

During the next two years, Jack presented similar warnings to the board regarding sonox and continued to meet with the same response. As a precautionary measure, he kept copies of his reports in his own files so there could never be any question of the timing or substance of his warnings to the board. During this same period, an above-average incidence of miscarriages, birth defects, and respiratory ailments was reported in the Riverside area.

Questions

1. Who are the stakeholders involved, and what are their interests?
2. Which stakeholders and interests are the most important? Why?
3. What was wrong with the quality of the board of directors' debate?
4. What is the downside if the right decision is not made? Consider economic factors and also what Jack might do.

Source: The Kardell Case was prepared by David Olive, Graham H. Tucker, Tim J. Leech, and David Sparling, *Agenda for Action Conference Proceedings* (Toronto: Canadian Center for Ethics & Corporate Policy, 1990), 20–21. Reprinted with the permission of the Canadian Center for Ethics & Corporate Policy.

5

Corporate Ethical Governance & Accountability

Purpose of the Chapter

"More CEOs were forced out for ethical lapses in 2018 than poor financial performance."[*]

Businesses, directors, executives, and professional accountants are facing increasingly demanding expectations from shareholders and other stakeholders for what organizations are doing and how they are doing it. At the same time, the environments that organizations operate in are increasingly complex, as are their ethical challenges. Organizational governance and accountability mechanisms are therefore under considerable strain, and improvement is highly desirable. It is in the best long-run interest of all concerned that they focus on the development of a culture of integrity.

Trial-and-error decision making involves too high a risk of unfortunate consequences for the reputation and achievement of strategic objectives of the organization, the profession, the employees, and the professional accountants. Consequently, the leaders of organizations, the accounting profession, and firms are expected to put in place governance programs that provide adequate ethical guidance and accountability programs that satisfy expectations. Even though the introduction of ethical governance and accountability programs is voluntary, and some organizations will never do so, those directors, executives, and professional accountants who wish to reduce the risks involved in ethical malfeasance and enjoy the benefits of continuing stakeholder support will.

Directors, executives, and professional accountants all have essential roles to play in the emerging framework for ethical governance and accountability. They are all serving mostly the same set of expectations but have different levels of duty and responsibility. This chapter deals with both the common and the distinct aspects related to each role. First, the emerging framework is developed, and then common threats to good governance are discussed, followed by matters related to the corporation and those relating to professional accountants.

Reading this chapter will help you be able to:

- Explain the importance of key governance structures
- Explain the importance of developing an ethical corporate culture
- Develop an ethical corporate culture
- Identify the key elements in a stakeholder approach to governance and control
- Respond to the threats to good governance and accountability
- Explain the importance of ethical leadership, and
- Apply the concepts in this chapter to think critically about real-world and illustrative cases

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[*] Jena McGregor, "More CEOs Are Getting Forced Out for Ethics Violations," *Washington Post*, May 15, 2019, accessed on May 21, 2019, at https://www.washingtonpost.com/business/2019/05/15/more-ceos-were-forced-out-ethical-lapses-than-poor-financial-performance/?noredirect=on&utm_term=.f2ed7f427ccf.

Modern Governance & Accountability Framework—To Shareholders & Other Stakeholders

New Expectations—New Framework to Restore Credibility

Chapter 1 explained the concerns that organizations, and particularly corporations, are facing about what they are doing and how they are doing it. Even before the credibility crisis in 2002 and the 2008 financial crisis, the public was pressing corporations over misleading financial reports and scandals; protection of the environment, worker, customer, and human rights; instances of bribery, undue influence, and incredible greed; and failure to govern within the bounds expected by stakeholders and to be accountable to them.

Stakeholders found that they could have significant impacts on a corporation's consumer markets, capital markets, and the support offered to the corporation by other stakeholder groups, such as employees and lenders. A corporation's reputation could be significantly affected by irate stakeholders. Directors and executives watching boycotts, reduced revenue and profit streams, or turn-downs by outstanding recruits or employees found that the support of stakeholders was essential to the optimal achievement of medium- and long-term corporate objectives. Some directors and executives wanted that support, and with the help of academics and others, a new governance and accountability framework was developed, complete with new tools and techniques.

At the beginning of the century were the Enron, Arthur Andersen, and WorldCom debacles. They showed the world the faults and vulnerabilities inherent in the old-style shareholder-only governance and accountability model. The credibility of North American corporations, professional accountants, and capital markets was so severely eroded in the minds of the public that President George W. Bush and business leaders had to call repeatedly for reforms. Finally, as described in Chapter 2, the U.S. Congress and Senate were galvanized to rise above partisan politics to amalgamate two proposals and pass the *Sarbanes-Oxley Act of 2002* (SOX), within one month and a few days after WorldCom's declaration of bankruptcy.

SOX has reformed the governance and accountability framework for corporations wishing to raise funds from the U.S. public and/or have their shares traded on U.S. stock markets. The framework laid out in SOX has been put in place by the Securities and Exchange Commission (SEC). It applies to SEC registrants and to the professional accountants and outside lawyers who serve them. This means, for example, that all U.S. companies, plus approximately 1,150 from other countries (including over 300 of Canada's largest) whose securities are traded on U.S. markets, have to comply, as do their professional accountants and outside lawyers. The SOX framework also applies to other foreign corporations and their auditors and legal advisors. Over time, it has become the standard on which governance and accountability frameworks around the world are based.

Expectations from decades of stakeholder concerns about the immediate need to restore credibility have given rise to the new framework of governance and accountability. SOX represented a response to an acceleration of stakeholder concerns brought on by the scandals that affected the lives of investors, particularly pensioners, employees and their dependents, and many others. In the end, the shortfall in expected behavior was so egregious that only quick reform—a new framework—could restore the necessary trust in corporate governance and accountability.

The continuing pattern of scandals after 2002 that are described in Chapter 2, such as the Madoff fraud and the subprime lending fiasco, has served to further strengthen the desire for better and more ethical governance and accountability. This has reinforced the commitment of leading-edge firms around the world to appreciate, develop, and maintain *a culture of integrity* as a necessary foundation of good governance and accountability.[1]

An appreciation of why and how public pressures have changed governance expectations should be based on a broad understanding of what governance means and how it is put into practice. A general overview of corporate governance is provided for that purpose.

Corporate Governance Overview

Corporations are usually created to serve specific purposes as *for-profit corporations, not-for-profit corporations*, or other entities such as trusts. They are created as legal "persons" under the incorporating statutes of jurisdictions, such as a state or province or federally, and they are evidenced by a charter or letters patent that describe the legal name, rights granted (i.e., to do business or pursue other objectives), and duties expected of the company (i.e., have an annual general meeting of shareholders, provide annual financial statements and auditor's report to the meeting, explain shareholder voting rights, elect directors, hold bank accounts, negotiate loans, and so on).

In the United States, in 41 states and in the District of Columbia, it is possible for a for-profit corporation to be created as a *benefit*, or *B*, *corporation*.[2] At incorporation, these companies include as their legal goals the creation of a positive impact on society, workers, the community, and the environment in addition to profit. The intent is to make clear to any shareholder, or other stakeholder, that they are not simply pursuing maximum profit in the traditional sense. Alternatively, any for-profit company can apply for a designation as a Certified B Corporation (B Corp) at any time after incorporation from the nonprofit organization B Lab if the company agrees to declare that it will strive for "rigorous standards of social and environmental performance, accountability, and transparency."[3] By March 2025, 9,583 companies in 102 countries and 160 industries were Certified B Corps, including such companies as Patagonia, Danone North America, and Ben & Jerry's. A directory of B Corps is maintained on the bcorporation website at https://www.bcorporation.net/en-us/find-a-b-corp/.

Patagonia—The Environment Moves from Stakeholder to Shareholder

In September 2022, the 83-year-old billionaire, Yvon Chouinard, announced that Planet Earth would henceforth be the only shareholder of Patagonia, a California-based outdoor apparel and equipment company that he founded in 1973. The privately owned company had $3 billion in assets and annual sales of $100 million.

Chouinard and Patagonia had a history of corporate activism. The company began by donating 10% of its profits to environmental causes. Then, titled a self-imposed Earth tax, it was increased to 1% of sales. Chouinard said, "This is not philanthropy. It's paying rent for use of the planet." In 2017, the company sued President Trump after his administration decided to drastically reduce the size of two federally protected national monumental sites in Utah. This was consistent with the company's mission: We're in business to save our home planet.

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[1] The *Dodd-Frank Wall Street Reform and Consumer Protection Act* was enacted in 2010 to bring better integrity, accountability, and governance to the U.S. bank and near-bank industry following the subprime lending scandal. Some of these reforms have been subsequently rolled back for other than the largest U.S. banks.

[2] For further information, refer to BenefitCorp.net, http://benefitcorp.net, and the Benefit Corporation Gateway at DePaul University, http://driehaus.depaul.edu/about/centers-and-institutes/institute-for-business-and-professional-ethics/Pages/Benefit-Corporations.aspx.

[3] Refer to the website of the B Lab at https://www.bcorporation.net/what-are-b-corps.

Patagonia had a dual-class share structure. The voting shares had a 2% equity interest in the company, and the nonvoting had a 98% equity interest. None of Chouinard's family wanted to operate the company but they were in favor of the company's values. So, the nonvoting shares were transferred to the Patagonia Purpose Trust which would ensure that the company never deviated from its vision that "business can work for the planet." The nonvoting shares were transferred to Holdfast Collective, a nonprofit, that would distribute the earnings of the company "to fighting the environmental crisis and defending nature."

Stakeholder theory acknowledges that the environment is a valid stakeholder. By this transfer of ownership, the values of the founder were preserved (through the trust that held the voting shares that determined what the company did) while the profits were earmarked for environmental causes (through the equity ownership of the company that received dividends). As Chouinard said, "Earth is now our only shareholder."

References

Kate Trafecante, "Patagonia's founder transfers ownership into two entities to help fight climate crisis," CNN Business, September 15, 2022.

Toby Heaps, "Patagonia made Earth its sole shareholder. Will other companies follow suit?" Corporate Knights, September 26, 2022.

Yvon Chouinard, "Earth is now our only shareholder," Patagonia, September 21, 2022.

Regardless of the nature of the corporation, all have a governance process with many of the characteristics and requirements noted below.

Governance of shareholder-controlled corporations refers to the oversight, monitoring, and controlling of a company's activities and personnel to ensure support of the shareholders' interests, in accordance with laws and the expectations of stakeholders. Governance has been more formally defined by the Organisation for Economic Cooperation and Development (OECD) as follows:

> A set of relationships between a company's management, its board, its shareholders, and other stakeholders. Corporate governance also provides the structure through which the objectives of the company are set, and the means of attaining those objectives and monitoring performance are determined. Good corporate governance should provide proper incentives for the board and management to pursue objectives that are in the interests of the company and its shareholders and should facilitate effective monitoring.[4]

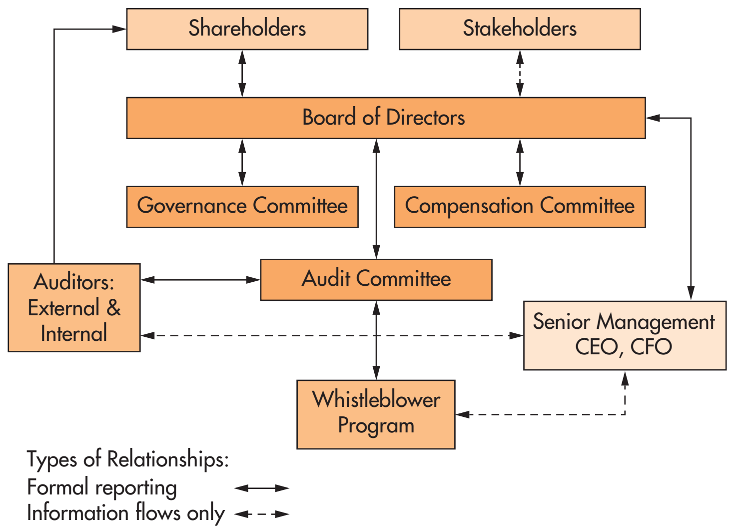
The OECD has also developed a set of OECD Principles of Corporate Governance that are published at https://legalinstruments.oecd.org/en/instruments/OECD-LEGAL-0327.

The typical framework for governance relationships for shareholder-owned corporations is presented in Figure 5.1.

The role and mandate of the board of directors is of paramount importance in the governance framework. Typically, the directors are elected by the shareholders at their annual meeting, which is held to receive the company's audited annual financial statements

[4] *OECD Principles of Corporate Governance*, April 2004, Preamble, accessed February 4, 2013, at http://www.oecd.org/daf/corporateaffairs/corporategovernanceprinciples/31557724.pdf.

Figure 5.1 Governance Structures & Relationships



and the audit report thereon, as well as the comments of the chair of the board, the senior company officers, and the company auditor.

The company directors have traditionally been charged with representing and protecting the interests of the shareholders. Prior to the serial collapses of Enron, WorldCom, and Arthur Andersen, boards of directors only considered the interests of shareholders. Because of these bankruptcies, which caused a crisis of confidence and a stock market crash, the U.S. Congress enacted SOX in 2002. It restored confidence temporarily. Then, after the 2008 financial crisis caused by the U.S. mortgage meltdown (which is discussed in Chapter 2, and in detail in Chapter 8, now located in the Cengage digital archive), Congress passed the *Dodd-Frank Wall Street Reform and Consumer Protection Act* of 2010. These measures enhanced the corporate governance framework, leading to the structures, relationships, and accountabilities depicted in Figure 5.1 and the functional responsibilities detailed in Table 5.1.

While directors were initially legally constrained to consider only the interests of shareholders when making their decisions, a growing number of jurisdictions now legally require or permit directors to take stakeholders' interests into account. As subsequent discussion will show, this has always been an excellent business strategy.

In a significant milestone event, on August 19, 2019, 181 of 192 CEOs of the largest U.S. corporations, who are members of the Business Roundtable, signed a Business Roundtable Statement (BRS) declaring that corporations have responsibilities to all their stakeholders beyond the narrow interests of shareholders.[5] They declared that the purpose of corporations is much more than to simply be profitable. Corporations need to:

- Deliver value to customers,
- Invest in employees,

[5] Business Roundtable, "Statement on the Purpose of a Corporation," September 6, 2019, https://opportunity.businessroundtable.org/wp-content/uploads/2019/09/BRT-Statement-on-the-Purpose-of-a-Corporation-with-Signatures-1.pdf.

Table 5.1 Directors' Functional Responsibilities

- Safeguard the interests of the company's shareholders
- Review overall business strategy, and in some jurisdictions take stakeholder interests into account
- Select and compensate the company's senior executives
- Evaluate internal controls and external auditor, and recommend the company's outside auditor for election by the shareholders
- Oversee the company's financial statements, and recommend them to the board for transmission to the shareholders
- Monitor overall company performance

Adapted from the Report on The Role of The Board of Directors in the Collapse of Enron,
U.S. Senate Permanent Subcommittee on Investigations, July 8, 2002

- Ensure:
  - An effective system of internal controls and internal audit
  - An effective whistleblower system reporting to the audit committee
  - Effectiveness of the company's risk management program
  - Efficacy of the company's ethical corporate culture

SOX and Recent Governance Expectations

Summary: Legal accountability to shareholders; strategic accountability also to stakeholders

- Deal fairly and ethically with suppliers,
- Support the communities in which they operate, and
- Generate long-term value for shareholders.

This statement recognized the strategic reality corporations were dealing with and that the legal doctrine requiring corporations to focus only on maximizing profit was shortsighted. The BSR signaled to other CEOs, directors, and the legal profession that considering stakeholder interests was prudent and desirable and that the trade-offs involved could be made effectively to create value for all stakeholders. In summary, *directors are now understood to have legal responsibility to shareholders but are also expected to be responsive to stakeholder needs in a strategic sense while discharging these legal responsibilities*.

A board of directors often divides itself into subcommittees that concentrate more deeply in specific areas than time would allow the whole board to pursue. These subcommittees are charged with certain actions and/or reviews on behalf of the whole board, with the proviso that the whole board must be briefed on major matters and must vote on major decisions. Usually, at least three subcommittees are created to review matters related to (1) governance, (2) compensation, and (3) audit and then present their recommendations to the full board. The Governance Committee deals with codes of conduct and company policy, as well as the allocation of duties among the subcommittees of the board. The Compensation Committee reviews the performance of senior officers and makes recommendations on the nature and size of salaries, bonuses, and related remuneration plans. The Audit Committee reviews internal controls and systems that generate financial reports prepared by management, the appropriateness of those financial reports, the effectiveness of the company's internal and external auditors, its whistleblowing systems, and their findings and recommends the audit fee and the reelection (or not) of the company's external auditors. The board must approve the selection of a CEO, and many boards are now approving the appointment of the CFO because of the importance of that position. Generally, the CEO appoints other senior executives, and they, in turn, appoint the executives who report to them.

Table 5.2	Directors' Behavioral Expectations
	Fiduciary Duties
	• Acting in the best interest of the company (shareholders and other stakeholders)
	• Loyalty to be demonstrated by independent judgment.
	• Actions to be in good faith, obedient to the interests of all
	• Actions demonstrate due care, diligence, and skill (i.e., financial literacy)
	Adapted from Statement of Corporate Governance, The Business Roundtable (September 1997)
	Conflicts
	• Require disclosure, and actions to manage effectively
	Liability Issues
	• Business Judgment Rule
	• Oppression remedy
	• Personal liability for Tort Claims
	Responsibilities of Directors in Canada, Torys LLP, 2009

Members of these committees are selected for their expertise, interest, and character, with *the expectation that the independent judgment of each director will be exercised in the best interest of the company as a whole*. For example, members of the Audit Committee must be financially literate and have sufficient expertise to understand audit and financial matters. They must be of independent mind (i.e., not be part of management or be relying on management for a significant portion of their annual revenue) and must be prepared to exercise that independence by voting for the interest of all shareholders, not only those of management or of specific limited shareholder groups.

Several behavioral expectations are noted in Table 5.2, and these extend to all directors.

All directors are expected to demonstrate certain fiduciary[6] duties. Shareholders are relying on directors to serve shareholders' interests, not the directors' own interests, nor those of management or a third party. This means that directors must exercise their own independent judgment in the best interest of the company, which includes the interests of all stakeholders. The directors must do so in good faith (with true purpose, not deceit) on all occasions. They must exercise appropriate skill, diligence, and an expected level of care in all their actions.

Obviously, there will be times when directors will be able to make significant sums of money by misusing the trust with which they have been bestowed and at the expense of the other shareholders of the company. At these times, a director's interests may conflict with those of the other shareholders. Therefore, care must be taken to ensure that such conflicts are disclosed and that they are managed so that no harm comes to the other shareholders. For example, any director who has an interest in some property or a company that is being purchased should disclose this to the other directors and refrain from voting on the acquisition. These actions should alert other directors to the potential self-dealing of the conflicted director and thereby prevent the nonconflicted directors from being misled into thinking that the conflicted director was acting only with the corporation's interests in mind.

From time to time, directors may be sued by shareholders or third parties who believe that the directors have failed to live up to appropriate expectations. However, courts will

[6] A fiduciary is a person who has undertaken to act on behalf of another person who must trust and have confidence in the fiduciary to act in their best interest due to a personal lack of knowledge or other vulnerability.

not second-guess reasonable decisions by nonconflicted directors that have been taken prudently and on a reasonably informed basis. This is known as the *Business Judgment Rule*,[7] and it protects directors charged with a breach of their duty of care if they have acted honestly and reasonably.

Even if no breach of legal rights has occurred, shareholders may charge that their interests have been oppressed (i.e., prejudiced unfairly or unfairly disregarded) by a corporation or a director's actions, and courts may grant what is referred to as an *oppression remedy* of financial compensation of other sanctions against the corporation or the director personally. However, any director who has not been self-dealing or misappropriating the company's opportunities[8] will likely be protected from personal liability by the *Business Judgment Rule*.

Some shareholders or third parties have chosen to sue directors "personally in tort[9] for their conduct as directors, even when they have acted in good faith and within the scope of their duties, and when they believed they were acting in the best interests of the corporations they serve."[10] Recently, courts have held that directors cannot escape such personal liability by claiming that they did the action when performing their corporate responsibilities. Consequently, directors or officers must take care when making all decisions that they meet normal standards of behavior.

The impact of recent corporate scandals on the public has been to change governance expectations dramatically. Recognition that most of these fiascos resulted from ethical failures has focused attention on how well a corporation can develop a culture of integrity. The following sections illuminate why this occurred and how a corporation can develop the needed aspects of a culture of integrity, including recognition of stakeholders' interests, identification and management of risks and conflicts of interest, implementation issues, development of codes and guidelines, monitoring ethical performance, and the development of ethical leaders.

Accountability to Shareholders or Stakeholders?

The growing capacity of nonshareholder stakeholders to influence the achievement of corporate objectives and their increasing sensitivity made it very attractive for corporations to encourage stakeholder support. The business scandals detailed in Chapter 2 show that corporate activities designed to favor *current* executives, directors, and some shareholders were not necessarily in the interest of future shareholders or current shareholders who wished for long-term success, such as pensioners-investors, employees, lenders, and other stakeholders. So damaging were the actions intended to benefit executives, directors, and investors in the short term that the credibility of the entire corporate governance and accountability process was jeopardized.

The SOX reforms were designed to refocus the governance model on the responsibility of directors on their fiduciary duty beyond their own self-interest to that of shareholders

[7] Business Judgment Rule; refer to http://www.law.cornell.edu/wex/business_judgment_rule (accessed February 4, 2013).

[8] Torys LLP, *Responsibilities of Directors in Canada*, 2009, 19.

[9] Tort includes, for example, negligence or negligent misrepresentation; refer to http://www.law.cornell.edu/wex/tort (accessed February 4, 2013).

[10] Torys LLP, *Responsibilities of Directors in Canada*, 2009, 20.

as a whole and to the public interest. To quote the Senate Subcommittee[11] that investigated the Enron fiasco:

> **Fiduciary Obligations of Boards of Directors.** In the United States, the Board of Directors sits at the apex of a company's governing structure. A typical Board's duties include reviewing the company's overall business strategy; selecting and compensating the company's senior executives; evaluating the company's outside auditor; overseeing the company's financial statements; and monitoring overall company performance. According to the Business Roundtable, the Board's 'paramount duty' is to safeguard the interests of the company's shareholders.[12]

Directors operate under state laws that impose fiduciary duties on them to act in good faith, with reasonable care, and in the best interest of the corporation and its shareholders. Courts generally discuss three types of fiduciary obligations. As one court put it,

> Three broad duties stem from the fiduciary status of corporate directors: namely, the duties of obedience, loyalty, and due care. The duty of obedience requires a director to avoid committing … acts beyond the scope of the powers of a corporation as defined by its charter or the laws of the state of incorporation.… The duty of loyalty dictates that a director must act in good faith and must not allow … personal interest to prevail over the interests of the corporation. … [T]he duty of care requires a director to be diligent and prudent in managing the corporation's affairs.[13]

Given the recurring corporate scandals and the documented capacity of stakeholders to influence the achievement of corporate objectives, it would be well within the directors' duty to safeguard the interests of shareholders and prudent to take into account the interests of stakeholders when creating their governance structure.

Because stakeholder interests can potentially conflict with some shareholder interests, as noted above many states have formally modified the statutes by which corporations are created to allow directors to take stakeholder interests into account when appropriate. Directors will have to examine the trade-offs between shareholders and stakeholders and choose one or the other or a blended solution.[14] Fortunately, a longer-term shareholder perspective frequently coincides with stakeholder interests.

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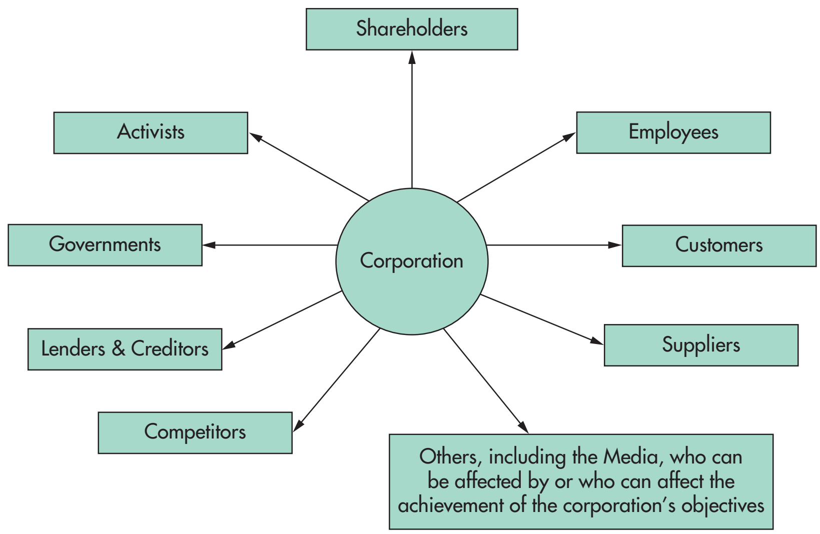
[11] *Report on the Role of the Board of Directors in the Collapse of Enron*, U.S. Senate Permanent Subcommittee on Investigations, July 8, 2002.

[12] *Statement of Corporate Governance*, Business Roundtable, September 1997, 3.

[13] *Gearheart Industries v. Smith International*, 741 F.2d 707, 719 (5th Cir. 1984), para. 42.

[14] This is not the case in some jurisdictions. A 2008 Supreme Court of Canada decision placed the interest of shareholders ahead of the interest of bondholders. BCE Inc. was involved in a $52 billion takeover. The bondholders went to court arguing that the takeover would unreasonably increase the debt load of the company, thereby making their bonds riskier. In a unanimous decision, the Supreme Court reversed a lower-court ruling that threatened to stop the largest leveraged buyout in Canadian history on the basis that the Board of Directors had failed to adequately consider the rights of the bondholders. In reversing the lower-court decision, the Supreme Court implied that bondholders are entitled to receive only what is in the bondholder agreement. According to PoonamPuri, "It seems as through the court is saying that in this context of the sale of the company, the directors have a clear duty to maximize value for the shareholders, and they don't have to consider the interest, rights or expectations of creditors beyond those that have been negotiated." In the case of the BCE takeover, the directors have chosen to support the interest of shareholders over all other stakeholders, and this decision had the approval of the courts (refer to Sean Silcoff and Carrie Tait, *Financial Post*, June 20, 2008, http://www.financialpost.com/story.html?id5602600). Interestingly, the deal later failed because it failed to meet a key condition of viability in that the increased debt load was forecast by KPMG to be too heavy for BCE to carry (refer to Theresa Tedesco, "BCE Deal Dead, Telecom Giant Seeks Compensation," Canwest News Service, December 11, 2008, http://www.canada.com/topics/news/story.html?id51061692).

Figure 5.2 **Map of Corporate Stakeholder Accountability**



Based on the reality of stakeholder pressures and the desire to encourage stakeholder support, corporations realize that they are strategically accountable to stakeholders (if not legally in all jurisdictions) and are governing themselves to minimize the risks and maximize the opportunities inherent in the stakeholder accountability framework. De facto, corporations are increasingly realizing that they are accountable to all of the stakeholders shown in Figure 5.2.

The Shareholder Value Myth[15]

The debate about whether directors and management should serve the interests of shareholders before those of other stakeholders changed dramatically when Lynn Stout, the Distinguished Professor of Corporate and Business Law at the Cornell Law School, published her book *The Shareholder Value Myth* in 2012. In it, she builds on her ideas and those of Margaret Blair[16] to argue that putting shareholders first harms investors, corporations, and the public. This was also the message of the Business Roundtable in its 2019 statement on the purpose of a corporation.

To support her view, Stout provides documentation that when managers focus on shareholder value, it causes

> managers to focus myopically on short-term earnings reports at the expense of long-term performance, discourages investment and innovation, harms employees, customers, and communities, and causes companies to indulge in reckless, sociopathic, and socially irresponsible behaviors. It threatens the welfare of consumers, employees, communities, and investors, alike.[17]

Moreover, based on her review of U.S. law cases, she asserts that "U.S. corporate law does not, in fact, require corporations to maximize either share price or shareholder wealth,"[18] and she concludes that "U.S. corporate law does not, and never has, required

[15] Lynn Stout, *The Shareholder Value Myth* (San Francisco: Berrett-Koehler, 2012).
[16] Margaret Blair is the Milton R. Underwood Chair in Free Enterprise at Vanderbilt Law School.
[17] Stout, *The Shareholder Value Myth*, vi.
[18] Ibid., v.

public corporations to "maximize shareholder value."[19] In Chapter 2 of her book, she reviews several aspects of U.S. corporate law, finally advancing the position that "the *Business Judgment Rule* rules out shareholder primacy":

> In brief, the business judgment rule holds that, so long as a board of directors is not tainted by personal conflicts of interest and makes a reasonable effort to become informed, courts will not second-guess the board's decisions about what is best for the company—even when those decisions seem to harm shareholder value.[20]

Given her analysis, Stout argues that the important question for the future is how management and directors should take into account and balance the differing interests of company stakeholders when attempting to act in the best interest of the company.

Stout's position fits well with the rationale of this book—that directors and management need to factor the interests of stakeholders into their decisions because they are ultimately accountable to stakeholders in a strategic sense. It is also true that in many jurisdictions, directors are expected to act in the best interests of the company. However, until recently, decisions about corporate actions have turned on whether they serve the interests of shareholders for two reasons: first, because current shareholders, exercising their ownership interest, can vote out and replace the directors, who will then replace the management, and, second, because legal challenges to the actions of directors have been thought to be best based on shareholder value issues.

Thinking has changed, however, and many jurisdictions have altered the statutes under which corporations are created to specifically allow directors to consider interests other than profit when making decisions *in the company's interest*. As this movement grows, the logical strategic significance of taking the interests of stakeholders into account becomes better recognized, and the ideas of Stout and Blair gain credence, the practice of governance will move more strongly toward the inclusion and balancing of stakeholder interests using the techniques described below.

Governance for Broad Stakeholder Accountability

Governance Process Based on Stakeholder Interests Once a corporation's directors and/or executives realize that *the corporation is accountable legally to shareholders and strategically to all stakeholders* who can significantly affect the achievement of its objectives, it becomes logical and desirable that they govern the corporation with the interests of all important stakeholders in mind. Shareholders are, in fact, a stakeholder group, but they are no longer the only stakeholder group whose interests should influence corporate actions.

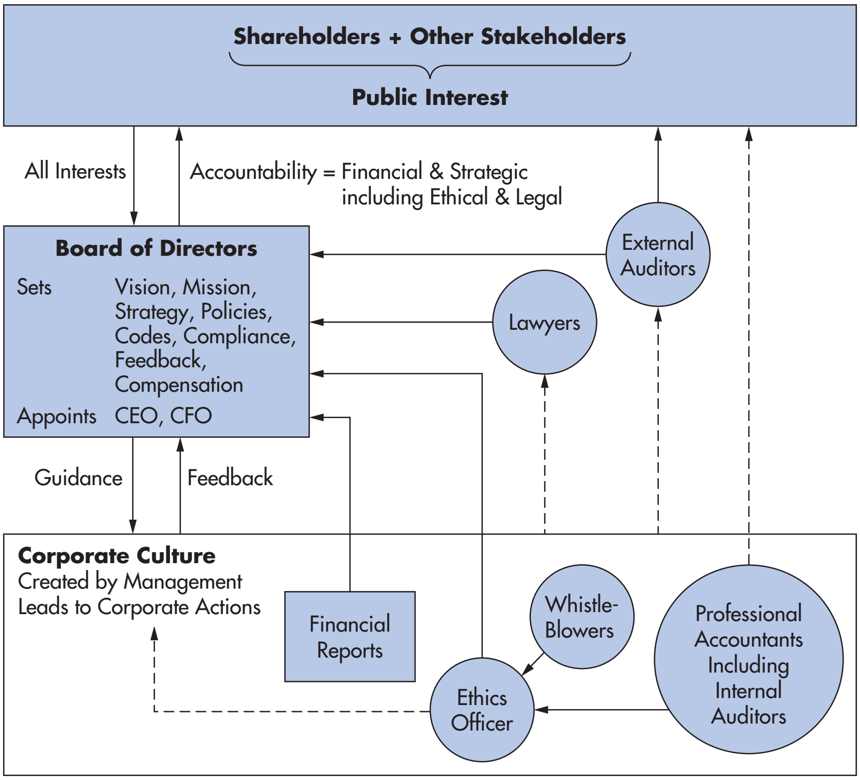
In order to minimize harmful stakeholder reactions and optimize opportunities in the future, corporations should assess how their actions impact the interests of their important stakeholder groups. This has been the underlying focus for environmental scanning and issues management for decades. What has changed is that *stakeholder impact analysis,* a technique for evaluating decisions, has become significantly more developed, as have the tools employed in examining, ranking, and assessing stakeholder interests—to the point that incorporating them into the governance process is now both feasible and desirable.

A schematic of the stakeholder accountability–oriented governance process is shown in Figure 5.3.

In a stakeholder accountability–oriented governance process, the board of directors must take all stakeholder interests into account and make sure that they are built into the company's vision, mission, strategy, policies, codes, practices, compliance mechanisms, and feedback arrangements. If this is not done, the company's actions may fail to take important interests

[19] Ibid., 23.
[20] Ibid., 29.

Figure 5.3 Stakeholder Accountability–Oriented Governance Process



into account, and the company may lose the support of one or more stakeholder groups. For example, not enough emphasis on customer value or safety or too much on short-term profit may cost the support of customers. The ethics case *Ford/Firestone Tire Recall* (located at the end of this chapter) or the product safety cases in Chapters 1 and 2 illustrate this problem.

Appropriate guidance reinforced by feedback mechanisms must be given to management and reinforced by an ethical corporate culture, or else management can honestly say that no one told them what boundaries they should be operating within. This guidance will influence the preparation of financial reports and other sources of feedback and also the behavior exhibited in dealings with customers, employees, and other stakeholders.

The board of directors may be advised by several employees, professionals, and professional agents if the behavior of management is questionable. Shareholders elect the external auditors to provide an independent expert opinion on whether the financial statements prepared by management present fairly the results of operations and financial position of the company, and are in accordance with generally accepted accounting principles (GAAP). As Chapter 2 pointed out, governance scandals have rededicated the audit profession to protecting the public interest when applying GAAP, not the interests of the senior management or current directors. External auditors are required to meet with the Audit Committee of the board and discuss the financial statements, as well as their work and opinions, and the state of the company's internal control measures.

In addition, a company's internal auditors' role is to assess whether its policies are comprehensive and are being observed. They should regularly report directly and in person, without management being present, to the Audit Committee, even though they may report on a day-to-day basis to the CEO or CFO.

Due to the SOX proposals, the company's lawyers are expected to make the board of directors aware of problems if management does not respond appropriately when told of improprieties.

Another element of modern stakeholder accountability–oriented systems should be an ethics officer or ombudsperson who watches over the ethical culture and serves as the person to whom whistleblowers report anonymously. The ethics officer should report to the Audit Committee of the board and be the conduit through which a generic report of whistleblowers reaches the board. Similar to the internal auditors, the ethics officer may report on a day-to-day basis to the CEO but should report regularly to the Audit Committee in person without other management being present. It should be noted that while SOX regulations require the Audit Committee to establish a whistleblower mechanism that brings them information on financial matters, the board also needs to monitor nonfinancial whistleblower concerns because these often influence company reputation significantly and thereby affect the company's ability to reach its strategic objectives effectively. From a governance perspective, it is extremely shortsighted not to establish a whistleblower program providing information to the board of directors on both financial and nonfinancial matters.

Professional accountants in the company's employ are called on by their professional codes of conduct to serve the public interest. Consequently, they should report financial wrongdoing to the senior professional accountant at the company and, if appropriate action is not taken, progressively to the CEO, Audit Committee of the Board, auditors, and potentially to outside authorities.[21] They are not allowed to be involved with misrepresentation and should therefore be ready to report or whistleblow inside their corporation and, per the SOX reforms, specifically to the Audit Committee of the board.

Identifying Organizational Values—The Foundation of Behavior & Integrity The new framework for accountability is based on responding to shareholder and other stakeholder interests, and the modern governance framework should direct corporate personnel to the integration of those interests into their strategies, planning, and decision making. Chapters 1 and 2 show that *the public has expectations not only about what is done but also how it is accomplished*. Consequently, discovering what those interests are, which are the most important, and where the risks are that should be managed is a necessary sequence that should precede the establishment of an organization's vision, mission, strategies, policies, and procedures.

This process is represented as a diagram in Figure 5.4. The specific measures used to identify, assess, and rank the stakeholder interests faced by a specific organization were discussed in Chapter 4.

In essence, what is required is an exploration of the stakeholder interests and expectations for the organization so that respect for these can be built into the values that drive behavior. This will lessen the chance that personnel will be motivated to take decisions and

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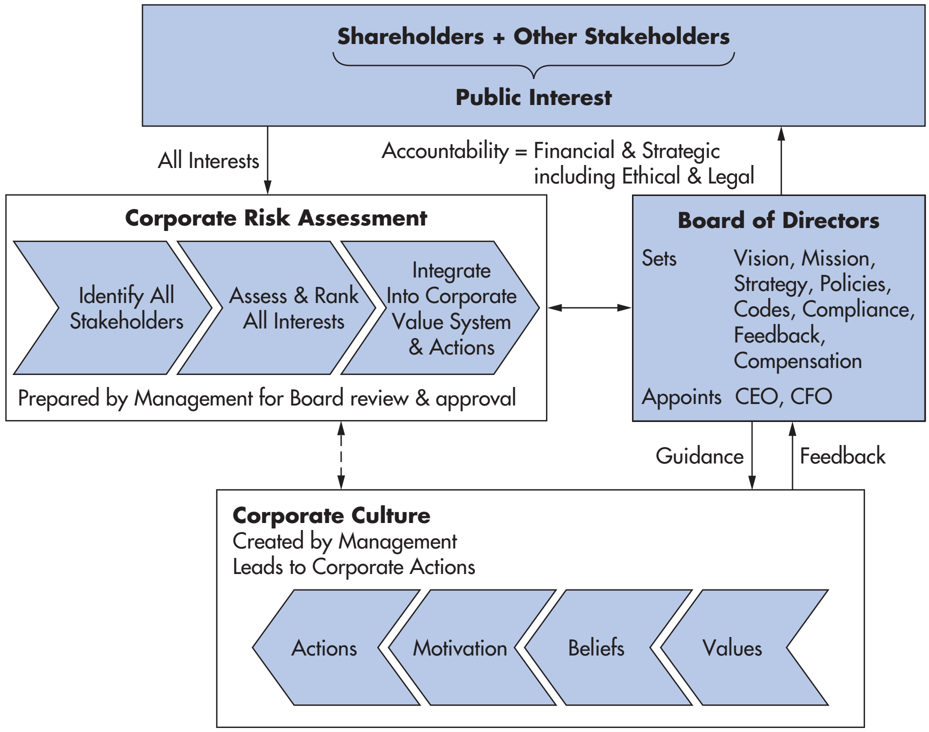
[21] A new Code of Ethics for Professional Accountants has been approved by the International Accounting Federation of Accountants for member Accounting Associations, including the AICPA, ICAEW, and CPAC to adopt or harmonize to, which includes a new standard requiring professional accountants to speak up if they become aware or suspect that their client or employer is not in compliance with laws and regulations. These are called the NOCLAR Rules, and are discussed fully in Chapter 6.

Figure 5.4 Stakeholder Interests Ranking, Risk Assessment & Usage



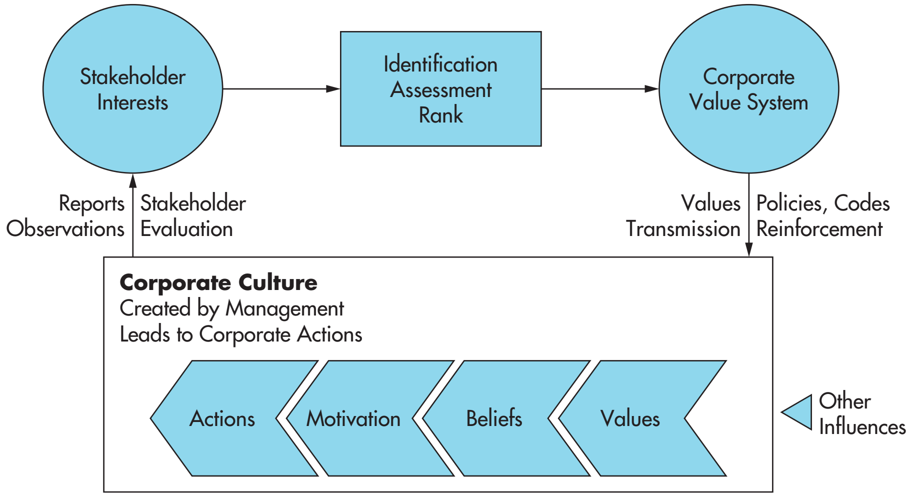
actions that are not in the interests of stakeholders but that are important to the achievement of company objectives.

This linkage between motivation and action is reflected in Figure 5.5. Individuals hold beliefs about what is right or improper. Those beliefs stem from many sources but principally from the values that individuals hold. Some values were taught directly or through example by their parents, respected individuals, bosses, friends, and so on, but other beliefs spring from the rules and motivational systems in place (or absent) at the organization. Beliefs motivate people to act.

The actions of individual personnel are understood collectively to be the "corporation's behavior." The corporation per se is inanimate. *People make things happen, so it is essential that their motivations are aligned with stakeholder expectations, which can be reliably accomplished only by ensuring that the values underlying corporate motivational elements (i.e., corporate culture, codes, policies, etc.) are similarly aligned.* Ensuring this alignment is a vital responsibility for directors, whether they are considering merit or performance rewards, stock option bonus systems, penalties for malfeasance, or paper medals (awards) for outstanding exemplars.

The identification, assessment, and ranking of stakeholder interests should develop a comprehensive set of values for an organization. However, it should be recognized that values and their priority vary in different national, regional, or religious cultures. This presents increasing complexities as the number of different cultures that an organization deals with increases. Some cultures place a high importance on the rights

Figure 5.5 **Aligning Values for Ethical Motivation & Action**



of individuals. Others place primacy on duty to family, company, religious beliefs, and so on.

In the face of competing value systems for the motivation of personnel, corporations should consider which set of values most aligns with those of their shareholders and of their most important stakeholders—those that can most influence their largest consumer and capital markets and their ability to achieve their strategic objectives. Modern media coverage is shrinking the world, so activities that take place on the other side of the world will be known—and quickly—by interested stakeholders everywhere. Greenpeace, CNN, and other organizations will see that pollution incidents, for example, are brought to everyone's attention quickly.[22]

Researchers are intent on understanding better and simplifying this multicultural diversity of values. They have identified a set of universal values or *hypernorms* that could be embedded in corporate values systems. Although their strict interpretation differs somewhat depending on the culture, six relatively, universally respected values have been identified. These universal values are *honesty*, *fairness*, *compassion*, *integrity*, *predictability*, and *responsibility* (Table 5.3).

Directors should consider embedding these hypernorms in their corporate values systems in order to ensure that all important values are included, and that maximum acceptance and respect are ensured in dealings with many cultures.

It is significant that scandals such as Enron, the subprime lending fiasco, and Madoff have strengthened the resolve of stakeholders to expect organizations to behave with integrity. That is the overall objective of identifying and embedding corporate values to guide behavior in an organization—*to produce and maintain a culture of integrity*.

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[22] Refer to the ethics case *The Brent Spar Decommissioning Disaster* in Chapter 7 for the dilemma faced by Shell UK when Greenpeace challenged the environmental impact of a management decision.

Table 5.3 Cultural Values and Hypernorms

Sphere/Culture	Basis of Value-System
North American	Rights-based: rights, justice, utility
Sino-Confucian	Duty-based: obligation to family
Japan	Duty-based: obligation to company
Middle East	Duty-based: obligation to savior
Europe	Personal rights
South America	Duty-based: obligation to family, religious values
Impact On:	
	Dealing with people: hiring, gender;
	Bribery;
	Motivation for doing business;
	Short- or long-term time horizons;
	Importance of quality-of-life issues
Hypernorm Values:	
Honesty, Fairness, Compassion, Integrity, Predictability, Responsibility	

Guidance Mechanisms—Ethical Culture & Code of Conduct

The values that a corporation's directors wish to instill in order to motivate the beliefs and actions of its personnel need to be conveyed to provide the required guidance. Usually, such guidance takes the form of a code of conduct that states the values selected, the principles that flow from those values, and any rules that are to be followed to ensure that appropriate values are respected. As noted in a later section, research has been done into the improvement of the effectiveness of a code. For example, principles are more useful than only rules because principles facilitate interpretation when the precise circumstances encountered do not exactly fit the rule prescribed. A blend of principles and rules is often optimal.

Unfortunately, a code on its own may be nothing more than "ethical art" that hangs on the wall but is rarely studied or followed. *Experience has revealed that to be effective, a code must be reinforced by a comprehensive ethical culture*. Developing an ethical culture involves continually applying significant effort over several dimensions. A code should be the subject of a training session for new recruits on joining an organization, with yearly update sessions. Moreover, the ethical behavior expected must be referred to in speeches and newsletters by top management, as often as they refer to their health and safety program or their antipollution program, for example, or else it will be perceived as less important by employees. If personnel never or rarely hear about ethical expectations, they will know that they are not a serious priority. Similarly, there should be an ethical behavior–reporting mechanism linked to feedback, recognition, and promotion systems. Whistleblowers are also part of a needed monitoring, risk management, and remediation system. More often than not, a corporation that has a code of conduct without supporting it within an ethical culture is simply engaging in window dressing—not in providing effective ethical guidance.

The development of effective codes of conduct and the necessary supportive ethical culture is discussed later in this chapter. The guidance offered by codes of conduct must set expectations clearly to avoid misunderstandings of intent and consequences.

Ethics Does Not Have a Dollar Value

Szabolcs Fekete was a senior analyst at Citibank working in England since 2015. In July of 2022, he went on a three-day work trip to Amsterdam with his partner who was not a Citibank employee. Fekete submitted a food and beverage expense report for the business trip that was rejected by a senior manager who believed the meals were for two people.

Fekete replied, "I was on the business trip by myself and I had 2 coffees as they were very small."

The manager responded, "The receipt appears to have two sandwiches, two coffees, and another drink … Are you advising that this was all consumed by you?"

Fekete replied, "Yes that is correct … On that day I skipped breakfast and only had 1 coffee in the morning/ for lunch I had 1 sandwich with a drink and 1 coffee in the restaurant and took another coffee back to the office with me and had the second sandwich in the afternoon … Which also served as my dinner." He added that the amounts were "well within my €100 limit."

After another query, Fekete replied, "All my expenses are within the €100 daily allowance. Could you please outline what your concern is as I don't think I have to justify my eating habits to this extent."

The issue escalated to Citibank's ethics office.

In August, Fekete confessed that some of the food had been consumed by his partner. In November he was fired for gross misconduct.

A message from Citi's CEO at the beginning of the bank's Code of Conduct says, "Trust is the foundation of every relationship we build."

If an employee cannot be trusted on small matters, can the employee be trusted on larger more important issues? Ethics guidelines and codes only have meaning if breaches of the code are dealt with in a fair and honest manner.

The judge who ruled in Citibank's favor after Fekete sued for wrongful dismissal said, "I am satisfied that even if the expenses claim had been filed under a misunderstanding, there was an obligation upon the claimant to own up and rectify the position at the first opportunity. I accept that the respondent requires a commitment to honesty from its employees."

Reference

Dearbail Jordan, "Citibank wins case after sacking banker over two-sandwich lunch claim," BBC, October 13, 2023.

Threats to Good Governance & Accountability

The assumption that personnel will automatically be motivated to behave as the owners want is no longer valid. People are motivated more by self-interest than in the past and are likely to come from different cultures that emphasize different priorities of duty. As a result, there is greater need for clear guidance and for identifying and effectively managing threats to good governance and accountability. Discussion of three significant threats follows.

Misunderstanding Objectives & Fiduciary Duty

Even when different cultures are not an issue, personnel can misunderstand the organization's objectives and their own role and fiduciary duty. For example, as was mentioned in Chapter 2, many directors and employees of Enron evidently believed that the company's objectives were best served by actions that brought short-term profit:

- Through ethical dishonesty—manipulation of energy markets in California or sham displays of trading floors
- That were illusory—special purpose entity (SPE) transactions
- That benefited themselves at the expense of other stakeholders—payment of extraordinary fees and commissions to SPEs

Frequently, employees are tempted to cut ethical corners, and they have done so because they believed that their top management wanted them to, they were ordered to do so, or they were encouraged to do so by misguided or manipulative incentive programs. These actions occurred although the board of directors would have preferred (sometimes with hindsight) that they had not. Personnel simply misunderstood what was expected by the board because guidance was unclear, or they were led astray and did not understand that they were to report the problem for appropriate corrective action or to whom or how.

Lack of proper guidance or reporting mechanisms may have been the result of directors and others not understanding their duties as fiduciaries. As noted earlier, directors owe shareholders and regulators several duties, including obedience, loyalty, and due care; safeguarding of assets; accurate, comprehensive, and transparent reports; and so on. Many directors have been looking out for their own interests, and they have spent little time protecting shareholders, other stakeholders, and the public interest from top management. Even where good guidance was in place, compliance mechanisms were nonexistent, rusty, or neglected because most directors concentrated on moving the company forward, not on protecting it from ethical downsides.

Fortunately, SOX has clarified much of this lack of understanding of fiduciary relationships for directors, executives, and also professional accountants. Professional accountants at Arthur Andersen forgot they should have been serving the public interest when giving their opinion that Enron's financial statements were in accordance with GAAP. Instead, by failing to contradict the initiatives of management, Arthur Andersen allowed unreported variations that disadvantaged the interest of shareholders wanting to hold their stock and those wishing to buy in the future, as well as the interests of employees, long-term lenders, and others.

Fortunately, the ensuing investigation and SOX have clarified the primacy of the public interest as the foremost concern of professional accountants. This clarification is not only for external auditors but also for professional accountants employed by organizations. As employees, they owe a loyalty to their employer, but that does not supersede their duty to the public interest, their profession, or themselves. When acting as executives or managers, professional accountants must observe their professional code of conduct and, for example, cannot be associated with misrepresentations. In some jurisdictions, professional accountants must report at least internally when they become aware that their employer or client is not in compliance with laws or regulations. These are known as NOCLAR Rules. These priorities of duty and the NOCLAR Rules[23] will be discussed more fully in Chapter 6.

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[23] NOCLAR Rules are discussed in Chapter 6.

Similarly, as discussed in Chapter 2, external lawyers who discover serious illegalities that are not rectified by management may be expected by the SEC to reveal these matters to the board through a "noisy departure" process. Amazingly, many law firms have argued against the imposition of this process, asserting that such disclosure may not be in the company's interest. A silent departure would certainly favor the interests of management who know what is going on rather than the directors, investors, and other stakeholders who do not.

Failure to Identify & Manage Ethics Risks

Recognition of the increasing complexity, volatility, and risk inherent in modern corporate interests and operations, particularly as their scope expands to different countries and cultures, has led to the requirement for risk identification, assessment, and management systems. In the late 1990s, it became a requirement that boards of directors ensure that their companies' risk management processes were effective,[24] and a number of studies were published illustrating how such a system might be developed and what types of risk might be targeted.[25]

However, *the systematic search for ethics risks—those where the expectations of stakeholders may not be met—has not been targeted* and should be, now that the need for stakeholder-oriented accountability and governance is becoming dominant. Table 5.4 illustrates the aspects of risk that are usually investigated by corporate examiners.

Usually, there is an examination designed to safeguard assets by internal auditors who will also ensure compliance with an organization's policies, and relevant laws and regulations. External auditors examine the financial statements and determine if internal controls are in place that will ensure accurate financial reports. However, given the accounting and auditing failures mentioned in Chapter 2, *both types of auditor are now expected to*

Table 5.4 **Areas of Corporate Risk Assessment**

Governance and objectives
Areas of impact
Reputation
Assets, revenues, costs
Performance
Stakeholders
Sources of risk
Environmental
Strategic
Operational
Informational
Specific hazards
Degree of control over risk–little, some, great deal
Documentation

[24] The Toronto Stock Exchange, for example, identified risk management as a matter requiring oversight by directors in 1995.

[25] See, for example, AICPA/CICA and the Institute for Internal Auditors publications on risk management identified in Chapter 1.

spend more time searching for fraudulent activities—those where there is intent to deceive.[26] External auditors have resisted being charged with full responsibility for this in the past because audit tests are not set up to discover fraud and fraud is very difficult to discover, and the costs of doing so are much greater than boards of directors have been willing to authorize and management has been willing to incur.

Historically, relatively few companies have had a comprehensive, systematic annual process designed to assess where the company's actions may not meet the expectations of stakeholders, and focus the attention of directors, executives, and advisors on those areas. To some extent, however, environmental and sustainability impact assessments do involve stakeholder engagement, but frequently not on a broad or continuous basis. Stakeholder engagement programs for sustainability programs are discussed in Chapter 7.

Dow Corning is an example of a company that did have a systematic investigation process for assessing risks to stakeholders, but the process was flawed due to bias and short-sighted techniques and did not identify the faulty silicone breast implant catastrophe as a significant risk which subsequently bankrupted the company.[27] Moreover, its "ethics audit process" was oriented toward avoiding legal liability rather than satisfying the interests of customers and other stakeholders. Its parent company made a public plea that the legal liability did not reach upward to them. As usual in product liability cases, the fine paid by Dow Corning was small relative to the damage to reputation, ongoing business relationships, and the ongoing support of stakeholders. In contrast, Johnson & Johnson's original Tylenol recall, which was universally applauded, was an example of putting the interests of customers first. (Refer to the vignette *Johnson & Johnson's Worldwide Recall of Tylenol: Virtue Ethics* in Chapter 3.)

All of Dow Corning's stakeholders would have benefited from a broader definition of ethics risk—one that identified where the expectations of stakeholders may not have been met. The Dow Corning audit process, which was somewhat flawed, could be readily repaired to serve as one approach to the discovery of ethical risks. Other approaches could involve making an annual risk reflection routine part of annual ethics sign-off and/or training processes. Charging internal audit with responsibility for identification and assessment and the ethics officer with ongoing responsibility for discovery, assessment, and reporting to the CEO and Audit Committee of the board are logical steps to take as well. Reward recognition should be accorded to personnel who bring issues forward. Prevention is the most important aspect of crisis management, and ethics risks have a nasty way of becoming crises if not diagnosed early enough.

The principles of ethics risk management are summarized in Table 5.5. The importance of maintaining the support of stakeholders is becoming more apparent and widely accepted, as ethics risk management becomes a normal element of the due diligence requirements for a board of directors and a significant part of management's responsibility.

Table 5.5 Ethics Risk Management Principles

- Normal definitions of risk are too narrow for stakeholder-oriented accountability and governance.
- An ethics risk exists where the expectations of a stakeholder may not be met.
- Discovery and remediation are essential in order to avoid a crisis or losing the support of stakeholders.
- Assign responsibility, develop annual processes, conduct board review.

[26] Per the following pronouncements, for example, CICA Handbook Section 5135 (2002); AICPA: SAS 99 (2002); and International Auditing and Assurance Standards Board (IAASB) ISA 240 (2001, rev. 2004).
[27] Refer to the ethics case *Dow Corning Silicone Breast Implants*.

Conflicts of Interest

Conflicts of interest have been a subject of extreme importance in many scandals in which employees, agents, and professionals failed to exercise proper judgment on behalf of their principals. For example, in the 2002 Enron fiasco, senior officers, lawyers, and professional accountants acted in their own self-interest rather than for the benefit of many stakeholders. In the 2008 financial crisis (refer to Chapter 8 in the Cengage digital archive), investment bankers, retailer bankers, investment sales personnel, bond rating agencies, and public accountants acted in their own self-interest and not in the best interest of their customers and firms. The conflict between the self-interest of the decision makers and the interest of the shareholders interfered with the judgment being applied, causing the interests of the shareholders to be subjugated to the self-interest of the decision makers. As a result of the 2008 financial meltdown, companies went bankrupt, investors lost their savings, and capital markets lost credibility and fell into turmoil. Because of this, the governance frameworks for corporations and professional accounting have been changed forever.

Stated simply, *a conflict of interests occurs when the independent judgment of a person is swayed, or might be swayed, from making decisions in the best interest of others who are relying on that judgment*. An executive or employee is expected to make judgments in the best interest of the company. A director is legally expected to make judgments in the best interest of the company and its shareholders and to do so strategically so that no harm and perhaps some benefit will come to other stakeholders and the public interest. A professional accountant is expected to make judgments that are in the public interest.

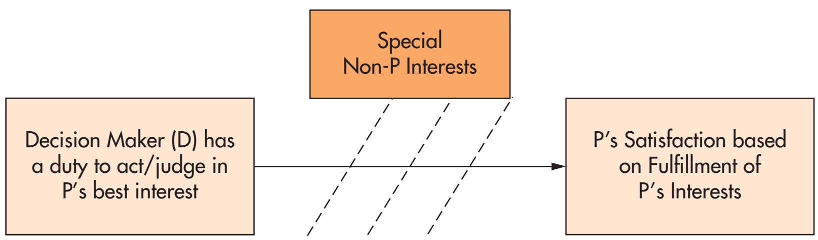
Decision makers usually have a priority of duties that they are expected to fulfill, and a conflict of interests confuses and distracts the decision maker from that duty, resulting in harm to those legitimate expectations that are not fulfilled. This situation is pictured in Figure 5.6, where a decision maker (D) "has a conflict of interest if, and only if, (1) D is in a relationship with another person or entity (P) requiring D to exercise judgment in P's behalf and (2) D has a special interest tending to interfere with the proper exercise of judgment in that relationship."[28]

Figure 5.6 **Conflict of Interest for a Decision Maker**

A decision maker (D) "*has a conflict of interest if, and only if,*

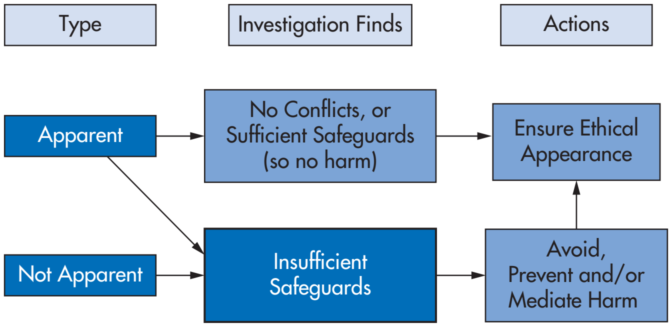
(1) *D is in a relationship with another person or entity (P) requiring D to exercise judgement in P's behalf, and*

(2) *D has a special interest tending to interfere with the proper exercise of judgement in that relationship."*



[28] Michael Davis and Andrew Stark, eds., *Conflict of Interest in the Professions* (Oxford: Oxford University Press, 2001), 8. Note that D and P can be a person or a corporate body. Davis uses only P.

Figure 5.7 Types of Conflict of Interest & Actions Required



A conflict of interest needs to be recognized and dealt with *immediately,* whether it is apparent or not, whether there is a potential for harm, or whether harm has occurred. An *apparent conflict of interest* is one where potential for harm can be seen. In some instances, because of unseen safeguards, harm is not likely to occur. Even so, that type of apparent conflict of interest needs to be avoided or managed so that the appearance of a conflict of interest does not damage the reputation of the decision maker or company involved. In other apparent conflicts of interest where there are insufficient safeguards to prevent harm or where a conflict of interest exists but is *not apparent* and harm can occur as a result of biased decisions, action must be taken to avoid, prevent, or mitigate the actual or potential harm involved. Action should also be undertaken to ensure that actions taken are perceived as ethically responsible and reputation damage is avoided or minimized. Figure 5.7 illustrates these concepts.

A special or conflicting interest could include "any interest, loyalty, concern, emotion, or other feature of a situation tending to make D's judgment (in that situation) less reliable than it would normally be, without rendering D incompetent. Financial interests and family connections are the most common sources of conflict of interest, but love, prior statements, gratitude, and other subjective tugs on judgment can also be an interest (in this sense)."[29] Table 5.6 provides a list of causes of conflicting interests.

Concern over a conflict of interest stems from the following:

- The fact that people who are relying on D's decision may be harmed if D does not respond or compensate.
- If D knows or should have known but does not tell P, then D is perpetrating a deception.
- If D's judgment will be less reliable than it ordinarily is.

A conflict of interest is more than just bias, which can be measured for and adjusted. However, because of the unknown nature and therefore extent of the influences, *concern should be for any tendency toward bias.*[30]

Management to Avoid & Minimize Consequences To remedy the concerns over a conflict of interest, three general approaches should be considered: (1) avoidance, (2) disclosure to those stakeholders relying on the decision, and (3) management of the conflict of interest so that the benefits of the judgment made outweigh the costs.

[29] Ibid., 9.
[30] Ibid., 11, 12.

Table 5.6 Conflicting Interests—Causes of Judgment Bias

How Might Judgement Be Swayed …

- Any interest, influence, loyalty, concern, emotion, or other feature tending to make judgement less reliable than normal

Self-Interest …

- Bribes, kickbacks—payments or property to decider, family, designees
- Gifts, free travel, favors
- Special advantages—non-market discounts on goods
- Special treatment—flattery, social involvement
- Dealings with family, relatives, or relations

Fraud …

- Misappropriation of funds or property
- Cheating on expense accounts
- Falsifying documents
- Stealing cash, assets, or resources
- Falsifying results to obtain bonuses, merit pay, or promotion

Misunderstanding …

- Confused signals or incentives
- Boss/everybody's doing it
- Cultural differences

Slippery Slope …

- Where a small favor leads to ever-larger demands

Avoidance is the preferred approach if the appearance of having a conflict of interests can be avoided as well as the reality. The appearance of having a conflict can often be as harmful to the decision maker's reputation as having a real conflict because it is almost impossible to recover lost credibility and reputation without extreme effort and cost—and then only with luck. Consequently, for example, it is advisable to provide rules against giving or receiving kickbacks because it is incredible to argue later that they really did not matter.

Management of potential conflicts is a potentially useful approach if avoidance is not possible and the cost-benefit trade-off of management measures is favorable. The probability that reputation will be lost—and the related cost—must be taken into account in the trade-off analysis. The important aspects related to the management of conflicts of interest are identified in Table 5.7.

The first step in the process of managing to defend against these influences is to ensure that all employees are *aware* of their existence and consequences. This can be done through codes of conduct[31] and related training. One of the items that should be covered

[31] Codes of ethics and excellent guidance are available for professionals. For example, the International Federation of Accountants (IFAC) has developed a code of ethics to guide professional accountants that is analyzed in more detail in Chapter 6. It acknowledges that occasionally situations arise that threaten the accountant's ability to comply with the ethics code. These situations include self-interest, self-review, advocacy, familiarity, and intimidation. The nature and significance of the threat is situation specific. Nevertheless, the IFAC code has outlined some broad principles or safeguards that may reduce or eliminate the threat. But when all else fails, the public accountant should remove him- or herself from the situation. In other words, even if there is an adverse economic consequence from doing so, the public accountant must avoid the conflict by walking away.

Table 5.7 Management of Conflicting Interests

Steps to Be Taken

Ensure awareness through:

- Codes of conduct and
- Related initial and ongoing training

Create a program and an understanding of:

- Employer's concerns regarding conflict of interests
- Major issues:
    - Avoidance is preferable
    - Slippery slope
    - Management techniques:
        - Annual sign-off, confirmation review, and compliance
        - Guidelines for gifts, behavior
        - Counseling, reporting, reinforcement
        - Information barriers, firewalls, and scrutiny

in the training is the "slippery slope" problem, in which an individual can be enticed into a relationship by a seemingly innocuous request for a small favor, then a larger one, and then find that they are told that unless they go along with a serious infraction, their past secrets will be revealed. The start of the slope is too gentle for some to notice, but the slope becomes steeper and more slippery very quickly.

The second step of defense is to *create an understanding* of:

- why the employer cannot afford unmanaged conflict of interest situations, and why guidelines have been developed to prevent their occurrence,
- why conflicts should be explored through counseling if recognized,
- why they should be reported if they have occurred, and
- what penalties may be levied for their occurrence and nonreporting.

Annual written confirmations of ethical behavior and adherence to the employer's code of conduct should include reference to conflicts of interest encountered by the signatory and those identified involving others.

Guidelines that can prove helpful are those that specify when it may be acceptable to give or accept a gift or preferential treatment. Useful questions to ask in this regard are shown in Table 5.8. They are intended to assess whether the offering is likely to sway the independent judgment of the professional. Obviously, something worth a very modest

Table 5.8 Guidelines for Acceptance of Gifts or Preferential Treatment

1. Is it nominal or substantial?
2. What is the intended purpose?
3. What are the circumstances?
4. What is the position of sensitivity of the recipient?
5. What is the accepted practice?
6. What is the firm/company policy?
7. Is it legal?

amount, perhaps under $100, that is offered to a group of people as a publicity venture is much less of a problem than a large-value item offered to one person who has considerable influence over the fortunes of the giver.

Additional reinforcement of problems and good examples through publicity will also serve to keep the awareness and understanding fresh. Compliance systems must be in place to provide another type of reinforcement, with appropriate penalties for significant wrongdoings.

Agency Theory & Ethics Directors, executives, and professional accountants should appreciate that incentive systems that they use to motivate employees can provide appropriate or inappropriate reinforcement, depending on the way in which they are designed. In many ways, the stock option plans available to executives have been responsible for motivating them to act in ways that are detrimental to all stakeholders. Refer to the ethics case *The Ethics of Repricing and Backdating Employee Stock Options* at the end of this chapter.

According to agency theorists, shareholders expect and hope that managers and, in turn, nonmanagerial employees will behave in line with the goals set for the corporation (Refer to Appendix A). The principals or shareholders hope that their agents will be motivated to act as the principals wish. Incentive systems and punishment systems are created to try to influence the agents to stay on the right path. Clearly, as the public's expectations for corporate performance now include ethical standards, the reward and punishment systems set up should also reflect ethical dimensions, or shareholders are going to be disappointed. In fact, the corporation's strategic plans should include ethical dimensions to ensure that their agents, both inside and outside the corporation, are properly influenced and that conflicts of interest are avoided. The *Sears Compensation Plan Backfires* vignette provides a helpful example of where damage control was required after reward system design mistakes had been made.

Sears Compensation Plan Backfires

Performance-based compensation plans are not always the best means of motivating employees. "In 1991, Sears, Roebuck & Company—faced with severe financial pressure—decided to revamp its compensation plan for mechanics in its Sears Auto Centers. Previously, mechanics were simply paid an hourly wage. Sears' management wanted to increase productivity and profits, so it devised an incentive system that would supposedly pay mechanics a smaller hourly wage, but provide them with a performance bonus using quotas and commissions. Also, so much pressure was applied to the workforce, that many were directly or indirectly told they would lose their jobs if they did not achieve their repair sales quotas. Soon, mechanics found out that the only way to achieve their goals and make money was to concentrate on selling more work rather than servicing the customer. The new program resulted in mechanics and service managers over-billing customers, charging for work that wasn't performed and charging for work that wasn't needed." Afterward, Sears apologized for creating a misleading incentive system.

Source: Mike Harden, "Learn from Sears: Don't Make This Monumental Mistake," *Huffington Post*, July 8, 2014.

Information Barriers & Firewalls An important system for preventing conflict of interest malfeasance through misuse of information is an information barrier or "firewall." This practice utilizes the analogy of an impervious wall to describe those measures and methods that would prevent the transmission of client information from one part of an organization or consortium to another. Such firewalls or information barriers are not tangible in a three-dimensional sense but refer to a multidimensional set of control measures, such as the following:

- Instructions to keep information confidential
- Instructions not to read, listen to, or act on specific types of information
- Educational programs and reinforcements by top management
- Monitoring and compliance sign-off procedures
- Scrutiny of insider or key-person trading of securities
- Physical barriers to information transmission, such as
  - separate computer- or physical-storage systems,
  - segregation of duties to different employees,
  - segregation of information in a different location or building, etc., and
  - different lock systems
- Appointment of a compliance officer who would monitor the effectiveness of the wall
- Disciplinary sanctions for breach of the wall

Information barriers or firewalls have been a normal part of business and professional operations for many years. For example, when a client is involved in the preparation of a public offering of securities, those members of the offering team (lawyers, professional accountants, and underwriters) are expected not to divulge advance details of the underwriting to the other members of their respective firms or to anyone else. The public issuance of securities, as presently known, would be impossible without the firewall construct. Fortunately, even though in the final analysis a firewall relies on the integrity of the personnel involved for its effectiveness, such arrangements are considered effective to protect the public interest and to safeguard the interests of current clients as well as former clients.

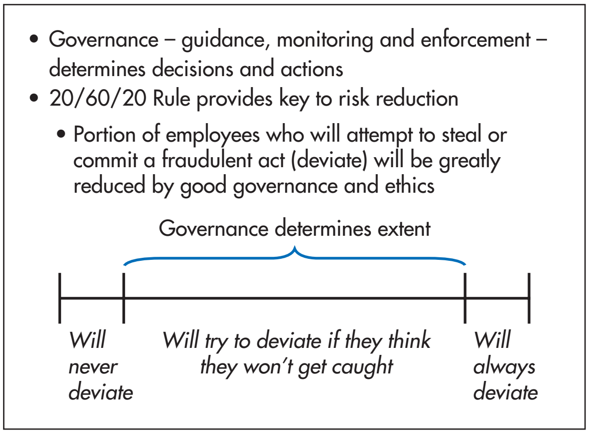
Forensic Experts & Evidence: The 20/60/20 Rule The time may come when a director, executive, or professional accountant must consider whether a conflict of interests has led to a serious breach of duty, fraudulent act, or loss that must be recovered pursuant to an insurance policy. In such instances, an investigative and forensic expert may be called on if existing company personnel would benefit from assistance. The expert will employ appropriate techniques based on an understanding of the situation.

Many managers may believe that their associates and employees would rarely engage in unethical behavior. However, forensic experts indicate that their experience suggests that the general population can be divided into three groups:

- 20% would never commit a fraud.
- 60% would commit a fraud if the chance of getting caught is considered low.
- 20% would seek to commit a fraud regardless of the circumstances.

Although the precision of the percentages may be debated, the real contribution of this forensic insight is that the behavior of the largest portion of employees can be influenced by a strong ethical corporate culture, that is, a *culture of integrity*, since they will know what behavior is expected and that there will be consequences for acting contrary to the organization's values. Figure 5.8 shows that, with excellent governance, up to 80% of

Figure 5.8 **Governance Determines Extent of Compliance or Deviance**



a company's employees could be influenced to support and comply with company values and objectives, and if the percentages rose to 5/90/5, then 95% of the company's employees might comply. Which company would you prefer to work for, invest in, or buy from—one where there was a good culture of integrity, where 80% to 95% of employees were likely to follow company guidance, or one where there was a poor culture of integrity and unethical acts were common? Effective guidance is extremely important.

Discussion of the development and maintenance of a culture of integrity follows.

The Gone Theory: Identifying Potentially Harmful Situations & Likely Perpetrators

Forensic experts also have insights into who would commit a fraud and what the circumstances are that could come into play in the decision. They point out that in most instances of fraud or opportunistic behavior, they can begin to identify prospective perpetrators through the use of the GONE Theory. The acronym GONE stands for circumstances that account for the motivation of illicit behavior, in which the letters represent the following:

- G—Greed
- O—Opportunity to take advantage
- N—Need for whatever is taken
- E—Expectation of being caught is low

The experts point out that identifying personnel who have or exhibit these characteristics can head off problems if adequate precautions are taken. These would include additional review and diligence on the part of supervisors, transfer to less vulnerable areas, signaling that extra review or audit procedures were in place, and so on. For example, if an employee exhibited signs of a lifestyle well beyond his or her means, then extra scrutiny might be warranted.

Duty Depends on A Person's Role Although this analysis of conflict of interests has focused on the individual, it should be noted that the analysis is similar for groups of individuals within a corporation, organization, or profession. But either as individuals or as groups of individuals, it is often the roles taken on—and therefore the duties assumed and expected by those relying on the actions to be taken—that define the nature of conflicts of interest. For example, it is unlikely that a professional accountant can objectively and without bias audit or review a set of financial statements while also advocating for the client. In order to ensure sufficient objectivity to maintain their duty to serve the public interest, professional accountants have developed standards designed to ensure independence.[32] These will be discussed in the next chapter.

Key Elements of Corporate Governance & Accountability

Compelling Evidence for the Development of an Ethical Corporate Culture

Directors, owners, and senior management are in the process of realizing that they and their employees need to understand (1) that their organizations would be wise to consider the interests of stakeholders, not just shareholders, and (2) that appropriate ethical values are to be considered when decisions are being made. *Because organizational, professional, and personal values provide the framework for decision making, it is vital that organizations create an environment or culture where appropriate shared values are created, understood, fostered, and committed to by all concerned.*

Evidence has existed for more than a decade that underscores how important an ethics program, leading to the development and maintenance of an ethical corporate culture, is to the ongoing success and reputation of a corporation and its executives. The following extracts and comments provide compelling evidence that an ethical corporate culture, which considers the interests of stakeholders, not only short-term profitability, is relevant to success and that corporations are responding:

- *KPMG's Integrity Survey, 2013*[33] compared corporations with and without an ethics program and found evidence that an ethics program significantly improved perceptions of behavior as well as actual business behavior:
  - 13–17% reduction in observed misconduct or violation of values and principles in the prior 12 months
  - 6–13% improvement in prevention of misconduct
  - 36–46% improvement in comfort in reporting misconduct to a supervisor
  - 37–41% improvement in belief that appropriate action will follow reporting of misconduct
  - 32–43% improvement in perception that CEO and other top executives set the right "tone at the top"
  - 43–47% improvement in motivation to "do the right thing"
- The *2009 National Business Ethics Survey* of the Ethics Resource Center[34] reports that a strong ethical culture reduces the following:
  - Pressure to compromise standards
  - Observed misconduct

[32] Refer to, for example, the International Federation of Accountants (IFAC) *Code of Ethics for Professional Accountants*, November 2001, or the *IFAC Code of Ethics for Professional Accountants*, International Federation for Accountants Ethics Committee, New York, 2005, http://www.ifac.org/Store/Category.tmpl?Category5Ethics&Cart51215563035160178. Both versions of the IFAC are from downloadable from **http://www.cengage.com**.

[33] KPMG Forensic, *Integrity Survey 2013* (KPMG LLP, 2013), http://www.kpmginstitutes.com/advisory-institute/insights/2013/pdf/integrity-survey-2013.pdf.

[34] Ethics Resource Center, *2009 National Business Ethics Survey*, http://www.ethics.org/resource/2009-national-business-ethics-survey.

- Failure to report observed misconduct
- Experienced retaliation for reporting

■ PricewaterhouseCoopers's report *Building a Risk-Aware Culture for Success*[35] states that no matter how clearly you define your risk appetite and controls, the people who work for you won't consistently make the right decisions unless corporate culture reinforces "doing the right thing" naturally.

■ The KPMG International Survey of Corporate Responsibility Reporting 2011[36] reported the following:

- Corporate responsibility (CR) reporting [which demonstrates sensitivity to the interests of stakeholders] has become the *de facto* law for business.
- CR reporting enhances financial value.
- 95% of the 250 largest companies in the world (G250 companies) now report on their corporate responsibility (CR) activities, with two-thirds of the reporters based in the United States.
- Almost 60% of China's largest companies already report CR metrics.

With respect to leadership, Treviño and her colleagues[37] find that to be perceived to be an ethical leader an individual must speak out about, and demonstrate, the ethical values the corporation or organization expects. If this is not done, employees will take the view that the only value that matters is making a profit. If the executives or leaders are silent on ethical matters, even if they are personally ethical, their reputation will be at considerable risk, as will the corporation's.

There are still some executives and directors, as well as shareholders, who prefer to focus on making profits without making efforts to determine whether they are made ethically or even legally. Such decision makers do not appreciate or care about the potential damage that may be caused in the long run by failing to consider the strategic significance of consistently making ethical decisions. With the increasing complexity and rising pace of operations in business, an even greater reliance will be placed on building relationships and managing risks ethically. This will require increasing attention on developing an additional point of reference for decision making—an ethical corporate culture to guide employees to behave ethically.

Wells Fargo Suffers from an Unethical Culture

On September 9, 2016, Wells Fargo was fined $185 million for illegal banking practices caused by a faulty corporate culture where employee incentives motivated bank employees to cross-sell existing customers so that they would use at least eight Wells Fargo products. This incentive pressure caused employees to open roughly 1.5 million bank accounts and create 565,000 credit cards that were not authorized by bank customers. When customers complained, the bank investigated, discovered the sham accounts, and fired 5,300 employees but not the executives in charge. They were scheduled to retire or continue working with significant stock options

[35] PricewaterhouseCoopers, *Building a Risk-Aware Culture for Success*, http://www.pwc.com/gx/en/risk-regulation/risk-aware-culture.jhtml.
[36] KPMG Forensic, *KPMG International Survey of Corporate Responsibility Reporting 2011*, http://www.kpmg.com/Global/en/IssuesAndInsights/ArticlesPublications/corporate-responsibility/Pages/2011-survey.aspx.
[37] Linda Klebe Treviño, Laura Pincus Hartman, and Michael Brown, "Moral Person and Moral Manager: How Executives Develop a Reputation for Ethical Leadership," *California Management Review* 42 (2000): 128–42.

intact. Ultimately, pressure from regulators and the public forced the bank to refund about $2.6 million of inappropriately collected fees,[38] and two senior executives forfeited over $70 million in retirement allowances.[39]

But that was not the full extent of what Wells Fargo ended up losing from its faulty corporate culture. The bank, which had sailed through the subprime lending crisis in 2008 without needing a bailout because it had shown restraint in not participating in questionable practices, ended up:

- Losing its reputation for clean, ethical dealing.
- Losing the trust of its customers because it had to notify all 40 million of its customers when a much smaller number had been negatively affected.[40]
- Losing the business of the State of California[41]
- Losing the services of a formerly well-regarded CEO. John Stumpf, who was berated in government hearings, and who decided to resign as CEO because he had become a distraction.[42]
- Losing the support of government regulators threatening to limit bank expansion.[43]
- Fined $3.7 billion[44]

In the ensuing firestorm, other unsavory aspects of Wells Fargo's culture came to light, including:

- Employees who resisted illegal marketing tactics and/or reported them to an ethics hotline were fired for tardiness, even if they were only two minutes late.[45]
- John Stumpf was allegedly sent a letter in 2007 by an employee referring to the illegal, fraudulent sales practices and warning "of professional and reputational damage, consumer fraud and shareholder lawsuits, coupled with regulator sanction." That employee "later won a federal whistleblower retaliation case against Wells Fargo." A second letter was allegedly sent to the Wells Fargo Board. Although "CNNMoney hasn't been able to determine whether the letters

[38] "A Case of Unchecked Incentives. Wells Fargo Fined $185 Million for Fraudulently Opening Accounts," *New York Times*, September 9, 2016, http://www.nytimes.com/2016/09/09/business/dealbook/wells-fargo-fined-for-years-of-harm-to-customers.html?emc=edit_th_20160909&nl=todaysheadlines&nlid=34879348&_r=0.

[39] "Wells Fargo CEO Gives Up $41 Million in Stock after Probe," The Presidential Daily Brief, Ozy.com, September 28, 2016, http://www.ozy.com/presidential-daily-brief/pdb-72153/payback-72160. J. Stumpf gave up $41 million, and Carrie Tolstedt, former head of community banking, gave up $19 million.

[40] Matt Egan, "5,300 Wells Fargo Employees Fired Over 2 Million Phony Accounts," CNN Money, September 9, 2016, http://money.cnn.com/2016/09/08/investing/wells-fargo-created-phony-accounts-bank-fees/index.html.

[41] Michelle Fox, "Despite Stumpf's Departure, California Not Ready to Do Business with Wells Fargo," @MFoxCNBC, October 13, 2016, http://www.cnbc.com/2016/10/13/despite-stumpfs-departure-california-not-ready-to-do-business-with-wells-fargo.html.

[42] Michal Corkery and Stacy Cowley, "Wells Fargo Chief Abruptly Steps Down," New York Times DealB%k, October 12, 2016, http://www.nytimes.com/2016/10/13/business/dealbook/wells-fargo-ceo.html?hp&action=click&pgtype=Homepage&clickSource=story-heading&module=second-column-region&region=top-news&WT.nav=top-news&_r=0.

[43] Patrick Rucker, "Exclusive: U.S. Regulator Set to Fail Wells Fargo on Community Lending Test–Sources," *Reuters*, December 7, 2016, http://www.reuters.com/article/us-wells-fargo-accounts-idUSKBN13W2HA?feedType=RSS& feedName=businessNews.

[44] Matt Egan, "Wells Fargo ordered to pay $3.7 billion for 'illegal activity' including unjust foreclosures and vehicle repossessions," CNN, Dec 20, 2022.

[45] Matt Egan, "I Called the Wells Fargo Ethics Line and Was Fired," September 21, 2016, http://money.cnn.com/2016/09/21/investing/wells-fargo-fired-workers-retaliation-fake-accounts/index.html.

were actually sent, nor whether Stumpf or the board members read or received them,"[46] the company's reputation for integrity continues to be eroded.

It is clear that the bank, regardless of its proud heritage, has become the iconic example of a company that had an unethical culture and paid dearly for it.[47] There is little doubt that the Board, senior executives, and investors would have preferred that the bank maintained its reputation as a company with a culture of integrity.

Developing, Implementing & Managing an Ethical Corporate Culture

The development of an ethical corporate culture to guide decision making depends on the identification, sharing, fostering, and commitment to appropriate corporate values that are to be incorporated into the corporation's decision making. Reliable, risk-controlled decisions, however, cannot be reliably achieved by simply leaving ethics solely to the judgment of individuals in a workforce of divergent experiences and backgrounds to work out by trial and error. Nor can it be achieved simply by sending a letter urging employees to be on their best behavior or by publishing a code of conduct. In order to ensure commitment to the ethical principles or values considered appropriate for the organization, it must be evident to the members of the organization that top management is fully supportive and that such support is evident throughout the organization's governance systems.

Experts in organizational behavior who have been studying organizational culture, such as Edgar Schein, believe that developing the right shared values in an organization and a commitment to them can lead to many benefits. He takes the view that the organization's culture is a cognitive framework, consisting of attitudes, values, behavioral norms, and expectations shared by organization members.[48] Wayne Reschke and Ray Aldag have brought together in a model (Refer to Figure 5.9) those elements generally thought to make up an organization's culture and the mechanisms available to reinforce that culture. They have identified aspects of individual, team, and organizational performance that might benefit from the appropriate development of that culture. Others have developed ways of assessing and profiling an organization's culture[49] in order to improve the culture, provide motivation toward a goal, or assess cultures of merging organizations and manage the change to a new, shared culture. Usually, the place to start assessments is with the organization's strategic core—its philosophy and mission, its vision, what it believes drives its value added, and how it treats its stakeholders. All of these elements and "reinforcers" of organizational culture will be increasingly more dependent on their ethical aspects, as will the resulting behavior. In order to ensure an effective understanding and ongoing commitment to the organization's ethical principles, many companies create an ethics program.

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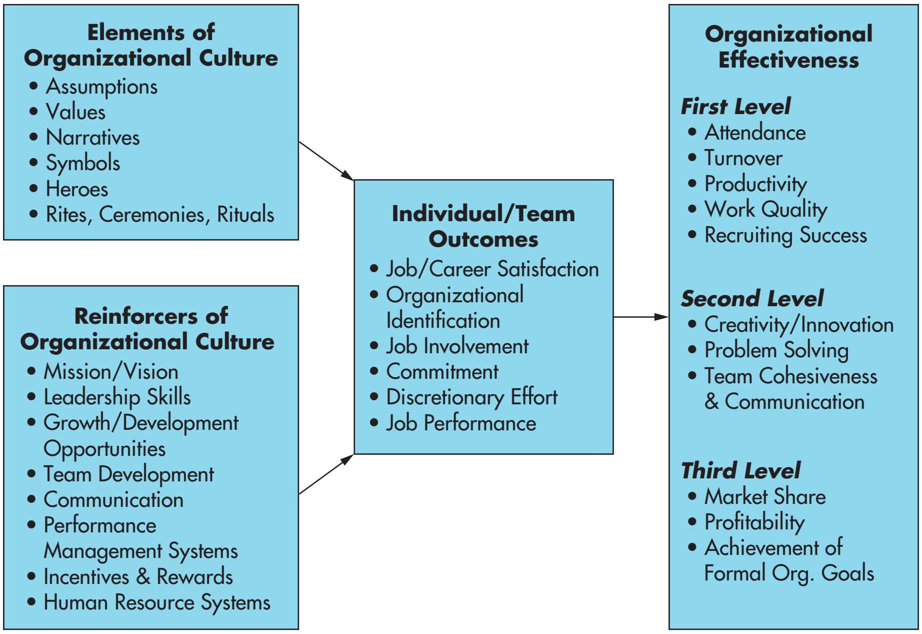
[46] Matt Egan, "Letter Warned Wells Fargo of 'Widespread' Fraud in 2007—Exclusive," CNN Money, October 18, 2016, http://money.cnn.com/2016/10/18/investing/wells-fargo-warned-fake-accounts-2007/index.html.

[47] Ron Carucci, "Early Lessons from Wells Fargo: Three Ways to Prevent Ethical Failure," September 13, 2016, http://www.forbes.com/sites/roncarucci/2016/09/13/early-lessons-from-wells-fargo-3-ways-to-prevent-ethical-failure/#a4318372d6a9.

[48] E. H. Schein, *Organizational Culture and Leadership* (San Francisco: Jossey-Bass, 1985).

[49] Refer to, for example, J. A. Chatman and K. A. Jehn, "Assessing the Relationship between Industry Characteristics and Organizational Culture: How Different Can You Be?," *Academy of Management Journal* 37 (1994): 522–33.

Figure 5.9 Organizational Culture, Individual/Team Outcomes & Organizational Effectiveness



Source: A Model of the Impact of Organizational Culture on Individual/Team Outcomes and Organizational Effectiveness, *The Business Case for Culture Change,* W. Reschke & R. Aldag, Center for Organizational Effectiveness, August 2000.

An extremely important aspect of an ethics program designed to ensure an effective understanding and commitment to the organization's ethical principles is the choice of program orientation. According to researchers, there are five orientations for the design and operation of ethics programs. These are described in Table 5.9.

The researchers went on to evaluate the effectiveness of the impact of these orientations on several dimensions by administering over 10,000 surveys to randomly selected

Table 5.9 Ethics Program Orientation Types

Orientation	Primary Focus
Compliance-based	Preventing, detecting, and punishing violations of the law
Integrity or Values-based	Defines organizational values and encourages employee commitment
Satisfaction of external stakeholders	Improvement of image with and relationships with external stakeholders (customers, the community, suppliers)
Protect top management from blame	Defensive "CYA," or cover yourself
Combinations of the above	Values- and compliance-based, for example

Source: Treviño, Weaver, Gibson and Toffler, 1999, 135–139; Paine, 1994, 111; Badaracco & Webb, 1995, 15.

employees in six large American companies from a variety of industries. The seven dimensions on which the impact was evaluated were the following:

1. Unethical/illegal behavior
2. Employee awareness of ethical issues that arise at work
3. Looking for ethics/compliance advice within the company
4. Delivering bad news to management
5. Ethics/compliance violations are reported in the organization
6. Better decision making in the company because of the ethics/compliance program
7. Employee commitment to the organization

According to their research, confirmed by consulting experience on the design of corporate ethics programs, *the most important factor in encouraging employee observance is that the employees perceive that the ethics program is values-based*. This produced significantly more positive outcomes on all seven dimensions. Compliance and external orientations also produced favorable outcomes on the seven dimensions but not as positive as for the values-based approach. The external orientation outcomes were less than the compliance-based approach. A purely defensive, CYA approach was considered "harmful," as it resulted in negative outcomes across all dimensions. It was suggested the combined approaches could be effective, such as if a values orientation were "backed up with accountability systems and discipline for violators" where "values can include concern for customers, suppliers, and the community as well as shareholders and internal stakeholders such as employees."[50]

The study also provides some useful insights into the important aspects of an ethical culture. These, which are noted in Table 5.10, can be particularly useful for a company that is assessing what it might do to institute a new ethics program or improve its current ethical culture. According to a study by Weaver, Treviño, and Cochran,[51] formal ethics programs usually include the dimensions listed in Table 5.11.

Table 5.10 Ethical Culture: Important Aspects

An ethical culture combines formal and informal elements to guide employee thought and action, including:

- Ethical leadership by executives and supervisors*
- Reward systems incorporate ethical considerations*
- Perceived fairness, fair treatment of employees*
- Open discussion of ethics in the organization*
- Authority structure that emphasizes an employee's accountability and responsibility to question his or her own actions, and an obligation to question authority when something seems wrong*
- Organizational focus that communicates care for employees and the community, rather than self-interest
- Official policies and procedures (code of ethics, practice, conduct)
- Supporting offices (e.g., Ethics officer, ombudsperson)
- Supporting structures (e.g., telephone hotline, whistleblower protection, code sign-off, training, etc.)

Note: *Most influential factors as found by Treviño et al. (1999).
Source: Treviño et al. (1999).

[50] L. K. Treviño, G. Weaver, D. G. Gibson, and B. L. Toffler, "Managing Ethics and Legal Compliance: What Works and What Hurts," *California Management Review* 41, no. 2 (1999): 139.
[51] G. Weaver, L. K. Treviño, and P. L. Cochran, "Corporate Ethics Programs as Control Systems: Influences of Executive Commitment and Environmental Factors," *Academy of Management Journal* 42, no. 1 (1999): 41–57.

Table 5.11 Ethical Programs' Usual Dimensions

1. Formal ethics codes
2. Ethics committees developing policies, evaluating actions, and investigating and adjudicating policy violations
3. Ethics communications systems
4. Ethics officers or ombudspersons coordinating policies, providing education, or investigating allegations
5. Ethics training programs to raise awareness and help employees respond to ethical problems
6. Disciplinary processes for unethical behavior

SOX and related changes in governance guidelines from stock exchanges and other sources have resulted in the expectation that respectable corporations will have at least the basic elements of an ethics program. More recently, the emphasis has shifted to making ethics programs effective, and to focusing on their role as ethics and compliance programs.

There is strong evidence that organizations that have created an ethical corporate culture to guide their employees have seen a very strong impact. KPMG Forensic Advisory undertook an *Integrity Survey* in 2019 about the impact of a comprehensive ethics and compliance program of U.S. companies with the elements identified in Table 5.12 and discovered that there *was an increase in employee perceptions and desired behaviors of at least 36%* as shown in Table 5.13.

The 36%–52% levels of improvements in Table 5.13 show just how important the existence of a comprehensive ethics and compliance program can be. Clearly, the improvement of perceptions, beliefs, and actions in support of ethical actions and the discovery and reporting of unethical actions is so striking that it is apparent that *the existence of a comprehensive ethics program improves desired perceptions and potentially the desired related behaviors on all dimensions.*[52]

Once an ethics program is established, the next step is to make it as effective as possible. In a general sense, higher effectiveness results from the comprehensiveness with which a program sets the corporation's culture and employs the reinforcers of culture that are identified in Figure 5.8. A study of *Fortune 500* companies[53] finds that the degree to

Table 5.12 Ethics & Compliance Program Elements

1. Has a code of conduct that articulates the values and standards of the organization
2. Has a senior-level ethics or compliance officer
3. Conducts background investigations on prospective employees
4. Conducts background checks/due diligence on third parties
5. Provides communication and training to employees on its code of conduct
6. Audits and monitors employee compliance with its code of conduct
7. Has confidential, anonymous hotline that employees can use to report misconduct or ask advice
8. Has policies to hold employees and managers accountable for code of conduct violations
9. Provides incentives for employees to uphold the code of conduct of the organization
10. Has policies to investigate and take corrective action if misconduct is alleged

Source: KPMG Integrity Survey 2019, p. 16.

[52] It should be noted that the earlier KPMG Forensic Integrity Surveys in 2013, 2009, and 2005 also provide interesting information on the prevalence and nature of misconduct and on understanding how organizations are preventing, detecting, and responding to misconduct, making them a most valuable benchmark source.
[53] Weaver et al., "Corporate Ethics Programs as Control Systems."

Table 5.13 Value of a Comprehensive Ethics & Compliance Program

Perceptions of More than 2300 employees from U.S. Companies	Impact with a comprehensive compliance program	Impact without a comprehensive compliance program	Increase in Impact
Beliefs	%	%	%
Appropriate action would be taken	93	49	44
They would be protected from retaliation	87	51	36
They would be satisfied with the outcome	81	45	36
They would be doing the right thing	96	57	39
Would free comfortable reporting misconducts to a supervisor	93	57	36
CEO & other senior executives			
Know what type of behavior goes on in the organization	85	44	41
Set the right "tone at the top" for ethics & integrity	92	40	52
Resulting conclusions			
Feel motivated & empowered to "do the right thing"	87	41	46
Feel comfortable raising & addressing ethics concerns	85	37	48
Apply the right values to their decisions & behaviors	86	41	45
Share a high commitment to integrity	87	41	46
The opportunity to engage in misconduct is minimal	83	43	40
The ability to conceal misconduct is minimal	82	39	43
The willingness to tolerate misconduct is minimal	85	42	43
Adequate checks are carried out to detect misconduct	86	39	47

Source: KPMG Integrity Survey 2019, p. 17, 18.

which a values or compliance orientation characterizes an ethics program's mode of control can be seen in the program's emphasis on encouraging shared values, supporting employee aspirations, communicating values, and building trust and confidence. They conclude that the dominant influence of the U.S. Sentencing Guidelines has been to orient top management commitment and corporate ethics programs toward compliance rather than integrity or values. This orientation will not provide the best adherence to desired ethics values.[54] Over time, it is hoped that top management will learn that a values orientation that involves encouraging shared values, supporting employee aspirations, communicating values, and building trust and confidence will produce significant benefits and that ethics programs will move in that direction.

It is also worth noting that current research suggests that the values-oriented ethics program can have other benefits in addition to those described above or noted in Table 5.13. In particular, *building trust within an organization* can have favorable impacts on employees' willingness to share information and ideas, thereby enhancing the innovation quotient of the enterprise and its ability to adapt and take advantage of its opportunities. This process is called *ethical renewal*. Properly cultivated trust can also

[54] Treviño et al., "Managing Ethics and Legal Compliance."

create a commitment to organizational goals and enhance productivity, all of which will raise the ability of the enterprise to profit and compete. This can all be fostered with appropriate attention in the design of the code of conduct.[55]

In the development of ethical cultures, most companies have embraced the concept of written ethical guidance, but they have fallen far short of embracing many of the supportive mechanisms that are important to the development and maintenance of a healthy ethical culture. Among the omissions of most concern are lack of strong CEO involvement, lack of training, failure to renew employee commitment to the code annually, and lack of communications and meetings dealing with ethics. From other sources, we find concerns raised about the lack of formal program follow-through; failure to create a credible investigation follow-up and sanction process; employing "quick fix" approaches rather than building a long-term solution; training by people who do not have a commitment to live with the result (i.e., top management should be more committed and prominent); and telephone answering by distant outsiders, which makes callers have difficulty believing that the company cares and is taking their calls seriously.[56] In addition, ironically, when the current evidence is compared to what ethical cultures could be as control systems, they were found to be suboptimal.

The discussion to this point has provided an understanding of why organizations—be they corporations, not-for-profit organizations, or professional firms—should develop an ethical culture, what shape that culture should take, and why. Table 5.14 puts these ideas together in an orderly sequence, with additional ideas found in later chapters that a manager, ethics officer, or professional accountant can use to develop and maintain an ethical corporate culture. Information obtained from the Ethics Officer Association and the Center for Business Ethics at Bentley College would be helpful in keeping abreast of current developments.

The Ethics Officer Association conducts a periodic Global Business Ethics Survey (GBES) of workplace conduct from the employee's perspective that provides an update on the state of ethics and compliance in the workplace.[57] Based on the 2023 GBES surveys from 75,495 employees in 42 countries, the following key findings were reported, which suggest that companies should give much more effort to increasing the efficacy of their ethical corporate cultures:

1. *Employees continue to face exceptionally high levels of pressure to compromise workplace standards or the law*. 28% of employees reported pressure to compromise standards, and 84% of those observed misconduct.
2. *Workplace misconduct is at an all-time high*. Almost two-thirds of employees (a global median of 65% and 53% of U.S. employees) said that within the last 12 months, they observed at least one act that they deemed to be a violation of their organization's standards or the law.
3. *Globally, reporting of observed misconduct is at a record high*. The most promising result in this GBES update is that 72% of employees who observed misconduct reported their observation.

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[55] L. J. Brooks, "Codes of Conduct: Trust, Innovation, Commitment and Productivity: A Strategic-Cultural Perspective," *Global Outlook: An International Journal of Business, Economics, and Social Policy* 12, no. 2 (2000): 1–11.
[56] Treviño et al., "Managing Ethics and Legal Compliance."
[57] The Global Business Ethics Survey, Ethics Officer Association, 2023, downloadable from https://www.ethics.org/gbes-2023/.

Table 5.14 Development & Maintenance of an Ethical Corporate Culture

Step	Purpose
Assign responsibility:	Successful initiatives usually involve:
Board Chair or CEO	• top-level accountability and adequate *budget*
Ethics officer	• champions, arbiters
Ethics committee	• monitoring, feedback, advice, and cheerleading
Ethics Audit	To understand the organization's ethical practices, and its network of stakeholders and interests
Ethics risk assessment	To identify important ethics problems that could arise (Ch 6)
Top management support	Absolutely vital to successful adherence
Develop consensus on key ethical values	Necessary to frame policies and procedures
Develop code of conduct, ethical decision-making criteria, and protocols incl. sniff tests	Provide guidance for employees and all other stakeholders
Develop ethics program:	To successfully present and provide supporting mechanisms for the guidance process
Leaders' involvement	
Launch	
Training	
Reinforcement policies:	
Compliance Sign-off	
Measurements of performance	
Include in strategic objectives and managers' objectives	
Include in monitoring and reward structures	
Communications programs	
Exemplar award system	
Ethics inquiry service	Information, investigation, and whistle-blower protection
Crisis management	To ensure that ethics are part of survival reactions
Establish a review mechanism	

4. *Retaliation against employees who report misconduct continues to occur at unacceptable rates*. Almost half of employees globally (46%) indicated that they experienced retribution for reporting observed misconduct.
5. *Few employees say they work in a strong ethical culture*. An alarming 87% of employees indicated that their workplace does not have a strong ethical culture.
6. *Businesses are not taking the steps that are proven to significantly reduce their risk*. Only 30% of employees surveyed worldwide indicated that their organization had taken even the most basic elements of an ethics and compliance program. However, organizations having a strong ethics and compliance program were 467% more likely to demonstrate a positive impact on organizations with weak-leaning cultures in terms of employees recognizing and adhering to organizational values, feeling prepared to handle key risks, reporting suspected wrongdoing, and reducing levels of misconduct overall.[58]

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[58] Ibid.

The 2023 GBES Survey for the United States[59] tells a similar but not identical story. In a nutshell, based on 2,845 U.S.-based employees, the percentage of employees working in a strong-leaning ethical culture has declined since 2020. Specifically, there is some good news, including:

- In 2023, fewer employees felt pressure to compromise ethical standards as compared with 2020 survey results (17% compared with 23%), and fewer employees observed misconduct (46% compared with 50%) or perceived retaliation after reporting (49% compared with 66%).
- A strong ethical culture continues to be a critical factor in reducing both pressures to compromise standards (74% reduction) and observed misconduct (80% reduction).
- A strong ethical culture is complemented by a comprehensive and effective ethics and compliance (E&C) program, reinforcing messaging and supporting and encouraging ethical behaviors and the reporting of misconduct when observed (a 172% greater likelihood of reporting).
- Remote employees are more likely to perceive a strong ethical culture as compared with on-site and on-the-road employees, which means that remote working does not seem to have had a deleterious impact on culture strength.

However, the bad news is:

- Contrary to the improvements noted above, the percentage of employees who indicate that they are working in a strong-leaning ethical culture has reduced from 45% in 2020 to 40% in 2023. The percentage who have reported observed misconduct has also decreased, from 71% in 2020 to 64% in 2023.
- Location matters. Where one works—remote, on-site, or on the road—can impact the sense of a culture of integrity and ethics outcomes.
    - There are overall more positive ethics outcomes for remote and on-site workers than for employees on the road.
    - On-the-road employees are more likely to feel pressure to compromise standards compared with remote and on-site employees (32% compared with 10% and 17%, respectively) and experience retaliation after reporting observed misconduct (74% compared with 42% and 46%, respectively).[60]

Given the global survey findings, the 2023 GBES makes the following recommendations:

1. *Put in place a High-Quality Ethics & Compliance Program.* A free resource is offered entitled: *Principles and Practices of High-Quality Ethics & Compliance Programs.*[61]
2. *Focus on managers in an effort to reduce undue pressure.*
3. *Regularly remind employees of the resources that are available to receive reports of suspected misconduct.*
4. *Implement a retaliation prevention program.*
5. *Encourage top managers and supervisors to engage in behaviors that build a strong ethical culture.*

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[59] Ethics & Compliance Initiative. (2024). United States Trends: ECI's Global Business Ethics Survey®. Retrieved from https://www.ethics.org/wp-content/uploads/ECI-GBES-US-Trends-2024.pdf.
[60] Ibid.
[61] *Blue Ribbon Panel: Principles and Practices of High-quality Ethics & Compliance Programs* is offered to Ethics Officer Association members at https://www.ethics.org/document/blue-ribbon-panel-principles-and-practices-of-high-quality-ethics-compliance-programs/.

6. *Hold employees at all levels accountable to your organization's values and standards.*
7. *Assess your organization's ethics & compliance program, culture, and impact.* Benchmark your E&C program practices against peer organizations, and compare levels of pressure, misconduct, reporting, and retaliation against normative data. Use assessment information to guide your organization in allocating resources to the programs and practices that reduce risk of wrongdoing and build a strong ethical culture.

It is evident that organizations wishing to best guide their employees to behavior that will generate the trust and respect of stakeholders need to develop and maintain a strong ethical culture. The next section will discuss how to do that and where help in doing so may be found. It should be noted that the design and introduction of an ethics program is well within the capacity of professional accountants because of their exposure to the nature, purpose, and workings of internal control systems that are essential underpinnings to credible financial statements and reporting. Professional accounting bodies have developed pronouncements and guidelines related to ethics programs and antifraud programs, such as the AICPA's Statement on Auditing Standards, No. 99,[62] which contains material on management antifraud programs and controls. The large professional accounting bodies and many consulting firms have developed ethics and integrity services and forensic or governance services that may be accessed at **www.cengage.com**.

Corporate Codes of Conduct

Purpose, Focus & Orientation According to The Conference Board:

> The foundation of most corporate ethics programs is the company code or business conduct statement. Company business ethics principles statements stress two objectives: (1) improving employee capability for making decisions that are in accord with policy and legal requirements; and (2) giving concrete expression to the company's sense of mission and its view of the duties and responsibilities that corporate citizenship entails.[63]

An effective code is the embodiment of an organization's values. It represents the major organizational structure in which to implement ethical policy[64] and to signal, communicate, and guide behavioral expectations and culture, as well as to provide strategic and legal positioning for the organization. It is an essential part of a modern system of internal control. Unless employees are told in writing how they are expected to behave, managers, executives, and directors are vulnerable to charges that they failed to provide adequate guidance to their workers. If so, the company and its officers and directors can be fined heavily, and, in some jurisdictions, the officers and directors can go to jail. More important, it has been suggested that the fines and court costs involved in ethical dilemmas are usually smaller than the lost future profit margin because of the disenchantment of customers. Whistleblowing outside the corporation may also be prevented by effective ethical codes because they can help to create an ethical culture in which employees believe doing what is right is expected and bringing forward concerns over unethical behavior will not result in ethical martyrdom.

Codes can be drafted to fulfill different rationales and to provide different depths of coverage. Table 5.15 describes four common levels of coverage.

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[62] The AICPA's SAS 99 is downloadable from the AICPA website at http://www.aicpa.org.

[63] *Global Corporate Ethics Practices: A Developing Consensus* (New York: The Conference Board, 1999), 16.

[64] Refer to, for example, Patrick E. Murphy, "Creating Ethical Corporate Structures," *Sloan Management Review*, Winter 1989, 81–87.

Table 5.15 Depths of Code Coverage

Credo	Inspirational short statement on key values
Code of Ethics	Deals with ethics principles (short document)
Code of Conduct	Deals with principles plus additional examples, etc.
Code of Practice	Detailed rules of practice

The rationales[65] for developing codes that were discovered by The Conference Board's survey were the following:

1. ***Instrumental***—to make employees aware that "employee adherence to the company's ethical principles is critical to bottom-line success"
2. ***Compliance***—to provide a "statement of do's and don'ts to govern employee conduct"
3. ***Stakeholder Commitment***—to offer a discussion of what is expected behavior in stakeholder relationships
4. ***Values/Mission***—to establish "certain ethics principles, modes of behavior, and habits of mind as essential to what it means to be an employee or representative of the company" (refer to Johnson & Johnson's famous Credo in the inset box below, which was credited with facilitating the first Tylenol product recall; refer to also the vignette in Chapter 2 titled *Johnson & Johnson's Worldwide Recall of Tylenol: Virtue Ethics*)
5. None or a composite of the above

Johnson & Johnson Credo

We believe our first responsibility is to the doctors, nurses, and patients, to mothers and all others who use our products and services. In meeting their needs everything we do must be of high quality. We must constantly strive to reduce our costs in order to maintain reasonable prices. Customers' orders must be serviced promptly and accurately. Our suppliers and distributors must have an opportunity to make a fair profit.

We are responsible to our employees, the men and women who work with us throughout the world. Everyone must be considered as an individual. We must respect their dignity and recognize their merit. They must have a sense of security in their jobs. Compensation must be fair and adequate and working conditions clean, orderly, and safe. Employees must feel free to make suggestions and complaints. There must be equal opportunity for employment, development, and advancement for those qualified. We must provide competent management, and their actions must be just and ethical.

We are responsible to the communities in which we live and work and to the world community as well. We must be good citizens—support good works and charities and bear our fair share of taxes. We must encourage civic improvements and better health and education. We must maintain in good order the property we are privileged to use, protecting the environment and natural resources.

Our final responsibility is to our stockholders. Business must make a sound profit. We must experiment with new ideas. Research must be carried on, innovative programs developed and mistakes paid for. New equipment must be purchased, new facilities provided, and new products launched. Reserves must be created to provide for adverse times. When we operate according to these principles, the stockholders should realize a fair return.

[65] Ibid., 24–27.

Corporate codes of conduct should encourage employees' behavior at the higher levels of Kohlberg's stages of moral development.[66] Kohlberg argues that people develop and move through six stages in their moral maturity. At the first stage, people are ethical because they fear being punished if they are not; small children are normally at this stage. At the next stage, individuals are ethical because they realize that it is in their best interest to be so; an example would be children playing with one another's toys. In the third stage, people acknowledge that ethical behavior is what others expect; people are ethical because of peer pressure. The fourth stage is where individuals accept obedience to moral and ethical laws. In the fifth stage, individuals develop a concern for the social welfare of society, and at the final stage, individuals develop a principled conscience, adhering to moral and social codes because they are the moral principles that guide society. Each stage has a broader perspective than the one before regarding the role, duties, and obligations of the individual in society. Although few individuals may achieve the sixth stage, organizational structures should be established to encourage and facilitate individuals moving to higher levels of moral reasoning. Corporate codes of conduct can help.[67]

Researchers find that a corporate code that adopts an integrity or values orientation will be more effective in engendering adherence to desired ethical standards than other alternatives.[68] The most successful will be a code that is a combination that focuses on the important values that the corporation wants to apply in its stakeholder relationships but where this is reinforced by sanctions inherent in the compliance approach. Such a composite orientation code would encourage shared values, support employee aspirations, communicate values, and build trust and confidence while indicating that processes were in place to monitor and judge ethical performance. In this form, the composite orientation code would provide motivation to employees on all of Kohlberg's six stages of moral reasoning.

The form and nature in which guidance is given and action expected can also limit or foster optimal motivation for moral reasoning. Four alternatives are possible due to the nature of the guidance provided. The alternative chosen will provide a signal to employees about the way the organization thinks about its control structure, ranging from an autocratic, imposed control structure on one end of the spectrum to self-imposed control on the other end. Table 5.16 identifies the four alternatives and the nature of control they signal.

An autocratic management style is less effective than a democratic or participative approach. Consequently, it is likely that using only imposed control techniques could

Table 5.16 Code Guidance Alternatives & the Control/Motivation Signaled

Guidance Provided	Control/Motivation Signaled
Obey these rules	Imposed Control
Seek advice before acting	↕
Act on your best judgment, but disclose what you have done	
Guiding principles which indicate "this is what we are and what we stand for"	Self-control

Source: Clarkson & Deck, 1992, Clarkson, Deck & Leblanc (1997).

[66] L. Kohlberg, *Essays on Moral Development. Volume 1: The Philosophy of Moral Development*. (San Francisco: Harper & Row, 1981), and *Essays on Moral Development. Volume II: The Psychology of Moral Development* (San Francisco: Harper & Row, 1984).
[67] Kohlberg's six stages of moral development are more fully discussed in Chapter 6.
[68] Refer to Treviño et al., "Managing Ethics and Legal Compliance," and Weaver et al., "Corporate Ethics Programs as Control Systems."

be similarly suboptimal.[69] Maslow argued that autocratic management techniques involved influence attempts directed at the lower level of his hierarchy of human needs (physiological and safety), whereas a democratic or participative approach was directed at higher-level needs (affiliation, esteem, and self-actualization) and therefore was more likely to provide a sustainable and more engaging level of motivation.[70] Because of the growth of employee empowerment, a code that employs only imposed control is likely to be less effective than one that encourages self-control. A code that successfully encourages self-control would appeal to individuals on all of Kohlberg's six stages of moral reasoning, whereas the imposed control code would motivate individuals only on the lower four stages. In keeping with the reasoning in favor of a composite-oriented, values-based, and compliance-based code, consulting experience has shown that the most successful codes encourage self-control or empowerment, with absolute rules being introduced where necessary. These codes usually provide a set of principles with explanations or rationales being given for each. These principles and their rationales are to be used by employees to reason how to deal with the decisions they face or to determine whom to contact if they need counsel.

Code Content & Scope Numerous readings are available that outline the topics that are covered in different codes.[71] Examples of different codes are available on the websites of major corporations.

The choice of orientation of the code and its topics depends somewhat on the scope of the code. Is the code intended to provide guidance to the company's own employees, its suppliers and vendors, and/or its joint venture partners? Geographic locale, union contracts, legal restrictions, competitive practices, and the degree of ownership and/or partner support inherent in the scope decision are critical to the orientation and choice of topics to be included. If a company cannot be comfortable with the guidance to be given, then it should consider whether the arrangement is too high a risk to be undertaken. For example, to do business in a repressive regime that does not respect human rights or with a partner that does not do so should give rise to consideration of noninvolvement.

In the late 1990s, Nike found that its suppliers used sweatshops and child labor, producing low-cost products; this triggered boycotts and necessitated the development of monitoring and reporting mechanisms. Since those early conflicts, stakeholder activists have been far more aggressive in making companies accountable for the actions of suppliers and joint ventures. Four organizations have led the development of supplier/workplace standards and codes of conduct—Social Accountability International (SAI) and the Fair Labor Association, Maquila Solidarity, and the International Labor Office. SAI has developed the SA 8000, which is a standard designed to improve working conditions globally, and is engaged in the training of auditors for the certification of companies adhering to SA 8000. It is modeled after the ISO standards.

Table 5.17 presents a representative list of topics a company might consider including in its codes for its own employees, suppliers, and joint ventures.

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[69] D. McGregor, *The Human Side of Enterprise* (New York: McGraw-Hill, 1960).

[70] A. Maslow, *Motivation and Personality* (New York: Harper and Brothers, 1954).

[71] Clarkson and Deck (1992); White and Montgomery (1980); Mathews (1987); Berenbeim (1987); Brooks (1989); Institute of Chartered Accountants in England and Wales, "Developing and Implementing Organisational Codes of Conduct: An Overview of Implementing and Developing Codes of Conduct," http://www.icaew.com/en/technical/ethics/practice-business-ethics/practice/developing-and-implementing-organisational-codes-of-conduct; International Federation of Accountants, 2007, "Defining and Developing an Effective Code of Conduct for Organizations," 2007, http://www.ifac.org/sites/default/files/publications/files/Defining-and-Developing-an-Effective-Code-of-Conduct-for-Orgs_0.pdf. The last two were accessed August 30, 2013.

Table 5.17 Subjects Found in Codes

Subjects Found in Codes
Purpose of the code
Company vision, mission, key values & policies
Respect for stakeholder rights, duties owed to stakeholders
Values—honesty, fairness, compassion, integrity, predictability, responsibility
Respect for laws, protecting the environment, benefiting society, human rights
Framework for decision making including stakeholder interests
Reporting breaches, why, to whom, what expectations for investigations & protection
When to seek counsel & from whom
Specific topic areas—see ECI source for specific topics within each area
Compliance, integrity & anticorruption, incl. bribery, improper payments or influences
Conflicts of interest—gift giving & receiving
Privacy & security—personal & proprietary information
Employment practices—discrimination, fairness, bias, sexual harassment, safety,
Environmental issues—sustainability
Ethics & compliance resources
Internet, social networking and social media
Relationships with third parties

Sources: The Conference Board Research Report, Global Corporate Ethics Practices, 1999, 29; Ethics & Compliance Initiative (ECI) Common Code Provisions, https://www.ethics.org/resources/free-toolkit/code-provisions/.

Each company should undertake a review of its code when issues and risks emerge that require adjustment of the coverage. For example, codes have been modified in reaction to the external shocks identified in Table 5.18.

Many codes still need to be modified to encompass the following:

- Antibribery statutes enacted as early as 1999 by about 35 countries in the OECD who have responded to the call of Transparency International for standards that will outlaw bribery of foreign officials and allow cross-border investigation and litigation by competitors (refer to **www.cengage.com**). In addition, guidance should cover the 2010 global application of the U.S. *Foreign Corrupt Practices Act* (refer to the Daimler Settles U.S. Bribery Case for $185 million in Chapter 5) and the broader U.K. *Bribery Act (2010)*, which are discussed in Chapter 7.
- Adherence to company principles by suppliers, particularly in foreign operations with respect to child labor, fair wages, no forced labor, and so on.
- Integrity or values orientation.
- Self-control instead of only imposed control.
- Security of information.
- Environmental management and performance.
- Sustainability objectives and management.
- Governance principles—clarification of accountability to the board of directors and stakeholders, transparency, and risk management for regular and ethics risks.
- Ethicality of objectives and competitive practices.

These modifications will also be guided by the application of measures of the effectiveness of codes. Codes can be scored or reviewed for comprehensiveness of coverage and

Table 5.18 External Shocks & Influences Triggering Code Modification

Anti-bribery legislation—U.S. Foreign Corrupt Practices Act of 1977
- This Act provided an early motivation for codes

U.S. Sentencing Guidelines of 1991
- Brought provision for "Due Diligence" defense

Environmental responsibility:
- Acid rain, air pollution, ozone depletion—(U.N. Brundtland Commission Report of 1987)
- New Environmental Protection statutes
- Exxon Valdez oil tanker spill triggers Valdez (now CERES) Principles
- Global warming, climate change, sustainability concerns

Fair treatment for:
- Employees:
  - Feminism: sexual harassment, equal opportunity for pay and promotion
  - Minorities: discrimination
  - Health, safety and well-being
  - Supplier employees—no sweat shop or child labor
  - Drug problems—privacy vs. safety
  - Whistle-blowers*
- Customers—buyer beware slowly becomes seller beware
  - Health & safety concerns—auto recalls (see Ford, Firestone case)
  - Ethical consumerism, quality
- Shareholders:
  - Misuse of inside information
  - Conflict of interests
  - Mandate and operations are ethical—Enron's banks engage in transactions without economic substance designed to mislead

* See GE case described in reading by Andrew Singer in Chapter 1.

for the nature of control signaled. Other measures have been identified, such as surveys of employee awareness and understanding of key aspects covered in the code and in training programs, and their ability to apply these to the ethical dilemmas has been proposed.

Benchmarking of codes is done by many consultants. Company employees can also do so by comparing their code against the subjects that information services report on or that are included in the Global Reporting Initiative (GRI) discussed in Chapter 7.

Helpful advice on the preparation of codes can be obtained from several organizations, including the following:

- Ethics & Compliance Initiative (ECI): https://www.ethics.org/resources/free-toolkit/code-of-conduct
- Institute of Business Ethics: http://www.ibe.org.uk

Effective Implementation Because a code of conduct is critical to organizational success for several reasons, it is important to ensure that a code is both effectively drafted *and implemented*. A properly functioning code is essential to the following:

- The development and maintenance of an ethical corporate culture—a culture of integrity.
- An effective internal control system.

- A "due diligence defense" for directors and officers.
- Effective empowerment for employees to make ethical decisions.
- Sending proper signals to external stakeholders.

In order to avoid implementation problems, the following issues should be kept in mind. *Top management must endorse and support the code* and be seen to act in accordance with it, or it will be given only lip service by management and workers. It is critical that management "walk the talk," or the entire program will be a waste of time and money.

The orientation, tone, and content of the code must be such that *general principles are favored instead of only specific rules*, or else employees will find the code oppressive and hard to interpret, and *background reasons must be given* to permit understanding sufficient for useful interpretation when specifics are not available. Experience has shown that codes designed as extensive rulebooks are rarely useful because they are too difficult to consult. If the underlying reason for a specific pattern of behavior is given, employees find it easier to understand and they buy in rather than fight the code or dismiss it. Getting the buy-in is essential.

Guidance should be provided for trade-offs between short-term profit and social objectives. If employees believe profit is to be earned at all costs, then unethical behavior based on short-term thinking can get the company into trouble.

A complete "due diligence" defense should be in place for environmental matters, including the items noted in Table 5.19.

Employees should be empowered to make ethical decisions. This should involve setting up *decision protocols* that will require employees to use and be able to defend their decisions against a set of criteria or questions that are outlined further in Chapter 6. Part of the decision process should involve the use of *sniff tests*—quick, simple questions that will alert the decision maker when to undertake an in-depth ethical analysis or to seek counsel. When in doubt over the proper conduct, *employees should be encouraged to seek counsel*. Rather than have them act inappropriately or waste time needlessly, a company should encourage employees to consult their superior or an ethics officer or use a hotline.

Table 5.19 **Essential Features to Demonstrate a Due Diligence Defense in Respect of Environmental Matters**

1. A written environmental policy, made known to appropriate employees
2. Operating practices which guard against environmental malfeasance, including contingency plans to cover mishaps to ensure full-scale, timely clean-up
3. Employees briefed on their duties and responsibilities under the policy, as well as their potential personal liability, and the liability of others
4. Employees informed of legal requirements, including notice to government complete with a contact list
5. A person who is primarily responsible for environmental matters and monitoring compliance
6. Consideration of an environmental audit or consultation with an expert to start the protection process and monitor progress
7. Monitor pollution control systems and report mishaps on a timely basis
8. Regularly review reports on compliance, potential problems, environmental charges, conviction, and employee training
9. Management that keeps abreast of new legislation, makes an internal review of compliance and advises directors of the results, and allocates a real and satisfactory budget to achieve these features

A *fair and confidential hearing process should be ensured*, or whistleblowers will not come forward. They do not want to risk paying the price for snitching, even though it is in the best interests of the company. Nor do they want a person accused to be dealt with in a cavalier way—they want a speedy, fair hearing process with protection for both parties. *Whistleblowing should be legitimized, de-stigmatized and encouraged, and whistleblowers who come forward should be protected.*

Someone should be charged with the *ongoing responsibility for updating the code* so that issues can be referred *as they come up*. Otherwise, many issues will be lost in the pressures of day-to-day activity or because people will not know where to send their suggestions.

The code should be formally reviewed every three years, or more frequently if the strategy and/or operations change, or new significant stakeholders or stakeholder concerns, or regulations surface.

Distribution of the code should be to all employees so that no one will be able to claim that they were not told how to behave. It is surprising that some companies believe their line workers do not have responsibility for environmental acts or for actions toward fellow workers, and so on. Not only do excellent suggestions come from the plant, but bad actions are also noticed, and support for the company's general activities is enhanced by bringing these employees into the distribution, in addition to management personnel.

Training in support of the code is essential. This training should focus on the awareness of issues, interpretation of the code in accordance with top management wishes, approaches to ethical analysis to enable decisions beyond the code, realistic cases for discussion, and legitimizing the discussion of ethical issues and whistleblowing. Codes are written by committees who spend long hours over each paragraph, so how is each employee supposed to know all the thought that went into its construction simply by quickly reading the passage? Training is essential to help understand what is meant and how the code applies to new problems.

Reinforcement of and compliance with the code should be furthered by mechanisms of encouragement, monitoring, and facilitation of the reporting of wrongdoing. These issues should not be left to chance; otherwise, the organization might miss an opportunity to head off a disaster or to accomplish an ethical performance objective. These methods are summarized in Table 5.20.

Table 5.20 Mechanisms for Compliance Encouragement, Monitoring & Reporting Wrongdoing

Compliance encouragement
Awards, bonuses
Inclusion in performance reviews, remuneration decisions, and promotion
Reprimands, suspension, demotion, fines, dismissal
Monitoring
Ethics audit or internal audit procedures
Reviews by legal department, and external experts
Annual sign-off by all or some employees
Employee surveys
Facilitation of reporting of wrongdoing
Assurance of a fair hearing process
Protection: absolute confidentiality, whistle-blower protection plan
Counselling/information: ombudsperson program, hotline, human resources
Committee oversight assured: ethics committee of board, Audit Committee

Reinforcement of the code should be undertaken through measurement of the code's effectiveness, reporting of ethical performance for management purposes, featuring ethical performance in company publications, and ensuring that other company policies are supportive, including a linkage with the remuneration systems. If you cannot measure performance (techniques are discussed in Chapters 4, 6, and 7), it is very hard to manage it. Reporting performance has the impact of producing scorecards that people are induced to improve for their next reports. Publicity of good results can have a salutary effect on subsequent performance as well, and including that performance in the corporation's reward systems will go a long way toward underscoring how important ethical issues are to top management.

The board of directors should, either directly or through its audit committee or another subcommittee, actively review and monitor whistleblower concerns on financial and non-financial matters and ethics program activities and feedback at least every quarter year. This will ensure that the board is aware of problems and can take appropriate action before the company's reputation, activities, or stakeholders are compromised.

Poor Corporate Governance—Steve Easterbrook at McDonald's

Steve Easterbrook became CEO of McDonald's in 2015. In November of 2019, he was fired for violating the company's policy concerning sexual relations with employees. He admitted to a nonphysical consensual relationship with an employee involving text and video calls. The company said that he demonstrated poor judgement but was not fired for cause allowing him to keep his severance package amounting to $42 million, primarily in the form of stock options.

In August 2020 the company sued Easterbrook to recover his exit package after new information came to light that he had affairs with other subordinates. The board of directors was upset that he had lied to them when he claimed there was only one relationship when there were at least three. Furthermore, he had awarded hundreds of thousands worth of stock to one of the women. He had also deleted sexually explicit photos and videos, including some of McDonald's employees, that he had sent from his company email account to his personal email account. The board said that had Easterbrook been honest, it would not have awarded him his multi-million exit package.

In December 2021, the company announced that it had settled the lawsuit and was clawing back the settlement package that was now worth $105 million because McDonald's stock had increased so dramatically since November 2019.

The episode raises some important governance issues. If Easterbrook had violated the company policy concerning consensual relationships with employees, why was he not fired for cause? The board's investigation of his behavior was very short. Why was it completed so quickly? Easterbrook deleted explicit emails and photos. Why was the company server not checked until the new information came to light?

Overall, boards must be vigilant and thorough in their investigations of ethical lapses by CEOs.

Source: Amelia Lucas, "McDonald's claws back $105 million from fired CEO Easterbrook, accused of hiding relationships from board," *CNBC*, December 16, 2021. https://www.cnbc.com/2021/12/16/mcdonalds-claws-back-105-million-severance-from-fired-ceo-easterbrook.html.

To have an effective corporate culture, not only do codes need constant upgrading under the watchful eye of an ethics officer, but constant attention must also be given to improving training programs, measures and reports of performance, compliance, whistleblowing mechanisms, and appropriate sanctions. In addition, it is essential to have a formal external and/or internal review of the corporation's culture, code, and other mechanisms on a periodic basis. This is often referred to as an *ethics audit*, and although it may be undertaken by the internal audit staff or a team of budding managers, such as in the Dow Corning case at the end of this chapter, an outside consulting service provides useful feedback.

Finally, it should be understood that it is unlikely that employees will see the merit of ethical behavior in regard to one area of the company's operations if they believe management wants or is prepared to tolerate questionable behavior in other areas. Whistleblowers will not come forward, for example, unless there is a feeling of trust that they and the parties they accuse will be dealt with fairly and confidentially. Consequently, the development of a broadly based ethical culture within the company is an essential precursor for an effective code of conduct and vice versa.

Helpful comprehensive references for the rationale for contents, development, and implementation of code of conduct may be found at the following websites:

- Ethics & Compliance Initiative (ECI): "Developing An Organizational Code of Conduct," refer to https://www.ethics.org/resources/free-toolkit/code-construction/
- International Federation of Accountants, 2007, "Defining and Developing an Effective Code of Conduct for Organizations": https://www.ifac.org/knowledge-gateway/professional-accountants-business-paib/publications/defining-and-developing-effective-code-conduct-organizations

Ethical Leadership

The values that underlay an ethical corporate culture or culture of integrity cannot be effectively shared, implemented, nurtured, and monitored without effective ethical leadership. Without the right "tone at the top," managers and employees will not subscribe to the organization's ethical values, believing instead that only short-term profit maximization matters.

Leaving employees to their own assumptions about a corporation's values is a very high-risk strategy for both the corporation and the personnel involved. Consequently, effective ethical leadership is becoming increasingly important to both corporations and executives, managers, and supervisors who wish to contribute successfully and enhance their careers. They need to understand what ethical leadership is, what it involves, and how to achieve it. It must also be understood that, although ethical leadership should come from all persons in leadership positions, an ethical corporate culture cannot be created or sustained without strong, visible ethical leadership from the CEO and the board chair.

Ethical leaders have definite, important responsibilities in regard to the development and maintenance of a corporation's ethical culture. However, there is an overarching role to be understood if their leadership is to be ethically effective. Essentially, *an ethical leader must embody the organization's vision and values and influence others to follow his or her lead.*[72] Functionally, an ethical leader must do the following:

- Ensure that the vision and values of the organization are ethically sound.
- Identify with and support them.
- Communicate them and display the leader's commitment to them.

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[72] R. Edward Freeman and Lisa Stewart, *Developing Ethical Leadership* (Business Roundtable Institute for Corporate Ethics, 2006), 3, http://www.corporate-ethics.org. Also, refer to insert box.

- Ensure that the organization's ethical culture (code, training, decision making, performance indicators, reward systems, and monitoring systems) supports its vision and values.
- Motivate other leaders and employees to adhere to them.
- Monitor and reward or penalize performance.

Spying Scandal at Credit Suisse: Ethical Leadership?

On October 1, 2019, Urs Rohner, the chair of the board of directors of Credit Suisse, held a hastily organized press conference. It concerned a James Bond–type spying operation that involved Tidjane Thiam, the bank's chief executive officer (CEO); Pierre-Olivier Bouée, its chief operating officer (COO); and Iqbal Khan, formerly in wealth management.

Khan and Thiam did not get along. Their homes, in an upscale neighborhood of Zurich, were adjacent to one another. At a cocktail party, there was an intense argument between them concerning trees that were blocking views of the lake. Because of their personal enmity, it was impossible for the two of them to work together. In July 2019, Khan quit Credit Suisse, the second-largest Swiss bank, and, in September, joined UBS, the largest Swiss bank.

Bouée thought that Khan might be trying to persuade Credit Swiss clients to move their accounts to UBS, so he hired private investigators to monitor Khan. There was no evidence that Khan was pilfering clients.

For two weeks, from September 4 to 17, detectives spied on Khan by tailing him in a car and following him on foot through the streets of Zurich. Eventually, Khan spotted and confronted one of the investigators, taking a photo of the car's license plate with his phone. He went to the Swiss police, who opened an investigation. On September 24, one of the security investigators hired by Bouée committed suicide.

At the October 1 press conference, Rohner said he was "greatly saddened" by Bouée's "extraordinary" decision to launch a spying operation. "This behavior we do not tolerate," he said. "It was wrong to order surveillance. . . . It's not, obviously, the standard way as to how we conduct business."[73] The board of directors called the decision to hire private detectives "wrong and disproportionate and has resulted in severe reputational damage to the bank."[74]

Bouée resigned and received no settlement. The head of security under Bouée also resigned. Despite the animosity between Thiam and Khan, the bank found no evidence that the CEO was aware that the COO initiated a spying operation. Thiam retained his job. At the news conference, Rohner offered his condolences to the family of the dead security investigator.

Hiring detectives because you are afraid that a former employee will steal clients is not a sign of ethical leadership. Boards of directors must be vigilant to prevent this act of hubris, revenge, and/or insecurity from happening to avoid potentially adverse consequences to the firm's reputation and to weaken its corporate culture in the minds of other employees.

Additional Reference

Neghaiwi, Brenna Hughes, and Michael Shields. "Credit Suisse Clears Its CEO in Spying Scandal That Rocked Swiss Banking." *Reuters*, October 1, 2009. https://www.reuters.com/article/us-credit-suisse-gp-khan/credit-suisse-clears-ceo-thiam-of-spying-on-star-banker-idUSKBN1WG2RT.

[73] Rupert Neate and Julia Kollewe, "Credit Suisse Chief Operating Officer Fired over Spying Scandal," *The Guardian*, October 1, 2019, https://www.theguardian.com/business/2019/oct/01/credit-suisse-spying-scandal-investigation.
[74] Ibid.

In order to best achieve these goals, a leader must be able to successfully influence other executives and supervisors as well as employees. Long-lasting influence is based on respect. Research has shown that effective ethical leaders are respected for their character: for their care for others and their interests; for principled, fair, and balanced decisions; and for practicing what they preach.[75]

Since their purpose is to influence ethical behavior, ethical leaders cannot develop the necessary respect unless they present an ethical role model to be emulated. This requires consideration of a leader's personality characteristics, motivation, interpersonal style, moral judgment, and moral utilization level.

Research has shown that the following personality characteristics can have a direct effect on effective ethical leadership:

- Agreeableness—Are they altruistic, trusting, kind, and cooperative?
- Openness—Are they imaginative, curious, artistic, and insightful?
- Extraversion—Are they active, assertive, energetic, and outgoing?
- Conscientiousness—Are they dependable, responsible, dutiful, and determined?
- Neuroticism—Are they anxious, hostile, impulsive, or stressed? They should not be.[76]

These characteristics, which can be summarized as *integrity*, *trustworthiness*, *honesty*, *sincerity*, and *forthrightness* or *candor*,[77] identify ethical values or character traits an ethical leader should possess in order to be considered non-hypocritical. They are key to building trust with other leaders and employees, which is essential to their willingness to become followers and supporters of the organization's vision and values. Trust is vital in overcoming the natural cynicism that pervades organizations and reinforces the belief that a corporation's purpose is to make a profit at any cost.

Organizational cynicism is also the reason why ethical leaders must visibly and audibly support their organization's ethical vision and values. If they stay silent, their silence will likely be interpreted to mean that they are supporters of the "profit at any cost" approach. If ethical leaders use guile, deceit, or opportunism in their interpersonal relations, followers are likely to view any message about an ethical vision and values as nonsense. To be most effective, an ethical leader's use of power should not be egotistically focused but should recognize and incorporate the interests of employees and show concern for them.

Another aspect of ethical leadership that engenders trust is the level of moral judgment[78] used. For example, if a leader wishes to convey an ethical message, it is more effective to appeal to followers based on ethical principles that are of value to everyone and positive social interaction rather than threats to their livelihood. Even if leaders think ethical thoughts, they must evidence this in their actions, such as by using fair practices, or their thoughts will not be correctly understood due to misperceived assumptions about how followers can best be developed and motivated and to organizational cynicism.

It is helpful to recognize, as has been pointed out by Linda Treviño[79] and her colleagues, that truly effective ethical leaders must be moral people as well as moral managers, or else their followers will come to recognize them as hypocrites when their true natures show.

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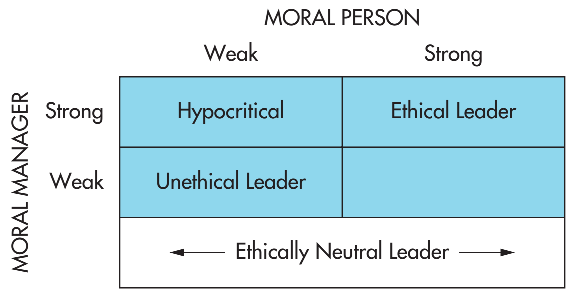
[75] Michael E. Brown and Linda K. Treviño, "Ethical Leadership: A Review and Future Directions," *The Leadership Quarterly* 17 (2006): 595–616.
[76] Ibid.
[77] Treviño et al., "Moral Person and Moral Manager."
[78] Lawrence Kohlberg's model of Moral Development identified six levels of what motivated moral reasoning, with the lowest level related to threats and the highest levels related to high moral principles. He and others have theorized and found that the higher the level of moral reasoning used, the more powerful the motivating potential. Refer to L. Kohlberg, *Essays on Moral Development*, vols. 1 and 2 (New York: Harper & Row, 1981, 1984).
[79] Ibid., 130.

Figure 5.10 **Executive Reputation & Ethical Leadership**



Source: "Moral Person and Moral Manager: How Executives Develop a Reputation for Ethical Leadership," L.K. Treviño et al, *California Management Review,* Vol. 42, No. 4, Summer 2000.

Treviño et al. proposed the two-dimensional schema shown in Figure 5.10 to represent where executives rank on each dimension and how each contributes to the reputation of the leader as an ethical leader.

The *character traits associated with ethical leadership (integrity, trustworthiness, honesty, sincerity, and forthrightness or candor)* are surprisingly similar to the dimensions in Fombrun's Reputation Model (Figure 1-3) that was developed in Chapter 1. Character traits form the basis for behaviors that exhibit the following:

- Doing the right thing
- Concern for people
- Being open and approachable for discussion of concerns
- Personal morality

Similarly, executive *decision making*, to be considered sound, should correspond by doing the following:

- Holding to desired values
- Being objective and fair
- Exhibiting concern for society
- Following reasonable ethical decision rules[80]

These traits, behaviors, and decision-making characteristics should be transparently evident, or else they may be misinterpreted, and the executive may not be viewed as a moral or ethical person.

Achievement of the reputation of a moral or ethical person does not, however, guarantee a reputation as a moral manager or leader—that depends on how well and extensively an executive promotes his or her support for the corporation's ethics and values agenda. Treviño[81] found that this could be done effectively through the following:

- Serving as a visible role model
- Communicating regularly and persuasively about ethical standards, principles, and values
- Using the rewards system to hold all employees accountable to ethical standards[82]

[80] Ibid., 131.
[81] L. K. Treviño, L. P. Hartman, and M. Brown, "Moral Person and Moral Manager: How Executives Develop a Reputation for Ethical Leadership," *California Management Review* 42, no. 4 (2000): 128–42.
[82] Ibid., 134.

As reflected in Figure 5.10, being an ethical leader requires strong performance as both a moral person and a moral manager. To attempt ethical leadership from a weak base as a moral person is highly risky, as the likelihood of being discovered to be a hypocrite is high. An unethical leader is low on both dimensions, and a person who does not practice overt ethical guidance will be regarded as an ethically neutral leader even if the individual is a highly moral or ethical person.

The key to ethical leadership is visible effective action stemming from an ethical base. This kind of leadership will greatly reinforce the corporation's ethics program and its attempts to develop and maintain an ethical corporate culture. Without strong ethical leadership from executives and supervisors, attempts to develop and maintain an ethical corporate culture are doomed to mediocrity and probably failure. In summary, if ethical leaders genuinely want followers to learn appropriate behavior and avoid counterproductive or unethical behavior, they must fully embody the intended vision and values and must not only believe in them but also communicate those beliefs in actions and exhortations. Only then can they provide the right "tone at the top."

Summary of a Very Helpful Publication: The Business Roundtable's View of Developing Ethical Leadership

According to Ed Freeman and Lisa Stewart,

Ethical leaders embody the purpose, vision, and values of the organization and of the constituents, within an understanding of ethical ideals. They connect the goals of the organization with those of the internal employees and external stakeholders.

Leaders see their constituents as not just followers, but rather as stakeholders striving to achieve that same common purpose, vision, and values. These follower and stakeholder constituents have their own individuality and autonomy which must be respected to maintain a moral community.

Leaders work to create an open, two-way conversation, thereby maintaining a charitable understanding of different views, values, and constituents' opinions. They are open to others' opinions and ideas because they know those ideas make the organization they are leading better.[83]

Freeman and Stewart suggest that ethical leaders should have the following characteristics:

1. Articulate and embody the purpose and values of the organization.
2. Focus on organizational success rather than on personal ego.
3. Find the best people and develop them.
4. Create a living conversation about ethics, values, and the creation of value for stakeholders.
5. Create mechanisms of dissent.
6. Take a charitable understanding of others' values.
7. Make tough calls while being imaginative.
8. Know the limits of the values[84] and ethical principles they live.
9. Frame actions in ethical terms.
10. Connect the basic value proposition to stakeholder support and societal legitimacy.[85]

[83] R. Edward Freeman and Lisa Stewart, *Developing Ethical Leadership* (Business Roundtable Institute for Corporate Ethics, 2006), 14, http://www.corporate-ethics.org.
[84] Values are rarely absolute, and their application needs to be tempered by judgment depending on circumstances.
[85] Freeman and Stewart, *Developing Ethical Leadership*, 3–7.

Corporate Psychopaths

Not everyone can be an ethical leader. Recently, observers[86] have begun to speculate that there is a set of businesspeople who are simply incapable of being ethical leaders and that it is extremely important that care be taken to identify such people and to ensure that they do not find their way into corporate leadership positions. The term *corporate psychopaths* has been created to capture the essence of people characterized as follows:

- "Lack a conscience, have few emotions, and display an inability to have feelings, sympathy or empathy for other people."[87]
- "Ruthlessly manipulate others, without, conscience, to further their own aims and objectives."[88]
- "Although they may look smooth, charming, sophisticated, and successful … should theoretically be almost wholly destructive to the organization they work for."[89]
- "Are callously disregarding of the needs and wishes of others, prepared to lie, bully and cheat and to disregard or cause harm to the welfare of others."[90]

Needless to say, corporate psychopaths are likely to be extremely destructive within an organization and cannot be effective role models in the development and maintenance of an ethical corporate culture. The repercussions of unethical leadership, exemplified by corporate psychopaths characterized by manipulative, self-serving behavior, can devastate organizational health. Such leaders typically create toxic work environments marked by low morale and high turnover. The Theranos scandal involving Elizabeth Holmes (refer to Chapter 2) demonstrates how unethical leadership involving deception and manipulation can lead to catastrophic organizational failure, significant employee distress, and lasting reputational damage. Similarly, Enron's collapse due to fraudulent leadership practices resulted in profound financial and emotional damage to thousands of employees, highlighting the enduring harm unethical leadership inflicts on both employee welfare and organizational longevity.

There is further concern that corporate psychopaths are drawn to specific industries, such as those in the investment and banking sectors, and may have been a significant causal factor in the unethical excessive bonus, securitization, and loan practices that gave rise to the subprime lending crisis of 2008. (These concerns are discussed in Chapter 8, which has been relocated to the Cengage digital archive.)

Given the emerging recognition of the damage corporate psychopaths can produce, it is particularly important to ensure that such people do not get into positions of power where they can hijack or divert the healthy development of an ethical corporate culture and prevent the corporation from achieving a culture of integrity.

Director & Officer Liability

Corporate ethical governance and accountability is no longer just good business—it's the law. SOX triggered governance reform for SEC registrant companies around the world and spawned similar governance reform regulation in many other national jurisdictions. Section 404 of SOX

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[86] Refer to, for example, the works of Clive R. Boddy in the *Journal of Business Ethics*, 2005, 2006, 2010, and 2011.
[87] Clive R. Boddy, "The Corporate Psychopaths Theory of the Global Financial Crisis," *Journal of Business Ethics* 102 (Spring 2011): 256.
[88] P. Babiak and R. D. Hare, 2006, *Snakes in Suits When Psychopaths Go to Work* (New York: HarperCollins, 2006).
[89] Boddy, "The Corporate Psychopaths Theory of the Global Financial Crisis," 256.
[90] S. E. Perkel, "Book Review: Bad Leadership: What It Is, How It Happens, Why It Matters," in B. Kellerman, ed., *Consulting to Management* 16, 59–61 (an e-journal published by the Journal of Management Consulting, Inc.).

requires companies to examine the effectiveness of their internal control systems with regard to financial reporting. The CEO, CFO, and auditors must report on and certify that effectiveness. Conscious mis-certification by the CEO and CFO can lead to criminal as well as civil charges.

The mandatory review of internal control involves comparison of the corporation's systems with an accepted internal control framework, such as that developed for Enterprise Risk Management (ERM) by the Committee of Sponsoring Organizations (COSO) of the Treadway Commission. Further information on the COSO approach[91] is available in auditing texts or on the COSO website. The COSO ERM framework, first introduced in 2004, covers how an entity achieves its objectives on four dimensions: strategic, operations, reporting, and compliance. Within each of these dimensions or categories, the ERM framework involves eight interrelated components concerning the way management runs an enterprise and how they are integrated with the management process: internal environment, objective setting, event identification, risk assessment, risk response, control activities, information and communication, and monitoring. An updated COSO ERM framework that expands on the importance of the links between enterprise risk management with organizational strategy and firm performance was approved in 2017 and is discussed further in Chapter 7.

Ethics and an ethical corporate culture are now seen to play a vital role in setting the control environment and thereby in creating an effective ERM-oriented internal control system and the behavior that results. Consequently, a COS ERM-oriented review will examine the tone at the top, codes of conduct, employee awareness, pressures to meet unrealistic or inappropriate goals, management's willingness to override established controls, code adherence in performance appraisals, monitoring of internal control system effectiveness, whistleblowing programs, and remedial actions in response to code violations.[92]

Not surprisingly, many of these new governance requirements—tone at the top, existence of codes, adherence to policies, adequate disclosure, and so on—have been endorsed by stock exchanges that have required compliance of companies whose shares are listed. The governance requirements of the New York Stock Exchange, the Toronto Stock Exchange, and others can be accessed at **www.cengage.com**.

What happens if these new governance expectations are not met? Noncompliance with stock exchange regulations can result in fines, suspension, or delisting of the stock being traded, in addition to limitations being placed on offending directors or management. Noncompliance with SOX requirements laid down in SEC regulations or in similar securities commission regulations around the world can lead to civil and also criminal prosecution. The former can result in fines and personal limitations, while the latter can add *significant jail terms* for executives. Executives and directors may be required to pay these fines *personally* rather than with company funds or through insurance plans. This frightening prospect was responsible for ten Enron and ten WorldCom directors paying a total of $31 million of their own money to settle lawsuits.[93]

When deciding whether to prosecute, the U.S. Department of Justice uses factors identified in guidance that it has published.[94] For example, important factors examined include the following:

- Whether the compliance program is substantive or just a paper sham
- Whether management is enforcing the program or encouraging misconduct

[91] Refer to, for example, Committee of Sponsoring Organizations of the Treadway Commission, *Enterprise Risk Management—Integrated Framework: Executive Summary*, September 2004, http://www.coso.org/guidance.htm.

[92] Principal source: KPMG Forensic, *Integrity Survey 2005–2006*, 2005.

[93] J. S. Lublin, T. Francis, and J. Weil, "Some Outside Directors Consider Quitting in Wake of Settlements," *Wall Street Journal*, January 13, 2005, B13.

[94] Ibid., KMPG *Integrity Survey 2005–2006*, 21.

- Whether there is staff sufficient to monitor and audit the compliance program
- Whether employees are aware of the program and convinced of the corporation's commitment to it[95]

If convicted, management and directors will have to face penalties in the United States that meet the 2004 amendment to the U.S. Sentencing Guidelines. Penalties for SOX violations for misconduct in the preparation of financial statements and their reporting (Section 304) could include reimbursement of the issuer for any bonus or incentive payments or equity-based compensation received by the CEO and/or CFO in the year following, plus any profit on sale of stock during that period. Also, consciously certifying a statement knowing noncompliance is subject to a fine of $1 million and imprisonment up to ten years, and purposely certifying such a statement increases the penalties to $5 million and imprisonment for up to twenty years (Section 906). SOX also lowered the threshold for barring individuals from acting as a director or officer of an issuer from "substantial unfitness" to "unfitness" (Section 305).[96] As indicated in the study by KPMG Forensics, "*These guidelines now make more explicit the expectation that organizations promote a culture of ethical conduct, tailor each program element based on compliance risk, and periodically evaluate program effectiveness.*"[97]

These penalties are so significant that misunderstanding and/or failing to mitigate them is unattractive. Table 5.21 provides a list of specific ethics expectation guidelines that are to be considered in regard to the application of penalties per the 2004 *U.S. Sentencing Guidelines*.

Public Accountability Benchmarks

One of the recent developments that a board of directors and management need to consider when developing the values, policies, and principles that underpin their corporation's culture and the actions of their employees is the recent surge in stakeholder scrutiny and the need for transparency and public accountability. Never before has there been such interest in what a corporation is doing and how it is doing it.

In the United States, Canada, and the United Kingdom, rating services exist that examine and score corporate governance systems and performance against competitors and external benchmarks. New visibility is being given to U.S., U.K., and Canadian companies through social rating services linked to the London Stock Exchange, such as the FTSE4Good service. New standards for corporate social performance (CSR) and disclosure are emerging that will provide comparisons that corporations will watch and build into their mechanisms, performance assessments, and public disclosures. It is doubtful that corporations will be regarded as responsible corporate citizens if their operations do not appear to be well based on these new comparators. Therefore, at the very least, corporations should maintain a watching brief over developments identified in Table 5.22. CSR and corporate citizenship are discussed further in Chapter 7.

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[95] KPMG Forensic, *Integrity Survey*.

[96] Principal source: *CEO and CFO Certification: Improving Transparency and Accountability, a Canadian Performance Reporting Board Discussion Brief*, Canadian Institute of Chartered Accountants, 2004, 41. Canadian penalties for securities act violations are fines up to $5 million or prison terms up to five years less a day, and for insider trading, the fine would be up to the greater of triple the "profit" made (or loss avoided) and $5 million. Other fines involving disgorgement of ill-gotten gains are also possible.

[97] KPMG Forensic, *Integrity Survey*.

Table 5.21 U.S. Sentencing Guidelines Ethics Criteria per KPMG Integrity Survey 2005–2006

Criteria for Determining Degree of Culpability and Mitigation of Penalty

Specifically, the amended guidelines call on organizations to:

- Promote a culture that encourages ethical conduct and a commitment to compliance with the law.
- Establish standards and procedures to prevent and detect criminal conduct
- Ensure the board of directors and senior executives are knowledgeable and exercise reasonable oversight of the compliance/ethics program
- Assign a high-level individual within the organization to ensure the organization has an effective compliance and ethics program, and delegate day-to-day operational responsibility to individuals with adequate resources authority, and direct access to the board
- Use reasonable efforts and exercise due diligence to exclude individuals from positions of substantial authority who have engaged in illegal activities or other conduct inconsistent with an effective compliance and ethics program
- Conduct effective training programs for directors, officers, employees and other agents and provide such individuals with periodic information appropriate to their respective roles and responsibilities relative to the compliance and ethics program
- Ensure that the compliance and ethics program is followed, including monitoring and auditing to detect criminal conduct
- Publicize a system, which may include mechanisms for anonymity and confidentiality, whereby the organization's employees and agents may report to seek guidance regarding potential or actual misconduct without fear of retaliation
- Evaluate periodically the effectiveness of the compliance and ethics program
- Promote and enforce consistently the compliance and ethics program through incentives and disciplinary measures
- Take reasonable steps to respond appropriately to misconduct, including making necessary modifications to the compliance/ethics program

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Table 5.22 Emerging Public Accountability Standards & Initiatives

GRI	Global Reporting Initiative
	A framework for economic, social and environmental reporting. Thousands of reports available
ISO 26000	Guidance on Social Responsibility
	Principles, topics, and approaches for the development and implementation of CSR programs and reports.
SASB	Sustainability Accounting Board
	Standards for the measurement, accounting for, and disclosure of sustainability issues and performance.
AA1000	AccountAbility
	An assurance standard designed to provide assurance on the quality of an organization's public reporting and the quality of its underlying systems and processes.
FTSE4Good	
	FTSE4Good is an index made up of companies judged acceptable using an objective global standard for socially responsible investment. The FTSE4Good Selection Criteria cover 3 areas: (1) Working towards environmental sustainability, (2) Developing positive relationships with stakeholders, (3) Upholding and supporting universal human rights
MSCI KLD 400	Social Index (formerly the Domini 400 Social index) 400 predominantly U.S. corporations are ethically screened on 11 criteria and included in the index for use by ethical investors.
The Jantzi Social Index	
	Similar to the MSCI KLD and FTS4Good indices for 400 Canadian companies that are socially and environmentally screened.
SA 8000	Social Accountability International (SAI)
	SAI has developed the SA 8000 standard to provide guidance with regard to workplace conduct and specifically with regard to sweatshops. Auditors are also trained.

Further information on several of these initiatives is available in Chapter 7.

Conclusion—Toward a Culture of Integrity

The need for ethical corporate governance is not just good for business—it is the law. Recent changes in governance regulation are shifting expectations significantly. In an era of increasing scrutiny, where ethical misbehavior can influence the achievement of corporate objectives profoundly, it is very much in the interest of shareholders, directors, and executives that their company's governance system provides appropriate guidance and accountability.

Directors must demonstrate due diligence in the management of the company's business and ethics risks. They need to ensure that an effective ethical culture prevails in their company. This requires the development of a code of conduct and the essential means of creating an awareness of appropriate behavior, reinforcing that behavior, and making sure that the underlying values are embedded in corporate strategy and operations. The company's positions on conflicts of interest, sexual harassment, and similar topics need to be worked out in advance, with watchful updating to keep the company's culture abreast of current expectations.

If directors are able to recognize and prepare their company for the new era of stakeholder accountability through an effective, ethical governance system, they will not only reduce risks but also produce a competitive advantage among customers, employees, partners, environmentalists, and other stakeholders—which will surely be attractive to shareholders.

In summary, *directors, executives, and professional accountants should now be fully focused on developing and maintaining a culture of integrity if they wish to satisfy the expectations of their stakeholders*.

Questions

1. Must a company be incorporated as a benefit corporation in order to legally consider actions other than those in pursuit of profit?
2. If Lynn Stout is correct, that the drive for shareholder value is a myth, why do so many companies continue to use it as a goal?
3. What is the role of a board of directors from an ethical governance standpoint?
4. Explain why corporations are legally responsible to shareholders but are strategically responsible to other stakeholders as well.
5. What should an employee consider when considering whether to give or receive a gift?
6. When should an employee satisfy personal self-interest rather than the interest of the employer?
7. Can an apparent conflict of interest where there are adequate safeguards to prevent harm be as important to an executive or a company as one where safeguards are not adequate?
8. How can a company control and manage conflicts of interest?
9. What is the role of an ethical culture, and who is responsible for it?
10. What is the most important contribution of a corporate code of conduct?
11. Are one or more of the fundamental principles found in codes of conduct more important than the rest? Why?

12. Why should codes focus on principles rather than specific detailed rules?
13. How could you monitor compliance with a code of conduct in a corporation?
14. How can a corporation integrate ethical behavior into its reward and remuneration schemes?
15. Other than a code of conduct, what aspects of a corporate culture are most important and why?
16. Is the SOX-driven effort being made to check on the effectiveness of internal control systems worth the cost? Why and why not?
17. Why should an effective whistleblower mechanism be considered a "failsafe mechanism" in SOX Section 404 compliance programs?
18. If you were asked to evaluate the quality of an organization's ethical leadership, what would the five most important aspects be that you would wish to evaluate, and how would you do so?
19. Why is it suspected that corporate psychopaths gravitate to certain industries, and what should corporations within those industries do about it?
20. Descriptive commentary about corporate social performance is sometimes included in annual reports. Is this indicative of good performance, or is it just window dressing? How can the credibility of such commentary be enhanced?
21. Should professional accountants push for the development of a comprehensive framework for the reporting of corporate social performance? Why?
22. Do professional accountants have the expertise to audit corporate social performance reports?

Case Insights

Cases on Ethical Corporate Culture

- *Boeing's Culture Change Brings Disaster* Boeing's culture used to be dominated by engineers who emphasized engineering excellence and safety. But over time, something changed, and then came the crashes of Boeing 737s, the problems with the 787s, and the door plug blowing off a 737. What changed? Why? What are the lessons to be learned? How can Boeing recover its reputation and the trust it needs to succeed?
- *Hospital Governance Challenges* explores the governance problems faced in an organization that is usually overseen by non-businesspeople; devoted to quality of service; protective of the reputations of its staff; admiring of goodness of intentions rather than critically examining service failures or striving for cost reductions, and vigilantly identifying and preventing administrative and purchasing fraud.
- *TD Bank Fined for Anti-Money Laundering Governance Failure* focuses on the willful disregard for the need for a bank to be vigilant in preventing the laundering of proceeds of crime through its branches. Why were executives and some employees blind to the risks? What did it cost the bank, and some employees? Was it enough? Did the Board live up to its governance mandate? How can the damage be corrected?
- *Rogers Communication Inc.—Was a Governance Powerplay Fair?* The founder's son of one of Canada's largest telecommunications companies was able to outvote his mother and sisters and the largest equity interest holders of the company because of a dual-class share structure and legacy voting trust arrangement. Was this fair?

- *Deutsche Bank—A Cultural Disaster* details how Deutsche Bank's longtime culture of focusing on only short-term profit and the deception of regulators, together with an ineffective German two-tier governance structure, resulted in huge fines and ultimately the closure of their investment banking business and loss of 20% of roughly 90,000 employees' jobs. This case is located in Chapter 2.
- *LIBOR Manipulations Cause Widespread Impacts* describes the aberrant organizational cultures at Barclay's Bank and UBS that encouraged bank employees to artificially manipulate the information on which the LIBOR benchmark rate was based. This case is located in Chapter 2.
- *Siemens' Bribery Scandal* describes how one of Germany's oldest multinationals developed a perverse organizational culture that condoned making bribery payments in foreign jurisdictions and the adverse consequence to both the company and many of its senior executives. The total cost to Siemens of fines and expenses was estimated at $2.5 billion, not including the original payments for bribery.

Cases on Ethical Leadership

- *Theranos—A Classic 'Fake It Until You make It Fraud'* is a case located in Chapter 2. Elizabeth Holmes, the CEO of Theranos Inc., was able to con several very sophisticated businesspeople out of a significant amount of funding by claiming that her prototype blood analysis device would provide complex analyses that otherwise required multiple devices and greater time for the analysis. It was a classic 'Fake it until you make it' fraud.
- *Salary Equity at Gravity Payments* explains how the founder and CEO of the company raised the minimum wage for all employees to $70,000 and the positive and negative reactions to his arbitrary decision.
- *Merck and River Blindness* concerns a company that follows its values and provides a life-enhancing drug for free to those who cannot afford the drug.
- *Lululemon's Questionable Leadership* describes what happened to the founder and to the CEO after they made several gaffes and the company unintentionally manufactured transparent yoga pants.

Cases on Bribery

- *Glencore Mining Bribery Saga* is located in Chapter 7. It is about a multinational trading and mining company that employed bribery as a normal operating strategy only to be fined and suffer many other restrictions and sanctions. Why did it take them so long to realize the risks associated with their practice?
- *SNC-Lavalin Missing Funds Topples CEO & Triggers Investigation* describes the fallout for the officers, board, and company that used bribery and support to obtain contracts in a country with a repressive regime.
- *Rio Tinto's Bribes in China* describes how Chinese steel companies' officials bribed Rio Tinto managers in order to obtain a key raw material in the production of steel.
- *Daimler Settles U.S. Bribery Case for $185 Million* describes how the *U.S. Foreign Corrupt Practices Act* can be used to prosecute companies that are not headquartered in the United States.
- *Bribery for Russian Contract with Anti-Bribery Prosecutor's Office* describes how Hewlett Packard bribed officials at the government office that is responsible for prosecuting bribery cases in Russia.
- *Siemens' Bribery Scandal*—refer to description above.

Cases on Corporate Governance & Managerial Opportunism

- *The Opioid Crisis: The Triumph of Greed* is about drugs that were derived from the opium poppy that ended up killing millions of people unnecessarily, and the role that profit seeking played in this crisis. How and why did this happen? Was the pursuit of profit wrong? How can a company be governed to ensure that profit is a good goal? Should a company use the "Texas Two-Step' to avoid settling claims fairly?
- *Elon Musk's 10-year Tesla Pay Package*—Is $47–55 Billion Enough or Outrageous? Elon admitted that he was really negotiating with himself when arranging his pay package in 2018. But the Tesla shareholders voted for the package twice—possibly because he and his brother owned a lot of shares. Should his pay package be confirmed? A judge has said no, twice.
- *Spying on HP Directors* explains how Patricia Dunn, chair of the Board of Directors at Hewlett-Packard, hired investigators to determine who had leaked sensitive information to the media and the questionable techniques the investigators employed in order to identify the culprit.
- *Manipulation of MCI's Allowance for Doubtful Accountants* is the story of how Walt Pavlo, a junior manager at the telecommunications giant, hid $88 million of bad debts and reported only an allowance for doubtful accounts of $15 million.
- *Stock Options and Gifts of Publicly Traded Shares* explains how a CEO can strategically time the release of bad news so that he maximizes the tax benefit of donating shares of his company to his favorite charity.
- *The Ethics of Repricing and Backdating of Employee Stock Options* addresses several issues concerning employee stock options. Do they actually motivate employees? Do they encourage earnings management? Is manipulating the timing of the granting of stock options in the best interest of the shareholders?

Cases on Fraudulent & Questionable Financial Reporting

- *Satyam Computer Services, the Enron of India*, describes how small discrepancies grew to become the largest fraud and bankruptcy in India's history. CEO dominance, combined with poor oversight by the board of directors and the external auditor, contributed to the debacle.
- *Nortel Networks' Audit Committee Was in the Dark* reveals the nature of manipulations spawned by a flawed incentive scheme and carried out under the noses of an unsuspecting Audit Committee.
- *Adelphia—Really the Rigas Family Piggy Bank* presents the story of how Mr. Rigas formed a small cable company and grew it into a giant, while he and his sons used it as their own "piggy bank."
- *Tyco—Looting Executive Style* reveals how the CEO lived in style with million-dollar parties, $6,000 shower curtains, and a need to keep the money flowing.
- *HealthSouth—Can Five CFOs Be Wrong?* Bizarrely, although five CFOs testified that Richard Scrushy, the CEO, had knowingly directed the fraud, the Alabama jury acquitted him of all thirty-six criminal charges. His five CFOs, however, were sentenced to receive a total of 115 years in prison and $11.2 million in fines.
- *Royal Ahold—A Dutch Company with U.S.-Style Incentives* requires restructuring after several senior executives conspired with leading executives of U.S. and other suppliers to fraudulently boost profits and increase their personal wealth and position. Ahold's shares were traded on a U.S. stock exchange when disaster struck in late 2002 and early 2003. At the time, Ahold was the third-largest food retail and food service group in the world.
- *The Ethics of Bankruptcy: Jetsgo Corporation* explores how the CEO of Jetsgo misled his pilots and his passengers on the day before he voluntarily had his company declare bankruptcy.

Stock Market Cases

- *The Archegos Scandal—A Cautionary Tale of Fraud & Fog* is about Bill Hwang who found a loophole in securities regulations and used a complex financial vehicle to fund his enterprise. But when his luck turned, his risk-blind financiers suffered very serious damage, and Bill was indicted for manipulating share prices. Was this fair? Should the principle of 'Buyer Beware' protect Bill? Were the financiers at fault?
- *Société Générale Rogue Trader* explains how poor internal controls allowed Jerôme Kerviel, a derivate trader at one of the largest French banks, to engage in unauthorized transactions that cost the bank €4.9 billion.
- *Galleon's Insider Trading Network* describes how the billionaire stock market trader, Raj Rajaratnam, made his fortune not by being an astute investor but rather through the use of insider information.
- *KPMG Partner Shares Confidential Information with a Friend* describes why a senior professional, thinking he was helping a friend in a small way, ruined his own career, damaged his firm's reputation, and caused it to resign from two major audits. Refer to case at page 501 of Chapter 6.
- *Conflicts of Interest on Wall Street* captures New York Attorney General Elliot Spitzer's challenge of the traditional conflicted ways that brokers have been doing business on Wall Street. While purporting to act for their investing clients, they have been profiting by misleading investors with overhyped investment analyses.
- *Falsification Because of Loyalty*–Many people—particularly in the securities industry—have great difficulty understanding to whom they owe duty and in what order of priority. This is a real case that offers a chance to explore the results of tough loyalty decisions in a modern governance framework.
- *Bankers Trust: Learning from Derivatives* is the story of how the competitive culture of an enterprise got out of control and affected the company's clients, personnel, and fortunes.
- *Barings Bank: Rogue Trader* reveals why Barings is no longer the oldest family-owned bank in Britain. Was it the fault of a rogue trader in derivatives, or was it that the corporate culture was sabotaged greedy management?

Cases on Corporate Responsibility & Product Safety

- *Shopify and Breitbart—Should an Online Retail Platform Sell Someone's Hate Literature?* What are the limits of corporate responsibilities? Is Shopify responsible for banning the sale of a product that is legal but considered by some to be unethical?
- *Dow Corning Silicone Breast Implants* illustrates the pitfalls of a company with an excellent code and a world-class, follow-up monitoring procedure—yet they still had problems with effectiveness.
- *Ford/Firestone Tire Recall* presents how two companies, with a history of earlier recalls, failed to learn from them or use what they learned. Information was available but not used. Risks were not assessed properly, nor were crises effectively dealt with. The tension between doing what is right to maintain the confidence of consumers and following advice to minimize legal liability is explored.

Reading Insights

Appendix A discusses Agency Theory, which is frequently used to explain executive behavior and underpin governance frameworks to control the conflict between owners' and executives' interests.

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Cases on Ethical Corporate Culture

Boeing's Culture Change Brings Disaster

Ethics Case

The Boeing Company became the world's second-largest airplane manufacturer by building planes that flew well, efficiently, and safely. Its senior executives were usually engineers whose inclination and professional training stressed engineering excellence and safety. But Boeing's corporate culture changed to emphasize financial objectives that involved rigid cost control, on-time delivery of planes, on-time launch of new planes and operating systems, outsourcing of major component systems, less attention to precise fit and finish, less rigorous quality control oversight of plane construction, and lax accountability for the handling of defective parts. At the same time, with systems becoming more and more complex, the Federal Aviation Administration (FAA) delegated some of its oversight responsibilities for the development and construction of Boeing's new systems and planes to Boeing.

These changes turned out to be a recipe for disaster as the following examples attest.

- Delivery of the new Boeing 787 Dreamliner planes was delayed because some outsourced major body parts did not fit properly. A whistleblower claimed he was reassigned in retaliation for voicing concern over the gaps he found.[1]
- A newly designed lithium-ion battery burst into flames while being charged at the airport gate in Boston on one of the first flights of the 787 Dreamliner.[2]
- Two Boeing 737 MAX jets crashed because of flaws and quirks in a new system, the Maneuvering Characteristics Augmentation System (MCAS), that had not been disclosed to regulators or airlines, and pilots had therefore not been adequately trained to use. On October 29, 2018, a Lion Air flight crashed in Indonesia, killing all 189 people on board. On March 10, 2019, an Ethiopian Airlines flight crashed, killing 157 people and prompting the global grounding of the 737 MAX aircraft model.[3]
- On January 5, 2024, shortly after taking off from Portland, Oregon, a plug for an unused cabin door blew off a 737 MAX during an Alaska Airlines flight, causing rapid cabin decompression at 16,000 feet. No fatalities occurred, but legal and financial accusations were swift, and again deliveries were halted. An investigation revealed that most of the required bolts securing the plug covering the door opening had not been installed. Boeing could not identify who had not completed their jobs correctly.[4]
- According to a whistleblower, Boeing hid questionable parts from regulators that may have been installed in 737 MAX planes.[5]
- Throughout the period from 2020 to 2024, Boeing workers repeatedly voiced concerns over management's outsourcing strategies, job cuts, and perceived retaliation against those raising quality concerns or whistleblowing. The persistent tension contributed to high turnover in engineering and quality-control roles, exacerbating Boeing's organizational instability. Labor relations became a key ethical fault line at Boeing.[6]

Not surprisingly, these events raised serious questions about Boeing's ability to design and manufacture safe planes, and to be worthy of the trust of air travelers, airlines, and regulators. These incidents solidified regulatory and legal consensus that Boeing's failure to properly vet, test, and communicate MCAS design flaws represented gross corporate negligence. Financially, Boeing faced escalating liabilities as orders were canceled and airline clients demanded compensation. Internally, labor morale and whistleblower activity increased, as employees raised ethical concerns about systemic safety shortcuts.

For its part, the FAA's response to the Boeing 737 MAX crisis involved grounding the aircraft in 2019 and implementing rigorous oversight of Boeing's design and safety practices. As of 2024, this included enforced new certification protocols, mandated critical design changes, and increased safety evaluations from a dedicated team of senior subject matter experts. Monthly reviews evaluated Boeing's journey to compliance. Additionally, systemic reforms were introduced to prevent similar future failures and ensure that Boeing's aircraft met the highest safety standards. These steps were crucial in restoring trust in the airline industry and strengthening regulatory frameworks around aircraft certification.

Boeing also faced legal challenges from regulators and clients. The U.S. Department of Justice initiated criminal proceedings against Boeing, ultimately resulting in a $2.5 billion settlement in January 2021. This included a $243.6 million criminal fine, $500 million victim compensation fund, and $1.77 billion in compensation to airlines affected by the MAX grounding. Boeing also paid

[1] Mannie, Kathryn. (April 17, 2024). "All 787 Dreamliners should be grounded, Boeing whistleblower says," Global News, accessed on March 29, 2025 at https://globalnews.ca/news/10429501/boeing-787-dreamliners-grounded-whistleblower-sam-salehpour/#:~:text=In%20an%20exclusive%20TV%20interview%20with%20NBC,checked%20for%20small%20gaps%20in%20the%20fuselage.

[2] Cooper, Aaron. (January 8, 2013). "Fire aboard empty 787 Dreamliner prompts investigation," accessed on March 29, 2025, at https://edition.cnn.com/2013/01/07/travel/dreamliner-fire/index.html.

[3] Nicas, J. (2019). *What went wrong with the 737 MAX?* The New York Times. Retrieved from https://www.nytimes.com.

[4] Federal Aviation Administration. (2024, January 5). Updates on Boeing 737-9 MAX aircraft. Federal Aviation Administration. https://www.faa.gov/newsroom/updates-boeing-737-9-max-aircraft.

[5] Isidore, C. (2019, October 11). Safety experts slam Boeing and FAA for design and approval of 737 MAX jets. NPR. https://www.npr.org/2019/10/11/769609684/safety-experts-slam-boeing-and-faa-for-design-and-approval -of-737-max-jets.

[6] Gates, D. (2021). *Boeing 787 troubles deepen with new quality control issues*. The Seattle Times. Retrieved from [https://www.seattletimes.com](https://www.seattletimes.com.

a $200 million civil penalty to the SEC for misleading investors about the 737 MAX's safety profile. These legal outcomes underscored a breakdown in internal governance and raised further doubts about executive oversight and disclosure practices.[7] By March 2021, Boeing had reported approximately $21 billion in costs associated with the 737 MAX crisis. This figure includes nearly $9 billion allocated for compensating airlines that were unable to utilize their 737 MAX aircraft during the grounding period.[8] Moreover, the scandal eroded trust among customers, regulators, and the general public. For a company operating in an industry where safety and reliability are paramount, this breach of trust represented a critical failure. Beyond financial penalties, Boeing faced intensified regulatory scrutiny and a tarnished reputation.[9]

Boeing's competitor Airbus' share price increased 85% from December 2018 to 2024, whereas Boeing's share price collapsed from a high of $417 in 2019 to under $170 in late 2024. The continual news coverage prevented Boeing from experiencing a post-COVID-19 recovery that other airliners enjoyed. Competitors such as Airbus capitalized on the uncertainty surrounding Boeing, capturing market share that may take years for Boeing to regain. Industry analysts projected that these reputational setbacks could have a cascading effect, reducing Boeing's ability to secure new contracts and critical financing. Boeing's long-term debt rose sharply from $10.7 billion at the end of March 2019 to $53 billion by June 2024, reflecting the company's efforts to maintain liquidity amid the crisis caused by the 737 MAX grounding and the COVID-19 pandemic.[10] Boeing reported a loss of $355 million in the first quarter of 2024, indicating ongoing financial difficulties.[11]

Boeing's failures also spurred significant changes in government regulation, particularly by the Federal Aviation Administration (FAA). But Boeing's systems were so complex that the FFA often deferred to Boeing's internal experts and delegated to them some key safety certification processes. As such, the FAA was criticized for its overly close relationship with Boeing. It subsequently moved to reassert its authority by tightening regulatory oversight.[12] This included reforms aimed at increasing transparency, improving whistleblower protections, and revising certification procedures to ensure greater independence from manufacturers. The introduction of enhanced simulation and pilot training requirements for new systems, such as MCAS, underscores the FAA's commitment to avoiding similar tragedies. These regulatory changes represented not only a response to Boeing's missteps but also a broader recalibration of the balance between industry and oversight to prioritize public safety over expediency.

The tarnishing of Boeing's brand, once a symbol of engineering excellence and reliability, was perhaps one of the most significant long-term impacts of these scandals. Boeing's reputation, cultivated over decades as a leader in aviation safety and innovation, was critically undermined. Trust, an intangible yet vital asset in the aerospace industry, evaporated among key stakeholders, including airlines, passengers, and regulators. Surveys conducted post-scandal indicated a notable decline in passenger confidence in Boeing aircraft, with some airlines reporting increased inquiries about aircraft models being used on specific routes.[13]

From a once proud, respected company, Boeing became a second-rate, disaster-prone, whistleblower-suppressing enterprise that was deep in debt, with dim prospects for the future that employees were embarrassed to work for. What went wrong? Who is responsible for this transformation—management, the Board, the CEOs? What needs to change? How can that happen?

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[7] Schaper, D. (2022, September 22). Boeing will pay $200 million to settle SEC charges over 737 MAX crashes. NPR. https://www.npr.org/2022/09/22/1124617261/boeing-will-pay-200-million-to-settle-sec-charges-over-737-max -crashes.

[8] Isidore, C. (2021, March 10). Boeing's 737 MAX crisis costs near $21 billion. CNN Business. https://www.cnn.com/2021/03/10/investing/boeing-costs-737-max-crisis/index.html.

[9] George, B. (2024). Why Boeing's problems with the 737 MAX began more than 25 years ago. HBS Working Knowledge. https://www.library.hbs.edu/working-knowledge/why-boeings-problems-with-737-max-began-more-than-25-years-ago.

[10] Isidore, C and Wallace, G. (2024, June 16). CNN Business. Accessed on March 29, 2025, at Boeing hid questionable parts from regulators that may have been installed in 737 Max planes, new whistleblower alleges. Accessed on March 29, 2025, at https://www.cnn.com/2024/06/18/business/boeing-whistleblower-calhoun-testimony/index.html.

[11] Koenig, D. (2024, April 26). Boeing's financial woes continue, while families of crash victims urge US to prosecute the company. Associated Press. https://apnews.com/article/boeing-financials-crisis-faa-oversight-b078e483942c03bc250085e9a0023ace.

[12] Op. cit., Isidore, 2019.

[13] Kuzub, A. (2024, March 28). Can Boeing be trusted again? What steps can the biggest name in aviation take to repair its reputation? Northeastern University. https://news.northeastern.edu/2024/03/28/boeing-crisis-reputation/.

Bill George, former CEO of Medtronics and an Executive Fellow at Harvard, has suggested that a series of CEO decisions were responsible for changing Boeing's corporate culture from that of a great engineering firm to a financially oriented business, including:

- Focusing on cost-cutting and upgrading older airplanes instead of creating new aircraft,
- Moving the head office from its engineering and product decision center in Seattle to Chicago, which separated senior executives from the influence of the engineers, and
- Preserving shareholder value through cost reductions that emphasized short-term profits and distributing cash to shareholders via stock buybacks rather than designing new airplanes.

This chain of decisions left Boeing with a flawed 737 MAX model that a subsequent CEO, Dennis Muilenburg, elected not to ground to pinpoint and fix the cause rather than put the 737 MAX model back in service prematurely. George concludes by saying: "Ironically, decisions made in the name of shareholder value over the past two decades have cost its investors $87 billion since 2018."[14]

Questions

1. What was the most important aspect of the CEO decisions that contributed to the downfall of Boeing? Explain why you picked this aspect.
2. What role should the Boeing Board of Directors have played in correcting the CEO's decisions? What should they have done and how should they have done it?
3. Why do you think that the Board did not correct the direction that the CEOs were taking?
4. What steps should be taken now to recover Boeing's reputation, and who should take them?

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[14] Op. cit., George, 2024.

Hospital Governance Challenges

Ethics Case

Kelly Brown had been a member of the Board of Governors of the Wolfson General Hospital (WGH) for two years and had been asked to consider becoming the vice chair of the board. She had been a nurse before leaving to raise her family and now enjoyed participating on the board to make the health care provided by WGH as good as possible for her community. However, she wasn't sure she wanted to become the vice chair because that meant that within a year or so, she would become the chair and would be responsible for all hospital functions, its reputation, and the generation of funds for growth. She realized that her knowledge of governance matters was limited, and she asked for your assistance in helping her consider several issues and her final decision to become the chair.

Kelly wasn't sure that the existing governance mechanisms were effective in identifying and assessing reputational and financial risks and that she was personally equipped to play a leading role in improving a hospital governance system. But no one else on the board, who was better equipped, wanted to invest the time and energy required.

Kelly realized that she had the advantage of growing up in the community and knowing many of the senior doctors and nursing staff. But that was a mixed blessing because several of her nursing friends had been confiding in her about questionable medical practices and rumors about strange purchasing deals and other "close" relationships.

She had also been reading news stories about scandals at three nearby hospitals that had destroyed the reputation of the hospitals and of their governors, including the following:

- Fraud, embezzlement, and kickback schemes by senior managers of construction companies, including:
    - Bid-rigging and manipulation of bids to favor specific contractors and suppliers,
    - Inflated prices in exchange for kickbacks,
    - Work by contractors on manager's homes,
    - Provision of jobs for purchasing manager's children, partly funded by hospital overpayments,
    - Luxury fishing trips for purchasing managers,
    - Luxury trips for the purchasing manager's family to Napa, California, and a Baltic cruise, and
    - Payment for old invoices for which no one remembered the work happening.
- A manager of hospital redevelopment, who was involved in the contractor selection process, failed to disclose personal conflicts of interest with a contractor, including:
    - Joint ownership of two business ventures (bottled water and commercial real estate) with the bid-winning contractor and
    - A loan of over $100,000 from the contractor to the bottled water company.
- A hospital manager arranged for purchases from companies her husband was involved with, without competing quotations, purchase orders, or contracts. In fact, the paper trail for purchases was frequently created after purchases had been made. Also, her husband sent invoices to the hospital through pre-existing vendors to circumvent procurement policies.

Of course, scandals frequently came to light on the medical practice side of the hospitals as well, and here the problem of doctors not wishing to criticize or "tell" on colleagues was evident. Doctors who made mistakes that caused patients a great deal of pain or dysfunction were rarely identified and dismissed, so the hospitals involved had to incur serious costs, time wastage, and loss of reputation when the problems came to light and lawsuits were launched. The doctors' "cone of silence" was not serving the best interest of the patients and hospitals involved, and some nurses were negatively influenced against identifying misdeeds as well. Moreover, the reticence to identify problem professionals was aggravated because many of the governors and senior officers of the hospital were doctors or nurses who didn't want to get involved in disciplinary or dismissal processes.

Kelly realized that WGH had a mission statement and code of conduct that called for high levels of service and integrity, but they hadn't been updated for over fifteen years. Although they were provided to new doctors, nurses, or administrative staff when they joined the hospital, there was no significant discussion or training related to the code.

When Kelly considered the board and its subcommittees, she realized that most board members were dedicated to providing excellent health care but lacked extensive corporate board expertise and preferred to leave financial matters and administrative details to others. Four of the five board subcommittees (Executive, Medical Advisory, Nursing Advisory, Quality Committee, and Quality of Care) concentrated primarily on health services. The fifth (Financial Advisory) focused on financial matters, and it was chaired by the senior administrative executive (CEO) at WGH. The internal and external auditors also reported to the board through the Financial Advisory Committee.

Although the Medical Advisory and Nursing Advisory Committees reported on questionable medical practices, Kelly couldn't remember any similar report on questionable personnel or financial matters. She wondered if this was because WGH's personnel and financial functions had been "outsourced" to a shared operation with two other hospitals. Nor could she remember any organized review and discussion of the risks WGH was facing and of plans to reduce those risks.

Not surprisingly, her dear friend, the current chair of the board, was pushing Kelly for her answer on whether she would accept the nomination as vice chair. He had just dealt with a serious crisis and wanted her answer before he could discuss the confidential details with her.

Questions

Kelly has asked you to give her advice on the following matters:

1. What major governance problems does WGH face? Which problems are the most important and need to be fixed as soon as possible?
2. What are the most important ethical problems faced by a general hospital? How could these ethical problems best be managed?
3. Should WGH introduce a crisis management process? If so, what should be its objective? How could that objective best be achieved?
4. Why should WGH introduce a protected whistleblower program? Who should administer it, what factors would make it successful, and how should it report?
5. Are there any other governance issues that Kelly should consider?
6. Should Kelly accept the nomination as vice chair?

TD Bank Fined for Anti-Money Laundering Governance Failure

Ethics Case

The Day of Reckoning for the TD Bank

The Toronto-Dominion Bank, a multinational Canadian bank, operates in the United States through a subsidiary under the name TD Bank. In October 2024, it employed approximately 27,000 personnel and maintained over 1,100 branches and over 2,500 ATM locations in 15 states and the District of Columbia. For the year ending on December 31, 2023, it reported net income of approximately $2.3 billion with total assets of approximately $367 billion. TD Bank was the 10th largest bank by assets in the United States.[1]

According to a Consent Order (Number 2024-02) prepared in October 2024 by the U.S. Financial Crimes Enforcement Network (FinCEN),[2] even though the bank was aware of significant deficiencies it failed to implement effective anti-money laundering (AML) procedures and was in violation of the Bank Secrecy Act (BSA).[3] The failures described in the Order were both extensive and compelling. As a result, the President and CEO of the TD Bank Group, Bharat Masrani, retired early with his compensation cut from $13.3 million in 2023 to $1.5 million in 2024. Forty other senior executives took pay cuts totaling $30 million.[4]

TD Bank signed the Consent Order and agreed to the penalties and some of the facts set forth in the Order about the failure of its U.S. anti-money laundering program during the period from 2012 through May 9, 2024. Based on the facts explained in the Order, the Bank agreed to the following fine and undertakings:

- A fine of $1.3 billion including $543 million to the Department of Justice (DOJ) and the Office of the Comptroller of the Currency (OCC)[5]
- Appointment of an Independent Compliance Monitor (ICM) approved by FinCEN to assess TD's activities for four years, including:
- Appointment of a consultant to review the backlog of SARs to ensure that significant matters are dealt with appropriately.

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[1] Paraphrased from the CONSENT ORDER IMPOSING CIVIL MONEY PENALTY, Number 2024-02, UNITED STATES OF AMERICA FINANCIAL CRIMES ENFORCEMENT NETWORK DEPARTMENT OF THE TREASURY IN THE MATTER OF: TD Bank, N.A. and TD Bank USA, N.A. October 11, 2024, SEDAR Plus. https://www.sedarplus.ca/csa-party/records/document.html?id=5faf42997eead74bafd33e9bd3e953ad4dd09ee48d83abf107b27333c0c67fca.

[2] Ibid.

[3] Ibid p. 6.

[4] "TD Bank accelerates leadership transition, cuts pay for outgoing CEO and 40 others," Nivedita Balu and Manya Saini, Reuters in yahoo/finance, Jan, 17, 2025, accessed online on Jan17, 2025 at https://ca.finance.yahoo.com/news/td-bank-accelerates-raymond-chuns-132318573.html.

[5] Op. cit., p. 67 and following.

- Appointment of a qualified independent consultant to review the effectiveness of the Bank's AML Program.
- The ICM will also oversee:
  - an accountability review of employees involved in BSA violations and related misconduct, and
  - a Data Governance Review of BSA/AML-related information.

In addition to the FinCEN Order, the Bank was fined $450 million for deficiencies in the bank's Bank Secrecy Act and anti-money laundering compliance program by the Office of the Comptroller of the Currency, and was restricted:

- To an asset cap that limited future growth, and
- No new branches or services were to be created without specific OCC approval.[6]

TD Bank was also fined $1.8 billion by the U.S. Department of Justice for violating the Bank Secrecy Act by allowing money laundering.[7]

The Violations

FinCEN is the agency responsible for the investigation of violations of the U.S. Bank Secrecy Act, and for implementing its regulations including the implementation of an AML program which would: (i) conduct independent testing for compliance; (ii) designate an individual or individuals responsible for implementing and monitoring the operations and internal controls of the program; (iii) conduct ongoing training for appropriate persons; and (iv) implement appropriate risk-based procedures for conducting ongoing customer due diligence, including, but not limited to, (a) understanding the nature and purpose of customer relationships for the purpose of developing a customer risk profile, and (b) conducting ongoing monitoring to identify and report suspicious transactions and, on a risk basis, to maintain and update customer information.

The identification and reporting of suspicious transactions requires the timely submission of Currency Transmission Reports (CTRs) on transactions that are more than $10,000 or multiple transactions that aggregate more than $10,000, and Suspicious Transaction Reports (SARs) on transactions that aggregate to at least $5,000.[8] A bank is generally required to file a SAR no later than 30 calendar days after the initial detection by the bank of the facts that may constitute a basis for filing a SAR.

According to the Consent Order, the Bank had been willfully deficient in virtually all of the required dimensions for implementing an effective AML program. It failed to:

- Provide adequate AML staff, although repeatedly warned of the need, risks, and consequences. Thus, it failed to investigate suspicious transactions and file CTRs and SARs in a timely fashion. These generated huge backlogs waiting for review and thereby allowed criminals to continue to launder the proceeds of crime from such activities as drug sales and human trafficking. Staff numbers were essentially frozen for many years during which transactions increased significantly.
- Exit (i.e., investigate, discontinue, and report) customers who were identified on multiple CRTs and SARs.
- Update old and install new computer systems to effectively screen the majority of banking transactions for CTR and SAR triggers. This left many, if not most, of the transactions unscreened, so that patterns of suspicious transactions were not identified. When changes or new systems were authorized and begun, they were often paused, sometimes for many years. On page 23, for example, the Order states: "This failure to monitor represented over 80% of the activity in these types of transactions and aggregated to trillions of dollars in value."

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[6] News Release 2024-116, October 10, 2024, OCC Issues Cease and Desist Order, Assesses $450 Million Civil Money Penalty, and Imposes Growth Restriction Upon TD Bank, N.A. for BSA/AML Deficiencies, accessed on March 31, 2025.https://occ.gov/news-issuances/news-releases/2024/nr-occ-2024-116.html.

[7] "TD Bank hit with record $3 billion fine over drug cartel money laundering," Jordan Valinsky and Matt Egan, CNN, October 10, 2024, accessed online on Oct. 10, 2024 at https://www.cnn.com/2024/10/10/investing/td-bank-settlement-money-laundering/index.html.

[8] A transaction is "suspicious" if a bank "knows, suspects, or has reason to suspect" that the transaction: (i) involves funds derived from illegal activities, or is conducted to disguise funds derived from illegal activities; (ii) is designed to evade the reporting or recordkeeping requirements of the BSA or regulations implementing it; or (iii) has no business or apparent lawful purpose or is not the sort in which the customer normally would be expected to engage, and the bank knows of no reasonable explanation for the transaction after examining the available facts, including background and possible purpose of the transaction.

- Follow up on many staff reports of suspicious circumstances over many years.
- Identify the bank branches where abnormally high levels of cash transactions were taking place.
- Identify bank employees in a timely manner who were bribed by criminals to facilitate the laundering of their cash.
- Institute appropriate oversight and controls in high-risk market transactions such as over large total, multiple cash withdrawals from ATM machines in Columbia.
- Provide a governance and reporting structure to enable the BSA Officer at the Bank to do their job effectively in overseeing and operating an effective AML program, and in reporting to responsive senior levels of the Bank, and ultimately to the Board of Directors.
- Respond to reports from the Bank's internal auditors outlining the serious deficiencies and risks found in the AML program.

In addition to the civil monetary penalties aggregating over $3 billion, the Consent Order specified that the Bank must:

- Appoint an independent Monitor to oversee its AML compliance program and ensure proper scenario implementation and staffing.
- Revise its governance structure to ensure the BSA Officer has direct oversight of all AML functions, including transaction monitoring.
- Require mandatory AML training for all relevant staff, and
- Invest in state-of-the-art transaction monitoring technology to address previous gaps.
- Complete all requirements within the four-year term of the appointed Monitor.

What Were They Thinking? Who Is Accountable?
It is evident that the Bank's focus on growing revenue at any cost, capping expenditure on staff, and ignoring legal undertakings and significant risks was not successful. The total cost in terms of penalties, incremental costs of new screening systems, lost trust by current customers, increased supervision by government agencies, and the limitations on business due to the restrictions imposed are sobering. Where does accountability belong? Were civil penalties and lost remuneration and jobs enough? Should the shareholders of the parent company take further action, and if so, what?

Questions

1. What responsibility should the Board of Directors of TD Bank bear for the failures listed in the case? Why?
2. What are the key issues that need to be addressed if TD Bank is now to effectively develop and maintain an effective AML program?
3. If the Board of the Bank suspected that some management and employees had been bribed to delay the introduction of changes to systems, and to the hiring of more staff, how should this be investigated?
4. There was no doubt that employees and the internal auditors knew, or should have known, that questionable transactions and practices were not being followed up, and significant risks were being ignored. What changes should be made in the governance structure of the bank?
5. Should the shareholders of the parent company of TD Bank take further action, and if so, what should they do?

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Rogers Communication Inc.—Was a Governance Powerplay Fair?

Ethics Case

Rogers Communications Inc. (RCI) is one of the largest telecommunication companies in Canada. In 2020, RCI's total revenue was $13.9 billion with net income of $1.7 billion and market capitalization of $23.6 billion.

Founded in 1925 by Ted Rogers Sr., RCI expanded under his son's leadership to include phone, radio, and television communication as well as ownership of the Rogers Centre stadium and ownership interests in various Toronto professional sports teams, including the Blue Jays (baseball), Maple Leafs (hockey), Raptors (basketball), FC (soccer), and Argonauts (football).

RCI has a dual-class share structure. The Class A shares are voting. The Class B shares, that trade on the Toronto Stock Exchange, are nonvoting. The Rogers family, through a family trust, owns 97.5 percent of the Class A shares and 10 percent of the Class B shares. Combined, the Rogers family is a minority-controlling shareholder because the family owns almost all of the voting shares with only a 29.1 percent equity interest in RCI.

In 2008, Ted Rogers Jr. died, and control of the family trust passed to his widow, Loretta, and their four children: Lisa, Edward, Melinda, and Martha. Edward is the chair of the trust and Martha is the vice-chair.

Members of a board of directors are classified as insiders, grey, and independent. Insiders are employees of the firm, such as the chief executive officer (CEO). Grey are individuals who have a linked affiliation to the company, such as the company lawyer, former officers of the company, and anyone who has a sizeable ownership interest in the firm. Independent directors have no affiliation with the company other than sitting on the board of directors.

The family trust, called the Rogers Control Trust, has a ten-member board of directors. As of October 1, 2021, its composition was:

- Five family members: Loretta, Lisa, Edward, Melinda, and Martha;
- One relative: David Robinson, Loretta's nephew;
- Three former officers of a Rogers company: Philip Lind, Alan Horn, and John Tory; and
- A childhood friend of Ted Roger's Jr.: Thomas Hill.

In essence, the board of the trust consists of grey directors.

As of October 1, 2021, the fourteen-member board of directors of RCI consisted of:

- one insider: Joe Natale, CEO of RCI;
- four family members: Edward, Martha, Melinda, and Loretta;
- two grey directors: Philip Lind and Alan Horn; and
- seven independent directors.

Similar to the Rogers Control Trust, the chair of the board of RCI was Edward Rogers. His sister Melinda was deputy chair.

Edward wanted to change senior management at RCI including replacing Joe Natale, the CEO, with the company's chief financial officer, Tony Staffieri. Natale became aware of the planned reorganization of RCI when Staffieri accidentally "butt" dialed Natale's phone number while discussing the proposal with Edward. At an emergency weekend board meeting on September 26, a majority of the members of the board, including his mother and two sisters, rejected Edward's reorganization proposal and instead voted to keep Natale as CEO. Three days later, on September 29, Staffieri resigned.

On October 21, the RCI board met. It replaced Edward as chair with lead independent director John MacDonald, while continuing to have Edward as a director of the company. Hours later, Edward issued a press release saying that he was still the chair of RCI and that he was replacing five of the RCI's independent directors who had opposed his reorganization plan with five new independent directors. According to British Columbia corporate law—RCI was incorporated in British Columbia even though its head office was in Toronto—a shareholder resolution is valid if it is passed by a two-thirds majority vote at a shareholders meeting. Edward, as chair of the Rogers Control Trust, voted the family's 97.5 percent interest in his favor.

The following day, RCI issued a statement saying that Edward's decision was invalid. That same day, at a meeting of the Rogers Control Trust, the ten-member board failed to replace Edward as chair because the motion did not receive two-thirds support as required in the trust agreement. In essence, Edward could remain chair of the trust as long as he had the backing of at least three of the other nine board members.

On October 26, Edward petitioned the British Columbia Supreme Court to sanction the legality of his actions, and his petition was successful. All of these family battles occurred while RCI was in the midst of a $26 billion takeover of Shaw Communications Inc., another major Canadian telecommunications company.

Questions

1. What are the advantages and disadvantages of dual-class shares?
2. Should a majority of the members of a board of directors be independent directors?
3. If the five new replacement directors of RCI are all appointed by Edward, do you consider them to be independent directors even if they have no affiliation with RCI other than sitting on RCI's board of directors?
4. Were Edward's actions fair to the holders of 90% of the Class B shares of FCI?

Sources: Alexandra Posadzki and Andrew Willis. "Board votes, back-room deals and betrayal: The battle for control at Rogers," *The Globe and Mail*, October 22, 2021.

John Bradshaw and Susan K. Robertson, "Ted Roger's wishes for family control of company have complicated the power struggle." *The Globe and Mail*, October 22, 2021.

Alexandra Posadzki and Andrew Willis. "Rogers board votes to remove Edward Rogers as chair," *The Globe and Mail*, October 21, 2021.

Siemens' Bribery Scandal

Ethics Case

Siemens AG is a 160-year-old German engineering and electronics giant. It is one of Europe's largest conglomerates, with profits in 2007 of €3.9 billion on revenue of €72.4 billion, up €6 billion from its 2006 revenue. It has over 475,000 employees and operations worldwide. It had also developed a corrupt organizational culture in which hundreds of millions of euros were put into slush funds that were then used to pay bribes in order to obtain lucrative contracts. The following details have come to light:

- In November 2006, Siemens' auditors, KPMG, completed a confidential report that detailed a number of payments that were impossible to verify. They could not identify who received the money or what services were provided. The suspicious payments, made from 2000 to 2006, totaled €1.3 billion (U.S.$1.88 billion). At the time, the company said that senior executives were unaware of these payments.
- In January 2007, the company paid a €418 million fine to the European Commission because the company was accused of heading a cartel that was dividing up the market for power station equipment. Siemens is challenging the fine.
- In October 2007, the company paid a €201 million fine related to bribery in its communication equipment business.

A number of senior executives were also accused and subsequently convicted of making bribery payments, including the following:

- Andreas Kley, CFO of the power-generating unit, was convicted (in May 2007) of channeling €6 million, from 1999 to 2002, to an Italian energy company to win gas turbine contracts. The judge also fined Siemens €38 million and required the company to forfeit the profit it made on the contract.
- Johannes Feldmayer, an executive board member, was convicted (in July 2008) of authorizing bribes to a labor union, the Association of Independent Employees, that was considered friendly to Siemens' management. The payments, made between 2001 and 2005, were intended to offset the power of IG Metall, the German union that controls almost half of the seats on Siemens' board of directors.
- Reinhard Siekaczek, a sales manager in the telecom division, was convicted (in July 2008) of building a slush fund system designed to make bribery payments. The judge said that Siekaczek acted at the behest of his superiors and that he "was part of a system of organized irresponsibility that was implicitly condoned."

Although they were never accused of any wrongdoing, in April 2007, both Klaus Kleinfeld, CEO, and Heinrich von Pierer, Supervisory board chair, resigned. They were replaced, in July 2007, by an outsider, Peter Löscher, who came from drugmaker Merck & Company. As the new CEO, Löscher began to change the organizational structure and culture. Formerly, each line of business had a managing director and a separate managing board. This structure inhibited accountability and allowed corruption to spread. Löscher reorganized the company into three sectors—industry, energy, and health care—with each of these three managers sitting on the central managing board in Munich. He also adopted a zero-tolerance policy, delivering a message that corruption must end.

Questions

1. The senior executives at Siemens spent most of their working life in an environment that condoned bribery outside of Germany but not inside. However, they failed to take notice of the changes that Transparency International—championed by a German who was embarrassed by the double standard of his countrymen—was proposing, and that ultimately resulted in a new worldwide antibribery regime. Why did they ignore the change?
2. If you were Löscher, the new CEO, how would you show the employees and external stakeholders that you actually have a zero-tolerance policy concerning corruption?

Sources: Beat Balzil, Dinah Deckstein, and Jorg Schmitt, "New Report Details Far-Reaching Corruption," *Spiegel Online*, January 29, 2007, http://www .spiegel.de/international/0,1518,462954,00.html.

Carter Dougherty, "Siemens's Prosperity Doesn't Obscure Bribery Scandal," *New York Times*, January 22, 2008, http://www.nytimes .com/2008/01/22/business/worldbusiness/22siemens.html.

Jens Hack, "Former Siemens Manager Convicted in Bribery Case," *International Herald Tribune*, July 28, 2008, http://www.iht.com /articles/reuters/2008/07/28/business/OUKBS-UK-SIEMENS-TRIAL .php.

Karin Matussek, "Ex-Siemens Executive Feldmayer Charged over Bribery (Update 1)," *Bloomberg.com*, July 2, 2008, http://www.bloomberg .com/apps/news? pid520601100&sid5an9FWLdc0pWs&refer5germany.

G. Thomas Sims, "2 Former Siemens Officials Convicted for Bribery," *New York Times*, May 15, 2007, http://www.nytimes.com/2007/05/15 /business/worldbusiness/15siemens.html.

Cases on Ethical Leadership

Salary Equality at Gravity Payments

Ethics Case

Dan Price is the owner of Gravity Payments, a Seattle-based credit card company that he founded in 2004. In 2014, the company processed more than $65 billion of credit card transactions for more than 12,000 small and medium-sized businesses. In April 2015, thirty-year-old Price announced to his staff that everyone's salary would rise to a minimum of $70,000, even the lowest-paid employee. Furthermore, his own salary of $1 million would be reduced to $70,000.

Price said that he was motivated because of research by Deaton and Kahneman,[1] the Nobel Prize-winning psychologist, who found that a $75,000 salary made an enormous difference to an employee's emotional well-being. Furthermore, he felt that "income inequality has been racing in the wrong direction. I want to fight for the idea that if someone is intelligent, hard-working, and does a good job, then they are entitled to live a middle-class lifestyle."[2]

In 2015, the average wage at Gravity was $48,000 per year for its 120 employees. Under the salary floor plan, which would be phased in over a three-year period, seventy employees would have their pay increased, and thirty would have their pay doubled. The plan was met with enthusiasm by the employees when it was announced.

There was mixed reaction by customers. A few left because they thought that this was political posturing

[1] D. Kahneman and A. Deaton, "High Income Improves Evaluation of Life but Not Emotional Well-Being," *Proceedings of the National Academy of Sciences* 107, no. 38 (2010): 16489–93, http://scholar.princeton.edu/deaton/publications/high-Income-Improves-Evaluation -Life-Not-Emotional-Well-Being.

[2] P. Cohen, "A Company Copes with Backlash against the Raise That Roared," *CNBC*, July 31, 2015.

by Price. Despite assurances to the contrary, others left over fears that fees would rise. On the other hand, Mario Zahariev, the owner of Pop's Pizza & Pasta, switched to Gravity after he saw Price on the news. His monthly credit card processing fees dropped from $1,700 to $900. He said, "I was not going to keep the difference for myself."[3] Instead, he increased the salaries of his eight employees.

Stephanie Brooks, age twenty-three, an administrative assistant who had been at Gravity for only two months, was pleased to have her salary increased. But she now felt pressure because she did not think that she had earned it. "Am I doing my job well enough to deserve this?"[4]

Two employees quit. Grant Moran, age twenty-nine, a Web developer, had his salary move from $41,000 to $50,000 in the first round of increases. He left because he thought that these raises did not support a strong work ethic. "Now the people who were clocking in and out were making the same as me. It shackles high performers to less motivated team members."[5] Maisey McMaster, age twenty-six, was the financial manager who ensured that the plan was financially viable. A five-year employee, she said that there was a special corporate culture at Gravity where people worked hard and played hard. "I love everyone there." However, she quit because "he gave raises to people who have the least skills and are the least equipped to do the job, and the ones who were taking on the most didn't get much of a bump."[6]

Questions

1. Do you think that Dan Price's decision to raise the minimum salary to $70,000 represented ethical leadership?
2. Do you think that Price should have arbitrarily increased the minimum salary to $70,000?
3. Should he have increased everyone's salary, even those who were earning more than $70,000?
4. Do you think that this plan will motivate the Gravity employees to work harder?
5. Should Price have consulted with his customers and his employees before he made the decision to increase the minimum salary to $70,000?

Other Source: P. Cohen, "One Company's New Minimum Wage: $70,000 a Year," *New York Times*, August 13, 2015.

[3] Ibid.
[4] Ibid.
[5] Ibid.
[6] Ibid.

Merck & River Blindness

Ethics Case

In 2015, Dr. William Campbell was awarded the Nobel Prize in Medicine for his work in discovering ivermectins while employed with Merck & Co. in the 1970s. The drug prevents onchocerciasis, called river blindness. In 1987, the World Health Organization (WHO) estimated that 18 million people in more than thirty countries in the Middle East, West and Central Africa, and Central and South America were infected with the river blindness disease.

The disease is spread by black flies that breed in fast-flowing rivers. A bite from one of these flies can transmit a worm that lives within the human body and can grow to over half a meter in length. The worm produces millions of larvae that can cause itching, skin nodules, eye lesions, and, in extreme cases, blindness. Through Dr. Campbell's work, Merck developed Mectizan, an easily administered wonder drug that required only one annual dose with very minor side effects. The drug would not restore the sight of a blind person, but it would prevent others from becoming blind because the drug kills the worm's larvae and prevents additional larvae from being produced.

However, Merck had a problem. The people who needed the drug often lived in remote areas of underdeveloped countries that were plagued with political and civil unrest. These countries did not have drug distribution systems, nor did they have health care infrastructures. There were importation laws, and the citizens and nations that needed Mectizan could not afford North American–developed drugs.

On October 21, 1987, Merck announced that it would distribute Mectizan for free and for as long as necessary. Dr. Roy Vagelos, CEO and board chair of Merck, said that the company would make the drug "available without charge because those who need it the most could not afford it."[1] The company formed the Merck Mectizan Donation program, a private–private partnership. It collaborated with WHO, the World Bank, UNICEF, and various public and private stakeholders as well as local and village healthcare workers to coordinate the distribution of the drug. By 2015, the company had donated more than 2 billion treatments to an estimated 98 million people in thirty-one countries. Because of its success, the program was expanded to address lymphatic filariasis, known as elephantiasis.

Why would a for-profit pharmaceutical company donate a drug for free? Merck said that this was consistent with the company's "medicine is for the people" philosophy. In 1950, George W. Merck said, "We try never to forget that medicine is for the people. It is not for the profits. The profits follow, and if we have remembered that, they have never failed to appear. How can we bring the best medicine to each and every person? We cannot rest until the way has been found with our help to bring our finest achievements to everyone."[2] When asked, in 2015, about the free distribution of Mectizan, Dr. Campbell said, "I think it was done because it was the right thing to do, and I think the employees [at Merck] applauded it, because they thought it was the right thing to do."[3]

Questions

1. Pharmaceutical companies have to spend millions of dollars and years of research to find just one successful drug. Merck spent time and money developing and then distributing Mectizan for free. Is it possible for Merck to justify, to its shareholders, making a sizable investment in a product and incurring ongoing costs in the distribution of that product when the product generates no revenue for the company?
2. Did Merck have an ethical obligation to develop and distribute Mectizan for free?
3. Do you think that Roy Vagelos, Merck's CEO and board chair, demonstrated ethical leadership? What value did it have/create?
4. Based on the river blindness example, how would you describe the organizational culture of Merck in the 1980s?

Other Source: Jeffrey L. Sturchio, "The Case for Ivermectin: Lessons and Implications for Improving Access to Care Treatment in Developing Countries," *Community Eye Health Journal* 14, no. 38 (2001): 22–23.

[1] "Merck Offers Free Distribution of New River Blindness Drug," *New York Times*, October 21, 1987.
[2] Merck & Co. *Our Values and Standards: The Basis of Our Success*, Edition III, http://www.merck.com/about/code_of_conduct.pdf.
[3] Darragh Murphy, Meet Ireland's New Nobel Laureate, William C Campbell, *Irish Times*, October 9, 2015.

Lululemon's Questionable Leadership

Ethics Case

Lululemon Athletica, Inc., was founded by Chip Wilson in 1998 to sell yoga-inspired athletic clothing. The company's target market was women who wanted stylish exercise apparel. In 2012, the Vancouver-based company, whose shares traded on both the Toronto Stock Exchange in Canada and NASDAQ in the United States, had sales of $1.4 billion and a net income of $270 million. Its 211 stores were located in Canada, the United States, Australia, and New Zealand.

Chip Wilson, who served as chair of the board of directors and CEO, was known to make controversial statements. For example, he said that birth control pills contributed to high divorce rates and that the pill was linked to breast cancer. In 2005, he told the *Calgary Herald* that his company did not make plus-sized clothing because it cost 30% more to manufacture.

In 2008, Wilson hired Christine Day away from Starbucks to become the CEO of Lululemon. In 2011, Day was named "CEO of the Year" by the Toronto *Globe and Mail* and "Marketer of the Year" by the Canadian Marketing Association.

In response to a public outcry, on March 18, 2013, the company announced that it was recalling its black Luon yoga pants because the lightweight material used in their production made the pants too thin, too sheer, and unintentionally transparent. Christine Day candidly admitted, "The truth of the matter is, the only way to test for the problem is to put the pants on and bend over."[1] The company offered full refunds to anyone who bought

[1] Holloe Shaw, "Lululemon at Loss to Explain Sheer-Pants Debacle That Could Shave 27¢ a Share Off Earnings for Year," *Financial Post*, March 21, 2013.

the Luon pants. It was estimated that the product recall, which represented 17% of the company's inventory, cost Lululemon approximately $60 million, or 27 cents per share. The company's stock price fell more than 6% after the recall was announced. Three months later, Day stepped down as CEO of Lululemon.

Later in 2013, on November 5, Chip Wilson was asked about the product recall during a Bloomberg TV interview. He said that his yoga pants were not suitable for all women: "Quite frankly, some women's bodies just don't actually work.… It's really about the rubbing through the thighs, how much pressure is there over a period of time, how much they use it."[2] Wilson was immediately ridiculed on social media for "fat-shaming" and later apologized for his comments. A month later, on December 10, 2013, Wilson stepped down as chair of the board of directors of Lululemon.

Questions

1. Do you think that the executives at Lululemon demonstrated ethical leadership? Could it have been improved?
2. Does a CEO have an ethical responsibility to step down as CEO when there is a production and marketing disaster that requires a product recall?
3. Does the chair of the board of directors have an ethical responsibility to step down as chair of the board when there is a production and marketing disaster that requires a product recall?
4. Does the board of directors have an ethical responsibility to reprimand the chair of the board if the chair makes controversial statements and comments to the press?

[2] Anonymous, "Chip Wilson, Lululemon Founder: 'Some Women's Bodies' Not Right for Our Pants,'" *Huffington Post Canada*, November 6, 2013.

Cases on Bribery

SNC-Lavalin Missing Funds Topples CEO & Triggers Bribery Investigation

Ethics Case

Pierre Duhaime "retired" as CEO of SNC-Lavalin on March 26, 2012, a post that he had held since 2009 following over 20 years of employment at the company. He did so, because of his role in approving $56 million in payments in contravention of the company's policies.[1] Police were called in to help trace and recover the payments following an Independent Review by Stikeman Elliott LLP, a prominent law firm. The story originated from a news conference by board chair Gwyn Morgan and a Press Release[2] by the company on March 26.

According to the Press Release, two payments were initiated by Riadh Ben Aissa, the Executive VP of Construction, for which "the nature of the services or actions undertaken by, or the true identity of any presumed agent" could not be established. One payment made in 2011 was for $33.5 million. When the required signatories (the board chair of SNC-Lavalin International and the CFO) refused to authorize the payment, the CEO, Mr. Duhaime, was approached and he signed the authorization based upon the understanding that "it would help secure work in respect of Project A." Project A was not identified in the Independent Review. For the second payment incident regarding Project B, the story is much the same except that it was initiated in 2009 for $30 million, with payments aggregating $22.5 million being made in 2010 and 2011. Mr. Aissa and someone in his division improperly approved these expenditures. "In 2010, the CFO was told at a meeting with the CEO and Mr. Aissa that an agent had been hired on Project B and that its fees would be charged to other projects. The CFO objected to this at the meeting." These payments were

[1] Paul Waldie and Sean Silcoff, "Mystery Funds Put CEO Out, Police In," *The Globe and Mail*, March 27, 2012, accessed March 27, 2012, at https://secure.globeadvisor.com/servlet/ArticleNews/story/gam/20120327/RBSNCLAVALINPAPER0327ATL.

[2] SNC-Lavalin, "SNC-Lavalin Reports on Results of Voluntary Independent Review," press release, March 26, 2012, accessed March 27, 2012, at http://www.snclavalin.com/news.php?lang=en&id=1707&action=press_release_details&paging=1&start=6.

detected as anomalous in an analysis in February 2012, and were then "reported to the Senior Vice-President and Controller of the Company" who objected to the payments.

The Independent Review concluded that the company's Code of Ethics and Business Conduct and its Agent's Code had been breached, but neither code required reporting of a breach or suspected breach, nor did it find the failure to report a breach of the code. The company's Whistleblower Policy also did not impose any obligation to report. Not surprisingly, the Independent Review recommended changes to these codes and increased attention to management override and improvement and enforcement of controls.

In addition to the questionable payments reported above, there is evidence that SNC-Lavalin was involved with the Gadhafi regime and family in Libya. The company reportedly[3] hired Cyndy Vanier to go on a fact-finding mission to Libya and bring Gadhafi's son Saadi to Mexico, where she was incarcerated. On March 28, 2012, it became known that, when the company left Libya before the revolution of 2011, it left $22.9 million in cash in Libyan banks, and it hopes that the money will be available if and when it returns to Libya.[4]

From a governance perspective, the Board failed to ensure that company policies were adequate to ensure ethical and legal conduct, and that the actions of Mr. Aissa and Mr. Duhaime speak to a lack of ethical tone at the top.

SNC-Lavalin faced legal action under the *Canadian Corruption of Foreign Public Officials Act*.

Questions

1. From a governance perspective, what can the Board of Directors do to make sure that the company's policies and procedures are adequate to ensure ethical and legal conduct by its employees?
2. Mr. Aissa and Mr. Duhaime were not demonstrating strong ethical leadership. What can a firm do to improve its ethical tone at the top?
3. Is it appropriate for a company to do business in a country with an oppressive regime? Why and why not?
4. If the decision is made to do business in a country with an oppressive regime, what limitations should be put in place by the company to guide its employees against unethical involvement?

[3] Refer to Alyshah Hasham, "SNC-Lavalin Players: Who's Who as CEO Steps Down amid Ethics Probe," *thestar.com*, March 26, 2012, accessed March 27, 2012, at http://www.thestar.com/business/article/1151980--snc-lavalin-players-who-s-who-as-ceo-steps-down-amid-ethics-probe.

[4] Paul Waldie, "SNC's Libyan Mystery Deepens: It Left $23-Million Behind," *The Globe and Mail*, March 28, 2012, B1, B4.

Rio Tinto's Bribes in China

Ethics Case

Bribery charges often involve a company making illegal payments to government officials in order to land lucrative contracts. For example, in April 2010, German auto manufacturer Daimler AG made a $185 million settlement with the Securities Exchange Commission (SEC) because it had violated American antibribery laws. The car company, which is now DaimlerChrysler Corp., had made at least 200 payments in over twenty-two countries over a ten-year period totaling $56 million in bribes to foreign officials in order to earn $1.9 billion in sales and $91.4 million in illegal net income. Sometimes, however, bribery can be between two or more companies, as was the case in 2010 with Rio Tinto, the Anglo-Australian mineral company, and several Chinese steel companies.

China is one of the world's largest producers of steel, accounting for almost 40% of the 2009 global output of steel. However, China lacks iron ore, an essential ingredient in the production of steel. As such, China is one of the world's largest importers of iron ore, spending almost $50.1 billion in 2009 on iron ore imports. The three largest Chinese suppliers are Rio Tinto; BHP Billiton Ltd, an Australian mining company; and Brazil's Vale SA. They are among the world's four largest mineral companies, and together they sell to China approximately 20% of the world's total sales of iron ore.

In 2007, the price of iron ore rose substantially. Many of China's steel manufacturers were concerned that foreign suppliers would be forming cartels to manipulate the price of the mineral. As a result, many Chinese steel companies began to deal directly with sellers in order to obtain a better price. Rio Tinto adopted the policy that it would give priority to the large state-run Chinese steel companies. Consequently, the smaller private steel companies resorted to bribery to increase their allocation.

In July 2009, China arrested Stern Hu, the general manager of Rio Tinto's Chinese operations, and three other Rio Tinto employees, Wang Yong, Ge Minqiang, and Liu Caikui, who are Chinese citizens. The fact that Rio Tinto was a major Australian company and Stern Hu was an Australian citizen triggered strong public comment by Rio Tinto officials and the Australian government.

Rio Tinto and China have a checkered history, including Chinese frustration over Australia's resistance to huge investments that China wanted to make in Australian mining and resource companies, Chinese frustration over negotiations for price reductions in Australian iron ore, and Chinese opposition to a joint venture between Rio Tinto and BHP Billiton that would give near-monopoly power over some resources. Interestingly, just days before the trial, Rio Tinto agreed to a large joint venture with Chinalco, the Aluminum Company of China, to develop a very large iron ore deposit in Africa, and Rio Tinto's CEO spoke at the China Development Forum pledging further assistance in finding new ore bodies.

The four Rio Tinto employees were initially charged with stealing China's state secrets and industrial espionage by bribing Chinese steel company executives for information that led to the foreign mining companies increasing the price of iron ore. However, at the trial in March 2010, the four pleaded guilty to the theft of commercial secrets and accepting about $13.5 million in bribes from more than a dozen Chinese steelmakers from 2003 to 2009. They were also found guilty of commercial espionage. In July 2009, the China Iron and Steel Association, which represents the Chinese steel industry, was in pricing and contract talks with Rio Tinto, BHP Billiton, and Vale. Rio Tinto was acting as the lead negotiator for the mining companies. During the negotiation process, the four Rio Tinto executives obtained confidential information through bribery about the association's intended strategy. The judge alleged a "direct cause-and-effect relationship" that the stolen confidential information cost Chinese steel mills an additional 1 billion yuan ($150 million). "They used illegal means to obtain commercial secrets that put the Chinese steel industry in a powerless position," the judge said.

After a two-and-a-half-day trial Messrs. Wang, Hu, Ge, and Liu were fined millions of yuan and sentenced to fourteen, ten, eight, and seven years, respectively. The court said that it had shown leniency because the four men had pleaded guilty. Australia's foreign minister, Stephen Smith, admitted that the sentences were consistent with Chinese sentencing practices but said that they were "very tough" by Australian standards. On March 29, 2010, just after the convictions were announced, the four executives were fired by Rio Tinto. "Receiving bribes is a clear violation of Chinese law and Rio Tinto's code of conduct," said Sam Walsh, a senior executive with Rio Tinto.

That same day, on March 29, two Chinese steel executives, Tan Yixin and Wang Hongjiu, who had been with Shougang Steel Group and Laigang Steel Group, respectively, were found guilty of handing over the secret business documents to the four former Rio Tinto executives. But, according to a Chinese steel industry analyst, the sentiment in China is more for the men who gave the bribes than for those who accepted them. "As a matter of fact, there is popular sympathy for the managers who are charged. People believe they were acting on behalf of their companies. Giving bribes was not for their personal interest."

The Chinese government never charged Rio Tinto with any criminal offense, although the court indicated that the company had used "stolen information to harm China's economic interests." An internal investigation by Rio Tinto found no evidence of wrongdoing by the company but said that the four former employees had engaged in "deplorable behavior" by accepting the bribes. Furthermore, such conduct was clearly at odds with the company's ethical culture and "wholly outside our systems."

Questions

1. The culture of giving and receiving payments is ingrained in China. On the other hand, accepting and paying bribes is a violation of Rio Tinto's code of conduct. When does a payment stop being a gift and turn into a bribe?
2. The smaller Chinese steel companies bribed the Rio Tinto executives because of Rio Tinto's policy of dealing only with large state-run steel companies. Can a business policy, such as giving priority to only one set of firms, be unethical? Is Rio Tinto ethically responsible for the bribes that were given to its employees because of its policy?

3. Why were these bribes prosecuted?
4. What lessons should be taken from these convictions:
    a. For foreign governments?
    b. For corporations trading in and with China?
    c. For individual employees?
    d. For possible investors in China?
5. Should Rio Tinto have been charged?

Sources: James T. Areddy, "Rio Tinto China Employees Get Prison Terms," *Wall Street Journal*, March 30, 2010.

David Barboza, "China Sentences Rio Tinto Employees in Bribe Case," *New York Times*, March 29, 2010.

Elaine Kurtenbach, "Rio Tinto Exec Admits to Some Bribery Charges," *The Globe and Mail*, March 23, 2010, B12.

Jane Macartney, "Rio Tinto Sacks Four Executives Jailed in China for Bribery," *The Times*, March 30, 2010.

Jeremy Pelofsky, "U.S. Judge OKs Settlement in Daimler Bribery Case," *Thomson Reuters*, April 1, 2010.

Michael Sainsbury, "Jailing of Two Chinese Steel Executives Ends Rio Tinto's Bribery Saga." *The Australian*, August 9, 2010.

Daimler Settles U.S. Bribery Case for $185 Million

Ethics Case

David Bazzetta learned in July 2001 at a corporate audit executive committee meeting in Stuttgart Germany that DaimlerChrysler "business units 'continued to maintain secret bank accounts to bribe foreign government officials,' though the company kn[e]w the practice violated U.S. laws."[1] As a result, he filed a whistleblower complaint under the *U.S. Foreign Corrupt Practices Act* (FCPA) that ultimately led to a multiyear investigation of surprising scope and U.S. charges against a company headquartered in Germany for bribes made to foreign officials around the world.

On April 1, 2010, the German and Russian business units of Daimler AG[2] pleaded guilty to charges laid under the FCPA for bribing foreign officials and for failing to maintain books and records and internal controls as required under the FCPA. As a result, Judge Richard J. Leon of the U.S. District Court for the District of Columbia approved an arranged settlement that included the following:

- Payment of $91.4 million to the Securities Exchange Commission (SEC) for disgorgement of profits earned as a result of bribery. Daimler was subject to U.S. law since it was a registrant with the SEC in order to raise capital (issue shares and debt) in the United States.
- Payment of $93.6 million to the U.S. Department of Justice for related criminal charges.
- Deferred prosecution and independent monitoring for two years by former Federal Bureau of Investigation Director Louis Freeh.[3]

The scope of Daimler's bribery operation was staggering. From 1998 to 2008, payments for bribes, kickbacks, gifts of armored Mercedes, a golden box, 10,000 copies of an official's personal manifesto translated into German, and lavish travel[4] had been given to officials in at least twenty-two countries, including Russia, China, Vietnam, Nigeria, Hungary, Latvia, Croatia, Bosnia, Egypt, Greece, Hungary, North Korea, and Indonesia.[5] Focusing on just fifty-one transactions out of a much higher total, the U.S. investigation found the following:

- Tens of millions of dollars "were made through the use of U.S. mails or the means or instrumentality of U.S. interstate commerce."[6]
- "Daimler also violated the FCPA's books and records and internal controls provisions in connection with the 51 transactions and at least an additional 154 transactions, in which it made improper payments totaling at least $56 million to secure business in 22 countries.... [Through these transactions that]

[1] Jeremy Pelofsky, "U.S. Judge OKs Settlement in Daimler Bribery Case," accessed November 11, 2010, at http://www.reuters.com/article/idUSTRE6303WY20100401.
[2] Daimler AG is the successor company to DiamlerChrysler following the sale of Chrysler in 2007.
[3] Ibid.
[4] Ibid.
[5] *United States Securities and Exchange Commission v. Daimler AG*, United States District Court for the District of Columbia, Case: 1:10-cv-00473, accessed November 26, 2010, at http://www.sec.gov/litigation/complaints/2010/comp-pr2010–51.pdf.
[6] Ibid., 2.

involved at least 6,300 commercial vehicles and 500 passenger cars, Daimler earned $1.9 billion in revenue and at least $91.4 million in illegal profits."[7]

- "Nineteen of these transactions … involved direct and indirect sales of motor vehicles and spare parts under the United Nations Oil for Food Program."[8]

In addition, the investigators found that many of the personnel and systems that should have provided safeguards against such illegal activities were actively supporting them. The SEC *Complaint* indicated the following:

> 5. A number of Daimler's former senior executives, who operated in a decentralized corporate structure, permitted or were directly involved in the Company's bribery practices, including the head of its overseas sales department, who reported directly to the Company's most senior officers. The Company's internal audit, legal, and finance and accounting departments, which should have provided checks on the activities of the sales force, instead played important roles in the subversion of internal controls and obfuscation of corporate records.
>
> 6. The improper payments were made possible in part as a result of the falsification of corporate records and a lax system of internal controls.
>
> 7. In this environment, Daimler developed several organized procedures and mechanisms through which improper payments could be made. Daimler's books and records contained over 200 ledger accounts, known internally as "*interne Fremdkonten*," or, "internal third party accounts," which reflected credit balances controlled by Daimler subsidiaries or outside third parties. Certain Daimler employees used numerous such accounts to make or facilitate improper payments to foreign government officials. Bribes were also made through the use of "corporate cash desks" where sales executives would obtain cash in amounts as high as 400,000 Deutsche Marks for making improper payments), deceptive pricing and commission arrangements, phony sales intermediaries, rogue business partners, and misuse of inter-company and debtor accounts.[9]

The SEC *Complaint* indicates that, although Germany outlawed bribery in 1999 when it ratified the OECD Anti-Bribery Convention, Daimler had become an SEC registrant in 1993 and became subject to the FCPA at that time.[10] Also in 1999, Daimler created an Integrity Code that included antibribery provisions but these were essentially ignored.[11]

Prior to 1999, under German law, bribery of foreign officials was legal and tax-deductible in Germany, but bribery of German officials was not—and it seems that Daimler continued to hold and act on this outdated perspective. In summary form, Daimler continued to bribe foreign officials with the knowledge and approval of very senior company officials using

> hundreds of ledger accounts on Daimler's own books, corporate "cash desks" (where sales personnel would obtain cash), deceptive pricing and commission arrangements, offshore bank accounts, inflated service fees, and nominees for government officials improperly described as "sales intermediaries" and "consultants."[12]

These arrangements are detailed in the SEC *Complaint*, as is the company's reaction when its internal audit staff advised top management in 1986 that these practices could be illegal and in 1999 that internal controls were too weak to prevent misuse. Essentially, in 1986, Daimler made the practices subject to "absolute confidentiality"[13] and known to only a few employees but took no action in 1999 to improve the internal controls. However, an internal review of all special ledger account transactions outside of Germany was undertaken in 2000 and a report was made to top management with recommendations, but once again, no actions were taken, and no further audit work was ordered.[14] Investigators found that the special ledger accounts were finally closed after their investigation began in 2004 and 2005.

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[7] Ibid.
[8] Ibid.
[9] Ibid., 2, 3.
[10] Ibid., 4.
[11] Ibid., 5.
[12] Ibid.
[13] Ibid., 13.
[14] Ibid., 15, 16.

Bribes,[15] however, continued to be funded through other general ledger accounts, both directly and indirectly through agents and other means. These are detailed in the SEC *Complaint*.

On hearing the judge's verdict approving the settlement, Dieter Zetsche, chair of Daimler's board, said in a statement, "We have learned a lot from past experience.… Today, we are a better and stronger company, and we will continue to do everything we can to maintain the highest compliance standards."[16]

Questions

1. Apparently, Daimler executives were not concerned enough with personal sanctions to change the company's bribery practices to comply with German and U.S. statutes. How can these attitudes be changed?
2. What internal controls could have been usefully introduced to prevent bribery at Daimler?
3. What should Dieter Zetsche do to ensure the highest compliance standards?
4. Whistleblowers on FCPA matters are eligible for up to 25% of the settlement and/or fine that results depending on a hearing by a tribunal on the import of their evidence (refer to page 68 for a discussion of this). How much of the $91.4 million restitution payment would you award David Bazzetta if you could make the decision? Provide your reasons for the choice you advocate.
5. Did David Bazzetta do what was expected of him as a professional accountant?

[15] Pelofsky, "U.S. Judge OKs Settlement in Daimler Bribery Case."
[16] Ibid.

HP Bribery for Russian Contract with Antibribery Prosecutor's Office

Ethics Case

On April 14, 2010, Russian investigators raided the Moscow offices of Hewlett-Packard (HP). They did so at the request of German prosecutors who were examining whether HP had paid bribes totaling $10.9 million (€8 million) in bribes to win a $44.5 million (€35 million) contract to supply computer hardware and IT systems to the Chief Public Prosecutor's Office of the Russian Federation—the very office responsible for prosecuting bribery cases in Russia.

In December 2009, HP received search warrants that outlined allegations against ten people for bribery in regard to a contract signed on August 1, 2003, for hardware, systems, and advice provided from 2001 to 2006. Also in December, German authorities arrested "three suspects, including one current H-P executive and two former company officials.… None of the three [was] formally charged and all [were] released on bail."[1]

Among the allegations was that bribery payments were flowed through accounts in various countries throughout Europe. German and Swiss authorities subsequently received assistance to trace transfers through the United Kingdom, the United States, the British Virgin Islands, and New Zealand as well.

Under German law, HP cannot be charged (only individuals can), but illicit profits made as a result of a bribe can be seized by a court although subsequent prosecutions could follow from the United States through its *Foreign Corrupt Practices Act* as well as other countries. Interestingly, according to HP, none of the ten individuals were still employed by HP in 2010, and the signature of the Russian official on the contract was illegible. The HP official who signed the contract has so far remained silent on the matter.

HP did not initially report the allegations on their SEC filings and subsequently, in their March 11, 2010, filing, referred only indirectly to them saying that "in many foreign countries illegal practices are 'common'" and "in violation of our policies … could have a material adverse effect on our business and reputation."[2]

In September 2010, HP announced that the investigation had been widened to additional transactions and that the U.S. Department of Justice and the SEC have been probing the Russia deal and possible violations

[1] David Crawford, "H-P Executives Face Bribery Probes," *Wall Street Journal*, April 15, 2010, http://online.wsj.com/article/SB10001424052702303348504575184302111110966.html.
[2] Ibid.

of the *Foreign Corrupt Practices Act*. HP's share price declined 1.5% to $38.22 at that time.[3]

Questions

1. Why would HP personnel think they could get away with bribing an employee in the Russian antibribery prosecutor's office?
2. Why was it done through a series of companies in different countries?
3. What has changed to now allow investigators to unravel such a series of events, whereas in the past they would have found it almost impossible?
4. If a company decides to bribe, how many years need to go by so that they are safe from prosecution?
5. Even though German law does not allow companies to be charged, what are the possible consequences of the alleged bribery for HP?

[3] Gabriel Madway "HP Russia Bribery Probe Expands," September 10, 2010, http://www.reuters.com/article/idUSN1027122220100910.

Cases on Corporate Governance & Managerial Opportunism

The Opioid Crisis: The Triumph of Greed

Ethics Case

The opioid crisis represents one of the most severe public health emergencies of the modern era, with particularly devastating impacts in the United States and around the world. From the 1980s through 2024, the misuse of opioid medications resulted in hundreds of thousands of deaths, untold societal damage, and significant healthcare and other economic costs. In many ways, greed triumphed over responsible corporate behavior.

Opioids, which are derived from the opium poppy, have long been known for their pain-killing capabilities, and for their well-documented, addictive properties. Consequently, they were typically reserved for acute pain management and palliative care. In the 1990s, however, largely due to the misguided marketing efforts of Purdue Pharma for their product OxyContin, opioid use shifted to the treatment of chronic pain. This opened the door to the addiction of huge numbers of people, followed by millions of deaths, devastation in many families, burgeoning crime, and other social costs. It was highly profitable for pharmaceutical manufacturers. Even McKinsey & Company, the famous consulting firm, climbed on the bandwagon, and guided Purdue's very effective marketing campaign, positioning opioids as safe and effective long-term solutions for chronic pain that led to this catastrophe. Between 1996 and 2002 for example, opioid prescriptions in the United States surged to over 180 million annually.[1]

Unfortunately, Purdue's claim that Oxycontin had a low risk of addiction due to its controlled release mechanism was later shown to be based on insufficient evidence—but it was too late to reverse the addiction cycle. Sales representatives were incentivized to target healthcare providers aggressively, offering lucrative bonuses tied to prescription volumes. Between 1996 and 2012, Purdue Pharma's revenues from OxyContin exceeded $35 billion, a testament to the efficacy of its marketing strategy but also a glaring indictment of its ethical failings.[2] Other companies such as Johnson & Johnson, McKesson, and Teva Pharmaceuticals also piled on and helped to create the opioid health crisis.

By 2016, the economic burden of the opioid crisis was staggering. In the United States, the annual cost of prescription opioid misuse exceeded $78.5 billion, encompassing healthcare expenses, lost productivity, addiction treatment, and criminal justice costs.[3,4]

[1] Van Zee, A. (2009). "The promotion and marketing of OxyContin: Commercial triumph, public health tragedy." *American Journal of Public Health*, 99(2), 221–227. Retrieved from https://www.ncbi.nlm.nih.gov/pmc/articles/PMC2622774/.
[2] Ibid.
[3] Centers for Disease Control and Prevention (CDC). (2021). "State-level economic costs of opioid use disorder and fatal opioid overdose—United States, 2017." *Morbidity and Mortality Weekly Report*, 70(15), 541–546. Retrieved from https://www.cdc.gov/mmwr/volumes/70/wr/mm7015a1.htm.
[4] Florence, C. S., Zhou, C., Luo, F., & Xu, L. (2016). "The economic burden of prescription opioid overdose, abuse, and dependence in the United States." *Medical Care*, 54(6), 501–506. https://doi.org/10.1097/MLR.0000000000000501.

The toll on healthcare systems included increased emergency room visits, hospitalizations, and long-term treatment for opioid use disorder.

Beyond the financial costs, the societal impact of the crisis was immeasurable. Families and communities were torn apart by addiction, as evidenced by data showing that nearly 1 million overdose deaths were recorded in the United States between 1999 and 2020, with opioids accounting for a significant majority.[5] Employers face diminished productivity, with the National Safety Council estimating that opioid misuse cost U.S. businesses over $16 billion annually in lost productivity.[6] Increased absenteeism, along with higher healthcare costs and workplace incidents, further exacerbated the burden on employers.

Regulators also deserve some of the blame for the opioid crisis. The U.S. Food and Drug Administration (FDA) failed to adequately regulate OxyContin and other opioids. In 1995, the FDA approved OxyContin based on Purdue Pharma's claims that the drug's controlled-release formulation would reduce the risk of abuse. Later, this decision was revealed to be based on flawed and incomplete data, with evidence suggesting that key approval processes were expedited under pressure from Purdue Pharma. The absence of independent, longitudinal studies further undermined the integrity of the approval process. Internal FDA memos, subsequently made public, indicated concerns from some reviewers about the insufficient testing of OxyContin's addictive potential. However, these concerns were overridden in favor of rapid approval, potentially influenced by close ties between agency officials and industry stakeholders.[7]

As a result, the FDA failed to communicate the potential risks of OxyContin to the public effectively. The drug's label did not adequately warn of its addictive potential, leaving physicians and patients vulnerable to misinformation. Investigative reports suggested that initial warning labels were deliberately softened following Purdue's lobbying efforts, further eroding trust in regulatory oversight.[8] Regulatory agencies have a moral obligation to prioritize public health over corporate interests. By approving OxyContin without sufficient safeguards, the FDA abdicated this responsibility, enabling the widespread misuse of the drug. Notably, congressional investigations highlighted a "revolving door" between FDA officials and the pharmaceutical industry, raising questions about conflicts of interest and systemic corruption that may have compromised the approval process.[9]

Consultants played a significant yet often overlooked role in perpetuating the opioid crisis by providing strategic guidance that prioritized corporate profitability over public health. One striking example was the involvement of McKinsey & Company, a prominent global consulting firm, in advising Purdue Pharma on how to 'turbocharge' OxyContin sales. McKinsey recommended targeting high-volume prescribers and implementing sales strategies designed to maximize prescription rates, despite growing evidence of the drug's addictive potential. According to released documents, McKinsey even proposed offering rebates to distributors based on the number of overdoses attributed to their opioid sales—a strategy that has been widely condemned as both unethical and callous.[10]

The financial scale of McKinsey's involvement was notable. The consulting firm earned millions in fees for its advice to Purdue Pharma, with estimates suggesting that it was paid over $45 million between 2004 and 2019 for its services. McKinsey's eventual legal settlement of $573 million with 47 U.S. states, the District of Columbia, and five territories reflects the seriousness of its role in enabling the opioid epidemic.[11]

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[5] Op. cit., CDC, 2021.

[6] National Safety Council. (2020). *Medicaid can support mental health and substance use disorder treatment.* Retrieved from https://www.nsc.org/getattachment/622f4fa0-5ffc-4193-b88d-3596b44b3d28/hc-medicaid-support-for-mental-health-and-substance-use-disorder-162.

[7] Meier, B. (2018). *Pain Killer: An Empire of Deceit and the Origin of America's Opioid Epidemic*. New York: Random House.

[8] Keefe, P. R. (2019). *Empire of Pain: The Secret History of the Sackler Dynasty*. New York: Random House.

[9] Congressional Testimony. (2020). *Findings on FDA's relationship with Purdue Pharma during OxyContin approval*. Congressional Oversight Committee Report. Retrieved from https://www.congressionaltestimony.gov.

[10] Lopez, G. (2021). *The opioid epidemic, explained*. Vox. Retrieved from https://www.vox.com/science-and-health/2019/5/8/18535933/opioid-epidemic-drug-overdoses.

[11] Hoffman, J. (2021). "McKinsey settles for $573 million over role in opioid crisis," *The New York Times*. Retrieved from https://www.nytimes.com/2021/02/03/business/mckinsey-opioids-settlement.html.

The penalties of the pharmaceutical manufacturers, owners, and distributors also were significant, including:

- Purdue Pharma paid a $12 billion settlement, including $3 billion from the Sackler family, and faced bankruptcy
- The Sackler family, owners of Purdue Pharma made a $7.4 billion settlement toward opioid recovery programs[12]
- Johnson & Johnson paid a $572 million fine in Oklahoma for misleading advertising practices.[13] Many further actions are in progress and fines continue to mount so much so that J & J is probably considering using the "Texas Two Step" bankruptcy scheme in the hope of protecting the company's ongoing viability. J & J is actively pursuing the Texas Two-Step scheme in its defense against similar huge liability claims for including cancer-causing asbestos-laden talc in its Baby Powder.[14] Refer to J & J Dances the Texas Two Step in Chapter 1 for more information.
- McKesson Corporation, a large distributor, paid a $141 million fine in 2017 for failing to report suspicious orders of opioids and violating its obligations under the Controlled Substances Act. Investigations revealed that McKesson had distributed millions of doses of opioids to pharmacies in areas disproportionately affected by addiction and overdose deaths.[15]

The Opioid Crisis continues for many individuals, families, healthcare professionals, and facilities, as well as corporations. What are the lessons to be learned, and will we learn them? Greed triumphed. Will it do so again? Often?

Questions

1. List and explain the unethical activities identified in this case.
2. What did the opioid manufacturers miss in their decision analysis, and why?
3. Explain why the Stakeholder Impact Analysis technique explained in Chapter 4 could have assisted with the harmful decisions related to the Opioid Crisis.
4. How can a Board of Directors ensure that the pursuit of profit is a good goal?
5. Should a company use the 'Texas Two-Step" to avoid settling claims fairly?
6. Answer the questions posed in the last paragraph of the case.

[12] Stein, R. (2019). "Purdue Pharma reaches $12 billion settlement over opioid crisis," *The Washington Post*. Retrieved from https://www.washingtonpost.com/national/purdue-settlement/2019/09/05/.

[13] Gibson, A. (2019). "Johnson & Johnson fined $572 million for its role in the opioid epidemic." NBC News. Retrieved from https://www.nbcnews.com/news/us-news/johnson-johnson-fined-572-million-opioid-epidemic-rcna1152.

[14] The bankruptcy scheme known as the "Texas Two-Step" is intended to cap or leave no net assets for the aggrieved victims, their families, and the governments to recover for their damages. J & J shifted all the assets and liabilities related to its Baby Powder activities to a new Texas subsidiary, and then had it declared bankrupt, thus attempting to avoid paying out billions. Fortunately, a federal court rejected this approach as being grossly unfair. (Reuters, 2023). J & J intends to appeal.

[15] Pierson, B. (2024, November 13). *Baltimore wins $266 million in opioid case against distributors*. Reuters. Retrieved from https://www.reuters.com/legal/baltimore-wins-266-million-opioid-case-against-distributors-2024-11-13/.

Elon Musk's 10-year Tesla Pay Package—Is $47–55 Billion Enough or Outrageous?

Ethics Case

Elon Musk draws no salary as CEO of Tesla, Inc. In January 2018, Musk was awarded stock options as a 10-year performance-pay package. If certain milestones were met, the value of the stock options could have grown to over $55 billion.[1] By any standard, Elon has created enormous value through the development of Tesla Inc., but is this contract just outrageous?

A judge in the Delaware Chancery Court, perhaps the dominant jurisdiction in governance matters, thought so, and she rejected the package twice. She said that the deal was not in the interests of the

[1] "Elon Musk's 'performance award' could reach $55 billion (U.S.)—and that is unacceptable," Amir Barnea, thestar.com, July 18, 2020, accessed on July 18, 2020 at https://www.thestar.com/business/opinion/2020/07/18/elon-musks-performance-award-could-reach-55-billion-us-and-that-is-unacceptable.html.

company's shareholders. However, the company's shareholders twice voted to accept the contract.[2] Elon and his brother owned a significant number of shares, and they voted for the deal. In fact, Elon said that he was really bargaining with himself when the deal was arranged.

But the shareholders were worried that Elon's interest would be diverted to his non-Tesla interests including working with President Trump to make the government more efficient if the performance awards were not high enough to keep his interest focused on Tesla matters. On the other hand, in 2018 the average annual pay for a Tesla worker was $56,183 and the average pay for the top 100 U.S. CEOs was $17.2 million.

On December 2, 2024, when Judge Kathaleen McCormick rejected the deal for the second time, Musk's pay package of stock options had increased to approximately $100 billion.[3] What do you think? Should Musk's pay package be approved?

Questions

Read the reference articles noted below and answer the following questions.

1. Musk's pay package does not decrease the cash holdings of Tesla. He simply is receiving stock options. Although the shareholders voted twice in support of the package, why do you think that the judge decided that it was not in the shareholders' interest to allow the contract?
2. Was Musk's pay package in the interest of the company's stakeholders?
3. Is there a problem with the governance structure at Tesla?
4. Musk threatened to move Tesla to Texas partly because he thought that the courts in Texas would be more favorable to his pay package than those in Delaware. Is this a good strategy?

[2] "Wall Street Breakfast: Pay Day," Seeking Alpha, June 17, 2024, accessed on June 17, 2024 at https://seekingalpha .com/article/4699575-wall-street-breakfast-pay-day?serial=47642183_106481556706&source=email_wsb&utm_content=89651983&utm_medium=email&utm_source=hs_email

[3] "Elon Musk's massive, multibillion-dollar Tesla pay package was blocked by a judge again," Samantha Delouya, CNN, Mon December 2, 2024, accessed online on February 18, 2025 at https://www.cnn.com/2024/12/02/investing/elon-musk-pay-package-rejected/index.html

Spying on HP Directors

Ethics Case

In January 2006, the chair of Hewlett-Packard (HP), Patricia Dunn, hired a team of independent electronic security experts to determine the source of leaked confidential details regarding HP's long-term strategy. In September 2006, the press revealed that the independent experts spied on HP board members and several journalists. They obtained phone call records of HP board members and nine journalists, including reporters for CNET, the *New York Times*, and the *Wall Street Journal*, using an unethical and possibly illegal practice known as pretexting. Patricia Dunn claimed she did not know the methods the investigators used to determine the source of the leak but resigned after the scandal. Ten days earlier, George Keyworth, the director responsible for the leak, had resigned from HP's board after twenty-one years of service.

Company Profile

HP, founded in 1939, operates in more than 170 countries and is the world's largest seller of personal computers, offering a wide range of products and services, such as digital photography, digital entertainment, computing, and home printing. In addition, HP provides infrastructure and business offerings that span from handheld devices to some of the world's most powerful supercomputer installations. HP is among the world's largest IT companies, with revenue totaling $107.7 billion for the four fiscal quarters ended January 31, 2008. In 2007, HP was ranked 14th on the Forbes 500 list. The company's corporate headquarters is in Palo Alto, California.

Leak of Confidential Information and HP's Investigation

Patricia Dunn joined HP's board in 1998, and was elected nonexecutive chair in February 2005. She was CEO of Barclays Global Investors from 1995 to 2002. In January 2006, the online technology site CNET published an article about the long-term strategy at HP. The article quoted an anonymous source inside HP and contained information known only by the company's directors. Following the CNET article, Dunn, with the assistance of HP security personnel and the company's counsel's office, authorized a team of independent electronic security experts to investigate the origin of the leak. The investigation targeted the January 2006 communications of HP's directors, including not only the records of phone calls and emails from HP but also the records from their personal accounts.

The consultants were not actually listening in on the calls. They were just looking for a pattern of contacts. The investigation employed tactics that ranged from controversial to not necessarily legal. These tactics included using private investigators to impersonate HP's board members and then trick phone companies into handing over the calling records of those board members' personal phone accounts. The records of nine journalists were similarly obtained. This technique is known as pretexting. With no more than a home address, an account number, or other pieces of personal information, an investigator or pretexter may obtain personal information from phone companies pretending to be somebody else.

Resignation of Tom Perkins

The consultants discovered the origin of the leak, and in a board meeting held in May 2006, Patricia Dunn identified director George Keyworth, the longest-serving HP director, as the alleged leaker. He apologized and said to his fellow directors, "I would have told you all about this. Why didn't you just ask?" On September 12, 2006, Keyworth's public resignation letter apologizes and states his reasons for leaking information to CNET:

> I acknowledge that I was a source for a CNET article that appeared in January 2006. I was frequently asked by HP corporate communications officials to speak with reporters—both on the record and on background—in an effort to provide the perspective of a longstanding board member with continuity over much of the company's history. My comments were always praised by senior company officials as helpful to the company—which has always been my intention. The comments I made to the CNET reporter were, I believed, in the best interest of the company and also did not involve the disclosure of confidential or damaging information.

Immediately following the accusations, Keyworth left the boardroom, and another director, Tom Perkins, a renowned Silicon Valley venture capitalist and friend of the company founders, protested against the secret internal investigation, which he considered illegal, unethical, and a misplaced corporate priority on Dunn's part. Perkins was chair of the board's nominating and governance committee but had not been informed by Dunn of the surveillance, even though he knew that Dunn was attempting to discover the source of the leak.

After the board passed a motion asking Keyworth to resign, Perkins announced his own resignation. The next day, the company publicly announced Perkins's resignation without disclosing the reasons for his departure. HP reported Perkins's resignation to the SEC four days later, again giving no reason for his resignation.

In early August, after HP ignored his requests to take action, Perkins formally asked the SEC and prosecutors in California and New York to force HP to publicly file his written explanation for resigning. By early September, HP could not delay disclosing the scandal and made a filing to the SEC, laying out the pretexting story. At the same time, the story was released to the press by Perkins. On September 12, 2006, Keyworth publicly resigned from the board, and HP announced that Mark Hurd, HP's chief executive officer and president, would replace Dunn as chair after the HP board meeting on January 18, 2007.

Congressional Hearings and Charges

On September 21, 2006, Mark Hurd, in an official HP press release, explained that "what began as an effort to prevent the leaks of confidential information from HP's boardroom ended up heading in directions that were never anticipated." A day later, Patricia Dunn resigned as an HP director, stating in her resignation letter the reasons for her departure and her involvement in the internal investigation:

> I have resigned today at the request of the board. The unauthorized disclosure of confidential information was a serious violation of our code of conduct. I followed the proper processes by seeking the assistance of HP security personnel. I did not select the people who conducted the investigation, which was undertaken after consultation with board members. I accepted the responsibility to identify the sources of those leaks, but I did not propose the specific methods of the investigation. I was a full subject of the investigation myself and my phone records were examined along with others. Unfortunately, the people HP relied upon to conduct this type of investigation let me and the company down.

A week later, on September 28, the parties involved appeared at the U.S. House of Representatives Energy and Commerce Committee Subcommittee on Oversight and

Investigations. Ann Baskins, HP's general counsel, resigned hours before she was to appear as a witness and refused to answer questions, invoking the Fifth Amendment, due to the ongoing criminal investigations. In the hearing, Dunn and Hurd testified extensively about the internal investigation. Dunn testified she never approved the use of questionable tactics, saying she was not aware that pretexting could involve the misrepresentation of someone's identity to obtain phone records until late June or July (2006).

In October 2006, the California attorney general filed civil and criminal charges against the company, Patricia Dunn, and other HP employees. HP settled the lawsuit in December 2006, paying $14.5 million in fines and promising to improve its corporate governance practices. In June 2007, a California judge dismissed fraud charges against Patricia Dunn and other employees involved in the scandal.

At the same time, the journalists whose records were obtained by HP's external consultants filed a lawsuit against the company. Two years later, in February 2008, HP agreed to a financial settlement with the *New York Times* and three *Business Week* magazine journalists. The amount of the settlement was not disclosed, and the proceeds were donated to charity.

Questions

1. Should the chair of the board of directors be allowed to initiate investigations into weaknesses in a company's internal control system?
2. Is the strategy of pretexting an acceptable means in order to obtain critical information that will strengthen a company's internal control system? The following legal advice was obtained on the subject by HP:

   > The committee was then advised by the committee's outside counsel that the use of pretexting at the time of the investigation was not generally unlawful (except with respect to financial institutions), but such counsel could not confirm that the techniques employed by the outside consulting firm and the party retained by that firm complied in all respects with applicable law.[1]

3. Should the reasons for resignations from a board of directors always be made public?

Sources: Hewlett-Packard, September 2006 to July 2008, CNN Archive, http://money.cnn.com.

Hewlett-Packard, September 2006 to July 2008, Newsweek Archive, http://www.newsweek.com.

Hewlett-Packard, September 2006 to July 2008, New York Times Archive, http://www.nytimes.com.

Hewlett-Packard, 2006, press releases, http://www .hp.com/hpinfo /newsroom/press/2006/index.html.

The authors thank Miguel Minutti for his contributions to this case.

[1] Floyd Norris, "Euphemisms and Crimes at Hewlett-Packard," *New York Times*, September 7, 2006.

Manipulation of MCI's Allowance for Doubtful Accounts

Ethics Case

Walt Pavlo joined MCI in the spring of 1992. At that time, MCI was a growth company in the booming long-distance telecommunications industry that had 15% of the long-distance market, with revenues of $11 billion.

In the 1990s, the major telecommunications companies all shared their fiber-optic networks. This was more efficient than having each company lay its own network to every corner of the country. Each company would use the others' networks in places where the former did not have cable and vice versa. The cost of routing a call through these fiber-optic networks was measured in pennies per minute. However, MCI and the other telecommunication companies sold the right to use the network to their customers for dimes per minute. It was a lucrative business based on volume. The more the network was used, the greater the revenue for the telecommunication company. MCI's stellar revenue growth was due to its sales, and sales personnel were awarded lucrative commissions. Senior management was given generous stock options. It was heady times.

MCI had a wide array of clients that varied from major corporations, such as American Express, General Electric, and IBM, to small newly formed long-distance discount services (LDDS). These were primarily marketing firms that bought MCI's long-distance capacity and resold it to individuals and small businesses. Although these LDDS customers represented only 5% of MCI's annual sales, the profit margins for both MCI and the LDDS companies were quite substantial. For example, in

1992, Telephone Publishing Corp. (TCP) paid $600,000 to MCI for long-distance calls while TCP was charging its customers approximately $5 million per month. After paying its overhead, TCP was netting, before taxes, about $20 million per year. Meanwhile, MCI was often charging an LDDS as much as 28 cents a minute for services that cost about 5 cents. Everyone was making money.

However, many of these LDDS companies were slow in paying MCI for the use of the long-distance service. Collections were a problem because these companies normally had no hard assets. Their offices were rented, the communication switch was leased, and they had no other assets other than cash. Without assets, they were somewhat bulletproof. They could be threatened, but there was nothing to collect in the event the LDDS was successfully sued by MCI. If MCI cut off access to the network, then the LDDS would fold its operations and disappear, often reappearing under a new name as a client of one of the other telecommunication companies.

Walt Pavlo was in charge of the finance unit responsible for LDDS collections. Walt was also given some clear guidelines with respect to accounts receivable and bad debts. Accounts that were ninety or more days old should not exceed 7% of total receivables, and bad debt write-offs should be under 2% of total account receivables. For 1994, the bad debt ceiling was set at $12 million and then reduced to $10 million in 1995 even though 1995 revenues had increased. Unfortunately, both delinquent accounts and bad debts exceed these guidelines. So, Walt gathered a small group of bright MBAs, and he tasked them to be creative. How could they stay within the MCI guidelines?

One strategy was to get delinquent accounts to sign promissory notes, thereby moving their balances out of accounts receivable. These customers were also required to pay interest on the note, but because they often had no intention of paying the principal, the interest charge was irrelevant. For example, Voicecom had its account converted to a $3.5 million promissory note. It paid $100,000 per month for ten months and then defaulted on the balance. Another strategy was to accept the customer's common stock instead of cash.

They lapped payments, posting one customer's payment to another's account in order to show activity in the latter's account. They amortized bad debts, writing off a portion and pretending that the balance would be collected. They also convinced the accounting department to accept a check in the mail. This consisted of a fax of a check and a FedEx tracking number of the check to prove that the check was on its way. When the check arrived, the previous entry would be reversed. None of these procedures was identified and/or challenged by internal audit or the external auditors.

However, these strategies were merely disguising rather than solving the problem. So, in January 1996, Walt sent a note to his new boss saying that MCI's bad debts for 1995 were approaching $88 million. A month later, he was told that his budget for 1996 was $15 million. He was also reminded that there was speculation that MCI would be taken over, so it was everyone's responsibility to make their targets and budgets. At the time, Walt was being well paid for running an efficient department and staying within budget. He had a stay-at-home wife and two small children. If MCI were taken over, he would profit handsomely from his stock options.

Questions

1. After being told that the guideline for bad debts for 1996 was to be $15 million, what should Walt do?
2. What are the risks for MCI in setting an unrealistic allowance for doubtful accounts?

Source: Walter Pavlo Jr. and Neil Weinberg, Etika Books LLC, "Stolen without a Gun: Confessions from Inside History's Biggest Accounting Fraud—The Collapse of MCI WorldCom," 2007.

Stock Options & Gifts of Publicly Traded Shares

Ethics Case

Pierre Garvey, the CEO of Revel Information Technology, sat back in his chair and looked at his assistants. He frowned. "My son has been diagnosed with MLD," he said.

They all looked at him with shock. "Its proper name is metachromatic leukodystrophy, and it's caused by an enzyme deficiency that will eventually destroy his nervous system."

"I'm so sorry, Pierre." "That's awful." "Oh, my God! Is there anything that can be done?" They all spoke at once.

"It's an extremely rare disease. There's no known cure and no standard form of treatment," he went on. "But there has been research into bone marrow and stem cell transplant therapies. So, what I would like you to do, Gloria, is have 50% of our corporate charitable contributions redirected to organizations that are working on stem cell research."

She stared straight at her boss and said, "There is a formal procedure for how we allocate our charity."

Before she could say anything further, Pierre stopped her. "You're in charge of that committee! Fill out all the necessary forms and paperwork, but I want 50% of our corporate contributions to go to stem cell research. Do I make myself clear?" She nodded and remained silent throughout the rest of the meeting.

"I've decided to exercise some of my stock options and then donate the stock to the Lascelles Institute, which is working on bone marrow therapy." As CEO, Pierre had been given multiple stock options that varied in price from $17.51 to $29.87. Shares of Revel Information Technology have been trading in the $19 range for the last month. The current share price is $19.25. "I'm going to exercise 50,000 at $17.51 and then donate the stock to the Lascelles Institute. They'll then give me a tax receipt for the fair market value of the shares."

"Wouldn't it be easier for you to exercise the options, sell the shares, and then donate the cash proceeds to the charity?" asked Carol, the executive vice president.

"No," said Lin, the controller. "If Pierre exercises the options and sells the stock, he has to pay capital gains. But because of the recent changes to the Income Tax Act, there are no capital gains if shares are donated to a charity."

"But isn't this subject to insider trading rules?"

"That's right," said Pierre, "but, because I'm donating the shares, there are no proceeds to me, and so the securities commission is not interested because I'm not receiving any cash and there's no capital gain."

"This is all quite legal," added Lin. "However, I'm concerned about this quarter's financial results and what it will do to our stock price. Our earnings and net income are down substantially from the analysts' forecasts. I think that our stock will take a beating after we release our results and my stock options may no longer be in the money."

"That's right, Pierre," said Carol. "We lost sales to cheap imports from China, our competitors lowered their prices and stole some of our customers, our obsolete machinery finally broke down and had to be replaced, and we got hammered on those security-backed investments we bought with our surplus funds."

"Once we release this quarter's results, we should expect our stock to fall to about $17. Maybe a bit more," said Lin.

"Okay, this is what you do. Gloria, I want you to arrange that our corporate donations go to stem cell research. I also want you to contact the Lascelles Institute and let them know that I'm going to be donating 50,000 shares of Revel Information Technology to them tomorrow, Thursday. I also want a tax receipt at whatever price our shares are trading at tomorrow, probably at about $19 per share.

"Carol, I want you to get in touch with legal and arrange for me to exercise 50,000 options at $17.51. I then want them to change the ownership of the certificates to the Lascelles Institute.

"Finally, Lin, I don't want you to release this quarter's financial statements tomorrow. Wait until Monday morning of next week.

"Everybody clear? Good. Off you go."

Questions

1. Is it right that a CEO can direct the charitable donations of his or her company to the charity of his or her choice?
2. Comment on the ethical aspects of Pierre's stock option/stock donation strategy.
3. If you were Gloria, what should you do? Would this change if you were a donations specialist, a lawyer, or a professional accountant?

Source: Michael Walker, "Publicly Traded Gifts," *CA Magazine*, June 2008, 38–40.

The Ethics of Repricing & Backdating Employee Stock Options

Ethics Case

Employee stock options allow company executives to buy shares of their company at a specified price during a specified time period. They are given to executives as a form of noncash compensation. The option or "strike price" is normally equal to the market price of the stock on the day that the option is granted to the employee. The stock option is intended to motivate the executive to increase the stock price of the firm. If the stock rises, the investor is pleased. If the stock rises, the executive exercises the option, buys the stock from the company at the strike price, and then immediately sells those shares on the stock exchange at the current (higher) market price to obtain a capital gain. This is considered to be a win-win situation. Both the investor and the employee gain from the increase in the market price of the company's stock.

However, sometimes the stock price falls, and the current price is less than the strike price. Such stock options are referred to as "underwater" or "out of the money." In such cases, companies will sometimes reprice the stock options to a price that is less than the current market price or cancel the underwater options and issue new options that are priced at the new current market price. Both repricing and backdating of stock options have effectively been curtailed as a result of SOX disclosure requirements. As a result, two new strategies are available. One is to "spring-load" the options by issuing them to employees just before good news is announced to investors. The other is to "bullet-dodge" by delaying the granting of stock options until after bad news has been released.

An analysis of the ethics of repricing, backdating, spring-loading, and bullet-dodging is contained in the article "Ethics of Options Repricing and Backdating: Banishing Greed from Corporate Governance and Management." In their article, which was published in the October 2007 issue of *The CPA Journal*, Raiborn, Massoud, Morris, and Pier present four ethical arguments.

The *theory of justice* says that equals should be treated equally and unequals treated unequally in proportion to their inequalities. All investors are equal, and executive investors should be treated no differently from all other investors in the company. As such, preferential treatment through the backdating of stock options is inappropriate and unethical. Spring-loading and bullet-dodging are grounded on management's inside knowledge of good and bad news that will have an impact on the company's stock price. Their inside knowledge discriminates against all the other shareholders who do not know the good or bad news.

Utilitarianism or consequentialism argues that the ethically correct decision must be of benefit to most shareholders in the long term. Backdating stock options benefits the executive at the expense of the other shareholders. It is not in the best interest of the majority of the shareholders of the company. Spring-loading and bullet-dodging are only in the short-term interests of a minority of the shareholders (i.e., executive shareholders) and not in the best long-term interests of all the other (majority) shareholders.

From a *deontological* perspective, backdating and repricing are akin to lies because the intention is to manipulate and deceive the other shareholders. Deontology does not accept that the end justifies the means. Furthermore, it does not allow exceptions to a rule. Spring-loading and backdating treat one category of shareholders (management) differently than the other category of shareholders (all the current and future shareholders). As such, it is unlikely that everyone in society would accept as a universal rule that management should be given preferential treatment.

It is difficult to say that manipulating stock options, through any of these four tactics, is the sign of a virtuous person. *Virtue ethics* does not accept discrimination and prudential treatment of insiders as the mark of an ethical businessperson.

The conclusion of the article by Raiborn et al. is that the repricing of stock options may be legal but it is certainly unethical. Their concluding paragraph reads,

> Stock options were designed as a way to provide pay for performance, not to reward poor performance by backward-looking repricing or backdating. Such activities undermine the incentive justification for use of stock option plans. Executives deserve compensation packages that provide both short-run benefits and a long-run motivation to increase organizational value for all stakeholders. Compensation methods that cause the tone at the top to be perceived as a cacophony of greed should be banished from the orchestra.

Questions

1. Do you think that stock options actually motivate employees to work for the long-term good of the company?
2. Do you think that stock options inadvertently encourage managers to engage in questionable accounting activities, such as earnings management, to artificially increase the company's net income and thereby the value of the executives' stock options?
3. Do you agree or disagree with the four ethical arguments summarized above and contained in more detail in the article by Raiborn et al.? Explain why.
4. Should a board of directors approve repricing or backdating stock options for outstanding executives whose current stock options are underwater due to uncontrollable economic factors and who will be lured away unless some incentives to stay are created? What other incentives might work?

Cases on Fraudulent & Questionable Financial Reporting

Satyam Computer Services—The Enron of India

Ethics Case

Satyam Computer Services Ltd was founded in 1987 by B. Ramalinga Raju. By 2009, it was India's fourth-largest information technology company with 53,000 employees, operating in sixty-six countries. It provided a variety of services, including computer systems, customer services, and the outsourcing of accounting and finance. It had 185 of the Fortune 500 as customers and acted as a back office to such companies as Nestlé, General Motors, and General Electric.

On January 7, 2009, Raju sent a letter of resignation to the Board of Directors and to SEBI (the Securities and Exchange Board of India). In his letter, he outlined how he systematically falsified Satyam's financial reports. The following was found with respect to the September 2008 quarterly financial statements:

- The reported cash and bank balance of 5.36 billion rupees was overstated by 5.04 billion rupees (approximately $1 billion).
- The accrued interest of 376 million rupees was fictitious.
- There was an unrecorded liability of 1.2 billion rupees that Raju had with the company.
- The quarterly revenue of 2.7 billion rupees was overstated by 22%, and the operating margin of 649 million rupees was overstated by 91%.

He revealed in his letter that what started as small discrepancies grew and, over time, reached unimaginable proportions. "It was like riding a tiger, not knowing how to get off without being eaten." He said that he alone had perpetrated the fraud and that no one on the Board of Directors knew about it. Raju concluded his letter by apologizing for what he had done and announcing that he was prepared to accept the legal consequences of his actions.

In his resignation letter, Raju said that neither he nor any of his family had profited personally from the scam; none had sold their shares or taken any money out of the company. However, it was later revealed that 13,000 of the 53,000 Satyam employees were fictitious and that Raju was siphoning off approximately $4 million monthly from the company. Furthermore, it is alleged that Raju improperly transferred large numbers of Satyam shares to his mother and younger brother.

After the announcement of Raju's resignation and the details of the fraud, the price of Satyam's stock fell 78%, bringing down the Bombay stock exchange, the Sensex index, by 7.3%. In April 2010, the company was sold to Tech Mahindra and renamed Mahindra Satyam.

There had been signs of problems at Satyam's prior to Raju's resignation. In October 2008, the World Bank said that it was refusing to conduct any further business with Satyam after a Satyam employee had hacked into the World Bank's computer system. In the fall of 2008, Raju was concerned that his company was being targeted for a takeover, in which case the fraud would be detected. So, on December 16, he announced that Satyam would spend $1.6 billion to buy two construction companies, Maytas Property and Maytas Infra, each of which was run by two of his sons. ("Maytas" is "Satyam" spelled backward.) His intention was to replace the fictitious assets with real ones. However, his offer was quickly retracted under shareholder pressure. The next day, in New York, the price of Satyam's ADRs lost 50% of their value. Also, in December, Forrester Research warned customers about continuing to do business with Satyam. The day before Raju's resignation, DSP Merrill Lynch, which had been hired to consider strategic operations for the company, suddenly resigned after it learned about "material accounting irregularities."

Following the collapse of the company, people began to ask questions about the role of Satyam's auditor, Price Waterhouse (PW), the Indian branch of PricewaterhouseCoopers (PwC). People were wondering how PW could not detect, for example, that cash was overstated by 94%. The Indian exchange commission, SEBI, began an investigation into PW; PW had provided Satyam with clean audit opinions. The accusation is that by certifying the false financial statements as true, Price Waterhouse had misled investors. The investigation by SEBI has not yet concluded, nor has there been a court case on the Satyam Computer Services Ltd fraud.

Questions

1. Will the Satyam fraud damage India's reputation as a reliable provider of information technology outsourcing?

2. How long will it take to restore Satyam Computer's reputation, and how would you recommend that the restoration be facilitated?
3. Raju did not commit this fraud on his own. What types of individuals probably assisted him either actively or by keeping quiet about what they knew he was doing?
4. To whom should potential whistleblowers have complained?
5. Raju likened his fraud experience to "riding a tiger, not knowing how to get off without being eaten." This is an aspect experienced by some people trapped on a slippery slope from small to ever-larger fraudulent acts. If Raju had come to you for advice during the tiger ride, what would you have advised him?
6. Should PwC worldwide have to pay any investors for their losses caused by faulty audit work of personnel in PW India?

Sources: Manjeet Kripalani, "India's Madoff? Satyam Scandal Rocks Outsourcing Industry," *Bloomberg Business Week*, January 7, 2009.

"Merrill Lynch Snaps Ties with Satyam," *Indian Express.com*, January 7, 2009.

"Satyam: B Ramalinga Raju's Resignation Letter," *The Times Online*, January 7, 2009.

"Satyam Fudged FDs, Has 40,000 Employees: Public Prosecutor," *The Economic Times*, January 22, 2009.

"Satyam Founder Ramalinga Raju Surrenders in Fraud Case," *International Business News*, November 10, 2010.

Heather Timmons and Bettina Wassener, "Satyam Chief Admits Huge Fraud," *New York Times*, January 8, 2009.

Nortel Networks' Audit Committee Was in the Dark

Ethics Case

By the late 1990s, Nortel Networks Corporation, headquartered in Brampton, Ontario, Canada, was one of the giants of the telecommunications industry. Seventy-five percent of North America's Internet traffic was carried by Nortel equipment,[1] which was manufactured by 73,000 employees around the world.[2] The company's shares were listed on both the New York Stock Exchange (NYSE) and the Toronto Stock Exchange (TSE). By July 2000, the company had issued over 3.8 billion shares worth C$473.1 billion in market capitalization at a peak price of C$124.50. So dominant was Nortel that it accounted for more than one-third of the value of the S & P/TSE 300 Composite Index.[3]

Then the infamous dot-com bubble burst, and by September 2002, Nortel stock closed at C$0.63.[4] John Roth, named Canada's "business leader of the year" in 2000, indicated that he would step down as CEO in April 2001.[5] This may have been partly because he had not foreseen a coming slump in sales and as a result appeared to have misled the investing public. Until Roth's departure, Nortel was considered to have had an exemplary corporate culture and code of conduct.

Frank Dunn, a CMA who had been head of public affairs and then CFO, was named as replacement CEO in November 2001. He led Nortel through a radical restructuring that saw a reduction in its workforce by 50% to 45,000 in 2001 and a further 10,000 in 2002. Apparently as a result, Nortel's financial picture showed a profit of U.S.$54 million in the first quarter of fiscal 2003, which ended on March 31, 2003. Profits were also reported in the second quarter.

However, on October 23, 2003, when Nortel reported profits in the third quarter, restatements affecting 2000, 2001, and 2002 financial statements were also announced. Concern over these restatements, delays in financial reports, and concerns over bonuses paid to executives triggered the Audit Committee of Nortel Networks Corporation to authorize an independent review (IR) of the company's financial affairs by the Washington, D.C., law firm of Wilmer Cutler Pickering Hale and Dorr LLP.

The IR findings resulted in the need for a second restatement of Nortel's financial statements and the termination for cause of ten senior employees, including the CEO, CFO, and controller. All were asked to repay

[1] *CBC.CA News*, "Nortel: Canada's Tech Giant," May 2, 2005.
[2] *CBC.CA News*, "Northern Telecom Buys American Firm," November 13, 1998.
[3] *CBC.CA News*, "Nortel: The Wild Ride of Canada's Most Watched Stock," May 2, 2005.
[4] Ibid.
[5] Nortel news release, "Nortel Networks Announces Frank Dunn as President and CEO," October 2, 2001, http://www.nortelnetworks.com/corporate/news/newsreleases/2001d/10_02_01_ceo.html.

bonuses received. A further twelve senior employees were required to repay bonuses received and did so. They were not terminated.

Summary of Findings and of Recommended Remedial Measures of the Independent Review[6]

The following excerpts provide an overview of the IR and its findings:

> In late October 2003, Nortel Networks Corporation ("Nortel" or the "Company") announced that it intended to restate approximately $900M of liabilities carried on its previously reported balance sheet as of June 30, 2003, following a comprehensive internal review of these liabilities ("First Restatement"). The Company stated that the principal effects of the restatement would be a reduction in previously reported net losses for 2000, 2001, and 2002 and an increase in shareholders' equity and net assets previously reported on its balance sheet. Concurrent with this announcement, the Audit Committees of the Boards of Directors of Nortel Networks Corporation and Nortel Networks Limited (collectively, the "Audit Committee" and the "Board of Directors" or "Board," respectively) initiated an independent review of the facts and circumstances leading to the First Restatement. The Audit Committee wanted to gain a full understanding of the events that caused significant excess liabilities to be maintained on the balance sheet that needed to be restated and to recommend that the Board of Directors adopt, and direct management to implement, necessary remedial measures to address personnel, controls, compliance, and discipline. The Audit Committee engaged Wilmer Cutler Pickering Hale and Dorr LLP ("WCPHD") to advise it in connection with its independent review. Because of the significant accounting issues involved in the inquiry, WCPHD retained Huron Consulting Services LLC ("Huron") to provide expert accounting assistance. Huron has been involved in all phases of WCPHD's work.
>
> The investigation necessarily focused on the financial picture of the Company at the time that decisions were made and actions were taken regarding provisioning activity. Because of significant changes to financial results reflected in the Second Restatement, the restated financial results differ from the historical results that formed the backdrop for this inquiry.
>
> In summary, former corporate management (now terminated for cause) and former finance management (now terminated for cause) in the Company's finance organization endorsed, and employees carried out, accounting practices relating to the recording and release of provisions that were not in compliance with U.S. generally accepted accounting principles ("U.S. GAAP") in at least four quarters, including the third and fourth quarters of 2002 and the first and second quarters of 2003. In three of those four quarters—when Nortel was at, or close to, break even—these practices were undertaken to meet internally imposed pro-forma earnings before taxes ("EBT") targets. While the dollar value of most of the individual provisions was relatively small, the aggregate value of the provisions made the difference between a profit and a reported loss, on a pro forma basis, in the fourth quarter of 2002 and the difference between a loss and a reported profit, on a pro forma basis, in the first and second quarters of 2003. This conduct caused Nortel to report a loss in the fourth quarter of 2002 and pay no employee bonuses, but allowed it to achieve and maintain profitability in the first and second quarters of 2003, which, in turn, caused it to pay bonuses to all Nortel employees and significant bonuses to senior management under bonus plans tied to a pro forma profitability metric.
>
> The failure to follow U.S. GAAP with respect to provisioning can be understood in light of the management, organizational structure, and internal controls that characterized Nortel's finance organization. These characteristics, discussed below, include:
>
> - Management "tone at the top" that conveyed the strong leadership message that earnings targets could be met through application of accounting practices that finance managers knew or ought to have known were not in compliance with U.S. GAAP and that questioning these practices was not acceptable;

[6] Released January 11, 2005, as part of the MD&A to the 2003 Annual Report. This can also be found at http://www.nortelnetworks.com/corporate/news/newsreleases/collateral/independent_review_summary.pdf.

- Lack of technical accounting expertise which fostered accounting practices not in compliance with U.S. GAAP;
- Weak or ineffective internal controls which, in turn, provided little or no check on inaccurate financial reporting;
- Operation of a complicated "matrix" structure which contributed to a lack of clear responsibility and accountability by business units and by regions; and
- Lack of integration between the business units and corporate management that led to a lack of transparency regarding provisioning activity to achieve internal EBT targets.

Nortel posted significant losses in 2001 and 2002 and downsized its workforce by nearly two-thirds. The remaining employees were asked to undertake significant additional responsibilities with no increase in pay and no bonuses. The Company's former senior corporate management asserted, at the start of the inquiry, that the Company's downturn, and concomitant downsizing of operations and workforce, led to a loss of documentation and a decline in financial discipline. Those factors, in their view, were primarily responsible for the significant excess provisions on the balance sheet as of June 30, 2003, which resulted in the First Restatement. While that downturn surely played a part in the circumstances leading to the First Restatement, the root causes ran far deeper.

When Frank Dunn became CFO in 1999, and then CEO in 2001, he drove senior management in his finance organization to achieve EBT targets that he set with his senior management team. The provisioning practices adopted by Dunn and other finance employees to achieve internal EBT targets were not in compliance with U.S. GAAP, particularly Statement of Financial Accounting Standards Number 5 ("SFAS 5"). SFAS 5, which governs accounting for contingencies, requires, among other things, a probability analysis for each risk before a provision can be recorded. It also requires that a triggering event—such as resolution of the exposure or a change in estimate—occur in the quarter to warrant the release of a provision. Dunn and other finance employees recognized that provisioning activity—how much to reserve for a particular exposure and when that reserve should be released—inherently involved the application of significant judgment under U.S. GAAP. Dunn and others stretched the judgment inherent in the provisioning process to create a flexible tool to achieve EBT targets. They viewed provisioning as "a gray area." They became comfortable with the concept that the value of a provision could be reasonably set at virtually any number within a wide range and that a provision release could be justified in a number of quarters after the quarter in which the exposure, which formed the basis for the provision, was resolved. Dunn and others exercised their judgment strategically to achieve EBT targets.

Third quarter, 2002. At the direction of then-CFO Doug Beatty, a company-wide analysis of accrued liabilities on the balance sheet was launched in early August 2002. The CFO and the Controller, Michael Gollogly, learned that this analysis showed approximately $303M in provisions that were no longer required and were available for release. The CFO and the Controller, each a corporate officer, knew, or ought to have known, that excess provisions, if retained on the balance sheet, would cause the Company's financial statements to be inaccurate and that U.S. GAAP would have required either that such provisions be released in that period and properly disclosed, or that prior period financial statements be restated. Instead, they permitted finance employees in the business units and in the regions to release excess accruals into income over the following several quarters. They acted in contravention of U.S. GAAP by failing to correct the Company's financial statements to account for the significant excess accrued liabilities. Neither the CFO nor the Controller advised the Audit Committee and/or the Board of Directors that significant excess provisions on the balance sheet had been identified and that the Company's financial statements might be inaccurate, nor did either suggest such information should be disclosed in the Company's financial statements.

As a result of this company-wide review, senior finance employees recognized that their respective business unit or region had excess provisions on Nortel's balance sheet, and directed other finance employees to track these excess provisions. Nortel finance employees had their own distinct term for a provision on the balance sheet that was no longer needed—it was "hard." Each business unit developed, in varying levels of detail and over varying periods of time, internal "hardness" schedules that identified provisions that were no longer required and were available for release. Finance employees treated provisions identified on these schedules as a pool from which releases could be made to "close the gap" between actual EBT and EBT targets in subsequent quarters.

Fourth quarter, 2002. By mid-2002, employees throughout the Company were being recruited by other companies and morale was low. Corporate management sought to retain these employees but recognized that other public companies had come under criticism for awarding "stay" bonuses in the face of enormous losses. At management's recommendation, the Board determined to reward employees with bonuses under bonus plans tied to profitability. One plan, the Return to Profitability ("RTP") bonus, contemplated a one-time bonus payment to every employee, save 43 top executives, in the first quarter in which the Company achieved pro forma profitability. The 43 executives were eligible to receive 20% of their share of the RTP bonus in the first quarter in which the Company attained profitability, 40% after the second consecutive quarter of cumulative profitability, and the remaining 40% upon four quarters of cumulative profitability. In order for the RTP bonuses to be paid, pro forma profits had to exceed, by at least one dollar, the total cost of the bonus for that quarter. Another plan, the Restricted Stock Unit ("RSU") plan, made a significant number of share units available for award by the Board to the same 43 executives in four installments tied to profitability milestones. Once a milestone was met, the Board had discretion whether to make the award.

Through the first three quarters of 2002, Nortel experienced significant losses, and management reported to the Board that it expected losses would continue in the fourth quarter. After the initial results for the business units and regions were consolidated, they showed that Nortel unexpectedly would achieve pro forma profitability in the fourth quarter. Frank Dunn, who had been promoted to CEO in 2001, understood that profitability had been attained from an operational standpoint but determined that it was unwise to report profitability and pay bonuses in the fourth quarter because performance for the rest of the year had been poor. He determined that provisions should be taken to cause a loss for the quarter. Over a two-day period late in the closing process, the CFO and the Controller worked with employees in the finance organizations in the business units, the regions, and in global operations, to identify and record additional provisions totaling more than $175 million. All of these provisions were recorded "topside"—that is, by employees in the office of the Controller based on information provided by the business units, regions, and global operations—because of the late date in the closing process on which they were made. Nortel's results for the fourth quarter of 2002 turned from an unexpected profit into the loss previously forecasted by management to the Board of Directors. Neither the CEO, the CFO, nor the Controller advised the Audit Committee and/or the Board of Directors of this concerted provisioning activity to improperly turn a profit into a loss. Nortel has since determined that many of these provisions were not recorded in compliance with U.S. GAAP, and has reversed those provisions in the Second Restatement. The loss then reported by Nortel in the fourth quarter meant that no employee bonuses were paid for that quarter.

First quarter, 2003. While Nortel had announced publicly that it expected to achieve pro forma profitability in the second quarter of 2003, Dunn told a number of employees that he intended to achieve profitability one quarter earlier, and he established internal EBT targets for each business unit and for corporate to reach that goal. At Dunn's direction, "roadmaps" were developed to show how the targets could be achieved. These roadmaps made clear that the internal EBT targets for the quarter could only be met through release from the balance sheet of excess provisions that lacked an accounting trigger in the quarter. At the request of finance management in each business unit, finance employees identified excess, or "hard," provisions from the balance sheet, and, together, they determined which provisions to release to close the gap and meet the internal EBT targets. That release activity was supplemented by releases, directed by the CFO and by the Controller, of excess corporate provisions that had been identified in the third quarter of 2002 as available for release. Releases of provisions by corporate and by each business unit and region, including excess provisions, totaling $361M, enabled Nortel to show a consolidated pro forma profit in the first quarter, notwithstanding that its operations were running at a loss. The Finance Vice Presidents of the business units and two of the three regions, the Asia Controller, the CFO, the Controller, and the CEO knew, or ought to have known, that U.S. GAAP did not permit the release, without proper justification, of excess provisions into the income statement. Nortel has since determined that many of these releases in this quarter were not in accordance with U.S. GAAP, and has reversed those releases in the First and Second Restatements and restated the releases into proper quarters. When presenting the preliminary results for the quarter to the Audit Committee, the Controller inaccurately represented that the vast majority of these releases were "business as usual" and in compliance with U.S. GAAP, and that the remaining releases were one-time, non-recurring events and in compliance with U.S. GAAP. Further, the CFO and the Controller failed to advise the Audit Committee and/or the Board of Directors that release of excess corporate provisions was required to achieve profitability and make up for the shortfall in operational results; that such releases were needed to cover the cost of the bonus compensation; that no event in the quarter triggered the releases (as required by U.S. GAAP); that the releases implicated Staff Accounting Bulletin 99 (relating to materiality) because they turned a loss for the quarter into a profit; and that they retained a significant amount of excess provisions on the balance sheet to be used, when needed, in a subsequent quarter. In separate executive sessions held by the Audit Committee with the CFO and the Controller, neither the CFO nor the Controller raised quality of earnings concerns nor questioned the payment of the RTP bonus. Based on management's representations, the Audit Committee approved the quarterly results, and the Board approved the award of the RTP bonus.

Second quarter, 2003. Seeking to continue to show profitability in the second quarter and meet the first RSU milestone and the second tranche of the RTP bonus, senior corporate management developed internal EBT targets to achieve pro forma profitability. As was the case in the first quarter, it became clear during the quarter that operational results would be a loss. At the request of finance management in each business unit, finance employees again identified "hard" provisions from the balance sheet, and, together, they determined which provisions to release to close the gap and achieve the internal EBT targets. Nortel has since determined that many of these releases were not in accordance with U.S. GAAP, and has reversed those releases in the First and Second Restatements and restated the releases into proper quarters. In both the first and second quarters of 2003, the dollar value of many individual releases was relatively small, but the aggregate value of the releases made the difference between a pro forma loss and profit in each quarter.

The CEO, the CFO, and the Controller failed to advise the Audit Committee or the Board of Directors that operations of the business units were running at a loss during the second quarter and that the validity of many of the numerous provision releases, totaling more than $370 million, could be questionable. Based on management's representations, the Audit Committee approved the quarterly results, and the Board approved payment of the second tranche of the RTP bonus and awarded restricted stock under the RSU plan.

Third and fourth quarters, 2003. In light of concerns raised by the inappropriate accounting judgments outlined above, the Audit Committee expanded its investigation to determine whether excess provisions were released to meet internal EBT targets in each of these two quarters. No evidence emerged to suggest an intent to release provisions strategically in those quarters to meet EBT targets. Given the significant volume of provision releases in these two quarters, the Audit Committee directed management to review provision releases, down to a low threshold, using the same methods used to evaluate the releases made in the first half of the year. This review has resulted in additional adjustments for these quarters, which are reflected in the Second Restatement.

Governing Principles for Remedial Measures

The Audit Committee asked WCPHD to recommend governing principles, based on its independent inquiry, to prevent recurrence of the inappropriate accounting conduct, to rebuild a finance environment based on transparency and integrity, and to ensure sound financial reporting and comprehensive disclosure. The recommendations developed by WCPHD and provided to the Audit Committee were directed at the following:

- Establishing standards of conduct to be enforced through appropriate discipline
- Infusing strong technical skills and experience into the finance organization
- Requiring comprehensive, ongoing training on increasingly complex accounting standards
- Strengthening and improving internal controls and processes
- Establishing a compliance program throughout the company which is appropriately staffed and funded
- Requiring management to provide clear and concise information, in a timely manner, to the board to facilitate its decision making
- Implementing an information technology platform that improves the reliability of financial reporting and reduces the opportunities for manipulation of results

These recommendations were grouped into three categories—people, processes, and technology … [which] [a]fter thorough consideration, the Audit Committee has recommended and the Board of Directors has approved, adoption of each.

In summary form, these recommendations included the following:

People:

- Creation of an effective "tone at the top" through effective policies, procedures, and an awareness and commitment to fiduciary duty, accountability, and accuracy, particularly in financial reporting.
- Termination for cause of the CEO, CFO, controller, and seven additional senior officers.
- Return of RTP and RSU bonus payments.
- Clarification through training and other means (appropriate experience) that failure to adhere to U.S. GAAP will not be tolerated.
- External recruiting of individuals with strong accounting and reporting skills and expertise and proven records of integrity and ethical behavior, particularly in key finance positions.
- Enhancement and bolstering of often bypassed internal "technical accounting group."
- Review and improve the training function. Clarify through training the accounting issues that lead to restatement, confirm knowledge and understanding of the company code, and secure sign-offs testifying to reading and adherence. Introduce ongoing training requirements.

Processes:

- Remedial improvements to the control structure to permit sound corporate oversight—internal controls noted included financial policies, organizational structure, systems, processes, employees, leadership, and culture focused to foster accurate financial reporting and disclosure in a timely manner.
- Reexamination of the matrix structure and the specification of key responsibility for liability provisions that have been unclear.
- Confirmation of the role of the controller and the control structure—who should have the sole authority to release liability provisions—and the development of transparency of reporting standards.
- Reexamination and rewriting of Nortel's accounting policies.
- Strengthen internal audit function and standards to provide a check on the integrity of financial reporting.
- Recruitment of a chief ethics and compliance officer; active, overt commitment to the new Nortel Code of Conduct; and the direction of management to reinforce and enhance the compliance program carrying this message to all employees.
- The Board and Audit Committee should regularly review the activities of the compliance officer and the related policies and performance involved.
- The board is to receive all necessary information for adequate review of policies and activities in a timely manner. Reports should be received from more than just the CFO, and meetings should be included with the chief operations and finance employees for each business unit.

Technology:

- The announced installation of a SAP information technology platform should be implemented such that the necessary and needed control elements are incorporated.

Board of Directors and Audit Committee

Guylaine Saucier, who sat on the board and its Audit Committee, has since stated that "directors were shocked to learn after an internal review in 2004"[7] of the alleged manipulations that triggered the RTP bonus. She went on to say,

> "What was the board's reaction? First of all, it's emotional. You feel betrayed," Ms. Saucier said. "You trusted your management…"
>
> Since then, Ms. Saucier said she has reflected on how a board can scrutinize a CEO to decide whether the individual has the right standards for the job, but said it is difficult because it comes down to many small elements that occur outside the boardroom.
>
> "If the board had known that Frank Dunn was building a $12-million house for himself while we were letting go 60,000 people, would that be an element in our overall judgment? These are anecdotes. It's very difficult to say somebody is ethical or unethical."
>
> Ms. Saucier also rejected the criticism that the company's compensation plan created too much temptation for manipulation. She said most companies have bonuses based on performance.
>
> "It depends on the people. If you have people with good ethical values, you won't have any problems having a performance bonus."
>
> She said she has begun to question whether chief financial officers should be paid bonuses based on corporate performance, given that they are responsible for preparing financial statements.[8]

The directors did not bail out on Nortel. They hired a former U.S. admiral and member of the Joint Chiefs of Staff, Bill Owens, to be the new CEO and preside over the recovery of their company. This process was not without challenges since the directors were sued by aggrieved shareholders and by the company's insurer, Chubb Insurance Co. Chubb wanted to rescind $40 million insurance coverage for the legal costs of defending Nortel and twenty of its officials because Nortel's CEO (Frank Dunn), CFO (Douglas Beatty), and controller (Michael Gollogly) "made material misrepresentations with stock market regulators with the intent to deceive Chubb."[9]

One of the new hires, as chief ethics and compliance officer, was Susan E. Shepard, a former commissioner for the New York State Ethics Commission and, earlier, assistant U.S. district attorney for the Eastern District of New York. Interestingly, the company announced on January 13, 2005, that "Ms. Shepard will receive a base salary of U.S.$375,000 (per annum) and will be eligible for a target annual bonus of 60% of base salary under the annual bonus plan of NNL (known as the SUCCESS Incentive Plan), based on the generally applicable performance criteria under such plan."[10]

"Susan Shepard is not the first Nortel ethics guru. That distinction belongs to Megan Barry, who served as Nortel's senior ethics advisor between 1994 and 1999."[11] As Megan noted, Nortel was once a world leader in ethics. "By the time she left, however, Nortel wasn't really a trailblazer in ethics anymore." When John Roth took over as CEO in 1997, her department grew increasingly invisible within the organization. "When the senior leadership changed, you definitely saw a de-emphasis of ethics," she says. "Roth's legacy is what Nortel has to deal with today."[12]

On February 8, 2006, Nortel announced that it had settled two shareholder lawsuits in relation to this accounting scandal for a maximum total of U.S.$2.47 billion.[13]

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[7] Janet McFarland, "Ex-Nortel Director Didn't See It Coming," *The Globe and Mail*, November 15, 2005.
[8] Ibid.
[9] Rick Westhead and Tyler Hamilton, "Insurer Seeks to Rescind Nortel Coverage," *Toronto Star*, February 24, 2005, D1.
[10] "Change in Directors or Principal Officers," *SEC Form 8-K*, January 13, 2005.
[11] Steve Maich, "Selling Ethics at Nortel," January 24, 2005, http://www.macleans.ca.
[12] Ibid.
[13] "Nortel Settles Lawsuits for $2.5 Billion US," *CBC News*, February 8, 2006.

Questions

1. Why would Nortel Networks, a Canadian company, hire a U.S. law firm to undertake an independent review of factors that led to restatement of accounting reports?
2. Why did the independent review focus on the "establishment and release of contractual liability and other related provisions" (also called accruals, reserves, or accrued liabilities)?[14]
3. How did the failure to follow U.S. GAAP permit the manipulation of Earnings Before Taxes (EBT) and lead to fraudulent behavior?
4. Describe the Nortel Return to Profitability (RTP) and Restricted Stock Units (RSU) bonus plans. What did the board of directors expect these plans to achieve?
5. Were the misstatements of EBT and bonuses paid material in an accounting sense?
6. Why did Nortel's auditor not discover the misstatements?
7. Why did the Audit Committee (or the board as a whole) not anticipate the manipulation?
8. What questions should the Audit Committee or board have asked?
9. What internal control flaws permitted the fraudulent manipulation to occur without detection?
10. Would the new requirements spawned by SOX and its SEC regulations have prevented the manipulation per se? Why or why not?
11. How have the expectations of the Audit Committee changed since SOX with regard to corporate culture, why is this so, and how can the Audit Committee ensure that these are met?
12. Should the Audit Committee or the whole board be held legally liable for the weaknesses noted in the review? Why and why not?
13. In February 2005, Nortel hired a new chief ethics and compliance officer using an incentive compensation scheme based on profits. Is this a sound arrangement?
14. Nortel has issued a new code of conduct with striking similarity to their previous version. Why might this new code be more effective than the last?
15. In retrospect, what were the major failings of the Nortel Audit Committee? Were they the same as those for the board as a whole?

[14] Wilmer Cutler Pickering Hale and Dorr LLP, *Summary of Findings and of Recommended Remedial Measures of the Independent Review* (Washington, DC, 2005), 2. Refer to copy released January 11, 2005, at http://www.nortelnetworks.com/corporate/news/newsreleases/collateral/independent_review_summary.pdf.

Nortel Case Postscript—2013

Criminal Charges for Fraud Dismissed

On January 14, 2013, Justice Frank Marrocco of the Ontario Superior Court dismissed charges of two counts of fraud against Frank Dunn (CEO), Douglas Beatty (CFO), and Michael Gollogly (controller) for deliberately misrepresenting Nortel's financial results to the investing public and to their employer during the period between January 1, 2000, and April 28, 2004. In his judgment, the judge indicated that the prosecution led by Crown Attorney Robert Hubbard had not made their case beyond a reasonable doubt that the financial reports were false in the quarter(s) in question and that the degree of falsehood was so material as to affect investors' decisions or the employer's decision to pay a performance bonus. Throughout the case, the judge had asked for comment on materiality as it applied to the case, but the prosecution provided none, and in their handling of their expert witness, they never asked for his opinion on materiality. Moreover, their expert did not support the Crown's position on various points. In the end, the judge came to his own conclusions on materiality and the application of GAAP and took the view that the company would have had to pay a bonus regardless of the alleged management of earnings. Because of discussions held within management, he concluded that many executives were aware of the decisions lying behind the release of so-called cookie jar reserves and that he could not establish beyond any doubt that Dunn, Beatty, and Gollogly had demonstrated an intention to deceive (deliberately misrepresented), which is required for a finding of fraud. Without someone or some compelling evidence pointing directly to deliberate deception, the Crown had "no smoking gun," and the case was lost.[1]

[1] Theresa Tedesko, "Without a Smoking Gun, Nortel Fraud Cases Was Legal Suicide," *Financial Post*, January 14, 2013, accessed September 1, 2013, at http://business.financialpost.com/2013/01/14/without-a-smoking-gun-nortel-fraud-case-was-legal-suicide/?__lsa=fb98–8bcb.

Adelphia—Really the Rigas Family Piggy Bank

Ethics Case

On June 20, 2005, "John Rigas, the 80-year old founder of Adelphia Communications Corp., was … sentenced to 15 years in prison and his son Timothy, the ex-finance chief, got 20 years for looting the company and lying about its finances."[1] These were the largest sentences handed out to CEOs and CFOs after SOX and before the sentencing of Bernard J. Ebbers, CEO of WorldCom, and Dennis Kozlowski, CEO of Tyco, and before the trial of Richard Scrushy, CEO of HealthSouth.

John and Timothy Rigas had faced a maximum sentence of up to 215 years each, but John's age, bladder cancer, and heart condition were taken into account. His lawyer argued as well that John had been very generous with Coudersport, his hometown, but Judge Sand responded, stating that what Rigas had done, "he had done with assets and by means that were not appropriately his.… To be a great philanthropist with other people's money is really not very persuasive."[2]

Adelphia was founded by John Rigas in 1952 in Coudersport, Pennsylvania, and incorporated in 1972. The company started as a cinema business that transformed into a cable television provider. By 1988, Adelphia had more than 2 million customers in the cable television service. The company also expanded rapidly into a new line of telecommunications products and services (e.g., high-definition television, video on demand, high-speed Internet, and home security). By 1989, Adelphia more than doubled its reach through acquisitions, extending into forty-one states and serving more than 5 million customers. At its peak, Adelphia employed 14,000 people in the United States.

Members of the Rigas family held four seats on the firm's seven-member board. John Rigas (chair and CEO), his son Timothy Rigas (CFO), and Michael Rigas (vice president of operations) had control of the firm and access to its resources beyond the oversight mechanisms of its Board of Directors. In essence, they used Adelphia as their own family piggy bank, withdrawing funds when they needed them for their own purposes such as golf club construction, property purchases, and stock dealings, as noted in the following sections.

Unfortunately, these cash withdrawals and other improper use of company resources, as well as rapid expansion, poor management, and improper use of company resources to pay management's personal expenses, led Adelphia into a tight financial position. Faced with the need to meet earnings and cash targets and to keep the company's debt levels within market averages, the Rigas family members began to commit fraud, and those frauds finally came to light.

On March 27, 2002, the company announced $2.3 billion in off-balance-sheet debt previously undisclosed in the company's financial statements. Adelphia guaranteed as coborrower $2.3 billion loans given to the Rigas family and entities controlled by them. On April 1, the company delayed filing Form 10-K, required under the SEC rules for public companies in the U.S. markets. The delay was followed by a formal inquiry by the SEC. On April 15, the company announced that continuing review of its financial statements would not result in material changes to historical filings.

However, on May 2, Adelphia changed its position, announcing a possible restatement. Two weeks later, John Rigas and his son Timothy resigned, and the company's auditors, Deloitte & Touche, suspended the 2001 financial statements audit. The trade of the company's shares on NASDAQ was suspended after the stock price went from $20.39 on March 26 to $0.79 on June 3.

[1] David Glovin and David Voreacos, "Rigas Duo Gets 35 Years," *Financial Post*, June 21, 2005, FP8.

[2] Ibid.

On May 23, other members of the Rigas family resigned from their positions in management and the Board of Directors. The Rigas family also agreed to transfer $1 billion in assets back to the company. Nevertheless, Adelphia filed for bankruptcy in June 2002 and operated subsequently under bankruptcy protection.

The SEC charged Adelphia and the Rigas family with massive financial fraud on July 24, 2002. Its complaint alleged (1) understatement of debt, (2) overstatement of financial performance, and (3) extensive self-dealing, which are summarized from the SEC press release[3] and complaint[4] documents as follows:

1. Between 1999 and the end of 2001, the Rigas family (John, Timothy, Michael, and James), with other executives, caused Adelphia to fraudulently exclude over $2 billion in its bank debt by systematically recording liabilities on the books of unconsolidated affiliates. Some of those operations were backed by the company's management with fictitious documents. False documents showed that Adelphia repaid debts while those debts were just transferred to related companies.
2. From 1999, the company relied heavily on commercial credit issuance of notes and access to equity markets. As of June 1, 2002, Adelphia and its consolidated subsidiaries owed $6.8 billion in credit facilities, $6.9 billion in senior or convertible notes, and $1.6 billion in convertible preferred stock. Certain Adelphia subsidiaries also issued separately notes of which $2.6 billion was outstanding on June 1, 2002. The company's true liabilities increased from $4.4 billion in the second quarter of 1999 to $20.4 billion in the third quarter of 2001.
3. Funds obtained from borrowing and from a series of public offerings since 1999 were deposited and disbursed from a cash management subsidiary Adelphia CMS. This third company was used to set up schemes to transfer and hide debt in related companies (i.e., special purpose entities).
4. In the same period, the Rigas family with other executives caused Adelphia to regularly misstate press releases, including earnings reports. The company reported inflated figures for the number of cable subscribers, the extent of its cable plant, and earnings before interest, taxes, depreciation, and amortization (EBITDA).
5. Specifically, the company overstated its number of customers by 142,000 by including in basic cable subscribers 43,000 customers from unconsolidated subsidiaries, 39,000 Internet service customers, and 60,000 home security customers. Adelphia also included in these statistics subscribers from the months after the quarter end and false counts of new subscribers for affiliated companies.
6. Adelphia included in EBITDA those management fees paid by the Rigas family entities that owned cable operations. However, since Adelphia did not provide any services to earn those payments, the only purpose for recording them on Adelphia's books was to inflate the company's earnings.
7. Adelphia entered into agreements with suppliers of digital converter boxes, asking the suppliers for a $26 per box advance to market a new digital service. The money would be repaid later when the boxes were sold to customers. Adelphia recorded those payments (totaling $91 million) as income. The suppliers lost the advanced payments when the company filed for bankruptcy.
8. Adelphia also shifted expenses improperly to unconsolidated related entities to decrease the company's operating expenses.
9. From at least 1998, Adelphia used fraudulent misrepresentations and omissions of material facts to conceal self-dealing by the Rigas family.
10. The Rigas Family used company funds to finance open stock purchases, purchase timber rights to land in Pennsylvania, construct a golf club for $12.8 million on a family property, pay off personal margin loans and other debts, and purchase luxury condominiums in Colorado, Mexico, and New York City.
11. The fraud continued even after Adelphia acknowledged, on March 27, that the $2.3 billion excluded liabilities from its balance sheet. In the following months, the Rigas family diverted $174 million to pay personal margin loans.

[3] U.S. Securities and Exchange Commission, "SEC Charges Adelphia and Rigas Family with Massive Financial Fraud," *Press Release 2002–110*, July 24, 2002.

[4] United States District Court, Southern District of New York, *Complaint: SEC against Adelphia Communications Corporation, John Rigas, Timothy J. Rigas, Michael J. Rigas, James P. Rigas, James R. Brown and Michael C. Mulcahey*, July 24, 2002.

Not only were the Rigas among the first to face post-SOX justice for their financial frauds, but John, who was seventy-seven years old when arrested, and his sons were among the first to endure the famous "perp walk"—to be handcuffed and marched to a waiting car in front of reporters who were only too glad to spread the embarrassing photos over the media immediately. The perp walk came to be dreaded by executives who faced charges for perpetrating financial crimes.

The SEC charges were not the only ones leveled against the Rigas family. In August 2004, Adelphia, their own company, sued them in a civil action for the return of $3.2 billion that the family misappropriated. In the earlier SEC-sponsored criminal trial, the family had argued that "any debt or funds used from the company were 'borrowed' not stolen, 'and they intended to fully repay the amounts.'"[5] Adelphia had not received the funds, nor had the Rigases assumed the debt involved, so Adelphia sued the Rigas to force them to keep their word.

This action was not surprising since Adelphia had shored up its governance processes after the Rigases left. For example, new executives were appointed to remove members of the Rigas family and related parties, and six of the seven members of the new Board of Directors were independent of Adelphia and Rigas family interests. The company developed a new code of ethics and changed its mission to the following:

> We will leverage our historical strengths of customer focus, community involvement, and employee dedication; address issues that limit profitability and growth; and act with a sense of urgency, accountability, and teamwork to emerge from bankruptcy and to succeed as a broadband industry leader. We will develop a reputation as a company with outstanding corporate governance.

In November 2002, Adelphia sued its former auditor, Deloitte & Touche (D&T), accusing D&T of professional negligence, breach of contract, fraud, and other wrongful conduct "for failing to spot the problems that brought the company down. … For its part, Deloitte said it was the victim of deception just as much as Adelphia's shareholders and that it would be able to answer any accusations more fully once it had examined the lawsuit. It also said that it would seek damages from whichever members of Adelphia's management proved to be complicit in any wrongdoing. At the moment, [Adelphia's] bankruptcy protects it from such action, however."[6]

Adelphia's bondholders also launched a U.S.$5 billion lawsuit in July 2003 against 450 banks and other financial institutions that had "fuelled the massive fraud by lending billions of dollars to the company's founders."[7] The lawsuit stated, "This action seeks to redress defendant's knowing participation, substantial assistance, and complicity in one of the most serious cases of systematic corporate looting and breach of fiduciary duty in American history.… Aware of the obvious red flags, many of the co-borrowing lenders merely rubber-stamped the co-borrowing facilities so that their affiliated investment banks could earn hundreds of millions of dollars in fees."[8] While the Rigas family was busy using Adelphia as their own piggy bank, it appears they were not alone.

Questions

1. What breaches of fiduciary duty does the Adelphia case raise?
2. Why do you think the Rigas family thought they could get away with using Adelphia as their own piggy bank?
3. What allowed the Rigas family to get away with their fraudulent behavior for so long?
4. What concerns should have been raised in the following areas of risk assessment in Adelphia's control environment: integrity and ethics, commitment, Audit Committee participation, management philosophy, structure, and authority?
5. What concerns should have been raised in the following areas of risk assessment in Adelphia's strategy: changes in operating environment, new people and systems, growth, technology, new business, restructurings, and foreign operations?
6. What is your opinion on the importance of independence in corporate governance? What are the most recent rules on corporate governance for public firms?
7. Discuss which changes could be made to Adelphia's control system and corporate governance structure to mitigate the risk of accounting fraud in future years.

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[5] Marc Hopkins, "Rigas Family Owes Adelphia US$3.2 B," *Financial Post*, August 24, 2004, FP8.

[6] "Cable Flop Sues Former Auditor," *BBC News*, November 7, 2002, http://news.bbc.co.uk/1/hi/business/2415145.stm.

[7] Keith Kalawsky, "US$5B Lawsuit Names Big Five," *Financial Post*, July 8, 2003, FP3.

[8] Ibid.

8. What is the auditor's responsibility in case of fraud?
9. What is the proper audit procedure to ensure the following?
   a. Completeness of liabilities in the financial statements
   b. That all the related parties have been included or disclosed in the consolidated financial statements
10. Do you think analytical procedures would aid the detection of fraud? What is the responsibility of the auditor applying analytical procedures?
11. What should the 450 lending institutions have done to protect themselves from subsequent lawsuits?

Sources: Adelphia website, http://www.adelphia.com.

BBC News, January 2002–December 2002, "Adelphia," BBC News Archive, http://www.bbcnews.com.;

Ronald Grover, "Adelphia's Fall Will Bruise a Crowd," *Businessweek*, July 8, 2002, http://www.businessweek.commagazine/content/02_27/b3790025.htm.;

New York Times, January 2002–December 2002, "Adelphia," New York Times News Archive, http://www.nytimes.com.;

U.S. Securities and Exchange Commission, *SEC Press Release 2002–110*, http://www.sec.gov/news/press.;

U.S. Securities and Exchange Commission, *SEC Complaint 17627*, http://www.sec.gov/litigation/complaints.

Tyco—Looting Executive Style

Ethics Case

Dennis Kozlowski was a dominant, larger-than-life CEO of Tyco International, Ltd, a multi-billion-dollar company whose shares are still traded on the New York Stock Exchange (Symbol: TYC). His stature was huge, and his appetite for excess knew no bounds. Noted author Tom Wolfe, who wrote *Bonfire of the Vanities*, which profiled such men, says that "if you feel you are a master of the universe, then a lot of rules just don't apply,"[1] and this quote seems to apply well to Kozlowski.

Kozlowski was rolling along—often using company money—having lavish parties, planes, and cars and enjoying multiple homes with fittings such as a $6,000 shower curtain and a $15,000 umbrella stand, a yacht, and an impressive art collection. It was his interest in art that triggered the first investigation in January 2002 by New York State officials who asked about the sales tax on several multi-million-dollar paintings.[2] Kozlowski had evaded the payment of sales tax on them and was subsequently first charged in a New York court.

For Dennis, this was most unfortunate because on conviction he would serve time in the New York prison system instead of the federal prison system, in which white-collar criminals often are assigned to facilities known as "Club Feds" or, for women such as Martha Stewart, "Camp Cupcake." The New York prison system is very harsh. According to former New York prosecutor David Gourevitch, "The fed system is unpleasant, but at least you're physically safe there.… In the state system, nobody would say you are physically safe."[3] For Kozlowski and his associate Mark Swartz, his Tyco CFO who faced up to thirty years in prison, this prospect was surely daunting.

On the other hand, Kozlowski had certainly enjoyed high living, so many observers would argue he got what he deserved. Take the $2 million 40th birthday party for his new wife on the Mediterranean island of Sardinia, more than half of which was paid for by Tyco. Jurors were shown an edited twenty-one-minute version of a four-hour videotape covering the whole week with seventy-five guests. The short version did not show inflammatory scenes, such as "an anatomically correct ice sculpture of Michelangelo's David spurting vodka,"[4] scantily clad and unclad dancers, and so on. Music was provided by Jimmy Buffett and his group at a cost of $250,000 and a rock band at a cost of $20,000.[5] No wonder Kozlowski was charged with looting the company.

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[1] Brian Ross, "Greed on Wall Street: The Rise and Fall of Dennis Kozlowski," November 11, 2005, accessed March 21, 2006, at http://abcnews.go.com/2020/story? id51305010.
[2] Ibid.
[3] Krysten Crawford, "For Kozlowski, an Especially Grim Future," June 21, 2005, accessed June 6, 2005, at http://money.cnn.com/2005/06/21/news/newsmakers/prisons_state/index.htm.
[4] Samuel Maull, Associated Press, "Tyco Jurors View Birthday Video," October 29, 2003, B7.
[5] Ibid.

The SEC also took an interest, and charges for civil fraud regarding looting of the company and other misdeeds were laid on September 12, 2002. By the time of the trial in October 2003, Tyco was estimated to have about 270,000 employees and $36 billion in annual revenue derived from many sources, including electronic and medical supplies and the ADT home security business.[6] A full list of the charges against Kozlowski and CFO Mark Swartz, as well as against chief legal officer Mark Belnick, is outlined in the SEC complaint available at http://www.sec.gov/litigation/complaints/complr17722.htm.

An abbreviated version of the improper conduct of management was published by Tyco in their SEC 8-K information filing with the SEC on September 17, 2002. The Tyco press release[7] states,

> The Company said that this pattern of improper and illegal activity occurred for at least five years prior to June 3, 2002, when former CEO L. Dennis Kozlowski resigned, and that this activity was concealed from the Board and its relevant committees. The nature of such conduct, to the extent it is now known by Tyco, is described in the filing. The areas covered in this filing include:
>
> - **Relocation programs,** under which certain executive officers, including Mr. Kozlowski, former CFO Mark Swartz, and former Chief Corporate Counsel Mark Belnick used the Company's relocation program to take non-qualifying interest-free loans and unauthorized benefits that were not generally available to all salaried employees affected by relocations. Under the program, Mr. Kozlowski improperly borrowed approximately $61,690,628 in non-qualifying relocation loans to purchase real estate and other properties, Mr. Swartz borrowed approximately $33,097,925 and Mr. Belnick borrowed approximately $14,635,597.
> - **The "TyCom Bonus" misappropriation,** in which Mr. Kozlowski caused Tyco to pay a special, unapproved bonus to 51 employees who had relocation loans with the Company. The bonus was calculated to forgive the relocation loans of 51 executives and employees, totaling $56,415,037, and to pay compensation sufficient to discharge all of the tax liability due as a result of the forgiveness of those loans. This action was purportedly related to the successful completion of the TyCom Initial Public Offering. The total gross wages paid by the Company in this mortgage forgiveness program were $95,962,000, of which Mr. Kozlowski received $32,976,000 and Mr. Swartz received $16,611,000. These benefits were not approved by, or disclosed to, the Compensation Committee or the Board of Directors. However, the employees who received these bonuses were led by Mr. Kozlowski to believe that they were part of a Board-approved program.
> - **The "ADT Automotive Bonus" misappropriations,** in which Mr. Kozlowski authorized Tyco to pay cash, award restricted shares of Tyco common stock, and purportedly forgive additional loans and make related tax payments to approximately 17 Tyco officers and employees—even though the relocation loans of each of these 17 persons had already been paid in full. Mr. Kozlowski and Mr. Swartz received cash bonuses, restricted shares, and "relocation" benefits valued at approximately $25,566,610 and $12,844,632 respectively. These benefits were not approved by or disclosed to the Compensation Committee or the Board of Directors. As with the TyCom unauthorized bonus, other senior executives were misled by Mr. Kozlowski to believe that the ADT Automotive award of restricted shares was a Board-approved program.
> - **The Key Employee Loan (KEL) Program,** in which certain executive officers borrowed money for purposes other than the payment of taxes due upon the vesting of restricted shares, or borrowed in excess of the maximum amount they were permitted under the program. Mr. Kozlowski was, by a large margin, the greatest abuser of this program. By the end of 2001, Mr. Kozlowski had taken over 200 KEL loans—some for millions of dollars and some as small as $100—and his total borrowings over that time exceeded $250 million. Approximately 90% of Mr. Kozlowski's KEL loans were non-program loans, which he used to

[6] Ibid.

[7] Tyco press release, "Tyco Files Form 8-K Report on Improper Conduct of Former Management," accessed March 22, 2006, at http://www.tyco.com/livesite/Page/Tyco/Who+We+Are/Press+Center/Press+Releases+Details/??&DCRID51185862359.

fund his personal lifestyle, including speculating in real estate, acquisition of antiques and furnishings for his properties (including properties purchased with unauthorized "relocation loans"), and the purchase and maintenance of his yacht. Mr. Swartz also borrowed millions in non-program loans. Like Mr. Kozlowski, Mr. Swartz used those unauthorized loans to purchase, develop and speculate in real estate; to fund investments in various business ventures and partnerships; and for miscellaneous personal uses having nothing to do with the ownership of Tyco stock. Tyco is currently evaluating the KEL program in light of the recent enactment of a prohibition upon loans by public companies to directors and executive officers.

- **Attempted Unauthorized Credits to Key Employee Loan Accounts,** in which Mr. Kozlowski and Mr. Swartz attempted to erase an outstanding \$25 million KEL indebtedness to Mr. Kozlowski and \$12.5 million in KEL indebtedness to Mr. Swartz without the knowledge or approval of the Compensation Committee. Mr. Kozlowski, through his attorneys, has acknowledged to Tyco that he sought no approvals for these credits and that, if they were entered as a credit to his KEL account, it was done so improperly, and that he is therefore obligated to repay these amounts to Tyco. Mr. Swartz has also agreed to repay his forgiven indebtedness with interest and has repaid most of the amounts. Tyco has reversed these entries and a related unauthorized entry, thereby increasing the outstanding balances for the key employee loan accounts of each individual involved.
- **Executive compensation,** including authorized and unauthorized compensation to Mr. Belnick, which totaled \$34,331,679 for the years 1999–2001. Belnick's compensation resulted from a secret agreement that tied Mr. Belnick's compensation to Mr. Kozlowski's compensation, thereby giving Mr. Belnick an undisclosed incentive to aid and facilitate Mr. Kozlowski's improper diversion of Company funds to Mr. Kozlowski's personal benefit. The undisclosed terms of Messrs. Kozlowski's and Belnick's agreement were incorporated in a letter dated August 19, 1998, and signed by Mr. Kozlowski. Mr. Kozlowski and Mr. Belnick agreed that the letter would not be disclosed to the Tyco Board, the Board's Compensation Committee, or the Tyco Human Resources department. Mr. Belnick did, however, keep a copy of the undisclosed agreement in his personal office.
- **Perquisites** in excess of \$50,000 per year for Mr. Kozlowski and Mr. Swartz. These perquisites were required to be reported in a proxy to the extent they exceeded \$50,000. However, these amounts were not reported in the proxy because Mr. Kozlowski and Mr. Swartz represented that they would reimburse the Company for amounts in excess of \$50,000. However, in most cases, Messrs. Kozlowski and Swartz failed to reimburse the Company for all perquisites in excess of \$50,000. Mr. Kozlowski also caused Tyco to make available to him various properties that the Company owned for his purported business use. Tyco has now discovered that Mr. Kozlowski periodically made personal use of properties in North Hampton, NH, Boca Raton, FL, New York City, NY, and New Castle, NH.
- **Self-Dealing Transactions and Other Misuses of Corporate Trust,** including Tyco properties purchased by or from Mr. Kozlowski without disclosure to or authorization by the Compensation Committee. For example, Mr. Kozlowski and others caused a Tyco subsidiary to purchase property in Rye, New Hampshire from Mr. Kozlowski on July 6, 2000, for \$4,500,000. After an appraisal in March 2002 valued the property at \$1,500,000, Tyco wrote down the carrying value of the property to the appraised value and charged Mr. Kozlowski's \$3,049,576 overpayment to expense. Mr. Kozlowski also used millions of dollars of Company funds to pay for his other personal interests and activities, including a \$700,000 investment in the film "Endurance"; more than \$1 million for an extravagant birthday party celebration for his wife in Sardinia; over \$1 million in undocumented business expenses, including a private venture; jewelry, clothing, flowers, club membership dues and wine; and an undocumented \$110,000 charge for the purported corporate use of Mr. Kozlowski's personal yacht, "Endeavour." Mr. Kozlowski also tampered with evidence under subpoena, purchased a New York City apartment at its depreciated rather than its market value, and took personal credit for at least \$43 million in donations from Tyco to charitable organizations.

Not surprisingly, Tyco announced that it had launched a civil lawsuit against Kozlowski for breach of fiduciary duties, fraud, and other wrongful conduct, and other lawsuits against executives considered complicit in these schemes. This brings to three the major suits faced by Kozlowski launched by New York, the SEC, and Tyco but does not include class action suits by aggrieved investors. Tyco also began to replace its board members.

On June 17, 2005, fifty-eight-year-old Kozlowski and forty-four-year-old Swartz were each convicted of twenty-two of twenty-three counts, including grand larceny, conspiracy, and securities fraud, and eight of nine counts of falsifying business records.[8] On September 21, 2005, Kozlowski and Swartz were sentenced to up to twenty-five years in prison. Many observers thought that was about right, but others, including business leaders, thought it to be too much. In comparison, it was pointed out that some violent crimes, such as rape and manslaughter, carried a sentence of twenty years in jail.[9]

In a related announcement, the SEC and the lead auditor of Tyco, Richard Scalzo, a partner with PricewaterhouseCoopers (PwC), agreed that Scalzo was permanently barred from preparing financial statements of publicly traded companies. The Tyco account was reportedly worth $100 million per year to PwC, and they retained the audit. The SEC found that Scalzo "was 'reckless' and stood idle as the conglomerates' leading figures manipulated accounting entries to conceal their lavish spending and pay."[10]

Questions

1. The pattern of illegal and improper conduct described above took place for at least five years prior to June 3, 2002. What red flags or governance mechanisms should have alerted the following people to this pattern?
   a. Tyco management accountants
   b. Tyco internal auditors
   c. Tyco external auditors
   d. Tyco board of directors
2. Identify and discuss the most important weaknesses in Tyco's internal controls and its governance systems.
3. Would a post-SOX whistleblowing program to the Audit Committee of the board have eliminated the improper and illegal actions? Why or why not?
4. If you had been a professional accountant employed by Tyco during this time and you wanted to blow the whistle, who would you have gone to with your story?
5. Why were so many Tyco employees willing to go along quietly with the looting by senior executives?
6. How many years in jail do you think Kozlowski should have received for his white-collar crimes?

[8] Chad Bray and Dow Jones Newswires, "Tyco's Ousted Top Officers Face Fines and Jail Terms," June 18, 2005, D1, D9.

[9] Daniel Kadlec, "Does Kozlowski's Sentence Fit the Crime?," September 20, 2005, accessed March 22, 2006, at http://www.time.com/time/business/printout/0,8816,1106932,00.html.

[10] Tim McLaughlin and Reuters, "Tyco Auditor Barred for Life by Regulator," August 14, 2005, D3.

HealthSouth—Can Five CFOs Be Wrong?

Ethics Case

On March 19, 2003, the SEC filed accounting fraud charges in the Northern District of Alabama against HealthSouth Corporation and its CEO, Richard Scrushy. Scrushy was also charged with knowingly miscertifying the accuracy and completeness of the company's financial statements. Consequently, Scrushy became the first CEO to be charged under the governance-reforming SOX. Although five HealthSouth CFOs testified that Scrushy had knowingly directed the fraud, on June 28, 2005, the Alabama jury acquitted him of all thirty-six criminal charges, and later some civil charges were initially dismissed. In contrast, the five CFOs were initially sentenced to receive a total of 115 years in prison and $11.2 million in fines. One of the CFOs, Weston Smith, had become a whistleblower who had launched a *qui tam*[1]

[1] "*Qui tam* is a statute under the False Claims Act (31 U.S.C. § 3729 et seq.), which allows for a private individual, or whistleblower with knowledge of past or present fraud on the federal government to bring suit on behalf of the government. Its name is an abbreviation of the phrase "qui tam pro domino rege quam pro seipse," meaning "he who sues for the king as well as for himself." This provision allows a private person, known as a "relator," to bring a lawsuit on behalf of the United States, where the private person has information that the named defendant has knowingly submitted or caused the submission of false or fraudulent claims to the United States. The relator need not have been personally harmed by the defendant's conduct." "Qui tam," http://en.wikipedia.org/wiki/Qui_tam.

lawsuit under the *False Claims Act* against HealthSouth and first told prosecutors about the financial statement falsification process. He was sentenced to twenty-five years and a $2.2 million fine. How did all this happen?

According to the SEC complaint,[2] HealthSouth was founded in 1984 and grew to become the largest provider of outpatient surgery, diagnostic, and rehabilitative health care services in the United States. By 2003, it owned or operated over 1,800 different facilities with worldwide revenues and earnings of $4 billion and $76 million, respectively, in 2001. HealthSouth's stock was listed on the New York Stock Exchange (NYSE), trading under the symbol HRC. Scrushy, who founded HRC, served as its board chair and CEO from 1994 to 2002. He relinquished the CEO title on August 27, 2002, but reassumed it on January 6, 2003.

The SEC claim states that Scrushy instructed that HRC earnings be inflated as early as just after the company's stock was listed on the NYSE in 1986. Specifically, during the forty-two-month period between 1999 and the six months ended on June 30, 2002, HRC's income (loss) before income taxes and minority interests was inflated by at least $1.4 billion.

Each quarter, HRC's senior officers would meet with Scrushy and compare HRC's actual results with those expected by Wall Street analysts. If there was a shortfall, "Scrushy would tell HRC's management to 'fix it' by recording false entries on HRC's accounting records."[3] HRC's senior accounting personnel then convened a meeting—referred to as "family meetings"—to "fix" the earnings. How this was done and how the auditors were deceived is outlined in the SEC complaint as follows:

> At these meetings, HRC's senior accounting personnel discussed what false entries could be made and recorded to inflate reported earnings to match Wall Street analyst's expectations. These entries primarily consisted of reducing a contra revenue account, called "contractual adjustment," and/or decreasing expenses, (either of which increased earnings), and correspondingly increasing assets or decreasing liabilities.
>
> The contractual adjustment account is a revenue allowance account that estimates the difference between the gross amount billed to the patient and the amount that various healthcare insurers will pay for a specific treatment. [This difference was, in reality, never to be received by HealthSouth.]
>
> . . . HRC falsified its fixed asset accounts [at numerous of its facilities] to match the fictitious adjustments to the income statement. The fictitious fixed asset line item at each facility was listed as "AP Summary."
>
> HRC's accounting personnel designed the false journal entries to the income statement and balance sheet accounts in a manner calculated to avoid detection by the outside auditors. For example, instead of increasing the revenue account directly, HRC inflated earnings by decreasing the "contractual adjustment" account. Because the amounts booked to this account are estimated, there is a limited paper trail and the individual entries to this account are more difficult to verify than other revenue entries.
>
> Additionally, each inflation of earnings and corresponding increase in fixed assets was recorded through several intermediary journal entries in order to make the false inflation more difficult to trace.
>
> Furthermore, HRC increased the "AP Summary" line item at various facilities by different amounts because it knew that across-the-board increases of equal dollar amounts would raise suspicion.
>
> HRC also knew that its outside auditors only questioned additions to fixed assets at any particular facility if the additions exceeded a certain dollar threshold. Thus, when artificially increasing the "AP Summary" at a particular facility, HRC was careful not to exceed the threshold.
>
> HRC also created false documents to support its fictitious accounting entries. For example, during the audit of HRC's 2000 financial statements, the auditors questioned an addition to fixed assets at one particular HRC facility. HRC accounting personnel, knowing that this addition was fictitious, altered an existing invoice (that reflected an actual purchase of an asset at another facility that approximated the dollar amount of the fictitious addition) to fraudulently indicate that the facility in question had actually purchased that asset. This altered invoice was then given to the auditors

[2] *Securities and Exchange Commission v. HealthSouth Corporation and Richard M. Scrushy*, Complaint for Injunctive and Other Relief, Civil Action No. CV-03-J-0615-S (March 19, 2003), http://www.sec.gov/litigation/complaints/comphealths.htm.
[3] Ibid.

HealthSouth's Five CFOs Qualifications and Penalties

Period As CFO	Name	CPA/OR	Years in Prison	Fine ($U.S. Million)
Jan. 1984–Oct. 1997	Aaron Beam	CPA	0.25	1.00
Oct. 1997–Feb. 2000	Michael Martin		15	1.25
Feb. 2000–Aug. 2001	Bill Owens	CPA	30	5.50
Aug. 2001–Aug. 2002	Weston Smith	CPA	25	2.20
Aug. 2002–Jan. 2003	Malcolm "Tadd" McVay	MBA	15	1.25
				$11.20

Source: Principal source: http://www/al.com.specialreport/birminghamnews/healthsouth.

to support the recording of the fictitious asset in question. Also, when the auditors asked HRC for a fixed assets ledger for various facilities, HRC accounting personnel would re-generate the fixed asset ledger, replacing the "AP Summary" line item with the name of a specific fixed asset that did not exist at the facility, while leaving the dollar amount of the line item unchanged.

While the scheme was ongoing, HRC's senior officers and accounting personnel periodically discussed with Scrushy the burgeoning false financial statements, trying to persuade him to abandon the scheme. Scrushy insisted that the scheme continue because he did not want HRC's stock price to suffer. Indeed, in the fall of 1997, when HRC's accounting personnel advised Scrushy to abandon the earnings manipulation scheme, Scrushy refused, stating in substance, "Not until I sell my stock."[4]

These manipulations were testified to during the trial by the five men who served as CFO during the interval under review, all of whom pled guilty to charges such as conspiracy to commit securities and wire fraud and falsification of financial records. On "August 14, 2002, Scrushy and HRC's CFO certified under oath that HRC's 2001 Form 10-K contained no 'untrue statement of material fact'" even though "this report overstated HRC's earnings … by at least 4,700%."[5]

The SEC complaint did not detail all of the fraud at HealthSouth, estimated to total $3.8 billion to $4.6 billion, which was reportedly made up of the following:

Fraudulent entries	$2.5 billion
Acquisition accounting/goodwill	0.5 billion
Improper (non-GAAP) accounting	0.8 billion to 1.6 billion
Total	$3.8 billion to 4.6 billion[6]

The same special report[7] stated that HRC profit was overstated by $2.74 billion from 1996 to 2002 inclusive and that Scrushy received $265 million in remuneration, consisting of $21.9 million in salary, $34.5 million in bonuses, and $208.9 million from the sale of shares. In 2002, Scrushy's remuneration totaled $112.3 million, including $99.3 million from the sale of shares.

The timing of Scrushy's 2002 stock sales is of interest. In May 2002, the U.S. Justice Department joined the *qui tam* whistleblower lawsuit of Bill Owens, which accused HealthSouth of fraudulently seeking payments for services provided by unlicensed employees, including interns and students. On the same day, Scrushy exercised 5.3 million stock options at $3.78 and sold them for $14.05 for a gain of over $54 million.

The major Scrushy-directed HealthSouth fraud is not the first or only one to take place in Scrushy's companies. Earlier frauds, bankruptcies, or questionable business dealings are part of the history of several

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[4] *Securities and Exchange Commission v. HealthSouth Corporations and Richard M. Scrushy*, paras. 19–30, inclusive.
[5] Ibid., para. 38
[6] Everything Alabama website, "HealthSouth's Fraud," http://www/al.com.specialreport/birminghamnews/healthsouth.
[7] Ibid.

companies owned at least in part by Scrushy and/or HealthSouth and controlled by Scrushy with interlocking Boards of Directors to HealthSouth. These companies include MedPartners, Caremark National, Integrated Health Services, Capstone Capital, and HealthSouth for Medicare frauds ($1 million paid in 2000; $8.2 million in 2001).[8] It is alleged, however, that Scrushy began to "fix" earnings in the early 1990s, and it is evident that he became involved in questionable business dealings during the same time frame. Significantly, the people involved with Scrushy in these and other questionable business dealings were often current and/or former HealthSouth employees or members of the HealthSouth Board of Directors.[9] Scrushy, however, appears to have been the common link among the corporations involved.

In spite of the SEC's evidence on HealthSouth manipulations, which was supported by the testimony of five CFOs and ten other employees (all of whom pled guilty to the fraud), the jury of seven black and five white jurors voted to acquit Scrushy. Why was this? According to the *Report on Fraud*, the reasons were multifaceted,[10] as follows:

> Surrounded by reporters as he left the courtroom, an elated Scrushy said: "Thank God for this." It was not a throwaway line, for his acquittal was partly due to a defense strategy that focused on Scrushy's religious devotion (in fuller flourish during the trial), an unusual racism tactic, smear campaigns against key witnesses, an overabundance of prosecution documents (six million) but no smoking gun, and a victory for southern charm over northern sophistication.
>
> More than any contributing factor to Scrushy's acquittal, however, was location.... "New York juries, like those in other metropolitan areas, often include people who have worked in the financial field and are more skeptical of CEOs who claim ignorance." "One of the questions in a very complex case like this is: 'How much did they understand?'"
>
> Another was: who did they believe?… Scrushy was a prominent and respected figure in Birmingham, where HealthSouth employed thousands of residents. Perceived as a "local boy made good," as he was often described, he donated lavishly to community causes …
>
> Faced with the enormous evidence against their client, … how could his defense team convince a jury their client was not guilty?
>
> Step number one: combine race and religion. It was a strategy led by defense counsel Donald Watkins, a black civil rights lawyer turned energy tycoon and banker, . . .
>
> As part of the defense strategy, Scrushy, who is white, "left his suburban evangelical church and joined a black congregation in a blue-collar neighborhood," reported the *Washington Post*. The Guiding Light congregation was the recipient of a $1-million donation from Scrushy. "He bought a half-hour of local TV for a morning prayer show featuring himself and his wife, and frequent guest spots by black ministers. He had a prayer group praying for him every day of the trial." Also during the trial, Scrushy's son-in-law bought a small TV station and began broadcasting daily reports bolstering the defendant's case, says *USA Today*. Many members of Guiding Light turned up at Scrushy's trial and sat directly behind him. . . .
>
> At the same time … his defense team successfully manoeuvred to have seven blacks on the jury and five whites, all from working-class backgrounds.
>
> Faced with five former CFOs testifying to Scrushy's guilt, his defense team decided to impugn their credibility, … all negotiated lenient sentences prior to testifying … characterized one witness as looking clean as a "Winn-Dixie chitlin" … portrayed prosecution star witness William Owens, … as a rat "who squeals 'trust me, believe me.'" … "A witness was ridiculed because he used antidepressants." … "Another witness was accused of faking tears on the stand." Yet another was

[8] These misadventures are well chronicled on the HealthSouth Web pages of the University of Wollongong at http://www.uow.edu.au/arts/sts/bmartin/dissent/documents/health/map_usa.html and in Russell Hubbard, "Rocket-Like Ascent Tumbles Back with Crushed Investors," *Birmingham News*, April 13, 2003.

[9] Ibid.

[10] "The Strange Acquittal of Richard Scrushy," *Report on Fraud*, Navigant Consulting, the Canadian Institute of Chartered Accountants, and the American Institute of Certified Public Accountants, vol. 8, no. 2 (September 2005): 4–7.

> forced to admit that he often cheated on his wife and lied about it.… The defense team's goal … was to treat the group of CFOs as one … comprised [of] a group of liars and cheats … a bold move, but it worked, according to jurors.

Several jurors speaking after the trial said they wanted to see fingerprints on any of the evidence documents or a smoking gun that would tie Scrushy directly to the fraud. Two poorly made audiotapes were not sufficient, and "defense lawyers argued that Scrushy never employed words such as 'fraud' or 'illegal' and no documents or emails produced during the trial implicated their client."[11] It took twenty-one days for the jury to reach a verdict. Originally, seven jurors wanted acquittal, but the number grew to ten. One of the jurors who wanted a guilty verdict was replaced due to recurring migraine headaches, and since the replacement juror wanted an acquittal, only one holdout remained. She was finally convinced to vote for acquittal.

The issue of credibility—who to believe—seemed to be paramount. The words of one juror and one author probably captured the essence of the trial best:

> There were five CFOs who testified against Scrushy and they all seemed to have some reason to lie.… Based on that conclusion, he said, he had to vote to acquit.[12]
>
> [Scrushy] never took the stand. He chose, instead, to preach at his new congregation during the trial, although his pastor said he didn't attend the service following his acquittal.[13]

Expert observers do not view this verdict as a problem for the future enforcement of SOX. They view it as "a defeat for these particular prosecutors in this particular case."[14]

Questions

1. What were the major flaws in HealthSouth's governance?
2. What should HealthSouth's auditors, Ernst & Young, have done if they had perceived these flaws?
3. How—in accounting terms—did the manipulation of HealthSouth's financial statements take place?
4. Why did all the people who knew about the manipulation keep quiet?
5. What is the auditor's responsibility in a case of fraud?
6. What are the proper audit procedures to ensure the existence of assets in the financial statements? What are the proper audit procedures to validate estimates?
7. What areas of risk can you identify in HealthSouth's control environment before 2003?
8. What areas of risk can you identify in HealthSouth's strategy before 2002?
9. What changes could be made in HealthSouth's control system and corporate governance structure to mitigate the risk of accounting fraud in future years?
10. Was Scrushy's defense ethical?

Note: Assistance in the preparation of this case is greatly appreciated from Miguel Minutti Meza, Catherine Hancharek, Lily Ding, Lei Guo, Joanna Qin, Crystal Wu, and Michelle Wu, all of whom were students in the Master of Management & Professional Accounting Program of the Rotman School of Management at the University of Toronto.

HealthSouth Case Postscript—2009

In June 2009, the verdict in Richard Scrushy's civil lawsuit launched by angered investors was announced by a federal judge in Alabama. Unlike his criminal trial, which is reported on in the case above, Scrushy was found guilty and ordered to pay $2.9 billion to the company's shareholders.[1] According to the judge, the fraud ran for seven years and totaled $2.7 billion, and Scrushy was its "orchestrator." It is important to note that in a criminal trial, conviction depends on a finding of guilt beyond a reasonable doubt, whereas in a civil trial, guilt depends on a preponderance of evidence (i.e., a reasonable probability of guilt), which is a much lower standard.

[1] Jack Healy, "Ex-Chief of HealthSouth Loses Civil Suit," *New York Times*, June 18, 2009, accessed January 1, 2014, at http://www.nytimes.com/2009/06/19/business/19scrushy.html?_r=0.

[11] Ibid.
[12] Ibid.
[13] Ibid.
[14] Ibid.

Royal Ahold—A Dutch Company with U.S.-Style Incentives

Ethics Case

According to the Royal Ahold company profile,

> Ahold is a global family of local food retail and foodservice operators that operate under their own brand names. Our operations are located primarily in the United States and Europe. Our retail business consists of retail chain sales, sales to franchise stores, and sales to associated stores. The store format that we primarily use is the supermarket. Through our foodservice operations we distribute food, and offer services and expertise to restaurants and hotels, healthcare institutions, government facilities, universities, sports stadiums, and caterers.
>
> In 2003, our consolidated net sales were Euro 56.1 billion, our retail trade and foodservice businesses representing approximately 70% and 30% of this total, respectively. At the end of 2003, Ahold's average number of employees in full-time equivalents totaled 256,649 worldwide.[1]

The company is listed on the Dutch and U.S.[2] stock markets. Ahold was one of the first large Dutch or European companies to implement U.S.-style large stock option compensation schemes for its managers, and that may have led to its downfall in late 2002 and early 2003.[3]

In 2002, Ahold claimed to be the world's third-largest retail group. However, due to unfavorable market conditions, the company had lower-than-expected U.S. sales. For years, the company outperformed its peers, expanding aggressively, but the expansion left Ahold with $12 billion in debt, one of the largest in the sector. In July, the company revised its full-year EPS growth target to 5% to 8%. The company's figures revealed a 6% fall in its core food service business in the United States and a 10% fall in the value of Ahold shares. In October, some investors suggested that Ahold's chief executive, Cees van der Hoeven, leaked the sales numbers to certain analysts and the share price suffered a first drop.

In February 2003, the company announced that net earnings and earnings per share would be significantly lower than previously indicated for fiscal 2002. In the same month, the company disclosed that its financial statements for fiscal 2000 and fiscal 2001 would be restated. A press release indicated that the restatements related primarily to overstatements of income related to vendor promotional allowance programs at its subsidiary, U.S. Foodservice. Managers of the subsidiary booked much higher promotional allowances (provided by vendors to promote their merchandise) than the company was to actually receive. Ahold estimated the amount of the overstatement to be close to $500 million.

Other irregularities under investigation were the legality and accounting treatment of questionable transactions at the Argentine subsidiary, Disco. Certain joint ventures were consolidated based on misrepresentations to Ahold's auditors. CEO Cees van der Hoeven and CFO Michiel Meurs resigned immediately. The SEC and the Dutch stock exchange Euronext investigated the irregularities, requiring Ahold to present documentation from 1999 to 2003. The company said the irregularities only began in 2001.

In May 2003, Ahold named a new CEO, former executive of Ikea Anders Moberg.[4] While waiting for the results of the investigations, the company started a restructuring program that involved divesting Indonesian and South American operations. The company also entered into an emergent credit facility from a syndicate of banks.

In May 2003, a forensic report from PricewaterhouseCoopers (PwC) indicated a total overstatement of pretax earnings of approximately U.S.$880 million.[5] Offsetting the bad news of the report, Ahold said that no evidence of fraud was found at other operations. Later in the same month, Jim Miller, president and CEO of U.S. Foodservice, resigned from his position. Ahold considered that he was not implicated. In July 2003, the

[1] From the Ahold website at http://www.ahold.com/index.asp?id52 (accessed January 24, 2005).

[2] As KONINKLIJKE AHOLD NV (AHODF.PK) on the PNK Exchange and as Koninklijke Ahold NV American Depositary Shares (each representing one Ordinary Share) (AHO) on the NYSE.

[3] Stephen Tau#b, "Royal Ahold in Dutch," CFO, February 25, 2003, accessed January 24, 2005, at http://ww2.cfo.com/2003/02/royal-ahold-in-dutch.

[4] "Ahold Turns to IKEA's Ex-Boss," May 2, 2003, accessed January 1, 2005, at http://news.bbc.co.uk/l/hi/business/2995135.stm.

[5] "Ahold Profits Inflated by $880m," May 8, 2003, accessed January 1, 2005, at http://news.bbc.co.uk/l/hi/business/3011103.stm.

regulator's inquiry ended, and Ahold disclosed an additional $84.4 million in accounting irregularities, bringing the total overstatement to $1.1 billion. The company declined to reveal when or where the latest accounting irregularities occurred.[6]

Ahold's auditors, Deloitte & Touche, insisted that they warned the firm about problems in its U.S. unit. The auditors also pointed out that Ahold did not supply them with full information. These problems were never disclosed to the public. Deloitte said during the inquiries that they identified the problems during the 2002 audit and gave the details to Ahold's board immediately before the audit was concluded in 2003.

In January 2005, nine executives were charged by the Securities Exchange Commission (SEC)[7] with participating in a scheme of accounting fraud at U.S. Foodservice. All executives were accused of approving documents that claimed U.S. Foodservice was owed millions of dollars more in promotional allowances than was actually the case. Former U.S. Foodservice chief marketing officer Mark P. Kaiser faced charges of conspiracy and fraud, along with former CFO Michael Resnick. Executives Timothy J. Lee and William F. Carter pleaded guilty to similar charges in 2004. All the executives have been named in a civil case involving John Nettle, former vice president of General Mills; Mark Bailin, former president of Rymer International Seafood; and Peter Marion, president of Maritime Seafood Processors. Nettle confirmed to the auditors false amounts owed by his company to U.S. Foodservice in 2001. Bailin and Marion benefited by buying U.S. Foodservice stock in 2000, ahead of the company's announcement that Royal Ahold was acquiring it.

According to SEC Litigation Release No. 18929, dated October 13, 2004,[8] the misdeeds were described as follows:

The Earnings Fraud at U.S. Foodservice

With respect to the fraud at U.S. Foodservice ("USF"), Ahold's wholly-owned subsidiary based in Columbia, Maryland, the Commission's complaint against Ahold alleges as follows:

- A significant portion of USF's operating income was based on vendor payments known as promotional allowances. USF executives materially inflated the amount of promotional allowances recorded by USF and reflected in operating income on USF's financial statements, which were included in Ahold's Commission filings and other public statements.
- USF executives also provided, or assisted in providing, Ahold's independent auditors with false and misleading information by, for example, persuading personnel at many of USF's major vendors to falsely confirm overstated promotional allowances to the auditors in connection with year-end audits.
- The overstated promotional allowances aggregated at least $700 million for fiscal years 2001 and 2002 and caused Ahold to report materially false operating and net income for those and other periods.

The Joint Venture Sales and Operating Income Fraud Complaints Against Ahold and the Top Officers

With respect to the fraudulent consolidation of joint ventures, the commission's complaints against Ahold, van der Hoeven, Meurs, and Andreae allege as follows:

> Ahold fully consolidated several joint ventures in its financial statements despite owning no more than fifty percent of the voting shares and despite shareholders' agreements that clearly provided for joint control by Ahold and its joint venture partners. To justify full consolidation of certain joint ventures, Ahold gave its independent auditors side letters to the joint venture agreements, signed by Ahold and its joint venture partners, which stated, in effect, that Ahold controlled the joint ventures ("control letters").

[6] Gregory Crouch, "Royal Ahold's Inquiry Ends, Finding $1.1 Billion in Errors," July 2, 2003, C2, accessed January 21, 2005, at http://select.nytimes.com/gst/abstract.html?res5 F60A11F7395E0C718CDDAE0894DB404482.

[7] U.S. Securities and Exchange Commission, "Nine Individuals Charges by the SEC with Aiding and Abetting Financial Fraud at Royal Ahold's U.S. Subsidiary for Signing and Returning False Audit Confirmations. One Also Charged with Insider Trading," January 13, 2005, accessed January 26, 2005, at http://www.sec.gov/litigation/litreleases/lr19034.htm.

[8] U.S. Securities and Exchange Commission, "SEC Charges Royal Ahold and Three Former Top Executives with Fraud: Former Audit Committee Member Charged with Causing Violations of the Securities Laws," October 13, 2004, accessed January 26, 2005, at http://www.sec.gov/litigation/litreleases/lr18929.htm.

However, at the time or soon after executing the control letters, Ahold and its joint venture partners executed side letters that rescinded the control letters—and thus the basis for full consolidation (the "rescinding letters").

Meurs signed all but one of the control and rescinding letters on behalf of Ahold. He also knew that Ahold's auditors were relying on the control letters and were unaware of the existence of the rescinding letters.

Van der Hoeven cosigned one of the rescinding letters and he was at least reckless in not knowing that the auditors were unaware of its existence.

Andreae participated in the fraud by signing the control and rescinding letters for ICA, Ahold's Scandinavian joint venture, and by knowingly or recklessly concealing the existence of the ICA rescinding letter from the auditors.

As a result of the fraud, Ahold materially overstated net sales by approximately EUR 4.8 billion ($5.1 billion) for fiscal year 1999, EUR 10.6 billion ($9.8 billion) for fiscal year 2000, and EUR 12.2 billion ($10.9 billion) for fiscal year 2001. Ahold materially overstated operating income by approximately EUR 222 million ($236 million) for fiscal year 1999, EUR 448 million ($413 million) for fiscal year 2000, and EUR 485 million ($434) for fiscal year 2001.

In February 2004, Ahold announced its plans with regard to the recommendations of the Dutch Tabaksblat Committee on Corporate Governance.[9] In order to restore trust in its governance processes, thirty-nine executives and managers were terminated, and an additional sixty employees faced disciplinary actions of different degrees. Members of the Corporate Executive Board will serve for a predetermined period, in which continuity and succession have been taken into account. According to the company, these measures will result in significant improvement in transparency and a far-reaching increase in the power of its shareholders.

The company is also replacing a decentralized system of internal controls with a one-company system with central reporting lines. The most important control, however, is making clear to Ahold's people what the company expects of them going forward. As a first step in this process, they initiated a company-wide financial integrity program. This is aimed at 15,000 managers, the entire middle and top ranks of the organization. The goal of the program is to underscore the importance of integrity and to help guide Ahold's people to apply its corporate business principles.

Questions

1. A vendor may offer a customer a rebate of a specified amount of cash or other consideration that is payable only if the customer completes a specified cumulative level of purchases or remains a customer for a specified period of time. When should the rebate be recognized as revenue? At what value should the rebate be recorded as revenue?
2. The SEC investigation found the individuals involved in the fraud "aided and abetted the fraud by signing and sending to the company's independent auditors confirmation letters that they knew materially overstated the amounts of promotional allowance income paid or owed to U.S. Foodservice." Is the confirmation procedure enough to validate the vendor's allowance amount in the financial statements?
3. The SEC investigation also revealed that "a significant portion of U.S. Foodservice operating income was based on vendor payments known as promotional allowances." How might irregularities have been discovered through specific external audit procedures?
4. Royal Ahold made several changes in its corporate governance structure. Discuss how those changes will mitigate the risk of accounting fraud in future years.

[9] From Ahold's company history at http://www.ahold.com/index.asp?id514 (accessed January 24, 2005).

The Ethics of Bankruptcy: Jetsgo Corporation

Ethics Case

The discount airline Jetsgo Corporation began operations in June 2002. Within two and a half years, it grew to become Canada's third-largest airline, moving approximately 17,000 passengers per day on its fleet of twenty-nine airplanes, fifteen of which were company-owned Fokker F100s. With 1,200 employees, the company serviced twenty locations in Canada, a dozen in the Caribbean, and ten in the United States.

Jetsgo was a private company owned by Michel Leblanc. Leblanc had lived his life around airplanes. His father owned a flight school; he learned to fly at age sixteen. In his twenties, he was an aircraft salesman; in 1978, he co-owned an eleven-airplane forest-spraying business. From 1985 to 1990, he was a partner in Intair a regional airline in Quebec. In 1991, he and a new partner started Royal Aviation Inc., which he sold in 2001 for $84 million in stock to Canada 3000. Although he was subsequently sued by Canada 3000 for providing inaccurate financial information, the case was never tried because Canada 3000 went into bankruptcy protection in November 2001.

In June 2002, he launched Jetsgo. On Friday, March 11, 2005, just before the busy spring break travel week, Jetsgo entered bankruptcy protection, stranding thousands of passengers who could not return home and annoying those who could not leave on their spring break holiday.

Throughout its short life, Jetsgo was plagued with both financial and maintenance problems. Leblanc kept operating costs low by doing the following:

- Paying low wages
- Making pilots pay for their own training
- Leasing old aircraft
- Minimizing spare parts inventory by flying only two types of airplanes: the McDonald Douglas MD-83 and the Fokker F100
- Promoting ticket sales through the Internet

Despite these cost-saving moves, the company still had financial and maintenance problems. From 2002 to 2005, it filed a total of sixty incident reports with Transportation Canada. These included the following:

- Three months after it began operations, a plane had to make an emergency landing in Toronto because of a hydraulic fuel leak.
- In January 2004, smoke filled the passenger cabin of one plane due to a hydraulic fuel leak.
- In April 2004, a plane made an emergency landing in Winnipeg because of a clogged engine oil filter.
- In December 2004, a plane heading to Mexico had to return to Toronto after flames were seen coming out of an engine.
- In January 2005, a plane landing in poor weather slid off the runway in Calgary, hitting a runway sign before taking off again.
- In March 2005, a plane made an emergency landing in Columbia, South Carolina, because of incorrect oil pressure in an engine. It was the second such emergency landing for the plane due to oil pressure problems.

In November 2002, Transport Canada inspectors found twenty-three nonconformance items with the airline. In February 2005, Transportation Canada placed restrictions on Jetsgo and on March 8 said that operations would be suspended on April 9 if the maintenance problems were not fixed. Three days later, on March 11, the company ceased operations.

The company also had financial and cash flow problems. In the first three months of 2005, it lost $22 million. It fell behind in its payment to NAV Canada, which operates Canada's air traffic control system. On March 7, 2005, Jetsgo had to write a certified check to NAV Canada for $1.25 million—a "hostage payment" according to Leblanc—to forestall NAV Canada from seizing some of the company's planes. After it declared bankruptcy, Jetsgo was sued by NAV Canada for an additional $1.6 million for unpaid navigation services and $5.5 million by the Greater Toronto Airport Authority for unpaid airport improvement fees, landing fees, terminal fees, and parking fees. Eight of the company's leased aircraft were left in Toronto on March 11, while all of the company-owned Fokkers were flown to Quebec City and parked in a company-leased hangar.

Leblanc decided to close down operations commencing at midnight on Thursday, March 10, but would not make a public announcement until Friday. Meanwhile, he left the online booking system open. Also, on Thursday, supervisors told thirteen pilots to fly their Fokker airplanes to Quebec City for maintenance checks. Leblanc subsequently said that the "white lie" told to the pilots was justified so that all the company-owned aircraft could be kept safely in Quebec City. Leblanc felt it was better to have all the planes in one place, where they could be guarded, rather than be left at various airports across the country. "It was a white lie, but a necessary lie. You can't tell them, or the job won't get done. Half of them would have refused. The objective would not have been fulfilled and we would have had airplanes all over the damn place today and the estate of Jetsgo would not be protected." The other two company-owned Fokkers were later moved to Quebec City.

The pilots and other employees were then phoned on Friday beginning at 12:30 a.m., waking many from their sleep, and told that the company was bankrupt and that they should stay away from the airports. Customers who arrived at the airports on Friday were abruptly told that operations had been shut down. Although he expressed regret that people's travel plans had been ruined, especially before the popular spring break, and that there were many stranded passengers across North America, Leblanc was pleased that there was no unruly behavior. “Okay, on Friday morning, there were people who didn’t fly,” he said. “But did you see any airport riots? Did you see 2,000 people in the terminal punching Jetsgo employees? No.” Afterward, Leblanc blamed NAV Canada and unfair competition from WestJet Airlines for causing him to close down his airline.

The stranded passengers had to make alternative arrangements to get home; some had to buy tickets on other airlines. WestJet Airlines offered $35 standby fares to the stranded pilots, flight attendants, and maintenance personnel. Some travel agencies provided refunds to their clients, and the Royal Bank said that anyone who booked a ticket online using a Royal Bank Visa card would be reimbursed by the bank. Nevertheless, critics have said that it was callous of Leblanc to have left the online reservation system open on Thursday when he knew that the reservations made that day would never be honored.

Questions

1. For many organizations, bankruptcy protection is just another operational and financial strategy. Discuss the ethical aspects of intentionally remaining silent, collecting money, and then suddenly announcing that the company is bankrupt.
2. Do you accept that the little “white lie” told to the pilots was justifiable?
3. Was it operationally wise for Jetsgo to keep the online reservation system open until the company officially declared bankruptcy? Was it an ethically correct or incorrect decision?
4. Should Leblanc have waited until the busy spring-break holiday period was over to then close down operations?

Sources: CBC News, “Creditors Seek to Seize Jetsgo Aircraft,” March 23, 2005, http://origin.www.cbc.ca/money/story/2005/03/23/jetsgo-050323.html.;

CBC News, “Jetsgo’s Michel Leblanc,” September 5, 2006, http://www.cbc.ca/news/background/airlines/leblanc_michel.html.;

Robert Cribb, Fred Vallance-Jones, and Tamsin McMahon, “Jetsgo Problems Ignored,” *Toronto Star*, June 16, 2006, http://www.thestar.com/News/article/144218.;

Brent Jang, “Leblanc on Sorrow, Remorse and His Little ‘White Lie’: Admits He Misled Pilots to Protect Planes,” *The Globe and Mail*, March 18, 2005, http://www.theglobeandmail.com/servlet/Page/document/v5/content/subscribe?user_URL5http://www.theglobeandmail.com%2Fservlet%2FArticleNews%2FTPStory%2FLAC%2F20050318%2FRJETSGO18%2FTPBusiness%2F&ord570437229&brand5theglobeandmail&force_login5true.

Stock Market Cases

The Archegos Scandal—A Cautionary Tale of Fraud & Fog

Ethics Case

Bill Hwang was born in South Korea as Sung Kook Hwang and immigrated to the United States in 1982 with his parents. Because his father passed away, his early life was a challenge. Ultimately, he earned an MBA having worked night shifts at McDonalds to fund his education. After several jobs in the investment field, he caught the eye of a wealthy investment manager Julian Robertson who advanced him about $25 million to launch the Tiger Asia Management Fund.[1] Business was good until the recession of 2007–2009.

In 2012, Hwang and his company were indicted by the Securities and Exchange Commission (SEC) and admitted to illegally using inside information to trade Chinese bank stocks. He agreed to criminal and civil settlements of over $60 million.[2] Bill, now a convicted fraudster, closed Tiger Asia and opened Archegos Capital Management as a “family office”

[1] Celarier, Michelle (28 March 2021). “The Two Tiger Cubs at the Center of Friday’s $35 Billion Meltdown,” *Institutional Investor*. Archived from the original on 23 March 2023. Retrieved March 17, 2023.

[2] Matt Scuffham, John Revill and Makiko Yamazaki, Reuters, March 29, 2921, “Global banks brace for losses from Archegos fallout,” March 29, 2021, accessed online on March 3, 2025, at https://www.reuters.com/article/us-usa-markets-blocktrades/large-block-trades-tied-to-archegos-raise-worries-about-trading-this-week-idUSKBN2BK0OR/.

private investment firm. In March 2021, overleveraged Archegos collapsed, resulting in an estimated $10 billion in losses for major financial institutions and sending shockwaves through global markets.[3] How this happened is a cautionary tale of bankers who failed to do their due diligence, who failed to understand the risks they were facing lending to Bill's company, and who failed to understand the loopholes in securities legislation afforded to "family offices."

The Role of Total Return Swaps

Archegos adopted a strategy that hinged on the utilization of total return swaps, a complex financial derivative enabling the accumulation of substantial positions in individual equities without necessitating public disclosure of ownership. These instruments involved agreements where Archegos received the total return of an underlying asset (i.e., the shares in a specific company)—including both capital appreciation and income such as dividends over a specified period—in return for paying an interest-benchmarked fee to the counterparty (i.e., such as Credit Suisse) who bought the shares in the specific company. This mechanism afforded Archegos exposure to the asset without actual ownership, thereby avoiding the limits of percentage ownership that required public disclosure and circumventing traditional regulatory reporting requirements. By using total return swaps to raise funds for investment, Archegos indirectly controlled market positions in shares of companies that were well beyond normal disclosure limits. This hid large risk positions from lenders to (i.e., Credit Suisse) and direct investors in Archegos. When Archegos was forced to terminate the swaps, the shares involved were sold which drove down the market prices of the shares involved, creating a catastrophe for lenders like Credit Suisse and other investors.

Key financial institutions, including Credit Suisse, Nomura, Morgan Stanley, and Goldman Sachs, acted as prime brokers, providing Archegos with billions to invest without adequately scrutinizing the huge systemic risks associated with its concentrated portfolio.[4]

Collapse and Market Impact

The unraveling of Archegos began when its heavily concentrated stock positions, in companies such as ViacomCBS and Discovery, experienced sharp declines. This triggered margin calls from its brokers who demanded additional collateral to cover the falling values of its positions. When Archegos could not meet these obligations, its lenders were compelled to liquidate massive positions, flooding the market with stock and causing further price collapses. Credit Suisse reported a staggering $5.5 billion in losses, while other brokers, including Nomura, faced billions in damages as well. These losses highlighted glaring deficiencies in the risk management practices of some of the world's largest financial institutions.[5]

Systemic Risks Exposed

The Archegos debacle exposed significant weaknesses in the regulatory frameworks governing both family offices and derivatives trading. Family-owned, private entities managing the wealth of high-net-worth individuals, enjoyed exemptions from many of the disclosure requirements imposed on hedge funds. This regulatory gap allowed Archegos to operate with minimal transparency, obscuring the true extent of its market positions from regulators and counterparties.

As noted above, the use of total return swaps enabled Archegos to accumulate substantial leverage without triggering traditional ownership reporting requirements. This opacity not only undermined market integrity but also elevated systemic risk by exposing financial institutions to unforeseen vulnerabilities. For instance, Credit Suisse's $5.5 billion loss represented a significant erosion of its capital buffer that undermined its operational stability and damaged investor confidence.[6] Similarly, the interconnected nature of financial markets meant that the rapid liquidation of Archegos' positions caused sharp price declines in affected stocks, cascading into broader market volatility. Such systemic risks mirror those seen in prior crises, including the 2008 collapse of Lehman Brothers, which similarly involved opaque derivatives and unanticipated counterparty exposures.[7]

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[3] Osipovich, A. (2021). "Archegos blowup: How a family office triggered a $10 billion reckoning," *Wall Street Journal.*

[4] Lewis, L., & Walker, O. (2021, April 27). "Total bank losses from Archegos implosion exceed $10bn," *Financial Times*. https://www.ft.com/content/c480d5c0-ccf7-41de-8f56-03686a4556b6.

[5] Ibid.

[6] Neghawi, B. (2021). "Credit Suisse reels from Archegos hit," *Reuters* https://www.reuters.com/article/business/credit-suisse-to-boost-capital-ahead-of-further-archegos-hit-idUSKBN2C91BN/.

[7] McDonald, L. G., & Robinson, P. (2009). *A Colossal Failure of Common Sense: The Inside Story of the Collapse of Lehman Brothers*. Crown Business. For a richer explanation of the use of opaque trading instruments during the 2008 financial crisis, refer to Chapter 8 of this textbook in the Cengage digital library.

Ethical Failures

Archegos' reliance on opacity and excessive leverage raises questions about the moral responsibilities of market participants, particularly when their actions carry the potential for widespread harm. The role and short-term gain motivation of prime brokers, who extended extraordinary levels of credit to Archegos despite clear warning signs of concentrated risk, also demands ethical examination.

In April 2022, Hwang was arrested and charged with a scheme to harm investors because he had gained control of large percentages of the share capital of several companies without revealing that he had done so. This put him in a position to manipulate the market price of the shares involved thus harming other investors without the warning expected by the SEC's requirement for disclosure of such an accumulation. In fact, he had used a regulatory loophole, and SEC oversight, to hide his accumulation. Was this illegal? Was it unethical?

Questions

1. Bill Hwang was a convicted fraudster. Total return swaps enabled his company to invest in high percentages of several other companies' capital using someone else's name because "family office" loophole avoided having to disclose the financial risks involved to the public. However, the major counterparties to the total return swaps did know about the investments involved because they made them. Why didn't they understand the risk involved? What were the red flags they should have spotted and investigated?
2. In 2022, Bill Hwang was indicted for a scheme that harmed investors, but he used a regulatory loophole, which was an oversight by the SEC. Was it illegal to use a loophole? Was it unethical? Should he be convicted?
3. Should the professional leaders who lent Archegos funds, who are supposedly astute at assessing credit, be allowed to claim that Bill harmed them when his firm collapsed?

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Société Générale's Rogue Trader

Ethics Case

Jérôme Kerviel joined the French bank, Société Générale (SocGen), in 2000 at the age of twenty-three as part of its systems personnel in its back office. In 2005, he became a junior derivatives trader with an annual limit of €20 million, which is just under U.S.$30 million. However, in November 2007, exchange officials questioned SocGen about why he had traded more than U.S.$74 billion worth of stock-index futures contracts. Kerviel was allowed to continue trading until mid-January 2008, when SocGen liquidated his trading positions and realized a loss of U.S.$7.62 billion (€4.9 billion). How did this happen? Who should be blamed? Was he different than other rogue traders?

Société Générale began operations in France in 1864 and is one of the main European financial institutions. It is the sixth-largest French company and the third-largest bank in the Eurozone. By the mid-2000s, it had developed a risk culture. In 2007, for example, trading-related activities represented 35% of the bank's revenue, up from 29% in 2004. Traders were well rewarded, and it was not uncommon for them to briefly exceed trading limits.

Kerviel began working for the bank in its back office recording and reconciling trading activity. In 2005, he became a trader in the bank's arbitrage department, trading European stock futures. He took unauthorized positions in equities and futures and used his knowledge of the bank's control procedures to conceal his trading positions. Because he knew the timing of the nightly reconciliation of daily trades, he was able to delete and reenter his trades or enter fictitious offsetting trades. Although the bank's risk control department monitored the bank's overall position, it did not verify individual transactions, so his trades went undetected.

In November 2007, officials at Eurex, a derivatives exchange owned by the Deutsche Böerse, questioned SocGen about Kerviel's huge trading activity and position. But Kerviel "produced a faked document to justify the risk cover," according to prosecutor Jean-Claude Marin,[1] and he continued to trade.

By the end of 2007, his positions had generated a paper profit of €1.4 billion.[2] But because this was generated with positions well over his authorized limit, he used his knowledge of the bank's systems and controls to hide most of his success. At the time, Kerviel was making a salary and bonus of not more than €100,000 (approximately U.S.$145,000),[3] and no evidence indicated that he benefited other than through salary and bonus from his trades. Later, Kerviel did tell investigators that he had been promised a bonus of €300,000 for his efforts in 2007.[4]

On January 18, 2008, the bank's risk control department started an investigation after a week of his suspicious trades reached a position of €49 billion. His unauthorized trades were identified, and on January 21, the bank began to unwind his future positions. It took three days and represented 8% of all the trading activity on the Eurostoxx, DAX, and FTSE future indices. After it reversed all of his unauthorized trading positions, the bank lost €4.9 billion. Although the bank received permission from French authorities to do this, they did not tell the public until after the positions had been fully unwound. When asked, the bank's CEO, Daniel Bouton, stated that "it didn't want to cause even more losses."[5] Interestingly, the losses could have been much less if the markets had not turned so negative on the three days of liquidation.

Apparently, Kerviel circumvented six levels of control.[6] Later, a special committee of the Board of Directors revealed numerous weaknesses in the bank's internal controls, including the following:

- There was a large increase in the volume of transactions within the equities department, but there was not an increase in the corresponding support services, including the information system.
- The nominal value of trades, by traders, was not controlled.
- Duties were not clearly defined, reports were not centralized, and there was no feedback to the appropriate hierarchical level.
- Priority was given to the execution of trades, without an adequate degree of sensitivity to fraud risks.
- Internal audit bodies were insufficiently responsive.

According to a judicial official, Kerviel claimed that his "bank bosses were aware of his massive risk-taking on markets but turned a blind eye as long as he earned money."[7] He said, "I can't believe that my superiors were not aware of the amounts I was committing, it is impossible to generate such profits with small positions."[8]

Although Kerviel was initially accused of fraud, that charge was thrown out by an investigating judge, and he was put under investigation for breach of trust, computer abuse, and falsification.[9] He was later released on bail in March 2008 after the police and internal investigators highlighted the lack of internal controls at Société Générale.

Banks have been bedeviled by rogue traders on several occasions.[10] Kerviel was not the only rogue trader to use a lack of controls to cause huge losses. For example, due to a lack of proper internal controls at Barings Bank, which had been in business for 230 years, Nick Leeson bankrupted the English bank in 1995 after he lost £360 million (U.S.$1.38 billion) on Asian futures markets.

Questions

1. Did Jérôme Kerviel perpetrate a fraud? Why or why not?
2. When such mammoth unauthorized trades occur and the bank is bankrupted or severely damaged financially, should the Board of Directors, who have

[1] "Bank Warned on Trades: Prosecutor," Andrew Hurst and Thierry Leveque, *Toronto Star*, B1, B4.

[2] Ibid., B4.

[3] John Leicester, "Rogue Trader's Fall Stuns Old Friends, Neighbors," *Toronto Star*, January 26, 2008, B5.

[4] Ibid., B4.

[5] Paul Waldie, "Tough Questions Engulf SocGen," *The Globe and Mail*, January 26, 2008, B2.

[6] Molly Moore, "Trader Used Inside Knowledge," *Toronto Star*, January 25, 2008, B1, B4.

[7] Angela Boland, "Trader Points Finger at Bosses," *Toronto Star*, January 30, 2008, B3.

[8] Ibid.

[9] Bank Warned on Trades," B1.

[10] Leicester, "Rogue Trader's Fall Stuns Old Friends, Neighbors," B5. Other rogue traders have included Brian Hunter, who lost U.S.$6.6 billion on natural gas futures in 2006; Yasuo Hamanaka, who lost U.S.$2.6 billion dealing in copper futures in 1996; and John Rusnak, who lost U.S.$691 million trading in currency options in 2002.

the ultimate responsibility for the bank's activities, or its executives, whose job it is to protect the bank, go to jail rather than the rogue trader?

3. Were the bank's actions in liquidating Kerviel's positions ethical?
4. Did the French officials who authorized the liquidation behave ethically?
5. There is considerable debate about whether better controls can ever stop a rogue trader. What is your opinion, and why?
6. If enhanced controls really cannot stop all rogue traders, how are companies to be protected from them?

Galleon's Insider Trading Network

Ethics Case

Billionaire Raj Rajaratnam was arrested for insider trading on October 15, 2009, and marched in handcuffs from his New York apartment.[1] Up to that point, he had enjoyed fame and fortune for founding the $7 billion Galleon Group of hedge funds and its enviable record of securities trading. But instead of being the astute investor everyone thought him to be, it appears that his success was based on using inside information from tipsters, not astute independent analysis of corporate performance. According to the enforcement chief of the Securities Exchange Commission (SEC), Rajaratnam was "not the master of the universe, rather [he was] a master of the Rolodex."[2] He used his contacts to profit from tips on advance information on the performance of IBM, Google, Hilton Hotels, Intel, Polycom, Clearwire, AMD, Akamai, and Sun Microsystems, to name a few.[3]

The Galleon founder's inside information network came to light when Mark Lenowitz, a defendant in a 2007 insider trading case, agreed to assist investigators as part of his plea bargain. His assistance led to the prosecution of David Slaine, one of his colleagues at the hedge fund Chelsey Capital. In turn, Slaine fingered Zvi Goffer, a Galleon trader, and the ensuing investigation led to wiretap and other evidence against Rajaratnam and several others at Galleon.[4] The inside information network that had brought so much personal success to Rajaratnam (and others at Galleon) ended up working against them. Further investigations into other network connections are ongoing.

Some of the wiretap evidence reveals how interested Rajaratnam was in obtaining inside information. One of the SEC's witnesses spoke of how Rajaratnam first asked him about his sources of insider information when he applied for a job at Galleon in 2005. Rajaratnam asked him to "name companies where he had an 'edge'—access to inside information [according to prosecutors]."[5] Although the witness was not hired, he began to share and swap information with Rajaratnam.

The witness also agreed to tape calls between Rajaratnam and other hedge fund managers and friends that led to charges against Danielle Chiesi and Mark Kurland of New Castle Partners; Robert Moffat, a senior IBM vice president; Anil Kumar, a McKinsey director; and Rajiv Goel, a managing director at Intel. The transcript of some of these calls makes fascinating reading about the mindsets of the participants.[6]

Ultimately, Chiesi and apparently Rajaratnam began to worry about being caught by a tipster or a caller wearing a wire. Then in October 2008, the economic downturn of the subprime lending crisis began to depress the stock markets, and the value of inside information about corporate fundamentals ceased to be useful. On October 15, the SEC investigator learned from a colleague on another investigation that Rajaratnam had bought a ticket to fly to London on October 16. At 6:00 a.m. on October 16, Rajaratnam was arrested.[7]

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[1] "Billionaire Galleon Founder Arrested for Insider Trading," October 16, 2009, accessed December 19, 2010, at http://wallstreetpit.com/11276-billionaire-galleon-group-founder-arrested-for-insider-trading.

[2] John Helyar, "Galleon Insider-Trading Case Opens Window on Secret Hedge Funds," *Bloomberg*, October 19, 2009, accessed December 19, 2010, at http://www.bloomberg.com/apps/news?pid5newsarchive&sid5a01GJ_ry Etms.

[3] U.S. Securities and Exchange Commission, *Complaint against Galleon Management*, *LP*, et al., October 16, 2010, accessed December 17, 2010, at http://www.sec.gov/litigation/complaints/2010/comp21397.pdf.

[4] Grant McCool, "Insider Trading Case of 2007 Led to Galleon," Reuters, February 4, 2010, accessed December 19, 2010, at http://www.reuters.com/article/idUSTRE6134BO20100204.

[5] Helyar, "Galleon Insider-Trading Case Opens Window on Secret Hedge Funds."

[6] Ibid.

[7] Ibid.

According to the SEC complaint,[8] advance information from tipsters was used to make profits for Galleon, for their tipsters, or for a company related to them. Sometimes numerous trades were involved over a period of stock price volatility, enabling profits to be made when prices rose and losses to be avoided when prices fell. The transactions reported in the complaint included the following.

Transaction	Information About	Profit (At Least)	Losses Avoided
Polycom call options	Q4 2005	$330,000	
Polycom shares	Q4 2005	570,000	
Polycom shares	Q1 2006	165,000	
Hilton shares	Going private, July 2007	4,000,000	
Google puts and calls	Q2 2007	9,300,000	
Intel shares	Q4 2006	1,000,000	$1,400,000
Intel short sales, purchases	Q1 2007	1,300,000	917,000
Intel shares	Q3 2007	690,000	
Clearwire three share trades	Joint venture	780,000	
PeopleSupport shares	Activities	Traded for a tipster (R. Goel), in 2008	
Akamai short sales and covers	Q2 2008	3,200,000	
Sun Microsystems	Q2 2009	Profit for New Castle (D. Chiesi) not Galleon	
AMD shares	Split off, June–October 2008	9,500,000	

Rajaratnam and Chiesi pled not guilty to the indictment.[9] But the Galleon Funds were wound down in late 2009 after Rajaratnam was indicted, as investors pulled out their money.

In May 2010, Rajaratnam tried to have the wiretap evidence ruled inadmissible, but in late November 2010, the verdict went against him.[10] This will be the first time in which wiretap evidence will be used in a criminal insider case, and as such it represents a significant upgrade in the techniques available to investigators.[11] No longer will the white-collar criminals who misuse inside information be able to keep their phone conversations secret. They will be subject to wiretaps just like the mafia.

Video: "Horwitz Says Galleon 'Broke the Mould' on Insider Trading," *Bloomberg*, November 24, 2010, http://www.bloomberg.com/news/2010–11-24/horwitz-says-galleon-broke-the-mold-on-insider-trading-video.html.

Questions

1. Should inside traders who are nonviolent, white-collar criminals be subject to Mafia-style investigation tools?
2. How can a stock trader know when inside information is received that would be illegal to act on?
3. How can a stock trader avoid using insider information?
4. Would a private investor be subject to the same rules against using insider information as a stock trader?
5. Should a person giving a tip (the tipper) be subject to the same penalties as the user (the tippee)?

[8] U.S. Securities and Exchange Commission, *Complaint against Galleon Management*.

[9] Zachery Kouwe, "Galleon Founder and Hedge Fund Manager Plead Not Guilty in Insider Case," *New York Times*, December 21, 2009, accessed December 19, 2010, at http://www.nytimes.com/2009/12/22/business/22insider.html.

[10] Kenneth Herzinger, Amy M. Ross, and Katherine C. Lubin Orrick, "Court Allows Use of Wiretap Evidence in Galleon Insider Trading Case," November 29, 2010, accessed December 19, 2010, at http://www.orrick.com/publications/item.asp?action5article&articleID53153.

[11] Refer to Horwitz video noted above.

Conflicts of Interest on Wall Street

Ethics Case

On December 20, 2002, New York's attorney general, Eliot Spitzer, announced a $1.4 billion settlement ending a multi-regulator probe of ten brokerages that alleged that "investors were duped into buying over-hyped stocks during the 90s bull market."[1] But the settlement may represent only the tip of the iceberg as aggrieved investors review the findings and sue the brokerages for redress of their personal losses estimated to be $7 trillion since 2000.[2] Nonetheless, it promises an overdue start on the reform of Wall Street's[3] flawed conflict-of-interest practices. As such, the revisions ultimately adopted will provide a template for investment advisors around the world.

The story behind the probe is also an interesting one. It shows the capacity of a state's attorney general to force the Securities Exchange Commission (SEC), which has regulatory authority over U.S. capital markets, to act when they appeared reluctant to take on Wall Street in a direct, public, and serious manner. In fact, Spitzer was able to bring together his office, the SEC, the National Association of Securities Dealers, the New York Stock Exchange, and a group of state regulators, as well as the major brokerages involved, to arrange a settlement.

The accepted settlement, while indicating the complicity of the ten firms involved, will probably do more to restore lost confidence in the capital markets than to weaken it. Regulators have acted, brokerages are on notice that the old practices will no longer be tolerated, and the right of investors to have unbiased advice is reinforced. The resulting sharpening of ethics awareness on the part of advisors, their firms, and the regulators, together with the emergence of more ethical practices, should assist in the restoration of investor trust in the capital markets.

The Settlement

Ten firms have agreed "to pay $1.435 billion, including $900 million in penalties, $450 million for research over the next five years and $85 million for investor education."[4] The list of payments, in millions, is shown in Table 1. Two other firms that had been part of the settlement talks did not participate in the announced settlement.

Table 1 Wall Street Brokers Settlement Payments*

		Independent Investor		
Firm	Fines	Research	Education	Total
Salomon Smith Barney Parent, Citigroup Inc.	$300	$75	$25	$400
Credit Suisse First Boston	150	50	0	200
Merrill Lynch	100*	75	25	200
Morgan Stanley	50	75	0	125
Goldman Sachs	50	50	10	110
Bear Stearns	50	25	5	80
Deutsche Bank	50	25	5	80
J. P. Morgan Chase	50	25	5	80
Lehman Brothers	50	25	5	80
UBS Warburg	50	25	5	80
Total	$900	$450	$85	$1,435

*Merrill Lynch agreed to pay an additional $100 million seven months earlier in response to Spitzer's original charges.[5]

[1] "Wall Street Firms to Pay Fines of $1.4 Billion U.S.," *Toronto Star*, December 21, 2002, D3.

[2] Alex Berenson and Andrew Ross Sorkin, "How Wall Street Was Tamed," *New York Times*, December 22, 2003.

[3] Wall Street is used in this case to signify the U.S. investment advisory/brokerage community, which is centered on Wall Street in New York City.

[4] Randall Smith, "Ten Firms Must Pay $1.4 Billion over Misleading Stock Research," *Wall Street Journal*, December 23, 2002.

[5] Smith, "Ten Firms Must Pay $1.4 Billion over Misleading Stock Research."

Some observers hailed the settlement and resulting changes to be "the dawn of a new day for Wall Street."[6] Others felt that the fines were a drop in the bucket. "Citicorp, for example, averaged about $65 million in profit each business day in the third quarter, meaning one good week would cover its payment."[7] If the payments turn out to be tax deductible, the impact would certainly be minor in size but would possess a significant signaling value.

What Caused Concern?

Conflicts of interest have been common practice in the brokerage business since its inception. For example, most brokerages (and brokers) have investments on which they take speculative positions and on which they make investment recommendations to investors. In the case of the brokerages, they are usually required to disclose to prospective investors when they are selling shares as a principal, but the presumption of unsuspecting investors has been that brokerage employees—analysts and investment advisers—were acting in the best interest of the investors they were advising. How wrong they were!

According to Forbes.com, Spitzer's office found emails showing "Merrill Lynch analysts with their guard down, privately trashing the stocks they publicly recommended."[8] In addition, "there is the widespread phenomenon of research departments commencing coverage of companies their (investment) banks recently took public. This coverage is always positive."[9] Moreover, "analysts almost never say 'sell.' According to Thomson Financial/First Call, fewer than 2% of all financial analysts are 'sell' or 'strong sell.'… Third, there are cases like Enron that are not recent initial public offerings but companies that do massive and repeat business with Wall Street. The analysts can say they are not swayed by their firm's interests, and they can claim they were defrauded, but how do they explain the uniformity of their recommendations."[10]

Brokerages have long relied on the notion of the Chinese wall or a firewall that they claim can stop information known to investment bank personnel who develop and price independent public offerings from reaching stock analysts or brokers serving retail clients. However, there are those who doubt that Chinese walls are fully effective. According to Richard Epstein, a law professor at the University of Chicago, "The only thing [the analyst] needs to know [about the investment banking client] if he is inclined to swing his recommendation is that it is a client."[11] Since analysts have been remunerated partly on the basis of underwriting revenues and/or on the basis of retail commissions or total brokerage revenues, there is built-in remuneration motivation for promoting the stock of known or potential underwriting clients.

On other occasions, the attempts to influence analysts have been quite direct. "Perhaps the most startling example came in mid-November, when Citigroup chief executive Sanford Weill said he told Jack Grubman to re-examine his rating of AT&T and admitted that he helped Grubman's children gain admission to a prestigious Manhattan nursery school."[12]

In addition to providing investment advice that lacked integrity, Wall Street firms have been playing favorites. They have been offering shares of hot public offerings to the executives of companies regarded as good prospects for investment banking deals. This is known as "spinning," and due to the pent-up demand for the new offerings, a profit is virtually assured.

Proposed Structural Reforms

In order to help ensure that "stock recommendations are not tainted by efforts to obtain investment banking fees"[13,14,15] and other benefits, the settlement proposes several changes in the way investment business is done, including the following:

- "Each firm's research unit will reside in a unit separate from the investment banking unit, with its own legal and compliance staff, and which doesn't report to investment banking.…

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[6] Randall Smith, "Ten Firms Must Pay $1.4 Billion over Misleading Stock Research," *Wall Street Journal*, December 23, 2002.
[7] "Wall Street Firms to Pay Fines of $1.4 Billion U.S.," D3.
[8] Smith, "Ten Firms Must Pay $1.4 Billion over Misleading Stock Research."
[9] "Wall Street Firms to Pay Fines of $1.4 Billion U.S.," D3.
[10] Dan Ackman, "Everyone Wants a Shot at the Analysts," *Forbes.com*, May 1, 2002.
[11] Ibid.
[12] Ibid.
[13] Ibid.
[14] "Wall Street Firms to Pay Fines of $1.4 Billion U.S.," D3.
[15] Smith, "Ten Firms Must Pay $1.4 Billion over Misleading Stock Research."

- Decisions to terminate [analyst] coverage must be made by research and not investment bankers, and can't substitute for a rating downgrade.…
- Analysts can't be compensated based on investment banking work or input from bankers, and should be paid based partly on the accuracy of their stock picks."

Some problems still exist, and further framework changes will emerge, but a start has been made on cleaning up some of the conflicts of interest facing investors and the brokerage community.

On April 28, 2003, a Joint Release was issued and lodged on the SEC Press website by the five regulatory agencies involved, which had the following headlines:

> Ten of Nation's Top Investment Firms Settle Enforcement Actions Involving Conflicts of Interest Between Research and Investment Banking
>
> Historic Settlement Requires Payments of Penalties of $487.5 Million, Disgorgement of $387.5 Million to Fund Investor Education and Mandates Sweeping Structural Reforms

Questions

1. Identify and explain the conflicts of interest referred to in this case.
2. What additional rules should the SEC make?
3. What should be included in the investor education that the settlement funds are earmarked for?
4. Was it appropriate for the New York Attorney General's Office to have become involved in securities regulation, or should this have been left to securities regulators?

Falsification Because of Loyalty

Ethics Case

On Friday, February 4, 2005, Mark Webb, a UBS stockbroker in Stamford, Connecticut, received a request from a client to buy 120,000 shares of Phelps Dodge Corp. At 2:18 that afternoon, after Webb had bought 6,000 shares, the client cancelled the order and moved his account to another investment dealer. Webb became so angry that he bought an additional 10,000 shares in order to drive up the price and make it more expensive for his former client to buy Phelps Dodge's stock. The client immediately complained to UBS.

At 2:30 that afternoon, Webb phoned his friend Zoltan Horcsok, executive director of trading at UBS in Toronto. He asked for a favor. He needed a buyer for the 10,000 shares of Phelps Dodge that he'd just bought. Horcsok went to Glen Grossmith, a senior trader at the Toronto office of UBS, and asked him to do a favor for a colleague.

Grossmith, an outstanding family man, a frequent coach for his children's teams, and a dedicated athlete who enjoyed individual and team sports had previously been sanctioned by the Toronto Stock Exchange for engaging in stock trading manipulations. Grossmith complied with his boss' request and arranged for one of his clients to buy the 10,000 shares of Phelps Dodge. Then Grossmith, with Horcsok's approval, found a sales ticket stamped 9:43 am that Friday morning and altered the information on the ticket to make it appear that it was a sale of the 10,000 shares to the Canadian client. Afterward, to make it look official, Grossmith sent an email to Webb confirming the bogus trade.

That evening, the President of UBS phoned Horcsok at his home inquiring about the trade. Horcsok admitted nothing. UBS launched a probe, and on February 9, Horcsok confessed his involvement in the bogus transaction. UBS then fired Horcsok and Grossmith on February 22, three days before UBS paid out its annual bonuses. UBS also fired Webb.

Horcsok and Grossmith did not receive their 2004 bonuses, so they sued UBS. They contended that the lost bonuses of $1.75 million and $1.053 million, respectively, were for work done in 2004, prior to the February 2005 falsification of the trading ticket.

Ultimately, on July 18, 2005, the two brokers settled regulators' allegations that they falsified information and records to cover up a trade made by an angry U.S. colleague retaliating against one of his clients. Grossmith, a former sales trader at UBS, and Zoltan Horcsok, his supervisor were fined $75,000 and $100,000 respectively. Each man also paid $25,000 in costs to Market Regulation Services Inc. (RS) as part of the settlement. Both senior traders were suspended from trading on Canadian equity markets for three months, after which they were to be strictly supervised for six months. Mr. Horcsok was prohibited from acting as a supervisor for a year following his three-month trading ban. After over a year out of work, Grossmith and Horcsok found employment at Scotia Capital Inc. following their ousters from UBS, but were fired based on the settlement.

Questions

1. Loyalty is a highly desirable ethical value, and disloyalty is a serious unethical and often illegal activity. Explain how and to whom Grossmith, Horcsok, and Webb were disloyal.
2. Grossmith's actions did not negatively affect any client. Why did UBS fire him?
3. Do you think that Horcsok and Grossmith deserved to lose their 2004 bonuses?
4. If your boss asks you to do something unethical and/or illegal, and you do not want to do it, but want to keep your job, what should you do, and how should you do it?

Reference

Wojtek Dabrowski, "Former UBS Brokers Fined $75,000 and $100,000: Cover-Up Allegations," *Financial Post*, July 19, 2005, FP1, FP2.

Bankers Trust: Learning from Derivatives*

Ethics Case

Bankers Trust (BT) was one of the most powerful and profitable banks in the world in the early 1990s. Under the stewardship of board chair Charles Sanford Jr., it had transformed itself from a staid commercial bank into "a highly-tuned manufacturer of high-margin, creative financial products—the envy of wholesale bankers."[1] BT prided itself on its innovative trading strategies, which used derivatives to manage risks; its performance-driven culture; and its profits: the bank made a profit of over U.S.$1 billion in 1993.[2]

Key to BT's success was the dominance of its business in derivatives—contracts in which companies make payments to each other based on some underlying asset, such as a commodity, a financial instrument, or an index.[3] The value of the payments—and thus the contract—is derived from those assets. Companies can use derivatives to lower financing costs, manage risk, or speculate on interest and currency rates. It is estimated that almost $400 million of BT's 1993 profits came from its leveraged derivatives business.

Derivatives, with their high margins, held a preeminent position with BT management, with their fervent focus on the bottom line. At BT, each product and each trader was given a value that was based on what income the product or trader could bring the firm.[4] The bank's intense focus on the bottom line decreased attention on products and services that had low margins but that fostered and nurtured client relationships. BT was known for courting customers only insofar as they would buy high-margin products.[5] In 1990, Charles Hill, former cohead of merchant banking, left with thirty members of his department because he saw no room at BT for offering clients impartial financial advice and deal structuring. One source within the company explained, "We got rid of the nurturers and builders—the defensive guys—and kept the offensive guys."[6] Those who remained describe a firm driven by intense internal rivalry, endless politicking, and discussions about profit and losses. They describe a "coliseum" mentality at the top level: "We look on while the guys are out there fighting the lions."[7] What remained

[*] Prepared by L. J. Brooks, with assistance from student papers of Linda Rutledge, Deryk Angstenderger, Kelly Kang, Nilou Makarechian, Roman Masley, Khalid Rashid, and Chao Xu.

[1] Y. D. Shirreff, "Can Anybody Fix Bankers Trust?," *Euromoney*, April 1995, 34–40.

[2] "Bankers Trust Blurred Vision," *The Economist*, April 8, 1995, 67–68.

[3] G. A. Edwards and G. E. Eller, "Overview of Derivatives Disclosures by Major US Banks," *Federal Reserve Bulletin*, September 1995, 817–31.

[4] Shirreff, "Can Anybody Fix Bankers Trust?"

[5] Ibid.

[6] Ibid.

[7] Ibid.

Companies That Procter & Gamble Says Lost Money on Derivatives Due to Bankers Trust's Allegedly Fraudulent Sales Practices

Company	Loss ($U.S. Million)
Procter & Gamble	195.5
Air Products	105.8
Sandoz	78.5
P.T. Adimitra Rayapratama	50.0
Federal Paper Board	47.0
Gibson Greetings	23.0
Equity Group Holdings	11.2
Sequa	7.5
Jefferson Smurfit	over 2.4

Source: *BusinessWeek,* October 16, 1995.

was a bank where the customer's interests appeared to come second to the bank's.

It was within this context that BT, once one of the most powerful banks in the world, was disgraced by a series of highly publicized lawsuits brought forth by several of its clients in 1994 and 1995 over losses they incurred as a result of derivative products sold to them by BT. The clients contended that BT sold them the derivatives without giving them adequate warning and information regarding their potential risks. BT countered that these derivative deals were agreements between the bank and sophisticated clients who were now trying to escape from their loss-making contracts by crying foul.[8] At issue was whether the clients were naive and should have known what they were getting into or whether BT deliberately deceived them (p. 110).[9]

There were more than half a dozen companies that suffered losses as a result of derivatives due to BT's allegedly fraudulent sales practices (refer to the table above), but the Procter & Gamble (P&G) case is representative of the other cases.

The relationship between P&G and BT's derivatives unit was established in January 1993 when the company set up a broad agreement with the bank for derivatives contracts. In November 1993, P&G agreed to buy a leveraged derivative product; P&G would make large profits if interest rates decreased and would lose money if interest rates increased. Leveraged derivatives products are a complex type of derivative, and their value can fluctuate to a greater degree than ordinary derivatives. The derivative worked fine at first, and P&G was sufficiently satisfied to agree to a second leveraged derivative contract in February 1994. However, interest rates began to rise that same month, significantly increasing P&G's payments to BT.

It is unclear whether P&G knew the cost of getting out of the contract, and P&G has since acknowledged that its internal procedures were not followed when it agreed to this derivative. P&G claimed that Bankers fraudulently induced it to buy complex derivatives, misrepresented their value, and then induced P&G to buy more for alleged gains or to staunch losses. However, P&G appeared to be an active market player. It had $5 billion in long-term debt, and its treasury managed a large, sophisticated portfolio of derivatives. P&G has acknowledged that its internal procedures were not followed when it entered into the derivatives contracts in November 1993. Ed Artzt, P&G's CEO, said the executives who bought the derivatives ignored policies against such speculation and were "like farm boys at a country carnival." His treasurer, Ray Mains, did not read the contract he signed, did not ask the right questions, and did not assess risk by seeking outside help. Artzt also said Mains "failed to tell his boss when he knew he had a problem, … delayed while losses piled up, … and misled his boss into believing the loss was much smaller than it was."[10] P&G's CFO, Erik Nelson, relied on Mains instead of getting outside advice and did not inform Artzt or the board of the problems with the deal.

P&G's court filings include taped conversations that took place at Bankers Trust. In November 1993, Kevin Hudson, a managing director and salesman on the P&G deal, told his fiancée that the transaction would bring BT a profit of $7.6 million. She asked, "Do they understand that? What they did?" He replied, "No. They understand what they did but they don't understand the leverage." She warned Hudson that the deal would blow up on him. He replied, "I'll be looking for a new opportunity at the bank by then anyways." When the Fed raised interest

[8] "Bankers Trust Blurred Vision."

[9] Kelly Holland, Linda Himelstein, and Zachary Schiller, "The Bankers Trust Tapes," *BusinessWeek*, October 16, 1995, 106–11.

[10] C. J. Loomis, "Bankers Trust Times—More Dirt about Derivatives," *Fortune Magazine, November* 27, 1995, 34.

rates in February 1994, P&G lost $157 million, and when asked if "they were dying," Hudson replied, "They don't know." He was even then trying to sell P&G a second leveraged derivative and said, "Let me just get the deutsche mark trade done first; then they can ask." By April 12 that year, P&G announced a $157 million derivatives bath. Hudson's bonus for 1993 was $1.3 million. (He and his fiancée were married on November 5, 1994; live in London; and are still working for BT.[11])

P&G contended that, when it asked for an explanation of the costs, it learned that the bank was using a proprietary model to calculate the costs that it would not share with P&G.[12] P&G alleged that, in April, BT gave the company charts that showed that it would have had to pay a penalty to get out of its November contract almost from the day it was initiated.

Further evidence points to taped conversations between BT employees in which a BT salesman, discussing P&G's decision to enter into the November contract, says "We set 'em up."[13] P&G finally locked in interest rates on both the derivatives; however, it claimed that by the time it finished doing so, its financing costs were $195.5 million higher than they should have been (p. 110).[14]

P&G asserted that BT employees were trying to deceive it from the day the derivatives contract was initiated. As evidence, P&G points to the taped conversation noted above between Bankers employees about the November contract where one asks, "Do they [P&G] understand that? What they did?"[15] The other employee replies, "No. They understand what they did but they don't understand the leverage, no."[16] The first employee then says, "But I mean… how much do you tell them? What is your obligation to them?"[17] The second employee responds, "To tell them if it goes wrong, what does it mean in a payout formula."[18] P&G sued BT in October 1994, alleging that the bank "deliberately misled and deceived it, keeping the company in the dark about key aspects of the derivatives the bank was selling (p. 106)."[19]

BT countered that P&G was an active and sophisticated player in the financial markets and knew how its derivatives would perform. In court filings, BT described P&G as "sophisticated, experienced, and knowledgeable about the use of interest-rate derivative contracts and the risks presented by those contracts (p. 109)."[20] Ibid. It added, "Although P&G would like this court to believe that it is a naive and unsophisticated user of derivatives transactions, the fact is that as part of its regular course of business and with authorization from top management, P&G's Treasury Department managed a large and sophisticated portfolio of derivative transactions (p. 109)."[21] BT asserted that P&G knew how the derivatives would perform and had included a taped conversation in its court filings in which a BT employee shows a P&G treasury employee how to calculate its rate on the November derivative.[22] BT also produced evidence in court filings that P&G top executives blamed their own personnel for the investments. "Rather than putting its own house in order, and accepting its losses, P&G chose instead to bring this lawsuit (p. 111)."[23]

On September 1, 1995, P&G filed a motion in U.S. District Court that was approved to add RICO (Racketeer-Influenced and Corrupt Organization) charges to the allegations against BT. A company found guilty of RICO charges is liable for three times the damages and the plaintiff's legal costs. Banker's counter-filing called this "blackmail," saying P&G was hoping to vilify BT by the sheer number of its charges.

The lawsuit was settled out of court in May 1996.

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[11] Ibid.
[12] Holland et al., "The Bankers Trust Tapes."
[13] Ibid.
[14] Ibid.
[15] Ibid.
[16] Ibid.
[17] Ibid.
[18] Ibid.
[19] Ibid.
[20] Ibid.
[21] Ibid.
[22] Ibid.
[23] Ibid.

Questions

1. What do you think the basis of settlement should have been?
2. Did BT have a duty to disclose all the information it had regarding the transactions to P&G, including pricing, mark-to-market value, and risk, or should P&G, a multi-billion-dollar company, have ensured that it knew and understood these figures and risks prior to engaging in the transactions?
3. Did BT have an ethical duty to ascertain the suitability of these products for P&G, or did its responsibilities end with providing its client with the product it demanded?
4. Was the maxim of "buyer beware" more appropriate than "seller beware"?
5. What other ethical issues are raised by the case?

Barings Bank: Rogue Trader

Ethics Case

It was early on a Friday morning in London—7:15 a.m. on February 24, 1995, to be exact—that the phone call came for Peter Baring from Peter Norris. Baring's family had been in banking since 1763. They enjoyed the patronage of the Queen of England and had financed the Napoleonic Wars and the transcontinental railway in Canada. Barings, London's oldest merchant bank, would soon be owned by foreign interests because of Norris's news.

Early on the previous day, Norris, the head of investment banking, had been summoned to Singapore by James Bax, the regional managing director of Baring Securities. Its star trader, Nick Leeson, had not been seen since Wednesday afternoon Singapore time, and it appeared that he had left major unhedged securities positions that Barings might not be able to cover. If not, Barings would be bankrupt or owned by others who could pay off what was owed when the uncovered commitments came due.

At the beginning, Barings officials were not sure what had happened or the extent of the potential losses and commitments. When they did discover the nature of their obligations, they realized that the securities contracts were still open so that the upper limit of their losses would not be known until the closing date of the contracts. If the markets involved sank further by that time, Barings' losses would grow. This was a complete shock because Leeson was supposed to deal in fully hedged positions only, making his money on short-term price changes with virtually no chance of losing a significant amount of money. What had happened?

Norris found confirmation of what Bax had told him. Essentially, Leeson had built up two huge securities positions. He had arranged futures contracts committing Barings to buy U.S.$7 billion worth of Japanese equities and U.S.$20 billion or more of interest rate futures at future dates. Unfortunately, due to the Kobe earthquake in Japan, the Japanese stock market was falling, so the equity contracts were worth less than he had paid, and the projected losses were growing but not yet at their maximum. In fact, it was estimated that every 1% decline in the stock market raised the losses by U.S.$70 million.

When Peter Baring, the board chair of the bank, advised the Bank of England on Friday at noon that his bank had a potential problem, he estimated the combined losses at £433 million (U.S.$650 million), a figure that was close to the shareholders' equity of £541 million. The governor of the Bank of England, Eddie George, was recalled from his skiing holiday in France, and his deputy, Rupert Pennant-Rea, called other British bankers to meet at the Bank of England to pledge funds to help meet Barings' problem. Prospective purchasers were canvassed throughout Saturday, but the loss estimate rose to £650 million with no cap in sight. On Sunday, several options were pursued, including contacting the world's richest man, the Sultan of Brunei. The British bankers met again at the bank at 10 a.m., and by 2 p.m. they had agreed to provide £600 million. The question of what their return would be for advancing the money was being debated, but the issue of someone providing an upper cap to the losses remained. An offer arrived from the sultan to do so, which included the taking over of Barings. Unfortunately, this offer was withdrawn before a deal was consummated, and Eddie George had to sign an Administration Order that essentially put Barings under the administration of the Bank of England. At 10:10 p.m., the Bank of England announced that Barings had failed. Two hundred thirty-three years of stewardship by the Barings family was over.

One of the prospective buyers, ING, the second-largest insurance firm in the Netherlands, was still interested and had sent a squad of at least thirty people to complete due diligence examinations. ING was particularly interested in assessing the degree of risk of other losses and of the complicity of personnel in the London and Singapore offices in the Leeson problems. And Jacobs, the board chair of ING, agreed to buy Barings for £1 two hours before the Japanese market opened on Tuesday, February 28. As part of the deal, he agreed to keep the Barings name on the bank. In addition, he subsequently agreed to pay out most of the £105 million in bonuses that the Barings management had agreed to give its staff two days prior to the famous phone call.

How did this debacle happen? Bits and pieces of the puzzle came out slowly until the Report of the Bank of England's Board of Banking Supervision emerged. On Tuesday, February 28, Nick Leeson still had not been found, and he would not be detained until he and his wife arrived in Frankfurt on Thursday, March 2, having spent time in Kuala Lumpur and Kota Kinabalu, Malaysia. He would ultimately make a deal to assist investigators but would still be sent back to Singapore to stand trial.

Nick Leeson had gone to Singapore as the head of a unit that traded in futures, and he had prospered. He made money by buying and selling futures contracts for baskets of Japanese stocks known as Nikkei 225 futures. These Nikkei 225 futures contracts were traded on both the Osaka stock exchange and the SIMEX, Singapore's financial futures exchange. Since the prices on each exchange were slightly different, a sharp-eyed trader could buy on one and sell on the other exchange, making money on the spread. This was relatively safe since for every purchase, there was an immediate sale—if not, Barings would be exposed to very large risks since the transactions were highly leveraged. In 1992, his unit made £1.18 million; in 1993, it made £8.83 million; and in the first seven months of 1994, it made a total of £19.6 million, or more than one-third of the total profit for the whole group. Nick was a star.

Barings did send out its internal auditors to determine if all was well. Although the twenty-four-page report condemned the lack of controls and particularly having one man in charge of both the front (investing) and the back (record-keeping) offices, it was not acted on for fear that Leeson would be aggravated and leave for a job at another broker. Leeson's profits, after all, provided bonuses for everyone. Even though Leeson's behavior was getting somewhat bizarre, no action was taken. For example, five months before, he was fined \$200 (Singapore) for dropping his pants in a pub and daring a group of women to use his cell phone to call the police.

It appears that his ego and the pressure to make more and more profits pushed him in the direction of more risky investments, and he began to make unhedged transactions in which there was no immediate sale or purchase to offset the initial transaction. As a result, since the market was declining, his transactions required funds to meet margin calls. Since he reported not to Bax but rather directly to the head office in London, he contacted the head office, and £454 million was sent in late January and early February.

Somehow, he had convinced them that his operations were safe—but how? It seems that his ability to control the back office provided him the opportunity to do so. Earlier, when he began to trade heavily, the back office was swamped with transactions that included lots of errors made in the trading pits at the stock exchanges. He had been allegedly advised by Gordon Bowser, former derivatives trading chief, to set up a fictitious account, Error Account No. 88888, to put trading problems through and not to send reports to London so that the auditors would not be aroused. Instead, Leeson used the account as the hiding place for his losses—which totaled £2 million in 1992, £23 million in 1993, £208 million by the end of 1994, and £827 million by February 27—after Barings went into receivership. When the computer reports came off the printer for the fake account, Leeson destroyed them.

By happenstance, Anthony Hawes, the treasurer of Barings, visited Singapore. Over a sumptuous lunch on Wednesday, March 22, he told Leeson that he was to get a bonus of at least \$2 million (Singapore) on Friday, March 24. In addition, he told Leeson that the bank had a new policy of control and that he wanted to review the backroom operation and check the accounting operation. Pleading that his wife was having a miscarriage and needed him, Leeson rushed from a meeting with Hawes on Thursday and left for Kuala Lumpur. He had evidently realized that the jig was about to be up and he would be caught.

Later, after he was caught, Leeson's wife revealed that the pressure for profits had become too much and that he had begun to take more risks. At the end, he was just trying to make back the losses. Before he was caught, Leeson reportedly phoned a friend from his Malaysian hotel and said, "People senior to me knew exactly the risks I was taking. Lots of people knew.… But it went wrong and now they're trying to lump all the blame on me."[1] Will we ever really know for sure?

[1] "Busting the Bank," *The Observer*, March 5, 1995, 25.

Questions

1. How would you deal with a star trader who would be extremely sensitive to additional controls that implied they were not trusted or would generate more time on paperwork and explanations?
2. What ethical and accounting controls would you advise ING to institute at Barings?
3. Who was more at fault—top management or Nick Leeson?

Sources: "Leeson Expected to Receive a Light Sentence," *Financial Post*, December 2, 1995, 12.

"Police Hunt Rogue Trader Who Torpedoed Barings," *Financial Post*, February 28, 1995, 3.

"Buyers Circle Barings' Corpse," *Financial Post*, March 1, 1995, 5.

"Death Came Sudden and Swift for Barings," *Financial Post*, March 4, 1995, 6, 7.

"Leeson Says Barings Told Him to Set Up a Secret Account," *Financial Post*, February 14, 1996, 10.

"Ex-Barings Directors Sued by Auditors," *Financial Post*, November 30, 1996, 15.

"Barings Bank Goes Bust in 17 Bn Scam," *Manchester Guardian Weekly*, week ending March 5, 1995, 1.

"Busting the Bank," *The Observer*, March 5, 1995, 23–25.

"Barings' Dutch Master," *The Observer*, March 12, 1995, 8.

"Leeson's Resignation," *Toronto Star*, March 7, 1995, D1.

"Barings Loss Expands 50% as Take-Over Approved," *Toronto Star*, March 7, 1995, D6.

"Barings Saved, but City Faces Inquiry," *Manchester Guardian Weekly*, March 12, 1995, 1.

"Norris Was a Director in Singapore," *The Observer*, March 12, 1995, 1.

Cases on Company Responsibility & Product Safety

Shopify and Breitbart—Should an Online Retail Platform Sell Someone's Hate Literature?

Ethics Case

In 2009, the Ottawa-based e-commerce giant, Shopify, launched an application programming interface (API) platform for online retail. In April 2015, the company went public at a price of $28. Its IPO Prospectus said, "We value people who get shit done." This was toned down in later annual reports to "We value people who are impactful."[1] By 2017, Shopify had more than 500,000 merchants on its platform, with gross sales of over $45 billion. The company continued to be successful. In 2024 it was the second largest publicly traded Canadian company by market capitalization.

The Shopify website allows customers to purchase a vast variety of products, including assault weapons, marijuana, and escort services. Sheryl So, a spokeswoman for the company, said that the Terms of Service agreement that it has with its merchants prohibits the sale of illegal items on the company's website. "If it's on our platform, they are legal. Anything that is not legal, has been kicked off."[2] However, she admitted that with hundreds of thousands of merchants, and more added each day, the company relies on consumers to pinpoint specific issues with vendors.

The extreme right-wing media group Breitbart uses the Shopify website to sell its controversial 'hate speech' merchandise. In March 2017, a petition with more than 200,000 signatures requested that Shopify drop Breitbart as a retailer. Accompanying the petition was an open letter signed by more than 2,000 Shopify merchants that stated that Breitbart is "a platform for white nationalists with ambitions to export hateful rhetoric around the world."[3] Numerous large organizations, including Air Canada, Canadian Tire, Lululemon, BMW, Kellogg's, Nordstrom, and Visa, have all refused to conduct business with Breitbart.

Emma Pullman was the campaign strategist with SumofUs.org, a global corporate watchdog organization that organized the petition and open letter. She said that Shopify "is directly profiting off of Breitbart's messaging and that is a message that denigrates women, trans

[1] Larry MacDonald, "Inside the rise of Canadian giant Shopify," *The Globe and Mail*, January 4, 2025.
[2] Vito Pilieci, "Guns, weed, escorts: Shopify sites offering much more than Breitbart," *Ottawa Citizen*, March 13, 2017.
[3] Rahul Kalvapalle, "Petition demanding Shopify sever ties with Breitbart to be delivered in Ottawa," *Global News*, March 1, 2017.

people, people of colour, refugees, immigrants, survivors, and so many others."[4]

Tobi Lütke, the co-founder and CEO of Shopify, responded. "People sell millions of products a day. Almost all of those are uncontroversial. We love the electric skateboards, the animal-friendly outerwear, and the pottery. But some are unsavory and controversial, and that's where we're put to the test. On a regular basis, we face pressure from groups who disagree with some of these merchants or products and want us to censor them. This has been a constant for as long as we've been around."[5] He also said that if "we kick off a merchant, we're asserting our own moral code as the superior one. But who gets to define that moral code? Where would it begin and end? Who gets to decide what can be sold and what can't?"[6]

Pullman, on the other hand, contends that Shopify is profiting from the sale of goods and services provided by questionable merchants. "That sends a message to the general public that the company is putting profits before common values,"[7] she said.

Questions

1. Does an online company have any social responsibilities for the goods and services sold by its merchants?
2. If you were the CEO of Shopify, how would you respond to this stakeholder activism?
3. What ethical theory or theories do you think SumofUs.org is following?

[4] Elizabeth McSheffrey, "Protestors accuse Shopify of profiting from 'hate speech' through online Breitbart store," *National Observer*, March 2, 2017.
[5] Pilieci, op. cit.
[6] Ibid.
[7] Ibid.

Dow Corning Silicone Breast Implants

Ethics Case

On January 6, 1992, the "growing controversy over the safety factor led the U.S. Food and Drug Administration to call for a moratorium on breast implants."[1] As January wore on, the crisis deepened until, on January 30, the Toronto *Globe and Mail* carried a New York Times Service report titled "Dow Corning Fumbles in Damage Control." Among other critical points, the article stated,

> Regardless of whether Dow Corning Inc. ever convinces regulators its silicone-gel breast implants are safe, the company seems likely to be branded as bungling in its handling of the problem, say public relations and crisis management experts.
>
> "It's a textbook case of crisis management," … "it looks like the lawyers are in charge, trying to limit their liability." "But the damage is much worse to the corporation if they lose in the court of public opinion than if they lose in the court of law."
>
> Consultants concede that, because Dow Corning argues there is little evidence supporting many of the injury claims, it is difficult for the company to act sympathetically without appearing to undermine its legal strategy. (p. B1)

The controversy escalated until, on March 20, one month after the U.S. authorities called for sharply restricted use and their Canadian counterparts opted for a moratorium, Dow Corning canceled its breast implant line. The company also offered up to $1,200 each to women in the United States not covered by private insurance who needed to have their implants removed. In addition, $10 million was to be spent by the company on research into breast implants.[2]

Among the issues raised by this unfortunate controversy is how faulty breast implants could come to be sold by Dow Corning, a company that had been lionized for almost a decade in three Harvard cases for its outstanding ethics program. The basic details of this program[3] are as follows:

> Six managers serve three-year stints on a Business Conduct Committee; each member devotes up to six weeks a year to committee work.

[1] Barnaby Feder, "Dow Corning Fumbles in Damage Control," *The Globe and Mail*, January 30, 1992, 3.
[2] Rob McKenzie, "Dow Cancels Implant Line," *Financial Post*, March 20, 1992, 3.
[3] Further details of the program are described in "Dow Corning Corporation: Business Conduct and Global Values (A)," Harvard Business School case #9–385-018. Also refer to the article by P. E. Murphy, which is a reading in this chapter.

Two members audit every business operation every three years; the panel reviews up to thirty-five locations annually:

> Three-hour reviews are held with up to 35 employees. Committee members use a code of ethics as a framework and encourage employees to raise ethical issues.

Results of audits are reported to a three-member Audit and Social Responsibility Committee of the Board of Directors:[4]

> Interestingly, although the silicone breast implant operation had been audited four times since 1983, and the ethics audit approach had failed to uncover any signs of problems, Jere Marciniak, an area vice president who is chair of the Conduct Committee, has stated that "he has no plans to touch … the ethics program.… 'It will still aid and guide us through this difficult time.'"

Questions

1. Why did the Dow Corning ethics audit program not reveal any concerns about the silicone-gel breast implant line?
2. What are the critical factors necessary to make such an ethics audit program work effectively?
3. Was the announcement on March 20 well-advised and ethical?
4. Are there any other ethical dilemmas raised by the case?

Source: "Dow Cancels Implant Line," *Financial Post*, March 20, 1992.

Dow Cancels Implant Line

Rob McKenzie

Financial Post, March 20, 1992

Besieged Dow Corning Corp quit the breast implant business yesterday, offering money to some women in the U.S. who need their implants removed, but leaving Canadian taxpayers to fund any medical costs here.

Bert Miller, president of subsidiary Dow Corning Canada Inc., said the number of medically necessary removals will not be as high as critics expect.

"I honestly don't think it's a huge amount," he said.

Dow Corning insisted its gel-filled sacs are no health hazard.

"Our reasons for not resuming production and sales, therefore, are not related to issues of science or safety, but to the existing condition of the marketplace," Dow Corning board chair and chief executive Keith McKennon said in a statement.

Miller told reporters in Toronto he was "personally quite convinced that there's been no unnecessary risk that wasn't worth the benefit."

He added: "We at Dow Corning stand by our product."

Many women say the company's silicone-gel implants maimed them or caused other health problems, either by leaking or bursting.

On Feb. 20, a panel of the U.S. Food and Drug Administration recommended use of the implants be sharply restricted. In Canada, the Department of Health and Welfare has imposed a moratorium on their use.

Dow Corning, a Michigan-based joint venture of Dow Chemical Co. and Corning Inc., sold more than 600,000 breast implants, including an estimated 27,000 in Canada.

Besides ceasing production and sales, the company said it will spend US$10 million on research into breast implants. In the U.S., it will offer up to US$1,200 each to women who for medical reasons need their implants excised, but are not covered by private health insurance.

Miller said such surgery in Canada is covered by health-care programs.

Women who fear their implants will harm them, but as yet show no ill effects, are not eligible for aid.

"If she has no physical manifestation and the implant is not giving any problems, she should be calmed," Miller said.

Bryan Groulx, a manager of business development for the Canadian unit, added: "We're not here to provide unnecessary surgery."

One of Dow Corning's strongest critics, Ottawa consultant and breast implant expert Dr. Pierre Blais, said yesterday's announcement was "a courageous and an appropriate decision."

Breast implants account for about 1% of Dow Corning's sales.

[4] John A. Byrne, "The Best Laid Ethics Programs," *BusinessWeek*, March 9, 1992, 67–69.

Ford/Firestone Tire Recall

Ethics Case

On August 9, 2000, 6.5 million Firestone tires were recalled in the United States.[1] One thousand five hundred and ninety-nine ATX, ATXII, and Wilderness AT tires installed on Ford Explorers were to be replaced at company cost due to evident defects, public outcry, government investigation, and earlier recalls in Venezuela, Malaysia, Thailand, Colombia, Ecuador, and Saudi Arabia. Early estimates of costs of the recall were in the range of $300 to $600 million,[2] but these did not include loss of future revenues due to loss of consumer confidence or costs of future litigation. Further recalls followed.[3] As of September 2001, an estimated 192 deaths and over 500 injuries had been attributed to these tires.[4]

As the prospect of having to recall faulty tires increased, Firestone and Ford had a falling out. Firestone, or Bridgestone/Firestone as it became known, alleged that the Ford Explorer suspension accounted for at least part of the problem. Ford charged that Firestone had failed to advise them of potential problems and provide their data for analysis. Ultimately, both companies were “invited” to face questioning and testify before U.S. Congress and Senate Subcommittees.

Déjà vu, All Over Again

Firestone and Ford had been in recall debacles before.

Firestone had to recall tires in 1977, 1978, and 1980. The 1978 recall was so large (14.5 million units) that it threatened the financial viability of the company. In fact, Bridgestone, a Japanese company and the number 3 tire maker in the world, had to rescue Firestone, then the number 2 tire maker, from financial collapse in May 1988. Consequently, although most design and operating decisions preceded the takeover, much of the decision making with regard to the recall in 2000 was under the Bridgestone/Firestone regime. Many Firestone people, however, continued to be involved.

Ford had suffered significantly during the Pinto fires fiasco.[5] Introduced in 1970, the small Pinto would burst into flames when struck from the rear at a speed of twenty-one miles per hour. This was due to a design flaw that permitted the rupturing of the Pinto’s gas tank. Many lawsuits persisted until the late 1970s.

Multiple failures of Ford and Firestone people—and of government regulators at the National Highway Traffic Safety Administration (NHTSA) to recognize such problems early and to deal with them effectively—raise interesting questions, including these: Why did the companies get involved in yet another recall debacle? Did the companies and the NHTSA know about the need to investigate and recall the Wilderness tires much earlier than their official investigations began? If not, why not? Did the companies deal with the recall ethically? What lessons can be learned about crisis management?

The key events of the recall are summarized in the accompanying table.

The Safety Problems: Firestone Tire Tread Separation and Ford Explorer Design

The tread separation problem and the related NHTSA findings were summarized in the Executive Summary of NHTSA’s Engineering Analysis Report and Initial Decision[6] as follows:

> Belt-leaving-belt tread separations, whether or not accompanied by a loss of air from the tire, reduce the ability of a driver to control the vehicle, particularly when the failure occurs on a rear tire and

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[1] 14.4 million tires were produced, but at the recall date, only 6.5 million were estimated to still be on the road.

[2] Virginia Trial Lawyers Association, “Ford/Firestone Tire Recall Time Line.”

[3] Statement of Michael P. Jackson, deputy secretary of transportation, before the Subcommittees on Telecommunications, Trade and Consumer Protection and Oversight and Investigation of the Committee on Energy and Commerce U.S. House of Representatives, June 19, 2001, http://www.cengage.com. Jackson advises of the recall details as follows: On August 9, 2000, Firestone recalled all of its ATX and ATX II tires of the P235/75R15 size manufactured since 1991. It also recalled Wilderness AT tires of that size made at its Decatur plant, for a total of 14.4 million tires. On May 22, 2001, Ford announced a tire replacement program that includes all other Firestone Wilderness tires on certain Ford, Mercury, and Mazda sport-utility vehicles and light trucks. This replacement action totals approximately 13 million tires.

[4] National Highway Traffic Safety Administration, “Engineering Analysis Report and Initial Decision Regarding EA00–023: Firestone Wilderness AT Tires,” http://www.cengage.com.

[5] Refer to the Ford Pinto case in this book for additional information.

[6] “Engineering Analysis Report.”

at high speeds. Such a loss of control can lead to a crash. The likelihood of a crash, and of injuries or fatalities from such a crash, is far greater when the tread separation occurs on a SUV than when it occurs on a pickup truck.

Tread separation claims included in the Firestone claims database involving the recalled and focus tires have been associated with numerous crashes that have led to 74 deaths and over 350 injuries (as of March 2001). Tread separation complaints from all sources included in the ODI consumer complaint database (including the Firestone claims data) that can be identified as involving these tires have reportedly led to 192 deaths and over 500 injuries (as of September 2001).

Ford/Firestone Tire Recall Timeline

November 1978: Firestone recalled 14.5 million of the Firestone 500 series tires after reports of accidents and deaths due to tread separation on steel-belted radial tires.

May 1988: Bridgestone, the world's number 3 tire maker, acquired Firestone, the number 2 tire maker. The takeover rescued Firestone from potential financial collapse due to the 1978 recall.

February 1989: Arvin/Calspan Tire Research Facility of Alexandria, Virginia, an independent research lab hired by Ford, measured the performance of seventeen Firestone tires. The lab reported three belt-edge separation failures of the seventeen tires tested.

March 1990: The Explorer was introduced as a 1991 model. The Explorer was redesigned to its current chassis design in 1995.

1991: Bridgestone/Firestone ATX, ATX II, and Wilderness AT tires became original equipment for the Ford Explorer (1991–2000), Ford Ranger (1991–2000), F-150 truck (1991–1994), Mercury Mountaineer (1996–2000), Mazda Navajo (1991–1994) and B Series pickup truck (1994–2000). Eventually, over 14.4 million tires would be manufactured.

1992: Bridgestone/Firestone began investigating allegations of safety problems with its tires. Ford began receiving complaints regarding Firestone tires on its light-truck models.

1994–1996: The workers at Firestone's Decatur, Illinois, plant went out on strike. Firestone used replacement workers during this period to continue production.

July 1998: State Farm Insurance research analyst Sam Boyden sent an email to the NHTSA reporting twenty-one tread separation cases involving the Firestone ATX tire. Boyden continued to send emails to the NHTSA about subsequent Firestone tread separation accidents.

October 1998: Ford noted tread separation problems on Ford Explorers in Venezuela and sent samples to Bridgestone/Firestone for analysis. A Ford-affiliated dealer in Saudi Arabia wrote to Ford Motor Company complaining of problems with Firestone tires.

March 12, 1999: A Ford memorandum noted that Ford and Bridgestone/Firestone executives discussed notifying U.S. safety authorities about a planned tire recall in Saudi Arabia. Ford decided to replace the tires overseas without telling federal regulators.

April 1999: The NHTSA's Uniform Tire Grading Report gave Firestone ATX II and Wilderness AT tires the lowest grade on stress test temperature. The overwhelming majority of comparable tires received higher grades. It is believed that overheated tires lead to tread separation.

August 1999: Ford began replacing Firestone tires on Explorers sold in Saudi Arabia after reports of tread separation problems. Ford did not report the safety concerns but called the replacement program a "customer notification enhancement action."

January 19, 2000: Internal documents showed that Firestone executives knew about rising warranty costs due to accidents caused by the ATX, ATX II, and Wilderness AT tires.

February 2000: Houston, Texas, TV station KHOU does a story on tread separation of Firestone tires used on Ford Explorers. The TV station gives the NHTSA's 800 telephone number for consumers to report complaints. Consumers start calling in with reports of tread separations of Firestone tires.

March 6, 2000: Based on the information the NHTSA received, primarily from complaints stemming from the Houston, Texas, TV story, the agency begins its initial evaluation of Firestone Tires.

May 2000: Ford changed Explorer's standard equipment to Goodyear tires in Venezuela while waiting for Firestone to come to a resolution regarding the tire separation problems. Ford recalled Firestone tires in Malaysia, Thailand, Colombia, and Ecuador. The entire overseas recall reached 46,912 sport-utility vehicles.

May 2/8, 2000: The NHTSA launched a formal investigation (PE-0020) into the tread separation cases involving the Firestone ATX and Wilderness tires.

May 10, 2000: The NHTSA sends letters to Ford and Firestone requesting information in connection with PE-0020.

(*Continued*)

Ford/Firestone Tire Recall Timeline (*Continued*)

June 8, 2000: Ford requests that Firestone provide all information that they gave to the NHTSA relating to PE-0020. This information includes the claims data that will demonstrate the high accident rate of the tires.

July 28, 2000: Ford receives Firestone's information, and begins an analysis.

August 4, 2000: Ford found a pattern in the data pointing to the fifteen-inch ATX, ATX II, and Wilderness AT tires made at the Decatur, Illinois, plant and called in the Firestone experts. They found that older tires produced late in each production year from 1994 to 1996 had a higher failure rate.

August 9, 2000: Bridgestone/Firestone announced a region-by-region recall of more than 6.5 million AT, ATX II, and Wilderness AT tires. Approximately 2 million Ford Explorers were named as subjects to the recall. The cost estimate for the recall ranged from $300 million to $600 million. The hot-weather regions were scheduled for tire replacement first, with other regions to follow. The NHTSA reports that Firestone tire separations were responsible for forty-six deaths.

August 10, 2000: Plaintiff attorneys involved with Firestone litigation over the past decade note they know of 107 related tire cases, with ninety of those having a direct link to the recalled tires.

August 10, 2000: Ford claimed it became aware of the tire separation problem one year ago from anecdotal reports from Saudi Arabia.

August 16, 2000: The NHTSA increased the number of deaths connected to the Firestone tread separations to sixty-two.

September 1, 2000: The NHTSA announced another twenty-four Firestone tire models showed rates of tread separation exceeding those of the recalled tires. The NHTSA also increased the estimate of deaths attributed to Firestone tires from sixty-two to eighty-eight. Venezuelan authorities report that at least forty-seven people died because of the Firestone tires.

"Ford/Firestone Tire Recall Time Line," Virginia Trial @ Lawyers Association, **http://www.cengage.com**; "Firestone Tire Recall Timeline," Democratic Staff of the Commerce Committee, **http://www.cengage.com**.

The belt-leaving-belt tread separations in the recalled and focus tires generally occur only after several years of operation. Thus, since the focus tires have not been on the road as long as the recalled ATX tires, the absolute number of failures of those tires, and the unadjusted failure rate of those tires, are less than those of comparable ATX tires. Claims in the Firestone claims database involving the focus tires have been associated with 17 deaths and 41 injuries, with additional crashes and casualties reported in the ODI complaint database, including reports of six additional fatalities. However, on a plant-by-plant basis, the focus tires manufactured at the Wilson and Joliette plants have exhibited tread separation failure trends that are similar to those experienced by the recalled ATX tires at similar service intervals.

These failure trends indicate that it is likely that, if they are not removed from service, the focus tires—at least those manufactured before May 1998—will experience a similar increase in tread separation failures over the next few years, leading to a substantial number of future crashes, injuries, and deaths. The tread separation failure experience of the focus tires is far worse than that of their peers, especially that of the Goodyear Wrangler RT/S tires used as original equipment on many Ford Explorers.

The belt-leaving-belt tread separations that have occurred and are continuing to occur in the recalled and focus tires begin as belt-edge separation at the edge of the second, or top, belt. This is the area of highest strain in a steel-belted radial tire and is a region with relatively poor cord-to-rubber adhesion because bare steel is exposed at the cut ends of the cords. Once belt-edge separations have initiated, they can grow circumferentially and laterally along the edge of the second belt and develop into cracks between the belts. If they grow large enough, they can result in catastrophic tread detachment, particularly at high speeds, when the centrifugal forces acting on the tire are greatest.

ODI conducted a non-destructive analysis of numerous randomly collected focus tires and peer tires from southern states, where most of the failures have occurred, using shearography, which can detect separations inside a tire. This shearography analysis demonstrated that the patterns and levels of cracks and separations between the belts were far more severe in the focus tires than in peer tires.

Many of the focus tires that were examined were in the later stages of failure progression prior to complete separation of the upper belt. The shearography results for tires manufactured at Wilson were similar to those manufactured at Joliette.

A critical design feature used by tire manufacturers to suppress the initiation and growth of belt-edge cracks is the "belt wedge," a strip of rubber located between the two belts near the belt edges on each side of the tire. The belt wedge thickness, or gauge, in the ATX tires and the Wilderness AT tires produced prior to May 1998 is generally narrower than the wedge gauge in peer tires, and the wedge gauge in cured tires was often less than Firestone's target for this dimension. The tires with this wedge did not adequately resist the initiation and propagation of belt-edge cracks between the steel belts. During March and April 1998, Firestone changed the material composition and increased the gauge of the wedge in its Wilderness AT tires (and some other tire models).

Another important feature of radial tires related to the prevention of belt-leaving-belt separations is the gauge of the rubber between the two steel belts, or "inter-belt gauge." The inter-belt gauge initially specified by Firestone for the focus tires is generally narrower than the inter-belt gauges in peer tires and is narrower than Firestone's original specification for the ATX tires in the early 1990s. Moreover, the actual measured gauge under the tread grooves in several of the focus tires measured by ODI was far less than Firestone's minimum design specification. Since an inadequate inter-belt gauge reduces the tire's resistance to crack growth and its belt adhesion capabilities, this narrow inter-belt gauge may be partially responsible for the relatively low peel adhesion properties of the focus tires compared to peer tires. In August 1999, after becoming concerned about the adequacy of the inter-belt gauge in the cured Wilderness AT tires, especially in the regions directly under the tread grooves, Firestone changed the inter-belt gauge specification back to the original dimension.

Another relevant feature is the design of the shoulder pocket of the focus tires, which can cause higher stresses at the belt edge and lead to a narrowing, or "pinching," of the wedge gauge at the pocket. The focus tires exhibit a series of weak spots around the tire's circumference, leading to the initiation and growth of cracks earlier than in competitor tires and in other Firestone tires produced for light trucks and SUVs. In addition, many of the focus tires exhibited shoulder pocket cracking similar to that which Firestone identified as a significant contributor to the risk of tread detachment in the recalled ATX tires.

Because the tread separations at issue in this investigation occur only after several years of exposure, almost all of the failures on which ODI's analysis of field experience was based involved tires manufactured before May 1998, when Firestone increased the dimensions and improved the material of the belt wedge. In theory, these modifications to the wedge would tend to inhibit the initiation and propagation of the belt-edge cracks that lead to tread separations. If these modifications actually improved the resistance of the focus tires to belt-edge separations, the historical failure trends described above may not predict the future performance of the newer tires. However, because tread separation failures rarely occur in the focus tires until at least three years of use, it is not now possible to ascertain from field experience whether their actual performance has improved significantly.

The rate of tread separation failures on Ranger pickups is lower than the rate of such failures on Explorers for a variety of reasons, including the fact that the Explorer generally carries higher loads and is a more demanding application, and the tires on the Explorer had a significantly lower recommended inflation pressure (especially on the rear wheels). The risk of such a separation on Rangers remains a cause for possible concern. Nevertheless, because the likelihood of a crash due to a tread separation, and of deaths and injuries resulting from such a crash, is substantially lower when the separation occurs on a pickup than on an SUV, NHTSA's initial defect decision does not apply to focus tires installed on pickup trucks.

Under the National Traffic and Motor Vehicle Safety Act, in order to compel a manufacturer to conduct a recall, NHTSA has the burden of proving that a safety-related defect exists in the manufacturer's products. The record of this investigation supports a determination that a safety-related defect exists in the focus tires manufactured by Firestone prior to its 1998 modifications to the belt wedges that are installed on SUVs. Although the agency has concerns about the possibility of future tread separations in focus tires manufactured after the wedge change, the available evidence at this time does not clearly demonstrate that a safety-related defect exists in those focus tires. NHTSA will, however, continue to closely monitor the performance of these tires.

> Therefore, on the basis of the information developed during the ODI investigation, NHTSA has made an initial decision that a safety-related defect exists in Firestone Wilderness AT P235/75R15 and P255/70R16 tires manufactured to the Ford specifications prior to May 1998 that are installed on SUVs. These tires were manufactured primarily at Wilson and Joliette and, to a lesser extent, at Oklahoma City. The initial decision does not apply to the P255/70R16 tires produced at Decatur or any of the Wilderness AT tires produced at Aiken, since these tires were all manufactured after May 1998.

At the request of Bridgestone/Firestone's board chair, the NHTSA also investigated the claims that the Ford Explorer had a design defect, probably in its suspension, that contributed to the tread separation in Wilderness tires. In his Statement to the U.S. congressional committees, the NHTSA's deputy secretary, Michael P. Jackson, commented that "NHTSA has had no credible evidence that the Ford Explorer's design is in any way responsible for *causing* tread separation or other such catastrophic tire failure."[7]

When Did the Companies Know of Problems, and What Did They Do About Them?

According to the timeline information, both Ford and Firestone received information about tire tread separations as early as 1992. These investigations may have been limited in some way, perhaps focused on or influenced by legal liability considerations. In any event, they do not appear to have raised "red flags" for Ford or Firestone such that either company was actively following up looking for further evidence.

Actually, Ford had received an earlier warning in February 1989, when an independent testing lab it hired found that three of seventeen tires tested had tread separations. Again, this information does not appear to have been carried forward as part of an ongoing formal risk assessment program.

Interestingly, in 1992, Ford chose the P235 tires, which were later recalled, over the smaller P225 tires, which had tested better in turning (a prelude to rollover) tests. A memo shows that Ford's management was aware of the potential risk. Moreover, in order to improve the stability of the Explorer, Ford lowered the recommended tire pressure to 26 p.s.i. from the normal 30–35 p.s.i. that Firestone usually recommended. Firestone later insisted that this low-pressure recommendation increased tire heat and caused the tire separations. At the time, however, Firestone went along; when Ford found that the mushier tires worsened fuel economy and asked for a fix, Firestone reduced the tire weight by about 3%.[8]

Unlike General Motors, which has their own in-house tire safety and research unit,[9] neither Ford nor Firestone had an ongoing tire safety, testing, and database analysis program. Perhaps, if they had, they would have been aware of and following the work of Sam Boyden, the State Farm insurance analyst who began to email the NHTSA and have person-to-person conversations with the NHTSA about Firestone tire problems in July 1998. Unfortunately, these emails and conversations do not appear to have been followed up until May 2, 2000, when the official investigation started. Even the NHTSA has admitted that they did not have an ongoing database project. Ford had to wait for Firestone to send them data, and Firestone initially had only cursory warranty data and needed to build a more comprehensive and useful data set. The NHTSA had to assemble data from various sources, including the companies, as well. Neither the companies nor the NHTSA were putting together a complete picture on an ongoing basis—they were all reacting, focused on short-term concerns, and using makeshift resources.

Ford and Firestone became aware of tire failures in warm climates in October 1998. The companies discussed the problems and Ford proposed a recall in Saudi Arabia. According to an internal Ford memo dated March 12, 1999, Firestone had asked Ford to handle it on a case-by-case basis so that the U.S. Department of Transportation would not have to be notified and so that the Saudi government would not overreact.[10] Ford had apparently told Firestone that the recall should be reported since the tires were also sold in the United States but ultimately did not do so. Later, Ford maintained that it was not obligated to report the foreign recalls to U.S. regulators.[11]

Ford asked Firestone to do some tests in November 1999. These tests, which became known as the "Southwest Study," were completed in April 2000, but no evidence of a problem was discovered.[12]

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[7] Statement of Michael P. Jackson.
[8] John Greenwald, "Inside the Ford/Firestone Fight," *Time Online Edition*, May 29, 2001, http://www.cengage.com.
[9] Information from a student.
[10] Stephen Power, "Tire Check: The Recall Rolls On: Bridgestone Fretted about Replacements," *Wall Street Journal*, September 6, 2000.
[11] Ibid.
[12] Democratic Staff of the Commerce Committee, "Firestone Tire Recall Timeline," http://www.cengage.com.

Ultimately, when facing inflamed public reactions in specific locales to mounting accidents and deaths, Ford recalled Firestone tires in Saudi Arabia, Venezuela, and four other countries between June 1999 and May 2000. Firestone continued to advise Ford that there were no problems with the tires and that recalls were unwarranted. Note that these recalls were undertaken before recalling the same tires in North America—a fact not lost on consumers and commentators when the salient facts began to surface.

A TV station in Houston, Texas, KHOU, aired a 10-minute story on the tread separations on tires on Ford Explorers in February 2000. They gave the 800 telephone number for the NHTSA, and complaints started to roll in. The news secrecy bubble had finally burst in the United States, and on March 6, the NHTSA began its initial evaluation of Firestone tires.[13] Subsequent analysis of Firestone warranty claims and other data showed a high accident rate for the tires, which led to the recall on August 9. Again, actions were in response to public pressure.

Findings were ultimately identified, in part, from Firestone warranty data that could have been assessed much earlier. Whose responsibility should that have been? Who would have benefited? On Friday, July 28, 2000, Ford engineers picked up the Firestone warranty data and then set up a "war room" at Ford headquarters in Dearborn, Michigan.[14] Working with Firestone personnel, after ten long days the investigators decided that "the problem tires appear[ed] to have come from the plant in Decatur, Ill., during specific periods of production. The bulk of the tire separation incidents had occurred in hot states: Arizona, California, Florida, and Texas. This correlated with information from overseas."[15]

"The rate of warranty claims on tires for Explorers surged in the mid-1990s, and the bulk of them involved tires made at Decatur. For the three years from 1994 through 1996, tread-separation claims attributed to ATX tires produced at the Decatur plant came in at rates ranging from roughly 350 to more than 600 tires per million. During the same years, tires of the same model produced at all other Firestone plants had claim rates of 100 per million tires."[16]

At least two factors may have contributed to these higher tread separation rates at Decatur. First, in preparation for a product liability suit in Florida, a retired worker has sworn that he saw inspectors pass tires without inspecting them on a daily basis in 1993 and 1994.[17] Second, Firestone used 2,300 scab or replacement workers when United Rubber Workers Local 713 went on strike from 1994 to 1996. After the very acrimonious strike was settled, Firestone made the scab workers permanent hires.[18] An interesting question remains: Did Firestone fully appreciate and manage these risks effectively?

Misunderstanding the Risks

Perhaps the tread separation problems were found earlier and actions were suppressed in the United States due to concerns over potential legal ramifications and ensuing costs. Unfortunately, this is probably a correct line of reasoning, and it reflects an erroneous understanding of the significant risks of delay in dealing with a product safety matter.

Specifically, delay in dealing with a product safety matter can lead to a serious erosion of reputation and confidence among customers and result in a loss of future revenues and profits. Frequently, the cost of opportunities lost is the largest item to be taken into account in a cost-benefit analysis of the decision to recall a product. Moreover, failing to remedy a problem at the earliest point of recognition can lead to an inflation of the number of claims and the cost of satisfying them. If the executives had seen the cost-benefit analysis in the accompanying table, they would have realized the logic in speeding up their analysis and recognition of the tread separation problem.

Using an Ethical Decision-Making Framework

Had Ford and Firestone executives used an ethical decision-making framework such as those discussed in Chapter 5, they would have recognized the risks of allowing legal defense strategy to dominate their thinking. Moreover, they might have considered the application of alternative remedies, such as the use of a nylon cap or safety layer between the steel belts and tread to keep the ends of the belts from chafing the tread rubber

[13] Ibid.

[14] Robert L. Simison et al., "Blowout: How the Tire Problem Turned into a Crisis for Firestone and Ford—Lack of a Database Masked the Pattern That Led to Yesterday's Big Recall—The Heat and the Pressure," *Wall Street Journal*, August 10, 2000.

[15] Ibid.

[16] Timothy Aeppel et al., "Road Signs: How Ford, Firestone Let The Warnings Slide by as Debacle Developed—Their Separate Goals, Gaps in Communication Gave Rise to Risky Situation—Bucking the Bronco Legacy," *Wall Street Journal*, September 6, 2000.

[17] Ibid.

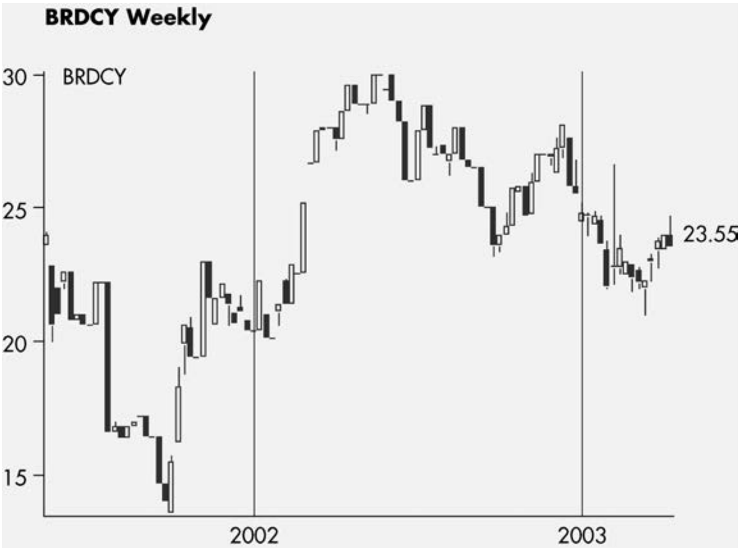
[18] James R. Healey and Sara Nathan, "Could $1 Worth of Nylon Have Saved People's Lives? Experts: Caps on Steel Belts May Have Stopped Shredded Tires," *USA Today*, August 9, 2000.

and contributing to tread separation. The nylon cap was apparently used in late-production Firestone tires in Venezuela at a cost of $1 per tire. According to engineers, the extra cost was the only reason not to use them widely.[19] Bridgestone does use them on some tire lines, as does Pirelli on nearly all of its U.S.-market tires.[20]

The Aftermath

Not surprisingly, the sales of Ford Explorers dropped, as did Firestone's sales. In Venezuela, for example, Ford Explorer sales dropped 37% in 2000. In December 2000, Saudi Arabia banned new and used vehicles with Firestone tires. Firestone announced that it believed the ban was unjustified.

Bridgestone's Stock Chart



Reprinted courtesy of StatPro Canada, Inc.

Ford's Stock Chart

Reprinted courtesy of StatPro Canada, Inc.

[19] Ibid.
[20] Ibid.

Cost-Benefit Analysis of Decision to Use a Nylon Cap Safety Layer

Benefits

Savings	Unit Cost	Total
203 deaths[1]	$977,000	$198,331,000
700 injuries[2]	$327,925	229,547,500
Avoid legal fees and settlements		
Avoid recalling tires		
Avoid damage to reputation[3]		1,272,121,500
Total Benefits		$1,700,000,000

Costs

Cost	Unit Cost	Total
Nylon safety cap for 10,000,000 recalled tires[4]	$1	10,000,000
Total Costs		$10,000,000

[1] The unit cost of death was obtained from an NHTSA study in 2000 on "The Economic Impact of Motor Vehicle Crashes" (refer to **http://www.cengage.com**).

[2] The unit cost of injury was determined by applying the percentage cost of injury/death in 1971 from the Ford Pinto case ($67,000/$200,000 = 33.5%) to the unit cost of death estimated by the NHTSA survey from 2000: $977,000 × 33.5% = $327,295.

[3] The investment banking firm of UBS Warburg estimated that the tire problems could cost Firestone and Ford between $719 million and $2.7 billion. We assumed the total cost to be $1.7 billion (a number in the middle). Therefore, since we know the total cost to Ford & Firestone is $1.7 billion, we can calculate the residual amount to be allocated to the avoidance of legal fees, settlement fees, the cost of recalling tires, and the cost of the loss of reputation: $1,700,000,000—$427,878,500 = $1,272,121,500 (refer to **http://www.cengage.com**).

[4] An article written in *USA Today* on August 9, 2000, by James R. Healey & Sara Nathan, proposed that a nylon safety cap could have prevented the tread separation problem. The article states that a nylon safety layer between the steel belts and the tread would keep the ends of the belts from chafing the tread rubber and contributing to tread separation. The article also cited that affidavits from tire engineers said that cost is the only reason not to use them. The estimated cost was $1 per tire to cover the radial piles with a nylon cap. We determined the number of tires affected as follows:

August 9, 2000	6.5 million tires were recalled
September 4, 2000	3.5 million additional tires were recalled
Total recalled	10.0 million

Source: Master of Management & Professional Accounting (MMPA) degree students at the Rotman School of Management, University of Toronto: Meghan Davis, Theresa Yim, Paul Spitzen, Michael Krofchick, and Katy Yeung. Group project, Fall 2002.

Both the U.S. Congress and Senate held hearings, and a new act was passed on October 11, 2000, called the *Transportation Recall Enhancement, Accountability, and Documentation Act*. The act does the following:

- Strengthens the reporting requirements for manufacturers of motor vehicles and motor vehicle equipment (including the reporting of defects first discovered in a foreign country)
- Increases the civil penalties for violations of safety regulations (e.g., fines for certain violations of Title 49 were raised from $1,000 to $5,000 for each violation, and the maximum penalty for a related series of violations was raised from $800,000 to $15,000,000)
- Provides additional criminal penalties (e.g., for any knowing and willful false statement that was intended to mislead NHTSA with respect to a defect that causes death or grievous bodily harm, the possible prison term was raised from five years to 15)
- Requires NHTSA to revise and update its safety standards for tires
- Increases the number of years that a defect must be remedied without charge to the owner (from three years to five for tires)
- Increases the authorization for funding the NHTSA
- Requires the secretary of transportation to report to Congress within a year on the criteria, procedures,

and methods that the NHTSA uses in determining whether to open an investigation of a possible defect

- Contains other safety-related provisions[21]

Questions

1. Why didn't Ford and Firestone learn from their past recall debacles?
2. Why did Ford, Firestone, and the NHTSA not discover the nature and seriousness of the tread-separation, product-liability problem earlier?
3. Why did Ford or Firestone not report the problem to U.S. authorities earlier?
4. Ultimately, which was the largest cost to Ford and Firestone: fines, lawsuit settlements, or the loss of reputation leading to loss of future revenue and profits?
5. What errors should be corrected in the cost-benefit analysis presented?
6. What were the ethical risks, if any, involved in this tire recall situation?
7. If you were advising Ford and Bridgestone, what should each include in their risk management program?

[21] United States Republican Policy Committee, "Lawyer's Silence and Highway Deaths," July 9, 2001, http://www.cengage.com.

Appendix A Alternative Governance Theories

A Traditional Governance Model—Agency Theory

Agency theory is an attempt to explain organizational behavior and, in particular, corporate governance structures based on the premise that there is an inherent conflict of interest between principals (who own the firm) and agents (who manage the firm). From this principle of a conflict of interest, it develops a comprehensive theory that addresses the importance of contracts, both formal and informal and both written and tacit, that are used in monitoring, controlling, and motivating managerial behavior. It also explains the importance of financial reporting.

Agency theory is grounded on the concept of self-interest; this is not the cooperative self-interest of Thomas Hobbes and Adam Smith that leads to civil society and economic prosperity.[1] Rather, it is self-interest in a noncooperative fashion where the interests of the managers of the firm are not always aligned with the interests of the owners of the firm. Both investors and managers are interested in maximizing their personal utility. Investors want a reasonable return on their investment either in terms of stock price appreciation resulting in a capital gain or in terms of cash distributions from the firm through dividends. Management, by contrast, is interested in compensation. Managers are motivated through self-interest to do a good job and learn new managerial skills so that they can either receive more pay or move to another job where they can receive higher compensation. Agency theory makes the simplifying assumption that managers are motivated only by extrinsic tangible monetary-based rewards, such as direct cash compensation through regular pay and bonuses, and indirect compensation through fringe benefits, such as pension plans, medical care, and stock options.

In a sole proprietorship, the owner of the business is also its manager. They are one and the same. However, in corporations, especially in large publicly traded companies, there is clear separation of ownership from control. The owners (called principals) have no desire to operate the firm; they simply want to earn a reasonable return on their investment. So, they hire and then delegate to management (the agent) the responsibility for operating the firm on the investors' behalf. Because they control the daily operations of the firm, management knows or has access to all the information about the firm. The investors, on the other hand, only know what they are told by management, normally through periodic financial statements and the annual report. As such, there is a huge information asymmetry problem. Although they are the owners of the firm, they really do not know what is happening at their firm. This gives rise

[1] For the ethical theories of Hobbes and Smith, refer to Chapter 3.

to two potential problems: adverse selection and moral hazard. Both of these problems occur because agency theory assumes that the manager will always act opportunistically; that is, when valid options are available, the manager will choose the option that is in the best interest of management, even when that option might not be in the best interest of the investors.

Adverse selection occurs because management has better or more complete information about the firm than the investors. As such, management can make investment and credit decisions that may be profitable to managers but not to investors. A prime example is insider trading. Before management releases a piece of bad news that will negatively affect the price of the firm's stock, management might short the stock and then buy the stock after the price falls. Management profits through a capital gain based on insider knowledge. This is why there are laws to prevent insider trading.

Moral hazard occurs because managerial behavior cannot usually be observed, but all investors are usually aware of the consequences of the decisions of management. Therefore, managers can shirk. They can avoid putting in effort without being detected by the investors. For example, all other things being equal, investors would prefer high net income rather than low net income. However, management, who choose and implement the accounting policies of the firm, can artificially increase income by judiciously selecting specific income-increasing accounting policies. For example, straight-line amortization of long-life assets tends to show a lower expense in the early years of the assets' lives than double-declining balance. So, although neither policy has an impact on the cash flows of the firm, the straight-line method reports a lower expense and therefore a higher net income than the double-declining method. Management can also adjust discretionary accruals in order to manage reported earnings. Any accounting estimate that is determined by management, such as the allowance for doubtful accounts, inventory obsolescence, and the provision for warranty expense, can be selected opportunistically in order to manipulate the reported earnings of the firm without altering the firm's actual cash flows. These discretionary accruals are not separately disclosed in the firm's set of financial statements, so this form of managerial opportunism is not readily apparent to investors. Their manipulations cannot readily be observed by the investors.

In order to minimize the problems associated with moral hazard and adverse selection, investors implement various control mechanisms. The two most common are monitoring and bonding. Monitoring can occur by having the internal auditors check to ensure that the firm's control structures are operating efficiently and effectively. External accountants are hired by the investor to review and report on the financial statements that are prepared by management. However, it is the board of directors that acts as the key monitoring mechanism in most firms. The board represents all the investors. The board is to ensure that the decisions of management are in the best long-term interests of the firm and its owners. It does this by monitoring management and in particular by selecting and overseeing the CEO. However, monitoring can be costly and not always effective. Enron had a blue-ribbon board of directors, yet they failed to oversee and govern correctly.[2]

Bonding occurs through management compensation contracts. The idea is that a contract can be written to align the interests of management with those of the investor. For example, the investor is interested in a high net income. So, if the managers are given a share of the reported earnings, then they might be motivated to work very hard on the investors' behalf to increase reported earnings. Another contract might be to give management stock options. If management owns a piece of the firm, then their interests as investors of the firm should be the same as the other investors of the firm. Because their interests are now aligned, managers will make decisions that are in the best interests of the investors.

There are obvious problems with this line of reasoning. First, management can increase net income without expending any effort by simply changing the accounting policies. Second, stock options can be abused and be quite costly to the other shareholders. After they exercise their options, managers rarely continue to hold their firm's stock. They prefer to obtain a capital gain and then use the proceeds to purchase a diversified portfolio, thereby mitigating their investment risk. Furthermore, prior to stock options being required to be reported as an expense in 2005, generous stock options were granted to employees on the basis that they were costless. In December 1997, Michael Eisner, then CEO of Disney Corporation, exercised stock options for $570 million. This was not recorded as an expense for Disney, but it was a cost to the other shareholders in terms of the dilution of their ownership by

[2] Refer to Chapter 2 for a richer analysis of the failure of the Board of Directors to govern Enron adequately and the inability of Arthur Anderson to objectively assess Enron's financial statements.

Table 5.23 Comparison of Agency Theory & Stewardship Theory

	Agency Theory	Stewardship Theory
View of the individual	Economic agent	Complex & modern
Behavioral assumptions	Opportunistic wealth maximizer	Holistic & rounded view of human nature
Behavioral characteristics	• Self-serving—employees will choose the options that are in their own best interest • Risk-averse—there is an increasing disutility for wealth • Effort-averse—employees will shirk	• Want to contribute • Will choose to do right • Strive to achieve • Like to innovate • Want to do competent work • Interested in a work-life balance
Management philosophy	Control-oriented	Involvement-oriented
Motivation	Extrinsic rewards	More intrinsic than extrinsic rewards
Organizational identification	Low-value commitment	High Commitment
Trust	Low—employees are work averse, so they will shirk	High—stewards have an inherent preference for honesty

Sources: James H. Davis, F. David Schoorman, and Lex Donaldson, "Toward a Stewardship Theory of Management," *Academy of Management Review* 1997, Vol. 22, No. 1, 20-47, and Steven E. Salterio and Alan Webb, "Honesty in Accounting and Control: A Discussion of 'The Effect of Information Systems on Honesty in Managerial Reporting: A Behavioral Perspective'," *Contemporary Accounting Research* 2006, Vol. 23, No. 4, 919–932.

the amount of the options given to Eisner. This was not a costless transaction for the owners of Disney stock.

The primary weakness of agency theory is that it has a very narrow focus concerning human behavior. It views business activity as being conducted between atomistic principals and agents operating outside of a social context. Yet business is also a social activity conducted in a cooperative yet competitive manner as explained by Adam Smith.[3] People find satisfaction in work and an opportunity to utilize their skills and talents in a productive manner that contributes to their own well-being and, through the invisible hand, to the betterment of society. Stewardship Theory captures the social and cooperative aspects of work. The differences between Agency Theory and Stewardship Theory are identified in Table 5.23.

A More Holistic Approach to Governance—Stewardship Theory

Stewardship theory assumes no inherent conflict between principals and agents, between employees and investors, or between subordinates and their supervisors. There is no trade-off between personal needs and organizational needs. Stewards identify with the goals of the firm and strive to make sure those goals are achieved. The steward's interests are aligned with those of the investor, so the steward is less apt to engage in self-serving behaviors and actions that transfer wealth from the investor to the steward. As such, there is a lower need for monitoring and control mechanisms. Instead, in a stewardship environment, there is more emphasis placed on empowerment and structures that facilitate cooperative activities in a nonadversarial fashion.

Stewardship theory recognizes that there is often a very strong relationship between the success of the firm and the personal needs of the employees. Stewards take pride and satisfaction in working for the firm and share vicariously in the success and failures of the firm as well as the steward's coworkers. Employees proudly wear their firm's company logo on their clothing, while saying, "We just landed this great contract with a new supplier" even though they had no part in the contract negotiations.

Managers, under agency theory, are motivated by extrinsic monetary rewards. Stewards are motivated by both intrinsic and extrinsic rewards. Intrinsic rewards include recognition, advancement, growth, and the opportunity to learn and to become self-actualized. However, stewards normally want more intrinsic rewards than extrinsic ones. A survey of public accountants in Canada revealed that most were interested in interesting work that is intellectually challenging.[4]

[3] Refer to Chapter 3 for a discussion of the importance of cooperation in economics, as per Adam Smith.
[4] Refer to "What CAs Want," *CAMagazine*, August 2007, http://www.camagazine.com/index.cfm/ci_id/38627/la_id/1.

The number one workplace priority for those surveyed was interesting work, followed by intellectual challenge and then a good corporate culture. Of the top twelve priorities, high compensation (number four) and job security (number eight) were the only extrinsic rewards mentioned as being a priority. Canadian public accountants appear to be more aligned with stewardship than agency theory.

Most people acknowledge that there is an interdependent and interpenetrating relationship between business and society. Each influences and in turn is influenced by the other. The activities of business influence public policy, which in turn influences business. For example, the Enron and WorldCom debacles led to Congress passing SOX in the United States. The rules and restrictions of SOX have, in turn, influenced business behavior, as mentioned in Chapter 2.

Stewardship theory acknowledges this interpenetrating relationship and reveals an interconnectedness among the individual, his or her work, and society. It has a more holistic concept of the individual and the individual's place in business and society. Stewards want to contribute to the success and well-being of their firm. They also want to contribute to the success and well-being of society. They see no separation between these two activities. This may be why so many people want to work for socially responsible firms. An online survey in 2006 by Care2[5] of nearly 1,600 people revealed the following:

- 73% said that working for a socially responsible company was very important.
- 48% said that they would work for less pay if they could work for a socially responsible company.
- 40% said that they would work longer hours if they worked for a socially responsible company.

These are all aspects of a stewardship perspective that contends that employees want to contribute to the success of their employer's business while at the same time contributing to the well-being of society.

The natural extension of this stewardship perspective into corporate governance was originally incorporated into the laissez-faire type of approach known as the original Carver model[6] of board governance, which was based on boards of directors hiring the CEO and approving organizational policy but essentially delegating ongoing monitoring to the CEO. However, many of those who subscribed to this approach found that the ethics and operational risks of "governance by policy"—of divorcing the board from ongoing monitoring—were too high, and a revised Carver model was developed.

It is evident that the agency model—of top-down control that monitors opportunistic agents—still has a role to play today. The examples of unbridled greed and abuses of managerial power by unaccountable executives at Enron, WorldCom, Adelphia Communications, and Parmalat SpA illustrate the need for improved corporate governance structures. However, the existence of rogue managers should not be used to stifle the creativity of other managers who have a stewardship perspective.

New governance structures are needed that balance the need for control with the need to create an innovative environment where talented managers can increase firm value in an ethically and socially responsible manner. This means that perspectives must be broadened. The firm is more than simply investors and managers. There are a variety of other stakeholders who have an interest, or stake, in the firm, and their interests cannot be ignored. The lessons of the last few years have shown that corporations are strategically accountable to numerous stakeholder groups, not only to shareholders. New perspectives on governance and accountability are required to meet this challenge.

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[5] Refer to "Socially Responsible Companies Rank High with Job Seekers," January 31, 2006, press release by Care2, http://www.care2.com/aboutus/080206.html.

[6] Refer to John Carver, *Boards That Make a Difference*, 2nd ed. (San Francisco: Jossey-Bass, 1997), or visit http://www.carvergovernance.com.

6

Professional Accounting in the Public Interest

Purpose of the Chapter

Professional accounting has been challenged frequently by specific incidents to demonstrate that it is providing the fiduciary services that investors and the public expect. On several occasions, these challenges or expectations gaps have resulted in a crisis of credibility that caused the profession or regulating authorities to resolve by requiring more stringent ethical guidance. When the Enron, Arthur Andersen, and WorldCom debacles triggered the U.S. *Sarbanes-Oxley Act* of *2002* (SOX), a new era of stakeholder expectations was crystallized for the business world and particularly for the professional accountants that serve in it. The drift away from the professional accountant's role as a fiduciary to that of a businessperson was called into question and reversed. The principles that the new expectations spawned and renewed resulted in changes in how professional accountants are to behave, what services are to be offered, and what performance standards are to be met. These standards have been embedded in a new governance structure and in guidance mechanisms, which have domestic and international components.

In addition, the drive toward globalized standards was also an effort to eliminate the credibility gap and to restore the reputation of professional accountants worldwide. Looking forward, the influence of the International Accounting Standards Board (IASB) and the International Federation of Accountants (IFAC) will be as important as that of SOX in the long run because professional accounting bodies governing CPAs and CAs around the world are harmonizing their standards and codes of ethics to IASB and IFAC pronouncements.

Due to the prevalence of financial scandals, the developing world of big data, data analytics, and the potential uses of artificial intelligence, two new developments have recently emerged that are certainly going to change how professional accountants conduct themselves:

- Studies to *reimagine the accounting profession* have been undertaken by the Institute of Chartered Accountants in England and Wales (ICAEW) and the Chartered Professional Accountants of Canada (CPA Canada), and these and other CPA governing bodies have joined the AICPA to *reimagine the body of knowledge expected of professional accountants.*[1]

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[1] See PAC Conference summary and videos of the Reimaging Professional Accounting panel on the website of the University of Toronto's Professional Accounting Centre at https://www.utm.utoronto.ca/pac/pac-events/pac-2019-annual-conference-professional-accounting-futures-september-13-2019.

- Triggered by the bankruptcy of Carillion, a giant U.K. construction company,[2] new standards of behavior (NOCLAR rules) have been adopted worldwide and are being implemented that will require professional accountants to report when they discover or suspect that their clients or employers have not or will not comply with laws and regulations. *These NOCLAR rules, designed to further the primary purpose of professional accountants to protect the public interest, require professional accountants to set aside traditional interpretations of confidentiality.*

This chapter examines each of these developments and provides insights into important areas of current and future practice. Building on the understanding of the stakeholder accountability framework facing clients and employers developed in earlier chapters, this chapter explores public expectations for the role of the professional accountant and the principles that should be observed in discharging that role. This leads to consideration of the implications for services to be offered and of the key "value added" or competitive edge that accountants should focus their attention on to maintain their reputation, legitimacy, and vitality. Sources of ethical governance and guidance, including the IFAC/IESBA, the American Institute of Certified Public Accountants (AICPA), and the Chartered Professional Accountants of Ontario (CPA Ontario or CPAO) codes of conduct, are also discussed.

Reading this chapter will help you be able to:

- Explain how professionalism for accountants means serving the public interest
- Describe new and traditional expectations for professional accounting behavior
- Describe professional judgment and decision making
- Summarize guidance for professional accountants, including codes of conduct and NOCLAR rules
- Identify iconic cases that have shaped the future of professional accounting
- Apply the concepts in this chapter to think critically about real-world and illustrative cases

[2] See the Carillion Bankruptcy case in this chapter.

Professionalism for Accountants

Professionalism is defined as *conduct, aims, or qualities that characterize or mark a profession or a professional person*.[3] For professional accountants, who are charged with protecting the public interest, professionalism involves:

- "Professional values, ethics, and attitudes include[ing]:
  - a commitment to *technical competence*,
  - *ethical behavior* (e.g. independence, objectivity, confidentiality, and integrity),
  - *professional manner* (e.g. due care, timeliness, courteousness, respect, responsibility, and reliability),
  - *pursuit of excellence* (e.g. commitment to continual improvement and life-long learning), and
  - *social responsibility* (e.g. awareness and consideration of the public interest)."[4]

[3] http://www.merriam-webster.com/dictionary/professionalism.

[4] Professional values, ethics, and attitudes, IAESB Glossary of Terms, p. 29.

- Professional skepticism, and
- Moral courage sufficient to maintain professionalism in the face of significant adverse pressure.

These elements are essential to maintaining the credibility of the accounting profession and the integrity of financial reporting. Both are required to discharge professional accounting's public interest mandate and to maintain the public trust.

Understanding each element is absolutely essential for budding and longtime professional accountants to ensure that they are discharging the role as expected of them. Many students enter accounting programs with such a narrow-minded focus on achieving technical competence that they fail to understand and internalize the paramount importance of the other elements related to the judgment they need to exercise in applying their technical expertise. *They need to appreciate that any proficient bookkeeper can prepare financial statements, but it is the values, ethics, attitudes, manner, and other characteristics of a professional accountant that underlie the integrity of the statements, and allow others to rely upon them.*

Very few accounting-related corporate scandals have been caused by errors stemming from technical incompetence. Most—and particularly some recent high-profile scandals such as the Carillion[5] fiasco—stem from poor judgment based on unethical or unprofessional behavior. As a result, in an effort to restore public trust, CPA-governing accounting bodies in the United States and Canada now require members to complete compulsory continuing professional education (CPE) courses on ethics and/or professional behavior.

Given the current reality facing the profession, it is essential that professional accountants thoroughly understand why professionalism is so important, the nature of each element involved, the guidance offered to reinforce appropriate behavior, and how to assess, mitigate, or avoid the threats that lurk for individuals and the profession as a whole.

Professional Accounting's Traditional Role

Traditionally, a professional accountant has been expected to be an expert in the preparation, analysis, interpretation, and use of financial statements. However, *professionalism involves much more than knowing how to work with financial data*. Since financial statements involve many estimates and choices between alternative values, procedures, and disclosures, *a professional accountant must apply professional judgment in making those choices in order to increase the credibility of the financial statements and protect the interests of the public*. *Professional judgment, in turn, depends on an understanding of professional thinking on right and wrong behavior as described in professional standards and embodied in professional practices.*

Professional behavior, as a result, depends on an understanding of what is expected, plus having the courage to choose alternatives based on how they lend credibility to financial data and its use and on the utility with which they serve the interest of the public. These choices are often made on the basis of the personal values of the decision maker, such as honesty, integrity, and independence. Choices should also be made so that clear interpretations can be made by all stakeholder groups, including current and future shareholders, government agencies, and those non-shareholder groups with a continuing or future interest in the company.

[5] See the ethics case "Carillion Bankruptcy: A Nightmare That Challenged the Foundations of the U.K. Accounting Profession" at the end of this chapter.

Given this reliance on personal values and on fair treatment of current and future interests, it is not surprising that professional pronouncements provide insights into correct values for professional accountants and for ensuring fair disclosure of information and treatment of clients. The remainder of this chapter explores the insights that a professional accountant should be familiar with to ensure appropriate professional behavior. If too many professional accountants fail to behave appropriately, then the credibility of the entire profession will be undermined, and it will lose the trust of the public.

Historic Shortfalls in Meeting Professional Expectations

History shows that professional accountants have frequently failed to live up to stakeholder expectations, and the results have been tragic for investors and many others affected by the disappearance of a company or the weakening of an economy. When financial reports do not present credible portrayals of reality, many people can be misled, and the result can generate a crisis of confidence in financial reporting and corporate governance that will lead to economic hardship and a diminishment of the reputation of professional accountants both individually and as a profession.

In the past, the accounting profession has attempted to rectify shortfalls in meeting professional expectations by improving ethical guidance in the form of stricter codes of conduct (or interpretations thereof) or introducing more prescriptive practices. More recently, because of the outrage of the public, self-correction has not been deemed to be sufficient, so new regulations have been demanded by the government or the authorities who serve as overseers to the profession. Will these new rules be sufficient to restore and maintain the public trust in professional accountants? Time will tell.

The current era of professional expectations for accountants is a result of many factors. First, as discussed in Chapter 1, there has been an increase in concern and sensitivity by traditional stakeholders concerning the subpar behavior in corporations or the accounting profession. This increasing sensitivity and an awareness of the globalization of corporate activities and investment, as well as early financial scandals discussed in Chapter 2, stimulated the internationalization of professional accounting standards and practices. For example, the founding of IFAC in 1977, now representing almost 3 million accountants through more than 180 members and associates in 135 countries and jurisdictions,[6] has led to the generation of guidance, such as ethical codes and standards for adoption by member associations around the world.

Specific scandals, also discussed in Chapter 2, have triggered the introduction of new laws and regulations governing the accounting profession. The impact of the Enron, Arthur Andersen, and WorldCom debacles gave rise to a crisis of credibility for the business community, for its reports and capital markets, and for professional accountants who were seen as part of the problem. The public was outraged and wanting a return to credibility founded on values such as trust, integrity, transparency of reports, and so on, and a rededication to the public interest. In response, the U.S. government–enacted SOX, which required the Securities and Exchange Commission (SEC) to create regulations bringing governance reforms for both corporations and the accounting profession, provided much of the answer. These reforms forced change on those U.S. and foreign corporations (known as SEC registrants) and their auditors that wished to access U.S. capital markets. Enron-induced SOX reforms also triggered or reinforced the need for similar governance changes for corporations and professional accountants around the world.

[6] IFAC website at https://www.ifac.org/who-we-are/membership, accessed April 8, 2025.

Enron and other financial scandals also reinforced the need for the development of more transparent worldwide standards of disclosure and motivated support for IFAC to create and release accounting standards that could be adopted fully or in modified form in all jurisdictions. In 2001, IFAC released the initial version of the *IFAC Code of Ethics* with the intention that professional accountants in member countries would come to observe them. IFAC, through its International Ethics Standards Board for Accountants (IESBA), has since issued several revisions and now offers an updated version of the *2018 International Code of Ethics for Professional Accountants*.[7] The member organizations of IFAC—the professional accounting bodies around the world, such as the AICPA, the Institutes of Chartered Accountants, Chartered Professional Accountants of Canada, and others—agreed to bring their own codes of ethics into substantial agreement with the IFAC Code, which states.

> *A distinguishing mark of the accountancy profession is its acceptance of the responsibility to act in the public interest.*[8]

SOX and IFAC reforms call for business to be more openly accountable to the investing public and for professional accountants to remember that they are expected to protect the interests of investors and other stakeholders. Professional accountants are not expected to be involved in misrepresentations in order to assist management or to avoid risk of losing audit revenues—or their jobs if they are employees.

At the same time, the concerns of non-investor stakeholders, such as customers, employees, or environmentalists, were becoming serious barriers to the achievement of corporate objectives. Damage to reputation caused by ethical problems was recognized as so significant as to be potentially fatal, as in the case of Arthur Andersen, which was once one of the world's largest and most respected auditing firms.

Consequently, both business and professional accountants have recognized that their future success depends on meeting new governance regulations, more transparent reporting standards, and the ethical expectations of stakeholders. Governance mechanisms for both business and the accounting profession now, more than ever, need to ensure that these expectations will be met. History shows, however, that these are lessons that need to be relearned repeatedly.

Professional Accounting & the Public Interest

Public Expectations Control Reputation

Service in the public interest has long been the hallmark of highly regarded professions. So, meeting the public's expectations of how a professional should behave and what services and how services should be performed is vital to the reputation of the professional and the profession.

The Enron, Arthur Andersen, WorldCom, Carillion, and more recent financial and management debacles have confirmed that professional accountants owe their primary loyalty to the public interest, not to their clients, their management, or themselves. Unless professional accountants clearly and properly understand their roles, they cannot

[7] IFAC appoints the members of the IESBA. The *2018 International Code of Ethics for Professional Accountants* is downloadable from ethicsboard.org.

[8] Ibid., Section 100.1 A1.

consistently answer important questions in an ethically responsible way and as a result will probably offer questionable advice and make decisions that leave them and their profession exposed to criticism or worse. For example, a clear understanding of their roles is essential to respond appropriately to questions about ethical trade-offs encountered as well as proper services to offer and at what levels, such as the following:

- Who really is my client—the company, the management, current shareholders, future shareholders, or the public?
- In the event I have to make a decision with ethical ramifications, do I owe primary loyalty to my employer, my client, my boss, my profession, the public, or myself?
- Am I, as a professional accountant, bound by professional standards even when acting as an employee?
- Is professional accounting a profession or a business? Can it be both?
- When should I not offer a service?
- Can I serve two clients with competing interests at the same time?
- Is there any occasion when breaking the profession's guideline against revealing confidences is warranted?

Public Expectations of a Professional Accountant There is little doubt that the public has different expectations of behavior for a member of a profession, such as a doctor or lawyer, than they do of a nonprofessional, such as a sales or personnel manager. Why is this? The answer stems from the fact that professionals often work with something of real value where trust in how competently they will function or how responsibly they will conduct themselves is particularly important. Ultimately, *the public's regard for a particular profession will govern the rights it enjoys*: to practice, frequently with a monopoly on the services offered; to control entry to the profession; to earn a relatively high income; and to self-regulate or to be judged by one's peers rather than government officials. If a profession loses credibility in the eyes of the public, the consequences can be quite severe and not only for the offending professional.

What makes a profession? In the final analysis, it is a combination of features, duties, and rights all framed within a set of common professional values—values that determine how decisions are made and actions are taken.

The thoughts of Bayles[9] and Behrman[10], which are summarized in Table 6.1, are useful in focusing on the important features. Professions are established primarily to serve society. The services provided to society are so important that high levels of expertise are required, which, in turn, call for extensive educational programs focused primarily on intellectual rather than mechanical or other training and skills. Almost always, the most highly regarded professions are licensed to practice on the public, and the degree of autonomy accorded a profession from government regulation, with its red tape, is evident by the degree of control exerted over the education and licensing programs by the organization representing the profession.

The importance of autonomy to a profession is worth noting. Autonomy, or freedom from government regulations and regulators, allows members of a profession to be judged by their informed, objective peers rather than by politically appointed regulators, and for sanctions to be meted out without raising the attention of the public. This allows a profession to manage its affairs efficiently and discreetly so that the public has the impression

[9] Bayles, M. D. 1981. *Professional Ethics*. Belmont, CA: Wadsworth.
[10] Behrman, J. N. 1988. *Essays on Ethics in Business and the Professions*. Englewood Cliffs, NJ: Prentice Hall.

Table 6.1 What Makes a Profession

Essential Features (Bayles 1981)
• Extensive training
• Provision of important services to society
• Training and skills largely intellectual in character
Typical Features
• Generally licensed or certified
• Represented by organizations, associations, or institutes
• Autonomy
Foundation of Ethical Values (Behrman 1988)
• Significantly delineated by and founded on ethical considerations rather than techniques or tools

that the profession is responsible and able to discharge its duties to members of the public properly. If, however, the public becomes concerned that these processes are not fair or objective or that the public's interest is not being protected, the government will step in to ensure that protection. Here, as it is in dealings with clients, the maintenance of the credibility of the profession is extremely important.

This lack of credibility caused by financial scandals was responsible for the introduction in 2002 of the Public Company Accounting Oversight Board (PCAOB)[11] by the SEC in the United States and the Canadian Public Accountability Board (CPAB)[12] by the Canadian Securities Administrators. The PCAOB oversees professional accountants who wish to audit SEC registrant companies—those from anywhere in the world whose stock is traded on U.S. stock exchanges or that wish to raise funds from U.S. public sources. This means that PCAOB oversight affects the practice of large professional accounting firms worldwide—and the generally accepted accounting policies that are applied to those companies' accounts. CPAB, the auditor of auditors in Canada, promotes high-quality audits. It inspects, reports on, and sanctions auditing firms that audit Canadian securities-issuing companies; it refers problems to regulators; and it makes recommendations on auditing and accounting standards.

The services provided by a profession are so important to society that society is prepared to grant the profession the rights previously outlined, but it also closely monitors the profession to make sure that the corresponding duties expected of the profession are discharged properly. In general terms, the duties expected of a profession are the maintenance of the following:

- *Competence* in the field of expertise, applied with due care
- *Objectivity* in the offering of service
- *Integrity* in client dealings
- *Confidentiality* with regard to client matters
- *Discipline* over members who do not discharge these duties according to the standards expected

These duties are vital to the quality of service provided, a condition made more significant because of the fiduciary relationship a professional has with a client. A fiduciary relationship exists when the service provided is extremely important to the client and where there

[11] See PCAOB website, http://www.pcaobus.org.
[12] See CPAB website, http://www.cpab-ccrc.ca.

is a significant difference in the level of expertise between the professional and the client such that the client has to trust or rely on the judgment and expertise of the professional. The maintenance of the trust inherent in the fiduciary relationship is fundamental to the role of a professional—so fundamental that professionals have traditionally been expected to make personal sacrifices if the welfare of their client or the public is at stake.

In the past, some have argued that to be a true professional, the individual had to offer services to the public—that a person serving as an employee in an organization therefore did not qualify and could be excused from following the ethical code of the profession involved. It was presumed that the need to serve the employer should be dominant. Unfortunately, the failings of this limited perspective were exposed in cases where buildings and other structures collapsed due to cheap construction and, as with Enron, the disclosure of financial results was favorable to current management instead of current and future shareholders. In both instances, the professions involved—engineering and accounting—lost credibility in the eyes of the public. As a result, prior to Enron, some engineering and accounting professions had decided to make their primary responsibility to the public explicit in their code of conduct.

The U.S. Senate, SOX, the SEC, and IFAC (and therefore its worldwide member professional accounting bodies) have subsequently made it clear that service to the public interest is paramount. The concept of *loyal agency* only to an employer has been refuted and is clearly out of step with the current expectations of the public. The conditions of a *fiduciary relationship—the necessity to trust or rely on the judgment and expertise of a professional—are as applicable to professionals who serve within organizations as employees as to those who offer services directly to the public*. The public considers the provision of services within organizations as indirectly for the public's benefit in any event.

In order to support this combination of features, duties, and rights, it is essential that the profession in question develops a set of values or fundamental principles to guide its members and that each professional possesses personal values that dovetail with these. Normally, desired personal values would include honesty, integrity, objectivity, discretion, courage to pursue one's convictions, and strength of character to resist tempting opportunities to serve themselves or others rather than the client. Without these values, the necessary trust required to support the fiduciary relationship cannot be maintained, so efforts are usually made by the profession to assess whether these values are possessed by candidates for the profession and by its members. Such screening is usually undertaken during the prequalification or articling period as well as by a discipline committee of the profession. Generally, criminal activity is considered cause for expulsion, and failure to follow the standards of the profession that are expressed in its code of conduct can bring remedial measures, fines, suspension of rights, or expulsion.

A professional accountant, whether engaged in auditing or management or as an employee or a consultant, is expected to be both an accountant and a professional. *A professional accountant is expected to have special technical expertise associated with accounting and a higher understanding than a layperson of related fields, such as management control, taxation, or information systems. In addition to adhering to the general professional duties and values described above, accountants must also adhere to those specific standards of the accountant's governing professional body*. A deviation from these expected norms can produce a lack of credibility for or confidence in the whole profession. For example, when an individual or a profession puts their own interests before those of the client or the public, a lack of confidence can develop that can trigger public inquiries into the affairs of the profession in general. Such was the case with the Treadway Commission[13] in the United States

[13] Treadway Commission. 1987. *Report of the National Commission on Fraudulent Public Reporting*. Washington, DC: American Institute of Certified Public Accountants.

and the Macdonald Commission[14] in Canada. Later crises of confidence and credibility, such as those with Enron, Arthur Andersen, and WorldCom, were met with new statutes and regulations, such as SOX and the related SEC regulations, or with intermediary agencies, such as the PCAOB, which now oversees "the audits of public companies in order to protect the interests of investors and further the public interest in the preparation of informative, accurate, and independent audit reports."[15]

Not surprisingly, professional accounting conforms quite well to the combination of features, duties, and rights in a framework of values as previously described for professions in general. These have been summarized specifically for professional accounting in Table 6.2.

Table 6.2 Features, Duties, Rights & Values of the Accounting Profession

Features

- Provision of important fiduciary services to society
- Extensive knowledge and skill are required
- Training and skills required are largely intellectual in character
- Overseen by self-regulating membership organizations
- Accountable to governmental authority

Duties essential to a fiduciary relationship

- Continuing attention to the needs of clients and other stakeholders
- Development and maintenance of required knowledge and skills, including professional skepticism
- Maintenance of the trust inherent in a fiduciary relationship by behavior exhibiting responsible values
- Maintenance of an acceptable personal reputation
- Maintenance of a credible reputation as a profession

Rights permitted in most jurisdictions

- Ability to hold oneself out as a designated professional to render important fiduciary services
- Ability to set entrance standards and examine candidates
- Self-regulation and discipline based on codes of conduct
- Participation in the development of accounting and audit practice
- Access to some or all fields of accounting and audit endeavor

Values necessary to discharge duties and maintain rights

- Honesty
- Integrity
- Objectivity, based on independent judgment
- Desire to exercise due care and professional skepticism
- Competence
- Confidentiality
- Commitment to place the needs of the public, the client, the profession, and the employer or firm before the professional's own self-interest

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[14] Macdonald Commission. 1988. *The Report of the Commission to Study the Public's Expectations of Audits*. Toronto: Canadian Institute of Chartered Accountants.

[15] The PCAOB's mission statement can be accessed at https://pcaobus.org/About/History/Pages/default.aspx. A similar agency, the CPAB, has been created in Canada to audit Canadian auditors.

Dominance of Ethical Values Rather Than Accounting or Audit Techniques

Many accountants (and most nonaccountants) hold the view that mastery of accounting and/or audit technique is the sine qua non of the accounting profession. But relatively few financial scandals are actually caused by methodological errors in the application of technique—most are caused by *errors in judgment* about the appropriate use of a technique or the disclosure related to it. Some of these errors in judgment stem from misinterpretation of the problem as a result of its complexity, whereas others are a result of lack of attention to the ethical values of honesty, integrity, objectivity, due care, confidentiality, and the commitment to the interests of others before those of oneself.

Examples of placing too much faith in technical feasibility rather than the proper exercise of ethical values or judgment are readily available. For example, a conceptually brilliant accounting treatment will lack utility if it is biased or sloppily prepared. Suppression of proper disclosure of uncollectible accounts or loans receivable prior to bankruptcy is often not a question of competence but one of biased judgment or misplaced loyalty to management, a client, or oneself, rather than to the public, who might invest in the bank or savings and loan company.

It should be noted, however, that sometimes a disclosure problem is so complex or the trade-offs are so difficult that suppression of disclosure seems a reasonable interpretation at the time the decision is made. For example, accountants are often confronted with the decision of when and how much to disclose about a company's poor financial condition. It is possible that the corporation may work out of its problem if sufficient time is allowed, but disclosing the weakness may trigger bankruptcy proceedings.

Particularly in these situations of uncertainty, accountants must take care that their decisions are not tainted by failing to observe proper ethical values. At the very least, ethical values must be considered on a par with technical competence—both qualify as sine qua non. However, ethical values dominate when the issue exceeds the accountant's technical competence. The professional must recognize and disclose that fact. *Without ethical values, the trust necessary for a fiduciary relationship cannot be sustained, and the credibility accorded and rights allowed, the accounting profession will be limited*—probably reducing the effectiveness an independent profession can bring to society.

From time to time, other members of other professions have made the mistake of doing something because it is technically possible without regard to the ethical consequences of doing so. Human cloning may be an example of this practice, which is referred to as the *technological imperative*—meaning if something can be done, it should be done. When this arises in accounting, it is usually because existing accounting standards do not prohibit the practice, and it is therefore presumed to be permitted. However, there are many examples of practices that were employed, such as pooling of interests or renegotiation of overdue mortgage loans that were then disclosed as current, only to be reversed, constrained, or changed when they were found not to satisfy the public interest fairly and objectively. In other words, they were not in accord with fundamental ethical principles. Consequently, even though technical feasibility may govern the short-term decisions of some accountants, in the longer term, ethical considerations are dominant. Whether the interest of the profession is well served by adopting technical methods without thoroughly exploring their potential consequences is a question worth examining. Conceivably, the problems associated with pooling-of-interest merger consolidations or the 3%-outside investee special purpose entities (SPEs) of Enron fame could have been foreseen and constraints devised if an effective "ethical screen" had been explicitly in place.

Priority of Duty, Loyalty & Trust in a Fiduciary Who should be the real or most important client of a professional accountant? Because the primary role of the professional accountant is to offer important fiduciary services to society, the performance of those services often involves choices that favor the interests of one of the following at the expense of the others: the person paying your fee/salary, the current shareholder/owner of the organization; potential future shareholder/owners, and other stakeholders, including employees, governments, lenders, and so on. A decision will have differing impacts in the short and long terms depending on the interest and situation of each stakeholder, and each should be examined carefully where a significant impact is anticipated. The intricacies of stakeholder impact analysis are discussed in depth in Chapters 3 and 4, but several general observations are worthy of mention for auditors and accountants.

Professional accountants are given the right to provide important fiduciary services to society because they undertake to maintain the trust inherent in the fiduciary relationship. Not only must they have expertise, but they must also apply that expertise with courage, honesty, integrity, objectivity, due care, professional skepticism, competence, confidentiality, and the avoidance of misrepresentation to ensure that those relying on the expertise can trust that their interests have been taken proper care of by the accountant.

History has shown, however, that these values, characteristics, and principles are not enough on their own to ensure predictability and best practice in the choice of accounting treatments or audit approach. Consequently, to narrow the range of acceptable choices of accounting treatment or auditing practice, professional accountants are expected to adhere to Generally Accepted Accounting Principles (GAAP) and Generally Accepted Auditing Standards (GAAS). These generally accepted principles and standards have been created so that the choices made according to them will be fair to the multiplicity of users of the resulting financial reports and audits (i.e., *fair to the public interest*). This means, for example, that audited financial statements are intended to be fairly presented from the perspectives of all of the current shareholders, future shareholders, lenders, management, government, and so on. If audited financial statements are biased in favor of one user group over another, the trust fundamental to that fiduciary relationship will have been broken. As such, trust in as well as the credibility of the accountant and the accounting profession will be eroded.

The need to adhere to ethical values and to GAAP is as important for professional accountants working in management, as employees, or as consultants as it is for those who are auditing financial reports. The difference between a skilled manipulator of numbers and a professional accountant is that a user can rely on or have trust in the integrity of the professional's work. Regardless of the professional accountant's specific role, any involvement with misrepresentations, biased reports, or unethical activities will break the trust required in a professional's fiduciary relationships and will bring other members of the profession into disrepute.

Anyone wanting to be a professional accountant must be prepared to act with integrity always, not just sometimes. This means avoiding being involved with misrepresentations or illegalities caused by a misguided sense of loyalty to an immediate client or employer. *Loyalty is owed first to the public interest and then to the accounting profession* through the observance of the principles articulated in its code of conduct and its standards.

Auditors are specifically appointed by shareholders or owners as their agents to examine the activities of an organization and to report on the soundness of its financial systems and the reasonableness of its annual statements. This is done to protect the interests of the shareholders/owners from a number of problems, including the unscrupulous conduct of management. Audited financial reports are used and relied on both by existing and prospective shareholders and creditors and by governments and others. This reliance is therefore critical to the effective running of commerce in general. The choice of accounting or disclosure treatment that maximizes current income at the expense of future income could breach the trust required for the fiduciary arrangement with the public—an outcome that could lead to charges of misrepresentation and loss of reputation for the auditor and the profession as a whole. Accordingly, *an auditor's loyalty to the public should be primary and should not be less than the loyalty to existing shareholders/owners. Loyalty to the management of the organization should rank below the public, existing shareholders, the accounting profession, and the audit firm*.

In the case of accountants employed by organizations or audit firms, there is no statutory or contractual duty to shareholders or the public. However, in the performance of their duties to their employers, professional accountants are expected to exercise the values of honesty, integrity, objectivity, and due care. These values prohibit a professional accountant from being associated with a misrepresentation, so improper acts by an employer should cause professional accountants to consider their responsibility to other stakeholders, including those who would be disadvantaged by the act, and their professional colleagues whose reputation would be tarnished by association. From this perspective, the paramount duty of professional accountant employees is really to ensure the accuracy and reliability of their work for the benefit of the end user—the public. It is not surprising that professional codes of ethics or conduct require disassociation from misleading information and misrepresentations. Unfortunately, some current codes do this with the requirement of silence or confidentiality, thus leaving unsuspecting stakeholders to their fate. Logic would dictate that maintenance of the trust required in specific fiduciary relationships is based on the broader trust between the public and the profession as a whole; in the long term, codes should clearly require the protection of the public at large rather than a specific stakeholder. Fortunately, this overriding need to speak up was recognized by the revision of IFAC's International Ethics Standards Board for Accountants (IESBA), which introduced the NOCLAR Standards, effective in 2017. IFAC member bodies have been introducing the NOCLAR standards into the codes governing professional accountants around the world. NOCLAR standards or rules are discussed below.

In summary, confidence in and support for the accounting profession would be eroded if the interest of the public were not the prime motivator of actions by both professional accountants in public practice and those who are employees, and the codes of conduct of the profession were perceived to permit and reinforce this. Government pressure would be brought to bear to reform the profession or to create a new group of professionals free of bias and loyal to the public's interest. As discussed in Chapter 2, the lack of credibility precipitated by the Enron, Arthur Andersen, and WorldCom disasters gave rise to the SOX reforms that brought new governance regulation and reinforced an IFAC-led rededication of the accounting profession to the public interest.

Sometimes, clients or employers are confused in their thinking that a professional accountant has a real or implied contract with them and must act only in the best interest of the client or employer. It is imperative to note, however, that the contract is one where the professional is understood to be answerable to the ethical codes of the profession, so it is unreasonable to expect absolute loyalty to the client or employer rather than the profession and ultimately to the public. By contrast, it is reasonable for the client/employer to expect that a professional accountant will place the client/employer's interest before that of the professional's self-interest. To do otherwise would undermine the trust required for a fiduciary arrangement to work. Legitimate confidences about business problems would not be shared for fear that the interest of the client/employer would be subverted or obviated by premature release or misused for personal gain so that the professional accountant would not be able to work effectively or on sensitive matters. As a result, the scope of an audit could be constrained to the detriment of the auditor, the profession, and the public.

To prevent the release of client/employer confidences, most codes of conduct require confidences not to be divulged except in a court of law or when required by the discipline process of the profession.

In the final analysis, a professional accountant facing a difficult choice should make that choice so as to preserve the trust inherent in the fiduciary relationships, first with the public, then with the profession, then with the client/employer, and finally with the individual professional. Placing the client/employer's interests first is valid only if those interests will be overridden by the interests of the public and the profession in circumstances where a proposed treatment would not be in the public interest or the profession's interest, either legally or ethically. Any doubt about the primacy of the public interest should be erased by remembering that the once-revered, mighty, 85,000-strong Arthur Andersen disappeared within a year of being discovered of violating the public's trust with regard to Enron.

Confidentiality: Strict or Assisted The previous analysis sometimes places the professional accountant in the unenviable position of having to keep confidential those aspects of his or her client/employer that they might not agree with but that may not impact the financial activities of the company sufficiently to be of concern to the public. If, for example, the professional is dismissed for refusing to misrepresent the receivables as current, they would have to seek other employment but could not discuss the reason for leaving the former employer. They should discuss client/employer problems only with persons bound by a code of confidentiality (i.e., someone in the accounting firm or a lawyer hired specifically for the purpose). Unless the professional society has an ethics advisor who could be called on, as many now have, this leaves the professional accountant in a disadvantaged position from many perspectives. It also gives unscrupulous clients/employers an opportunity to get away with wrongdoing.

Professional societies have begun to recognize that this strict level of confidentiality is not in the interest of several stakeholders, including the public. They have introduced a limited, confidential consultation service to ensure that the professional has cost-free help to make the right decision, to call for a response from the client/employer and perhaps resolve the problem, and to reassure prospective employers. In its 2018 Ethics Code, IFAC stresses the need for a professional accountant to resolve situations where there is a conflict between fundamental principles, which in this case could be between confidentiality and the public interest. The Code suggests, among other things,[16] that the professional accountant consider obtaining "professional advice from the relevant professional body or legal advisors, and thereby obtain guidance on ethical issues without breaching confidentiality."[17] This recommendation will be applied around the world as the codes of professional accounting bodies are harmonized with the IFAC Code.

It is also noteworthy that, generally speaking, professional accountants have not been expected to report problematic accounting treatments to securities regulators, taxation authorities, or their professional societies. However, as noted below, the NOCLAR standards require professional accountants to break confidentiality in certain circumstances. In Canada, all Chartered Professional Accountants must report apparent breaches of their rules of conduct, and auditors of financial institutions must report viability problems to the Superintendent of Financial Institutions. Also, in England and Wales, Chartered Accountants are required to report money laundering for drugs and terrorists. Professional accountants in doubt about such responsibilities should check what their current codes of conduct require concerning the NOCLAR standards discussed in the next section.

[16] See 2018 IFAC-IESBA Code, Section 114.1 A1, A2.

[17] Ibid., Section 110.2 A2.

NOCLAR Standards

For valid reasons, professional accountants have traditionally been required to keep client or employer information confidential. Unfortunately, in many instances, this restriction resulted in severe damage to the public interest because fraud, tax evasion, or other malfeasance was not reported, even though professional accountants were aware that their client or employer was not in compliance with laws and regulations. As a result, when the malfeasance was ultimately discovered, the professional accountants involved, their firm, and the profession itself suffered significant loss of reputation. Iconic business scandals and questionable business conduct that professional accountants knew or should have known about generated such overwhelming pressure that the worldwide ethics standard-setting body for professional accountants, the International Ethics Standard Board for Accountants (IESBA), approved clarifying changes[18] to the *Code of Ethics for Professional Accountants*[19] (2015 Code) that became effective in 2017. Those changes were subsequently incorporated into the redrafted *International Code of Ethics for Professional Accountants* (the *International Code*) released in April 2018[20] in renumbered sections.

These changes articulated rules that require a professional accountant to set aside traditional confidentiality rules, and to report noncompliance or suspected noncompliance with laws and regulations (i.e., NOCLAR) by a client or employer that might materially affect the public interest. Since IESBA is a standard-setting Board of the International Federation of Accountants (IFAC), the more than 180 member organizations of IFAC (i.e., AICPA, CPA Canada, ICAEW, etc.)[21] have agreed to harmonize their local ethics codes to the *Code*. Consequently, most of the world's professional accountants have been required to abide by the version of these NOCLAR Rules adopted by their professional accounting association, institute, or governing body. Professional associations in England, Germany, and Japan were early adopters, followed by the United States in 2022.[22,23] However, the NOCLAR rules have not yet (in 2025) been adopted in Canada due to the lack of nationwide protection for whistleblowers, and the multiplicity (i.e., 10 provinces and three territories) of jurisdictions involved that must harmonize their codes of conduct. Some early adopters have required all of their members in assurance and nonassurance roles to abide by NOCLAR rules, but others such as Germany and Japan have exempted those in nonassurance roles even though IESBA's recommendation was for all roles to be affected.[24]

[18] International Ethics Standards Boards for Accountants (IESBA), *Responding to Non-Compliance with Laws and Regulations: Final Pronouncement*, July 2016, downloaded December 3, 2019, from https://www.ethicsboard.org/publications-resources/responding-non-compliance-laws-and-regulations. IESBA *Code* Sections 225, 360, 100, 140, 150, 210, and 270 were affected.

[19] Ibid., *Code of Ethics for Professional Accountants*, 2015, https://www.ethicsboard.org/publications-resources/2015-handbook-code-ethics-professional-accountants.

[20] Ibid., *International Code of Ethics for Professional Accountants*, 2018, https://www.ethicsboard.org/international-code-ethics-professional-accountants.

[21] As of November 2018, IFAC membership included more than 170 professional accounting organizations in 130 countries and jurisdictions; see https://www.ifac.org/who-we-are/membership.

[22] NOCLAR rules were adopted in 2022 in the U.S. code (Integrity and Objectivity Rule: ET 1.100.001, 2.100.001, Responding to NOCLAR: 1.180.010 and 2.180.010).

[23] A useful article on the adoption of NOCLAR Rules in the United States is Chasan, E. (2022, June). Code of conduct changes address NOCLAR, unpaid fees, loans, assisting clients, and standards. Journal of Accountancy. Retrieved from https://www.journalofaccountancy.com/issues/2022/jun/code-of-conduct-changes-address-noclar-unpaid-fees-loans-assisting-clients-standards.html.

[24] For an understanding of the motivation for and practical issues involved in the NOCLAR Standards, see the PAC Conference summary and videos of the NOCLAR Standards Panel on the website of the University of Toronto's Professional Accounting Centre at https://www.utm.utoronto.ca/pac/pac-events/pac-annual-conference-professional-accounting-futures-september-14-2018.

The key to understanding why NOCLAR rules were deemed to be essential was the realization that professional accountants were perceived to have known or should have known about many serious business scandals and illegal actions, but the public suffered because these were not reported. According to the IESBA *Code*, a professional accountant's highest duty is to protect the public interest, but they were not doing so. In some cases, professional accountants were thought to be hiding behind *Code* guidelines designed to protect client or employer information and in so doing were actually protecting criminals, not the public. However, protecting criminals at the expense of the public by keeping silent, or resigning from an audit and not revealing why, was never the intent of confidentiality guidelines. The NOCLAR rules make it clear that *passive ethical observation of misconduct is no longer acceptable; active intervention is now expected*.

The scandals and illegal acts identified as triggering the NOCLAR rules include:

- Enron, WorldCom, Tyco, Parmalat, and Carillion corporate scandals
- Fraud, corruption, and bribery
- Securities markets and trading
- Money laundering, terrorist financing, and proceeds of crime
- Misleading financial products and services
- Tax evasion, pension liability, and payments abuse
- Environmental abuse
- Public health and safety disasters[25,26]
- Unethical behavior, such as improper earnings management or balance sheet valuations[27]

All of these have had major negative impacts on society, and their continuation threatens to undermine public institutions and the reputation of professional accountants. Professional accountants have a key role in stopping these abuses before they give rise to major negative consequences. Silence on the part of professional accountants is simply not an option if the profession wants to preserve or enhance its reputation.

Guidance for Professional Accountants Discovering Actual or Potential NOCLAR Activities

Compliance with the NOCLAR rules will require professional accountants to conduct themselves as follows:

- Be vigilant for and become aware of actual or suspected NOCLAR activity
- Consider if it is sufficiently consequential (i.e., material) or not to report
- Consider what legal, regulatory, or professional obligations may apply
- Report the matter to management, assess response, and escalate if necessary to board of directors and/or to an appropriate authority
- Comply with all applicable legal or regulatory requirements
- Comply with all professional standards

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[25] IESBA, NOCLAR—Overview, December 2017, pp. 3, 12, and 13; see https://www.ifac.org/system/files/publications/files/NOCLAR-Overview.pdf.

[26] Ibid., *Responding to Non-Compliance with Laws and Regulations*, Section 225.6.

[27] Ibid., Section 210.4.

A NOCLAR action is defined as follows:

> Noncompliance with laws and regulations ("noncompliance") comprises acts of omission or commission, intentional or unintentional, committed by a client, or by those charged with governance, by management or by other individuals working for or under the direction of a client which are contrary to the prevailing laws or regulations.[28]

This definition has been integrated into the 2018 *International Code* in Sections 260 and 360.

A NOCLAR activity is sufficiently consequential to require action by a professional accountant if it causes substantial harm (i.e., serious adverse consequences) to investors, creditors, employees, or the general public in financial or nonfinancial terms.[29] Examples "include the perpetration of a fraud resulting in significant financial losses to investors, and breaches of environmental laws and regulations endangering the health or safety of employees or the public."[30] However, professional accountants are not required to report personal conduct unrelated to the business activities of the client or employer, or noncompliance by third parties.[31]

If a NOCLAR activity proves to be sufficiently consequential to require further consideration, the professional accountant must, for reasons of clarification and assessing potential consequences, "obtain an understanding of the matter, including the nature of the act and the circumstances in which it has occurred or may occur."[32] While this does not expect the professional accountant to have a level of understanding of laws and regulations greater than that necessary to undertake the engagement or work assignment, clarifying confidential consultations are encouraged with colleagues, a professional body, or legal counsel.[33]

The choice of management level, individual, and/or person charged with governance to whom the professional accountant should report is a function of professional judgment based on who is able to investigate the matter and take appropriate action, free from conflicts of interest. Usually, that person would be at least one level above those involved in the matter. If management is suspected of inaction, then the reporting should be directed at those charged with governance, such as the board of directors, or a subcommittee of the board, such as the audit committee, or someone who reports to the board such as the internal auditors.

The purposes of the professional accountant's discussion with management or the board should be to

- ensure that they understand the matter under discussion or seek legal or other advice and
- recommend that they take timely and appropriate action to rectify, mitigate, and remediate any consequences of the NOCLAR activity; prevent the occurrence; or refer the matter to appropriate authorities.[34]

Of course, the professional accountant should comply with any laws and regulations related to reporting timelines or reporting to external authorities and to auditing standards related to recognizing fraud and so on, communicating to the audit committee, and inclusion in the auditor's report.[35]

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[28] Ibid.
[29] Ibid., paraphrase of Section 225.7.
[30] Ibid., Section 225.7.
[31] Ibid., Section 225.9.
[32] Ibid., Section 225.12.
[33] Ibid., Section 225.13.
[34] Ibid., Section 225.18.
[35] Ibid., Section 225.20.

The professional accountant must assess the response of the person to whom the report was made to consider whether further action is required to protect the public interest. Timeliness, investigations undertaken, remedial, or preventive actions taken including the risk of reoccurrence, and appropriate disclosure to authorities need to be considered, as well as the urgency of the matter, confidence in the integrity of management and/or those charged with governance, and evidence of actual or potential harm. In addition, a reasonable and informed *third-party test* should be applied that considers, after weighing all of the specific facts and circumstances available to the professional accountant at the time, whether the third party would be likely to conclude that the professional accountant has acted appropriately in the public interest.[36]

Further action by the professional accountant may include disclosing the matter to an appropriate authority or withdrawing from the engagement where permitted by law or regulation. However, *withdrawal in silence is not appropriate*, and efforts must be made to disclose specifics to professional accountants taking over the role vacated. If the actual or potential harm involved in the NOCLAR activity is significant, then disclosure to an appropriate authority is called for, such as in cases of bribery, loss of a regulated entity's license to operate, adverse consequences posing a risk to a fair and orderly stock market or a systemic risk to financial markets, harm to the health or safety to the public, or tax evasion.[37] In addition, external factors should be considered, such as the availability of an appropriate authority; the existence of credible protection from civil, criminal, or professional liability or retaliation, such as a whistleblowing mechanism; and threats to safety.[38]

Not surprisingly, the NOCLAR rules require professional accountants to document their findings of NOCLAR issues, including the substantive issues involved, the action taken, persons approached and their response, authorities advised, and the reasoning of the professional accountant at all stages. Where an audit is involved, appropriate similar documentation must be included in audit working papers.

NOCLAR Requirements for Professional Accountants Providing Audit or Nonaudit Services

When a professional accountant discovers a NOCLAR activity during an audit but is not the senior person on the assignment, the discovering accountant must:

- make the senior accountant aware of the findings,
- ensure that appropriate action is taken to pass the information to the partner in charge and to the relevant management person and/or board of directors committee, and
- ensure that appropriate action is ultimately taken.

In those situations where a network audit (one where several firms or offices of the same firm are involved) is in process, the senior professional accountant in the network must be advised. If a professional accountant who is performing nonaudit services for a client discovers a NOCLAR activity, the discovering accountant must consider advising the audit engagement partner, using the protocols noted above. The purpose of these advisory actions is to ensure that the senior person on the audit is advised so that the public interest is protected.

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[36] Ibid., Section 225.28.

[37] Ibid., Section 225.34.

[38] Ibid.

NOCLAR Responsibilities of Professional Accountants in Business (PAIB)

Just as Section 360 provides *International Code* guidance for professional accountants engaged in audits or consulting services, Section 260 provides similar guidance for PAIBs. However, for PAIBs, the primary responsibility for NOCLAR notifications and reporting falls upon senior professional accountants, who are defined as follows:

> Senior professional accountants in business ("senior professional accountants") are directors, officers, or senior employees able to exert significant influence over, and make decisions regarding, the acquisition, deployment and control of the employing organization's human, financial, technological, physical and intangible resources.[39]

Nevertheless, the responsibility of nonsenior PAIBs who discover NOCLAR activities or potential activities is to report those discoveries to a senior PAIB and then monitor the handling of the matter. If the senior PAIB does not follow the prescribed protocol appropriately, then the nonsenior PAIB has a residual responsibility to ensure that appropriate action is taken to protect the public interest using the NOCLAR rules in the *International Code*.

NOCLAR Exemptions

It should be noted that there are some situations where professional accountants may not be required to report NOCLAR events, such as when:

- The impact of the event is not significant.
- A litigation or investigation is defined as in AICPA Statement on Standards for Forensic Services No. 1.
- Investigating a known or potential NOCLAR event.
- The report is prohibited or protected against by relevant statutes or regulations.

NOCLAR Implementation Issues

Whether or not a NOCLAR issue is reported, considered insignificant, or merely potential, it is important that the professional accountant investigate thoroughly and with due diligence, and document the issue, event, investigation, reporting, and resolution fully, with reasons for the relevant decisions taken. This documentation will make it possible for the professional accountant to demonstrate compliance with the relevant professional code requirements.

There are areas of involvement for professional accountants where NOCLAR rules are problematic or difficult to apply. For example, tax practitioners will likely find that their most aggressive practices may generate results that are not in the public interest—which may call for reporting under the NOCAR rules. Some tax practitioners may fear that their clients may choose to hire tax advisors who are not professional accountants as a result, or the difficulty of PAIBs taking principled stands against business practices that many companies have used for decades (such as bribery, money laundering, environmental abuse, or earnings management) will be very uncomfortable for many. For reasons such as these, the adoption of NOCLAR rules into professional accounting codes of conduct has not been uniform around the world. In Germany, professional accountants in audit roles are covered, but those outside

[39] Ibid., Section 360.13.

audit are not. In the United Kingdom, adoption has been for all professional accountants. In other jurisdictions, professional accountants should check whether the current scope of application of the NOCLAR rules is comprehensive or whether there are exemptions or specific carve-outs. For example, in the United States, the AICPA issues Statements on Standards for Tax Services (SSTSs) as enforceable ethics standards that AICPA members must follow, and standard 1.2.8, SSTS No. 1 indicates that a CPA is not allowed to inform the taxing authority of an error without the taxpayer's permission.[40]

At the end of the debate concerning implementation, professional accountants will have to decide how professional they want to be. Do they want to be regarded as full-fledged professionals who serve in the public interest? Or do they want some parts of their profession to be seen to sanction private interests at the expense of the public interest? The reputational damage of such a dichotomy is probably unsustainable in the long run. Moreover, if PAIBs are not expected to serve the public interest, will members in practice be able to rely on the financial statements and representation provided during the audit?

Implications for Services Offered

Assurance & Other Services

Professional accountants have developed fiduciary services in the following traditional areas:

- Accounting and reporting principles, practices, and systems
- Auditing of accounting records, systems, and financial statements
- Financial projections: preparation, analysis, and audit
- Taxation: preparation of tax returns and advice
- Bankruptcy: trustee's duties and advice
- Financial planning: advice
- Decision making: facilitation through analysis and approach
- Management control: advice and design of systems
- Corporate and commercial affairs: general advice

All these services are bounded by the professional accountant's primary area of competence: accounting. However, as the needs of management changed, it was recognized that accounting expertise in the measurement, disclosure, and interpretation of data could be applied to provide services outside of the traditional area of accounting. For example, nonfinancial indicators of quality have become an important part of control systems and can be far more timely and helpful than traditional financial reports.

More importantly, when examining the future vision of CPAs in the United States and Canada, it was realized that there were many so-called *assurance services* that could be offered *where the professional accountant could add value by adding credibility or assurance to a report or process*.[41] In particular, the proper discharge of these services relies on the understanding possessed by professional accountants of fiduciary responsibilities, evidence-

[40] Refer to Case 2, Luis Plascencia, "Understanding the updated tax ethical standards," The Tax Adviser, Nov. 1, 2023, retrieved at https://www.thetaxadviser.com/issues/2023/nov/understanding-the-updated-tax-ethical-standards/.
[41] See, for example, AICPA Assurance Services Executive Committee, "A White Paper for Providers and Users of Business Information," 2013, 2, http://www.aicpa.org/InterestAreas/FRC/AssuranceAdvisoryServices/DownloadableDocuments/ASEC_WP_Providers_Users_BI.PDF.

gathering and evaluation skills, skepticism, objectivity, independence and integrity, and reporting skills. In 1997, the AICPA Special Committee on Assurance Services estimated that whereas traditional audit services would generate approximately $7 billion per annum, new assurance services would generate $21 billion. This study, while dated, identifies an ongoing problem that traditional audit services continue to shrink and no longer dominate the revenue of professional accounting firms. The Special Committee developed a list of over 200 possible new assurance services and then winnowed it down to assurance services concerning the following:

- Risk assessment
- Business performance measurement
- Information systems reliability
- Electronic commerce (website seal of approval)
- Healthcare performance measurement
- Elder care

Not surprisingly, both the AICPA and the IFAC have subsequently developed guidance to assist professional accountants in discharging these assurance services. For example, IFAC supports the International Auditing and Assurance Standards Board,[42] and the AICPA website offers advice.[43]

SEC & IFAC Independence Rules What the AICPA Special Committee on Assurance Services did not anticipate was the inability of its members to manage the inherent conflict of interest situations that arise when audit and other services are offered to the same client. This failure was partly responsible for the Enron, Arthur Andersen, and WorldCom disasters, and the remedial reaction in SOX, as discussed in Chapter 2, has set limits on the services that could be offered by SEC auditors to their SEC registrant clients. Conflict of interest management was discussed in Chapter 5 and continues in this section.

The limitations introduced by SOX and ordered by the SEC restrict auditors of SEC registrant corporations from auditing their own work or assuming an advocacy position for the client. This is to avoid situations where the independent judgment that must be employed by an auditor to fairly judge the positions taken by an audit client is likely to be impaired or swayed from protecting the public interest. For example, self-interest (pride or wishing to retain the audit client revenue) may prevent an auditor from pointing out an error in an information system installed by the audit firm. In addition, advocating a client position may sway an auditor's judgment with regard to disclosure in accordance with GAAP to further the interests of current shareholders or management. Although most auditors have been managing most of these conflict situations successfully for decades, the Enron, WorldCom, and other disasters illustrate the serious consequences that can come from failing to properly manage the risks involved.

To avoid these conflict of interest risks in large company audits and thereby protect the public interest, SOX required the SEC to ban the following nonaudit services from being offered by auditors to their SEC registrants because it was thought likely that they could impair or bias the audit firm's independent judgment:

- Bookkeeping or other services related to the accounting records or financial statements of the audit client
- Financial information systems design and implementation

[42] See http://www.ifac.org/auditing-assurance.
[43] See http://www.aicpa.org/INTERESTAREAS/FRC/ASSURANCEADVISORYSERVICES/Pages/AssuranceAdvisoryServices.aspx.

- Appraisal or valuation services, fairness opinions, or contribution-in-kind reports
- Actuarial services
- Internal audit outsourcing services
- Management functions or human resources
- Broker or dealer, investment advisor, or investment banking services
- Legal services and expert services unrelated to the audit

The SEC's principles of independence with respect to services provided by auditors are predicated largely on three basic principles, violations of which would impair the auditor's independence: auditors cannot function in the role of management, they cannot audit their own work, nor can they advocate for a client.[44]

The SEC also adopted other measures beyond limiting the specific services offered that will do the following:

- Require that certain partners on the audit engagement team rotate after no more than five or seven consecutive years, depending on the partner's involvement in the audit, except that certain small accounting firms may be exempt from this requirement.
- Establish rules that an accounting firm would not be independent if certain members of management of that issuer had been members of the accounting firm's audit engagement team within the one-year period preceding the commencement of audit procedures.
- Establish rules that an accountant would not be independent from an audit client if any "audit partner" received compensation based on the partner procuring engagements with that client for services other than audit, review, and attest services.
- Require the auditor to report certain matters to the issuer's audit committee, including "critical" accounting policies used by the issuer.
- Require the issuer's audit committee to preapprove all audit and nonaudit services provided to the issuer by the auditor; and
- Require disclosures to investors of information related to audit and nonaudit services provided by and fees paid to the auditor.[45]

These SOX/SEC limitations, as well as those subsequently approved,[46] apply only to services offered to SEC registrants around the world. All services could continue to be offered to non-SEC registrant audit clients and to audit clients of other firms. Moreover, the vast majority of professional accounting firms around the world do not service large SEC registrant companies or those trading securities on exchanges or in countries that will emulate the SOX/SEC position. The same criticism can be made of other governance regulations or guidelines around the world.

Fortunately, the standards of independence embedded in professional codes of ethics or conduct are in the process of being revised to apply these and other similar independence principles to all professional accountants. In this regard, the ethics codes for virtually all professional accountants are being harmonized with the IFAC Code.

Nevertheless, *because the SEC and IFAC pronouncements are not perfectly specific, professional accountants will still have to use their best judgment to interpret them about which assurance service to offer, how to conduct them, and how to manage the conflict of interest risks involved.*

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[44] U.S. Securities and Exchange Commission, *Final Rule: Strengthening the Commission's Requirements Regarding Auditor Independence*, February 6, 2003, http://www.sec.gov/rules/final/33-8183.htm.

[45] U.S. Securities and Exchange Commission, *Commission Adopts Rules Strengthening Auditor Independence*, January 22, 2003, http://www.sec.gov/news/press/2003-9.htm.

[46] See, for example, those related to provision of tax services and contingent fees per PCAOB Release 2005-014, July 26, 2005.

Critical Value Added by a Professional Accountant A professional accountant's judgment about what services to offer and how to do so should be based, in part, on an understanding of the critical value added by a professional accountant. *Credibility* is the critical value added by professional accountants in the newer assurance services as well as the traditional ones. This has become much more apparent during the recent visioning exercises.

Competence is, of course, a fundamental factor, and high levels of competence can and do provide a competitive advantage. However, it is apparent that high competence can be acquired by nonprofessionals and is therefore not, by itself, the critical value added by a professional accountant. *Credibility to the immediate client/employer and to the public at large depends on the reputation of the entire profession, and reputation stems from the professional values adhered to and the expectations those create in the people being served*. In particular, the critical value added by a professional accountant lies in the expectation that whatever services are offered will be based on integrity and objectivity, and these values, in addition to an ensured minimum standard of competence, lend credibility or assurance to the report or activity. These individual ethical values, reinforced by the standards of the profession, provide a competitive advantage to professional accountants and ensure that their services are in demand. In the words of Stanton Cook, president of Chicago's Tribune Company, accountants, entrepreneurs, manufacturers, salespeople, and even lawyers all say, "The product we are ultimately selling is credibility."[47]

Standards Expected for Behavior The public and particularly a client expect that a professional accountant will perform fiduciary services with competence, integrity, and objectivity. Although not obvious, *integrity* is important because it ensures that whatever the service, it will be performed fairly and thoroughly. No detail will be omitted, understated, or misstated that would cloud the truth, nor would an analysis be put forward that misleads users. *Honesty*, or accuracy or truthfulness, is implied in all aspects of data gathering, measurement, reporting, and interpretation. Similarly, *objectivity* implies freedom from bias in the selection of measurement bases and disclosure so as not to mislead those served. Objectivity cannot be maintained unless the professional accountant is *independently-minded*, or free from undue influence from one stakeholder or another. Independence is an issue developed at greater length in the conflict of interest discussion that follows.

Integrity, honesty, and objectivity are essential to the proper discharge of fiduciary duties. They are, with competence applied with due care, so important to the critical value added from belonging to a profession that they must be protected by the profession in order to ensure its future. Consequently, professional accounting organizations take pains to investigate and discipline members whose conduct is questionable with regard to these ethical values.

Judgment & Values

Importance to Value Added The proper discharge of the ethical values of competence, integrity, honesty, and objectivity relies substantially, if not primarily, on the personal ethical values of the professional accountant involved. If the profession itself has high standards, the individual professional can choose to ignore them. Often, however, a professional is simply not sufficiently aware of potential ethical dilemmas or the appropriate values to properly discharge his or her duties. Additionally, a professional may err in her or his judgment about the potential outcome of an ethical dilemma or about the seriousness

[47] Priest, S. 1991. "Perspective: The Credibility Crisis." In *Ethics in the Marketplace*, 2. Chicago: Center for Ethics and Corporate Policy.

of the outcome for those who must bear the impact. *The credibility of the profession, therefore, rests on the values it espouses, the personal and professional ethical values of each individual member, and the quality of judgment exercised.*

Development of Judgment & Values How do professional accountants develop the judgment they must apply to ethical dilemmas? In the past, trial and error has been the established mode—experienced largely when growing up, on the job, or by learning from others who have problems or passing on their own experience. However, the limitations of trial and error are obvious, as significant costs may be borne by the learner, the client, society, and the profession. In addition, an orderly framework for thinking about future problems may never be developed, nor may the level attained by a professional be adequate to safeguard the profession's stakeholders, including the professionals themselves.

Trial and error can never be entirely supplanted by organized training or educational experiences, but many of the deficiencies previously noted can be remedied by a well-ordered, stimulating learning program that deals with the major issues to be faced and that suggests practical, ethical approaches to their resolution. In this regard, it is helpful to consider how far a student's ethical reasoning capacity has progressed and how to advance that capacity. A model developed by Lawrence Kohlberg is helpful in this regard.[48]

Kohlberg argues that individuals pass through the six progressive stages of moral development, which are described in articles on accountants.[49] These six stages and the motivation that leads individuals to make decisions at each can be helpful, as is pointed out by W. Shenkir,[50] in designing an educational program to expose students to the six levels. Such exposure can enable students to develop their awareness, knowledge, and skills for dealing with ethical problems and may, through understanding the motivations involved, shift their moral reasoning to higher stages. The motivations that influence people at each of Kohlberg's stages of moral reasoning are identified in Table 6.3.

Table 6.3 Motives Influencing People at Kohlberg's Six Stages of Moral Reasoning

Stage Description	Motive for Doing Right
Preconventional	***Self-interest***
1. Obedience	Fear of punishment and authorities
2. Egotism—instrumental and social exchange	Self-gratification, concern only for oneself "Let's make a deal"
Conventional	***Conformity***
3. Interpersonal concordance	Role expectation or approval from others
4. Law and duty (social order)	Adherence to moral codes, or to codes of law and order
Post-conventional, Autonomous, or Principled	***Interests of Others***
5. General individual rights and standards agreed upon by society	Concern for others and broader social welfare
6. Self-chosen principles	Concern for moral or ethical principle

[48] Kohlberg, L. 1981. *Essays on Moral Development. Volume I: The Philosophy of Moral Development*. San Francisco: Harper & Row.
Kohlberg, L. 1984. *Essays on Moral Development. Volume II: The Psychology of Moral Development*. New York: Harper & Row.
[49] See articles written by Ponemon (1992); Ponemon and Gabhart (1993); Etherington and Schulting (1995); Cohen, Pant, and Sharp (1995); and Thorne and Magnan (1998) listed in the References of this chapter.
[50] Shenkir, W. G. 1990. "A Perspective from Education: Business Ethics." *Management Accounting*, June 1990, 30–3.

Researchers have found that students in business facing ethical decisions are largely in cognitive stages 2 or 3, so there is quite a bit of growth that is possible and desirable.[51] Other researchers have found that business students believe that their success is more dependent on questionable ethical practices than do nonbusiness students, so orderly ethics education would appear desirable lest these attitudes pervade the students who enter the ranks of professional accounting.[52] Leaving the cognitive development of students for the accounting profession and graduate accountants to trial and error rather than significant thought and formal training could, in itself, be unethical. Exposure to ethics education material and linked traditional coursework, particularly featuring realistic cases, should provide students and graduate practitioners with a better understanding of the ethical issues, dilemmas, approaches to their resolution, and the values necessary to make good ethical judgments than would the vicissitudes of trial and error. For further thinking on ethical cognitive development, useful references may be made to the IFAC Education Committee's International Educational Standards (IES) Nos. 3 and 4[53] and to the *Ethics Education Committee Report* of 2004 by the Association to Advance Collegiate Schools of Business (AACSB).[54]

Sources of Ethical Guidance

There are several sources of guidance available to professional accountants. The codes of conduct or ethics of their professional body and of their firm or employer rank as important reference points. However, many other inputs should also be taken into account when appropriate because professional accountants must respond to a body of expectations and standards created by various professional accounting organizations in their own country and internationally together with standard setters, regulators, the courts, politicians, financial markets, and the public.

Expectations for the behavior of professional accountants are and will be embodied in the following:

- Standard setters (IFAC, PCAOB, the Financial Accounting Standards Board [FASB], IASB, CPA Canada, the Institute of Chartered Accountants of England and Wales, etc.)
  - GAAP
  - GAAS
- Commonly understood standards of practice
- Research studies and articles
- Regulator's guidelines (SEC, PCAOB, the Ontario Securities Commission [OSC], the New York Stock Exchange, the Toronto Stock Exchange, etc.)
- Court decisions
- Codes of conduct from the following:
  - Employer (i.e., corporation or accounting firm)
  - Local professional accounting bodies
  - IFAC

51 Weber, J. and S. Green. 1991. "Principled Moral Reasoning: Is It a Viable Approach to Promote Ethical Integrity?" *Journal of Business Ethics* 10, no. 5 (May): 325–33.
52 Lane, M. S. and D. Schaup. 1989. "Ethics in Education: A Comparative Study." *Journal of Business Ethics* 8, no. 12 (December): 58–69.
53 Downloadable at **http://www.cengage.com**
54 Downloadable at **http://www.cengage.com**

No one organization has a monopoly on the creation of the environment of expectations or standards that a professional accountant in the United States, Canada, or elsewhere should meet. For example, as noted in Tables 6.4 and 6.5, there are several national and international professional accounting organizations operating in North America, plus their subsets in each U.S. state or Canadian province (e.g., The CPAO or a state society

Table 6.4 National & International Accounting Organizations Operating in North America

Name	Designation	Prime Mandate(s)	Location
American Institute of Certified Public Accountants (AICPA)	CPA	Auditing, management accounting	United States
Institute of Management Accountants (IMA)	CMA	Management accounting	United States
Chartered Professional Accountants of Canada (CPAC)	CPA	Auditing, management accounting	Canada
Association of Chartered Certified Accountants (ACCA)	ACCA	Accounting education	International

Table 6.5 Contributions to the North American Regulatory Framework for Professional Accountants

Organization	Contribution Governing Organization's Members/Users
American Institute of Certified Public Accountants (AICPA)	CPA designation, statements of Auditing Standards (SAS), research studies, journal articles, code of conduct
Association of Accountants and Financial Professionals in Business (IMA)	CMA designation, statements of accounting practice, research studies, journal articles, code of conduct
Financial Accounting Standards Board (FASB)	Financial Accounting Standards (FAS)
Chartered Professional Accountants of Canada (CPAC)	CPA designation, accounting and auditing standards in Canada, research studies, journal articles, code of conduct
U.S. Securities and Exchange Commission (SEC)	Regulations related to U.S. public securities markets including corporate disclosure and governance, GAAP, GAAS, and behavior of auditors and other professionals practicing before the SEC. Regulation with respect to disclosure for companies raising funds in the USA. Standards of independence for CPAs auditing SEC companies.
Ontario Securities Commission (OSC)	Regulations related to financial disclosure in Canada's principal securities market (Ontario), whose regulations are accepted by the SEC.
U.S. and Canadian courts	Common law decisions affecting legal liability
International Federation of Accountants (IFAC):	Promotes global harmonization of standards
International Ethics Standards Board for Accountants (IESBA)	International Code of Ethics for Professional Accountants
International Auditing and Assurance Board (IAASB)	Auditing Standards (ISA)
International Accounting Standards Board (IASB)	Accounting and auditing standards (IAS)
International Financial Reporting Standards Foundation (IFRS)	IFRs, IFRIC, SIC
Public Accounting Oversight Boards:	Oversight in the United States (PCAOB) and Canada (CPAB)
PCAOB	Issues Auditing Standards (U.S.), inspections, sanctions
CPAB	Inspection reports, sanctions

of Certified Public Accountants) plus several regulatory units that are contributing to the North American regulatory framework. This multiplicity contributes to a strong desire for some global convergence, making it likely the IASB and IFAC pronouncements will become increasingly more important sources of guidance, with the IFAC code emerging as the dominant ethics framework.

It is important to note that although a national body can develop a code of conduct, in North America the local state or provincial subset organization controls its own members by enacting its own code of conduct (using the national code as a guide but not always adopting all its provisions) and policing and disciplining its members. Consequently, the standard of ethical expectation varies somewhat from jurisdiction to jurisdiction and from organization to organization. Fortunately, basic principles of ethical conduct apply to all organizations, and the convergence toward global ethics principles, accounting, and auditing standards holds considerable promise for promoting a common standard of performance.

Professional Codes of Conduct

Purpose & Framework Professional codes of conduct are designed to provide guidance about the conduct expected of members in order that the services offered will be of acceptable quality and the reputation of the profession will not be sullied. If that reputation is sullied, some aspect of a fiduciary relationship has been breached, and a service has not been performed in a professional manner. Alternatively, it may mean that a member has offended the rules of society in some way so as to bring the profession's name into disrepute and thereby damage the public trust required for its members to serve other clients effectively.

To be effective, codes of conduct need to blend fundamental principles with a limited number of specific rules. If a code were drafted to cover all possible problems, it would be extremely voluminous—probably so voluminous that few members would spend the time required to become familiar with it and to stay abreast of the constant flow of additions. With practicality in mind, most professional codes have evolved to the framework outlined in Table 6.6.

Fundamental Principles & Standards The fundamental principles and standards described in Table 6.7 are found in most codes. IFAC, in its 2001 version of its Code of Ethics for Professional Accountants, articulated why professional accountants should *serve the public interest* when it stated,

> A distinguishing mark of a profession is acceptance of its responsibility to the public. The accountancy profession's public consists of clients, credit grantors, governments, employers, employees, investors, the business and financial community, and others who rely on the objectivity and integrity of professional accountants to maintain the orderly functioning of commerce. This reliance imposes a public interest responsibility on the accountancy profession. The public interest is defined as the collective well-being of the community of people and institutions the professional accountant serves. A professional accountant's responsibility is not exclusively to satisfy the needs of an individual client or employer. The standards of the accountancy profession are heavily determined by the public interest.[55]

[55] IFAC 2001 Code of Ethics for Professional Accountants, Sections 9 and 10.

Table 6.6	Typical Framework for a Code of Conduct for Professional Accountants
	Introduction and purpose
	Fundamental principles, standards, and risk assessment approach
	General rules applicable in public practice, and when employed in business
	Specific rules applicable in public practice, and when employed in business
	Discipline
	Interpretations of rules

Table 6.7 Fundamental Principles in Codes of Conduct for Professional Accountants

Members should:

- act in the public interest,
- at all times maintain the good reputation of the profession and its ability to serve the public interest,
- perform with:
  - integrity
  - objectivity & independence
  - professional competence, due care, and professional skepticism
  - confidentiality,
- not be associated with any misleading information or misrepresentation, and
- continually assess the risk of failing to observe these principles.

This rationale underpins the assertion in the 2018 IFAC and other codes that *"A distinguishing mark of the accountancy profession is its acceptance of the responsibility to act in the public interest."*[56] IFAC left unsaid but implied that other professional groups would be granted standing to serve the public if any group of professional accountants were proven to be unreliable in discharging this mandate.

The maintenance of the *good reputation* of the profession is fundamental to the ability of the profession to continue to enjoy its current rights and privileges, including autonomy in the discipline of its members, the setting of accounting and/or auditing standards, and the recognition by the public and government that new competing professional organizations need not be created to serve the *public interest* more effectively. The phrase *at all times* is significant because the public will view any serious transgression of a professional accountant, including those outside business or professional activity, as a black mark against the profession as a whole. Normally, if convicted of a criminal offense, such as fraud, the accountant's professional certification is revoked.

Maintenance of standards of care is also imperative for the proper service to clients and the public interest. *Integrity*, *objectivity*, and *honesty* in the preparation of reports, choice of accounting options, and interpretation of accounting data will ensure that neither the client nor the public will be misled. Sometimes, reports or opinions can lack integrity if the professional involved has failed to maintain *independence* from one of the persons likely to benefit or be harmed by the report, and this causes the professional to bias the report, decisions, or interpretations toward the favored party.

[56] Section 100.1 A1. For an example of a professional discipline case, see the ethics case "Wanda Liczyk's Conflict of Interest" at the end of this chapter.

Charges of bias are very hard to refute, so professionals are often admonished to avoid any situation or relationship that might lead to the *perception of bias*. This is why, even though in the past many professionals have served successfully as the bookkeeper, auditor, shareholder, and director of an organization, modern codes of conduct recommend against situations involving such apparent conflicts of interest. The prospect of an auditor misstating a report for personal gain or that of fellow shareholders was judged to be too tempting a prospect to allow. Similar reasoning has led to the introduction of the separation of duties within an organization and, wherever possible, between the bookkeeping and audit functions. In simplistic terms, from the profession's viewpoint, why leave freshly baked cookies on the counter to cool if the temptation presented may lead someone to sneak one? It is interesting to speculate as to whom is more at fault: the person leaving the cookies in a vulnerable position or the person succumbing to temptation.

Without *competence* concerning current standards of disclosure, accounting treatment, and business practice, an accountant cannot offer services at the level a client or an employer has a right to expect. However, beyond understanding and developing facility with current standards, a professional accountant must act with due care.

The exercise of *due care* involves an understanding of the appropriate levels and limits of care expected of a professional accountant in different circumstances. For example, a professional accountant is not expected to be all-knowing and all-seeing with regard to incidents of fraud that occur at a client or an employer. However, if the professional becomes aware of these (and there are now limited expectations for auditors to search out fraud), there are expectations for follow-up and reporting that need to be observed, including the NOCLAR rules. Similarly, audit procedures need not specifically cover 100% of an organization's transactions; judgment sampling and statistical sampling may be applied to reduce specific coverage to a level deemed appropriate according to professional judgment. That level will be set with reference to what other professionals regard as providing sufficient evidence for the forming of an opinion based on due care. In a court of law, expert witnesses will be called to testify as to what levels of judgment represent the exercise of due care.

An important aspect of the exercise of due care is the *professional skepticism* demonstrated. A professional accountant is not expected to accept as true or accurate everything they are told or shown. The exercise of proper professional skepticism would involve the continuous comparison of representations and/or information received to what would be considered reasonable and/or in line with other representations or information at hand or readily available. When disparities are found between information received and other information available, those disparities must be investigated and satisfactorily explained. In addition, there should be a continuous questioning of whether the fact, decision, or action being considered is in the best interest of the client and is ethical, particularly with regard to the public interest. As evidenced by the actions of many accountants in recent financial scandals, without the continuous exercise of professional skepticism as described, an accountant will not be able to serve a client, society, profession, or himself or herself at the level of a trusted professional.

Developing an inquiring mind that rises to the level of a professionally skeptical mindset is very difficult. Some individuals encounter experiences in life or in professional practice that make them continually search for and be wary of anomalies that require further study. However, many do not, and since professional skepticism is vital to the work of a professional accountant, it is critical that budding professional accountants are exposed during their studies and early career to a systematic program for the development of their professional skepticism.

A framework for the development of professional skepticism has been developed as part of *Enhancing Professional Skepticism: A Case Collection*[57] by the Professional Accounting Centre at the University of Toronto, which suggests that: "there are three phases to be considered in the proper development and exercise of professional skepticism:

1. Recognizing that there is an anomaly that needs investigating,
2. Investigating the anomaly professionally, and
3. Using the information developed effectively to protect the public interest."[58]

It goes on to discuss step 1 as follows: "Recognizing when an anomaly needs investigating requires:

- A professionally skeptical mindset: This means being curious, open to all possibilities, not too trusting, and prepared to challenge information presented,
- An understanding of the underlying facts and context of the reality (i.e., understanding the business and its environment) being described in the financial statements or documents sufficient to recognize anomalies,
- An understanding of potential risks, errors, and malfeasances possible, and
- An insight into the likely motivations of those involved to predict and anticipate their behavior."[59]

Comments are provided on each of these aspects that are helpful in understanding an inquiring mind, common risk factors and red flags, and the recognition of anomalies. In addition, the Case Collection contains 24 cases[60] that are intended to provide real and realistic situations to sharpen the professionally skeptical mindset of accounting students and graduates. Five of those cases are reproduced in the cases at the end of this chapter. Comments are also provided in the Case Collection on steps 2 and 3.

Confidentiality is fundamental to fiduciary relationships from several perspectives. First, these relationships are very important to the well-being of the client or employer. They usually involve personal information or information that is critical to the activities of the organization and that would result in some loss of privacy or of competitive advantage if it were disclosed to specific individuals or to the public. Advice, for example, about a business transaction, could be used in bargaining if known by the other party to the transaction. Second, it is not beyond the realm of possibility that such information could be used for the professional's own purposes for profit or to gain some other advantage. Finally, if it were suspected that a professional accountant was not going to maintain a client's or an employer's information in confidence, it is unlikely that full information would be shared. This would put an audit and other services on a faulty foundation, which could lead to substandard and potentially misleading opinions and reports.

Keeping information confidential should not, however, lead to or facilitate illegal behavior. For example, codes of conduct usually specify that a professional accountant *should not be associated with any misrepresentations*. If persuasion cannot induce a revision, then the professional is usually required by professional codes to disassociate from

[57] Professional Skepticism Case Collection for Professional Accountants, University of Toronto Professional Accounting Centre, 2025, PAC website https://www.utm.utoronto.ca/pac/case-collections/enhancing-professional-skepticism-case-collection.
[58] Ibid.
[59] Ibid.
[60] See PAC Professional Skepticism Case Collection, Table of Cases and Case Issues: Audit (A), Management (M), Governance (G) at https://www.utm.utoronto.ca/pac/enhancing-professional-skepticism-case-collection#_Toc145327573.

the misrepresentation by resignation. Professional accountants are also usually prohibited from disclosing the misrepresentation except when called for by NOCLAR rules, or subject to a disciplinary hearing, or in a court of law, or to a legal advisor or an advisor from a professional accounting body.

To ensure that constant vigilance is maintained against failing to observe these fundamental principles, professional accountants are expected to perform a continual *risk assessment process*. They must assess risks by considering the threats and safeguards, identifying what must be done to avoid or mediate these risks. Further discussion of possible threats and safeguards appears below.

For reference, the fundamental principles section of the IFAC 2018 International Code of Ethics for Professional Accountants and the Conceptual Risk Management Framework are reproduced in Table 6.8.

Discipline Customarily, codes of conduct provide information about the operation of the discipline process of the professional association. Members should know how and to whom to report a concern over conduct, what the process is for investigation of the concern, what the hearing process entails, how decisions will be made, what fines and other penalties are possible, how results will be reported, and how appeals will be considered. Unless these facts are known, together with some examples of sanctions levied, a professional is likely to misjudge how important the ethical conduct of its members is to the profession and to society.

Sanctions for unethical behavior can include any of the items listed in Table 6.9. It should be noted, however, that the sanctions identified are not all levied by every professional accounting body or regulatory agency.

Usually, the discipline process begins with a complaint being lodged at the professional organization about the ethical conduct of a member or firm. Alternately, conviction on a

Table 6.8 IFAC International Code of Ethics for Professional Accountants: Fundamental Principles & Conceptual Risk Management Framework

Fundamental Principles for Professional Accountants (Code Section 110.1 A1)

(a) *Integrity*—to be straightforward and honest in all professional and business relationships.

(b) *Objectivity*—not to compromise professional or business judgments because of bias, conflict of interest or undue influence of others.

(c) *Professional Competence and Due Care*—to

  (i) Attain and maintain professional knowledge and skill at the level required to ensure that a client or employing organization received competent professional service based on current technical and professional standards and relevant legislation; and

  (ii) Act diligently and in accordance with applicable technical and professional standards.

(d) *Confidentiality*—to respect the confidentiality of information acquired as a result of professional and business relationships

(e) *Professional Behavior*—to comply with relevant laws and regulations and avoid any conduct that the professional accountant knows or should know might discredit the profession.

Conceptual Framework for Managing Threats to Compliance with Fundamental Principles

An approach for a professional accountant to: (a) identify threats to compliance with the fundamental principles; (b) evaluate the treats identified; and (c) address the threats by eliminating or reducing them to an acceptable level. (S 120.2) This requires having an inquiring mind, the use of professional judgment, the use of a reasonable and informed third party test, the identification and evaluation of threats and safeguards mitigating them, including considerations of independence and professional skepticism. (See Section 120)

Table 6.9 **Possible Sanctions for Unethical Behavior under Professional Accounting Codes of Conduct & Regulatory Authorities**

	Leviable on the	
	Professional	Accounting Firm
Caution	Yes	Yes
Reprimand	Yes	Yes
Review by peer	Yes	Yes
Requirement to complete courses	Yes	No
Suspension:		
• for a specified period	Yes	No/Yes*
• for an indefinite period	Yes	No
• until specific requirements are completed	Yes	No
• from appearing before regulatory agencies (SEC, OSC)	Yes	Yes
• from auditing SEC or OSC registrant companies	Yes	Yes
Expulsion from membership	Yes	No
Compensation for damage	Yes	Yes
Fine	Yes	Yes
Costs of hearing	Yes	Yes
Ancillary orders:		
• for community work	Yes	No
• financial support, etc.	Yes	Yes

* The SEC has suspended a firm's ability to audit SEC registrants and/or take on new clients.
Source: Distillation of discipline cases from North American jurisdictions.

legal charge of consequence (fraud, etc.) may also trigger the discipline process. Staff investigate the complaint or legal charge, and a decision is made to lay a charge or not. Laying a charge necessitates a hearing to determine guilt or innocence, and the hearing process can be quite cumbersome. It can be held in camera or in public. It can involve lawyers for the plaintiff (the staff of the professional body) and the defendant and a tribunal or panel to hear the case, which often includes an outside layperson to ensure that proper procedures are followed and the public interest is served.

The cost of the hearing can be substantial in terms of out-of-pocket costs and also lost work time, which otherwise could be billed to clients. In the end, the largest cost involved is the lost reputation of the guilty accountant—in the audit world, credibility is what professionals strive to protect the most since it is evidence of the value of their audit opinion. Without it, their audit services would be without demand.

When a professional accountant or firm is found guilty, the details of the case are made public, usually in the newsletter of the professional organization. It is essential that full details be published to warn other members of ethical problems and the sanctions they might encounter and to preserve the profession's upstanding image as a profession worthy of policing itself (i.e., worthy of the trust of the public).

A guilty professional should anticipate more than one sanction. For example, they might receive a reprimand, a fine, and a bill for the costs of the lawyers and the hearing. Alternatively, the penalty might be a suspension from membership until a set of required courses is completed plus compensation for damages and costs. If the professional appears to need supervision for a while, the penalty might include the review of all work by a peer.

Fines can range in size from less than $1,000 to more than the damage done to the injured party. The amounts are growing over time, and in the United States, fines in the millions have been levied, particularly against Arthur Andersen and some of its partners, as was outlined in Chapter 2. If the penalty involves the prohibition from practice or appearance before the securities commissions, the lost revenue can be very large indeed. The inability to appear before the SEC or PCAOB appears to be a powerful sanction to use against accounting firms, perhaps because of the potential for loss or suspension of the ability to audit SEC registrant companies and/or the attendant notoriety and loss of reputation. It should be noted, however, that although Arthur Andersen was destroyed by the actions of the SEC, it is not as likely that this will happen again due to the public's perception that it would be fair if only the guilty few individuals were punished, not the whole firm.[61]

Interpretations of Rules When the profession finds that a concern arises in the profession as a result of a debate over the proper application of a rule, a clarification is issued in the form of an interpretation. These interpretations are often an addendum or appendix to the code, which can be added to as circumstances require.

Scandals & Expectations Motivate Changes in Professional Codes The motivation for changes in professional codes has been surprisingly similar and cyclical over the years. In 1987, Cook[62] summarized early professional pressures and developments. Usually, roughly every decade, pressure has come on the accounting profession due to a financial or accounting scandal that has eroded the credibility of the profession.[63] An *Expectations Gap* is the difference "between what the public expects or needs and the auditors can reasonably expect to accomplish."[64] In response to this credibility crisis, several investigations and commissions were created, including the Metcalf investigation,[65] the Treadway Investigation,[66] and the MacDonald Commission, to investigate *how the members of the AICPA and CPA Canada (formerly CICA) were serving the public interest*. In response to the Treadway Commission's *Report of the National Commission on Fraudulent Public Reporting*, a committee of the AICPA was struck under the chairmanship of W. Anderson, which redesigned the *AICPA Professional Standards: Ethics and Bylaws*. Paramount in the revisions proposed to the U.S. and Canadian codes by both the Anderson Committee and the Macdonald Commission was the desire for restoration of the public's faith that the profession was serving the public interest.

Although there were some specific problems that triggered these early studies, concern over the credibility of financial reporting was essentially responsible—for strikingly similar reasons—to those that became apparent in 2002 in the Enron and WorldCom financial scandals. There is little doubt that professional accountants forgot important ethics lessons and need to be reminded of their importance.

[61] Presentation of Mary Beth Armstrong, February 2, 2003, at the American Accounting Association Accounting Programs Leadership Group Conference, New Orleans.
[62] Cook, J. M. 1987. "The AICPA at 100: Public Trust and Professional Pride." *Journal of Accountancy*, May, 307–79.
[63] "Why Everybody's Jumping on the Accountants These Days," *Forbes*, March 15, 1977, http://www.forbes.com/forbes/1977/0315/037_print.html.
[64] Macdonald Commission. 1988. *The Report of the Commission to Study the Public's Expectations of Audits*. Toronto: Canadian Institute of Chartered Accountants. p. iii.
[65] See the AACSB *Ethics Education Committee Report*, 2004, http://www.cengage.com.
[66] Treadway Commission. 1987. *Report of the National Commission on Fraudulent Public Reporting*. Washington, DC: American Institute of Certified Public Accountants.

Generally, the pressure has been greatest when the North American economy has been weak, and this weakness caused companies and individuals to engage in fraud, misstatement of financial results, or the use of loopholes to take unfair advantage. In reaction, professional codes have been revised to provide more and stronger guidance to avoid such problems in the future.

Two factors were different from the motivations at the start of the new millennium. First, the Enron, Arthur Andersen, and WorldCom debacles occurred in good economic times—even though they gave rise to an erosion of credibility that drove confidence down and, in turn, the economy. This change suggests that ethics challenges can and will play a more serious and significant role than earlier imagined. Second, the desire for global convergence or harmonization of standards to facilitate global business and capital flows is providing a driver of change beyond the previously normal, domestically dominated political and corporate lobbying influences. As such, convergence of ethics codes may yield stronger standards and more rapid, continuous changes than heretofore possible. Time will tell, however, if the needed companion regulatory compliance and enforcement framework, best exemplified by the SEC and the OSC, will be replicated in Europe and around the world to realize the possible improvement fully. In fact, global convergence has given rise to IFAC, whose members are professional accounting organizations, securities regulators, and similar groups from 130 different countries. In turn, IFAC has created other boards that have created global standards and an internationally endorsed *IFAC-IESBA International Code of Ethics* to serve as a universal core of ethical behavior.

AICPA, CPAO & IFAC Codes of Professional Conduct In response, the current codes of professional accountants in the major industrial nations of the world—which resulted from the concerns, investigations, commissions, and committees of the late 1980s—converged on the principles and practices embedded in the *IFAC-IESBA International Code of Ethics (*hereafter the IFAC Code, or *Code*). However, since there is no obligation to replicate the IFAC Code exactly, particularly if there are cultural or regulatory differences, it is worthwhile to study relevant country codes carefully and in comparison to the IFAC Code. For reference purposes, the IFAC Code Table of Contents is provided in Table 6.10.

The two most important codes of conduct in North America, based on the number of CPA members covered, are the *AICPA Code of Professional Conduct* and the *Code of Professional Conduct of the CPA Ontario (CPAO)*. For reference purposes, summaries of the current AICPA and CPAO codes are included below. Discussions of the key provisions are also included below and elsewhere in this book. For example, discussion of the need to keep client information confidential is included in this chapter and in Chapter 5.

Both the AICPA and the CPAO codes were revised significantly to harmonize with features in the IFAC Code (refer to Table 6.10). They include the following:

- Specification that the primary duty of the CPA is to serve the public interest.
- Adoption of a similar set of fundamental principles and a similar organization for sections dealing with general, professional accountants in public practice, and professional accountants in business.
- Mandatory use of a *Framework* for assessing, acting on, and documenting the risk and impacts of threats (and safeguards) that CPAs face in discharging the fundamental principles underpinning their role of serving the public interest and maintaining the good reputation of the profession. The AICPA Code discusses the application of the

Conceptual Framework to assess problem issues or practices in general, ethical conflicts, independence, and conflict of interest concerns. The CPAO Code is similar, particularly in matters related to independence and conflicts of interest.

- Requirement for extensive analysis of independence and conflicts of interest issues. The risk assessment framework proposed by IFAC, AICPA, and the CPAO is discussed in the sections on conflicts of interest below.
- Consideration of conflict resolution processes when appropriate.
- Extensive, helpful guidance on difficult areas to interpret, including, in some cases, useful flowcharts as in the CPAO Code on pages 47 and 140.

Table 6.10 IFAC-IESBA International Code of Ethics for Professional Accountants—Simplified Table of Contents

Part 1—Complying with the code, fundamental principles and conceptual framework
- 100 Complying with the code
- 110 Fundamental principles
  - 111 Integrity
  - 112 Objectivity
  - 113 Professional competence & due care
  - 114 Confidentiality
  - 115 Professional behavior
- 120 The conceptual framework

Part 2—Professional accountants in business
- 200 Applying the conceptual framework
- 210 Conflicts of interest
- 220 Preparation & presentation of information
- 230 Acting with sufficient expertise
- 240 Financial interests, compensation & incentives linked to financial reporting & decision making
- 250 Inducements, gifts & hospitality
- 260 Responding to non-compliance with laws, regulations (NOCLAR)
- 270 Pressure to breach fundamental principles
- 280 Tax planning activities (Effective after June 30, 2025)

Part 3—Professional accountants in public practice
- 300 Applying the conceptual framework
- 310 Conflicts of interest
- 320 Professional appointments
- 321 Second opinions
- 330 Fees & other types of remuneration
- 340 Inducements, gifts & hospitality
- 350 Custody of client assets
- 360 Responding to non-compliance with laws, regulations (NOCLAR)
- 380 Tax Planning Services (Effective after June 30, 2025)

International Independence Standards

Part 4a—Independence for audit & review engagements
- 400 Applying the conceptual framework
- 405 Group audits
- 410 Fees
- 411 Compensation & evaluation policies
- 420 Gifts & hospitality
- 430 Actual or threatened litigation
- 510 Financial interests
- 511 Loans & guarantees
- 520 Business relationships
- 521 Family & personal relationships
- 522 Recent service with an audit client
- 523 Serving as a director or officer
- 524 Employment with an audit client
- 525 Temporary personal assignments
- 540 Long association with an audit client
- 600–610 Provision of non-assurance services to an audit client
- 800 Reports on special purpose statements

Part 4b—Independence for assurance engagements other than audit & review engagements
- 900–990 same titles as for 400-800, but no equivalent for section 525

Glossary, abbreviations, general effective date Dec. 15, 2024

Source: IESBA (International Ethics Standards Board for Accountants), *International Code of Ethics for Professional Accountants including International Independence Standards*, 2024, https://www.ethicsboard.org/international-code-ethics-professional-accountants.

AICPA Code

Summary of the American Institute of Certified Public Accountants (AICPA)	
Code of Professional Conduct,* effective Dec. 15, 2015, updated though March, 2025	
Preface	**Overview, Structure & Application, Principles, Definitions**
0.300	Principles of Professional Conduct *Members should*:
	Responsibilities principle—exercise sensitive professional and moral judgments in all their activities.
	Public interest principle—act in a way that will serve the public interest, honor the public trust, and demonstrate a commitment to professionalism.
	Integrity principle—perform all professional responsibilities with the highest sense of integrity to maintain and broaden public confidence.
	Objectivity and independence principle—should maintain objectivity and be free of conflicts of interest in discharging professional responsibilities. A *member* in public practice should be independent in fact and appearance when providing auditing and other attestation services.
	Due care principle—observe the profession's technical and ethical standards, strive continually to improve competence and the quality of services, and discharge professional responsibility to the best of the *member's* ability.
	Scope and nature of services principle—observe the Principles of the Code of Professional Conduct in determining the scope and nature of services to be provided.
Part 1	**Members in Public Practice** *should:*
1.000.010	***Conceptual Framework***—evaluate whether a relationship or circumstance would lead a reasonable and informed third party who is aware of the relevant information to conclude that there is a *threat* to the *member's* compliance with the rules that is not at an *acceptable level*, after taking into account *safeguards* present. Definitions of acceptable level, safeguards and threat are provided.
	Conceptual Framework Approach—identify threats, evaluate their significance, identify and apply safeguards: Are threats reduced to an acceptable level? If not, determine whether to decline or discontinue the professional service.
	Types of Threats discussed—*Adverse interest, Advocacy, Familiarity, Management participation, Self-interest, Self-review, undue influence*.
	Types of Safeguards discussed—created by the profession, legislation, or regulation; implemented by the client; implemented by the firm.
1.000.020	***Ethical Conflicts***—arise when a *member* encounters one or both of the following: *a.* Obstacles to following an appropriate course of action due to internal or external pressures, *b.* Conflicts in applying relevant professional standards or legal standards. Assessment and course of action discussed.
1.100	***Integrity and Objectivity Rule***—In the performance of any *professional service*, a *member* shall maintain objectivity and integrity, shall be free of conflicts of interest, and shall not knowingly misrepresent facts or subordinate his or her judgment to others.
1.110	***Conflicts of Interest***—A *member* or his or her *firm* may be faced with a conflict of interest when performing a *professional service*. In determining whether a *professional service*, relationship or matter would result in a conflict of interest, a *member* should use professional judgment, taking into account whether a reasonable and informed third party who is aware of the relevant information would conclude that a conflict of interest exists. Examples, identification, evaluation, disclosure and consent are discussed. Reference is made to the *Independence Rule*, the *Integrity and Objectivity Rule, and the Confidential Client Information Rule*. Director positions are also discussed.
1.120	***Gifts and Entertainment***—conditions for consideration, giving and receiving.
1.130	***Misrepresentations***—are prohibited based on *Integrity and Objectivity Rule*, conditions are discussed.
1.140	***Client advocacy***—is considered to be a threat to integrity, objectivity, and independence.
1.150	***Use of a Third-Party Service Provider***—disclosure to client is discussed.
1.170	***Responding to Noncompliance With Laws and Regulations (NOCLAR)***—guidance on how to respond when a member becomes aware of a potential legal or regulatory violation by a client or employer. Steps include assessment, escalation, documentation, and possible withdrawal from the engagement.
1.200	***Independence Rule***—A *member* in public practice shall be independent in the performance of professional services as required by standards promulgated by bodies designated by *Council*.
	Conceptual Framework for Independence—use, definitions, approach incl. threats, safeguards, and impairment are discussed.
1.220	***Network Firms, Alternative Practice Structures, Mergers, etc.***—rules for firms involved

(Continued)

AICPA Code ***(Continued)***

1.230.020	***Unpaid Fees***—guidance clarifying that significant unpaid fees owed by a client (especially for more than one year) may impair independence. Requires evaluation of the threat and application of safeguards.
1.298	***Breach of an Independence Interpretation***—Outlines required steps when a CPA becomes aware of a breach of independence rules, including prompt evaluation, documentation, and communication with those charged with governance. Aimed at restoring compliance while maintaining transparency.
	Various practice matters
1.300	***General Standards Rule***—a member is to comply with standards and interpretations regarding professional competence, due professional care, planning and supervision, and sufficient relevant data. The conceptual framework is to be applied to assess threats and safeguards to such performance.
	Competence—the *member* or *member's* staff possess the appropriate technical qualifications to perform *professional services* and that the *member,* as required, supervises and evaluates the quality of work performed. Competence encompasses knowledge of the profession's standards, the techniques and technical subject matter involved, and the ability to exercise sound judgment in applying such knowledge in the performance of *professional services*.
1.310	***Compliance with Standards Rule***—A *member* who performs auditing, review, compilation, management consulting, tax, or other *professional services* shall comply with standards promulgated by bodies designated by *Council*.
1.320	***Accounting Principles Rule***—no misrepresentations about conformity with GAAP; application of conceptual framework to assess risks; clarification that when a GAAP choice yields misleading results, an alternative choice should be made that doesn't.
1.400	***Acts Discreditable Rule***—A *member* shall not commit an act discreditable to the profession. Apply conceptual framework to assess risks; discreditable acts include: discrimination and/or harassment, disclosure of CPA Exam questions and answers, failure to file a tax return or pay a tax liability, negligence in the preparation of financial statements or records, . . .
	Confidential Information—no disclosure of information obtained from employment or volunteer activities.
	No False, Misleading or Deceptive Acts in Promoting or Marketing professional Services or
	Misuse of CPA Credential
	Dealing with Records
1.500	***Fees and Other Types of Remuneration***—no contingent fees, except under limited circumstances
1.600	***Advertising and Other Forms of Solicitation***—no use of false, misleading or deceptive forms; conceptual framework to be applied to assess risks; use of CPA honors and credentials.
1.625	***Use of Generative AI and Emerging Technologies***—guidance advises members using AI or automated tools to maintain oversight, verify results, document model inputs and assumptions, and prevent unethical reliance on systems. Protects confidentiality and professional judgment.
1.700	***Confidential Information***
	Confidential Client Information Rule—A *member* in *public practice* shall not disclose any *confidential client information* without the specific consent of the client; conceptual framework to be applied; exception for new auditor seeking information and some others, and in regard to some aspects of litigation.
1.800	***Form of Organization and Name Rule***—must conform to resolutions of the Council.
Part 2	**Members in Business** *should, to assess threats to compliance with rules, apply*
2.000.010	***Conceptual Framework for Members in Business***—similar to section 1.000.010 for members in practice, but with examples relevant to employment for threats and safeguards.
2.000.020	***Ethical Conflicts***—similar to section 1.000.020 for members in practice.
	The following sections are similar to the sections above for members in practice
2.100	***Integrity and Objectivity Rule***
2.110	***Conflicts of Interest***
2.120	***Gifts and Entertainment***
2.130	***Misrepresentations***—as above, plus must be candid to external accountant
2.160	***Educational Services***—are to be considered professional services
2.300	***General Standards Rule & Competence***—similar to members in practice

(Continued)

2.310	***Compliance with Standards Rule***
2.320	***Accounting Principles Rule***
2.400	***Acts Discreditable Rule***
	Confidential Information
	No False, Misleading or Deceptive Acts in Promoting or Marketing professional Services or
	Misuse of CPA Credential
Part 3	**Other Members**—members not in public practice or in business
3.400	***Acts Discreditable Rule***—similar to above
	Confidential Information—similar to above, modified for employment
	No False, Misleading or Deceptive Acts in Promoting or Marketing professional Services or
	Misuse of CPA Credential—similar to above
SSTS No.1–7 (Revised 2023)	
	The Statements on Standards for Tax Services were overhauled to strengthen ethical practices in tax work. CPAs must ensure tax positions are reasonable, avoid taking advantage of client ignorance, and apply due diligence to digital records and tax automation platforms. The revisions became effective January 1, 2024.
Appendices A, B, C and D	
*Downloaded on Apr 18, 2025 from https://pub.aicpa.org/codeofconduct/ethicsresources/et-cod.pdf.	

CPAO Code

Summary of the Institute of Chartered Professional Accountants of Ontario (CPAO) Code of Professional Conduct*, adopted February 26, 2016, updated to April 18, 2025 **PREAMBLE**	
Characteristics of a Profession	Fundamental Characteristics: • Mastery of a particular intellectual skill, acquired by lengthy training and education; • Traditional foundation rests in public practice – the application of the acquired skill to the affairs of others for a fee; • The calling centers on personal services rather than entrepreneurial dealing in goods; • Objectivity; • Acceptance by the practitioners of a responsibility to subordinate personal interests to those of the public good; • A developed, independent society or institute, comprising the members of the calling, which sets and maintains standards of qualification, attests to the competence of the individual practitioner and safeguards and develops the skills and standards of the calling; • A specialized code of ethical conduct, laid down and enforced by that society or institute, designed principally for the protection of the public; • A belief, on the part of those engaged in the calling, in the virtue of interchange of views, and in a duty to contribute to the development of their calling, adding to its knowledge and sharing advances in knowledge and technique with their fellow members.
Fundamental Principles Governing Conduct	Derived from the professional's fundamental responsibility to act in the public interest, and the public's reliance on sound and fair financial reporting, and competent advice on business affairs: • *Professional behaviour*—conduct that at all times will maintain the profession's good reputation and its "ability to serve the public interest" • *Integrity and due care*—standard of performance, sustain professional competence, comply with Rules • *Objectivity*—no influences, conflicts of interest or relationships which would impair or bias professional or business judgment or objectivity, or appear to do so to a reasonable observer • *Professional Competence*—maintenance of professional skills and competence by keeping informed of, and complying with, developments in professional standards.

(Continued)

CPAO Code *(Continued)*

- *Confidentiality*—duty of confidence, no exploitative use, in respect information acquired as a result of professional, employment and business relationships, not disclosure without permission, legal requirement, or professional duty.
- *Personal Character & Ethical Conduct*—CPAO Rules of Conduct are a minimum standard, compliance is based on personal character, high level of achievement is desirable.
- *Ethical Conflict Resolution*—consideration of all facts, role of and duty to directors and designated officers, seeking guidance from CPAO ethics advisers and lawyers, reporting within entity, disassociation if all else fails.
- *Principles Governing the Responsibilities of Firms*—principles and rules apply to all firms and firms will be held accountable for actions and for faulty guidance.

RULES	ISSUES COVERED	IMPORTANT INTERPRETATIONS
General		
101	Compliance with legislation, bylaws, regulations, CPA Code	• is mandatory for members and firms.
102	Matters to be reported to CPAO, others	• conviction of criminal or similar offenses such as fraud, theft, money laundering, securities fraud, dishonesty on tax matters
103	No false or misleading applications to CPAO	• on a letter, report, statement or representation
104	Must reply promptly in writing to CPAO correspondence, and attend when required	
105	No hindrance, inappropriate influence or intimidation related to CPAO processes	
Public Protection (Standards Affecting the Public Interest)		
201	Maintenance of the good reputation of the profession & its ability to serve the public interest	• at all times, both members and firms • conviction in other Canadian jurisdictions results in charges by the ICAO • guidance on criticism of work of other professionals, resignation/termination of auditors,
202.1	Integrity and due care	• mandatory for all members, students, and firms • imperative to proper fiduciary duty in a fiduciary relationship
202.2	Objectivity	• not allow professional or business judgment to be compromised by bias, conflict of interest or the undue influence of others. • Does not preclude advocacy • "Objectivity is a state of mind. Independence is not only a state of mind; it also includes the appearance of independence, in the view of a reasonable observer. It is the reasonable observer test that distinguishes "independence" from "objectivity" and that gives the public the necessary confidence that the member or firm can express a conclusion without bias, conflict of interest or the undue influence of others." (Guidance—Rule 202, 12, p. 23) • Flowchart: *Overview of Independence Standard for Assurance Engagement*, p. 47.
203	Professional competence	• Ongoing learning is necessary to maintain competence, including in ethics. The CPD regime now requires 4 verifiable hours in ethics every 3 years, aligning with this section's intent.

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204	Independence	• must apply *Framework* to identify and assess threats to independence and safeguards and if threats are not reduced to an acceptable level, the activity, interest or relationship should not be undertaken. Threats and safeguards are described. • Specific prohibitions listed—financial interests, loans, guarantees, close business relationships, family & personal relationships, employment, office or director, long association, services without approval of client audit committee, performance management functions; valuation, internal audit, IT, litigation support, legal services to audit or review client, some other services (HR, Corporate Finance, tax planning or tax advisory, non-assurance prior to audit or review) to audit or review client; • Fee and remuneration concerns • Gifts and hospitality prohibited unless insignificant to member, student, or firm • Client mergers and acquisitions concerns • must be written disclosure (specified) of any threat that is not clearly insignificant • Members or students must disclose prohibited interests and relationships (204.7) • firms must ensure compliance • member or firm must disclose impaired independence • Technology use (e.g., AI, automation) may create threats to independence when applied in assurance contexts: **Use of AI, Automation, and Digital Tools:** Members must now consider threats to independence posed by modern technologies. Examples include: • **AI-Generated Financial Models**: A firm that designs or trains an AI tool used by the client to generate estimates or fair value measurements may have a self-review or management participation threat. • **ERP Implementation Services**: If a firm assists an audit client in selecting and implementing enterprise software (e.g., SAP, Oracle), this could impair independence if not properly restricted or if management does not retain full responsibility for decision-making. • **Data Analytics Platforms**: Use of client-provided analytics systems that the firm also helped develop or configure can present both self-interest and familiarity threats. **Documentation:** All independence evaluations must be documented and retained, including: • The nature of the threat. • Safeguards applied. • Communication with those charged with governance. • Disclosures made to clients regarding any service that may affect independence. • those members, firms, or members of firms who give opinions on financial statements or are undertaking an insolvency engagement must be free of any influence, interest or relationship which, in the view of a reasonable observer, would impair professional judgment or objectivity, or has the appearance of doing so.
205	False or misleading documents or oral representations	• member or firm must have no association even where a disclaimer is given • covers letters reports, representations, financial statements, written or oral

(Continued)

CPAO Code ***(Continued)***

206	Compliance with professional standards	• with GAAP and GAAS as set out in the *CPA Canada Handbook* or as identified in/by authoritative sources • applies to auditor, preparer, approver or member of an audit committee or board of directors, provider of professional services. **Technology and AI Considerations:** • Incorporating AI and automation into professional services must not compromise compliance with technical standards. Examples include: • **Automated Journal Entry Testing:** If a member relies entirely on an AI audit tool to identify anomalies, but fails to understand or validate the algorithm's logic and limitations, they may violate the requirement for "sufficient appropriate audit evidence." • **Generative AI Report Drafting:** When using AI tools to draft or summarize financial disclosures, the member must ensure the resulting content aligns with authoritative guidance and does not introduce misleading or non-compliant terminology. • **Custom Analytics Engines:** If a firm uses in-house or third-party AI software to support financial projections or risk assessments, they are responsible for confirming that the model outputs meet assurance or accounting standards before inclusion in client reports.
207	No unauthorized benefits	• from client or employer
208	Confidentiality of information	• no disclosure unless client, former client, employer, or former employer has knowledge and consent, or pursuant to the proceedings of lawful authority, Council, or the Professional Conduct Committee or subcommittees • no improper use for personal advantage, or of the firm, or of a third party, or to disadvantage the client • member or firm must take measures & obtain written agreement to protect • not only refrain from direct disclosure, but also prevent indirect or unintended disclosure, including that which might arise through data aggregation, algorithmic inference, or platform leakage. **Technology and AI Considerations:** AI, machine learning systems, and cloud-based analytics raise **new risks** for breaching confidentiality: • **Training Data Misuse:** If client financial data is used to train AI models—either internally or by third-party platforms—without explicit consent, this could violate Rule 208. • **Cloud-Based Tools:** Use of automated cloud systems to store or process client data must include safeguards such as encryption, access controls, and contractual confidentiality clauses with vendors. • **AI-Driven Customer Profiling:** If a member uses sensitive client data to create performance dashboards or behavioral profiles without appropriate redaction or permission, this could constitute misuse, especially if the output is shown to other clients or used for benchmarking.
209	Borrowing from clients	• not generally allowed
210	Conflict of interest	• responsibility to detect before accepting engagement • no acceptance of a conflicted (self/firm vs. client, client vs. client, client/employer vs. third party) engagement by a member or firm unless they are able to rely upon conflict management techniques, and all affected parties are advised and consent • documentation is required of the conflict, the resolution technique used, rationale for the choice of technique, and the disclosure made to each of the affected parties

(Continued)

		• where consent to continue service is implied, documentation must be kept of the proof that the affected parties had knowledge, and or their agreement to continue • guidance offers: (a) examples of conflicts of interest in employment, public accounting or related business or practice, professional service area, (b) the process for dealing with conflicts of interest: 1. Identify, 2. Assess, 3. Develop approach & Choose management techniques, Provide disclosure & obtain consent, 4. Assess effectiveness of conflict management plan, 5. Re-evaluate the plan during engagement; (c) documentation, (4) other considerations • *Conflicts of Interest Management Decision Chart* is provided on page 140
211	Duty to report apparent breaches of CPA Code	• of any information raising doubt as to competency, integrity, or capacity to practice • unless specific exemption or would breach statutory duty, solicitor-client privilege, etc • delay in reporting where engaged in criminal or civil investigation • Reflects similar intent as NOCLAR but limited to CPA Code violations. The spirit of NOCLAR aligns with the guidance given under ethical decision-making when legal or professional conflicts arise.
212	Handling of trust funds and other property	• in accord with trust terms and trust law, including holding funds in separate trust account, and appropriate record keeping • handle with due care
213	No unlawful activity	• no association with any activity that is known or should be known to be unlawful
214	Fee quotations & billings	• provide only after obtaining adequate information about the assignment • render on fair & reasonable basis, provide such explanations as are necessary to understand
215	Contingent fees	• none allowed, except if there will be no real or apparent conflict of interest (Rule 204) and where the client consents in writing, or such fee would not influence the result of a compilation engagement or an income tax return prepared for the same client.
216	Payment or receipt of commissions	• if engaged in public accounting, none allowed, except in sale or purchase of an accounting practice. • If not engaged in public accounting, can pay or receive, provided compliance to Rule 207 incl. disclosure and consent
217	Advertising, solicitation and endorsements	• advertising cannot be false or misleading, reflect unfavorably on competence or integrity, include unsubstantiated statements, or brings disrepute on the profession • no solicitation is permitted if persistent, coercive or harassing • endorsements are possible under strict conditions, after suitable investigation
218	Retention of documentation & working papers	• for a reasonable time period
Relations with Professional Colleagues		
302	Communication with predecessor	• Acceptance of appointment where there is an incumbent auditor is not allowed without asking outgoing auditor if there are circumstances which should be taken into account • response is required from incumbent, confidentiality concerns must be considered & advice sought, presence of confidential matters must be reported but not specifics
303	Provision of client information	• timely response required if written request received from successor • necessary client information is to be supplied, and co-operation given

(Continued)

CPAO Code ***(Continued)***

304	Joint appointments	• carry joint and several liability • must advise other accountant of activities
305	Communication of special assignments to incumbent	• must communicate with incumbent unless client makes such a request in writing before the engagement is begun, or unless the services are outside the practice of public accounting.
306	Responsibilities owed to an incumbent	• no action to impair the position of the other accountant • no services beyond original referral terms, except with consent of referring member
Public Accounting Practices		
401	Practice names	• in good taste, approved by institute, not misleading or self-laudatory
402	Descriptive styles	• must use "Chartered Professional Accountant(s)" or "public accountant(s)" unless part of firm name • cannot use "Chartered Professional Accountant(s)" if a non-CA shares a proprietary interest.
403	Association with firms	• restricted association with firms practicing as "chartered professional accountant(s)" if some partners are not CPAs
404	Access to members practicing public accounting	• offices must be under the charge of a CPA normally in attendance • no part-time offices except per regulations
405	Office by representation	• not allowed if only represented by another public accountant
406	Responsibility for non-member	• public accountants are responsible for the failure of non-members associated with the practice or other related businesses to abide by the *CPA Code*
408	Association with non-member in public practice	• Cannot associate unless maintains good reputation of profession, and adheres to CPO governing legislation, regulations & the *CPA Code*, but cannot use any style, presentation or communication that implies the non-member is a member. • Can associate in a related business
409	Practice of public accounting in a corporate form	• prohibited except under in accord with CPAO legislation and bylaws such as through a properly incorporated professional corporation in Ontario or in another province
Firms		
501	Policies and procedures for compliance with professional standards	• Establish, maintain & uphold policies and procedures necessary for compliance with professional standards in accord with generally accepted standards of practice of the profession and the standards of the particular business or practice, provided that the standards of the particular business or practice are not lower than or inconsistent with those of the profession.
502	Policies and procedures for the conduct of a practice	• those necessary for compliance with expected competence and conduct of members, and any other persons contracted with
503	Association with Firms	• only if the other firm meets the ownership requirements per Rule 403

*Downloaded on Apr 18, 2025 from https://assets.cpaontario.ca/members/regulatons-guidance/pdfs/CPA-Ontario-Code-of-professional-conduct.pdf

Shortfalls with & in Professional Codes In the past, most professional accountants have tended to view their codes as being less relevant than the technical challenges they were required to deal with. In some cases, lack of awareness of the significance of the code was at the root of the problem, whereas in other instances, inability to interpret the general principles and rules was responsible. As our ethics environment has changed and ethical shortfalls have become recognized as serious threats to professional practice, there have been numerous calls for renewed interest, understanding, and commitment on the part of professionals themselves.

Ethics education is an official requirement of the formal education of professional accountants according to the AACSB,[67] and some professional bodies have introduced mandatory ethics education prior to attempting professional examinations and ongoing mandatory continuing professional ethics education after the professional accounting designation has been received. As a result, among professional accountants there is a growing awareness of ethical issues and the provisions of ethics codes, and progress has been made towards introducing ethical analysis into accounting curricula. However, more emphasis is required on ethical analysis because simple awareness of issues and professional codes of conduct cannot solve all the problems professional accountants face. Fortunately, the AICPA, CPAO, and IFAC codes of conduct all require additional analysis of threats and safeguards on specific issues and documentation of them. What is needed in addition, however, is an appreciation of practical ethical decision making and techniques so that professional accountants can fully appreciate, identify, and quantify ethical threats and safeguards for professional services, and consult clients or employers effectively on their business decisions.

It is becoming customary for codes of conduct to encourage professional accountants to seek counsel on ethical issues through their professional association or from outside legal counsel. While this is a progressive step, caution should be raised about the legalistic mindset of outside counsel, which may lead to ignoring important stakeholder concerns, particularly of a longer-term nature, that could adversely affect reputation and revenue streams.

Finally, codes of conduct do not provide a clear understanding of the level of sanctions to be expected from errant actions. Therefore, it is important to seek out the current record of sanctions that have been levied by professional accounting bodies and to project what might be the penalty for behavioral shortcomings that offend the codes.

Issues Not Usually Resolved in Corporate Codes of Conduct Having examined the nature, content, and shortcomings of both corporate and professional accounting codes of conduct, it is appropriate to turn to the overlap between them. Several issues are often not resolved in codes of conduct that could be faced by employees, including professional accountants. Accordingly, some thought should be given to the following matters when a corporate code is being set up or revised:

1. *Conflicts between codes*

   Occasionally, a professional or some other employee will be subject to the company/employer's code and also another code, such as a professional code for engineers or accountants. To avoid placing the person in an ethical dilemma of debating which code to follow, at the very least, consultation with an ethics officer/ombudsman should be advised. Often such a person is on staff at a professional accountant's association and may be consulted without breaching confidentiality guidelines. If confidentiality is not guaranteed, then hiring and consulting a lawyer may be required. Usually, at the very least, the professional accountant's Code must be satisfied and the public interest protected.

2. *Conflicts between competing interests or corporate stakeholders*

   Sometimes the priority of competing interests can be made clear in training sessions. If not, then protected routes for consultation should be available. This subject is discussed at length in this chapter and in Chapter 5.

[67] Institute of Chartered Accountants of Ontario, *Rules of Professional Conduct and Council Interpretations*, 1997, foreword, p. 505, updated continuously.

3. *When should a professional blow the whistle, and to whom?*

   This subject is discussed in the NOCLAR standards section above. However, a protected, internal route for discussion and reporting should be available for professional accountants. An employer should realize that every professional accountant has a professional duty to uphold, which could supersede loyalty to the employer. It would be helpful if the professional's accounting society were to provide consultation to the professional on a confidential basis to assist in these decisions, as is the case in the United Kingdom, Canada, and some other jurisdictions.

4. *Adequate protection of whistleblowers*

   The most successful arrangements for whistleblowing involve reporting, in confidence, to an autonomous individual of high rank or to someone who reports to a person of very high rank in the organization, such as an ombudsperson who will follow up on concerns without revealing the informant's name or exposing the informant and who reports, without informant names, directly to the chairperson of the organization. With this level of apparent support, investigations can be undertaken without interference. The ombudsperson should report back to the informant.

5. *Service decisions involving judgment*

   Codes of conduct should be fashioned so as not to rule out the exercise of a professional's values when those are required for the judgments they must make. In the final analysis, it is the exercise of these values and the judgments based on these that could save the individual, the firm or employer, the profession, and the public from ethical problems. The challenge is to develop codes and cultures that do not force the abandonment of personal values but rather foster the development and exercise of values and judgment processes that will credit the stakeholders when they really need it.

Conceptual Framework for Assessing Threats to Compliance

Codes of conduct for professional accountants begin by providing the fundamental principles that must be met for ethical behavior to be maintained in order for professional accountants to serve the public interest. A conceptual framework is then provided for identifying and assessing threats to compliance with those principles, as are requirements for documentation of the assessment. Safeguards must also be considered to arrive at an overall conclusion that the threats to compliance are at or have been reduced to an acceptable level or, if not, that appropriate action is taken to nullify the threat or avoid the service involved. Figure 6.1 provides a representation of this approach that has been adopted in many other country codes, including in the AICPA and CPAO codes.

The conceptual framework approach requires professional accountants to continuously assess the threats they face in complying with all the fundamental principles, taking into account the safeguards that are relevant to the situations involved. The normal threats and safeguards that professional accountants should be aware of and assess are identified in Tables 6.11 and 6.12.

The objective of this assessment process is to decide, based on quantitative and nonquantitative threats and safeguards, whether the risks of noncompliance associated with a specific course of action are low enough (or too high) to be acceptable (or not). The analysis underlying this decision should be recorded and the documentation retained.

If the overall assessment, after consideration of the safeguards that could reduce the impact of the threats, is that the threats identified are likely to cause a breach of the code, then the professional accountant should consider mitigating the threats, introducing additional safeguards, or not undertaking the proposed action. Consultation should be sought with colleagues, ethics counselors, and legal advisors if the professional is in doubt.

Figure 6.1 **IFAC-IESBA International Code of Ethics Conceptual Framework Approach**

Source: IFAC-IESBA *Code of Ethics for Professional Accountants,* 2024, Sections 100, 110, 120 and 300.

Table 6.11 **Threats to Noncompliance – AICPA Code Sections 1.000.010.08-.16**

Compliance with fundamental principles may be threatened by a broad range of circumstances. Many threats fall into the following categories:

Adverse interest threat: that a *member* will not act with objectivity because the *member's* interests are opposed to the *client's* interests.

Self-interest threat: that a *member* could benefit, financially or otherwise, from an interest in, or relationship with, a *client* or persons associated with the *client*.

Self-review threats: that a *member* will not appropriately evaluate the results of a previous judgment made or service performed or supervised by the member or an individual in the *member's* firm and that the *member* will rely on that service in forming a judgment as part of another.

Management participation threat: that a *member* will take on the role of *client* management or otherwise assume management responsibilities, such may occur during an engagement to provide nonattest services.

Advocacy threat: that a *member* will promote a *client's* interests or position to the point that his or her objectivity or *independence* is compromised.

Familiarity threat: that, due to a long or close relationship with a *client*, a *member* will become too sympathetic to the *client's* interests or too accepting of the *client's* work or product.

Undue influence threat: that a *member* will subordinate his or her judgment to an individual associated with a *client* or any relevant third party due to that individual's reputation or expertise, aggressive or dominant personality, or attempts to coerce or exercise excessive influence over the *member*.

AICPA 2024 Code of Professional Conduct, Sections 1.000.010.08-.16
IFAC 2024 International Code of Ethics for Professional Accountants, Section 120.6 A3
CPAO Code of Professional Conduct, Sections 204.3

Table 6.12 Safeguards Reducing The Risk of Conflict of Interest Situations

Safeguards Created by the Profession, Legislation, or Regulation *AICPA Code S 1.000.010.21.*

a. Education and training requirements on independence and ethics rules
b. Continuing education requirements on independence and ethics
c. Professional standards and the threat of discipline
d. External review of a firm's quality control system
e. Legislation establishing prohibitions and requirements for a firm or a firm's professional employees
f. Competency and experience requirements for professional licensure
g. Professional resources, such as hotlines, for consultation on ethical issues

Safeguards implemented by a *Client* *AICPA Code S1.000.010.22*

a) The *client* has personnel with suitable skill, knowledge, or experience who make managerial decisions about the delivery of *professional services* and makes use of third-party resources for consultation as needed.
b) The tone at the top emphasizes the *client's* commitment to fair financial reporting and compliance with the applicable laws, rules, regulations, and corporate governance policies.
c) Policies and procedures are in place to achieve fair financial reporting and compliance with the applicable laws, rules, regulations, and corporate governance policies.
d) Policies and procedures are in place to address ethical conduct.
e) A governance structure, such as an active audit committee, is in place to ensure appropriate decision making, oversight, and communications regarding a *firm's* services.
f) Policies are in place that bar the entity from hiring a *firm* to provide services that do not serve the public interest or that would cause the *firm's* independence or objectivity to be considered impaired.

Safeguards Implemented by a *Firm* *AICPA Code S1.000.010.23*

a) *Firm leadership stresses the importance of complying with the rules and the expectation that engagement teams will act in the public interest*.
b) Policies and procedures that are designed to implement and monitor engagement quality control.
c) Documented policies regarding the identification of *threats* to compliance with the rules, the evaluation of the significance of those *threats*, and the identification and application of *safeguards* that can eliminate identified threats or reduce them to an *acceptable level*.
d) Internal policies and procedures that are designed to monitor compliance with the *firm's* policies and procedures.
e) Policies & procedures designed to identify interests or relationships between the *firm* or its partners & professional staff & the *firm's* clients.
f) The use of different *partners, partner equivalents*, and engagement teams from different offices or that report to different supervisors.
g) Training on, and timely communication of, a *firm's* policies and procedures and any changes to them for all partners and professional staff.
h) Policies and procedures that are designed to monitor the *firm's*, partner's, or *partner equivalent's* reliance on revenue from a single *client* and that, if necessary, trigger action to address excessive reliance
i) 18 additional safeguards are listed—see AICPA Code S 1.000.010. 23.

The following section illustrates the application of this conceptual risk assessment framework on matters related to independence and conflicts of interest.

Conflict of Interest Threats to Independence

One of the most bedeviling aspects of a professional accountant's life is the recognition, avoidance, and/or management of conflict of interest situations. This is because *conflict of interest situations threaten to undermine the reason for having an accounting profession—to provide assurance that the work of a professional accountant will be governed* *by independent judgment focused on protecting the public interest*. For this reason, the independence standards that the accounting profession must live by are fundamental to the continued success of the profession, its members, and their firms.

Traditionally, a professional accountant is called on in his or her professional code to *"hold himself or herself free from any influence, interest or relationship in respect of his or her client's affairs, which impairs his or her professional judgment or objectivity or which, in the view of a reasonable observer would impair the member's professional judgment or objectivity."*[68] Consequently, there are two distinct aspects to be kept in mind: *the reality* of having a conflict of interests and *the appearance* that one might be present. Therefore, the traditional definition—*a conflict of interest is any influence, interest, or relationship that could cause a professional accountant's judgment to deviate from applying the profession's standards to client matters*—covers only part of the conflict of interest risk faced by a professional accountant.

With one notable exception, a professional accountant's view of conflict of interest situations is very similar to that of a director, executive, or other employee, as discussed in Chapter 5. Consequently, the discussion in Chapter 5 covering *basic concepts*, *terms*, *and causes* (Figures 5.6 and 5.7 and Table 5.6) should be reviewed because they are applicable to professional accountants and the environment they face.

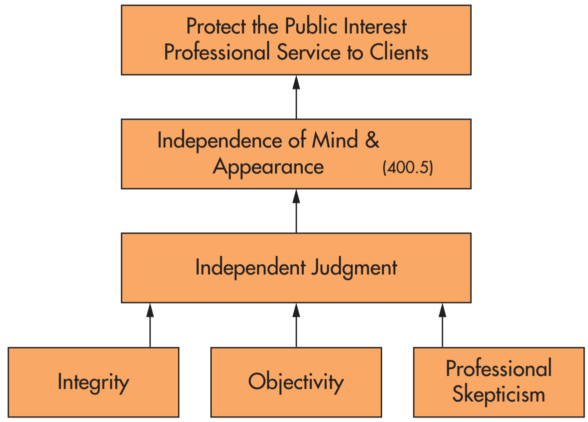
The notable exception is that a professional accountant is a fiduciary for the public. A professional accountant must protect the client or employer, but not at any cost and not if the public interest will suffer. *A professional accountant must adhere to a set of rules aimed at neutrality among stakeholder interests and at protecting the public interest. This means not going to absolutely any lengths to serve a specific client's interests, unless the public interest is also served*. The services rendered by a fiduciary must be able to be trusted, and the professional accountant's independence of judgment is essential to that trust.

Assessing Conflict of Interest Threats Using the Conceptual Framework Approach The IFAC Code's discussion of threats to compliance with fundamental principles amplifies the need for all professional accountants to maintain independence so that the integrity and objectivity of service to the public and clients are not compromised. It is concerned not only with performance but also with the wholesome appearance of that performance, which might lessen the effective transmission of information and lower the reputation of the profession. This requires continued vigilance about the actual state of mind of the professional accountant as well as about the appearance of independence. As Section 400.5 of the 2024 Code states,

> Independence is linked to the principles of objectivity and integrity. It comprises:
>
> *Independence of Mind*
>
> The state of mind that permits the expression of a conclusion without being affected by influences that compromise professional judgment, thereby allowing an individual to act with integrity, and exercise objectivity and professional skepticism.
>
> *Independence in Appearance*
>
> The avoidance of facts and circumstances that are so significant that a reasonable and informed third party would be likely to conclude, weighing all the specific facts and circumstances that a firm's, or a member of the audit team's, integrity, objectivity or professional skepticism has been compromised.

[68] IFAC 2005 Code is available at http://www.ifac.org/Ethics and downloadable at **http://www.cengage.com.** The IFAC 2018 Code states, "A professional accountant shall not allow a conflict of interest to compromise professional or business judgment" (Section R310.4).

Figure 6.2 IFAC Code's Framework for Independent Judgment



Source: *IFAC International Code of Ethics for Professional Accountants,* 2024, S 400.5 & Independence Definition.

Diagrammatically, these components and the relevance of proper judgment are represented in Figure 6.2.[69]

Professional accountants must be alert to conflict of interest problems because they have the potential to erode independence. As noted in Table 6.11, the AICPA Code lists *seven categories of threats or conflicts that could sway the professional accountant from acting in the public interest: adverse interest; self-interest; review of one's own work; management participation; advocating a client's position; familiarity with the management, directors, or owners of the client corporation; and intimidation or undue influence by management, directors, or owners.* Specifically, these categories involve the following:

- Adverse interest, when the professional accountant's interests are opposed to a client's, can become problematic if work is to be performed for two or more clients who are competitors. Deciding if one was disadvantaged in court proceedings can be very difficult.
- Self-interest, or the desire to protect or enhance one's position, certainly has been known to influence a professional accountant's judgment. Arthur Andersen provides a glaring example of this, as they wanted to retain the audit revenue from several clients, including Enron, WorldCom, Waste Management, and Sunbeam.
- Auditing one's own work is a variant of the self-interest problem wherein auditors are reluctant to criticize themselves and lose face with client management.
- Participation as part of management raises the possibility that a professional accountant will become so immersed in management activity, incentives, and strategies that the accountant will no longer be perceived as able to demonstrate the integrity, objectivity, and professional skepticism expected of a professional.
- Advocacy of a client's positions to a third party occasionally puts a professional accountant in a poor position to argue a different and better position with regard to GAAP or disclosure with the client.

[69] It is noteworthy that due to the importance of maintaining independence, a study was undertaken that resulted in the inclusion of International Independence Standards in the 2018 version of the IFAC-IESBA Code as two concluding parts:

Part 4A—Independence for Audit and Review Engagements

Part 4B—Independence for Assurance Engagements Other Than Audit and Review Engagements

- Familiarity with client personnel, directors, or owners may create interpersonal bonds that leave a professional accountant not wanting to disappoint or offend the friends or close associates that familiarity has created.
- Undue influence occurs in many cases where the senior management of a corporation has intimidated or used undue influence on professional accountants working for the corporation, thereby forcing them into misrepresentations, illegalities, and/or poor accounting choices. This problem is vividly illustrated in the WorldCom case in Chapter 2 and the "Livent—When Maria, When?" case later in this chapter.

Identification of any of these potential conflict of interest situations should be followed by their avoidance, elimination, or reduction of their risk through the application of safeguards. The AICPA and IFAC codes suggest that safeguards can be (1) found in techniques and approaches detailed in professional guidelines, legislation, and regulation; (2) implemented by clients; or (3) implemented by professional accounting firms. Examples of safeguards provided in the AICPA and IFAC codes are listed in Table 6.13.

Table 6.13 Conflicts of Interest Examples—AICPA Code Section 1.110.010.04

a. Providing corporate finance services to a *client* seeking to acquire an audit *client* of the *firm*, when the *firm* has obtained confidential information during the course of the audit that may be relevant to the transaction
b. Advising two *clients* at the same time who are competing to acquire the same company when the advice might be relevant to the parties' competitive positions
c. Providing services to both a vendor and a purchaser who are clients of the *firm* in relation to the same transaction
d. Preparing valuations of assets for two *clients* who are in an adversarial position with respect to the same assets
e. Representing two *clients* at the same time regarding the same matter who are in a legal dispute with each other, such as during divorce proceedings or the dissolution of a partnership
f. Providing a report for a licensor on royalties due under a license agreement while at the same time advising the licensee of the correctness of the amounts payable under the same license agreement
g. Advising a *client* to invest in a business in which, for example, the *immediate family* member of the *member* has a *financial interest* in the business
h. Providing strategic advice to a *client* on its competitive position while having a joint venture or similar interest with a competitor of the *client*
i. Advising a *client* on the acquisition of a business which the *firm* is also interested in acquiring
j. Advising a *client* on the purchase of a product or service while having a royalty or commission agreement with one of the potential vendors of that product or service
k. Providing forensic investigation services to a *client* for the purpose of evaluating or supporting contemplated litigation against another client of the *firm*
l. Providing tax or personal financial planning services for several members of a family whom the *member* knows to have opposing interests
m. Referring a personal financial planning or tax *client* to an insurance broker or other service provider, which refers *clients* to the *member* under an exclusive arrangement
n. A client asks the member to provide tax or personal financial planning services to its executives, and the services could result in the member recommending to the executives actions that may be adverse to the company.
o. A member serves as a director or an officer of a local United Way or similar organization that operates as a federated fund-raising organization from which local charities receive funds. Some of those charities are clients of the member's firm.
p. A member who is an officer, a director, or a shareholder of an entity has significant influence over the entity, and that entity

Due to the importance of recognizing conflicts of interest, the AICPA Code puts forward the list of examples reproduced in Table 6.13. An extended discussion of conflicts of interest follows.

Most professional accountants take the proper handling of conflict of interest situations very seriously because that is fundamental to the maintenance of fiduciary relationships. Many professional accounting firms, including the largest, have additional codes of conduct or practice that offer the firm's guidance. Members of a multi-office or network firm often sign agreements in which they promise not to discuss the affairs of—or trade in securities of—clients of any office in their firm, and a restricted list of clients' names is maintained for reference. Members of the firm are told that, even if they do not personally possess information on a client's activities, they may be presumed to do so by the interested public. Care must be taken to avoid the appearance of conflict as much as the reality. Reputation is too hard—and too costly—to restore. Consequently, most firms employ several techniques in the management of conflicts of interest to minimize potential harm, including the following:

- Firm codes, in addition to augmenting those of professional bodies
- Training sessions and reinforcing memos
- Client lists from all locales for reference and sign-off procedures signifying noninvestment
- Scrutiny of securities trading, particularly related to new issues
- Information barriers (also known as firewalls) to prevent information flows within firms
- Reporting and consultation with senior officers
- Avoidance
- Rules for serving clients with potentially conflicting interests
- Rules for taking on new clients or providing new services and for termination of client relations

Conflicts of Interest: A Stakeholder Impact Analysis With the foregoing background, it is useful to consider what the most common conflicts of interest are for accountants. These can be grouped into four categories according to their stakeholder impact:

1. Self-interest of the professional conflicts with the interests of the other stakeholders
2. Self-interest of the professional and some other stakeholders and conflicts with some other stakeholders
3. Interests of one client favored over the interests of another client
4. Interests of one or more stakeholders favored over the interests of one or more other stakeholders

The first category pits the professional accountant against the other stakeholders in several spheres of activity. The undermined independent judgment of the professional can be evident in the services offered, the improper use of influence, and the misuse of information. The second category, where the professional sides with some stakeholders to the disadvantage of others, also offers opportunities for poor judgment in terms of the services offered, as does the third category, which refers specifically to clients. The fourth category, which involves stakeholder groups but where self-interest may not come into play except sometimes on the disadvantaged side, focuses primarily on the proper use of information and particularly on issues of confidentiality. These relationships are summarized in Table 6.14, and a discussion follows of how judgment can be undermined in each of these spheres of activity.

Table 6.14 Conflicts of Interest for Professional Accountants: A Stakeholder Impact Analysis

Stakeholder Category	Sphere of Activity Affected	Examples
Self vs. others	Services offered	Conflicting services, shaving quality
	Improper use of influence	Improper purchases of client goods
	Misuse of information	Improper investments by relatives
Self & others vs. others	Services offered	Overinvolvement with management or directors erodes objectivity
Client vs. client Employer vs. employer	Services offered	Serving competing clients or competing employers at the same time
Stakeholder vs. stakeholder	Misuse of information (confidentiality)	Whistleblowing, reporting to government or regulators

Conflicts of Interest Affecting Services Offered

Self-interest is a very powerful motivator that can disadvantage clients, the public, and other stakeholders through degradation of the services offered by a professional accountant, whether the professional is in the role of auditor or management accountant. Many temptations arise because the "business" side takes precedence over the auditor's "professional" side, and the drive for profit or personal gain dominates the values that are needed to maintain the trust expected in a fiduciary relationship. When the needed trust breaks down, it does so because one or more of the essential aspects of professional service expected are not delivered in a manner that protects or furthers the interests that the professional should be serving before the professional's own interest.

For example, the desire for profit can lead to services being performed at *substandard levels of quality*. Because of the pressures of rising costs or in an effort to increase profit, services may be performed at substandard levels of quality. This may happen through the use of junior or unskilled staff or if staff are not adequately supervised by senior and more costly personnel. It may lead to pressures on staff to increase their working hours beyond reasonable levels or to encourage staff to work long hours but not to charge the clients for the total time spent. In either of these cases, the fatigue factor that results not only is unfair to staff but also can result in a diminished capacity to detect errors during an audit. Although diminished services clearly affect clients and the public, these working conditions also present the staff involved with the very real ethical problem of how to react: should they complain, and, if so, how much and to whom? These issues will be addressed later in this chapter.

The quality of services provided can suffer for other reasons as well. A professional may be tempted to *lowball fee quotations* to clients in an effort to gain new business or retain old clients. Later, the reality of the low fee may present the dilemma of having to meet audit budgets that are too tight, which can again lead to substandard service quality and/or pressures on staff to bury or forget about time spent beyond budget allowances. Lowballing is occasionally rationalized on the basis of anticipated future price increases for audit services or the garnering of additional high-margin work in tax or consulting services. This hope is not always incorporated into audit planning, so budgets are occasionally set too tight. Moreover, the anticipated high-margin revenue sources may not materialize in any event. These exigencies have been understood for a long time and were the major reason why many professional societies prohibited the quotation of *fixed fees*. When something unexpected occurs, in a fixed or lowballed fee situation the cost of additional time spent comes out of the auditor's pocket—giving rise to an obvious conflict of interest. Fees set on the basis of hourly rates per level of staff employed allow the need for quality service to be incorporated in the total fee even where unexpected problems arise during an audit.

Self-interest can also lead to the offer of services in situations leading to conflicts of interest with other stakeholders. For example, an auditor is in an excellent position to offer *management advisory services* or *assurance services* because the auditor has developed a thorough knowledge of the client's affairs and personnel. On the other hand, if an auditor accepts an engagement to install an internal control system, there may be a reluctance to acknowledge its flaws when these become clear during a subsequent audit. Such reluctance can arise even where nonaudit personnel from the same firm are used. Unfortunately, living with a faulty system of internal control is like living with a time bomb, with the enhanced risk being borne by the client and the public. Another frequent problem involves negotiating with a client's CFO on, say, the adequacy of a provision for bad debts knowing that next week the CFO will be awarding a large consulting assignment to either the auditor's firm or to a competitor. The threat to objectivity is obvious and overwhelming, yet the partner is expected to be impartial nonetheless.

What are the remedies for such situations involving so-called *conflicting services* that involve self-criticism? Refusal to provide such services is one option, but it could lead to the client incurring unnecessary costs and the professional losing revenue. The long-established position of the accounting profession has been to rely on the personal integrity of the professionals involved to be able to criticize themselves in the event that they or their associates perform conflicting services. However, this reliance, which depends on the values, strength of character, and ethical awareness of the professionals involved, has been eliminated for the auditors of SEC registrant companies[70] by SOX regulations. The self-interest of professional accountants can cause the professional to want to side with certain stakeholder groups to the detriment of others. Professional accountants can easily and inadvertently become overinvolved with clients, suppliers, or other stakeholders. Sometimes *overinvolvement* can bias professional judgment in favor of newfound friends or compatriots. Gifts can create pressures for continuance. Involvement in management friendships and decisions can create the desire not to be critical, as can the continued, close involvement of an auditor with a Board of Directors. To borrow from Maslow's hierarchy of human needs,[71] professionals can be subject to influence attempts directed at their ego, their social needs, or even their basic financial needs because of overinvolvement with other stakeholders, threatening the professional's independence. Frequently, overinvolvement begins very innocuously and builds imperceptibly to a condition that the professional does not expect (the slippery-slope problem noted earlier). Constant vigilance is required to stay out of the difficulty of putting the interests of management and directors ahead of shareholders and the public.

Sometimes a professional accountant develops a mutuality of interests with a client or becomes overinvolved with senior management at a client to the extent that the professional's skepticism and critical perspective are suspended. Friendship, partnerships, the desire to protect existing revenue streams or garner more, and the prospect of social interaction or admiration may all impact the professional's independence of judgment to the detriment of the public interest. Professional accountants must ensure that they and their firms do not become so dependent on the revenue from one client, or a small number of clients, such that they make decisions contrary to the public interest. This appears to have happened, as noted in Chapter 2, in the case of Arthur Andersen and several of its audit clients, including Enron, WorldCom, and Waste Management.

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[70] See discussion section on SEC and IFAC Independence Rules on p. 418.

[71] A. Maslow. *Motivation and Personality*. New York: Harper and brothers, 1954.

Concern over the impact of consulting and other services on the independence of professional accountants alarmed the accounting profession and its regulators, particularly in the United States prior to the demise of Arthur Andersen. In 1998, PricewaterhouseCoopers (PwC) discovered[72] in a post-merger review that its predecessor firms (Price Waterhouse and Coopers & Lybrand) had failed to properly supervise their consulting and audit partners and personnel and that almost 50% of PwC's U.S. partners held improperly sanitized[73] investments in the firm's audit clients—thereby violating PwC and SEC conflict of interest guidelines. This led, in part, to the issuance of a proposed revision of the SEC's Auditor Independence Requirements[74] for auditors of companies that file SEC documentation in the United States. Among other guidance provided, the revised rule sought to clarify those services that an auditor of SEC registrant companies can and cannot engage in to preserve independence of judgment in fact as well as the perception of independence. It should be noted that the matters dealt with in the proposed revision were overtaken by the SOX reforms and the resulting SEC pronouncements[75] discussed earlier in this chapter.

Although embarrassed by the initial publicity of the PwC violations, PwC, the accounting profession, and regulators such as the SEC have not required complete separation between audit or assurance services and consulting services. As previously noted, SOX has required the SEC to specify those services that can be offered to audit clients. However, even though some large firms have sold off service lines, they continue to operate multidisciplinary consulting practices offering services to nonaudit clients.

The continuation of nonattest activity requires a strong set of guidelines and organizational culture to prevent the erosion of independent judgment and professional skepticism. Professional accountants must continue to resist the temptation of focusing on the development of high-profit services to the detriment of low-margin audit services. An instance of this might be a new perversion of risk management in tax matters where the client is advised to take a questionable action based on the probability that government tax auditors are unlikely to appear because of other time demands, not because the tax treatment is in doubt. An additional aspect of a multidisciplinary firm that could cause difficulties is the potential conflict between the professional codes and practices of accountants, lawyers, and engineers. For example, tax accountants are not generally expected to blow the whistle on clients, but engineers are required to report any endangerment to life from a dangerous process or poorly maintained building.[76] Which profession's rules should prevail in the firm? Similarly, lawyers have a different standard of confidentiality that prevents them from advising competing clients, whereas professional accountants do so frequently provided that adequate safeguards are in place. We are also seeing some assurance services downgraded to the status of a nonaudit review or consulting service to lessen the legal liability involved in an effort to bolster profits. Increased attention to ethical principles for managing such conflicts of interest will be essential to the maintenance of the accounting profession's reputation in the future as well as the reputations of the other professions involved.

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[72] SEC independent consultant, *Report of the Internal Investigation of Independence Issues at Pricewaterhouse Coopers LLP*, January 6, 2000, http://www.sec.gov/news/press/pressarchive/2000press.shtml.

[73] Investment where PwC had precleared that no conflict of interests had or would occur.

[74] For the *Proposed Rule: Revision of the Commission's Auditor Independence Requirements*, July 17, 2000, see http://www.sec.gov/rules/proposed/34-42994.htm, 109. A final rule was released in January 2003.

[75] For *Final Rule: Strengthening the Commission's Requirements regarding Auditor Independence*, February 6, 2003, see http://www.sec.gov/rules/final/33-8183.htm; for *Commission Adopts Rules Strengthening Auditor Independence*, January 22, 2003, see http://www.sec.gov/news/press/2003-9.htm.

[76] Presumably, this difference in treatment is due to the higher priority attached by society (and therefore by engineers) to physical well-being as opposed to financial well-being. Society is willing to endorse the reporting of one but not yet the other.

The examples of overindulged self-interest cited in Table 6.14 put the professional's reputation at risk because the interest of the client, employer, or public may not be considered before the professional's self-interest as is expected in a fiduciary relationship. The lure of personal profit from investment positions in clients may lead to the manipulation of accounting disclosure or the choice of accounting principles, which do not communicate the real state of affairs to shareholders because the stock price gains for the investor/professional accountant are too alluring to pass up. Fortunately, such investment has been barred for years in most professional codes. Similarly, skimping on quality of service, particularly of audit service, has proven difficult to resist in the past. As competition on the basis of price of services becomes more intense, professionals would be well advised to consider the longer-term possibilities of loss of reputation, fines, and higher insurance premiums.

It is possible—but very risky—for a professional accountant to *represent more than one client in a transaction*. Even if a professional is very knowledgeable about the matter, such as would be the case if an audit client were being sold, and the buyer and seller are good friends, it is very difficult to do your best for one except at the expense of the other. Later, if the buyer or seller becomes disenchanted, they may suspect that their interest has been shortchanged and launch a lawsuit. Therefore, even if more than one client who is party to a transaction wants a professional accountant to act on their behalf, the clients should at least be warned that each should have independent representation. Sometimes, it will be advisable to select and serve only one of the clients, even if they are insistent. Whenever more than one client is served in a transaction, the professional accountant must be able to show that all reasonable precautions were taken to avoid failing to act in the best interests of all parties.

For the accountant in management, it is similarly risky to consider *serving two or more employers*. Working for two or more masters has, over the years, proven to be very difficult because of the real, latent, and imaginary conflicts of interest that inevitably arise even where the employers are not competitors. Where the employers are competitors, it is sheer folly. A variant of this ethical problem surfaces when an accountant in management *invests in a competitor*. Care must be taken to ensure that conflicting interests do not influence judgment or work performance adversely for the employer.

Blind self-interest can prove to be the undoing of professional accountants, just as blind ambition has proven to be the bane of many managers. Frequently, however, professional accountants do not suffer from blind or rabid self-interest but do lose sight of *whether they are in a profession or in business*. They would do well to remember that few businesses are accorded the privilege of engaging in fiduciary relationships. A balance is called for that involves placing the interest of the public, the client, the profession, and the firm or employer before the professional's own self-interest.

Conflicts of Interest Involving Improper Use of Influence The desire to improve the professional's own lot can lead to the improper use of influence such that the independent judgment of the professional can be undermined. For example, a professional accountant employed by a corporation might be successful in arranging for a friend to be hired by the company. However, this may put the accountant in an awkward position whereby management might then ask for a *favor in return*, such as delaying, minimizing, or not insisting that a disclosure be made. The public, shareholders, other management, and the auditors can be misled in the process.

Auditors can also be tempted with concessions. For example, they may want—and/or be encouraged by clients—to *purchase goods or services from the client* at substantial discounts beyond those available to the public. The risk is that the desire to do this or the satisfaction experienced will create a desire to subjugate public interests in favor of the interests of the management who control this privilege. Similarly, a professional employed by a corporation may wish to *buy goods or services from a supplier* at a discount. Is this a reasonable thing to do? The answer depends on the circumstances.

Alternatively, a professional in audit practice or employed by a corporation can be offered a *gift, a meal, entertainment, a trip, or preferential treatment* by a client or a supplier. Is it ethical to accept such a gift? Again, the answer depends on the circumstances. Fortunately, the guidelines outlined in Table 5.8 can be used to avoid the real or potential conflicts of interest that could develop when the giver expects a favor in return.

Conflicts of Interest Involving Use or Misuse of Information (Confidentiality) The misuse of information by a professional accountant can be detrimental to other stakeholders of the client or company involved. For example, the use of information by a professional before others have the right to use such information is unfair and considered unethical. This is the basic problem for anyone who is privy to *inside information* about a company by virtue of being the auditor or an employee—that is, an "insider"—to use that information personally or indirectly for *insider trading*. In order to ensure the basic fairness of stock markets so that the public and other noninsiders will wish to enter the market, regulatory bodies such as the SEC or the OSC require management insiders to wait until the information is released to the public before allowing insiders to trade, and then they must disclose these trades so that the public will know what has happened. The prospect of a "rigged game" in which insiders have an unfair advantage would not be in the public interest or in the interest of the corporations using the market for fund raising in the long run. Insider trading rules also apply to the families of the insider, extending to those who are not part of the immediate family but for whom the insider has an obvious ability to influence. Some individuals with high-profile jobs in the public service go even further to avoid such conflicts of interest. In order to be considered entirely ethical, some politicians place their holdings and those of their dependents into so-called blind trusts, which are managed by someone else with instructions, and who agrees not to discuss trades or holdings with the politician.

The situation for auditors is somewhat different in that the ownership of shares or financial instruments of a client is forbidden based on the real or potential conflict of interest that would be created, as discussed in earlier segments of this book. Most auditing firms extend this ban in two ways. First, the ban is applied to the auditor's family and persons who would be considered significant dependents or subject to influence. Second, the ban may also apply to any client of the firm, even if that client is serviced through a wholly separate office (for international firms, even in another country) with which the individual does not have contact on a normally occurring basis. Where the ban is relaxed on trading in shares of the firm's clients for employees not directly involved in the client's affairs, extreme care should be taken through information barriers/firewalls and reporting/scrutiny mechanisms to manage the conflict of interest created. The extent of attention to the prevention of insider trading and the perception of it is indicative of the alarm with which most firms view its prospect.

Confidentiality is the term used to describe keeping confidential information that is proprietary to a client or employer. The release of such information to the public or to competitors would have a detrimental effect on the interests of the client, and it would be contrary to the expectations of trust in a fiduciary relationship. In the case of an auditor, this expectation of trust and privacy is vital to the client's willingness to discuss difficult issues, which are quite germane to the audit, to get the opinion of the auditor on how they might be dealt with in the financial statements and notes. How frank would the discussion of a contentious contingent liability be if there were a possibility the auditor would reveal the confidence? How could a contentious tax treatment be discussed thoroughly if there was the possibility of voluntary disclosure to the tax collection authorities? It is therefore argued that the maintenance of client confidences is essential to the proper exercise of the audit function and the provision of the best advice based on full discussion of the possibilities.

There are, however, limits to privacy that some professions have enshrined in their codes of conduct or where these limits are spelled out in regulating frameworks. Engineers, for example, must disclose to appropriate public officials when they believe a structure or mechanism is likely to be harmful to the users, as in the potential collapse of a building due to violations of the building code. In Canada, the bankruptcy of two chartered banks resulted in the requirement to report a lack of client-bank viability directly to the Federal Office of the Superintendent of Financial Institutions. In the United Kingdom, money laundering for drugs and terrorism must be reported. There is a shift in the public responsibility of auditors to an increasing expectation of action rather than silence.

The NOCLAR standards discussed above indicate how professional accountants' behavior should change when their employers or clients are not compliant with laws or regulations. If a NOCLAR event is observed or suspected, professional accountants are expected to report internally, and if the problem is not resolved effectively, then external reporting is called for except in some jurisdictions where tax concerns are not covered by NOCLAR rules. Consequently, professional accountants need to carefully consider the relevance of reporting a NOCLAR event whereas in the past they could just stay silent thinking that they were prohibited from breaking client confidences by a strict interpretation of confidentiality guidelines except in a court of law or subject to a disciplinary hearing. In this sense, the NOCLAR rules represent a considerable step forward in maintaining public trust. It is important to note that a professional accountant will need to consider resigning to avoid association with a misrepresentation whether or not the NOCLAR rules apply.

That said, the exemption from reporting a NOCLAR tax event externally remains a continuing problem for the reputation of the profession. However, reporting it to the auditors should protect the public from misleading tax provisions, thus reducing the potential problem somewhat. Of course, there would still be the risk of tax auditors not discovering tax evasion (an illegal or suspected illicit tax reduction).

It needs to be said that looking the other way when confronted with tax evasion does not appear to make ethical sense. In some cases, the professional involved may believe that the interpretation involved is debatable so that the problem is one of "avoision," and its borderline nature is worthy of support until the authorities find and rule on the problem. Avoidance of taxes is, of course, quite legal; avoision reflects borderline practices, and evasion is both illegal and unethical.[77] The boundaries are blurred, so access to confidential consultation on these matters is essential to proper ethical action.

Enron's use of tax avoidance strategies that is reported in Chapter 2 offers an interesting case of avoidance and probably qualifies as avoision, according to the U.S. Senate Committee on Finance report.[78] The reaction to Enron's tax avoidance transactions added to the trends of (1) closing loopholes, such as using accommodation parties; (2) increased scrutiny of the business purpose of transactions; and (3) increased sanctions for extra-aggressive interpretations. The resulting publicity, potential loss of reputation, and potential for lawsuits have caused responsible advisors to be more circumspect in

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[77] Lynch, T. 1987. "Ethics in Taxation Practice." *The Accountant's Magazine*, November, 27–28.

[78] U.S. Senate Committee on Finance, *Report of the Investigation of Enron Corporation and Related Entities regarding Federal Tax and Compensation Issues, and Policy Recommendations, Volume 1: Report*, February 22, 2003, **http://www.cengage.com.**

judging tax treatments. This represents a significant change in thinking for many professionals engaged in tax practice.

Another tax practice, that of *risk management*, is worthy of comment here. If the risk management relates to a tax matter that is in doubt, that is an issue of avoision and worthy of estimation of the risks and support. However, if the risk management involves estimating whether a known illegality will be found because tax auditors are spread too thin, then the practice would appear to represent support for an evasion of tax.

Questionable Tax Services & Practices In addition to the practices of avoision and evasion mentioned above, several tax practices/services have proven to be areas in which professional accountants were vulnerable to costly conflicts of interest that brought serious financial and reputational consequences for their firm and themselves. In addition, corporations and the accounting profession should consider carefully those practices that may further harm reputations. Professional accountants should be well aware of the potential of the following:

- Marketing overly aggressive tax shelters
- Unfair reduction of taxes:
    - Transfer pricing
    - Reverse takeovers

These questionable practices are discussed below.

Marketing Aggressive Tax Shelters: Going Too Far In the 1935 tax case of *Gregory v. Helvering*, the U.S. Supreme Court ruled that a taxpayer can engage in any legal activity to reduce the amount of tax that is owed to the government. "The legal right of a taxpayer to decrease the amount of what otherwise would be his taxes, or altogether avoid them, by means which the law permits, cannot be doubted."[79] A similar ruling occurred in Great Britain in 1936 when Lord Tomlin ruled in favor of a tax avoidance scheme perpetrated by the Duke of Westminster that had been appealed to the House of Lords.

Over the intervening years, taxpayers and tax practitioners have devised a number of tax shelters to reduce taxes. Unfortunately, not all of them have been legal.

The advantage of tax shelters, from the tax practitioner's point of view, is that the costs are normally incurred in developing the shelter. Afterward, the more times the shelter can be sold, the larger the return on the practitioner's investment. In the 1990s, Ernst & Young (E&Y) designed four tax shelters that effectively delayed the paying of tax on stock options for up to thirty years. The complicated schemes were sold only to the richest of E&Y's clients, two of whom were William Esrey and Ronald LeMay, the two senior executives at Sprint Corporation, an E&Y audit client. Each had received stock options of about $300 million, which, when exercised from 1998 to 2000, generated taxes payable of $159 million and $60 million, respectively. However, because they had bought tax shelters from E&Y, they each paid no tax. The Internal Revenue Service (IRS) rejected the tax shelters, and each man had to pay the tax on the stock options as well as fines and penalties. E&Y paid a $15 million settlement to the IRS on July 2, 2003.

From 1996 to 2003, KPMG was also selling tax shelters to their wealthy clients. These tax shelters were targeted only at individuals who paid tax of $10 million to $20 million. Through a complicated series of transactions involving offshore bank accounts, joint

[79] U.S. Supreme Court, *Gregory v. Helvering*, 293 U.S. 454 (1935), http://supreme.justia.com/us/293/465/case.html.

ventures, and foreign currency purchases, the taxpayer invested \$1.4 million and then was able to declare a \$20 million loss for tax purposes. These plans generated \$11 billion of artificial tax losses for KPMG clients that cost the government over \$2.5 billion in lost taxes.

In January 2004, KMPG announced that it was being investigated by the government concerning the sale of its tax shelters. KPMG chair Eugene O'Kelly decided not to settle with the government. After O'Kelly retired for health reasons, Timothy Flynn became chair. He was in a dilemma. If KPMG went to court and lost, then KPMG might go out of business. In 2002, Arthur Andersen was convicted of obstruction of justice with respect to the Enron audit. Andersen's reputation was so damaged by its association with Enron, the resulting provisional suspension by the SEC as an auditor of SEC registrant companies, and the criminal charge that, by the time the firm was eventually convicted, it had lost most of its clients and staff. Andersen ceased to exist. The same fate might happen to KPMG if it lost the court case. So, in August 2005, Flynn settled with the government. Instead of being put out of business, KPMG paid a \$456 million fine, the largest penalty ever imposed on an accounting firm, and agreed to be monitored for three years. "Eight former partners and a lawyer who provided advice to KPMG were charged with tax-shelter fraud."[80] KPMG also put Jeffrey Eischeid, the former partner in charge of this area of service, on administrative leave some time after he had testified that

> the tax strategies being discussed represent an earlier time at KPMG and a far different regulatory and marketplace environment. . . . None of the strategies—nor anything like these tax strategies—is currently being offered by KPMG.[81]

It was argued that KPMG "scrambled" to avoid criminal prosecution as a firm because conviction could have caused the same fate of collapse and bankruptcy that Arthur Andersen suffered. Other major accounting firms were also fined and settled out of court for similar tax service problems. The ethics case "Marketing Aggressive Tax Shelters," located at the end of this chapter, is about these issues.

The government also contended that KPMG had issued fraudulent opinion letters. The firm had made false claims about the legitimacy of the tax shelters. They had said that the purpose of the shelters was to diversify their clients' portfolios when in reality they were sham transactions. Nor did KPMG disclose that they were not independent—that the firm had designed and implemented and was marketing the shelters. KPMG admitted to criminal wrongdoing and paid the fine.

Then, in 2007, four E&Y partners pled guilty to tax fraud. They had been selling a different set of tax shelters to some of their wealthy clients. These shelters involved foreign currency options, partnerships, and shell corporations. From 1999 to 2001, these shelters were sold to about 400 individuals, generating fees of \$121 million for E&Y. The government claimed the shelters were bogus and disallowed the tax deductions. The E&Y partners involved in the scheme were fired from the partnership and brought up on charges by the IRS. Although the partnership itself was not prosecuted, E&Y's reputation was once again harmed by its association with fraudulent tax planning schemes.

In 2012, BDO USA paid a \$50 million fine as a result of designing, promoting, and implementing illegal tax shelters that cost the U.S. government \$1.5 billion. Two years later, the last of three partners of BDO was fined and sent to prison for his role in devising these illegal tax shelters that benefited only the accounting firm's wealthy clients.

Professional accountants are required to serve or uphold the public interest. This is a nonnegotiable requirement. Accounting firms are expected to be profitable while not

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[80] Peter Morton, "KPMG Pays US\$456 Million to Settle Fraud Allegations," *Financial Post*, August 30, 2005, FP1.

[81] Robert Schmidt, "Tax-Shelter Pressure Sparks KPMG Shakeup?" *Financial Post*, January 13, 2001, FP4.

compromising this fundamental tenet. BDO, E&Y, and KMPG put the profit motive ahead of the public interest. (So, too, had Arthur Andersen, which contributed to its demise.) These firms were reaping large commissions from selling tax shelters. In addition, the tax shelters themselves were only for the benefit of a select group of super-rich individuals who were able to reduce their tax liability to zero. Because the accounting profession would not police itself, the IRS issued *Circular 230*.

Tax Accountants Need to Act Professionally The tax shelter settlements indicated to the government that tax practitioners were not being responsible. So, in 2007, the IRS issued *Circular 230*,[82] which imposes professional conduct standards on anyone, including tax accountants and lawyers, who prepares tax returns or provides U.S. tax advice for compensation. In general, tax preparers and advisors must exercise due diligence in preparing tax returns and providing tax advice, especially by assessing the correctness of the information provided by the client.

Circular 230, which was updated in 2014, lists a set of best practices. The tax accountant must do the following:

- Provide the highest level of quality professional care, acting fairly, and with integrity.
- Communicate clearly with the client so that the client's needs and expectations are understood.
- Establish the facts of the tax situation and then draw a conclusion that is consistent with the facts and the applicable tax laws.
- Advise the client about the consequences of the conclusions reached and any potential penalties.
- Not advise the client to take a patently improper or frivolous position.

Furthermore, the accountant must do the following:

- Not charge "unconscionable" fees or charge contingency fees, except in a few restricted circumstances.
- Avoid conflicts of interest when representing more than one client.
- Not engage in false or misleading advertising or solicitation.
- Not cash IRS checks on behalf of clients.

Overall, the accountant must ensure that the tax returns and the tax advice are based on realistic assessments. If challenged, the returns and the advice should be able to be sustained on their merits. In other words, the returns and advice cannot be frivolous.

Circular 230 also addresses tax shelters, called "covered opinions." The accountant cannot provide advice that has tax avoidance or evasion as its principal purpose. However, a "reliance opinion" can be issued that provides tax advice that the accountant believes would probably be decided in the client's favor if challenged by the IRS. Once again, the accountant is not to advise the client to act frivolously. Instead, the accountant is to ascertain the facts, make reasonable assumptions, and then draw a conclusion that is consistent with the tax laws and where the outcome has a probable likelihood (i.e., better than a 50% chance) of success. The conclusion, called a "marketed opinion," must be written to support the marketing of the proposed tax strategy.

[82] Treasury Department Circular No. 230 (Rev. 4—2008), "Regulations Governing the Practice of Attorneys, Certified Public Accountants, Enrolled Agents, Enrolled Actuaries, Enrolled Retirement Plan Agents, and Appraisers before the Internal Revenue Service," http://www.irs.gov/pub/irs-utl/circular_230.pdf.

A consequence of *Circular 230* is that tax accountants and tax lawyers are adding standard disclaimers to all their written communications, including email. The disclaimer often says, in part, that "we are required to advise you that any tax advice contained herein is not intended or written to be used for the purpose of avoiding tax penalties that may be imposed by the IRS." Rather than performing the required due diligence when providing tax advice, they are opting to be more cautious. They are now choosing to err on the side of avoiding any potentially costly ramifications when they are providing advice that they are being paid to provide.

The NOCLAR rules also apply to external accountants who are preparing tax returns as part of an audit or as a separate engagement, as well as to internal accountants who are providing tax advice to their employers. Similar to the requirement discussed earlier in this chapter, the NOCLAR rules apply when an accountant becomes aware of non-compliance or suspects non-compliance with tax laws and regulations. The first obligation is for the accountant to fully understand the issue and its implications for the company as well as other stakeholders. Afterward, the accountant needs to discuss the issue with the appropriate level of management. If management does not address the issue, then the accountant must determine if further action is needed in the public interest. Such further action might include disclosing the matter to the appropriate regulatory authority. No matter what course of action is followed, the accountant must ensure that there is full and accurate documentation on the matter. Prudentially, the accountant might also want to consult with a lawyer.

Tax Haven Revelations: The Panama & Paradise Papers In April 2016, an anonymous hacker named John Doe provided the German newspaper *Süddeutsche Zeitung* with over 11.5 million files from the database of the Panama-based law firm Mossack Fonseca. The information, now known as the Panama Papers, revealed the existence of hundreds of thousands of offshore shell companies used by the wealthy of the world to avoid paying taxes. Among the wealthy mentioned in the Panama Papers were African despots, drug lords, friends of Russian Premier Vladimir Putin, as well as international businesspeople and politicians. Within one week of the release of these documents, the prime minister of Iceland, Sigmundur Gunnlaugsson, resigned over allegations that his family hid millions in offshore tax havens. Similarly, British Prime Minister David Cameron came under severe criticism when it was discovered that his late father had invested in these offshore tax shelters.[83]

A year later, another hack of tax documents from the Bermudian law firm of Appleby was also sent to the German newspaper *Süddeutsche Zeitung* which shared the information with the International Consortium of Investigative Journalists, a non-profit global network of journalists and media organizations in more than 100 countries. The 13.4 million leaked documents revealed the offshore interests of wealthy individuals and corporations. This expanded on the revelations contained in the Panama Papers. Called the Paradise Papers, it listed the names of those who had sheltered their money offshore. This included royalty such as King Charles III and his late mother Queen Elizabeth II, former Canadian politicians such as Jean Chretien and Brian Mulroney, businesspeople such as Stephen Brofman and Carl Icahn, celebrities including Nicole Kidman and Madonna, and corporations such as Amazon, Apple, and Nike. The documents detailed how these wealthy individuals and businesses hid or minimized their tax burdens by transferring funds into offshore companies and tax havens.[84]

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[83] J. Garside, L. Harding, H. Watt, D. Pegg, H. Bengtsson, S. Bowers, O. Gibson, and N. Hopkins, "Mossack Fonseca: Inside the Firm That Helps the Super-Rich Hide Their Money," *The Guardian*, April 8, 2016.
[84] ICIJ, "Offshore trove exposes Trump-Russia links and piggy banks of the wealthiest 1 percent," *International Consortium of Investigative Journalists*, November 5, 2017.

In 2017, the International Consortium of Investigative Journalists (ICIJ) released approximately 12 million records that detailed how the global elite hid their money through tax havens, offshore accounts, and shell corporations. Called the Pandora Papers, the ICIJ uncovered the "financial secrets of 35 current and former world leaders, more than 330 politicians and public officials in 91 countries and territories, and a global lineup of fugitives, con artists and murderers."[85] The prominent politicians included the King of Jordan and former British Prime Minister Tony Blair and his wife Cherie; sports personalities Jacques Villeneuve and Elvis Stojko; musicians Elton John and Ringo Starr; and organizations such as Abbott Laboratories and RJR Nabisco. Some tax havens and shelters are legitimate and legal. Others are not. A 2020 study by the Organisation for Economic Co-operation and Development estimated that at least $11.3 trillion was held offshore.[86]

In 2025, the ICIJ reported that the leak of the Panama Papers resulted in various governments recouping millions of dollars in back taxes, fines, and penalties. These included:

- United Kingdom—$252.8 million
- Sweden—$237.2 million
- France—$208.5 million
- Spain—$175.3 million
- Germany—$87.4 million

In total 23 countries collected $1.3 billion.[87] Because of the revelations in the Panama Papers, the Canadian government completed 310 audits into taxpayers named in the Papers. By 2025, the province of Quebec had collected $30 million. Thanks to the Paradise Papers, the Quebec government assessed a further $16.1 million and the Canadian government another $6.8 million.[88]

Tax Havens & Ethical Responsibilities Members of the accounting profession design, promote, and sell tax shelters to their wealthy clients. Occasionally, the accounting firms go too far and create illegal shelters, as was the case with E&Y in 2003, KPMG in 2005, and BDO USA in 2012. Not only have the accounting firms pleaded guilty to engaging in tax fraud and paid fines of $15 million, $456 million, and $50 million, respectively, but tax partners from E&Y and BDO USA have been sent to jail. Clearly, professional accountants are not to engage in illegal activities. But what about tax schemes that are legal but perceived to be socially unacceptable such as those revealed in the Panama, Paradise, and Pandora Papers?

The accounting profession operates as a self-governing body whose purpose is to promote the best interests of society, even at the personal expense of the professional accountant. Public accountants must always put the public's interests first. The *AICPA Code of Professional Conduct* states that when a conflict of interest arises, if public accountants fulfill their obligations to protect the public interest, then the interests of all members of society are best served. Are tax shelters that are designed for the richest 1% of the world's population in the public's best interests?

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[85] ICIJ, "Offshore havens and hidden riches of world leaders and billionaires exposed in unprecedented leak," *International Consortium of Investigative Journalists*, October 3, 2021.
[86] Ibid.
[87] Jesús Escudero and Delphine Reuter, "Hundreds of millions more dollars recouped by governments after ICIJ investigations," *International Consortium of Investigative Journalists*, April 3, 2025.
[88] Zach Dubinsky, "Panama Pares leak has led to nearly $2B in recouped taxes for governments," *CBC*, April 4, 2025.

Tax accountants are obligated to encourage their clients to invest in legally authorized tax shelters, such as 401(k)s and individual retirement accounts in the United States, registered retirement savings plans in Canada, and private pension contributions in Great Britain. These tax shelters are specifically sanctioned under the law. Should tax accountants also spend an inordinate amount of time, trouble, and effort poring through the *Income Tax Act*, searching for the smallest flaw or unintentional ambiguity in the law, in order to minimize the taxes paid by the wealthiest?

Many accountants argue that they are doing nothing illegal in putting their clients into questionable tax shelters. The problem with this argument is that professional accountants must always obey the law. The law is the minimum standard of acceptable behavior. However, accountants are required under their professional codes of conduct to hold themselves to a higher standard than simply obeying the law. They have ethical and professional obligations to act in the best interests of society, even at their own or their clients' expense.

This illustrates the ongoing dilemma for tax accountants: how do they serve their clients' best interests while promoting the public interest? Their clients want tax minimization. Society, on the other hand, believes questionable tax shelters, designed by clever tax accountants to minimize the taxes of the wealthiest members of society, to not be in the public's best interest.[89] Tax accountants must think long and hard about this ethical dilemma and how to best balance these conflicting interests. (Refer to the ethics case "KPMG's Questionable Tax Shelters" at the end of this chapter.)

Transfer Pricing to Artificially Reduce Tax Multinational corporations (MNCs) can use transfer pricing to shift or move profits to jurisdictions with low or no tax. Is this ethical? Is it legal? Professional judgment is definitely required to ensure responsible outcomes.

MNCs need to account for activities among their subsidiaries that are located in different countries around the world. The final product or services may be the result of a number of different activities and procurements that have occurred among the MNC's global operations. Each of these operations is normally conducted by a subsidiary company of the MNC that is incorporated as a legal entity in a foreign jurisdiction. Transfer pricing is a mechanism to allocate a fraction of the overall profits of the MNC to the legally independent subsidiary companies that helped to generate the ultimate profit. But how should those profits be allocated among the subsidiaries?

The choice of transfer pricing approach can make a big difference to the taxes payable to countries in the supply chain—so much so that the Organization for Economic Co-operation and Development (OECD) developed a set of guidelines to help companies determine the appropriate transfer price and avoid charges and fines for misallocation. The three different measurement approaches identified by the OECD, each of which requires a high degree of professional judgment to apply, are the following:

- *Comparable uncontrolled price*. This is the most popular method according to an E&Y report. It is used as the transfer price: the price that would be in effect if the transaction was between two parties dealing at arm's length. The presumption is that two parties dealing at arm's length represent an uncontrolled price. For example, if raw sugar is sold by one subsidiary to another subsidiary, then the transfer price should be the comparable price that would have been in effect if the subsidiary had sold the raw sugar to an independent third party.

[89] For a longer discussion of this point, see P. Dunn, "Accounting Profession: Heal Thy Self," *The Globe and Mail*, May 16, 2016, B4.

- *Resale price method*. This approach adjusts for any gross margin that would have been included in a sale to an independent third party. For example, assume that two distributors sell the same product but one distributor includes a warranty and the other does not. In that case, the transfer price should be adjusted for the warranty.
- *Cost-plus method*. This approach adds a markup to the cost of the product. This method is normally used when semifinished goods are transferred among subsidiary companies.

Because cross-border transactions among related companies are taxed according to unilateral tax laws (i.e., each country has its own) and bilateral tax treaties (countries may agree to respect each other's tax treatments), an accountant can adjust the transfer price of products so as to shift profits from high-taxation countries to those with low-tax regimes.

MNCs can use transfer pricing to artificially shift profits from one jurisdiction to another, normally from high-tax countries to countries with low tax rates. These tax-haven countries include Ireland, Bermuda, Liechtenstein, the Isle of Man, the Bailiwicks of Jersey and Guernsey, and the Cayman Islands. Through the use of transfer pricing, MNCs can legally, albeit questionably, reduce the corporate taxes that they pay. (Refer to the ethics case "Multinationals and Tax Planning" at the end of this chapter.) Various suggestions have been made to minimize this problem:

- Develop a common tax base for companies and divide that among the various countries in which the MNC has its operations. This would result in no tax advantage of shifting profits to a low-tax regime. However, it could be almost impossible to reach an agreement among the sharing countries.
- Allocate taxes based on a number of operational factors, such as gross sales, the number of employees, and invested capital. This would limit having tax-haven countries generate disproportionately large percentages of the company's pretax profits.

Accountants working in industry should always consider all the relevant stakeholder groups and not only the shareholders. Shareholders may benefit from a reduced tax expense for the firm, but society may not be better off. Businesses enjoy the benefits of being in society, and in return they should demonstrate their financial responsibility to society. Taxes help fund the social services that businesses enjoy. Without an adequate tax base, businesses will not have the infrastructure that makes for an efficient and effective flow of goods and services. These services are not free, so everyone should pay their share. Unless all governments agree to a standardized system, the problem will continue.

Transfer pricing schemes that accountants design and use have significant financial as well as social implications. Transfer prices should approximate a fair representation of the costs and benefits that flow from one subsidiary to another subsidiary. The transfer price should not be adjusted to reduce a business's tax liability. Tax planning is a legitimate accounting goal, but artificially minimizing taxes through questionable, albeit legal, transfer prices is ethically questionable. When transfer prices do not result in a fair distribution of profit among countries, the result becomes *tax avoidance*, and significant fines and recovery of profits are increasingly likely, in addition to loss of corporate and personal reputation. Determining what is to be a fair distribution of profit requires a finely tuned sense of professional judgment. Errors in that judgment will result in serious loss of reputation and large fines in the future.

Transfer Pricing by Apple Inc.

In 2012, substantially all of Apple's hardware was manufactured in Asia, and the final assembly occurred in Ireland. From Ireland, the final products then were shipped to its stores around the world for sale to Apple customers. According to its 2012 annual report, net sales were as follows:

	Billions	Percent
Americas	$ 57.5	36.7
Asia	43.9	28.1
Europe	36.3	23.2
Retail	18.8	12.0
Total sales	$ 156.5	100.0

However, 65% of Apple's net income was shifted to and reported as being earned in Ireland, where no tax was paid. The highest region of sales and the place where product ideas came from was the United States, but comparatively lower profits were reported there, so low taxes were paid. To many Americans, it appeared that Apple was not paying its fair share of tax in the United States.

In response to a public outcry, in May 2013, Tim Cook, the CEO of Apple Inc., was questioned by a panel of U.S. senators on its offshore tax practices. The senators said that Apple's transfer pricing policies were "convoluted," "pernicious," and "harmful." Cook's response was that Apple paid all the taxes that were required by law.

Transfer pricing allowed Apple to move $30 billion in profits from 2009 to 2011 to its Irish subsidiary, Apple Operations International, which paid no corporate income taxes on those profits. Another Irish subsidiary, Apple Sales International, earned $22 billion in pretax profits on its sales of products in Europe, Asia, the Middle East, and Africa. Apple Sales International paid only $10 million in taxes, for an effective tax rate of 0.05%. Tim Cook was correct. None of these transactions were illegal, but they were ethically questionable because they did not appear to be fair.[90]

Transfer pricing practice continues to evolve. For example, the determination of what factors should be considered in transfer prices has been affected by the development of the *Business Reality Test*, which stemmed from a Supreme Court of Canada decision related to GlaxoSmith Kline Inc., which is described below.

The Business Reality Test for Transfer Pricing

Transfers between related companies should be at arm's length, on the same terms as if the parties were negotiating independently. What factors should be included when determining those prices? In 2015, the Supreme Court of Canada ruled that transfer pricing decisions must consider all economically relevant factors when determining a fair price. The issue arose with respect to GlaxoSmithKline Inc. (Glaxo Canada).

[90] J. Slater and B. Curry, "U.S. Grills Apple on Offshore Tax Practices," *The Globe and Mail*, May 22, 2013, B1, B8.

Glaxo Canada is the Canadian subsidiary of Glaxo Group plc, a U.K. corporation. Adechsa is a Swiss subsidiary of Glaxo Group. Ranitidine is the primary ingredient in the drug Zantac. Adechsa sold ranitidine to Glaxo Canada for $1,521 to $1,651 per kilogram. Other pharmaceutical companies were purchasing ranitidine for $194 to $304 per kilogram to manufacture a generic alternative to Zantac.

Canada Revenue Agency (CRA) disallowed the deductibility of Glaxo Canada's payments to Adechsa on the basis that they were higher than arm's length prices. Glaxo Canada argued that it had to pay a 6% royalty to Glaxo Group as part of a licensing agreement allowing Glaxo Canada to use the Zantac name. Therefore, the payments to Adechsa were valid given the licensing agreement. A lower court ruled in favor of CRA on the basis that the two agreements covered separate matters.

On appeal, the Supreme Court of Canada overruled the lower court, saying that the Glaxo Canada payments were reasonable in the circumstances. The issue concerned "an inquiry into those circumstances which an arm's length purchaser, standing in the shoes of [Glaxo Canada] would consider relevant"[91] in deciding how much it would pay for ranitidine. The relevant factors were:

- Glaxo Group owned the intellectual property associated with Zantac,
- Zantac commanded a price premium over its genetic equivalents, and
- Without the licensing agreement, Glaxo Canada would not have been able to sell Zantac.

Therefore, the Supreme Court ruled that the prices Glaxo Canada paid for ranitidine were reasonable.

The importance of this case is that it established a business reality test for transfer pricing. Prices cannot be set in isolation from other transactions and agreements when determining the relevant prices of goods or services that are transferred between related parties. Transfer prices need to be sensitive to the economic environment in which they occur.

Corporate Inversions Corporate tax rates are not uniform throughout the world. The United States, for example, has a rate of approximately 21%, whereas Ireland and Liechtenstein have low corporate rates of approximately 12.5%. There is, therefore, an economic incentive for American multinationals to be domiciled in countries with low tax rates.

One strategy for American multinational corporations is to engage in a reverse-takeover merger whereby a larger (American) company essentially buys or merges with a smaller (foreign) company and then moves the corporate headquarters of the newly merged company from the United States to the foreign jurisdiction. Burger King, an American company based out of Miami, did this when it merged with Tim Hortons, a Canadian company, and moved the corporate headquarters of the newly merged company to Canada. The American pharmaceutical company Pfizer wanted to merge with the Irish company Allergan and have the new company's headquarters be located in Ireland. Why do these mergers occur? Because the corporate tax rates in Canada and in Ireland were less than those in the United States. (Refer to the feature offered below: "Tax Inversions: Deal and No Deal.")

In the United States, foreign profits are taxed only when the profits are repatriated into the United States. Some companies adopted the following strategy to get around the tax burden involved. A multinational American company buys or incorporates a subsidiary company in a foreign country that has a corporate tax rate lower than the U.S. rate.

[91] Julius Melniter, "GlaxoSmithKline Transfer Pricing Case Settled," *The Financial Post*. January 12, 2015, https://business.financialpost.com/legal-post/glaxosmithkline-transfer-pricing-case-settled.

The American company then ensures that the profits of the multinational corporation are "earned" in the low-tax-rate foreign country. Then the American company borrows funds (i.e., the earned profits) from the foreign company, so the money comes back to the United States, but no tax is paid. Furthermore, the interest paid on the borrowed funds is tax deductible in the United States at the high tax rate, but it is taxed as income at the low tax rate in the foreign jurisdiction. This is referred to as earnings stripping.[92]

These offshore arrangements were referred to as corporate tax inversions. Corporate inversions were popular prior to 2017 when the American tax rate was 35%. It was used less often when the tax rate was reduced to 21%. However, inversions are still possible for non-U.S. corporations. The ethical question concerns whether it is correct to utilize these tax planning strategies. Certainly, the corporation benefits, as do the shareholders. It is also a means of increasing tax revenues for the low-tax-rate jurisdiction. But this comes at a cost to the high-tax jurisdiction. It raises the question, Should professional accountants, who are obligated to uphold the public interest, engage in legal tax planning schemes that lower the taxes for (e.g., American) multinational corporations while increasing the tax burden for the rest of American society? There is the possibility that these schemes may become illegal. Should the accounting profession wait for a public outcry and government intervention, or should accountants stop using them now?

Tax Inversions: Deal & No Deal

In December 2014, Burger King and Tim Hortons merged to become Restaurant Brands International, with its corporate headquarters located in Oakville, Ontario. This $12 billion merger created the third-largest fast-food chain in the world, with 18,000 locations in ninety-eight countries and global sales of $23 billion. After the merger, the two restaurant chains continued to operate as independent entities; Burger King, with its 13,667 restaurants, still had its headquarters in Miami, Florida, and Tim Hortons, with its 4,546 restaurants, still had its headquarters in Oakville. No formal explanation was provided as to why corporate headquarters was located in Ontario with operating headquarters in Miami and Oakville. However, prior to the merger, Burger King's tax rate in the United States was approximately 35%, while Tim Hortons's tax rate in Canada was about 26%.

In November 2015, the two giant pharmaceutical companies Pfizer and Allergan announced a $160 billion merger that would create the world's largest pharmaceutical company by sales. Pfizer's shareholders would have a 56% interest in the new combined company; Allergan's shareholders would own the remaining 44%. Pfizer is an American company with its headquarters in New York City; Allergan is Irish with its headquarters in Dublin. It was announced that the new company would have its operational headquarters in New York City, but its corporate headquarters would be in Dublin. The announcement also said that the new company's effective corporate tax rate would be between 17% and 18%. Pfizer's tax rate at the time of the announcement was approximately 25%, and the tax savings by engaging in the merger were estimated to be approximately $1 billion annually.

On Monday, April 4, 2016, the U.S. government announced new rules that limited tax inversions. The following day, Pfizer announced that it was canceling its merger with Allergan.

Source: T. Kiladze, "Explainer: What Is Tax Inversion and What Does It Have to Do with Donuts?," *The Globe and Mail*, August 25, 2014; C. Humer and R. Pierson, "Obama's Inversion Curbs Kill Pfizer's $160 Billion Allergan Deal," *Reuters*, April 6, 2016.

[92] V. Houlder, "Tax Inversions: What the New Rules Mean," *Financial Times*, April 5, 2016.

Laws & Jurisprudence

Professional accountants can also refer to legal cases and lawyers for interpretations of their legal liability and potential defenses. To assist the reader, an analysis of trends and a synopsis of important legal decisions are included in the digital archive for this chapter, "Trends in the Legal Liability of Accountants and Auditors and Legal Defenses Available." It documents an early trend to a broadening of liability from strict "privity of contract" with existing shareholders to "foreseeable parties" who might use the financial statements. Partly to counteract the trend to very excessive liability, *Hercules Managements Ltd. et al. v. Ernst & Young* (1997) decided in favor of very limited liability for auditors. Since this case was defended on the rather bizarre basis that financial statements should not be used for investment decision purposes and therefore that an auditor has no legal liability to shareholders and investors, most observers believe that it is a temporary diversion in a progression toward greater auditor liability. In fact, the U.S. Senate Permanent Subcommittee on Investigations stated in its *Report on the Collapse of Enron* that financial statements and an auditor's independent opinions thereon were essential to the public investment process and its credibility.

To counter the trend toward greater auditor liability, safe-harbor or limited liability arrangements are emerging for auditors. As noted in the later discussion of limited liability partnerships (LLP), these limit the dollar value of legal damages each partner has to bear from each lawsuit. LLPs, however, will not stop lawsuits.

Caution should be exercised in the application of legal standards to ethical problems, however, for three reasons. First, the law appears to offer timeless wisdom when in reality it is continuously changing as it tries to catch up to the positions society believes are reasonable. In other words, the law generally lags behind what society views as ethically desirable.

Second, and more importantly, *what is legal is not always ethical*. According to former U.S. Supreme Court Justice Potter Stewart, ethics is "knowing the difference between what you have the right to do and what is right to do." There are plenty of examples of this difference between legal standards, moral standards, and ethical standards. For example, a company may be able to pollute in a way that is harmful to the health of its workers in a developing country because the local standards are less stringent than at home in North America. Sometimes the legal standard is clear, such as in tax matters or bribery, but large portions of society do not adhere to it, so the mores or norms expected are different. What behavior is right? Legal, moral, and ethical standards are different and should be recognized as such.[93]

The third reason for caution in placing too much reliance on legal interpretations and remedies is that they appear not to be highly relevant to the launching of or final disposition of lawsuits, particularly in the United States. Of 800 allegations of audit failure during the period 1960–1990 against the fifteen largest audit firms in the United States, only sixty-four were tried to a verdict.[94]

In the period 1996 to 2009, researchers found that the SEC was less likely to name one of the major accounting firms as a defendant when companies engage in accounting misrepresentations.[95] (This could be because the major accounting firms conduct more thorough audits. However, the instances of misreporting were proportionate to the number of

[93] For a fuller description of the differences between legal, moral, and ethical standards, see Chapter 3.

[94] Palmrose, Z. V. 1992. "Trials of Legal Disputes Involving Independent Auditors: Some Empirical Evidence." *Journal of Accounting Research* 29, supplement: 149–85.

[95] Kedia, S., Khan, U., and Rajgopal, S. 2018. The SEC's enforcement record against auditors. *Journal of Law, Finance, and Accounting*, 3: 243–289.

companies that were audited by the large firms.) Furthermore, the SEC relied on administrative proceedings in which an administrative law judge decided the case, instead of the tougher civil proceedings against auditors where the SEC asks for a judgment by a U.S. District Court judge. Finally, the researchers found that the penalties imposed on the large firms were not as severe as those assessed on other auditors.

This was supported by another study that examined shareholder litigation against auditors in the period 1996 to 2016.[96] They found that the number of lawsuits decreased while the number of case dismissals increased. Furthermore, the dollar value of the settlements fell as well. The researchers concluded that, following two Supreme Court decisions (*Janus v. First Derivative* and *Tellabs v. Makor*), auditors' litigation exposure decreased.

By far, the highest percentage of cases cited in the Palmrose study were settled for practical reasons rather than legal precedent. Usually, audit firms found it cheaper to settle than to fight in court. The cost to their pocketbooks in legal fees and lost billable time, particularly to their reputation, rarely made recourse to the courts a sensible option, even where lawsuits were without legal foundation. This trend toward settlement has accelerated and shows no sign of reversal.

The reasons for this bizarre situation are outlined in a position statement authored by the Big 6 audit firms in August 1992 titled *The Liability Crisis in the United States: Impact on the Accounting Profession*. This statement, which is included as a chapter reading, indicates that several quirks that have developed in the legal framework and process are responsible for an intolerable level of liability for audit professionals—a level that has resulted in individuals who have been offered partnerships hesitating or declining the offer and in the bankruptcy in 1990 of one of the largest audit firms, Laventhol & Horwath. As the heads of the Big 6 said, "To restore equity and sanity to the liability system and to provide reasonable assurance that the public accounting profession will be able to continue to meet its public obligations requires substantial reform of both federal and state liability laws." Several reforms were suggested in the statement, but they have been slow to appear because of the multiple jurisdictions involved, the entrenchment of the practice of contingent legal fees, and the *Principle of Joint and Several Liability*.

Two developments are worthy of comment. In December 1995, the U.S. Congress enacted the *Private Securities Reform Act*, which changed auditor liability from having to share equally with all partners to having to bear a portion allocated by the jury involved (Andrews & Simonette 1996, 54). Secondly, the organizational form of the accounting firm was allowed to be altered to an LLP in many jurisdictions to provide limited liability for nonculpable partners of the firm. Historically, accounting firms were required to be partnerships where, if the firm was sued, each partner was "jointly and severally liable" and was required to pay the full loss from their investment in the firm (plus any additional, if required) from their personal assets. Afterward, they could sue other partners who were also liable for recovery of their fortunes if these other people had resources left. This meant that partners could lose their investment in their firm and their personal assets as well, even though someone else was at fault. This was draconian, but it was considered an appropriate way to ensure that professional accountants were very focused on providing competent service. The LLP changed this. The "innocent" partners could lose the assets they had invested in the firm whereas the "negligent" partner could lose the investment in the firm as well as, if needed, personal assets. The personal assets of an "innocent" partner were protected. E&Y became the first LLP in New York on August 1, 1994. Many other jurisdictions have enacted similar legislation.

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[96] Honigsberg, C., Rajgopal, S., and Srinivasan, S. 2020. "The changing landscape of auditors' liability." *Journal of Law and Economics*, 63: 367–410.

Given this scenario, in which the legal "cure" for a problem is still unpalatable—where a lawsuit can bankrupt a firm, although most of the partner's personal assets are untouched—"preventive medicine," or not to get into the dilemma in the first place, is preferred if at all possible. Instilling high standards of professional ethics into the values and culture of accounting professionals and their organizations can prove to be a significant safeguard against getting into practice dilemmas. Even in legal jurisdictions such as Canada or the United Kingdom, where the liability crisis is not quite as alarming, high ethical standards and skilled judgment in their application can eliminate or reduce professional exposure.

"A Lawyer's Perspective on an Accountant's Professional Obligations," which is included in the digital archive for this book, has been written by David Debenham, a lawyer qualified in forensic accounting, to develop the legal aspects underlying accountant's professional liability and the arguments for statutory changes in it. His comments raise issues that will enhance the reader's understanding of the role of professional codes, GAAP and GAAS, engagement letters, and judgment; the use of experts; range of payouts; strategies for and against inclusion of codefendants; fiduciary duty, negligence, and the duty of care; the six rules underlying integrity; professional obligations to society; and the relationship between professional and personal ethics. Most of these issues are usually dealt with by accounting or auditing professionals or ethicists, but the perspective of a practicing lawyer provides an interesting and needed anchoring of the very relevant professional obligation issues.

Moral Courage Is Vital to Professional Accounting: Globalization Heightens the Requirement

In order to serve their primary duty to society, professional accountants must not only recognize ethical and practical problems but also have the moral courage to deal with them effectively. Usually, that means having the courage to say no to a client or third party and explaining why or reporting a problem or potential problem to employers, clients, or their audit committees. Sometimes reports have to be made to professional accounting bodies and/or regulators. Whistleblowing if the professional is an employee, or resignation from an audit or other assignment if the professional is a public accountant, must always be options that are considered seriously.

Professional accountants often face choices requiring moral courage. Pressures from clients and friends and the professional's own perceived self-interest will be difficult to resist. But the reputation of the professional and of the profession ultimately depends on that resistance, whether the challenges come from conflicts of interests or from limitations on scope or capacity.

For example, after encountering significant audit problems, a professional accountant must resist rendering a clean audit opinion. These problems may be even more acute when they occur in a foreign jurisdiction. The courage to disclose such problems or take suitable alternative measures must be considered and actions taken. Sometimes the valuation of assets in a precarious locale may have to be reduced to zero. Some of the situations that would require the exercise of moral courage could include the following:

- Jurisdictions around the globe where:
  - the rule of law is nonexistent or is applied so capriciously that ownership of assets and liability for breaching local convention may be in significant doubt,

  - the safety of audit personnel would be too endangered to visit the site of significant assets or operations, and
  - bribery dominates integrity.
- Records are destroyed deliberately or by natural disaster.
- Knowledgeable management personnel are not available to support the audit.
- Audit evidence is lost and is not recoverable.

Sometimes a professional accountant does not recognize an ethical or practice issue as one that should require moral courage. More frequently, the problem is recognized, but the strength of character needed to demonstrate moral courage and act in the best interest of society is lacking.

The future is clear. The move toward globalization of professional accounting will surely increase the uncertainties and challenges that demand moral courage.

When Codes & Laws Do Not Help

Frequently, professional accountants find themselves facing situations that are not covered explicitly in codes of conduct or that are not sufficiently close to jurisprudence to benefit from those sources of guidance. A professional accounting body may provide its members with consultation services through a staff advisor. Failing that, the accountant can seek the advice of a legal or ethical expert who hopefully will understand the ethical frameworks discussed in Chapters 3 and 4. Ultimately, the professional will need to utilize personal knowledge, experience, values, and judgment to guide action.

Broadening Role for Professional Accountants

The need for integrity, independent judgment, expertise, and savvy in the preparation and presentation of financial analyses and reports is not abating; rather, it is increasing. The move toward principles-based, international accounting and reporting standards will surely reinforce this trend.

In addition to this traditional fiduciary role, professional accountants are best suited to play the dominant or supporting roles in the *design, preparation, and management* of the following that are *vital to good governance* in the era of stakeholder accountability:

- Stakeholder interests assessment
- Stakeholder-focused performance indicators and incentive systems
- Stakeholder-oriented reports for management, board, and public
- Ethical corporate culture
- Corporate codes of conduct
- Ethics compliance mechanisms and reporting to the board
- Ethical decision-making guidance frameworks
- Ethics risk management systems.

Professional accountants understand the problems that caused the Enron, WorldCom, Arthur Andersen, subprime lending, and other recent fiascos and understand the potential contribution of an organization's internal control system as well as the pitfalls of an unethical culture. While the professional accountant's focus has been on financial reporting, there is a need to refocus on future performance and how to guide and manage it to help ensure that ethics are built into strategic plans, board compliance reviews, and corporate incentive systems.

Boards of directors have been struggling to consider and deal with these new necessities. Inability and lack of awareness resulted in the Enron problem and many others. Professional accountants can assist boards greatly in the new, ethics-sensitive era if they are ready to broaden their horizons.

Conclusion

Events such as the Enron, Arthur Andersen, WorldCom, Parmalat, and Carillion disasters, as well as the subprime lending fiasco, have rededicated the focus of professional accountants on their expected role as fiduciaries for the public interest. The reputation and future standing of the profession have suffered, and its distinction and success depend on this rededication.

The professional accountant must develop judgment, values, and character traits that embrace the public's expectations, which are inherent in the emerging stakeholder-oriented accountability and governance framework. Codes of ethics are being refined to better guide professional accountants and ensure that unrestrained self-interest, bias, and/or misunderstanding do not cloud the professional's independent state of mind or give rise to an appearance that independence may be lacking. The NOCLAR standards and new International Independence Standards provide evidence that professional accountants are more than ever determined to serve the public interest.

Globalization is influencing the development of codes and harmonization with IFAC standards and will surely continue. Stakeholders have become a dominant force in the governance mechanism for corporations, which have outgrown domestic jurisdiction and boundaries, and stakeholders around the world will become more important in determining the performance standards for professional accountants. These professionals will increasingly serve global capital markets and global corporations, and their success will require the respect of employees and partners drawn from a much wider set than in the past.

Given their knowledge and skills, it will be interesting to find out if professional accountants can seize the opportunities that present themselves for broadening their role. They are particularly well placed to assist in the further development of those mechanisms that will provide and ensure ethical guidance for organizations. They know that codes do not cover every possible challenge, nor are they sufficient on their own. Developing an understanding of the ethical decision-making frameworks developed in Chapters 3 and 4 and the special issues covered in Chapter 7 will assist those who choose to make the most of future opportunities.

Questions

1. What is the difference between an honest financial statement and one with integrity?
2. How can a professional accountant develop professional skepticism?
3. How can a professional accountant develop moral courage?
4. Answer the seven questions in the opening section of this chapter.
5. What is meant by the term “fiduciary relationship”?
6. Why are most of the ethical decisions that accountants face complex rather than straightforward?
7. When should an accountant place duty to the public ahead of duty to a client or employer?
8. Which would you choose as the key idea for ethical behavior in the accounting profession: “Protect the public interest” or “Protect the credibility of the profession”? Why?
9. Why is maintaining the confidentiality of client or employer matters essential to the effectiveness of the audit or accountant relationship?
10. How do the NOCLAR Standards change the traditional practice of maintaining confidentiality of audit or client information? Why?
11. What is the difference between exercising “due care” and “exercising professional skepticism”?
12. Why did the SEC ban certain nonaudit services from being offered to SEC registrant audit clients even though it has been possible to effectively manage such conflict of interest situations?
13. Where on the Kohlberg framework would you place your own usual motivation for making decisions?
14. Why do more professional accountants not report ethical wrongdoing? Consider their awareness and understanding of ethical issues as well as their motivation and courage for doing so.
15. Independence, as defined on pp. 444–445, seems very straightforward. Why did the IFAC-IESBA 2018 International Code of Conduct for Professional Accountants allocate roughly 50% of its space to cover the International Independence Standards that make up Parts 4A and 4B of the code?
16. Which type of conflict of interest should be of greater concern to a professional accountant: actual or apparent?
17. Accountants naturally want auditing to be profitable. When, if ever, should the drive for profit be tempered?
18. If the provision of management advisory services can create conflicts of interest, why are audit firms still offering them?
19. If you were an auditor, would you buy a new car at a dealership you audited for 17% off list price?
20. If you were a management accountant, would you buy a product from a supplier for personal use at 25% off list price?
21. If you were a professional accountant and you discovered your superior was inflating a personal expense report, what would you do?
22. Can a professional accountant serve two clients whose interests conflict? Explain.
23. If an auditor’s fee is paid from the client company, is there not a conflict of interest that may lead to a lack of objectivity? Why doesn’t it?

24. Why does the IFAC Code consider the appearance of a conflict of interest to be as important as a real but nonapparent influence that might sway the independence of mind of a professional accountant?
25. What is the most important contribution of a professional or corporate code of conduct?
26. Are one or more of the fundamental principles found in codes of conduct more important than the rest? Why?
27. Was the "expectations gap" that triggered the Treadway and Macdonald commissions the fault of the users of financial statements, the management who prepared them, the auditors, or the standard setters who decided what the disclosure standards should be?
28. Why should codes focus on principles rather than specific detailed rules?
29. Is having an ethical culture important to having an effective system of internal control? Why or why not?
30. What should an auditor do if the ethical culture of a client appears to be unsatisfactory?
31. Are the governing partners of accounting firms subject to a "due diligence" requirement similar to that for corporation executives in building an ethical culture? Can a firm and/or its governors be sanctioned for the misdeeds of its members?
32. An engineer employed by a large multidisciplinary accounting firm has spotted a condition in a client's plant that is seriously jeopardizing the safety of the client's workers. The engineer believes that the professional engineering code requires that this condition be reported to the authorities, but professional accounting codes do not. How should the head of the firm resolve this issue?
33. Transfer pricing can be used to shift profits to jurisdictions with low or no tax to reduce the taxes payable for multinational companies. If such profit shifting is legal, is it ethical? Was Apple well advised to shift $30 billion in profits to its Irish subsidiary, where it paid no corporate income taxes on those profits? Why or why not?
34. Many professional accountants know of questionable transactions but fail to speak out against them. Can this lack of moral courage be corrected? How?
35. Why do codes of conduct or existing jurisprudence not provide sufficient guidance for accountants in ethical matters?

Reading Insights

The reading *The Liability Crisis in the United States: Impact on the Accounting Profession—A Statement of Position* is offered to illustrate the nature and longevity of professional liability concerns.

Case Insights

The following cases have been selected to expose situations that shed light on the role of auditors and management accountants as they discharge their fiduciary duties. Specifically, the issues covered are as follows:

Famous Cases

- *Arthur Andersen*, *Enron*, and *WorldCom*. Refer to Chapter 2.
- *Tyco*, *HealthSouth*, and *Royal Ahold*. Refer to Chapter 5.
- *The Lehman Brothers Repo 105 Manipulation*. Refer to the Digital Archive for this book accessible at **www.cengage.com**.

- *Waste Management, Inc.,* and *Sunbeam Corporation and Chainsaw Al.* Refer to digital archive for this book at **www.cengage.com**.
- *Carillion Bankruptcy: A Nightmare That Challenged the Foundations of the U.K. Accounting Profession* Carillion, the second-largest construction company in the United Kingdom, with construction projects all over the world, went bankrupt in January 2018 just months after KPMG issued a clean audit opinion. How could this have happened? What did KPMG miss? The fiasco was instrumental in stimulating the U.K. government to commission several reports on how professional accounting should be reimagined.
- *Parmalat—Europe's Enron* details how the world's seventh-largest supplier of dairy products and Italy's seventh-largest company—with 146 plants in thirty countries, employing 36,000 people worldwide—came to be placed under administration and declared insolvent in late December 2003. Because of its size and its involvement with SPEs, off-balance-sheet, and sham transactions, many regard it as Europe's Enron. Lack of good governance, executive dominance, and sloppy auditing were again to blame.
- *The Wirecard Fraud* describes a company that appeared to be a stunning success, but to keep the appearance shining, executives resorted to fraudulent overstatements that auditors failed to uncover. Investigative journalists were successful, however, and the problems were uncovered.

Professional & Fiduciary Duty

- *NOCLAR Solutions to Toshiba's Accounting Scandals & Confrontations with Auditors* describes the accounting frauds that remained undiscovered for years allowing Toshiba to hide massive losses, and causing serious damage to its auditors (Ernst & Young ShinNihon) and their successors (PricewaterhouseCoopers Aarata), and the Japanese accounting profession. It offers the opportunity to consider how the application of new NOCLAR standards might have alleviated this disaster.
- *U.S. Regulators Catch Big Four Cheating & Stealing* provides details about three cases of cheating on ethics exams, how the firms reacted after learning about the misconduct, and how that conduct was apparently viewed by regulators when levying significant fines.
- *PwC Australia Tax Scandal* occurred when a PwC partner misused confidential government information for the benefit of himself and his firm, and what the ultimate cost turned out to be.
- *KPMG's Ethical Red Flags—Advance PCAOB Information & Cheating on Ethics Exams* The ethics culture of a professional firm is essential to maintaining its credibility and reputation because it underpins the expectation that the firm can be trusted to serve the public interest. But in 2019, the SEC fined KPMG for two serious ethical failures that raised questions about the ethical foundation of the firm, and the motivation of some firm members. Why did these failures occur, and what do these red flags indicate about the firm's overall culture?
- *KPMG Partner Shares Confidential Information with a Friend* describes why a senior professional, thinking he was helping a friend in a small way, ruined his own career, damaged his firm's reputation, and caused his firm to resign from two major audits.
- *Livent—When Maria, When?* reveals pressures that are often brought to bear on professional accountants who discover manipulation and fraud and who must decide what they should do and when they should blow the whistle.
- *The Competitive Intelligence Unit at Deloitte* details two instances where Deloitte employees gathered intelligence (i.e., spied) to get a jump on their competitors or to help their client. Were these instances unethical, illegal, or both, and would such activities compromise an audit?

- *Wanda Liczyk's Conflicts of Interest* deals with questionable conduct with suppliers and raises the issue of whether the accounting profession should be disciplining its own members.
- *Strategic Roles* are presented that are beyond traditional financial preparation. Professional accountants must decide what their appropriate roles should be when facing these in the future.
- *Locker Room Talk* presents a fascinating case on confidentiality and its strange treatment in professional accounting codes.
- *Advice for Sam & Ruby*. Frequently, professional accountants are asked to get involved in activities that initially do not appear to be questionable or illegal or where they are trying to help out a friend and do not even take a fee. Facing the urgent real-life issues for Sam and Ruby will enable professional accountants to better understand the "red flags" involved and consider appropriate actions to take if they find themselves already involved in a mess.
- *Biker Nightmare* involves a professional accountant, a single-parent mom, who has been involved with some questionable activities and must decide what to do.
- *Budget Conflict* concerns the dilemma faced by an accountant who is opposed to an overly aggressive budget that the board and president favor.
- *An Exotic Professional Accountant?* Is this something a professional accountant should be doing?
- *Freebie Services for Staff* presents a potential conflict of interest situation and asks if the professional accountant involved should stop providing the free services to their coworkers.
- *Summer Camp Holdback* portrays a professional accountant faced with a questionable instruction from the Executive Committee and must decide what the best option is for dealing with it.

Professional Skepticism Cases

The Carillion, Sino Forest, Wirecard and Parmalat cases noted above are excellent examples of the failure of professional skepticism.

The following cases develop an understanding of professional skepticism. They are reproduced, with permission, from the Enhancing Professional Skepticism Case Collection of the University of Toronto's Professional Accounting Centre, 2025, https://www.utm.utoronto.ca/pac/case-collections/enhancing-professional-skepticism-case-collection.

- *Dig A Little Deeper—Exercising professional skepticism re budget prices*
- *Joly Dogs—Operational Profit Manipulation*
- *Monsanto's Roundup Incentive Program—Lack of professional skepticism is costly*
- *Risk of a High-Risk Client—Governance and audit failures on a high-risk client*
- *Too Good to be True—Professional skepticism leads to understanding performance and risk.*

Accounting & Auditing Dilemmas

- *Sino-Forest Fraud—Audit Challenges in China* provides an outline of how difficult it can be to audit in China and how important it is to adhere to established audit standards when auditing foreign operations. The case also shows how opportunists can use a reverse-takeover technique to gain easy access to establish capital markets and co-opt many knowledgeable people into supporting their endeavors.
- *Massive Acquisition Write-Downs in the Mining Industry* identifies several massive write-downs of recently made investments in mining companies and raises the questions of who is responsible, if anyone, and what is the appropriate treatment of the original valuation and investment decision makers.

- *Accounting Rule Changes Increase Apple Computer's Revenue* describes Apple's objection to subscription accounting. When the accounting rule was changed, Apple's income and stock price rose. But does this change result in fair financial reporting? Should the stock price have risen?
- *The Impact of International GAAP on Earnings* describes a situation where a retailer's net income decreased because it was forced to use International Financial Reporting Standards. If the cash flows of the company remain the same, does the revenue recognition policy matter?
- *Auditor's Dilemma* portrays a young auditor who underreports his time to look good to his superior and then wrestles with the consequences that result.
- *Management Choice* focuses on Sue, a management accountant who has a choice of accounting policy and practice to make. She can probably get away with it. Should she?
- *To Qualify or Not?* introduces the real-life dilemma of wanting to qualify an audit opinion but realizing that doing so might cause the company to become insolvent.
- *Team Player Problems* deals with a situation where a professional accountant who is part of a team, but not its leader, disagrees with the use and presentation of data in the report. What would you advise?
- *Minimal Disclosure* investigates how an audit partner would deal with a client who wanted to avoid disclosing the amount of income made from derivative securities, details of a lawsuit, and the financial situation in a consolidated subsidiary.
- *Opinion Shopping* examines some reasons for seeking a new auditor and at the responsibility of an auditor likely to lose an audit to another accounting firm that is willing to be more lenient in deciding on the acceptability of some accounting practices.
- *Lowballing a Fee Quotation* is a common temptation. Are there reasons why it is appropriate?

Fundamental Accounting & Auditing Issues

- *Societal Concerns* asks the reader to consider how realistic and shortsighted our traditional financial statements and reports are. Can accountants go beyond this traditional framework to take on environmental and other issues? Should they?
- In *Economic Realities or GAAP*, Stan Jones is asking penetrating questions about the fundamental utility of traditional financial reports and the role of the auditor.
- *Multidisciplinary Practices—Ethical Challenges* asks real questions about managing the new assurance service and expanded practices. If we do not get the answers right, the accounting profession could be in for a black eye.

Tax & Regulatory Cases

- *Swiss Tax Shelters—Part I—UBS* describes how an employee, Bradley Birkenberg, who had concerns about the largest Swiss Bank helping clients evade taxes ended up helping the U.S. government recover over $5 billion.
- *Swiss Tax Shelters—Part II—Bradley Birkenfeld* details how, although he helped the U.S. government recover over $5 billion, Bradley was sentenced to prison for helping clients evade tax but was paid a whistleblower reward of $104 million upon his release from prison.
- *Wal-Mart's Real Estate Tax Loophole* explains how Walmart's advisors, Ernst & Young, identified an arrangement whereby rent on store premises was converted to dividend payments thereby saving Walmart $7.2 billion. Was this unethical, illegal, or both?
- *Multinationals & Tax Planning* offers a description of why and how transfer pricing is used to shift profits to low-tax-rate jurisdictions and how prevalent the practice is as well as the results of current court cases for transfers that were not justifiable.

- *KPMG's Questionable Tax Shelters* raises questions on whether tax accountants serve or endanger the public interest in what they do and whether they should change their practices before public opinion seriously erodes the reputation of the accounting profession, particularly after the Panama Papers shone a spotlight on suspected tax cheats.
- *Italian Tax Mores* provides a priceless glimpse of the facilitating payments, bribery, and regulatory problems faced by businesses operating in foreign jurisdictions.
- *Tax Return Complications* introduces the prospect of "bending the rules" to keep the client happy as well as having to decide to admit an error or attempt to hide it. This case provides a very good illustration of the slippery-slope problem.
- *Marketing Aggressive Tax Shelters* has been done for years by some professional accounting firms. As the case recounts, both E&Y and KPMG were in hot water for the very aggressive shelters they were marketing, so it is worth considering what distinguishes an acceptable from an unacceptable tax product or service and why.
- *Tax Advice* requires the consideration of some of the public policy and ethics issues associated with giving tax advice and the conflicts of interest involved.
- *Risk Management of Taxes Payable—Is It Ethical?* spotlights a new practice that can get the accountant into trouble.

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Famous Cases

Carillion Bankruptcy: A Nightmare That Challenged the Foundations of the U.K. Accounting Profession

Ethics Case

Motivated by several corporate scandals in which auditors failed to warn of disaster, professional accounting in the United Kingdom was under investigation for failing to act in the public interest. Then Carillion went bankrupt, and the role, function, and structure of professional accounting in the United Kingdom was severely challenged.

Until its bankruptcy in January 2018, Carillion was the second-largest construction company in the United Kingdom with 43,000 employees worldwide, of whom 19,000 were in the United Kingdom. It also had a significant presence in the Middle East and Canada. It constructed the Tate Modern in London, the Grand Mosque in Oman, and the revitalization of Union Station in Toronto.[1]

The company benefited from the outsourcing of public services to private companies. Carillion had 450 contracts with the U.K. government, including managing lunch programs at 900 schools, maintaining prisons, providing maintenance and facilities management services at hospitals, and constructing and maintaining homes for Ministry of Defense personnel. At the time of its collapse, three major uncompleted U.K. infrastructure projects were the HS2 high-speed rail link (£1.4 billion contract), the Aberdeen bypass in Scotland (£745 million contract), and the Royal Liverpool University Hospital (£335 million contract).[2]

Unfortunately, Carillion suffered from poor management combined with disclosures that did not reveal the true financial problems of the company.

On March 31, 2017, KPMG, the auditors of Carillion, issued a clean audit opinion on the financial statements for the year ended December 31, 2016. Four months later, the company issued profit warnings and recorded a £845 million write-down on its construction contracts, which increased to £1,045 million in September. In January 2018, the company declared bankruptcy with £7 billion in liabilities and only £28 million in cash. The parliamentary investigation of Carillion attributed the bankruptcy to "recklessness, hubris and greed."[3]

Devastating Aftermath

The contagion effect of Carillion's bankruptcy was huge.

- Suddenly, Carillion's workforce became unemployed.
- Infrastructure services provided by Carillon stopped. The government committed £150 million to keeping these essential services operating.[4]
- The numerous unfinished construction contracts employed 30,000 smaller firms. They were owed £2 billion and probably will receive only £1 for every £100 owed to them.[5]

[1] Hallie Detrick, "What You Need to Know about the Collapse of Carillion, a U.K. Construction Giant," *Fortune*, January 15, 2008, https://fortune.com/2018/01/15/what-you-need-to-know-about-the-collapse-of-carillion-a-u-k-construction-giant.

[2] BBC News, "Carillion: Six Charts That Explain What Happened," BBC News, January 19, 2018, https://www.bbc.com/news/uk-42731762.

[3] House of Commons, Business, Energy and Industrial Strategy and Work and Pensions Committees: Carillion, Second Joint Report from the Business, Energy and Industrial Strategy and Work Pensions Committees of Session 2017–19, https://publications.parliament.uk/pa/cm201719/cmselect/cmworpen/769/769.pdf.

[4] Ibid., Summary.

[5] Rob Davies, "'Recklessness, Hubris and Greed'—Carillion Slammed by MPs," *The Guardian*, May 16, 2018, https://www.theguardian.com/business/2018/may/16/recklessness-hubris-and-greed-carillion-slammed-by-mps.

- The company had thirteen defined benefit pension plans with 27,000 members and an unfunded pension liability was £2.6 billion. The U.K. government assumed part of this liability through the Pension Protection Fund, but pensioners will not receive their full benefits.[6]

Business Model

Carillion expanded rapidly. In order to eliminate competition, it bought its competitors, often creating goodwill by paying much more than the book value of the net assets acquired. As a result, Carillion had sizable goodwill and debt on its balance sheet. Goodwill amounted to £1.6 billion, or 35% of the company's gross assets, but there was no provision for goodwill impairment until the company went bankrupt and the value of its goodwill was demonstrably zero.

The company paid for this expansion through debt financing. In December 2016, the company's debt was £689 million, and its debt-to-equity ratio was 5.3 to 1.[7] However, the board did not believe the growing debt to be problematic, nor did it consider recording a provision for potential goodwill impairment.

The company used its cash to pay dividends and management bonuses. The 2016 dividend of £79 million was higher than the previous year's. Senior managers received large cash bonuses despite failing to meet easily obtainable financial targets. At the same time, the company curtailed payments to its pension plan.[8]

There were inadequate controls of senior management. Richard Adam, the director of finance for ten years, was the designer of Carillion's aggressive accounting policies. He considered payments to the pension plans as a "waste of money." Richard Howson, CEO from 2012 to 2017, provided "misguided and self-assured leadership." Inadequate oversight by the board exacerbated the company's poor governance structure. Philip Green, chair of the board of directors, was considered "an unquestioning optimist." Overall, there were inadequate checks and balances in place:[9]

> Carillion's business model was an unsustainable dash for cash. The mystery is not that it collapsed, but how it kept going for so long. Carillion's acquisitions lacked a coherent strategy beyond removing competitors from the market, yet failed to generate higher margins. Purchases were funded through rising debt and stored up pension problems for the future. Similarly, expansions into overseas markets were driven by optimism rather than any strategic expertise.[10]

Accounting Policies

Carillion had some aggressive accounting policies. It recorded revenue on construction projects that were not signed off by Carillion's customers. Consequently, there was uncertainty about whether the company would collect the cash. These contracts amounted to £294 million, or 10% of total construction revenue.[11]

The company used the percentage of completion method on its long-term contracts, whereby each reporting period it would record a percentage of the gross profit on the project based on the actual costs incurred as a percentage of the estimated total costs of completing the project. In November 2016, cracks appeared in the beams of the Royal Liverpool University Hospital. The additional costs for repairing the cracks meant that this project would report a loss of 12.7%. The company chose to ignore these additional costs. Instead, it recorded a 4.9% profit margin on the project, amounting to £53 million net revenue in 2016. The July profit warning revised this to be a £53 million loss.[12]

Carillion had reverse-factoring agreements with some of its bankers. The company normally waited 120 days before paying its suppliers. If a supplier wanted prompt payment, it could receive it from the bank but at a reduced amount. The bank would then collect that amount from Carillion. Carillion recorded the amounts owed to the bankers not as bank indebtedness but as an "other creditor" within "trade and other payables." This disguised the actual cost of bank financing. This classification also made the working capital ratio appear better than it was. An investigation by Moody's estimated the hidden bank indebtedness at £498 million.[13]

The investigating parliamentary committee was highly critical:

> Carillion used aggressive accounting policies to present a rosy picture to the markets. Maintaining stated contract margins in the face of evidence that showed they were optimistic, and accounting for revenue for

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[6] House of Commons, Business, Energy and Industrial Strategy and Work and Pensions Committees: Carillion, paras. 140 and 143.
[7] Ibid., para. 78.
[8] Ibid., para. 66.
[9] Ibid., Summary.
[10] Ibid., para. 14.
[11] Ibid., para. 88.
[12] Ibid., paras. 83 and 86.
[13] Ibid., paras. 40, 41, and 91.

work that had not even been agreed, enabled it to maintain apparently healthy revenue flows. It used its early payment facility for suppliers as a credit card, but did not account for it as borrowing. The only cash supporting its profits was that which was banked by denying money to suppliers. Whether or not all this was within the letter of accountancy law, it was intended to deceive lenders and investors. It was also entirely unsustainable: eventually, Carillion would need to get the cash in.[14]

Accountants

Part of the purpose of the parliamentary inquiry was to discover how KPMG could issue a clean audit opinion and then four months later Carillion recorded a mammoth write-down and issued profit warnings, only to collapse six months later.

KPMG was the external auditor for nineteen years, receiving £29 million in fees. Each year, KPMG gave Carillion a clean audit opinion. Peter Meehan was the partner in charge of the audit.

When queried about Carillion's revenue recognition policy, Meehan said that he did not personally consider the policies as aggressive but conceded that the company tended toward optimism when it came to assessing the riskier construction contacts.[15]

Nor did Meehan think that there should be a provision for goodwill impairment. Michelle Hinchcliffe, head of audit at KPMG, pointed out to the parliamentary committee that it is not the auditors' responsibility to calculate goodwill. Instead, the auditor assesses management judgment. Management decided there should be no goodwill impairment, and KPMG did not challenge that assessment.[16] Ten months after it received a clean audit opinion, the goodwill account went from £1.6 billion to zero.

Overseas, Carillion had a substantial contract with Msheireb Properties in Qatar related to the 2022 FIFA World Cup. The Qatar project doubled in size, stretching from three years to six. Carillion received no payment for eighteen months on this project. The parliamentary committee found that both Msheireb and Carillion claimed that they each had a £200 million receivable related to the Qatar contract. Member of Parliament Peter Kyle queried Meehan over this, asking incredulously, "You don't know whether your client was owed £200m or it owed £200m?… I wouldn't hire you to do an audit of my fridge."[17]

Meehan knew that Carillion was the most shorted stock on the London Stock Exchange, indicating that many investors thought that Carillion's shares were overvalued. He also admitted that the company had a host of problems. But he thought that it "had the reserves to deal with those challenges." Furthermore, he defended issuing a clean audit opinion on the 2016 financial statements. "I think that me and my team all did the best we could and I stand by the decision we gave on the 31 December 16 accounts."[18]

Cochair of the parliamentary committee, Rachel Reeves, had a different opinion. She said that the auditors were "mere spectators—commentators at best, certainly not referees—at the mercy of reckless and self-interested directors.… [The audits] appear to be a colossal waste of time and money, fit only to provide false assurance to investors, workers and the public."[19]

Overall, the parliamentary report was highly critical of KMPG, saying, had KPMG been prepared to challenge management, the warning signs were there in highly questionable assumptions about construction contract revenue and the intangible asset of goodwill accumulated in historic acquisitions. These assumptions were fundamental to the picture of corporate health presented in audited annual accounts. In failing to exercise—and voice—professional scepticism towards Carillion's aggressive accounting judgments, KPMG was complicit in them.[20]

The members of Parliament asked whether KPMG, especially Meehan, had a conflict of interest auditing Carillion, SLA (a major investor with a 10% interest in Carillion), and the pension plan. "Meehan said that this was not unusual."[21]

The committee was also critical of Deloitte and E&Y. For providing internal audit services to Carillion, Deloitte received £775,000 annually since 2010. Although the accounting firm identified issues, it rarely noted them as high priority. Deloitte was also responsible for advising on debt recovery yet was unaware of

[14] Ibid., para. 96.
[15] Alia Shoaib, "Carillion Inquiry: Missed Red Flags, Aggressive Accounting and the Pension Deficit," *AccountancyAge*, February 26, 2018, https://www.accountancyage.com/2018/02/26/carillion-inquiry-missed-red-lights-aggressive-accounting-pension-deficit/.
[16] Ibid.
[17] Ibid.
[18] Ibid.
[19] Ibid.
[20] House of Commons, Business, Energy and Industrial Strategy and Work and Pensions Committees: Carillion, para. 124.
[21] Shoaib, "Carillion Inquiry."

the dispute with Msheireb about who was owed the £200 million. “Deloitte were either unable to identify effectively to the board the risks associated with their business practices, unwilling to do so, or too readily ignored them.”[22]

E&Y was paid £10.8 million for six months’ work to provide advice on cost savings, none of which occurred. One of its recommendations was for Carillion to wait 126 days before paying its suppliers. Yet E&Y collected its fee three days before the company declared bankruptcy:

> The panoply of auditors and other advisors who looked the other way or who were offered an opportunity for consultancy fees from a floundering company have been richly compensated. In some cases, they continue to profit from Carillion after its death.[23]

The Big Four accounting firms form an oligopoly auditing 99% of the 100 largest companies on the London Stock Exchange (FTSE) and 97% of the largest 250 companies. There are huge barriers of entry for other accounting firms to enter this market, and in 2018, Grant Thornton, the sixth-largest U.K. accounting firm, stopped auditing any of the FTSE 350. The committee viewed the Big Four as a “cozy club” where there is a lack of meaningful competition. Furthermore, accounting firms will often use an audit as a loss leader in order to sell higher-margin consulting services. This creates further potential conflicts of interest.[24]

The report concluded that it is now time for action. The current system works in favor of the Big Four oligopoly and not in the public interest. Consequently, among the many recommendations resulting from the Carillion bankruptcy, the parliamentary committee called for a breakup of the Big Four and restricting accounting firms from providing management consulting services:

> We recommend that the Government refers the statutory audit market to the Competition and Markets Authority. The terms of reference of that review should explicitly include consideration of both breaking up the Big Four into more audit firms, and detaching audit arms from those providing other professional services.[25]

Questions

1. To which date are auditors responsible for attesting to financial statements: the year end, the date of the auditor’s report, or the date of release of the financial statement and auditors’ report to the public? Why?
2. To whom is the auditor responsible when attesting to a company’s financial statements?
3. What is an accounting firm responsible for if its audit opinion fails to raise any concerns and the client goes bankrupt? Consider losses to creditors, lenders, employees, construction clients, suppliers, and infrastructure disruption.
4. Should an auditor be responsible for finding fraud? Was there a fraud at Carillion?
5. Based on what happened at Carillion, do you think that the Big Four accounting firms should be broken up to provide more competition for the audits of major corporations?

[22] House of Commons, Business, Energy and Industrial Strategy and Work and Pensions Committees: Carillion, para. 125.
[23] Ibid., para. 167.
[24] Ibid., paras. 202 and 204.
[25] Ibid., para. 213.

Parmalat–Europe’s Enron[1]

Ethics Case

Parmalat Finanziaria S.p.A. and its subsidiaries manufacture food and drinks worldwide. Parmalat is one of the leading firms in the long-life milk, yogurt, and juices market. The company became the world’s seventh-largest supplier of dairy products and Italy’s seventh-largest company, with 146 plants in thirty countries, employing 36,000 people worldwide. In 2002, the company reported €7.6 billion in annual sales. In late December 2003, however, Parmalat was placed under administration and declared insolvent.

[1] Much of this case was developed as a group assignment by the author’s students in the Master of Management and Professional Accounting Program at the Rotman School of Management of the University of Toronto. The students included Sandy Egberts, Shivani Anand, Amanda Soder, Dave Scotland, Ramandeep Shergill, Fiona Li, and Tamer Alibux.

Because of its size and its involvement with Special Purpose Entities (SPEs), off-balance-sheets, and sham transactions, many regard it as Europe's Enron. In January 2004, it was reported that the company "had net debts of 14.3 billion euros (US$23.47 billion) shortly before its crisis erupted . . . almost eight times the figure given by former managers."[2] PricewaterhouseCoopers also found that earnings for the nine months ended September 30, 2003, were only one-fifth of what had been reported, and bondholders were expected to recover under 7% of their capital. Parmalat's failure is expected to have a stimulative effect on corporate governance reform in Europe for decades.

The company started in Parma, Italy, in 1961. By the 1970s, it had expanded to Brazil and later diversified into the pasta sauces and soups markets. In the 1990s, Parmalat's need for cash made the company go public and sell 49% of its shares to be traded on the Milan Stock Exchange. Calisto Tanzi, Parmalat's founder, kept effective control of the company, and Tanzi family members held several key positions in Parmalat and its subsidiaries.

Parmalat's series of acquisitions in the 1990s left the company with a reported $7.3 billion of debt. The company acquired subsidiaries in Asia, southern Africa, and Australia as well as adding to its North and South American holdings and moving into Eastern Europe. The acquisitions were done without planning. The company did not go through a process of consolidation. Many investments were done to support the Tanzi family in areas unrelated to Parmalat's core business, such as the acquisition of the soccer team Parma, A.C.; investments in travel agencies and hotels; and sponsorship of Formula 1 racing teams.

Over the course of more than a decade, Parmalat Finanziaria S.p.A. misrepresented its financial statements by billions of dollars. The company's founder and former CEO, Tanzi, now stands accused of market rigging, false auditing, and misleading investors and stock market regulators.[3] Tanzi established a series of overseas companies to transfer money among and conceal liabilities in order to give the illusion of financial liquidity within Parmalat. The scheme was eventually uncovered when the company was unable to make a bond payment and was forced to admit to having fraudulent assets on its accounts. The case raises a number of ethical issues that impact all stakeholders. The rights of shareholders were violated, and the expectations of stakeholders, with respect to the integrity of company management, were not met.

On December 9, 2003, Parmalat defaulted on a €150 million (U.S.$184 million) payment to bondholders. Rumors began to circulate that the company's liquidity had been overstated, and the credit rating agency Standard & Poor's downgraded Parmalat's bonds to "junk" status. As a result of the downgrade, the company's stock fell by 40%. On December 17, 2003, Bank of America announced that a U.S.$5 billion account that Parmalat claimed to have had with it in the Cayman Islands did not exist. In a little more than a week, trading in the company's shares was suspended, and it was taken under administration and declared insolvent.

The company initially claimed that the missed payment to bondholders had been a result of a late payment from Epicurum, a customer that was not paying its bills. Parmalat was eventually forced to concede, under pressure from its auditor Deloitte & Touche, that Epicurum was in fact simply a holding company of Parmalat's, located in the Cayman Islands. Furthermore, it could not access the funds from Epicurum that were required.

Parmalat had begun a period of rapid expansion in 1997, deciding to expand its operations globally and reposition itself in the marketplace. Those expanded operations, however, did not prove to be as profitable as Parmalat had hoped, and the company incurred losses. As a result of those losses, Parmalat began to invest more of its operations into derivatives and other risky financial ventures. The company expanded into tourism with a company called Parmatour and also invested in a soccer club, both of which generated further losses for the company.

As the company's expansion continued, its need for more funds, in the form of debt financing, grew. To give the appearance of greater liquidity to its bankers and other investors, the company created a series of fictitious offshore companies that were used to conceal Parmalat's losses. Parmalat disassociated itself with the companies by selling them to American citizens with Italian surnames, only to repurchase them later. The phony liquidity generated by these actions gave investors the assurance they needed to continue purchasing bonds from the company and enabled Parmalat to continue to issue debt to the public.

[2] W. Schomberg and G. Wynn, "Parmalat Debt Rises to €14.3 B," *Financial Post*, January 27, 2004, FP9.
[3] "Q&A Parmalat's Collapse and Recovery," *BBC*, 2005, accessed November 16, 2005, at http://news.bbc.co.uk/2/hi/business/3340641.stm.

In a classic example of the type of fraudulent action that Parmalat perpetrated, one such company, Bonlat, alleged that it was owed $767 million by a Cuban firm that had ordered 300,000 tons of powdered milk. This money was then alleged to be owed to Parmalat. The entire transaction, however, did not exist and was created to maintain the illusion of liquidity in Parmalat.[4]

Auditors failed to properly determine that roughly 200 companies created by Parmalat, such as Bonlat, did not exist. The fraud was perpetrated by, among others, CFO Fausto Tonna, who produced fake documents that he faxed to the auditors in order to falsify the existence of the subsidiaries.[5]

Calisto Tanzi admitted to having falsified Parmalat's accounts for over a decade and to having stolen at least $600 million from the publicly traded company and funneling it into family businesses. The Parmalat Board of Directors, which consisted mostly of family members of Tanzi and controlled 51% of Parmalat, did not raise any questions regarding how the company was run.

By 2003, some shareholders began lobbying Tanzi for an independent member, chosen by the minority shareholders, to be put on the company's Audit Committee. Even though it was their legal right, Tanzi refused this request, and the issue was dropped. This led some to become more suspicious of Tanzi. Many bankers, however, had been suspicious of Parmalat since the mid-1980s because of the company's practice of continuously issuing debt despite an abundance of cash. At the time of the Parmalat disaster, members of the Audit Committee of an Italian company were elected by the board in such a way[6] that the controlling shareholder could determine who was successful. They did not have to be either independent or a director of the company, and in fact, in Parmalat's case, they were neither.

In March 2003, Tanzi sent a thirty-four-page complaint to Consob, the Italian regulatory agency, claiming that he was being slandered by Lehman Brothers, Inc., who had issued a report that cast doubt on Parmalat's financial status. Tanzi stated that Lehman Brothers was doing this to deflate the price of Parmalat's shares in order to buy them at a cheaper price. The stir led to the publication of a series of articles critical of Parmalat and its management, which in turn had forced Parmalat to cancel a $384 million bond issue in February 2003.

Despite this, some banks, including Deutsche Bank and Citibank, were still optimistic about Parmalat and were willing to buy more debt and promote their bonds as sound financial assets. The actions of the banks raise questions about possible collusion between them and the management at Parmalat and the nature of the fiduciary duty of the banks.

After the critical December 9 default to bondholders, Tanzi appointed a turnaround specialist named Enrico Bondi. It was Bondi who decided to liquidate the U.S.$5 billion Bank of America account, which was revealed to be fictitious and which eventually led to the bankruptcy of the company.

Tanzi was accused of dealing in fraudulent complex financial deals and bond deals, creating nonexistent offshore accounts to hide losses, and false bookkeeping. He misled investors and stock market regulators into believing that Parmalat was not in crisis. By doing so, he ensured financing from individuals who believed that Parmalat was a sound company. Tanzi claimed, in his defense, that he was too far up the hierarchy to have known what top executives were doing, whom he blames for all Parmalat's problems.[7]

The story of Parmalat reveals many weaknesses in governance at both the corporate and the professional accounting levels. One major weakness in corporate governance was a lack of oversight on the part of the Board of Directors. Despite the many suspicious aspects of Parmalat's business, the Board of Directors never demanded answers to any questions that they may have had, nor did they ever worry about the close relationship between management and its original auditors. By placing too much faith in the integrity of Parmalat's managers and the competence of its auditors, the company became susceptible to fraud.

In several instances, flaws were also exposed in the accounting governance of the company. In 1999, Parmalat was required to change auditors (and did so but only partially) from Grant Thornton to Deloitte. This was due to a new Italian law—the "Draghi" law, passed in 1998 to

[4] David McHugh, "Parmalat's Scandal Not Very Clever," *Seattle Times*, January 20, 2004, accessed November 16, 2005, at http://seattletimes.nwsource.com/html/businesstechnology/2001839930_parmalat200.html.
[5] Ibid.
[6] Michael Gray, "ITALY: Corporate Governance Lessons from Europe's Enron," accessed April 11, 2005, at http://www.corpwatch.org.
[7] "Q&A Parmalat's Collapse and Recovery."

improve corporate governance[8]—whereby a public company is required to change auditors every nine years. At the time of the auditor switch, Tanzi moved a series of offshore companies that he had created during the 1990s from the Dutch Antilles to the Cayman Islands. By effectively shutting down and reopening those companies in the new location, Tanzi was able to retain Grant Thornton as his auditor for seventeen offshore companies, including Bonlat,[9] and not require any new eyes to view their transactions. Furthermore, the Grant Thornton audit managers who had been auditing Parmalat since 1990 had been auditing the company for six years prior to that as managers with another auditing firm.

The testing procedures that the auditors used while auditing Parmalat were inadequate. Many of the company's assets were overstated and its liabilities understated, which had not been noticed by the company's auditors. For example, when Deloitte sent a confirmation to Bank of America in regard to the fabricated $5 billion account, they sent it through the Parmalat internal mail service. It was intercepted, and a favorable response was forged by the CFO Fausto Tonna (or persons under his direction) on scanned Bank of America letterhead.[10] Another example involved Deloitte's apparent inability to locate and/or audit what is referred to as Account 999, which held a debit of £8 billion (U.S.$12.83 billion) representing the "'trash bin' for all faked revenues, assets and profits that Parmalat had accumulated over the years. To cover up the fake transactions, the entries were transformed into intercompany loans and credits."[11] In December 2003, executives "took a hammer to a computer at headquarters" in an attempt to destroy Account 999—but a printout survived.[12]

Parmalat sponsored an American Depositary Receipts (ADR) Program to raise funds in the United States and therefore came under the scrutiny of the U.S. Securities and Exchange Commission (SEC). The SEC charged Parmalat with securities fraud on December 30, 2003, and filed amended charges on July 28, 2004, covering the following:

- Parmalat Finanziaria consistently overstated its level of cash and marketable securities. For example, at year-end of 2002, Parmalat Finanziaria overstated its cash and marketable securities by at least €2.4 billion. As of year-end 2003, Parmalat Finanziaria had overstated its assets by at least £3.95 billion (approximately $4.9 billion).
- As of September 30, 2003, Parmalat Finanziaria had understated its reported debt of £6.4 billion by at least £7.9 billion. Parmalat Finanziaria used various tactics to understate its debt, including (1) eliminating approximately £3.3 billion of debt held by one of its nominee entities; (2) recording approximately £1 billion of debt as equity through fictitious loan participation agreements; (3) removing approximately £500 million of liabilities by falsely describing the sale of certain receivables as nonrecourse when in fact the company retained an obligation to ensure that the receivables were ultimately paid; (4) improperly eliminating approximately £300 million of debt associated with a Brazilian subsidiary during the sale of the subsidiary; (5) mischaracterizing approximately £300 million of bank debt as intercompany debt, thereby inappropriately eliminating it in consolidation; (6) eliminating approximately £200 million of Parmalat S.p.A. payables as though they had been paid when, in fact, they had not; and (7) not recording a liability of approximately £400 million associated with a put option.
- Between 1997 and 2003, Parmalat S.p.A. transferred approximately £350 million to various businesses owned and operated by Tanzi family members.
- Parmalat Finanziaria transferred uncollectible and impaired receivables to "nominee" entities, where their diminished or nonexistent value was hidden. As a result, Parmalat Finanziaria carried assets at inflated values and avoided the negative impact on its income statement that would have been associated with a proper reserve or write-off of bad debt.
- Parmalat Finanziaria used these same nominee entities to fabricate nonexistent financial operations intended to offset losses of its operating subsidiaries. For example, if a subsidiary experienced losses due to exchange rate fluctuations, the nominee entity

[8] In 1999, Italian companies were also asked to *voluntarily* comply with a new noncomprehensive set of governance rules known as the "Preda Code."

[9] Navigant Consulting, Canadian Institute of Chartered Accountants, and the American Institute of Certified Public Accountants, "Milk Gone Bad," *Report on Fraud* 6, no. 5–6 (March 2004).

[10] Ibid.

[11] F. Kapner, "Parmalat's Account 999 Points a Finger at Deloitte," *Financial Post*, April 12, 2004, FP16.

[12] Ibid.

would fabricate foreign exchange contracts to offset the losses. Similarly, if a subsidiary had exposure due to interest rate fluctuations, the nominee entity would fabricate interest rate swaps to curb the exposure.

- Parmalat Finanziaria used the nominee entities to disguise intercompany loans from one subsidiary to another subsidiary that was experiencing operating losses. Specifically, a loan from one subsidiary would be made to another subsidiary operating at a loss. The recipient then improperly applied the loan proceeds to offset its expenses and thereby increase the appearance of profitability. As a result, rather than have a neutral effect on the consolidated financials, the loan transaction served to inflate both assets and net income.
- Parmalat Finanziaria recorded fictional revenue through sales by its subsidiaries to controlled nominee entities at inflated or entirely fictitious amounts. In order to avoid unwanted scrutiny due to the aging of the receivables associated with these fictitious or overstated sales, the related receivables would be transferred or sold to nominee entities.[13]

On January 29, 2004, PricewaterhouseCoopers took over as the auditor of Parmalat. They discovered that cash had been misstated by billions of euros and that Parmalat's debt was eight times what was claimed. Further reinforcing suspicions that the company had been altering its financial statements since the 1980s, an independent auditor for the prosecutor in Milan found that Parmalat had been profitable for only one year between 1990 and 2002. Parmalat had claimed to be profitable all of those years. This material misstatement had not been noticed by either Grant Thornton or Deloitte. It was also found that there were many instances where Deloitte's Italian office did not apply aggressive enough audit procedures despite being informed of irregularities with Parmalat, uncovered by other Deloitte offices around the world.[14]

It appears that at least some of Parmalat's auditors were in collusion with the company's managers to keep the fraud under wraps. By March 2004, eleven people from Grant Thornton had been arrested, and more arrests may follow.[15]

A number of large banks were also complicit in the fraud, according to Enrico Bondi, who was appointed as Parmalat's government-appointed administrator. His report stated,

> that banks facilitated the inflow of resources that hid Parmalat's deteriorated financial condition through the use of bonds placed in tax havens.[16]

Bondi went on to estimate that Parmalat obtained

> £13.2 billion from banks between Dec. 31, 1998 and Dec. 31, 2003. International banks supplied 80% of the funding, with the rest from Italian lenders. By contrast, Parmalat generated only £1 billion in gross cash flow.
>
> Mr Bondi calculates Parmalat spent about £5.4 billion on acquisitions and other investments, £2.8 billion on commissions and fees to banks, £3.5 billion on payments to bondholders, £900 million on taxes and £300 million on dividends. The remaining £2.3 billion was apparently siphoned off for other purposes.…
>
> The Bondi Report suggests that, as early as 1997, there was sufficient information available about Parmalat's true condition for the financial community to have realized the company was in trouble.… As a result, while Parmalat might still have collapsed in 1997–98, the scandal would have cost investors less money.[17]

Under Italian law, banks and financial institutions can be sued for damage caused by and recovery of improper transactions. It is noteworthy that "Citigroup … had been instrumental in setting up the insolently named 'Buco Nero' ('black hole') as an offshore account for Parmalat"[18] and has found "itself under investigation by the SEC and the subject of a class action lawsuit."[19]

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[13] U.S. Securities and Exchange Commission, "SEC Alleges Additional Violations by Parmalat Finanziaria S.p.A.," *Litigation Release No. 18803*, July 28, 2003, accessed March 11, 2005, at http://www.sec.gov/litigation/litreleases/lr18803.htm.
[14] Y. Richard Roberts. P. Richard Swanson, and Jill Dinneen, "Spilt Milk: Parmalat and Sarbanes-Oxley Internal Controls Reporting," *International Journal of Disclosure and Governance* 1, no. 3 (June 2004): 215–26.
[15] Morgan O'Rourke. "Parmalat's Scandal Highlights Fraud Concerns. Risk Management," *New York* 51, no. 3 (March 2004): 44.
[16] T. Barber. "Parmalat Chief Slams Big Banks," *Financial Post*, July 23, 2004, FP12.
[17] Ibid.
[18] Navigant Consulting, "Milk Gone Bad."
[19] Ibid.

Questions

1. What conditions appear to have allowed the Parmalat situation to get out of control?
2. What specific audit procedures might have uncovered the Parmalat fraud earlier?
3. What audit steps should Deloitte have taken with regard to the seventeen offshore subsidiaries that continued to be audited by Grant Thornton?
4. What impact will the Parmalat fraud have on Grant Thornton and on Deloitte & Touche?
5. How did the following areas of risk in Parmalat's control environment contribute to the fraud: integrity and ethics, commitment, audit committee participation, management philosophy, structure, and authority?
6. How did the following areas of risk in Parmalat's strategy contribute to the fraud: changes in operating environment, new people and systems, growth, technology, new business, restructurings, and foreign operations?
7. Should the banks and other creditors be legally responsible for so-called irresponsible lending that contributes to higher than necessary losses? If so, how can they protect themselves when dealing with clients whose viability is in doubt?
8. Do you think that applying bankruptcy projection models should be a regular tool used by auditors, creditors, and regulators to assess the reasonability of a company's financial statements?
9. Is independence important in corporate governance? What are the most recent rules on corporate governance for public firms?
10. Discuss which changes could be made to Parmalat's control system and corporate governance structure to mitigate the risk of accounting and business fraud in future years.

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The Wirecard Fraud

Ethics Case

Founded in 1999, Wirecard AG became well known as an innovative processor of digital e-commerce payments such as for credit cards, prepaid card issuance, and financial technology services. In 2018, Wirecard joined Germany's DAX 30 index, recognizing it as one of Germany's largest public companies, and ultimately leading to a maximum market capitalization of €24 billion.[1]

[1] "Wirecard: the timeline," *Financial Times*, Dan McCrum, June 25, 2020, accessed on June 25, 2020 at https://www.ft.com/content /284fb1ad-ddc0-45df-a075-0709b36868db?desktop=true&segmentId=7c8f09b9-9b61-4fbb-9430-9208a9e233c8#myft:notification:daily -email:content.

Unfortunately, Wirecard's management began to fraudulently fabricate revenues and assets to inflate earnings and credit worthiness. However, these manipulations created inconsistencies that drew the attention of investigative journalists who published articles bringing these to light and accusing the company of manipulating its accounts.[2]

In the haste to grow without investing in its own operations, Wirecard began to process payments through third-party acquirers (TPAs) in Asia and the Middle East. These companies were owned by other individuals and their books and records were not audited by Wirecard's auditors. Their collections on behalf of Wirecard were recorded by Wirecard employees based on information from the TPAs. This process allowed Wirecard executives to falsely create €1.9 billion in cash held for Wirecard in trust accounts in the Philippines. TPA operations in Singapore, Dubai, and the Philippines were ultimately involved in Wirecard's false claim of €1.9 billion in cash, which later proved to be non-existent and untraceable.[3]

Interestingly, as Sino Forest CEO and board members[4] also did at the time when investigative report allegations mounted, Wirecard's CEO, Markus Braun, dismissed the allegations and attributed them to an attack by opportunistic short sellers. And the German financial supervisory authority, BaFin, did not investigate, but instead filed a criminal complaint against the Financial Times journalists in 2019 for alleged market manipulation.[5]

BaFin's inaction stemmed partly from structural deficiencies in its mandate, which prioritized the stability of the financial system over rigorous enforcement. Its reliance on Wirecard's auditors, notably Ernst & Young (EY), further compromised its oversight. However, EY subsequently faced significant criticism for failing to uncover Wirecard's fraudulent activities during a decade of audits. One of EY's most glaring oversights was its reliance on bank audit confirmations provided by Wirecard for the existence of the €1.9 billion in trust accounts, rather than independently verifying the balances directly with the Philippine banks as is normal audit practice. Critics highlighted that EY's audits lacked sufficient rigor, failed to challenge discrepancies in Wirecard's financial statements, and ultimately enabled the fraud. This regulatory inertia, compounded by EY's professional failings, allowed Wirecard's fraudulent schemes to go unchallenged for years, ultimately eroding confidence in Germany's financial governance mechanisms.[6,7]

Wirecard's fraudulent trajectory was marked by a series of critical developments. In 2002, the company transitioned from processing payments for gambling and pornography websites to becoming a publicly listed entity through a reverse takeover. By 2015, Wirecard had made several bold acquisitions, such as of an Indian payments group for €340 million, that raised questions about the opaque structuring of its deals. Investigative reports emerged that year, questioning the authenticity of Wirecard's revenues and operational claims. In January 2019, allegations of accounting irregularities in the company's Singapore office gained international attention, culminating in raids by Singaporean authorities a month later. By October 2019, Wirecard's supervisory board had commissioned KPMG to conduct an independent audit to address these mounting concerns. The audit's findings, published in April 2020, revealed that KPMG could not verify substantial portions of Wirecard's revenues or cash reserves.

The scandal reached its zenith in June 2020, when the company acknowledged that the €1.9 billion listed as "cash" on its balance sheet was fictitious after KPMG's audit. This revelation emerged after BDO Unibank and the Bank of the Philippine Islands, where Wirecard claimed the funds were held, categorically denied any association with the company. The absence of these funds, which comprised a substantial portion of Wirecard's purported assets, led to its swift unraveling.[8]

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[2] Financial Times. (2020b). The Long Shadow of Wirecard's Fraud. Retrieved from https://www.ft.com/content/d51a012e-1d6f-11e9-b126-46fc3ad87c65.

[3] Ibid.

[4] Refer to Sino Forest Fraud case in this Chapter.

[5] Reuters. (2020). "Timeline: The Rise and Fall of Wirecard." Retrieved from https://www.reuters.com/article/us-wirecard-accounting-idUSKBN23Y0AO.

[6] Wall Street Journal. (2020). "Auditors Under Fire: The Wirecard Saga." Retrieved from https://www.wsj.com/articles/how-wirecard-scammed-auditors-and-fooled-the-market-for-years-11594617460.

[7] Ibid., *Financial Times*. 2020b.

[8] "Wirecard's Wild Week Finally Ends in Insolvency Filing," Sarah Syed, Luca Casiraghi, and Fabian Graber, *Bloomberg*, June 25, 2020, accessed on June 25, 2020, at https://www.bloomberg.com/news/articles/2020-06-25/wirecard-files-for-insolvency-after-2-1-billion-went-missing.

Markus Braun resigned and was subsequently arrested on charges including fraud, market manipulation, and embezzlement. The spotlight also fell on COO Jan Marsalek, a central architect of the fraudulent activities. Marsalek's flight from justice—he remained a fugitive as of 2025—added an international dimension to the scandal, with reports suggesting his involvement in intelligence networks and elaborate evasion tactics.[9]

The ripple effects of Wirecard's collapse extended to financial institutions that had extended credit or facilitated its operations. Major creditors, including Commerzbank and Deutsche Bank, were compelled to write off substantial loans, further exacerbating the financial fallout. Commerzbank wrote off approximately €175 million in outstanding loans to Wirecard, while Deutsche Bank reported losses of nearly €80 million tied to credit facilities. Additionally, Dutch lender ABN AMRO incurred a loss of €180 million, and Japanese bank SoftBank, which had heavily invested in Wirecard through its Vision Fund, faced a write-off exceeding €500 million.[10,11]

The Wirecard scandal reverberated across the global financial ecosystem, raising urgent questions about corporate governance, audit integrity, and regulatory efficacy. EY, Wirecard's long-standing auditor, faced withering criticism for its failure to detect the fraud for over a decade. Despite being tasked with verifying the existence of the €1.9 billion in cash, EY did not independently confirm the bank balances, relying instead on documents provided by Wirecard—a glaring oversight that has since led to legal action and reputational damage.[12]

The scandal also prompted sweeping regulatory reforms. In Germany, BaFin underwent structural changes aimed at enhancing its independence and enforcement capabilities. The European Securities and Markets Authority (ESMA) initiated broader investigations into auditing and supervisory practices, signaling a concerted effort to prevent similar occurrences.[13]

Additionally, the Wirecard saga underscored the critical role of investigative journalism in exposing corporate malfeasance. The persistence of the Financial Times in pursuing the story—despite legal threats and intimidation—was instrumental in bringing the fraud to light and underscores the importance of independent scrutiny in holding powerful entities accountable.

Questions

1. What was missing from Wirecard's governance, other than substandard external audit practices, which allowed the fraud to be kept secret from the company's directors?
2. Why did the external auditors not confirm the bank balances directly with the relevant banks?
3. How should company directors respond to allegations made by investigative journalists?
4. What are the five most important elements of a governance system that directors should rely on to protect the company and themselves from fraud or other malfeasance? Explain why?

[9] *Financial Times*. (2020c). "Jan Marsalek: The Fugitive at the Heart of Wirecard's Fraud." Retrieved from https://www.ft.com/content/ac949729-6167-4b6c-ac3f-f0aa71aca193.

[10] Ibid., *Wall Street Journal*. 2020.

[11] Ibid., *Financial Times*. 2020b.

[12] Ibid., *Wall Street Journal*. 2020.

[13] Ibid., *Bloomberg*. 2020.

Professional & Fiduciary Duty Cases

NOCLAR Solutions to Toshiba's Accounting Scandals & Confrontations with Auditors

Ethics Case

Toshiba, headquartered in Japan, is one of the world's leading conglomerates, with operations in many fields, including electronics and nuclear energy. On August 10, 2017, PricewaterhouseCoopers Aarata (PwC) finally agreed to sign off on Toshiba's accounts after refusing to do so twice.[1] As required by Japanese governance statutes, PwC provided two opinions: one on the financial reports for the year ended March 31, 2017, and another on the internal control Toshiba had in place to support

[1] Kana Inagaki, "Toshiba Looks for Auditor to Replace PwC," FT.com, April 26, 2017, https://www.ft.com/content/b958b98e-2a60-11e7-bc4b-5528796fe35c.

its financial systems and reports. PwC issued a qualified opinion[2] on the financial reports and an adverse opinion[3] on Toshiba's control system.

Not surprisingly, because discussions with Toshiba's senior executives leading up to these negative opinions were so confrontational, Toshiba was rumored to be looking for an auditor to replace PwC. The dispute that triggered this confrontation was Toshiba's refusal to record a $6.3 billion write-down of projected losses in the company's nuclear division[4] as early as PwC deemed necessary. Toshiba twice delayed releasing its third-quarter results, thus missing two Tokyo Stock Exchange deadlines and thereby risking having their stock delisted. Toshiba finally released their quarterly results without PwC's certification.

PwC was hired in 2016 because the previous auditor, Ernst & Young ShinNihon (EY), had not discovered profit-enhancing accounting irregularities at Toshiba. An internal investigation found that executives had overstated income by $1.3 billion in 2015[5] by postponing expenses to subsequent periods and overstating revenue by "channel stuffing," or masking/inflating profits, through interpartner pricing practices.[6] Those executives were fired, as was EY as Toshiba's auditor. EY was fined $17.5 million in December 2015, prohibited from taking new clients for three months, and subjected to a monitoring reporting arrangement by Japanese regulators.[7] In July 2017, the Japanese Institute of CPAs also took further disciplinary action against EY, suspending the firm from membership for two months.[8]

Toshiba began searching to replace PwC but discovered that the other two of the Big Four firms, Deloitte Touche Tohmatsu and KPMG Azsa, could not serve because of "potential conflicts of interest due to past business deals."[9] Smaller, second-tier firms were approached, but they were reluctant to serve because they were too busy and/or did not have enough audit staff to take on such a large audit assignment. In effect, Toshiba was stuck with PwC, which continued as Toshiba's auditor.

The real culprits in the Toshiba accounting frauds and scandals were the very high-level, arrogant executives who "challenged" (demanded really) subordinates to deliver incredible, immediate profits very near the end of each reporting period. The late timing of these demands left lower-level executives with no operating options, and they resorted to accounting chicanery to boost profits artificially. The Japanese culture of obedience to senior executives kept these manipulations secret, and there was no whistleblowing encouragement or mechanism by which the Board of Directors could be advised. The behind-the-scenes story of these top-down demands came to light when Toshiba commissioned an internal report on the scandals.[10] That report offered remedial steps that were sadly too late for many stakeholders.

It is interesting to consider whether the new international NOCLAR rules could have prevented these scandals if they had been in place when Toshiba's accounting frauds were happening. The NOCLAR rules/standards were approved by the International Ethics Standards Board for Accountants (IESBA) on July 15, 2017,[11] which meant that all professional bodies that were members of the International Federation of Accountants agreed to harmonize local professional accounting codes to the new standards in a relatively short time. The NOCLAR standards require that any professional accountant who discovers or suspects that his or her employer or client is not complying

[2] "Toshiba 2017 Annual Report (Year Ended March 31, 2017)," pp. 80–93, accessed on December 11, 2019, at https://www.toshiba.co.jp/about/ir/en/finance/ar/ar2017/tar2017e_fr.pdf.

[3] Ibid.

[4] Dennis H. Caplan, Saurav K. Dutta, and David J. Marcinko, "Unmasking the Fraud at Toshiba," *Issues in Accounting Education* 34, no. 3 (August 2019): 41–57.

[5] Inagaki, "Toshiba Looks for Auditor to Replace PwC."

[6] Ibid.

[7] Takehiko Hama, "Penalized Japanese Auditor Struggles to Regain Ground: EY ShinNihon Fulfills Obligations to Regulator in Wake of Toshiba Scandal, Nikkei Asian Review, February 3, 2018, accessed on December 11, 2019, at https://asia.nikkei.com/Spotlight/Toshiba-in-turmoil/Penalized-Japanese-auditor-struggles-to-regain-ground.

[8] Mizanur Rahman Khondaker and Marc Bremer, "The Implications of the Toshiba Accounting Scandal for Auditor Liabilities in Japan," 2017, wp1704, pp. 12–13, accessed on December 21, 2019, at http://www.ic.nanzan-u.ac.jp/MCENTER/pdf/wp1704_.pdf.

[9] Ibid.

[10] Independent Investigation Committee for Toshiba Corporation, Investigation Report, Summary Version, July 20, 2015, accessed on December 11, 2019, at https://www.toshiba.co.jp/about/ir/en/news/20150725_1.pdf; see Chapters 6 and 7.

[11] The NOCLAR standards are now part of the International Ethics Standards Board for Accountants, International Code of Ethics for Professional Accountants, 2018, https://www.ethicsboard.org/international-code-ethics-professional-accountants.

with laws or regulations must report such noncompliance within his or her employer or audit firm, if material. If no or insufficient action is taken, then the professional accountant must report the matter to external third-party authorities. In 2018 and 2019, the Japanese Institute of CPAs adopted the NOCLAR standards except for the requirement to report externally to third-party authorities.

Questions

1. The Toshiba accounting frauds were enabled by the culture of obedience to authority that permeates Japanese and other Asian cultures. How should a company avoid the risk of fraud or malfeasance being perpetrated by authority figures in such cultures?
2. Given Toshiba's practice of dismissing or wishing to replace auditors who did not agree with Toshiba's accounting methods, are there any circumstances in which another audit firm should be prepared to take over the audit?
3. Given that Japan has partially adopted the NOCLAR standards, will those standards be successful in preventing accounting frauds similar to those perpetrated at Toshiba? Why or why not?

U.S. Regulators Catch Big Four Cheating & Stealing

Ethics Case

The U.S. Securities & Exchange Commission (SEC) and the U.S. Public Company Accounting Oversight Board (PCAOB) are charged with protecting U.S. investors and markets. In 2022, they sanctioned several firms engaged in auditing U.S. registrant companies for violating a PCAOB rule "requiring the firm to maintain integrity in the performance of a professional service, committed acts discreditable to the accounting profession, and failed to maintain an appropriate system of quality control."[1] For example,

- In 2022, the SEC fined Ernst & Young LLP (EY) $100 million and required the firm to take remedial measures because "over multiple years, a significant number of EY audit professionals cheated on the ethics component of CPA exams and various continuing professional education courses required to maintain CPA licenses, including ones designed to ensure that accountants can properly evaluate whether clients' financial statements comply with Generally Accepted Accounting Principles."[2] In addition, EY "hindered the SEC investigation" by claiming that they had no cheating issues when, in fact, they had been advised by a whistleblower that cheating was occurring on a CPA exam. Nor did the firm correct its submission after its own investigations confirmed that cheating was taking place on CPA ethics and other examinations, "even after its senior lawyers discussed the matter with members of the firm's senior management".[3]

  The remedial measures included hiring two independent consultants to help remediate the deficiencies: one focussing on ethics and integrity policies and procedures, and the other reviewing the failure to disclose potential or actual cheating.[4]
- In 2022, the PCAOB, sanctioned PricewaterhouseCoopers LLP (PwC Canada) by censuring the firm, imposing a $750,000 fine, and requiring remedial action for cheating on internal ethics exams designed to ensure that the firm's audit professionals maintained their audit knowledge and independence. The Canadian equivalent of the PCAOB, the Canadian Public Accountability Board (CPAB) also fined PwC Canada $200,000.[5]

[1] Summary, U.S. Securities and Exchange Commission (SEC). EY agrees to pay $100 million to settle charges of cheating by audit professionals on CPA ethics exams, Press Release 2022-114, retrieved from https://www.sec.gov/news/press-release/2022-114.

[2] Order, Securities and Exchange Commission, In the Matter of Ernst & Young LLP, Instituting Public Administrative And Cease-And -Desist Proceedings Pursuant To Sections 4c And 21c Of The Securities Exchange Act Of 1934 And Rule 102(E) Of The Commission's Rules Of Practice, Making Findings, And Imposing Remedial Sanctions And A Cease-And-Desist Order, Administrative Proceeding, File No. 3-20911, Accounting and Auditing Enforcement Release No. 4313/June 28, 2022, retrieved at https://www.sec.gov/litigation/admin/2022/34-95167.pdf.

[3] Ibid., Summary.

[4] Ibid.

[5] "PwC Canada fined over one million CDN by US, Canadian regulators," Colin Ellis, Canadian Accountant, March 1, 2022, accessed online on October 10, 2022 at http://www.canadian-accountant.com/content/profession/pwc-canada-fined-by-us-canadian-regulators.

Specifically, from "at least 2016 until early 2020, PwC Canada violated PCAOB rules and quality control standards related to integrity and personnel management by failing to establish appropriate policies and procedures for administering and overseeing internal training tests, including tests designed to help the Firm's audit professionals satisfy the requirements for maintaining their accounting certifications. Those quality control failures prevented the Firm from identifying that more than 1,200 Firm professionals were involved in improper answer sharing—either by providing or receiving answers—in connection with tests for mandatory internal training courses covering topics that included auditing, accounting, and professional independence. More than 1,100 of these professionals were from the Firm's Assurance practice."[6] "After discovering the training-related misconduct in January 2020, PwC Canada reported the matter to the PCAOB and began implementing remedial policies and procedures."[7]

- In 2019, KPMG US was fined $50 million for "'illicit use of PCAOB data and cheating on Training Exams' one year after charging five former KPMG US officials in a case alleging they schemed to interfere with the PCAOB's ability to detect audit deficiencies at KPMG."[8] "In addition to paying a $50 million penalty, KPMG is required to evaluate its quality controls relating to ethics and integrity, identify audit professionals that violated ethics and integrity requirements in connection with training examinations within the past three years, and comply with a cease-and-desist order. The SEC's order requires KPMG to retain an independent consultant to review and assess the firm's ethics and integrity controls and its investigation."[9]

Why would personnel at these three firms cheat and/or misuse confidential information? They are supposed to be at the pinnacle of the accounting profession. Per the SEC press release: "This action involves breaches of trust by gatekeepers within the gatekeeper entrusted to audit many of our Nation's public companies. It's simply outrageous that the very professionals responsible for catching cheating by clients cheated on ethics exams of all things," said Gurbir S. Grewal, Director of the SEC's Enforcement Division. "And it's equally shocking that Ernst & Young hindered our investigation of this misconduct. This action should serve as a clear message that the SEC will not tolerate integrity failures by independent auditors who choose the easier wrong over the harder right."[10] Observers noted that the fine for EY was exactly double that for KPMG and speculated that was due to the failure by EY to report known deficiencies in a timely manner. PwC, however, reported the problem before it was known or suspected by regulators and was only fined $1 million.

In each case, the sharing of answers to ethics questions was so widespread as to raise questions about each firm's culture. What was lacking? Was ethical misconduct normalized? If so, why, was it due to "moral disengagement," where individuals rationalize unethical actions as necessary for achieving organizational objectives?[11] How would such deficiencies be remedied? How would they be identified in advance to prevent serious consequences?

Questions

Answer the seven questions raised in the last two paragraphs in the case.

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[7] Ibid.

[8] Ibid, PwC Canada fined …

[9] U.S. Securities and Exchange Commission, KPMG Paying $50 Million Penalty for Illicit Use of PCAOB Data and Cheating on Training Exams, Press Release 2019-95, retrieved from https://www.sec.gov/newsroom/press-releases/2019-95.

[10] Ibid., Summary …

[11] Bandura, A. (1999). Moral disengagement in the perpetration of inhumanities. *Personality and Social Psychology Review, 3*(3), 193–209. https://doi.org/10.1207/s15327957pspr0303_3.

PwC Australia Tax Scandal

Ethics Case

Peter-John Collins, PwC Australia's former international tax chief, was asked, in late 2013 to serve on a confidential panel to advise the Australian Tax Office (ATO) on how to revise Australia's tax laws to prevent multinational companies operating in Australia from avoiding paying tax on those operations. Peter and the other members of the committee signed three undertakings to keep the briefings, meeting agendas, and draft revisions confidential because if details discussed leaked to the companies, the new laws and regulations would not have served any useful purpose, and Australia would lose the tax revenue involved.[1] The loss was estimated at $100 million annually in income tax, and $80 million annually in GST.[2] Soon after the public announcement of the tax revisions, several companies restructured their affairs to avoid paying tax under the new regulations. At least 14 of them had been advised by PwC, including Google, Facebook[3], Uber, and Adobe[4]. Subsequent investigations revealed that PwC Australia earned $2.5 million for providing this tax advice.[5]

Evidently, PwC used confidential information to benefit private clients thus undermining the Australian government's intentions, and the government reacted by starting several investigations into PwC's activities. The impact of this was significant:

- Ten investigations examined PwC's conduct.
- In 2022, Peter Collins was deregistered as a Tax Practitioner for two years.
- PwC was required to publish its *Transparency Report 2024* on the matter
- More than 700 PwC staff and dozens of partners left PwC Australia over this matter, including the chief executive.
- The PwC government consulting unit valued at $100 million was sold to the private equity firm Allegro Funds for $1.
- PwC personnel were banned from working on any government contracts while the investigations continued.
- PwC revised its controls and policies as well as its training programs, and particularly on conflicts of interest.
- PwC's reputation as a trustworthy firm was significantly harmed[6], which resulted in a loss of profits in 2023-2024 of 24%, and its staff turnover was over 32% resulting in a shrinkage of the firm placing it behind Deloitte and EY in the consulting professional services industry.[7]
- The PwC general counsel, Meredith Beattie, defended PwC by asserting that the firm personnel were not guilty of misuse of confidential information because of professional privilege. However, in response to the tax scandal, PwC settled with the ATO and accepted a fine of $642,000 for 170 false legal professional privilege claims.

Although the breach of confidentiality took place in 2014, investigations have continued for many years, and charges may even yet result and/or reputations may be harmed in the future.[8] Collins' offense was clear—as a professional, he violated a confidence that he undertook to uphold. So why did this matter take so long to resolve? As Professor Adams indicated, Peter-John Collins violated the "spirit of the law." However, because the prevailing Australian laws were too specific or too lax, he may not have violated "the letter of the law."

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[2] Ibid.

[3] Smith, J. (2024). "Tax leak scandal: PwC still facing 10 investigations. *Sydney Morning Herald*." https://www.smh.com.au/politics/federal/tax-leak-scandal-pwc-still-facing-10-investigations-20240612-p5jl6u.html.

[4] Adams, M. (2024). "Lessons from PwC tax leak scandal. *Queensland Law Society Proctor*." https://www.qlsproctor.com.au/2024/10/lessons-from-the-pwc-tax-leak-scandal/.

[5] Kennedy, R. (2024). "The PwC Australia tax scandal explained: An insider's perspective." *Accountancy Age*. https://www.accountancyage.com/2024/03/26/the-pwc-uk-tax-scandal-explained-an-insiders-perspective/.

[6] Ibid, Lowery

[7] Ibid. Adams.

[8] Ibid.

Questions

1. Speculate why Peter-John Collins violated a confidence—a foundational pillar of his profession—especially after he signed documents signifying that he would not do so.
2. According to Professor Adams[9]: "In September 2014, PwC emails were sent between PwC partners (reportedly 143 names) as to how they could take advantage of the proposed Multinational Anti-Avoidance Law (MAAL or the "Google tax law"). This law was announced in May 2015 and PwC Australia contacted 23 US technology companies on how to circumvent the provisions." What do these actions imply for the professionalism and culture of PwC Australia?
3. What steps would you recommend be taken to restore the public's trust in PwC Australia, and in the Australian accounting profession?

[9] Ibid.

KPMG's Ethical Red Flags—Advance PCAOB Information & Cheating on Ethics Exams

Ethics Case

The Sarbanes-Oxley Act of 2002 created the Public Company Accounting Oversight Board (PCAOB). The PCAOB reports to the U.S. Securities and Exchange Commission (SEC). One of the PCAOB's responsibilities is to audit the accounting firms through practice inspections to ensure that the accounting firms are complying with professional standards of accounting and auditing. In order to ensure the integrity of the audit review process, the PCAOB does not notify the accounting firms in advance about which audit working papers it will inspect and when it will do so.

KPMG, one of the Big Four accounting firms, received several PCAOB citations for deficiencies in their audit working papers. In 2013, almost half the audits inspected by the PCAOB had audit deficiencies; the prior year, 34% of the reviewed files had audit deficiencies. However, if an audit firm knew in advance which auditing working papers the PCAOB would inspect, then their files could be amended to "correct" for any shortcomings. Even if KPMG had already released an audit opinion to the client, these corrections would ensure that the working paper files would pass the PCAOB inspection.

From 2015 to February 2017, six KPMG partners obtained insider information so that they could revise and improve the audit working paper files to eliminate any audit deficiencies prior to the PCAOB inspection. How did this happen? In May 2015, KPMG hired Brian Sweet, a PCAOB supervisor. Before Sweet left the PCAOB, he downloaded confidential information including which audit files the PCAOB planned to examine over the next year. He continued to obtain confidential information about future KPMG inspections from Cynthia Holder, a PCAOB inspector who then joined KPMG in July 2015. A third PCAOB inspector, Jeffrey Wada, also acted as a tipster, leaking PCAOB information while he too was seeking a job at KPMG.

Meanwhile, as far back as November 2015, KPMG employees cheated on their internal ethics tests. Partners and staff shared answers to mandatory ethics, integrity, and compliance training sessions so that other employees would obtain passing scores. Because these were internal tests, KPMG personnel manipulated the computer that hosted the training exams to lower the passing score. Anyone who answered only 25% of the questions correctly passed the test.

On June 17, 2019, KPMG admitted to these two ethical failures and agreed to pay a fine of $50 million. The SEC also requested an independent review of KPMG's internal ethics and integrity systems.

Not everyone was satisfied. Thomas Fox, an independent consultant and lawyer, blogged, "In short, the conduct outlined in the Order is so egregious, detailing a culture which is completely unmoored from any ethical foundation, that any company using KPMG as an auditor must ask some very serious questions about not only the quality of the services they have received but also the very foundation of these services."[1] In a *MarketWatch* interview, Fox asked, "If these partners and staff are willing to lie, cheat and steal to defy the PCAOB and the SEC, what must they be willing to do to please clients and generate more profits?"[2]

[1] Thomas Fox, "Day of Reckoning for KPMG—Failures in Ethics," Thomas Fox's FCPA Compliance & Ethics Updates, June 18, 2019, available at https://www.jdsupra.com/legalnews/day-of-reckoning-for-kpmg-failures-in-73056.

[2] Francine McKenna, "The KPMG Cheating Scandal Was Much More Widespread Than Originally Thought," MarketWatch, June 18, 2019, available at https://www.marketwatch. com/story/the-kpmg-cheating-scandal-was-much-more-widespread-than-originally-thought-2019-06-18.

Questions

1. Identify factors that you think contributed to KPMG developing a culture that accepted utilizing insider information and cheating on ethics exams as legitimate business practices.
2. Assess Thomas Fox's comments about KPMG's ethical failures.
3. Is there anything the accounting profession could have done to prevent these two ethical failures?

Sources: Gorman, Y. T. 2019. "KPMG Partner, PCAOB Official Guilty Stealing Inspection Schedules." *SEC Actions*. https://www.secactions.com/kpmg-partner-pcaob-official-guilty-stealing-board-inspection-schedules/.

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KPMG Partner Shares Confidential Information with a Friend

Ethics Case

On July 1, 2013, Scott London, a former KPMG audit partner, pleaded guilty to securities fraud. He had been passing information to his friend, Bryan Shaw, over a two-year period ending in 2012.

He told his friend about earnings announcements by Herbalife Ltd and Skecher USA Inc. as well as the planned merger of RCS Holdings with United Rentals and the takeover of Pacific Capital Bankcorp by Union Bank. Overall, Shaw was tipped fourteen times and used that information to make approximately $1.3 million in trading profits.

Why would a senior partner knowingly break the rule of confidentiality? Confidentiality is a value at the heart of the accounting profession. London argued that he was merely helping a friend whose jewelry business was in financial trouble. London had advised him that it was unlikely that he would be caught. Regulators are not searching for "small fish," he advised his friend. Furthermore, Shaw thought that his golf partner was making small profits on the various tips that he had been given. He speculated that they were around $200,000 and was shocked when he learned that they were over $1 million. He said that he "about threw up" when he learned the size of Shaw's profits.

London contended that he never asked to share in any of the trading profits, although he did receive $60,000 in cash and a $12,000 Rolex watch from Shaw. Part of the cash payment was captured by a surveillance photo of Shaw and London in a parking lot. But London claimed that these were small gifts from a friend, and the amounts were immaterial relative to London's remuneration as the KPMG audit partner in charge of the Pacific Southwest region.

The negative consequences of this insider trading were both direct and indirect. London, who could have been sent to prison for 20 years, was sentenced to 14 months in April 2014.[1] (Revise when appropriate) Shaw awaits his trial. Meanwhile, although KPMG was not involved in any wrongdoing, KPMG resigned as the auditor of both Herbalife and Skechers. London had been the partner in charge of both of these audits. KPMG said that they were reviewing their internal controls and procedures against the release of confidential information. They announced that their controls were "safe and effective" but that nevertheless they would be increasing their monitoring and training.

This event renewed the debate concerning the prohibition of insider trading. Those in favor of no prohibition argue that the stock market is made more efficient more quickly, but, as indicated in the text on page 451, insider trading is not a victimless crime. KPMG would certainly agree.

Questions

1. Should an accounting firm have to resign as the auditor of a company when the partner in charge of the audit is convicted of releasing confidential information about that audit client?
2. How can accounting firms ensure that their partners and staff do not release confidential information?

Source: Alexandra Berzon, and Michael Rapoport, "Guilty Plea in KPGM Case," *Wall Street Journal*, July 2, 2013, C2; Emily Flitter, "KPMG Auditor Charged for Disclosing Tips," *The Globe and Mail*, April 12, 2013, B7.

[1] Tamara Audi, "Former KPMG Partner Scott London Gets 14 Months for Insider Trading," *Wall Street Journal*, April 24, 2014, http://www.wsj.com/articles/SB10001424052702303380004579521870879321240.

Livent—When Maria, When?

Ethics Case

Livent, once one of the world's premier live entertainment companies, was sold in 1998 to buyers who soon found that the value they had paid for was an illusion. Livent had thrilled audiences with performances of *Phantom of the Opera*, *Ragtime*, *Kiss of the Spider Woman*, *Sunset Boulevard*, *Showboat*, *Joseph and the Amazing Technicolor Dreamcoat*, *Fosse*, *Candide*, and *Barrymore*. Needless to say, Garth Drabinsky and Myron Gottlieb, the creators of Livent, were suspected of fraud, but justice was slow in coming in Canada.

Whereas the U.S. Securities and Exchange Commission pursued fraud charges in 1999,[1] it was not until May 2008, over ten years after their alleged manipulation of earnings, that Drabinsky and Gottlieb finally went on trial in Toronto for two counts of fraud and one of forgery. The manipulations occurred from 1993 to 1998 and were reported to be significant. For example, according to the testimony of Gordon Eckstein, Livent's senior vice president of finance, an internal document showed a loss of $41 million for the third quarter of 1997 that was reported publicly as a $13.4 million profit after adjustments were made by accounting staff.[2] Eckstein also reported, "Just before Livent was sold, its managers wrote down the value of its assets to 'clean up the books' and declared a loss of $44 million for 1997."[3]

Maria Messina, Livent's CFO, had joined Livent in May 1996 after having been a partner at Deloitte & Touche, Livent's auditors. Messina had worked on the audit but testified that she did not become aware of the manipulation until July 1997, "when she saw a set of internal statements showing a loss of about $20 million for the first six months of 1997, then later saw a subsequent set showing an $8 million profit."[4] Interestingly, she never revealed the fraud to her former colleagues at Deloitte. In fact, she did not disclose Drabinsky's manipulative influence to any outsider until July 1998, when she met the new owner's CFO, Roy Furman. She then revealed the fraudulent behavior on August 6, 1998, when she met with Robert Webster, the new executive vice president, who had asked for a report on construction costs, the area affected by many of the manipulations.

Why did Maria delay so long? At first, she was shocked and numbed. She questioned her manager, Gordon Eckstein, who replied, "It's just income smoothing. Everybody does it."[5] She was so shocked that she panicked and was "completely immobilized by fear . . . didn't know how to get out of the situation and didn't have the courage to expose the fraud and 'take on' Mr. Drabinsky and Mr. Gottlieb."[6] Drabinsky, in particular, was somewhat famous and had a reputation for being frighteningly intimidating. "Instead she settled on a campaign of 'baby steps,' and tried to persuade Mr. Eckstein to stop the fraud."[7] During this period, she did work on manipulated financial statements. Eckstein's proposal was presented at an executive meeting in February 1998, but it was not accepted. In April 1998, she wrote a memo to Drabinsky and Gottlieb, indicating that proposed adjustments were not in accord with GAAP and that she would not support them. This worked: the manipulations were abandoned, and some of the accumulated fraud was written down.[8] However, on June 30, when she met with Drabinsky to show him an estimate of second-quarter earnings indicating a loss of $13 million, he said, "These numbers are all f— up. You don't know what the f— you are doing. You can't show these to anyone." Drabinsky then demanded that second-quarter earnings be boosted from a loss of $13 million to just $200,000.[9] This was the situation that she disclosed to Roy Furman, but she did not tell him about the earlier fraud. When asked why not, she replied, "How do you tell somebody that, when you are a chartered accountant? I was also obviously going to be destroying my own life. It just took me several weeks to find the courage to do it."[10] She paid a high price. On January 7, 1999, she pleaded guilty to a federal felony charge and as a "36-year-old single mother

[1] Release 99-3 SEC Sues Livent and Nine Former Livent Officials for Extensive Accounting Fraud; U.S. Attorney Files Criminal Charges Washington, https://www.sec.gov/news/press/pressarchive/1999/99-3.txt.

[2] Peter Small, "Livent Hid Large Losses, Court Told," *Toronto Star*, May 21, 2008, A7.

[3] Ibid.

[4] Janet McFarland, "Former Livent CFO 'Numb' over Extent of Fraud," *The Globe and Mail*, June 10, 2008, B3.

[5] Ibid.

[6] Ibid.

[7] Ibid.

[8] Janet McFarland, "Ex-Livent Executive Says She Blew the Whistle," *The Globe and Mail*, June 11, B3.

[9] Ibid.

[10] Ibid.

of a 10-year-old girl faced up to five years in jail and fines as high as $250,000."[11] In addition, she lost her chartered accountant designation.

Questions

1. Did Maria blow the whistle at the right time? Why or why not?
2. Was her planned response appropriate? Why or why not?
3. How would you suggest she should have dealt with the problem?
4. Should whistleblowing be encouraged? Why or why not?

[11] "Is Fraud the Thing?," *BusinessWeek*, February 15, 1999, 104.

The Competitive Intelligence Unit at Deloitte

Ethics Case

Deloitte's Competitive Intelligence Unit

Similar to the other Big-Four accounting firms, Deloitte provides auditing, tax, and consulting services as well as financial advisory and risk management services to large, medium, and small companies throughout the world. In 2003, the U.S. partnership had a special Competitive Intelligence unit, headed by two former CIA agents, Gordon Welch and John Shumadine. The unit's mission was to obtain information that would assist in making strategic and tactical decisions in order to gain a competitive advantage for the accounting firm and its clients.

Shumadine tells the story about a rival accounting firm that claimed that it had a software package that would meet the needs of a Fortune 500 company. The competitive intelligence team found the engineer who developed the software, and quickly learned that the software was outdated, and that better software was available. Deloitte then used that information to obtain that Fortune 500 company as a client, instead of the rival accounting firm (Carr, 2003).

BearingPoint, Inc.

BearingPoint, Inc., the multinational management consulting firm, expanded its operations by debt financing the acquisition of other consulting firms. In 2007, the senior partners held an emergency meeting in Orlando, Florida, to discuss their financial concerns. When Deloitte learned of the meeting it sent two of its competitive intelligence employees to Orlando. Abby Vietor had worked as a private investigator and John Kiriakou was an ex-CIA agent. They quickly learned that BearingPoint was in crisis mode (Javers, 2016).

Abby and John acquired their information about the plight of BearingPoint by walking into and out of the convention center where the executives were meeting. They picked up any material that had been inadvertently left behind, but only after several hours had passed. During the day, they hid for prolonged periods of time in the women's and men's bathrooms surreptitiously listening in on conversations. In the evenings, they sat in bars, eavesdropping on conversations from worried BearingPoint partners (Javers, 2016).

After one session had ended, the two Deloitte employees prevented the cleaning staff from entering the meeting room. They waited for hours before entering the empty room, where they collected all the notes and documents that had been left behind. It was a gold mine of information that contained projections and analyses of revenue by specific accounts that revealed the extent of the consulting firm's financial problems. The analysis of the information gathered by Abby and John concluded that acquiring BearingPoint's U.S. operations would greatly improve Deloitte's federal consulting practice (Javers, 2016).

Throughout their time in Orlando, neither Abby nor John broke any laws concerning the theft of information.

Aftermath

In February 2009, BearingPoint's U.S. division filed for bankruptcy protection. One month later, Deloitte bought it for $350 million. The merger of BearingPoint's operations with Deloitte's was successful. Within one year, Deloitte's revenue from federal government consulting grew by $220 million (Censer, 2010).

Questions

1. Is it acceptable to spy on rivals? Use ethical and/or economic theories to support your answer.
2. Accounting firms are to serve the public interest. Should accounting firms own subsidiaries that engage in competitive intelligence activities? Does it matter that the competitive intelligence division is incorporated differently than the accounting firm and that its employees may not be professional accountants?

3. Assume that while conducting an audit you discover that your client spied on a competitor to obtain competitive information. Should this be a concern as you conduct your audit? Assume that the audit client illegally spied on a rival to obtain that competitive information. Should this be a concern as you conduct your audit?

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Acknowledgement

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Wanda Liczyk's Conflicts of Interest

Ethics Case

In 1984, twenty-three-year-old Wanda Liczyk received her designation as a chartered accountant. The following year, she left Coopers & Lybrand (now part of PricewaterhouseCoopers) to become a budget analyst for the City of North York. By 1991, she had become the city's treasurer and protégé of the mayor, Mel Lastman. In 1998, when North York was amalgamated into the City of Toronto, forming a megacity, Wanda became Toronto's CFO and treasurer, responsible for overseeing an operating budget of $6.5 billion.

Prior to the amalgamation of the cities, the City of North York awarded a computer contract to a company run by Michael Saunders. He was to develop a property tax management and collection system (TMACS). Liczyk was one of the three people on the committee that awarded Saunders the contract. However, she did not disclose to the other members of the committee that she had been having a sexual affair with the married Saunders. Although the affair ended in 1991, they remained friends, and Liczyk continued to give Saunders over $3 million in contracts. Furthermore, she convinced Mayor Lastman to select TMACS for the amalgamated City of Toronto even though a locally developed system, TMX, was already in place in other parts of the city. All of this became known only as a result of a formal public inquiry into a subsequent computer leasing scandal.

Shortly after the amalgamation, the City of Toronto signed a contract with MFP Financial Services to provide $43 million of computer equipment on a three-year lease. However, the contract was not carefully monitored. After the payments almost doubled to $85 million, a lengthy public inquiry was conducted by Madam Justice Denise Bellamy. Her 2005 report revealed corruption, cronyism, and bribery. Former hairdresser Dash Domi became a salesman for MFP, earning a $1.2 million commission. Dash used his notoriety as the brother of National Hockey League player Tie Domi to wine, dine, and entertain various civic politicians and bureaucrats, including Tom Jakobek, the budget supervisor for the city, and Wanda Liczyk, the CFO of the city. Justice Bellamy found "credible evidence" that Dash made a $25,000 payoff to Jakobek. She also faulted Liczyk for not controlling the costs associated with the MFP leasing contract, for not reporting the overspending to city council on a timely basis, and for violating civic conflict of interest policies in her dealings with Saunders, even though Saunders had nothing to do with the MFP contract. Although the Bellamy Report is a scathing indictment of numerous civic officials, a subsequent investigation by the Ontario Provincial Police concluded that there was not enough evidence to press charges. No one was tried in a court of law, but Liczyk was charged and ultimately sanctioned by the Institute of Chartered Accountants of Ontario (ICAO).

As a result of the Bellamy Report, the professional conduct committee of the ICAO began an investigation in 2005 into the conduct of Liczyk, a member of the ICAO. After a closed in-camera session, the ICAO decided not to press charges against her. This led to a public outcry of protest. Doug Elliott, a Toronto resident, along with the City of Toronto, formally complained to the ICAO. Elliott argued that "the more sunshine that is shone on this secretive ICAO process, the greater the likelihood that justice will be seen to be done in the public interest."[1] The ICAO responded by hiring lawyer Richard Steinecke to review the professional conduct committee's decision. The new City of Toronto mayor, David Miller, said, "I'm very pleased with this decision. We called for the Institute to reconsider and it appears that they've taken the public interest very seriously."[2]

Steinecke's investigation concluded that the conduct committee gave few reasons for its decision, giving the impression that the case had not been taken seriously. Furthermore, a significant minority of the committee wanted the case to go to the disciplinary committee. As a result of his report, the ICAO reopened the investigation.

In a one-day disciplinary committee hearing in April 2007, a previously agreed statement of facts was read out. Liczyk pleaded guilty to three charges of violating Rule 201 of the Rules of Professional Conduct. She did not "maintain the good reputation of the profession" when she was providing contract work to Saunders, with whom she had a conflict of interest. Although she did not profit personally from any of the contracts that she sent to Saunders, she had compromised her independence and professional integrity. According to ICAO lawyer Paul Farley, "Time and time again Ms. Liczyk was deciding to approve proposals that resulted in city work going to her friend. She could have come to her senses but she didn't."[3] Liczyk was suspended as a chartered accountant for six months and ordered to pay a $15,000 fine and $7,000 of court costs.

Despite the Bellamy Report that severely criticized Liczyk for her involvement in the MFP leasing debacle, the ICAO initially wanted to take no action against her. Only after there was a public outcry did the ICAO reopen the case, but then it chose to prosecute Liczyk, not with respect to her involvement with the MFP scandal but rather for her involvement with Saunders.

The result of the ICAO trial was not to everyone's satisfaction. Doug Elliott, who had initially complained to the ICAO about its decision not to investigate Liczyk, called the verdict "a whitewash" and the fine "a slap on the wrist."[4] The Toronto city councilor, Michael Walker, had wanted Liczyk to lose her chartered accountant designation. Nor was he comfortable with the accounting profession policing itself. "If professional associations cannot take care of it [the disciplinary process] scrupulously and ruthlessly, then governments should take it over because the people would have more faith in it," Walker argued.[5]

Questions

1. If Wanda Liczyk did not benefit financially, did she really have a conflict of interest? Should she have been disciplined by the ICAO? Why or why not?
2. Should the accounting profession be allowed to police itself, or should an independent third party, such as the government, enforce professional codes of conduct?
3. Do you agree with Doug Elliott's complaint that closed-door trials of accountants by the accounting profession are not in the public interest?
4. By not prosecuting Liczyk after the Bellamy Report was published, did the ICAO give the appearance that it was protecting its own and not wanting to publicly acknowledge that some chartered accountants actually violate the rules of professional conduct?
5. Should Liczyk, as the chief financial officer of the city, have been prosecuted by the ICAO on the more serious charge of failing to provide the required financial oversight, competence, and necessary due care associated with monitoring the MFP lease? Why or why not?

Source: The factual information in this case has been drawn from various publications, including Shanti Fernando, "Ethics and Good Urban Governance," *Canadian Public Administration* 50, no. 3 (2007): 437–48; Rob Kelly, "Settlement Is Looming for Liczyk," *The Bottom Line*, 2007; Paul McLauglin, "The Importance of Being Ethical," *CAmagazine*, August 2008; "Mega-Tasks in a Megacity," *CAmagazine*, April 1998; and David Rider, "Toronto Leasing Scandal Won't End in Charges: OPP," *The Record*, 2005.

[1] Ken Mark, "Look at Decision Again, Reviewer Tells ICAO Panel," *The Bottom Line*, 2007.
[2] Ibid.
[3] Rob Kelly, "CA Ticket Jerked for Six Months," *The Bottom Line*, 2007.
[4] Ibid.
[5] Mark, "Look at Decision Again, Reviewer Tells ICAO Panel."

Strategic Roles

Ethics Case

Assume that you are a professional accountant who is CFO of a medium-sized manufacturing company that plans to do the following:

- Misrepresent products that come from environmentally irresponsible sources as environmentally friendly.
- Bribe officials of a foreign government.
- Use analyses and/or decision techniques that you know are faulty or unethical.
- Encourage an unethical corporate culture.
- Mislead the audit committee.
- Ignore important internal controls.

Question

1. What is your responsibility in each of these situations?

Locker Room Talk

Ethics Case

Albert Gable is a partner in a CPA firm located in a small midwestern city that has a population of approximately 65,000. Mr. Gable's practice is primarily in the area of personal financial planning; however, he also performs an annual audit on the city's largest bank.

Recently, Mr. Gable was engaged by Larry and Susan Wilson to prepare a comprehensive personal financial plan. While preparing the plan, Mr. Gable became personal friends with the Wilsons. They confided to him that they had a somewhat rocky marriage and, on several occasions, seriously discussed divorce. Preparation of the comprehensive personal financial plan, which is nearing completion, has taken six months. During this period, Mr. Gable also performed the annual audit for the bank.

The audit test sample selected at random from the bank's loan file included the personal loan files of Larry and Susan Wilson. Because certain information in the loan files did not agree with facts personally known to Mr. Gable, he became somewhat concerned. Although he did not disclose his client relationship with the Wilsons, he did discuss their loan in detail with a loan officer. The loan officer is very familiar with the situation because he and Larry Wilson were college classmates, and now they play golf together weekly.

The loan officer mentioned to Mr. Gable that he believed Larry Wilson was "setting his wife up for a divorce." In other words, he was arranging his business affairs over a period of time so that he would be able to "leave his wife penniless." The loan officer indicated that this was just "locker room talk" and that Mr. Gable should keep it confidential.

Mr. Gable's compensation from his firm is based on annual billings for services. If Mr. Gable resigns as CPA for the Wilsons, it would result in his losing a bonus constituting a substantial amount in annual personal compensation. Mr. Gable is counting on the bonus to contribute to support tuition and expenses for his youngest daughter, who will be starting as a freshman in college next fall.

Questions

1. What are the ethical issues?
2. What should Albert Gable do?

Source: Prepared by Paul Breazeale, Breazeale, Saunders & O'Neil Ltd, Jackson, Mississippi. Drawn from the Ethics Case Collection of the American Accounting Association.

Advice for Sam & Ruby

Ethics Case

Dear John:

I really appreciate your willingness to give me your opinion as a fellow professional accountant on what I should do and what I should advise the minority owner to do. Given that I was asked to help out Ruby, a family friend, and have found myself in the following situation, your advice is welcomed. Please take into account that I am not (and have not been) retained, nor am I being compensated in any manner related to the situation; I have not been providing accounting services in any shape or form related to the situation, and I have ensured that Ruby did seek out accounting advice from another party as events unfolded.

Approximately three years ago, Jimmy, an owner of a small auto body shop, approached Ruby to give her a 10% equity stake in the shop and asked her to provide day-to-day management functions for the entity. Jimmy wanted Ruby to allow certain cash receipts to bypass the books of the shop, and in return Ruby would directly receive a commission on these transactions. We do not know if these amounts were claimed as taxable income by Jimmy, but it is possible. This cash bypass requirement was incorporated into the shareholders' agreement, signed by both parties, and witnessed. I informed Ruby and her accountant that these amounts must be tracked and reported on Ruby's tax returns as taxable income without deduction.

Ruby was lax and followed Jimmy's advice in completing certain paperwork, so the incorporation documents and subsequent filings still reflect her as the sole director of the company, even though she merely set up the new company formed at the time of the initial transaction. Now, Jimmy has approached her to buy her out.

During the course of the negotiations, which I attended, Jimmy's accountant disclosed he was aware that the "off-book" revenue was occurring, but I am still unaware of how it was treated for tax purposes. There is a high likelihood of premeditated tax evasion on Jimmy's part. Jimmy has had—and continues to have—various taxation "issues," including one for approximately $80,000 that caused him to approach Ruby in the first place. Jimmy was apparently attempting to hide assets from the tax authorities and used the then-unaware Ruby to effectively be a shield for him.

By the way, Jimmy's accountant has indicated that he is a professional accountant, and the negotiations for the sale of the minority shares have now been transferred to Ruby's lawyer. I am still providing some help through her lawyer.

I am looking forward to receiving your advice.

Sincerely,

Sam

Questions

1. Keeping in mind that no compensation or accounting services were ever received or provided, has Sam stepped "out of bounds"?
2. What is your advice for Sam?
3. What is your advice for Ruby?
4. Given the alleged disclosure by Jimmy's accountant, has he crossed any boundaries? If so, does Sam have to take any actions, and what would these actions be?

Biker Nightmare

Ethics Case

I need your advice on an anonymous basis. I am a professional accountant employed by a company that imports bikes from China. Before I get into the issue, I wish to advise you that I really need this job, as I am a single mother of two teenagers, and jobs like the one I have are hard to come by in the area where I live.

The company deceptively avoids paying the mandatory import duty on the bikes it imports. Last week, the president of the company asked me to prepare and provide him with a statement of the duty avoided on the purchase of these bikes for the past three years. He also asked that I sign off on this statement. The statement that I prepared and presented to him showed that $200,000 in customs duties has been avoided by the company in the period covered.

Since I prepared that statement, I am having trouble sleeping at night.

Questions

1. What does our professional code say about this?
2. If this issue is uncovered by the government regulatory authorities, will I be implicated?
3. Should I quit my job and then go and report this situation to the regulatory authorities?

Budget Conflict

Ethics Case

I have a question that I need a bit of help with, but I am not sure where to turn, and I hope you may be able to help me out.

I am the CFO of a charitable organization, it is a paid position and I am a professional accountant. We are currently presenting our budget to the Board of Directors, which is a volunteer board. There is a chance they may pass a budget that is not fiscally possible; that is, we do not have the cash flow to execute it. It is not the budget we are recommending, but they may have us spend to levels of 25% growth (stretch budgeting).

Both our treasurer and I have tried on numerous occasions to explain this to our president, but she and other board members are not financially astute.

Our treasurer has stated that he will go on the record to advise against any such spending and budget and may even resign over it.

Questions

1. What should the CFO do?
2. Beyond resigning, how can the CFO protect him- or herself?

An Exotic Professional Accountant?

Ethics Case

Excuse me, we are both professional accountants, and I need some advice. I have a full-time management position with a company. I was wondering, would I be in violation of our Professional Code of Ethics if I took on the role of an exotic dancer at night in order to fund my husband through university?

Question

1. What advice would you give?

Freebie Services for Staff

Ethics Case

I am a professional accountant and hold the position of financial analyst, capital projects, with the Town of Pinecrest. In my position, I deal with, among others, developers and their lawyers with respect to development agreements, cost-sharing agreements, and financial agreements.

In the past, during lunch hours and after hours, I have provided informal financial advice to a fellow municipal employee with respect to her marriage separation, including a review of her ex-husband's personal tax returns (which included self-employment income). No issue arose in this regard. Currently, during lunch hours and after hours, I am providing informal financial advice to another fellow municipal employee with respect to her common-law separation.

A verbal "complaint" or "allegation" has been made to the town manager that I have a "conflict of interest" by being a municipal employee carrying out my duties as a public servant as paid for by the town and by helping a fellow municipal employee who is currently facing a common-law separation. The town does not have an internal "conflict of interest" policy for staff. I know of no basis for such a "complaint" or "allegation" except that the lawyer for a group of developers is also the lawyer for the ex-common-law spouse.

As there is no actual "complaint" or "allegation" to respond to, only rumors and innuendo, I am seeking your general advice at this time. In due course, as a municipal employee, I will be providing a written response to the town manager.

Question

1. What advice would you give to this professional accountant?

Summer Camp Holdback

Ethics Case

I think I have a problem. I am a professional accountant and work for a not-for-profit organization that operates a summer camp. We have obtained a legal opinion stating that a portion of our camp fees could be considered a charitable donation with respect to religious education costs for the 2007 summer and subsequent years.

When we originally invoiced parents for the 2007 summer (in January 2007), we billed the amounts as fees fully subject to sales tax and collected and remitted the tax to the government authorities. As a charitable donation, no sales tax needs to be collected, so we have since adjusted the 2007 invoices to reflect the amounts of taxes charged in error and are in the process of recovering these funds from the governments involved.

The issue that arises is that, as we are acting as an agent for the governments with respect to the collection of taxes and therefore these funds are considered a "deemed trust," it is my opinion that these recovered taxes rightfully belong to the parents who originally paid them and should be refunded. Our Executive Committee believes that we can simply keep these funds and issue donation receipts without ever telling the parents that they are entitled to this money. I strongly believe that their view is unethical and have indicated as such, but they are intent on doing it regardless.

This leaves me in a difficult position in that I do not want to do anything that I feel is unethical, but I cannot afford to lose my employment by refusing their demands. Any guidance or advice you could give me would be most appreciated.

Question

1. What is your advice?

Professional Skepticism Cases

Dig a Little Deeper—Exercising Professional Skepticism re Budget Prices

Ethics Case

It was another normal day at Mass Commuting Limited ("MCL") when Carol, the Financial Controller, walked down the hall for the annual kick-off for construction season. She had her notes with her, a copy of last year's budget, and the previous year's costs for fixing all the pavement on MCL properties. Her job at the meetings was mostly to get the list of all the upcoming projects with the construction guys and then to price them out to make sure that they stayed on track—which they rarely did.

Every year, she had to sit through one of these meetings to hear how the Construction Manager, Greg, talked about how everything was getting more expensive all the time. How HL3 and HL8 (types of asphalt) were always going up in price, as well as gas prices, and how he would need more money this time around to make sure his roads were smooth and his people were paid properly.

He concludes this year's speech with the usual, 'take last year's budget, but add 30% to his spend'. "Any questions?" he asks. Carol pulls out her notes and raises her hand: "Actually, yes. We have seen these increases every year now, and compared to 2017, we are paying almost 2.5x the amount. Is there an end in sight to these increases? Have we considered any other measures for saving money? Like having crews do a whole region in one night, instead of the usual 'one station in one night' policy?"

Greg smirks at Carol, and just replies: "Inflation is real, and so are my costs." Carol is frustrated, but knows that no one wants to be in this meeting—and that a public debate is not going to get the answers she is looking for. She looks at her notes, and adds the 30% to the margins, knowing that these have to be approved by the Treasurer anyway at the final budget meeting coming up.

The rest of the day flies by, but on the way home, Carol listens to a podcast about cryptocurrency to take her mind off work. It's one of her favorite ways to unwind, while still learning something new. One line from the podcast sticks out. "When you look at the trends, you can clearly see Bitcoin will outperform Dogecoin. Nothing can go up forever."

The trends... That gives Carol an idea. Rather than just look at each year, Carol decides to lay out the numbers and graph it out. She looked at trends, and noticed that the price of MCL's jobs was rising faster than the price of asphalt. A LOT faster.

Market Price per tonne of Asphalt Cement, http://www.onasphalt.org/mtopriceindex/

	2018	2019	2020	2021	2022
January	$588.60	$809.80	$709.60	$617.25	$917.50
February	$588.60	$809.80	$709.60	$617.25	$917.50
March	$657.00	$826.40	$767.25	$732.00	$1,065.45
April	$689.50	$850.25	$757.00	$749.80	$1,156.00
May	$713.75	$860.00	$729.00	$781.50	$1,270.00

Greg's costs per tonne of Asphalt Cement at MCL

	2018	2019	2020	2021	2022
January	$688.60	$909.80	$909.60	$917.25	$1,217.50
February	$688.60	$909.80	$909.60	$917.25	$1,317.50
March	$757.00	$926.40	$967.25	$932.00	$1,365.45
April	$789.50	$950.25	$957.00	$949.80	$1,456.00
May	$853.75	$960.00	$929.00	$981.50	$1,570.00

"Inflation is real," she thinks, "but these numbers can't be."

The next morning, Carol decides to go visit the Treasurer for their weekly touch-base. They go over the usual logistics of budget season, and then they start getting to some specifics. Carol raises her concerns about the cost of asphalt and shows the Treasurer her math.

The Treasurer raises an eyebrow and asks: "what are you implying?" Carol answers: "Nothing really, just that the explanation for the rising costs cannot be the cost of asphalt, because we are outpacing it." The Treasurer responds: "I agree, that is definitely not the full story. You need to dig a little deeper."

Carol leaves the meeting feeling good that her boss listened to her, but then lost at the same time - because, with the numbers she has, and her spreadsheets, this is as deep as she can go! A few weeks go by, and aside from more snide comments from Greg, Carol is getting nowhere with her investigation. She tries to speak to the construction guys, but they are always on a job site, and none of them ever see the cost of what they are doing.

At her next meeting with the Treasurer, she asks Carol for an update, but there isn't really one.

Carol feels lost, and says: "You told me to dig deeper, but I can't dig into concrete and asphalt!"

Her boss tells her to keep trying and shows her the latest invoice for construction, and they are up 40% over the prior year. Carol knows she has to get to the bottom of it. She takes the invoice and goes back to her office. Still feeling a bit lost, she calls her old friend, Andrew, who worked in Investigations at MCL. Andrew used to be a police officer before, but decided he wanted something a little less risky, and proved to be an amazing member of the team. She explains the numbers to him, and how the Treasurer told her to "dig deeper," but you cannot dig through asphalt.

Andrew laughs, "Well, of course you can't—but maybe you only need to dig through paper instead of asphalt." Carol is surprised. "What do you mean?" she asks. "Well," Andrew says, "instead of looking at the budget, why don't you look at who is approving these ridiculous costs? I mean, someone has to be signing off, right? Isn't that part of a good control framework?"

Carol looks at the invoice she took from her boss—and there are 2 sign-offs, one from Greg, and a second from Greg's supervisor, Terry. She decides to give Terry a call and gets his voicemail, stating that he is out of the office for the rest of the summer. "That's weird, how did Terry approve this if he is away?" Carol thinks to herself.

She tells Andrew what she found and he confirms that yes, Terry is down south for the whole summer. He tells Carol that she may want to check to find out how this was approved.

Carol goes and talks to her IT Manager, Jerry. She shows him the digital signature and asks how Terry can approve these invoices when he is not here. "Well," Jerry explains, "our construction guys need their time off, it's union stuff, but the work never stops, you know? So they have the ability to delegate their approvals to someone else." Carol asks: "Can you tell me who Terry delegated approvals to while he was gone?" "Of course—he delegated it to Greg, the construction manager."

Carol is very excited, and runs back to her boss explaining in detail what she has found.

The Treasurer listens with wide eyes, and then shakes her head. "How did we miss this?"

Carol responds: "I guess the invoices don't come from Greg, he just approves them, so we may have thought there was little to no risk." The Treasurer nods. She calls Andrew from Investigations and asks him what he knows about the main contractors that come to do the paving work. Andrew looked up the corporate directory and found that the CEO of the paving company... was Greg's cousin. Now it was time to call the investigators.

"Good investigators are fact finders," Andrew told Carol right before they met with Bigger-Than-Most LLP ("BTM"), the investigative accountants who were called in.

"They don't guess, they don't have agendas, they just look for the facts."

The BTM investigators explained that they needed to have proof of collusion between Greg and his cousin before any connections could be asserted. They further indicated that they needed to see how the invoices were made on the paving company's end to know if there was any intent to deceive, which would be critical if this did go to court.

In order to prove collusion, BTM and their lawyers got court orders to pull the bank records of Greg and his cousin, as well as his paving company. "Follow the money," they said. "These guys would only be colluding if there was something in it for both of them." By analysing the bank data, they were able to see transfers between the paving company and Greg's personal account. A "referral fee" it was called. … And also between his account and his cousin's.

In order to prove intent they had to see the books of the paving company, and MCL exercised their right to audit them as a key contractor. These did not disappoint either. The books clearly showed the regular price, and then added a "referral" mark-up payable to a "Cousin at MCL."

"So that's the game," Carol said. "They mark up the costs, and then split the profit from the invoices—and they are able to approve it because whenever Terry isn't here, Greg can just approve them on his own." "Now that is digging deep," her boss replied.

There would be a long battle ahead with BTM and the courts but the mystery of uncovering the rising costs and the true cause of the higher budgets was finally out in the open.

Questions

1. What did Carol do well for exercising her professional skepticism in this case?
2. Why was it so important to speak to many departments in this case?

Source: Professional Skepticism Case Collection for Professional Accountants, University of Toronto Professional Accounting Centre, 2025, PAC website https://www.utm.utoronto.ca/pac/case-collections/enhancing-professional-skepticism-case-collection.

Joly Dogs—Operational Profit Manipulation

Ethics Case

Joly Dogs was a very large manufacturer and wholesaler of hot dog wieners and other beef products. They purchased beef sides and froze them until ready to process. The owner was a well-known figure in the community and his investors always marveled at how his forecast profits always came in exactly on target, especially when he was dealing in a commodity where prices fluctuated. The auditors were aware of this and were somewhat skeptical. However, in previous years they had not identified any concerns about profit manipulation.

This year's senior auditor was very smart. She took more than a cursory look at the accounting system—especially relating to inventory. When checking the physical inventory in the freezer (not a popular job) she noted that each side of beef was tagged with purchase date, total price, and price per kilo. She also noted that the prices were significantly higher than in the previous year's count. She checked beef prices and could not find justification for this.

When she asked about the accounting, she was told that as each side of beef was put into production, the actual cost of that side of beef was used. This seemed logical and precise to the accounting staff. However, when she enquired into how each side of beef was chosen she discovered that it was the CFO who did the selection. This seemed odd until she realized how profit could be manipulated using this approach. If profits were to be suppressed, expensive sides were taken from inventory and if profits were to be boosted cheap ones were chosen. Since the pressure had been to increase profits for some time all the cheaper sides had now been taken from inventory—hence the high value of those left.

The auditors asked the client to account for inventory on an average cost basis and the result was quite devastating. A large write-down was required and although the client was mad at the auditors there was no more cheap inventory on hand and profits would have taken a big hit anyway in the future. There was no question of fraud—just "imaginative accounting," as the partner put it. However, without the smart senior, it would not have come to light until the following year, and not even then if the price of beef had come down.

In the end, the owner did not want to be thought of as in any way dishonest and agreed to switch to average cost accounting. He didn't fire his CFO because he had not in any way falsified records.

Questions

1. Why did good profits heighten the auditors' professional skepticism in this case?
2. Were the audit senior's actions indicative of abnormal professional skepticism? If so, how?
3. What should the auditor consider when an accounting method is permissible but misleading in the circumstances?
4. The CFO determining items to be removed from inventory should trigger what kind of reaction from a skeptical auditor?
5. Why is persistence such an important value for auditors?

Source: Professional Skepticism Case Collection for Professional Accountants, University of Toronto Professional Accounting Centre, 2025, PAC website https://www.utm.utoronto.ca/pac/case-collections/enhancing-professional-skepticism-case-collection.

Monsanto's Roundup Incentive Program—Lack of Professional Skepticism Is Costly

Ethics Case

Prior to its acquisition by Bayer in 2018 for $63 billion, Monsanto was a leading global provider of agricultural products for farmers. It was the world's largest seed company with 90 percent of the world's genetically modified seeds either sold by Monsanto or by companies that used Monsanto genes. Its value proposition was higher yields, primarily from large acre crops, through genetic traits, seed, and herbicide products. Its purpose was to "apply innovation and technology to help farmers produce more while conserving more."

On June 16, 1980, in the case of Diamond v. Chakrabarty, the United States Supreme Court voted in favor of allowing living matter, if it was created, to be patentable. The decision allowed a patent to be obtained if one discovers or invents a new plant in a cultivated state and can asexually reproduce it. The decision was viewed by many as the beginning of the biotechnology industry since it provided assurance that emerging technologies would be protected. Following the decision, biotech crops became the fastest-adopted crop technology in the history of modern agriculture. They have helped farmers prevent crop loss through resistance to insect damage/plant viruses, and tolerance to herbicides.[1] A recent meta-study found that GM technology adoption has reduced chemical pesticide use by 37%, increased crop yields by 22%, and increased farmer profits by 68%.[2] In 2008, Monsanto spent more than $2 million a day in research to identify, test, develop, and bring to market innovative new seeds and technologies that benefit farmers.[3]

In 1974, Monsanto began selling Roundup, the trademarked name of glyphosate, which is a non-selective herbicide. Non-selective herbicides kill any plant they come into contact with while being non-toxic to animals and humans.[4] Glyphosate prevents plants from producing the proteins they need to survive. For two decades, farmers used Roundup as a cost-effective way to clear weeds before planting. While Monsanto's patent on glyphosate expired in 1991, through its patent on the isopropylamine salt, the company managed to retain patent protection in the United States until 2000. Through its effective monopoly before 2000, Roundup became the best-selling agricultural chemical product ever, that outsold other chemicals five to one.[5]

In 1990 and 1993, Monsanto scientists filed U.S. patent numbers 4,940,835A and 5,188,642A describing the technique for genetically altering plant seeds. Before Monsanto's glyphosate patent expired, Monsanto transplanted it into the cells of soybean plants and created a genetically modified crop resistant to the Roundup herbicide. Importantly, farmers could spray their fields with Roundup to eliminate weeds without harming the crop. In essence, the genetically modified seeds were resistant to herbicides. Current Roundup Ready crops include soy, corn, canola, sugar beets, cotton, alfalfa, and wheat. Its benefits allowed Monsanto's Roundup Ready gene to become the industry standard, with the company controlling as much as 90% of seed genetics.[6]

Glyphosate Price Competition

Prior to Roundup's patent expiry, Monsanto could sell both seeds engineered to withstand Roundup and Roundup itself. However, following the expiry of the Roundup patent, competition from generic glyphosate producers increased and prices fell.[7] In 2007 and 2008, shortages of energy and phosphorus reduced glyphosate output from China. However, by fiscal year 2009, generic competitors were undercutting Monsanto's prices in the U.S. and Canada by more than 70% and Monsanto had

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[1] https://www.fda.gov/food/agricultural-biotechnology/how-gmo-crops-impact-our-world.

[2] https://www.ncbi.nlm.nih.gov/pmc/articles/PMC4218791/.

[3] https://www.vanityfair.com/news/2008/05/monsanto200805.

[4] While the U.S. Environmental Protection Agency (EPA) says there's "no evidence that glyphosate causes cancer in humans," The World Health Organization's (WHO) International Agency for Research on Cancer stated in 2015 that glyphosate is "probably carcinogenic to humans."

[5] Barboza, David. "A Weed Killer Is A Block For Monsanto To Build On." *The New York Times*, 2001.

[6] https://usatoday30.usatoday.com/money/industries/food/2009-12-14-monsanto-practices_N.htm.

[7] https://web.archive.org/web/20160304085158/http://www.frost.com/prod/servlet/market-insight-print.pag?docid=JEVS-5N2CZG.

lost more than half of its share of the glyphosate market (dropping from 55% market share to less than 25%).[8] In 2009, Monsanto's executive vice president for strategy and operations said that "the sheer volume of competitive product sitting in the distribution channel, particularly in the U.S., is unprecedented."[9] To exacerbate the problem, the economy was still impacted by the 2008 financial crisis.

Monsanto sold Roundup to retailers and distributors rather than to growers. Given the increased competition, many of Monsanto's customers believed that Roundup prices would drop and that any existing inventory they had on hand would be unprofitable. To circumvent the concern, Monsanto's sales force began telling U.S. retailers in 2009 that if they "maximized" their Roundup purchases in the fourth quarter they could participate in a new rebate program in 2010. For the year, one-third of U.S. sales of Roundup occurred during that quarter. When commenting on the case, SEC Chair Mary Jo White, found this peculiar given that Monsanto has an Aug. 31 fiscal year end which coincides with the end of summer weed growing season.[10]

Monsanto also offered rebates to distributors who met agreed-upon volume targets. While each distributor had a separate agreement, Monsanto accrued the rebates. When seven customers failed to meet their targets, the company reversed a large portion of the accruals. However, in 2010, Monsanto created a program for the seven customers to earn back the rebates and the rebates were all prepaid. Furthermore, Monsanto agreed to pay rebates to its two largest distributors regardless of target performance.

In Canada, France and Germany Monsanto utilized similar programs to boost sales but then improperly accounted for the rebates as selling, general, and administrative expenses which inflated gross margins.

Based on the prevalence of Roundup sales incentive programs, it is reasonable to assume that many Roundup sales were made because of the incentives offered by Monsanto. For this reason, the anticipated costs of the rebates should have been included in the year revenue was recorded. By not doing so, Monsanto misstated profit.

Aftermath

A former financial executive at Monsanto, who chose to remain anonymous, tipped the SEC about the accounting irregularities. Supposedly the employee only shared their concerns with the SEC after first trying to correct the issues internally.

The SEC began an investigation of the customer incentive program in June 2011. Before the SEC investigation finished, on October 3, 2011, the Audit and Finance Committee determined that Monsanto would need to restate its previously issued consolidated financial statements for the fiscal years 2009 and 2010 (including the fourth quarter of fiscal year 2009 and each of the four quarters of fiscal year 2010), as well as for the prior three quarters of fiscal year 2011. On November 14, 2011, Monsanto restated its 2009 and 2010 annual reports and its 2011 quarterly reports. The adjustments to net revenues and expenses between periods did not result in a material change to total company income. The potential impact of these changes would affect fiscal year 2009 earnings per share by approximately ($0.10) to ($0.05) and affect earnings per share for fiscal year 2010 by approximately ($0.02) to $0.03.

On February 9, 2016, Monsanto agreed to pay an $80 million penalty assessed by the SEC and to retain an independent compliance consultant to settle charges that it violated accounting rules and misstated company earnings. The whistleblower was awarded $22.4 million, the second largest award in the history of the SEC's whistleblower program that was created in 2011 as part of the Dodd-Frank Act reform.

While the CEO and former CFO were not accused of wrongdoing, both voluntarily repaid cash bonuses and stock awards. Two Monsanto accounting executives, both CPAs, Sara Brunnquell and Anthony Hartke, paid $55,000 and $30,000, respectively, while Jonathan Nienas, a former sales executive was fined $50,000.

Ironically, Monsanto's public accountant, Deloitte, was never fined by the SEC and there has been no explanation why action against the accounting firm was not pursued. The whistleblower's lawyer Stuart Meissner believed that Deloitte should have spotted the fraud. He said that "There was an initial misstatement by

[8] https://www.sec.gov/litigation/admin/2016/33-10037.pdf.
[9] https://www.motherjones.com/food/2011/07/roundup-sec-investigates-monsanto/.
[10] https://businessjournalism.org/2016/03/monsanto/.

Monsanto and a subsequent restatement—the restatement is actually the bigger issue of the two in my view. When auditors are allowed to audit their own mistakes, it is difficult for them to be independent and objective and when independence is impaired, the professional skepticism needed to recognize and flush out improprieties by management is not present. Professional skepticism of the auditor is the last line of defense for a management team that may have a clear bias in reporting positive results."

Questions

1. What costs would have been avoided if professional accountants at Monsanto and Deloitte had exercised professional skepticism more rigorously?
2. Why do you think that they did not apply their professional skepticism more rigorously?
3. Do you think the financial statement impact of the incentive program was material?
4. Do you agree with Stuart Meissner's assessment that Deloitte should have caught the fraud? Given the macroeconomic environment, should Deloitte have had different procedures for asserting that financial statements were free from material misstatements?
5. Broadly speaking, should the original auditor be allowed to investigate restatements? Can the original auditor be expected to act with professional skepticism?
6. What does the voluntary repayment of bonuses by C-Suite executives suggest? Given the SEC clawback action under Section 304 of SOX, were the executives trying to maintain reputation?

Case prepared by Michael Marin

Source: Professional Skepticism Case Collection for Professional Accountants, University of Toronto Professional Accounting Centre, 2025, PAC website https://www.utm.utoronto.ca/pac/case-collections/enhancing-professional-skepticism-case-collection.

The Risk of a High-Risk Client—Governance & Audit Failures on a High-Risk Client

Ethics Case[1]

Weatherford International PLC, a public limited company, is one of the world's leading providers of equipment and services used in the drilling, evaluation, completion, production, and intervention of oil and natural gas wells.

On March 1, 2011, Weatherford advised that its annual report for the year ended December 31, 2010, would not be filed because of the identification of a material weakness in internal control over financial reporting for income taxes. Weatherford acknowledged that its processes, procedures, and controls related to financial reporting were not effective in ensuring that the amounts reported for current taxes payable, certain deferred tax assets and liabilities, reserves for uncertain tax positions, the current and deferred income tax expense and related footnote disclosures were accurate.

Weatherford argued that the following four factors contributed to the material weakness:

- Inadequate staffing and technical expertise within the company related to taxes;
- Ineffective review and approval practices relating to taxes;
- Inadequate processes to effectively reconcile income tax accounts; and
- Inadequate controls over the preparation of quarterly tax provisions

The Audit Committee determined on February 28, 2011, that previously issued financial statements for the years ended December 31, 2007, 2008, and 2009 and for the quarterly periods ended March 31, June 30, and September 30, 2010, should no longer be relied upon. The error resulted in the understatement of income tax expense by $100, $106, and $154 million in 2009, 2008, and 2007 when reported effective tax rates were 6.5%, 14.8%, and 23.0%, respectively. On March 15, 2012, Weatherford reported another $256 million decrease in net income from 2007-2011 because of additional errors in its income tax accounting. On December 17, 2012, Weatherford further reduced net income from prior periods by an additional $186 million.

During the affected years, Weatherford repeatedly and publicly disclosed ETR (Effective Tax Rate) estimates. Management asserts that its ETR was one of its key competitive advantages resulting from a superior

[1] This case deals with SEC cases against Weatherford International PLC and Ernst & Young.

international tax avoidance structure. In reality, the structure was not the source of the low tax expense. Each year, James Hudgins, who served as Weatherford's vice president of tax, and Darryl Kitay, who was a tax manager, made unsupported post-closing adjustments, labeled as "dividend exclusion" on the consolidated tax provision that intentionally lowered Weatherford's actual ETR and tax expense. The adjustments involved different Weatherford entities within Weatherford's corporate elimination account and ranged from $286 million to $439 million. The adjustments were then taxed at 35% (i.e., the US statutory rate) which lowered the year-end provision for income taxes. Weatherford also accounted for withholding taxes on certain intercompany transactions (i.e., interest, management fees, royalties, and rent) on a cash basis rather than an accrual basis.

Ernst & Young

Ernst & Young was Weatherford's external auditor from 2001 to March 2013. During the decade before its March 2011 restatement, Weatherford's revenue increased from $1.8 billion to $10.2 billion. While Weatherford was one of the largest clients of Ernst & Young's Southwest Region, it was widely known that it was a difficult and risky client. Ernst & Young designated "close monitoring" status upon Weatherford, the highest-risk category that the firm. From at least 2004, Ernst & Young concluded that Weatherford posed a "significant risk to the firm and that there is a significant chance the firm will suffer damage to its reputation, monetarily, or both."

Risk factors that Ernst & Young identified included:

- History of completing significant or unusual transactions shortly before or at yearend/quarter end;
- Ability to book journal entries without multiple levels of review;
- Difficulties in auditing Weatherford's complex tax structure in a timely manner;
- Pressure on management to meet earnings and EPS requirements; and
- Significant pressure for "questionable GAAP."

Staffing the Weatherford audit was always an issue because of Weatherford's reputation. Senior management called Weatherford "one of the most challenging and demanding clients" and noted: "[T]he Weatherford . . . engagement has historically been difficult and hard on our people, frequently resulting in high turnover and generalized dissatisfaction within our team." "Weatherford is an offshore company with a complex tax structure, and a tax accounting process that historically had issues."

At the time, Ernst & Young had no mechanism to ensure that the highest-risk areas of its highest-risk clients had a team composed of assurance and tax professionals that was properly selected, trained, and supervised. Ernst & Young did not monitor partner and manager workloads based on client complexity and did not adequately screen the selection and training of tax personnel to ensure appropriate staffing on complex, difficult, or high-risk audits during the relevant period. Until 2011, Ernst & Young also failed to conduct mandatory training for tax managers and partners involving the coordination and execution of the audit of income tax accounts.

Despite the fraud, Ernst & Young failed to identify the material understatement of Weatherford's tax expense and issued unqualified opinions for 2007, 2008, and 2009. While the Weatherford audits were placed in a high-risk category, Ernst & Young's audit team failed to detect the company's fraud until it was more than four years ongoing. While the team was aware of the post-closing adjustments each year, they did not understand the basis for the dividend exclusion adjustment and relied on unsubstantiated oral representations from Weatherford. Overall, the team failed to conduct procedures necessary for obtaining sufficient evidence for Weatherford's income tax accounting.

Aftermath

As discussed above, in regard to its misstatement of income taxes, Weatherford restated its financial statements three times between 2011 and 2012. Ernst & Young's review of the audits shortly after the filing of the first restatement confirmed that the Weatherford audits suffered from a lack of appropriate supervision and review, inadequate and insufficient tax staffing, and unsatisfactory coordination between tax and assurance personnel on the engagement.

On March 7, 2013, Weatherford's audit committee decided not to reappoint Ernst & Young. On September 27, 2016, the SEC charged Weatherford with a $140 million penalty to settle charges that it inflated earnings by more than $900 million using deceptive income tax accounting. On October 18, 2016, the SEC charged Ernst & Young $11.8 million to settle charges related to its failed audits of Weatherford. Craig Fronckiewicz, the assurance partner, and Sarah Adams, the tax partner who was part of the audit engagement team, were suspended from appearing or practicing before the SEC as accountants.

Questions

1. What is a professional accountant expected to do to demonstrate professionalism, and specifically professional skepticism, if they do not understand a material aspect of their audit client's disclosure?
2. What should worry a professional accountant with reasonable professional skepticism if their audit client perennially makes large, late adjustments to their tax provisions, and fails to clarify tax structures in a timely manner? What should the auditor do in such situations?
3. Are high-risk clients worth the risk?
4. How does past history impact an audit?
5. Why would Ernst & Young highlight that coordination between tax and assurance personnel is important? Are there other instances during an audit where coordination would be beneficial?

This case has been prepared by Michael Marin.

Source: Professional Skepticism Case Collection for Professional Accountants, University of Toronto Professional Accounting Centre, 2025, PAC website https://www.utm.utoronto.ca/pac/case-collections/enhancing-professional-skepticism-case-collection.

Too Good to be True—Professional Skepticism Leads to Understanding Performance & Risk

Ethics Case

Simple Financial Solutions (SFS) - those three magic words meant a world of possibilities to anyone who would not qualify for a loan or a credit card. Founded by Alex Simple, SFS started off small, renting furniture to those who could not afford to buy it outright. After a while, it was noticed that most clients were paying in cash, and when asked "why?", it was discovered that most of their clients could not qualify for a credit card. This gave Alex a great idea. He could help them get financing by issuing his own "Simple Cards" and "Simple Loans." His customers could also use their Simple Cards/Loans to improve their credit scores and then qualify for cards and loans with their banks or credit unions. Better yet, these customers could use their newfound credit at his stores to buy more furniture or even book a vacation through his other business—Simple Vacations.

Starting off in the Toronto area, Alex soon found himself expanding all across Canada. Business was good around Toronto, but there was too much competition. Too many banks and payday lenders. Even his staff told him - "We know furniture, and we know our clients, but we don't know much about financing. Maybe we should get some people from the banks to help us grow and compete better?"

Alex listened and tried to hire some loan officers for the Toronto area. But, when he compared the margins in his Toronto stores to the smaller towns outside of the region, he found that those in the smaller towns were like gold mines. Loan officers or not, business was booming, and he simply couldn't open more stores fast enough!

However, his accounting firm, Medium-Sized LLP, came to him and said: "We just can't keep up! You have too many locations, and we just cannot make it out to all of them." Alex told them that the smaller towns were "practically printing money" for Simple Financial Solutions, and they were better off focusing on the Toronto area where business was slower and he needed an edge over his competitors.

The next year, Simple opened 20 more branches across Canada, as far West as Surrey, and as far East as St. John's. The partner from Medium-Sized LLP called Alex to congratulate him and then told him: "I think you should call one of the Big 4 - you've outgrown us!" Alex thanked the partner for his work and then proceeded to call Bigger-Than-Most LLP, one of the largest firms in the world, and asked them to take over the audit.

Bigger-Than-Most LLP met with SFS and mapped out what the audit should look like. The largest branches were in the Toronto area and they should focus there. The partner, Sarah, tentatively agreed but she also noticed that when she added just a few smaller branches together on the East Coast, their revenues were almost at the same level as Toronto. She asked Alex and his team about this. "Isn't it great?" Alex responded. "These guys are gold mines! And almost no competitors out there!"

Sarah wasn't so sure. "When was the last time you went out to see your new offices?" she asked. "Oh, we always plan too," replied Alex, "but then we find a new market and go to open up a new one! Can you believe we will be in all 10 provinces by the third quarter this year?" Sarah responded: "While I am very happy for your success, we do need to visit a few of them to get a full scope for our audit." Alex shrugged and said: "Sure, just don't get in their way. These guys are busy making our business boom."

Sarah took the information from her meeting with Alex back to her team and told them all to book some flights. They were going to go see these "gold mines" for themselves.

After the first-year audit, her team came back from the smaller towns rather bored. "Not much going on out there on the East Coast," one of her seniors said. "All quiet on the Western Front!" One of her managers told her. The branches were largely empty when they went to visit them. But there were signed loan and credit card agreements, and money kept being lent out to customers. No news seemed like good news to Sarah. To keep the client happy, Sarah let solving the mystery of better small-town performance go "just this once," and started focusing on next year. For bringing in such a large client, she may even make a managing partner one day.

Two years later, SFS had their worst year in history. Loan default rates jumped up as high as 45% in some branches and people failed to pay on time. Alex started to hide under his desk every time the phone rang. It was always bad news.

The only branches that seemed doing okay were the "lousy" Toronto ones. "It must be the recession," Alex told his team. "Those small towns just can't catch a break!"

Sarah wasn't sure anymore. She was stretched so thin on her audit clients that she phoned her friend Ray at Almost-As-Big-As-Us LLP. Ray was a Forensic Accountant, and he didn't trust anything he couldn't see with his own two eyes. Ray and Sarah spoke about Simple Financial Solutions, and Ray listened carefully. At the end, Sarah let out a huge sigh, and asked: "So, what do you think?"

Ray only asked one question: "How do three towns with a population of maybe 100,000 people outsell Toronto and Mississauga with over 3,000,000 people?" Sarah was stunned. "I mean, good news is good news," Ray continued, "but doesn't common sense tell you that it's a little too good?"

Later that year, Alex's Board of Directors was tired of the bad news and called in Ray's team of forensic accountants, who flew out to visit every single branch of Simple Financial Solutions. What they found made Alex resign as the CEO of the business he started. The smaller branches, which were never visited, found out that they could issue loans to almost anyone they wanted... on paper. They could issue the loans to themselves even, and as long as they paid a bit of interest, no one ever noticed. After all, who would question all the good work they were doing to get the business booming?

Questions

1. What did Sarah at Bigger-Than-Most LLP miss in her initial assessment of SFS? What should she have been more skeptical of after the first-year audit?
2. What tools did Ray use to prove his skepticism?

Source: Professional Skepticism Case Collection for Professional Accountants, University of Toronto Professional Accounting Centre, 2025, PAC website https://www.utm.utoronto.ca/pac/case-collections/enhancing-professional-skepticism-case-collection.

Accounting & Auditing Dilemmas

Sino-Forest Fraud? Audit Challenges in China

Ethics Case

In mid-2011, Sino-Forest Corporation was a company with timber operations in China, including tree plantation (holding of timber for appreciation and/or harvesting), log and wood products trading, and manufacturing of wood products. Its shares were traded on the Toronto Stock Exchange (TSE) under the TRE symbol, with a total market capitalization in U.S. dollars of $4.2 billion at a share price of $18.21. However, in a research report dated June 2, 2011, Carson Block, the director of research of Muddy Waters, LLC, alleged that Sino-Forest Corporation was a reverse-takeover (RTO) fraud,[1] "a multi-billion-dollar Ponzi scheme . . . accompanied by substantial theft," and estimated the real value of a share to be less than $1.[2]

[1] In a reverse takeover, a deal is made wherein a private company causes a public company (whose shares are traded on a stock exchange) to take over the private company so that its owners receive shares in the public company and can thereby gain access to capital markets to raise funds through public share offerings from the public company. In effect, the owners of the private company obtain a stock exchange listing by a reverse takeover without going through the scrutiny or effort required for an initial public listing and share offering.

[2] Muddy Waters Research Report, June 2, 2011, http://www.muddywatersresearch.com/research/tre/initiating-coverage-treto.

Sino-Forest share prices plummeted; the Ontario Securities Commission (OSC) investigated the company's auditor, Ernst & Young, who subsequently settled a class action lawsuit with Sino-Forest's shareholders for $117 million; PricewaterhouseCoopers was called in by Sino-Forest to substantiate its assets, but the company went bankrupt. Muddy Waters was sued for $4 billion for defamation in 2012, but the lawsuit has not proceeded.

The Muddy Waters Research Report

In the Introduction and Executive Summary of *Research Report*,[3] Carson Block makes the following allegations:

- Sino-Forest Corp. (traded on the TSE as TRE since 2010) has always been a fraud since it reported excellent results from early joint ventures even though the joint ventures never went into operation.
- TRE's sales transactions for standing timber were fabricated. For example, reported sales in Yunnan province exceeded "the applicable harvesting quotas by six times," and "transporting the harvested logs would have required over 50,000 trucks driving on two-lane roads winding through the mountains from this remote region, which is beyond belief (and likely road capacity)."
- "TRE massively exaggerates its assets." Purchases of trees for planting have been overstated, few legitimate agents have been used, and "the other agents appear to have been laundering money for TRE—moving large amounts of money to an undisclosed subsidiary of TRE and a trading company that TRE does business with. We also see clear evidence that TRE has falsified its books."
- In order to raise funds, TRE engaged Jakko Pöyry, a valuations company, to provide credible valuation reports on growing trees. However, TRE has been "all the while giving Pöyry manipulated data and restricting the scope of its work." According to the Research Report, Pöyry has been allowed to inspect "only 0.3% of [TRE's] purported holdings."
- TRE was using offshore companies, including "at least 20 British Virgin Island entities" that obscure the transparency of company operations.
- Forged documents were being used and were not detected by the auditors.
- TRE's Board of Directors, Audit Committee, and auditors were not sufficiently familiar with the politics, industry practice, language, and culture of the People's Republic of China.

The Reaction

Not surprisingly, Sino-Forest rejected these allegations, but the company's share price plunged 82% during July before rallying somewhat.[4] In addition, on June 6, 2011, Sino-Forest announced that an independent committee (IC) had been set up to review the Muddy Waters allegations. PricewaterhouseCoopers (PwC) was hired to conduct an independent investigation.[5] On August 15, it was announced that the PwC report would be delayed to the end of the year, and on August 26, the OSC suspended trading of TRE, stating that the company "appears to have engaged in significant non-arm's-length transactions which may have been contrary to Ontario securities laws and the public interest."[6]

On November 15, 2011, the IC issued an interim report that stated that PwC, whose report was due out by the end of December, had confirmed most of the cash balances expected in Hong Kong and in the rest of China. The IC had confirmed a total of 293 cash accounts in Hong Kong, "representing 100% of the expected cash position" in that city, and had confirmed twenty-eight of the 267 accounts elsewhere in China, "representing approximately 81% of the expected cash position in China."[7] However, there were "significant

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[3] Ibid., 1–3.

[4] Christopher Donville and Matt Walcoff, "Sino-Forest Shares Surge after Wellington Management Discloses 11.5% Stake," *Bloomberg*, July 5, 2011, accessed July 2, 2013, at https://www.bloomberg.com/news/articles/2011-07-04/wellington-controls-11-5-of-sinoforest-as-timber-producer-s-stock-drops.

[5] "Sino-Forest Corporation Announcement: SINO-Forest Independent Committee Appoints Pricewaterhouse Coopers," June 6, 2011, accessed July 2, 2013, at http://www.kmlaw.ca/site_documents/A-125%20-%20-Sino%20Press%20Release%20-%20June%206,%202011%20-%20SF%20Independent%20Committee%20Appoints%20Pricewaterhousecoopers.pdf.

[6] OSC Alleges Fraud at Sino-Forest, *CBC News*, August 26, 2011, accessed Jan. 23, 2020, at https://www.cbc.ca/amp/1.1068664.

[7] "Sino-Forest Announced Findings of the Independent Committee," CNW Canada Newswire, Jan. 31, 2019, accessed Jan. 23, 2020 at https://www.newswire.ca/news-releases/sino-forest-releases-final-report-of-the-independent-committee-509527541.html.

challenges in verifying the company's timberland holdings" particularly since, in some areas of China, a plantation rights certificate (PRC), which reflects landownership in a computerized land titles system, had not yet been issued.[8] "The [interim] report [also] noted that there was incomplete or inadequate record creation and retention practices, no integrated accounting system and employees conducted company business from time to time using personal devices and non-corporate email addresses."[9] The Board of Directors also concluded that they could not release the company's third-quarter results that were due on November 14, 2011, until outstanding issues had been resolved.[10]

Not surprisingly, the interim report did not stabilize the situation, which quickly degenerated. On January 10, 2012, Sino-Forest announced in a press release "that it still [could not] release the third quarter financial statements because it [had not] been able to determine the nature of certain relationships between the company and its business partners."[11] Moreover, "the circumstances that could cause the company to be unable to release the Q3 results could impact the company's historic financial statements. *For this reason, the company cautions that the company's historic financial statements and related audit reports should not be relied upon*."[12] As a result, the company began "scrambling to convince a majority of holders of two of its bond issues not to tip the company into default. It needs a majority to agree to grant the company waivers from default after it failed to release its financial results and skipped a $9.8-million interest payment in December."[13]

On March 30, 2012, Sino-Forest filed for bankruptcy protection in Canada to give it time under court supervision to make a deal with creditors.[14] On the same date, Sino-Forest sued Muddy Waters and Carson Block for $4 billion ($3.5 billion for defamation, punitive damages of $400 million, and another $100 million for the cost of investigative "the tortious false allegations").[15] The suit alleges that Muddy Waters, along with 100 unnamed hedge funds, set up short positions in Chinese companies with listings on Western stock exchanges. The suit then alleges the group would put out "what is popularly described as a 'bear attack' on the companies" in the form of a report with a "veneer of truth" that would create a "cataclysmic effect on the stock price,"[16] which would allow Muddy Waters and other hedge funds to profit by filling their short positions at depressed stock prices.

On December 3, 2012, a hearing was held by the OSC into allegations against the company auditors, Ernst & Young.

On December 10, 2012, the Ontario Superior Court approved a transaction whereby the assets of Sino-Forest Corp. were transferred to the company's bondholders,[17] and on January 30, 2013, a new company, Emerald Plantation Holdings Limited, was formed to receive those assets.[18]

OSC Allegations against Ernst & Young LLP

According to the Statement of Allegations presented at the December 3, 2012, hearing, the OSC alleged that Ernst & Young did the following:

- Failed to perform sufficient audit work to verify Sino-Forest's ownership of its most significant assets.
- Failed to perform sufficient audit work to verify the existence of Sino-Forest's most significant assets.

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[8] Ibid.

[9] "Sino-Forest Report Disputes Fraud Allegations," *CBC News*, November 15, 2011, accessed July 2, 2013, at http://www.cbc.ca/news/business/story/2011/11/15/sinoforest-fraud-report.html.

[10] "Sino-Forest Announced Findings of the Independent Committee."

[11] Andy Hoffman, "Sino-Forest Warns Historic Financial Documents Should Not Be Relied Upon," *The Globe and Mail*, January 10, 2012, accessed July 3, 2013, at http://www.theglobeandmail.com/globe-investor/sino-forest-warns-historic-financial-documents-should-not-be-relied-upon/article1358189.

[12] Ibid., emphasis added.

[13] Ibid.

[14] "Sino-Forest Files for Bankruptcy Protection," *BBC News*, accessed July 2, 2103, at http://www.bbc.co.uk/news/business-17569840.

[15] David Benoit, "Dow Jones Company from Sino-Forest Sues Muddy Waters for $4 Billion," *Wall Street Journal*, March 30, 2012.

[16] Ibid.

[17] Peter Koven, "Judge Approves Sino-Forest Restructuring despite Opposition from Funds," *Financial Post*, December 12, 2011, accessed July 2, 2013, at http://business.financialpost.com/2012/12/11/judge-approves-sino-forest-restructuring-despite-opposition-from-funds.

[18] See http://www.emeraldplantationholdings.com, accessed July 3, 2013.

- Failed to undertake their audit work on the Sino-Forest engagement with a sufficient level of professional skepticism.

Moreover, Ernst & Young failed to comply with Canadian generally accepted accounting standards (GAAS) although the firm had filed a number of documents with the OSC representing that they had done so.[19]

The discussion contained in the Statement of Allegations is very informative, particularly in regard to the following audit requirements:

Generally Accepted Auditing Standards

28. As set out in GAAS, an auditor's objective is to identify and assess the risks of material misstatement, whether due to fraud or error, in an entity's financial statements. An auditor can achieve this objective by understanding the entity and its environment, including the entity's internal controls. This understanding provides the auditor with a basis for designing and implementing responses to the assessed risks.

(a) Sufficient Audit Evidence Required

29. GAAS requires auditors to obtain reasonable assurance that the entity's financial statements are free from material misstatements. Reasonable assurance is a high level of assurance. It is achieved when the auditor has obtained sufficient appropriate audit evidence to reduce audit risk to a low level and to provide a reasonable basis to support the content of the audit report. The sufficiency of the audit evidence gathered by the auditor is influenced by the level of materiality set for the audit and the level of risk associated with the audit.

30. The sufficiency and the appropriateness of the audit evidence gathered by the auditor are interrelated. Sufficiency is the measure of the quantity of the audit evidence. The quantity of the audit evidence needed is affected by the auditor's assessment of the risks of misstatement. That is, the higher the assessed risks, the more audit evidence is likely to be required. The quantity of audit evidence needed is also affected by the quality of the audit evidence. That is, the higher the quality of the audit evidence, the less audit evidence may be required.

31. Obtaining more audit evidence, however, may not compensate for its poor quality. Appropriateness is the measure of the quality of the audit evidence; that is its relevance and its reliability in providing support for the conclusions on which the auditor's opinion is based. The reliability of the audit evidence is influenced by its source and by its nature, and is dependent on the circumstances in which it is obtained.

(b) Professional Skepticism Required

32. GAAS requires auditors to plan and perform their audits using professional skepticism, recognizing that circumstances may exist that cause the financial statements to be materially misstated. Professional skepticism requires a questioning attitude that is alert to conditions that may indicate possible misstatement due to error or fraud. Professional skepticism requires an auditor to conduct a critical assessment of the audit evidence.

33. Professional skepticism requires the auditor to be alert to, amongst other things:

a. audit evidence that contradicts other audit evidence obtained;
b. information that brings into question the reliability of documents and responses to inquiries;
c. conditions that may indicate possible fraud; and
d. circumstances that suggest the need for additional audit procedures in addition to those required by minimum written professional standards.[20]

The SOA goes on to detail how, in the OSC's opinion, Ernst & Young did the following:

- Failed to adequately address ownership of timber:
  - Due to flawed purchase contracts: failure to collect all relevant documents, and to note that locations of timber were not specific. (SOA Sections 40–41); and failure to note that the same survey firm prepared all timber surveys throughout the PRC.
  - Due to an insufficient understanding of the company's legal claim to its Purported Assets (Section 44), and to appreciate the limits of a legal opinion (the Jingtian Opinion) discussing the legal regime relating to forestry assets (Section 46); and so did not follow up when and in such ways as appropriate.

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[19] *Statement of Allegations*, OSC Hearing, In the Matter of the Securities Act, R.S.O. 1990, c. S.5 as Amended—and—in the Matter of Ernst & Young LLP, December 3, 2012, Sections 2–4, accessed July 2, 2013, at https://www.osc.gov.on.ca/en/Proceedings_soa_20121203_ernst-young.htm.

[20] Ibid.

- Failed to adequately address the existence of timber and the audit risks inherent in that the company did not make cash payments for the acquisition of Purported Assets as evidenced by
  - limited and ineffectual site visits (Section 52) and
  - inappropriate reliance on periodic valuations prepared by Pöyry Forest Industry Ltd. Relative to GAAS requirements (Sections 54–58)
- Failed to conduct its audits with a sufficient level of skepticism (Sections 59–60).
- Failed to properly structure the audit team so that Chinese-speaking personnel were represented at all levels rather than relying on translated documents from which some important information was missing (Sections 61–63).[21]

Ernst & Young has denied the OSC allegations.

The Aftermath

On December 5, 2013, the OSC announced that its hearing to determine the veracity of its allegations of fraud against Sino-Forest and its executives, originally scheduled for June 2013, would be further delayed until September 2, 2014.[22]

On a separate but related matter, Ernst & Young was the subject of a $9.18 billion class-action lawsuit launched by Sino-Forest shareholders who charged audit negligence. Ultimately, Ernst & Young made a $117 million deal to settle the lawsuit. Some shareholders were unhappy with the settlement, which blocked further lawsuits, but the Ontario Court of Appeal rejected a challenge to this settlement on June 26, 2013.[23]

Muddy Waters continues to investigate and reveal fraudulent activity in other companies. It lists its track record of uncovering business fraud, accounting fraud, and fundamental problems, including important Sino-Forest events, on its Web page at http://www.muddywatersresearch.com/track-record. It will continue to be an important force as it fulfills its stated purpose as follows:

"Speaking Truth to Power

In the face of egregious market inefficiencies, Muddy Waters refuses to be deterred by the financial marketplace's insider titans. We speak truth to power, even when the message is unpopular or threatening to the status quo, and often when nobody else is willing to do so."[24]

Questions

1. Describe the fraud that allegedly occurred through Sino-Forest Corporation Inc. Who benefited, and how?
2. Why did regulators not prevent this fraud from occurring? What were they relying on?
3. Why did the directors of Sino-Forest not prevent this fraud from occurring? What should they have done to discover the problems that were subsequently uncovered?
4. Why did shareholders not foresee this fraud? What were they relying on?
5. Why did Carson Block author the Muddy Waters Research Report? Was he altruistic or self-interested? What did his company stand to gain?
6. What basic assumptions were erroneously made by Ernst & Young that contributed to the audit problems of concern to the OSC?
7. What audit risks become important when auditing in unfamiliar cultures?
8. If you had been on the audit team of Sino-Forest, how would you have avoided allegations of a lack of adequate professional skepticism?
9. If the Chinese system of recording property rights were known to be incomplete, how would you have performed the audit of Sino-Forest's assets?
10. What audit problem was caused by the Sino-Forest practice of selling timber without receiving cash payments, and how would you have resolved it?
11. What would you do if you were a company director or auditor and you were advised that your company had incomplete or inadequate record creation and retention practices and no integrated accounting system and that employees conducted company business from time to time using personal devices and noncorporate email addresses?

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[21] Ibid. See sections noted in the OSC Statement of Allegations.

[22] Barbara Shecter, "OSC Hearing to Test Fraud Allegations against Sino-Forest Delayed," *Financial Post*, December 5, 2013, accessed December 30, 2103, at http://business. financialpost.com/news/fp-street/osc-hearing-to-test-fraud-allegations-against-sinoforest-delayed.

[23] Jeff Gray, "Auditors' Sino-Forest Settlement Stands," *The Globe and Mail*, June 27, 2013, B7, http://www.theglobe-andmail.com/report-on-business/industry-news/the-law-page/ontario-court-approves-117-million-settlement-with-sino-forest-auditors/article10044252.

[24] See Muddy Waters website, accessed December 30, 2013, at http://www.muddywatersresearch.com.

Massive Acquisition Write-Downs in the Mining Industry

Ethics Case

Mergers and acquisitions (M&A) are strategies that help companies to grow in size rapidly. However, some incredibly questionable M&A decisions were reported in the mining industry in 2012 and 2013, including the following:

- The Canadian gold mining company Kinross Gold Corp. acquired some African mines when it purchased Red Back Mining Inc. for $7.1 billion in 2010. In 2012, Kinross wrote off $2.5 billion of its investment in Red Back and an additional $3.2 billion in 2013 as the costs of developing these African mines increased.
- In December 2012, Vale SA, the Brazilian metal and mining company, wrote down the value of a mine in northern Brazil by $2.85 billion as operating costs soared. The book value of the investment as of September 30 was $3.78 billion.
- In May 2013, Glencore, the Swiss mining giant, paid $44.6 billion to merge with Xstrata. Three months later, in August, the company wrote down its investment in Xstrata by $8.8 billion as a result of a decrease in commodity prices.
- The $14 billion write-down taken in January 2013 by the British-Australian multinational mining giant Rio Tinto is described below.

In January 2013, Rio Tinto recorded a $14 billion write-down of its assets, including a $10 billion write-off of its $38 billion investment in Alcan and a $3 billion write-off of its $3.7 billion investment in Riverside Mining. The company also announced that Tom Albanese, who had been CEO since 2007, would be stepping down, as would Doug Ritchie, head of the energy division, who had overseen the purchase of Riverside Mining.

In 2007, when aluminum was trading at its peak of $1.20 per pound, Rio Tinto paid $38 billion to acquire Alcan, a Canadian aluminum company. At the time of its acquisition, Albanese said that Alcan would have a competitive advantage because of its low-cost hydroelectric energy. He also predicted that China would be a net importer of aluminum. Instead, low-cost producers using cheap thermal coal sprung up within China, and China became self-sufficient in aluminum, which contributed to the price of aluminum falling to as low as $0.76 per pound. It subsequently rebounded to $0.91 per pound.

The 2013 write-down was the second time Rio Tinto had reduced its investment in Alcan, bringing its investment in the aluminum company down to $18 billion. In 2011, Rio Tinto bought a majority interest in Riverside Mining Ltd, which operates coal mines in Mozambique. Its mines have been plagued with transportation and logistical problems. Rio Tinto has now written down that investment from $3.7 billion to $700 million.

Along with the announcement of the write-downs, the company also said that neither Doug Ritchie nor Tom Albanese, who had been with the company for thirty years, would be receiving any performance bonuses. Albanese does, however, get to keep £10.7 million of stock options that were awarded to him from 2003 to 2007.

Questions

1. Should the CEOs of these mining companies be held accountable for commodity prices that have dropped precipitously while operating costs have soared?
2. Should Albanese be held responsible for the fact that the Chinese market did not open as he predicted and that the price of aluminum dropped precipitously? If not Albanese, then who should be held responsible?
3. Because of the $14 billion write-down, should Albanese be forced to forfeit his lucrative stock options?
4. Alcan was purchased in 2007, and there were two subsequent write-downs, reducing its value by more than half of its original purchase price. But Albanese did not resign until 2013. Was this resignation too late? When should a board of directors fire a CEO who has made a significant mistake?
5. The Rio Tinto executives made massive errors in judgment that cost the company billions. Were they treated too gently?
6. Since several companies have written off massive amounts paid for their acquisitions, were each of their managements wrong for specific reasons, or were there common factors affecting them all? If so, what were they?

Source: P. Jordan and J. McNish, "Tom Albanese Out at Rio Tinto as Alcan Bet Goes Awry," *The Globe and Mail*, January 17, 2013.

P. Jordan, "Kinross Takes $3.2-Billion Hit on African Mines," *The Globe and Mail*, February 13, 2013.

E. Reguly, "Glencore Takes $7.7-Billion Writedown as Mining Industry Woes Continue," *The Globe and Mail*, August 20, 2013.

E. Rowley, "Rio Tinto CEO Tom Albanese Out over $14bn Write-Down," *The Telegraph*, January 17, 2013.

"Vale Takes Hefty Write-Down," *The Northern Miner*, December 21, 2012.

Accounting Rule Changes Increase Apple Computer's Revenue

Ethics Case

Numerous firms, including computer and communication companies, sell products that have multiple deliverables. For example, a telephone company may sell a customer a phone and a two-year unlimited long-distance telephone call package for a lump sum. How should the company account for the lump sum that it receives? Accounting rules required that the vendor allocate the lump sum between the two deliverables, separating the revenue from the sale of the hardware from the revenue from the sale of the service. Referred to as "subscription accounting," it required the phone company to immediately record the revenue from the sale of the hardware but defer and recognize the revenue from the long-distance telephone package over the two-year period.

Many high-tech companies objected to this accounting rule, including Apple Computer. Under subscription accounting, Apple was recording substantial amounts of deferred revenue associated with the sale of its iPhone and Apple TV products. Steve Jobs was a particularly vociferous opponent, arguing that subscription accounting obscured the real earnings growth of the company. "Because by its nature subscription accounting spreads the impact of iPhone's contribution to Apple's overall sales, gross margin, and net income over two years, it can make it more difficult for the average Apple manager or the average investor to evaluate the company's overall performance." So, Apple began to report both GAAP and non-GAAP results side by side. The non-GAAP earnings included the full revenue from the sale of its products and services.

In October 2009, the Financial Accounting Standards Board (FASB) issued *Accounting Standards Update No. 2009–13*, which addressed the issue of revenue recognition when there are multiple deliverables. The new standard allows companies, such as Apple, to recognize the revenue on multiple deliverables in the current period rather than over time. Apple no longer had to use subscription accounting. In an amended 10-K filing with the Securities and Exchange Commission, Apple noted,

> Under subscription accounting, revenue and associated product cost of sales for iPhone and Apple TV were deferred at the time of sale and recognized on a straight-line basis over each product's estimated economic life. This resulted in the deferral of significant amounts of revenue and cost of sales related to iPhone and Apple TV.... As of September 26, 2009, based on the historical accounting principles, total accumulated deferred revenue and deferred costs associated with past iPhone and Apple TV sales were $12.1 billion and $5.2 billion, respectively. . . . The new accounting principles result in the recognition of substantially all of the revenue and product costs from the sales of iPhone and Apple TV at the time of sale. . . . The adoption of the new accounting principles increased the Company's net sales by $6.4 billion, $5.0 billion, and $572 million for 2009, 2008, and 2007, respectively. As of September 26, 2009, the revised total accumulated deferred revenue associated with iPhone and Apple TV sales to date was $483 million; revised accumulated deferred costs for such sales were zero.

For the last quarter of 2009, Apple reported $15.6 billion in revenue, compared to $2.2 billion for the same quarter in the previous year. The increase in revenue was attributed to two factors: increased sales during the holiday shopping season and the change in its revenue recognition accounting policy. However, management would not say how much of the increased revenue was related to the change in accounting policy. The earnings were higher than analysts' expectations. Apple's share price rose $5.33 (2.7%) to close at $203.08.

Does recording substantially all the revenue in the current period result in fair reporting? Wilcox argues that this policy masks the fact that Apple has an ongoing relationship with its customers. "The iPhone is a work in progress, as evidenced by two full software upgrades and ongoing updates." Recording deferred revenue, on the other hand, would highlight Apple's obligation to its buyers.

Questions

1. Do you think that Apple's new accounting policy, which is consistent with the 2009 FASB statement, results in fair financial reporting?
2. Do you think that Apple's share price should have gone up as a result of increased revenue due to a change in an accounting policy?

Sources: Daniel Eran Dilger, "Inside Apple's iPhone Subscription Accounting Changes," *Roughly Drafted Magazine*, October 21, 2009, https://appleinsider.com/articles/09/10/21/inside_apples_iphone_subscription_accounting_changes.

Omar El Akkad, "Apple Rides iPhone, Mac to Record Profit," *The Globe and Mail*, January 26, 2010, B1, B6; Financial Accounting Standards Board, "Revenue Recognition (Topic 605): Multiple-Deliverable Revenue Arrangements—A Consensus of the FASB Emerging Issues Task Force," *Accounting Standards Update No. 2009–13*, October 2009, http://www.fasb.org/cs/BlobServer?blobcol=urldata&blobtable=MungoBlobs&blobkey=id&blobwhere=1175819938544&blobheader=application%2Fpdf.

U.S. Securities and Exchange Commission, "Amendment No. 1 to Form 10-K," Apple, Inc., January 25, 2010, http://www.sec.gov/Archives/edgar/data/320193/000119312510012091/d10ka.htm.

Joe Wilcox, "Accounting Rules Shouldn't Change to Benefit Apple, Other High-Tech Companies," *Beta News*, September 22, 2009, http://www.betanews.com/joewilcox/article/Accounting-rules-shouldnt-change-to-benefit-Apple-other-hightech-companies/1253649045.

The Impact of International GAAP on Earnings

Ethics Case

Following the pattern of many other countries, Canada converted from domestic generally accepted accounting principles to International Financial Reporting Standards (IFRS). The changeover occurred on January 1, 2011. As a result of the conversion to IFRS, the revenue recognition policies of many Canadian retail operators that offered customer reward programs had to change. Previously, there were no clear guidelines concerning loyalty programs, so many retailers recorded their sales at gross value rather than at net. For example, assume a customer makes purchases of $200 and earns $2 of reward points that can be redeemed at a later date. The retailer would record revenue of $200 when the sale occurs and a further $2 of sales when the points are redeemed. The total revenue recorded would be $202. Under IFRS, this would not be an acceptable accounting policy. IFRS views the initial purchase as consisting of two elements: the customer is buying both the goods and the rewards. So, under IFRS, the retailer would record revenue of $198 at the time of the sale and $2 of deferred revenue for the associated points. The deferred revenue would be realized when the $2 of points are redeemed. Total revenue would be $200.

In 2010, stock analyst Kathleen Wong at Veritas Investment Research Corp. argued that this change in revenue recognition would have a negative effect on the earnings of Shoppers Drug Mart, which offers its customers the Shoppers Optimum Program, one of the largest loyalty programs in Canada. Shoppers Drug Mart does not reveal the impact of its reward program, but Wong speculates that the Optimum Program was adding 1% to 3% to the company's revenue. David Milstead contends that companies that chose the gross method were distorting their earnings. "They opted for a method that pushed a shiny sales growth figure to the forefront, rather than one that would more accurately portray their real revenue picture."

Questions

1. Do you think that the gross value method distorts earnings because it overstates revenue?
2. The total cash that the company receives is the same regardless of the method the company uses to report revenue. So, is one revenue recognition method just as good as any other?

Source: David Milstead, "A Close Inspection of Shoppers' Revenue Accounting," *The Globe and Mail*, May 17, 2010, B8.

Auditor's Dilemma

Ethics Case

Arthur sat back in his chair and looked at the other accountants who were working on their laptops. How had he gotten himself into this situation?

It began last year when he was hired by Castor Gotlieb LLP, the largest of the midsize accounting firms in the country. Arthur graduated at the top of his class with a bachelor's degree in accounting. He had been recruited by all the major accounting firms, but he chose CG, as it was called, because he liked the "vibe." During the interview, Arthur and the recruiter had talked at length about honesty and personal integrity. These were the values that Arthur prized the most, and he was assured that honesty and integrity were consistent with the values and mission statement of CG.

At the first client that Arthur was sent to, he conducted the basic aspects of the audit. But he showed competence and an insight into potential audit problems, so on the next job he was given more complex aspects of the audit. He accomplished those on time and was given a very positive evaluation by his audit senior, Jonathan Lee.

Arthur enjoyed the work but not necessarily the long hours, especially during tax season. It was difficult to work from nine until five at the client's office and then return to CG's office, where he completed tax returns until eleven at night, only to repeat the entire routine the next day and each day after that. He only had one day off each week.

"Don't worry," he was advised by his manager, Stella Reese. "We book this time and then take time off during the summer, when there's less work to be done."

In the second week of March, Arthur was sent to work on the audit of the Pine Crest Furniture Company. Pine Crest manufactured and sold contemporary living room and dining room furniture through two stores that were located at either end of town. Arthur was responsible for the inventory section of the file. He had a budget of forty hours to complete that part of the audit because the junior had spent forty hours on the inventory section last year. The audit of the inventory was straightforward, and Arthur was confident that he would be able to complete that section of the file under budget.

On the second evening of the audit, while he was back in the office calculating the taxable capital gain for a wealthy client, Arthur realized that there might be an internal transfer pricing problem at Pine Crest with respect to one model of dining room furniture that had been moved from one store to the other store. For the next two days, Arthur spent an extra amount of time examining the internal transferring price scheme of the company. He carefully documented all his findings. After spending nearly fifty hours on the inventory section, Arthur concluded that there was no problem with the inventory. Arthur had been mistaken and was embarrassed that he had spent so much time on the inventory. He felt that if he had just followed standard audit procedures, he could have completed the section within the budget. Consequently, he reported that he had spent only forty hours when he had really spent fifty.

Arthur was reluctant to falsify his time report, but he justified his action on the basis that he was new and inexperienced. He also said that the extra ten hours was a learning experience. Also, no one would know that he had completed the time report incorrectly since Arthur had a reputation for having high integrity.

At the conclusion of the Pine Crest audit, Arthur received a glowing assessment from Jonathan Lee, the audit senior, as well as Stella Reese. Arthur's performance on the next two jobs was also of a high caliber, and he was promoted to intermediate staff accountant at the end of the year. Ms. Johnson, the senior partner at CG, had gone out of her way to congratulate Arthur on his work ethic and say how pleased she was that he was part of the CG family.

The following February, Arthur was called into a meeting to discuss the upcoming Pine Crest Furniture audit to be conducted next month. In the meeting were Jonathan Lee, Stella Reese, and the three other staff accountants who had been on the Pine Crest audit last year.

"As a result of the economic downturn," Stella said, "sales at Pine Crest are off this year. Their controller said they can't afford to pay the same amount this year for the audit. We're under a lot of pressure to keep the fee as low as possible, and so Ms. Johnson has agreed to lower the fee a bit, but she wants us to complete the audit in record time."

"What does that mean?" Jonathan asked.

"It means that the audit time budget has been cut by 10% this year across the board. Whatever the budget for the section was last year, it's 10% less this year."

"That's not fair'" Jonathan protested.

"Yes, it is. We've got the same audit team working on the client this year as last year. We all know the client's operations and activities. There's no learning curve here, so it can be done. And I don't want to hear any protests."

No one said anything.

"That's all," Stella said.

As everyone filed out of the manager's office, Stella said, "Arthur, can you stay for another minute, please."

Arthur sat back down.

"I wanted to say that normally I consider the inventory at Pine Crest to be something a junior can do. But I want you to do the inventory section again because you did such a good job last year. I hadn't realized that there could be an inventory transferring pricing issue. Not until I read what you wrote last year. That was very insightful. I admired the way you honestly presented the issue. You did not bias your analysis. That's what we like about you Arthur; you're honest and you have integrity. That was part of the reason why we gave you that promotion last year.

"Last year you managed to complete the inventory section of the audit and do that pricing analysis all within the forty-hour budget. I want you to be just as thorough this year. But because you're aware of the transfer pricing issue, you should be able to breeze through the inventory section." She smiled. "Keep up the good work Arthur."

Arthur went back to the bullpen, where all the audit staff sat.

Oh no, he thought. A 10% reduction. That means that I'll have thirty-six hours to complete the inventory section this year. It took me fifty hours last year! So that means it's a—oh no! That's a 28% reduction. I can't possibly do the entire section in thirty-six hours when I spent fifty hours last year. Not if she wants me to do the same level of analysis as I did last year. What am I going to do?

The other staff accountants were working on their laptops. They didn't seem to care that the audit time budget had been cut by 10%. Perhaps they had not lied on their time reports, and so the time reduction didn't matter to them.

Arthur started to list his options on a piece of paper:

Tell Stella the truth—that he lied on last year's time report. Would he be fired because he had not shown honesty and integrity?

Complete the inventory audit and report thirty-six hours, regardless of how long it takes. Would this mean lying again on his time report? Would this be fair to whoever has to do the inventory section next year?

Complain to Ms. Johnson and say that an arbitrary 10% reduction in audit time is unfair. How would Jonathan and Stella react if he went over their heads to the audit partner?

Look for a job at another accounting firm. Why would he say that he was quitting?

Question

1. What should Arthur do? Why?

Management Choice

Ethics Case

Anne Distagne was the CEO of Linkage Construction Inc., which served as the general contractor for the construction of the air ducts for large shopping malls and other buildings. She prided herself on being able to manage her company effectively and in an orderly manner. For years, there had been a steady 22%–25% growth in sales, profits, and earnings per share that she wanted to continue because it facilitated dealing with banks to raise expansion capital. Unfortunately for Sue Fault, the CFO, the situation has changed.

"Sue, we've got a problem. You know my policy of steady growth—well, we've done too well this year. Our profit is too high: it's up to a 35% gain over last year. What we've got to do is bring it down this year and save a little for next year. Otherwise, it will look like we're off our well-managed path. It will look like I didn't have a handle on our activity. Who knows, we may attract a takeover artist. Or we may come up short on profit next year."

"What can we do to get back on track? I've heard we could declare that some of our construction jobs are not as far along as we originally thought, so we would only have to include a lower percentage of expected profits on each job in our profit this year. Also, let's take the $124,000 in R&D costs we incurred to fabricate a more flexible ducting system for jobs A305 and B244 out of the job costs in inventory and expense them right away."

"Now listen, Sue, don't give me any static about being a qualified accountant and subject to the rules of your profession. You are employed by Linkage Construction, and I am your boss, so get on with it. Let me know what the revised figures are as soon as possible."

Questions

1. Who are the stakeholders involved in this decision?
2. What are the ethical issues involved?
3. What should Sue do?

To Qualify or Not?

Ethics Case

Jane[1] Ashley was a staff accountant at Viccio & Martin, an accounting firm located in Windsor, Ontario. Jane had been a co-op student while in college, and during her first work term with the firm, she had the privilege of being on several audits of various medium-sized companies in the Windsor area, where she picked up some valuable audit experience. Fresh out of her final academic term, she felt ready to put her scholastic knowledge to work and show the seniors and partners of Viccio & Martin her stuff.

[1] This case was adapted from an assignment submitted by Phil Reynolds, an MBA (accounting) student at the University of Toronto, in the summer of 1994.

In her first assignment, Jane was placed on an audit team consisting of herself and a senior. This senior, Frankie Small, had been a qualified accountant for five years and had been on staff for over ten. He was well respected within the company and was known for his ability to continually bring engagements in under budget.

The client, Models Inc., which was Viccio & Martin's largest, was a private corporation which made its business in the distribution of self-assembly, replica models, toys, and other gaming products. It operated from a central warehouse in Windsor but also distributed from a small warehouse in Toronto and had a drop-off point in Michigan as it purchased merchandise from companies in the United States. Its year-end was April 30. Since Jane had joined the firm on May 15, she had not been present for the year-end inventory count, which was taken on the year-end date. Frankie S. was present, along with another co-op student, who, incidentally, had returned for her final academic term on May 11. Jane asked Frankie how just two people could simultaneously be present for an inventory count at three locations. Frankie responded by telling her that since the inventory balances at the Toronto warehouse and Michigan drop-off sites were of immaterial amounts (based on representations by management, company records, and audits in prior years), audit staff had only been present at the Windsor warehouse count. Models Inc. was on a periodic inventory system.

Since she had not been on this engagement before, the evening before her first day of fieldwork, Jane stayed at work late to review the previous year's audit files, this year's audit programs, and the notes on this year's inventory count so she could gain a knowledge of the client's business. After an hour or so of reviewing the information, Jane gained a knowledge of the client, but she could not quite understand what was happening with the inventory section because the working papers were messy and disorganized. On reviewing the inventory sheets from this year's count, she found that many of the items were unfamiliar and were referenced only by general product names; there were no serial numbers or order numbers.

The first day of fieldwork arrived, and Jane was given the responsibility of accounts-payable cutoff. On tracing invoices to the master accounts-payable ledger, Jane found that she was having a hard time locating many of them. She brought this matter to the attention of the accounts-payable clerk, who provided the explanation that invoices received after the year-end date were not yet entered in the current year but should have been. Jane was provided with this list and traced it to the journal entry made to pick up the extra payables. Jane then performed audit procedures on this extra list. She again found that it was incomplete. The total cutoff problem was, in her estimation (of sample to population figures), in excess of $400,000. She also noted that many of the invoices received had invoice dates after April 30, but title to these goods had changed hands (F.O.B. shipping point) prior to April 30.

The financial statements originally provided by management showed healthy profits of $150,000. The current accounts-payable (trade) balance was $1.4 million, which was up over half a million dollars from last year. The current receivables balance was $800,000, which was up about $100,000 from the previous year. Sales had jumped from $8 million in 1988 to $10 million this year. The company had an operating (demand) line of credit with a lending institution of $1 million. The company owned its two warehouses, which had a net equity of approximately $1,600,000 at fair market.

Jane brought the cutoff problem to the attention of Frankie, who was perplexed and surprised by the whole issue. The two returned to the office that evening, and Jane was asked to prepare a memorandum explaining her findings. It was reviewed by the partner in charge, Mr. Viccio, who contacted the appropriate level of management of Models Inc. to explain the discrepancy.

The accounts-payable clerk recorded the transactions Jane had found left out, and the audit testing was again performed on the accounts-payable cutoff and the rest of the accounts-payable section to the satisfaction of the auditors with respect to all financial statement assertions. The total corrections made to accounts payable were in the order of $350,000. The impact of the adjustments was partially to inventory, where traceable, and partly to cost of goods sold. The total effect on the profit figure was $300,000. The financial statements showed a loss of $150,000.

The head manager and 50% shareholder of the corporation, Mrs. Hyst, was astonished and panic-stricken by the entire situation. She was sure something was wrong and that this problem would be rectified at some point throughout the remainder of the audit.

No problems were encountered throughout the remainder of the audit fieldwork; however, Jane did notice, when she was in the accounts-payable clerk's office, that the clerk spent a great deal of time on the phone with suppliers, discussing how Models Inc. could pay down its over-ninety-day payables such that the company would not be cut off from purchasing further goods.

Toward the finalization of the audit, Mrs. Hyst came to the auditors and told them that there was most likely inventory that had been left out of the count. She provided a listing that amounted to approximately $200,000. In this listing were material amounts of inventory in the Toronto warehouse, the Michigan drop-off point, goods in transit, and goods stored at other locations.

The auditors, who were surprised by the list, decided to perform tests on it and found that it was very difficult and often impossible to track the inventory, given the poor system used by the company. Jane telephoned all of the companies that appeared on the list under "goods stored at other locations" and, in all cases, found that no inventory was being kept on behalf of Models Inc. Suppliers in the United States were telephoned for exact shipment dates, and based on the evidence of how long it usually takes to bring goods across the border, it was determined that those goods were included in the year-end inventory count. As for the "extra" inventory stored in the Toronto and Michigan sites, there was no reliable evidence that anything not already accounted for was there. However, there was no way to tell for sure. From the items on this extra list, $50,000 was accounted for as either already counted in inventory as of the year-end date or included in cost of goods sold. The whereabouts of the other $150,000 was not determinable.

Mrs. Hyst was asked to discuss this listing. At the meeting, Mr. Viccio, Frankie, and Jane were all present. Mrs. Hyst stated that if she showed these sorts of losses, the bank would surely call the company's operating loan of $1 million, and it would "go under." Mr. Viccio asked the client whether there was any way of determining where the other $150,000 was. She explained that it was hard, given their inadequate inventory system, but she was pretty sure that it was not counted in the year-end inventory count.

After the meeting, Mr. Viccio explained that there was no reason to doubt management's good faith and that the $150,000 most likely should be added to inventory and taken out of cost of goods sold. Frankie went along with this. Jane, however, was astonished. She felt that since there was no evidence backing up the claims made by the client, the firm should be conservative. She also related her experience to the other two concerning the problems the company was having with keeping up with its trade payables.

Mr. Viccio explained to her that the $150,000 should be added back to inventory and that, even if it was the cost of goods sold, the client would most likely recover in the near future anyway. "In these situations, we must help the client; we cannot be responsible for its downfall. Who are we to say that there isn't an extra $150,000 in inventory—we're just guessing." Frankie added to this by saying that if the loan were called, there would be plenty of equity in the buildings of the company to pay it off.

Jane went home that day very distraught. She felt that Mr. Viccio's decision was based on audit fees and that a poor picture on the financial statements would result in the loan being called and Mr. Viccio would not get his fees. Jane was also disappointed with the level of responsibility shown by Frankie, the senior. Jane could not believe what was happening given the fact that the original reason for the audit was because the bank had requested it several years ago as the operating loan was increasing. Jane was also aware that Model Inc.'s major suppliers were requesting the year-end statements as well and, based on them, would make a decision on whether to extend the company any more credit.

The next day, Jane expressed her opinion in a morning meeting held in Mr. Viccio's office. Frankie was also present. She was told that the $150,000 would be added back to inventory.

Question

1. What should Jane do? Why?

Team Player Problems

Ethics Case

"John, I have questions about that job you want me to do next week—the one where I am supposed to go and be part of that multidisciplinary team to study how the hospitals in Denver ought to be restructured for maximum efficiency and how they should be reporting that efficiency in the future. As you know, I am a professional accountant, but I'm not going to be the study leader. What happens if I disagree with the study's findings or recommendations? What do I do if I think they haven't used accounting data correctly and have recommended that a hospital be shut down when I don't think it should be? Do I go along? Do I blow the whistle?"

Question

1. Answer the questions put to John.

Minimal Disclosure

Ethics Case

Ted was the manager and Carl was the partner on the audit of Smart Investments Limited, an investment company whose shares were traded on the NASDAQ exchange. They were discussing the issues to be debated at the upcoming Audit Committee meeting to finalize the financial statements and audit for the current year.

"As I see it, Carl, we have three problems that are going to be difficult because it's not in the interests of the CEO, CFO, and some directors to go along with us. Remember that all those stock options that may be exercised next month at $7.50 per share and with the stock trading at $9.50 now—well, they aren't about to upset the price with negative news.

"Anyway, the rules call for segmented disclosure of significant lines of business, and this year the company has made 55% of its profit through the trading of derivative securities. It's awfully high risk, and I'm not sure they can keep it up, so I think they ought to add a derivative securities disclosure column to their segmented disclosure information. They are going to argue that they are uncertain how much profit relates to derivative securities trading by itself and how much was realized because the derivative securities were part of hedging transactions to protect foreign currency positions.

"The second issue concerns their reluctance to reveal the potential lawsuit by their client, Bonvest Mutual Funds, for messing up the timing and placement of orders for several mining securities. I believe it should be mentioned in the Contingent Liabilities note, but they may be dragging their feet on calculating the size of the problem. They don't want to disclose an amount, anyway, because they argue that Bonvest will set that figure as the lower bound for its claim.

"Finally, as you know, the statements we are auditing are consolidated and include the accounts of the parent and four subsidiaries. One of these subs, Caribbean Securities Limited, is in tough shape, and I think they may let it go broke. That's the sub which is audited by the Bahamian firm of Dodds & Co., not our own affiliate there. There is no qualification on the Dodds & Co. audit opinion, though, but I know how these guys at Smart think.

"I realize that a lot of this is speculative, but each of these issues is potentially material. How do you want to play each of them?"

Question

1. What should Carl, the partner, plan to do?

Opinion Shopping

Ethics Case

"We have had Paige & Gentry as our auditors for many years, haven't we, Jane? They have been here since I became president two years ago."

"Yes, Bob, I have been the CFO for seven years, and they were here before I came. Why do you ask?"

"Well, they were really tough on us during the recent discussions when we were finalizing our year-end audited statements—not at all like I was used to at my last company. When we asked for a little latitude, our auditors were usually pretty obliging. Frankly, I'm a little worried."

"Why, Bob, we had nothing to hide?"

"That's true, Jane, but let's look ahead. We're going to have difficulty making our forecast this year, and our bonuses are on the line. Remember, we renegotiated our salary/bonus package to give us a chance at higher incentives, and we have to be careful."

"Looking ahead, we've got a problem with obsolete inventory that's sure to come to require discussion for a second year in a row. We've got the warranty problem with the electrical harness on the mid-range machine, which is going to cost us a bundle, but we want to spread the impact over the next three years when the customers discover the problem and we have to fix it up. And don't forget the contaminated waste spill we just had—how much is that going to cost to clean up, if we ever get caught?"

"These are potentially big-ticket items. Bill Paige, the guy who is in charge of our audit, is not going to let these go by. He said the inventory problem was almost material this year, and we had to argue really hard. You are a qualified accountant; how can we handle this?"

"Well, Bob, we could have some informal discussions with other auditors—maybe even the ones at your old company—to see how they would handle issues like these. The word will get around to Bill, and he may be more accommodating in the future and will probably shave his proposed audit fee for next year when he meets with our Audit Committee next month. If you really wanted to play hardball, we could talk the Audit Committee into calling for tenders from new auditors. After all this time, it's logical to check out the market anyway. We would have advance discussions during which we would sound them out on how they would assess materiality in our company's case. Our audit fee is getting pretty large—almost $50,000 this year—so some big firms will be really interested."

"Jane, let's play hardball. Get a list of audit firms together for the tender process, and I will approach the Audit Committee. Be sure to list some small firms, including Webster & Co., the firm auditing my old company."

Questions

1. Who are the major stakeholders involved in this situation?
2. What are the ethical issues involved?
3. Is this situation unethical? Why and why not?
4. What should Jane do if Webster & Co. looks like the choice the Audit Committee will make and recommend to the board of directors?

Lowballing a Fee Quotation

Ethics Case

"Look, Tim, I've been told that the competition for the audit of Diamond Health Services is really competitive, and you know what it would mean to the both of us to bring this one in. You would be a sure bet for the Executive Committee, and I would take over some new audit responsibility as your backup partner. Let's quote the job really competitively and get it."

"I'm not sure, Anne. After all, we have to make a reasonable profit or we're not pulling our weight. Anyway, you don't know what problems we may meet, so you should build in a cushion on the front end of the job."

"But, Tim, if we quote this job the usual way—on an hourly rate and estimated total time basis—we are going to miss it! The CFO as much as told me we would have to be lower than the current auditor, and we would have to guarantee the fee for two years. Now, are we in or not? I plan to put our best staff on the job. Don't worry; they won't blow it. What's the matter? Don't you think I can get the job done?"

"Well, Anne, I suppose there would be some overall savings to our firm because this audit is the only one of six companies in the Diamond Group that we don't audit. We certainly don't want any other auditors getting a foothold in the Diamond Group, do we? What are you proposing, anyway: a fee that's at a lower margin than normal or one that's below the projected cost for this job? Either way, it's unethical, isn't it?"

Question

1. Answer the question posed to Tim.

Fundamental Accounting & Auditing Issues Cases

Societal Concerns

Ethics Case

Two accounting students, Joan and Miguel, were studying for their final university accounting exam.

"Miguel, what if they ask us whether the accounting profession should speak out about the shortcomings in financial statements?"

"Like what, Joan? We know they don't show the value of employees or the impact of inflation, or the economic reality or market value of many transactions—is that what you mean?"

"No, I mean the advocacy of disclosures which will lead to a better world for all of us. For example, if we could only get companies to start disclosing their impacts on society, and particularly our environment, they would be induced to set targets and perform better the next year. We know that lots of externalities, like pollution costs, are not included in the financial statements, but we could speak out for supplementary disclosures."

"Joan, you go right ahead if you like. But I'm going to stick to the traditional role of accountants—to the preparation and audit of financial statements. It got us this far, didn't it?"

"Yes, but do medical doctors refrain from commenting on health concerns, or do lawyers refrain from creating laws that govern our future? Why should we shy away from speaking out on issues that we know something about that mean a lot to our future?"

Question

1. Is Joan or Miguel right? Why?

Economic Realities or GAAP

Ethics Case

Stan Jones was an investor who had recently lost money on his investment in Fine Line Hotels, Inc., and he was anxious to discuss the problem with Janet Todd, a qualified accountant who was his friend and occasional advisor.

"How can they justify this, Janet? This company owns 19.9% of a subsidiary, Far East Hotels, which has apparently sustained some large losses. But these consolidated statements don't show any of these losses, and the investment in Far East hasn't been written down to reflect the loss either. I bought my shares in Fine Line just after its last audited statements were made available but just before the papers reported that the statements didn't reflect any of the losses. What should I do in the future—wait until the papers report the true economic picture? If I can't rely on audited figures, what's the sense of having an audit? And don't tell me that, if the ownership percentage had been 20%, the consolidated statements would have reported the loss. That's just outrageous."

Question

1. How should Janet Todd respond?

Multidisciplinary Practices—Ethical Challenges

Ethics Case

Multidisciplinary practices are probably an inevitable development. Clients want "one-stop shopping," at a professional firm where they can go for all their needs, and where the partner responsible for their work can keep them briefed on new services that might be worth using. New services offered currently include the following:

- Legal services
- Actuarial services
- Engineering services
- Investment services
- Risk assessment services
- Ethics and integrity services

These new services, particularly in the area of legal services, have raised a high degree of controversy among existing accounting partners. Trevor, an older partner, and Dhana, a new and younger partner, were deep in discussion about the problems and benefits the new organization would bring.

"Trev, I don't really see what your problem is. We're going to be more helpful to our clients—that's the bottom line, isn't it?"

"I suppose so, D, but all these new services bring their own professionals. Are lawyers or engineers going to set aside their codes of conduct to live by ours? Whom do they report to—I don't have enough legal expertise or engineering expertise to supervise them, so how can I ensure they live up to our accounting standards of service and quality? Aren't I going to be holding myself out as their supervisor on false pretenses? If anything goes wrong, won't we be sued?

"Another thing, D, as the proportion of our operations from these new services grows, won't the entire firm take on a client focus just like any other business? As professional accountants, we are supposed to be serving the public—that's what keeps us from fudging the figures and our audit reports to benefit current management and current shareholders. Do you think that all these new professionals will buy into a 'public' focus rather than a 'client' focus where the bottom line drives decisions? How would we go about keeping them on the straight and narrow, even if we got them on it in the first place?"

"Trev, you sure do have a lot of worries. How close are you to retirement? Well, I just had a call from our CEO, Hajjad. He wants me to think about taking over our Ethics and Integrity practice. Say—you don't have anything I could read up on in that area, do you?"

Question

1. What are your answers to the questions raised in the case?

Tax & Regulatory Cases

Swiss Tax Shelters—Part I—UBS

Ethics Case

UBS Group AG is the largest Swiss bank. It was created in 1998 when the Union Bank of Switzerland merged with the Swiss Bank Corporation. UBS is an international bank with branches and offices in every major city throughout the world. One of the bank's principal services is wealth management, which is an investment-advisory service, provided to investors who have a lot of capital. Wealth management includes tax planning, estate planning, and investment advice.

Bradley Birkenfeld was a Geneva-based employee of UBS working in wealth management, who spent five years helping wealthy Americans hide their wealth in order to avoid paying U.S. taxes. Schemes involved purchasing art and jewelry using funds in UBS accounts. Bankers used encrypted computers and deleted references to U.S. banking clients. Birkenfeld admitted to smuggling diamonds in a tube of toothpaste for a wealthy client.

In March 2005, he wrote an internal memo to the bank's legal and compliance officials about the bank's 'unfair and deceptive business practices.' He claimed that the bank was violating American tax laws by sheltering U.S. tax evaders. His comments were ignored, so he complained to their boss, Peter Kurer, the general counsel of the bank. Birkenfeld resigned from the bank in 2005 over a bonus payment dispute.

In May 2007, Birkenfeld went to the American authorities and reported what he knew about the bank's operations. This led to an investigation of UBS by the Department of Justice and the Internal Revenue Service (IRS). These agencies suspected that wealthy Americans had hidden $20 billion with UBS. Eventually, UBS paid $780 million to the U.S. government to avoid prosecution and disclosed information on 250 bank accounts. Later, the bank provided information on another 4,450 accounts. This led to the IRS collecting more than $5 billion in back taxes from 33,000 Americans.

Questions

1. UBS is a Swiss company. Why would it voluntarily pay a fine to the American government?
2. Was UBS doing anything unethical by providing wealth management services to Americans who wanted to avoid paying US taxes?
3. Should Birkenfeld have escalated his complaint about unfair and deceptive business practices to more senior people at UBS?

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Lynnley Browning, "Names deal cracks Swiss bank secrecy," *The New York Times*, August 19, 2009.

Helena Bachmann, "U.S. vs. UBS: A fight over secret Swiss bank accounts," *Time*, July 15, 2009.

Swiss Tax Shelters—Part II—Bradley Birkenfeld

Ethics Case

Bradley Birkenfeld was born in 1965 in Massachusetts and educated at Norwich University. He began his banking career with Credit Suisse and Barclays and then in 2001 he joined UBS in their wealth management area. During his five years with UBS, he helped Americans to conceal their wealth from the IRS. In March 2005, he sent an internal memo to the bank's compliance and legal officers saying the bank was violating its own internal procedures. Later, he resigned from the bank because of a dispute about his bonus.

In March 2007, he voluntarily explained to American authorities how UBS was engaging in what he believed to be illegal tax shelters. Birkenfeld talked with the Department of Justice, the Securities and Exchange Commission, the Internal Revenue Service, and even the American Senate. He was assured by the Department of Justice that he was not being investigated.

While he was with UBS, Birkenfeld helped Igor Olenicoff, a California-based real estate billionaire, avoid paying American taxes. In 2007, Olenicoff reached a settlement with the IRS and paid $52 million in taxes and penalties. Because of his involvement with Olenicoff, Birkenfeld was charged with conspiracy by the Department of Justice. Birkenfeld pled guilty, paid a $30,000 fine, and on January 8, 2009, began a 40-month prison sentence. He was released from prison on August 1, 2012.

The information that Birkenfeld provided led to a criminal investigation that resulted in UBS paying a $780 million fine and releasing the names of over 4,500

American tax evaders. His information helped the IRS recover over $5 billion in back taxes. However, the Department of Justice argued that his whistleblowing on UBS did not save him from criminal prosecution and that was why he was prosecuted, fined, and sent to prison.

The IRS, on the other hand, does have a whistleblowing program that pays cash rewards. One month after being released from prison, Bradley Birkenfeld received a whistle-blower reward of $104 million.

Questions

1. Did Birkenfeld do anything unethical by providing wealth management services to Americans who wanted to avoid paying US taxes?
2. Birkenfeld resigned because of a bonus dispute. Should he have resigned because UBS did not act on his complaint that the bank was violating its internal procedures?
3. Should whistleblowers receive multi-million-dollar rewards?

Additional Source

Laura Saunders and Robin Sidel, "Whistleblower gets $104 million," *The Wall Street Journal*, September 11, 2012.

Kocieniewski, David. 2012. Whistle-blower awarded $104 million by I.R.S. *The New York Times* (September 11).

Wal-Mart's Real Estate Tax Loophole

Ethics Case

Real estate investment trusts (REITs) were created as vehicles for small investors to spread their risk by purchasing a portfolio of commercial real estate properties. The REIT is tax-exempt, provided it has at least 100 shareholders and pays out at least 90% of its profits as dividends. The dividends are taxable income in the hands of the investors, but at preferential tax rates.

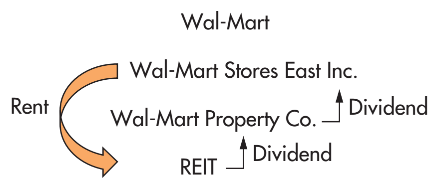
In the late 1990's, Wal-Mart Stores Inc. (Wal-Mart) created a hierarchy of subsidiaries. Wal-Mart Real Estate Business Trust, a REIT, was owned by Wal-Mart Property Co., which was owned by Wal-Mart Stores East Inc., which was owned by Wal-Mart.

Wal-Mart Property Co. owned 100% of the voting shares and 99% of the non-voting shares of the REIT. Approximately 104 Wal-Mart senior executives owned the other non-voting shares.

Wal-Mart transferred ownership of hundreds of its stores, both land and building, to the REIT.

Wal-Mart Stores East then signed lease agreements with the REIT to pay a fixed percentage of gross sales as rent. These rental payments were tax deductible as a legitimate business expense for Wal-Mart Stores East.

The REIT then paid most of its rental revenue to its majority shareholder, Wal-Mart Property Co. in the form of a dividend. Wal-Mart Property Co. then paid that money as a dividend to its parent company, Wal-Mart Stores East, the same company that made the rental payments in the first place. None of these dividend payments were subject to tax because the payments were from one corporation to its parent corporation.



This strategy, designed by Ernst & Young, allowed Wal-Mart to pay billions of dollars of rent annually without the money ever leaving the Wal-Mart family, while deducting the payments for tax purposes. Over the four-year period from 1998 to 2001, the payments totaled $7.2 billion.

Questions

1. Is this a clever tax strategy, or is this an example of gaming the system through a legal loophole?
2. Should Ernst & Young be ethically reprimanded for designing this tax strategy for Wal-Mart?

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Drucker, James. 2007. Wal-Mart cuts taxes by paying rent to itself. *The Wall Street Journal*, February 1. Available at https://www.wsj.com/articles/SB117027500505994065

Multinationals & Tax Planning

Ethics Case

Multinationals are headquartered in one country but have operations worldwide. Generally, each multinational pays income taxes in the jurisdiction in which it generates its profits. For example, a German company with operations in the United States and Switzerland would pay income taxes to the U.S. government on the profits that its American subsidiary earned in the United States, and its Swiss subsidiary would pay taxes to the Swiss government on the profits it earned in Switzerland.

However, tax rates are not uniform throughout the world, and some jurisdictions lower their tax rates to encourage businesses to operate or invest in that jurisdiction. For example, in the United States, Nevada and Wyoming charge no corporate income taxes. Similarly, the Cayman Islands does not impose corporate income taxes on any business that is incorporated in the Cayman Islands. Both the Isle of Man, located in the Irish Sea, and the Bailiwicks of Jersey and Guernsey, located in the English Channel, use zero-10 corporate tax rate systems, whereby financial institutions pay 10% tax on their profits while all other businesses pay no corporate taxes.

Many of the world's largest economies (e.g., Australia, Canada, and Germany) have a corporate tax rate of approximately 30%, while the rate in the United Kingdom is less, at approximately 25%, and the rate in the United States is more, at approximately 39%. (All of these are general tax rates because there are countless exemptions and incentives in each of these countries that affect the actual rate that any one business would pay.)

Because multinationals operate in countries with high and low tax rates, they can strategically arrange their business affairs so as to shift profits from a high-tax regime to a low-tax jurisdiction. They can accomplish this through transfer pricing, whereby one subsidiary of a multinational sells items to another subsidiary of the same multinational. The sale or transfer price is set so as to shift or move the profits on the sale to the low-tax jurisdiction, thereby reducing the company's overall tax burden. In an attempt to close this tax loophole, many countries, as well as the Organization for Economic Co-operation and Development, established transfer pricing guidelines that require that sales between controlled or related companies be at arm's-length prices. An arm's-length price is the price that would be charged in the marketplace between a willing seller and a willing buyer that are dealing without coercion.

However, transfer pricing is subject to an enormous amount of professional judgment, especially if the item being transferred does not sell in a competitive market. Also, not all countries use the arm's-length principle. This means that multinationals can strategically move their profits around the world so as to minimize the taxes that they pay. Consider the following examples:

- The British unit of Amazon.com Inc. had sales of $6.5 billion but paid only $3.7 million in taxes because it was transferring a substantial portion of its profits through a related company in Luxembourg, where the corporate tax rate is quite low.
- Apple Inc. has been accused of setting up two Irish subsidiaries in order to minimize its taxes; one subsidiary generated $30 billion in profits but paid no taxes, while the other had profits of $22 billion and paid only $10 million in taxes.
- GlaxoSmithKline PLC was assessed $51 million in back taxes as a result of transferring revenue from its Canadian subsidiary to a Swiss subsidiary.
- Google Inc. shifted $9.8 billion to a subsidiary in Bermuda, thereby managing to avoid paying $2 billion in taxes.
- By moving $21 billion of revenue to subsidiaries in Ireland, Puerto Rico, and Singapore, Microsoft Corp. reduced its taxes by approximately $4.5 billion.
- Starbucks Corp. voluntarily paid $15 million in extra taxes to the British government after the company was accused of abusive transfer pricing policies.

Nonuniform worldwide tax rates encourage multinationals to strategically move their profits to minimize their taxes. Aggressive transfer pricing is illegal, and companies have been penalized for engaging in such practices. However, many tax practitioners argue that as long as the price falls within the general guidelines of the arm's-length principle, then transfer pricing makes good business sense. It reduces tax expense and therefore means that there is more money available for distribution to the shareholders in the form of dividends. Others argue that transfer price manipulation is available only to multinationals. Nonmultinationals cannot shift profit overseas. They pay their fair share of taxes based on the profits that they earn within that jurisdiction, while the multinationals, operating in the same tax jurisdiction, avoid paying taxes on the profits that they earned because of an artificial transfer pricing system.

Questions

1. Do you consider transfer pricing to be an ethical means of reducing a business's tax liability? Why, and why not?
2. At what level would a transfer price cease to become reasonable and become unethical and probably illegal?
3. Does transfer pricing impose an ethically unfair tax burden on nonmultinationals that cannot engage in such a scheme because they do not have international operations?
4. Do governments have an ethical responsibility to harmonize tax rates around the world?

Source: J. Slater and B. Curry, "U.S. Grills Apple on Offshore Tax Practices," *The Globe and Mail*, May 22, 2013, B1, B8; Pricewaterhouse-Coopers CI LLP, *Update on* the *0/10 Corporate Tax Regimes*, 2012–2013.

KPMG's Questionable Tax Shelters

Ethics Case

The leak of the Panama Papers in 2016 revealed the existence of hundreds of thousands of offshore shell companies used by the world's wealthy to avoid paying taxes, raised the public's awareness of the advantaged treatment of the wealthy, and led to renewed concerns about unfair tax practices. But the Panama Papers revelations were not the start of such concerns.

Earlier, KPMG admitted that for an average fee of $10,000, it put twenty-seven wealthy Canadians into tax avoidance shelters on the Isle of Man that cost the Canadian government millions of dollars. Moreover, KPMG fought a court order requesting the names of these investors. As a result, on May 1, 2015, the Canada Revenue Agency (CRA) offered a tax amnesty to those tax dodgers if they paid the taxes that they avoided by investing in the Isle of Man tax shelters. There would be no fines or penalties imposed on those who used this amnesty program.

It was later revealed that, since 2010, CRA executives and officials had been wined and dined at various events sponsored by the tax policy committees of the Canadian accounting profession. In 2014 and 2015, the CRA officials who were offering the tax amnesty packages to the KPMG clients were entertained at the prestigious Rideau Club in Ottawa, along with personnel from KPMG.

KPMG was criticized on two different levels. Some were outraged at the optics of having KPMG entertain the government officials who are responsible for tax collection. Duff Conacher of Democracy Watch suggested that there was a conflict of interest in having CRA enforcement personnel attend a private reception sponsored and paid for by the accountants who CRA is responsible for regulating, auditing, and, if need be, penalizing. CRA assistant commissioner Ted Gallivan defended having his staff attend these functions on the basis that "We.… are trying to be responsive to the citizens that we serve, which includes large accounting firms. I don't think it's a problem." KPMG partner Gregory Wiebe doubted that CRA officials could be influenced so easily. "I've been in this business for over thirty years and I've met a lot of people from CRA, and I can't imagine that a beer and a piece of cheese would impact their integrity in one way whatsoever."

Others argue that having tax accountants intentionally look for inadvertent gaps and ambiguities in the *Income Tax Act* is inconsistent with the objective of the profession to promote the public interest, especially when tax accountants, better than most people, understand why the government writes laws to prohibit tax havens. The argument is that tax accountants are violating the spirit of the law when they purposefully look for loopholes in the laws prohibiting tax havens in order to have their wealthy clients invest in those tax havens, and that this does not promote the public interest. In response to this line of criticism, KPMG partner Wiebe's defense, before a Canadian parliamentary hearing on tax evasion and avoidance, was that the accounting firm did nothing wrong because these tax shelters, although socially unacceptable like smoking in restaurants, were not technically illegal.

Questions

1. Are offshore tax havens that are technically legal but socially unacceptable in the public interest?
2. Are tax accountants promoting the public interest when they design, promote, and sell tax shelters that reduce or eliminate paying taxes by the wealthiest members of society?

3. Is there a difference between tax planning strategies that use legally sanctioned shelters, such as retirement savings accounts, different from tax planning strategies that use questionable offshore tax havens?
4. Do you think that government tax enforcement officers should or should not socialize with tax policy committees of the accounting profession and/or directly with practitioners?

Source: H. Cashore, K. Ivany, K. Pedersen, and F. Zalac, "CRA Exec Treated to Soirees at Private Club amid KPMG Probe," *CBC News*, April 18, 2016, http://www.cbc.ca/news/canada/kpmg-canada-revenue-agency-receptions-conferences-1.3540285;

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International Consortium of Investigative Journalists, *Giant Leak of Offshore Financial Records Exposes Global Array of Crime and Corruption, Overview of the Panama Papers*, April 3, 2016, accessed May 29, 2016, at http://www.webcitation.org/6gVXG3LvI.

Italian Tax Mores—from the 1970's

Ethics Case

This case was prepared in 1977 by Arthur L. Kelly to expose the tax regime reality in Italy. Since that time, Italian tax practices have changed significantly, but the lessons to be learned from the case are relevant to many jurisdictions in the world today, particularly since the tax enforcement and anti-corruption regimes have become more rigorous, and multinational through the efforts of the OECD, modeled after the U.S. Foreign Corrupt Practices Act.

The Italian federal corporate tax system has an official, legal tax structure and tax rates just as the U.S. system does. However, all similarity between the two systems ends there.

The Italian tax authorities assume that no Italian corporation would ever submit a tax return that shows its true profits but rather would submit a return that understates actual profits by anywhere between 30% and 70%; their assumption is essentially correct. Therefore, about six months after the annual deadline for filing corporate tax returns, the tax authorities issue to each corporation an "invitation to discuss" its tax return. The purpose of this notice is to arrange a personal meeting between them and representatives of the corporation. At this meeting, the Italian revenue service states the amount of corporate income tax that it believes is due. Its position is developed from both prior years' taxes actually paid and the current year's return; the amount that the tax authorities claim is due is generally several times that shown on the corporation's return for the current year. In short, the corporation's tax return and the revenue service's stated position are the operating offers for the several rounds of bargaining that will follow.

The Italian corporation is typically represented in such negotiations by its *commercialista*, a function that exists in Italian society for the primary purpose of negotiating corporate (and individual) tax payments with the Italian tax authorities; thus, the management of an Italian corporation seldom, if ever, has to meet directly with the Italian revenue service and probably has a minimum awareness of the details of the negotiation other than the final settlement.

Both the final settlement and the negotiation are extremely important to the corporation, the tax authorities, and the *commercialista*. Since the tax authorities assume that a corporation *always* earned more money this year than last year and *never* has a loss, the amount of the final settlement, that is, corporate taxes that will actually be paid, becomes, for all practical purposes, the floor for the start of next year's negotiations. The final settlement also represents the amount of revenue the Italian government will collect in taxes to help finance the cost of running the country. However, since large amounts of money are involved and two individuals having vested personal interests are conducting the negotiations, the amount of *bustarella*—typically a substantial cash payment "requested" by the Italian revenue agent from the *commercialista*—usually determines whether the final settlement is closer to the corporation's original tax return or to the fiscal authority's original negotiating position.

Whatever *bustarella* is paid during the negotiation is usually included by the *commercialista* in his lump-sum fee "for services rendered" to his corporate client. If the final settlement is favorable to the corporation, and it is the *commercialista*'s job to make sure that it is, then the corporation is not likely to complain about the amount of its *commercialist*'s fee, nor will it ever know how much of that fee was represented by *bustarella* and how much remained for the *commercialista* as payment for his negotiating services. In any case, the tax authorities will recognize the full amount of the fee as a tax-deductible expense on the corporation's tax return for the following year.

About ten years ago, a leading American bank opened a banking subsidiary in a major Italian city. At the end of its first year of operation, the bank was advised by its local lawyers and tax accountants, both from branches of U.S. companies, to file its tax return "Italian style," that is, to understate its actual profits by a significant amount. The American general manager of the bank, who was on his first overseas assignment, refused to do so both because he considered it dishonest and because it was inconsistent with the practices of his parent company in the United States.

About six months after filing its "American-style" tax return, the bank received an "invitation to discuss" notice from the Italian tax authorities. The bank's general manager consulted with his lawyers and tax accountants who suggested they hire a *commercialista*. He rejected this advice and instead wrote a letter to the Italian revenue service not only stating that his firm's corporate return was correct as filed but also requesting that they inform him of any specific items about which they had questions. His letter was never answered.

About sixty days after receiving the initial "invitation to discuss" notice, the bank received a formal tax assessment notice calling for a tax of approximately three times that shown on the bank's corporate tax return; the tax authorities simply assumed that the bank's original return had been based on generally accepted Italian practices, and they reacted accordingly. The bank's general manager again consulted with his lawyers and tax accountants who again suggested he hire a *commercialista* who knew how to handle these matters. On learning that the *commercialista* would probably have to pay *bustarella* to his revenue service counterpart in order to reach a settlement, the general manager again chose to ignore his advisors. Instead, he responded by sending the Italian revenue service a check for the full amount of taxes due according to the bank's American-style tax return even though the due date for the payment was almost six months hence; he made no reference to the amount of corporate taxes shown on the formal tax assessment notice.

Ninety days after paying its taxes, the bank received a third notice from the fiscal authorities. This one contained the statement: "We have reviewed your corporate tax return for 19XX and have determined the interest paid on deposits is not an allowable expense for federal purposes." Since interest paid on deposits is any bank's largest single expense item, the new tax assessment was for an amount many times larger than that shown in the initial tax assessment notice and almost fifteen times larger than the taxes that the bank had actually paid.

The bank's general manager was understandably very upset. He immediately arranged an appointment to meet personally with the manager of the Italian revenue service's local office. Shortly after the start of their meeting, the conversation went something like this:

> General Manager: "You can't really be serious about disallowing interest paid on deposits as a tax-deductible expense."
>
> Italian Revenue Service: "Perhaps. However, we thought it would get your attention. Now that you're here, shall we begin our negotiations?"

Questions

1. Should the Italian bank's general manager hire a *commercialista* and pay *bustarella*?
2. Should the general manager phone the bank's American CEO in New York and ask for advice?
3. If you were the bank's American CEO, would you want to receive the phone call for advice?

This case, which is based on an actual occurrence, was prepared by Arthur L. Kelly. The author is the Managing Partner of KEL Enterprises L.P., a private investment partnership. He has been actively involved in international business for more than forty years and has served as a member of the Boards of Directors of corporations in the United States and Europe. These currently include BASF Aktiengesellschaft and Bayerische Motoren Werke (BMW) A.G. in Germany as well as Deere & Company, Northern Trust Corporation, and Snap-on Incorporated in the United States. Copyright 1977. All rights reserved.

Tax Return Complications

Ethics Case

As Bill Adams packed his briefcase on Friday, March 15, he could never remember being so glad for a weekend to arrive. As a senior tax manager with a major accounting firm, Hay & Hay, on the fast track for partnership, he was worried that the events of the week could prove to be detrimental to his career.

Six months ago, the senior partners had rewarded Bill by asking him to be the tax manager for Zentor Inc., a very important client of the firm in terms of both prestige and fees. Bill had worked hard since then ensuring that his client received impeccable service, and he had managed to build a good working relationship with Dan, the CEO of Zentor Inc. In fact, Dan was so impressed with Bill that he recommended him to his brother, Dr. Rim, a general medical practitioner. As a favor to Dan, Bill agreed that Hay & Hay would prepare Dr. Rim's tax return.

This week a junior tax person had prepared Dr. Rim's tax return. When it came across Bill's desk for review today, he was surprised to find that, although Dr. Rim's gross billings were $480,000, his net income for tax purposes from his medical practice was only $27,000. He discussed this with the tax junior, who said he had noted this also but was not concerned, as every tax return prepared by the firm is stamped with the disclaimer "We have prepared the return from information provided to us by the client. We have not audited or otherwise attempted to verify its accuracy."

On closer review, Bill discovered that the following items, among others, had been deducted by Dr. Rim in arriving at net income:

- $15,000 for meals and entertainment. Bill felt that this was excessive and probably had not been incurred to earn income, given the nature of Dr. Rim's practice.
- Dry-cleaning bills for shirts, suits, dresses, sweaters, and so on. Bill believed these to be family dry-cleaning bills that were being paid by the practice.
- Wages of $100 per week paid to Dr. Rim's twelve-year-old son.

Bill telephoned Dr. Rim and had his suspicions confirmed. When Bill asked Dr. Rim to review the expenses and remove all that were personal, Dr. Rim became very defensive. He told Bill that he had been deducting these items for years and his previous accountant had not objected. In fact, it was his previous accountant who had suggested he pay his son a salary as an income-splitting measure. The telephone conversation ended abruptly when Dr. Rim was paged for an emergency but not before he threatened to inform his brother that the accounting firm he thought so highly of was behind the times on the latest tax planning techniques.

Bill was annoyed with himself for having agreed to prepare Dr. Rim's tax return in the first place. He was afraid of pushing Dr. Rim too far and losing Zentor Inc. as a client as a result. He could not anticipate what Dan's reaction to the situation would be. Bill was glad to have the weekend to think this over.

Just as Bill was leaving the office, the tax senior on the Zentor Inc. account informed him that the deadline had been missed for objecting to a reassessment, requiring Zentor Inc. to pay an additional $1,200,000 in taxes. The deadline was Wednesday, March 13. The senior said he was able to contact a friend of his at the Tax Department, and the friend had agreed that if the Notice of Objection was dated March 13, properly signed, and appeared on his desk Monday, March 18, he would process it. Bill left his office with some major decisions to make over the weekend.

Questions

1. Identify the ethical issues Bill Adams should address.
2. What would you do about these issues if you were Bill?

Source: Prepared by Joan Kitunen, University of Toronto, 1994.

Marketing Aggressive Tax Shelters

Ethics Case

Before 2002, accounting firms would provide multiple services to the same firm. Hired by the shareholders, they would audit the financial statements that were prepared by management while also providing consulting services to those same managers. Some would provide tax advice to the managers of audit clients. However, the *Sarbanes-Oxley Act of 2002* (SOX) restricted the type and the intensity of consulting services that could be provided to the management of audit clients because it might compromise the objectivity of the auditor when auditing the financial statements prepared by management on behalf of the shareholders. Nevertheless, both before and after the passage of SOX, Ernst & Young (E&Y) and KPMG were offering very aggressive tax shelters to wealthy taxpayers as well as to the senior managers of audit clients.

E&Y

In the 1990s, E&Y had created four tax shelters that they were selling to wealthy individuals. One of them, called E.C.S., for Equity Compensation Strategy, resulted in little or no tax liability for the taxpayer. The complicated tax plan was a means of delaying, for up to thirty years, paying taxes on the profits from exercising employee stock options that would otherwise be payable in the year in which the stock options were exercised. E&Y charged a fee of 3% of the amount that the taxpayer invested in the tax shelter, plus $50,000 to a law firm for a legal opinion that said that it was "more likely than not" that the shelter would survive a tax audit.

E&Y had long been the auditor for Sprint Corporation. They also took on as clients William Esrey and Ronald LeMay, the top executives at Sprint. In 2000, E&Y received the following:

- $2.5 million for the audit of Sprint
- $2.6 million for other services related to the audit
- $63.8 million for information technology and other consulting services
- $5.8 million from Esrey and LeMay for tax advice

In 1999, Esrey announced a planned merger of Sprint with WorldCom that potentially would have made the combined organization the largest telecommunications company in the world. The deal was not consummated because it failed to obtain regulatory approval. Nevertheless, Esrey and LeMay were awarded stock options worth about $311 million.

E&Y sold an E.C.S. to each of Esrey and LeMay. In the three years from 1998 to 2000, the options profits for Esrey were $159 million and the tax that would have been payable had he not bought the tax shelter amounted to about $63 million. The options profits for LeMay were $152.2 million and the tax thereon about $60.3 million.

Subsequently, the Internal Revenue Service (IRS) rejected the tax shelter of each man. Sprint then asked the two executives to resign, which they did. Sprint also dismissed E&Y as the company's auditor.

On July 2, 2003, E&Y reached a $15 million settlement with the IRS regarding their aggressive marketing of tax shelters. Then, in 2007, four E&Y partners were charged with tax fraud. These four partners worked for an E&Y unit called VIPER, "value ideas produce extraordinary results," later renamed SISG, "strategic individual solutions group." Its purpose was to aggressively market tax shelters, known as Cobra, Pico, CDS, and CDS Add-Ons, to wealthy individuals, many of whom acquired their fortunes in technology-related businesses. These four products were sold to about 400 wealthy taxpayers from 1999 to 2001 and generated fees of approximately $121 million. The government claims that the tax shelters were bogus and taxpayers were reassessed for taxes owing as well as penalties and interest.

KPMG

On August 26, 2005, KPMG agreed to pay a fine of $456 million for selling tax shelters from 1996 through 2003 that fraudulently generated $11 billion in fictitious tax losses that cost the government at least $2.5 billion in lost taxes. The four tax shelters went by the acronyms FLIP, OPIS, BLIPS, and SOS. Under the Bond Linked Premium Issue Structure (BLIPS), for example, the taxpayer would borrow money from an offshore bank and invest in a joint venture that would buy foreign currencies from that same offshore bank. About two months later, the joint venture would then sell the foreign currency back to the bank, creating a tax loss. The taxpayer would then declare a loss for tax purposes on the BLIPS investment. The way that the BLIPS was structured, the taxpayer had to pay only $1.4 million in order to declare a $20 million loss for tax purposes. They were targeted at wealthy executives who would normally pay between $10 million and $20 million in taxes. Buying a BLIPS, however, effectively reduced the investor's taxable income to zero. They were sold to 186 wealthy individuals and generated at least $5 billion in tax losses. The FLIP and OPIS involved investment swaps through the Cayman Islands, and SOS was a currency swap similar to the BLIPS. The government contended that these were sham transactions since the loans and investments were risk-free. Their sole purpose was to artificially reduce taxes.

Some argued that the KPMG tax shelters were so egregious that the accounting firm should be put out of business. However, Arthur Andersen had collapsed in 2002, and if KPMG failed, then there would be only three large accounting firms remaining: Deloitte, PricewaterhouseCoopers, and E&Y. KPMG Chairman, Timothy Flynn, said "The firm regretted taking part in the deals and sent a message to employees calling the conduct 'inexcusable.'"[1] KPMG remains in business, but the firm was fined almost a half billion dollars.

Questions

1. What differentiates very aggressive tax shelters from reasonable tax shelters?
2. As a result of the E&Y and KPMG tax fiascos, large accounting firms have become wary of marketing very aggressive tax shelters. Now, most shelters are being sold by tax "boutiques" that operate on a much smaller scale and so are less likely to be investigated by the IRS. Is it right that accountants market aggressive tax shelter plans? Are tax shelter plans in the public interest?

Source: L. Browning, "Four Charged in Tax Shelter Case," *New York Times*, May 31, 2007; H. Gleckman, A. Borus, and M. McNamee, "Inside the KPMG Mess," *BusinessWeek*, September 12, 2005; Internal Revenue Service, *KPMG to Pay $456 Million for Criminal Violations*, IR-2005-83, August 29, 2005; D. Johnston and J. Glater, "Tax Shelter Is Worrying Sprint's Chief," *New York Times*, February 6, 2003.

[1] Carrie Johnson, "9 Charged over Tax Shelters in KPMG Case: Accounting Firm Agrees to Pay as More Indictments Expected," *Washington Post*, August 30, 2005, A01.

Providing Tax Advice

Ethics Case

Sophia and Maya were having a quiet after-work drink at the Purple Pheasant around the corner from their office. Both are professional accountants in their late twenties and were talking about their futures in public accounting.

"I want to concentrate on the not-for-profit sector," said Sophia putting her glass of Chardonnay down on the table. "I really enjoyed the two months I spent at Save-a-Tree Foundation. And there's a huge demand for providing consulting advice to environmental groups and agencies."

"There's no money in that," said Maya. "They can't afford to pay you the big bucks. Not me. I like tax. That's where the money is; providing advice to wealthy clients who can easily afford to pay." She sat back in the booth sipping her Manhattan. "Do you know what my current billing rate is? It's outrageous, is what it is! But I've got a 94% recovery so I'm looking at being made a partner next year."

"It's not about money, it's about helping people. We're supposed to be upholding the public interest, not the interests of some fat cat executives." Sophia was leaning forward to make her point.

"Hey. I don't make the rules. I just follow them. The *Income Tax Act* is a rule book. I would never advise a client to break the law. But there's lots that's not covered. When the law doesn't prohibit something or when it's ambiguous, that's when we can advise them and come up with a plan. We always tell them there's a risk that the deduction might be disallowed. We cover our ass, and leave the ultimate decision up to them."

"But they're following your advice because you're the expert. They'd never come up with these schemes on their own. You're the one who found the loophole."

"We don't look for loopholes. We plan and offer sound advice that fits with the client's business objectives. Loopholes are outside the law."

"Whatever! You're the one who came up with the plan and how to implement it. You're telling them that it'll save them some money. They're not going to say no to that. They're like children, doing whatever mommy says."

"Yeah." Maya shrugged and smiled. "Occasionally they do ask for a second or third opinion."

Sophia was leaning forward again. "For many of them, tax is emotional. They don't want to pay anything and so they'd do anything to save a buck. They'd gladly pay you $350,000 in consulting fees if you could save them a million in tax."

"Yeah." Maya shrugged again and sipped her drink.

"But is that right? A million dollars that could have gone to the government for the good of society is now being siphoned off and 35% of it is being given to you. That can't possibly be in the public interest."

"Hey, the partners will pay tax on that three hundred and fifty, and the client will reinvest the remaining $650,000 in the business. Anyway, many of my clients think that the government's wasteful. They don't want the government squandering their money."

"What the government does with the money is irrelevant." Sophia realized her voice was rising, so she settled back in the booth and had another sip of her wine. It was still early but the bar was beginning to fill up with the regular Friday night crowd.

"Tax is a redistribution system that is supposed to help everyone in society. And you're draining money out of that system, even if the partners are paying some tax on the money that should have gone to the government in the first place."

"Just a minute, Sophia." Maya was now leaning forward. "The poor are covered by tax relief and they're not my concern. As a tax specialist, my first responsibility is to my clients. I'm being hired to save them money. That's what I'm supposed to do!"

"No, your first responsibility is to maintain the public interest; your second responsibility is to your clients. Anyway, why don't you look for tax loopholes for the poor?"

"First, the public interest doesn't pay me. And, second, poor people can't afford my billing rate. And third, we don't look for loopholes! We come up with tax plans that have a more likely than not chance of surviving a tax audit."

"Yeah. Whatever!"

Maya finished the last of her Manhattan. "What do you think I should do when I find a tax 'loophole'? Not advise my clients? What happens if some other tax specialist finds the same thing and comes up with a similar plan? If I remain silent, then they might steal my clients away by providing the tax advice that I should have been providing to them."

"If you find a loophole," Sophia was excited and talking very quickly, "then why don't you inform the government, and have them change the law to close the loophole?"

"Not a chance! You may be a do-gooder, Sophia, but this is my livelihood. I'm talented and professional. I charge top dollar to provide sound advice. That's how I make my living. I'm honest and candid with my clients. I'm straightforward when I explain the risks to them. I've got nothing to be ashamed about or to apologize for. So, let's order another round of drinks and talk about investment strategies instead."

Questions

1. Is there a basic conflict of interest between upholding the public interest and providing tax advice that reduces the amount of money taxpayers pay to the government? Why or why not?
2. How can professional accountants maintain the support of the public while giving tax advice? Is providing tax advice that only benefits the wealthy, who can afford to pay for tax advice, in the public interest? Is this fair? Is providing highly specialized tax advice to naive clients being paternalistic?
3. If a tax specialist spends only one hour devising a tax plan that saves a client $1 million, is it ethically acceptable for the tax specialist to charge that client more than the one-hour billing rate?
4. Is it ethically correct for a corporation to pay $350,000 to tax consultants so that the corporation can save a million in taxes?

Risk Management of Taxes Payable—Is It Ethical?

Ethics Case

"At the firm, we've got a new way of looking at tax issues. It's called 'risk management,' and, in your case, John, it means that we can be more aggressive than in the past. In the past, when there was an issue open to interpretation, we advised you to adopt a practice that was relatively safe, so that you would not get into trouble with the tax department. The thinking was that it would be better not to attract attention because that would lead to more audits and more difficult negotiations of questionable issues. We noticed, however, that there are fewer tax auditors now than in the past, particularly in remote areas, so it makes sense to take more chances than in the past—if you are audited, you can always pay up, anyway. It just makes good business sense to take advantage of all the possibilities open to your competitors. More and more of our clients are moving into this area of risk management, and you should think about it too."

Question

1. Is this new practice of risk management ethical?

7

Managing Ethics Risks & Opportunities

Purpose of the Chapter

Earlier chapters provided an understanding of the changing ethical expectations for business and professional accountants; the new frameworks of stakeholder accountability and governance stimulated by ethics, governance, and business scandals; and how to provide adequate guidance for ethical behavior in the future. Looking ahead, there are several areas that are worthy of specific discussion because of their current and potential significance to the successful future of corporations, directors, executives, and professional accountants. These areas hold risks and opportunities that modern businesspeople and professionals must consider to secure and maintain the support of their stakeholders.

Reading this chapter will help you be able to:

- Identify, assess, and manage *ethics risks* and opportunities effectively, and
- Apply the concepts in this chapter to think critically about the realities confronting modern organizations.

The topics covered include the following:

- Enterprise risk management
- Ethics risk and opportunity identification and management
- Effective stakeholder relations
- Sustainability/corporate social responsibility reporting
- Workplace ethics
- Whistleblower programs and ethics inquiry services
- Fraud and white-collar crime
- Bribery and international operations
- Crisis management

Enterprise Risk Management (ERM)

The need for enterprises to identify, analyze, and manage risks proactively was underscored by the Enron bankruptcy in 2001, as well as those such as the WorldCom bankruptcy that quickly followed in 2002. Although leading-edge corporations had employed some form of risk management, most had not. However, the Sarbanes-Oxley Act of 2002 (SOX) effectively made risk management an integral part of good governance. It brought governance reform to U.S. Securities and Exchange Commission (SEC) registrant companies around the world and spawned similar developments in many other jurisdictions. Section 404 of SOX, for example, which is aimed at risk assessment and prevention, requires each company to examine the effectiveness of its internal control systems regarding financial reporting. Furthermore, the CEO, CFO, and auditors must report on and certify that effectiveness.

As noted in Chapter 5, the mandatory review of internal control involves comparison of the corporation's systems with an accepted internal control framework such as that developed for ERM by the Committee of Sponsoring Organizations (COSO) of the Treadway Commission. Further information on the COSO approach is available in auditing texts or on the COSO website. The original COSO ERM framework, developed in 2004, required the assessment of how an entity achieves its risk management objectives on four functional dimensions: strategy setting, operations, reporting, and compliance. Within each of these dimensions or categories, the ERM framework involved the assessment of risk possibilities in eight interrelated aspects of the way an enterprise is managed (i.e., creating an internal environment, objective setting, and monitoring activities). However, as time passed, the need for refocusing the original framework on the internal environment—the values, motivation, incentives, mindsets, and culture-guiding actions—became evident.

In 2017, COSO released a revised ERM framework that focused on how risks and opportunities might impact the achievement of strategic goals and on the creation, preservation, realization, or erosion of value. ERM is defined as:

> *"The culture, capabilities, and practices, integrated with strategy-setting and its execution, that organizations rely on to manage risk in creating, preserving, and realizing value."*[1]

where

> "…enterprise risk management emphasizes its focus on managing risk through:
>
> - Recognizing culture and capabilities.
> - Applying practices.
> - Integrating with strategy-setting and its execution.
> - Managing risk to strategy and business objectives.
> - Linking to creating, preserving, and realizing value."[2]

The new ERM framework goes further to include consideration of impacts on the organization's culture with specific reference to the organization's mission, vision, and core values when it says:

> "When enterprise risk management and strategy-setting are integrated, an organization is better positioned to understand:
>
> - How mission, vision, and core values form the initial expression of acceptable types and amount of risk for consideration when setting strategy.
> - The possibility of strategies and business objectives not aligning with the mission, vision, and core values.

[1] Ibid., p. 10, Section 27.

[2] Ibid., Section 28.

Figure 7.1 COSO Enterprise Risk Management (ERM)—Integrating with Strategy & Performance (2017)

COSO's ERM 20 Principles and 5 Components

Governance & Culture	Strategy & Objective-Setting	Performance	Review & Revision	Information, Communication & Reporting
• Exercises board risk oversight • Establishes operating structures • Defines desired culture • Demonstrates commitment to core values • Attracts, develops, & retains capable individuals	• Analyses business context • Defines risk appetite • Executes alternative strategies • Formulates business objectives	• Identifies risk • Assesses severity of risk • Implements risk responses • Develops portfolio view	• Assesses substantial change • Reviews risk & performance • Pursues improvement in ERM	• Leverages information and technology • Communicates risk information • Reports on risk, culture, & performance

Source: COSO ERM Presentation, September 2017: https://www.coso.org/Documents/COSO-ERM-Presentation-September-2017.pdf

- The types and amount of risk the organization potentially exposes itself to from the strategy that has been chosen.
- The types and amount of risk to executing its strategy and achieving business objectives."[3]

The new ERM framework focuses on 20 principles spread over five components as indicated in Figure 7.1. These principles and components are discussed in an executive summary[4] and a presentation[5] that are available online as indicated. Further details of the COSO ERM Framework are available on the COSO website at https://www.coso.org/Pages/default.aspx. Comments provided below regarding the identification and assessment of ethics risks and opportunities fit well with the new framework and expand usefully upon it.

Ethics Risks & Opportunities

Generally, the traditional ERM framework focuses *on financial impacts on shareholders and does not incorporate ethics risks that spring from financial or nonfinancial impacts on stakeholders.* For example, financial institutions have tended to focus on financial risks, such as the bankruptcy of borrowers, or the risk of loss on loans and derivative investments. Other corporations have focused on broad business risks, such as those covered in studies by the Institute of Internal Auditors[6] or in the jointly published study by the American Institute of

[3] Ibid, p. 12, Section 40.

[4] COSO, "Enterprise Risk Management—Integrating with Strategy and Performance," executive summary, 2017, https://www.coso.org/Documents/2017-COSO-ERM-Integrating-with-Strategy-and-Performance-Executive-Summary.pdf.

[5] COSO, "Enterprise Risk Management Framework: Integrating with Strategy and Performance," 2017, https://www.coso.org/Documents/COSO-ERM-Presentation-September-2017.pdf.

[6] Tillinghast-Towers Perrin and the Institute of Internal Auditors Research Foundation, *Enterprise Risk Management: Trends and Emerging Practices* (Altamonte Springs, FL: Institute of Internal Auditors, 2001).

Table 7.1 Identification of Business Risks

Risk Focus/Categories		AICPA/CICA*	Institute of Internal Auditors
Company Objectives		X	
Areas of Impact:	Reputation	X	
	Assets, Revenues, Costs	X	
	Performance	X	
	Stakeholders	X	
Sources of Risk:	Environmental	X	
	Strategic	X	X
	Operational	X	X
	Informational	X	
	Financial		X
Specific Hazards or Perils:	Lawsuits		X
	Fire	X	
	Theft	X	
	Earthquakes/Natural Disasters	X	X
Degree of Control over the Risk	Little, Some, Great	X	
Documentation		X	

*CICA became CPA Canada (CPAC) in January 2013.

Certified Public Accountants (AICPA) and CPA Canada.[7] Table 7.1 provides a summary of the business risks identified in the two studies.

Because *traditional ERM is not stakeholder focused it can fail to identify risks that are important to stakeholders and can lead to stakeholder disappointment and a loss of stakeholder support for a corporation and its objectives. The converse is also possible—exceeding stakeholder ethics and value expectations can present opportunities to garner stakeholder support.* But as currently practiced, traditional ERM:

- Does not specifically search for *ethics risks or values-related risks* including the following:
  - *Cultural support risks*—which exist when the organization's culture fails to provide sufficient support and guidance to ensure a culture of integrity.
  - *Mindset risks*—which exist when decision makers, employees, and agents are improperly motivated or use ethically unsound rationales for their decisions.
  - *Systemic ethics risks*—that exist over and above specific outcome-oriented risks.
- Is somewhat misdirected at identifying, assessing, and remedying specific risk outcomes associated with events rather than examining for ethics-related causality.
- Is often undertaken as a perfunctory compliance exercise.

Consequently, while the traditional ERM approach can uncover some ethics-related risks, it does not examine thoroughly for all the ethics risks and the underlying ethics-related causes of other risks. Both shortcomings may render prevention efforts ineffective and

[7] American Institute of Certified Public Accountants and the Canadian Institute of Chartered Accountants, *Managing Risk in the New Economy* (New York: American Institute of Certified Public Accountants and the Canadian Institute of Chartered Accountants, 2001).

unnecessarily consign companies to remedy costly problems. What is needed is a broader framework and mindset focus for risk assessment than most corporations have employed in traditional enterprise risk management (ERM) approaches. Without a stakeholder interests or support perspective, an executive may not recognize risks that could lead to loss of support, opportunities for the creation of advantages, or failure to attend to other stakeholder interests. To facilitate the stakeholder perspective, *a new definition of an ethics risk—a risk that stems from the failure to apply ethical values to the level expected by stakeholders*—and a new risk identification approach are developed below to facilitate an examination of ethics risks based on stakeholders' interests.

It is worth noting that some directors and executives have presumed that their external auditors, who were reviewing for risks, would bring all risks found to the attention of management and/or directors. This reliance, however, was and is misplaced because the normal external audit mandate requires concern <u>only</u> if risks found would have resulted in a material misstatement of the results of operations or the financial position of the company. Secondly, external auditors are only testing, they are not expected to find every problem or fraud, and thirdly, there has not been a requirement for external auditors to search for and report ethics risks or opportunities. In other words, they will not normally be expected to raise all ethical risks or opportunities with management, the audit committee, any other committee, or the board. Consequently, directors and executives, who are responsible for monitoring all ethics risks, must design in-house audit or review processes or specifically contract with designated outsiders to perform those reviews.

Ethics Risk Review or Audit—A Comprehensive Approach

Ethics risks in general (and systemic ethics risks) can best be identified by an *ethics risk review or audit of the values and practices underlying an organization's activities and of the activities on which it relies*. This review can be a demanding task.

After the values underpinning the company's activities are identified, a very reflective approach is required to project how these values are going to affect stakeholders in the short, medium, and longer terms. A series of questions need to be asked, including the following:

- Do/will the values employed affect any stakeholder negatively?
- Are the values employed justifiable and sustainable?
- Are there alternative values that would be optimal and sustainable?

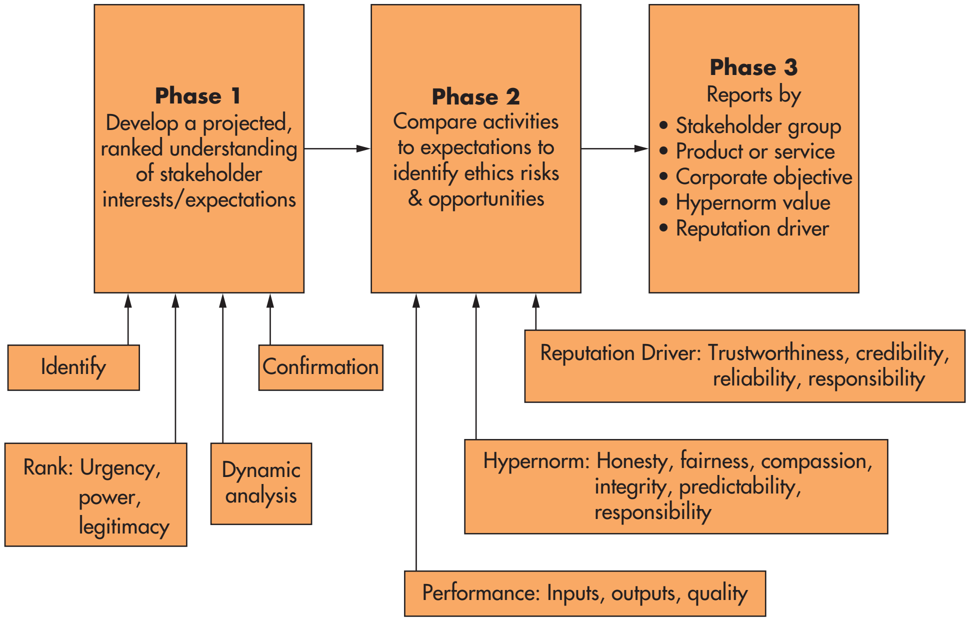
Needless to say, although it is a demanding task, the executives and investors caught on the downside of the 2008 subprime lending crisis and other ethical crises would be glad to enjoy the benefits of such a values audit if given a second chance to avoid the losses they suffered.

A comprehensive ethics risk and opportunity identification and assessment can be undertaken in several ways, but the three-phase approach presented in Figure 7.2 and discussed below offers a comprehensive approach.

Phase 1 of a sound ethics risk identification and assessment process should begin with the identification of the corporation's major stakeholders and their interests using the techniques discussed in Chapter 4. Investigators should then rank stakeholder interests in importance using the urgency, legitimacy, and power framework[8] and dynamic influence

[8] R. K. Mitchell, B. R. Agle, and D. J. Wood, "Toward a Theory of Stakeholder Identification and Salience: Defining the Principle of Who and What Really Counts," *Academy of Management Review* 22, no. 4 (1997): 853–86.

Figure 7.2 **Ethics Risk & Opportunity Identification & Assessment (ERISA)**



analysis[9] also developed in Chapter 4. After completion of these steps, investigators should have a projected understanding of which stakeholder interest issues are sensitive and important and why.

Next, the investigator should confirm these projections by interacting with a representative stakeholder panel and with important stakeholder groups. This will show concern for their interests and open a dialog that should build trust that could be helpful if unfortunate problems arise later. At the end of this process of stakeholder consultation, a confirmed grid of important stakeholder expectations for performance should emerge.

In phase 2, against this mosaic of important stakeholder expectations, investigators should consider their corporation's activities and assess the risks of not meeting or the opportunities of exceeding expectations. When considering whether expectations have been met, comparisons should be made of relevant input, output, quality, and other performance variables.

In addition, a comparison should be made of company activities and stakeholder expectations using the *six hypernorm values* identified in Chapter 1 that are universally respected in most cultures: *honesty*, *fairness*, *compassion*, *integrity*, *predictability*, and *responsibility*.[10] If corporate activities respect these values, there is a good chance that those activities will also respect the expectations of the corporation's important stakeholders, domestic and foreign, now and in the near future.

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[9] T. Rowley, "Moving beyond Dyadic Ties: A Network Theory of Stakeholder Influences," *Academy of Management Review* 22, no. 4 (1997): 887–910.

[10] Ronald E. Berenbeim, director of the Working Group on Global Business Ethics Principles, discovered in research for the Working Group's Report, *Global Corporate Ethics Practices: A Developing Consensus* (New York: The Conference Board, May 1999).

Finally, the comparison of corporate activities and expectations should be reassessed from the perspective of potential impacts on the corporation's reputation. Charles Fombrun's model,[11] also developed in Chapter 1, where *reputation depends on four factors—trustworthiness, credibility, reliability, and responsibility*—can be a helpful framework to organize the comparison needed.

Phase 3 involves preparation of the reports generated by the process. Specific corporate needs should dictate the nature of the reports presented, but consideration should be given to at least the following reports of ethics risks and opportunities:

- By stakeholder group
- By product or service
- By corporate objective
- By hypernorm value
- By reputation driver

This set will provide data that will allow directors and executives to monitor ethics risks and opportunities, to plan to avoid and mitigate risks, and to strategically take advantage of opportunities.

A significant company official, such as the corporate ethics officer or corporate social responsibility officer, should be charged with the ongoing responsibility for monitoring the assumptions and inputs to the ethics risk and opportunity identification and assessment model and for reporting to the relevant subcommittee of the board on a periodic basis. Letting down the corporate guard on this continuing oversight could have very serious consequences, as corporations such as General Motors, Ford, and Chrysler have discovered relative to Toyota in the area of environmentally sustainable products, such as hybrid gas/electric cars.

Searching for Specific Ethics Risks

As noted above, traditional ERM often ignores situations when the ethical expectations of stakeholders are not met—defined as *ethics risks*—resulting in a loss of reputation and stakeholder support, thus preventing full and/or efficient achievement of strategic objectives. In other words, traditional ERM often ignores important ethical or value shortfalls that could lead to ethics risks in general as well as those specifically related to organizational culture, inappropriate mindsets, or systemic risks. Ethics risks and three important specific risks are identified in Table 7.2 and can be addressed as noted below.

Organizational Culture Risks One of the most common types of ethics risks occurs when *an organization's culture fails to provide sufficient support and guidance to ensure a culture of integrity*. In Chapter 5, the argument was made that an organization would be well advised to develop a culture of integrity to provide guidance for employees and agents to apply ethical policies. However, sometimes organizational cultures do not prove to be effective, and ethical problems arise. For example, the risk that ethical malfeasance will take place will increase under the following conditions:

- There is an ethics code but no commitment to it.
- There is no one responsible for the culture.
- Organizational values encourage profit at any cost.
- Reward systems encourage maximization of short-term profit (or some other measure, such as revenue or new clients) by any means regardless of the consequences.

[11] C. J. Fombrun, *Reputation: Realizing Value from the Corporate Image* (Boston: Harvard Business School Press, 1996).

Table 7.2	Ethics Risks

Ethics Risks exist when the ethical expectations of stakeholders are not met:

– Resulting in loss of reputation and stakeholder support.

– Preventing full and/or efficient achievement of strategic objectives.

Important Ethics Risks:

- ***Organizational culture risks*** exist when an organization's culture fails to provide sufficient support and guidance to ensure a culture of integrity.
- ***Mindset risks*** exist when decision makers, employees, and agents are:
  – improperly motivated, or
  – use ethically unsound rationales for their decisions.
- ***Systemic risks*** often originate outside an organization and affect an entire system of activity.

These are cultural red flags that are indicators of cultural risks. They and others like them can be identified and then assessed if there is a review of the following important aspects of a culture of integrity:

- Values guidance: code, tone at the top, reinforcement
- Structural support: code, chief ethics officer, ethics programs (training, monitoring, rewarding, or punishing)
- Procedural observance:
  - Ethical decision making on daily matters, major decisions, and crises
  - Ethics inquiry service
  - Strong internal controls to protect against wrongdoers
- Failsafe mechanisms:
  - Whistleblower encouragement and protection programs reporting to the Board of Directors
  - Periodic ethics audit
  - Periodic review of the organization's core values and their application

Mindset Risks A second critically important area where failure to use ethical values can lead to serious ethical risks but that traditional ERM does not search thoroughly is *the set of risks caused when the mindsets of decision makers, employees, and/or agents are improperly motivated or their decisions and actions are anchored in unethical rationales.*

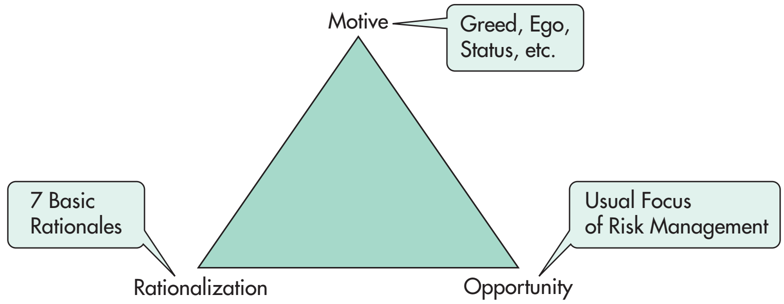
Most investigative and forensic accountants subscribe to the following logic regarding fraudsters:

- They must have the opportunity to act improperly.
- They must be motivated by an unbalanced self-interest based on greed, ego, or status, and/or the need to pay for drugs or offset losses.
- They must use a faulty or unethical rationale to rationalize their decisions.

These dimensions have been organized into the *Fraud Triangle*, which is pictured in Figure 7.3.

It has been known for a long time that decisions made on behalf of an organization can be affected by the self-interest or bias (greed, ego needs, status, discrimination, and so on) of the decision makers. These influences represent conflicts of interest that may

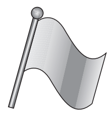
Figure 7.3 **Fraud Triangle**



Source: D.L. Crumbley et al., 2005, pp. 3–131.

Table 7.3 **Seven Common Rationalizations of Immoral Decisions**

- Denial of responsibility
- Denial of injury
- Denial of the victim
- Condemnation of the condemners
- Appeal to higher loyalties
- Everyone else is doing it
- Entitlement



Red Flags

Source: Joseph Heath, "Business Ethics and Moral Motivation: A Criminological Perspective," *Journal of Business Ethics* 83 (2008): 595–614.

produce decisions that are not in keeping with their organization's long-term objectives and may bias or undermine an organization's ethical treatment of its stakeholders.

In addition, a list of seven common unethical rationales (refer to Table 7.3) published by Joseph Heath provides a useful set of highly risky rationales to search for among decision makers, employees, and/or agents.

Some of these rationalizations are encountered frequently. How often have we learned that individuals realized something was going wrong but felt that it was not their responsibility to speak up or intervene? How often have we heard the remark that, although an action was questionable, the action was against a company that had a lot of money, and so the company really was not injured significantly? How often have we heard that an action was ethically reasonable because there was no victim; instead it was against the government or some other institution? Similarly, many people who act improperly often believe their actions to be justified because those who were criticizing the action as unethical or illegal had committed questionable acts themselves and therefore lacked the moral right to object. Other wrongdoers justify their actions because they think that they are doing good for others and that the good outweighs the harm caused—such as justifying misleading investors in order to save a company from bankruptcy so that employees can continue to have jobs. Frequently, we hear comments that cheating on your income tax or expense account is justified because everyone is doing it, or that taking company resources is okay because you are entitled to them since they do not pay you what you are worth or that you built the company so that it is yours anyway.

Most of these rationales are kind to the interests of the decision maker and harmful to other stakeholders and therefore very possibly unethical.

Mindset risks can be found by a review for excessive instances of greed, ego satisfaction, status-seeking, and/or personal indulgences or for the use of any of the seven justifications for making an immoral decision.[12] Employees and managers can be trained in ethical decision making and made aware that they should be on the lookout for abnormalities that bear reporting. Reports can be gathered annually by questionnaire or interview from managers and heads of units to ensure that they remain aware and vigilant on mindset issues. In addition, analysis of past problems, whistleblower reports, and brainstorming sessions can provide insights into problem procedures and trigger alteration of policies and training or the remediation of problem individuals. Perhaps in time, psychological tests will be available to identify employees' propensities for improper motivators or rationalizations.

Not to be overlooked is the need for boards of directors to continually assess the motivation and mindsets of board members, particularly the organization's senior management. Flawed leadership can quickly take organizations in the wrong direction.

Systemic Ethics Risks *A systemic ethics risk is one that often originates outside an organization and affects an entire system of activity*, including more than one organization. For example, in the case of the 2008 subprime lending crisis, the undermining of the values underpinning the U.S. housing market led to the undermining of the financial markets around the world and the best work of all those involved in them. There was a systemic risk that undermined the housing finance system, and it went on to present a systemic risk to financial markets and their participants.

Normally, a traditional risk management system focuses on events or outcomes that can impede an organization's progress toward its strategic goals. While this type of assessment often does look at significant external influences to determine if there are currency exchange risks, political risks, or new regulation risks, *it does not look for or assess the risk potential of the values or ethical principles underlying transactions or the raison d'être of an organization or a service being offered*. For example, the risk management practices in place before the subprime lending fiasco did not, in most instances, contemplate the unethical ramifications of offering unsustainable mortgages to uninformed people, buying unwarranted investment ratings on securitized mortgages to mislead investors, selling essentially uncollectible securitized mortgages to unsuspecting investors, undermining the market price of previously sold securities against the interest of the client, and so on. Instead, the risk management practices in place were either ignored, overlooked, short-circuited, or used to assess for normal business risks. The risk management practices used were not designed to search for unethical values within each organization or for those associated with a major dimension of the worldwide financial markets. In this case, when the unethical asset valuations and practices used proved to be unsustainable, the systemic ethics risk to the world's financial markets became evident, and a crash ensued. Only a few companies avoided the crash. Some did so because they understood that there were ethical weaknesses or risks to be avoided, as did TD Bank and Wells Fargo, or they understood the precarious nature of the market caused by ethics risks.[13]

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[12] See further discussion in the discussion of fraud and white-collar crime later in this chapter.

[13] Further comment on the subprime lending crisis is available in the 9e Chapter 8, which is now located in the Cengage Digital Archive—see page xi.

Ethics Risks & Opportunities: Management & Mitigation

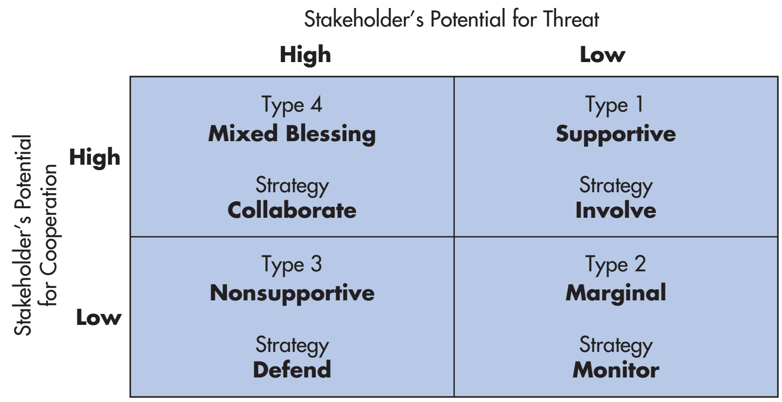
Once the organization's ethics risks and opportunities have been identified and assessed, strategies will need to be developed, and tactics employed to best manage them to mitigate problems and align activities with stakeholder interests. Discussions follow covering tools and techniques to employ and how to approach significant problem areas facing directors, executives, and professional accountants.

Effective Stakeholder Relations

Strategies and tactics can be developed for dealing with each stakeholder or group, based on an assessment of stakeholder interests and possible changes in them. One approach originated by Savage and colleagues[14] and colleagues focuses on the potential for stakeholders to pose threats to the organization or to cooperate with it. Stakeholders can be susceptible to invitations to collaborate or become co-supporters, or, if they are not amenable to the company's position, consideration may be given to their need for monitoring or when a defense is needed against them. Figure 7.4 presents a useful model for considering such decisions.

The model suggests that the most desirable stakeholder group (called type 1) is likely to pose a low threat to an organization's objectives and a high degree of cooperation with them. If possible, it makes sense to *involve* this group more closely with the organization because they are likely to be *supportive*. A stakeholder group that is ranked high on cooperation and high as a potential threat holds some promise (i.e., is a *mixed blessing*), and it is probably wise to try to *collaborate* with them to keep them as supporters. Where a stakeholder group is ranked as a high threat and a low cooperator, they are considered *nonsupportive* and should be *defended* against. A group low in potential to threaten and low in potential to cooperate is *marginal* to the development of support for company objectives, but it may be wise to *monitor* their expectations in the event that conditions change.

Figure 7.4 **Diagnostic Typology of Organizational Stakeholders**



Source: G. Savage et al., "Strategies for assessing and managing organizational shareholders," *The Executive, Vol. 5*, no. 2, May 1991, 65.

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[14] Grant T. Savage, Timothy W. Nix, Carlton J. Whitehead, and John D. Blair, "Strategies for Assessing and Managing Organizational Stakeholders," *The Executive*, Vol. 5, No. 2 (May 1991), 61–75.

It should be noted that this is a somewhat static analysis. Consequently, any strategy for improving the support of stakeholders should be confirmed through periodic reanalysis that considers possible alliances of stakeholder groups through the use of the urgency, power, legitimacy framework developed in Chapter 4, and particularly the position of and trends in media coverage. Surprise embarrassment can erode support very quickly. Where possible, advance communication with supporters is attractive in maintaining their support. Of course, the creation of rapport and trust will assist in providing an opportunity to explain problems or tactics if necessary.

It is also worth considering how stakeholders in one cell of the model can be moved to a more supportive position. Even if one group is being defended against, continuing to consider how to convert the group to supporters is very worthwhile. The interests of all stakeholder groups should regularly be reconsidered as input to the development of strategies for improved support.

This regular or continuous reconsideration of stakeholder interests and potential gaps in ethical corporate behavior could be part of the organization's *environmental scanning or issues management programs* and could provide input into its *business–government relations program*. Although issues management programs have been in place for decades, their focus has not traditionally been organized on a comprehensive stakeholder interests gap analysis framework.

The same is true for business–government relations programs where the focus has been on specific issues and only recently has turned to the creation and maintenance of overall support from which the management of specific issues is facilitated. Additionally, there has been a change in the framing of successful proposals to the government—to stress the proposed impact on the public interest (i.e., all stakeholders) rather than on a select group—perhaps because of a greater awareness of lobbyist scandals or a more mature awareness of the need for government to protect the public interest. Without doubt, *stakeholder gap analysis* can be of great utility in both framing proposals and creating and maintaining overall stakeholder support.

Stakeholder Accountability

Sustainability, Corporate Social Responsibility & Corporate Citizenship

Corporations have been thought to be legally accountable only to shareholders or owners, but, as pointed out in earlier chapters, they are also strategically accountable to a broader range of stakeholders if they wish to garner the support necessary for the achievement of strategic objectives. *Moreover, a paradigm shift has become evident—from accountability to shareholders to accountability to stakeholders*.

As a result, organizations are increasingly interested in what stakeholders expect of them and how they are performing and perceived as performing against those expectations in order to enhance stakeholder support. There are also investors, directors, executives, and employees who, from an altruistic perspective, are interested in their organization's performance on nonfinancial matters. Both groups—those from an instrumental perspective and those from an altruistic perspective—are interested in the organization's *corporate social responsibility* (CSR) and/or *sustainability*[15] plans and performance or, as some prefer to describe it, as a *corporate citizen*.

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[15] With the advent of the GRI, many organizations are adopting the GRI sustainability approach and CSR definition.

While many companies continue to provide CSR reports, increasing numbers are disclosing sustainability reports as advocated by organizations such as the Global Reporting Initiative (GRI), the UN Global Compact (UNGC), the Sustainability Accounting Board (SASB), and the Corporate Register.

Since 2016, the Global Reporting Initiative (GRI) and the United Nations Global Compact (UNGC) have significantly influenced corporate sustainability practices. In 2016, GRI transitioned from providing guidelines to establishing the first global standards for sustainability reporting—the GRI Standards. These standards have undergone continuous updates, including new Topic Standards on Tax (2019) and Waste (2020), a major revision of the Universal Standards (2021), and the introduction of Sector Standards for industries such as Oil & Gas, Agriculture, Aquaculture & Fishing, and Coal. As of 2022, 78% of the world's largest 250 companies by revenue (G250) and 68% of the top 100 businesses in 58 countries (N100) adopted the GRI Standards for reporting. From 2016 to 2025 these organizations have achieved the following:

- GRI—77% of the world's largest 250 (G250) companies and 71% of the GRI national groups (N100) use GRI[16]
- UNGC—over 47,000 Communications on Progress (COP) spanning 11 sectors and 160 countries. 4,300 new participants signed up in 2024 alone, reflecting a surge in commitments to CSR practices
- Corporate Register—233,765 Corporate Responsibility Reports for 31,682 organizations[17]

Regardless of which label—CSR, sustainability, or corporate citizenship—is chosen, all refer to the degree to which an organization takes the interests of stakeholders into account and takes actions that respect those interests. High praise is no longer just for high profit; it depends on how the profit is earned and how stakeholder interests are respected in the process. The key questions are, how does our organization want to be known and how do we plan for it and make it happen?

Consequently, there is a growing interest in assessing stakeholder interests, planning for their integration into corporate governance, decision and action processes, and the measurement, reporting, and audit of corporate impacts on stakeholders. To effectively manage ethics risks and opportunities, organizations need to decide which elements are important and how they are to be incorporated, measured, and reported internally and externally. The precise nature and degree of action and CSR/sustainability disclosure will determine the image of corporate citizenship that the corporation will take on.

Organizational Objectives & Sustainability/CSR Frameworks To develop a comprehensive plan or framework for CSR, an organization should consider its strategic goals—both as an operation and how it wishes to appear as a corporate citizen, the cultures its operations will encounter, and the interests of its stakeholders—in both domestic and foreign theaters. These considerations, with an understanding of available measures of CSR, will allow the architect of the corporation's systems to match its aspirations with measures that will allow monitoring and reinforcement. Perhaps of equal or greater importance, they will also enable the organization's strategic planners to formulate objectives that are ethical and respectful of the interests of the stakeholders and cultures to be dealt with.

Several organizations provide overviews or reviews of the status of sustainability and CSR reporting. For example, KPMG's *The Move to Mandatory Reporting:*

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[16] KPMG Survey of Sustainability Reporting 2024, p. 34.

[17] See https://www.corporateregister.com.

Survey of Corporate Social Responsibility Reporting 2024 provides worthwhile insights into (1) accounting for carbon, (2) quality of CSR reporting among the world's largest companies, and (3) global trends.[18] The survey reveals that sustainability reporting has become a standard practice among the world's largest corporations. Specifically, 96% of the Global 250 (G250) companies now publish sustainability reports, maintaining the high level observed in previous years. Additionally, 95% of these G250 companies have established carbon reduction targets, reflecting a significant increase from 80% in 2022. It states that the current rate of CSR reporting in financial statements by the world's largest 250 firms is over 80%, down from 90% in 2019.

Framework initiatives have been developed to assist with the involvement of stakeholders in corporate planning and decisions, organize corporate activities and report on them, and audit what the corporation is doing and reporting. Three of these frameworks, involving accountability for sustainability and CSR more broadly, are discussed below, including the following:

- GRI G5, which has been embedded in the GRI Standards
- United Nations Global Compact (UNGC)
- ISO 26000 Guidance on Social Responsibility.

The more narrowly-focused Sustainability Accounting Standards Board (SASB) is also discussed.

Global Reporting Initiative (GRI) G5—Stakeholder Focused The GRI is a cooperative venture of many stakeholders including professional accounting bodies that has developed Sustainability Reporting Guidelines that provide one of the leading frameworks for CSR/sustainability planning, performance assessment, and reporting. It provides learning and networking opportunities, report registration, and viewing databases, and has become a dominant hub for CSR reporting. Efforts are underway to ensure that reporting based on the GRI framework will be harmonized with other major reporting frameworks also under development.

The GRI's fifth version of its guidelines, known as GRI G5, can be accessed via the website of GRI at globalreporting.org. GRI G5 represents the latest evolution in sustainability reporting standards and builds upon a framework of transparency, comparability, and corporate accountability. Key updates in GRI G5 include a stronger emphasis on materiality, requiring organizations to prioritize disclosures based on their most significant economic, environmental, and social impacts. Additionally, GRI G5 introduces sector-specific standards, acknowledging the unique sustainability challenges of different industries. There is also a heightened focus on human rights due diligence, aligning with global frameworks such as the UN Guiding Principles on Business and Human Rights. Another notable change is the integration of climate-related financial disclosures in line with the recommendations of the Task Force on Climate-Related Financial Disclosures (TCFD), ensuring greater alignment with global sustainability expectations.

A GRI publication, *A Short Introduction to the GRI Standards*,[19] is available that affords an excellent brief overview of the G5 Standards that explains the three types of standards created (Universal, Sector, and Topic), and the reporting processes that are captured in Figures 7.5 and 7.6 below.

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[18] Downloadable from https://assets.kpmg.com/content/dam/kpmg/pdf/2016/02/kpmg-international-survey-of-corporate-responsibility-reporting-2015.pdf.

[19] Downloadable from the GRI website at https://www.globalreporting.org/how-to-use-the-gri-standards/.

Figure 7.5 GRI G5 Universal, Sector & Topic Standards

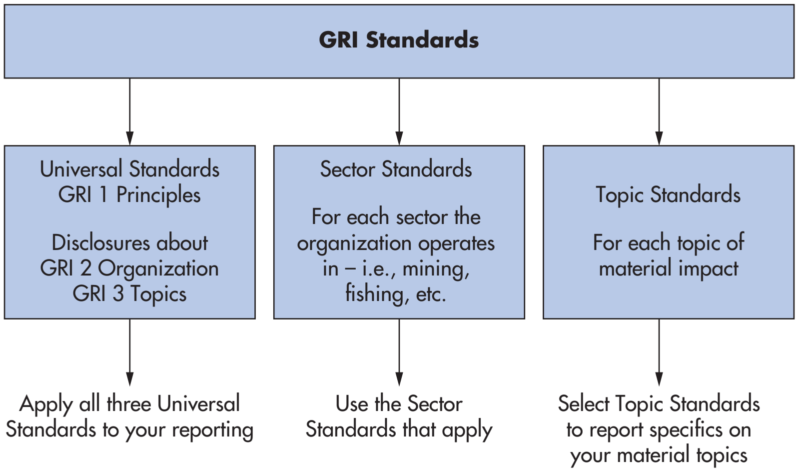
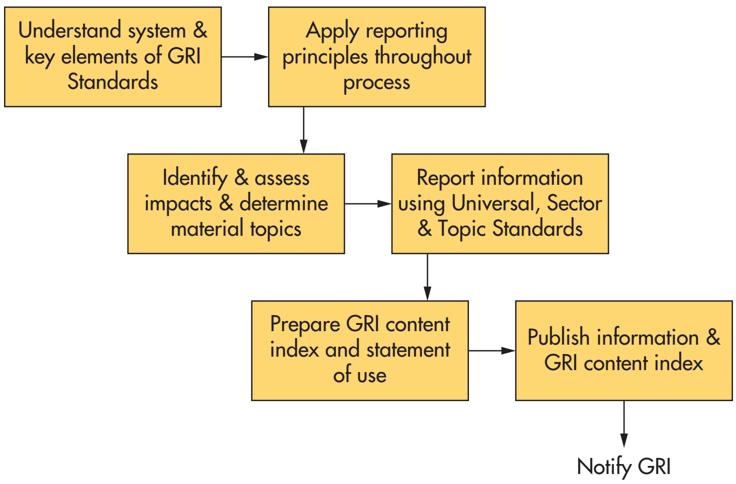


Figure 7.6 Reporting Using the GRI G5 Standards



Source: Figure 1, GRI Standards, A Short Introduction to the GRI Standards, Global Reporting Initiative.

The purpose of the GRI G5 Reporting Standards is to convey information about the impacts, both positive and negative, of an "organization on the economy, the environment and on people, and in turn …to sustainable development," where "(S)ustainable development refers to development which meets the needs of the present without compromising the ability of future generations to meet their own needs."[20]

Each organization's GRI report must be prepared in accordance with the set of GRI standards identified in Figure 7.5 so that readers will be able to understand how the data is created and valued, what is included, and what is excluded. Otherwise, the reports and

[20] Section 1.1, GRI Standards, Condensed Set of the GRI Standards, Global Reporting Initiative, 2021, downloaded from www.globalreporting.org in February 2025.

their interpretations could be subject to manipulation that would render them unusable or misused, which would possibly be worse.

GRI Universal Standards (GRI 1, GRI 2, GRI 3) The purpose of the three Universal GRI Standards is to provide the basic guidance needed to ensure that all reports prepared using the GRI framework are effectively useful, comparable, credible, and have integrity. The specific purposes of each are as follows:

- ***Foundation Concepts (GRI 1)*** provide the basic principles or values that govern the nature and quality of the report and the reporting process, including:
  - Purpose and system of GRI Standards as shown in Figure 7.5
  - Key concepts underlying reporting choice of information relevant to an organization's stakeholders:
    - Reporting focus is on impacts on economy, environment, and people, including their human rights
    - Material topics—report only on the most significant impacts
    - Due diligence—the process through which an organization identifies, prevents, mitigates, and accounts for how it addresses its actual and potential impacts
    - Stakeholders are individuals or groups that have interests that are affected or could be affected by an organization's activities.
  - Reporting should follow the GRI Standards process outlined in Figure 7.6
  - Reporting principles to be used for data to be disclosed:
    - Accuracy—sufficiently detailed to allow assessment of impacts
    - Balance—unbiased, fair presentation
    - Clarity—presentation that is accessible and understandable
    - Comparability—consistent reporting to enable analysis of impacts and changes, and comparison to other organizations
    - Completeness—sufficient information to allow assessment
    - Sustainability context—impact information on contributions to sustainable development
    - Timeliness—reporting on a regular schedule in time for appropriate decision making
    - Verifiability—gather, record, compile, and analyze information to check its quality
- ***Organizational Details (GRI 2)*** provide an overview of the organization, its sustainability reporting practices, and the entities included in its sustainability reporting, including:
  - The organization and its reporting practices
  - Activities, value chain and other business relationships, employee controlled, and non-employee, agent-controlled
  - Governance
    - structure and composition of the highest committees and subcommittees, names, independence, tenure, nomination and selection:
    - Role of highest body and delegation of responsibility for management of impacts and in sustainability reporting
    - Processes for preventing, mitigating, and reporting conflicts of interest
    - Remuneration policies, including how they are determined and linked to impacts, results of stakeholder votes thereon, annual total compensation ratios—highest paid person /median person for total and percent increase

- Strategy, policies, and practices
  - Sustainable development strategy
  - Policy commitments on responsible business conduct and human rights
  - How policy commitments are embedded through activities and business relationships
  - Processes to remediate negative impacts
  - Mechanisms for seeking advice and raising concerns
  - Compliance with laws and regulations
  - Membership in associations
- Stakeholder engagement
  - Approach—categories, purpose for engagement, overview of approach
  - Collective bargaining agreements—details

■ ***Material Topics (GRI 3)*** provides step-by-step guidance for organizations on how to determine material topics that represent an organization's most significant impacts on the economy, environment, and people, including impacts on their human rights.

- Guidance to determine material topics
  - Understand the organization's context—refer to Sector Standards
  - Identify actual and potential impacts—consider Sector Standards
  - Assess the significance of the impacts
  - Prioritize the most significant impacts for reporting—compare list to Sector Standards.
- Disclosures of material topics—describe process, stakeholders/experts involved
- List material topics and changes in reporting period
- Report actual and potential impacts, direct or indirect involvement, commitments, actions, and effectiveness, as well as information on stakeholder reactions

GRI Sector & Topic Standards In comparison to the Universal Standards that are to be applied to all GRI reports, the GRI Sector and Topic Standards relate to details of the specific industry or activity sector involved. There is, however, a general framework of topics for the data reported on economic, environmental, and social issues (labor practices, decent work, human rights, society, and product responsibility) that are captured in Table 7.4.

The GRI G5 Reporting Process The GRI G5 reporting process requires that all reports conform to the three Universal standards outlined above that are designed to control the quality, focus, development of data process, and content coverage to ensure the credibility, reliability, usability, and comparability of the finished reports. The reporting principles, for example, are similar to those guiding the quality and coverage of traditional financial reports. The organizational data given is intended to give a sufficient picture of the reporting entity to provide the background information needed to understand the data offered, what the possible risk areas are, and to judge how the subject organization compares to other operations in the sector. Guidelines on material items are given to ensure that the reader is exposed to the important impacts of the organization and, when combined with the guiding principles, that nothing important is left out or misrepresented.

After the Universal Standards are applied, as shown in Figure 7.5, the GRI report preparer must consult the GRI's ***Sector*** guidance on issues found important for the

Table 7.4 GRI G4 Categories & Aspects in the Guidelines

Category	Economic	Environmental
Aspects		
	Economic Performance	Materials
	Market Presence	Energy
	Indirect Economic Impacts	Water
	Procurement Practices	Biodiversity
		Emissions
		Effluents & Waste
		Products & Services
		Compliance
		Transport
		Overall
		Supplier Environmental Assessment
		Environmental Grievance Mechanisms

Category	Social			
Sub-Categories	Labor Practices & Decent Work	Human Rights	Society	Product Responsibility
Aspects	Employment	Investment	Local Communities	Customer Health & Safety
	Labor/Management Relations	Non-discrimination	Anti-corruption	Product & Service Labeling
	Occupational Health and Safety Training & Education	Freedom of Association & Collective Bargaining	Public Policy	Marketing Communications
	Diversity & Equal Opportunity	Child Labor	Anti-competitive	Customer Privacy
	Equal Remuneration for Women and Men	Forced or Compulsory Labor	Behavior	Compliance
	Supplier Assessment for Labor Practices	Security Practices	Compliance	
	Labor Practices Grievance Mechanisms	Indigenous Rights Assessment	Supplier Assessment for Impacts on Society	
		Supplier Human Rights Assessment	Grievance Mechanisms for Impacts on Society	
		Human Rights		
		Grievance Mechanisms		

Source: GRI G4 Table 5, p. 44, https://www.unglobalcompact.org/what-is-gc/mission/principles.

organization's ***sector*** to ensure that matters found important previously have been addressed in the organization's report. Similarly, the GRI publishes ***Topic*** guidance that must finally be used to ensure that a thorough analysis has been performed and has properly covered the key aspects of the material ***topics***. It is very difficult to appreciate the extent of information that could be included in a G5 report as suggested by the Sector and Topic guidance, and it is beyond the scope of this chapter to impart that level of detail. The best approach to recommend to a reader intent on developing a deeper understanding of the Sector and Topic guidance available is to review the reports available in the Condensed Set of the GRI Standards that can be found on the GRI website at https://www.globalreporting.org/.

After the GRI G5 report is completed, a ***GRI Content Index*** must be prepared that shows where the GRI-designated information can be found in the report. This facilitates the navigation of the report by interested users. A ***Statement of Use*** must also be prepared and sent to the GRI to inform about the organization's report. Both the GRI Report and the GRI Content Index are then to be published.

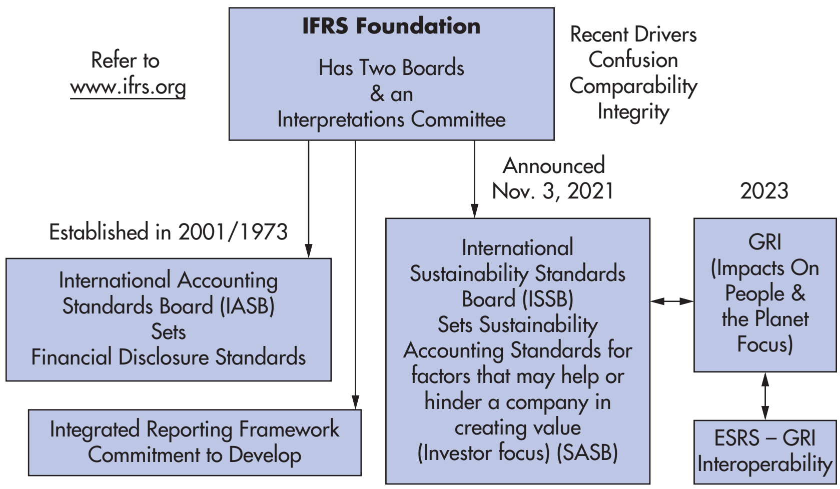
GRI Report Examples The best way to gain an appreciation of the nature and scope of GRI reports is to review the reports of specific organizations such as the following:

- Walmart at https://corporate.walmart.com/purpose/esgreport/reporting-data/gri
- Shell Global at https://reports.shell.com/sustainability-report/2023/
- Royal Bank of Canada at https://www.rbc.com/community-sustainability/_assets-custom/pdf/esg-progress-report-2023.pdf

Harmonization of Sustainability Reporting Standards

It is noteworthy that several groups have also developed frameworks for sustainability, CSR, or corporate citizenship reporting. Whereas the GRI framework dominates in North America, there is a similar development in Europe known as the European Sustainability Reporting Standard (ESRS).[21] Fortunately, these groups have decided to harmonize their sustainability disclosures in the future and to try to develop a common reporting core under the coordination of the International Financial Reporting Standards Foundation (IFRS).[22] As a result, the IFRS oversees the development of both Financial Accounting Standards and the Sustainability Accounting Standards as is portrayed in Figure 7.7 below. Member organizations developing disclosure frameworks have pledged to harmonize their frameworks over time for the benefit of information users.

Figure 7.7 Corporate Reporting Framework—2003



Source: European Sustainability Reporting Standard (ESRS), https://www.unepfi.org/impact/interoperability/european-sustainability-reporting-standards-esrs/

[21] European Sustainability Reporting Standard (ESRS), https://www.unepfi.org/impact/interoperability/european-sustainability-reporting-standards-esrs/.

[22] International Accounting Standards Board (IASB), https://www.ifrs.org/groups/international-accounting-standards-board/. Refer also to International Financial Reporting Standards Foundation (IFRS), https://www.ifrs.org.

The point of this harmonization is that going forward, although the frameworks chosen by organizations for sustainability disclosures may differ, the data from each will be prepared in a manner that facilitates comparison between organizations thereby increasing the usefulness of the disclosures while preserving the freedom of choice that allows the best alignment of the framework, the focus of the report, and the nature of the operations of the organizations involved. For example, as Figure 7.7 notes, a sustainability report may be investor-focused or focused on the impacts on people, the economy, and the environment. Also, there will be interoperability between the European and GRI reports.

Sustainability Accounting Standards Board (SASB) Standards—Investor Focused SASB was founded in 2011 to develop sustainability accounting standards for use by investors and in U.S. Securities and Exchange Commission (SEC) registrant filings for companies that raise capital in the United States. As noted above in Figure 7.7, on November 3, 2021, SASB became part of the IFRS Foundation oversight process. SASB standards depend upon a set of guiding principles involving global applicability, financial materiality, and industry specificity and are evidence-based and market-informed. SASB standards may be found at https://sasb.ifrs.org. According to the KPMG2024 Sustainability Survey, SASB standards were used by 56% of the world's largest 250 companies and over 70% of N100 companies in the U.S. and Canada.[23]

United Nations Global Compact (UNGC)—Stakeholder Focused The UNGC declares itself to be "the world's largest corporate sustainability initiative" and that it provides a "call to companies to align strategies and operations with universal principles on human rights, labour, environment and anti-corruption, and take actions that advance societal goals."[24] Its mission is to encourage "business to be a force for good . . . by committing to sustainability [and] taking a shared responsibility for achieving a better world." Specifically, the Compact believes that it's possible to create a sustainable and inclusive global economy that delivers lasting benefits to people, communities, and markets. To make this happen, the UN Global Compact supports companies to:

1. Do business responsibly by aligning their strategies and operations with Ten Principles on human rights, labor, environment, and anti-corruption; and
2. Take strategic actions to advance broader societal goals, such as the UN Sustainable Development Goals, with an emphasis on collaboration and innovation.[25]

The Compact's Ten Principles are identified in Table 7.5, and the UNGC's website offers several guides for understanding corporate sustainability, implementing a sustainability program, and developing a report, a COP, or Communication on Progress, designed to show the corporation's progress or achievement toward their goals related to the ten principles. These COPs are to be submitted to the UNGC, where they are classified as Advanced, Active, or Learner and made available to UNGC members via the UNGC website.

ISO 26000 Guidelines on Social Responsibility Stakeholder Focused A CSR framework can also be developed from *ISO 26000 Guidance on Social Responsibility*,[26] which was issued by the International Organization for Standardization (ISO) on November 1, 2010,

[23] KPMG Survey of Sustainability Reporting 2024, p. 33.
[24] https://www.unglobalcompact.org/what-is-gc.
[25] https://www.unglobalcompact.org/what-is-gc/mission.
[26] International Organization for Standardization, *ISO 26000 Guidance on Social Responsibility*, accessed December 31, 2010, at http://www.iso.org.

Table 7.5 UN Global Compact's Ten Principles

Human Rights

1. Businesses should support and respect the protection of internationally proclaimed human rights; and
2. Make sure that they are not complicit in human rights abuses.

Labour

3. Businesses should uphold the freedom of association and the effective recognition of the right to collective bargaining;
4. The elimination of all forms of forced and compulsory labour;
5. The effective abolition of child labour; and
6. The elimination of discrimination in respect of employment and occupation.

Environment

7. Businesses should support a precautionary approach to environmental challenges;
8. Undertake initiatives to promote greater environmental responsibility; and
9. Encourage the development and diffusion of environmentally friendly technologies.

Anti-Corruption

10. Businesses should work against corruption in all its forms, including extortion and bribery.

Source: https://www.unglobalcompact.org/what-is-gc/mission/principles.

with minor revisions since. Whereas the GRI G5 guideline focuses on a reporting model, ISO 26000 focuses on the nature of CSR and on how an organization can prepare itself to contribute to sustainable development, which the ISO posits as the overall objective of CSR. According to the Introduction of ISO 26000:

> This International Standard provides guidance on the underlying principles of social responsibility, recognizing social responsibility and engaging stakeholders, the core subjects and issues pertaining to social responsibility… and on ways to integrate socially responsible behaviour into the organization…. This International Standard emphasizes the importance of results and improvements in performance on social responsibility.

Table 7.6 presents an overview of the topics covered in ISO 26000. The standard itself can be downloaded from the ISO website.

Schematically, ISO 26000 is organized into Clauses 1–7 as shown in ISO Figure 7.8.

It is noteworthy that the examples included in ISO 26000's Annex A of voluntary initiatives and tools represent an outstanding overview of significant studies and/or pronouncements by most intergovernmental, multi-stakeholder, single-stakeholder, and even sectoral organizations. Plans are underway already to revise ISO 26000, so constant scrutiny of the ISO website would be well-advised.

When creating a CSR framework for a particular organization, it is essential that the framework respond to the actual stakeholder interests likely to be encountered. These could be developed using stakeholder surveys, analysis, and focus group techniques developed in Chapter 5 in connection with the design of codes of conduct, ethical decision making, and corporate culture.

Table 7.6 ISO 26000 Guidance on Social Responsibility—Overview

Clause/Topic

1. Scope
2. Terms, definitions
3. Understanding Social Responsibility
4. Principles of Social Responsibility
   - Accountability
   - Transparency
   - Ethical behaviour

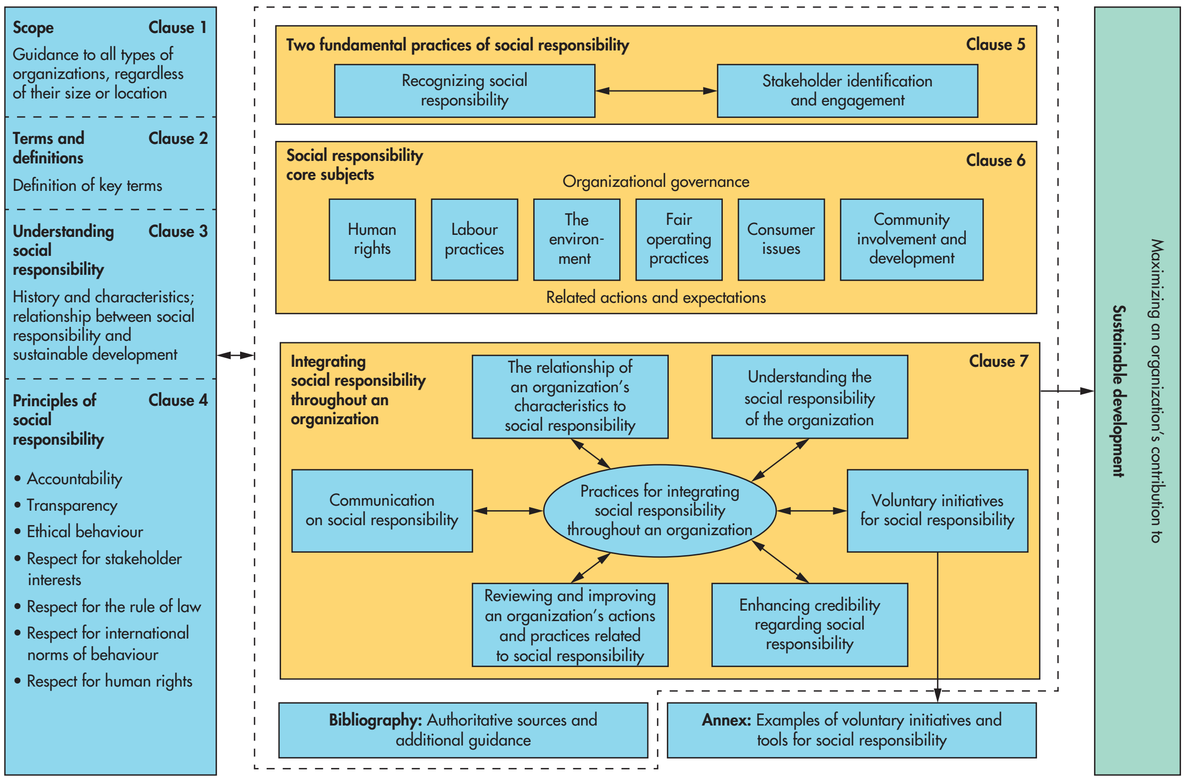
   Respect for:
   - Stakeholder interests
   - The rule of law
   - International norms of behavior
   - Human rights
5. Fundamental Practices of Social Responsibility
   - Recognizing social responsibility
   - Stakeholder identification & engagement

Clause/Topic

6. Social Responsibility Core Subjects
   - Organizational governance
   - Human rights
   - Labour practices
   - Environment—rationale, core issues
   - Fair operating practices
   - Consumer issues
   - Community involvement & development
7. Integrating Social Responsibility (SR) throughout an organization
   - Understanding organization's SR
   - Voluntary initiatives for SR
   - Enhancing credibility of SR
   - Reviewing & improving SR actions & practices
   - Communication on SR
   - Relationship of organization's characteristics to SR

Source: ISO 26000 *Guidance on Social Responsibility*, First Edition 2010-11-01, Figure 1, http://www.iso.org.

Figure 7.8 Schematic Overview of ISO 26000: Guidance on Social Responsibility



Source: Schematic Overview of ISO 26000, https://www.iso.org/iso-26000-social-responsibility.html.

Measurement of Sustainability/CSR Performance Specific measurements chosen for sustainability/CSR should highlight key factors that will contribute to the strategic objectives of the corporation. This will involve defining strategic objectives, and what they require in terms of the support needed from both domestic and foreign stakeholders. In addition, CSR measurements should be chosen to facilitate reports for customers, such as government purchasers, that may require CSR details such as the percentage of women and minorities on staff or details of loans to minorities, for bids or assurance of CSR processes. Finally, as noted above, several organizations are developing guidance on standardized CSR reports, or audit protocols, and their efforts should be reviewed before finalizing a corporation's CSR measurement and reporting protocol.

Measurements or indicators of CSR can take many forms. There are several organizations[27] that rate the CSR of many companies, and their list of criteria can be used as a guide in establishing a set of appropriate measures. For example, indicators of historical fact, based on voluntary surveys sent to senior corporate officers, have been used for many years including the following:

- Existence of statements of guidance, their currency, and reinforcement
- Employment record, including total staff as well as the number of women and minority group members on the Board of Directors or in management positions
- Amount of charitable donations in relation to other companies in the sector and allowing comparison to profits as a means of assessing relative generosity
- Existence and nature of community relations programs
- Labor relations and health and safety
- Environmental management indicators
- Environmental performance indicators
- Ethical sourcing and trading policies

There are other measures that may be useful in revealing attitudes of managers and employees toward ethical issues. These may be useful in capturing information about actions that are about to happen or about changes in attitude due to certain signals sent voluntarily or involuntarily by management or read into circumstances by employees. Examples of such *anticipatory measures* are the following:

- Employee attitude surveys such as those undertaken by Walker Information[28]
- Customer or other stakeholder surveys
- Evaluation by paid shoppers or solicited customer comments
- Media commentary assessment

Other measures concentrate on the operational merit of the organization's support mechanisms for ethical behavior. This could include quality assessments of the following:

- Codes of conduct
- Training programs
- Reinforcement mechanisms, including
  - newsletters and correspondence,
  - pay and reward systems, and
  - promotion

[27] See, for example, United States, KLD Research and Analytics, Inc., http://www.kld.com; in Canada, EthicScan Canada, http://www.ethicscan.ca, and Sustainalytics, http://www.sustainalytics.com; in the United Kingdom, Ethics Investment Research Service (EIRIS), ethics@eiris.win.uk.net.
[28] Walker Information's website is http://www.walkerinfo.com.

- Whistleblowing atmosphere/protection
  - protection for whistleblowers
  - follow-up on reported problems
  - speed of response
  - fairness of investigation and hearing and of penalty assigned

Measures are also available to indicate the following:

- The level of understanding that employees have of ethical issues[29]
- The principal motivator for an employee's ethical behavior[30]
- Whether an employee is disposed to raise ethical concerns due to his or her perception of his or her ability to affect the outcome of such debates (locus of control tests[31])
- The degree of inclusion of ethical concerns in "the development of plans, setting of goals, search of opportunities, allocation of resources, gathering and communication of information, measurement of performance, and promotion and advancement of personnel"[32]

A further source for the design of a measurement scheme can be found in the New York-based Social Accountability International SA8000 standard for working conditions that can be accessed at https://sa-intl.org/resources/sa8000-standard/.

Table 7.7 is provided to show how the measures discussed can be related to the attribute or process involved in maintaining an ethical corporate culture.

Monitoring Sustainability/CSR Performance After the CSR measurements have been identified, the data have been gathered, and the report has been fashioned, the next step is monitoring how the corporation is doing. As with most measurement schemes, comparison can be helpful with the following:

- Strategic objective key success factors
- Similar organizations
- Best-practice alternatives for benchmarking
- Published standards such as those described earlier
- Industry statistics and averages
- Management by objective targets
- Results obtained in earlier periods

Ethical performance could also be selectively monitored by reference to external studies, books, or publications on "best" or "award-winning" companies, or industry or sector reports available for the GRI, the UNGC, or Corporate Register websites. Books such as *The 50 Best Ethical Stocks for…*[33] or industry studies may also be useful, as may several annual studies

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[29] See, for example, the Defining Issues Test (DIT) as discussed in James R. Rest, *Development in Judging Moral Issues* (Minneapolis: University of Minnesota Press, 1979).

[30] According to the subject's stage of moral reasoning per the schema developed by L. Kohlberg in *Essays in Moral Development, Volumes I and II: The Psychology of Moral Development* (San Francisco: Harper & Row, 1981 and 1984).

[31] "Locus of control is a self-regulatory aspect of character that captures individuals' tendency to feel that control of their lives rests in their own hands (internal locus of control) or in the hands of others (external locus of control). Those who are 'internals' take responsibility for their actions, and are therefore more likely to act upon their ethical judgment. 'Externals' are less likely to take responsibility for their actions and, therefore, are more susceptible to the pressures of the situation, feeling somewhat powerless." From Joanne Jones, Dawn W. Massey, and Linda Thorne, "Auditors' Ethical Reasoning: Insights from Past Research and Implications for the Future," *Journal of Accounting Literature*, 2003.

[32] Lynn Sharp Paine, "Managing for Organizational Integrity," *Harvard Business Review*, March–April 1994, 112.

[33] Deb Abbey and Michael C. Jantzi, *2001 Edition* (Toronto: Macmillan Canada, 2000).

Table 7.7 Techniques for the Measurement of Ethical Processes & Performance

Written objectives

Existence—broad, specific by function

Content—comprehensive set of values, clarity of coverage, relevance

Date of most recent revision

Annual sign off—yes/no, minimal, involving reporting responsibility

Guidance given to directors, management, employees

Process—training sessions, workshops, & employees Consultation with ombudsperson, others

Comprehensiveness of coverage (e.g., new employees)

Frequency, currency—board review, dissemination

Understanding of issues

Rating developed by persons responsible for ethics program for each level of employee

Tests are available (e.g., defining issues, stage of moral reasoning)

Inclusion of ethical concerns

Evaluation by management in decision making

In "the development of plans, setting of goals, search of opportunities, allocation of resources, gathering and communication of information, measurement of performance, and promotion and advancement of personnel"*

Frequency of coverage as agenda item

Commitment by all levels to the organization's ethical values

Rating by ombudsperson

Reports of ethical problems—fraud, customer & employee complaints

Visible encouragement by top management

Achievement of ethical objectives

Combination of existence, stage of completion of plans, number of events, dollars spent, numbers experienced

Monitoring & continuous improvement

Identification of person(s) responsible

Adequacy of resources allocated

Periodic reports to senior management & board

Evident action based on feedback

Effectiveness of reporting

Existence—internal, external

Impact analysis on employees & external stakeholders

Effectiveness analysis by researchers

Favorable/unfavorable mentions in the media

* Lynn Sharp Paine, "Managing for Organizational Integrity," *Harvard Business Review*, March–April 1994.

such as the "100 Best Corporate Citizens" in *Corporate Responsibility Magazine*.[34] Annual Business Ethics Awards are also offered that identify companies judged as outstanding performers.[35] Even general business publications such as *The Economist* offer useful and sometimes skeptical information in surveys and editorials. Organizations also exist, such as Toronto's Social Investment Organization (SIO), that provide information derived from CSR matters. On a specific company level, it is possible to obtain a specific report on the CSR performance of a company from research organizations, such as Sustainalytics, that are providing these to the corporate and investment community. Hiring a consultant specializing in ethical performance measurement may also be beneficial, especially if the consultant has extensive experience with ethical processes in other organizations that can be of use, on a confidential basis, for benchmarking purposes.

Reports will be most useful when reviewed and analyzed on a continuing basis. The chief ethics officer and other individuals carrying out the review and analysis should be familiar with the ethical performance process and should be committed to its improvement. They should be formally charged with and known throughout the organization to have the responsibility for improving the process and should also have the responsibility to report to senior levels of management and/or a subset of the Board of Directors. These individuals may be part of or report to an ethics advisory committee with ongoing responsibility and authority to revise the company's ethics program and/or to a subcommittee of the Board of Directors.

[34] See CR's 100 Best 2011, http://www.thecro.com/content/corporate-responsibility-magazine's-"100-best-corporate-citizens-list" (accessed March 23, 2011).

[35] For example, an awards program providing similar sources of best practice is organized by *Corporate Knights Magazine*. The Best 50 Corporate Citizens in Canada Annual Survey can be found at http://www.corporateknights.ca/reports.

Chief ethics officers can remain up to date on measurement and review techniques through organizations such as the Ethics and Compliance Officer Association (http://www.theecoa.org) or the EthicsCentre (http://www.ethicscentre.ca). It should be noted that corporations that join the UNGC and then fail to report are identified on the UNGC website. In 2025, only 1.6% (391) were non-communicating,

Public Reporting The corporation that embarks on a CSR measurement program must consider how it will report on performance and whether the report will be internal only or available to the public. Internal reports can take on any form but should be focused on the program's performance objectives.

As noted above, several organizations have created and published guidelines for aspects of CSR and sustainability reports as well as their audit. They are continually testing and refining their creations and will be modifying them further. Consequently, it would be wise to maintain a watching brief on the following:

- The GRI, which is discussed above, involves the comprehensive G5 sustainability/CSR reporting framework covering economic, environmental, and social performance that has been developed by a global group, including noted stakeholder environmentalists, accountants, and others—refer to http://www.database.globalreporting.org.
- The UNGC encourages reporting of corporate progress in regard to the Ten Principles noted above, and its database, at https://www.unglobalcompact.org/participation/report/cop, holds COP data from over 20,000 companies from over 150 countries.
- The Corporate Register also provides a database, at http://www.corporateregister.com, of CR reports that held 233,765 reports on February 15, 2025.
- AccountAbility, a U.K.-based, global advisory and standards firm that has developed the AA1000 series of standards, including the AA1000 Accountability Principles, the AA1000 Stakeholder Engagement Standard, and the AA1000 Assurance Standard, plus several others. The AA1000[36] sustainability reporting principles that provide guidance on how to "establish systematic accountability processes and how to assure how the underlying systems, processes and competencies live up to the AA1000 Assurance Standard" (refer to Table 7.8)—refer to https://www.accountability.org/standards. AccountAbility also provides several Standards[37] for the training and certification of assurance providers and offers training and certification programs as well.
- Social Accountability International (SAI) has developed SA8000, a "comprehensive and flexible system for managing ethical workplace conditions throughout global supply chains," and SAI, a system for auditing SA8000 performance as well as an auditor certification system—refer to http://www.sa-intl.org.

The G5, UN Compact, and AA1000 are particularly promising frameworks.

Public reports are becoming more common. Reporting ethical performance can do the following:

- Heighten awareness of ethical issues within an organization
- Provide encouragement for employees to adhere to ethical objectives
- Inform external stakeholders
- Enhance the image of the company

Internal reporting of ethical performance can take several forms. Newsletters can provide full or partial reports. They can also recognize exemplary behavior by employees.

[36] The AA1000 Assurance Standard is currently under revision in preparation for a relaunch in 2019.
[37] See https://www.accountability.org/standards.

Table 7.8 AA1000 Accountability Assurance Standard Summary

Purpose, Sustainability Reporting and Assurance:

- The AA1000 Assurance Standard (AA1000AS v3) is a widely recognized standard for assessing, attesting to, and enhancing the credibility and quality of a reporting organization's sustainability reporting, including its underlying processes, systems, and competencies. It provides comprehensive guidance on key elements of the assurance process and is designed to align with global best practices in sustainability assurance.
- The AA1000AS v3 is primarily intended for use by assurance providers to ensure their assurance engagements are designed and conducted in a structured, transparent, and accountable manner.
- Assurance should provide confidence in the reliability of the report's underlying information to the reporting organization's stakeholders, particularly direct users of the report. The latest version introduces the principle of Impact, ensuring organizations assess and disclose their sustainability-related effects on stakeholders and broader ecosystems.

Assurance of sustainability reporting prepared in accordance with generally accepted standards:

- The AA1000AS v3 supports assurance (whether public or private) of sustainability reporting that adheres to specific standards and frameworks. It is designed to be consistent with, and enhance, the Global Reporting Initiative (GRI) Standards, as well as other globally recognized sustainability reporting frameworks, including the Task Force on Climate-Related Financial Disclosures (TCFD) recommendations.

Commitment by reporting organizations:

- Reporting organizations commit to (1) identify and understand their environmental, social, and governance (ESG) impacts, (2) respond to their stakeholders' expectations and sustainability concerns, and (3) provide an account to stakeholders regarding the organization's decisions, actions, and impacts.

Assurance principles:

- Inclusivity: The assurance provider must evaluate whether the reporting organization has engaged stakeholders in an inclusive and participatory manner, ensuring diverse voices and concerns are considered.
- Materiality: The assurance provider must evaluate whether the report includes all relevant and significant information about the reporting organization's sustainability performance, enabling stakeholders to make informed judgments and decisions.
- Responsiveness: The assurance provider must assess whether the reporting organization has effectively responded to stakeholders' concerns, policies, and relevant sustainability standards, ensuring transparent communication.
- Impact: The assurance provider must determine whether the organization is measuring, assessing, and disclosing the broader impacts of its sustainability initiatives, ensuring accountability for long-term change.

Evidence (supporting the reported figures and disclosures):

- The assurance provider must evaluate whether the reporting organization has provided adequate and verifiable evidence to support the disclosures and sustainability data included in the report.

Assurance statement (i.e. auditor's opinion):

- The assurance statement should address the credibility of the report and the underlying governance structures, systems, processes, and competencies that support the disclosed sustainability information.
- Elements of the assurance statement (i.e. auditor's report) include: a statement on the use of AA1000AS v3; a description of the assurance process undertaken; conclusions on the quality, reliability, and completeness of the report; and an assessment of the organization's accountability mechanisms and overall sustainability governance. Additional comments may be provided if necessary.

Assurance provider standards (i.e. auditor's independence and competencies):

- The credibility of a report's assurance relies on the assurance provider's competencies, independence, and impartiality.
  - The assurance provider should be independent of the reporting organization and maintain objectivity in relation to stakeholders. Any conflicts of interest must be transparently declared.
  - The assurance provider must be impartial and conduct assurance activities free from undue influence by the reporting organization or its stakeholders.
  - Assurance providers and reporting organizations must ensure that all individuals involved in the assurance process demonstrate the necessary technical and professional competencies.
  - The institutions through which assurance is provided must also demonstrate organizational competency, upholding high standards of professionalism and accountability in sustainability assurance practices.

Source: A full version of the AA1000 Assurance Standard is downloadable from https://cdn.prod.website-files.com/66c88eda3115d0e65f9857df/66ecbeae05237c0558f22737_AA1000-Assurance-Standard-English.pdf.

Other internal reporting systems could include charts or progress reports on bulletin boards, partial or full reports as stand-alone documents, and verbal or video reports by senior management. Written reports can be prepared by internal staff and certified by external agents, such as auditors, professors, or editors of ethics publications. Alternatively, reports can be prepared entirely by individuals independent of the corporation. Several organizations, including the Council on Economic Priorities Accreditation Agency (CEPAA) in New York and AccountAbility in the U.K., train auditors to review CSR/CEP activity, and large public accounting firms offer related services, including Sustainability Reporting and Assurance Services (KPMG),[38] Sustainability and Climate Change Services (PricewaterhouseCoopers),[39] Climate Change and Sustainability Services (EY),[40] and Audit & Assurance Sustainability and ESG Services (Deloitte).[41] Details are available on each organization's website.

Large corporations are releasing ethical performance reports to the public with greater frequency on a continuing basis. Many of these companies have a dedicated website gateway to several reports covering different aspects of their corporate social responsibility, including the following exemplars:

- Microsoft's Building a Responsible Future website introduces programs on AI impact, digital skills, fundamental rights, nonprofits and giving, security and privacy, and sustainability. It offers links to many reports including the company's 2024 Environmental Sustainability Report (https://www.microsoft.com/en-us/corporate-responsibility).
- Telus' Social Impact website provides comments on community giving, accessibility networks, healthcare initiatives, safety and connectivity, and sustainability programs as well as a link to the company's Sustainability and ESG Report. (https://www.telus.com/en/social-impact). In addition, Telus proudly announces that it is second in Canada and 21st out of the 2024 World's Most Sustainable 500 Companies as ranked by *Time Magazine*.[42]
- Apple's Environment website offers a metric-oriented progress report on its plan, called Apple 2030, to protect our planet with links to their reports on the circular economy, climate change, smarter chemistry, and their supply chain as well as their 2024 Environmental Progress Report (https://www.apple.com/ca/environment/).
- Philips, a Netherlands-headquartered conglomerate with operations around the world, features an ESG website on its corporate landing page that is influenced by mandatory European reporting requirements and covers the company's activities extensively under the headings of Environmental, Social, and Governance with links to additional website reports (https://www.philips.com/global).
- Nutrien, formed by a merger of PotashCorp and Agrium, in 2016, discloses its financial and sustainability performance on the same webpage with links to detailed reports for each (https://www.nutrien.com/). Its 2023 Global Sustainability Report was accompanied by a 2023 KPMG Independent Limited Assurance Report and a 2023 Extractive Sector Transparency Measures Act (ESTMA) Report (https://www.nutrien.com/sustainability/sustainability-highlights/sustainability-documents).

It is worth noting that senior management may not support public reporting, especially if the results are unfavorable or if the possibility of legal action is significant. This is, however, an evolving area and the power of continued concern for climate change, DEI, and other aspects of CSR as well as the recognition by world rankings such as by *Time*

[38] https://kpmg.com/ch/en/services/forensic-consulting/ethics-corporate-compliance.html.
[39] https://www.pwc.com/gx/en/services/sustainability.html.
[40] https://www.ey.com/en_ca/services/climate-change-sustainability-services.
[41] https://www2.deloitte.com/kz/en/pages/risk/solutions/sustainability-services.html.
[42] https://www.telus.com/en/about/news-and-events/media-releases/TELUS-takes-top-honours-in-TIME-Magazine%E2%80%99s-inaugural-World's-Most-Sustainable-Companies.

Magazine[43] are very risky for corporations to ignore. Stakeholders are becoming increasingly interested in ethical performance, and leading companies are responding. Organizations are recognizing that it can be to their benefit to report even when the results are unfavorable. Even if unfavorable results are not initially reported (which may be considered unethical), the motivation for improvement remains as a reason for corrective action to be taken because favorable results can then be reported in the future. *Environmental performance* reports, as noted above, are mandatory in Europe.

It is very important to recognize that *Integrated Reporting* is an area of development in Sustainability/CSR reporting and is well worth continuing attention. Born of the view that the multiplicity of reports for a single company was becoming too voluminous for investors and other stakeholders to analyze and understand, several groups from around the world (including regulators, investors, companies, standard setters, the accounting profession. nongovernmental organizations, and the GRI), joined forces to form the International Integrated Reporting Council (IIRC),[44] and designed a framework for an integrated or capstone report. That framework, the International Integrated Reporting Framework, was released in December 2013.[45] An integrated report is expected to contain key indicators of performance from detailed reports in the areas of financial, environmental, and social matters. It is expected not to remove the need for detailed subject area reports but rather to provide a bird's-eye view of a corporation's performance and impacts on society. In 2022, the IFRS Foundation consolidated the Climate Disclosure Standards Board (CDSB) and the Value Reporting Foundation (VRF) into the IFRS as noted in Figure 7.7. The IFRS Foundation's International Accounting Standards Board (IASB) and its International Sustainability Standards Board (ISSB) have assumed joint responsibility for the Integrated Reporting Framework.[46] This consolidation should usher in a growing development of integrated reports. *However, it will be interesting if and how the policies of Donald Trump, reelected in 2024 as President of the United States, affect the trend to climate and social disclosures and accountability for them.*

Ratings of Sustainability & CSR Reports There are many organizations that seek to rate or investigate specific issues and corporate sustainability or CSR reports.[47]

Ratings of corporate performance can be performed for investors and corporations by investment research companies, including the following:

- Sustainalytics (http://www.sustainalytics.com)
- MSCI, formerly Morgan Stanley Capital International (https://www.msci.com)
- RobecoSAM (http://www.robecosam.com)

There are also sustainability or CSR indices that are used by investors to aid in their investment decisions or to qualify companies to permit their shares to trade on specific stock exchanges, such as the following:

- **Jantzi Social Index**—a benchmarking stock index made up of fifty Canadian companies rated on environmental, social, and governance (ESG) criteria. Companies in the JSI (https://connect.sustainalytics.com/jantzi-social-index-constiuents) are chosen by

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[43] "World's Most Sustainable Companies of 2024," TIME, 2024, accessed on Feb. 16, 2025, at https://time.com/collection/worlds-most-sustainable-companies-2024/.

[44] Information on the IIRC can be found at http://integratedreporting.org/the-iirc-2.

[45] The International Integrated Reporting Framework can be downloaded from the IIRC web-site at http://integratedreporting.org/resource/international-ir-framework.

[46] "IFRS Foundation completes consolidation with Value Reporting Foundation," IFRS Foundation website, August 1, 2022, https://integratedreporting.ifrs.org/news/ifrs-foundation-completes-consolidation-with-value-reporting-foundation/.

[47] See, for example, CSRwire, http://www.csrwire.com/members.

Sustainalytics to meet broad ESG criteria, and *exclusionary* criteria—related to military weapons, nuclear power, and tobacco—that make associated companies ineligible for inclusion in the index.[48] Several have created mutual funds that include, with some alterations, the fifty companies that make up the index, including BlackRock's iShares Jantzi Social Index ETF (XEN), MSCI SRI Indexes (several), Morningstar's (several), and Meritas Jantzi Social Index Fund.

- **FTSE4Good Index Series**—benchmark and tradable indices of companies meeting "globally recognized corporate responsibility standards" metrics of environmental, social, and governance performance (https://www.ftserussell.com/products/indices/ftse4good). FTSE[49] traded companies that pass the FTSE4-Good criteria[50]—are grouped into ETFs for "ESG investors" by several investment companies.
- **Dow Jones Sustainability Indices**—benchmark indices for "best-in-class" companies chosen using economic, environmental, and social criteria across all industries The objectives of the **Dow Jones Sustainability World Index**—one of several Dow Jones Sustainability Indexes—are to include "global sustainability leaders" based on a corporate sustainability assessment by RobecoSAM, a company whose focus is "sustainability investing." "The index represents the top 10% of the largest 2,500 companies in the S&P Global BMI based on long-term economic, environmental, and social criteria."[51]
- **MSCI KLD 400 Social Index**—began as one of the first Social Reporting Indexes in 1990 as the Domini 400 Social Index. It rates the companies on several dimensions of ESG performance, and the best-rated companies are used by investors to select their investments. In addition, several investment funds have been created by companies such as Blackrock (i.e., iShares MSCI KLD 400 Social ETF) to provide mutual funds that aggregate the shares of the best-rated companies. For further information, refer to https://www.ishares.com/us/products/239667/ishares-msci-kld-400-social-etf.Awards programs are another type of rating mechanism. There are several programs that announce the "best" sustainability or CSR performance annually or periodically, including the following:
    - **Corporate Reporting Awards**—refer to https://corporatereportingawards.co.uk/corporatereportingawards2024/en/page/home.
    - **Global Sustainability Awards—**Reuters Events creates this annual competition to celebrate leadership in sustainable business, refer to https://events.reutersevents.com/sustainable-business/sustainability-awards.
    - **Corporate Knights**—for an annual ranking of the 100 most sustainable companies in the world, refer to http://www.corporateknights.com/reports/global-100.
    - World's Most Sustainable Companies—a competition overseen annually by *TIME Magazine* and Statista, refer to https://time.com/collection/worlds-most-sustainable-companies-2024.

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[48] See Sustainalytics, *Jantzi Social Index Methodology Update*, 2012, http://www.sustainalytics.com/sites/default/files/jantzisocialindexmethodology-updatedseptember2012_revised2.pdf.

[49] FTSE Group, originally formed by the Financial Times and the London Stock Exchange, is a registered company whose name, FTSE, is licensed by the London Stock Exchange to the FTSE Group.

[50] FTSE, "FTSE4Good Index Inclusion Criteria: Thematic Criteria and Scoring Framework," 2013, accessed November 27, 2013, at http://www.ftse.com/Indices/FTSE4Good_Index_Series/Downloads/FTSE4Good_Inclusion_all_copy_Aug2013.pdf.

[51] S&P Dow Jones Indices, McGraw-Hill Financial, *Fact Sheet*. "Dow Jones Sustainability World Index," October 2013, accessed November 27, 2013, at http://www.djindexes.com/mdsidx/downloads/fact_info/Dow_Jones_Sustainability_World_Index_Fact_Sheet.pdf.

Audit Assurance for Sustainability & CSR Reports The spread of so-called audits of sustainability and CSR reports has been growing, particularly in Europe. European initiatives in environmental protection and through the ISO have had a driving influence on corporate behavior and have required public disclosure of environmental performance. As a result, many individuals and some large public accounting and other firms have become involved in attesting to the reports issued, as the following examples show:

- *2023 Sustainability Report*, Teck Resources Ltd, was audited by PricewaterhouseCoopers LLP; refer to pp. 88, https://www.teck.com/media/2023-Sustainability-Report.pdf
- *Sustainability and CR Report 2023*, Ericsson, was audited by Deloitte AB, Stockholm; refer to pp. 50, https://www.ericsson.com/4933e6/assets/local/investors/documents/2023/sustainability-and-corporate-responsibility-report-2023-en.pdf

In recent years, the audit of sustainability reports has gained momentum, and a number of frameworks have been developed to guide report preparers and auditors. For a useful overview, reference can be made to an updated report from the International Federation of Accountants (IFAC) and AICPA & CIMA titled *The State of Play: Sustainability Disclosure and Assurance 2019-2022, Trends and Analysis*[52] which included the following highlights:

- Almost all companies (98%) report some information on sustainability. That's an increase from 91% in 2019, when IFAC and AICPA & CIMA first began conducting research in this area.
- Use of standalone sustainability reports has declined by 27 percentage points in the past three years. Only 30% of companies used a standalone sustainability report in 2022, reflecting the growing inclusion of that information in companies' annual or integrated reports.
- 69% of companies obtained assurance on at least some of their sustainability disclosures, up five percentage points from last year and 18 percentage points from 2019. The scope of assurance areas also expanded, yet still remains limited in general.
- Accountancy firms (as opposed to consultants or other service providers) handled 58% of the assurance engagements related to sustainability in 2022, a percentage point better than the previous year. Some markets, notably the United States, fall well below 50%.

Independent audits of labor practices in undeveloped and developing countries have become rather common for retailers and their manufacturers whose products come significantly from such sources, such as Nike, Adidas, and Umbro. Organizations such as the FLA also follow and report on the labor practices of supply chains for these companies[53] and provide certifications when called on.[54] Increasingly, national and international accounting bodies, such as the International Federation of Accountants,[55] and other organizations, such as CEPAA and AccountAbility, are focusing on the need for appropriate auditing standards, including standards for the content of audit reports and certifications. In addition, the next phase of ISO guidance may well push currently registered firms beyond the documentation of systems to the reporting and audit levels.

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[52] Sustainability Reporting and Assurance Practices of Largest Global Companies Continue to Mature, IFAC, AICPA & CIMA Study Shows, IFAC, February 22, 2024, accessed on February 16, 2025, at https://www.ifac.org/news-events/2024-02/sustainability-reporting-and-assurance-practices-largest-global-companies-continue-mature-ifac-aicpa.
[53] See, for example, http://www.fairlabor.org/affiliate/adidas-group.
[54] See, for example, http://www.fairlabor.org/affiliate/nike-inc.
[55] International Federation of Accountants, *Investor Demand for Environmental, Social, and Governance Disclosures: Implications for Professional Accountants in Business*, February 6, 2012, accessed June 3, 2012, at http://www.ifac.org/publications-resources/investor-demand-environmental-social-and-governance-disclosures.

Concluding Thoughts The strategic accountability of corporations to stakeholders has become so evident and accepted that it would be shortsighted for an organization not to develop an effective concept of corporate citizenship and an effective program of corporate social responsibility. They will greatly facilitate better management of an organization's ethical culture and performance, and the degree of support garnered from stakeholder groups. More importantly, providing guidance to employees and others about the corporation's intended CSR or corporate citizenship expectations will reduce the ethics risks and enable the taking of ethics opportunities in an orderly way.[56]

Workplace Ethics

Overview—Balance of Interests & Trends

Expectations for ethical behavior in workplaces have changed on several dimensions. For example, actions taken can no longer satisfy just the business owners' interests—actions must not only consider employees' interests but also generally rank employees' interests as high as or higher than the employers'. The balance of consideration has definitely moved from an employer-interest-only model to an employee-and-employer-interest model. Employers can no longer do whatever they want in employee matters.

As will be discussed below, consider the following:

- Employees cannot be fired based on an emotional whim or personal bias—the reason must be specifically related to the individual's inability to do the job.
- Employees cannot be hired based or even questioned on family status, religion, sexual preference, and several other legally protected subjects—they must be hired based on their ability to do the jobs in question.
- Sexual discrimination cases are usually decided based on what the person receiving the unwanted attention believes to be the case rather than on what the person (often a manager or owner) providing the unwanted attention believes should be reasonable. Furthermore, the employer is held responsible for failing to provide a harassment-free workplace.
- Employers can no longer ignore or minimize reports from women about sexual abuse or violence from male executives and managers. As a result of the #MeToo movement, public recognition of corporate and personal scandals, and the related court cases, executives and managers must now be held to account and significant penalties must be applied.
- Employers are expected to observe legal statutes or regulations that provide protection for employees from several frequently encountered situations, including lack of privacy and civility.

Changes in workplace ethics expectations have come about because of public sensitivity and stakeholder pressure on employers and regulators for more responsible corporate behavior. Regulations have changed, and companies have introduced governance procedures including codes of conduct to comply or go beyond legal requirements to moderate risks involved in misbehavior and/or to be and appear to be as responsible as or more so than their competitors. Frequently their reputations—the key to recruiting and retaining excellent workers—depend on how responsive they are to employee rights and concerns. It is also said that employees often believe the way a company treats them is their cue to how ethical the company is and how they should treat other stakeholders, thus determining how ethical the company is overall.

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[56] Parts of this segment on CSR and corporate citizenship are reprinted with permission from L. J. Brooks and D. Selley, *Ethics and Governance: Developing and Maintaining an Ethical Corporate Culture*, 3rd ed. (Toronto: Canadian Centre for Ethics and Corporate Policy, 2008).

During this process of change, several employee interests or rights have strengthened relative to employers' rights, including the following:

- Ability to exercise one's conscience—for example, not to pollute, not to risk an employee's health or safety or that of others, and to speak out when the truth is being distorted
- Respect for employee privacy and dignity, including the provision of a civil work environment
- Fair treatment
- Healthy and safe work environment
- Freedom from sexual harassment and violence
- Civil work environment

While executives and managers generally may be aware of these changes, they may not be fully cognizant of the degree or extent of change or of specific issues involved. Consequently, prudent risk management requires continuous training and reinforcement through governance mechanisms to ensure appropriate treatment of employees and the protection or enhancement of the firm's reputation.

Specifically, it is appropriate for businesspeople to have an appreciation of the major ethical themes and issues that have emerged or are emerging in regard to the conduct of employees in North American workplaces. The comments that follow are not intended to provide an exhaustive review, but they will raise awareness of the issues involved and provide some guidance, including when to seek more informed advice.

Employee Rights

Since the early 1970s, there has been an increasing awareness that the rights of individual workers were worthy of more respect relative to the rights of the employer than had been the case before. For example, the rights of an employer have changed; the employer can no longer order employees to pollute, risk their health or safety or that of others, or say nothing when the truth is being distorted. Some of the changed rights have become protected by legislation, whereas others have been influenced by common law cases, union contracts, and corporate practices that have been sensitive to stakeholder pressures.

Table 7.9 identifies those employee themes in North America that have led to new expectations by employees.

Privacy & Dignity Including the Provision of a Civil Work Environment

The right of an employer to search the person of a North American employee, to access any personal information desired, or to search any property has become significantly curtailed. North American society now endorses the position that an *individual's personal rights are more important than those of an employer unless it can be shown that, in a particular circumstance, the employer's interest is reasonable, legitimate, and morally acceptable*. For example, in most locales, it is not acceptable to place a surveillance camera in a washroom unless there is a threat to life and health, such as through violent attacks or drug dealing. Even in these cases, outside legal authorities should be consulted before the surveillance and, in some cases, notification of the intent to use a camera may be called for.

It should be noted, however, that simply notifying workers should not be taken to imply that they had consented to the procedure. Specific conditions must be met before the courts will agree that proper procedures have been followed. In fact, workers must be allowed what is called *informed consent*, wherein they have time to deliberate, have a free choice among reasonable alternatives, and have adequate information to understand the problem and options. In addition, the choice must be one that the courts consider possible to agree to

Table 7.9 Employee Rights Themes in North America

Privacy and dignity of person, personal information & property:

- Boundaries of personal rights, employers' rights & the rights of the public
- Proper procedures, notification & consent
- Testing for substance abuse
- Harassment, sexual & otherwise
- Civil work environment

Fair treatment:

- Discrimination: age, race, sex, employment, pay
- Fair policies
- Is equal treatment fair?

Healthy & safe work environment

- Expectations: reasonability right to know, stress, family life, productivity
- Quality-of-life concerns: smoking, health
- Family-friendly workplaces

Ability to exercise conscience

- Blind loyalty
- Whistleblowing

Trust: the key to leadership, innovation, loyalty & performance—depends on ethics

- Operations: downsizing, contingent workforce

make. An employee, for example, cannot bargain away his or her right to life or to take on extremely serious health risks. Legal advice is vital before action is taken.

Testing for substance abuse is a related area in which North American society has been reluctant to accept invasion of privacy without compelling reason, usually involving the life and health of coworkers or others. In fact, absent those safety concerns, random drug testing is illegal in many jurisdictions. In the case of airplane pilots, for example, random drug testing has long been accepted; it was approved by the U.S. Supreme Court in the late 1990s.

In addition, drug testing has been considered relatively inaccurate when measured against the potential harm done to the falsely accused so discrete, repeat testing is desirable if an initial test is positive before any accusations are made. Confidentiality should be maintained throughout this time period if at all possible. There have been some testing programs for office workers, but several have been struck down by the courts as being unreasonable. For example, the Exxon program of random testing (started in response to the *Exxon Valdez* shipwreck; refer to the ethics case "The *Exxon Valdez*" at the end of this chapter) was considered to be too unreasonable because it resulted in a reassignment/suspension from the employee's position for up to seven years. The Toronto-Dominion Bank program for new recruits—if offered a job, a positive mandatory substance abuse test would lead to a required remediation program from which a cured person could have the job—was considered not to be sufficiently justified by the bank's desire to make sure that its employees would protect customer's assets properly to warrant allowing the personal intrusion involved.

It appears, however, that the stigma associated with drug and alcohol testing programs can be circumvented. Some trucking companies achieve the same ends (protection of the public and their assets) by requiring their drivers to score well on computer games (which feature hand-eye coordination) before they will be given their truck keys. Society does not regard such testing as a sufficient invasion of privacy to object to its use. This is very important because drug testing is relatively poor at measuring current impairment quickly due to the lag in diagnosis and individual impact differentials, so impaired high-risk operators, such as truckers, are much more likely to be prevented from doing harm by failing scores on computer games.

Harassment is, of course, objectionable not only on grounds of dignity and privacy but also on grounds of fairness. Definitions of harassment vary depending on the locale, but the trend is toward more stringent tests than most businesspeople or professionals initially contemplate. *Harassment can be defined as any improper behavior directed at you that you find offensive, and that the other person knew or ought reasonably to have known would be unwelcome*. Note that the test is not what the person doing the harassment thought about the act—the important test is what the offended party thought and whether the local authorities think it is reasonable behavior. Usually, they side with the offended person. It is therefore imperative if an employee alleges harassment that the claim be investigated immediately and discreetly. If the claim is justified, then the perpetrator should be warned (or dismissed if already warned) and dismissed subject to the due process rules of the company involved. If prompt action is not taken, the manager receiving the complaint and the company can be subject to legal proceedings for failing to provide a harassment-free workplace. In fact, if a traveling salesperson or visiting auditor is harassed, their organization must contact the management of the offending company and ensure that appropriate action is taken; otherwise, the manager and company of the complainant can be subject to legal proceedings. In addition to the need for quick action in the case of harassment and workplace violence, direct liability may follow for directors and management if the company does not have adequate training and compliance programs in place.

Leading-edge firms have begun to document the need to extend respect for privacy and dignity to the provision of a civil work environment. "Civil conduct includes:

- Treating others with dignity, courtesy, respect, politeness, and consideration.
- Speaking in tones of voice that are appropriate for the circumstances.
- Being respectful of others' right to express their views, even if you disagree.
- Managing conflict with others in a respectful way rather than a confrontational way."[57]

Organizations are more concerned with a pattern of uncivil behavior rather than an isolated act or two. Behavior that is considered uncivil would include the following:

- Shouting
- Profanity, abusive, aggressive, or violent language directed at an individual or individuals
- Using props suggestive of violence
- Slamming doors
- Throwing objects
- Humiliating, degrading, demeaning, belittling, insulting, frightening, or intimidating another person
- Distributing comments about an individual, whether verbally or in writing, including online, that are unjustified and are likely to have a negative impact on the individual if that person were to encounter them
- Telling inappropriate jokes[58]

Freedom from Sexual Harassment & Violence

In 2017–2018, the #MeToo movement achieved a tipping point in getting corporations to take seriously complaints from women against male executives and managers whom they alleged had sexually harassed, molested, or behaved violently toward them. Until that time,

[57] See University of Toronto, *Human Resources Guideline on Civil Conduct*, http://www.hrandequity.utoronto.ca/Asset952.aspx?method=1.
[58] Ibid.

senior executives, boards of directors, police forces, and courts usually did not take the accusations seriously or hold the accused significantly accountable. Frequently, ways were found to let the accused off the hook, such as by imputing blame on the women involved or by arranging a settlement with the women provided that they agreed not to speak publicly about the case or settlement in the future. These "hush" payments allowed the accused to escape identification and facilitated the accused, who were usually in a position of power over the careers of the women, to continue to harass and rape additional victims.

But in 2017 and 2018, a series of high-profile cases captured the public's attention and caused corporate boards and courts to take women's complaints of sexual harassment and violence seriously. This was an enormous victory for the #MeToo movement—a group of women, formed in 2006, who were campaigning for such a just outcome.

The now famous high-profile cases came one after the other, with each one heightening the public's disgust over the apparent injustice that women were fighting against:

- In July 2016, Gretchen Carlson, a popular TV host of Fox News, a conservative U.S. cable news network, accused Roger Ailes (CEO) of sexual harassment and accepted a settlement of $20 million subject to a nondisclosure agreement. That agreement has made it impossible for her to be involved in TV dramas, and a 2019 movie, *Bombshell*, about her situation. Ailes resigned in July 2016 as additional women came forward with similar allegations.[59] Megyn Kelly, another popular Fox News host, also alleged that Ailes sexually harassed her as early as 2005.[60] Other TV personalities were also fired or resigned over sexual harassment charges, including Matt Lauer at NBC, Bill Shine at Fox News, Bill O'Reilly at Fox News, and Charlie Rose of CBS, PBS, and Bloomberg.[61]
- Then in October 2017, Harvey Weinstein, a famous Oscar-winning talent and film impresario about whom rumors of sexual exploitation of budding starlets had been circulating for decades,[62] was fired by his board and then successfully charged by one woman, who was then joined by others.[63,64] His company was essentially finished as a result of the charges even though the court case did not start until January 2020.
- Amid the growing sensationalism, immensely popular comedian Bill Cosby was finally brought to trial by a single accuser (who again was joined by others), sentenced in September 2018 to 3 to 10 years in prison even though he was blind and over 80 years old at the time.[65] Cosby's mode of sexual assault usually involved drugging his victim and then sexually assaulting her. He, like Weinstein, had been able to avoid prosecution for decades.

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[59] Chris Lindahl, "Gretchen Carlson: It's 'Frustrating' I Couldn't Participate in 'Bombshell,' Where She's Portrayed by Nicole Kidman," IndieWire, October 14, 2019, https://www.indiewire.com/2019/10/gretchen-carlson-bombshell-loudest-voice-1202181470.

[60] Emmanuel Ocbazghi and Alyson Shontell, "Megyn Kelly Details How She Was Allegedly Sexually Harassed by Roger Ailes, Then Advised to 'Just Steer Clear of Him,'" August 22, 2019, https://www.businessinsider.com/megyn-kelly-details-sexually-harassed-roger-ailes-fox-news-2017-11.

[61] Rob Frehse, "Charlie Rose Sued for Sexual Harassment by Former Makeup Artist," *CNN*, September 21, 2019, https://www.cnn.com/2019/09/21/us/charlie-rose-sexual-harassment/index.html.

[62] Ronan Farrow, "From Aggressive Overtures to Sexual Assault: Harvey Weinstein's Accusers Tell Their Stories," *The New Yorker*, October 10 and 23, 2017, https://www.newyorker.com/news/news-desk/from-aggressive-overtures-to-sexual-assault-harvey-weinsteins-accusers-tell-their-stories.

[63] Jodi Kantor and Megan Twohey, "Harvey Weinstein Paid Off Sexual Harassment Accusers for Decades," *New York Times*, October 5, 2017, https://www.nytimes.com/2017/10/05/us/harvey-weinstein-harassment-allegations.html.

[64] Daniel Victor, "How the Harvey Weinstein Story Has Unfolded," *New York Times*, October 18, 2017, https://www.nytimes.com/2017/10/18/business/harvey-weinstein.html.

[65] Chris Francescani and Luchina Fisher, "Bill Cosby: A Timeline of His Fall from 'America's Dad' to a 'Sexually Violent Predator,'" August 19, 2019, *ABC News*, https://abcnews.go.com/Entertainment/bill-cosby-trial-complete-timeline-happened-2004/story?id=47799458.

- On September 27, 2018, Brent Kavanagh underwent a U.S. Senate hearing in his quest to become a U.S. Supreme Court justice in the face of decades-old allegations of sexual harassment by Christine Blasey Ford. Kavanagh got the benefit of the doubt from the Republican-dominated Senate, but he will bear the scars of the confirmation process forever, particularly given the recorded TV coverage.[66]

The public was outraged by this disgusting series of revelations that had been systematically covered up by serial offenders and/or their employer corporations. Consequently, senior executives and courts have taken notice, and the tolerance level for further sexual harassment offenses has dropped precipitously. Ruth Bader Ginsburg, U.S. Supreme Court justice and women's rights champion, commented favorably on this tipping point for the #MeToo movement but hoped that the nondisclosure agreements signed by sexually harassed women as part of settlement agreements "will not be enforced by the courts."[67] If that happens, many executives will come to feel something of the level of personal anxiety that their victims have felt for years. Even if it doesn't happen, the heightened attention given to sexual harassment charges by women will reinforce the fact that sexual harassment has become a high-risk, unethical strategy and unacceptable behavior.

Fair Treatment

Discrimination is considered to be unethical and is considered illegal if it involves age, race, gender, and gender identity. In addition, it is generally held that there should be equal opportunity for employment and equal pay for equal work, particularly for women and individuals who are part of a minority or underrepresented group. Many leading-edge companies strive to hire sufficient representation into their workforce so that it reflects the population that they are operating in. "Breaking the glass ceiling" is a phrase that is used to describe overcoming the barrier women face to promotion within their organizations, and some firms have found a competitive advantage by removing barriers and creating a level playing field for everyone regardless of gender affiliation. The Bank of Montreal, for example, found that so many outstanding women applied for higher-ranking managerial jobs when the bank removed its barriers, that the rest of the Canadian banks faced a dearth of promotable women.

Workers in North America believe that they are entitled to fair policies. These would include fair wages, fair hours, fair consideration for promotion, fair consideration during downsizing, and a fair hearing on all matters. If dismissal is required, then employees expect that it will be according to appropriate or due process, including adequate notice or pay in lieu of notice. Unjust dismissals are those that do not follow fair due processes, and reinstatement, remedial payments, and/or fines can result.

It should be noted that people with disabilities are frequently accorded more than an equal chance for employment. This treatment is considered fair, and ethical in view of their disabilities.[68]

In regard to hiring and firing decisions, the key principle is that decisions must be based on a person's ability to do the job. *Any other questions may produce lawsuits for discrimination even if they were innocently intended.* Consequently, when hiring, questions

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[66] See, for example, "Watch Brett Kavanaugh's Full Opening Statement," *CNN*, September 27, 2019, https://www.cnn.com/videos/politics/2018/09/27/brett-kavanaugh-opening-statement-senate-hearing-vpx.cnn, and "Brett Kavanaugh and Christine Blasey Ford Testify in Supreme Court Hearing," *ABC News*, September 27, 2017, https://www.youtube.com/watch?v=OPRzWdAt9fk.

[67] Joan Biskupic, "Ruth Bader Ginsburg 'Skeptically Hopeful' about Preserving Roe v Wade and the Court's Future," *CNN*, November 2, 2019, https://www.cnn.com/2019/11/02/politics/ruth-bader-ginsburg-abortion-row-v-wade-harvey-weinstein/index.html.

[68] A discussion of justice as fairness is also provided in Chapter 3.

that are not related to a person's ability to do the job should be avoided, including those on the following topics:

- Marital status
- National origin and race
- Age
- Religion
- Disabilities (unless one is evident or disclosed, and then it is appropriate to ask how the candidate could perform certain duties inherent in the job)
- Arrests, unless there is a demonstrated business necessity involved
- Financial condition, unless there is direct relevance to the job
- Gender affiliation
- Personal questions, including sexual preference.[69]

Healthy & Safe Work Environment

The balance between the rights of workers and owners has shifted to the point that it is considered ethical for workers to expect that their health and safety will not be unreasonably compromised. They must know what the risks are in advance, and many jurisdictions have created right-to-know laws to ensure that organizations make information on hazardous substances, processes, and related treatments readily accessible.

Concern is presently being expressed over extending these arguments to the less tangible areas of excessive stress in terms of hours of overtime expected, extreme levels of productivity, and degradation of family life. No guidelines have emerged as yet, but the pressure for them in these areas will grow, so a watch should be kept for future developments in this regard.

It is apparent that responsible companies are showing respect for the preferences of their workers before they are forced to do so by changing regulations. Smoke-free workplace areas are a case in point. In addition, other companies are recognizing the need for fitness and recreation by establishing centers for these on-site. The desire to improve the family friendliness of workplaces has led to the provision of on-site daycare for children of employees, the institution of flexible work hours, and other similar arrangements.

A survey of professional accountants who were younger than thirty-five revealed that after interesting work, the most important factor in attracting and retaining employees is offering them a work/life balance. Not only must employers give employees the opportunity to take advantage of a work/life balance, but they must also make a shift in their organizational culture. They should not make employees feel guilty about not working excessive hours or penalize them through their performance evaluations.[70]

Ability to Exercise One's Conscience

As noted elsewhere, the argument that a worker just did what they were ordered to do (i.e., acted with *blind loyalty*) will no longer provide the worker with protection in many jurisdictions, so the worker should exercise his or her own conscience. The concept of blind loyalty is not one that many employees would be comfortable with, in any case. They would prefer to bring their concerns forward and speak out against pollution or other misdeeds, but they are frequently prevented from doing so by their caution in exposing themselves to the wrath of their coworkers or managers.

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[69] For an excellent elaboration on these issues, see, for example, Shawn Smith, "Illegal Job Interview Questions," http://www.sideroad.com/Human_Resources/illegal-job-interview_questions.html.

[70] "The Price of Happiness," *CAmagazine*, September 2006, http://www.camagazine.com/archives/print-edition/2006/sept/upfront/camagazine8265.aspx.

Whistleblowing, although it could contribute to a more ethical organization, is nonetheless something most North Americans were taught not to do when they were growing up, and a stigma continues to be attached to it. To encourage whistleblowers to come forward within the organization rather than have them report their concerns outside the enterprise, many corporations are creating a whistleblower protection program. In these programs, an inquiry or allegation is handled by an individual who has credibility with employees to undertake a speedy, fair investigation without revealing the name of the inquirer. If it becomes necessary for the inquirer to testify against the accused, then the inquirer is asked to do so and may decline. Reports of inquiries received are made on an aggregate basis, without revealing the names of the whistleblowers. Some companies are calling these services ethics inquiry services rather than more pejorative terms, such as a “hotline” or “whistleblowing” service.

There are also a growing number of statutes that seek to protect whistleblowers. Therefore, and because secrets almost always become public, it would be wise for organizations to facilitate the exercise of employee conscience within the organization, where appropriate action can be taken without ruining the company’s reputation. In order to facilitate corporate whistleblowing programs, many law firms, specialized consultancies, and corporations are now offering telephone and/or email hotlines. Details on whistleblower programs are available from many sources.[71]

Trust & Its Importance

Only recently have researchers begun to document what farsighted owners and managers have known for some time. As noted earlier, the ethics of an organization are directly related to how leaders are perceived, to whether there is sufficient trust for people to share ideas without fear of losing jobs or the respect of their coworkers and managers, and to whether they believe that the organization is worthy of loyalty and hard work.[72] In our current North American workplaces, it is increasingly unlikely that employees and managers will be willing to follow the instructions of an untrustworthy or unethical leader if they have any choice. Workers are less likely to contribute to innovation if they fear retribution or erosion of their position in some form, and they may not take the initiative on behalf of the company. Therefore, the organization will find that it may fall behind competitors whose employees trust the company and its leaders.

If employees have sufficient trust in their situation, they will participate wholeheartedly in restructuring sessions (this has been called a process of *ethical renewal*) that even involve downsizing and may accept the necessity of shared work assignments or part-time work contracts with greater understanding (this creates what is called a *contingent workforce*). To maintain the trust necessary for these steps, an organization would have to be prepared to make trustable commitments to recall employees to full-time status when possible or to provide fair termination or contracting arrangements. Continuation of benefits could be one such way of maintaining trust with a contingent workforce.

Overall Benefit of an Ethical Workplace

Many experts and successful practitioners subscribe to the belief that *the way employees view their own treatment by the company determines what the employees think about their company’s ethics program*. Consequently, if an organization wants employees to utilize a set of corporate ethical values, the workers must be convinced that the organization really means what it says, and there must be a level of trust that permits this belief to flourish. Treating employees properly is not only ethical; it is essential to them carrying out the organization’s ethics program and achieving its strategic objectives.

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[71] For example, refer to several available for download from https.//kpmg.com.

[72] Brooks, L.J. 2000. “Codes of Conduct, Trust, Innovation, Commitment, and Productivity: A Strategic Cultural Perspective,” *Global Focus*, 12(2); 1–11.

Whistleblower Programs & Ethics Inquiry Services

Whistleblower encouragement and protection programs, and ethics inquiry services, which are discussed further in Chapters 1 and 5, are usually combined because they often service the same people. Whether they are called an "ethics hotline," an "ethics inquiry service," or some other name, they are essential in modern organizations for several reasons. First, these programs make it possible for employees to be able to exercise their conscience as described in the previous section. Second, these programs reinforce an organization's ethics objectives and provide a necessary element of the code and ethics program put in place to provide appropriate guidance to executives, managers, employees, and agents. Third, because members of boards of directors, executives, and managers cannot be constantly in contact with all employees and agents, they must rely on information systems to bring them information on current performance and problems. Whistleblower programs and ethics inquiry services, properly installed, can act as "fail-safe" information systems to protect the directors, personnel, and the company from reputational and functional damage from unethical acts.

It is very easy to undermine an ethics program by failing to provide a mechanism for inquiry or consultation. The concepts included in a code of ethics or conduct are frequently complex and unfamiliar. Employees therefore often have questions about their applicability and need someone to consult. If answers are not available, ethics problems will probably remain unreported.

Unfortunately, employees may realize that something is wrong but are afraid to ask about it or to bring the wrongdoing to the notice of company officials. In many cultures, it is not considered appropriate to tell on or snitch on someone. The consequences of whistleblowing can involve hostility from fellow employees and retribution from the person reported on or managers who are caught up in the process, who may have known about the problem but took no action, or who are friends of the accused. In any of these cases, the fallout for the person making the inquiry or report can be quite unpleasant, involving loss of merit, promotion, and often their jobs.

This negative reaction to doing what is right and raising issues an ethical company would want to know about is simply not in the interest of the individuals or the company (or particularly the Board of Directors) involved. Waiting until the company's culture changes to support ethical inquiries is not a sound prospect. Consequently, leading corporations have set up ethics inquiry services in which inquiries are encouraged and kept confidential. When unethical acts are reported, they are quickly and fairly investigated. The reporter's name is kept confidential unless and until the matter has to go to court. Even then, the reporting individual is asked if they consent to their name being used. Quarterly or annual reports of inquiries and follow-ups are made to very senior officers and to a subcommittee of the Board of Directors without revealing the names of the reporting individuals. These practices are essential to allay the often well-founded fears of the inquirers and reporters and the nightmares of senior officers and directors.

The findings of the Ethics & Compliance Initiative, *2018 Global Benchmark on Workplace Ethics*,[73] reinforce these comments and provide interesting support for the development of ethical corporate cultures and reporting mechanisms that have been implemented more universally during the last decade. Progress has been made, but further

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[73] Ethics & Compliance Initiative, 2018 Global Benchmark on Workplace Ethics, downloaded on November 1, 2019, from https://www.ethics.org/knowledge-center/interactive-maps.

refinement is necessary in the United States as pressures to compromise ethics standards and from retaliation have increased. The U.S. survey reports the following:

- The share of companies with weak ethics cultures declined to 33% from 42% in 2011.
- The percentage of employees who witnessed misconduct at work fell to a low of 30%. That compares to 49% in 2009 and is well down from the record high of 55% in 2007.
- Those who reported the bad behavior they saw reached 75%, up from 65% in 2011.
- However, retaliation against employee whistleblowers rose sharply to 53%. That compares to 22% in 2011 and 12% in 2017.
- In addition, the percentage of employees who perceived pressure to compromise standards in order to do their jobs climbed to 22%, up from 13% in 2011.

These ethics inquiry systems and protected whistleblower programs are often under the jurisdiction of the organization's ethics officer, ombudsperson, human resources office, or internal audit or legal department. Care should be taken not to send signals that would turn away employees from using the service. In this regard, locating the service within an internal audit department or legal department is not as attractive as locating it within a human resources department or as a stand-alone unit. A hotline to an undisclosed or third-party destination may also be suspect depending on the perception of its efficacy, trustworthiness, and credibility. Over 50% of the inquiries received by existing services are seeking information on personnel policies and practices, so basing the inquiry system in a human resource-related or stand-alone unit that specializes in these matters is recommended.[74] While this may give rise to conflicts of interest in regard to poor human resource activities or policies, experience has shown this to be relatively rare compared to the volume of information-seeking calls.

Modern organizations cannot develop and maintain a successful ethics program without introducing some form of ethics inquiry service and a whistleblower encouragement and protection program. Without these essential services, organizations and their executives and boards of directors will continue to be exposed to significant ethical and operational risks.

Fraud & White-Collar Crime

One of the challenges facing all organizations is the prospect of unethical employees who commit acts of fraud and white-collar crime. Executives are expected to ensure that they take all reasonable steps to guide, influence, and control employees who might be inclined to become involved, and external auditors are expected to be alert for potential problems. Experience has suggested that an understanding of the circumstances leading to and enabling fraud and white-collar crime—and the motivation for it—provides a useful foundation for preventive measures. In order to provide that understanding, an analysis is offered of the motivation of a white-collar fraudster, Walt Pavlo, who was a star at MCI and a key enabler of a $6 million fraud at MCI a large U.S. telecommunications company.

Walt Pavlo's Motivation & Rationale for Fraud as MCI's Star[75]

Investigative and forensic accountants use a helpful framework—The Fraud Triangle[76] and its extension, The Fraud Diamond[77]—to identify potential fraudsters and situations that

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[74] For further information, see, for example, Leonard J. Brooks, "Whistleblowers—Learn to Love Them!," *Canadian Business Review*, Summer 1993, 19–21.
[75] All details used in this case are taken from Walter Pavlo Jr. and Neil Weinberg, *Stolen without a Gun: Confessions from Inside History's Biggest Accounting Fraud—The Collapse of MCI WorldCom* (Tampa, FL: Etika Books LLC, 2007).
[76] Fraud Triangle—see CICA Handbook Section 5135 or the new CAS 240; see also W. S. Albrecht, C. C. Albrecht, and C. O. Albrecht, *Fraud Examination*, 2nd ed. (Mason, OH: Thomson South-Western, 2006), 31.
[77] David T. Wells and Dana R. Hermanson, "The Fraud Diamond," *The CPA Journal*, December 2004, 38–42.

have potential for fraud. As shown in Figure 7.3, the potential for fraud is said to be a function of the presence of three factors: *need*—financial or otherwise; *opportunity*—poor controls or overaggressive culture; and the willingness and ability to *rationalize* the fraudulent act. The Fraud Diamond adds a fourth factor, *capability* or *knowledge*.

Analysis of these factors can be facilitated by using the additional frameworks of Maslow's Hierarchy of Needs[78] and Heath's Seven Rationalizations of Unethical Behavior,[79] which are discussed later. The facts are gleaned from Walt Pavlo's book *Stolen without a Gun*[80] about his frauds on MCI and its customers.

Walt Pavlo Story—Brief Version

Walt Pavlo joined MCI in 1992 (MCI is now a subsidiary of Verizon Communications, Inc.) and rapidly became second in command at the company's finance or long-distance collections unit. Walt left MCI in 1996 and ultimately resigned in early 1997. During the four years and just afterward, he participated in several frauds on MCI and on customers who were dealing with MCI.

Walt was found out and, in January 2001, pleaded guilty to obstruction of justice, money laundering, and wire fraud. He was sentenced to forty-one months in prison and ordered to pay over $5.7 million in restitution to MCI, AT&T, and BTI. In addition, the banks won a $5.5 million judgment against him. Walt ultimately served twenty-four months in a federal prison and was released in 2003. The outcome was particularly hard on his two sons and his wife, who divorced him in 2003.

Walt was a great-looking MBA graduate with a young wife and two young sons. He had the capacity to become a star at MCI. So, what happened? What motivated Walt to become involved in fraudulent behavior, and how did he rationalize the actions he took?

Understanding Fraudster Motivation—Maslow's Hierarchy of Needs

Like many newly graduated MBAs, Walt had a super strong drive to succeed. He wanted to fulfill his dreams:

- To prove himself to his mother and father as well as his wife and her well-off family
- To earn enough remuneration to live comfortably and have enough for some indulgences
- To be recognized for his contributions at work, be paid what he thought he was worth, and have job security
- To be respected by and friendly with his boss, Ralph McCumber, a former military man

These desires led Walt to behave in ways he thought would lead to his success, including the following:

- Obeying orders unquestioningly, as if he was in a military culture,[81] such as by "making his numbers" by any means possible, including misrepresentation of the condition of bad debts through lapping and worse.
- Behaving ultra-aggressively and, even though some actions were distasteful, coming in the next day ready to "bite the heads off chickens."

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[78] "The Hierarchy of Needs," from A. H. Maslow, "A Theory of Human Motivation," *Psychological Review* 50 (1943): 394–95, as reprinted in Deborah C. Stephens, ed., *The Maslow Business Reader* (New York: Wiley, 2000), 3–4.

[79] Joseph Heath, "7 Neutralization/Rationalization Techniques," speech at the Centre for Ethics at the University of Toronto, April 9, 2007.

[80] Ibid.

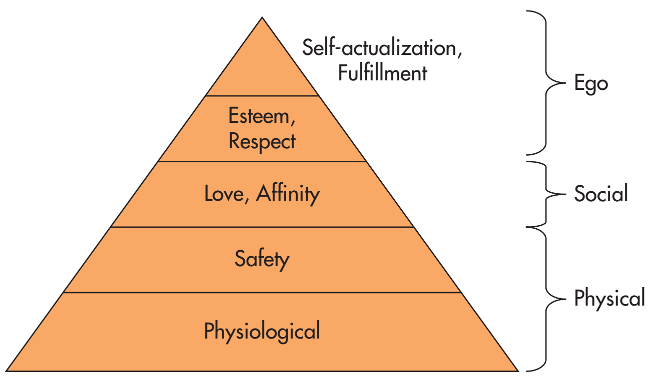
[81] At one point when Ralph and Walt were discussing how to "whitewash" a $55 million debt, McCumber barked, "Don't tell me what I can and can't do! Orders are orders. You've got yours." *Stolen without a Gun*, 92.

- Setting aside company policy, such as the "zero-tolerance" policy for allowing customer credit positions to deteriorate, to which company executives paid lip service.
- Creating apparently helpful mechanisms without the knowledge of his boss and for which he did not disclose the risks. An example of this is the Rapid Advance[82] "factoring" program to speed up collections, where Walt signed an unauthorized guaranty of bank loans on behalf of his company.
- Consorting with shady individuals to rip off his company and its customers.
- Emulating his boss in terms of approaches for encouraging his subordinates and in encouraging them "not to worry about…"
- Once on the slippery slope,[83] ultimately succumbing to the "blinding powers of desperation and greed."

Walt's desires fit neatly into Maslow's Hierarchy of Needs,[84] which is shown in Figure 7.9. Maslow asserted that an individual's needs could be categorized and would be responded to in priority from the bottom of the pyramid. Later researchers[85] disagreed with this bottom-up priority sequence, citing many instances where needs at the top of the pyramid exerted a stronger influence than those at the bottom. Nonetheless, Maslow's categorization is widely respected and useful for understanding human needs and can be applied to understand the motivation of white-collar criminals and fraudsters.

Walt's desires show that he was motivated by the need for money to maintain his family (a *physiological need*), and by job security (a *safety need*). In addition, he wanted to earn the respect of his boss and other MCI employees and higher-ups. When it became time to create

Figure 7.9 **Maslow's Hierarchy of Needs**



Source: "The Hierarchy of Needs," from A. H. Maslow, "A Theory of Human Motivation," *Psychological Review* 50 (1943): 394–95, as reprinted in Deborah C. Stephens, ed., *The Maslow Business Reader* (New York: Wiley, 2000), 3–4.

[82] Walt arranged for Manatee Capital to pay MCI for customers receivables when the services were delivered provided MCI guaranteed the ultimate payment from the customer. This was a "factoring with recourse" scheme that rapidly advanced MCI's collections. MCI was paid a commission of factoring fee. For each transaction. Unfortunately, to increase its profits, MCI incentivized sales to non-creditworthy customers and ended up having to re pay Manatee a very large amount.

[83] The term "slippery slope" refers to a situation in which a person starts by doing something slightly unethical but follows with a subsequent acts of growing significance, only to find that they must continue on to more highly unethical acts to cover up the earlier ones or because someone else who knows of the earlier transgressions threatens to reveal them in order to coerce further unethical or illegal acts.

[84] Maslow, "The Hierarchy of Needs."

[85] See discussion in A. Wahba and L. Bridgewell, "Maslow Reconsidered: A Review of Research on the Need Hierarchy Theory," *Organizational Behavior and Human Performance* 15: 212–40.

the Rapid Advance factoring program, he signed a guarantee for the financing bank without advising his superiors because he wanted to feel like he was really contributing—he wanted to feel the joy of *fulfillment or self-actualization.* His bosses certainly played on Walt's need for *affinity*—to be seen as a worthy employee, one who was "making his numbers" or "biting the heads off chickens." Walt was subject to the influence of needs at all levels. Only he can say which category or which level—*ego*, *social*, or *physical needs*—played the dominant role. It is safe to say, however, that modern management can and will use all levels to motivate employees and that both management and the individual employee should understand the vulnerabilities involved.

Understanding the Rationalization of Fraud—Heath's Seven Rationalizations

According to Joseph Heath, the seven rationalizations identified in Table 7.10 are customarily used to justify unethical behavior.

Walt Pavlo's behavior conforms to Heath's set of seven rationalizations. In his book, Walt explains that he is just taking orders for the accounting chicanery he leads and that someone else at a higher pay grade is responsible for determining whether the actions involved are ethical. Similarly, when considering the monies he siphons off, he states that "you can't steal, what they're not going to get," indicating that he does not believe that there is any real injury caused by his action. Moreover, Walt takes the position that by hiding the true state of MCI's bad debts, he is supporting a pending buyout, thus helping the executives and current shareholders get a good price for their shares rather than making them victims of his crime.[86] He also views the money he helps skim from MCI's shyster customers (the ones he considers unethical) as a "victimless hustle" because it is stealing from crooks and scammers.

Walt begins to realize that he is not being recognized for his good work and that he has been taken advantage of because he has to hire staff who report to him for more than he is being paid. By demanding that he "make his numbers" in terms of hiding the real state of the bad debts, Walt believes he is being asked to do the impossible. Consequently, he condemns the senior executives and the company in general. He feels that the company owes him and that he is entitled to help himself by engaging in fraud. He takes the view that many senior executives know what is going on and are turning a blind eye to the hiding of the size of the bad-debt problems. He believes they know that the accounting and reporting systems are a mess—a veritable black hole—and are taking advantage of it. He reasons that everyone else is doing it, so why shouldn't he?

Walt justifies some of his behavior by his loyalty to his family. He arranges for his father to buy a company and for his family to have a higher lifestyle that they would not otherwise have. His loyalty to family takes precedence over loyalty to MCI.

Table 7.10 Heath's Seven Rationalizations of Unethical Actions

- Denial of responsibility
- Denial of injury
- Denial of the victim
- Condemnation of the condemners
- Appeal to higher loyalties
- Everyone else is doing it
- Entitlement

Source: "7 Neutralization/Rationalization Techniques," speech by Joseph Heath at the Centre for Ethics at the University of Toronto, April 9, 2007, later published as "Business Ethics and Moral Motivation: A Criminological Perspective," *Journal of Business Ethics* 83 (2008): 595–614.

[86] A senior manager, who joined MCI relatively late in Walt Pavlo's tenure, has argued that MCI's most senior management wanted him to sort out the bad-debt problems and that he had their support in doing so.

Opportunity & Capacity to Commit Fraud

Even though there may be a need to commit fraud, and the action can be rationalized, there must also be opportunities and the capacity or knowledge to commit fraud with acceptable levels of risk of getting caught and punished severely.

In Walt's case, he views the MCI accounting system as a veritable black hole—an "absolute shambles," as someone later described it. Reports are inaccurate, and no one seems to mind. There are no apparent controls over the accuracy of payment postings to the correct accounts. No one other than Walt has taken the time to understand the fundamental nature and economic substance of the Rapid Advancement and other schemes that are being put in place. Ultimately, the economic value falsely created in MCI's financial statements is removed in a huge write-off attributed to other problems. Clearly, senior management were not performing their oversight role properly, the organizational culture did not support whistleblowers, and they were not encouraged to come forward, and internal audit functions were not effective.

These failings provided the opportunity that Walt was looking for and the belief that he would not get caught. He was particularly susceptible when one of his bosses or one of his co-fraudsters told him "not to worry about it right now." Perhaps it was also his belief that he could control the situation so that he would not be found out. Ultimately, he realized that he could not control his greedy colleagues, and he lost sight of the fact that he had ripped off a bank, not only scammers. Both misjudgments came back to haunt him.

In the end for Walt, the slippery slope proved uncontrollable. Walt would have been wise to be more suspicious at the start when he heard, "I'll make it worth your while." He should have listened to Ralph McCumber, his first boss whom he idolized, who had a keen "bullshit detector" and was fond of saying, "Don't make any promises you can't keep."

Lessons Learned

When executives and auditors engage in a process of considering where fraud and white-collar crime might emerge, they would do well to use the Fraud Triangle or Fraud Diamond, Maslow's Hierarchy of Needs, and Heath's Seven Rationalizations of Unethical Acts as frameworks to spot red-flag problems before they cause or allow significant harm. Such a process of consideration might be part of an annual or periodic brainstorming session as is now required of auditors in some jurisdictions. These frameworks should also be considered when planning for or instituting new incentive and reward systems because they present opportunities for the introduction of dysfunctional pressures. Similarly, when assessing the performance of supervisory staff, it would be useful to consider using the frameworks to assess if the motivational methods used, while productive in the short run, were potentially harmful in the longer term. Finally, to ensure adequate awareness and knowledge of the frameworks, their use should be discussed in supervisory training sessions. A sensitized supervisor, for example, should be able to red flag and correct potentially harmful rationalizations used by employees.

The analysis presented here shows how vulnerable accounting systems are to employees who are intent on taking advantage. It is also apparent that several people in addition to Walt suspected that something was not right, but they did not question or report their concerns. This was because MCI's corporate culture did not encourage such inquiries or whistleblowing. In fact, it accepted and even encouraged a culture of manipulation rather than ethical behavior. There is a definite advantage to installing an ethical corporate culture with a whistleblowing mechanism and instilling expectations of compliance with an ethical corporate culture from the beginning of employment as well as reinforcing these expectations periodically.

In addition, there was a military-like microculture in which employees were expected to follow orders rather than exercise their own conscience. Although this looks attractive in the short run, it prevents longer-term benefits from surfacing and raises risk for the enterprise as a whole.

Finally, the analysis of Walt's activities underscores the need to embed ethics concerns in the strategic and operational aspects of a company and have a senior corporate official designated to champion the ethics portfolio in a company as well as in each significant division of that company. Monitoring these concerns should be an important ongoing function of a committee of the Board of Directors. Only by integrating ethics concerns into the governance structure of a company can ethics risks and opportunities be managed effectively.

Fortunately for Boards of directors and senior management, a branch of accounting has developed, known as *forensic accounting*, that utilizes specialized investigative techniques to discover financial crimes, assess the damages involved in crimes and disputes, and explain financial crimes and disputes to the courts. Forensic accountants are now available on a consulting basis, or they may be permanent employees of "fraud squads" for corporations, police departments, or governments. Forensic accounting expertise can be very useful when added to internal audit groups, risk management groups, and regulatory agencies or worldwide organizations like the United Nations or the World Bank that need to ensure that the resources they distribute reach the intended victims.

Forensic accountants are educated through university programs such as the Master of Forensic Accounting[87] or Master of Science in Forensic and Fraud Examination[88] programs, Graduate Certificates,[89] or undergraduate courses. There are also organizations that offer professional designations, such as the Certified in Financial Forensics (CFF)[90] or the Certified Fraud Examiner (CFE),[91] signifying forensic accounting expertise. The Big Four professional accounting firms and many smaller firms offer forensic accounting expertise, and there are many boutique specialty forensic accounting firms as well.

Forensic accounting is a growing area of interest because of the variety, incidence, and impact of financial crimes. Forensic accountants are now the go-to experts in financial crime investigations, loss quantification, patent infringement, business valuations, corruption and procurement fraud, risk management and compliance, anti-money laundering, whistleblowing, cybersecurity, digital forensics, and forensics data analytics. Successful forensic accountants need a high level of skepticism, integrity, communication ability, and the ability to see things that others don't. They also need to enjoy solving new puzzles on a continuing basis.

Applicability for Auditor Responsibility for Finding Fraud

On July 7, 2025, the IFAC International Accounting & Auditing Standards Board issued a revised standard, *ISA 240 (Revised), The Auditor's Responsibilities Relating to the Audit of Financial Statements,*[92] which increased those responsibilities significantly for audits of financial statements beginning on or after December 15, 2026. The revisions called for clarification of auditor responsibilities, heightened professional skepticism, strengthened identification ad assessment of the risks of material misstatement using a fraud lens, clarification of the response to fraud or suspected fraud, increased communication with those

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[87] University of Toronto.

[88] University of West Virginia.

[89] University of West Virginia.

[90] American Institute of Certified Public Accountants (AICPA).

[91] Association of Certified Fraud Examiners (ACFE).

[92] ISA 240 (Revised), *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements*, IAASB, July 8, 2025. Downloadable from https://www.iaasb.org/publications/isa-240-revised-auditor-s-responsibilities-relating-fraud-audit-financial-statements.

charged with governance, increased transparency, and enhanced audit documentation requirements.[93] The forensic accounting tools discussed above and the lessons learned, as well as the discussion of enhanced professional skepticism and cases in Chapter 6 (pp. 434, 435, 509–516) should prove increasingly relevant for auditors.

Bribery & International Operations

Bribery is not confined to corporations and/or international operations. It is omnipresent as the following vignette shows.

University Admissions Bribery—Operation Varsity Blues

In 2019, the United States Department of Justice claimed that fifty wealthy businesspeople and prominent actors had paid $25 million to William Singer, a college consultant, to arrange for their children to enter elite universities through bribery and cheating. Called 'Operation Varsity Blues,' the government said the fraud dated back to 2011. Parents made donations to a tax-exempt charity called Key Worldwide Foundation. The amounts ranged from $15,000 to $1.2 million by a parent to have her daughter enter Yale University.

Singer used part of the donation to bribe SAT (Scholastic Aptitude Test) and ACT (American College Testing) administrators, arrange for someone else to take the tests, or have the children incorrectly classified as having a learning disability so that the students had more time to complete the tests. Recruited athletes received preference on admissions, so Singer bribed college coaches to incorrectly designate the children as recruited athletes, even for sports the children never played. He also photoshopped to show the children as athletes.

The actor Felicity Huffman, from the TV show Desperate Housewives, paid $15,000 to have her daughter write her SAT at a test center that Singer controlled where a protector helped the students cheat. Lori Laughlin, from the TV show Full House, paid $500,000 to have her two daughters designated as recruited athletes of the University of Southern California crew team to advance their applications to enter USC.

Bribery, at both the corporate and personal level, is designed to give the briber an unfair advantage. It violates the concept of fairness because it attempts to bias the result. Everyone is not treated equally; the payment favors the briber.

However, corporate bribery is commonplace, and when any corporation operates outside of its domestic market, the normal guidance offered to employees must be reconsidered as to the following:

- How their usual operating practices will impact on the local economy and culture;
- Whether different local foreign practices, such as widespread gift giving or even bribery, should be endorsed or banned;
- Whether employees need to be aware of different local foreign practices;
- The reaction to these changes by domestic stakeholders and particularly by primary stakeholders, including major customers and capital markets.

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[93] Strengthening the IAASB's Fraud Standard through 7 Key Changes, Nathalie Baumgaertener Dutang, IFAC, April 2024, https://www.ifac.org/knowledge-gateway/discussion/strengthening-iaasb-s-fraud-standard-through-7-key-changes.

Impacts on Local Economies & Their Cultures

Multinational corporations may have a significant impact on local cultures that they would not have domestically. They must be careful not to have unfavorable local impacts on the following:

- Labor markets: wage rates and availability of supply
- Raw material and other input markets
- Political and legal processes
- Religious and social customs

If, for example, a multinational corporation decides to ignore local religious and/or social customs, it and its workers may be accused of *cultural imperialism* and may find it difficult to obtain cooperation for future activities. Similarly, by virtue of its size, a multinational may so dominate the locale that there may be an unintended domination of local governments, courts, or elections that, again, may produce a backlash at some point.

Conflicts Between Domestic & Foreign Cultures

Perhaps the most difficult problems arise when the values of the primary corporate stakeholders differ from those in the local foreign country. Differences noted in the media in recent years have included the following:

- Approval of bribery
- Use of child labor
- Use of forced or coerced labor
- Unhealthy labor conditions
- Treatment of women
- Support of oppressive regimes through location of operations
- Lack of freedom of association
- Respect for environment
- Dealings with family members are expected, not avoided
- Employee personal liability for company wrongdoing

Often corporations locate operations in a country just because they want access to cheap labor, lower environmental protection costs, or less governmental red tape, and they are invited to come by the local politicians who do what they can by way of inducements. Why, then, should businesspeople worry about taking advantage of these opportunities when they find them? The reason lies in the new broader and global accountability the stakeholders expect and demand of corporations. Putting it simply, influential stakeholder groups have made it very difficult for corporations caught offending the values of the group anywhere in the world. Examples include the following:

- Boycott of clothing made in offensive labor situations:
  - As highlighted in the Rana Plaza garment factory collapse in Bangladesh in 2013
  - Nike, Reebok, Adidas, and other shoe manufacturers
- Frustration of the intended scuttling of Shell's Brent Spar oil storage vessel in the depths of the North Sea (refer to the ethics case "Brent Spar Decommissioning Disaster" at the end of this chapter) and the boycott of Shell products in Europe
- Worldwide boycott of Nestlé products for distributing powdered baby food to mothers in South Africa, who mixed the powder with contaminated water and harmed their babies
- Activist investors in North America pursuing many mining companies for their poor environmental protection practices elsewhere
- Boycott of beef grown on land cleared in the Amazon rainforest

In addition, environmental and personal disasters, such as that at Bhopal, have resulted in lawsuits launched by the same foreign politicians that invited the companies in and even entreated them to stay in adverse circumstances. Lawsuits have also arisen in these cases in domestic jurisdictions where the offending company's stock has been traded because of investors' and/or foreigners' claims that management was negligent and should have issued warnings of heightened risk caused by reduced safeguards. Although it seems that some customers want cheap goods and some investors rejoice in high profits, there are others who care about how these are produced and/or are willing to sue if an opportunity presents itself.

More important than the costs of a trial in terms of time lost, fines, and legal fees paid, companies should realize that the damage to their reputation is usually the most significant impact they suffer. The impact of lost reputation may not be felt for a while, but there is no doubt that it translates into lost future revenues of a very large magnitude.

Finally, there is an impact on the morale of domestic employees to be considered from engaging in practices not considered worthy. The desire of employees to be productive and to produce at high levels of quality may be undermined with serious consequences.

Sometimes, however, foreign local laws are more stringent than those a multinational organization faces at home, and the employees should be briefed on these to ensure that their potential liability and that of their companies are protected. The case of jail time for an unsuspecting employee in Germany is one such instance.

Jail & a German Subcontractor (names are fictitious)

Harold Johns found himself in jail in Germany. He was a vice president of Baranca Industries Inc., a U.S. firm that constructs and installs factory equipment. Unfortunately, he was the highest-ranking Baranca official in Germany while he was in Germany overseeing the installation of some equipment. Much to his surprise, there was a problem with the way a subcontractor paid his workers. Apparently, the way the subcontractor calculated the pay was illegal. In Germany, when a subcontractor does something illegal, it is assumed that the company hiring the subcontractor had knowledge and was also guilty. In addition, the highest-ranking officials with the subcontractor and the firms who hired him are held legally responsible. Therefore, Harold and the head of the subcontractor were arrested—as was the head of the enterprise that owned the factory.

Was this law fair? If you were Harold Johns, how would you ensure that Baranca executives and Baranca itself would never be vulnerable to such problems again?

Bribery & Facilitating Payments

In their foreign operations, multinational corporations are likely to be asked for facilitating payments or bribes. A *facilitating payment* is usually nominal in value and made to speed up a result that would have happened anyway given enough time. For example, a small payment made to a customs official that all importers pay to facilitate the movement of goods usually provides no competitive advantage. A bribe, on the other hand, is usually a larger payment than nominal, is paid to gain a competitive advantage, and without which the desired result would not occur. Both payments are intended to influence outcomes, but some observers believe that a facilitating payment is of lesser ethical consequence than a bribe. Others do not make this distinction.

Bribery by Lockheed Corporation Spawns the U.S. FCPA

In 1976, a subcommittee of the U.S. Senate decided that Lockheed Corporation had paid various government officials millions of dollars to guarantee purchases of planes. These included officials: in Japan for the F-104 Starfighter and the L-1011, in West Germany for the F-104 Starfighter, in Italy for the C-130, and in the Netherlands for the F-104 Starfighter. The company also paid $106 million in commissions to arms dealers to secure plane sales to Saudi Arabia. The resulting public outcry and investigation gave rise to the *U.S. Foreign Corrupt Practices Act* (FCPA) of 1977 prohibiting the corruption of foreign officials.

Most business leaders understand that bribing government officials is illegal in the country where the bribe is paid. Yet at the same time, they know that bribery has been the normal way of doing business in some regions, and laws have been enforced only sporadically or not at all.

However, this lax enforcement regime is changing. Because of the instigation of a multinational group, Transparency International, the United States and other leading Organization for Economic Development (OECD)[94] member countries decided to agree to an OECD Anti-Bribery Convention[95] whereby each signatory country would enact legislation similar to the FCPA[96] during late 1998 and early 1999.

By May 2018, 44 countries[97] had adopted the Anti-Bribery Convention and had enacted legislation making it illegal to pay a bribe to a foreign government official. In the United States, the FCPA is widely known because it has been on the books since 1977, when it was triggered by the Lockheed bribery scandal outlined in the insert box below. The FCPA is enforced by the SEC, which is imposing increasingly serious penalties, including fines and jail, such as in the Daimler AG and Siemens AG cases.[98] However, there still are many businesspeople who are unaware that other countries have enacted almost exactly identical laws and are beginning to enforce them. In some countries, local employees caught paying or receiving bribes may be severely punished, such as in China.[99]

More importantly, since 2010, the FCPA has been enforced globally, not only for actions in the United States, and in 2010, the U.K. government followed suit on an even broader scale by passing the *Bribery Act*. The *Bribery Act* applies to any company—and indeed any nonprofit organization—with a presence in the United Kingdom (i.e., even if not headquartered there) *for the bribery of businesspeople or government officials*, not only the latter. Moreover, there are *penalties for the company or person giving a bribe as well as the company failing to guard adequately against the receipt of a bribe*. In addition, *the FCPA's allowance of facilitating payments is not available under the* Bribery Act, although reasonable expenses (which will require continuous scrutiny and interpretation) will apparently not give rise to charges. Finally, the *Bribery Act* introduces *unlimited fines and imprisonment up to 10 years.* As a result, businesses now face serious fines with jail time for executives for actions taken anywhere in the world with regard

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[94] Refer to http://www.oecd.org.

[95] OECD Convention on Combating Bribery of Foreign Public Officials in International Business Transactions, http://www.oecd.org/daf/anti-bribery/oecdantibriberyconvention.htm.

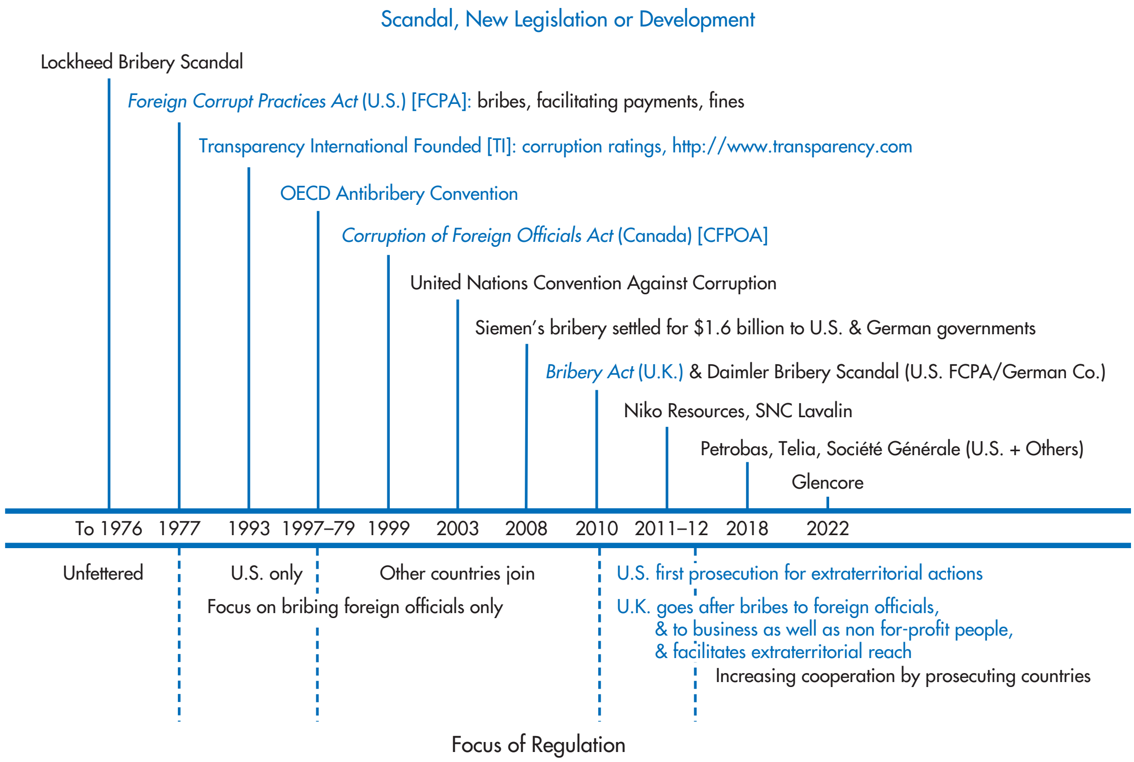
[96] Enacted in 1977, in response to the Lockheed bribery scandal.

[97] OECD Anti-Bribery Convention, Ratification Status as of May 2018, http://www.oecd.org/daf/anti-bribery/WGBRatificationStatus.pdf.

[98] Refer to the ethics cases "Daimler's Settles U.S. Bribery Case for $185 Million" and "Siemens' Bribery Scandal," both in Chapter 5.

[99] See the ethics case "Rio Tinto's Bribes in China" in Chapter 5.

Figure 7.10 Antibribery Developments: 1975–2025



to bribery in business dealings as well as corruption of government officials. Even Canada is beginning to prosecute companies. In short, companies, nonprofit organizations, and their executives are now facing an entirely new, more stringent antibribery regime.

These antibribery statutes in many countries will allow a corporation that believes that its foreign competitor is bribing officials in a third country to pursue the offending corporation through the domestic legal systems. For example, a U.S. corporation that suspected that a German company was bribing the officials in a South American country could apply to the U.S. legal system, which would, in turn, contact German authorities, who would search the German company's records for proof of the alleged transactions to be put forward in court. This initiative will make it much riskier to make payments to officials of foreign governments. It is a dramatic change from earlier positions where, for example, Germany considered a bribe outside of the country to be ethical and tax deductible but a bribe inside Germany to be unethical and illegal.

These antibribery developments are summarized in Figure 7.10 and in highlights provided in the Lockheed, Daimler, and Niko Resources cases.

Transparency International (TI) has been one of the major driving forces of increased bribery awareness and the stimulation of governments to enact antibribery statutes and increased regulation. Founded in 1993 in Germany to do just that, TI has developed chapters in many countries around the world. Their websites are significant sources of information (refer also to Table 7.11, which compares the U.S. FCPA to the U.K. *Bribery Act*).

Niko Resources—Canada's First Significant Bribery Prosecution

In June 2011, Niko Resources pleaded guilty to bribing an official of the government of Bangladesh by giving him a $190,000 vehicle, among other inducements, such as travel, to levy a low penalty for faulty and negligent drilling operations that resulted in unsafe conditions and an explosion. The company agreed to pay a fine of $9.5 million for the bribery. This was the second Canadian prosecution under the Corruption of Foreign Public Officials Act. The first involved the bribing of a U.S. customs inspector for $28,299 by officials of Hydro Kleen Group Inc. Hydro Kleen was fined $25,000 in 2005.

Table 7.11 Comparison of U.S. FCPA & U.K. *Bribery Act*

Provision	FCPA	*Bribery Act*
Who is being bribed	Only bribes ("anything of value") paid or offered to a "foreign official" are prohibited.	Prohibits bribes paid to *any person* to induce them to act "improperly" (not limited to foreign officials).
Nature of advantage obtained	Payment must be "to obtain or retain business".	Focus is on improper action rather than business nexus (except in case of strict corporate liability).
"Active offense" vs. "passive offense"	Only the act of payment rather than the receipt/acceptance of payment is prohibited.	Creates two offenses: (1) offense of bribing another ("active offense") and (2) offense of being bribed ("passive offense").
Corporate strict liability	Strict liability only under accounting provisions for public companies (failure to maintain adequate systems of internal controls).	Creates a new strict liability corporate offense for the failure of a commercial organization to prevent bribery (subject to defense of having "adequate procedures" in place designed to prevent bribery).
Jurisdiction	U.S. companies and citizens, foreign companies listed on U.S. stock exchange, or any person acting while in the United States.	Individuals who are U.K. nationals or are ordinarily resident in the United Kingdom and organizations that are either established in the United Kingdom or conduct some part of their business in the United Kingdom.
Business promotion expenditures	Affirmative defense for reasonable and bona fide expenditure directly related to the business promotion or contract performance.	No similar defense (but arguably such expenditures are not "improper" and therefore not a *Bribery Act* violation).
Allowable under local law	Affirmative defense if payment is lawful underwritten laws/regulations of foreign country.	No violation if permissible under written laws of foreign country (applies only in case of bribery of foreign public official; otherwise, a factor to be considered).
Facilitating payments	Exception for payment to a foreign official to expedite or secure the performance of a routine (nondiscretionary) government action.	No facilitating payments exception, although guidance is likely to provide that payments of small amounts of money are unlikely to be prosecuted.
Civil/criminal enforcement	Both civil and criminal proceedings can be brought by the Department of Justice and the SEC.	Criminal enforcement only by the U.K. Serious Fraud Office.
Potential penalties	Bribery: for individuals, up to five years' imprisonment and fines of up to $250,000; for entities, fines of up to $2 million. Books and records/internal control violations: for individuals, up to twenty years imprisonment and fines of up to $5 million; for entities, fines of up to $25 million.	For individuals, up to ten years imprisonment and potentially unlimited fines; for entities, potentially unlimited fines.

Source: http://www.transparency-usa.org/documents/FCPAvsBriberyAct.pdf. Reprinted with permission from Transparency International USA.

Faced with a much more comprehensive and high-risk environment, companies need to build antibribery risk identification and management techniques into their strategic planning, training, assessment, and incentive systems. A number of anti-corruption tools are available, including the *TI-Canada Anti-Corruption Compliance Checklist*, First Edition (Revised), 2011, which is downloadable from http://www.transparency.ca/New/Files/TI-Canada_Anti-Corruption_Checklist_2011R1.pdf. It provides a comprehensive overview of the subject with practical suggestions, background on major developments, and references to additional resources.

TI, along with its national chapters, is the primary source for authoritative information on international bribery and corruption. TI's research, which is available on its website http://www.transparency.org/research, includes studies such as a *Corruption Perceptions Index*, predictions, national assessments, help desks, business surveys, and reports by country.

Every year TI publishes its *Corruption Perceptions Index* (*CPI*), which ranks the perceived levels of public sector corruption in 180 countries.[100] In 2024, the lowest perceived incidence of bribery (in the *CPI*) of government officials was considered to be in Denmark, at 90 out of 100, while the worst scores were for South Sudan at 8/100 and Somalia at 9/100. In 2024 Canada and the United States were ranked in perceived incidence of corruption at fifteenth and twenty-eighth, respectively, in the *CPI*. Both rankings were down six places since 2018. The *BPI* and *CPI* rankings are available on all TI websites and can be valuable tools for companies in assessing their operational risks in foreign countries, particularly in countries near the bottom of the list. The following TI websites are gold mines of information and guidance:

http://www.transparency.org—the worldwide site, based in Berlin
https://www.transparency.org/country/USA—the U.S. site
http://www.transparencycanada.ca—the Canadian site

Of course, bribery and corruption are also bad on purely ethical grounds. They can have a devastating effect on development and create injustices for those not in a position to benefit or who have to pay the bribes. They are also damaging to reputations, as was discovered by Acres,[101] a major Canadian engineering consulting firm that was convicted in Lesotho of paying bribes. Even though Acres had denied guilt, it was essentially forced out of business. SNC-Lavalin was convicted of paying bribes in Libya and almost lost the right to bid on contracts with the Canadian government. In April 2013, the World Bank banned "an SNC subsidiary from bidding on World Bank projects for 10 years because of misconduct in projects in Bangladesh and Cambodia."[102] Interestingly, in early 2019, Canada's Prime Minister Trudeau and his chief of staff tried to persuade his minister of justice to arrange for SNC Lavalin to receive a deferred prosecution agreement (i.e., a fine) rather than be banned from government contracts in Canada for 10 years. Although this intervention was designed to save jobs at the company, Trudeau alienated a large portion of the public and two cabinet ministers who resigned, which may have contributed to Trudeau's Liberal Party losing its majority in Canada's October 2019 parliamentary elections.[103] Daimler and Siemens are recent examples of companies that have taken a reputational hit. These bribery cases are located in Chapter 5.

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[100] Refer to the TI 2024 Corruption Perception Index, https://www.transparency.org/en/cpi/2024.
[101] "Corruption in Lesotho: Small Place, Big Wave," *The Economist*, September 19, 2002, accessed November 24, 2013, at http://www.economist.com/node/1338833.
[102] "SNC-Lavalin Face Charges of Fraud and Corruption in Libyan Business Dealings," CTV News Montreal, February 19, 2015, accessed June 13, 2016, at http://montreal.ctvnews.ca/snc-lavalin-face-charges-of-fraud-and-corruption-in-libyan-business-dealings-1.2243475.
[103] Nicolas Van Praet and Andrew Willis, "Justice, Jobs and SNC-Lavalin," *The Globe and Mail*, March 2, 2019, B6, B7, https://www.theglobeandmail.com/business/article-justice-jobs-and-snc-lavalin-how-much-does-the-engineering-giant.

Since 2012, the era of inter-country cooperation on investigations and data sharing for prosecution has gained momentum. According to Allen & Overy,[104] the following are examples of 2018 cases prosecuted and settled under the U.S. Foreign Corrupt Practices Act, in which other countries participated:

- Petrobras, S.A.—$1.7 billion paid to U.S. and Brazilian authorities;
- Telia Company A.B.—$965 million paid to U.S., Dutch, and Swedish authorities; and
- Société Générale—$585 million paid to U.S. and French authorities.

The same report indicates that the number of SEC whistleblower tips in 2018 increased by "a record number of 5,200 tips from 72 countries. This is a 76% increase in the number of tips since FY 2012.

For comparison, the number of tips, complaints, and referrals (TCRs) received from whistleblowers by the SEC in 2024 was 24,980, although over 14,000 were received from two individuals. 47 whistleblowers received awards totaling over $255 million, of which the largest five were: $98 million to two whistleblowers, two at $37 million, $28 million, and $24 million to two whistleblowers. These details, and others related to the calculation of the awards, the nature of the TCRs and the whistleblowers, and whistleblower protections, may also be found in the Securities and Exchange Commission, Office of the Whistleblower *Annual Report to Congress for Fiscal Year 2024*.[105]

Rather than leaving employees to make up their own minds as to when payment is appropriate, the corporation should have a policy concerning the nonpayment of bribes and conditions under which facilitating payments might be paid. For example, it may not be sufficient to simply say that no bribes shall be paid; it is important to provide guidelines to employees concerning what to do if they are asked. If a company permits facilitating payments, it needs to have very strict and clear policies surrounding their payment. The payments should be defined, there should be limits and approval processes, and they should be properly recorded in the accounts.

It should be clear that facilitating payments or bribes are problematic for reasons other than illegality, including the following:

- Adding to the cost of the operation, good, or service
- Undermining the practice of purchasing based on merit in a country or firm
- Risking possible negative consequences from stakeholder groups should they find out
- Impossibility of enforcing performance or obtaining a contract after bribes are paid
- Impossibility of assessing sales force effectiveness
- Indicating to employees elsewhere in the organization that bribes are permitted in spite of what codes of conduct say
- Indicating to seekers of bribes elsewhere that bribes are possible if they ask for them
- Risk to local employees and expatriate personnel should the bribes come to light
- The risk that a change in political control, particularly by revolution, could bring past practices to light and have serious consequences for the company and local employees
- Undermining internal control. (Usually, bribes paid are untraceable [e.g., frequently in cash], and management cannot know for sure that the real beneficiary was as reported. The recipient may in fact be an employee of the company who pretended that a bribe needed to be paid to an outsider.)

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[104] Allen & Overy, *Anti-Bribery and Corruption Year in Review: 2018*, January 2019, p. 6, http://www.allenovery.com/SiteCollectionDocuments/Anti-Bribery%20and%20Corruption%20Year%20in%20Review%202018.pdf.
[105] Securities and Exchange Commission, Office of the Whistleblower, *Annual Report to Congress for Fiscal Year 2024*, November 15, 2024, downloadable from https://www.sec.gov/enforcement-litigation/whistleblower-program.

Some multinationals have banned the giving of bribes or facilitating payments and have continued to operate profitably in the countries concerned. On the other hand, some claim they have lost business to companies who do not have similar scruples. Because of their lower economic power and influence, smaller companies may find it more difficult to resist pressure. The OECD Convention and resulting legislation help to level the playing field, but it remains to be seen how helpful this will be to small companies.

In some cultures, particularly in Southeast Asia, China, and Japan, there is a long tradition of gift-giving to cultivate long-term relationships that facilitate business dealings. In these situations, corporations may be best advised to have a permissive policy where employees would be required to consult a corporate ethics officer to make sure that cultural niceties are observed without breaking laws at home or abroad. Gift giving might cover such items as an iPad but would certainly not stretch to a Mercedes.

This is a good example of an issue that has moved from being a business aggravation to an ethical issue to a legal issue. But it is still an ethical issue. It needs to be covered in corporate codes of conduct and business policies and practices when a company is in a position to be asked for a bribe. Policies, especially for decision makers in the field, need to be clear and unequivocal. Management will not be saved by ignoring the issue or taking steps to ensure they do not know what goes on locally in high-risk countries. In particular, employing an agent to deal with business abroad does not get management off the hook. They are responsible for providing appropriate instructions to agents not to pay bribes and to monitor their expenditures to be alert for those that might indicate that bribes have been paid. An excellent article on this issue is "Not Seeing is no Defence" by James Miklotz.[106] Additional articles that provide useful background information about the fine line between gifts and bribes include "What is a Bribe in 2011?" by Matthew McClearn[107] and "A Gift for Mr. Hossain" by Greg McArthur.[108]

Boards, audit committees, and the management of companies operating in high-risk parts of the world should expect their auditors to be aware of the associated risk that illegal bribes may have been paid and to take the risk into account in their audits.[109]

DaimlerChrysler Subject to Bribery U.S. Laws

The first *Foreign Corrupt Practices Act* (FCPA) extraterritorial bribery case involved the German automotive company DaimlerChrysler. Although Germany had outlawed bribery of foreign officials in 1999, David Bazzetta learned at a corporate audit executive committee in 2001 in Stuttgart, Germany, that units of DaimlerChrysler continued to do so and that the company was conspiring to continue. Since the company raised funds in the United States, it was an SEC registrant in the United States and was therefore subject to FCPA legislation and regulation. Mr. Bazzetta blew the whistle as is possible under the FCPA, which led in early April 2010 to guilty pleas in the United States to charges of bribery by German and Russian business units and to the failure to maintain books and records and of internal controls as required under the FCPA. The investigation

[106] James Miklotz, "Not Seeing Is No Defence," *CAmagazine*, October 2006, http://www.camagazine.com/3/3/9/9/2/index1.shtml.

[107] Matthew McClearn, "What Is a Bribe in 2011?," *Canadian Business*, October 19, 2011, and November 7, 2011, http://www.canadianbusiness.com/article/51851--what-is-a-bribe-in-2011.

[108] Greg McArthur, "A Gift for Mr. Hossain," *Report on Business*, September 2011 [Niko Resources bribery], https://secure.globeadvisor.com/servlet/ArticleNews/story/gam/20110826/ROBMAG_SEPT2011_P38_39_40_41_42_43_44.

[109] This is a requirement of Canadian, U.S., and international auditing standards (CICA Hand-book Section 5136, AICPA Au 317 and ISA 250, respectively).

of the whistleblower's allegations focused on only fifty-one transactions but revealed that bribes had been given in twenty-two countries. Daimler settled the case in 2010 by paying the SEC $91.4 million as disgorgement of profits and $93.6 million to the U.S. Department of Justice for related criminal charges for a total of $185 million for bribes made outside the United States.

Apparent Cultural Conflicts with Banning Gifts, Bribes or Facilitating Payments

As mentioned, in some cultures, particularly in Southeast Asia, China, and Japan, there is a long tradition of gift-giving to cultivate long-term relationships that facilitate business dealings. In addition, it has been popularly believed that a corporation cannot do business in some countries unless payments are made to officials. Consequently, it has been said that if a corporation wants to do business in certain markets, bribery or facilitating payments is necessary. In fact, however, some corporations have found that they have been able to do business without such payments, primarily because their products or services are excellent. Allis-Chalmers and Citibank are examples of such corporations.

Guanxi in China & Asia

Guanxi is a social networking practice, prevalent in China and other Asian countries, that needs to be understood to avoid ethical difficulties. Essentially, *guanxi* involves drawing on personal connections for favors, but it is aimed at long-term, reciprocal relationships, not the kind of short-term, quick-profit favors that are the usual focus of bribery attempts. In Chinese culture, according to Yadong Luo,[110] individuals should adhere to moral principles that respect social harmony, interdependence, and reciprocity as well as several other values.[111] If an individual does not follow the expected moral principles, then they will run the risk of offending social etiquette, will lose face (reputation), and probably trustworthiness and/or credibility. Since these are foundational to building an individual's *guanxi*, failure to maintain or enhance them will prevent the building of *guanxi* by the offender. They will be considered to be a poor prospect for lasting reciprocal relationships within the expected moral bounds of Chinese society. In this context, gift-giving in an open and transparent manner is important to building trust in a long-term relationship. Bribery, however, which is done in secret and is usually designed to elicit a short-term favor, does not usually build trust, or *guanxi*. Bribery would be considered detrimental to the building of long-term relationships based on traditional Chinese moral values.[112]

There is a social bonding aspect to networking in China that may have a relationship to building *guanxi*. For some relationships, the sharing of personal experiences—dinner, drinks, and karaoke—could be expected that go far beyond the normal ethical behavior and spending guidelines of Western corporations. These expectations should be recognized in advance and appropriate policy guidance given to employees and agents. However, when forming that policy guidance, it should be recognized that such social activities may be helpful for each party to develop a correct understanding of the expectations and capabilities of the other. Failure to understand those expectations and capabilities could lead to loss of face and trustworthiness. Since it often takes a considerable amount of time and effort to build *guanxi* (i.e., to understand each other's expectations and capability), dining and other informal social activities are common in Asian business practices.[113]

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[110] Yadong Luo, *Guanxi and Business*, 2nd ed. (Singapore: World Scientific Publishing, 2007).

[111] Ibid. In Confucian philosophy, social interaction is governed by eight moral principles: loyalty, respect, kindness, love, trust, justice, harmony, and peace.

[112] Research notes from Michael Shaunessy were used in preparing the comments on *guanxi*. Michael is a student in the University of Toronto's MMPA Program, which the author directs.

[113] A useful reference on guanxi can be found at http://en.wikipedia.org/wiki/Guanxi.

Moral Imagination

In other corporations, managers have used their *moral imagination* to devise alternatives that answered needs in the host culture but conformed to North American norms for acceptable behavior (refer to the ethics case "Bribery or Opportunity in China" at the end of Chapter 4). A manager in China refused to pay officials of a potential host city, citing company policy. When the officials insisted repeatedly, the manager sought and received approval for a corporate contribution toward the establishment of a community center in a local park that would offer services to senior citizens. This appealed to Chinese cultural values and was in line with the corporation's North American policy of community support. It was differentiated from a bribe in that no payment was made to an individual for personal benefit and all payments were made in public rather than in secret.

Money Laundering

Bribery is an attempt to get decision makers to set aside their responsibilities to their employers in favor of a third party who expects to benefit. Sometimes bribery is used to get employees of banks and financial institutions to cooperate in illegal money-laundering schemes designed to move wealth from weak currencies to strong ones or to move wealth obtained by crime into bank accounts that can be accessed for legitimate purposes, such as purchases of real estate in stable economies. Sometimes bank employees can be coerced to cooperate by threats to their person or to members of their family. Banks that are caught facilitating money laundering can face very significant fines, so bank governance mechanisms are continuously under improvement to prevent complicity. Fundamental governance policies, such as knowing who your clients are and carefully examining and/or reporting questionable transactions over $10,000 to regulators, are essential for banks to avoid money-laundering ensnarement.

The Danske Bank Money Laundering case provided at the end of this chapter is a real example of a major Russian money laundering scandal. For an in-depth understanding of how money laundering works, including the stages of placement, layering, and integration, and such techniques as smurfing and so on, there are descriptive articles online, such as that by Julia Layton and Oisin Curran.[114] Money laundering is a pervasive, persistent crime, and in response, anti-money-laundering expertise is in high demand. That is why it is a component of the training for professional forensic accountants, as noted on page 587.

Guidelines for Ethical Practice for Foreign Operations

Two authors have made an extensive study of the ethics of foreign operations and have written excellent books on the subject. Tom Donaldson and Richard DeGeorge have each put forward useful guidelines for corporations with multinational operations.

Donaldson[115] argued that multinational corporations and their agents operating in foreign cultures should adopt, as a minimum standard of behavior, the protection of the following fundamental human rights:

- Freedom of physical movement
- Ownership of property
- Freedom from torture
- Fair trial
- Nondiscriminatory treatment
- Physical security
- Freedom of speech and association
- Minimal education
- Political participation
- Subsistence

[114] Julia Layton and Oisin Curran, "How Money Laundering Works," *How Stuff Works*, https://money.howstuffworks.com/money-laundering1.htm.

[115] Tom Donaldson, *The Ethics of International Business* (Oxford: Oxford University Press, 1989), 81.

Observing these fundamental rights, he said, would protect a corporation's moral right to—exist.[116] This is a condition affecting reputation, which is now recognized as far more important to ongoing success than a legal right.

DeGeorge[117] suggested seven practical, action-oriented principles to guide the activities of multinational corporations that would be useful in providing a sound "basis for evaluating and responding to charges of unethical behavior."[118] These principles include the following:

1. Do no intentional direct harm.
2. Produce more good than harm for host country.
3. Contribute by their activity to the host country's development.
4. Respect human rights of their employees.
5. Provided that local culture does not violate ethical norms, respect and work with that culture, not against it.
6. Pay their fair share of taxes.
7. Cooperate with local government in developing and enforcing just background institutions.

Several other groups have also developed codes of ethics or guidelines to be used by multinationals in their development of appropriate policies and practices, including the following:

- UNGC (updated 2011)—ten principles related to human rights, labor, the environment, and anticorruption: http://www.unglobalcompact.org/AboutTheGC/TheTenPrinciples/index.html
- Caux Round Table Principles for Business (updated 2010)—seven principles focusing on respect for stakeholder rights and laws and for building trust beyond the letter of the law and several related stakeholder management guidelines: http://www.cauxroundtable.org/index.cfm?menuid=8
- *OECD Guidelines for Multinational Enterprises on Responsible Business Conduct* (2023)—a set of policies, disclosures, and implementation guidelines to be addressed by OECD member countries to multinational corporations covering stakeholder rights, good governance, and support for local cultures and governments, particularly with regard to economic, environmental, and social progress: https://www.oecd.org/en/publications/2023/06/oecd-guidelines-for-multinational-enterprises-on-responsible-business-conduct_a0b49990.html
- The International Labour Organization—a set of fundamental principles created in 1997 to protect workers' rights: http://actrav.itcilo.org/actrav-english/telearn/global/ilo/guide/main.htm

These and other frameworks have been synthesized by Timo Herold and Christopher Stehr,[119] who developed a series of hypernorms for corporate codes of conduct to guide multinationals. They begin by considering whether the correct perspective should be the superiority of the home culture (ethnocentric view) or the local culture (relativistic view)

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[116] Ibid., 62.

[117] Richard T. De George, *Competing with Integrity in International Business* (Oxford: Oxford University Press, 1993), 45–56.

[118] Weber Shandwick, "Crisis Management Is Number One Success Factor for Global Chief Communications Officers, According to Annual Survey," press release, June 26, 2012, http://www.webershandwick.com/news/article/crisis-management-is-number-one-success-factor-for-global-chief-communicati.

[119] Ibid.

or whether behavior should be universal across all cultures. They conclude with a series of hypernorms covering the corporation's responsibilities to employees, customers, suppliers, the environment, and society in general.

Consultation Before Action

The presumption that an organization is best served by a monolithic and rigid ethical culture may not be correct. Dunn[120] and Dunn and Shome[121] show that cultural differences contribute to Chinese and Canadian business students holding different attitudes toward the appropriate action to take when confronted with questionable accounting and business situations. Leaving employees to figure out how to deal with the various cultures encountered in international operations is a high-risk strategy. All organizations with international operations should sensitize their employees to cultural differences and equip them with an understanding of how the organization wants them to deal with the major issues likely to come up. At the very least, there should be an avenue for consultation with home office officials and a clear understanding of when to use it.

Crisis Management

Crises are pervasive and hugely disruptive in the current business environment, often breaking or making the reputations and fortunes of the company and its senior officers. According to the 2012 Annual Survey of Global Chief Communications Officers, more than 70% report that their companies experienced a threat to their reputations in the prior two years, and crisis management is the number one success factor for global chief communications officers.[122]

In *PwC's 2019 Global Crisis Survey*,[123] 69% of the 2,084 executives surveyed in 25 industries across 43 countries indicated that they had experienced at least one crisis in the previous five years. In total, 4,515 crises were analyzed in the categories shown in Figure 7.11. However, the number of crises is up dramatically. PwC's 2023 Global Crisis and Resilience Survey[124] indicates that 96% of nearly 2000 executives surveyed said their organizations had experienced disruption in the last two years, and 91% had experienced a disruption other than the COVID pandemic.

The PwC 2019 survey goes on to indicate which crises were the most disruptive and which present the most serious concerns in the future as shown in Figure 7.12.

A crisis has the potential to have a very significant impact on the reputation of the company and its officers, on the company's ability to reach its objectives, and on its ability to survive.[125] Because "crisis comes at a high cost to organizations that deal with them—most CEOs (74 percent) spend time on the resolution. It takes approximately 15 months to get past the problem and such crises beget a host of other issues, such as more media scrutiny (60 percent), more governmental scrutiny (51 percent), and reduced employee morale

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[120] Dunn, P. 2006. "The Role of Culture and Accounting Education in Resolving Ethical Business Dilemmas by Chinese and Canadians," *Accounting and the Public Interest*, 6(1): 116–134.

[121] Dunn, P. and Shome, A. 2006. "Cultural Crossvergence and Social Desirability Bias: Ethical Evaluations by Chinese and Canadian Business Students," *Journal of Business Ethics*, 85(4): 527–543.

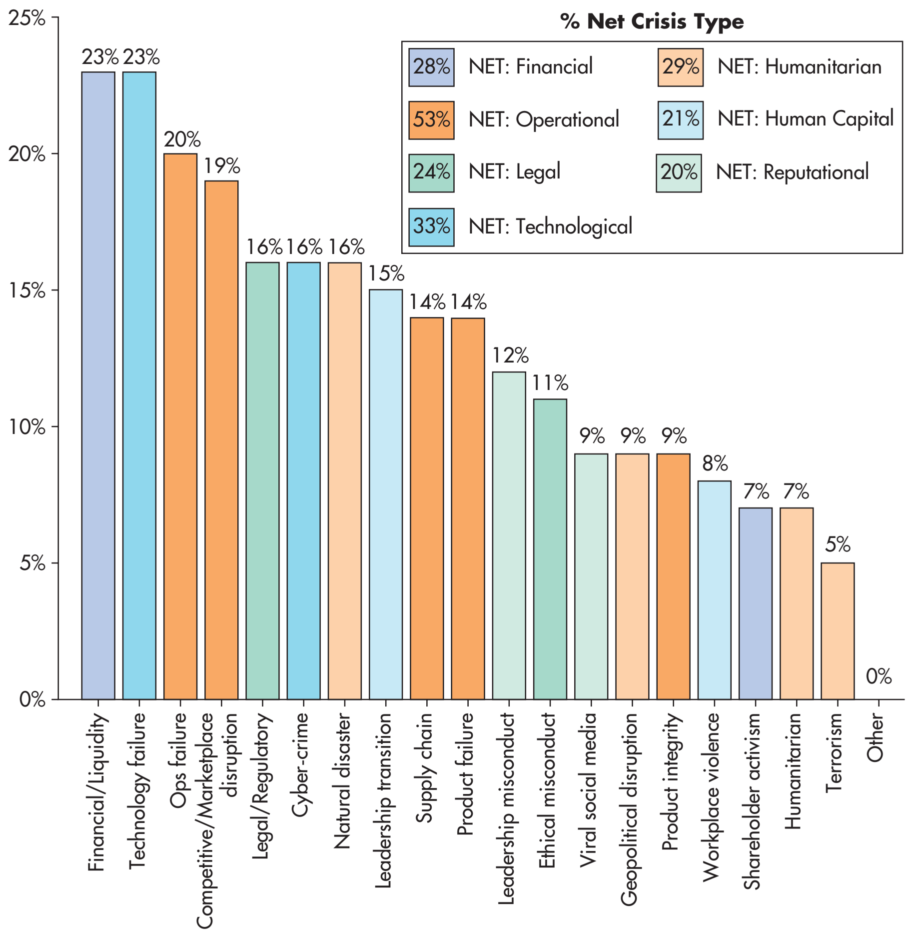
[122] Ibid., 45.

[123] *PwC's Global Crisis Survey 2019: Crisis Preparedness as the Next Competitive Advantage: Learning from 4,500 Crises*, accessed November 1, 2019, at https://www.pwc.com/ee/et/publications/pub/pwc-global-crisis-survey-2019.pdf.

[124] *The Revolution is Here, PwC's Global Crisis and Resilience Survey 2023,* accessed on February 23, 2025, at https://www.pwc.com/gx/en/issues/crisis-solutions/global-crisis-survey.html.

[125] Timo Herald and Christopher Stehr, "Developing Hypernorms for Corporate Codes of Ethics," *Journal of Global Strategic Management* 7 (June 2010), http://www.isma.info/dosyalar/100–111_developing_hypernorms_for__corporate_codes_of_ethics.pdf.

Figure 7.11 Crises Triggers/Types Experienced



Source: PwC's Global Crisis Survey 2019: Crisis Preparedness as the Next Competitive Advantage: Learning from 4,500 Crises, p. 6, http://www.pwc.com/globalcrisissurvey.

(42 percent)."[126] As a result, executives have learned that crises are to be avoided and that, if avoidance is not possible, the crisis is to be managed so as to minimize harm. Directors have learned that crisis assessment, planning, and management must be part of a modern risk management program, and that they also need to build enterprise resilience—"to evolve continuously, protected from shocks, while at the same time being able to adapt, create value and maintain a competitive edge."[127]

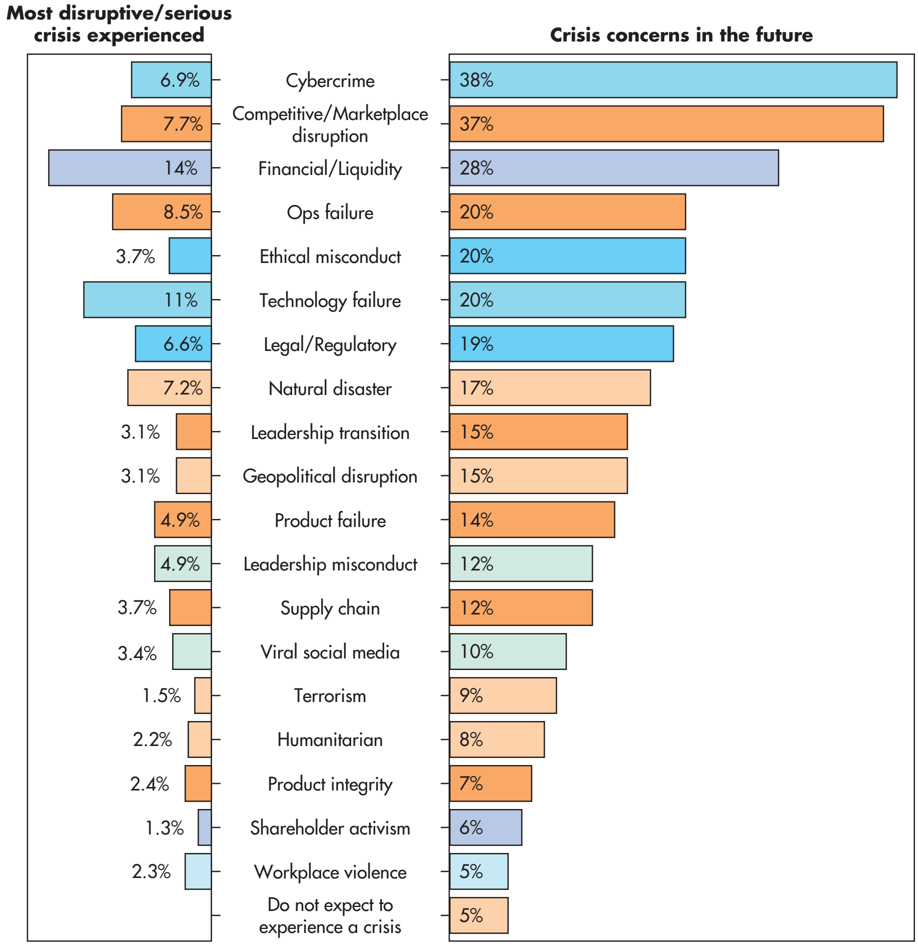
Unfortunately, the urgent nature of a crisis causes a focus on survival, and ethical niceties are largely forgotten. According to Lerbinger, a crisis "*is an event that brings, or has the potential for bringing, an organization into disrepute and imperils its future profitability, growth, and, possibly its very survival.*"[128] Effective management of such events involves minimization of all harmful impacts. In reality, crisis-driven reactions rarely approach this objective unless

[126] O. Lerbinger, *The Crisis Manager: Facing Risk and Responsibility* (Mahwah, NJ: Lawrence Erlbaum Associates, 1997), 4.

[127] Ibid.

[128] Ibid.

Figure 7.12 Most Dangerous/Serious Crises Experienced



Source: PwC's Global Crisis Survey 2019: Crisis Preparedness as the Next Competitive Advantage: Learning from 4,500 Crises, p. 7, http://www.pwc.com/globalcrisissurvey.

advance planning is extensive and is based on a good understanding of crisis management techniques, including the importance of maintaining reputation based on ethical behavior.

If ethical behavior is considered to be of great importance by a corporation in its normal activities, ethical considerations should be even more important in crisis situations since crisis resolution decisions usually define the company's future reputation. Not only are crisis decisions among the most significant made in terms of potential impact on reputation, but opportunities may also be lost if ethical behavior is not a definite part of the crisis management process. For example, avoidance of crises may be easier if employees are ethically sensitized to stakeholder needs, phases of the crisis may be shortened if ethical behavior is expected of employees, and/or damage to reputations may be minimized if the public expects ethical performance based on past corporate actions. Moreover, the degree of trust that ethical concern instills in a corporate culture will ensure that no information or option will be suppressed and not given to the decision maker. Finally, constant concern for ethical principles should ensure that important issues are identified and the best alternatives canvassed to produce the optimal decision for the company.

Four Phases of Crisis Management

Fundamental to the proper management of a crisis is an understanding of the four phases of a crisis: precrisis, uncontrolled, controlled, and reputation restoration. These are outlined in Figure 7.13. The main goal of crisis management should be to avoid crises. If this is not possible, then the impacts should be minimized. This can be done by anticipating crises or recognizing early warning signs as soon as possible and responding to soften or minimize the impact and shorten the time during which the crisis is uncontrolled. These goals can best be achieved by proper advance planning, by continued monitoring, and by speedy, effective decision making during the crisis. Figure 7.13 shows two cost curves, where the lower one reflects the benefits of earlier control being applied, thus minimizing the overall cost and the ongoing damage to reputation.

Advance planning for a crisis should be part of a modern enterprise risk assessment and contingency management program because of the growing recognition of the potential negative impact of an unanticipated crisis. It can be done effectively by brainstorming for potential problem areas, assessing those identified, and devising contingency plans for effective action. Second, red flags or warning indicators can be picked out that will identify what is developing so that the earliest action can be taken to minimize cost. It is now common for advance planning to include the identification of senior-level management and a corporate-level crisis management team that would focus on the crisis and a crisis communication plan that could include notification of the public, employees, government, and the media.

The process of brainstorming to identify crises should address problems that could arise from the seven types identified by Lerbinger:[129]

1. Natural disasters
2. Technological disasters
3. Differences in expectations between individuals, groups, and corporations leading to confrontations
4. Malevolent acts by terrorists, extremists, governments, and individuals
5. Management values that do not keep pace with environmental and social requirements and obligations
6. Management deception
7. Management misconduct

Managing the crisis effectively once it has happened is vital to the achievement of crisis management goals. Quick identification and assessment of a crisis can be instrumental in influencing the outcome efficiently and effectively. One of the key characteristics of a crisis is that it will degenerate if no action is taken,[130] so delay in identification and action can have serious consequences.

Well-prepared companies should develop internal training for crisis awareness, identification, and management, and many use outside contract trainers as well as simulation exercises. Additional insights into successful practices that can lead to strengthened companies' post-crises may be found in publications by Deloitte[131] and PwC.[132]

Undivided attention to the crisis and avoidance of other problems that can befuddle decision makers will result in better decisions, just as will the making of plans on a contingency basis and the integration of ethics into the decision-making process.

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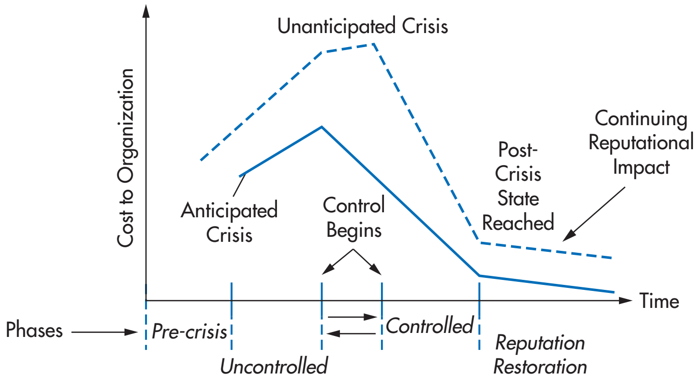
[129] Ibid., 10–14.

[130] C. F. Hermann, "Some Consequences of Crisis Which Limit the Viability of Organizations," *Administrative Sciences Quarterly* 8, no. 1 (1963): 62–82.

[131] Dent, Peter, Rhoda Woo, and Rick Cudworth, *Stronger, Fitter, Better. Crisis Management for the Resilient Enterprise* (survey and report). *Deloitte Insights*, 2018, https://www2.deloitte.com/content/dam/insights/us/articles/GLOB305_Crisis-management-survey/DI_Crisis-Management-Survey.pdf.

[132] *PwC's Global Crisis Survey 2019.*

Figure 7.13 **Phases of a Crisis**



One of the most important aspects to keep in mind during the assessment of crises and the avoidance or minimization of their impact is the immediate and ongoing impact on the organization's reputation. By reflecting on how the organization's response to the crisis will affect the perception by stakeholders of its trustworthiness, responsibility, reliability, and credibility, decision makers can make choices that benefit all stakeholders and often *enhance* the organization's reputational capital or shorten the period of diminishment.

Ethics can be integrated into the decision-making process for crisis management in many ways. Specific instances involving prevention and warning, inclusion in an analytical approach, focusing a decision, and framing communications are outlined in Table 7.12.

Ethics also may be helpful in the communication aspects of the restoration phase of a crisis. As social media usage becomes more pervasive, it can provide a very fast and accurate means for corporations to communicate directly with stakeholders rather than through media that can put a biased spin on the message. However, a corporation known for unethical activities and misleading communications cannot consider its use of social media to be without immediate challenge by skeptics and cautious reception by stakeholders. Ultimately, reputation will be judged on the underlying ethical values that the organization lives by, and social media can put those under a spotlight for better or worse.

Integrated Resilience Program

One of the recent advances in managing the disruption caused by crises is the development of an integrated resilience program. Enterprise resilience requires your business "to evolve continuously, protected from shocks, while at the same time being able to adapt, create value and maintain a competitive edge" through the development of three components:

- Strategic resilience: the ability to evolve and build agility into an organization,
- Operational resilience: the ability to maintain critical operations during a disruption, and
- Financial resilience: the ability to maintain capital and cash flow during disruption,[133]

According to the PwC 2023 Global Crisis and Resilience Survey, almost two-thirds of organizations have begun the process of development of an integrated program, but only

[133] Ibid.

Table 7.12 How to Incorporate Ethics into Crisis Management

Prevention and warning:

- Code of conduct: identify values, adopt, emphasize & make effective
- Identify potential ethics problems & warning indicators, & pre-plan responses, as part of an ongoing enterprise risk management & contingency planning program
- Ethical "red flags" or warning indicators:
    - Training to emphasize how to identify & what to do about them
    - Check as part of an ongoing enterprise risk management system
- Encourage by publicizing good examples & awarding paper medals

Analytical approach:

- Apply a stakeholder-analysis framework as discussed in Chapter 5:
- External ethics consultant
- Checklist or specific time to consider:
    - ethics issues, alternatives & opportunities

Decision itself:

- Ethics/company's values: integrate into the decision making:
    - Consider how the crisis or its impact can be influenced ethically: timing, cost, mitigation?
    - Specific consideration of how to improve the organization's reputation drivers, including trustworthiness, responsibility, reliability, & credibility
    - Specific ethical communications objectives
    - Assign ethics watchdog responsibility
    - Use a checklist or template with specific ethics objectives
    - Apply moral imagination as discussed in Chapter 5

Communications on ethical intent to:

- Media, employees, customers, government, public & other stakeholders

20% have achieved one. Ninety-one percent of these have a dedicated resource to champion the process, but only 5% have achieved an integration of resilience competencies into operations and the corporate culture.

Although it is early in the development of integrated crisis management and resilience processes, experts argue that the improvement in effectively overcoming shocks and disruption, identifying opportunities, and enhancing the health of executives will be worth the effort.

Conclusion

Modern corporations and other organizations are successful because they create, sustain, or improve value. Ultimately, success depends on the support they engender from their stakeholders, and that depends on the respect shown for stakeholder expectations. Appropriate or ethical behavior is therefore circumscribed by the expectations of stakeholders, and care should be shown for the creation of guidance and other means for encouraging employees to "do what is right."

In this new era of stakeholder accountability, organizations would do well to observe the six hypernorms: honesty, fairness, compassion, integrity, predictability, and responsibility. These values should be built into governance, risk management, strategy, operations, ethical decision making, disclosure, and crisis management. Reputation and success depend on it, whether you are a director, executive, or professional accountant.

Questions

1. In what ways do ethics risk and opportunity management, as described in this chapter, go beyond the scope of traditional risk management?
2. If a corporation's governance process does not involve ethics risk management, what unfortunate consequences might befall that corporation?
3. How will the U.S. external auditor's mindset change in order to discharge the duties contemplated by SAS 99 on finding fraud?
4. Corporate reporting to stakeholders other than shareholders has exploded. Why is this? Can stakeholders really make good use of all the information now available?
5. How could a corporation utilize stakeholder analysis to formulate strategies?
6. Descriptive commentary about corporate social responsibility performance is sometimes included in annual reports. Is this indicative of good performance, or is it just window dressing? How can the credibility of such commentary be enhanced?
7. Why should a corporation make use of a comprehensive framework for considering, managing, and reporting corporate social responsibility performance? How should they do so?
8. Do professional accountants have the expertise to audit corporate social performance reports?
9. What would you list as the five most important ethical guidelines for dealing with North American employees?
10. Is trust really important—can't employees work effectively for someone they are afraid of or at least where there is some "creative tension"?
11. Should a North American corporation operating abroad respect each foreign culture encountered or insist that all employees and agents follow only one corporate culture?
12. What should a North American company do in a foreign country where women are regarded as secondary to men and are not allowed to negotiate contracts or undertake senior corporate positions?
13. The #MeToo Movement has finally succeeded in getting women's allegations of sexual abuse to be taken seriously by management and boards of directors. Why did it take so long for this tipping point to be reached?
14. How would you advise your company's personnel to act with regard to expectations of *guanxi* in China?
15. What would you advise that corporations do to recognize the new worldwide reach of antibribery enforcement related to the FCPA and the U.K. *Bribery Act*?
16. If a company is to be sentenced for paying bribes 10 years ago, should the company be banned from all government contracts for 10 years, just made to pay a fine, or both? Consider the impacts on all stakeholder groups, including current and past shareholders, current employees and their families, people who paid the bribes, and current and past members of the board of directors, as well as competitors from other countries that may just have to pay a fine.
17. Why should ethical decision making be incorporated into crisis management?

Case Insights

The cases provided to illuminate the issues developed in this chapter are surprisingly realistic and engage the reader quickly. The specific scenarios, with notation of the chapter section to which they primarily apply, are as follows:

Ethics Risks & Opportunities Case

The Hockey Canada Sex Scandal exposes the governance shortcomings of an important not-for-profit organization illustrating the ethics risk an organization runs and the consequences involved if its governance does not meet the expectations of its stakeholders.

CSR Cases—Environmental Issues

- *Harry Potter & Sustainability* examines how Harry Potter books came to be printed on recycled paper and identifies the significant environmental savings involved. The environmentally friendly roles of the author, J. K. Rowling, Rainforest Books, and the Rainforest Alliance are identified.
- *Pollution by Cruise Ships* examines the dilemma of whether cruise ships that sail through two countries should dump their "gray water" in the country that has the more relaxed pollution standards.

Workplace Ethics Cases—Employee Rights

- *Vishal Garg Fires 900 Employees Over Zoom* is the story of a wealthy entrepreneur who fires 900 employees effective immediately during a two-and-a-half-minute online call.

Workplace Ethics Cases—Discrimination & Abusive Behavior

- *Diversity, Equity & Inclusion (DEI) Cases* specifically designed to illustrate DEI issues for professional accountants, and selected from the DEI Case Collection of the University of Toronto's Professional Accounting Centre[1]:
    - *Business Imperative Linked to Diversity, Equity & Inclusion*
    - *Unconscious Bias*
    - *Diversity, Equity & Inclusion Metrics*
    - *Religious Diversity*
- *Texaco's Jelly Beans* is the story of how Texaco's discrimination against black workers ended up costing a $300 million fine and lost respect. Why did it happen?
- *Gender Discrimination at Dell Inc.* describes a $9.1 million class action settlement the company had to pay because it systematically discriminated against promoting women.
- *Novartis $250+ Million Gender Discrimination Case* tells how women at Novartis were systematically mistreated, what they did about it, and what Novartis had to do to settle the case.
- Additional abuse cases located in Chapter 1:
    - *Pedophile Priests in the Catholic Church*
    - *Sexual Abuse by a Penn State Football Coach*

[1] The DEI Case Collection of the University of Toronto's Professional Accounting Centre may be found at https://www.utm.utoronto.ca/pac/dei-case-collection-professional-accountants.

Workplace Ethics Case—Spying

- *Spy versus Spy: Corporate Espionage in the Canadian Airline Industry* requires students to analyze the ethicality of one firm spying on another firm in order to gain competitive intelligence about the firm's industry. Located in Chapter 3.

Workplace Ethics Cases—White-Collar Crime

- *Danske Bank's Money-Laundering Scandal* is a fascinating tale involving Russian oligarchs wanting to move $230 *billion* of their ill-gotten wealth to a safe Western currency through a tiny bank branch in Estonia. The case lifts the veil on the problems faced by many financial institutions and reinforces the need for vigilance and effective governance mechanisms.
- *QuadrigaCX—A Cryptocurrency Fiasco* exposes a fraud on the public in which the owner of a cryptocurrency exchange misuses or steals client funds by taking advantage of an unprepared regulatory environment and the secrecy that makes cryptocurrencies so attractive to criminals, speculators, and tax evaders.

Whistleblower/Ethics Inquiry Cases

- *Barclays Bank: How Not to Deal with Whistleblowing* relates how the CEO of Barclays went to extreme lengths in order to identify, unsuccessfully, a whistleblower.
- *Hospital Governance Challenges* is located in Chapter 5. Hospitals are primarily interested in providing the best health care possible, not in maximizing profit. The dominant hospital stakeholder group is the doctors, who work on trust and are motivated by duty. Expectations are for everyone to do the same—so hospitals are not looking for misdeeds. But frauds and mistakes happen, and effective whistleblower protection programs might help reveal them.

Bribery & International Operations Cases

- *Glencore Mining Bribery Saga* is about a multinational trading and mining company that employed bribery as a normal operating strategy only to be fined and suffer many other restrictions and sanctions. Why did it take them so long to realize the risks associated with their practice?
- *Pharmaceutical Companies in South Africa* poses the problem of drug companies campaigning against changes in patent rights that would result in greater competition in the marketplace for their existing drugs.
- Additional bribery cases located in Chapter 5:
  - *Siemens' Bribery Scandal*
  - *SNC Lavalin Missing Funds Topples CEO & Triggers Bribery Investigation*
  - *Rio Tinto's Bribes in China*
  - *Daimler Settles U.S. Bribery Case for $185 Million*
  - *Bribery for Russian Contract with Anti-Bribery Prosecutor's Office*

Risk & Crisis Management Cases

- *BP's Gulf Oil Spill Risk Management* documents how BP, their consultants, and suppliers mismanaged the risks leading to the extremely tragic 2010 Deep Horizon/Macondo oil spill. Videos are referenced.

- *BP's Corporate Culture* examines allegations that BP's corporate culture was flawed and therefore responsible for the Deep Horizon Gulf oil well blowout or at least the way in which senior officials responded. A video provides interesting insights that companies should understand and risks to be managed.
- *Toyota's Recall Problems* explores how company officials handled the crisis of several deaths reportedly due to jammed accelerators. At the start, officials seemed to stumble, and Toyota's reputation suffered. Could they have handled the crisis better?
- *Digoxin Overdose—The Need for Skepticism, Courage & Persistence* involves the death of a child that could have been avoided if only one of the many people involved had demonstrated sufficient skepticism, courage, and persistence. These deficiencies of character are frequently responsible for business and professional crises and scandals.
- *The Exxon Valdez* reviews the event of the shipwreck and oil spill that galvanized the public and environmental activists to pressure companies for better environmental protection. It is an exceptional lesson of what can go wrong to lead to a crisis and during the crisis.
- *The Brent Spar Decommissioning Disaster* deals with the crisis management fiasco that Shell faced when dealing with the outrage created by Greenpeace to stop a questionable environmental practice.
- *Wind River Energy Inc.* is a relatively small firm where the majority owner and CEO face multiple crises critical to the financial and physical well-being of the company's stakeholders. What would you do if you were the CEO?

Reading Insights

Appendix A: Ethics Audit Program Annual Questions provides useful insights for ethics risk management and control.

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CSR Case—Ethics Risks & Opportunities

The Hockey Canada Sex Scandal

Ethics Case Part 1

"In one alleged incident, eight members of Canada's national junior hockey team are said to have sexually assaulted a woman in London, Ont. in 2018."[1] This was the story that shocked the Canadian public in mid-2022 partly because Hockey Canada is the national governing body of ice hockey in Canada "overseeing 13 member branches and working with 12 affiliated organizations/partners that manage the sport at all levels—from young children to Olympic teams—across the country."[2]

But the shock grew larger! A few days later, it was revealed that "21 victims [had received] $8.9M in compensation.

[1] "The Hockey Canada scandal: What we know, and don't know, about the two sexual-assault incidents," Omar Mosleh, *Toronto Star*, July 22, 2022, accessed online on November 3, 2023 at https://www.thestar.com/news/canada/the-hockey-canada-scandal-what-we-know-and-don-t-know-about-the-two-sexual/article_78b7527f-de4c-5db5-a443-cafbb837a1c0.html.

[2] "What is Hockey Canada? A primer on the organization at the heart of the scandal," Darryl Dyck, *The Toronto Star*, July 26, 2022, accessed online on February 20, 2025 at https://www.thestar.com/news/canada/what-is-hockey-canada-a-primer-on-the-organization-at-the-heart-of-the-scandal/article_f55c857a-3556-50d8-8106-4dbd26c0aaba.html.

Hockey Canada reveals its history of settling sexual misconduct claims,"[3] some involving abuse by future stars. In addition, it was disclosed that the payments were made from a secret "National Equity Fund" or from insurance proceeds both of which Hockey Canada had funded from the annual dues paid by young hockey players across Canada and various sponsors including the Canadian government.

But what really created anger was that Hockey Canada had taken little or no action against the perpetrators, the hockey players who were the sexual abusers. Their names had been kept secret, and the women they had abused had been paid off to keep quiet.

When this news broke, "Prime Minister Justin Trudeau said he thought it was 'hard for anyone in Canada to have faith or trust in anyone at Hockey Canada.'"[4] Sponsors fled the scene, and the Government of Canada threatened to cut off its funding. A federal investigation and hearings were undertaken.

Hockey Canada went into damage control mode. The Board of Directors and management resigned and were replaced. Hockey Canada committed to a new governance protocol and practices including having women on the Board of Directors.

The anger finally subsided, but not before learning that Hockey Canada has paid $1.6 million to a crisis management firm for advice on how to deal with these sexual assaults and their aftermath.

Ethics Case Part 2

Although Hockey Canada and its governing management and directors suffered terrible reputational and financial damage in 2022 when the story of sexual abuse became public knowledge, the damage grew when the case came to trial in April and May of 2025. New information came to light, as follows:

- The mother of the abused victim called the London, Ontario police to report that she had found her 20-year-old daughter crying in the shower about the abuse she had suffered.
- A detective investigated and taped interviews with players and the victim, but decided not to bring charges because the victim refused to participate and there was evidence that she had consented and even stimulated the abuse. The players were warned that their interviews could be used in a later trial if one was held.[5]
- After receiving a call from the victim's stepfather, Hockey Canada hired a lawyer, Danielle Robitaille to investigate. She tried to interview players, but they asked to defer their interviews until the police investigation was over. The alleged victim would not permit Ms. Robitaille to interview her either. According to Ms. Robitaille, she was faced with "double hearsay …It just wasn't fair for me to proceed with player interviews without detailed allegations" and her investigation was "stuck."[6]
- The victim subsequently began a $3.5 million lawsuit against Hockey Canada and received a settlement for an unspecified amount, which included a non-disclosure agreement.
- In 2024, Meaghan Cunningham, Ontario Crown Attorney responsible for such abuse cases, launched a lawsuit against the players involved in the alleged abusive behavior, which came to trial in May of 2025. Earlier videotaped police interviews with the players were presented. The victim, known as EM (her real name was kept secret by a publication ban), testified for several days via remote link.
- At the trial, the public learned that one of the players met EM at a bar and after several drinks, they went back to his room where they had consensual sex. Without EM's knowledge, the player then texted his teammates inviting them to a "3 way quick."[7] Nine other teammates arrived, some of whom had sex at the "invitation" of EM. The Crown Attorney and the victim subsequently argued that EM was under the influence of alcohol and was intimidated by being in a small room with ten big men, one of whom slapped her on the buttocks, and therefore took on a "porn star" personality[8] as a defense mechanism.[9,10]

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[3] "21 victims. $8.9M in compensation. Hockey Canada reveals its history of settling sexual misconduct claims," Kieran Leavitt, *Toronto Star*, July 27, 2022, accessed online on November 3, 2023, at https://www.thestar.com/news/canada/21-victims-8-9m-in-compensation-hockey-canada-reveals-its-history-of-settling-sexual-misconduct/article_a37c894f-e26c-5392-9282-d41591be36f8.html.

[4] Ibid., 1 above.

[5] "The prosecution has closed. Here's how to understand the Crown's case in the Hockey Canada sex assault trial," Jacques Gallant, *Toronto Star*, May 29, 2025. https://www.thestar.com/news/canada/the-prosecution-has-closed-here-s-how-to-understand-the-crown-s-case-in-the/article_71b68c59-61ff-404e-b88f-d68a1f90e7e4.html.

[6] "Treasure trove of evidence wiped out by unfair probe," Jacques Gallant, *Toronto Star*, May 18, 2025, A6, A7.

[7] Ibid.

[8] "Assault complainant testifies she adopted a 'porn star persona,'" Jacques Gallant, *Toronto Star*, May 8, 2025, A8.

[9] "Case pores over NHLer's lack of memory," Rosie Dimanno, *Toronto Star*, A2, May 22, 2025.

[10] "A case about consent," Jacques Gallant, *Toronto Star*, April 24, 2025, A1, A11.

- The testimony of the players and the victim was *very graphic and shocking*. News reports of that testimony are available,[11] and videos made by the players during the assault were viewed in court. The trial proceeded as a "judge alone" trial after the jury was dismissed over perceptions by a jury member about the behavior of two of the defense lawyers.

Trial Decision

On July 24, 2025, Superior Court Justice, Maria Carroccia, rendered her verdict, acquitting all five players charged. She found that EM, the young woman involved, was neither credible or reliable, so the claim that EM was afraid to reject the sexual advances of the players was not credible. She found that EM's bahavior invited sex rather than demonstrated a lack of consent. The players, however, were banned by the NHL from playing in the NHL pending the completion of an internal investigation.[12]

Questions

Read the referenced articles to this case and answer the following questions.

1. Should Hockey Canada have disciplined the players in 2018 even though they did not have a definitive report of the incident, and such action might have been used against the players and Hockey Canada in any later court cases?
2. Instead of disciplining the players, what else could Hockey Canada have done?
3. The Crown Prosecutor argued that although the first incident of sex with the player she had left the bar with was consensual, the other incidents were not even though EM invited them. Was the Crown Prosecutor correct?
4. What Hockey Canada governance flaws contributed to this scandal?
5. Why did this scandal occur?
6. How could this scandal have been avoided?
7. What lessons should be learned from this scandal?

[11] "At Hockey Canada sex assault trial, prosecution pushes to admit NHLer's 'critical' text messages," Jacques Gallant, *Toronto Star*, May 23, 2025, Retrieved on June 1, 2025 from https://www.thestar.com/news/canada/at-hockey-canada-sex-assault-trial-prosecution-pushes-to-admit-nhler-s-critical-text-messages/article_1188d5b6-d6db-4562-9c15-26dc83b93f14.html.

[12] "The latest as judge acquits five hockey players in sexual assault trial," The Canadian Press, in the *Toronto Star*, July 24, 2025, https://www.thestar.com/news/canada/the-latest-as-judge-acquits-five-hockey-players-in-sexual-assault-trial/article_23c9a929-9559-5404-a0e1-5664c51324ad.html.

CSR Cases—Environmental Issues

Harry Potter & Sustainability

Ethics Case

One of Greenpeace's sustainability campaigns is to encourage publishers to print books on recycled paper. "Greenpeace wants books in the marketplace with much more recycled content and with any virgin fibre used in the paper coming from well managed forests, certified to the standards of the Forest Stewardship Council."

Along with other environmental groups, Greenpeace targeted the publishers of the Harry Potter books. Between 1997 and 2007, J. K. Rowling released seven books in the Harry Potter series. By 2018, they sold over 500 million copies worldwide.

In 2003, Bloomsbury Publishing printed the United Kingdom version of *Harry Potter and the Order of the Phoenix* on 10% recycled paper. The Canadian hardcover edition, co-published by Bloomsbury and Rain Coast Books, was published on 100% post-consumer recycled, chrome-free paper that resulted in the following ecological savings:

- 39,320 trees,
- 64 million liters of water,
- 854,000 kilograms of solid waste,
- enough electricity to power an average home for 262 years, and
- greenhouse gases of the equivalent of driving a car 5.3 million kilometers.

However, because of the number of books printed and the number of pages in each copy of the book, it was not easy for Rain Coast to find enough recycled paper. Furthermore, using recycled paper meant that production costs increased by 3% On the other hand, J. K. Rowling was pleased and urged other publishers to do what Rain Coast had done.

In 2005, Greenpeace and the National Wildlife Federation called for a boycott of the United States edition of *Harry Potter and the Half-Blood Prince* that was published by Scholastic Inc. on the basis that it was not printed on recycled paper. Instead, Greenpeace and the National Wildlife Federation encouraged people to buy the Rain Coast edition which was printed on recycled paper at an extra cost to Rain Coast of $200,000.

In 2007, Scholastic Inc. printed the United States version of *Harry Potter and the Deathly Hallows* on paper that contained 30% post-consumer waste fiber and announced that a special deluxe edition would be printed on 100% recycled paper.

When *Harry Potter and the Deathly Hallows* was released in July 2007, it sold 11 million copies in the United Kingdom and the United States on the first day. This led one environmentalist to remark: "If we get Harry Potter and the Bible, that pretty much covers the bestsellers."

Questions

1. The demand for Harry Potter books was so high that all copies probably would have been sold regardless of whether they were printed on recycled paper. Was printing them on recycled paper in the best interests of the publishers' stakeholders?
2. There might be ecological and financial cost savings if books were published digitally. Do you think that publishers have an ethical responsibility to stop using paper and immediately move to a 100% digital mode of publishing?

Sources: Greenpeace UK, "Harry Potter Goes on Part Recycled Paper," July 17, 2004, accessed November 20, 2010, at http://www.greenpeace.org.uk/media/press-releases/harry-potter-goes-on-part-recycled-paper.

"Harry Potter Author Runs Out of Paper," *Harry Potter Daily Prophet News*, April 8, 2006, accessed November 21, 2010, at http://www.harrypotter.ca/news-detail.php?ID=58.

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"Harry Potter Finale Sales Hit 11m," *BBC News*, July 23, 2007, accessed November 25, 2010, at http://news.bbc.co.uk/2/hi/entertainment/6912529.stm.

Pollution by Cruise Ships

Ethics Case

In the post-pandemic era, the cruise ship industry has rebounded from the 2020 images of 'plague ships' with passengers and crew suffering from COVID-19. The Cruise Line International Association (CLIA) predicts that the number of passengers and revenues for cruise lines will increase in 2023 and that by 2026 it will be 12% above pre-pandemic levels. Cruises from Washington State to Alaska—the states at the bottom and top of British Columbia—are the most booked U.S. cruise vacations. These trips contribute billions of dollars to many American and Canadian port cities when swarms of day-trippers disembark from the ships.

Cruise ships are the equivalent of floating small towns carrying thousands of passengers on vessels that are often thirteen decks tall. On their way to and from Alaska, they produce an estimated 31 billion liters of toxic waste each year according to environmental group Stand.earth. This consists of greywater (from showers, sinks, swimming pools, dishwashing, and laundry), sewage (from toilets), bilge water (the oily liquid that collects at the lowest part of a ship), and scrubber wastewater (an acidic cocktail of chemicals).

Scrubbers remove exhaust gases such as sulfur oxide and nitrogen oxide from the heavy bunker oil used as marine fuel. Scrubber wastewater is the largest source of pollution according to World Wildlife Federation Canada. A cruise ship will generate nearly 200 million liters of scrubber wastewater on a one-week trip to and from Alaska. The vessel can choose to discharge it at sea or within a port. Most waste from scrubbers is dumped overboard as it is generated.

British Columbia's Pacific waters are particularly polluted because Canadian federal dumping regulations are less stringent than U.S. laws. Washington has a no-discharge policy in Puget Sound within Washington State and the Strait of Juan de Fuca that it shares with Canada. Alaska requires cruise ships to have a license to discharge sewage and greywater. Canada's laws are less restrictive; treated sewage and greywater can be dumped when the ship is more than three nautical miles from shore and untreated sewage when outside a 12-nautical mile limit.

When released, the wide array of toxic substances in the polluted water poses a significant threat to aquatic wildlife, including seabirds, sea otters, sea lions, and orcas as well as their natural habitat and food supplies. Fishing communities fear that critical fish species are being exposed to harmful substances. Protestors in Victoria are worried about the threat to their water. "There's this perverse incentive to treat Canada like a toilet bowl," said Anna Barford of Stand.earth. "They're just using us like a highway and tossing stuff left, right, and centre."

The cruise line industry spends millions of dollars annually promoting trips with photos and videos of sailing through pristine waters, and of passengers observing aquatic wildlife in its natural habitat while enjoying the scenic beauty of the Pacific Northwest. The Cruise Line International Association advocates for sustainable tourism, "initiatives that help to preserve the integrity, cultural heritage, and beauty of the world's most treasured destinations."

In August 2016, Crystal Cruises sent the first luxury cruise ship through the Northwest Passage. Tickets for the 32-day trip from Anchorage, Alaska to New York City on the 13-deck Crystal Serenity cost from $20,000 to $120,000 per person. The World Wildlife Federation expressed concerns about large cruise ships sailing through the pristine Canadian wilderness. "We recognize the positive steps that Crystal Cruises have taken to minimize their impact, working with local communities and in particular choosing not to burn heavy fuel oil in the Arctic, which is more persistent and damaging to wildlife if spilled. But if tourism is not sustainable, we risk ruining the very thing that tourists would come to see."

Questions

1. If the pollution laws are lax in one country but strict in another, do cruise ships have an obligation to follow the stricter laws even when temporarily sailing through the waters of the country with the lax restrictions?
2. Should smaller port cities limit the number of day-trippers to prevent over-tourism?
3. Based on the case facts, do you consider the marketing of cruise ships to be unethical?

Sources: Chai, Carmen. 2010. "Cruise ships turn B.C. into 'toilet bowl of North America' critics say." *Postmedia News*, August 20.

Migdal, A. 2016. "Cruise ship looks to make clean journey through Northwest Passage." *Globe and Mail*, August 19.

Palmer, C. 2022. "Cruise industry faces choppy seas as it tries to clean up its act on climate." *Reuters*, July 27.

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Workplace Ethics Case—Employee Rights

Vishal Garg Fires 900 Employees Over Zoom

Ethics Case

In 2016, Vishal Garg started Better.com, a mortgage lending company based in New York City, that used technology to make home purchasing faster and more efficient. By 2021, he had received a key $70 million investment from SoftBank, a Japanese investment company, and planned on having Better.com go public in 2022 with an estimated $7 billion valuation.

On December 7, 2021, during the pandemic, Garg fired 900 employees using a short online Zoom call.

> "Hi everyone, thank you for joining. I come to you with not great news. The market has changed, as you know, and we have to move with it in order to survive so that hopefully we can continue to thrive and deliver on our mission.
>
> "This isn't news that you're going to want to hear but ultimately it was my decision and I wanted you to hear it from me. It's been a really, really challenging decision to make. This is the second time in my career that I'm doing this and I do not want to do this. The last time I did it I cried. This time I hope to be stronger. But we are laying off about 15% of the company for [a number of] reasons: the market, efficiency and performances and productivity.
>
> "If you're on this call you are part of the unlucky group that is being laid off. Your employment here is terminated. Effective immediately."

He thanked the employees, promised they would receive an email from Human Resources shortly, and ended the two-and-a-half-minute call.

After the brief online meeting, he told some other employees that 250 of the people whom he let go were unproductive and had been stealing from the company by only working two hours a day. This was consistent behavior. In 2020 he wrote an email to staff that said, "You are TOO DAMN SLOW. You are a bunch of DUMB DOLPHINS… SO STOP IT. STOP IT. STOP IT RIGHT NOW. YOU ARE EMBARASSING ME." Previously, he had threatened to set a former business partner on fire.

On December 9, two days after the online firing, he apologized saying, "I failed to show the appropriate amount of respect and appreciation for the individuals who were affected." His apology did not matter. Two executives resigned: the head of communications and the head of marketing. On December 14, Garg announced that he was taking a leave of absence.

Questions

1. How would you assess Garg's handling of the firings?
2. Should Garg have waited until after the December holiday season to fire the employees?
3. How would you assess Garg's leadership style?
4. In the aftermath of the firings, what do you think the board of directors should have done?

Sources: Beth Timmins, "Vishal Garg: US boss fires 900 employees over Zoom," *BBC News*, December 7, 2021.

Gloria Oladipo, "Better.com CEO who fired employees over Zoom returns to work after hiatus," *The Guardian*, January 20, 2022.

Jason Aten, "The CEO who fired 900 employees on a Zoom call is out. It's a tragic example of how not to manage people," *INC.*, December 14, 2023.

Workplace Ethics Cases—Discrimination & Abusive Behavior

Business Imperative Linked to Diversity, Equity & Inclusion

Ethics Case

Nick is the manager of a group of senior staff accountants at Gibbs & Mora LLP. He's worked in this position for three years and his team comprises five other senior staff accountants. Nick was recently approached by his senior manager, Braydon, and was told that his team was selected to potentially complete an audit for one of their clients. Nick's team has the opportunity to pitch its skills in a client meeting the following week.

Nick shares the news about the audit with his team—everyone is excited. This could be a huge opportunity for the accountants to prove themselves, and it is also a major client for Gibbs & Mora. To prepare themselves for the client meeting, Nick and his team review the client file to familiarize themselves with the client and its relevant stakeholders so they're ready to meet the following week.

On the day of the meeting, Nick, Braydon, and the rest of the team make their way to the client's office. When they arrive, they meet Bianca, the CEO of the company. Bianca is Hispanic. Nick shakes her hand and Braydon begins the presentation. Nick and Braydon know the content of their project proposal is strong and that there is little reason Bianca wouldn't choose their team to complete the audit.

After the presentation, Bianca seems pleased. However, she doesn't automatically agree to hire Nick and his team. Instead, she says she needs a few days to think about it. Nick hands her his business card and tells her that he's looking forward to her response. Nick and the team head back to the Gibbs & Mora office.

Two days after the meeting, Bianca visits the Gibbs & Mora office to speak to Nick and Braydon. Bianca tells them that she was very impressed with their presentation, but that she is concerned about the lack of diversity within the team. It's the only thing that's holding her back from signing them on.

Braydon shifts uncomfortably in his seat and looks at Nick. Both of them are at a loss for words. The team, including Braydon and Nick, comprises seven accountants. They never noticed that all seven of them were white males in their thirties.

"Diversity is very important to me and my company," Bianca tells them. "It's the only thing I'm struggling with when it comes to deciding who will complete the work."

Braydon assures her that he will do whatever he can to get Bianca on board with Mora & Gibbs. "There are many accountants who work at the firm," he tells her. "I'm more than happy to bring on other employees to diversify the team."

While Bianca appreciates Braydon's dedication, she doesn't feel that his solution really solves the problem. She wants to work with an organization that prioritizes diversity and inclusion. "Why is your team so homogeneous?" She asks Braydon and Nick.

Nick says that Mora & Gibbs is a small accounting firm with small teams. "Because of this," he says, "it's helpful for everyone to have a lot in common." He tells Bianca about their teambuilding exercises, like playing golf and watching sports. "Having a team of similar people who enjoy these activities works really well." Nick says that he never really thought about the diversity of the team. "Everyone is good at what they do," he says. "I don't think my team is any less capable of completing the job."

Bianca thanks Braydon and Nick for their honesty and tells them that she still has a lot to consider before she makes her final decision.

Questions

1. Why wasn't simply adding a "diverse" employee to the team a suitable solution for Bianca? Do you support Braydon's decision to suggest this? Where was Braydon coming from?

2. What are the negative repercussions of Braydon's idea to simply bring a diverse employee onto the team? Consider the concept of tokenism.
3. What could Gibbs & Mora do to get Bianca to sign on with Nick's team? What are some of the next steps Gibbs & Mora can take in the short and the long term?
4. Do you agree that Nick's team works well because of the lack of diversity? What could a more diverse team bring to the table?
5. Are there any drawbacks for an organization that solely prioritizes the business case for DEI?

Source: DEI Case Collection for Professional Accountants, University of Toronto Professional Accounting Centre, 2025, PAC website https://www.utm.utoronto.ca/pac/dei-case-collection-professional-accountants.

Unconscious Bias

Ethics Case

Alex is an Asian-Canadian employee at a small accounting firm named Huxley & Associates LLP. She's been working at Huxley for two years as a senior accountant. Before that, she was a junior accountant for four years. In the office, she's known for going above and beyond; she's involved in difficult projects, and her managers have always come to her first with complex issues. Alex works on a large team with ten other accountants, which is led by Jenna, their manager.

During a staff meeting with all the managers, a new project is announced. The project has tight deadlines that will require long hours. Jenna is told that her team will lead the project. The other managers ask Jenna if she needs additional resources to meet the deadlines, but Jenna is confident that her team can get the job done. She's proud that her team was selected and feels this reflects positively on herself and her leadership skills.

Jenna pulls her team into a meeting and tells them the news, outlining the project and explaining the timelines. She acknowledges that this project will have a big workload and that everyone needs to make it a top priority over the coming weeks. The team is asking a lot of questions and Jenna can tell that everyone is already feeling a little overwhelmed. Some wonder if the deadline is too tight, while others fear that given their current workload, they won't be able to fully prioritize this project. Jenna assures everyone that they can handle this and offers her support. "We're all going to have to work extra hard," she says. "Let's all take the lead from Alex and work as hard as she does. I'll need people coming in early, staying late, and bringing work home with them as needed—just like Alex!"

Jenna looks over at Alex and smiles. But instead of being happy with the praise, Alex looks uncomfortable. Jenna shrugs, assuming Alex doesn't like public praise. Jenna adjourns the meeting, knowing her team is anxious about the deadlines, but she's confident that the project will get done on time if everyone works as hard as Alex.

Over the next few weeks, when Jenna arrives at work, Alex is there. When Jenna leaves for the day, Alex is still there. Jenna is proud that her employee is so dedicated to the project. During a check-in meeting, Jenna asks the team how they're progressing with the work. When the team tells her that they are feeling overwhelmed, Jenna tells them that she notices Alex is at the office before and after office hours. "And she's not burnt out," Jenna tells them. "Everyone needs to work as hard Alex." After Jenna closes the meeting, she remembers how the senior management team told her that if she needed additional resources, all she had to do was ask.

During lunch, Jenna sees Alex sitting and chatting with another employee named Michelle. Jenna often sees Alex and Michelle together. They seem to get along well. Michelle, who is also of Asian descent, is a junior accountant who has been with the firm for two years. Jenna approaches Michelle's manager and asks if she can use Michelle as an additional resource for her project. Michelle's manager agrees, and Jenna brings Michelle to a staff meeting to introduce her to the team.

"I can see that you're all feeling overwhelmed," Jenna tells her team, "so I brought in Michelle to give us a hand." Everyone greets Michelle with enthusiasm. But when Jenna looks over at Alex, Alex is not as excited as the others.

After the meeting, Alex knocks on Jenna's door and asks if she can speak with her. Jenna welcomes her in and is looking forward to getting a better understanding of how she's feeling about the project. "Why did you bring on Michelle?" asks Alex, surprising Jenna. Jenna tells Alex that she often saw her with Michelle and thought that if she brought on someone who is similar to her, they would work well together, and this would boost team morale and productivity. "Have you ever worked with Michelle?" Alex asks Jenna, and Jenna shakes her head no. Alex then tells her that while she does like Michelle, the reason they get along so well is because they don't work closely together.

Alex confides to Jenna that Michelle doesn't like to take initiative. While Michelle is kind, she needs a lot of coaching and guidance to complete small tasks. Alex worries it will be more work to have Michelle on the team than to not have her. "I'm sorry I didn't look into Michelle's working style before bringing her on," Jenna says. "I'll transfer Michelle back to her old team for the time being. Thank you for being so honest with me. I just hoped to find someone who works as hard as you." Again, Alex looks uncomfortable with this comment.

"Why do you expect me to work so much harder than the others?" Alex asks Jenna. Jenna is taken aback by this question. "It's not that I expect it," she says. "I just notice that you work harder."

"It's just that I'm never *asked* if I can stay late. I'm *told*. Sometimes I think you have different—higher—expectations than the rest of the team. One day, I came to work on time, and you asked me why I was late!" The fact that she is the only person of color on the team (and, in particular, the only person of Asian descent) makes Alex feel isolated.

"I don't think you're being malicious or acting with malintent," Alex continues. "I just hope that you can be more aware of your words. I love my job," Alex says, "and I think you're a great manager. I just hope this doesn't change the way you feel about me."

Questions

1. Was Jenna intentional with her actions toward Alex and Michelle? Do you think Jenna was trying to single out Alex's work ethic because of her Asian Canadian ethnicity?
2. How might Jenna's attitudes towards Alex be harmful to other employees at the firm who identify as Asian or Asian Canadian?
3. Is there a way for Jenna to correct her actions that stem from her biases? If so, how? What could she do to be more conscious as she moves forward?
4. What are Jenna's strengths as a manager? Her weaknesses? Do her biases interfere with her ability to be a stronger manager for Alex?
5. What are some strategies Jenna could practice to prevent herself from stereotyping Alex, Michelle, and other employees in the future?

Source: DEI Case Collection for Professional Accountants, University of Toronto Professional Accounting Centre, 2025, PAC website https://www.utm.utoronto.ca/pac/dei-case-collection-professional-accountants.

Diversity, Equity & Inclusion Metrics

Ethics Case

Aalia identifies as a Canadian, Black, Muslim woman. She has worked as a senior accountant for the past ten years and has recently quit her job as manager at a large accounting firm because she was constantly experiencing microaggressions that affected her mental health. She made a formal complaint to Human Resources about a situation with a manager that resulted in no change. This negative experience left her feeling isolated. After suffering a year of anxiety, she decided to quit and find a more inclusive work environment.

In today's job market, more and more employers are showing their dedication to diversity, equity, and inclusion, and Aalia is certain that she can find a workplace that will be conducive to supporting her mental health. She spent a lot of time updating her résumé, applying for jobs, and researching companies of interest. She wanted to be sure she was applying to companies that were truly equitable and put their people first. She went to company websites to learn about their core values, look for diverse representation at the leadership level, and see what initiatives they posted.

During this process, Aalia didn't consider job postings that had non-inclusive language. She even refused to apply to a company that asked her to disclose where she attended university. After applying to many job openings, she received calls from three potential employers. Thrilled, she accepted interviews with all three organizations.

The first interview was for a senior accountant position at a mid-sized accounting firm called Da Silva Capital Advisory. They asked her if she would be comfortable with an in-person interview. She agreed and went to the office for an interview with a man named Ryan. At the end of the interview, Aalia asked Ryan about the firm's inclusion initiatives. Ryan told her that having an inclusive workplace is Da Silva's top priority. He told her about their employee engagement surveys and a yearly training seminar for diversity awareness. "We also have employee resource groups like the Working Group on Indigenous Initiatives."

The second interview was for a senior accountant position at a small-sized accounting firm called BWP Accounting. Aalia spoke with two people, Alyssa and Connor, over Zoom. Once they had gone through the interview questions, they asked her if she had any questions for them. Aalia asked how the firm supports an inclusive workplace. Alyssa and Connor tell her that

BWP has an equity group and that approaching their work through an equity perspective is one of this year's priorities. They also tell Aalia that the firm brings in a monthly guest speaker to speak to employees about different social matters. "For example," says Alyssa, "this month we had someone come in to speak about intersectionality in the workplace." "Once a month we also have a team-building activity during our update meeting," says Connor. "I find this helps foster a more inclusive work environment." Aalia learns that all town halls start with a land acknowledgement and team leaders are very involved in employee engagement.

The third interview was also over Zoom for a senior accountant position at a mid-sized accounting firm called Underwood Tax & Accounting. Aalia was interviewed by Grace (an Asian woman who would be her supervisor), Matt (a Black man who would be her manager), and Amber (a white woman who is the HR representative for the firm). They ask Aalia all of their questions and then ask her if she has any for them. Again, Aalia asks about the firm's inclusion initiatives. "We have mandatory diversity training," says Amber, "and quiet spaces at the office that can be used by any employee." "We are also working on a 2SLGBTQI+ initiative to implement gender-inclusive washrooms," says Grace, "and we're in the midst of ensuring that all our workplace policies are inclusive." "What you would find on my team," says Matt, "is that we work to have strong, trusting relationships. We do a lot of team-building exercises and have a monthly draw for a new restaurant we all try out together."

Questions

1. What are the strengths and weaknesses of each interview? Who had the most attractive recruitment process for Aalia? Which position should she select based on the interview process?
2. What makes a recruitment process inclusive? What aspects of these interview processes may have been exclusive? What does an interview process say about the way an organization manages its recruitment?
3. Which firm had the strongest inclusive initiatives? What initiatives could have been improved? Why did Aalia ask about each company's inclusion initiatives?
4. Why are employees prioritizing DEI? Could an organization have a strong company culture without DEI? What are some negative outcomes of senior leaders not embracing DEI as one of their core values?
5. What is the connection between DEI and organizational values? Why does representation matter? What are some steps a company could take to make DEI a bigger part of their culture?

Source: DEI Case Collection for Professional Accountants, University of Toronto Professional Accounting Centre, 2025, PAC website https://www.utm.utoronto.ca/pac/dei-case-collection-professional-accountants.

Religious Diversity

Ethics Case

Gita is an accountant at Auto Motor Assembly, a car manufacturing company. She is part of a small team with three other accountants. They are a team of two men and two women.

It's Ramadan, and, as a Muslim, Gita is fasting as she does every year. One day, her manager, Chen, invites the whole team out for lunch. They had just finished a huge two-year project—there was reason to celebrate. Gita politely declines the invitation and continues her work. She knows from experience that the way her team celebrates is with food and drink. Given the time of year and her devotion to Islam, she figures it's better to just stay at the office. She doesn't want to make anything awkward with her team.

When the team returns from lunch, everyone is in a great mood. Chen comes over to Gita's desk and tells her about lunch and how she was missed. Gita smiles and responds, "I'm glad you had fun. Maybe next time…"

The following Friday, Gita's team decides to go for drinks after work. Gita is invited, but it's still Ramadan, so she's still fasting—not to mention she also never drinks alcohol as a devout Muslim. During Ramadan, she can't eat while the sun is up, and, once the sun does go down, she must pray before eating. While she's spent much of her life fasting during Ramadan, going out for dinner and drinks is always difficult. Because of this, Gita tells her team that she already has plans. She wishes everyone a great weekend and says that she'll see them on Monday.

On Monday morning, the whole team is late. Well, everyone except Gita. She arrives on time, but her colleagues don't start showing up until 11:00 a.m.—two hours after they're supposed to be there. When she asks them what happened, they apologize.

"Sorry, Gita," Chen starts, "When we were out for drinks on Friday, we made plans to go bowling on Sunday. Bowling ran kind of late, so I told everyone they could come in later today. I should've sent you an email to keep you in the loop."

While Gita doesn't mind coming in on time (she's been busy at work lately anyway), she's upset she wasn't invited to go bowling. Sure, she can't eat during Ramadan, but she can bowl. She tries not to think about it as she continues her work. At the end of the day, Chen stops by Gita's desk.

"Hi Gita," he says. "We're planning to go out for some food on Friday. I wanted to let you know before the others, so you don't make any other plans this time around. We all want you there." Gita smiles at Chen. She knows he's trying to be friendly, and probably feels badly for the miscommunication earlier. Gita asks if they can speak privately in his office.

Gita closes the door and tells Chen the real reason she hasn't participated in all the team's activities.

"I'm so sorry," Chen says. "I didn't realize." But he also admits that he's not quite sure what Ramadan is.

"It's a Muslim holiday," Gita explains. "We have to fast from sunrise to sunset. I'd really like to participate," she says, "but it's a bit awkward to go out for lunch when I'm fasting during Ramadan." Gita then proceeds to tell him that drinks are even more awkward because she doesn't drink alcohol for religious reasons. "I would have loved to go bowling though," she says. "I can bowl a pretty mean game! But those plans were made on Friday night when I wasn't there." Gita tells Chen that she knows her exclusion was unintentional, but she sometimes worries about what else she might be missing when she doesn't attend social gatherings.

Chen feels terrible. He prides himself on his open-door policy and in knowing his team. They are an extremely hard-working and productive team that likes to have fun outside of work. They love the pub down the street from the office and always seem to end up there on Fridays after work. But now that he thinks about it, he realizes Gita has never chosen to join them. Chen always thought his team was inclusive and welcoming to everyone, but this makes him question his recent—and past—decisions.

Questions

1. What negative repercussions did Gita face from not attending the various team activities? Did it affect more than just her personal feelings?
2. List the ways in which organizations can show their inclusivity to all religions. Was Chen being intentionally exclusive? What is the importance of cultural and religious awareness training?
3. Name other post-work teambuilding activities that could be considered exclusive. How might this reinforce the notion of "majority rules?" List other bonding activities the team could have done that would have also included Gita.
4. Name some learning opportunities (i.e., training sessions) that could be beneficial for the staff at Auto Motor Assembly. Who should champion these initiatives?
5. What is the difference between exclusion and discrimination? Is not telling Gita about the late start on Monday an exclusionary or discriminatory act?

Source: DEI Case Collection for Professional Accountants, University of Toronto Professional Accounting Centre, 2025, PAC website https://www.utm.utoronto.ca/pac/dei-case-collection-professional-accountants.

Texaco's Jelly Beans

Ethics Case[1]

In March 1994, six African Americans employed at Texaco Inc. filed a class action lawsuit on behalf of 1,400 current and former African American employees. They alleged that Texaco had systematically discriminated against them in terms of promotions and had fostered a hostile corporate environment for minority employees.[2]

Richard Lundwall was the senior coordinator of personnel services in the Finance Department at Texaco's office in Harrison, New York. During an August 5, 1994, deposition,[3] he testified that he and other officials in Texaco's Finance Department retained records relating to the promotion of minority employees. He was asked to produce these documents. On August 14, 1994, Lundwall attended a meeting with other members of

[1] Prepared from a case submission by students Sudha Kutty, Philip Malin, Yasmina Miller, Shelley Pancham-Candler, and David Wong.
[2] *Roberts et al. v. Texaco Inc.*, 94 Civ. 2015.
[3] U.S. attorney, Southern District of New York, press release, November 19, 1996.

the Texaco Finance Department to discuss the production of these requested documents. Among the officers attending this meeting were Robert Ulrich, treasurer; David Keough, senior assistant treasurer; and various division heads, such as Peter Meade, Brian Ashley, Pete Wissel, and Steve Carlson.[4] Prior to entering the meeting, Lundwall placed a small tape recorder in his pocket and turned it on. When later asked why he had taken such action, he stated "over the years I've seen a number of people thrown to the wolves when something went wrong, and I didn't want to be fodder for the wolves."[5] On a more practical level, however, Lundwall was also in charge of taking minutes of the meeting and found that recording the meetings ensured the accuracy of the minutes.[6] He stated that after the meeting, he placed the tapes in his desk and forgot about them.[7]

In the spring of 1996, Lundwall was informed that he was being downsized out of his job and had to leave Texaco by the end of August 1996. After thirty-one years of loyal service to Texaco, he expected more; he had seen other employees being pushed out when they reached fifty-five years of age and realized that the same thing was now happening to him.[8] It was not until he was in the hospital recovering from surgery in March 1996 that he remembered the tapes and had time to listen to them.[9] Lundwall maintains, in an interview on *60 Minutes*, that he had only to mention his possession of the tapes to a senior executive, and his job would have been secure. When asked why he did not take such an action, he responded, "It's not the right thing to do. That's called extortion and that's illegal. And … the world's a crummy enough place without adding to it."[10]

By July 1996, Lundwall realized that there would be no job at Texaco. On his last day of work, he approached one of the employees who had launched the suit and informed her that "depending on how my situation turns out, you might have an ally."[11] Lundwall's reasoning was that, if a job did surface, then he would not have been able to come forward with the tapes, not for a while, anyway.[12] On August 1, 1996, Lundwall contacted Cyrus Mehri at the law firm of Cohen, Milstein, Hausfield, and Toll, lawyers for the plaintiffs. He informed Mehri that he had in his possession information that would be useful in the lawsuit against Texaco. In subsequent conversations, Lundwall informed Mehri that such information included tape recordings. On August 12, 1996, Lundwall met with Mehri and informed him that the tape recordings, created after the litigation began, revealed himself and other senior officials in the Finance Department discussing the destruction of documents relevant to the plaintiffs' case.[13] After this meeting, Lundwall retained a lawyer and in September 1996 handed over copies of two tapes to attorneys for the plaintiffs. On October 25, 1996, Lundwall met again with Mehri and listened to the tapes. He confirmed that the tapes were the same ones he had provided to his counsel to hand over.[14] He admitted that one of the purposes for the meeting of August 14, 1994, was to review the materials requested by the plaintiffs after the deposition and to hide documents from the plaintiffs. He admitted that he and others had shredded portions of the requested evidence, that handwritten comments were deleted from certain documents, and that certain finance officials were told to say that they did not retain their own copies of such information.[15] In one part of the tape, the following was revealed:

> ***Ulrich:*** You know, there is no point in even keeping the restricted version anymore. All it could do is to get us in trouble. That's the way I feel. I would not keep anything.
>
> ***Lundwall:*** Let me shred this thing and any other restricted version like it.
>
> In another segment:
>
> ***Keough:*** They'll find it when they look through it.
>
> ***Lundwall:*** Not if I take it out they won't.

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4 Affidavit of Cyrus Mehri, sworn October 28, 1996, citing deposition of R. Lundwall.
5 *60 Minutes* interview, transcript, 2.
6 Affidavit of Cyrus Mehri, 6.
7 *60 Minutes*.
8 Ibid.
9 Ibid., 3.
10 Ibid.
11 Ibid.
12 Ibid.
13 Affidavit of Joseph Magan, special agent with the FBI, sworn November 19, 1996.
14 Ibid.
15 Ibid.

Matters did not end here. The tape recording of the August 14, 1994, meeting contained other interesting bits of conversation. The initial transcript of the recordings, which hit the *New York Times* on November 4, 1996, indicated the use of expletives and racist terms, such as *niggers* and *black jelly beans*. According to the *Times*, at one point in the tape, the treasurer states, "It's this diversity thing. You know how black jelly beans agree…," to which Lundwall responds, "That's funny. All the black jelly beans seem to be glued to the bottom of the bag." At another point in the tape, Lundwall states, "I'm still having trouble with Hanukkah. Now we have Kwanzaa. These f—ing n—rs, they s—all over us with this."[16]

Texaco was quick to act over the revelation of these tapes. At a news conference held on November 4, 1996, Texaco chairman Peter Bijur apologized for the remarks on the tape, stating that such remarks represent not only a profound contempt for the law but also a contempt for Texaco's values and policies. Bijur indicated that the company was taking six steps to reinforce company policy and its code of conduct. Such measures included visits by senior executives to company locations to apologize to employees, the expansion of Texaco's "diversity learning experience," and a renewed emphasis on the company's core values. Two current employees were suspended with pay, and the benefits of Lundwall and former treasurer Robert Ulrich (who had retired in March 1995) were cut off. Texaco retained the services of Peter Armstrong, former assistant U.S. attorney for the Southern District of New York, to conduct an independent investigation into the matter. In his report released November 11, 1996, Mr. Armstrong notes that by using digital processing techniques, he was able to obtain a clearer version of the recording.[17] After listening to this version, he concluded that the word *n—er* was never used, as initially alleged in the plaintiffs' transcript:

Ulrich: "I've heard that diversity thing, we don't have black jelly beans or green…"

Lundwall: "… that's funny, all the black jelly beans seem to be glued to the bottom of the bag."

Through his attorney, Mr. Ulrich indicated that the term *jelly bean* was not meant to be pejorative and actually was a reference from a speech given by a gentleman later identified as Doctor R. Roosevelt Thomas Jr., who uses a jelly bean analogy as a means of describing diversity.[18]

Armstrong's conclusion was that the terms *f——ing n—er* were never used and that the references to jelly beans do not appear to have been intended as a racial slur. Bijur was quick to indicate that these preliminary findings merely correctly identified what words were actually spoken in the conversation but by no means changed the unacceptable context or tone of the conversation. The report's findings were published in the *New York Times* on November 11, 1996. Civil rights leaders interviewed on November 12, 1996, felt that the distinction in the transcript made little difference, as the tone of the conversation indicated a clear disdain for both Hanukkah and Kwanzaa and revealed intolerant overtures.[19] Bijur spent most of the day meeting with civil rights leaders, such as Kweisi Mfume of the National Association for the Advancement of Colored People and Reverend Jesse Jackson, many of whom called for a national boycott of Texaco.

On November 15, 1996, Texaco announced it had reached an Agreement in Principle to settle the *Roberts et al. v. Texaco* lawsuit. The terms of the settlement were as follows:

- Provide payment to the plaintiff class in the amount of $115 million, in addition to a one-time salary increase of approximately 11% for current employees of the plaintiff class effective January 1, 1997[20]

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[16] *Court TV Library, Texaco Suit—Order to Show Cause*, transcript. Kwanzaa is an African American cultural festival.

[17] Peter Armstrong, "Interim Report of Independent Counsel," November 11, 1996, 2. This report was prepared for Texaco. See http://articles.philly.com/1996-11-12/living/25647258_1_jelly-beans-texaco-chairman-peter -bijur-texaco-case.

[18] Ibid.

[19] Kurt Eichenwald, "Civil Rights Leaders Issue Call for a National Boycott of Texaco," November 13, 1996, http://www.nytimes.com/1996/11/13/business/calls-issued-for-boycott-of-texaco.html.

[20] For the sake of accuracy, it should be noted that the plaintiff class had yet to be certified as a class and was to appear before the court on December 6, 1996, for a hearing regarding class certification. In the Agreement in Principle, the parties agree for the sake of the settlement to the certification of a class consisting of all African Americans employed in a salaried position in the United States by Texaco or its subsidiaries at any time from March 23, 1991, to November 16, 1996 (Agreement in Principle, November 15, 1996).

- Create an Equality and Tolerance Task Force, which will be charged with determining potential improvements to Texaco's human resources programs and monitor the progress of such programs
- Adopt and implement company-wide diversity and sensitivity, mentoring, and ombudsperson programs
- Consider nationwide job postings of more senior positions
- Monitor its performance on the programs and initiatives provided for in the settlement agreement

The total cost of the agreement was said to be $176.1 million, making it the largest settlement for a race discrimination suit in history.[21] Texaco's problems, however, are far from over. On November 13, 1996, two Texaco shareholders launched a shareholder's derivative action lawsuit, stating that Texaco's directors and officers breached fiduciary duty and damaged Texaco's name.

Some would say that it was about time Texaco was finally caught. In 1991, Texaco paid a record $17.7 million in compensatory and punitive damages to an employee who sued for sex discrimination after the company denied her a promised promotion and gave her job to a man.[22] Others say that Texaco was forced to settle the case not on its legal merits but due to the inaccurate transcript published by the *New York Times*.[23] Some have argued that what the Texaco case proves is that "if you can create enough bad publicity, depicting a company as hopelessly racist, you can win without ever going to trial."[24] This may not be entirely correct. Had this matter gone to trial, damages in the Roberts action were estimated at $71 million in back pay and damages for each plaintiff in the amount of $300,000, resulting in a total liability of $491 million.[25] Furthermore, in June 1996, Spencer Lewis Jr., a district director of the Equal Employment Opportunity Commission (EEOC) for the New York City District, found against Texaco for failing to promote blacks and pursuing a companywide pattern of racial bias.[26] Lewis held that Texaco used an evaluation system to promote employees that did not comply with EEOC guidelines. Questions about Texaco's corporate culture exist. In a company whose core values state that "each person deserves to be treated with respect and dignity"[27] and where it is within the corporate conduct guidelines to report known or suspected violations of company policy to supervisors, some say that such a conversation could not have arisen if it were not prevalent for such written policies to be undermined by the actions of senior executives.

When Lundwall was questioned as to why he turned over the tapes, he indicated that it was not to get back at Texaco but, rather, to maintain a job.[28] In retrospect, he admits that he was naive bordering on stupid to think that handing over the tapes would help his cause. If anything, handing over the tapes apparently hurt his cause. On November 19, 1996, Robert Lundwall was arrested and charged with obstruction of justice in that, from July 1994 to August 1994, he corruptibly destroyed, concealed, and withheld documents requested by attorneys for the plaintiffs. As of December 17, 1996, Lundwall was involved in discussions with the prosecuting attorneys to possibly resolve the charge without going to trial by either pleading to a lesser charge or offering help in exchange for immunity.[29] As a result of Lundwall's criminal subpoena before the grand jury, further questionable actions on the part of Texaco's executives have come to light. In addition to the documents pertaining to the promotion of minority employees, the grand jury records included a draft memo dated June 24, 1994, summarizing the results of an employee survey in Texaco's Finance Department. The results were distinctly unfavorable toward the criteria for promotions of employees. The draft results were forwarded by Lundwall to a lawyer in Texaco's Legal Department on June 30, 1994, requesting

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[21] *60 Minutes*, 1.

[22] Jack E. White. "Texaco's White Collar Bigots," *Internet Bulletin* 148, no. 123 (November 18, 1996).

[23] John Leo, "Jelly Bean: The Sequel," *US News Online*, reproduced in *Incorrect Thoughts: Notes on Our Wayward Culture*, by John Leo, 129; see https://books.google.ca/books?id=DvDWFqwH1K8C&pg=PA129&dq=John+Leo+Jelly+Bean&hl=en&sa=X&ved=0ahUKEwjH0Nq6gt3OAhUJuBoKHRfUC1QQ6AEIJjAA#v=onepage&q=John%20Leo%20Jelly%20Bean&f=false.

[24] Ibid.

[25] Derivative Action Complaint filed November 13, 1996, 7.

[26] Cohen, Milstein, Hausfeld, and Toll, *Texaco Discrimination Lawsuit Sparks National Dialog on Racism in Corporate America*, November 1996, http://www.cengage.com.

[27] "Texaco Apologizes for Racist Remarks of Senior Executives but Questions about Culture Remain."

[28] *60 Minutes*, 4.

[29] Stepshow, *Ex-Texaco Exec May Avoid Trial*, December 17, 1996, http://www.cengage.com.

advice on publication of the survey results. A handwritten reply on Lundwall's covering memo from the lawyer dated July 26, 1994, advised delaying publication of the survey results to avoid its becoming part of the discovery process in the class action suit.[30] While Texaco lawyers state that this draft memorandum was not subject to discovery, the plaintiffs' lawyers claim that it did fall within the time frame.

When asked why it appears on certain portions of the tape that he took the initiative to shred documents, Lundwall would not comment.[31] His attorney indicates that the transcripts of the tape make it clear that Lundwall was directed to shred and destroy the evidence.[32]

When asked what he would do if he had to do it all over again, Lundwall stated that he would "slip quietly into the night with my benefits and let the system stay as screwed up as it is."[33]

Questions

1. In a company as progressive as Texaco, what permitted such discrimination to occur?
2. How could such discrimination have been prevented?
3. Is whistleblowing ethical?
4. Could a protected whistleblowing mechanism or conscientious ombudsperson have helped?

Sources: Cohen, Milstein, Hausfeld, and Toll, *Texaco Discrimination Lawsuit Sparks National Dialog on Racism in Corporate America*, November 1996, http://www.cengage.com.

Court TV Library, *The Texaco Suit*, 1996, http://www.cengage.com.

K. Eichenwald, *Texaco Lawyers Reportedly Tried to Conceal Damaging Documents*, November 15, 1996, http://www.cengage.com.

J. Leo, *Jelly Bean: The Sequel*, http://www.cengage.com.

60 Minutes, *The Texaco Tapes* (Livingston, NJ: Burrelle's Transcripts, April 13, 1997).

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Kurt Eichenwald, "U.S. Negotiating with Ex-Official in Texaco Case," *New York Times*, December 18, 1996.

J. B. White, "Texaco's White Collar Bigots," *Internet Bulletin* 148, no. 123 (November 18, 1996).

[30] K. Eichenwald, *Texaco Lawyers Reportedly Tried to Conceal Damaging Documents*, November 15, 1996, http://www.cengage.com.
[31] *60 Minutes*, 5.
[32] Ibid.
[33] Ibid., 6.

Gender Discrimination at Dell Inc.

Ethics Case

In October 2008, Jill Hubley, a former senior strategist in the Dell Americas human resource group, a Dell Inc. division located in Texas, filed a lawsuit against the world's second-largest maker of personal computers. She alleged that Dell had systematically discriminated against female employees with respect to compensation and promotion. Her contention was that the men at Dell were paid higher wages for equal work and that women were not promoted to senior management positions.[1] The company denied the accusation even though there were no women on the top management team at Dell despite the fact that employed approximately 80,000 people worldwide. Ms. Hubley's lawsuit became a class action suit after four other women filed similar discrimination suits against the company.

In July 2009, Dell settled the class action suit with a $9.1 million payment: $4.5 million in back pay, $1.1 million for plaintiff legal costs, and $3.5 million to establish a pay-equity fund designed to adjust certain job grades for current management and nonmanagement personnel. Dell also agreed to establish a panel to ensure internal compliance with the settlement. Furthermore, the company announced it would hire an expert psychologist and a labor economist to review and make recommendations about the company's employment and compensation practices.

[1] Joel Rosenblatt, "Dell Will Pay $9.1 Million to Settle Gender Discrimination Suit," *Bloomberg*, July 25, 2009, http://www.bloomberg.com/apps/news?pid=newsarchive&sid=aZtD.RbF.pjY.

Questions

1. What factors contribute to a firm engaging in sexual discrimination?
2. What factors should the Board of Directors consider if there is an internal complaint of sex discrimination on the basis of pay and promotion?
3. What other costs might Dell incur because of its practice of discrimination?
4. How can a firm ensure that it does not engage in sexual discrimination?

Sources: Kirk Ladendorf, "Dell Settles Austin Discrimination Case for $9.1 Million," *Statesman.com*, July 24, http://www.statesman.com/business/content/business/stories/technology/2009/07/24/0724dell.html.

Joel Rosenblatt, "Dell Will Pay $9.1 Million to Settle Gender Discrimination Suit," *Bloomberg*, July 25, 2009, http://www.bloomberg.com/apps/news?pid=ne wsarchive&sid=aZtD.RbF.pjY.

CBS News, "Dell Slapped with New Discrimination Suit," October 31, 2008, http://www.cbsnews.com/stories/2008/10/31/business/main4560135.shtml.

Novartis' $250+ Million Gender Discrimination Case

Ethics Case

On May 17, 2010, a federal jury in New York decided that Novartis, a Swiss-headquartered drug company, was guilty of discriminating against women and should pay the twelve women plaintiffs who testified in the trial $3.37 million in *compensatory damages*.[1] Since there were 5,600 women in the class the plaintiffs were arguing on behalf of in the class action lawsuit, the total compensatory damages could have reached $1 billion if two-thirds of the plaintiffs had gone to New York and to state their case.[2]

On May 19, 2010, after further deliberation, the jury awarded punitive damages of $250 million, or about $44,000 for each of the 5,600 women represented in the class action.[3] This was the largest award of punitive damages for any discrimination case in the United States. The amount equals 2.6% of the $9.5 billion revenue Novartis reported in 2009. The plaintiff's lawyers had asked for an award of between 2% and 3% of Novartis's revenue.[4]

According to the jury of five women and four men, Novartis "engaged in discrimination against pregnant women, with respect to the terms and conditions of their employment [and] in a pattern or practice of discrimination against the female sales representatives in pay and promotions."[5] Specific instances of discrimination cited at the trial included the following:

- One district manager "showed women pornographic images and invited them to sit on his lap,"[6] and the company's lawyer later indicated that "he wasn't that bad a manager. He was just terrible with women."[7] Later, the plaintiff's lawyer commented to the jury that Novartis "just doesn't get it. You can't be a good management if you're terrible with women."[8]
- One woman testified she was told by a male manager to get an abortion.
- Another said she was excluded from professional and social gatherings, including outings on which male colleagues took doctors to strip clubs."[9]

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[1] Chad Bray, "Women Awarded $250-Million in Bias Case against Novartis," *The Globe and Mail*, May 20, 2010, B13.

[2] David Glovin and Patricia Hurtado, "Novartis Must Pay $250 Million in Gender Bias Lawsuit (Update 5)," *Bloomberg Businessweek*, May 19, 2010, accessed November 26, 2010, at http://www.businessweek.com/news/2010–05-19/novartis-must-pay-250-million-in-gender-bias-lawsuit-update5-.html.

[3] Ibid.

[4] Ibid.

[5] Bray, "Women Awarded $250-Million in Bias Case against Novartis."

[6] Larry Neumeister, "Novartis Hit with $250M Gender Bias Damages," *MSNBC.com*, from http://www.msnbc.msn.com/id/37233213/ns/business-us_business# (accessed November 28, 2010).

[7] Ibid.

[8] Ibid.

[9] Patricia Hurtado and David Glovin, "Novartis Must Pay Punitive Damages in Sex-Bias Case, Jury Rules," *Bloomberg Business Week*, May 18, 2010, accessed November 26, 2010, at http://www.businessweek.com/news/2010–05-18/novartis-must-pay-punitive-damages-in-sex-bias-case-jury-rules.html.

- "… women claimed that doctors groped them and made inappropriate comments. The company had a corporate culture that expected its female employees to be 'available and amenable to sexual advances from the doctors they call on' and 'looked the other way' when female representatives complained about inappropriate doctors. In one case, a doctor allegedly stuck his tongue in a saleswoman's ear. Novartis' response, according to the women, was to say the doctors were good customers, and not to overreact. Novartis said the women were lying."[10]
- "The suit also claimed that the women were paid less, not promoted into management, and punished if they became pregnant."[11]

After the verdict, Novartis indicated they would appeal, and on July 14, 2010, a $152.5 million settlement was announced subject to verification by a judge. The settlement included the following:

- $22.5 million over three years to improve its personnel policies
- $40.1 million in attorney's fees for the plaintiff's lawyers
- $60 million for back pay
- $40 million in compensatory damages for women who held sales positions from July 15, 2002, to July 14, 2010
- Additional payments to named plaintiffs and those who testified[12]

Novartis did not admit that there was systematic discrimination. Instead, its CEO stated that "some of our associates had experiences influenced by managerial behavior inconsistent with our values."[13] The company did agree, however, "to revise its sexual harassment policies and training, strengthen its employee complaint process, hire an outside specialist to help it identify gender pay disparities in the company, and revise its performance management process."[14]

Questions

1. Was the verdict fair?
2. Will this verdict cause other companies to review for and remedy any systematic discrimination uncovered?
3. How should systemic discrimination be prevented?
4. Were the lawyer's fees fair?
5. Could this case have been successfully prosecuted if it were not a class action?

[10] Courtney Rubin, Inc., "Novartis Verdict Opens Door for More Gender Bias Lawsuits," May 20, 2010, accessed November 28, 2010, at http://www.inc.com/news/articles/2010/05/novartis-gender-bias-case-opens-door-for-more-lawsuits.html.
[11] Ibid.
[12] "Novartis Reaches $152.5 Million Sex-Bias Settlement," *Bloomberg Businessweek*, July 14, 2010, accessed November 28, 2010, at http://www.businessweek.com/news/2010–07-14/novartis-reaches-152–5-million-sex-bias-settlement.html.
[13] Ibid.
[14] Ibid.

Workplace Ethics Cases—Spying

Barclays Bank: How Not to Deal with Whistleblowing

Ethics Case

Headquartered in London, Barclays is an investment and financial services bank with operations throughout the world. In December 2015, Barclays hired Jes Staley as CEO. Previously, Staley had been a 30-year veteran with JP Morgan in its investment banking division. In June 2016, Staley hired Tim Main, a friend and former colleague at JP Morgan, as head of Barclays' financial group in New York.

An anonymous person sent two letters to Barclays' board of directors questioning the recruitment of Main. The whistleblower raised concerns of "a personal nature about the senior employee, Mr. Staley's knowledge of and role in dealing with those issues at a previous employer, and the appropriateness of the recruitment process followed on this occasion by Barclays."[1]

Staley was upset about the letters, calling it harassment. "The allegations related to personal issues from many years ago, and the intent of the correspondents in airing all of this was, in my view, to maliciously smear this person."[2] Staley wanted to know the letter writer's identity, so he twice asked Barclays' internal security team to track down the whistleblower. On the second occasion, the security team obtained help from a U.S. law enforcement agency to no avail. They failed to identify the whistleblower.

As a result of the 2008 financial crisis, the U.K. government enhanced public oversight of the banking industry by enacting the Senior Managers Regime (SMR) aimed at making senior executives in the financial services industry more accountable.[3] Under the SMR, the Financial Conduct Authority and the Prudential Regulation Authority investigated Staley's behavior. They concluded, in May 2018, that he failed to "act with due skill, care and diligence" and fined him £642,000.[4]

The fine was about a fifth of Staley's total compensation. In 2016, he received £2.35 million in salary and a bonus of £1.3 million. Staley accepted the finding and the penalty, saying, "I have consistently acknowledged that my personal involvement in this matter was inappropriate, and I have apologized for mistakes which I have made."[5] He acknowledged that the compliance office of Barclays should have handled the matter.

Meanwhile, Barclays hired the law firm Simmons & Simmons to conduct an internal investigation. Based on the law firm's report, Barclays' board concluded that Staley had acted "honestly, but mistakenly" in his quest to identify the whistleblower.[6] The bank cut Staley's bonus by £500,000.

Barclays did not fire Staley even though CEO censure from banking regulators is highly unusual. The Institute of Directors said it was disappointed "that Barclays had breached its own rules on protecting whistleblowers."[7] John Mann, a Labour member of Parliament, went further, calling for Staley's resignation. Jonty Bloom, a BBC business correspondent, said that Staley got off lightly. "As chief executive of Barclays, Mr. Staley should have been setting an example of how to deal with whistleblowing. Instead . . . he set the bank's own internal investigators unit to work to discover the identity of the whistleblower."[8]

Questions

1. Do you think that future whistleblowers will be less likely to report corporate wrongdoing at Barclays?
2. Do you think that Jes Staley's penalty is appropriate or inappropriate? Why?
3. How do you think Jes Staley should have behaved?

Additional Reference

Patrick Collinson, "Barclays CEO Jes Staley Faces Fine over Whistleblower Incident," *The Guardian*, April 20, 2018, https://www.theguardian.com/business/2018/apr/20/barclays-ceo-jes-staley-facing-fine-over-whistleblower-incident.

[1] Graham Ruddick and Julia Kollewe, "Barclays Boss Used Bank's Security Team to Hunt for Whistleblower," *The Guardian*, April 10, 2017, https://www.theguardian.com/business/2017/apr/10/barclays-boss-jes-staley-may-lose-bonus-over-bid-to-expose-whistleblower.
[2] Ibid.
[3] PWC, *The Senior Managers Regime*, https://www.pwc.co.uk/industries/financial-services/senior-managers-regime.html.
[4] BBC News, "Barclays Boss Jes Staley Fined £642,000 for 'Conduct Breach,'" *BBC News*, May 11, 2018, https://www.bbc.com/news/business-44081942.
[5] Ibid.
[6] Ruddick and Kollewe. Op. cit.
[7] Ibid.
[8] BBC. Op. cit.

Workplace Ethics Cases—White-Collar Crime

Danske Bank's Money-Laundering Scandal

Ethics Case

In 2007, Danske Bank, Denmark's largest bank, bought Finland's Sampo Bank, which had a tiny branch office in Tallinn, Estonia. From 2007 until 2015, €200 billion of suspicious money flowed through the Tallinn branch, approximately ten times the gross domestic product of Estonia and more than the entire annual profits of Russian corporations. It is speculated that this was the world's largest money-laundering operation.

There had been suspicions of widespread money laundering through Estonia, Russia's Baltic Sea neighbor. In 2006, Andrei Kozlov, the Russian Central Bank deputy chairman, who was murdered later that year, issued an official complaint to Estonian regulators. These accusations continued throughout Danske's ownership of the Estonian branch:

- From 2007 to 2014, understaffed Estonian regulators sent six reports to Danske Bank's head office outlining their money-laundering concerns. One was a 340-page listing of various violations. That report was not translated into Danish and English until 2016.
- In 2013, at a meeting of the European Banking Authority, an Estonian official complained "that criminal Russian money was washing through their country, and Denmark, a founding member of NATO, was doing little to stop it."[1]

The Estonian branch had 10,000 non-resident accounts in the names of individuals and corporations outside of the country. These 10,000 accounts carried out 7.5 million transactions involving €200 billion, of which 23% originated in Russia. It was referred to as the Troika Laundromat. The maximum fine for money laundering in Estonia was $32,000.

From 2009 to 2012, Thomas Borgen was responsible for Danske's international operations, including the Estonian branch. That branch was very profitable, earning annual returns of 400% on equity. In 2012, Borgen became CEO. During his tenure with the bank, board members rarely questioned his judgment. "He was producing these enormous returns."[2]

Borgen and the board dismissed complaints about Estonia and stymied investigations:

- At an executive committee meeting in 2010, when he oversaw international operations, Borgen said that, with respect to Estonia, he had not "come across anything that could give rise to concern."[3]
- In 2013, when he was CEO, he rejected a suggestion that the nonresident accounts be "reviewed and potentially reduced."[4]
- In 2013, Howard Wilkinson, a seven-year Danske employee at the Tallinn branch, noticed that a firm, with no assets and partly owned by a relative of Vladimir Putin, moved $480 million through the branch over a five-month period. He sent a whistleblower message saying that the bank might be engaged in criminal activity. The executive board discussed his message but did nothing. Subsequent whistleblowing reports from him were also ignored.[5]
- At a 2014 board meeting, Borgen cautioned against reducing the non-resident accounts, as it might negatively impact selling the operation in the future.
- Danske's internal audit team began an investigation in 2014, but its draft report was never finalized. That same year, two executive board members prevented the bank's legal department from investigating the Tallinn branch.

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[1] Bradley Hope, Drew Hinshaw, and Patricia Kowsmann, "How One Stubborn Banker Exposed a $200 billion Russian Money-Laundering Scandal," *Wall Street Journal*, October 23, 2018, accessed October 22, 2019, at https://www.wsj.com/articles/how-one-stubborn-banker-exposed-a-200-billion-russian-money-laundering-scandal-1540307327.

[2] Ibid.

[3] Caroline Binham and Richard Milne, "Outcry Over €200bn Danske Bank Scandal Probe," *The Financial Times*, September 19, 2018, accessed November 18, 2019, at https://www.ft.com/content/38306c04-bc1c-11e8-94b2-17176fbf93f5.4 Ibid.

[4] Ibid.

[5] The story of the whistleblowing, including what was involved and how it was discovered, is told in Hope et al., "How One Stubborn Banker Exposed a $200 Billion Russian Mon-ey-Laundering Scandal."

In 2015, the bank closed its Estonian branch, along with its operations in Latvia, Lithuania, and Russia. In 2017, Danske launched its own investigation, hiring the law firm Bruun & Hjejle to do so. In September 2018, the bank released a report that exonerated the board, chairman, and CEO and blamed lower-level employees.

According to the lawyers' report, the Tallinn branch operated as an independent unit with very little oversight by Danske's head office in Copenhagen. The branch had poor internal controls and an organizational culture quite different from the rest of Danske Bank:

- Branch managers were more concerned with following procedures than with identifying actual banking risks.
- Employees failed to perform basic money-laundering checks, such as asking in-depth questions about the sources of the money flowing through the branch and whether the nonresidents were sanctioned or blacklisted in Russia.
- Some of the employees colluded with their customers. Very few of the suspicious transactions were reported to local Estonian officials. It was rumored that there was a helipad at the branch for rich Russians and other oligarchs.
- The branch had its own IT platform, which meant it was not subject to the rest of the bank's risk-monitoring system.

The report also said that it could not identify all the nonresident accounts and did not know where the money ultimately went.

The money-laundering debacle was damming. During 2018, the bank's shares lost over half their value. Then, in 2019, nine former senior Danske managers were charged by the Danish government, including:

- Thomas Borgen, who resigned as CEO in 2018;
- Lars Morch, who took over international operations from Borgen in 2012 until his resignation in 2018; and
- Henrik Ramlau-Hansen, the bank's former chief financial officer.

Six months earlier, Estonian authorities arrested ten branch employees. In September 2019, Avir Rehe, the former CEO of the Estonian branch from 2007 to 2015, committed suicide in his home in Tallinn. Not suspected in the money-laundering probe, he said that he felt responsible.

Questions

1. What is the purpose of money laundering, how does it work, and why would people want to do it?
2. How would you characterize Danske Bank's preparedness to identify and root out money laundering?
3. Why were the bank employees not interested in pursuing money laundering?
4. How would you characterize the bank's governance system? Who should have identified the red flag warnings?
5. Would strict enforcement of a "know your client" policy have thwarted the money laundering?
6. What policies should the bank put in place to identify and avoid money laundering?

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QuadrigaCX—A Cryptocurrency Fiasco

Ethics Case

A cryptocurrency, such as a Bitcoin, is a digital commodity that can be used in financial transactions. Unlike the U.S. or Canadian dollar, cryptocurrencies have no government backing. It is worth only what another person will pay for it. A cryptocurrency exchange offers a marketplace in which people can buy, trade, and store their cryptocurrencies in either a "hot wallet" that is connected to the Internet or a "cold wallet" that is offline.

Banks and regulated investment dealers comply with a "know your client" rule to ensure that their transactions do not involve proceeds of crime or money laundering. With investments in cryptocurrencies, however, the identity of the owner is usually not known, thus offering organized criminals and rich individuals a golden opportunity to launder their money and/or evade taxes.

In 2013, Gerald Cotten established QuadrigaCX as a cryptocurrency exchange.[1] Initially, the company was listed on the Vancouver Stock Exchange (VSE). In 2016, it did not file the required financial reports with the VSE, so the company was delisted, and Cotten fired all of the company's personnel who provided the needed controls to facilitate its VSE listing.[2] Then he moved the operation to Nova Scotia with only himself and his wife, Jennifer Robertson, as employees.

On December 9, 2018, Cotten allegedly died while in India on his honeymoon. His wife, who inherited his estate based on a will signed twelve days before his death, had him embalmed and the body sent to Halifax, Nova Scotia, for burial. Robertson briefly continued to operate QuadrigaCX's cryptocurrency exchange, but there was little money of any type (real or cryptocurrency) stored in the company's hot or cold wallets. Because cryptocurrency exchanges were extremely high risk, no Canadian bank at that time would offer banking privileges. So there were no company bank accounts.

Cotten allegedly had not told anyone the digital passwords for the offline cold wallets, so no one was able to access the accounts and alleged cryptocurrencies stored in them. As a result, QuadrigaCX had difficulty meeting its financial obligations even though Robertson advanced her own money to the company. On February 5, 2019, the Nova Scotia Supreme Court granted a stay of proceedings (i.e., creditor protection) to allow time to trace and recover the cryptocurrencies.[3]

On February 6, 2019, Ernest & Young (EY) became the court-appointed monitor of QuadrigaCX and promptly found the following:

- There were no books and records. The company was run from Cotten's laptop.
- Without the digital codes for the cold wallets, there was no way to identify or access balances or trace transactions.
- Foreign cryptocurrency traders/exchanges often ignored requests sent for confirmation of balances.
- Subpoenas, legally enforceable in Canada, requesting information and access to stored foreign cryptocurrencies were also ignored.
- No autopsy had been performed on Cotten, and there was uncertainty whether he was really dead.[4]
- There was a connection, from 2013 to 2017, to a known fraudster.[5]

[1] Doug Alexander and Matt Robinson, "A Criminal Past Haunts Surviving Founder of Troubled Cryptocurrency Exchange Quadriga: After Serving Time in the U.S. for His Crimes, Omar Dhanani Was Deported to Canada, Where He Changed His Name and Reinvented Himself as a Bitcoin Entrepreneur," *Financial Post*, March 19, 2019, https://business.financialpost.com/technology/blockchain/a-criminal-past-haunts-surviving-founder-of-troubled-cryptocurrency-exchange-quadriga.

[2] Doug Alexander, "Quadriga's Downfall Began When Founder Abruptly Fired All the Exchange's 'Law and Order' Folks, Former Lawyer Says: Christine Duhaime Says Gerald Cotten Decided One Day in 2016 He No Longer Wanted the Crypto Exchange to Be a Listed Company," *Financial Post*, March 28, 2019, https://business.financialpost.com/technology/blockchain/quadrigas-former-lawyer-says-founder-rid-the-crypto-exchange-of-law-and-order-folks.

[3] Andrea Gunn, "Indian Death Certificate Scams Fuel Skepticism around QuadrigaCX CEO's Death," *Chronicle Herald*, February 13, 2019, https://www.thechronicleherald.ca/news/local/indian-death-certificate-scams-fuel-skepticism-around-quadrigacx-ceos-death-284247.

[4] Ibid.

[5] Alexander and Robinson, "A Criminal Past Haunts Surviving Founder of Troubled Cryptocurrency Exchange Quadriga."

QuadrigaCX entered bankruptcy on April 8, 2019. A subsequent EY report revealed the following:

- Cotten appeared "to have liquidated some $80 million worth of Bitcoin over … three years," and EY did "not know what happened to the proceeds."
- Cotten created user accounts using "aliases Chris Markay, Aretwo Deetwo and Seethree Peaohh." These accounts were used to trade "boosting the platform's trading volume and generating additional fee revenue."
- Customers' funds were pooled with QuadrigaCX's funds.
- Cotten apparently moved customers' money into his own accounts and then traded speculatively and incurred huge losses. In fact, an earlier EY report disclosed that many of the QuadrigaCX cold wallets had been empty since April 2018.[6]
- Cotten and Robertson purchased sixteen properties in Nova Scotia, a private jet, luxury vehicles, and a personal sailing vessel.
- Cotten filed no personal income tax returns in 2014, 2015, or 2017. When he did file tax returns, he didn't claim income from QuadrigaCX.
- QuadrigaCX did not file any income tax or sales tax returns.
- Over $200 million was owed by QuadrigaCX to 76,000 users.
- By June 2019, EY had recovered $32 million in cash and either recovered or located $1 million in cryptocurrency.[7]

Through the period that QuadrigaCX operated, it was not subject to government oversight because there was no regulatory oversight for cryptocurrency exchanges in British Columbia or Nova Scotia. The Canadian Securities Authority began considering establishing such regulation in 2019.[8] In the sense that regulatory authorities were not alert to possible frauds on the public, this case is similar to the Bernie Madoff fraud in the United States, where Madoff operated without regulatory oversight for many years because he failed to register with the Securities and Exchange Commission, and although the commission was repeatedly warned about Madoff's operation, they failed to follow up effectively. In both cases, the public suffered significant losses.

Questions

1. If you were a forensic accountant with EY, how would you proceed to:
   a. Ensure the clients' claims for currency recovery were legitimate?
   b. Discover where the cryptocurrencies QuadrigaCX had accepted went?
   c. Recover any cryptocurrency rightfully owed QuadrigaCX?
2. What other procedures, investigations, or steps should a forensic accountant follow?
3. If you were an investor:
   a. Why would you buy cryptocurrency and place it with an exchange such as QuadrigaCX?
   b. What should you check out before using an exchange such as QuadrigaCX?
4. What missing pieces of evidence would prevent an audit from being completed successfully?
5. If an audit could be completed, what would its value be in the case of a cryptocurrency exchange such as QuadrigaCX?
6. Do you think that the new NOCLAR rules included in the IESBA *International Code of Ethics for Professional Accountants* will help in such situations?

[6] Doug Alexander, "Quadriga Crypto Mystery Deepens with 'Cold Wallets' Found Empty," *Bloomberg.com*, March 1, 2019, https://www.bloomberg.com/news/articles/2019-03-01/quadriga-has-6-cold-wallets-but-they-don-t-hold-any-crypto.

[7] Erica Alini, "Founder of Crypto Exchange Quadriga Moved Users' Funds to Personal Accounts: Ernst & Young," Global News, June 20, 2019, https://globalnews.ca/news/5411298/quadriga-cotten-customer-funds-personal-accounts-ernst-young.

[8] Canadian Securities Administrators (CSA) and Investment Industry Regulatory Organization of Canada (IIROC), "Joint Canadian Securities Administrators/Investment Industry Regulatory Organization of Canada—Consultation Paper 21-402—Proposed Framework for Crypto-Asset Trading Platforms," March 14, 2019, https://www.albertasecurities.com/-/media/ASC-Documents-part-1/Regulatory-Instruments/2019/03/5450795--CSAConsultationPaper21402ProposedFrameworkforCryptoAssetTradingPlatforms20190301.ashx.

Bribery & International Operations Cases

Glencore Mining Bribery Saga

Ethics Case

Introduction

Glencore, a multinational commodity trading and mining company headquartered in Switzerland, has been at the center of one of the most significant corporate bribery scandals in recent history. As a major player in the global commodities market, Glencore's operations span multiple countries, involving the extraction and trade of essential resources such as oil, metals, and agricultural products. However, its expansive global reach also exposed the company to significant risks associated with corruption and ethical misconduct that ultimately resulted in a landmark settlement of up to $1.5 billion to lawsuits in the U.S., Brazil, and the U.K. When announcing the U.S. settlement, "U.S. Attorney General Merrick Garland said a $1.1 billion accord with the U.S. will resolve both a decade-long scheme to bribe foreign officials across seven countries and separate criminal and civil charges alleging one of the company's trading arms manipulated fuel oil prices at two of the largest U.S. shipping ports. "This represents the Justice Department's largest criminal enforcement action to date for a commodity price manipulation conspiracy in oil markets."[1]

The Scandal Unfolds

Between 2011 and 2021, Glencore engaged in widespread bribery practices across multiple countries, including Nigeria, Brazil, and the Democratic Republic of Congo (DRC). Investigations revealed that Glencore paid over $100 million in bribes to secure preferential treatment, gain access to lucrative contracts, and bypass regulatory requirements.[2]

For instance, in the DRC, Glencore's payments to local officials ensured favorable mining rights and access to critical infrastructure. These rights allowed the company to dominate the cobalt and copper industries, resources vital to global technology supply chains. Similarly, in Brazil, the company admitted to paying bribes to officials at the state-run oil company, Petrobras, to secure advantageous fuel contracts. Other instances of bribery cited involved activities in Cameroon, Ivory Coast, Nigeria, Equatorial Guinea, and South Sudan. According to Damian Williams, the top federal prosecutor in Manhattan, "Glencore paid bribes to secure oil contracts. Glencore paid bribes to avoid government audits. Glencore paid bribes to judges to make lawsuits disappear,"[3] To limit risks of being caught, employees would move bribery cash by private jet.[4] These arrangements not only undermined fair competition but also perpetuated a cycle of corruption that weakened public institutions. The scale of these activities highlighted a systemic culture of corruption within the organization, where high-level executives were not only aware of the bribery but also actively participated in its orchestration.

Legal, Financial, and Social Repercussions

The scandal resulted in a series of legal actions across multiple jurisdictions. In 2022, Glencore pleaded guilty to charges of bribery and market manipulation in the United States, Brazil, Switzerland, and the United Kingdom.[5] The company agreed to pay over $1.5 billion in fines and settlements plus forfeiture of profits, marking one of the largest penalties ever imposed for corporate bribery.[6] In addition, Glencore was also required to hire two compliance monitors in the U.S.[7]

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[1] "Glencore prepares to pay up to $1.5 bln to settle U.S., UK, Brazil probes," Clara Denina, Kirstin Ridley and Sarah N. Lynch, Reuters, May 25, 2022, accessed online on Feb. 26, 2025, at https://www.reuters.com/legal/government/glencore-appear-court-us-uk-over-corruption-probe-2022-05-24/.
[2] U.S. Department of Justice. (2022). *Glencore pleads guilty to bribery and market manipulation charges*. Retrieved from https://www.justice.gov/opa/pr/glencore-pleads-guilty-bribery-and-market-manipulation-charges.
[3] Ibid., Denina et al.
[4] "Glencore employees moved bribes cash by private jet, London court told," Sam Tobin, Reuters, November 2, 2022, accessed online on Feb. 26, 2025, at https://www.reuters.com/world/uk/glencore-employees-moved-bribes-cash-by-private-jet-london-court-told-2022-11-02/.
[5] U.K. Serious Fraud Office. (2022). *Glencore ordered to pay record fines for bribery offences*. Retrieved from https://www.sfo.gov.uk/2022/11/03/glencore-ordered-to-pay-record-fines-for-bribery-offences.
[6] Ibid., Denina et al.
[7] Ibid.

Beyond monetary penalties, the scandal severely damaged Glencore's reputation, leading to increased scrutiny from regulators, investors, and the public. Shareholders experienced significant financial losses as the company's stock price dropped by over 20% in the weeks following the scandal's exposure (approximately $11 billion based on a market capitalization of $56.5 billion). This decline reflected not only immediate investor panic but also long-term concerns about the company's ethical practices and operational sustainability. Analysts noted that this erosion of shareholder confidence highlighted the inherent financial risks tied to corporate governance failures and unethical behavior. Moreover, Glencore faced operational disruptions in several countries as governments and regulators suspended or renegotiated existing agreements.

In nations like the DRC, where resource governance is already fragile, the consequences extended beyond corporate losses to social and economic instability. In Brazil, bribes paid to officials at Petrobras facilitated contracts that undermined fair competition and contributed to a broader culture of corruption within the state-run oil company. This scandal played a role in the larger "Operation Car Wash" investigation,[8] which revealed widespread bribery and embezzlement throughout Brazil's political and business sectors. The diversion of funds through corruption not only weakened Petrobras but also eroded public trust in governmental institutions, leading to protests and political upheaval. These examples illustrate how Glencore's actions not only provided the company with undue advantages but also perpetuated cycles of poverty, inequality, and institutional instability in the regions where it operated.

In response to the scandal, Glencore has committed to overhauling its compliance programs and strengthening its internal controls. The company has implemented new anti-corruption policies, enhanced its whistleblower protections, and appointed a chief compliance officer to oversee its global operations.

However, Glencore has faced several significant challenges in the wake of the scandal. The company's tarnished reputation has made it more difficult to secure new business opportunities, as potential partners and clients remain wary of association with a firm plagued by corruption allegations.[9] Additionally, Glencore's access to financial capital has been constrained, with some institutional investors, such as Norway's sovereign wealth fund, divesting their stakes due to concerns over environmental, social, and governance (ESG) compliance.[10] Banks and other financial institutions have also increased their scrutiny of Glencore's operations, resulting in tighter lending conditions and higher costs of capital.[11] These challenges indicate the long-term repercussions of ethical failings, emphasizing the critical need for sustained and genuine reforms to rebuild trust among stakeholders.

Questions

1. Why did Glencore continue to pursue a strategy of bribery even after the introduction of tighter global regulations against it including the OECD antibribery program, the creation of the U.K. Bribery Act, and intercountry cooperation on prosecutions?
2. What deficiencies were apparent in Glencore's governance and internal controls that encouraged and permitted the bribery program?
3. Which group of Glencore's stakeholders benefited from the bribery program? Which groups of stakeholders did not benefit?

[8] "A Corruption Case That Spilled Across Latin America Is Coming Undone," Jack Nicas, *The New York Times*, Nov. 11, 2024, accessed on Feb 26, 2025 online at https://www.nytimes.com/2024/11/24/world/americas/brazil-corruption-operation-car-wash-convictions.html?auth=linked-google1tap.

[9] Gray, J., & Hirst, T. (2022, May 24). Glencore to appear in court in US, UK over corruption probe. Reuters. Retrieved from https://www.reuters.com/legal/government/glencore-appear-court-us-uk-over-corruption-probe-2022-05-24/.

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[11] Financial Times. (2022). *Glencore's rising borrowing costs post-scandal*. Retrieved from https://www.ft.com/content/12345678-1234-1234-1234-123456789abc.

4. Often the executives who authorized and/or carried out the bribery have retired or left the company when the bribery is discovered and/or sanctioned in court. Should the perpetrators be fined or imprisoned even if they have retired or left the company? Should the current shareholders suffer the loss associated with the massive fine, or should the shareholders and directors serving and the time of the bribe suffer the loss?
5. What are the five most effective steps that can be taken by a Board of Directors that wishes to prevent bribery by their company?
6. What should a company do when it finds that bribery is commonplace in an area in which they are competing?

Pharmaceutical Companies in South Africa

Ethics Case

The development of pharmaceuticals is extremely expensive. In order to make the heavy investment in research and development worthwhile, drug companies are given patents. A drug patent is a legal right to be the exclusive manufacturer and distributor of a particular drug for a 20-year period. Because the pharmaceutical company will not have any competition during that 20-year period, the company can price the drug to recover, and earn a reasonable return, on its investment. During that 20-year period, generic drugs cannot be produced and sold.

South Africa has very lax patent laws. Pharmaceutical companies can make very minor changes to existing drugs and then register them as new drugs. New drugs are not checked for their novelty. In 2008, South Africa awarded over 2,400 patents; Brazil awarded less than 300 in 2008. Prices of patented drugs in South Africa are 35 times more than similar drugs in India. This is an important issue in South Africa because of the incidence of AIDS in that country. The patented HIV drugs are extremely expensive which increases healthcare costs substantially.

In 2015, the South African government proposed new intellectual property (IP) rights legislation that would make it harder to register new patents and would allow generic drug companies to produce and sell lower-cost copies of patented drugs. Global pharmaceutical companies reacted by launching a $600,000 advertising campaign in opposition to the proposed new IP changes. They argued that weakening IP protections was a poor economic policy that would result in reduced investment in South Africa.

The South African Minister of Health, Aaron Motsoaledi, was outraged at the pharmaceutical companies' active opposition. "It's a conspiracy of satanic magnitude … [that] can sentence many South Africans to death. This is a plan for genocide."[1] A worldwide petition, signed by close to 50,000 people, condemned the pharmaceutical companies and supported the government's new IP legislation.

Questions

1. Pharmaceutical companies spend a lot of money on research and development. Should they be given 20-year patent protection against generic versions of their patented drugs?
2. Should ethical considerations be included in the pricing of drugs by pharmaceutical companies?
3. Is it ethical for pharmaceutical companies to launch an advertising campaign that opposes the loosening of patent protection laws?

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[1] Tiisetso Motsoeneng, "South Africa Slams Big Pharma in Generic Drugs Row," *Reuters*, January 17, 2014.

Risk & Crisis Management Cases

BP's Gulf Oil Spill Risk Management

Ethics Case

In its own *Internal Investigation,*[1] released on September 8, 2010, BP provided its analysis of why the Deepwater Horizon oil rig exploded, precipitating one of the largest oil spills the world has ever seen. Eleven oil rig crew members were killed and seventeen injured, the ecological base for the region's economy was dramatically compromised, and BP's financial viability was brought into question.

Problems developed after the initial drilling had been completed during the temporary abandonment process prior to the preparation of the well for oil production. Essentially, the temporary abandonment process involved making the wellhead and well bore secure from potential leakage from the oil reservoir under the seafloor to the sea. Usually, cement is forced into areas of the pipe casing and wellhead to provide a friction or mechanical seal so that oil flows only up a pipe attached to the wellhead. Tests are performed at various stages to assess the effectiveness or integrity of the pipe casing and the cement seal. In the case of the Macondo deep water well, BP, its partners, and suppliers botched the sealing process as well as the follow-up actions.

Although the Deepwater Horizon rig and the Macondo well are referred to as BP's, it is important to note that the oil drilling rig was owned and operated by Transocean,[2] the cement seal was designed and arranged for by Halliburton,[3] and BP had two partners: Anadarko Petroleum (25%) and Japan's Mitsui (10%). All have some culpability in the disaster.

In the Executive Summary[4] of its Internal Investigation released on November 8, 2010, BP lists the following reasons for the disaster and provides the reference diagram, reproduced as Figure 1.

1. *The annulus cement barrier did not isolate the hydrocarbons.* The day before the accident, cement had been pumped down the production casing and up into the well bore annulus to prevent hydrocarbons from entering the well bore from the reservoir. … *The investigation team concluded that there were weaknesses in cement design and testing, quality assurance, and risk assessment.*
2. *The shoe track barriers did not isolate the hydrocarbons. … The investigation team concluded that hydrocarbon ingress was through the shoe track rather than through a failure in the production casing itself or up the well bore annulus and through the casing hanger seal assembly. The investigation team has identified potential failure modes that could explain how the shoe track cement and the float collar allowed hydrocarbon ingress into the production casing.*
3. *The negative-pressure test was accepted, although well integrity had not been established. …* In retrospect, pressure readings and volume bled at the time of the negative-pressure test were indications of flow-path communication with the reservoir, signifying that the integrity of these barriers had not been achieved. *The Transocean rig crew and BP well site leaders reached the incorrect view that the test was successful and that well integrity had been established.*

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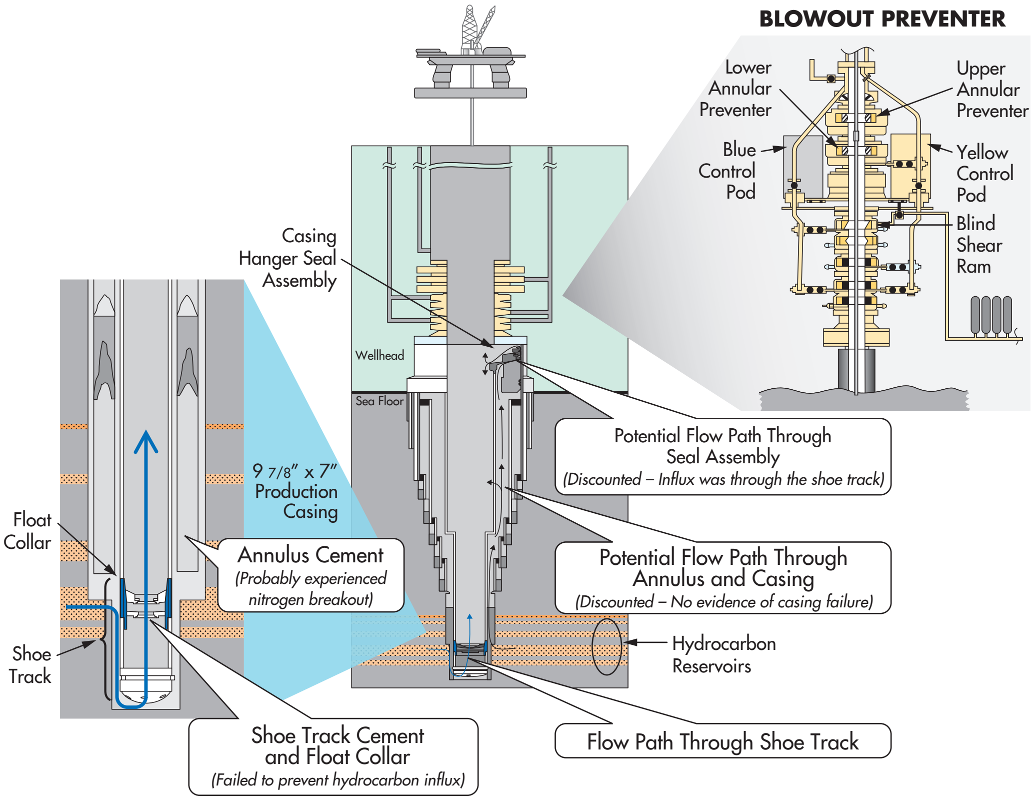
[1] BP, *BP Deepwater Horizon Accident Investigation Report*, September 8, 2010, accessed December 11, 2010, at http://www.bp.com/liveassets/bp_internet/globalbp/globalbp_uk_english/incident_response/STAGING/local_assets/downloads_pdfs/Deepwater_Horizon_Accident_Investigation_Report.pdf.

[2] Transocean corporate website, http://www.deepwater com.

[3] Halliburton corporate website, http://www.halliburton.com.

[4] *BP Deepwater Horizon Accident Investigation Report, Executive Summary*, September 8, 2010, accessed December 11, 2010, at http://www.bp.com/liveassets/bp_internet/globalbp/globalbp_uk_english/incident_response/STAGING/local_assets/downloads_pdfs/Deepwater_Horizon_Accident_Investigation_Report_Executive_summary.pdf. These reasons are generally echoed by the White House Oil Spill Commission's report of preliminary findings; see "Factbox: Oil Spill Commission Findings," Reuters, November 8, 2010, accessed December 12, 2010, at http://www.reuters.com/article/idUSTRE6A74FH20101108.

Figure 1 **The Macondo Well**



4. *Influx was not recognized until hydrocarbons were in the riser. … The rig crew did not recognize the influx and did not act to control the well until hydrocarbons had passed through the BOP and into the riser.*
5. *Well control response actions failed to regain control of the well.* The first well control actions were to close the BOP and diverter, routing the fluids exiting the riser to the Deepwater Horizon mud gas separator (MGS) system rather than to the overboard diverter line. *If fluids had been diverted overboard rather than to the MGS, there may have been more time to respond, and the consequences of the accident may have been reduced.*
6. *Diversion to the mud gas separator resulted in gas venting onto the rig.* Once diverted to the MGS, hydrocarbons were vented directly onto the rig through the twelve inch goosenecked vent exiting the MGS, and other flow lines also directed gas onto the rig. This increased the potential for the gas to reach an ignition source. *The design of the MGS system allowed diversion of the riser contents to the MGS vessel, although the well was in a high-flow condition. This overwhelmed the MGS system.*
7. *The fire and gas system did not prevent hydrocarbon ignition. … The heating, ventilation, and air-conditioning system probably transferred a gas-rich mixture into the engine rooms, causing at least one engine to overspeed, creating a potential source of ignition.*

8. *The BOP emergency mode did not seal the well.* Three methods for operating the BOP in the emergency mode were unsuccessful in sealing the well [due to explosions, fire, and condition of critical components].

Through a review of rig audit findings and maintenance records, the investigation team found indications of potential weaknesses in the testing regime and maintenance management system for the BOP.

The team did not identify any single action or inaction that caused this accident. Rather, a complex and interlinked series of mechanical failures, human judgments, engineering design, operational implementation, and team interfaces came together to allow the initiation and escalation of the accident. Multiple companies, work teams, and circumstances were involved over time.

Based on BP's own analysis, the key faults or failures giving rise to the Macondo Gulf oil spill include the following:

- Related to the drilling rig and equipment:
    - Faulty design of MGS system (Executive Summary reasons 6 and 7)
    - Poor operations (Items 4 and 5)
    - Failure to keep BOP properly maintained (Reasons 2, 5, 8, and others)
- Related to the cement plug:
    - Poor design by consultant (Reason 1)
    - Poor mix by supplier (Reason 1)
    - Poor testing (Reason 1)
- Related to the mistake in interpreting the test of well integrity:
    - Lack of technical expertise (Reason 3)
    - Lack of due diligence (Reason 3)

These faults or failures implicate not only the rig owner and crew (Transocean), the cement consultant (Halliburton), the cement supplier, and BP's onsite personnel but also BP's risk management program and practices. BP acted as the project operator and therefore had an overall responsibility for ensuring that all the other parties fulfilled their duties in a satisfactory manner. Since the oil spill occurred, it is evident that BP failed its oversight responsibility.

Videos

http://channel.nationalgeographic.com/episode/gulf-oil-spill-5488/Overview http://video.pbs.org/video/1625293496

Questions

1. Why did BP fail its oversight and decision capabilities?
2. Describe your vision of a good risk management process that BP should have been following.
3. What aspects of a good risk management process does BP not appear to have been using?
4. Has BP had other ecological disasters since 2000 that should have alerted the company to improve its risk management process?

BP's Corporate Culture

Ethics Case

BP has had a record of mishaps affecting life, the environment, and the property of the company and other stakeholders. On October 26, 2010, the Public Broadcasting System (PBS) in the United States aired a fifty-three-minute TV documentary titled *The Spill*, which covered BP's problems at its Texas City refinery, its Thunder Horse oil platform, its pipeline in Alaska, and the Gulf oil spill.

Questions

Review the PBS documentary *The Spill* at http://video.pbs.org/video/1625293496 and answer the following questions:

1. Was BP's corporate culture ethical?
2. Why has BP's culture developed as it has?
3. How you would suggest changing its culture?
4. What roles should the CEO and the Board of Directors play in making this change?
5. How could this change in culture be measured?

Toyota's Recall Problems

Ethics Case

In 2000,[1] Toyota had a strong and growing reputation for quality. Its engineering excellence was peaking with the worldwide introduction of the first successful commercially available hybrid, the Prius, in 2001. But by 2010, over 10 million individual recalls[2]—including multiple recalls of some models—had left Toyota's reputation in tatters, allowing other manufacturers to regain their momentum and even the leadership in sales. Ultimately, Akio Toyoda, the president of Toyota Motor Corporation, journeyed from Japan to testify before the U.S. House Oversight and Government Reform Committee on February 24, 2010. How this change of fortune transpired is a complex and interesting story.

Toyota's own website reports seventeen specific recalls beginning in 2000 and ending in 2010.[3] These recalls were all related to floor mat interference with the accelerator pedal or with accelerator malfunctions from other causes. Numerous accidents were reported where the installation of a winter floor mat over the regular summer floor mat caused the accelerator to jam at high speeds so that the car would race uncontrollably and sometimes crash. To remedy this, Toyota contacted current owners and explained the problem. They told customers that two mats were not to be installed on top of one another. The company also shortened the accelerator pedal so that two mats could not jam the pedal. The second set of reported problems related to a suspected flaw in the accelerator linkage, or the acceleration control software, that also caused the car to accelerate suddenly and race uncontrollably. The remedy for this problem was to install a small metal chip in the pedal linkage to remove the possibility that the mechanism would stick. Toyota maintained that the braking system in the car would bring it to a stop in either case, but it installed a brake override system in some cars to further facilitate this.

Toyota's recall problems were exacerbated by several sensational news stories about runaway cars where drivers reportedly could only hang on and hope for salvation. In California, a Prius driver had to stand on his brake pedal and, as directed by a highway patrol policeman who caught up and drove alongside, pull on the emergency brake to get the car to slow down.[4] One 911 call from a driver of a Lexus whose accelerator was reportedly jammed was broadcast on some media outlets right up to the crash that killed all four members of his family.[5] Other interviews were aired on TV stations with individuals who claimed that jammed accelerator pedals led to similar incidents. Pressure mounted dramatically as Toyota seemed to be facing a wall of criticism.

To many observers, Toyota was slow to react empathetically to what seemed to be evident problems. In addition, there were charges that the company knew of the problems long before any recalls were initiated or information was shared with car owners. There were also claims that Toyota was unconcerned about or ignored the problems in an effort to reduce expected legal costs. Toyota was later fined $16.4 million because the company did not report potential difficulties on a timely basis. The company knew about the sticking pedals on September 29, 2009, but did not report this until January 2010 even though the National Highway Traffic Safety Association (NHTSA) required reporting this problem within five days.[6]

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[1] This case benefited from an analysis prepared by the following students in Professor Brooks's 2010 Business and Professional Ethics course (MGT 1102) in the Master of Management and Professional Accounting Program at the University of Toronto: Jaclyn Chiang, Leon Sun, Tina Sun, and Neal Yang.

[2] "2009–2010 Toyota Vehicle Recalls," Recall Timeline, *Wikipedia*, http://en.wikipedia.org/wiki/Toyota_recalls (accessed January 23, 2010).

[3] Toyota, "Toyota Recall Update," http://www.toyota.com/toyotaSearch/search?keyword=recalls&locale=en (accessed January 23, 2011).

[4] For a video of the driver telling his story, see "Runaway Prius in California," Reuters, March 9, 2010, http://www.reuters.com/news/video?videoId=54378733.

[5] For a partial replay of the audio tape, see "CHP Releases 911 Call in Officer's Fiery Crash," *Metacafe*, October 1, 2009, accessed January 23, 2011, at http://www.metacafe.com/watch/3474726/chp_releases_911_call_in_officers_fiery_crash. The crash took place in California on August 28, 2009.

[6] Ken Thomas, "Toyota to Pay Record $16.4 Million Recall Fine," Associated Press, April 19, 2010, accessed January 25, 2011, at http://www.msnbc.msn.com/id/36634661/ns/business-autos. A video is embedded in the article.

The cost to Toyota was significant. "More than 20 percent of those who said they were considering a Toyota prior to the recall now say they no longer are considering the brand for their next vehicle purchase. In addition, Toyota's overall brand consideration dropped to third place and now trails its domestic rivals, first place Ford and second place Chevrolet."[7] Toyota's stock price declined approximately 16% from January 1, 2010, to October 22, 2010, on the New York Stock Exchange, and as a result Zacks Equity Research ranked the stock as a "strong sell" for investors.[8] Estimates of the cost of the recalls reached as high as $2 billion, including warranty payments and lost sales. The number of class action suits was growing daily.[9]

The pressure mounted on Toyota to be accountable, and the Japanese parent company president, Akio Toyoda, was called to testify in Washington in public on February 24, 2010. During his testimony, he stated,

- In the past few months, our customers have started to feel uncertain about the safety of Toyota's vehicles, and I take full responsibility for that…
- Toyota has, for the past few years, been expanding its business rapidly. Quite frankly, I fear the pace at which we have grown may have been too quick. I would like to point out here that Toyota's priority has traditionally been the following: First; Safety, Second; Quality, and Third; Volume. These priorities became confused, and we were not able to stop, think, and make improvements as much as we were able to before, and our basic stance to listen to customers' voices to make better products has weakened somewhat. We pursued growth over the speed at which we were able to develop our people and our organization, and we should sincerely be mindful of that. I regret that this has resulted in the safety issues described in the recalls we face today, and I am deeply sorry for any accidents that Toyota drivers have experienced.
- Especially, I would like to extend my condolences to the members of the Saylor family, for the accident in San Diego. I would like to send my prayers again, and I will do everything in my power to ensure that such a tragedy never happens again.
- Since last June, when I first took office, I have personally placed the highest priority on improving quality over quantity, and I have shared that direction with our stakeholders. As you well know, I am the grandson of the founder, and all the Toyota vehicles bear my name. For me, when the cars are damaged, it is as though I am as well. I, more than anyone, wish for Toyota's cars to be safe, and for our customers to feel safe when they use our vehicles. Under my leadership, I would like to reaffirm our values of placing safety and quality the highest on our list of priorities, which we have held to firmly from the time we were founded. I will also strive to devise a system in which we can surely execute what we value…
- I would like to discuss how we plan to manage quality control as we go forward. Up to now, any decisions on conducting recalls have been made by the Customer Quality Engineering Division at Toyota Motor Corporation in Japan. This division confirms whether there are technical problems and makes a decision on the necessity of a recall. However, reflecting on the issues today, what we lacked was the customers' perspective.
- To make improvements on this, we will make the following changes to the recall decision-making process. When recall decisions are made, a step will be added in the process to ensure that management will make a responsible decision from the perspective of "customer safety first." To do that, we will devise a system in which customers' voices around the world will reach our management in a timely manner, and also a system in which each region will be able to make decisions as necessary. Further, we will form a quality advisory group composed of respected outside experts from North America and around the world to ensure that we do not make a misguided decision. Finally, we will invest heavily in quality in the United States, through the establishment

[7] Kelley Blue Book, "Kbb.com Study: Toyota Brand Consideration, Vehicle Interest Dramatically Drops Following Recall," February 3, 2010, accessed January 25, 2011, at http://www.prnewswire.com/news-releases/kbbcom-study-toyota-brand-consideration-vehicle-interest-dramatically-drops-following-recall-83425457.html.

[8] Zacks Equity Research, "Total Recall Rerun," October 22, 2010, accessed January 25, 2011, at http://finance.yahoo.com/news/Toyota-Recall-zacks-2538726313.html?x=0&.v=l.

[9] Margaret Cronin Fisk, "Toyota Recall Cost to Exceed $2 Billion, Lawyers Say (Update 2)," *Bloomberg Businessweek*, February 9, 2010, accessed January 25, 2011, at http://www.businessweek.com/news/2010–02-09/toyota-recall-cost-to-exceed-2-billion-lawyers-say-update2-.html.

of an Automotive Center of Quality Excellence, the introduction of a new position—Product Safety Executive, and the sharing of more information and responsibility within the company for product quality decisions, including defects and recalls.

- Even more importantly, I will ensure that members of the management team actually drive the cars, and that they check for themselves where the problem lies as well as its severity. I myself am a trained test driver. As a professional, I am able to check on problems in a car, and can understand how severe the safety concern is in a car. I drove the vehicles in the accelerator pedal recall as well as the Prius, comparing the vehicles before and after the remedy in various environmental settings. I believe that only by examining the problems on-site, can one make decisions from the customer perspective. One cannot rely on reports or data in a meeting room.
- Through the measures I have just discussed, and with whatever results we obtain from the investigations we are conducting in cooperation with NHTSA, I intend to further improve on the quality of Toyota vehicles and fulfill our principle of putting the customer first.
- My name is on every car. You have my personal commitment that Toyota will work vigorously and unceasingly to restore the trust of our customers.[10]

Reaction to Mr. Toyoda's testimony was generally favorable, even though rumors about cost-cutting and misguided leadership[11] continued to affect consumer assessment of Toyota's quality. For example, two former company presidents, Katsuaki Watanabe and Hiroshi Okuda, took the view that the troubles were "less a quality crisis and more a management and public-relations crisis of Mr. Toyoda's making."[12] Others have speculated that the governance mechanism of Toyota was partly to blame since Toyota had taken advantage of a "home-country exemption" from SOX regulations. Furthermore, its directors may have lacked independence and have been less loyal to shareholders. This may have fostered "a culture of stonewalling and secrecy."[13]

Throughout the period, the U.S. media continued to stir the pot with one sensational story after another. Some observers wondered if some stories were slanted to damage the reputation of Toyota cars relative to North American car manufacturers, which had suffered through bankruptcy and bailout and had lost sales to Toyota in major markets. To some degree, Toyota's delay in responding strongly to such stories may have allowed reputational damage that could have been avoided.

In fairness to Toyota, there may have been more smoke than fire in the news stories. Although it was not known publicly until mid-July 2010, when seventy-five fatal accidents attributed to sudden acceleration due to jammed or sticking gas pedals were investigated by the NHTSA using "black boxes" from the cars involved, it was found that "the throttles were wide open and the brakes were not being depressed." This result suggested that driver error was the cause since "drivers were mistakenly standing on the gas pedal when they thought they were standing on the brakes." None of the throttle linkages were at fault. In only one case was the gas pedal jammed, and that was due to an all-weather floor mat from another automobile being installed over the Toyota mat.[14]

Questions

1. Did Toyota handle its recalls ethically? Why and why not?
2. What changes would you recommend to Toyota's crisis management approach? Why?

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[10] Akio Toyoda, *Prepared Testimony of Akio Toyoda, President, Toyota Motor Corporation*, February 24, 2010, accessed January 25, 2011, at https://oversight.house.gov/wp-content/uploads/2012/01/20100224Toyoda.pdf. The complete transcript is downloadable from **www.cengage.com**.

[11] Steve Tobak, "Inside Toyota: Leadership Conflict Turns Destructive," BNET, April 20, 2010, accessed January 25, 2011, at http://www.bnet.com/blog/ceo/inside-toyota-leadership-conflict-turns-destructive/%204421.

[12] Ibid.

[13] Michael W. Stocker and Yoko Goto, "A Recall for Toyota's Corporate Governance?," *Pensions and Investments*, April 5, 2010, accessed January 25, 2011, at http://www.pionline.com/article/20100405/PRINTSUB/304059981.

[14] Scott Evans, "DOT Report: Driver Error, Not Defects to Blame in Toyota Sudden Acceleration," *Wall Street Journal*, July 14, 2010, reprinted in *Automobile*, accessed January 25, 2011, at http://rumors.automobilemag.com/dot-report-driver-error-not-defects-to-blame-in-toyota-sudden-acceleration-3942.html.

3. Do you think that Mr. Toyoda's testimony on February 24, 2010, was effective? How might it be improved?
4. Toyota did not immediately disclose that each car carried an airplane-style "black box" that recorded details on how the car was functioning. Was this timing appropriate?
5. What possible reasons could account for Toyota's delay in advising the NHTSA of the problems known on September 29, 2009?
6. Can Toyota recover from these recall problems? If so, how long will that take? What would Toyota have to do to recover fully?

Digoxin Overdose—The Need for Skepticism, Courage & Persistence

Ethics Case

A two-month-old child was accidentally given a drug overdose at a Texas hospital despite the fact that seven healthcare professionals reviewed the prescription order before the drug was given to the baby. The following excerpts from a *New York Times* article[1] illustrate how important it is that individuals continually question actions and their outcomes rather than assume that others have gotten it right. Although the setting is health care, most businesspeople and professionals have found themselves (or will find themselves) in situations in which skepticism, courage, and persistence are vital. All too often in business and professional situations, and particularly in those that escalate into crises, individuals suspect there is something that is not right, but they do not do anything (or enough) about it. As a result, the problem or crisis gets worse:

> On a Friday afternoon last summer, Jose Eric Martinez was brought to the outpatient clinic of Hermann Hospital in Houston for a checkup. The 2-month-old looked healthy to his parents, and he was growing well, so they were rattled by the news that the infant had a ventricular septal defect, best described as a hole between the pumping chambers of his heart.
>
> He was showing the early signs of congestive heart failure, the doctors said, and those symptoms would need to be brought under control by a drug, Digoxin, which would be given intravenously during a several-day stay. The child's long-term prognosis was good, the doctors explained.
>
> Time would most likely close the hole, and if it did not, routine surgery in a year or so would fix things. The Digoxin was a bridge between here and there. There was nothing to worry about.
>
> On the Friday afternoon that the baby was admitted… the attending doctor discussed the Digoxin order in detail with the resident. First, the appropriate dose was determined in micrograms, based on the baby's weight, then the micrograms were converted to milligrams. They did those calculations together, double-checked them, and determined that the correct dose was .09 milligrams, to be injected into an intravenous line.
>
> They went on to discuss a number of tests that also needed to be done, and the resident left to write the resulting list of orders on the baby's chart. With a slip of the pen that would prove fatal, the resident ordered 0.9 milligrams of Digoxin rather than .09.
>
> The list complete, the resident went back to the attending doctor and asked, "Is there anything else I need to add on here?" The attending scanned the list and said no, there was nothing to add. The error went unnoticed.
>
> A copy of the order was faxed to the pharmacy, and a follow-up original copy was sent by messenger. The pharmacist on duty read the fax and thought that the amount of Digoxin was too high. The pharmacist paged the resident, and then put the order on top of the pharmacy's coffeepot, the site of the unofficial "important" pile. What the pharmacist did not know was that the resident had left for the day and did not receive the page.
>
> Sometime later, the backup copy of the as-yet-unfilled order arrived at the pharmacy. This time a technician looked at it and filled a vial with 0.9 milligrams of Digoxin. The technician then set

[1] Lisa Belkin, "How Can We Save the Next Victim?," *New York Times*, June 15, 1997.

the order and the vial together on the counter so that the pharmacist could double-check the work.

The pharmacist verified that the dosage on the prescription matched the dosage in the vial, and did not remember questioning the dosage in the first place. The order of the digoxin was sent up to the pediatric floor.

A nurse there took the vial, read its dosage, and worried that it was wrong. She approached a resident who was on call but had not personally gone over the drug calculation with the attending.

"Would you check this order?" she asked. Or maybe she said, "Is this what you want me to give?"

The resident took out a calculator, redid the math, and came up with .09, the correct dose. Looking from the calculator to the vial, the resident saw a "0" and "9" on both and did not notice the difference in the decimal point.

There was one remaining step. Following procedure, the first nurse asked a second nurse to verify that the order in the chart was the same as the label on the vial. She did, and it was.

At 9:35 p.m., a troubled nurse gave Jose Martinez a dose of Digoxin that was 10 times what was intended. It took 20 minutes for the entire dose to drip through his IV tube. At 10 p.m., the baby began to vomit while drinking a bottle, the first sign of a drug overdose.

Digoxin works by changing the flux of ions in the heart, altering the cell membranes. Too much allows the heart to flood with calcium, so it cannot contract. There is an antidote, called Digibind, and the nurse, her fears confirmed, called for it immediately. But even immediately was too late.

"They killed my son," the boy's father, Jose Leonel Martinez, sobbed on the local TV news. "Those people who work there are not professional and they shouldn't be there." A restaurant worker who had moved his family from Mexico a few years earlier, Martinez was shocked that "the world's best healthcare system" could make such a mistake.

"When I asked the doctor if the medicine they were going to put in him was strong, the doctor said no, that it was normal. That it was just so the child would function better."

The residents and the nurse were "given some time off" during the investigation, Walts [the hospital CEO] says; no one was fired. "It sobered us to realize that we've always dealt with errors as a discipline problem, yet we're not eliminating errors by firing people," she adds.

All those in the chain of error are back at work, and all are still haunted by the death of Jose Martinez. When the system fails, the patient is not the only victim. "It was an absolutely devastating thing," the attending doctor says. "The loss to the parents was indescribable. There are no words.… The only thing that made it possible for me to struggle through was my concern for these young people"—meaning the two residents. "I had to make them understand that this did not mean they were bad doctors."

Questions

1. What should the individuals involved have done?
2. How can the Hermann Hospital ensure that individuals do what they should?
3. Should the doctor, residents, pharmacist, and nurses involved in this tragedy be fired? If not, should they be sanctioned, and, if so, how?
4. Should such healthcare failures be made public?

The *Exxon Valdez*

Ethics Case

Shortly after midnight on March 24, 1989, the oil tanker *Exxon Valdez* ran aground on Bligh Reef in Alaska's Prince William Sound, spilling 11 million gallons of crude oil. Ecological systems were threatened, and the lives and livelihoods of area residents were severely disrupted. For the tanker's owner, New York-based Exxon Corporation, the effects were profound.

How did such a tragedy occur? Opinions vary considerably. One oil company executive put it this way: "It's simple. A boat hit a rock." On the other hand, the evidence shows a much more complex picture of human and technical errors.

At the time of the grounding, the vessel had departed from normal shipping lanes to avoid ice in the water and had failed to make a corrective turn in time to avoid the submerged reef. The ship was piloted by third mate Gregory Cousins, who did not hold a required license; the captain, Joseph Hazelwood, was in his quarters. Hazelwood, whose driver's license was at the time suspended for driving while intoxicated, later failed a sobriety test. When the Trans-Alaska pipeline was originally opened, strict traffic lanes were established in the Sound to guarantee safe tanker passage. But, in recent years, disintegration of the Columbia Glacier had filled the lanes with ice. To avoid slowing down to dodge icebergs—thereby delaying the oil's delivery to market—tanker captains routinely moved out of the shipping lanes.

Onshore, no one was keeping watch. Although the U.S. Coast Guard was charged with monitoring vessels through Prince William Sound, its outdated radar system did not reliably track vessels as far out as Bligh Reef. An earlier proposal to upgrade the radar system had been rejected as too expensive. And the Coast Guard's oversight, to say the least, was lax: at the time of the *Valdez* grounding, the only radar man on duty had stepped out for a cup of coffee.

Other corners had also been cut. The Coast Guard had reduced the use of specially trained harbor pilots to guide tankers out of the Sound and had withdrawn a proposal for tugboat escorts. Rules, such as those governing the number of crew members on the bridge, were not enforced.

The response to the accident was also fraught with difficulties. Alyeska, the consortium of oil companies that built and operate the Trans-Alaska pipeline, is responsible for cleaning up oil spills that occur in Prince William Sound. At the time of the accident, Alyeska's contingency plan promised to reach a stricken vessel within five and a half hours and to recover half of a 200,000-barrel spill within seventy-two hours, yet when the event occurred, Alyeska's plan was revealed, as Alaska's commissioner for energy conservation later put it, as "the greatest work of maritime fiction since *Moby Dick*." The cleanup crew had no instructions, the barge was in dry dock for repairs, needed boom and skimmers were buried under tons of other equipment in a warehouse, and lightering supplies were lost under a snowdrift.

Alyeska did not even reach the *Valdez* until almost twelve hours after the accident and in the first three days was able to pick up only 3,000 barrels of oil—2% of what it had promised. Incredibly, a group of local fishermen, later dubbed the "mosquito fleet," managed to retrieve more oil with their fishing boats and five-gallon buckets than did Alyeska with all its money and equipment.

When Alyeska's cleanup collapsed, a response effort had to be hastily jury-rigged by Exxon and the federal and state governments. Federal law called for an interagency team effort in which Exxon was responsible for cleaning up the oil, and different federal agencies were responsible variously for providing scientific advice, protecting the parks, and safeguarding birds and animals. The Coast Guard and Alaska's Department of Environmental Conservation were supposed to supervise the whole effort, yet no established procedures existed for bringing these organizations together into a working crisis management team under unified leadership. The result was a response effort "paralyzed by indecision, a struggle over authority, and vastly different and conflicting expectations as to which measures would work."

The debate over the use of dispersants, detergent-like chemicals that break up oil into droplets that descend below the water's surface, illustrates the costs of this paralysis. Exxon wanted to use dispersants and immediately flew in planes and chemicals. But under Alaskan guidelines, dispersants would be used in an oil spill only if less harmful to the environment than the crude itself. Since no one knew whether they were, the Coast Guard ordered tests, which were inconclusive. After two days of indecision, the government finally approved the dispersants—but that night the weather turned, and a spring blizzard whipped the oil into an impervious, frothy mousse. The opportunity had been lost.

The reaction of the public was predictable. A complete cleanup was demanded, which cost Exxon a reported \$2 billion in 1989 and a further \$200 million in 1990, with more out-of-pocket costs to come. More than 150 civil lawsuits were filed, not including those on behalf of the state and federal governments. The state and federal claims may be settled for a reported \$1.2 billion.

Not surprisingly, Exxon's profits and stock price have remained flat since the accident. Shareholder groups have, however, been very active, particularly the institutional investors who as a group own 35% of Exxon's shares. With the support of the administrators of the New York City pension funds (which own 6 million Exxon shares), the Coalition for Environmentally Responsible Economies (CERES) brought pressure to bear on the company during 1990 to accept and endorse a code of conduct known as the Valdez Principles (refer to below) for dealing with the corporation's environmental behavior.

The company resisted accepting the Valdez Principles on several grounds, including that the principles were not sufficiently developed to be workable, that they went too far, and that further study was needed. In 1990, Exxon did, however, appoint an outside environmentalist to the Board of Directors and placed a senior officer in charge of environmental matters. The tanker was rechristened the *Exxon Mediterranean* and will operate henceforth in the Pacific Ocean. It was not refitted with a double hull, which would have cost about $20 million. Observers have also reported that Exxon has bought back substantial amounts of its stock: a move possibly made to support the stock price and pressure investors.

The Valdez (CERES) Principles

Leading environmental organizations—including the Sierra Club, the National Audubon Society, and the National Wildlife Federation—joined with the Social Investment Forum to form the Coalition for Environmentally Responsible Economics (CERES), whose first act was to draft the Valdez Principles for corporations to sign. The idea is to make the Valdez Principles a litmus test of corporate behavior. Companies are being pressured to abide by the following prescripts:

1. Protection of the Biosphere

We will minimize the release of any pollutant that may cause environmental damage to the air, water, or earth. We will safeguard habitats in rivers, lakes, wetlands, coastal zones, and oceans and will minimize contributing to the greenhouse effect, depletion of the ozone layer, acid rain, or smog.

2. Sustainable Use of Natural Resources

We will make sustainable use of renewable natural resources, such as water, soils, and forests. We will conserve nonrenewable natural resources through efficient use and careful planning. We will protect wildlife habitat, open spaces, and wilderness while preserving biodiversity.

3. Reduction and Disposal of Waste

We will minimize waste, especially hazardous waste, and wherever possible recycle materials. We will dispose of all wastes through safe and responsible methods.

4. Wise Use of Energy

We will make every effort to use environmentally safe and sustainable energy sources to meet our needs. We will invest in improved energy efficiency and conservation in our operations. We will maximize the energy efficiency of products we produce or sell.

5. Risk Reduction

We will minimize the environmental, health, and safety risks to our employees and the communities in which we operate by employing safe technologies and operating procedures and by being constantly prepared for emergencies.

6. Marketing of Safe Products and Services

We will sell products or services that minimize adverse environmental impacts and that are safe as consumers commonly use them. We will inform consumers of the environmental impacts of our products or services.

7. Damage Compensation

We will take responsibility for any harm we cause to the environment by making every effort to fully restore the environment and to compensate those persons who are adversely affected.

8. Disclosure

We will disclose to our employees and to the public incidents relating to our operations that cause environmental harm or pose health or safety hazards. We will disclose potential environmental, health, or safety hazards posed by our operations and we will not take any retaliatory personnel action against any employees who report on any condition that creates a danger to the environment or poses health or safety hazards.

9. Environmental Directors and Managers

At least one member of the Board of Directors will be a person qualified to represent environmental interests. We will commit management resources to implement these Principles, including the funding of an office of vice president for environmental affairs or an equivalent executive position, reporting directly to the CEO, to monitor and report on our implementation efforts.

10. Assessment and Annual Audit

We will conduct and make public an annual self-evaluation of our progress in implementing these Principles and in complying with all applicable laws and regulations throughout our worldwide operations. We will work toward the timely creation of independent environmental audit procedures which we will complete annually and make available to the public.

For more information, visit **http://www.cengage.com.**

Questions

1. Who was responsible for the accident?
2. What were the responsibilities of the company, the government authorities, and the employees of the company, that were not properly discharged?
3. Should Exxon abide by the Valdez Principles?
4. Could a better code of conduct have prevented this accident?
5. If Exxon had known, before the accident, about the captain's alcohol problem, what actions should have been taken, if any?

Sources: J. W. Barnard, "Exxon Collides with 'Valdez Principles,' " *Business and Society Review*, Fall 1990, 32–35.

R. Gehani, "Will Oil Spills Sink Exxon's Bottom Line?," *Business and Society Review,* Fall 1990, 80–83.

"Lawsuits Proliferate from Grounding of the Exxon Valdez," *The Globe and Mail*, November 29, 1989, B2.

A. T. Lawrence, "An Accident Waiting to Happen," *Business and Society Review*, Fall 1990, 93–95.

"Shareholders' Suggestions Get Exxon Nod." *The Globe and Mail*, May 12, 1989, B2.

"Exxon Looking at Offer to Settle Oil Spill Suits," *Financial Post*, February 8, 1991, 7.

The Brent Spar Decommissioning Disaster

Ethics Case

According to the Greenpeace Web page,

> On 16 February last year (1995), Greenpeace learned that the U.K. government had granted permission for Shell Oil to dump a huge, heavily contaminated oil installation, the 14,500 tonne Brent Spar, into the North Atlantic despite it being loaded with toxic and radioactive sludge. Dumping operations, just west of Ireland and Scotland, were expected to begin in May. Greenpeace went into action with plans to take over and occupy the rig to prevent the dumping. More than two dozen activists from six North Sea countries pulled operations together. Video and photo staff were called upon to document the Brent Spar platform and the occupation. The Moby Dick delivered activists to the platform (on April 30) and remained in the area to provide back up…
>
> Greenpeace believes that if this platform were to be dumped at sea, with some 400 others at work in the North Sea alone, this would have set a dangerous precedent.[1]

Without a doubt, this act of piracy caused serious consternation at the headquarters of Shell UK and at the parent company's head office in the Netherlands.

Shell UK had been studying options for decommissioning the oil storage and tanker loading platform since 1991, but no perfect option had emerged. The Brent Spar was 140 meters in length, with 109 below the water level, so tearing it apart would be likely to cause leakage of hazardous substances. Consequently, for reasons of cost as well as environmental safety, Shell had chosen to apply to the U.K. government for a permit to sink the platform in the deep ocean. This decision was based on extensive assessments of the following options:

- Horizontal dismantling (and onshore disposal)
- Vertical dismantling (and onshore disposal)
- In-field disposal
- Deep-water disposal
- Refurbishment and reuse
- Continued maintenance

Deep-water disposal (at roughly $60 million)[2] was expected to be between 5% and 40% cheaper than other options, and, since the structure would not leak for 1,000 years, it was expected to be so buried by silt at that point as to be harmless.

The problem faced by Shell UK was what to do. The U.K. government was expected to issue a dumping permit momentarily. The Fourth North Sea Conference was scheduled to debate the issue of deep-sea disposal on June 8–9, and rumor had it that eleven of the thirteen countries involved could call for a moratorium on such dumping.

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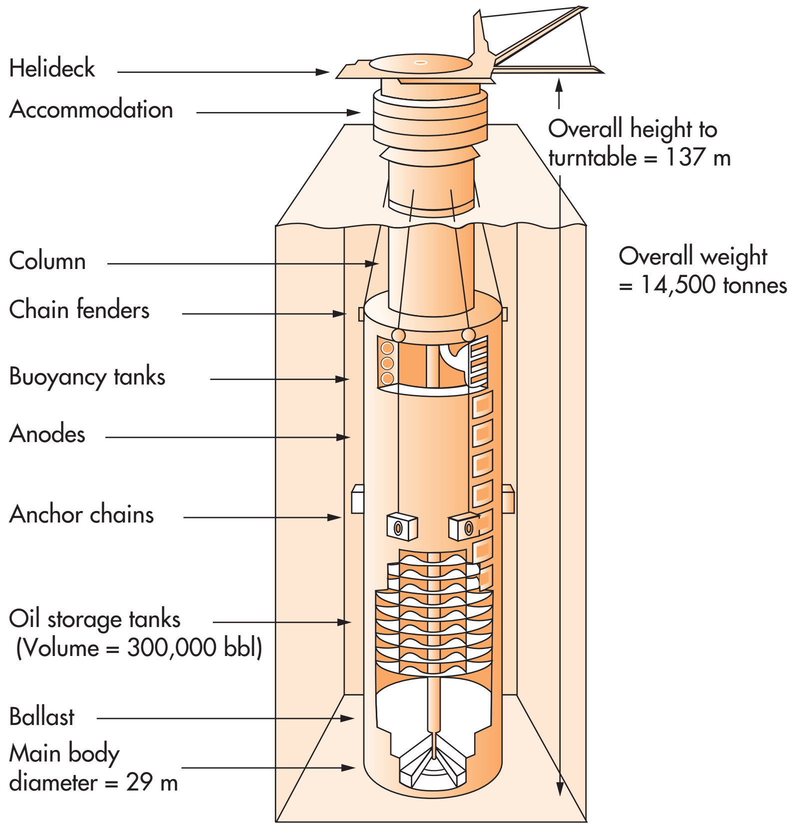
[1] Greenpeace, "Greenpeace Brent Spar Protest in the North Sea," http://www.greenpeace.org/%7Ecomms/brent/brent.html (accessed October 14, 1996).

[2] Arkady Ostrovsky and Tim Burt, "Shell to Break Up Oil Platform to Make Quay," *Financial Times*, January 30, 1998, 8.

Structure of Brent Spar



The following events transpired on or just after April 30, 1995:

- April 30: Greenpeace charged that large amounts of hazardous and radioactive oil were stored on the Brent Spar.
- May 5: The U.K. government issued deep sea disposal permit.
- May 13: Shell failed to evict Greenpeace from oil platform.
- May 19: Shell failed to obtain court consent to evict Greenpeace.
- May 22: Shell failed to evict Greenpeace.
- May 23: Shell removed activists from Brent Spar.
- June 7: Greenpeace reboarded and occupied a tow tug.
- June 9: Greenpeace revealed leaked document about cheap land options.
- June 10: Greenpeace battled to prevent tow to dump site.
- June 11: Shell postponed tow due to bad weather, tangled wires.
- June 12: Shell begins tow.
- June 14: Protesters in Germany threatened to damage 200 Shell service stations—50 were subsequently damaged, two were firebombed, and one was raked with bullets—unrest continued until June 20.
- June 15: Protesters in continental northern Europe strongly opposed—Chancellor Kohl protested deep water disposal at G7 Summit from June 15 to 17.
- June 16: Greenpeace reoccupied Brent Spar.
- June 20: Several governments opposed.
- June 20: Shell UK aborted deep-water proposal and sought onshore disposal.
- June 21: Shell UK apologized to Prime Minister Major for any embarrassment.

- Late June: Support grew for Shell's early scientific approach.
- July 7: Permission granted to moor in Erford, Norway, temporarily.
- August 26: U.K. television executives admitted to lack of objectivity and balance in their coverage using dramatic film footage supplied by Greenpeace.
- September 5: Greenpeace apologizes to Shell UK for sampling errors and inaccurate claims that Spar contained 5,500 tonnes of oil in three of six tanks and so on.[3]

Questions

1. What would you have done if you were calling the shots at Shell UK? When?
2. What would you have done if you were calling the shots at the parent Shell head office?

[3] Chronology derived from Greenpeace website cited above and Shell UK Exploration and Production home page, http://ellexpro.brentspar.com /sites/brentspar/index.html (accessed October 14, 1996).

Crisis at Wind River Energy Inc.

Ethics Case

Lynn James was in the vortex of a set of crises. Lynn, an entrepreneur and the president, CEO, and 75% owner of Wind River Energy Inc., was one week away from closing a deal to secure much-needed financing for existing and new operations via an independent public offering (IPO) on NASDAQ under the sponsorship of prominent stockbrokers in New York and Toronto. All Lynn had worked for was in danger of going up in smoke, and there was grave risk to the lives of innocent workers and citizens. What on earth could and should Lynn do?

Over the last nine years, Lynn had been very successful. Initially, Lynn had been intrigued by the possibility of developing small, freestanding energy installations that fed their power into regional electrical grids or provided power to small, isolated towns. It had been possible to acquire and refurbish several small hydroelectric generating stations that had been mothballed by large northeastern energy producers or the small cities that still owned them. Due to the rise in the cost of fossil and nuclear fuels, these waterfall plants made a rate of return on invested capital of roughly 22%. Over the years, Lynn and various associates had bought and refurbished five plants, sold two, and continued to operate three in Ontario and Vermont. Based on successful operations in the East, Lynn had arranged for the incorporation of Wind River Energy Inc., into which energy holdings were transferred to provide collateral for bank loans and vendor mortgage financing.

During the last six years, Lynn became interested in the generation of energy using windmills. After visiting "wind farms" in California and off the shore of Denmark, Lynn realized that the wind conditions were exceptionally favorable just east of portions of the Rocky Mountains, and began to investigate providing energy needs to small, isolated towns in that area. Four years ago, a ten-windmill installation was developed outside of Freeman, Alberta, which initially contributed to the town's energy needs. The town owned an old hydroelectric plant on the local river and had a backup oil generator system for emergencies. Two years ago, Wind River acquired the town's energy generation systems and became the sole source of energy for Freeman. Four years ago, Freeman was a town of 2,000 homes that was using all the energy it could produce, so it welcomed the windmill installation. Since that time, 750 more homes were built to house the workers at two new mines in the area, and the town's hospital was enlarged. Further investment was now needed to provide additional generating capacity.

Based on favorable operations in Freeman, Wind River Energy had developed a reputation for reliability. The company took pride in keeping its commitments—a fact that attracted the attention of the mayor and leaders of West Fork, a neighboring town to Freeman. They approached Wind River, and Lynn signed a contract to provide energy to West Fork on the same basis as Freeman. Part of the anticipated financing was to provide funds for the purchase of West Fork's electrical generating capacity.

Disaster struck during the last week. On Monday, the Wind River manager in Freeman, Ben Trent, called Lynn in Toronto to say that something had gotten stuck in one of the water input pipes to the hydrostation, and he wanted to know what to do. Summer was just starting, and air-conditioning needs would go beyond Wind River's capacity. Wind River's chief engineer was away on holiday, but Lynn checked with his assistant, who suggested that if the input door could be closed, someone could enter the clean-out pipe that intersected the input pipe. When this was relayed to Ben, he said that he did not think that the input door had ever been shut and might not work, nor had the clean-out pipe been used during the forty years the plant had been in service. He would check on them and call back. On Tuesday, Lynn received a notification from the Province of Ontario stipulating that Wind River's Ontario hydrostation would have to be shut down no later than Thursday. The court order stated that the stagnant water at the edges of the pond where the water intake pipe was located was likely to allow the breeding of mosquitoes that would spread the West Nile virus. The stagnant water situation would have to be remedied before the plant could restart, and Wind River would be liable to any persons from the local community who were diagnosed with West Nile virus from Tuesday to five days after the stagnant water problem was remedied. When Lynn went to consult the chief engineer's assistant (the only other real engineer on staff), he found that the man had just gone home sick with a SARS-like attack of the flu. Unfortunately, the chief engineer was in the middle of a backpacking trip in the Rockies and would be unreachable unless he activated the satellite phone that Lynn had insisted he take.

Ben called back on Wednesday to say that they had finally closed the input door and had just sent a small, thin man into the clean-out pipe to crawl up the intake pipe and clear the obstruction. Because the fellow was so keen, Ben told him to crawl all the way up to the intake door and try to grease the hinges on the inside.

On Thursday morning, Ben called to say that the fellow had done a great job of clearing the input pipe and had examined the hinges on the inside of the input door. He had just gone back in to try to remove the hinge pins, replace the bushings around the pins, and grease the bushings and pins. The mayor was pleased because the fellow was his brother-in-law, who had never really done anything else very well.

At about noon on Thursday, Lynn's lawyer called to remind him of the meeting on the following Tuesday during which Lynn, the CFO, and the chief engineer would have to sign off documents attesting to the excellent status of the company so that the IPO could go ahead. Any delay would jeopardize the financing deal. Lynn did not know what to say. He just thanked his lawyer and hung up.

In the early afternoon, Ben called to say that the fellow had gotten out of the pipe all right but had jammed one of the hinge pins when reinserting it and did not think the input door would open to allow water into the generating equipment. Someone bigger and stronger would have to go into the pipe to fix the hinge. Ben did not know what to do. He was not a real engineer, having been promoted to manager on the basis of long service and personal connections with the city council, and he wanted Wind River's chief engineer to take responsibility and tell him what to do.

In addition, Ben said that the transformer station regulating the power from the company's windmills had been hit about a month ago by lightning and was operating only partially on an intermittent basis. The mayor of Freeman was getting calls about the intermittent "brownouts" of electricity and was putting pressure on Ben. Ben was really fed up. He also had a call from the mayor of West Fork, but he had not returned it yet.

Question

1. What would you do if you were Lynn?

Ethics Audit Program Annual Audit Questions — Appendix A

Questions to Be Asked at Each Business Unit

Responsibility

- Is there a person at the business unit who is responsible for answering questions on and administering the *Code*? Who is this?
- Do the employees know of this person's responsibility with regard to the *Code*?

Awareness and Commitment

- Has the *Code* been distributed to all employees and managers?
- Have all managers signed the Representation Letter confirming that "during the past year, [they] and, to the best of their knowledge after due inquiry, [their] immediate subordinates who hold management responsibilities have complied with the *Code* and have taken appropriate actions to ensure compliance

by other employees (who are [their] subordinates) and by contractors and consultants (who [they] have engaged or are responsible for)?

- Have all employees signed off during the past year that they have observed the *Code* and will continue to do so, and that they know of no unreported breaches of the *Code*?
- Are all new employees signing off when they join the company?
- Do all suppliers, contractors, and consultants receive a written notification that it is understood they will abide by the *Code* or specific provisions of it such as those on gifts or inducements, conflicts of interest, health and safety, or environmental protection?

Training

- Do new employees receive training on the *Code* when they join before they sign the *Code* sign-off?
- Have existing employees received training on the *Code* during the past year? What is the nature of this training?
- Do suppliers, contractors, and consultants receive a briefing on the *Code* and their need to observe it?

Commitment and Support Provided by Management

- Has management above the business unit shown personal commitment and support for the *Code* and the values on which it is based? How? (Speeches, memos, news articles, etc.)
- Has the management of the business unit shown personal commitment and support for the *Code* and the values on which it is based? How? (speeches, memos, use in screening merit and promotion decisions, etc.)
- Has there been reinforcing publicity in newsletters or through publicity of good or bad examples of behavior?

Operations

Regarding the business unit's systems for answering ethics inquiries, bringing ethics concerns forward for investigation, and investigation and sanction:

- Do employees and managers have confidence in these systems?
- Survey 10 employees and five managers.
- What are the annual usage statistics of each system?
- Were any significant ethical problems not handled appropriately?
- Were actions taken on a timely and appropriate basis?
- Do any items or issues require clarification to avoid further problems?
- Are there any suggestions for improvement of the *Code* or the processes involved?
- Do timely periodic reports to division management exist covering the activities of these systems?
- Are all items reported?

Questions to Be Asked of Each Division Operation, Assessment, and Continuous Improvement

- Are there personnel assigned (specify who) and systems in place to monitor and ensure the following?
    - Compliance with the *Code* in each business unit and at the division level
    - Effectiveness of the procedures for complying with the *Code* in such matters as training, sign-off, inquiry, investigation, and sanction
    - Assessment of operations and risks
    - Reinforcement and support
- Are necessary actions taken on a timely and appropriate basis?
- Are timely reports prepared for and reviewed by division management?
- Are objectives related to the *Code* built into the divisional and business unit yearly operating objective statements?
- Are appropriate actions taken/reinforced by division management?
- Is there appropriate feed-forward reporting to the head office to allow remedial action and solutions to be shared across the company?
- Does the head office react and respond to feed-forward reporting or requests for clarification?
- Has management above the division shown personal commitment and support for the *Code* and the values on which it is based? How? (speeches, memos, news articles, etc.)
- Are there any issues needing further clarification and/or suggestions?
- Are there any issues that should be reported to the board for information or action?

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